
Capital, Risk, and the Sin of Usury

The Forgotten History of the
Extrinsic Titles

*How Christian Moral Theology Distinguished
Compensation from Extraction*

Mutuum · Just Price · Risk · and the Scholastic
Search for Moral Finance

WORKING MANUSCRIPT

Complete Draft · Preface, Chapters 1–44, and Appendices A–G
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ABOUT THIS DRAFT

This PDF gathers the complete drafted manuscript as of 12 July 2026: the Preface, all forty-four chapters (Parts I through XIII), and Appendices A through G. Every unit has been drafted and verified against its source; the Table of Contents that follows carries a page number for each.

The book moves from the ancient background of debt, through Roman law and Aquinas, into the four extrinsic titles that let scholastic moral theology distinguish compensation from extraction — *poena conventionalis*, *damnum emergens*, *lucrum cessans*, and *periculum sortis* — and closes by translating that tradition into a framework for non-extractive capital.

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Preface

Why the Extrinsic Titles Matter Again

0.1 The Modern Problem Hidden Inside an Ancient Doctrine

At first glance, the Christian doctrine of usury seems to belong to another world — an age of grain loans and moneychangers, canon lawyers and confessors, monasteries and market squares, when theologians argued over whether money was “sterile” and whether it was sinful to receive back more from a loan than one had given. To a modern reader the whole discussion can sound archaic, even quaint: surely a civilization equipped with interest rates, derivatives, venture capital, sovereign debt, risk premiums, and discount models has left the medieval question of usury far behind.

But the old question has not disappeared. It has only changed its clothing.

The medieval theologians were not merely asking whether “interest” was allowed. That is the shallow version of the question. They were asking something far more precise, and far more dangerous to modern finance: when may capital receive more than it gives?

No percentage can answer that by itself. A low interest rate may still be unjust if it extracts from a borrower’s need, traps a household in dependency, or shifts all the risk onto the vulnerable; a higher return may be morally defensible if it reflects genuine risk-sharing, real labor, actual loss, or participation in an enterprise whose gains and losses are held in common. The moral issue is not simply how much is paid back but what the surplus payment means: compensation, restoration, payment for labor, reimbursement of real cost, a share in genuine risk — or a claim on another person’s future, secured by superior bargaining power and dressed up in the language of contract.

This is why the old doctrine of usury deserves to be recovered — not because every medieval conclusion can be imported unchanged into modern finance, and not because all lending for gain can be treated as morally identical. The tradition itself was subtler than that. It distinguished loans from partnerships, selling from lending, actual loss from imagined profit, risk genuinely borne from risk rhetorically invoked, and it developed a careful language for asking whether a payment beyond principal was truly external to the loan itself or simply usury under another name.

That language centered on what the scholastics called extrinsic titles.

An extrinsic title was a reason, standing outside the mere fact of the loan, that could justify receiving something more than the principal. The lender might suffer an actual loss. The borrower might fail to repay on time and cause damage. A merchant might forego a concrete and licit profit because his capital had been diverted. An investor might genuinely expose the principal itself to loss. In such cases the surplus payment was not supposed to be a reward for the bare passage of time; it was supposed to correspond to something real — loss, delay, labor, risk, or foregone use.

Four such titles stand at the center of this book: *poena conventionalis*, or *morae poena*,

the penalty for late payment, which repairs or penalizes a borrower's culpable delay — unless the penalty has been engineered in advance, so that “late payment” becomes merely disguised interest; *damnum emergens*, actual loss incurred, where compensation restores equality rather than creating profit; *lucrum cessans*, profit foregone, the most dangerous of the four because it stands so close to the modern concept of opportunity cost — read too broadly, it threatens to justify almost any return on money simply because money could have been used elsewhere; and *periculum sortis*, the risk of the principal, the title most relevant to the modern distinction between guaranteed debt and risk-bearing investment, because it asks whether capital is genuinely vulnerable with the enterprise or has protected itself while others absorb the downside.

These titles were not loopholes — not, at least, in their original moral purpose. They were tests: attempts to distinguish compensation from extraction, restitution from profit-taking, risk-sharing from domination, partnership from disguised debt; ways of asking whether a financial arrangement restored justice or violated it.

That distinction matters again because modern finance is full of arrangements that are legally valid but morally opaque. A venture capital fund may claim to be “risk capital” while using liquidation preferences, control rights, and exit pressure to shift much of the real burden onto founders, workers, customers, or mission. A private equity firm may speak the language of efficiency while loading an acquired company with debt, extracting fees, and leaving employees and creditors exposed. A lender may justify default interest as compensation while quietly benefiting from the borrower's distress. A fund may claim an opportunity cost because its capital could have earned a market return elsewhere, even if that return is abstract, speculative, or dependent on forms of extraction the investor has never morally examined. A platform company may raise capital to serve a public need, only to find its governance structure gradually bending the mission toward investor exit. The question in every case is not merely whether these structures are legal but whether they are just.

Medieval moral theology gives us tools for seeing what modern financial language often obscures. It forces us to ask who owns, who governs, who bears risk, who receives surplus, who can walk away, and who is trapped — whether capital has become a servant of life, work, and community, or has turned another person's need, labor, mission, or vulnerability into a source of guaranteed growth.

This is also why the doctrine of usury cannot be reduced to a simple condemnation of all finance. The tradition knew that economic life requires credit, trade, investment, partnership, labor, administration, risk, and trust, and it knew that not every surplus payment is unjust. A merchant may earn profit by serving a real need. A partner may share in gain because he also shares in loss. A lender may be compensated for actual damage. An institution may recover the real costs of administering charitable credit. Capital may serve.

But the tradition also knew that money has a peculiar power: it can detach claim from relationship, turn time into revenue, convert another person's need into a creditor's asset, hide domination beneath clean legal form, and make extraction appear neutral, mathematical, inevitable. That is why usury was treated not merely as an economic problem but as a moral and spiritual one. It concerned justice between persons, the meaning of property, the relation between law and conscience — whether economic exchange could remain ordered toward the common good, or would become a mechanism by which the strong extract from the weak.

The old language is foreign to us now: *mutuum*, *interesse*, *damnum emergens*, *lucrum cessans*, *periculum sortis*, *societas*, *foenus nauticum*. The terms can sound technical and remote. But behind them lies a surprisingly contemporary question: what kind of surplus can be

received without turning finance into extraction?

This book is an attempt to recover that question.

It begins before scholastic theology, in the ancient world of debt, grain, silver, pledges, servitude, and release. Ancient Near Eastern law already knew that debt could destabilize households and concentrate power. Scripture placed those concerns under covenantal judgment: one must not profit from the desperation of the poor, or keep a neighbor's cloak overnight, or harden one's heart before the Sabbath release, or allow debt to recreate slavery among God's people. Aristotle added a philosophical suspicion of money breeding money. Roman law supplied the technical category of the *mutuum*, the loan for consumption in which ownership passes to the borrower and only an equivalent must be returned.

Christian moral theology inherited all of these streams, and the result was not a simplistic hatred of commerce but a demanding moral anatomy of exchange. Aquinas asked what was being sold, who owned the money, whether the "use" of a consumable thing could be separated from the thing itself, and whether equality in commutative justice had been preserved. Later canonists, scholastics, Franciscans, Dominicans, Salamancans, Jesuits, and manualists extended, narrowed, stretched, and contested his conclusions as commerce became more complex.

The history is not tidy. Some theologians were stricter, others more permissive; some distinctions preserved the heart of the usury prohibition, others came close to dissolving it; some titles began as careful safeguards and later became tools that could justify what earlier thinkers had feared. The development of the extrinsic titles is therefore not a story of progress from primitive suspicion to modern sophistication but a story of moral pressure: the constant struggle to adapt justice to economic complexity without allowing complexity to become a hiding place for domination.

That is why this history matters now. We live in a world of extraordinary financial abstraction. Capital moves faster than communities can respond. Ownership is layered through funds, holding companies, preference stacks, debt instruments, derivatives, and governance rights. The people who bear the risk are often not the people who receive the upside; the people who build the enterprise may not control it; the people affected by the technology may not govern it; and the people whose labor and communities create the value may be paid last, while capital protects itself first.

In such a world, the old scholastic questions become newly sharp. Is a preferred return really compensation for risk, or is it priority extraction? Is a late fee truly a penalty for culpable delay, or a revenue model? Is a management fee reimbursement for labor, or a way to extract regardless of outcome? Is opportunity cost concrete and morally serious, or merely a theological-sounding justification for target returns? Is capital actually at risk, or has it structured the downside away from itself? Does the contract create partnership, or does it preserve creditor domination under the language of investment? These are not antiquarian questions. They belong to anyone trying to build financial structures that are patient, mission-locked, steward-owned, non-extractive, and ordered toward life.

The purpose of this book is therefore not to romanticize the Middle Ages but to retrieve a moral vocabulary that modern finance badly needs. The scholastic tradition does not give us a ready-made spreadsheet; it gives us something more important — a disciplined way of asking what a financial claim is really claiming, and whether that claim can be justified before God, neighbor, and justice.

The ancient doctrine of usury was never only about interest. It was about the moral form of capital. That is the problem hidden inside the old doctrine, and it is the problem this book will follow.

0.2 The Four Extrinsic Titles as a Moral Diagnostic System

The scholastic tradition did not ask only whether a lender received “more.” It asked why the lender received more, what the extra payment corresponded to, and whether that extra payment arose from the loan itself or from some external circumstance. That distinction is the key to the entire doctrine.

In a strict *mutuum*, the borrower receives ownership of a consumable or fungible thing — money, grain, wine, oil, seed, or some other good that is used by being consumed, spent, or alienated — and is obligated to return not the identical thing but an equivalent: the same quantity and the same quality. In the bare loan itself, the lender’s claim is to the principal. If the lender demands additional payment simply because time has passed, or simply because the borrower had the use of the money, the tradition identifies the surplus as usury.

But real economic life is rarely so simple. Lending can cause loss; repayment can be delayed; capital can be diverted from a concrete use. A funder can bear genuine risk. A charitable lending institution can incur labor and administrative expense. A merchant may hold not merely idle coin but capital already ordered toward trade. A partner may expose wealth to loss in a common enterprise. A creditor may be harmed by a borrower’s failure to repay when promised.

The scholastics therefore developed the language of extrinsic titles: reasons external to the *mutuum* itself that might justify receiving something above the principal. These titles were not supposed to make money fertile by magic, or to turn every loan into an income-producing asset, or to serve as pious labels pasted onto ordinary extraction. Properly understood, they were tests of justice — in their strict form, not exceptions that swallow the rule — and they asked whether the surplus payment corresponded to something real.

The four titles at the center of this book are *poena conventionalis*, *damnum emergens*, *lucrum cessans*, and *periculum sortis*. Each names a different kind of burden or disturbance in justice. Each can be legitimate under strict conditions. Each can also be abused.

Poena conventionalis / morae poena: The Penalty for Delay

The first title is *poena conventionalis*, also called *morae poena* when it concerns delay: an agreed penalty imposed when the borrower fails to repay on time.

The moral logic is initially straightforward. The loan itself remains gratuitous, and the borrower owes only the principal. But a borrower who fails to repay when promised has done something new. The delay may injure the lender, disrupt the lender’s own obligations, impose costs, or violate the agreement, and a penalty may therefore be attached — not to the loan itself, but to the borrower’s default. In its strict form the title does not say, “You used my money for six months, therefore you owe me more.” It says, “You promised to repay on this date. You culpably failed to do so. That failure caused harm or violated justice. Therefore a proportionate penalty may be owed.” The distinction is crucial: the penalty is a response to wrongful delay, not a price for time.

Yet this is also why the title was so easy to abuse. A contract could be written with an unrealistically short repayment period. The lender could expect the borrower to miss the deadline. The penalty could be set so high that default became profitable. The lender might secretly prefer late repayment, because late repayment produced the penalty — at which point the “penalty” is no longer truly penal at all; it is disguised interest.

The scholastic phrase *poena nec in fraudem* captures the issue beautifully: a penalty is acceptable only if it is not in fraud of the usury prohibition. The problem is never merely the legal wording of the clause but the moral structure of the transaction. Does the penalty

deter breach, restore equality, and compensate real harm — or does it create a revenue stream from the borrower's weakness?

In modern terms, this title asks hard questions about late fees, default interest, penalty clauses, cure periods, grace periods, and enforcement charges. Does the lender truly want repayment on time? Is the borrower realistically able to avoid the penalty? Is the amount proportionate to actual harm? Are hardship and impossibility considered? Is the penalty capped? Is it booked and understood as compensation, or as yield? The title is morally valid only when the lender would prefer not to receive it.

Damnum emergens: Actual Loss Incurred

The second title is *damnum emergens*, actual loss arising — the cleanest of the four, because its logic is fundamentally restorative. If the lender suffers a real loss because of the loan, the lender may be compensated for that loss. The payment is not profit but repair; it restores equality in commutative justice.

Aquinas gives the classic formulation when he says that a lender may, without sin, agree with the borrower on compensation for the loss he incurs, because this is not selling the use of money but avoiding a loss. The lender may be restored to the position he should have occupied; he may not enrich himself merely because he lent. The claim is never “my money should grow because I lent it,” but “because I lent, I suffered a real and specific loss, and justice permits that loss to be repaired.” Examples might include actual administrative costs, legal costs, collection costs, emergency losses caused by the unavailability of funds, or damage caused by delayed repayment. The title becomes morally suspect the moment such losses are fictionalized, inflated, generalized, or converted into a standing return.

And the danger is subtle. Once a category of “actual loss” exists, people can begin to redefine almost anything as loss. The inability to invest elsewhere becomes loss; the absence of liquidity becomes loss; a desired return becomes loss; a fund's target IRR becomes loss. At that point *damnum emergens* begins to slide into *lucrum cessans*, and then into a generalized claim that capital is entitled to be compensated for not growing.

The strict scholastic test is therefore demanding. The loss must be actual. It must be caused by the loan or by the borrower's conduct. It must be documented, or at least reasonably provable. It must be proportionate. It must not be double-counted under some other title. And it must restore equality rather than create gain.

In modern non-extractive finance, *damnum emergens* is indispensable. Real costs should be covered, and stewardship work should not be made impossible: administration, accounting, legal structure, due diligence, and monitoring all require labor, and a moral financial institution may need to be sustainable. But sustainability is not the same as extraction, and cost recovery must remain cost recovery — it must not quietly become a disguised return to capital. The title stays honest as long as the governing question is “What did this actually cost?” — and turns dangerous the moment the question becomes “What return did we want?”

Lucrum cessans: Foregone Profit

The third title is *lucrum cessans*, the gain that ceases — the most controversial of the four, because it stands close to the modern idea of opportunity cost. The basic claim runs: the lender was using, or preparing to use, the money in a concrete and licit profit-making activity; by lending the money instead, that profit ceased; the lender therefore asks to be compensated for the gain that was lost.

In its strict and defensible form, the title is not abstract. The claim it makes is not that

money can always earn something somewhere, so that every loan deserves a return; the claim is that this particular capital was already ordered toward a concrete, licit, reasonably probable use, that lending interrupted the use, and that the foregone gain was real enough to be morally considered.

That is why Aquinas is cautious. He accepts compensation for actual loss, but he resists compensation merely for profit not made, because the lender would be selling what he does not yet have. The profit might never have materialized. It might have been prevented by many causes. To charge for it in advance risks turning possibility into property. Later scholastics gradually softened this position in concrete commercial cases: a merchant's money is not necessarily idle — it may be already committed to trade; a stock of grain may have a predictable future value; a sum of money may be part of a real business plan. If lending interrupts that plan, the lost gain begins to look more like a real detriment than a mere fantasy.

But this is precisely where the danger lies. Once one admits foregone profit, the title can expand without limit. Every investor can claim that capital could have been deployed elsewhere; every lender can point to a benchmark; every fund can invoke its hurdle rate; every financial actor can say, "We gave up return, therefore we are owed return." The scholastic tradition never fully resolves this tension. Instead, it disciplines the title with conditions. The alternative use must be concrete. The gain must be licit. The lender must really have intended, or been positioned, to pursue it. The loan must truly cause the gain to cease. The amount must be proportionate. The compensation must not be deducted upfront in a way that disguises the true principal. And the title must not become universal.

For modern finance, this title is perhaps the most tempting and the most dangerous. Much of contemporary investment theory is built around opportunity cost: capital is assumed to deserve a return because it could always be doing something else. The scholastic question is sharper. What else, exactly? Was the alternative real? Was it moral? Was it available? Was it intended? Was the expected gain reasonably certain? Or is "opportunity cost" merely a sophisticated way of saying that capital must never serve without being paid? A non-extractive financial system cannot ignore opportunity cost, but it cannot absolutize it either; the mere fact that money could have been used elsewhere does not prove that every borrower must pay tribute to that possibility. The title is morally valid when capital gives up a real, concrete, licit path — and extractive when capital treats every imaginable alternative as a debt owed by the borrower.

Periculum sortis: Risk of Capital

The fourth title is *periculum sortis*, the risk of the principal — the most structurally important of the four, because it asks not only what happened around the loan but what kind of financial relationship exists in the first place.

In a strict *mutuum*, the lender gives ownership of the money to the borrower and receives a claim to repayment. The borrower bears the ordinary risk of using the money: if he makes a profit, the profit belongs to him; if his use goes badly, he still owes repayment. The lender's capital is legally protected by the claim. In a partnership or genuinely risk-bearing investment, the situation is different. The capital is exposed. The investor may lose. The return is not simply demanded from the borrower regardless of outcome; it is connected to participation in the enterprise. The funder shares in the upside because the funder also shares in the downside.

This is the moral intuition behind *periculum sortis*. The claim is not that all lending is risky and all interest therefore justified, but that where capital is genuinely exposed to loss, compensation for bearing that risk may be morally different from usury.

The difference matters. If the principal is guaranteed, collateralized, senior, insured, personally guaranteed, or otherwise protected — so that the borrower, worker, founder, or community bears the real downside — then the title is weak or false. The lender may speak of risk, but the structure says otherwise: the capital is not truly vulnerable with the enterprise. If, however, the capital can actually be lost — if it is subordinated, patient, contingent, loss-absorbing, or otherwise exposed to the same fate as the project — then surplus may correspond to genuine participation rather than extraction. This gives the scholastic tradition a surprisingly modern lens. It asks about downside allocation: who is protected and who is exposed, whether capital shares the vulnerability of the enterprise or merely purchases a claim against it, whether the investor is a partner or a creditor.

Yet *periculum sortis* also carries a serious danger. Every loan has some risk of nonpayment, and if ordinary default risk were enough to justify a premium, the usury prohibition would collapse. The mere possibility that a borrower might fail cannot automatically sanctify interest. The risk must be real, substantial, borne by the lender, and proportionately priced — and it must not be double-counted through fees, penalties, control rights, liquidation preferences, and senior claims.

For modern non-extractive finance, this title is essential. It asks whether capital is genuinely at risk with the people and the mission it finances; whether capital is patient enough to absorb loss, or demands protection while others carry the fragility; whether the legal structure of an investment corresponds to the moral language of partnership. The title is morally valid when capital is truly vulnerable — and extractive when capital invokes risk while shifting the real downside onto others.

The Titles as a System

Taken together, the four titles form a moral diagnostic system. They do not merely ask whether there was interest. They ask whether there was a real loss, a wrongful delay, a concrete foregone gain, a genuine risk to principal, labor or expense. They ask whether the amount was proportionate and the title documented; whether the borrower was vulnerable; whether the lender was restored or enriched; whether risk was shared or shifted; whether the surplus was external to the loan or arose from the loan itself; and whether the title was real, or merely a disguise. Beneath them all runs the same question: is the surplus payment tied to a real external burden, or merely to bargaining power?

Each title can serve justice, and each can become a mask. A late-payment penalty can restore discipline, or become a revenue model. Actual loss can be repaired, or inflated. Foregone profit can be real, or dissolve into abstract opportunity cost. Risk can be genuinely borne, or invoked by capital that has carefully protected itself.

This is why the history of the extrinsic titles is not a story of loopholes but a story of moral discernment under economic pressure. The scholastics were trying to preserve the prohibition against usury while recognizing that economic life includes real costs, real losses, real risks, and real obligations. They were trying to prevent charity from becoming financially impossible without allowing finance to become predatory — to distinguish the lender who is harmed from the lender who extracts, the partner who shares risk from the creditor who dominates, the institution that recovers costs from the institution that monetizes dependency.

That distinction remains urgent. Modern finance often treats surplus as self-justifying: capital has a cost, risk has a price, time has value, liquidity has value, opportunity has value. These claims are not always false. But they are morally incomplete, and the scholastic tradition asks the next questions: whose time, whose risk, whose opportunity, whose loss, whose vulnerability, whose life?

The four extrinsic titles force capital to explain itself. They do not permit capital simply to say, “I could have earned more elsewhere.” They require capital to say: “Here is the real loss, the real risk, the real labor, the real foregone use — and here is why this payment restores justice rather than extracts from need.” That is why they matter now. They offer a grammar for distinguishing capital that serves life from capital that feeds on life.

0.3 How This Book Is Structured

This book follows the doctrine of usury backward and forward at the same time.

It moves backward because the scholastic doctrine cannot be understood if we begin with medieval technical vocabulary. The words *mutuum*, *interesse*, *damnum emergens*, *lucrum cessans*, and *periculum sortis* appear late in the story; the human problem behind them is much older. Before there were scholastic titles, there were debtors and creditors. Before there were canonists classifying contracts, there were grain loans, silver loans, pledges, harvest failures, family land, debt bondage, and royal proclamations of release. Before theologians asked whether the lender could sell the use of money, Scripture had already asked whether a poor neighbor’s cloak could be kept overnight.

And it moves forward because those ancient and medieval questions have not disappeared. They reappear wherever finance claims a right to surplus — wherever a lender charges penalties, an investor claims opportunity cost, capital calls itself “risk-bearing” while protecting itself from actual loss, or mission, labor, founders, communities, and the poor bear the downside while capital captures the upside.

The purpose of the structure is therefore diagnostic, not merely historical. Each part of the book adds another layer to the same central question: when does finance restore justice, and when does it extract from life?

Part I begins in the ancient world, with debt before the Christian doctrine of usury and even before the Roman legal category of the *mutuum*. Ancient Near Eastern law already knew the power of loans to support households or destroy them. Grain and silver could be lent, interest charged, pledges taken; children, land, labor, and freedom could become entangled in repayment, and debt could become a path into dependency. This is why ancient rulers sometimes proclaimed debt release. Those proclamations were not sentimental gestures but acts of social repair: they recognized that, left unchecked, creditor claims could destabilize households, concentrate land, and produce forms of servitude incompatible with political order.

From there, the book turns to Scripture. The Hebrew Bible does not speak in the language of Roman contract law; it does not define the *mutuum*, and it does not distinguish formally between *damnum emergens* and *lucrum cessans*. But it gives the moral grammar without which later Christian theology cannot be understood: lending to the poor must not become profit from distress; the cloak taken in pledge must be returned; no increase may be taken from the vulnerable brother; Sabbath release and Jubilee are instituted; and debt is treated not merely as a private contract but as a spiritual and social relation ordered before God. This opening part establishes the deepest moral context of the book. Debt is never merely technical. It always concerns persons, households, land, vulnerability, power, and the possibility of release.

Part II introduces the legal form that will become central to Christian usury doctrine: the *mutuum*. Here the story becomes more precise. In Roman law, a *mutuum* is a loan for consumption: one person transfers ownership of a fungible good — money, grain, wine, oil, silver, gold — to another, and the borrower must return not the identical thing but an equivalent amount of the same kind and quality. The thing lent becomes his; the lender re-

ceives a claim to repayment. This legal structure changes the moral question. If ownership passes to the borrower, the lender no longer owns the money. If the money is consumable in use, its “use” cannot be separated from the thing itself. And if the lender nevertheless charges for the use of the money while also demanding the return of the principal, he appears to charge twice: once for the thing, and again for the use of the thing. This is the Roman legal anatomy that Aquinas later transforms into moral theology. Part II also distinguishes the *mutuum* from related forms — *commodatum*, *depositum*, *locatio-conductio*, *societas*, the *commenda*, and the *foenus nauticum* or sea loan — because not every financial arrangement is a loan. A partnership is not a *mutuum*. A risk-bearing maritime investment is not the same as a guaranteed repayment claim. An administrative charge is not necessarily profit. A contract’s legal form may reveal its moral form, or conceal it.

Part III turns to Thomas Aquinas — not as the inventor of the whole doctrine, but as the thinker who gives it its most influential theological architecture. His treatment of usury belongs inside his broader account of justice: the relevant texts form a cluster in the *Secunda Secundae* — justice in general, commutative justice, restitution, buying and selling, just price, and usury — and the book reads them in sequence.

It begins with commutative justice in *Summa Theologiae* II-II, q.61, where Aquinas distinguishes distributive justice, which concerns proportional allocation within a community, from commutative justice, which concerns equality between persons in exchange, injury, repayment, and restitution. Usury is a problem of commutative justice because it concerns whether one person takes more than justice permits from another. It then examines restitution in q.62 — important because the extrinsic titles are all, in different ways, claims about restoring equality: if the lender suffers a loss, if a borrower delays payment, if a future gain is interrupted, if capital is exposed to loss, the moral question becomes whether a surplus payment repairs a disturbance in justice or creates a new one. Next comes just price in q.77, where Aquinas asks whether one may sell a thing for more than it is worth, whether defects must be revealed, and whether merchants may sell for more than they paid — a discussion that shows him thinking about exchange, value, owner-specific loss, and morally permissible gain. Finally the book examines usury in q.78, where Aquinas gives the classic account: in a *mutuum*, the lender may not demand payment for the use of money, because the use of consumable money is not separable from the money itself. Yet he also recognizes that compensation may be owed for actual loss, and that partnership differs from lending because the investor may share risk. These small openings become decisive for later development. Part III therefore establishes Aquinas as both strict and subtle: he rejects usury but not every surplus payment; he condemns selling the use of money in a *mutuum* but allows compensation for real loss and profit-sharing in genuine partnership. Later theologians will build, stretch, and contest these distinctions.

Part IV presents the extrinsic titles directly, treated as this preface has treated them: not as loopholes but as moral tests, each asking whether a surplus payment corresponds to a real circumstance external to the bare loan. This part introduces the four central titles — *poena conventionalis* / *morae poena*, the penalty for late payment; *damnum emergens*, actual loss incurred; *lucrum cessans*, profit foregone; *periculum sortis*, risk of the principal — together with the adjacent categories: *stipendium laboris*, compensation for labor; expense reimbursement; *carentia pecuniae*, the lack or absence of money; and insurance-like compensation for assuming risk. It is the conceptual hinge of the book: everything before it prepares the moral and legal grammar, and everything after it traces the titles in detail.

Part V follows *poena conventionalis*, the penalty for delay. The title begins not as a theological invention but as a legal penalty clause: a borrower promises to repay on a certain date, and if he fails, a penalty may be imposed — the loan remains formally gratuitous while the penalty arises from default. But the title is morally unstable from the begin-

ning. A lender can manipulate the due date, expect default, or set the penalty so high that late payment becomes profitable; a penalty can be called a penalty while functioning as interest. This part follows the title through Robert of Courçon, Raymond of Peñafort, Hostiensis, Aquinas, Duns Scotus, Bernardino of Siena, Sant'Antonino of Florence, Salamanca, Molina, Lessius, and Alphonsus Liguori, and shows how the tradition gradually develops its anti-abuse logic: a penalty is legitimate only if it is truly penal, proportionate, avoidable, and not in fraud of the usury prohibition. The modern question becomes: when is a late fee actually compensation, and when is it a revenue model?

Part VI follows *damnum emergens*, actual loss incurred — the cleanest title, because its logic is restorative. If the lender suffers a real loss because of the loan, the lender may be compensated; the payment does not reward capital but repairs damage and restores equality. This part begins with *interesse*, the older legal concept of compensation for loss, and follows the title through canon law, Hostiensis, Aquinas, late medieval development, Cajetan, Salamanca, Molina, Lessius, Lugo, Benedict XIV, and Alphonsus Liguori. Aquinas's formula is central: compensation for loss is not selling the use of money, but avoiding loss. Yet the title becomes more difficult as commercial life grows more complex. What counts as actual loss? Legal costs? Emergency liquidity harm? Administrative expense? Lost ability to meet one's own obligations? The title is safe only when the loss is real, causal, documented, and proportionate. The modern question becomes: when is cost recovery genuine, and when does "cost" become a disguised target return?

Part VII follows *lucrum cessans*, foregone profit — the most controversial title. Aquinas resists it because the lender would be selling what he does not yet have: a future profit may never materialize, and to charge for it risks turning possibility into property. Yet later theologians recognize that not all foregone gain is imaginary. A merchant's capital may already be ordered toward trade; a good may have a concrete future value; lending may interrupt a real and licit profit-making activity. In such cases, foregone gain begins to look like a compensable detriment. This part follows the title through Gregory IX's *Naviganti*, Raymond of Peñafort, Hostiensis, Aquinas, Peter John Olivi, Sant'Antonino, Bernardino, Cajetan, Conrad Summenhart, Domingo de Soto, Martín de Azpilcueta / Navarrus, Molina, Lessius, Lugo, and Alphonsus. The title's danger is that it can expand into universal opportunity cost: if every lender can say that capital could have earned elsewhere, then every borrower owes tribute to hypothetical alternatives. The scholastic tradition tries to prevent this by requiring a concrete alternative use, licit gain, real intention, causality, and proportionate valuation. The modern question becomes: when is opportunity cost morally real, and when is it simply capital demanding payment for not being somewhere else?

Part VIII follows *periculum sortis*, risk of the principal — the title that concerns the structure of the transaction itself. It asks whether the capital is genuinely exposed to loss. If the lender's principal is protected, guaranteed, collateralized, senior, or enforceable regardless of outcome, the lender is not truly sharing the enterprise's downside; but if the funder can actually lose the principal, then compensation for risk may be morally different from usury. This part begins with the prehistory of risk-bearing contracts — *societas*, *commenda*, *foenus nauticum*, insurance-like arrangements, and exchange contracts — then turns to Aquinas's distinction between *mutuum* and partnership, Alexander of Alexandria's early formulation in the *Tractatus de Usuris*, late medieval hesitation, Medina, Juan de la Peña, Salamanca, Molina, Lessius, Lugo, and the later rigorist backlash represented by Daniele Concina. The title's danger is that every loan has some risk; if ordinary default risk were enough, the doctrine would collapse, and the tradition therefore struggles to distinguish genuine capital exposure from generic lending risk. The modern question becomes: when does capital truly bear downside, and when does it use the language of risk while shifting loss onto others?

Part IX turns to practical institutions and adjacent titles. The Monti di Pietà are central here: Franciscan-inspired charitable lending institutions created to protect the poor from predatory lenders, which nevertheless required buildings, staff, records, administration, and enforcement. Could they charge enough to cover costs without becoming usurious? The debates around the Monti show that the tradition was not opposed to institutional sustainability — it insisted only that sustainability remain ordered toward service rather than profit. This part also examines *stipendium laboris*, compensation for labor; administrative expense; the Fifth Lateran Council's approval of the Monti; and the role of Bernardino and Antonino in practical moral finance. It then turns to *carentia pecuniae*, the absence or lack of money, especially in Lessius — a title that approaches the modern concept of a liquidity premium or term compensation, and that drew Lugo's important criticism: if absence of money alone justifies payment, then almost no contract remains usurious. Finally, this part looks at exchange, bills, public debt, and disguised loans, asking how theologians classified contracts when finance became more complex than a simple loan.

Part X gathers the historical figures and modern scholars who help reconstruct the story. It follows the movement from early canonists and confessors — Robert of Courçon, Raymond of Peñafort, Hostiensis — through Aquinas, Duns Scotus, Peter John Olivi, Alexander of Alexandria, Bernardino, Antonino, Summenhart, Cajetan, Soto, Navarrus, Medina, Juan de la Peña, Molina, Lessius, Lugo, Benedict XIV, Alphonsus, and Concina. It then turns to modern scholarship: David Graeber, Michael Hudson, John T. Noonan, Odd Langholm, Giacomo Todeschini, Raymond de Roover, Fabio Monsalve, Wim Decock, André Lapidus, John Munro, and Pierre Januard. The purpose is not merely bibliographic; each scholar illuminates a different layer: Graeber and Hudson on ancient debt and release, Noonan and Langholm on scholastic usury, Todeschini on Franciscan economic thought, de Roover on exchange and late medieval commerce, Monsalve on the late Spanish scholastics and the extrinsic titles, Decock on Lessius and contract law, Lapidus on information and risk, Munro on economic history, and Januard on Aquinas and risk. This part shows that the book is not built on a single narrative source but is a synthesis across legal history, theology, economic history, biblical studies, and moral philosophy.

Part XI steps back from the chronology and asks what the doctrine means as a system. The four titles are compared directly, each placed on a spectrum from concrete to abstract, from past loss to future possibility, from event-based compensation to structural risk-sharing — and each shown to have a legitimate form and an abusive form. A late-payment penalty can be discipline or revenue; actual loss can be compensation or fiction; foregone profit can be concrete or imaginary; risk can be borne or merely invoked. The moral difference lies not in the label but in the structure. This part then distinguishes compensation from extraction: compensation restores equality, remains proportionate to real burden, and shares risk honestly; extraction uses another's need as opportunity, multiplies claims through complexity, and protects capital while exposing others. It also translates the old categories into modern capital structures. Debt often resembles a *mutuum*, because repayment is fixed and enforceable. Equity sometimes resembles a *societas*, but not always: venture capital may be formally risk-bearing while practically extractive through preferences, control rights, and exit pressure, and private equity may use debt to shift downside while extracting fees. Opportunity cost may become a universalized *lucrum cessans*; a risk premium may become a hollow *periculum sortis* if capital is protected from actual loss. This part supplies the conceptual bridge from scholastic doctrine to non-extractive finance.

Part XII applies the historical theology to modern financial design. It begins by asking how to audit a modern contract scholastically. What is the legal form? What is the moral form? Who owns the capital? Who governs? Who bears risk? What justifies surplus?

Which title is invoked? Is it documented? Is it proportionate? Is it double-counted? Is the borrower vulnerable? Does the structure create partnership or domination? It then translates each title into a modern diagnostic tool: *poena conventionalis* becomes a test for late fees and default interest; *damnum emergens* a test for cost recovery and documented loss; *lucrum cessans* a test for opportunity cost and foregone alternatives; *periculum sortis* a test for risk-bearing, subordination, and loss absorption; *stipendium laboris* a test for management fees and stewardship labor; *carantia pecuniae* a warning about liquidity premiums and the monetization of time. This part also introduces the idea of a moral-finance simulator: a way of making assumptions explicit, classifying surplus claims, testing risk allocation, modeling downside, and identifying extraction geometries. It connects scholastic moral theology to modern accounting, dashboard design, Exact Online exports, auditability, related-party payments, mission drift, and governance countermeasures. The point is not to reduce theology to code but to show that moral reasoning can become operational: if finance has dashboards for yield, risk, and liquidity, it can also have dashboards for justice, vulnerability, loss allocation, and extraction.

Part XIII returns to the book's central claim. The old doctrine does not teach that every surplus is unjust; it teaches that surplus must explain itself — must show whether it arises from restoration, participation, labor, cost, or genuine risk, and that it is not merely a claim on another's need. Nor does the doctrine teach that legal permission is enough. A contract may be valid and still morally disordered. A return may be market-standard and still extractive. A risk premium may be mathematically sophisticated and still shift real loss onto the vulnerable. A mission-driven fund may still drift toward the logic of capital unless its governance, accounting, and return structures are disciplined. The conclusion therefore argues for a renewed moral economy: one in which capital is structured to serve work, community, mission, technology, stewardship, and life. The old scholastic question becomes the modern one: Who owns? Who governs? Who bears risk? Who receives surplus? Who can lose everything? Who is protected? Who is served?

This book is an attempt to recover the discipline of asking those questions carefully. It is a call not to abandon finance but to convert it. Capital can serve: it can build, sustain, repair, steward, and protect. It can also dominate, extract, and hide its claims behind necessity. The tradition of usury, rightly understood, helps us tell the difference. That is why the history matters. The past rarely gives us answers we can use as they stand; what it gives us is sharper questions, and moral economy begins there.

PART I

**Before the Mutuum: Debt, Slavery, and Release
Before Scholastic Theology**

Debt Before Money: The Ancient Near Eastern Background

1.1 Loans before modern markets

Before there were banks, bonds, venture funds, interest-rate models, collateral packages, credit scores, or central banks, there was debt. It is one of the oldest recorded social facts of civilization, appearing wherever human beings live with harvests, households, obligations, scarcity, surplus, memory, and time. Someone has grain now; someone else needs grain before the next harvest. Someone has silver; someone else has an obligation to settle. Someone has seed; someone else needs to plant. Someone has livestock, tools, oil, or food; someone else has a family to keep alive, a field to cultivate, a tax to pay, a ritual obligation to fulfill, or a debt already coming due. Long before debt became a matter of financial markets, it was a matter of survival.

The modern imagination tends to begin elsewhere — with the market: individuals meeting as free and equal exchangers, each bringing property to the transaction, bargaining by preference, accepting or rejecting a contract. In that world, debt is one financial instrument among others, a voluntary exchange of present money for future money priced by time, risk, inflation, and opportunity cost. But the story does not begin there. The oldest world of debt is not autonomous investors seeking yield; it is households trying to survive the distance between need and provision — seedtime and harvest, hunger and storage, drought and tax, obligation and dependence. A loan there is not yet an abstract claim on discounted cash flows. It is a social relation stretched across time.

That does not make ancient lending innocent or purely charitable. Far from it. Ancient societies knew interest, collateral, pledges, merchants, contracts, and creditor enforcement. They knew loans could be profitable, that debt could create hierarchy, and that one person's emergency could become another person's opportunity. But they also knew something modern finance often forgets: debt is never merely mathematical; it binds people.

The simplest ancient loans were loans of consumables — grain, silver, oil, seed, food. Borrowing a cloak, a plow, or an animal means returning the identical thing; these were loans of things consumed, planted, spent, mixed, eaten, or exchanged, so the borrower returned not the same grain or the same pieces of silver but an equivalent amount later. The structure should already sound familiar. It is not yet the Roman *mutuum*, but materially it is moving in the same world: a fungible thing is transferred, used by being consumed or alienated, and an equivalent is owed later. The legal word comes later; the human pattern comes first.

So a farmer borrowed seed grain before planting and repaid grain after harvest; a household borrowed food during scarcity and repaid when the stores were full; a merchant received silver and returned silver after trade; a tenant or smallholder borrowed to meet obligations to palace, temple, landlord, or tax collector; a family pledged land, tools,

animals, or even the labor of household members as security.

These were not marginal practices; they belong to the structure of early agrarian civilization. Agriculture itself creates temporal vulnerability. The need to eat is daily, but the harvest comes once a season; taxes fall due at fixed times whether the crop was good or bad; and a flood, a drought, an illness, a pest, a war, or a failed harvest can turn a self-sufficient household into a dependent one very quickly. The distance between today's need and tomorrow's possible repayment is the space in which debt arises.

That is why ancient debt was so closely tied to time — not time as an abstract financial input but time as waiting: for rain, for harvest, for a caravan to return, for a debtor to recover, for a household to regain its balance. A loan bridged time. The bridge could become a trap.

If the harvest succeeded, the loan could be repaid. If it failed, the debt rolled forward. Interest accumulated; collateral could be seized; land could pass out of the household. A child could be pledged. A wife, a son, a daughter, or the debtor himself could enter service. What began as help across a season could become dependency across generations. This is the recurring danger at the root of the entire history of usury: the conversion of temporary need into permanent subordination.

The ancient world saw the danger with remarkable clarity. Its laws often accepted interest-bearing debt but limited creditor power — regulating pledges, addressing crop failure, specifying what could and could not be taken, sometimes punishing abusive creditors. Most dramatically, rulers sometimes proclaimed debt cancellations, wiping away certain debts and restoring persons or property. These releases were not simply private mercy; they were political and social maintenance. Where too many households lost land, labor, and freedom to creditors, society grew unstable; concentrated claims could fracture the social body; and if the obligations of debt overwhelmed the obligations of kinship, worship, land tenure, and subsistence, the whole order could begin to break.

This is one reason the story of usury must begin before the scholastics. Medieval theologians inherited not only biblical prohibitions and Roman legal forms but an ancient social memory: debt can become domination — swallowing households, turning neighbors into masters and dependents, converting need into a machine for accumulation.

The modern financial world often hides all this beneath abstraction. We speak of credit allocation, yield, risk-adjusted return, liquidity, leverage, and debt service — terms that describe real things but can conceal the older reality: someone owes, someone can demand, someone can enforce; someone can wait and someone cannot; someone can walk away and someone cannot. Ancient debt made the asymmetry visible. It was written on land, harvests, bodies, and households, and the creditor's claim was not merely a line in a spreadsheet. It could become a claim on the debtor's future, labor, family, and freedom.

None of this means every creditor was cruel, every debtor innocent, or every loan exploitative. Ancient economies needed credit: households needed ways to survive bad seasons, merchants needed capital, temples and palaces needed accounting, communities needed ways of sharing resources across time. Debt could be useful, even necessary. And precisely because it was necessary, it was dangerous. A society cannot abolish dependence, need, risk, seasonality, or time — but neither can it allow those realities to become unlimited instruments of extraction.

The whole later doctrine of usury grows inside this tension. Lending can serve life: it can bridge hardship, allow planting, trade, repair, recovery, and survival; it can be an act of solidarity across time. And lending can feed on life: it can exploit hunger, bad harvests, social obligation, and desperation; it can make the poor pay for being poor, and turn the uncertainty of the vulnerable into the security of the creditor.

The scholastics will eventually build technical distinctions for navigating that tension.

They will ask whether a contract is a *mutuum* or a partnership, and whether payment above principal comes from the loan itself or from an extrinsic title; they will distinguish actual loss from foregone gain, penalty from interest, risk-sharing from guaranteed repayment, using words like *damnum emergens*, *lucrum cessans*, and *periculum sortis*. But before all of that there is the simple ancient scene: a person in need receives something consumable from someone who has enough to lend, and promises to return an equivalent later. Everything depends on what happens next. Does the loan help restore the borrower to life, or does it give the lender a claim that grows stronger as the borrower grows weaker? That is the first moral question of debt.

1.2 Hammurabi and the regulation of creditor power

The ancient world did not wait for philosophers or theologians to discover that debt could become dangerous. Long before the scholastics debated compensation for loss, foregone profit, delay, or risk, lawgivers were regulating the relation between debtor and creditor.

One of the most famous witnesses is the Code of Hammurabi, from the eighteenth century before Christ. Hammurabi ruled Babylon from about 1792 to 1750 BC, and his laws survive on a pillar of polished black stone just over seven feet tall — diorite or basalt, depending on which specialist you ask; the argument has now run for more than a century. The stone has had an eventful afterlife: an Elamite king, Shutruk-Nahhunte, hauled it to Susa as war plunder in the twelfth century BC; French archaeologists dug it up there in the winter of 1901–02; today it stands in the Louvre, the clearest surviving example of an ancient society ordering economic life through public rules. The Code is not a modern statute book, nor a systematic civil code in the contemporary sense. But it reveals a world in which lending, borrowing, pledging, repayment, interest, crop failure, and creditor misconduct were already central enough to require legal attention.

For the history of usury, the lesson is that the basic problem is not medieval, and not specifically Christian, but civilizational. A household needs grain; a cultivator needs seed; a merchant needs silver. A borrower promises repayment, and a lender wants assurance. A crop may fail, a debtor may default, a creditor may overreach, a pledge may be abused — and the lender's claim may become a claim not only on goods but on labor, children, land, and freedom. Hammurabi's world knows all of this.

The Code regulates loans of silver and grain, the two basic media of ancient credit — silver as unit of value and medium for obligations, grain as part of the agricultural cycle of subsistence, seed, harvest, and tax. Both could be lent, repaid with increase, and turned into instruments of dependence.

The very presence of such rules tells us something simple but profound: ancient societies did not regard credit as morally self-regulating. A creditor's claim was not automatically just because it had been contracted, nor a bargain sacred simply because it had been made; lending creates power, and power must be limited. The Code even set ceilings on increase — a fifth on silver, a third on barley — and a lender who took more than the law allowed forfeited what he had lent.

Beyond rates, the Code addresses the practical fabric of the credit relation: a borrower who cannot repay in one form but can repay in another; the taking and handling of pledges; disputes over repayment; consequences for creditors who manipulate terms or extract more than is permitted. It also faces agricultural risk directly. The forty-eighth law provides that if a storm flooded a man's field, or the harvest failed, or the grain did not grow for want of water, he owed his creditor nothing that year: he "washed" his debt-tablet — the record was clay, and could be dissolved — and no interest ran while the fields were

bare.

That provision is already a primitive version of a question that will later become central to Christian moral theology: who should bear the risk when reality does not unfold as expected? If a man borrowed seed and the harvest failed through no fault of his own, should the lender's claim stand unchanged and the interest go on accumulating? Should the creditor be entitled to treat every failure as the borrower's responsibility? Should a household lose land, labor, or children because rain did not fall? Ancient law did not always answer in ways a modern reader would find merciful. But it saw the questions, and that alone matters.

The crop-failure provisions show that debt was already understood as embedded in contingency. Repayment was never merely a matter of moral will; it depended on weather, harvest, animals, labor, household health, political demands, and the larger agricultural economy. A debt contract might be fixed, but the world into which it was written was not. Here is one of the oldest cracks in the idea of absolute creditor right: a claim enforced without regard to reality can become unjust. Law must ask not only what was promised, but what happened, who bore the risk, and whether enforcement would destroy the very household whose productivity made repayment possible in the first place.

Pledges carry the same moral weight. A pledge is not repayment but security — something the creditor can hold, seize, or use if the debtor fails — and it is charged territory because pledges come out of the debtor's sphere of life: tools, animals, land rights, household goods, and sometimes family members or their labor. A pledge can reassure the lender. It can also intensify domination. The Code's one hundred seventeenth law governed the hardest case in plain terms: a man overwhelmed by debt might give his wife, his son, or his daughter into service in the creditor's house — but for three years only. In the fourth year they went free.

The later biblical law about returning a poor man's cloak before nightfall belongs to this same moral universe. The cloak may be collateral, but it is also the poor man's covering — not merely an asset but part of his survival. Seen only as security, collateral yields a simple creditor's logic: take whatever secures repayment. Seen as bound up with life, it forces a different question: what may a creditor hold without violating the debtor's dignity? Hammurabi's world does not yet give the biblical answer. But it shows that ancient law already understood the need to regulate the creditor's hand.

Then there is interest itself, which the ancient world had in abundance. Its existence did not make all increase morally unproblematic. Rates could be customary, capped, regulated, or contested, and a lender who exceeded agreed or lawful terms could be punished; ancient economic life already distinguished permitted from abusive increase. The later Christian tradition will draw the line differently — asking whether any gain from a *mutuum* is licit at all, then developing extrinsic titles to distinguish compensation from usury. Hammurabi's law does not do this; it permits forms of interest that later Christian theologians would question. But it shares one important assumption: creditor power cannot be unlimited. Debt creates a legal relation, and law must judge the relation.

This is why Hammurabi belongs in the prehistory of the usury doctrine — not because Babylonian law contains Christian theology in embryo, and not because it anticipates the scholastic distinction between intrinsic and extrinsic titles. It does not; its moral universe, theology, politics, and social order are not those of Israel, the Church, or the medieval universities. What it shows is the ancient architecture of the problem: fungible loans and repayment with increase, pledges and defaults, crop failure and creditor abuse, legal intervention, and, underneath everything, anxiety about households falling under the weight of debt. These are the raw materials out of which later moral theology will build.

The Code is also a reminder that the problem of usury is never only about money. It

is about the relation between fixed claims and fragile life. A creditor's claim is written as a certainty — repay this amount by this date — but the borrower's world is not certain. Harvests fail, children fall ill, animals die, floods come, trade routes close, taxes rise, labor disappears, need arrives before income. Finance turns the future into an obligation; life turns it into a risk. When the two meet, law must decide whether obligation will bend to life or life will be broken by obligation. Hammurabi's laws are one early attempt to keep the creditor's claim from becoming socially destructive — partial, hierarchical, bound to the assumptions of its time, but real. The regulation of debt belongs to the foundations of civilization.

For this book, Hammurabi matters because he stands at one end of a very long arc: at this end, ancient rules about grain, silver, pledges, and crop failure; at the other, scholastic debates about the *mutuum*, just price, risk, loss, and foregone profit; between them, Scripture's insistence that debt must not recreate slavery among God's people. The line is not direct, but the concern is continuous: debt must be governed because creditor power can exceed justice, limited because human need can be monetized, and judged because a contract can be formally valid and socially destructive. The later Christian doctrine will sharpen that judgment, asking not only whether the creditor obeyed the rules but whether the surplus itself is justified — the lender restored or enriched, risk shared or shifted, a penalty repairing injustice or disguising yield, a foregone gain real or imaginary, capital serving life or feeding on distress. But Hammurabi shows that the first question is older still: how do we stop debt from turning need into domination?

1.3 Debt cancellation and the "clean slate"

Regulation was not the ancient world's only answer to creditor power. Sometimes the problem grew too large for ordinary rules — the accumulated claims of creditors threatened households, villages, temples, palaces, fields, and labor itself — and then ancient societies turned to a more dramatic remedy: debt cancellation.

Modern people tend to hear "debt cancellation" as a radical invention, an ideological interruption of the normal workings of economic life. In the ancient Near East, proclamations of release belonged to the ordinary political and moral vocabulary of kingship. A ruler could proclaim a restoration — a release, a return to order. Certain debts were wiped away; persons held in debt-servitude were released; land or family rights were restored; the social field was cleared so that the community did not collapse under the accumulated weight of claims.

The practice was already old when Babylon took it up. The earliest cancellation on record was proclaimed by Enmetena, ruler of the Sumerian city of Lagash, around 2400 BC; his inscription says that he "restored the child to its mother, and the mother to her child," and canceled the interest owed. The Sumerian word for such an act was *ama-gi* — literally "return to the mother," because it restored people to their families. The Akkadian-speaking world called the release *andurārum*, and the kings of Babylon proclaimed it in edicts of *mīšarum*, "justice" or "equity." Scholars have counted roughly thirty general cancellations in Mesopotamia between about 2400 and 1400 BC. Whatever else these proclamations were, they were not improvisations.

The idea is sometimes described as a clean slate. The phrase is modern, but it names an ancient recognition: debt, allowed to compound indefinitely, can become socially destructive — at some point, enforcing every claim no longer preserves order but destroys the very households and productive relationships on which order depends.

A debt system can become self-consuming. Creditors accumulate claims; debtors lose

land, labor, and freedom; families slide into dependency. Productive smallholders become tenants, servants, or runaways; fields are abandoned; military obligations weaken; tax capacity declines. The palace itself may suffer if too much of the population falls under private creditor control. What begins as private contract becomes public danger, and debt cancellation was one way ancient rulers reasserted the primacy of the social order over accumulated private claims.

None of this requires romanticizing ancient kings. The proclamations were not necessarily democratic, egalitarian, or even compassionate: a new king might proclaim release to secure loyalty, stabilize his reign, restore soldiers and cultivators to their households, or break the power of local creditors, and release could serve the palace as much as the poor. It is morally significant all the same, because it reveals that ancient societies understood something modern finance often resists: creditor claims are not absolute. They exist inside a social order that can judge them.

The best-preserved example is the Edict of Ammisaduqa, from the second millennium before Christ. Ammisaduqa was Hammurabi's great-great-grandson, and on taking the throne of Babylon around 1646 BC he proclaimed a *mīšarum* — the only such edict whose text survives nearly complete. Like other Mesopotamian release edicts, it did not abolish every obligation. Commercial debts between merchants might be treated differently from subsistence debts; certain obligations remained. The point was not to erase economic life but to restore social balance where debt had become destructive.

Ancient cancellation, in other words, was not a blanket refusal of repayment but a selective intervention into debt relations that threatened the social body, differentiating between kinds of debt, creditor, debtor, and social harm. The clean slate was already a moral classification system. It asked what kind of debt this was: commercial credit between parties able to bear the risk, or a subsistence loan to a household in distress? An obligation to the palace, or a private claim that had swallowed a family's land or labor? Debt that preserved exchange, or debt that was dissolving the community? These questions will reappear later in a very different language — whether a contract is a *mutuum* or a *societas*, whether surplus arises from the loan itself or from an extrinsic title, whether the lender is compensated for loss or enriched by need. But the deeper pattern is already visible: debt must be morally classified, because not all claims are equal.

The clean slate also reveals a profound tension between memory and mercy. Debt depends on memory: someone must remember what was given, when, to whom, under what terms, and what must be returned. Accounting is structured memory; a debt record says that this obligation persists across time, that the past has a claim on the future. Release interrupts that memory — not denying that the debt existed, not pretending nothing was owed, but declaring that the claim's continuation now threatens a greater good. The memory remains, but its enforceability is ended; the debtor is no longer bound; the future is reopened.

This is why debt cancellation has always had spiritual resonance: it is not only an economic act but a liberation from a binding past, a declaration that a person, a family, a community is not reducible to the obligation that has come to define them — that life must be able to begin again. And this is why the biblical Jubilee tradition will later carry such enormous theological power. Jubilee is not simply an economic policy. It is a vision of time redeemed from accumulation, a refusal to let debt become destiny, a proclamation that land, labor, family, and worship ultimately belong to God, not to the creditor's ledger.

But before Jubilee appears in Israel's Scripture, something like the problem is already present in Mesopotamia. The ancient world already knows that debts can become too heavy to carry, that households can be lost, that servitude can arise through obligation rather than conquest, and that the law's ordinary enforcement may not be enough. Some-

times justice requires not only payment, but release.

The clean slate therefore belongs to the deep prehistory of moral economy: the question of debt is not only what was promised, but what happens if every promise is enforced without mercy. Here lies one of the great differences between a merely contractual view of debt and a moral-theological one. The contractual view begins and ends with consent and enforcement: Did the borrower agree? Was the contract valid? Has payment come due? What remedies are available? The moral-theological view asks more. What was the borrower's condition, and was the agreement made under distress? What kind of life does enforcement leave behind? Does the debt preserve order or destroy it — does repayment restore justice or deepen domination? Is the creditor's claim still ordered toward the common good, or has it become an idol?

Ancient cancellation also forces us to see that credit is political. A creditor class can accumulate not only money but power over land, labor, and governance; if too many families fall into dependency, the political community itself changes, and debt becomes a mechanism of social reorganization. We like to imagine debt and investment today as private arrangements between consenting parties; in fact, large-scale debt structures determine who owns housing, who controls companies, who governs infrastructure, who captures technological value, who bears ecological risk, and who can survive a downturn. Private claims reorder public life, and societies have always had to ask whether creditor claims serve the whole or gradually consume it.

Which is not to say that cancellation is always just. A society cannot function if every obligation is meaningless: trust requires memory, credit requires some expectation of repayment, and promises matter. The lender's position matters too — especially when the lender is not a predatory elite but another household, a community institution, or a steward of entrusted resources. Debt release must itself be governed by justice. But the opposite error is the more common one in financial societies: treating repayment as absolute while treating the borrower's life as secondary. The clean slate is a refusal of that absolutism. It says that debt is real but not ultimate, that claims are binding but not divine, and that the ledger — necessary as it is — must answer, in the end, to life.

This insight will become central to the Christian tradition, whose very language of redemption is entangled with debt, bondage, ransom, and release. To be redeemed is to be freed from a binding claim. To forgive a debt is not merely to adjust a balance sheet; it is to release a person from a future controlled by the past. This is why Jesus can teach his disciples to pray for the forgiveness of debts. The metaphor works because debt is not merely financial. It is existential: the condition of being bound, answerable, exposed, unable to free oneself by one's own resources.

The scholastic doctrine of usury will not simply repeat the clean slate. Medieval theologians will not argue that all debts should be canceled; they will develop a far more precise analysis of contracts, ownership, use, risk, loss, price, and restitution, asking when surplus is unjust, when compensation is permitted, when risk-sharing is real, and when legal form disguises moral disorder. But the ancient clean slate remains in the background as a warning: a debt system that cannot release becomes a system that cannot forgive, a system that cannot forgive eventually forgets what human beings are for, and a financial system that has forgotten what human beings are for will turn every future into collateral. The clean slate was the ancient world's way of declaring that it must not be so — its answer to the danger that creditor claims might become stronger than households, than land, than kinship, than worship, than the community's ability to begin again.

In the long history of moral economy, then, debt cancellation is not an anomaly. It is one of the first signs that debt belongs under judgment. Not every debt should be canceled, not every creditor is unjust, and not every borrower is oppressed — but no creditor's claim is

beyond moral examination. That is the lesson that passes from ancient Mesopotamia into biblical Jubilee, and from biblical Jubilee into the Christian suspicion of usury. Debt may be necessary; credit may serve life. But when debt becomes a mechanism for permanent domination, justice must find a way to say: enough. The slate must sometimes be cleared so that life can continue.

1.4 Michael Hudson and the lost tradition of debt release

The modern recovery of ancient debt cancellation owes much to the economist Michael Hudson, who has argued for decades — most fully in *...and forgive them their debts* (2018) — that the earliest economies cannot be understood through the lens of modern market individualism. Ancient debt, in Hudson's telling, was not simply a private arrangement between two autonomous parties. It was embedded in the structure of land tenure, labor obligations, temple and palace administration, taxation, military service, and household survival: to understand the debt, you must understand the whole social order around it.

Hudson's central claim is that ancient Near Eastern societies developed a tradition of periodic debt release because they recognized the danger of allowing creditor claims to accumulate without limit. If debts were enforced indefinitely, cultivators could lose their land, families could lose members to debt service, and local communities could become dependent on private creditors. This was not only a moral problem but a political and economic one. A king needed free cultivators, functioning households, taxable production, and men for his army; if too much of society fell into debt bondage or dependency, the ruler's own base of power was weakened.

Debt release, in Hudson's account, was therefore not an accidental kindness but a structural feature of early statecraft. The ruler periodically restored balance by annulling certain personal debts, liberating debt-servants, and returning families to the land or status they needed in order to function. These acts were not usually directed at all debts without distinction: they focused on the agrarian, personal, and subsistence debts that threatened household viability, while commercial obligations among merchants might be treated differently. The aim was not to abolish credit but to prevent credit from devouring the social order.

Debt release, Hudson shows, is therefore not peripheral to moral economy; it is one of its oldest institutions. Where the modern assumption treats cancellation as an exceptional interruption of normal economic life, Hudson reverses the picture: in the ancient Near East, the unlimited enforcement of creditor claims was the danger, and release was how rulers restored a viable order. To modern ears, cancellation sounds like disorder; in the ancient context, it could be precisely the restoration of order.

Hence the phrase "lost tradition." Modern societies, Hudson argues, have largely forgotten that early civilizations treated debt as something requiring periodic political and moral reset. We have inherited the ledger, but not the release. We have kept the idea that obligations continue across time, and lost the idea that time itself may need to be redeemed from accumulated claims.

This is why Hudson matters so much for the biblical Jubilee. The Jubilee tradition in Leviticus, he argues, does not emerge from nowhere. It stands within a broader ancient Near Eastern world of debt release, restoration, and liberation from servitude — indeed, the Hebrew word for the release Leviticus proclaims, *derôr*, is cognate with the Akkadian *andurārum*. But the biblical tradition transforms that world theologically. What was sometimes a royal act of political restoration becomes, in Israel, a covenantal command under the sovereignty of God. The land is not ultimately the creditor's; the people are not ulti-

mately the creditor's; time itself is not ultimately the creditor's. The land belongs to God, and the people are not to be permanently enslaved by one another. That transformation is decisive: in Mesopotamia the king proclaims release, while in Leviticus the rhythm of release is rooted in divine ownership and covenantal order. The point is no longer only that society needs periodic reset; it is that no human creditor has an ultimate claim over what belongs to God.

Here is one of the deep roots of the later Christian suspicion of usury: the problem is not only that the rate may be too high, but that a creditor's claim can become totalizing — extending across time, gathering increase, absorbing labor, seizing pledges, transforming need into dependence. If no higher law interrupts it, the debt becomes a kind of false sovereignty, saying to the debtor: your future belongs to this claim. Debt release says otherwise.

Hudson also restores the material and institutional background of that claim. Debt is not merely a metaphor; before it becomes a spiritual image, it is a social reality. People actually lost land and liberty; families surrendered labor; fields passed from one household to another; the poor became dependent on the wealthy. The language of release is rooted in these concrete realities, and that keeps us from spiritualizing the tradition too quickly. When Scripture speaks of release, redemption, slavery, debt, and forgiveness, it speaks from a world where debt could bind bodies, households, fields, and futures. To forgive a debt was not to improve someone's emotional state; it could mean restoring a family to its place in the community, freeing labor, preventing the permanent alienation of land, undoing a chain of dependency before it hardened into a new social order.

This world also clarifies the difference between debt as obligation and debt as domination. Every society needs obligations: promises matter, trust matters, credit can be necessary, repayment can be just. Debt becomes domination when the obligation no longer serves life, order, or mutual responsibility, and instead becomes a mechanism by which the creditor accumulates control over the debtor's future. The ancient clean slate was a way of interrupting that transformation.

All of this bears directly on the scholastic doctrine of usury. The scholastics will later ask whether a lender may receive more than principal from a *mutuum* — a question that can sound technical, even narrow. Behind it lies the same ancient concern. If money can automatically generate more money simply because it has been lent, then debt grows by its own internal logic: the creditor's claim becomes productive, the debtor's vulnerability becomes the soil in which that productivity grows, and the future is gradually colonized by the past. The extrinsic titles can be understood as an attempt to prevent that automatic growth while still allowing legitimate compensation. A lender may be compensated for actual loss; a borrower may owe a penalty for wrongful delay; a merchant may, in some cases, be compensated for a concrete foregone gain; an investor may share profit if capital is genuinely at risk. But the surplus must be justified. It cannot arise merely because the creditor's claim persists through time.

If creditor claims grow automatically, they eventually outgrow the social body. If every unpaid obligation compounds and no release is possible, the ledger becomes more powerful than the household, and the formal logic of repayment becomes materially destructive. Ancient societies saw this; biblical law theologized it; the Christian usury tradition tried to discipline it.

Modern finance has largely normalized what ancient societies feared: the endless extension and multiplication of claims. Mortgage debt, student debt, sovereign debt, leveraged buyouts, rolling credit, distressed debt, venture preferences, compounding obligations — all create futures already claimed by the past. Some of these obligations may be legitimate; some finance real goods — homes, educations, companies, public infrastruc-

ture, innovation. But the old question remains: when do claims become too strong for life? Hudson's answer is that ancient civilizations knew debt needed periodic subordination to social restoration. The institutional form cannot simply be copied — a Bronze Age royal edict is not a modern policy template — but the principle matters: no debt system is just if it lacks mechanisms of release, reset, mercy, and restoration.

The principle also challenges the modern idea that the sanctity of contract is the highest economic good. Contracts matter, but they are not absolute — ancient rulers knew it, biblical law knew it, Christian theology knew it. A contract is a moral instrument inside a larger order, and if it destroys the conditions of life, it has exceeded its proper place.

The scholastic doctrine of usury can therefore be read as one part of a much longer tradition of limiting creditor sovereignty. The ancient clean slate limits accumulated debt; the biblical Jubilee limits permanent alienation and bondage; the usury prohibition limits gain from the bare loan; the extrinsic titles limit the exceptions themselves, by requiring real loss, real delay, real foregone gain, or real risk. Each layer says, in its own way: the creditor's claim is not God. Debt release is ultimately about lordship — who has final claim over time, land, labor, and life? If the creditor's claim is ultimate, the debtor's future belongs to the creditor. If God's claim is ultimate, the creditor's claim must be limited by justice, mercy, and the common good.

Hudson does not write as a scholastic theologian; his work is historical and economic. But it helps recover the ancient world in which the biblical and later Christian traditions make sense — why Scripture treats debt as spiritually dangerous, why redemption is not merely a metaphor, why a society that cannot release debt may become captive to its own accounting. His importance for this book does not lie in technical doctrine: he does not give us Aquinas's distinction between *mutuum* and *societas*, or the development of *damnum emergens*, *lucrum cessans*, *poena conventionalis*, and *periculum sortis*; those belong to later legal and theological traditions. What he gives us is the civilizational background — the long memory that debt can become socially unbearable, that creditor claims can swallow households, and that justice sometimes requires release.

That memory is indispensable. Without it, the usury doctrine can look like a narrow medieval anxiety about money. With it, the doctrine appears as part of a much larger question — how can economic life remain ordered toward life rather than accumulation? — running from the clean slate through Jubilee to Aquinas, who will say that one may not sell the use of money in a *mutuum* as if money's use were separable from the money itself; to the extrinsic titles, which will demand that surplus be justified by something real; to non-extractive finance, which asks whether capital can once again be placed under these disciplines. Hudson helps us recover the first movement in that long moral arc: the recognition that debt, left to itself, does not merely record obligations. It reorganizes the world. And if debt can reorganize the world, then debt must be judged by something higher than itself.

1.5 David Graeber's contribution

If Michael Hudson helps recover the ancient institutional practice of debt release, David Graeber helps recover the anthropological strangeness of debt itself.

Graeber's *Debt: The First 5,000 Years* (2011) is not a technical work of scholastic theology, Roman law, or medieval canon law. It does not explain the distinction between *mutuum* and *societas*, or reconstruct the development of *damnum emergens*, *lucrum cessans*, *poena conventionalis*, and *periculum sortis*, or give us Aquinas's argument about consumable goods, ownership, and the sale of use. What it gives us is a wide-angle view of debt as

one of the oldest and most morally charged of human relationships.

His central provocation is that modern people tell the story of economic life backward. The story we all learned runs: first people bartered goods, then invented money to ease the barter, and only later developed credit. Graeber argues that this sequence is largely mythical. In many ancient economies, systems of credit, obligation, account, and social memory existed long before coinage became central. The bookkeepers of the Mesopotamian temples and palaces reckoned in silver by weight and barley by measure — units of account, not pocket change — and were recording interest-bearing loans some eighteen centuries before anyone struck the first true coins, in Lydia around 600 BC. Money, in its earliest forms, was often not a pile of coins changing hands in spot transactions but a way of measuring obligations over time.

This changes how we understand debt. If money begins in barter, debt looks like a later financial instrument added to an existing market. If credit and obligation come first, debt is not an exception to economic life but one of its foundations — part of the way human beings remember, measure, moralize, and enforce what they owe one another.

Graeber is especially attentive to the moral language of debt. Debt is never merely quantitative; it is entangled with guilt, obligation, honor, violence, reciprocity, hierarchy, and religion. To say “I owe you” is not only to state an accounting fact. It describes a relationship. A debt can express trust, gratitude, dependence, domination, or subjection; it can be a promise between friends, an obligation to a ruler, a record in a temple ledger, a tax liability, a ransom, a moral burden, or a chain.

This is why Graeber is useful for a book on usury: usury is not only about charging too much but about what happens when a relation of obligation is quantified, hardened, and enforced in a way that allows one party to command another’s future. A favor can be repaid in many ways; a gift may create gratitude without exact calculation; a relationship of mutual aid can remain open-ended. A debt fixes the relation. It gives it a number — how much, by when, and under what consequence. That precision can be useful. It can also become violent.

Graeber’s great insight is that debt transforms moral relation into measurable obligation, and measurable obligation into enforceable power. The transformation is not always wrong; societies need ways to keep promises, settle accounts, allocate resources, and remember obligations. But once the debt is quantified, it can be detached from the fullness of the relationship. A person becomes a debtor; a neighbor becomes an account; a past act becomes a claim; a living future becomes a schedule of repayment.

This is precisely the danger the later theological traditions will try to discipline. The biblical tradition insists that the poor borrower remains a brother, not merely a debtor; that the cloak remains a covering, not merely collateral; that the land remains God’s, not merely an asset. The seventh year interrupts the creditor’s claim; Jubilee interrupts permanent alienation; the Lord hears the cry of the poor, even when the contract is technically valid. The scholastics will later ask the same kind of question in a different vocabulary: whether the lender’s surplus claim is truly justified — compensation for loss, penalty for wrongful delay, concrete foregone gain, genuine risk-sharing — or whether a moral relation has been reduced to an enforceable claim that grows simply because time has passed.

Graeber also helps recover the link between debt and violence. Debt may appear peaceful because it is contractual. But behind many debt systems lies coercion: the possibility of seizure, imprisonment, dispossession, enslavement, exclusion, or force. A debtor who cannot repay does not merely disappoint a creditor. He may lose land, labor, status, family members, or freedom, and the creditor’s claim is backed by a social order willing to enforce it.

Modern finance, by contrast, often presents itself as abstract and bloodless. Obligations

appear as numbers and enforcement as process: collateral is seized, assets are liquidated, covenants are triggered, equity is diluted, defaults are accelerated, control rights are exercised. The mechanisms look technical, almost automatic. Beneath them lies the old question of force: what can one person or institution make another person or community do because a debt exists? Graeber's anthropology makes that question visible again.

He also connects debt with slavery, ransom, sacrifice, and redemption — and these are not incidental associations. In many cultures, debt becomes a way of thinking about human life itself: what one owes to parents, gods, ancestors, rulers, creditors, victims, benefactors, or society. Religious language borrows from debt because debt names the condition of being bound by an obligation one cannot simply ignore. This helps explain why biblical and Christian traditions speak so readily of forgiveness, redemption, ransom, and release. These are not decorative metaphors placed on top of economic life; they arise from a world in which debt, bondage, liberation, and divine mercy were deeply intertwined. To forgive a debt is to release someone from an enforceable claim; to redeem is to free someone from bondage or alienation; to ransom is to satisfy a claim that holds someone captive; to proclaim release is to interrupt a future that has been captured by the past. Graeber helps modern readers feel the weight of those words again.

At the same time, Graeber must be used carefully. His book is broad, provocative, and sometimes sweeping — no substitute for the technical historians of usury, the Roman lawyers, the canonists, or the scholastic commentators. One should not rely on it to explain Aquinas's *Summa Theologiae*, Hostiensis's exception lists, Lugo's conditions for *lucrum cessans*, or Lessius's treatment of *periculum sortis*; his scale is too large and his method too anthropological for that. But that is also his strength. He prevents the doctrine of usury from shrinking into a narrow technical debate, because he reminds us that debt is one of the fundamental moral technologies of human civilization.

A technology, after all, is not only a machine; it is a way of organizing power, and debt organizes power across time. It allows the present to claim the future, one person's past provision to become another's future obligation, memory to become accounting, and accounting to become enforcement. This can be good. A promise kept across time is a beautiful thing; credit can be an act of trust; a loan can preserve a household; an investment can build a common enterprise; a debt can reflect real responsibility. But debt can also become the mechanism by which the future is pre-owned. Before the harvest grows, it is owed. Before the company succeeds, its upside has been allocated; before the worker's labor bears fruit, it has been pledged; before the community benefits, the creditor has been paid; before the mission matures, the exit has been planned.

This is why the anthropology of debt belongs at the beginning of a book on non-extractive finance. The problem is not only bad interest rates. It is the deeper structure by which claims become detached from relationship, quantified beyond mercy, and enforced without regard to the life they shape.

Graeber also challenges the modern moralization of debt repayment. Contemporary societies often treat repayment as a supreme moral duty while treating the creation of unjust debt as merely a private business decision. The debtor is morally scrutinized — did she borrow responsibly, did he repay, did they default — while the creditor's side receives far less attention: Was the loan just? Was the borrower vulnerable? Was repayment realistic, the rate exploitative, the collateral necessary? Was the contract designed to be repaid, or to produce dependency? The scholastic tradition, at its best, also scrutinizes the creditor; that is one of its great gifts. It asks not only whether the debtor pays but whether the creditor may demand — not only whether the contract is enforceable but whether the surplus is just, and whether the lender is selling what cannot be sold, charging for what is not owned, pricing what is not separable, or profiting from what should have been given in

charity. Graeber widens the moral horizon around those questions: debt is never only private, belonging as it does to the anthropology of obligation, the history of violence, the rise of states, the formation of markets, and the religious imagination of guilt and forgiveness.

For this book, Graeber is most useful in three ways. First, he dismantles the myth that markets begin in barter and that debt is a later complication — which keeps us from treating debt as merely a technical feature of advanced finance, when it belongs to the earliest layers of economic life. Second, he shows that debt is a moral relation before it is a financial instrument. To owe is to be bound, and the question is whether that bond is just, life-giving, reciprocal, and limited, or coercive, extractive, and totalizing. Third, he connects debt to the language of release, forgiveness, and redemption — and the Christian doctrine of usury cannot be understood apart from that broader theology of bondage and liberation. The problem of usury is not merely that money grows. It is that money's growth can bind persons, households, and communities in ways contrary to justice and mercy.

Graeber therefore belongs near the beginning of the story, not the end. He does not tell us how to classify a late-payment penalty or how to distinguish *damnum emergens* from *lucrum cessans*; he does not solve the technical questions. He teaches us why the technical questions matter. The scholastic titles are precise instruments, and Graeber gives us the landscape in which those instruments must be used. Without the technical tradition, his story remains too broad for institutional design; without his anthropology, the technical tradition becomes too narrow for moral imagination. Together, they help us see that debt is both concrete and symbolic, legal and spiritual, mathematical and relational — a number written into a life, a promise that can serve trust or become a chain, a memory that can preserve justice or prevent a future from opening.

The Christian doctrine of usury enters this ancient and anthropological field with a severe demand: the creditor's claim must be justified. It must answer not only to contract, but to justice; not only to calculation, but to the neighbor; not only to the market, but to God. That is why Graeber matters here. He helps us remember that debt is never merely owed. It is always also judged.

CHAPTER 2

Scripture and the Moral Grammar of Debt

2.1 The Bible before Roman law

The Bible does not begin with Roman contract law. It never defines the *mutuum*, never distinguishes it from *commodatum*, *societas*, *depositum*, or *locatio-conductio*, never asks whether the use of a consumable good can be separated from the good itself, and develops none of the later scholastic vocabulary of *interesse*, *damnum emergens*, *lucrum cessans*, *poena conventionalis*, or *periculum sortis*. Those words come later. They belong to Roman law, canon law, and the medieval university, and they are precise and necessary — but they are not where the moral story begins.

Scripture begins somewhere more concrete: with a poor neighbor who needs money. A cloak taken in pledge. A field that must not be permanently alienated. A seventh year when debts are released, a Jubilee when land returns. A prophet condemning those who take interest and profit from the vulnerable, a community commanded not to harden its heart when lending becomes inconvenient, and a God who hears the cry of the poor when the creditor is holding what the debtor needs to survive.

In Scripture, debt is never merely a private financial technique. It belongs to the moral order of a people redeemed from slavery — and that is the decisive difference. The biblical laws about lending, interest, pledges, release, and Jubilee do not emerge from an abstract theory of money. They emerge from the memory of Exodus. Israel had been slaves in Egypt. Israel knew what it meant to labor under another's command, what it meant for life, work, bodies, children, and time to be claimed by a power that was not God. Therefore Israel must not recreate Egypt inside the covenant community. That is the deep biblical grammar underneath the later Christian suspicion of usury. The problem is not yet the Aristotelian one, that money unnaturally breeds money — that formulation comes later, and it will matter. The biblical problem is more existential: debt can become a way of re-enslaving the people whom God has freed.

A loan may begin as help. It may be necessary; it may preserve life. But if the lender turns another's need into increase, if the creditor takes what the debtor needs to survive, if the borrower's weakness becomes the lender's gain, then the debt relation has become a contradiction of covenant. It has made the neighbor's distress fruitful for the creditor. That is why the biblical texts are so stubbornly concrete. They do not speak first of capital markets or theoretical interest. They speak of the poor, the brother, the cloak, the field, the hired worker, the widow, the orphan, the stranger, the harvest, the Sabbath, and the land — because debt touches the conditions of life, and so must be treated as a moral relation.

None of this means Scripture hands us a simple, uniform financial code. The material is complex. Exodus, Leviticus, Deuteronomy, the Prophets, Psalms, Proverbs, and the long history of Jewish interpretation do not all speak in one register: some texts focus on lending to the poor, some prohibit interest within the covenant community, some distinguish the brother from the foreigner, some emphasize release, and some condemn creditor

oppression as one strand in a broader pattern of injustice. The tradition will not reduce to a single sentence. But four themes are unmistakable.

First, the borrower remains a person within a moral community. He may be poor, vulnerable, and dependent, but he is still a neighbor, a brother, a member of the people before God — never reducible to the obligation. The debt does not erase the relationship, and the claim does not erase the covenant.

Second, the creditor's rights are real but limited. Scripture does not deny that repayment matters, does not romanticize default, does not declare all debt meaningless. What it refuses is absolute creditor power. The cloak must be returned. The poor must be supported. The hand must remain open. Release must come. The land must not be permanently lost. The creditor's claim must answer to God.

Third, debt is judged by its effect on life: whether it helps the poor neighbor live or profits from his weakness, restores the household or strips it, preserves the community or fractures it, honors the God who liberated slaves or reproduces slavery by contract.

Fourth, time itself is placed under divine discipline. The seventh year interrupts debt; Jubilee interrupts accumulation; Sabbath interrupts endless production. The future cannot be completely mortgaged to the past, because time belongs to God. No creditor may own the future absolutely.

These themes flow into Christian theology through several channels. The Fathers will condemn usury as exploitation of need and a violation of charity. Canon law will formalize prohibitions and penalties. The scholastics will bring Scripture into conversation with Aristotle and Roman law; Aquinas will ask whether the lender may sell the use of money in a *mutuum*; later thinkers will ask whether real loss, foregone gain, risk, or delay can justify a surplus payment. But the biblical foundation runs deeper than the technical structure built on it. The later scholastic question is whether the lender may receive more than principal. The biblical question underneath it is what kind of relation the lender has entered with the vulnerable neighbor.

This is why the biblical material cannot be filed away as background proof-texting. It supplies the moral atmosphere in which all later doctrine breathes. Without Scripture, the usury doctrine shrinks to a technical theory about money's sterility. With Scripture, it belongs to a larger theology of liberation, neighbor-love, justice, and the refusal of economic domination.

Scripture also blocks a purely individualistic reading of debt. Modern contract law tends to picture two private parties facing each other across a table. Scripture sees the debtor and creditor inside a people, a land, a covenant, and a divine economy, where the consequences of debt are never only private: they reach family inheritance, communal stability, worship, land tenure, and the witness of a people formed by God's mercy. The same is true now. A loan is rarely only a loan. A mortgage shapes a household; a student loan shapes a vocation; a leveraged buyout shapes workers and suppliers; venture capital shapes a company's governance and mission; sovereign debt shapes public policy; platform financing shapes digital infrastructure. Debt and investment create relations that spill far beyond the parties who sign. Scripture trains us to see those relations — to ask who is becoming dependent, who is being protected, who is gaining from whose distress, and whether the structure allows life to continue; to examine not only the explicit terms but the social meaning of the obligation; to remember that a contract can serve justice and can also become a mechanism of bondage.

That training runs on memory. Israel must remember that it was enslaved, that the land is gift, that God hears the cry of the poor, that liberation is not a past event only but a pattern to be embodied in law, lending, labor, and land. Forgetting produces extraction: the creditor who forgets the Exodus sees only the debt, while the creditor who remem-

bers the Exodus sees the person under the debt. That is the first scriptural conversion of economic imagination.

The biblical texts do not abolish lending. They do not eliminate obligation, repayment, discipline, or responsibility. What they do is place lending under the judgment of mercy — insisting that the creditor cannot hide behind the ledger, that the borrower's life matters more than the creditor's increase, and that the covenant community must be organized so that poverty never becomes an opportunity for profit.

Each stream of the coming history will add its part. Roman law will give the category; Aristotle, the philosophical suspicion of money breeding money; Aquinas, the theological synthesis; the extrinsic titles, a moral taxonomy for surplus. Scripture gives the wound the doctrine exists to protect: the neighbor whose need can be turned into gain. So when the later tradition asks whether a surplus payment is intrinsic or extrinsic to the loan, Scripture is asking whether the creditor has remained the kind of person who can hear the cry of the poor. When the tradition asks whether repayment above principal is justified by loss, risk, delay, or foregone profit, Scripture is asking whether the economic relation lets the poor neighbor live. When the tradition asks whether a title is genuine or fraudulent, Scripture is asking whether Israel has remembered that it was redeemed from slavery. These are not contradictions; they are a deepening. The technical questions are necessary because economic life is complex — and they must remain accountable to the biblical ones, or moral theology becomes a language for managing exceptions rather than a discipline of justice.

The Bible before Roman law, then, is not a primitive stage to be outgrown but the conscience of the whole inquiry. It tells us what is at stake before we learn how to classify the contract: not only whether the lender may receive more, but whether a people redeemed from bondage will organize its economic life as if liberation were true.

2.2 Exodus 22 - the poor borrower and the cloak at night

The first great biblical scene of debt is not a marketplace. It is nightfall.

A poor man has given his cloak as a pledge, and the creditor is holding it. Legally, perhaps, the creditor has a claim: the cloak secures repayment, stands in for the debtor's promise, gives the lender something to hold until the debt is satisfied. But Scripture does not allow the creditor to see only collateral. The law in Exodus says that if one lends money to the poor among God's people, one must not act toward him as a creditor who exacts interest; and if the borrower's cloak is taken in pledge, it must be returned before sunset, because the cloak may be his only covering, the garment in which he sleeps. If he cries out to God, God will hear, because God is compassionate.

This is one of the most important texts in the whole moral history of debt. The prohibition on interest arrives not as a theory about money but beside the image of a poor body at night without covering. The text forces the lender to see what the financial claim touches: the debt is not only a number, the pledge is not only security, and the borrower is not only a debtor. He is a human being who must sleep.

The cloak is therefore morally explosive. To the creditor it appears as an object — it has value, it can be held, it secures the transaction. To the poor man it is warmth, dignity, and survival. And the creditor's legal grip on it becomes unjust the moment it ignores what the cloak is for. Here is a principle the whole later tradition will need: the moral meaning of property cannot be determined by the creditor's claim alone; it must also be judged by the debtor's need. The same object looks different depending on where one stands. For the creditor, collateral; for the debtor, shelter; for God, the covering of a poor person whose cry matters more than the efficiency of enforcement. A pledge may be legally held and still

wrongfully retained. A contract may be valid and still unjust. A claim may be enforceable and still require restraint. A creditor may possess power and yet be commanded not to use it.

Notice what the law does not say. It does not forbid lending, or say the poor should never borrow, or deny that the lender has given something real and that repayment matters. It places lending inside a covenantal relation governed by compassion: no predatory posture toward the poor, no interest taken from distress, no security held in a way that deprives a person of what he needs to live. That last clause is the sharpest. The biblical prohibition is aimed not only at excessive gain but at a whole creditor imagination — the kind that sees the poor person's necessity as available for enforcement. The poor man's cloak is not one asset among others; it belongs to the minimum conditions of life. To keep it overnight is to declare, in effect: my claim may remain warm while you are cold. Scripture refuses this. It does not abolish the debt; it interrupts the creditor's possession. The claim is real, and it must bend before life.

That is the first lesson of Exodus for moral finance: a creditor's right is limited by the debtor's vulnerability. The justice of a credit relation can never be read off formal consent or contractual entitlement alone; it must also be assessed by the condition of the borrower and the nature of what is pledged, charged, seized, or withheld. If enforcement strips the debtor of what is necessary for life, the creditor's action becomes morally suspect even when it follows from the contract.

This is why the text appeals to God's hearing. The creditor may have the pledge, but the poor have access to God; the debtor may lack bargaining power, but not divine attention. The law places the creditor under the gaze of the One who hears the cry — and that hearing is not ornamental but the theological foundation of the command. God's compassion sets a limit on creditor power. The lender is not the highest authority in the transaction, the contract is not the final judge, and God hears what the ledger cannot hear.

The later doctrine will develop in a far more technical register, and it must never lose this scene. When Aquinas asks whether one may sell the use of money, when canonists distinguish *interesse* from usury, when later scholastics debate *damnum emergens*, *lucrum cessans*, *poena conventionalis*, and *periculum sortis*, they are working inside a tradition whose first concern is not finance in the abstract but the cry of the poor under creditor power. The cloak at night should haunt every technical distinction. It asks what the loan is doing to the borrower's life, what has been taken as security, what has been priced, what has been treated as available for extraction — and what the creditor knows but chooses not to see.

The cloak takes many modern forms. It may be a home pledged against a loan, or a founder's personal guarantee. It may be wages garnished from someone already unable to live, or essential equipment seized from a small business. It may be data, intellectual property, land, governance rights, or future revenue streams taken as collateral; a penalty that triggers exactly when the borrower is weakest; a repayment schedule that leaves no room for illness, caregiving, market shock, or failure; a liquidation preference that ensures capital is covered before workers, suppliers, or mission. The question stays the same: is the creditor holding the borrower's cloak overnight? And the question is not sentimental. It is a precise moral test — whether the enforcement of a claim deprives the borrower of the conditions of life, work, dignity, or recovery; whether the creditor's protection has become the debtor's exposure; whether security has become domination.

Exodus also explains why lending to the poor cannot be morally assimilated to ordinary investment. When someone borrows out of need, the positions differ: the borrower is not bargaining from strength, may accept terms because there is no alternative, and needs the loan not for expansion but for survival. To charge increase in that situation is to profit not from productive partnership but from distress. That is what the text means by refus-

ing to act as a moneylender toward the poor. The poor neighbor is not to be turned into an income source. Need is not to be harvested. The later scholastic distinction between lending to the poor and lending to merchants is rooted exactly here, and it is not arbitrary: a merchant seeking capital for trade and a poor person seeking money to survive are not in the same moral situation, any more than a business partner and a debtor in distress, or a risk-bearing investment and a pledge taken from need.

The Exodus command therefore yields a first principle for interpreting all the nuance to come: the more the loan arises from vulnerability, the more strictly the creditor's surplus claim must be judged. This does not make every commercial loan just or every subsistence loan unjust. It means need changes the moral atmosphere. Where the borrower is vulnerable, the lender's power is heightened, and therefore the lender's obligations are heightened.

Modern finance routinely runs the other way. The more vulnerable the borrower, the higher the rate; the weaker the credit profile, the more expensive the credit; the less collateral, the harsher the terms. Actuarially this is explicable as risk. Biblically it is dangerous, because the very condition that should summon mercy becomes the reason for greater extraction. The tension does not dissolve by invoking risk. Risk is real; loss matters; no lender can be asked to ignore the possibility of nonpayment. But Exodus insists that risk cannot be the only moral category. The poor borrower's condition matters. The cloak matters. The cry matters.

Each of the four titles, when they arrive, will have to pass under this discipline. *Periculum sortis*: risk to principal may matter, but when the borrower's vulnerability becomes the lender's justification for taking more, the biblical question returns — are you helping the poor live, or charging them for the danger of their poverty? *Poena conventionalis*: a late-payment penalty may be legitimate where delay is culpable and harmful, but a poor borrower's delay may arise from vulnerability rather than bad faith, and a penalty just between commercial equals can be oppressive imposed on someone struggling to survive; the cloak must still come back at night. *Damnum emergens*: the lender's actual loss may be real, but if recovering it requires stripping the borrower of necessities, justice has not been restored — a narrow arithmetic equality can conceal a deeper relational injustice. *Lucrum cessans*: a lender may claim foregone profit, but Exodus asks whether the poor man's need can be made to bear the cost of the lender's missed opportunity. The borrower's hunger cannot simply be priced against the lender's alternative return.

None of this settles every case. It does something more fundamental: it keeps the technical tradition from going morally blind. Exodus 22 makes us begin not with the lender's opportunity but with the borrower's condition — not with the yield but with the cloak, not with the enforceable claim but with the cry God hears. For a modern moral economy the text is indispensable, because it teaches that finance must be judged at the point where it touches vulnerability. The borrower agreed; the collateral was pledged; the rate reflects risk; the penalty was disclosed; the contract is enforceable. All of that may be true, and the cloak may still be in the creditor's house after sunset. The creditor must ask a different question: what am I holding that the borrower needs in order to live? The answer reaches past ancient garments into housing, healthcare, education, work, land, tools, digital infrastructure, governance rights, data, mission, and community life. Some cloaks are literal. Some are structural. Some are hidden in term sheets.

The command, in other words, is not an obsolete rule about ancient collateral but a permanent warning about the moral limits of security. A financial system that protects capital by exposing the vulnerable has kept the cloak overnight. A lender who profits from distress has acted as the moneylender Exodus forbids. A contract that ignores the cry of the poor has forgotten the God who hears. This is where the moral grammar of

debt begins: the person under obligation remains beloved, embodied, needy, and heard by God. The debt may be real, but it does not erase the debtor's humanity; the pledge may secure repayment, but it does not cease to be a cloak; the creditor may have a claim, but not a claim stronger than compassion.

The later tradition will give us technical language for all of this. Exodus gives us the image — a poor man shivering at night, a creditor holding his covering, a God who hears. Every doctrine of usury that forgets this scene has already lost its soul.

2.3 Leviticus 25 - letting the poor neighbor live

If Exodus gives us the image of the cloak at night, Leviticus gives us the covenantal structure that image belongs to. Leviticus 25 is one of the most important chapters in Scripture for any theology of debt, land, poverty, and release: the chapter of the Sabbath year and the Jubilee, of land returning, slaves freed, households restored, and Israel learning that economic life must be ordered by the fact that the land belongs to God. It is also the chapter that says, with devastating simplicity, that when a brother becomes poor and cannot maintain himself, the community must support him — so that he may live.

That phrase is the heart of the matter. The purpose of lending, support, and economic relation is not first of all the growth of capital — it is the life of the neighbor.

Leviticus imagines a covenant community in which poverty is not an opportunity for profit. If one's brother becomes poor, the response is not to turn his weakness into yield but to uphold him: take no interest or profit from him, but fear God, so that the brother may live beside you. The poor person is not an asset class. He is one who must be sustained in the community — and this is not vague benevolence but covenantal justice, arising from Israel's relation to God, the land, and each other. The poor brother belongs. His poverty does not remove him from the moral community, and his inability to maintain himself is no permission to reduce him to dependency. The stronger household must not treat the weaker household's crisis as an occasion for increase.

Leviticus thereby sharpens what Exodus showed. Exodus fixed on the immediate vulnerability — the cloak returned because the poor man needs it to sleep tonight. Leviticus widens the frame: the poor brother must be upheld so that he can continue to live within the community. The issue is no longer one night of cold but the preservation of a person's place, dignity, and capacity to remain among the people.

Debt threatens exactly that, because debt can move a person from membership toward subordination. The trajectory is familiar and gradual. A poor man borrows; the loan carries increase, so the debt grows; land or labor is pledged; the pledge is lost, and the household weakens further; the man who was a brother becomes a dependent, his family attached to another household's claim. The poor do not simply lack resources. They gradually lose standing. Leviticus refuses the whole trajectory: support before poverty becomes dispossession, prohibition of interest and profit at the point of vulnerability, economic restraint under the fear of God — the brother living beside you, not beneath you. And "beside you" is doing real work. The text does not merely command that the poor survive somewhere. It imagines continued proximity, continued membership, continued neighborliness: not expelled, not absorbed, not dominated, but with the people. The later tradition will say all this in the language of commutative justice, restitution, usury, and extrinsic titles. Leviticus says it more simply — take no increase from the poor brother; let him live beside you. The moral logic is not anti-economic; it is anti-extractive.

The text is unsentimental about distress. A brother may become poor; his hand may falter; this is neither romanticized nor blamed away as an individual failure that dissolves

communal obligation. The command is addressed to the one with capacity: the stronger party's duty is activated by the weaker party's need. That is a precise inversion of much modern credit logic, in which the borrower's weakness justifies harsher terms — less security, higher price; less collateral, higher rate; more distress, stronger control rights. The logic is actuarial: weakness creates risk, and risk requires compensation. Leviticus does not deny that weakness creates risk. It refuses to let risk be the only moral category. The poor brother's vulnerability creates not only risk for the lender but responsibility for the community, and the governing question is not how the stronger party gets compensated for exposure but how the weaker party continues to live.

This is where Leviticus disciplines the titles. *Periculum sortis*: a lender who may lose principal is not in the same position as one whose claim is guaranteed — but when the borrower is poor, the lender's risk cannot be read apart from the borrower's vulnerability, and the title of risk must not become a license to charge more precisely because the other person is fragile. Otherwise the poor person's danger becomes the lender's justification for gain. *Lucrum cessans*: a lender might say that helping this poor brother cost him a profitable opportunity elsewhere; perhaps, in later commercial settings, such a claim can be morally relevant, but Leviticus draws a severe boundary around it when the borrower is poor. The brother's need is not to be measured first against the lender's missed gain; the command is to uphold him so that he may live. *Damnum emergens*: actual loss can matter, and a community must take real cost seriously — but the logic of Leviticus is that the stronger party may sometimes be called to bear cost for the sake of the weaker party's life. Not every loss can automatically be shifted back to the poor. The duty to uphold the brother may require sacrifice.

Here the tradition meets its permanent tension between justice and charity. The extrinsic titles ask what may be claimed in justice; Scripture also asks what love may require one to forgo. A surplus claim can be technically defensible and still spiritually ungenerous, and Leviticus reminds the lender that the fear of God may demand more than arithmetic equality.

The Jubilee framework deepens everything. The land is not to be sold permanently, because the land belongs to God; Israel holds it as tenant and sojourner before the Lord. No human economic arrangement has ultimate ownership — land, labor, kinship, and time all sit under divine sovereignty. This matters for debt because debt is so often the mechanism of permanent alienation. A household falls into poverty and sells land; the Jubilee interrupts the permanence of the sale. A person falls into servitude; the Jubilee interrupts the permanence of the bondage. One generation's misfortune must not become an irreversible loss of inheritance for all the generations after it. In modern language, Leviticus resists the conversion of temporary distress into permanent structural disadvantage — an extraordinarily important principle, because debt does exactly that conversion with terrible efficiency. A failed harvest, a medical emergency, a downturn, a bad season can generate obligations that outlast the original problem by years or generations. Interest compounds; collateral is lost; ownership changes; control shifts; the household never quite recovers. Jubilee says the future must not be permanently owned by the creditor's memory of the past.

None of this turns Leviticus into an economic policy manual. The historical implementation of the Jubilee is debated, and the text belongs to Israel's covenantal imagination and law rather than to a modern state's financial regulations. But its theological logic is unmistakable: economic life must contain structures of return, release, and restoration, because a society ordered under God cannot let debt, poverty, and alienation harden without limit. The poor brother must live.

That phrase also corrects a narrow reading of usury as a question of pricing. The prob-

lem is never only whether the rate is too high. The problem is whether the entire relationship helps the neighbor live or pushes him toward dependency. A low rate can still be extractive if it rides on terms that strip agency, seize essential goods, or capture future labor; a zero-interest loan can still dominate if it is structured around coercive collateral, humiliating dependence, or control over the borrower's life. Conversely, cost recovery or risk-sharing may sometimes be legitimate, where it preserves a life-giving institution without exploiting the vulnerable. Leviticus asks for the deeper moral result: does the arrangement uphold the person, preserve his place in the community, keep him beside you — or does it turn his weakness into your advantage?

The implications for mission-driven finance are direct. A non-extractive fund cannot ask only whether its return sits below market rate. It must ask whether its structure enables the enterprise to live. Does repayment leave enough space for wages, resilience, reinvestment, mission, and community benefit? Does capital return only when the enterprise can bear it? Does the fund stand beside the entrepreneur, or above her? Does it preserve the mission's inheritance, or eventually claim it? Does the agreement prevent permanent alienation of the very thing it was meant to support?

Leviticus speaks to stewardship as well. If land in Israel is finally inalienable because it belongs to God, then ownership itself is relativized. The owner is not absolute master but steward; his rights are real but bounded, held within a divine economy that includes the poor, the family, the land, the Sabbath, and the future. This is not the same thing as modern steward ownership, but the resonance is strong: ownership must be structured so that mission, community, and inheritance cannot be permanently captured by private financial claim. The same goes for capital. Capital may be entrusted, deployed, and set to serve life — but when capital's claims become absolute, they begin to compete with God's claim, and Leviticus will not allow the competition. The land is God's. The people are God's. The poor brother's life is not available for extraction.

The command not to take interest or profit from the poor brother therefore belongs to an entire theology of limits — on ownership, on debt, on alienation, on labor exploitation, on the permanence of misfortune, on the power of the strong to turn another's weakness into gain. The limits are not arbitrary. They are the shape of a community that remembers God. And the chapter says so explicitly: the lender is to fear God. The creditor might otherwise suppose himself accountable only to the terms of the transaction; the text says he is accountable to God for how he treats the poor brother. The transaction is not sealed off from worship. Lending is a spiritual act, because it reveals what one believes about God, neighbor, property, and power. To take increase from the poor is not merely bad social policy but a failure of holy fear — a forgetting that God is the true owner, liberator, and judge; that the lender's surplus is not ultimate; that the poor brother stands not beneath the creditor but beside him, before God.

This is why Leviticus belongs near the foundation of Christian moral finance, and why the titles need it. Without Leviticus, *damnum emergens* can shrink into mere cost accounting, *lucrum cessans* can swell into universal opportunity cost, *periculum sortis* can become a risk premium charged to the weak, and *poena conventionalis* can become a disciplinary tool against the vulnerable. The titles exist for one purpose: to discern whether a surplus payment restores justice without violating the life of the one who owes. They are not for making capital whole at any cost, or preserving investor yield above neighbor life, or finding clever exceptions to love.

The poor brother must live. That sentence should stand over every financial contract that claims moral legitimacy — every loan, investment, term sheet, repayment schedule, default clause, collateral package, and governance right; every claim of cost recovery, foregone profit, risk premium, and late penalty. Does this help the brother live beside us? If

not, then whatever its legal form, the arrangement has departed from the moral grammar of Leviticus.

2.4 Deuteronomy 15 - Sabbath release and the hardening of the heart

Deuteronomy 15 brings the moral problem of debt into the rhythm of time. Every seventh year, debts are to be released. The creditor is not to press his brother for payment, because the Lord's release has been proclaimed. The command is concrete; its meaning is vast. Debt cannot be allowed to stretch indefinitely across the life of the covenant community. Time itself must interrupt the creditor's claim.

This is a spiritual discipline before it is a financial rule. A debt is a memory that binds the future: something was given, something is owed, and the obligation persists. The creditor remembers; the ledger remembers; the contract remembers; the debtor's future remains answerable to the past. Deuteronomy does not deny the importance of memory, promise, or repayment. It refuses to let the creditor's memory become endless. Every seventh year a different memory intervenes — Israel belongs to the God who released slaves from Egypt — and because Israel has been released, Israel must practice release. The Sabbath year is a liturgy of economic memory. It teaches that the claim is real but not ultimate; that the debt exists but does not define the debtor forever; that the lender's right to repayment is bounded by the Lord's command, the rhythm of covenant time, and the need to preserve a community of brothers rather than masters and dependents.

The word "brother" is again decisive. The creditor is tempted to see the debtor through the debt — this is the person who owes me. Deuteronomy insists on a prior identity: this is the brother whom God has placed beside me. The debt relation is real, but it is not the deepest relation. Which is why the command to release debts is followed immediately by a warning about the heart.

Deuteronomy knows the creditor's temptation with uncomfortable precision. If the seventh year is near, the lender begins to calculate. Why lend now, if the debt may soon be released? Why risk losing what is given? The loan looks economically irrational — and the text names the calculation as a danger of the heart. The heart may become base, calculating, hard. The lender may withhold his hand from the poor because mercy has become financially inconvenient; may obey the release law outwardly while evading its spirit; may use the nearness of release as a reason not to lend at all. This is one of Scripture's most psychologically subtle treatments of debt: it recognizes that rules meant to protect the poor can provoke avoidance. If a lender cannot profit, he may refuse to lend. If a debt may be released, he may close his hand. If mercy is required, he may withdraw before mercy can cost him anything.

So Deuteronomy commands more than debt release. It commands an open hand. The lender must not harden his heart; he must give generously; he must not let the approaching release year become a reason to deny help. The poor brother's need remains morally urgent even when repayment is uncertain, and the lender is called to trust a deeper economy than his own ledger. Notice how far this reaches: the law disciplines not only creditor power after the loan but the lender's imagination before it. Has fear of loss closed the heart? Has the possibility of non-repayment become an excuse for refusing solidarity? Has repayment become the condition of mercy?

Run the titles under this discipline and each one bends. A lender pleads *periculum sortis*, risk to principal — and the risk here is explicit, since the year of release may indeed come. Deuteronomy's response is not a risk premium charged to the poor; it is commanded generosity. The risk of nonpayment becomes an occasion for trust and obedience, not an

automatic title to surplus. A lender pleads *lucrum cessans*, the other uses of his money — and the text commands the hand to open; the brother's need outweighs the lender's desire to preserve every possible gain. A lender pleads *damnum emergens*, actual cost — and Deuteronomy sets that cost inside the covenantal duty to uphold the poor: the stronger party may be called to absorb loss so that the weaker may live. A lender leans on *poena conventionalis*, the penalty for delay — and the release interrupts precisely the assumption that every unpaid balance remains enforceable forever. Justice is not abolished; enforcement must sometimes yield to release. None of this makes the later titles wrong. It places them under a deeper biblical discipline. The titles ask what the lender may claim in justice. Deuteronomy asks what the lender must release in mercy — and whether fear of release has hardened his heart.

That distinction matters because justice and mercy are not rivals here. If justice is reduced to enforceable claim, mercy will always look like an irrational interruption. Deuteronomy refuses the reduction by placing release inside the order of justice itself. The seventh year is not lawlessness; it is law. Mercy is not an exception to the covenant; it is one of the covenant's forms. And that is what makes the Sabbath-year command so radical: it does not merely ask individuals to be kind. It builds release into the structure of time, because private generosity alone is not enough. If debts can accumulate endlessly, if creditor claims never expire, if no rhythm of restoration exists, the community will slowly reorganize itself around obligation rather than gift.

A society without release eventually becomes a society in which the past owns the future. Every unpaid obligation remains; every missed payment accumulates; every misfortune leaves a trace; every emergency lengthens the chain; the debtor is never simply present, but always already claimed by what he could not repay. Sabbath release breaks that chain. It does not pretend the past did not happen or that the loan was meaningless. It says the debtor's future cannot be held hostage to the debt forever — there must be a time when the claim stops, when the brother is no longer pressed, when the community begins again. This is the moral meaning of Sabbath applied to debt. As the weekly Sabbath interrupts labor, the seventh-year release interrupts accumulation; as Sabbath declares that human beings are not made only for work, release declares that they are not made only for repayment; as Sabbath rest testifies that God gives time, Sabbath release testifies that God is lord of obligation.

The modern relevance is hard to overstate, because our systems are built on the uninterrupted continuity of claims. Interest accrues daily. Penalties compound. Debts are refinanced, securitized, sold, collected, extended, restructured, and inherited. Obligations outlive the circumstances that created them; a short-term need becomes a long-term burden; a failed business haunts its founder; student debt shapes decades of a life; sovereign debt governs public policy for generations. Capital's memory is very long. Deuteronomy asks whether that memory must sometimes be interrupted for the sake of life. This does not translate into a simple command to cancel all debts every seven years — the covenantal, agrarian, legal context of Deuteronomy is not contemporary finance. But the principle will not be waved off: a just economy must contain rhythms, institutions, or practices of release. Without release, debt becomes permanent. Without release, poverty becomes hereditary. Without release, the hand closes, and fear of loss grows stronger than love of neighbor.

For non-extractive finance, the warning about the heart lands closest to home. A fund or lender that wants to be non-extractive cannot stop at designing fairer claims. It must design for mercy. What happens when repayment becomes genuinely difficult, when the enterprise fails, when conditions change, when a borrower needs time, restructuring, forgiveness, release? Does the contract allow the hand to open, or does it force the creditor to keep pressing? Many financial structures hardwire hardness of heart: they remove dis-

cretion, automate penalties, accelerate default, trigger control rights, compound unpaid amounts, and make mercy operationally difficult. Even good people inside such structures discover that the contract has closed their hand for them. Deuteronomy suggests moral finance must be structured the other way — with release, patience, grace, restructuring, and non-domination built in, so that the creditor can remain a brother rather than become an enforcer.

This also complicates the modern ideal of investor discipline. Discipline usually means making sure capital is repaid, management performs, covenants are enforced, and weak actors bear consequences — and some of that is necessary, since a world without accountability is not just. But Deuteronomy introduces a second discipline: the discipline of release. The creditor must discipline not only the debtor but himself — his fear, his calculation, his resentment, his desire to press every claim to completion. The command not to harden the heart is addressed to the one with power. Moral discourse about debt loves to center the debtor: borrow responsibly, repay what you owe, honor your obligations. Real concerns, all of them. Deuteronomy directs equal or greater scrutiny at the lender: do not harden your heart; do not close your hand; do not press your brother when the Lord has proclaimed release. The creditor's soul is at stake too.

Here is the bridge to the Christian doctrine of usury. Usury does not only harm the borrower; it deforms the lender, training him to see time as revenue, need as opportunity, delay as gain, and the neighbor as debtor. Deuteronomy interrupts that formation. Sabbath release is, among other things, ascetic practice: it trains a community not to absolutize ownership, repayment, or control; it forms people who can lend without being ruled by the claim; it teaches that generosity must survive even when repayment is uncertain. And the command comes with a promise of blessing. The lender is invited to trust that obedience to God's economy will not destroy him — invited out of the closed logic of scarcity, where every unrepaid loan is pure loss and every act of mercy is irrational, into a covenantal economy where generosity participates in God's provision. This is not naïveté; it is a different account of reality. The modern financial imagination treats nonpayment as the ultimate threat. Deuteronomy treats hardness of heart as the deeper danger. A society can survive some unpaid debts. It cannot remain covenantal once the strong have learned to close their hands against the poor.

For the later doctrine of usury, Deuteronomy 15 supplies a foundational principle: a financial claim may be real and still need to be released. The principle does not abolish contract; it judges contract. It does not make repayment meaningless; it places repayment under a higher law. It does not deny the lender's cost; it asks whether the lender's heart has become captive to cost. And it leaves a set of permanent questions standing before every financial system: Where is release built in? Where can mercy interrupt accumulation? Where does the creditor stop pressing, and where does the debtor receive a future not owned by the past? A system with no answers has not yet learned, whatever its sophistication, the moral grammar of Deuteronomy.

2.5 Deuteronomy 23 - interest, brotherhood, and the foreigner

Deuteronomy 23 gives the most famous and most difficult biblical formulation of the interest prohibition. One must not charge interest to one's brother — not interest on money, not interest on food, not interest on anything that may be lent at interest. Then the text adds that one may charge interest to a foreigner, but not to one's brother, so that the Lord may bless the people in the land they are entering.

This text has troubled interpreters for centuries, and the questions come quickly. Is

the prohibition grounded in covenant membership alone? Is it limited to the poor? Is the foreigner a vulnerable resident alien or an outside trader? Does the permission describe commercial dealings beyond the covenant community rather than a license to exploit outsiders? How should Christians read the text after the Gospel universalizes neighbor-love? How did later Jewish and Christian interpreters sort kinship from commerce from exploitation? The difficulty is part of the text's importance, because it shows that the biblical prohibition is not a generic condemnation of every increase in every imaginable transaction. It is tied to the meaning of brotherhood. The one who borrows within the covenant community is not merely a debtor; he is a brother, and the creditor is forbidden to treat the relation as an extractive opportunity. And the scope is wider than emergency poverty-lending: money, food, and anything lent are named. Within the community of brothers, lending is not to be organized as extraction at all.

The word "brother" is doing enormous moral work here. A brother is not an anonymous counterparty. A brother is someone whose flourishing is bound up with one's own — someone with whom one shares covenant, memory, worship, land, law, and responsibility before God. To charge him interest is not only an economic act; it is a failure to recognize the relation that existed before the loan. This is the biblical root of the later Christian instinct that lending within the community must be governed by charity and justice rather than profit-maximization. The creditor's first question cannot be "What can this money earn?" It must be "Who is this person to me before God?"

The inclusion of food makes the issue as concrete as it can be made. Food is life. To lend food at increase is to turn hunger into yield: if a person needs grain and must return more grain later, the lender's abundance grows through the borrower's necessity, and the borrower's body becomes the place where increase is generated. This is why the biblical usury texts feel sharper than later abstract finance theory. They are not thinking first about capital allocation. They are thinking about the moral obscenity of profiting from another person's hunger, poverty, or dependence.

Yet the same passage permits interest to the foreigner, and the permission cannot be ignored: the biblical text itself distinguishes between kinds of relations. The word "foreigner," though, needs careful handling. The Hebrew Bible uses different terms for different outsiders — the resident alien living among Israel, whom Israel is repeatedly commanded to protect; the stranger owed hospitality; and the foreigner who may represent an external commercial party. The permission in Deuteronomy 23 has often been read as pointing to the last of these: not the vulnerable resident alien but the outside trader, so that the text distinguishes internal covenantal lending from external commercial dealings rather than licensing exploitation of the vulnerable. And however the distinction is read, the Christian tradition cannot rest in the thought that extraction is wrong only from insiders. The Gospel expands the neighbor. The parable of the Good Samaritan refuses a narrow boundary around the one to whom mercy is owed; Christ commands love of enemies; the Church gathers from every nation. The brotherhood principle expands, which is why Christian usury doctrine grew more universal than a narrowly ethnic reading of Deuteronomy would suggest.

Still, the original distinction remains instructive: interest is not judged in isolation from relationship. Are the parties brothers? Commercial equals? Is one vulnerable? Does the transaction serve mutual benefit, or exploit asymmetry? The later scholastic distinction between lending to the poor and financing merchants grows from this soil. A subsistence loan within a vulnerable community is not a commercial risk-bearing arrangement between traders; a loan to someone in distress is not participation in a shared enterprise; a covenantal obligation of support is not an external exchange between commercial actors. The doctrine of extrinsic titles can be understood as the attempt to make such distinctions

precise. If surplus is taken from the brother's need, it is deeply suspect. If surplus corresponds to actual loss, genuine risk, labor, or a real partnership, the analysis changes. Either way, the burden of justification stays on the one who receives more.

Deuteronomy also notices what is being lent. Money, food, and "anything" lent at interest are named together — the moral logic covers fungible goods generally, and it anticipates, with striking accuracy, the Roman and scholastic focus on consumables: goods whose use consists in consumption, spending, or alienation. Grain, wine, oil, and money all belong to this world. They are not borrowed like a tool or a house, to be returned after use; they are used up, and an equivalent is owed. This is not yet the Roman *mutuum*, but the material logic is close, and the biblical law already senses the special danger in lending such goods at increase: the surplus is not payment for any separable use but increase attached to the borrower's need for the thing itself. Aquinas will later run this insight through Roman legal categories — ownership passes, and the use cannot be sold apart from the substance. Deuteronomy supplies the moral intuition before the legal anatomy: do not make increase from what your brother must receive in order to live.

Then there is the phrase "so that the Lord may bless you." The prohibition is not presented as economic self-sabotage but placed within the economy of divine blessing: Israel is invited to trust that refusing to extract from the brother leads not to ruin but to blessing in the land. This is hard teaching, then and now. If I cannot charge interest, why lend? If I cannot price risk, how do I protect myself? If I must treat the borrower as brother, how do I avoid being exploited? These are real questions, and Deuteronomy does not answer them technically. What it refuses is something prior: it will not let fear of loss become the governing principle of covenantal economic life. That is not a denial of prudence but a reordering of it. Prudence is not the art of maximizing the creditor's security. It is the art of arranging economic life so that it remains faithful to God, protects the brother, and preserves the community.

In modern terms, Deuteronomy 23 denies that finance can be morally neutral while relationally blind. A loan to a brother, a loan to a poor neighbor, a loan to a stranger, a loan to a merchant, a loan to a company, a loan to a government, and an investment in a shared enterprise are not one thing; relationship, purpose, vulnerability, and community all matter to the analysis. For non-extractive finance the point is immediate. The language of "brother" does not transfer directly into modern legal categories, but its moral force does. A mission-driven fund cannot treat portfolio companies as anonymous counterparties. A community lender cannot treat vulnerable borrowers as risk scores. A steward-owned enterprise cannot treat capital providers as unrelated claimants whose returns stand outside the mission. Economic relations create moral proximity: to finance someone is to enter a relation with them; to receive a claim on their future is to become responsible for how that claim is used; to structure repayment is to shape their possibilities; to demand surplus is to owe a justification.

The text also exposes the limits of purely market-based moral reasoning. The market says a borrower's risk profile justifies a higher rate; Scripture asks whether the borrower is your brother. The market says food, money, and goods have prices; Scripture asks whether lending them at increase violates covenantal solidarity. The market says capital must seek its return; Scripture asks whether God's blessing might require restraint. This does not mean all modern finance must behave as if every transaction were a zero-interest subsistence loan in ancient Israel — the historical and covenantal context matters. But the text yields a permanent principle: lending within a community of obligation must not be ordered by extraction from the borrower. And the Christian expansion of neighbor-love makes the principle more demanding, not less. If the brother is no longer only the member of one's tribe, class, church, nation, or investor circle, the prohibition presses outward,

asking how finance must change when the borrower is seen not as an opportunity but as one to whom neighborly responsibility is owed.

None of this abolishes commerce; it judges commerce. Trade can cross boundaries, investment can build enterprises, risk can be shared, costs can be reimbursed, labor can be compensated — and the moral permission for surplus must still be distinguished, carefully, from the exploitation of another's need. Deuteronomy 23 makes the distinction unavoidable by naming the borrower as brother. The naming also indicts the abstraction of modern capital. Contemporary finance passes claims through layers — funds, vehicles, intermediaries, platforms, securitizations, instruments — until the ultimate creditor never sees the debtor. The relationship is depersonalized by design. The borrower becomes exposure; the loan becomes an asset; the payment becomes yield; the distress becomes risk-adjusted pricing; the cry disappears into the model. Deuteronomy resists that disappearance. The moral relation remains even when the claim is calculable. The one who owes is not only a unit of repayment but someone toward whom obligation already exists. The scholastics will translate this into the language of justice — commutative equality, whether the lender may receive more, whether a title is truly extrinsic — but the premise underneath is Deuteronomy's: the person who owes is not a stranger to justice.

The foreigner clause remains difficult, and it should remain difficult. It prevents sentimental simplification; it reminds us that biblical law differentiates relations and that the moral history of interest is complex. What it does not do is blunt the central thrust of the passage: within the community ordered by God, lending at increase to the brother is forbidden, because brotherhood and extraction cannot be reconciled. Every distinction the tradition will later develop — licit surplus, owed compensation, justified risk-sharing, commercial versus subsistence lending — must live with Deuteronomy's question: are you treating the borrower as brother, or as yield? Financial mathematics cannot answer that. Only the structure of the relationship can. Does the contract preserve dignity? Does it protect vulnerability, share risk, allow release? Does it keep the borrower within the community, or push him beneath it? Does it serve blessing in the land, or merely increase in the ledger? The brother must not become an asset. That is the moral line Deuteronomy 23 draws across the whole history of lending.

2.6 Psalms, Proverbs, Nehemiah, and Ezekiel

The laws of Exodus, Leviticus, and Deuteronomy give Israel the structure of debt mercy: do not exploit the poor borrower, return the cloak, uphold the poor brother, release debts, take no interest from the brother. The rest of Scripture does something just as important. It shows lending at interest as a sign — of a person's character and of a society's corruption. The legal texts say what Israel must do. The Psalms, Proverbs, the histories, and the Prophets ask what kind of person, and what kind of people, Israel has become. Usury stops being a technical violation and becomes a symptom of spiritual disorder: the one who lends at interest is not mispricing money but participating in a pattern of injustice. He has become the kind of person who can turn another's need into his own increase.

Psalms 15 is the clearest instance. The psalm asks who may dwell on the Lord's holy hill, and the answer is not given in ritual terms alone. The righteous person walks blamelessly, speaks truth, does no evil to his neighbor, keeps his word, takes no bribe — and does not lend money at interest. The refusal of usury appears among the marks of the person who can stand before God, alongside truthfulness, integrity, and neighbor-love. The financial relation reveals the soul. The psalm offers no technical definition, no distinction between subsistence loan and commercial investment, no analysis of titles; its purpose is different.

It says that the way one handles money belongs to holiness, and that a person cannot dwell with God while treating the neighbor's need as a source of gain. When the later tradition treats usury as spiritually serious — a matter of the heart, the hand, and the worshipper's fitness to stand before God — it is standing on this psalm.

Proverbs adds the dimension of moral order. One who increases wealth by interest and profit, says the proverb, gathers it for one who is kind to the poor. Terse as it is, the moral imagination is clear: wealth gathered through exploitative increase is unstable before divine justice. It may accumulate for a season, but it bears the mark of injustice and is already destined for reversal — marked, within itself, as belonging finally to the merciful. The ledger says one thing; divine justice says another.

Nehemiah 5 turns the theme into narrative, and the narrative is painful. The people are under pressure. Some are hungry. Some have mortgaged fields, vineyards, and houses to buy grain. Some have borrowed money to pay the king's tax. Some have sons and daughters being forced into servitude. The crisis is not foreign oppression; it is internal exploitation — wealthier Jews lending to their own brothers on terms that produce dispossession. Nehemiah hears their outcry and is angry. He accuses the nobles and officials of exacting interest from their brothers, calls an assembly, and confronts them publicly. He demands that they restore the fields, the vineyards, the olive orchards, the houses, and the interest they have taken. The creditors agree to give everything back and to require nothing more.

The scene is essential because it shows debt as a communal crisis. The poor are not failing one by one; they are caught in a structure where tax pressure, food scarcity, mortgages, interest, and elite power combine to strip families of land and children. Debt is reorganizing the community. The people have returned from exile, and creditor practices are quietly recreating bondage among them. Nehemiah's response is not discreet pastoral advice but public moral confrontation: he treats the practice as a violation of brotherhood and a scandal before the surrounding nations, because Israel's economic life is part of its witness. A restored community that reproduces exploitation internally has compromised its identity as God's people. For the later tradition, the lesson is that usury is never only an interpersonal sin. It can become institutional and communal — embedded in tax systems, land markets, credit practices, elite behavior, and public policy — and it can determine whether a people lives as a liberated community or as a hierarchy of creditors and dependents. Nehemiah also shows what repentance costs. The solution is not a feeling; it is restitution. Fields returned, houses returned, interest returned: the economic relationship repaired materially. The scholastic emphasis on restitution in commutative justice is anticipated here. Moral conversion must reach the ledger and undo, where possible, the economic effects of injustice.

Ezekiel intensifies the critique to its limit. In Ezekiel 18, the righteous man is described as one who does not lend at interest or take profit, who withholds his hand from injustice and executes true justice between persons; the wicked man lends at interest and takes increase. This is not imprudence or insufficient generosity; it is serious injustice. And in Ezekiel 22, taking interest and profit appears among the sins of Jerusalem — alongside bloodshed, oppression, extortion, and forgetting God. The placement is deliberately severe. Usury belongs to a constellation of violence. The prophet sees what the ledger hides: economic extraction participates in violence even when no sword is drawn. Moderns tend to keep violence and finance in separate categories — violence physical, visible, dramatic; finance contractual, mathematical, procedural. The prophets do not allow the separation. A society can shed blood directly, and it can devour the poor through claims, interest, profit, and extortion. Both belong to injustice. Ezekiel also names the spiritual root: forgetting God. When God is forgotten, the neighbor becomes available for use, the poor

become prey, the creditor's claim becomes sovereign, and power turns predatory.

Taken together, these texts give four dimensions of the biblical moral grammar of debt. The Psalms give personal righteousness: the one who refuses usury is fit to dwell with God, because finance belongs to holiness. Proverbs gives moral order: exploitative wealth is unstable and destined for reversal, because finance sits under wisdom. Nehemiah gives communal restoration: interest and debt can fracture a people and require public restitution, because finance belongs to the integrity of the community. Ezekiel gives prophetic judgment: interest-taking stands among the signs of oppression and forgetting God, because finance sits under divine judgment. Which is to say usury is personal, forming the lender's soul; relational, concerning the neighbor; economic, transferring wealth and claims; communal, reorganizing households and land; political, structuring power; and spiritual, revealing whether God has been remembered.

The later scholastic tradition will add one more dimension: analytic precision. It will ask what kind of contract is present, what kind of good is lent, whether ownership passes, whether the surplus is intrinsic or extrinsic, whether loss is actual, gain foregone, risk borne, delay culpable. That precision is valuable — it keeps moral indignation from becoming sloppy, and it allows real distinctions between exploitation and legitimate compensation. But the biblical texts keep the precision accountable to judgment. A financial structure may be technically defensible and still participate in a larger pattern of oppression. A payment may be correctly classified under a title and still be spiritually dangerous, if it trains the lender to desire the borrower's weakness. A rate may be legal, moderate, and market-standard, and still help build a society in which the poor are devoured. A creditor may comply with every formal rule and still forget God.

Read whole, the witness forms a single moral world — the cloak, the brother who must live, release and brotherhood, the righteous worshipper, the reversal of unjust wealth, public restitution, prophetic judgment — in which debt is always judged by its relation to life, neighbor, community, and God. For modern non-extractive finance this means technical design is necessary but insufficient. Capping returns, softening penalties, sharing some risk, documenting costs: all of it matters, and the deeper question remains. What kind of people and communities does this financial structure form? Lenders who can release? Investors who can share vulnerability? Enterprises that serve rather than extract? Communities in which the poor can live beside the strong? Habits of mercy, truth, and restitution — or people who speak of mission while organizing everything around protected claims?

These texts also refuse to let morality be outsourced to compliance. Nehemiah does not ask whether the creditors followed prevailing practice; he confronts them with the meaning of what they did. Ezekiel does not ask whether the rates were customary; he names the practice as wickedness. Psalm 15 does not ask whether the contract was enforceable; it asks who may dwell with God. This is not anti-law; it is law deepened by worship and justice. The later tradition will necessarily get entangled in legal complexity — whether a contract is formally a loan, a sale, a partnership, an exchange, a *census*, an insurance-like arrangement; whether a title is genuine or fictional — and that work matters, because injustice hides in form. But Scripture insists that justice also requires the courage to name things plainly. Are fields being taken? Are children being lost? Are the poor crying out, the powerful profiting, the community dividing, God being forgotten? Contract taxonomy cannot answer those questions. They require moral sight.

That may be the greatest gift of the wisdom and prophetic texts to this history: they teach us to see debt not from the creditor's desk but from the debtor's field, bed, household, and prayer; to see that what appears as yield from one side may appear as dispossession from the other; to see that a financial claim can be a spiritual danger to the one who holds it. The creditor may think he possesses a claim. The prophets ask whether the claim possesses

him.

This is why the prohibition retains its force even after later theology develops its exceptions. The exceptions must never erase the warning. *Damnum emergens* may justify compensation for actual loss, but it must not become a way of burdening the poor beyond life. *Lucrum cessans* may recognize concrete foregone gain, but it must not train capital to view every neighbor as the cause of missed profit. *Poenā conventionalis* may discipline wrongful delay, but it must not become delight in default. *Periculum sortis* may justify return for genuine risk, but it must not become a pious label for shifting loss onto the weak. The Psalms, Proverbs, Nehemiah, and Ezekiel keep asking the question underneath all four: what fruit does this financial practice bear, in the soul and in the community? If it bears truth, mercy, restoration, and life, it may belong to justice. If it bears fear, dispossession, domination, and forgetfulness of God, then whatever its legal form, it stands under judgment.

The biblical witness does not yet give us the scholastic doctrine. It gives us something more basic: the moral atmosphere in which any doctrine must live, and the knowledge that debt is never only debt — it is a test of righteousness, wisdom, communal faithfulness, and memory of God. Once that has been seen, no financial claim can ever again be merely technical.

2.7 The biblical contribution to later usury doctrine

The Bible does not hand the later tradition its doctrine in finished form. It supplies no Roman category of the *mutuum*, no Thomistic argument that the use of consumable money cannot be sold separately from the money itself, no organization of the problem around extrinsic titles, no technical distinctions among *damnum emergens*, *lucrum cessans*, *poena conventionalis*, and *periculum sortis*. What Scripture gives is more foundational: the moral world in which every one of those later distinctions must be judged. Not a contract taxonomy but a theology of debt, neighbor, poverty, land, release, and divine judgment. It tells us who the borrower is before he becomes a debtor, and what the creditor must remember before he enforces a claim. It tells us that property is real but not absolute; that debt is real but not ultimate; that repayment matters, but not more than life; that the poor are not to be turned into instruments of increase; that release belongs to justice; and that God hears what the ledger cannot hear. Without this foundation, the usury doctrine can be mistaken for an antique theory about the sterility of money, or a medieval puzzle about whether interest is allowed. With it, the doctrine appears as part of a much larger question: how can economic life be ordered so that the strong do not feed on the weak?

The biblical contributions to that question can be counted. There are at least ten.

First, the debtor remains a neighbor. This sounds simple and is revolutionary, because debt has a way of redefining persons. The one who borrows becomes “the debtor,” the one who lends becomes “the creditor,” and the relationship narrows to an obligation, the person seen through the claim held against him. Scripture refuses the narrowing at every turn. The poor borrower in Exodus is still the one whose cloak must cover him at night; the poor brother in Leviticus is still the one who must live beside you; the debtor in Deuteronomy is still the brother whose debt must be released; the oppressed in Nehemiah are still members of the restored community; the victims in Ezekiel are not anonymous financial failures but the poor and needy whom the powerful have wronged. The scholastics will ask whether the lender may receive more than principal. Scripture first asks whether the lender still sees the debtor as a person beloved by God.

Second, creditor power is limited. Scripture does not deny that debts exist, that

promises matter, or that a community needs obligation. But it repeatedly bounds what creditors may do: no interest exacted from the poor brother, no cloak kept overnight, no heart hardened as the release year approaches, no pressing the brother once release is proclaimed, no use of need as an occasion for gain. The claim is real and morally bounded — subordinated to mercy, justice, neighbor-love, and the fear of God. When the scholastics later inherit the Roman analysis of the *mutuum*, in which the borrower owns the money and owes its equivalent, Scripture has already taught them that no creditor's claim may be treated as absolute.

Third, debt is linked to slavery. Israel's economic law is shaped by the memory of Egypt: God delivered Israel from bondage, so Israel must not rebuild bondage inside the covenant. Debt is dangerous precisely because it can become a peaceful path back into slavery. A person can lose land, labor, children, freedom, or standing not through conquest but through obligation; a creditor can become a master without ever using the word. This is one of Scripture's deepest insights: economic domination can be contractual, legal, gradual, and procedurally ordinary. The debtor may have signed. The creditor may have complied with every form. The result may still contradict the God who liberates. The later Christian suspicion of usury cannot be separated from this memory — usury is not a pricing error but a way money participates in domination, the claim growing through time until it reaches over the borrower's future.

Fourth, release belongs to the moral order. Exodus returns the cloak; Leviticus proclaims Jubilee; Deuteronomy commands the Sabbath-year release; Nehemiah demands the restoration of fields, houses, and interest. The tradition restrains the creditor at the start of the transaction and creates rhythms of restoration after debt has begun to distort the community. Modern finance is the mirror image: superb at remembering obligations — interest, penalties, covenants, arrears, collateral, enforcement rights, all tracked with extraordinary precision — and poor at remembering release, with no equally serious machinery for mercy, restructuring, forgiveness, restoration, or return. Scripture insists that release is not a sentimental add-on. A debt system without release eventually becomes a system in which the past owns the future.

Fifth, ownership is relativized. The land must not be permanently sold, because the land belongs to God; Israel holds it as gift, not absolute possession; owners are stewards before they are masters. If ownership is not absolute, neither is the creditor's claim. If land, labor, and life belong finally to God, no financial arrangement may treat them as raw material for accumulation, and the borrower's future is not an input to the lender's increase. The resonance with stewardship and non-extractive ownership is direct: a business, a platform, a piece of infrastructure, a body of knowledge may be legally owned, but legal ownership does not exhaust moral responsibility. The steward's rights are ordered toward the good of what is held, the people affected, and God's purposes for life.

Sixth, profit from vulnerability is suspect — the clearest thread in all the usury texts. Scripture is most severe exactly where the borrower is poor, needy, or a brother in distress, and the offense is not simply that the creditor receives more but that he receives more because the borrower needed help. This is the heart of the anti-extractive principle. A non-extractive economy is not merely one with lower rates; it is one that refuses to make another's vulnerability the source of one's gain. Scripture never says, "The borrower needed me, therefore I could charge more." It says the opposite: because he is poor, take no increase; because he needs the cloak, return it; because his hand falters, uphold him; because release approaches, do not close your hand.

Seventh, the creditor's heart is examined. Deuteronomy warns against its hardening; Psalm 15 makes the refusal of usury a mark of the righteous worshipper; Ezekiel counts interest-taking as wickedness and forgetting God; Nehemiah confronts the nobles in pub-

lic. Lending is never merely external behavior, because finance forms the soul. Repeatedly treating time as yield, need as opportunity, delay as revenue, and collateral as entitlement trains a person to see the world that way — less capable of mercy, experiencing the borrower's distress as a business event, mistaking domination for prudence. When the later doctrine calls usury a sin, it preserves exactly this concern: the borrower is harmed, and the lender is deformed, his desire trained toward gain from another's need.

Eighth, economic life is part of worship. Psalm 15's question — who may dwell on the holy hill? — is answered partly in financial terms, which means finance is not outside the life of prayer. Lending, pledging, repayment, release, and restitution all belong to the question of whether one can stand before God. Modern economics treats finance as a secular domain governed by technical laws; Scripture does not. Economic acts reveal what one fears, trusts, loves, and serves. The creditor who refuses to exploit the poor demonstrates trust in God's blessing; the creditor who presses every claim demonstrates trust in the ledger. The difference is spiritual.

Ninth, debt is communal. Nehemiah shows a whole people fractured by it — loans, mortgages, interest, taxes, land, and servitude combining into a crisis in which the rich begin to dominate the poor within the same community, until public restitution is required. Financial structures shape communities: debt terms reach workers, families, suppliers, neighborhoods, ecosystems, and public institutions; investment terms reach governance, mission, ownership, and long-term accountability. A financial claim is rarely private in its effects.

Tenth, extraction stands under prophetic judgment. Ezekiel sets interest-taking beside violence, oppression, extortion, and forgetting God — and the severity should be allowed to stay severe. Financial extraction can be a form of violence even when legally mediated; a society can devour the poor through claims rather than force. This severity must discipline all later technical nuance, because the titles are dangerous the moment they detach from it. A late fee can be called *poena conventionalis*, an actual loss *damnum emergens*, an opportunity cost *lucrum cessans*, a risk premium *periculum sortis* — and the prophet still asks whether the poor are being devoured. Here is the central biblical safeguard: the form does not save the transaction if the substance is oppression.

The scholastic tradition will add precision to all of this, and the precision is genuinely needed. It will distinguish legitimate compensation from usury, recognize real loss, real risk, real labor, and real commercial complexity, and so keep moral theology from governing economic life by slogan. Without technical distinctions, the doctrine becomes imprecise and unfair. But without Scripture, the technical distinctions become evasions. The biblical contribution is not replaced by the scholastic contribution; it remains the conscience of the whole doctrine. When the scholastics ask whether an extrinsic title is present, Scripture asks whether the neighbor is being upheld. When they ask whether loss is actual, Scripture asks whether the poor brother may live. When they ask whether delay is culpable, Scripture asks whether the cloak has been returned. When they ask whether foregone gain is concrete, Scripture asks whether the lender's heart has hardened. When they ask whether capital risk is genuine, Scripture asks whether risk is being shifted onto the vulnerable. When they ask whether the surplus is external to the loan, Scripture asks whether God has been remembered. These are not competing questions. They belong together, and the history of the usury doctrine is the history of their joining: biblical concern for the poor, Aristotelian suspicion of money breeding money, Roman legal analysis of the *mutuum*, canon-law regulation, scholastic justice, late-medieval commercial nuance. Each stream contributes. Scripture contributes the moral wound and the divine command: do not allow debt to become domination among the people of God.

For this book, that settles the order of things. The biblical material is not a preliminary

ornament; it is the foundation, and every later chapter remains answerable to it. The Roman *mutuum* will give legal precision, Aquinas the theological architecture, the extrinsic titles the diagnostic categories, Salamanca and the Jesuits the casuistic refinement, modern non-extractive finance the contemporary application. The biblical question comes first and last: does this financial relation serve the life of the neighbor before God? If the answer is no, then no technical title can make it clean. If the answer is yes, the technical tradition can help us understand why, how, and under what conditions it remains just. That is the biblical contribution — not the final taxonomy, but the moral horizon. Debt is judged by liberation, mercy, brotherhood, release, and the God who hears the cry of the poor. Everything else in this book must be read in that light.

Aristotle, Money, and the Suspicion of Sterile Increase

3.1 Aristotle's Critique of Money Breeding Money

If Scripture gives the moral grammar of debt — a relation among neighbors before God — Aristotle gives the philosophical grammar that would later help Christian theologians explain why certain forms of gain from money seem unnatural. The biblical texts keep asking about persons: whether the poor are being exploited, whether the brother is being upheld, whether debt is quietly recreating bondage, whether the creditor has remembered God. Aristotle asks a different question. He asks what money is for.

He came to it well practiced. Born in 384 BC at Stagira in northern Greece, Aristotle spent twenty years in Plato's Academy, tutored the boy who would become Alexander the Great, and from about 335 BC ran his own school at Athens, the Lyceum — and everywhere he went he asked what things are for, tragedy and cuttlefish included. Asked of money, the question may sound simple. It became one of the foundations of the medieval doctrine of usury.

For Aristotle, money is not a living thing. It is not fruitful in itself; it bears no offspring. It exists by convention, to facilitate exchange. Human beings need shoes, food, houses, tools, wine, clothing, land, and direct barter is often inconvenient — the shoemaker may need grain at just the moment the farmer needs no shoes. Money solves that problem: a common measure, a medium, a way of making exchange possible among different goods and needs. Money, then, has a purpose. It exists to serve exchange.

Aristotle's suspicion begins when money is no longer used as a servant of exchange but as a means of generating more money from itself. In Book I of the *Politics* he distinguishes natural from unnatural forms of acquisition. Household management aims at securing what is necessary for life, and exchange can be natural when it serves the needs of household or community. But the art of acquiring money for its own sake, without inherent limit, is something else: it turns a means into an end. From this comes his famous criticism of usury, near the close of Book I (1258b) — of all ways of getting wealth, he says, usury is the most contrary to nature, because it makes money itself the source of increase. Money was created for exchange, but usury makes money breed from money.

The phrase often summarized as “money breeding money” became deeply important for later Christian thought, because it gave philosophical expression to an intuition Scripture had approached through neighbor, poverty, and covenant. Scripture says: do not profit from your brother's need. Aristotle says: money should not generate offspring from itself. The first is theological and relational, the second teleological and philosophical; together they create a powerful critique.

For Aristotle the problem is not simply that usury harms the borrower, though it may. The problem is that usury disorders the nature of money, treating it as naturally fertile, as if it could generate wealth by its own power. But money is sterile — a tool of exchange, not a living productive source — and to make it productive of more money is to detach it from

its proper purpose. The distinction later shapes Aquinas, who inherits Scripture's moral concern for the poor and Aristotle's suspicion of money's unnatural fertility and joins them to the Roman legal analysis of the *mutuum*: in a loan for consumption, ownership passes to the borrower, the use of the money is not separable from the money itself, and to charge for that use is to sell what cannot be separately sold. Aristotle's suspicion gives the legal argument its broader philosophical background.

The argument must be read carefully, though, for Aristotle is not saying that no economic activity may produce surplus. Agriculture produces crops; craft produces goods; trade may bring goods from where they are less needed to where they are more needed; household management may rightly provide for life. The problem is not increase as such but increase detached from proper use and natural purpose. Getting this right saves the tradition from caricature, because the later Christian doctrine of usury is not a rejection of all profit either. Aquinas will allow merchants moderate profit for household support or public utility; partnerships can share gain; labor can be compensated; risk can matter; the Monti di Pietà can recover their costs. The issue is never whether any surplus may exist, but whether it arises from a real contribution to life, exchange, labor, risk, or restoration — or from money's claim to reproduce itself.

Aristotle also gives the tradition a language of limits. Natural acquisition has a limit because human needs have one: a household needs food, shelter, tools, clothing, and the goods necessary for a good life, and then no more. The pursuit of money as money has no internal limit. One can always want more; once money becomes the end, accumulation becomes infinite in principle. This is one reason the critique has not dated. A financial system ordered around return on capital can become structurally limitless — there is no natural point at which capital says, "Enough," and the logic of accumulation tends toward more. Scripture meets the danger through Sabbath, Jubilee, release, and care for the poor; Aristotle, through the distinction between natural and unnatural acquisition. Both are concerned with limit, both resist the rule of endless increase over economic life, and that shared refusal to absolutize accumulation — coming from two very different worlds — is one of the deepest bridges between Aristotle and biblical moral economy.

The difference matters just as much. Aristotle does not ground his critique in the Exodus, the cry of the poor, or the God who hears; he says nothing of covenant brotherhood or Jubilee. His framework is the purpose of things within a philosophical account of nature and human flourishing — money is unnatural as a source of offspring because its proper function is exchange — while the Bible's is covenantal and theological: economic life must reflect God's liberation, justice, mercy, and ownership. Later Christian theology will combine these worlds, sometimes fruitfully, sometimes with tension. The biblical concern for vulnerable persons keeps Aristotle's argument from becoming merely formal; Aristotle's analysis of money keeps the biblical concern from shrinking into poverty relief alone. Together they teach the tradition to ask two questions at once: what does this transaction do to the neighbor, and what does it assume money is?

That dual question matters for modern finance. Modern financial theory treats money, capital, and claims as inherently productive if deployed efficiently: capital has a cost, time has value, liquidity has value, risk has a price, opportunity has a cost. The idea that money should produce more money is woven into ordinary financial reasoning and is not treated as strange. It is treated as obvious. Aristotle makes it strange again. He asks why a symbol of exchange should be treated as fertile, whether a means has become an end, whether the desire for accumulation has lost its natural limit, and whether the pursuit of money from money has separated economic life from the goods it is meant to serve.

This does not settle every modern question. Money in a modern economy can function as capital: it can finance productive activity, build factories, fund research, support busi-

nesses, develop infrastructure, and enable real work. The later scholastics will recognize this more clearly than a simplistic “money is sterile” formula allows — a merchant’s money may be ordered toward trade, a partner’s capital may bear risk, an institution may incur real cost, a funder may share in a productive enterprise. But the warning remains: when money’s increase becomes detached from real service, real labor, real risk, real production, or real need, it becomes morally suspect.

The four extrinsic titles can in fact be read as attempts to answer Aristotle’s challenge, each asking whether the surplus payment arises from something other than money breeding money. *Poena conventionalis* answers that the surplus comes not from money’s fertility but from culpable delay; *damnum emergens*, that it comes from actual loss; *lucrum cessans*, from a concrete gain that was interrupted; *periculum sortis*, from real exposure of capital to loss. And each, the critique warns, can become a disguise. If the delay is engineered, the penalty becomes money breeding money; if the loss is fictional, so does the compensation; if the foregone gain is abstract opportunity cost, so does the title; if the risk has been shifted away from capital, so does the premium. A title is valid only if it points to some real-world circumstance beyond the bare productivity of money — something that keeps the surplus from being merely money born from money. That is the Aristotelian pressure inside the entire doctrine. Money must not be allowed to pretend to be alive.

In the modern world the pretense usually hides behind models. Capital is assumed to require return; a discount rate is applied, a hurdle rate is set, a liquidity premium is added; risk is priced; future cash flows are claimed. Money appears to grow because formulas say it should. Aristotle’s question survives them all: what is the real source of the increase? Work, service, shared risk, genuine production, the restoration of a loss — or merely a claim that money, because it was withheld or advanced, must return pregnant with more money? The ancient phrase “money breeding money” may sound archaic; the phenomenon is not. It is visible wherever financial claims multiply faster than the life, work, or community they are meant to serve; wherever capital expects increase while others absorb fragility; wherever the abstraction of return becomes more important than the concrete goods for which finance exists.

Aristotle belongs at the foundation of this book, then, not because he gives the final Christian answer but because he names the philosophical disorder that later theology will try to discipline. Economic life exists for human flourishing; money exists for exchange; finance exists to serve life, work, household, community, and the common good. When these relations are reversed, and life is made to serve finance, something has gone wrong. The later tradition will say this in its own way — the biblical writers through the poor, the brother, the cloak, the Sabbath, and the God who hears; Aquinas through commutative justice, just price, consumable goods, and the *mutuum*; the scholastics through extrinsic titles, restitution, risk, and loss. But Aristotle gives one of the earliest philosophical formulations of the same reversal, and the plainest. Money is a servant. When money becomes a master, it becomes unnatural. That is the starting point for the philosophical critique of usury.

3.2 The Limits of Aristotle for Christian Moral Economy

Aristotle gives Christian theology a powerful philosophical tool, but not a complete moral economy. His critique of money breeding money is indispensable to the later usury tradition: it explains why money, understood as a medium of exchange, should not be treated as naturally fruitful in itself; it gives theologians a language of purpose, nature, and disorder; it helps them see why the desire for money as money can become infinite once money

is detached from the goods it is meant to serve. But Aristotle is not Scripture. His account must be received, judged, and transformed, and the limits show in at least six places.

The first is that his critique is not rooted in the Exodus. For Israel, debt is morally dangerous because God has freed a people from slavery, and that people must not recreate bondage among themselves. The poor borrower is a brother; the cloak must be returned; the hand must remain open; the land belongs to God; the seventh year interrupts debt, and Jubilee interrupts permanent alienation; the creditor's power is judged by the God who hears the cry of the poor. Aristotle does not speak from that world. His critique of usury is grounded not in liberation, covenant, divine mercy, or the protection of the poor as such, but in a philosophical account of the proper use of money: money exists for exchange, and to use it to generate more money is to misuse it. The argument is profound, but it is not yet biblical, and left to itself it could become too formal — asking whether money is used according to its nature without asking enough about the person harmed by the transaction, identifying the unnaturalness of money breeding money while paying too little attention to the cry of the poor, the social power of creditors, and the need for release. Christian theology cannot stop with Aristotle. It must let Scripture deepen and redirect him.

The second is that Aristotle's social world is hierarchical in ways Christianity cannot simply baptize. His political and economic thought belongs to a world that takes slavery, patriarchy, and sharply ordered social hierarchy for granted, and his account of household management includes relations of rule that Christian theology must handle critically. He offers profound insight into purpose, virtue, exchange, and the dangers of limitless accumulation; he does not give a fully Christian account of the equal dignity of persons before God. This is no side issue for moral economy, because debt is always entangled with power. A critique of money's unnatural fertility is not enough if it does not also protect the dignity of the borrower; the tradition must ask not only whether money is used according to its purpose but whether persons are treated according to theirs. A human being is not made to be an instrument of another's accumulation. That claim is stronger in Christian theology than in Aristotle, because it rests on creation, image, incarnation, redemption, and the neighbor-love commanded by Christ.

The third is that Aristotle's account of money is simpler than the economic reality later theologians had to confront. In his analysis money functions primarily as a medium of exchange, and his critique of usury depends in part on the idea that money itself is sterile. But medieval and early modern economic life forced theologians to ask whether money could also function as capital: a merchant's money might not be idle but ordered toward trade; a partner's capital might be exposed to risk; a funder might contribute to a productive enterprise; a charitable lending institution might need to cover real administrative costs; a lender might suffer actual loss by parting with funds; a creditor might bear real danger of nonpayment. None of this makes Aristotle irrelevant. It makes the application of his insight more difficult. Treat money as sterile in every respect, and the tradition risks condemning arrangements that genuinely involve labor, risk, partnership, or productive service; treat it as inherently fertile, and the tradition risks blessing ordinary extraction. The hard work of scholastic moral theology lies between these errors — one reason the extrinsic titles develop. They allow theologians to say that money does not generate more money merely by being lent, while certain real circumstances around a financial relation may justify surplus: actual loss may be repaired, labor compensated, a penalty may answer wrongful delay, a concrete foregone gain may sometimes matter, genuine capital risk may justify a share in return. The titles do not abandon Aristotle. They refine his warning, asking each time whether the surplus really comes from money breeding money or from something else — damage, labor, risk, lost concrete use, partnership.

The fourth is that Aristotle's critique does not by itself give a theology of mercy. He can tell us that endless accumulation is unnatural, that money is a means and not an end, and why usury is disordered. He does not give us Sabbath release; he does not command the return of the cloak, or teach the forgiveness of debts, or place lending under the mercy of the God who hears the poor, or tell the creditor not to harden his heart as the release year approaches. Christian moral economy requires mercy, not only teleology. It matters because a morally precise financial system can still become merciless: it can classify contracts correctly, price risk accurately, distinguish capital from loan, and document losses carefully, while still failing to release, forgive, accompany, or uphold the vulnerable. A purely philosophical account of natural use may not be enough to form a lender who can open his hand. Scripture supplies what Aristotle lacks — the command to love the neighbor, the memory of liberation, the rhythm of release, and the demand that economic life reflect God's compassion.

The fifth is that Aristotle's language of "nature" must be carefully translated into Christian theology. For Aristotle, to act according to nature is to act according to the purpose or end proper to a thing — deeply congenial to Aquinas, who will integrate Aristotelian teleology into Christian theology. But Christian theology cannot simply identify nature with observed social order or existing economic practice. Nature must be read in light of creation, sin, grace, and final beatitude, and human economic habits may be "normal" in a fallen society without being natural in the deeper theological sense. The point bites, because finance is forever naturalizing itself: capital has a cost, markets require return, risk demands premium, time has value, liquidity must be priced, investors must be compensated, companies must exit, growth must continue — all presented as natural facts. Christian theology must ask whether they describe created nature, fallen habit, or institutionalized desire. Aristotle helps by reminding us that not every form of acquisition is natural simply because it exists; Christianity must go further and ask whether economic practices are ordered toward love of God and neighbor.

The sixth is that Aristotle does not give us the full eschatological horizon of Christian economics. For him, economic life is ordered toward the flourishing of the household and *polis* — already far richer than modern utility maximization. But Christian moral economy is ordered not only toward civic flourishing but toward the Kingdom of God, and must ask how economic life participates in charity, justice, communion, mercy, and the final restoration of all things in Christ. This does not mean turning finance into utopian fantasy. It means Christian economics cannot be satisfied with efficient exchange or stable hierarchy; it must ask whether economic structures anticipate reconciliation or deepen alienation, free persons for virtue or bind them to fear, allow community or produce domination, train people in generosity or in calculation without mercy. Aristotle helps us recover purpose. Christianity tells us the final purpose is communion with God and neighbor.

None of these limits makes Aristotle unimportant; they show why he must be placed within a larger Christian synthesis. The later usury tradition is powerful precisely because it draws from multiple sources and lets each correct the others. Scripture supplies the moral wound: the poor, the brother, the cloak, the release, the God who hears. Aristotle supplies the philosophical suspicion: money should not breed money, because it is a means of exchange, not a living source of offspring. Roman law supplies the legal anatomy: in the *mutuum*, ownership passes and the borrower owes an equivalent. Aquinas synthesizes these into a theory of commutative justice, and the later scholastics develop the extrinsic titles to handle real economic complexity. Scripture prevents Aristotle from becoming a formal theory detached from the poor; Aristotle prevents biblical debt ethics from shrinking to occasional charity without a philosophy of money; Roman law prevents both from remaining imprecise about contract form; Aquinas joins law, philosophy, and

theology into moral analysis; the late scholastics force the synthesis to face commercial reality.

This layered method is essential for the rest of the book, because no single source is enough. Scripture alone lacks the technical tools to distinguish a loan from a partnership, a penalty from interest, actual loss from foregone gain. Aristotle alone misses the biblical priority of mercy, release, and the cry of the poor. Roman law alone reduces morality to legal form; late scholastic casuistry alone multiplies exceptions until the prophetic heart of the doctrine disappears; modern finance alone may not even notice the moral assumptions hidden inside its models. Christian moral economy requires all of these voices, in the right order — Scripture as conscience, Aristotle as philosopher, Roman law as jurist, Aquinas as synthesizer, the scholastics as casuists, modern finance as the field of application — and none of them may displace the fundamental question: does this economic relation serve life before God?

Aristotle's critique of usury is therefore both necessary and insufficient — necessary because it identifies the disorder of money becoming an end in itself, insufficient because Christian moral economy must ask not only what money is for but who the neighbor is, what mercy requires, how power is limited, and how economic life participates in God's justice. For modern non-extractive finance the distinction is crucial. It is not enough to say that finance should be "productive" rather than "speculative": productive finance can still be extractive if it shifts risk onto workers, captures governance, or subordinates mission to investor return. Nor is it enough to say that capital should serve real enterprise: real enterprise can still devour communities if not governed by justice. It is not even enough to say that money should not breed money. We must also ask whether people are upheld, whether power is shared, whether loss is borne justly, and whether release is possible. Aristotle teaches us to distrust money's claim to reproduce itself; Scripture teaches us to distrust the creditor's claim when it forgets the poor; Christian moral economy needs both. The point, then, is not to choose between them but to let Scripture baptize, judge, and deepen Aristotle's insight — Aristotle knew that money is a servant, Scripture reveals that the neighbor is beloved, and finance becomes just only when both are remembered.

3.3 Money as Barren, Money as Capital

The deepest difficulty in the history of usury is that money seems to be two things at once.

On the one hand, money is like wine, grain, oil, or seed: used by being spent, exchanged, consumed, or alienated. Once I hand money over in a loan for consumption, I no longer retain the same coins or units as my own; the borrower uses the money by disposing of it, and later returns not the same money but an equivalent amount. In this sense money belongs to the world of fungible, consumable goods. This is the world of the Roman *mutuum*. On the other hand, money is unlike wine or grain in that it can be deployed as capital — financing trade, tools, labor, ships, workshops, inventory, land improvement, infrastructure, enterprise. A merchant's money may already be on its way to profit; a partner's capital may be exposed to gain and loss; a lender's funds may be not idle but part of an ongoing commercial cycle. In this sense money seems productive — not because the coins themselves reproduce, but because money can be placed into activities that produce, trade, transform, or serve.

This double character creates the central tension. Treated only as consumable, money makes every surplus payment above principal appear suspect: the borrower received ownership, used the money, and owes an equivalent, and to ask for more is to charge for the use of something whose use cannot be separately sold. Treated only as productive capital,

money makes the usury prohibition appear naive: money can clearly be used to generate profit, so why should the one who provides it receive nothing? Why should a merchant, investor, or institution be treated as though capital had no productive role? The entire scholastic tradition struggles inside this tension.

Aquinas's basic usury argument is built on the consumable character of money in the *mutuum*. Money is used by being spent; its use is not separable from its substance the way the use of a house is separable from the house. A house may be rented, used, and returned. Wine may not be rented in the same way, because to use wine is to consume it — and money, in a *mutuum*, is treated like wine: to use it is to spend it. Charging for the use of money while also demanding repayment of principal is therefore unjust. But Aquinas also recognizes that money can be placed in a different kind of relation. If a person entrusts money to a merchant by way of partnership, the arrangement is not a *mutuum*. The capital remains exposed; the investor shares risk; and if profit comes, the investor may share in it, because he has not merely sold the use of money — he has participated in a common venture.

This distinction is the key. Money is not morally classified in isolation but according to the form of the relation in which it is placed. In a *mutuum*, money is lent as a consumable thing, ownership passes, and an equivalent is owed. In a partnership, money is contributed to a shared undertaking, risk remains with the investor, and profit-sharing may be just. In a sale, money is exchanged for a good; in a wage relation, it compensates labor; in an administrative charge, it may reimburse cost; in an insurance-like arrangement, it may correspond to risk assumed. The same material thing — money — can participate in different moral forms, which is why contract classification becomes so important for the scholastics. They are not merely asking whether money was involved but what kind of relation was created: a loan, a partnership, a sale, an exchange, a deposit, an insurance — or a disguised loan under another name.

The danger is that money's productive capacity can be used to obscure the moral form. A lender may say: "The borrower used my money profitably; therefore I deserve a share." Aquinas replies: if this was a *mutuum*, the borrower used his own money, because ownership had passed. The lender does not deserve profit simply because the borrower did well; to share profit, he must stand in a relation of partnership or risk-bearing participation, not merely creditor claim. This is still one of the most important distinctions for modern finance. A bank loan to a business and an equity investment in that business may both provide money, but morally they are not the same: in one, repayment may be owed regardless of success; in the other, return depends on the fortunes of the enterprise. A revenue-based financing instrument, a convertible note, a preferred equity stack, a recoverable grant, a steward-owned capital structure, and a subordinated mission loan may all involve money moving now in exchange for possible future payments, but their moral forms differ depending on ownership, risk, control, priority, enforcement, and vulnerability. The old question remains: is capital participating, or merely claiming?

This is where the four extrinsic titles become necessary, because the strict *mutuum* analysis does not exhaust economic reality. Lending can cause actual loss; delay can injure; capital can be diverted from concrete productive use; principal can be genuinely exposed to loss; an institution can incur labor and expense; a merchant's money may be functionally different from idle coin. The titles therefore ask whether the surplus corresponds to something real beyond the bare loan. But they also protect against a dangerous conclusion, for the fact that money can be productive in some contexts does not mean that every loan entitles the lender to profit. Money's productive possibilities do not automatically transform a *mutuum* into a partnership; the borrower's success does not retroactively make the creditor a co-entrepreneur; the existence of alternative investments does not automatically

make every borrower liable for opportunity cost; the presence of default risk does not automatically justify a risk premium if the lender has shifted most of the real downside to the borrower. This is the central discipline of the tradition, holding four truths in tension: money can be productive, but not every holder of money is entitled to production; capital can serve enterprise, but not every creditor participates in enterprise; risk can justify return, but not every claim of risk is genuine risk-bearing; foregone profit can sometimes matter, but not every imagined alternative is morally compensable.

This is why the simple phrase “money is sterile” is both useful and misleading: useful because it resists the idea that money, merely as money, naturally deserves offspring; misleading if it suggests that money cannot be placed into productive, risk-bearing, labor-supporting arrangements. The deeper point is not that money can never be associated with productivity but that productivity must be morally located. Where does the increase actually come from — work, trade, risk-bearing participation, genuine service, restored loss, shared enterprise? Or from the legal power to demand more from someone who needed money? That question is more precise than either “money is sterile” or “capital is productive.” Money is materially capable of enabling productive activity; morally, it does not automatically deserve the fruits of that activity. The entitlement depends on the relation.

The problem with much modern finance is that it treats capital’s entitlement as automatic. Capital is assumed to have a cost; capital must be compensated; capital could have gone elsewhere; capital has a market price; capital expects return. The claims are so familiar that they appear neutral. The scholastic tradition asks for moral proof. What is the title? What is the loss, the risk, the labor, the partnership? What is the actual relation between the one who provides money and the one who uses it? Without that proof, the claim may be nothing more than money demanding offspring.

The double character of money also explains why the doctrine develops historically. In a simple subsistence context, a loan of grain or money to the poor looks very different from an investment in a trading voyage; the moral danger of extraction is obvious. But as commerce grows more complex, money appears in more forms — circulating through merchants, fairs, bills of exchange, public debt, exchange contracts, partnerships, charitable lending institutions, and eventually more sophisticated financial instruments — and theologians cannot simply repeat the biblical prohibition without analysis. They must classify. Roman law matters here because it gives the category of the *mutuum*, where money is a consumable thing whose ownership passes, and beside it the categories that allow different moral forms — partnership, deposit, sale, hire, pledge; without these distinctions every surplus might look the same, and with them theologians can ask whether an arrangement is really a *mutuum* or something else. Aristotle matters because he warns that money should not be made to breed money — without that warning, the productive use of money could easily become a universal excuse for interest — and because he keeps asking whether money has become an end in itself. Scripture matters because it remembers that the borrower is not an abstraction: without it, contract classification turns morally bloodless, and the poor brother, the cloak, the release, and the God who hears keep the analysis rooted in life. And Aquinas matters because he holds the streams together, seeing that the *mutuum* is morally different from partnership, that actual loss can be compensated, that profit not yet possessed cannot simply be sold, that money is used by being spent and yet that capital placed at risk in a partnership may share profit. His synthesis does not eliminate the tension. It gives later thinkers the tools to work within it.

For a modern reader, the double character of money may be the single most important point in the whole doctrine. Treat money only as consumable, and we fail to understand investment, risk, enterprise, and productive capital; treat it only as productive, and we

fail to see how easily lending becomes extraction. Christian moral economy must see both — and then tell one thing from another. A loan to a poor household is not the same as capital contributed to a cooperative enterprise. A secured senior debt instrument is not the same as a subordinated, loss-absorbing investment. A late-payment penalty is not the same as ordinary yield — unless it is engineered to become so. A management fee may reimburse labor, or extract regardless of outcome; a preferred return may compensate real risk, or protect capital while others bear loss; an opportunity cost may reflect a concrete foregone use, or be an abstract demand that money must always grow. The moral work lies in distinguishing these.

The old categories remain useful because they force us to slow down. They keep us from saying simply “interest is bad” or “capital deserves return,” and they make us examine the structure instead. Who owns? Who uses? Who bears risk? Who governs? Who receives surplus? Who can lose, and who can enforce? Who benefits if things go wrong — who is protected by the contract, and who is exposed by it? Money’s double character makes these questions unavoidable, because there is little money cannot do: it can be consumed or invested, serve exchange or command labor, bridge time, generate claims, enable production, intensify dependency; it can be a tool of solidarity or a weapon of extraction. The moral meaning of money depends on the relation it enters.

That is why the history of usury is not merely a history of changing attitudes toward interest but of attempts to discern the moral form of financial relation under conditions of increasing complexity. The question is never simply whether money produced more money, but by what title, through what relation, at whose risk, and for whose life. Only when those questions are answered can we know whether money has served its proper purpose — or whether it has begun, once again, to pretend that it can breed.

PART II

Roman Law and the Legal Anatomy of Lending

CHAPTER 4

The Birth of the Mutuum

4.1 The mutuum as Roman legal category

The word *mutuum* comes not from Scripture but from Roman law, and the difference matters. The Christian doctrine of usury was never built from biblical commands alone. It is a joined structure — biblical moral theology, Greek philosophy, Roman legal categories, canon-law discipline, and scholastic analysis, each supplying what the others lacked. Scripture gives the moral world: the poor borrower, the brother, the cloak, the Sabbath release, the God who hears. Aristotle gives the philosophical suspicion of money breeding money. Roman law gives the technical form on which the whole medieval argument will turn: the *mutuum*, the loan for consumption.

A *mutuum* is a loan of fungible, consumable things — money, grain, wine, oil, silver, gold, anything measured by number, weight, or measure. Such things are used by being used up: spent, consumed, mixed, alienated, replaced by equivalent. Lend a man a horse and you expect the same horse back; lend him a tool and you expect the same tool. But lend him a sack of grain and you do not expect the same grains back. He will eat them, plant them, sell them, or mix them into his own store, and later return grain of the same quantity and quality. Lend him money and you do not expect the same coins; he will spend them, and later return an equivalent amount. This is the essential feature of the *mutuum*: the borrower receives ownership of the thing, uses it as his own, and later owes an equivalent — in the tradition's compact term, the *tantundem*, the same in quantity and quality.

That makes the *mutuum* different from the ordinary modern intuition of "lending." In everyday speech, to lend something usually means to let another person use what remains mine: I lend a book, a bicycle, a house, and each remains mine; the borrower has use, not ownership, and the same thing is expected back. In a *mutuum*, what is transferred is not merely use but ownership. The borrower becomes owner of the thing lent; the lender no longer owns the specific thing at all; what remains to him is a claim — the borrower must return an equivalent amount later.

This one legal detail is the hinge of the entire usury doctrine. If ownership has passed, the lender cannot say, "You are using my money" — strictly speaking, the borrower is using his own money, because the lender transferred ownership. The lender may say, "You owe me equivalent repayment." He cannot say, "I still own the money, and you must pay rent for its use." The money is no longer his.

The *mutuum* thus creates a very specific moral anatomy. The borrower owns the money, may spend it, and bears the ordinary risk of whatever is done with it. The lender holds a claim to equivalent repayment, no longer owns the specific money transferred, and cannot charge for the use of what he no longer owns. This is why the Roman category became so powerful in Christian theology: it let theologians explain the biblical suspicion of lending at increase through the structure of ownership and use. The problem is not only that the

borrower may be poor or the lender greedy; it is that in this type of contract, the lender has transferred ownership and therefore cannot sell the use of the thing as if it remained his.

Consumability presses the same point from another side. A consumable good is used by being consumed or alienated: wine by drinking it, grain by eating, planting, selling, or mixing it, money by spending it. The use cannot be separated from the thing the way the use of a house can. One can rent a house, because the house remains after use; one cannot rent wine or money in that sense, because to use the wine is to drink it, and to use money in a *mutuum* is to spend it. This hands Aquinas one of his central arguments. A lender who charges for the use of money and also requires repayment of the principal is charging twice — once for the thing itself, and once for a use not separable from the thing. He is selling the same thing twice, and in the logic of the *mutuum* that is incoherent and unjust.

But the Roman category also draws boundaries, and they matter as much as the prohibition. Not every transfer of money is a *mutuum*, and not every surplus is usury. Money may be placed into partnership, used to buy a share in an enterprise, entrusted for trade under risk, exchanged in a sale, deposited, paid as wages or fees, or contributed to a common undertaking. The later doctrine becomes technical precisely because the moral question depends partly on legal classification — a true *mutuum* gets one analysis, a true partnership another, a sale, exchange, deposit, lease, pledge, or insurance-like arrangement another still. The same material object, money, can enter quite different legal and moral relations, and so the central question becomes: what is this contract really? A lender might call something a partnership when it is actually a loan; a merchant might disguise usury as exchange; a creditor might hide interest in a sale price; a financier might invoke risk while securing repayment; a late penalty might function as planned yield. The scholastic tradition became sophisticated because financial actors became sophisticated first, and the law of the *mutuum* gave theologians one clear standard against which the disguises could be judged.

The category also explains why the doctrine of usury is not simply a rejection of profit. In a partnership, profit-sharing can be legitimate because the investor remains exposed to loss. Wages are legitimate because labor has been given. Administrative costs may be recovered if they are real. A sale's just price may include legitimate elements of value. The usury prohibition concerns a particular kind of surplus from a particular kind of contract: gain demanded because of a loan for consumption.

The precision matters, because modern debate tends to collapse the old doctrine into "the Church used to ban interest" — a sentence both true and misleading. True, in that the tradition condemned gain from the *mutuum* itself; misleading, if it suggests that all return, all profit, all investment, all cost recovery, and all risk-sharing were treated identically. The tradition's core question was never simply whether money came back with more money, but whether the surplus arose from the loan itself or from some other legitimate title — and the *mutuum* is the baseline against which those titles are measured.

Watch the baseline work. If I lend you 100 in a *mutuum*, the bare contract gives me a claim to 100; if I ask for 110 simply because I lent you 100, the surplus comes from the loan itself and is usurious. But if your failure to repay on time causes me actual damage, a different question arises — likewise if I suffer a real loss because of the loan, if I had a concrete, licit, foregone profit, or if my principal was genuinely at risk. These are the extrinsic titles, and they are intelligible only because the *mutuum* itself is understood to generate no surplus claim beyond repayment of the equivalent. Without the *mutuum*, the extrinsic titles float in the air; with it, they become precise — not general excuses for profit, but reasons external to a contract that, by itself, entitles the lender only to equivalent return.

The etymology traditionally given for *mutuum* says exactly this: *meum fit tuum* — "mine

becomes yours.” Whether treated as strict etymology or as juridical explanation, it captures the moral heart of the contract. What was mine has become yours; that is why I cannot rent it to you after making it yours. I may demand the equivalent you promised to return; I may not treat myself as still owner of the thing whose use I claim to sell. This little phrase contains the whole controversy. If mine has become yours, what exactly am I charging for? The tradition’s answer is severe: if I charge simply because time has passed while you used what became yours, I am charging unjustly — treating ownership as if it both passed and did not pass, demanding the benefits of transfer and of retention at once. I have given the thing in a *mutuum*, and I am behaving as though I had leased it.

Modern finance will object that money is not merely consumed: it can be invested, it has opportunity cost, it can earn in alternative uses, it is subject to inflation and risk. The objections are not frivolous — the later scholastics wrestled with them in the doctrines of *lucrum cessans*, *damnum emergens*, *periculum sortis*, and related titles. But the *mutuum* still forces modern finance to answer a question it often avoids: is the lender truly participating in a productive use, or merely holding a repayment claim? If truly participating, then perhaps the contract is not a pure *mutuum* at all but partnership, equity, subordinated risk capital, revenue-sharing, or some other structure of shared outcome. But a lender protected by a fixed claim, collateral, priority, and enforcement rights cannot simply claim the moral status of a partner. The legal and economic structure decides.

This is why the *mutuum* remains relevant to modern non-extractive finance: it distinguishes capital that shares vulnerability from capital that merely claims payment. It asks whether a funder is a partner in mission or a creditor of mission; whether capital is at risk with the enterprise or standing above it; whether surplus is linked to real contribution, loss, labor, or shared risk, or merely to the fact that capital was advanced. The Roman lawyers did not develop the *mutuum* for impact investing, steward ownership, venture capital, or moral-economy dashboards, but the category remains surprisingly sharp. It says: first determine the form of the relation. If ownership passes and equivalent repayment is owed regardless of outcome, you are in the world of the *mutuum*, where surplus is not self-justifying and must be explained. If ownership does not simply pass — if risk is shared, capital remains exposed, gain and loss are held together — you may be in another moral form; but that too must be examined, because names are not enough. A contract called “equity” can behave like debt; called “partnership,” it can hide domination; called “mission-aligned,” it can still protect capital at the expense of the enterprise. The scholastic instinct is to look past the label to the moral structure.

The birth of the *mutuum* is therefore the birth of the question that will guide the rest of this book: when capital gives, what does it still own? When capital claims, what title does it have? When capital receives more, what justifies the surplus? Roman law gave the Christian tradition the legal anatomy of the first question. Scripture gave it the moral urgency; Aristotle gave it the suspicion of money’s unnatural increase; Aquinas will bring them together. But the word that makes the doctrine technically precise is this one. *Mutuum*: mine becomes yours — and because it becomes yours, I must not charge you as if it remained mine.

4.2 Gaius and Justinian

The Roman category of *mutuum* entered the medieval tradition through juristic texts, above all through Gaius and Justinian — a fact worth pausing over, because the scholastic doctrine of usury rests not on a general intuition that “lending at interest is bad” but on a very specific legal understanding of what kind of contract a loan for consumption is. The

theologians inherited that anatomy from Roman law and interpreted it through Scripture, Aristotle, and Christian justice.

Gaius is a suitably curious founder for so precise a tradition. He wrote his *Institutes*, a teaching manual of Roman law, around AD 161, and that is close to everything anyone knows about him — not even his full name survives. His book, though, enjoyed two remarkable afterlives. In the sixth century, Justinian's compilers quarried it for their own student manual. Then it vanished, and stayed vanished until 1816, when the historian Barthold Georg Niebuhr, examining manuscripts in the chapter library at Verona, noticed that a copied text of St. Jerome had been written over something older. Underneath lay the *Institutes* of Gaius, nearly whole — almost the only work of classical Roman legal science to reach us substantially complete outside Justinian's compilation.

In the *Institutes*, Gaius explains obligations arising from contracts, including obligations that arise *re* — by the thing itself, by actual delivery — what the tradition would call a *contractus re*, a real contract. The *mutuum* is his paradigm case (*Institutes* 3.90). The obligation arises not because words were spoken or consent exchanged, but because something has been handed over. The *mutuum* begins in delivery: one person gives another a thing measured by number, weight, or measure — money, wine, oil, grain, bronze, silver, gold — and because the thing is fungible and consumable, the recipient owes back not the identical thing but an equivalent. The obligation flows from the fact that the thing has passed into his ownership.

This is the legal foundation of the later phrase *meum fit tuum* — mine becomes yours. The phrase is associated especially with Justinian's *Institutes* (3.14), where the loan for consumption is explained in precisely these terms: the reason it is called *mutuum*, the tradition says, is that what is mine becomes yours. Whether one treats that as exact etymology or as juridical explanation, its importance is unmistakable. The lender does not merely permit use; he makes the thing the borrower's. The borrower becomes owner and must later return the equivalent.

This is why the Roman jurists classify the *mutuum* apart from other arrangements. Hand a thing over to be kept safe and returned, and you have made a deposit; lend it to be used and returned, a loan for use, a *commodatum*; hire it out for payment, and you are in the world of lease and hire; join resources in a common enterprise, and you have a partnership. The *mutuum* is different because the very thing handed over is expected back only in equivalent, never as the same thing.

That makes the contract legally elegant and morally dangerous at once. Elegant, because it matches the nature of fungible goods: borrowed grain can be planted, ground, eaten, or mixed, with no need to keep the individual grains separate, so long as the same quantity and quality comes back; borrowed money can be spent, so long as the same amount is repaid. But the same elegance creates the problem. Since ownership passes, the lender's claim changes form: he no longer has the thing — the borrower owns it — and what he has instead is a legal action for equivalent repayment, not an ongoing ownership claim over the thing's use. That transformation is exactly what the later theologians would seize upon. If the lender no longer owns the thing, on what basis can he charge for its use? The borrower is not renting the lender's money; he is using what has become his own. The lender may demand the equivalent, but to demand more because of use appears to contradict the structure of the contract itself.

Justinian's formulation mattered so much in the medieval world because Justinian's texts were there to be read. The *Corpus Iuris Civilis*, issued between 529 and 534 — with the *Institutes* of 533 serving as a first-year textbook that nonetheless carried the force of law — was recovered, studied, glossed, and taught in the universities, and became one of the great foundations of the medieval *ius commune*, the shared legal culture in which Roman

law and canon law interacted. Medieval theologians did not operate in a vacuum. They lived in a world where jurists classified contracts carefully, and where contract classification had moral consequences. That is why a theological debate about usury became legally technical: the issue was never only whether the lender was greedy, but what contract had actually been made.

Gaius and Justinian gave the tradition the basic categories needed to ask that question. A *mutuum* is a real contract; it concerns fungible goods; ownership passes; the borrower owes equivalent return; the same thing is not returned; and the lender's right is a claim to repayment, not rent for use. Every one of these points would later become indispensable to Aquinas. When he argues that usury is unjust because the use of consumable money cannot be sold separately from the money itself, he is not inventing the legal background; he is interpreting it philosophically and theologically. Roman law had already told him that in a *mutuum*, ownership passes and the borrower owes the equivalent; Aristotle, that money is for exchange and should not breed money; Scripture, that lending must not become exploitation of the poor or the brother. Aquinas joined these strands and gave them moral form — but without the Roman jurists, the argument would be far less precise.

The legal distinctions also explain why the tradition did not condemn all return from every financial arrangement. If the contract is not a *mutuum*, the usury analysis changes: a partnership does not transfer money in the same way, and the partner may retain a stake in the capital and share the risk; a lease concerns a thing whose use can be separated from its ownership; a sale exchanges ownership for a price; a wage compensates labor; a penalty may arise from wrongful delay, and compensation may repair actual damage. The *mutuum* is one contract among others; it became the central one because it is the form most associated with lending money.

Which is also why disguised contracts became so important. If a lender could conceal a *mutuum* under the form of a sale, an exchange, a partnership, or a penalty clause, the prohibition could be evaded. The scholastics therefore became experts at looking beneath legal form to moral substance — asking whether the structure really transfers risk, whether ownership truly remains, whether a price difference hides a loan, whether the penalty is quietly expected, whether the partnership is genuine, whether the exchange is real, or whether a *mutuum* has merely been dressed up in another form. The Roman jurists give the categories; the theologians ask whether they are being used truthfully.

Modern finance has not retired the lesson. Legal names are still not enough; structure still matters. An instrument may be called preferred equity and behave like senior debt; called a revenue share and include repayment guarantees that shift the downside back to the company; called patient capital and carry control rights that force an exit; called impact investment and demand returns that override mission; called a partnership while capital is protected and labor bears the risk. The old scholastic instinct, inherited partly from Roman legal precision, is to ask of every such instrument: what is this thing really?

Gaius and Justinian matter, in the end, not only because they defined an ancient contract but because they trained a way of seeing. Different relations must not be confused: a thing handed over for use and return is not a thing handed over for consumption and equivalent repayment; a thing deposited is not a thing lent; a partnership is not a loan; a sale is not a disguised credit arrangement. Each form carries different rights, risks, and moral implications, and this legal clarity became indispensable for moral clarity. The later doctrine of the extrinsic titles depends on it. If the *mutuum* by itself gives only a claim to equivalent repayment, then anything beyond principal must be justified by something else — actual loss, culpable delay, concrete foregone gain, genuine risk, labor, or expense. Unless such a title is present, surplus demanded from the *mutuum* itself remains unjust.

The word *mutuum* therefore anchors the entire analysis, fixing what the lender is owed

before any additional title is considered — the default moral position: return of equivalent principal, no automatic surplus. From there the whole tradition unfolds. The canonists will ask whether penalties for delay are permissible. Aquinas will allow compensation for actual loss but reject charging for profit not made. Olivi, Cajetan, and the later scholastics will wrestle with foregone gain; Alexander of Alexandria, Molina, Lessius, and Lugo will wrestle with risk to principal. Benedict XIV will insist that gain from the loan itself remains usury even if other titles may coexist with the contract. And modern moral finance must still ask whether its returns are truly tied to risk, loss, labor, or participation — or are simply surplus from the loan itself under another name.

All of it begins with the legal fact that mine becomes yours. Gaius and Justinian give us no theology of usury — nothing about the poor brother, the cloak, the Sabbath release, the God who hears, or the unnaturalness of money breeding money. What they gave the Christian tradition was a juridical skeleton on which those concerns could take precise form: in a *mutuum*, the lender has transferred ownership; the borrower is not using what remains the lender's but owns what was given and owes an equivalent. That structure became the basis for one of the most powerful questions in the history of Christian moral economy — if the thing has become the borrower's, what exactly is the lender selling when he charges for its use? The usury doctrine takes shape around that question, and once it is asked, the lender's surplus can no longer be treated as self-evident. It must be justified.

4.3 *Mutuum, commodatum, depositum, locatio, and societas*

The *mutuum* comes into focus only when placed beside the other major Roman contract forms, because the Christian doctrine of usury depends not merely on the presence of money but on the moral and legal form of the transaction. Money can be lent, deposited, invested, paid, exchanged, pledged, hired out, or contributed to a partnership. The same material object can enter different legal relations, and the moral analysis changes depending on which relation is truly present. Roman law gave medieval theology a vocabulary for the differences. Theologians did not have to treat every transfer of money or goods as the same kind of act. They could ask: is this a *mutuum*, a *commodatum*, a *depositum*, a *locatio*, a *societas*, or something else? And once they had asked that, they could ask the deeper moral question: is the contract being named truthfully?

The first contrast is between *mutuum* and *commodatum*. A *mutuum* is a loan for consumption: ownership passes to the borrower, who returns not the identical thing but an equivalent amount of the same kind and quality. Money, grain, wine, oil, and the other fungible goods belong naturally to this category, since to use them is to consume, spend, alienate, or mix them. A *commodatum*, by contrast, is a loan for use. The lender transfers no ownership; the borrower receives temporary use of a thing and must return the identical thing. Lend a horse, a tool, a book, a garment, a cart, or a house for a time, and the thing remains yours: the borrower may use it, but he must give it back, and its use is separable from its ownership.

This distinction is central to the usury argument. If I lend you a house, I can charge rent, because the house remains mine, its use can be separated from the thing itself, and the house remains after use — when the arrangement ends, it comes back to me. But if I lend you wine in a *mutuum*, you cannot use the wine and return the same wine. To use it is to drink it; the wine is gone; you must return equivalent wine or equivalent value. If I tried to charge separately for the “use” of the wine, I would be charging for something that cannot be separated from the wine itself. Aquinas will later stand exactly here. The use of a house can be sold separately from the house; the use of wine cannot; and money in a

mutuum is treated like wine rather than like a house. It is used by being spent. Therefore the lender cannot charge separately for its use.

The second contrast is between *mutuum* and *depositum*. A *depositum* is a deposit for safekeeping: one person gives another a thing to hold and return. The receiver is a custodian, not a user — he is not supposed to turn the thing to his own benefit; ownership remains with the depositor, and the identical thing is to be returned. This matters because money can change hands in ways that look superficially like lending but are actually closer to custody. Give a man coins to keep safe, without authority to spend them, and he is not a borrower in the sense of *mutuum* but a depositary; if he spends them, he has violated the trust. Give him money with authorization to spend it and an obligation to return an equivalent amount later, and the form is no longer *depositum* but *mutuum*: ownership has passed, he may use the money as his own, and you hold a claim to equivalent repayment. The point matters for moral theology because custody, trust, and ownership carry different obligations. A depositary must preserve; a borrower may consume; a partner may risk; a seller transfers ownership for a price; a renter permits use. Confusing these categories leads directly to moral confusion.

The third contrast is between *mutuum* and *locatio-conductio*, the broad Roman category of letting and hiring. In a *locatio*, one party may hire the use of a thing, the service of a person, or the completion of a work; rent and wages belong broadly to this world. The key point is that one can pay for use, labor, or service where those things are separable from ownership or where labor is actually performed. Hire a worker, and the payment is for labor. Rent a field, and the payment is for the use of land; rent a house, for the temporary use of a durable thing; hire a craftsman, for skill and work. In each case the payment corresponds to something real and separable — use, work, service, access. That is morally different from charging for the use of consumable money in a *mutuum*. The danger comes when lenders try to treat money as if it were a rentable durable thing. They say, in effect: I still own the money, and you are paying me for its use. But in a *mutuum* that is not true. The money has become the borrower's, and the lender cannot charge rent on what he no longer owns. This is why the later debates about *carentia pecuniae*, the absence of money — the claim to be paid for being without one's money for a term — become so sensitive. Is that absence a real, compensable burden, or merely a way of renting money after ownership has been transferred? Lessius will push the title in a more permissive direction; Lugo will worry that it dissolves the usury prohibition altogether.

The fourth contrast, perhaps the most important of all for modern non-extractive finance, is between *mutuum* and *societas*, or partnership. In a *societas*, parties join together in a common undertaking. They may contribute money, labor, goods, skill, or other resources, and — this is the crux — they share in the fortunes of the enterprise. They may share gain, but they also share risk. The capital is not simply handed over with a fixed claim to repayment regardless of outcome; it is committed to a common venture. That is why partnership can justify profit-sharing in a way that a *mutuum* cannot. If I lend you 100 in a *mutuum*, you owe me 100. If you use it well and make a profit, the profit is yours, because the money became yours; if you use it badly, you still owe me 100, because you are obligated to return the equivalent. I am a creditor. But if I contribute 100 to a partnership, and the capital is truly at risk in the enterprise, then I may share in the profit because I also share in the loss. I am not merely a creditor; I am a participant. I do not stand outside the enterprise with a fixed claim. I stand inside it, with exposure.

Aquinas uses this distinction directly. He says that if someone entrusts money to a merchant or craftsman by way of partnership, he may licitly receive part of the profit, because the capital remains at his risk. This is not usury: the investor is not selling the use of money in a *mutuum*; he is sharing in a risky undertaking. The distinction becomes the

ancestor of the later discussions of *periculum sortis*, the risk of principal, and its moral point is simple and profound: return is more justifiable when capital is genuinely vulnerable with the enterprise.

But the distinction also creates a danger. A contract can be called a partnership while functioning like a loan. If the funder receives a guaranteed return, priority repayment, collateral, control rights, and protection from loss, while the entrepreneur bears the real downside, then the moral substance may be closer to *mutuum* than to *societas*. The name “partnership” is not enough; the structure must be partnership-like. This is still a central problem in modern finance. Venture capital calls itself risk capital, and sometimes it is. But if capital uses liquidation preferences, control rights, anti-dilution clauses, forced exits, senior claims, or other protections to preserve its position while founders, workers, mission, and communities absorb the fragility, then the moral claim of partnership must be examined. Is capital truly at risk? Or has it purchased upside while shifting downside? The Roman distinction between *mutuum* and *societas* gives us a way to ask that question.

Around these four sit other related forms — *pignus*, the pledge, and the contracts of sale and exchange; Justinian’s Institutes counts *mutuum*, *commodatum*, *depositum*, and *pignus* as the four real contracts. These matter because finance often hides in mixed forms. A sale on credit can contain a hidden loan. A repurchase agreement can disguise financing. A pledge can secure repayment in ways that shift risk; an exchange contract can hide usury in manipulated rates; a lease can function economically like a loan. The scholastic tradition became attentive to such disguises because legal form can be used either to reveal moral truth or to conceal it.

The core insight is that money and goods are not morally self-interpreting. Their meaning depends on the relation created. If ownership passes and only an equivalent is owed, the relation is *mutuum*. If use is granted and the identical thing returns, the relation is *commodatum* or lease-like. If custody is given without beneficial use, the relation is *depositum*. If labor or service is performed, the payment belongs to hire. If the parties share a common enterprise, the relation is *societas*. If a pledge secures repayment, the creditor’s power must be examined. If a sale hides delay or credit, just-price and usury analysis may both be needed. This contract taxonomy may seem dry, but it is morally explosive. It prevents us from being fooled by labels, and it asks what has actually happened to ownership, use, risk, obligation, and return. Scripture says lending must not exploit the poor; Aristotle says money should not breed money; Roman law asks the question that puts both to work: what kind of transaction is this? The answer determines the moral analysis.

Watch it work in cases. Suppose money passes from A to B, and B must return the same amount regardless of success, with extra payment required for time — that looks like a *mutuum* with usury. Suppose money passes from A to B, but A bears real risk of loss and receives profit only if the enterprise succeeds — that looks more like *societas*. Suppose A pays B for labor in managing a fund, administering loans, or keeping accounts — that is not usury, if the payment corresponds to real work. Suppose B delays repayment and causes A actual harm — a penalty or compensation may be considered, but only if it is not a disguised price for time. Suppose A claims the money could have been used elsewhere — the question becomes whether there is a concrete foregone gain or merely abstract opportunity cost. These five distinctions are the foundation of the later extrinsic titles.

They also matter because injustice often works by category confusion. A lender wants the security of a creditor and the upside of a partner. An investor wants priority repayment and the rhetoric of risk-sharing. A fund wants management fees regardless of outcome and moral credit for mission alignment. A creditor wants penalties that function as yield but are described as discipline. A financier wants to call a loan a sale, a lease, an exchange, or

a partnership, because the name changes the moral perception. The scholastic instinct is to cut through all of it — to ask what is owned and what is owed, what is used and what is returned, what is at risk and what is guaranteed, what is shared, what is priced, and what is disguised. This is not legal pedantry; it is the discipline of truth in economic form.

For modern non-extractive finance, the taxonomy is still necessary equipment. A mission-driven capital structure cannot rely on good intentions or attractive labels. It must ask whether the legal form and the moral form align. If it says “partnership,” does it share loss? If it says “stewardship,” does governance actually protect mission? If it says “patient capital,” does the repayment schedule really adapt to enterprise life? If it says “risk capital,” can principal actually be lost? If it says “cost recovery,” are costs documented and capped? If it says “late penalty,” does the lender truly prefer timely repayment? Roman law gives the ancient version of this discipline. The categories are not sufficient by themselves, but they are necessary. They teach that different relations carry different moral meanings.

The *mutuum*, then, is not isolated. It belongs to a family of contract forms, and its moral force becomes clear only when contrasted with the others. It is not *commodatum*, because the identical thing is not returned. It is not *depositum*, because the borrower may use what is received. It is not *locatio*, because the lender is not merely renting out a durable thing whose use is separable from ownership. It is not *societas*, because the lender is not necessarily sharing risk in a common enterprise. It is a loan for consumption — and once that is clear, the question becomes unavoidable. If the lender has made the thing the borrower’s, and if the borrower owes only an equivalent by the nature of the contract, then any surplus must explain itself. That demand for explanation is the beginning of the extrinsic titles.

4.4 Nexum, debt bondage, and the Lex Poetelia

The Roman *mutuum* belongs to a more ancient and harsher history of debt. Before mature Roman law gave later jurists and theologians a relatively clean category of loan for consumption, Rome knew forms of debt tied much more directly to personal subjection. The most famous is *nexum*, an archaic institution associated with debt bondage. Its exact legal details are debated by historians, but its moral significance is clear enough: debt could bind not only goods, but persons.

This matters because the later doctrine of usury is often discussed as if it were only about money. Behind the legal categories lies a deeper question: what can a creditor’s claim do to a human being?

In the world of *nexum*, debt was not merely an obligation recorded in an account. It could become a relation of personal power. A debtor unable to satisfy an obligation could fall under the creditor’s control, and the debt relation could touch the body, labor, status, and freedom of the debtor. Debt was not only a claim on future repayment; it could become a claim on the person. This is the ancient shadow behind all later debt law. A society may try to distinguish debt from slavery, contract from domination, credit from bondage; history repeatedly shows how easily the lines blur. A person who owes and cannot pay may become dependent on the one who can enforce. The creditor may not own the debtor in the full legal sense, yet the debtor’s labor, time, family, property, and future may become bound to the creditor’s claim. Debt can become slavery by another route.

Rome’s movement away from archaic debt bondage is traditionally associated with the Lex Poetelia, often dated to the fourth century before Christ. The details are complex, and the ancient accounts are not always straightforward. Livy places the law in 326 BC and attaches it to the case of a young man named Gaius Publius, bound over for his

father's debt, whom the creditor tried to abuse and then had flogged when he refused; he ran into the street, a crowd gathered, and the outcry carried the matter to the senate (Varro puts the law later, in 313). What the received tradition credits to the Lex Poetelia is the turning point that matters here: money lent was thereafter to be recovered from the debtor's goods, not from his body. It marks a movement away from the most severe forms of personal bondage for debt — an effort to shift enforcement away from direct subjection of the debtor's body and toward a more juridical obligation.

This is important for understanding the *mutuum*. The mature *mutuum* is not debt bondage. It is a legal contract in which ownership of fungible goods passes and equivalent repayment is owed. The borrower is not, simply by borrowing, placed into personal bondage. The creditor has a claim to repayment, not ownership of the debtor's body. That is a real moral advance.

But it does not remove the danger entirely. A debt can cease to be formal bondage and still create domination. The creditor may no longer seize the debtor as a bonded person, yet may still enforce against land, goods, labor, collateral, wages, family resources, or future income. The form has changed, but the moral danger remains: an obligation can become a means by which one person's future is controlled by another's past claim.

This is why the history of *nexum* belongs in the prehistory of usury. The Christian tradition inherited Roman law after Rome had already tried to domesticate the violence of debt. The *mutuum* looks clean, formal, and juridical compared with archaic debt bondage. Yet Scripture, Aristotle, and Christian theology prevented the tradition from treating that juridical cleanliness as morally sufficient. A loan may be legally well formed and still exploit. A contract may avoid personal bondage and still generate dependency. A creditor may hold a claim rather than a body, and yet the claim may still bind the person's life. The movement from *nexum* to *mutuum* therefore raises a question that remains relevant in every age: is it enough to remove the most visible forms of coercion, or must debt itself be judged by whether it creates domination?

Roman law increasingly refined obligations, contract forms, and remedies. This refinement made economic life more legible and less overtly violent. But legal refinement can also obscure moral reality. When debt bondage becomes contract enforcement, the violence becomes less visible. It moves from the body to the ledger, from chains to claims, from personal seizure to asset seizure, from direct mastery to structured dependency. The law may become more civilized while the debtor remains trapped.

This is one reason biblical memory remains necessary. Israel's Scripture does not allow us to forget that debt can recreate slavery. Exodus, Leviticus, and Deuteronomy repeatedly place debt under the memory of liberation. The question is not merely whether the debtor has been formally enslaved. The question is whether the debt relation contradicts the freedom God intends for the people. Similarly, the later Christian usury tradition will not be satisfied with "the borrower consented," or "the contract was legally valid," or "the creditor did not own the borrower's body." It will ask whether the lender's surplus is just, whether the borrower's need has been exploited, whether repayment is proportionate, whether risk is shared, whether loss is restored rather than invented, and whether the creditor has charged for what cannot rightly be sold.

The old specter of debt bondage sharpens these questions. It reminds us that the issue is not only whether a lender receives ten percent or five percent or two percent. The issue is what the claim does. Does it support the borrower's life, work, household, and participation in community? Or does it gradually pull the borrower into dependence, loss of agency, and subordination? A low-interest debt can still dominate if it is secured against essential assets, enforced without mercy, or structured so that the borrower never escapes. A zero-interest debt can still dominate if it carries humiliating control rights or coercive

collateral. A formally risk-bearing investment can still dominate if capital uses governance powers to force mission-destroying outcomes. Conversely, a surplus payment may sometimes be just, if it corresponds to real loss, labor, or shared risk and does not degrade the borrower. The question is never only the rate; it is the relation.

The history of *nexum* helps make this visible because it shows debt at its most naked: obligation as personal subjection. The later *mutuum* abstracts and legalizes the relation. It says: ownership of the fungible thing passes; equivalent repayment is owed. That abstraction is useful. It makes commerce possible, reduces direct personal domination, and clarifies rights. But abstraction also makes it easier to forget that debt still touches persons. Modern finance has intensified the abstraction far beyond anything Rome knew. Debts can be securitized, tranced, sold, insured, scored, automated, accelerated, refinanced, and enforced by institutions far removed from the original relation. The creditor may not know the debtor; the investor may not know the household; the fund may not know the worker. The claim moves while the person remains. That makes the old question more urgent, not less. A debt no longer needs chains to bind. It can bind through credit files, covenants, collateral, default clauses, platform dependence, data capture, liquidation preferences, personal guarantees, and repayment waterfalls. The mechanisms are cleaner, but the moral danger is familiar.

The Lex Poetelia, in this sense, represents both progress and warning. It represents progress because societies can and should limit the harshest forms of creditor power. To move from bodily bondage toward legal obligation is not nothing. Law can civilize debt: it can restrain violence, protect debtors from direct personal seizure, and make economic life more predictable and less brutal. But it is also a warning, because law can mistake formal improvement for moral completion. Once the debtor is no longer literally enslaved, a society may think the problem has been solved, while the creditor's claim remains capable of consuming the debtor's future. The form of domination has changed, not disappeared.

This is why Christian moral economy must look beneath legal progress to the structure of power. The Roman *mutuum* tells us who owns the money and what must be repaid; that is necessary. But Scripture asks whether the brother lives. Aristotle asks whether money has become an unnatural end in itself. Aquinas asks whether the lender is selling the use of what has become another's. The extrinsic titles ask whether surplus is tied to real loss, delay, foregone gain, or risk. And the memory of debt bondage asks whether the entire arrangement has begun to bind the person in a way contrary to justice.

That memory also helps explain why release matters. If debt can become bondage, then a just society needs ways to loosen the bond. The ancient clean slates, the Sabbath release, the Jubilee, the return of pledges, remission, restructuring, forgiveness, and bankruptcy all belong to the same moral family. They are ways of saying that the creditor's claim must not become a total claim over the person. Modern bankruptcy law, at its best, is a faint descendant of this ancient intuition. It recognizes that economic failure should not always result in permanent civil death — that a debtor may need a fresh start, that a household, entrepreneur, or company may need release from claims that otherwise make life impossible. But modern bankruptcy is often limited, uneven, and inaccessible, and many financial structures are designed precisely to avoid meaningful release. The deeper theological principle remains: debt must not become destiny.

The history of *nexum* gives this principle a Roman face. It shows what happens when debt attaches too directly to the person. The Lex Poetelia shows that law can intervene to sever or soften that attachment. The *mutuum* shows a later legal form in which obligation is refined into repayment of an equivalent. And the usury tradition will insist that even this refined obligation must be morally judged the moment surplus is demanded.

For non-extractive finance, the lesson is direct. A financing structure should be eval-

uated not only by its formal legality or stated mission, but by its power to bind. Does it create a path to freedom, or a path to dependency? Can the borrower recover from failure? Can the entrepreneur continue after a downturn? Can the enterprise preserve its mission? Can workers, suppliers, and communities survive the capital structure? Does the funder's claim remain limited, or does it expand into control over the whole future? A non-extractive structure must refuse the return of *nexum* in modern form. It must avoid personal guarantees that turn entrepreneurial risk into household ruin, unless they are truly necessary and proportionate; default clauses that give capital windfall control when the enterprise is weakest; collateral packages that seize the borrower's cloak, tools, or mission-critical assets without regard to life; repayment waterfalls that protect capital while exposing everyone else; and contracts that leave the borrower formally free but practically bound.

The old Roman story therefore belongs inside a Christian moral-economy book not as antiquarian legal history, but as warning. Debt always tends to reach beyond the thing lent — toward time and labor, toward land and family, toward governance, toward the body, toward the future. Law can restrain that reach; theology must judge it. The *mutuum* is a cleaner form than debt bondage, but it is not morally neutral. Once surplus is added, once repayment is enforced, once collateral is held, once delay is penalized, once risk is shifted, once opportunity cost is claimed, the old question returns: does the creditor's claim serve life, or does it bind life?

This is why the history of *nexum* and the Lex Poetelia belongs before the scholastic discussion of usury. The technical doctrine arises in the shadow of a much older danger. Debt can become a chain, and the chain may be made of metal, law, accounting, or contract; its moral meaning depends on whether the person bound by it can still live, act, belong, and be free. The Christian tradition will eventually ask whether the lender may receive more than principal. Behind that question stands an even older one: how far may one person's claim reach into another person's life?

4.5 Roman interest without interest in the *mutuum* itself

Roman law knew interest. It knew moneylending, commercial credit, maritime loans, stipulations for additional payment, and legal limits on rates. It knew that people borrowed money and repaid more than they had received, and that wealth could be made through lending. The Roman world was not naive about credit — Roman speech even had words for it: *usurae*, the sums paid for the use of borrowed money, and *foenus*, lending at interest as a business.

Which is precisely why the legal structure of the *mutuum* matters so much. In strict Roman analysis, the *mutuum* itself did not automatically generate interest. It created an obligation to return the equivalent of what had been received: if 100 was lent, 100 was owed. The extra payment — the *usurae* — did not arise naturally from the bare *mutuum*. It required some additional legal basis, often a separate formal promise, the *stipulatio*.

This distinction is essential for the later Christian tradition. The medieval theologians did not invent the idea that the loan for consumption, considered in itself, entitles the lender only to equivalent repayment. They inherited that structure from Roman law. What they did was interpret it morally and theologically: if the *mutuum* itself gives only a claim to equivalent return, then any surplus payment must be justified by something other than the *mutuum* itself. That is the seed of the entire extrinsic-title tradition.

The Roman legal world could permit interest through mechanisms outside the bare loan. A lender and borrower might enter into a *stipulatio*, a formal verbal promise, by

which the borrower promised to pay additional sums. But the legal enforceability of such an additional promise did not mean that interest was intrinsic to the *mutuum*. It meant that the law could recognize a separate obligation attached to, or accompanying, the loan. And this separation between principal and additional promise turns out to be morally significant in two directions at once. From one perspective, it allows interest-bearing lending to exist: the lender can structure the transaction so that principal is owed under the *mutuum* and additional payment is owed under the stipulation, the two claims kept apart by legal form. From the other perspective, the separation reveals that the surplus is not self-explanatory. If it must be added by another legal act, then it does not arise from the nature of the *mutuum*. It is not built into the loan for consumption. It must be accounted for.

The Christian tradition pressed this point more severely than Roman law ever did. Roman law might ask whether the stipulation was valid and within legal limits. Christian moral theology asks whether the additional payment is just. Is it compensation? Is it penalty? Is it payment for risk, or for labor, or for a foregone gain? Or is it simply payment for the use of money in a loan where ownership has passed? Legal enforceability and moral legitimacy are not the same, and the distinction between them becomes central to the scholastic usury doctrine. A contract can be valid in civil law and still be sinful. A promise can be enforceable and still unjust. A borrower may agree to pay surplus, and yet the lender may have no moral right to demand it. The old Roman separation between *mutuum* and stipulation therefore creates space for a deeper question: not merely what has been promised, but whether the promise should have been made or enforced at all.

Here is one of the great contributions of Christian moral theology to contract thinking: it refuses to identify consent with justice. A borrower may consent under need, or because there is no alternative; he may consent to a stipulation because hunger, tax, illness, business necessity, or social pressure leaves him little real freedom; and he may promise more than justice permits the lender to take. The fact of promise does not end the moral inquiry. Roman law gives form; Christian theology asks whether the form has become an instrument of injustice. This matters all the more because legal devices can make exploitation appear orderly. A lender does not need to seize a debtor violently if the debtor has already promised. The surplus can be documented, the repayment schedule clear, the obligation enforceable, the rate customary. Everything can appear clean. Yet the moral question remains: what is the creditor actually receiving, and why?

The Roman distinction also helps us see why the later extrinsic titles develop as they do. Aquinas and the scholastics were not simply opposed to all additional payment in every circumstance. They were opposed to surplus demanded from the *mutuum* itself. If another real title exists, the analysis changes. A borrower's culpable delay may create a new obligation. The lender's actual loss may require compensation. A concrete foregone gain may — in later thought, under strict conditions — be compensable. Genuine capital risk may justify return; labor and expense may be reimbursed. But none of these is the *mutuum* as such. Each is an additional moral reason that must be examined. In Christian hands, the Roman legal separation between principal and interest became a moral separation between principal and title. The principal is owed because of the *mutuum*. The surplus, if it is owed at all, must be owed because of something else — and that something else cannot be merely the passage of time; it cannot be merely the borrower's use of money, because in the *mutuum* the money has become the borrower's; it cannot be merely the lender's desire for gain, or the bare fact that the borrower agreed. It must correspond to a real circumstance that justice recognizes. This is the logic that will later be formalized in the language of extrinsic titles.

Roman law also knew limits on interest rates. Rates could be regulated, capped, condemned when excessive, or treated differently in different contexts. But rate limitation is

not the same as the scholastic doctrine of usury. A rate cap says: beyond this amount, the charge is unlawful. The scholastic doctrine asks a more radical question: by what right is any surplus demanded from this kind of loan at all? The distinction remains important today. Modern debates often focus on excessive interest — payday lending, predatory rates, exploitative fees, abusive credit cards, punitive default interest — and these are serious problems. But the older doctrine asks something deeper than whether the rate is too high. It asks whether the surplus has a just title. A low rate without a title may still be usurious in the strict moral sense. A higher payment with a real title may be just. The question is not only amount, but meaning.

Rome's treatment of interest teaches a further lesson: a society can normalize practices that theology later judges. The fact that Roman law allowed interest through stipulation did not settle the matter for Christian thinkers. They inherited the legal categories without accepting all the legal permissions as morally sufficient — an important methodological point for this whole book. Christian moral economy may learn from law without being ruled by law. It may use legal categories to understand transactions, respect legal form, even depend on law to make contracts stable and transparent. What it cannot do is say that whatever the law enforces is just. If it did, Scripture's critique of creditor oppression would be silenced, Aristotle's critique of money breeding money would be irrelevant, and Aquinas's moral analysis of the *mutuum* would collapse into civil enforceability. And the same lesson holds in another key: interest-bearing credit can become ordinary long before it is morally settled. A practice may be common, useful, legal, profitable, and socially embedded, and still remain theologically questionable. This is also true in modern finance. Discount rates, preferred returns, compounding interest, liquidity premiums, risk-adjusted yields, venture liquidation preferences, and debt covenants may all be ordinary. Their ordinariness does not make them morally transparent. The usury tradition begins from the refusal to let normal practice define justice.

The distinction between *mutuum* and separate interest promise also anticipates the later problem of contractual multiplication. If one cannot demand surplus from the loan itself, one may try to add another contract — a penalty clause, a sale at an inflated price, a foreign-exchange contract, a partnership in name only, an insurance fee, a service charge, a discount, a premium, a side agreement. Each may be legitimate in some circumstances; each may also conceal usury. This is why the scholastics become suspicious readers of contracts. They ask whether the additional obligation is genuinely separate or a disguise; whether it corresponds to real loss, labor, risk, or delay; or whether it is simply the old interest claim wearing another legal costume. The Roman *stipulatio* shows the problem in its earliest legal form. A separate promise can be real — or it can be the way surplus is attached to what, by itself, would bear no surplus. The moral question cannot stop at formal separateness. It must ask whether the added obligation has its own just cause.

That test remains one of the most important for non-extractive finance. A fund may say the return is not interest but a management fee — is the fee tied to real labor? That the payment is not interest but a late penalty — was the delay culpable, and is the penalty proportionate? That the return is not interest but risk compensation — is capital truly at risk? That the premium is not usury but opportunity cost — was the foregone gain concrete and licit? That the structure is equity, not debt — does the investor really share the downside? That the contract is legal — but is it just? The Roman world teaches that additional promises can be legally real. The Christian tradition teaches that they must also be morally real.

This is the heart of the movement from Roman law to scholastic theology. The jurist asks what obligation has been created; the theologian asks whether the obligation can be demanded in conscience. The jurist identifies the contract; the theologian judges the

claim. The mature doctrine of usury will therefore depend on both. Without Roman law, theology lacks precision. Without theology, law lacks judgment.

The *mutuum* itself gives a claim to equivalent repayment. Roman law may attach interest by stipulation. Christian theology asks whether that attachment is just: if it is merely payment for the use of money, it is usury; if it rests on a true external title, it may be permissible. The whole later debate unfolds inside that distinction. And this is why Roman interest without interest in the *mutuum* itself matters so much. The ancient legal tradition already contained the structural insight that later theology would radicalize: surplus is not native to the loan for consumption. It must be added — and because it must be added, it must be justified. That demand for justification is the beginning of moral finance.

4.6 The sea loan and risk-bearing finance

The sea loan stands at the edge of the *mutuum*. It looks like a loan: money is advanced, a voyage is financed, repayment may include a surplus. But the moral structure is not the same as an ordinary loan for consumption, because repayment depends on risk. If the ship or the cargo is lost, the lender may lose the principal. His capital is not simply protected by a fixed claim against the borrower. It is exposed to the peril of the voyage.

The Romans knew the arrangement as the *foenus nauticum*, the maritime loan, and the Digest gives it a title of its own (22.2, *De nautico faenore*), where the jurist Modestinus defines its subject matter with admirable plainness: *pecunia traiectica* is money that is carried across the sea. Roman law even priced the difference. Under Justinian's sliding caps, ordinary lenders could take at most six percent, while the sea loan alone was allowed twelve — the law's own admission that money afloat is not money ashore. The arrangement became important for later reflection because it showed, very early, that not every advance of money follows the same moral logic. When capital is genuinely at risk, surplus may be something other than payment for the bare use of money. It may be compensation for bearing peril. The sea loan therefore anticipates one of the most important of the later extrinsic titles: *periculum sortis*, the risk of the principal.

Consider the difference. In a normal *mutuum*, the borrower receives ownership of the money and owes equivalent repayment. If he spends the money badly, or fails to profit, or suffers ordinary difficulties, the debt remains; the lender has a claim; the principal is owed. The lender is not, in the ordinary structure of the contract, a participant in the borrower's success or failure. In a sea loan, the lender's position is different, because maritime trade was dangerous in ways every Roman merchant understood. Ships sank. Cargo could be lost. There were pirates, storms, war, navigational error, rot, delay, and markets that had moved by the time the goods arrived. If repayment is contingent on the successful arrival of the ship or cargo, then the lender has not merely lent with a guaranteed claim. He has exposed capital to the hazards of the enterprise.

That exposure changes the moral question. If the lender may lose the principal, then a higher return, if the voyage succeeds, can be understood as linked to the risk borne. The surplus is not simply produced by time, and it is not merely the price of the borrower's use of money. It corresponds to the fact that the lender may receive nothing if the venture fails. The logic is closer to insurance, partnership, or risk-sharing than to a pure *mutuum*.

This does not mean that every sea loan was morally clean, or that all risk-bearing finance is automatically just. A high-risk contract can still exploit need. A lender can exaggerate risk. A borrower can be trapped by necessity. A return can be disproportionate. Contractual form can still hide domination. But the sea loan establishes an essential principle — risk matters — because the relation between capital and enterprise has changed.

The later scholastic tradition would struggle for centuries to define exactly how it matters. Aquinas will distinguish the *mutuum* from partnership. Alexander of Alexandria will give an early formulation of *periculum sortis*. Molina, Lessius, and Lugo will develop risk to principal as a possible title for surplus. Rigorist critics will worry that the title can be stretched until almost every loan bears interest, since every borrower might default. The sea loan provides the ancient commercial case that makes the question unavoidable: if capital can genuinely be lost, can it receive more when the venture succeeds? Whatever the answer, it cannot be the same as in a risk-free *mutuum*.

The sea loan also clarifies why the risk must be real. It is not enough for the lender to say, abstractly, “there is always some risk.” In a genuine maritime loan, the risk is structurally built into the contract. The lender’s repayment depends on the venture’s survival, and if the ship is lost, the lender bears the loss. That is a different creature from the secured creditor who invokes risk while holding collateral, personal guarantees, senior claims, insurance, and enforcement rights.

The distinction is crucial for modern finance, which is fluent in the language of risk. Investors are said to bear risk; returns are justified as risk-adjusted compensation; higher returns are defended by pointing to uncertainty. The old sea-loan logic asks a sharper question: who actually loses if the venture fails? If the lender can enforce repayment from the borrower’s unrelated assets, the risk may not be truly shared. If capital is senior and collateralized, the risk may have been shifted downward. If founders personally guarantee the obligation, their household may bear the real peril. If workers lose jobs while investors recover principal, the risk has not been borne equally. If liquidation preferences protect capital before mission, employees, or suppliers, then capital may have purchased priority rather than shared vulnerability. A true sea-loan-like structure would say: if the ship does not arrive, capital loses. That is a severe and useful test.

The sea loan also helps distinguish risk-bearing from control. A lender may wish to receive a return because capital is at risk. But if the lender also uses control rights to force decisions that protect repayment at the expense of the enterprise, then the relation changes again. Risk compensation can become domination if capital holds both the upside claim and the governance power without corresponding vulnerability. This lands squarely on venture capital and private equity, which often describe themselves as risk capital. In many cases, capital really can be lost: venture investors do lose money when companies fail, and private equity investors may bear risk in some structures. But the moral analysis cannot stop at the abstract possibility of loss. One must examine the whole structure — liquidation preferences, debt loading, management fees, control rights, exit pressure, guarantees, seniority, and who is paid first when things go wrong. The old question is still the sea-loan question: does capital sail with the ship, or does it stand on shore with a claim against the sailors?

The sea loan also exposes the relationship between *periculum sortis* and *societas*. In partnership, parties share gains and losses because they are joined in a common enterprise. In a sea loan, the lender may not be a full partner, but his repayment is tied to the success or failure of the venture. The arrangement is therefore morally mixed — not pure partnership, not pure loan — a borderland where risk transforms the meaning of surplus. Much later, scholastic theology will have to decide whether such borderlands can be morally legitimate. Are they disguises for usury, or real forms of risk-sharing? The answer depends on the substance of the arrangement, and that dependence introduces a theme that will recur throughout this book. Financial contracts often exist along a spectrum rather than inside clean boxes. A contract can have features of loan, partnership, insurance, sale, and service all at once, and moral analysis must therefore examine the allocation of ownership, control, risk, profit, loss, and enforcement. Roman law provides categories, but commerce

creates hybrids. Theology must learn to classify without being deceived.

The sea loan even complicates Aristotle's suspicion of money breeding money. If money is merely lent at interest, the critique seems straightforward: money has produced more money. But if money is advanced into a dangerous voyage and may be lost entirely, the surplus paid upon success no longer looks like money breeding from money alone. It looks like compensation for exposure to loss in a real undertaking involving ships, sailors, cargo, weather, distance, and danger. The increase is not detached from life; it is tied to a venture. Here is the root of the morally decisive difference between sterile increase and risk-bearing participation. Christian theology will need that difference badly. Without it, the usury prohibition would collapse into a blanket suspicion of all capital deployment. With it, theology can distinguish between a creditor extracting from a borrower's need and an investor genuinely sharing the fate of an enterprise.

Yet the sea loan also warns us not to romanticize risk. Risk can be priced unjustly. Risk can be imposed on the desperate, used rhetorically, double-counted, borne by one party and paid to another. Risk can become the language by which capital justifies high returns while protecting itself structurally. This is why *periculum sortis* will become both necessary and dangerous — necessary because real risk matters, dangerous because almost any lender can claim some. The tradition must therefore ask not only whether risk exists, but whether it is substantial, specific, assumed, proportionate, and actually borne by the one who receives the surplus.

The sea loan supplies the clean case because its risk is visible. The ship arrives or it does not; the cargo survives or it does not; the lender is repaid or loses. Modern finance often makes risk much less visible — spread, hedged, securitized, insured, tranced, shifted, hidden in contracts — which makes the old sea-loan question harder to answer, but not obsolete. Indeed, the more complex finance becomes, the more important the question becomes. Where is the ship, and who is on it? Who owns the cargo, who receives the profit if it arrives, and who loses if it sinks? Who has insured themselves, who has shifted the danger to someone else, and who speaks of risk while standing safely on shore? These are not merely metaphors; they are moral accounting questions.

For non-extractive finance, the sea loan points toward a discipline of genuine participation. Capital should not claim the moral status of risk-bearing unless it truly bears risk. If capital wants upside, it must be willing to absorb downside; if it wants to be called patient, it must not demand repayment on terms that destroy the enterprise; if it wants to be called mission-aligned, it must not protect itself by sacrificing mission when the storms come. And if it wants compensation for peril, it must actually sail. And there is a positive vision here, not merely a test. Not all finance is extraction. Money can be advanced in ways that genuinely share risk, enable enterprise, and serve life. A well-structured investment can allow people to build what they could not build alone; it can spread risk among those able to bear it; it can support trade, production, innovation, and community; it can create solidarity across time and uncertainty. The usury tradition does not reject that possibility; it demands that the possibility be truthful.

The sea loan is therefore important because it shows, early in the legal-commercial tradition, that surplus can be morally different when capital is genuinely exposed. It prepares the way for Aquinas's distinction between loan and partnership, for the later title of *periculum sortis*, and for the modern question of loss absorption. At the same time, it preserves the discipline of structure. Risk is not a slogan; it is a legal and economic fact, visible in what happens when the ship sinks. That is the test. When the venture fails, who bears the loss? The answer reveals whether capital was truly at risk, or merely charging for danger borne by someone else.

CHAPTER 5

The Mutuum Enters Christian Moral Theology

5.1 From Roman law to the medieval *ius commune*

The Roman *mutuum* did not become the centerpiece of Christian usury doctrine by accident. It arrived there through one of the great intellectual events of the Middle Ages: the recovery of Roman law and the formation of the *ius commune* — the shared legal culture, Roman law and canon law studied side by side, that shaped medieval Europe.

The transition matters because usury doctrine was never only a matter of quoting the Bible; it was equally a matter of legal classification. The Church knew the biblical prohibitions against lending at interest, had inherited the patristic condemnations of usury, preached mercy toward the poor, and warned against avarice. But as medieval economic life grew more complicated, general moral warnings stopped being enough. Confessors, bishops, theologians, merchants, judges, and canon lawyers needed to know what counted as a loan, a sale, a partnership, compensation — and usury in disguise.

Roman law supplied much of the vocabulary. From the late eleventh and twelfth centuries onward, the study of Justinian's compilations became central to the medieval universities, above all at Bologna, where the teaching of law is traditionally dated from 1088. The *Corpus Iuris Civilis* — the vast compilation Justinian's lawyers had assembled at Constantinople between 529 and 534 — handed medieval jurists an inheritance of contract categories, definitions, distinctions, and remedies. They did not reproduce it as if nothing had changed; they glossed, interpreted, and adapted it to the legal realities of their own world. But the Roman categories became part of the intellectual furniture of medieval Europe.

Canon law, meanwhile, was maturing into a sophisticated legal system of its own. The *Decretum Gratiani* — compiled at Bologna around 1140 — with the papal decretals, the councils, the penitential traditions, and the working canonists, created a body of law that governed ecclesial life and reached deep into moral reasoning at large. Canon law did not merely repeat Roman civil law. It judged economic conduct in the light of Scripture, the Fathers, ecclesiastical discipline, and the salvation of souls — and did the judging with a lawyer's precision.

The result was the *ius commune*, a shared juristic world in which Roman and canon law were studied side by side — sometimes harmonized, sometimes distinguished, sometimes left in honest tension. In that world a theologian discussing usury could not avoid legal categories if he tried. "Is this usury?" usually turned on a prior question: "What kind of contract is this?"

So the *mutuum* entered Christian moral theology along a chain of professions, each with its own stake in the answer. The Roman jurist defined it as a loan for consumption. The canonist asked whether gain from such a loan was usury. The theologian asked why such gain was unjust before God. The confessor had to decide whether the penitent in front of him had sinned, whether restitution was owed, whether a given contract was morally

permissible — which was precisely what the merchant wanted to know before signing it. The bishop and the preacher warned against practices that exploited the poor, and the university master tried to organize the whole business into doctrine. That is how a Roman legal category became a Christian moral instrument.

The *mutuum* earned its place because it made the usury question precise. The biblical texts condemn taking interest from the poor brother and warn against creditor oppression; medieval commerce kept producing cases that fit no simple picture of subsistence lending: merchants and exchange contracts, sea loans and partnerships, delayed payments, damages, penalties, public debt, the lender who suffers an actual loss, the capital genuinely exposed to risk. To answer any of these, one first had to tell contracts apart. A *mutuum* was not a *societas*; a *commodatum* was not a *locatio*; a *depositum* was not a *mutuum*. A sale on credit was not always innocent, a partnership could be genuine or fictitious, a penalty real or a disguise, an exchange contract a service to trade or a hidden loan. The medieval jurist and theologian had to become, in short, a reader of economic form.

The *ius commune* made that reading possible. It trained thinkers to see law not as a list of commands but as a way of classifying relations. Who owns? Who owes? Who may use, and who must return? Who bears risk, and who receives profit? Who has a remedy, and what is the cause of the obligation? The questions were legal, and they became moral.

Into this field the Church's anti-usury tradition brought one severe claim: in a *mutuum*, more than the principal may not be demanded merely because of the loan. If more is demanded, the surplus must be justified by something outside the loan itself. Here the language of extrinsic titles gradually becomes possible. The legal form of the *mutuum* sets the baseline; the moral tradition then asks whether any additional title exists.

The *ius commune* let this reasoning become systematic. Without Roman law, Christian teaching against usury might have remained largely exhortative — do not exploit the poor, do not be greedy, do not lend at interest — commands that are true but cannot classify a complex contract. Without canon law, the Roman categories might have remained morally thin: valid or invalid, enforceable or unenforceable, nothing said to the conscience. The *ius commune* brought the two together, and Christian theology became morally serious and legally precise at once.

Not that the synthesis was simple, or always successful. Legal precision could become a tool for evasion, and every distinction the tradition developed was one more opportunity for a clever financier. If a *mutuum* was forbidden to bear gain, one could disguise the loan as a sale. If interest was forbidden, one could build the return into a penalty. If lending was suspect, one could call the arrangement a partnership while quietly eliminating any real loss to capital. If gain from money was condemned, one could claim damages, opportunity cost, exchange risk, or lack of liquidity. The *ius commune* created clarity and temptation in the same stroke, giving moral theology the tools to detect usury and economic actors the tools to hide it.

This is why the best scholastic writers are never mere formalists. They do not ask only what a contract is called; they ask what it does — whether risk truly passes and ownership really transfers, whether the penalty is expected and the damages are real, whether the partnership shares loss, whether the exchange is genuine, whether the borrower's need is being exploited. The legal form matters, but the moral substance matters more.

The lesson carries straight into modern finance. Today's contracts are vastly more complex than medieval loans, but the problem is an old acquaintance: legal form can reveal moral truth or conceal it. A preferred equity instrument can behave like debt. A revenue-based investment can become a disguised fixed claim. A management fee can be cost recovery or extraction, a default penalty can discipline delay or monetize distress, a mission lock can be real or decorative — and a fund can call itself non-extractive while preserving

investor priority in every downside scenario. The medieval *ius commune* teaches us to take legal form seriously without being deceived by it.

For non-extractive capital the method matters doubly, because non-extraction cannot be declared by intention alone. It has to be structured — visible in ownership, governance, repayment, risk allocation, collateral, control rights, surplus distribution, default treatment, and exit rules. If the legal form says one thing and the economic substance another, the moral claim fails. The medieval tradition knew that sin could hide in contracts — that a transaction could be formally clever and spiritually corrupt — which is exactly why canon lawyers and theologians spent so much energy on classification.

The reception of Roman law also changed the scale of moral theology, letting Christian thinkers move from individual admonition to institutional analysis — from “Was this lender greedy?” to “What does this form of transaction do?” A confessor could weigh one penitent’s soul; a jurist or theologian could ask whether a whole class of contracts was dangerous. For moral economy that shift is essential. A sinful economy is not built only from bad intentions. It is built from forms that train, permit, reward, and conceal certain kinds of action.

The *mutuum* is one such form. It is not sinful in itself; a gratuitous loan for consumption can be an act of charity or plain necessity. But by its structure it cannot justify surplus on its own, and the moment surplus is attached to it, the moral analysis must begin. Is the surplus intrinsic to the loan? Then it is usury. Is it extrinsic, real, proportionate, and just? Then it may be permissible.

This is also why the usury doctrine grows steadily more elaborate over time. As economic life develops, new instruments keep testing the inherited categories: commercial expansion, urban markets, long-distance trade, merchant partnerships, bills of exchange, public debt, rent charges, charitable loan funds, late payment penalties. Theologians could not simply repeat “usury is forbidden” without saying what counted as usury. They had to discern; the *ius commune* supplied the tools, and Christian theology supplied their purpose. The point was never classification for its own sake. The point was justice — to protect the borrower from unjust extraction, to protect the lender from real uncompensated harm where justice permits compensation, to distinguish partnership from domination, to identify disguised usury, and to keep economic life ordered toward God and neighbor.

That is why the entry of the *mutuum* into Christian moral theology is such a decisive moment. It allowed the Church to say something more precise than “do not be greedy” — to say: in this kind of contract, ownership passes, the borrower owes the equivalent, and surplus from the loan itself is unjust. If you claim more, name the title. Prove the loss. Show the risk. Document the labor. Explain the delay. Demonstrate that this is not a disguised price for time or use.

The demand for explanation remains urgently contemporary. Modern finance is full of surplus claims — fees, premiums, interest, penalties, preferences, warrants, carried interest, liquidation rights, management charges, monitoring fees, origination fees, default interest, exit rights — each claiming legitimacy, deserved or not. The medieval method asks each to explain itself morally. What is the title, and what is the substance? Who bears risk? Who is restored, who is enriched, who is vulnerable? Who governs, and who loses if things go wrong? The *ius commune* does not answer these modern questions directly. It gives us the habit of asking them through the structure of the contract — the conviction that moral theology must understand law, and that law must be judged by justice.

None of this is historical curiosity. The *mutuum*’s entry is the moment the biblical concern for debt became legally articulate — the cry of the poor meeting the categories of the jurist, “do not exploit your brother” becoming a precise analysis of ownership, use, repayment, and surplus. That joining of moral urgency and legal precision is what makes the

scholastic doctrine of usury still worth recovering.

5.2 Canon law and the anti-usury tradition

Roman law gave the medieval world a precise legal category for the loan for consumption. Canon law placed that category under the judgment of the Church.

The judgment was much older than the universities. Christian suspicion of usury reaches back through Scripture, the Fathers, the councils, penitential discipline, and pastoral concern for the poor. The Church had inherited the biblical prohibitions against taking increase from the poor and the brother, the prophetic condemnation of those who profit from the vulnerable, and the memory of debt as bondage and release as divine mercy. Long before any scholastic refined the distinction between intrinsic and extrinsic titles, Christian preaching and discipline treated usury as a grave moral danger.

Canon law gave that concern institutional form. The Church did not merely advise Christians to be generous; it regulated, prohibited, disciplined, and classified. It developed rules for confession and restitution, clerical conduct and burial, ecclesial penalties and the moral evaluation of contracts. Usury was treated not as a private eccentricity but as a sin that affected the soul, the neighbor, and the community. This matters, because the scholastic doctrine did not arise from abstract theory alone. It arose from a pastoral and juridical problem — people were lending, borrowing, trading, pledging, delaying, compensating, disguising, and evading, and the Church had to judge what Christians could do in conscience.

Canon law brought together several strands. First, it received the biblical and patristic condemnation of lending at interest. The Fathers speak of usury with great severity, above all where it exploits the poor: they see it as contrary to charity, mercy, and justice, and they condemn the creditor who harvests gain from another's hardship. Their language is more prophetic than technical — they do not always distinguish every commercial case — but it establishes the moral seriousness of the issue.

Second, canon law absorbed and adapted the Roman legal categories. The Church could condemn usury while still using Roman law to determine what kind of contract was actually present. The *mutuum* became central because it identified the kind of loan in which ownership passes and equivalent repayment is owed; once that category was in view, the canonist could ask whether additional payment was being demanded from the loan itself.

Third, canon law developed a penitential and restorative framework. Usury was not only forbidden; it required restitution. A lender who had taken unjust gain could not simply repent inwardly — he had to restore what he had wrongfully taken, insofar as possible. This links usury to commutative justice: the wrong is not merely a disordered desire but an unjust taking that disturbs equality between persons.

Fourth, canon law had to deal with evasion, since the more clearly usury was condemned, the more incentive there was to hide it. A usurious loan could be dressed as a sale, an exchange, a penalty, a partnership, a rent, a fee, or a gift. The tradition therefore grew attentive to fraud, intention, substance, and form, asking not only what a contract said but what it was designed to accomplish.

That concern with disguise runs through the entire history of the extrinsic titles. A penalty for late payment may be perfectly legitimate; set the deadline unrealistically enough that default is expected, though, and the penalty becomes disguised interest. Compensation for actual loss may be legitimate — unless the loss is fictional, in which case it is a pretext. Foregone profit may become relevant in certain concrete commercial cases,

but invoked for every possible alternative gain, opportunity cost becomes a universal excuse. And risk to principal may justify surplus where capital is truly exposed — not where capital sits protected while the risk is shifted onto the borrower. Canon law trained moral theology to suspect such disguises.

One canon-law concept matters more than any other here: *interesse*. The word is dangerous for modern readers because it looks like “interest,” but its older meaning is closer to compensation for loss — something that “stands between” the injured party and the position he should have occupied. If a person suffers a real loss because another fails to perform an obligation, compensation may be owed. That is not profit from a loan; it is repair of damage. *Interesse* becomes the root of *damnum emergens*, actual loss arising, and it shapes the later discussions of delay, penalty, and foregone gain. Canonists and theologians had to decide, case by case, when a payment above principal was truly compensatory and when it was usury under another name.

The distinction between compensation and profit is one of canon law’s great contributions to the usury tradition, and it blocks two opposite errors. The first would be to condemn every payment above principal in every circumstance, even where the lender has suffered real damage or borne real cost — which would make lending, and charitable credit with it, impossible in some cases, and would leave justice unrestored where the borrower’s conduct has harmed the lender. The second would be to allow every surplus that can be described as compensation — which would make the prohibition meaningless, since every lender can invent some inconvenience, possible gain, risk, or delay. Canon law holds the middle: the *mutuum* itself justifies no surplus, yet real injuries, costs, or external circumstances may create separate obligations. The difficulty is discerning which is which.

This is why figures such as Raymond of Peñafort and Hostiensis matter so much: they stand exactly where pastoral confession, canon law, and contract analysis meet. Raymond — the Catalan Dominican who also compiled the great collection of papal decretals promulgated by Gregory IX in 1234 — addressed practical cases for working confessors in his *Summa de casibus poenitentiae*. Hostiensis — Henry of Susa, who became cardinal-bishop of Ostia, took his name from the office, and died in 1271 — systematized the legal exceptions and distinctions. Between them they helped build the language the later scholastics would speak.

Hostiensis is especially important for his association with the early lists of recognized cases in which something beyond principal might be received without usury — ideas such as penalty not in fraud, partnership, gift freely given, and other external circumstances. The details vary and the tradition kept developing, but the movement is clear: canon law begins to distinguish usurious surplus from surplus justified by another title.

This is the prehistory of the four extrinsic titles. *Poenia conventionalis* develops from the recognition that a penalty for breach or delay may be legitimate if it is not a fraud on the usury prohibition; *damnum emergens*, from the recognition that actual loss may be compensated; *lucrum cessans*, far more controversially, from the debates over whether a foregone gain can count as a compensable detriment; *periculum sortis*, from the recognition that genuine risk to principal may change the moral form of the transaction. Canon law did not complete these doctrines all at once. It created the field in which they could develop.

It also created the anti-fraud instinct that must govern them. The canonists knew the human heart is clever: forbid usury, and usury will seek another name. The problem is not only open disobedience; it is legal creativity used against justice — hence the tradition’s insistence on examining intention, expectation, proportionality, and substance. Our structures are far more complex than medieval contracts, but the temptation is the same: preserve the economic substance of extraction while changing its legal name. Inter-

est becomes fee, control becomes governance right, extraction becomes preferred return; penalty is rebranded as default protection, speculation as opportunity cost, risk-shifting as risk pricing, mission capture as investor protection. Canon law teaches moral theology not to be fooled by labels.

The tradition also insisted that unjust gain required restitution. If usury is unjust taking, the remedy is not only confession or regret: the unjust surplus must be returned. This connects the doctrine to the broader scholastic treatment of restitution in commutative justice — to take more than justice allows is to disturb equality; to repent is to restore it. The modern implications are direct. If a financing structure is extractive, the problem is not solved by better language or future good intentions. There may be a need to change terms, return excessive payments, restructure obligations, release claims, or alter governance. Justice must reach the contract and the ledger. Canon law makes the doctrine practical: it asks not only what one should believe about lending but what must be done when unjust lending has occurred.

It shaped, too, the Christian imagination of the lender's vocation. The lender was not merely a market actor but a moral agent responsible before God. If he lent to the poor, he was called to charity; if he entered commerce, he was called to justice; if he received payment, he had to ask whether he had a title; if he took unjust gain, he endangered his soul. That may sound severe to modern ears, but it protects something important: finance is a place of salvation and sin, not spiritually neutral ground. How one lends, borrows, charges, forgives, delays, enforces, and restores belongs to the Christian life.

Canon law's treatment of usury also shows the Church grappling with the tension between universal moral teaching and diverse economic practice. A rural subsistence loan, a merchant advance, a maritime venture, a delayed sale, a public obligation, and a charitable pawn institution do not present the same moral facts, and the Church's task was to apply one prohibition wisely across all of them without emptying it of force. The balance is genuinely delicate. Too much rigidity, and legitimate compensation or risk-sharing may be condemned; too much flexibility, and usury returns under technical names. Too little legal precision, and complex cases cannot be judged; too much legal cleverness, and the poor are devoured through the exceptions.

Canon law stands at the beginning of this struggle, and its equipment was serious: the institutional standing to call usury sinful rather than merely unfortunate, the legal tools to classify contracts, the penitential framework for confession and restitution, the anti-fraud instinct for substance beneath form, and the early language of exception that would grow into the extrinsic titles.

For the structure of this book, canon law is therefore the bridge between biblical moral grammar and scholastic moral analysis. Scripture tells us the poor brother must live, the cloak must be returned, the debt must be released, and God hears the cry. Roman law tells us that in a *mutuum*, ownership passes and equivalent repayment is owed. Canon law asks what Christians may do with such contracts in conscience, and how the Church should judge those who take more than justice permits. The result is a tradition that treats finance as morally accountable in detail — and that is the legacy we need now. A modern non-extractive financial system cannot live on prophetic denunciation alone. It needs contract analysis, categories, audit, restitution mechanisms, and anti-fraud scrutiny; it needs to ask whether fees, penalties, returns, premiums, and preferences are truly justified or merely legalized extraction. Canon law's answer is that such work is not peripheral to Christian ethics. It belongs to the care of souls and the protection of neighbors.

The doctrine of usury becomes powerful precisely where biblical compassion, Roman legal precision, and canon-law discipline meet. The extrinsic titles will grow from that meeting. But before they become a scholastic taxonomy, they are already present as ques-

tions the canon-law tradition knew how to ask. Is this surplus truly compensation? Is this penalty truly penal? Is this partnership truly shared risk? Is this gift truly free? Is this contract a real form of justice, or a fraud against justice? Those questions are the beginning of Christian moral finance.

5.3 The central scholastic question

By the time the usury question enters the scholastic schools, the Church holds several inheritances at once. From Scripture comes the command not to exploit the poor brother, not to keep the cloak overnight, not to harden the heart as the release year approaches, and not to allow debt to recreate bondage among God's people. From Aristotle comes the suspicion that money, whose purpose is exchange, should not be made to breed money from itself. From Roman law comes the category of the *mutuum*, the loan for consumption in which ownership passes to the borrower and equivalent repayment is owed. From canon law come the prohibition of usury, the duty of restitution, and the anti-fraud instinct that looks beneath contractual form to moral substance.

Scholastic theology receives all of this and asks one precise question — the central scholastic question: from where does the lender's surplus claim arise? It is not enough to ask whether the borrower repaid more than he received; that settles nothing by itself. The deeper question is whether the additional payment arises from the loan itself or from some external title that justice can recognize. If the lender says, "You owe me more because I lent you money," the surplus arises from the *mutuum* itself, and that is usury. If he says, "You owe me more because your delay caused damage," or "because I suffered an actual loss," or "because a concrete gain was interrupted," or "because my principal was genuinely exposed to loss," the theologian must investigate further. The claim may still be false, exaggerated, or a disguise, but the lender is no longer claiming surplus from the bare loan; he is invoking a title. This distinction — surplus from the loan itself against surplus from something external to it — is the hinge of the whole doctrine.

The scholastics are not asking the simplistic question "Is interest good or bad?" They are asking what, exactly, is being paid for. Is the borrower paying for the use of money? Compensating actual damage? Being penalized for culpable delay? Reimbursing real administrative expense? Sharing profit with someone whose capital was truly at risk? Compensating a merchant for a concrete foregone gain? Or simply paying tribute to the fact that he needed money and time passed? The question forces the whole financial relation into the light: what the lender gave, what the borrower received, who owned the thing transferred, who bore risk, what was promised, what changed, what was damaged, what was delayed, what was foregone, what was actually at stake, and what is now being demanded.

The question is not hostile to complexity; it is a discipline for it. Loans can be charitable, commercial, desperate, strategic, productive, or predatory. Money can be idle, needed, invested, pledged, lost, or risked. Borrowers can be poor households, merchants, cities, princes, monasteries, or enterprises; lenders can be neighbors, merchants, charitable institutions, professional moneylenders, investors, or communities. Contracts can be pure or mixed, transparent or disguised, and a single transaction can contain elements of loan, sale, pledge, partnership, service, insurance, and penalty at once. The scholastic task is to discern the moral form inside that complexity.

Discernment begins with the *mutuum*. The lender transfers ownership of a consumable thing; the borrower owes an equivalent; the lender does not retain the thing and so cannot rent out its use; the bare loan generates no title to surplus. That is the baseline — but

not the end of the inquiry. If something else happens — the borrower delays, the lender suffers real loss, capital is exposed to risk, labor is performed, a partnership is formed — the theologian asks whether that something else creates a just title. This is the origin of the extrinsic-title tradition.

The question avoids two opposite mistakes. The first is rigor without distinction: any payment above principal is usury, regardless of circumstance. That protects the borrower from many abuses, but it can be unjust to the lender. If the borrower's delay causes real damage, should the lender bear it entirely? If an institution incurs actual costs administering charitable credit, must it collapse? If capital is genuinely exposed to loss in a common enterprise, may it not share profit? If a merchant's money was already committed to a concrete use, is the interruption of that use morally irrelevant? The second mistake is permissiveness without discipline: any surplus is acceptable if the parties agree or some plausible financial reason can be named. That recognizes complexity and destroys the heart of the prohibition. If every inconvenience becomes damage, every possible alternative becomes foregone profit, every default possibility becomes risk premium, and every delay becomes yield, the poor brother has no protection. The titles become masks.

The scholastic question resists both. Surplus is not automatically forbidden in every circumstance, but neither is it self-justifying. The lender must name the title; the title must be real; the amount must be proportionate; the structure must not be fraudulent; the borrower's vulnerability must be considered; the claim must restore or participate in justice, not extract from need.

That is why the tradition is so useful for modern moral finance: it does not let anyone rest in slogans. It will not let us say "interest is always bad," because it recognizes loss, risk, labor, partnership, and legitimate compensation. It will not let us say "capital deserves return," because it demands to know by what title capital receives more. "The market rate is fair" does not survive either, because market price may reflect bargaining power, scarcity, desperation, or normalized injustice; "the borrower agreed" fails, because consent under need may not make a claim just; and "the contract is legal" fails, because civil enforceability is not moral legitimacy.

Beneath all of these lies the sharper form of the question: what is the moral cause of the surplus? That word — cause — matters. A payment must have a reason in justice; it must correspond to something; it must not float above the transaction as a tribute to capital. If it is compensation, what loss does it compensate? If it is penalty, what wrongful delay does it punish or repair? If it is profit-share, what risk or participation justifies it? If it is fee, what labor or cost does it cover? If it is foregone gain, what concrete gain actually ceased? The scholastic method is forensic: it examines.

And it examines more than documents, because the lender's stated reason may not be the true one. A penalty may be described as discipline while secretly desired as revenue; a gift may be called voluntary while expected from the beginning; a partnership may be described as shared enterprise while structured to protect the investor from loss. A claim of damages may conceal ordinary interest, an opportunity-cost argument may conceal avarice, a risk premium may conceal risk-shifting. So the question must be asked of intention, incentives, and structure, not only of legal documents. The tradition is psychologically and institutionally shrewd here: it knows people can lie to themselves through contracts, building forms that make greed look like prudence, extraction like compensation, domination like partnership. The problem is not only bad people doing obvious wrong. It is economic creativity under the pressure of desire.

Hence the importance of the language of fraud. The issue is not only whether a title exists in name but whether it is being used *in fraudem usurarum* — in fraud of the usury prohibition. A title used fraudulently is not a title at all. It is camouflage.

The central scholastic question therefore has two parts — first, is there an external title? second, is the title genuine? — and only if both are answered yes can the surplus be morally defended. That double test will structure the rest of the doctrine. *Poena conventionalis* must be tested: is the penalty truly for culpable delay, or engineered as yield? *Damnum emergens*: is the loss actual, or invented? *Lucrum cessans*: was the foregone gain concrete and morally certain enough, or merely hypothetical? *Periculum sortis*: is capital truly at risk, or has risk been shifted elsewhere? Each title is both a possible justification and a possible deception.

For that reason the titles should not be described as loopholes. A loophole lets one escape the spirit of the law while satisfying its letter. A genuine extrinsic title does the opposite: it preserves the spirit of the law by distinguishing unjust gain from real compensation, keeping the prohibition from becoming crude and financial complexity from becoming lawless. But every genuine title can be turned into a loophole if severed from its moral test. That is the drama of the tradition. Early canonists and theologians begin by protecting the gratuitous character of the *mutuum*; later writers confront increasingly complex commerce. Some titles expand and some are narrowed; some become widely accepted and others remain controversial. The doctrine grows more flexible, and in the same measure more vulnerable to abuse. By the time of Lessius and Lugo it is sophisticated enough to analyze risk, foregone gain, insurance, and liquidity — and sophisticated enough that one must ask whether the old prohibition has been preserved or hollowed out.

So the central question must be asked again and again, at every stage of development: is this still a doctrine against extraction, or has it become a manual for justifying return? The answer is not always the same. Some authors preserve the tension well; others stretch the titles dangerously; some rigorists react by trying to close doors commerce has already forced open. The history is not a straight line from ignorance to enlightenment. It is a long struggle to keep moral truth alive inside economic complexity.

For this book, that struggle is the point. The scholastic doctrine matters today because modern finance lives inside complexity. If the only Christian answer is a general denunciation of interest, it will be dismissed as impractical or imprecise; if the only Christian answer is acceptance of market practice, it will be morally empty. The scholastic method offers another path: classify carefully, ask for the title, test the title, examine risk and loss, expose disguise, and judge the relation by justice.

For non-extractive finance the method is not optional. A non-extractive fund cannot simply declare itself non-extractive; it must be able to explain every surplus claim. Why does capital receive this payment? Why does this fee exist? Why is this repayment priority justified, this penalty proportionate, this return linked to risk? Why does this governance right not dominate the enterprise? Why does this structure serve mission rather than investor exit? The scholastic question becomes a design principle: no surplus without title; no title without substance; no substance without proof; no proof without proportionality; no proportionality without attention to the borrower's life; no contract without judgment before God and neighbor.

This is the deep logic connecting medieval usury doctrine to modern moral finance. The scholastics did not know venture capital term sheets, liquidation preferences, management fees, convertible notes, revenue-based financing, securitized debt, private equity roll-ups, platform monopolies, or AI infrastructure finance. They knew the basic problem: money creates claims, claims create power, and power seeks justification. Their central question remains devastatingly relevant — by what right does capital receive more? Everything else in the doctrine unfolds from that question.

5.4 Mutuum as moral anatomy

The *mutuum* is more than a legal category. Once it enters Christian moral theology, it becomes a kind of moral anatomy — an instrument for dissecting a financial relation. Who owns the thing transferred? Who may use it? Who bears the ordinary risk? What must be returned, what remains with the lender, what has passed to the borrower — and what, if anything, can be charged beyond the equivalent? The *mutuum* makes these questions precise.

The precision matters because debt is morally confusing. A lender gives something; a borrower receives it; time passes; the borrower uses what he received while the lender waits. The lender may feel deprived, the borrower may benefit, and it can seem obvious — especially to modern eyes — that the lender should receive something extra. He did not have the money during that time. The borrower did, and may have used it profitably; the lender might have used it elsewhere. Why should he receive only the same amount back? The *mutuum* slows this reasoning down. First, it says, ask what happened when the money was lent.

The first cut of the anatomy: ownership and claim are not the same thing. If the transaction was truly a *mutuum*, ownership passed. What was the lender's became the borrower's. The borrower did not rent the lender's money; he received ownership of it and became obligated to return an equivalent. The lender no longer owned the money itself. He owned a claim. He may have a right to repayment, but he does not still own the very money transferred, so he cannot say the borrower must pay for using "the lender's money." In the legal and moral form of the *mutuum* it is no longer the lender's money; it is the borrower's, and the borrower owes an equivalent.

This runs against the way modern finance talks. We say, "I lent you my money"; "You used my capital"; "I should be compensated for the time you had my funds." The phrases are understandable, but the *mutuum* asks whether they are strictly true. In a *mutuum* the lender's continuing right is not ownership of the money's use but a personal claim to equivalent repayment — and that changes the moral meaning of surplus. If the lender still owned the thing and merely allowed the borrower to use it, payment for use might make sense; that is the world of rent, of hire, of *commodatum* with additional arrangements. But if ownership has passed, charging for use becomes morally suspect. The lender would be treating the thing as both transferred and retained.

This is why Aquinas's argument is so elegant (ST II-II, q.78, a.1). In a loan of consumable goods, the use of the thing is the thing's consumption: to drink wine is to use it, to eat grain is to use it, to spend money is to use it. A lender who demands repayment of the equivalent and also charges for the use sells the same thing twice — the return of the thing's equivalent plus the price of a use that is not separable from the thing. The *mutuum* thus exposes the hidden contradiction in usury. The lender wants the benefits of having transferred ownership and the benefits of having retained it: he wants the borrower to bear the obligation of an owner, since the equivalent is owed regardless of what the borrower did with the money, and he wants the payment due to an owner, since he charges for use as if the money remained his. That is the moral anatomy of usury in its strict form.

The second cut concerns risk. In a *mutuum* the borrower generally bears the ordinary risk of what happens to the money once ownership has passed. If he spends it badly, he still owes the equivalent; if he profits greatly, the profit is his; if the coins are lost, the obligation does not disappear with them, because the obligation is to return an equivalent. The lender's claim is fixed by the debt, not by the fortunes of the borrower's use. So the lender does not ordinarily share the enterprise risk — he is owed repayment whether or not the borrower succeeds — and that is exactly why he cannot claim a share of the borrower's

profit. He did not share the downside; he stood outside with a claim.

In *societas*, partnership, everything is otherwise. Capital is placed into a common enterprise; the investor may lose and may gain; profit-sharing is morally intelligible because risk-sharing is real. The participant does not stand outside the venture with a guaranteed claim — he stands inside its uncertainty. The distinction between *mutuum* and *societas* gives the tradition its way of telling creditor from partner: the creditor asks to be repaid; the partner shares the venture's fate. And the difference is not merely legal but moral and spiritual. The creditor may be helpful, but he remains outside the borrower's risk; the partner becomes vulnerable with the enterprise. If capital wants the moral legitimacy of participation, it must accept the vulnerability of participation. This is why the later title *periculum sortis* matters: if the lender truly bears risk of principal, the relation may no longer be morally equivalent to a pure *mutuum*. But the risk must be real. A creditor cannot claim partnership-like surplus while preserving creditor-like protection. He cannot stand outside the storm and claim the wages of those who sailed.

The third cut concerns time. Modern finance often assumes that time itself justifies payment: money now is worth more than money later, so a borrower who holds money over time owes the lender for the duration. The scholastic tradition does not ignore time; it refuses to treat time as automatically saleable by the lender. In the *mutuum* the lender is not selling time and is not renting a durable thing across time. He has transferred ownership of a consumable and holds a claim to equivalent repayment, and the mere passage of time creates no title to more. Something must happen in time that justice recognizes: damage, delay, lost concrete use, genuine risk, labor, expense. Hence the importance of *poena conventionalis*, *damnum emergens*, *lucrum cessans*, and *periculum sortis* — they identify the moral events or structures that can arise around time. Delay may be culpable; loss may occur; gain may be interrupted; risk may be borne. But time as such is not enough. This is one of the sharpest challenges the tradition poses to modern finance, which treats the time value of money as axiomatic. The scholastics ask: whose time is being priced, and by what right? If the lender has suffered no actual loss, borne no genuine risk, provided no ongoing labor, and foregone no concrete use, what exactly does the passage of time justify?

The fourth cut concerns surplus. The *mutuum* reveals that surplus is not native to the contract: the bare loan for consumption creates an obligation to return the equivalent, and anything beyond that must explain itself. This is the foundation of the extrinsic-title doctrine. The lender may say: I suffered actual loss; the borrower delayed culpably; I gave up a concrete and licit gain; my principal was genuinely exposed to loss; I performed labor; I incurred expense; I insured risk. Each claim can be examined — some may be valid, some exaggerated, some fraudulent — but the *mutuum* requires the lender to name the basis of the surplus. It prevents surplus from appearing natural. This may be its most important moral function: it denaturalizes return. Modern finance treats return as the natural property of capital — capital expects yield, capital has cost, capital requires compensation. The *mutuum* says: not so fast. If this is a loan for consumption, the principal is owed, the surplus is not self-evident, and the title must be named.

The fifth cut concerns the borrower's benefit. A borrower may use the money well — avoid a greater loss, build a business, earn profit, survive a crisis. Does this benefit justify the lender's surplus? The strict analysis says no, not by itself. If ownership has passed, the borrower's gain is the borrower's. The lender may rejoice that the borrower benefited, but he cannot claim the benefit simply because his former money helped make it possible. The point is morally radical, because it resists a common intuition: "You benefited from my money, therefore I deserve part of the benefit." The tradition replies: only if the relation was structured as participation — partnership, risk-sharing, or another title-bearing

form. In a *mutuum* you gave ownership and retained a claim to equivalent repayment; you did not retain a claim on all the fruits of the borrower's use. The modern application is direct, because capital often claims the right to participate in upside while avoiding full participation in downside — you built with our money, therefore we deserve a share. The scholastic question cuts through: what relation did you actually create? Were you a partner? Did you bear risk? Did you share governance responsibly? Did you expose your principal? Or did you retain a protected claim, and now seek additional upside anyway?

The sixth cut concerns the lender's deprivation. During the term of the loan the lender does not have the money, and the deprivation feels real. Does it automatically create a title? The stricter tradition says no. Being without the money is not, by itself, sufficient — otherwise every *mutuum* would bear return, and the usury prohibition would collapse. The deprivation must be connected to an actual loss, a concrete foregone gain, a real risk, or another recognized title. This is why *cauentia pecuniae*, the lack of money, becomes so controversial in later scholastic thought: if the mere absence of money is compensable, all lending can be priced. The *mutuum* therefore asks the lender to distinguish feeling deprived from being unjustly damaged — a spiritually important distinction. A lender may experience the absence of money as loss because he desires control, liquidity, or gain, and not every desire creates a claim in justice. Christian moral theology disciplines desire by asking whether what is missed was actually owed, actually lost, or actually at risk.

The seventh cut concerns charity and justice. The *mutuum* can be gratuitous. In its morally clean form the loan for consumption is an act of assistance — the lender hands over fungible goods for a time and receives the equivalent back — and it can be an act of neighborly help, especially when the borrower is in need. Scripture's commands around lending to the poor presuppose exactly that possibility: lending can be a form of mercy. The usurious *mutuum* corrupts this mercy by making need productive for the lender. Not every loan must be charitable in the same way; commercial life is complex. But the gratuitous structure of the *mutuum* remains morally significant. Not every act of providing money should become an income source. Sometimes the proper return is simply repayment, and sometimes the surplus belongs not to justice but to greed.

The eighth cut concerns restoration. If usury has been taken, restitution may be owed — it follows from the anatomy of the contract. A lender who received more than the contract and justice permitted has taken what was not his, and the remedy is not only regret but restoration: the unjust surplus must be returned where possible. The doctrine is not merely theoretical. It reaches the ledger. It changes accounts. It demands repair. For modern non-extractive finance this is crucial. If a financing structure is found to be extractive, rebranding is not enough. The structure may need to be changed, terms rewritten, excess payments returned or redirected, control rights relinquished, repayment restructured. The moral analysis must become operational.

Together the eight cuts give us a method. Begin with the contract. Identify ownership, use, risk, obligation, and surplus. Ask whether the surplus arises from the loan itself: if it does, it is usurious; if it does not, identify the title, test the title, require proportionality, consider the borrower's condition, and demand restitution where injustice has occurred. The method is old but not obsolete. It can be applied to modern loans, revenue-based finance, convertible instruments, preferred equity, foundation recoverable grants, mission loans, venture term sheets, private equity structures, supplier finance, platform credit, and fund repayment waterfalls. The forms are new; the moral anatomy remains recognizable. What is the transaction really? Who owns what, and who owes what? Who uses what, who bears loss, and who receives gain? Who can enforce, and who can walk away? Who is bound — and who is served?

The *mutuum* teaches that financial morality begins with the structure of relation: it

refuses to let money hide behind abstraction, asking what has passed, what remains, and what is claimed. This is why it became central to Christian moral theology — it made the old biblical concern precise. The poor borrower, the brother, the cloak, the release, and the God who hears all remain essential; the *mutuum* adds the legal clarity that in this kind of loan ownership passes and the equivalent is owed, so the lender may not charge for use as if ownership remained.

The whole moral anatomy of the *mutuum* can be summarized in one sentence. If mine has become yours, I may not charge you as though it remained mine. Everything else in the usury doctrine unfolds from that sentence.

PART III

**Aquinas: Justice, Just Price, Usury, and the
Theological Grammar of Surplus**

Commutative Justice in the Summa

6.1 Where Aquinas treats commutative justice

Aquinas does not begin his treatment of usury with money. He begins a long way back, with justice — and the distance is the point. Usury, for Aquinas, is not primarily a violation of financial efficiency, commercial custom, or economic productivity. It is a violation of justice, and specifically of commutative justice: the justice that governs exchanges, obligations, injuries, repayments, and restitution between persons.

Read only Aquinas's question on usury and the argument can seem narrow, a technical claim about money as a consumable good. But in the architecture of the *Summa Theologiae*, the question on usury comes near the end of a much larger treatment of justice, and the placement is deliberate. Aquinas wants the reader to understand lending, selling, price, fraud, repayment, and usury inside a broader account of what is due to another.

The relevant section is the *Secunda Secundae*, the Second Part of the Second Part of the Summa, where Aquinas treats the theological and cardinal virtues, justice among them. His discussion of justice begins with the concept of right, or *ius*, then moves through justice itself, injustice, judgment, the parts of justice, and restitution before reaching the various sins and acts related to justice. For the purposes of moral economy, several questions matter especially:

- II-II, q.57 - On right.
- II-II, q.58 - On justice.
- II-II, q.59 - On injustice.
- II-II, q.60 - On judgment.
- II-II, q.61 - On the parts of justice, including distributive and commutative justice.
- II-II, q.62 - On restitution.
- II-II, q.77 - On cheating in buying and selling, including just price.
- II-II, q.78 - On the sin of usury.

The sequence is not accidental. Aquinas first establishes what justice is, then how it divides, then how injustice is repaired, and only afterward how particular economic acts can violate it. Buying and selling, just price, and usury are not isolated economic curiosities; they are applications of a larger moral structure — the last rooms in a building you reach only by walking through the rooms that explain them.

The most important question for commutative justice is II-II, q.61, “Of the Parts of Justice.” In Article 1, Aquinas asks whether there are two species of justice, distributive and commutative, and follows Aristotle in answering that justice orders relations in two ways. One concerns the relation of the community to persons, above all in the distribution of common goods. The other concerns the relation of one person to another in exchanges and dealings. In Article 2 he explains that the two forms use different kinds of equality.

Distributive justice follows a proportional or geometrical equality: goods are distributed according to some relevant proportion — office, need, merit, role, contribution, or another ordering principle of the community. Commutative justice follows arithmetic equality: it concerns what one person gives, takes, owes, damages, restores, buys, sells, borrows, lends, or pays in relation to another.

The distinction is essential. Commutative justice is the justice of one-to-one relations, and its question is always whether equality between the parties has been preserved. If one person takes too much, injures another, pays too little, charges too much, withholds what is owed, or receives what is not due, equality is disturbed, and justice requires that it be restored.

This is why usury belongs here. The usurer receives more than is due under the moral structure of the *mutuum*: he disturbs equality in exchange by demanding a surplus the loan itself does not justify. The problem is not only greed, though greed may be present. The problem is that the lender receives what is not owed.

Aquinas's treatment of restitution in q.62 follows naturally. If commutative justice concerns equality between persons, then injustice creates an inequality that must be repaired, and restitution restores the balance: whoever has taken what belongs to another, or received more than justice permits, must give it back. This is why usury requires restitution. The unjust surplus is not merely spiritually unfortunate, a symptom of a disordered heart. It is a taking. The lender has received what he had no right to receive, and insofar as possible he must restore it.

The placement matters for the extrinsic titles too, because each title is an attempt to show that the lender has *not* received more than justice permits. If there is actual loss, compensation may restore equality. If there is culpable delay, a penalty may answer a new injustice. If there is concrete foregone gain, later theologians will ask whether that lost gain has become a compensable detriment. If capital is genuinely at risk, profit may correspond to participation in uncertainty rather than payment for the mere use of money. The titles are not random exceptions carved out of the prohibition; they are attempts to show that equality in commutative justice has not been violated.

The place of q.77, on buying and selling, is also crucial. Aquinas treats just price immediately before usury, and this too is no accident. In q.77 he asks whether it is lawful to sell a thing for more than it is worth, whether defects must be disclosed, and whether merchants may sell at a profit — questions about equality in exchange. A seller who charges more than the thing is worth, or hides a defect, injures the buyer and receives more than justice permits. In q.78, Aquinas applies the same concern to lending: a lender who charges for the use of money in a *mutuum* receives more than justice permits, because the use of consumable money cannot be sold separately from the money itself. Just price and usury belong to the same moral field, the preservation of equality in exchange.

Modern readers need this pressed, because we habitually separate pricing from justice. A price is whatever the market bears; a loan term is whatever the parties agree to. Aquinas does not think this way. For him, exchange is morally charged because one person can injure another by taking more than is due. Consent matters, but consent does not automatically make an exchange just. A person can agree to an unjust price. A borrower can agree to usury. A desperate party can consent to terms that exploit his need. The moral question remains — and this refusal to reduce justice to procedure is one of the great strengths of the framework. That a transaction occurred voluntarily does not settle whether equality was preserved; that a price was accepted does not prove the price was just; that a borrower promised repayment with surplus does not prove the lender has a right to the surplus. The transaction must be judged according to what is due.

The same refusal explains why Aquinas remains relevant in a world so different from

his own. Modern finance often assumes that sophistication, consent, disclosure, and legality are enough: if the parties are informed, the contract enforceable, the rate disclosed, the risks allocated, the transaction is treated as legitimate. Aquinas would ask a deeper question — does the transaction preserve justice between the parties? — and sophistication does not eliminate that question. It makes it more necessary, because the more complex a contract becomes, the easier it is to hide inequality inside form. A price can include hidden coercion. A fee can disguise yield. A penalty can monetize distress. A preferred return can shift risk, a covenant can transfer control, and a liquidation preference can let capital claim value ahead of mission, labor, and community. Legal complexity can make injustice harder to see. Commutative justice asks us to see it anyway.

Locating economic questions inside justice also blocks a purely utilitarian defense of finance. One might argue that interest-bearing lending produces economic growth, allocates capital, rewards saving, or enables investment. These may be real considerations, and Aquinas is not indifferent to usefulness. But usefulness does not eliminate justice. A practice can be productive and still unjust if it gives one person more than is due from another. The point lands squarely on non-extractive finance. A financing structure may help a company grow and still be extractive; provide needed capital and still demand unjust priority; enable innovation and still capture governance; fund a mission and still bend the mission toward investor exit. The fact that capital does something useful does not automatically justify every claim capital makes.

The question commutative justice asks instead — the question that will guide all of Aquinas's economic reasoning — is: what is due? In sale, what price is due? In restitution, what repair? In lending, what repayment? In partnership, what share? In injury, what compensation? In delay, what penalty or restoration? In risk, what return, if any? The language of "due" is the moral heart of justice.

It is also what distinguishes justice from generosity. A person may freely give more than is due: a borrower may offer a gift out of gratitude, a lender may forgive a debt out of mercy, a partner may accept less than his share for the sake of the enterprise. Charity may go beyond justice. But coercing, requiring, or contracting for what is not due violates justice, even if the other party agrees. This distinction will matter repeatedly in the usury tradition. A voluntary gift freely given after repayment may be permissible; a "gift" expected from the beginning is not truly free. A borrower's gratitude may be real; but if the lender structures the loan so that gratitude is effectively required, the gift becomes hidden interest. Aquinas and the later canonists are alert to this because justice concerns not the outward form of obligation but its reality.

For the same reason, the extrinsic titles must be genuine. Each identifies something that might be due beyond principal — and if the title is false, the surplus is not due. A fake loss does not create justice; neither does an engineered delay, a hypothetical opportunity cost, or a risk premium without real risk. Naming a title does not make the surplus due.

Aquinas's account of commutative justice therefore supplies the moral grammar for the entire book. Before asking whether a late penalty is legitimate, we must ask whether it restores equality or creates inequality; before asking whether actual loss can be compensated, whether the loss is real and caused by the transaction; before asking whether foregone profit can be claimed, whether the gain was concrete enough to be treated as due; before asking whether risk justifies return, whether the risk is truly borne by the one claiming the return; and before asking whether a modern fund is non-extractive, whether its surplus claims correspond to what is actually due. That is why this treatment belongs ahead of the chapters on just price and usury. It gives us the deeper norm: equality in relations between persons.

The gap between that norm and the modern idiom is profound. Modern finance speaks

of optimization; Aquinas speaks of justice. Modern finance asks what return compensates capital; Aquinas asks what is due between persons. Modern finance asks how risk is priced; Aquinas asks who bears the risk and whether the claim is just. Modern finance asks whether terms clear the market; Aquinas asks whether the exchange preserves equality. He does not give us a full modern theory of finance — he does not know our institutions, instruments, data, or markets — but he gives us the moral starting point modern finance often lacks: economic exchange is not morally neutral. It is a place where justice is either preserved or violated.

That is why the usury question appears where it does in the Summa — not as a footnote to economic history, but as part of the virtue of justice. And once that is clear, the question “May the lender receive more?” becomes a specific form of a larger question:

Is this surplus truly due, or has one person taken more than justice permits from another?

6.2 Distributive justice versus commutative justice

Aquinas follows Aristotle in distinguishing distributive justice from commutative justice. The distinction may sound technical, and it is essential: without it, you cannot see why usury is a matter of justice rather than merely a matter of personal greed. Both forms of justice concern equality. They do not concern it in the same way.

Distributive justice concerns the way goods, burdens, offices, honors, resources, responsibilities, and common benefits are distributed within a community. It asks how the whole relates to its parts: what does the community owe to this person, this household, this office, this role, this need, this contribution? The equality here is not simple sameness but proportion — Aquinas, following Aristotle, calls it geometrical. Persons may receive different shares because their relations to the common good differ. A community does not distribute every good identically to every person. A public office goes to someone qualified for it; a burden is assigned according to capacity; aid is given according to need, honor according to merit, responsibility according to role. The point of distributive justice is not that everyone receives the same thing, but that each receives according to a just proportion within the whole.

Commutative justice, by contrast, concerns the relation of one person to another in exchange, injury, repayment, contract, sale, lending, restitution, and compensation. It asks how one party stands toward another when something is given, taken, owed, damaged, bought, sold, borrowed, lent, or restored — and here the equality is arithmetical. If one person takes too much, the excess must be returned. If one person damages another, the loss must be repaired. If one pays less than the thing is worth, equality is disturbed; if one receives more than is due, restitution may be required.

This is the world in which usury belongs. When a lender gives money in a *mutuum*, the borrower receives ownership and owes an equivalent. If the lender demands more than the equivalent simply because of the loan, Aquinas sees the lender receiving more than justice allows. Equality between lender and borrower is disturbed; the lender has taken what is not due. That is a problem of commutative justice.

The framing matters because it prevents us from reducing usury to a purely social or distributive problem. Usury may certainly have distributive consequences. It may transfer wealth upward, impoverish the vulnerable, concentrate land, power, and opportunity, and distort the common good — and Scripture is deeply attentive to these consequences. Nehemiah’s crisis, for example, is not merely an issue between individual lenders and borrowers; it is a communal breakdown in which debt, interest, taxes, land, and elite power

combine to threaten the restored people. But Aquinas's direct analysis of usury focuses on the commutative question: has one person received more from another than the structure of the transaction permits?

That focus makes the injustice precise. One could condemn usury because it harms the poor, and that would often be true. One could condemn it because it produces inequality, which may also be true, or because it expresses greed, which may be true as well. Aquinas wants to show something sharper: that usury is unjust even at the level of the exchange itself. The lender asks to be paid for what he has no right to sell. This is why the *mutuum* is so important. If the loan transfers ownership of a consumable thing, and the borrower owes an equivalent, then charging for the use of the thing disturbs the equality of the exchange. The lender claims both equivalent repayment and a price for use — but in a consumable good, the use is not separately saleable. He has received more than is due.

It also explains why restitution is required. In commutative justice, when equality has been disturbed by unjust taking, it must be restored; if the lender has received an unjust surplus, he must return it. Usury is not merely an interior vice but an external imbalance between persons — and the externality is crucial. A greedy person may desire unjust gain and never receive it. That is spiritually dangerous, but it is not yet the same as having taken from another. Usury actually received involves a transfer. The borrower has paid what was not due; the lender has received what was not owed; the ledger itself bears the mark of the injustice, and the remedy must therefore also reach the ledger.

Distributive justice still matters in the background. A society's laws, institutions, and economic structures determine who has access to credit, who bears risk, who receives protection, who is exposed to predatory lending, who owns assets, and who has bargaining power. These are questions of the common good, and a just society must answer them rightly: it must not leave the poor at the mercy of exploitative creditors, or structure markets so that the vulnerable pay more because they are vulnerable, or allow private claims to consume the conditions of communal life. But commutative justice gives a sharper interpersonal test. In this transaction, between these parties, has equality been preserved? Was the price just? Was the defect hidden? Was the loan gratuitous, as a *mutuum* must be? Was the surplus tied to a real external title? Was the compensation proportionate? Did one party receive more than was due?

The later doctrine of extrinsic titles depends on this test. *Poena conventionalis* can be understood as a claim that equality has been disturbed by the borrower's wrongful delay: if the borrower fails to repay on time and thereby causes harm or violates the agreement, a proportionate penalty may restore or defend justice — but a penalty engineered or expected as revenue creates inequality rather than repairing it. *Damnum emergens* can be understood as compensation for actual loss: the lender has suffered a real detriment because of the loan or the borrower's conduct, and compensation restores equality — but if the loss is fictitious or inflated, the lender receives more than is due. *Lucrum cessans* is more difficult, because the alleged inequality concerns a gain not yet possessed; later theologians will ask whether a concrete foregone profit can be treated as a real detriment. If it can, compensation may restore equality. If it cannot, the lender is selling possibility as if it were possession. *Periculum sortis* asks whether the lender's exposure to loss changes the equality of the relation: if capital is genuinely at risk, surplus may correspond to real vulnerability; if the risk is merely rhetorical, the surplus is unjust. In each case the question is commutative — what is due between these parties, given the true structure of the relation?

This gives Christian moral finance a discipline that modern economic language often lacks. Modern finance frequently speaks in aggregate terms: efficiency, growth, liquidity, market clearing, capital allocation, expected return, risk-adjusted pricing. These cate-

gories are not useless; they can describe real phenomena. But they can also obscure the interpersonal question. A transaction may be efficient in aggregate and still unjust between the parties. A market may clear at a price that exploits desperation. A rate may reflect risk and still crush the vulnerable. A fund may allocate capital efficiently and still extract too much from the enterprise. Commutative justice refuses to let aggregate usefulness erase interpersonal justice — and this is one of Aquinas’s continuing gifts. He asks what is due not only to the system, but to the person. He does not let “the market” become the moral subject. The buyer, seller, lender, borrower, partner, worker, and neighbor remain visible.

At the same time, distributive justice prevents commutative justice from becoming too narrow. A series of formally fair exchanges can still produce an unjust social order if the background distribution of power, property, and opportunity is distorted. A poor person may “agree” to harsh terms because the social structure has left no alternative. A founder may accept extractive capital because mission-aligned capital is unavailable. A worker may accept low wages because ownership and bargaining power are badly distributed. A country may accept damaging debt because global structures leave it few choices. Aquinas’s categories invite us to hold both levels together: commutative justice asks whether the exchange itself is equal; distributive justice asks whether the larger order distributes goods, burdens, protections, and opportunities rightly. Usury can violate both. It violates commutative justice when the lender receives what is not due from the borrower, and it violates distributive justice when a society tolerates credit structures that systematically transfer wealth from the vulnerable to the powerful, or distributes access to fair capital unjustly.

For the purposes of this book, however, commutative justice is the doorway into the technical doctrine, because it explains why Aquinas cares so much about whether the lender has a title. Without a title, the surplus is not due. If it is not due, taking it is unjust. If it is unjust, restitution is required. The language of “due” is therefore decisive at every step. A just price is the price due in the exchange; restitution is the return due after unjust taking; a loan repayment is the equivalent due under the *mutuum*. A penalty is due only if delay or breach creates a just ground. Compensation is due only if loss is real; foregone gain, only if it is sufficiently concrete and causally lost; risk return, only if risk is genuinely borne.

This is what makes the extrinsic titles so morally demanding. They are not excuses for gain; they are claims about what is due, and the claim must match reality. If no real loss exists, no compensation is due. If no culpable delay exists, no penalty is due. If no concrete foregone gain exists, no lost-profit payment is due. If no real risk is borne, no risk premium is due; if no labor is performed, no labor fee; if no cost is incurred, no reimbursement. Commutative justice cuts through verbal inflation. It does not ask what the contract can be made to say. It asks what the parties owe each other in truth.

The distinction between distributive and commutative justice is therefore no abstract philosophical detour. It gives us the grammar for the whole analysis. Usury is unjust because it violates equality in exchange. Just price matters because sale also belongs to equality in exchange. Restitution matters because broken equality must be repaired. The extrinsic titles matter because they determine whether an apparent surplus is actually due.

For modern non-extractive finance, this framework is invaluable, because such finance must be just at both levels. It must be distributively just: it must fit within a broader order that protects mission, labor, community, ecology, and the common good. And it must be commutatively just: each payment, fee, penalty, preference, repayment right, governance claim, and surplus distribution must correspond to something truly due. It is not enough for a fund to have a good mission if its contracts extract unjustly from portfolio companies, or for a company to create social value if its financing structure shifts all downside onto workers, or for investors to bear some risk if they also claim disproportionate control and

priority. It is not enough for a fee to be market-standard if it does not correspond to real labor or cost, or for a penalty to be disclosed if it is designed to profit from distress. Commutative justice asks every claim to stand trial. What is due? Why is it due? To whom, and from whom? By what title? Is the amount proportionate? Does the structure preserve equality, or disturb it? These questions are not optional piety added to finance. They are the substance of justice.

Moral finance must therefore operate at two levels at once. It must design just systems, and it must judge particular exchanges; it must care about the common good, and it must care whether one person receives too much from another; it must address structural inequality, and it must demand restitution for concrete injustice. The usury doctrine belongs especially to the second level, but it cannot be separated from the first. A society in which the poor must borrow to survive will face usury differently from a society in which basic needs are secure. A society in which mission-aligned capital is scarce will pressure entrepreneurs toward extractive finance. A society in which capital is concentrated will give lenders more power to demand surplus. Distributive injustice creates the conditions in which commutative injustice becomes common.

But Aquinas still insists that each transaction must be judged. The lender cannot excuse unjust surplus by pointing to social custom; the borrower's consent does not erase inequality; the market's acceptance does not make the payment due. Justice asks more. That is why the doctrine remains so challenging. It does not allow us to hide behind either personal intention or systemic abstraction. It asks whether this claim, here, now, between these parties, corresponds to what is truly due. That is the heart of commutative justice — and without it, the doctrine of usury cannot be understood.

6.3 Restitution as repair of broken equality

If commutative justice is the justice of equality between persons, then restitution is the act by which broken equality is repaired — which is why Aquinas treats it immediately after his discussion of the parts of justice. In *Summa Theologiae* II-II, q.62, he asks what restitution is, whether it is necessary for salvation, whether one must restore what one has not taken, whether one must restore exactly what was taken, and to whom restitution must be made. These questions may seem far from finance at first. In fact, they are essential for understanding usury.

Usury, for Aquinas, is not merely a bad attitude toward money, not merely greed, not merely a failure of generosity. It involves receiving what is not due — an unjust taking — and therefore, if usury has been received, restitution is required. This changes the moral seriousness of the doctrine. If usury were only greed, repentance might seem to require only interior sorrow: the lender could feel remorse, resolve to be less greedy, and move on. But if usury is unjust gain, the problem is external as well as internal. Something has moved from borrower to lender that should not have moved. The ledger is wrong. Equality has been broken, and the borrower — or whoever holds the just claim — must be restored.

Aquinas's account of restitution makes the logic plain. Justice concerns what is due to another. If I have another person's good, or if I have received more than I should, I am not merely spiritually disordered; I am in possession of something that is not rightly mine, and to keep it is to continue the injustice. Restitution is therefore not optional generosity. It is justice. This point matters enormously for the whole history of usury. The usurer's problem is not solved by giving alms from unjust gain while keeping the principal fruits of the injustice, nor by pious language, religious donation, or future good intentions. If the

surplus was unjustly taken, it must be returned where possible. Charity cannot substitute for restitution.

That principle will haunt the entire development of the extrinsic titles. A lender who claims *poena conventionalis* must ask whether the penalty was truly owed: if it was engineered, excessive, or expected as a substitute for interest, the amount received was not due, and restitution may be required. The claim of *damnum emergens* faces the same audit — was the loss real? If the “damage” was fictional, inflated, or unrelated to the loan, the compensation was unjust gain, and restitution may be required. *Lucrum cessans* must answer for concreteness: was the foregone profit concrete enough, causally linked, and proportionately valued? If the claim was merely abstract opportunity cost, the payment may not have been due. And *periculum sortis* must answer for exposure: was the principal genuinely at risk? If repayment was effectively guaranteed, collateralized, senior, or shifted onto the borrower while the lender collected a risk premium, the premium may have been unjust, and restitution may be required. Restitution is the moral backstop that prevents titles from becoming mere labels. It asks not only whether a payment can be justified in theory, but whether this payment was actually owed in truth. If not, the injustice remains until repaired.

This also explains why the scholastic tradition cares so much about identifying the proper recipient of restitution. If one has taken unjustly from a particular person, one should restore to that person; only if that person cannot be found, or circumstances make direct restitution impossible, may other remedies be considered. The default is personal, because commutative justice concerns relations between persons. The wrong is not abstract. Someone paid; someone received; someone was deprived; someone must be restored.

In modern finance, this principle is often obscured. Unjust gains can be dispersed through institutions, funds, intermediaries, fees, carry, dividends, securitizations, management companies, and investors far removed from the original borrower. A harmful financial structure may enrich many parties indirectly; the borrower may not even know who ultimately benefited. The injustice becomes distributed, and therefore harder to repair. But Aquinas’s principle remains: unjust gain creates an obligation of repair. A modern non-extractive finance practice must therefore ask not only how to avoid future extraction, but how to respond when extraction has already occurred. Can excessive fees be refunded? Can punitive penalties be waived or returned? Can repayment obligations be restructured, governance rights relinquished, and upside captured through unjust terms redirected? Can affected workers, founders, suppliers, or communities be restored, and mission assets protected after having been placed at risk? Restitution makes moral finance concrete. It is easy to say that a structure was imperfect. It is harder to change the accounts. But justice requires more than diagnosis. It requires repair.

Aquinas’s treatment of restitution also matters for future goods, which becomes important for the later debate over *lucrum cessans*. In q.62, he considers whether one must restore only what one has actually taken, or also what someone was prevented from obtaining, and he recognizes that preventing another person from obtaining a future good can create an obligation — though the analysis differs from restoring something already possessed. Here is one of the later openings for the doctrine of foregone profit. If one can be liable for preventing another from obtaining a good that was on the way, then perhaps a lender who gives up a concrete and reasonably certain gain by lending may claim compensation. Aquinas himself is cautious in the usury article, insisting that the lender may not contract for profit he has not yet made. But his broader account of restitution gives later Thomists a principle to develop — a good example of how his thought is both strict and fertile. He rejects easy opportunity-cost reasoning in the *mutuum*; he also recognizes

that future goods are not always morally irrelevant. The question becomes whether the future good was sufficiently concrete, causally connected, and reasonably certain to create a claim in justice, and the doctrine of restitution thereby becomes one of the bridges between strict anti-usury teaching and later commercial nuance.

It also helps distinguish actual loss from hoped-for gain. If I take your horse, I must return the horse or its value. If I damage your field, I must repair the damage. If I prevent you from receiving a good you were just about to obtain, compensation may be due in some measure. But if you merely hoped for a possible gain that might never have materialized, the claim is weaker. Justice does not treat every dream as property. The distinction is crucial for *lucrum cessans*: a concrete foregone gain may sometimes stand close enough to a real detriment to be considered, but abstract opportunity cost does not — restitution requires reality, and it cannot be built on fantasy.

Restitution disciplines *damnum emergens* just as firmly. Actual loss must be actual. The lender may be restored to the position he should have occupied, but not enriched beyond it; if compensation exceeds the loss, the excess itself becomes unjust gain. Restitution can therefore apply in both directions. The borrower may owe compensation for real damage — and the lender may owe restitution if he claimed more damage than was real.

This introduces a principle that modern finance badly needs: no double-counting of claims. A lender cannot claim the same harm under multiple titles. He cannot charge a late penalty, default interest, an administrative fee, a risk premium, and damages all for the same underlying burden unless each corresponds to a distinct and real title; otherwise, compensation becomes accumulation. Restitution requires that each payment correspond to what is truly due, and no more. The same principle applies to risk. If the lender has already been compensated for risk through a higher return, he cannot also shift the loss entirely onto the borrower and still claim to have borne the risk. If capital is senior, collateralized, and protected, then a risk premium must be scrutinized. Restitution asks whether the payment actually corresponds to exposure, or whether capital was paid for a vulnerability it did not bear.

Restitution therefore forces truthfulness in accounting. It asks not only what payments were made, but why; whether each payment has a title; whether titles overlap; whether the amount fits the harm; whether the party receiving payment was actually the party harmed or exposed, and the party paying truly responsible; whether the payment restores equality or disturbs it further. This is why restitution belongs at the heart of a moral-finance dashboard. A dashboard that tracks only repayment, return, and yield is morally incomplete. It should also track claims, titles, harms, costs, risk allocation, and overpayment. It should ask whether surplus received by capital has been justified, whether any unjust surplus has been returned, and whether the structure produces repair or accumulation.

Aquinas also reminds us that restitution can be costly. To restore what was unjustly taken may require real sacrifice: the lender may have spent the money, the institution may have booked the revenue, investors may have expected distribution, and the unjust gain may have been incorporated into budgets, salaries, reserves, or returns. The fact that restitution is difficult does not erase the obligation. This is spiritually important, because unjust financial systems often become self-protective. Once extraction has occurred, many people become dependent on its proceeds. The institution says it cannot afford to return the money; the fund, that it owes duties to investors; the lender, that the borrower agreed; the creditor, that the payment has already been allocated. The system develops reasons why repair is impractical. Aquinas does not let difficulty erase justice. Prudence matters, of course: restitution must be ordered rightly, weighing who is owed, what can be returned, whether direct restoration is possible, and how to avoid creating new injustices. But the basic obligation remains. One may not peacefully keep what belongs to another.

That is a severe word to modern finance, because many financial gains are legally secure but morally questionable. They may have been extracted through information asymmetry, distress, excessive penalties, misaligned control, unjust risk-shifting, or mission-capturing terms. The law may not require restitution. The contract may be enforceable. The market may call the return normal. Aquinas still asks whether the payment was due.

Restitution is also linked to truth, because one cannot repair what one refuses to name. If a lender insists that every payment received was legitimate, no restitution will occur. The first act of repair is often recognition: this was not due; this was excessive; this title was false; this fee was not tied to real cost; this penalty was punitive beyond justice; this risk premium did not correspond to risk; this control right allowed capital to capture what it should have protected. Moral finance therefore requires confession in the literal sense: telling the truth. This is why the old confessional context of usury matters. The usurer came not only as a market actor, but as a sinner, and the confessor had to ask what had been taken and what must be restored. The point was not shame for its own sake. The point was conversion that reaches economic reality. A renewed moral economy needs something analogous — not necessarily the same ecclesial form in every context, but the same pattern: examination, truth-telling, judgment, restitution, amendment. A fund must be able to examine its terms; a lender, to name unjust gain; an investor, to recognize when return came from extraction; a company, to see when capital structures harmed mission; an institution, to repair what it has distorted. Without restitution, moral finance becomes branding.

This is why q.62 belongs before q.77 and q.78 in our reading of Aquinas. Before we discuss just price and usury, we need to understand repair, because justice is not only about avoiding future wrong. It is about restoring what has already been disordered. In just price, if one sells for more than the thing is worth, restitution may be owed. In usury, if one charges for the use of money in a *mutuum*, restitution may be owed. In false extrinsic titles, if one receives compensation without real title, restitution may be owed. The doctrine has teeth because it reaches backward into the transaction and says: this must be undone.

For modern non-extractive capital, this raises a challenging but necessary question: what would it mean for a fund, lender, or investor to have a restitution policy? Such a policy would not merely forswear future misconduct. It would identify overcharges, excessive penalties, duplicated fees, unjust control benefits, and returns received under false risk allocation; it would build mechanisms for refunding, crediting, restructuring, or redirecting unjust gains; and it would treat borrowers and portfolio companies not merely as counterparties but as parties to whom justice may be owed, making repair part of governance. That may sound radical. In the tradition of Aquinas, it is simply what justice requires.

Restitution is the memory of equality after inequality has occurred. It says that the past can be repaired; that unjust gain need not remain embedded in the present; that confession can become accounting, and accounting can become conversion; that the ledger must be made to tell the truth. Without restitution, the usury doctrine is only a theory. With restitution, it becomes a demand, and the demand is simple. If you have taken what was not due, give it back.

Just Price and the Moral Structure of Exchange

7.1 Where Aquinas treats just price

Aquinas treats the question of just price in *Summa Theologiae* II-II, q.77, immediately before his question on usury — and the placement is itself a lesson. He does not discuss buying and selling in one part of the *Summa* and usury somewhere unrelated. He sets them side by side inside the treatise on justice, after his treatment of restitution, because just price and usury are both problems of commutative justice. Both ask whether one person has received more from another than justice permits.

In q.77 Aquinas asks about “cheating” in buying and selling. The word sounds narrow, as if only outright fraud were in view, but his treatment is broader: he is asking how injustice can enter exchange through price, defects, concealment, and trade for gain. The question has four articles. In Article 1 he asks whether it is lawful to sell a thing for more than it is worth — the classic just-price article, which asks whether seller and buyer are morally bound by the value of the thing exchanged, or whether one may knowingly take advantage of another’s ignorance, need, or willingness to pay. In Article 2 he asks whether a sale is rendered unjust by a defect in the thing sold — not price now, but quality, since selling a defective thing as sound can injure the buyer. In Article 3 he asks whether the seller is bound to reveal defects, bringing truth and disclosure into the structure of exchange: the moral problem is not only what is transferred but what is known, hidden, and communicated. And in Article 4 he asks whether it is lawful, in trading, to sell a thing for more than one paid for it — the question of merchant profit, and of when gain in trade is ordered toward need, service, household support, or public utility, and when merely toward avarice.

Together the four articles form a compact moral theory of exchange, and they prepare directly for the usury question. In buying and selling, injustice occurs when one party receives more value than he gives, or withholds information that would affect the exchange. In usury, injustice occurs when the lender receives more than the *mutuum* itself permits, unless some genuine extrinsic title justifies the surplus. The underlying issue is the same: equality in exchange. That is why just price must come before usury. A reader who has not understood Aquinas’s concern for equality in sale will misread his concern in lending as the mere repetition of a traditional ban, when in fact he is applying a broader principle — one person must not take more from another than is due.

The just-price analysis also keeps the usury question from shrinking to the formal contract of loan. Injustice can hide in sale as well: a seller can overcharge, a buyer underpay, a defect be concealed, a sale on credit carry a hidden charge for time, a merchant seek profit that serves real needs or profit driven by endless accumulation. The moral field is broader than lending — which matters historically, because many evasions of the usury prohibition took the form of sales, exchanges, and price differences. If interest on a loan is forbidden, one can try selling at a higher price for delayed payment; if direct usury is con-

demned, one can dress the loan as an exchange contract, a bill, a repurchase agreement, a sale with deferred terms. Aquinas's treatment of just price provides the tools for seeing through these costumes. In q.78 he notes that charging more simply because payment is delayed has the character of usury — a point that depends on seeing the relation between price and time. If a thing has a just price today and the seller charges more solely because he waits for payment, the extra amount is not payment for the thing's value but payment for time — and that resembles a loan. Just price and usury overlap: a sale can become a hidden loan, a price difference can hide interest, a delay can be monetized, a defect can be concealed, and a market exchange can violate justice even when both parties consent.

The lesson reaches modern finance directly, because most modern financial arrangements do not look like simple loans. They come embedded in sales, leases, service contracts, convertible instruments, preferred equity, revenue-based financing, subscription models, platform terms, licensing arrangements, factoring, supply-chain finance, and exit rights. The old usury question can appear in forms never called interest, and the just-price question in forms never called sale. Aquinas's method equips us to ask the only question that survives the relabeling: what is really being exchanged, and is the exchange just?

The articles also show that Aquinas does not reduce value to subjective willingness to pay. He does not say a thing is worth whatever someone agrees to give for it, and he offers no mechanical formula either. He treats price as morally related to the thing's worth and to the equality between buyer and seller — a range of acceptable prices may exist, and practical judgment is needed, but the fact that one party can be induced to accept a price does not make the price just. This challenges modern assumptions head-on. Much modern economics treats price as the outcome of supply, demand, information, bargaining power, and market conditions; if the price clears the market, it is treated as real, and moral questions, if asked at all, are asked separately. Aquinas thinks differently. A price can injure. A price can be unjust. A price can give one person more than is due from another. The market may reveal something, but it does not canonize the result. This matters for usury because interest rates are also treated as market prices — the price of credit, of risk, of liquidity, of time — and the just-price framework asks whether such prices correspond to what is truly due. A rate can be market-clearing and still exploit need. A penalty can be disclosed and still excessive. A preferred return can reflect investor expectations and still distort equality. A fee can be customary and still correspond to no real labor or cost. The market does not absolve the moral question.

The defect and disclosure articles carry into finance just as directly. In sale, a hidden defect makes the exchange unjust because the buyer does not receive what he believes he is receiving. In finance, the hidden defects are information asymmetry, undisclosed risks, opaque fees, complicated covenants, misrepresented downside, hidden dilution, and governance terms the borrower does not fully understand. The moral question is not whether the terms appear somewhere in the document; it is whether the other party can reasonably understand the nature of the exchange. Concealment can be formal or practical, and a term disclosed in legal language still functions as hidden if the weaker party cannot realistically grasp its implications. None of this cancels a party's responsibility to understand what they sign. But truthfulness in exchange is more than minimal legal notice: one must not profit from what the other party does not know and would reasonably need to know. Modern finance is full of exactly these dangers. A founder may not understand how liquidation preferences behave in downside scenarios; a borrower, how default interest compounds; a small company, the control implications of its covenants; a consumer, the layering of fees; a municipality, its derivatives exposure; a social enterprise, how investor rights can override mission years later. Just price, defects, and disclosure are all in play.

Article 4, on merchant profit, is crucial enough to receive its own section below, but its shape belongs here. Aquinas does not condemn all merchant profit. Trade may serve real needs — a merchant may transport goods from where they are abundant to where they are needed, incur labor, risk, and expense, and earn a moderate profit for household support or public utility. But Aquinas remains wary of trade pursued merely for gain, because the desire for profit has no natural limit; trade can be ordered toward service or toward avarice, and the moral difference lies in the end, the moderation of the gain, and the real usefulness of the activity. This prepares the later scholastic discussions of merchant capital and foregone gain: if merchant activity can be legitimate and useful, a merchant's foregone gain is not pure fantasy, and money committed to trade may have a concrete commercial use — though the danger remains that “profit I could have made” swells into an unlimited justification for charging more.

So the just-price discussion gives both permission and discipline: profit permitted where trade serves life, need, household, and public utility; profit disciplined where trade becomes accumulation for its own sake. The same pattern will organize the extrinsic titles. *Damnum emergens* permits compensation for real loss and disciplines fictional loss. *Lucrum cessans* may permit compensation for concrete foregone gain and disciplines abstract opportunity cost. *Periculum sortis* may permit return for real risk and disciplines risk rhetoric without vulnerability. *Poena conventionalis* may permit penalty for wrongful delay and disciplines engineered default. Aquinas's economic reasoning is not anti-commerce; it is anti-disorder. It forbids not all gain but unjust gain, and it asks whether exchange remains ordered toward justice, need, truth, and the common good.

For a modern non-extractive capital framework, that distinction is the whole game. The goal is not to eliminate surplus, profit, return, fees, or compensation, but to ask whether each claim corresponds to something real and just. Does the merchant serve? Does the lender restore? Does the investor share risk? Does the manager perform labor? Does the penalty repair harm? Does the price reflect value? Does the structure preserve mission and life? Aquinas's just-price question generalizes into the moral-finance question: is the exchange truthful, proportionate, and ordered toward a legitimate good?

This is why q.77 belongs at the heart of this book. Before Aquinas condemns usury, he has already established that economic exchange can be unjust when one party takes too much, hides defects, or seeks gain without proper order. The usury question is not an isolated medieval obsession; it is one application of a larger doctrine of just exchange. And the doctrine restores moral seriousness to price itself. A price is not just information. It is a claim — this is what you owe for this good, this service, this risk, this delay, this capital, this opportunity, this right — and Aquinas asks whether the claim is true. The question has not aged. When a company charges a distressed borrower a fee, is the fee true? When a fund charges management costs, are the costs true? When an investor demands a preferred return, when a lender imposes default interest, when a seller charges more for delayed payment, when a platform extracts rents from dependency — is the claim true? Just price is, at bottom, about truth in exchange: the thing not misrepresented, the defect not hidden, the price not injuring, the profit not curdling into avarice, the weaker party's need not becoming the stronger party's opportunity.

Seen this way, usury is a false price. It prices the use of money in a *mutuum* as though that use were separable and still belonged to the lender; it treats the borrower's time with the money as something the lender can sell after ownership has passed. It is an untrue price. The just-price question and the usury question belong together because both ask whether the economic claim corresponds to reality — which is why Aquinas treats them side by side, and why any renewed moral economy must do the same.

7.2 The just price as equality in exchange

For Aquinas, the just price is not merely a market fact. It is a matter of equality between persons — which is why the question belongs inside the treatise on justice at all. Buying and selling are not morally neutral transfers. They are relations in which one person gives and another receives, one may know more and another less, one may have urgent need and another bargaining power. In such relations, justice asks whether equality has been preserved.

His central question in *Summa Theologiae* II-II, q.77, a.1 is whether it is lawful to sell a thing for more than it is worth, and the answer runs on commutative justice. If the seller knowingly receives more than the thing is worth, the buyer is injured; if the buyer knowingly pays less, the seller is injured; in either case one party has received more than is due. The just price is therefore not the price that can be obtained. It is the price that preserves equality in the exchange.

This does not commit Aquinas to a single, mathematically exact number known with perfect precision. Medieval just-price thought typically allows a range, because value depends on circumstances, place, time, need, abundance, scarcity, labor, risk, and common estimation; human judgment is required, and price is not a heavenly figure dropped into the market from outside history. But neither is price whatever the stronger party can extract. The just price is a moral claim about what the thing is worth in the exchange — concerned with truth, proportion, and neighborly justice — and it asks whether the payment corresponds to the good transferred or one party is taking advantage of the other. The structure is exactly the one that will govern usury. In sale, one may not charge more than the thing is worth. In lending, one may not charge more than the *mutuum* permits. In both, the problem is receiving what is not due.

Aquinas's concern runs deeper than external compulsion, and here he parts company with much modern thinking: a sale can be unjust even when the buyer agrees. The buyer may agree because he does not know the true value, because he is under pressure, because a defect has been concealed, because his need is urgent. Consent matters, but it is not enough. Modern contract thinking tends to make voluntary agreement morally central — parties consented, terms were disclosed, no fraud in the narrow legal sense occurred, so the exchange stands. Aquinas is more demanding. Consent does not turn an unequal exchange into a just one; a person can voluntarily pay too much or accept too little, and the moral question remains whether one party received more than was due. This is not contempt for freedom. It is realism about freedom's distortions — by ignorance, need, inequality, and desire. A desperate person may consent to terms a just person should not impose. A buyer may accept a price because he lacks information; a borrower may agree to usury because he needs money; a founder may accept extractive investment terms because no patient capital is available. Consent is real, and it does not settle justice.

The just price therefore protects the weaker party from the stronger party's opportunism, and never more clearly than in cases of necessity. If someone desperately needs food, medicine, shelter, or transport, the seller may be able to demand far more, and the buyer's willingness to pay proves nothing but the buyer's need. To treat necessity as permission for extraction is to confuse market power with moral right. Scripture had already made the point through the poor borrower and the cloak; Aquinas gives it philosophical and juridical form. And the modern instances multiply without effort: a distressed borrower accepts a high rate, a small company harsh terms, a founder liquidation preferences that later undermine the mission, a country damaging debt, a worker a bad wage, a community platform dependence. In each case the fact of agreement does not answer the moral question. The just-price tradition asks whether the exchange reflects justice or

desperation.

Truth is equally central. A price is not merely a number; it is a statement about value. When a seller knowingly charges more than the thing is worth, the price lies — it says “this is what the thing is worth” while extracting more. When a seller hides a defect, the exchange lies by omission. When a lender charges for the use of money in a *mutuum*, the price lies by treating use as separable from ownership when it is not. A just economy is not one in which prices merely clear markets; it is one in which prices correspond, as far as humanly possible, to real value, real cost, real risk, real service, real loss, real labor, and real need. An unjust economy is one in which prices detach from truth and become expressions of power. Prices are rarely easy to determine — but difficulty does not remove moral responsibility, the complexity of value does not make all prices just, and the existence of a range does not license any price within someone’s willingness to pay.

In Aquinas’s world, “common estimation” does important work here. The value of a thing is not fixed by the private preference of buyer or seller; it is socially discerned, a community’s working sense of what goods ordinarily are worth given quality, scarcity, place, and use. That keeps price flexible without letting it become purely subjective or purely opportunistic. There is no need to romanticize this — medieval markets could be unjust, and common estimation could carry hierarchy, exclusion, and misinformation — but the principle stands: price belongs to a moral community, not to the isolated will of two parties in a vacuum. For non-extractive finance the implication is sharp. The “price” of capital cannot be settled by what the entrepreneur will accept and what the investor expects. It must be judged in relation to mission, risk, loss, labor, sustainability, alternatives, and the life of the enterprise. A market return may be commonly expected among investors without being just for this transaction; a founder’s acceptance may show need, not fairness; a fund’s hurdle rate expresses investor appetite, not moral title. The just-price framework asks: what is this capital claim truly worth, and what does it do to the other party?

Which brings the argument to injury. Selling above worth injures the buyer as buying below worth injures the seller — price injustice is a form of harm, an interpersonal wrong and not a mere failure of efficiency. The same logic applies to usury: if the borrower pays more than is due under the *mutuum*, the borrower is injured, whether the injury is small or large, obvious or hidden, immediate or gradual. And because injury is real, restitution follows. If the price was unjust beyond the tolerable range, the party who received too much may be obliged to restore; justice is not satisfied by observing that the transaction is over, because the inequality remains until repaired. Modern finance resists this instinctively — once a contract is signed and performed, the payments are treated as settled, the return collected, the fee charged, the market moved on. Aquinas’s account of commutative justice keeps asking whether what was received was truly due, and if it was not, the moral obligation does not vanish when the transaction closes. Just price and restitution belong together.

At the same time, Aquinas does not turn just price into impossible perfectionism. Human transactions cannot be calibrated exactly; minor variations are tolerated because practical exchange requires flexibility. What violates justice is substantial inequality, especially knowingly imposed. That is a workable standard for modern application. A non-extractive fund does not need omniscience or the perfect fee. It needs to avoid substantial injustice: not knowingly structuring returns that overburden the enterprise, not hiding costs, not exploiting information asymmetry, not pricing capital as if mission, labor, and community were secondary to investor expectation — staying within a range that can be defended as just. The just price is not a formula. It is a discipline of moral proportionality: has the stronger party refrained from taking the maximum possible where the maximum would injure? Does the payment correspond to the thing, service, risk, or burden actually

supplied?

The discipline finally reaches purpose, because a thing's worth is not merely what it can command but what it is in relation to human use and need. Food has a purpose; housing, tools, and medicine have purposes; capital has a purpose too — to enable life, work, production, service, stewardship, and the common good. When a price prevents a good from serving its proper end, or turns urgent need into gain, the moral problem deepens. Aquinas's just-price thought is teleological, not merely economic, and modern finance mostly abstracts from purpose: capital seeks return wherever return can be found, a price is justified by market demand, a fee by industry norm, a premium by risk model. The framework asks instead whether the exchange remains ordered toward the good of the persons and community involved. In mission-driven settings this is decisive. A social enterprise, a steward-owned company, an open-source infrastructure provider should not be priced as if its mission were irrelevant; the capital structure must be judged by whether it allows the mission to live. A technically acceptable return becomes unjust when it forces the enterprise away from its purpose. A price for capital that destroys the good being financed is not a just price.

So the just price as equality in exchange becomes a foundation for non-extractive finance: every financial claim tested by truth and proportionality. A repayment amount should correspond to what is due; a fee to labor or cost; a premium to risk actually borne; a penalty to wrongful delay or harm; a return to participation, not domination — and no price should be determined by the borrower's desperation. It also fixes the difference between market price and moral price. The two may coincide, but they are not identical: market price reports what can be obtained under current conditions, moral price asks what may be taken in justice, and when conditions are shaped by scarcity, monopoly, distress, ignorance, or unequal power, the gap between them grows wide. The just-price tradition exists precisely because "what can be obtained" is not "what is due." That cuts against both sides of the familiar ideological quarrel — against the laissez-faire assumption that voluntary exchange suffices for justice, and against the simplistic anti-market reaction, since the tradition never denies the need for price, exchange, judgment, and compensation. It does not abolish commerce; it moralizes it. Aquinas's position is neither "price is irrelevant" nor "price is whatever the market says," but "price must preserve justice in exchange" — a demanding middle path.

For the history of usury, the consequence is exact. Lending is one form of exchange among others, with its own structure: in sale, the just price is tied to the worth of the thing; in a *mutuum*, the just repayment is tied to the equivalent of what was lent, unless an extrinsic title creates a further claim; in both, receiving more than is due violates equality. And this is why Aquinas will judge usury unjust even when the borrower consents. If consent alone cannot justify an unjust sale price, consent alone cannot justify an unjust loan surplus; the borrower's promise to pay more creates no moral title if the lender had no right to require it. The insight is severe and liberating at once — severe because it judges transactions that law and market would permit, liberating because it refuses to identify justice with the stronger party's ability to obtain agreement. It protects the moral reality of the weaker party even when the contract says otherwise. In a world where almost everything can be priced, the claim is quietly revolutionary: the price of a thing, the cost of capital, the rate of return, the fee for service, the penalty for delay, and the premium for risk are all morally answerable. They must correspond to reality; they must not exploit need, conceal defects, injure the neighbor, or let one party take more than is due simply because he can. The just price is equality made economic — and without that idea, the doctrine of usury cannot be understood.

7.3 Special value to the owner

Aquinas's treatment of just price includes a subtle but consequential qualification: a thing may be worth more to its owner than it is worth in the ordinary market. At first hearing this sounds like an escape hatch — if things can be worth more to their owners, every seller can discover some special attachment or private valuation and charge accordingly. That is not Aquinas's point. He is not saying that subjective desire can inflate price without limit. He is saying that parting with a thing can sometimes impose a real loss on the owner, and that justice may take this into account. The distinction will do heavy work later, in *damnum emergens* and — far more controversially — in *lucrum cessans*.

The basic idea is simple. A thing may have a common price in the market while its owner suffers a special detriment in giving it up: the thing is especially useful to him, or replacing it will be difficult, or he needs it for his work, or parting with it imposes a concrete loss the ordinary price does not capture. In such cases the seller may be compensated not merely for the object in the abstract but for the loss caused by being deprived of it. This is not "I like it very much, therefore I may charge whatever I want." Aquinas is concerned with real detriment, not arbitrary sentiment: the additional value must correspond to something objective enough for justice to weigh. The seller may not exploit the buyer's need by claiming special value — and neither is the seller required to suffer a real loss without compensation. The frame is still commutative equality. If a seller gives up a thing whose loss burdens him particularly, a price that ignores the burden may fail to preserve equality, because the buyer receives not only the thing but the seller's surrender of something that had particular value in the seller's circumstances.

This complicates the simple notion of market price, because common estimation does not always capture the particular relation between a person and a good. A tool has ordinary value in the market and much greater value to the craftsman whose work depends on it. A horse has ordinary value, and greater value to the man whose livelihood rides on that particular animal. A store of grain has ordinary value now, and greater value to the merchant already committed to holding it for a later season. A sum of money has ordinary value, and greater value to someone who must meet an obligation or fund an imminent transaction. And here the just-price discussion begins to touch the usury debates. If parting with a thing causes an actual loss, compensation begins to look like *damnum emergens* — the seller or lender being restored for a real detriment, not charging because the other party benefits. If parting with a thing interrupts a concrete gain already on the way, the issue approaches *lucrum cessans* — the owner did not yet possess the future gain, but the thing was ordered toward a use that made the gain reasonably expected, and later theologians will spend centuries debating whether, when, and how such foregone gain can be compensated.

Aquinas himself is cautious. In the usury article he clearly allows compensation for actual loss but rejects contractual compensation merely because the lender makes no profit from his money: the lender, he says, must not sell what he does not yet have and may be prevented in many ways from having. Yet his broader treatment of just price and restitution hands the later tradition its conceptual material. If a good's value to its owner can include the real loss caused by parting with it, then perhaps, in some concrete cases, money already ordered toward trade or obligation has a special value to its owner too.

The key word is concrete. Aquinas opens no door to abstract opportunity cost. He does not say that every owner may charge for every possible alternative use, or that money deserves compensation simply because it could have earned elsewhere. The claim must be tied to a real circumstance; the special value must be more than imagination, preference, or a generalized appetite for gain. That discipline is what separates his idea from the mod-

ern habit, in which opportunity-cost reasoning floats at high abstraction — capital could have been invested elsewhere, could have earned the market rate, could have gone into another fund, another asset class, another project, another security, and therefore every use of capital must pay the capital provider what might have been earned in the alternatives. Aquinas's special value asks narrower questions: did this person, in these circumstances, suffer a real detriment by parting with this thing? Was the good actually needed? Was the use concrete? Was the loss causally connected? Is the added price proportionate? Is the other party being charged for a real burden, or for a hypothetical benchmark? The difference is enormous. A concrete loss can be restored. A hypothetical universe cannot be billed.

The special-value idea is therefore both necessary and dangerous — necessary because justice must sometimes account for particular circumstances, since arithmetic market equivalence is not always enough; dangerous because almost any owner can claim that his thing was specially valuable, and without discipline the idea becomes a way to escape just price altogether. The scholastic tradition handles the danger by demanding reality, proportionality, and connection to the transaction: the special value must not be a pretext for exploiting the buyer, must correspond to a real loss or burden actually borne, and must not convert the buyer's need into the seller's windfall. The same test explains why *damnum emergens* is morally cleaner than *lucrum cessans*. Actual loss is present and identifiable, so compensation can be measured; foregone gain reaches into the future, may be real in some cases, and is easy to exaggerate — the later controversy grows from exactly that uncertainty. Aquinas's principle sits at the boundary between the two: value is not exhausted by general market estimation, and value does not collapse into subjective desire; the owner's real circumstances matter, and possibility may not be priced without limit.

For modern non-extractive finance the principle is unexpectedly practical. Consider a mission-driven fund. It has real costs and real constraints: capital may be scarce; donors or investors entrusted funds for a particular purpose; liquidity must be held for future commitments; staff, due diligence, monitoring, legal, and accounting all cost money; capital tied up in one enterprise cannot serve another. None of this is imaginary, and a simplistic anti-return position that says "the fund is mission-driven, therefore capital should be free" forces the provider of capital to absorb every real burden — exactly what Aquinas's special-value logic warns against. Justice may allow compensation for what is actually sacrificed. But the same logic can be abused from the other side. The fund can say: our capital is scarce, therefore every portfolio company pays our target return; we could have invested elsewhere, therefore the enterprise owes the market benchmark; our investors expect liquidity, therefore the company bears the full cost. That is inflating real constraints into generalized entitlement. The special-value principle says: be precise. What is the actual burden, and the real cost? What concrete use is being foregone — and what is the mission-aligned alternative, as opposed to the extractive benchmark? What loss does this transaction cause? What amount would restore rather than enrich? What should the fund bear itself, as part of its mission, and what may justly be charged to the enterprise? This is not easy; it is exactly the kind of moral accounting Aquinas invites.

And the principle cuts in the other direction too, which may be its most important modern service: it exposes the hidden underpricing of what vulnerable parties surrender. A company's shares, assets, data, intellectual property, governance rights, or mission lock may carry special value beyond ordinary market price. To transfer control rights may impose a loss the cash investment never registers. To accept capital with exit pressure may endanger the mission itself. To pledge essential assets may create vulnerability far beyond the nominal value of the collateral. A just price for capital must therefore account not only for the investor's cost but for what the enterprise gives up. Modern finance prices

capital almost entirely from the investor's side; Aquinas asks us also to price the recipient's sacrifice. If a steward-owned company gives an investor governance rights, what is that surrender worth? If a social enterprise accepts a liquidation preference, what mission risk has been created? If an open-source infrastructure company accepts extractive capital, what future commons is endangered? If a founder signs a personal guarantee, what household vulnerability has been pledged? If a company takes short-term capital at the cost of long-term mission control, what has really been sold? These are just-price questions, and they reveal that capital transactions are never only about how much money enters the enterprise. They are also about what leaves: control, future upside, resilience, mission flexibility, time, attention, data, governance, freedom.

Extraction, in fact, often works precisely by undervaluing what the weaker party gives up. The founder gives up control, and the term sheet prices only the capital. The worker gives up stability, and the model prices only labor cost. The community gives up data, and the platform prices only the service. The company gives up mission flexibility, and the investor prices only risk. The borrower gives up collateral essential to survival, and the lender prices only default protection. The just-price tradition tells us to look at the whole exchange — what each side gives, loses, and gains, and what the transferred thing is worth not only in market terms but in relation to life, work, mission, and need.

The special-value principle also resists the commodification of everything. Some things are worth more to their owners because they are not interchangeable units at all: land, tools, homes, family goods, mission assets, community institutions, sacred objects. This does not mean they can never be sold or pledged. It means justice must consider what their loss does. Leviticus taught this about land — not merely a commodity, because it belongs to God and sustains family inheritance. Exodus taught it about the cloak — not merely collateral, because it covers the poor man at night. Aquinas gives the same moral intuition a general just-price form: a thing's value may depend on its relation to the person who holds it. Scripture and scholastic justice meet here, and the meeting is worth spelling out. The cloak has special value to the poor man because it is his covering; the land, to the family, because it is inheritance; the tool, to the craftsman, because it enables work; the capital, to the merchant, because it is ordered toward trade; the mission lock, to the steward-owned company, because it protects purpose; the governance right, because it shapes the future. A moral economy must learn to see these values. The danger of modern abstraction is that it treats fungibility as universal — money, shares, assets, claims, risk, and labor all fungible — when life is not fungible in the same way. The meaning of a good depends on the life it supports. The same object is surplus to one person and essential to another; the same collateral is security to the lender and survival to the borrower; the same governance right is protection to the investor and a mission threat to the enterprise. Just price must attend to that asymmetry.

So special value to the owner is no minor footnote. It is one of the places where just-price theory becomes sensitive to context without becoming relativistic — particular circumstances matter, and they stay under the discipline of justice. For the extrinsic titles ahead, it will do significant work: in *damnum emergens*, supporting compensation for real loss caused by parting with something; in *lucrum cessans*, raising the harder question whether a concrete future use belongs to a thing's value to its owner; in *periculum sortis*, reminding us that exposing capital to loss changes the value of the claim; in *poena conventionalis*, helping ask whether delayed repayment deprived the lender of something specifically needed. In every case the same discipline applies: the claim must correspond to reality. Special value is not a blank check but a call to deeper truthfulness about what is actually being lost, transferred, or endangered — the truthfulness without which finance cannot serve life. A capital structure that prices only the investor's opportunity and ignores the

enterprise's sacrifice is unjust; a loan that prices only lender risk and ignores borrower vulnerability is unjust; a sale that prices only market demand and ignores essential need is unjust; a contract that prices only financial assets and ignores mission, community, and livelihood is morally incomplete. The just price must ask what the exchange means to both sides. Aquinas's insight condenses to this: common price matters, and context matters too — the owner's real loss, the buyer's need, the thing's purpose — and the exchange must preserve equality not in the abstract but in the actual relation between persons. Special value to the owner is not an escape from justice. It is justice made more attentive.

7.4 Merchant profit in q.77, a.4

Aquinas does not condemn all profit in trade. The point needs stating plainly, because his critique of usury is regularly misread as one expression of a general hostility to commerce. He is cautious about trade, and deeply alert to the moral dangers of gain-seeking — but he does not say that every merchant profit is unjust. In *Summa Theologiae* II-II, q.77, a.4, he asks whether it is lawful, in trading, to sell a thing for more than one paid for it, and his answer is careful, because the merchant's case is genuinely ambiguous. The merchant buys a thing and sells it for more. Unlike the farmer, he did not grow it; unlike the craftsman, he did not substantially transform it; unlike the laborer, he seems to have produced nothing directly. He buys in order to sell dearer. Is that not simply gain from exchange?

Aquinas's answer depends on the end of the activity. Trade pursued merely for gain is morally dangerous, because the desire for gain has no natural limit — money can always seek more money, and here Aquinas stands close to Aristotle: the merchant's calling can slide into the endless pursuit of profit for its own sake, and when accumulation becomes the point, trade becomes spiritually disordered. But trade can also serve genuine human needs. A merchant may bring goods from where they are abundant to where they are scarce; he may preserve, transport, store, organize, and make available what others need; he assumes labor, expense, and risk; he supports his household; he serves the public utility. In such cases a moderate profit is morally permissible. Profit, in short, is not justified simply because the merchant can obtain it, and not condemned simply because it exists. It is judged by its relation to real service, need, labor, risk, moderation, and the common good — an account that is neither anti-commercial nor market-absolutist, and that yields a principle the rest of this book will lean on: gain is morally judged by the form of participation that produces it.

This is directly relevant to usury because it shows Aquinas distinguishing kinds of surplus. He is not allergic to gain as such; he is opposed to gain that lacks a just title. Merchant profit can have a title — in labor, service, risk, and public utility. Usury lacks one when it is taken merely from the *mutuum*. The same distinction explains why *lucrum cessans* will later become plausible. If merchant activity can be legitimate and merchant profit morally ordered, then a merchant's interrupted commercial use of capital is not obviously irrelevant: a merchant who lends money that was otherwise concretely committed to trade may have foregone a real and licit gain, and later theologians will ask whether that foregone gain can be compensated. Aquinas himself is cautious — but q.77, a.4 explains why the later question arises at all. A merchant's money is not always idle. It may be part of a real commercial activity, and if the activity is morally legitimate, its interruption may matter.

His caution deserves equal emphasis, because legitimacy in principle does not make every claimed profit just. The desire for gain can become limitless. The merchant may serve need, and may exploit it; accept risk, and shift it; incur costs, and inflate them; provide

real service, and position himself as a tollbooth. Merchant profit therefore remains under standing moral examination — which is exactly the examination modern financial intermediaries require. They present themselves in the merchant's role: moving capital from where it is abundant to where it is needed, screening opportunities, bearing risk, conducting due diligence, monitoring performance, structuring contracts, providing governance, supporting growth. These can be real services. A fund can genuinely help capital reach enterprises that need it; an investor can genuinely support stewardship, strategy, and resilience; a lender can genuinely provide liquidity at the right moment. And intermediation can also become extraction. The intermediary may collect fees regardless of outcome, claim return while shifting risk, manufacture complexity that justifies its own toll, control access to capital and charge heavily for passage, use information asymmetry to capture value, speak of serving enterprises while steering them toward investor exit — less a merchant serving public utility than a gatekeeper monetizing dependence. Aquinas's test cuts through the self-description. The question is never simply whether the intermediary earns more than it paid, but whether the gain corresponds to real service ordered toward a legitimate good. Does it actually move needed resources? Does it bear real cost or risk? Does it add knowledge, trust, stewardship, or coordination? Does it serve the common good, and is the profit moderate? Or does it merely occupy a position of power and extract because it can? That is a just-price question — and it is the usury question in its broadest form, the moral title of surplus.

Moderation carries special weight here, because even legitimate profit can become excessive. A merchant may serve a real need and still charge too much; a fund may provide real value and still demand a disproportionate return; a lender may bear real administrative costs and still overcharge; a consultant may perform real labor and still exploit dependency. The presence of a title does not justify unlimited gain — a principle that will recur in every extrinsic title. A real penalty must still be proportionate. A real loss is compensated only to the extent of the loss. A real foregone gain must not become a claim to every imagined return. A real risk does not justify unlimited upside. A real service must not become rent extraction.

Aquinas also asks about the end: why is the profit sought? To support household life, to serve public utility, to make needed goods available — or simply to accumulate? The external acts may look identical while the moral orientation differs. Intention alone is not enough — a merchant may intend good and charge unjustly, a fund may intend mission and structure extraction, a lender may intend help and impose harmful terms — but intention still matters, because economic acts form character and direct institutions, and a practice ordered toward service will be designed differently from one ordered toward maximum accumulation. For non-extractive finance this is decisive. A fund that exists to serve enterprises should design its returns, fees, governance, and downside allocation accordingly, not claim a noble purpose while adopting the ordinary extraction logic. If the end is service, the structure must show service; if stewardship, the governance must show stewardship; if solidarity, the risk allocation must show solidarity; if public utility, the fees and returns must stay moderate enough not to consume the utility they claim to serve. Aquinas would not be satisfied with mission language. He would ask whether the exchange is just.

The merchant article also ties profit to labor. The merchant earns because he does something — transports, stores, arranges, bears inconvenience, manages uncertainty, connects supply with need — and profit becomes more defensible the more tightly it is tied to activity that serves the real economy. This bears on management fees and fund administration. A fee for real labor can be legitimate: due diligence, legal structuring, accounting, reporting, governance support, accompaniment, mentoring, and monitoring all take time and

skill, and a moral financial institution need not pretend such labor is costless. But the fee must remain tied to actual service, not become a way to extract regardless of whether value is created or mission served. The title must match reality. The same pattern explains why the later Franciscan Monti di Pietà could charge administrative fees without necessarily committing usury. They were not to profit from the poor, but they had real costs — staff, buildings, records, pledges, administration, enforcement, governance — and recovering real, moderate costs sustains a service rather than exploiting a need. It is the moral pattern of legitimate merchant profit: gain tied to real service and public utility. The danger of drift attends it always: a service institution can become revenue-seeking, cost recovery can become profit, administration can become bureaucracy, a charitable tool can become an extractive machine. Aquinas's standard of moderation and public utility has to stay active over an institution's whole life, not just at its founding.

What the article finally dissolves is the false opposition between morality and commerce. Aquinas does not imagine that holiness requires abolishing buying, selling, transport, profit, and trade. Economic life is part of human life: goods must move, households must be supported, communities need provision, and someone must bear the risk and the labor. The problem is not commerce; the problem is disordered commerce. That is good news for non-extractive business. Moral economy does not require denying economic reality — a company can sell, earn, pay wages, recover costs, and build reserves; a fund can pay staff and sustain operations; a merchant can profit from real service — all of it within the discipline of justice, moderation, truth, and the common good. Aquinas offers a positive vision of business: economic activity is virtuous when it serves real needs in a just way. The merchant is justified not by the bare fact of profit but by service, and the same should be true of capital. Capital should not be justified by the bare fact that it is capital, but by what it does — enabling work, sharing risk, supporting mission, sustaining useful production, repairing loss, serving the common good. When capital claims surplus without such service, it has begun to resemble the disordered trader who seeks gain for its own sake.

This is why q.77, a.4 is the bridge between just price and usury. It shows that Aquinas can affirm economically useful surplus while condemning surplus without title; it prepares us to understand why a partner may share profit while a usurer may not, why a merchant may earn moderate gain while a lender in a *mutuum* may not charge for use, why labor and risk matter, why purpose matters, why moderation matters. The modern application states itself in pairs. Not only "What return does capital demand?" but "What service does capital render?" Not only "What does the market allow?" but "What does justice permit?" Not only "Can this intermediary capture value?" but "Has it created or served value in a way that justifies its gain?" Not only "Is the profit legal?" but "Is the profit ordered toward life, work, household, community, mission, or public utility?" Aquinas's answer to merchant profit is neither permissive in the laissez-faire sense nor condemnatory in the anti-commercial sense. It is discerning: profit is morally possible, and it must explain itself — moderate, tied to service, never an infinite appetite, never fed on ignorance or need, always ordered toward human goods. That discernment is exactly what the rest of this book seeks to recover for finance.

The usury tradition, rightly understood, is not a rejection of all surplus but a demand that surplus have a just title, and legitimate merchant profit shows what such a title looks like: real service, real labor, real risk, real usefulness, moderation. The usurer has none of it. He does not transport goods or transform them, does not expose capital in partnership, does not repair a loss. He charges for the use of money in a contract where ownership has passed; his gain is tied not to service but to claim. That is why Aquinas can permit the merchant's moderate profit and condemn usury in the very next question. The difference

is not that one involves money and the other does not. The difference is the moral form of the surplus. Profit that serves life can be just. Profit that feeds on need is not.

CHAPTER 8

Aquinas on Usury

8.1 The central text

Aquinas treats usury directly in *Summa Theologiae* II-II, q.78, “On the sin of usury.” It is the text most often cited in discussions of Aquinas and interest, and it should never be read in isolation. It arrives after his treatments of justice, commutative justice, restitution, buying and selling, just price, defects, disclosure, and merchant profit — so that by the time Aquinas reaches usury, the moral framework is already built: exchange must preserve equality; taking more than is due injures the neighbor; unjust gain requires restitution; profit can be legitimate when tied to real service, labor, risk, or public utility; and legal consent alone does not make an exchange just. Usury appears inside that architecture.

The question has four articles. In Article 1, Aquinas asks whether it is a sin to take usury for money lent — the core article, and the home of the classic argument: to take usury for money lent is unjust because one sells what does not exist separately from the thing itself. Money, like wine or wheat, is a consumable good in the relevant sense; its use consists in its consumption, spending, or alienation; therefore to charge separately for its use while also demanding repayment of the principal is to sell the same thing twice, or to sell what cannot be separately sold. In Article 2, he asks whether one may demand any other kind of consideration for money lent — the article on which the whole later extrinsic-title tradition hangs. The lender may not require payment beyond principal as if it were owed for the loan itself; yet Aquinas allows certain things that are not payment for the use of money: compensation for loss incurred, repayment of expenses, free gifts not required by the loan, and profit-sharing where money is entrusted by way of partnership rather than *mutuum*. In Article 3, he asks whether one is bound to restore money received through usury, and his answer follows from commutative justice and restitution: if usury is unjust gain, what was unjustly taken must be restored. Usury is not merely a sin of intention; it creates an imbalance in the external relation between lender and borrower. In Article 4, he asks whether it is lawful to borrow money under usury — a pastoral and practical question. Aquinas distinguishes the sin of taking usury from the situation of a borrower who, under pressure or need, submits to the unjust terms imposed by another. The borrower may sometimes licitly borrow from a usurer if necessity requires, even though the lender sins by demanding usury. The one who imposes the unjust claim and the one who submits to it under need are not morally identical.

The structure is elegant: the first article defines the injustice, the second explores the possible qualifications, the third gives the remedy, the fourth addresses the borrower’s predicament. And the treatment is strict without being crude. Aquinas condemns gain from the loan itself, and does not say that every payment associated with lending is automatically usury. He rejects selling the use of money, and allows compensation for actual loss. He rejects contractual payment for profit not made, and permits profit-sharing in genuine partnership. He requires restitution from the usurer, and declines to condemn

automatically the needy borrower who submits to usurious terms.

The whole doctrine depends on the line between the *mutuum* itself and what lies outside it. In a *mutuum*, the lender gives ownership of money or another fungible consumable to the borrower, and the borrower owes equivalent repayment — that is the contract. If the lender demands more simply because he lent, the surplus is usury. But if some other reality exists — actual loss, expense, partnership, gift, risk, or (in later theology, under conditions) concrete foregone gain — the moral analysis changes. Here begins the distinction between intrinsic and extrinsic titles. Aquinas does not present the later fourfold taxonomy in mature form; he writes no chapter called “the four extrinsic titles,” and does not systematically develop *poena conventionalis*, *damnum emergens*, *lucrum cessans*, and *periculum sortis* as later theologians will. But the architecture is already present. The loan itself gives no right to surplus. Something outside the loan may, in some cases, create a separate claim. That separate claim must be real. If it is not real, the surplus is usury.

This is why q.78 matters so much to everything that follows. The later questions all orbit its central distinction: whether actual loss can include broader liquidity harm; whether foregone profit can be compensable when concrete and morally certain; whether risk to principal can justify surplus in a loan-like arrangement; whether a late penalty can be stipulated in advance without becoming disguised interest; whether the absence of money, *carentia pecuniae*, can be priced; how merchant capital, public debt, exchange contracts, and insurance-like arrangements should be classified. The question is never merely whether the lender receives more. The question is why. If the “why” is “because I lent you money,” Aquinas says no. If it is “because you damaged me,” he opens a door. If it is “because we are partners and my capital is at risk,” he opens another. If it is “because I did not make the profit I might have made,” he is cautious and, in q.78, largely closes the door. If it is “because time passed,” he rejects it. That makes q.78 a hinge text — at once a prohibition (one may not sell the use of money in a *mutuum*) and a sorting device (usury must be distinguished from other possible claims). The later extrinsic titles are attempts to make the sorting device more precise under the pressure of real economic life.

The central text also corrects a durable modern misunderstanding. Aquinas did not believe money could never be associated with productive activity. He knows money can be entrusted to a merchant by way of partnership; he knows merchants can earn profit; he knows loss can be compensated. His point is more specific: in a *mutuum*, the lender has transferred ownership and may not charge for use as though ownership remained. Miss that specificity and Aquinas seems naïve about capital; see it and he becomes much more challenging, because he is saying that the moral form of the contract determines whether the provider of money has any claim on the fruits. Partner — perhaps yes. Lender in a *mutuum* — no, not without another title. That is still a devastating question for modern finance: does capital truly participate, or does it merely claim? Many modern instruments blur exactly this line. Preferred equity claims to be risk capital while securing priority repayment. Revenue-based finance claims to share upside while imposing repayment obligations that burden the enterprise regardless of outcome. Venture capital claims partnership while using control rights to force exit. Debt claims a risk premium while holding collateral, guarantees, and seniority. Management fees claim service while functioning as extraction regardless of value created. To every such arrangement, q.78 puts one question: what is the moral form of the claim? If the capital provider is truly exposed, truly serving, truly bearing loss, or truly compensating actual harm, the analysis may differ. If the provider is protected while demanding more merely because capital was advanced, the old usury question returns.

Aquinas’s treatment also shows that usury is not merely a problem of poverty lending. Scripture is most severe where the poor are concerned, and Christian preaching has

always focused on exploitation of the needy; but Aquinas's formal argument applies to the *mutuum* as such. Even when the borrower is not poor, the lender may not demand payment for the use of money in a loan for consumption, because the injustice lies in the structure of the claim. This does not flatten the special gravity of exploiting the poor — a usurious loan to a desperate person is worse, because it adds exploitation of vulnerability to the injustice of the surplus — but the conditions that intensify the injustice do not define it. The deeper question is always whether the surplus is due.

Article 2 deserves particular attention because it supplies the first set of distinctions against overgeneralization. Aquinas allows the lender to receive back exactly what was lent; allows compensation for loss incurred; allows repayment of expenses; allows the borrower's genuinely free gift of gratitude; allows partnership profit where money is entrusted to a common venture rather than lent. He rejects payment demanded because the lender did not profit from the money, and rejects charging more for delayed payment where the extra is simply payment for waiting. Already, then, he is distinguishing moral categories — principal repayment, actual loss, expenses, free gift, partnership profit, foregone profit, payment for time — and refusing to treat them alike. This is the beginning of moral finance as classification. Article 3 then gives the doctrine teeth: the usurer must restore, because unjust gain belongs, morally, to the one from whom it was taken; the lender may have legal possession but not moral title, and restitution repairs the broken equality. And Article 4 supplies pastoral realism. People live inside unjust economic systems; a borrower may need money with no non-usurious alternative, and in such cases the borrower's act must be distinguished from the lender's — he may use the usurer's sin without approving it, as one may suffer injustice without causing it. Moral theology must not burden the vulnerable as it burdens the exploiter. The modern parallel is exact: founders, workers, households, and communities often accept extractive capital because nothing better is available, and their consent neither makes the structure just nor makes them equally responsible for its injustice.

For this book, q.78 is the pivot between ancient moral concern and the later technical development. Everything before it prepares the question — Scripture, Aristotle, Roman law, canon law, commutative justice, restitution, just price, merchant profit. Everything after it develops the implications — penalties, actual loss, foregone gain, risk to principal, labor, expense, public utility, institutional drift, and modern non-extractive capital. Aquinas gives the central rule: in a *mutuum*, surplus from the loan itself is unjust. He also gives the central opening: surplus may be permissible if it corresponds to something real outside the loan itself. The entire later tradition lives in the tension between that rule and that opening. The rigorists fear the opening will swallow the rule; the more permissive scholastics fear that the rule, applied rigidly, will ignore real loss, real risk, and real commerce. The task of moral theology is to preserve both justice and truth — no unjust gain from the loan itself, and no denial of genuine compensation where justice requires it. That is why q.78 remains the central text. It does not answer every later question. It tells us how to ask them.

8.2 The consumable-good argument

Aquinas's most famous argument against usury begins with a simple distinction: some things are used without being consumed, and other things are used by being consumed. A house can be lived in for a time and still stand when the use is finished; a field can be worked and remain; a tool can be used and returned; a horse can be ridden and given back. In such cases the use of the thing can be separated from the ownership of the thing,

and because the thing survives its use, one can charge for temporary use while retaining ownership. Rent makes sense. But wine is used by being drunk, bread by being eaten, grain — in the relevant sense — by being consumed, planted, or alienated, and money by being spent. Here the use cannot be separated from the thing itself. To use it is to consume, spend, or alienate it, and once used, the identical thing is gone.

This is what Aquinas means by treating money as a consumable good in the context of a *mutuum*, and the point is not physical but legal and economic. Coins go on existing somewhere; digital balances transfer rather than vanish. The claim is about what the borrower does: he uses money by spending or alienating it. He cannot both use the money and return the same money as if it were a rented house. The money passes into exchange, and the borrower later owes an equivalent. In a loan for consumption, ownership passes; the borrower becomes owner of the money and spends it as his own; the lender no longer owns the money but a claim to equivalent repayment. The argument follows directly. If the lender demands repayment of principal, that is legitimate: the borrower received 100 and owes 100. But if the lender also demands payment for the use of the 100, he is charging for something that cannot be sold separately from the thing itself. In a consumable good, the use is the consumption. To charge for the thing and for its use is to charge twice. Aquinas compares it to selling wine and then charging separately for the drinking of the wine — absurd, because the drinking is the use, not a second commodity. Likewise the lender cannot transfer ownership of money and then charge rent for the borrower's use of what has become the borrower's own.

That is the formal core of the usury argument, and it is worth being precise about what kind of claim it is. It is not primarily an empirical claim that money never contributes to production. It is a moral-legal claim about what is being sold in the contract: if the lender has transferred ownership of a consumable thing, he may not sell its use as if that use remained his to sell. This is why usury is contrary to justice — the lender receives more than is due by charging for a nonexistent separate use, treating the use of money as separable from money itself and as still his after the transfer, so that the borrower pays not only the equivalent of what he received but a price for something that cannot be separately priced in that contract.

The argument feels strange to modern readers because modern finance talks constantly of the price of credit, the rental price of capital, the time value of money, the cost of funds — phrases that make renting money sound obvious. Aquinas denies that it is possible in a *mutuum*. A house can be rented because it remains the owner's and its use is separable from ownership. Money transferred in a loan for consumption cannot be rented in that sense, because ownership passes and the money is used by being spent. The lender can be repaid the equivalent; he cannot charge rent for use as though the money remained his. From a Thomistic perspective, "renting money" is morally misleading language unless the underlying structure is not a *mutuum* at all. If the capital remains the investor's and is placed into a partnership, profit-sharing may be possible. If the capital is genuinely at risk in an enterprise, another analysis applies. If the lender suffers actual loss, compensation may be owed; if a service is performed, a fee may be justified. But where ownership passes and equivalent repayment is owed, charging for use remains the problem — which makes Aquinas subtler than both his defenders and his critics tend to admit. He is not saying money cannot be involved in productive activity. He is saying the lender's entitlement depends on the moral form of the transaction: whoever wants a share in productive gain must enter a form that shares risk or otherwise supplies a real title, not lend in a *mutuum* and then claim the fruits of what the borrower does with money that has become the borrower's.

The application to modern business finance is direct. If capital is advanced to a com-

pany that must repay the principal regardless of success, and the investor receives a fixed surplus merely for the passage of time, the structure looks like a *mutuum* with interest. If the investor's capital is genuinely exposed to loss and return depends on the enterprise's success, the structure begins to look like partnership or risk-bearing investment, and the moral analysis changes. The consumable-good argument does not abolish capital finance; it forces finance to be honest about its form. Are you a creditor, or a partner? Did you transfer ownership, or retain an exposed stake? Do you demand repayment regardless of outcome, or share loss? Are you charging for time, or being compensated for real risk, labor, or loss? The usury problem arises when capital wants to be creditor and partner at once, one-sidedly — fixed repayment like a creditor, surplus like a participant; protection from loss, plus a claim on gain; the borrower treated as owner of the money for the purpose of repayment obligation, but not for the purpose of keeping the fruits of use. The consumable-good argument exposes the inconsistency. Once the money is the borrower's, the borrower owes the equivalent; the lender may not also demand the fruits of use unless some separate title exists.

The argument connects straight back to truth in exchange. Usury prices something falsely: it treats the use of money in a *mutuum* as a separable, rentable thing, which it is not. The price corresponds to no reality — an unjust price for a nonexistent object of sale. As overcharging violates equality in sale, charging for the use of money violates equality in lending, and in both cases the exchange is untrue. Nor are wine and wheat arbitrary examples. Lend wine in a *mutuum* and you may demand equivalent wine, not an added charge for the drinking; lend grain and you may demand equivalent grain, not a fee for the eating or planting as such; lend money and you may demand equivalent money, not a price for the spending. Modern readers may object that money is not consumed the way wine is — true at the physical level, and not decisive, because Aquinas's point concerns use within the contract. Money is used by being alienated in exchange; the borrower cannot enjoy its use while preserving the same money for return; he uses it by letting it go. That holds in a digital economy as well: a borrower who receives funds uses them by transferring, spending, investing, or paying them away, owes an equivalent, and the structure remains *mutuum*-like wherever ownership and repayment obligation take that form. Modern money can also be capital, funding enterprises and generating returns — but then the question is who owns the capital and who bears the risk. If the borrower owns the money and owes repayment regardless of outcome, the lender is not automatically entitled to the productive fruits. If the lender wants those fruits, the contract must be something other than a simple *mutuum*, or a genuine extrinsic title must exist.

The same logic disciplines the titles in advance. Against *lucrum cessans*: the lender says, "Had I not lent the money, I could have used it profitably," and Aquinas's response in q.78, a.2, ad 1 is cautious — the lender may be compensated for actual loss, but may not contract for compensation merely because he makes no profit from the money, since he must not sell what he does not yet have and might never obtain. The bare fact that money could have been used does not make its hypothetical fruits a separable object already owned by the lender. Later theologians will carve out exceptions for concrete foregone gain, but the warning stands: possibility is not possession. Against *carentia pecuniae*: if the lender's plea is "I am without my money during the term, therefore I must be paid," the consumable-good analysis asks whether this is simply another way of charging for use — for if mere absence of money suffices, every *mutuum* bears interest and the doctrine collapses; something more specific must be shown. And for *damnum emergens*, the argument clarifies why Aquinas allows it: compensation for a real loss suffered because of the loan is not payment for the use of money but restoration of damage — the payment attaches to an external harm, not to the consumable use itself. For non-extractive finance the boundary

is the whole point: cost recovery, loss compensation, and risk-sharing can be legitimate, and they must never become disguised rent on money. The test is always whether the payment corresponds to something real outside the bare use of funds.

The argument also challenges the modern treatment of time. Much financial theory begins from the premise that time itself makes money now worth more than money later. Aquinas does not deny that time can matter economically; he refuses to let time alone create a title. The lender does not own time, and does not own the use of money once ownership has passed, so the passage of time must be connected to some real title before it can justify payment. Time may reveal loss; time may involve risk; time may include labor; time may cause delay damage; time may interrupt a concrete use. But time itself is not automatically a commodity the lender can sell. This is among the most radical aspects of the whole argument. Modern finance asks what money over time is worth; Aquinas asks whether the lender has any right to sell the use of what no longer belongs to him. The starting points could hardly be further apart. The consumable-good argument will not settle every modern question by itself — it needs supplementing with analysis of inflation, risk, productive capital, partnership, institutional cost, and complex instruments — but it remains a powerful moral test because it blocks the automatic conversion of time into yield. Before capital charges for time, ask what capital owns. Before capital claims return, ask what capital risked. Before capital prices use, ask whether the use is separately saleable. Before capital demands surplus, ask whether the surplus corresponds to reality.

There is finally a spiritual edge to the argument. The usurer treats a claim as though it were a productive thing; he makes money appear to generate offspring simply by passing through time; he converts the borrower's use of what is now the borrower's own into a revenue stream, blurring ownership, use, and obligation in his own favor. In doing so he trains himself to see money not as servant of exchange, nor as gift to help the neighbor, nor as capital to be risked in common enterprise, but as a self-expanding claim. That is the deeper danger of money breeding money — not only a technical mistake but a spiritual formation into false entitlement. The consumable-good argument resists the formation. It tells the lender: you gave this as a *mutuum*; it became the borrower's; you may receive the equivalent; if you want more, show the title. Do not pretend the use remained yours. Do not sell what you no longer own. Do not charge twice. The argument may need careful interpretation in modern contexts, and it does not eliminate every possible return to capital. But it permanently unsettles the assumption that money, once lent, naturally deserves more money back. In Aquinas's framework the *mutuum* is simple: what was mine became yours; you owe me the equivalent; I may not charge you for using what became yours. That is the consumable-good argument, and it is the heart of his critique of usury.

8.3 *Mutuum* versus *societas*

Aquinas's condemnation of usury does not mean that capital may never share in profit — one of the most important points in his entire treatment. He is strict about the *mutuum*, and he is not blind to the moral difference between a loan and a partnership. In *Summa Theologiae* II-II, q.78, a.2, ad 5, he distinguishes money lent in a *mutuum* from money entrusted to a merchant or craftsman by way of *societas*, and the distinction is decisive. In a *mutuum*, ownership passes to the borrower, who owes an equivalent later; the lender has a claim to repayment and no direct share in the borrower's business; if the borrower profits, the profit is the borrower's, and if he fails, the debt remains. The lender is a creditor. In a *societas*, the capital is placed into a common undertaking and its provider remains exposed to the fortunes of the enterprise. The parties are joined in a shared venture: if it gains, the

provider of capital may share the gain; if it loses, he may lose. That is why Aquinas permits profit-sharing in partnership. The profit is not payment for the use of money in a *mutuum*; it is a share in the result of a common enterprise in which capital is genuinely at risk. The investor receives profit not because money breeds money but because he participated in a venture whose outcome was uncertain.

Aquinas does not yet speak the mature language of *periculum sortis*, but he supplies the conceptual structure that makes the later title possible, and the decisive fact is risk. The creditor stands outside the enterprise with a claim; the partner stands inside it with exposure. That difference changes everything, and it blocks two opposite errors at once. The first error treats every return to capital as usury — but where capital is genuinely contributed to a partnership and remains at risk, profit-sharing rests on a real title, participation in the enterprise and exposure to its loss. The second error treats every capital return as partnership profit — but if the transaction is actually a *mutuum*, calling the lender a “partner” does not make him one. Where repayment is guaranteed, where the borrower bears the downside, where capital is protected while claiming surplus, the moral form remains loan-like, and the surplus must be judged accordingly.

This matters now because contemporary capital dearly loves the language of partnership while preserving the protections of debt. Venture investors call themselves partners; private equity firms are literally organized as partnerships; banks announce partnerships with their clients; impact investors speak of partnership with mission-driven enterprises. Some of this is sincere, and some of it is even structurally true. Aquinas’s distinction asks the harder question: does the capital truly share the fate of the enterprise? The test is not whether the parties are friendly, whether the investor gives advice, whether the capital provider cares about the company, or whether the documents use the vocabulary of alignment. The test is structural. Can the capital be lost? Does repayment depend on success? Is downside shared? Is upside paired with vulnerability? Does the investor stand with the enterprise when things go badly — or hold priority, collateral, guarantees, control rights, and exit rights that protect capital while others bear the loss? The *mutuum*-versus-*societas* distinction is a moral x-ray for those questions.

It also shows that risk-sharing is relational, not merely financial. A partner is not simply someone who receives a variable return; a partner is someone joined to the undertaking, in something like a common fate. The parties may contribute different things — money, labor, skill, reputation, tools, knowledge, networks — but they are related by participation in a shared good, not only by fixed repayment. Partnership profit is therefore morally tied to solidarity: the investor may receive because the investor has become vulnerable with the enterprise, the return arising from within a shared venture rather than extracted from outside it. For non-extractive capital, the implication is a direction of travel: wherever possible, move from creditor logic toward partnership logic — and not by changing vocabulary, but by changing risk allocation, control, repayment, governance, and exit. Does capital absorb loss before mission is destroyed? Does capital wait when the enterprise needs time, and return only when the enterprise can bear it? Does it avoid personal guarantees that transfer enterprise risk onto household vulnerability, and liquidation preferences that let investors recover while workers, suppliers, and mission are sacrificed? Does it take upside only where it takes downside? Does it support the common undertaking rather than stand over it? These are the modern forms of the *mutuum*-versus-*societas* question.

The distinction also warns against priority repayment dressed as partnership. If capital is repaid first regardless of the enterprise’s condition, its provider may be closer to creditor than partner; there may be cases where priority corresponds to a real and just title, but it can never simply be assumed, and in the stricter Franciscan and anti-usury reasoning, priority repayment looks suspicious precisely because it protects capital before the living

enterprise and its human participants. The key question is brutally simple: what happens when there is not enough? When things go well, nearly every structure looks like partnership — investors receive return, founders continue, workers are paid, mission advances, everyone smiles. The moral form of capital is revealed in failure. If revenue falls, who waits? If assets are liquidated, who is paid first? If the company struggles, whose claims are reduced? If the mission is threatened, whose rights yield? If loss must be absorbed, whose balance sheet takes the hit? The answers reveal whether the capital was truly in *societas* or merely wearing partnership language. Aquinas's permission is permission tied to form: the investor may share profit because the investor shares risk. Remove the risk and the title weakens; remove the common undertaking and it weakens further; preserve only the upside and the structure becomes morally suspect.

The same analysis sorts modern equity. Equity is usually assumed to be risk-bearing by definition — it can lose value, and equity holders are paid after creditors — and in that respect it can resemble *societas* more than *mutuum*. But not all equity is equally partnership-like. Preferred equity, liquidation preferences, redemption rights, anti-dilution protections, veto rights, forced-exit provisions, and control terms can make equity behave in creditor-like ways: legally equity, morally drifting toward protected claim. Aquinas would not be impressed by the label. The question is whether capital truly participates in common risk or uses legal form to secure asymmetric power. The mirror case exists too: some debt instruments carry genuine risk-sharing features. Revenue-based finance, recoverable grants, subordinated loans, patient capital, and profit-participating instruments can be more partnership-like than ordinary debt, if repayment truly adapts to the enterprise's condition and principal can really be lost. Legal debt can be structured with the moral features of solidarity; legal equity can be structured with the moral features of domination. The analysis must go deeper than legal category, into the actual allocation of risk, control, and claim.

Control deserves its own scrutiny. In a partnership some shared governance is appropriate, because the parties are engaged in a common undertaking — but control must be ordered toward the common good of the venture, not merely the protection of capital. An investor who uses governance rights only to secure exit, maximize return, or force repayment is behaving less like a partner than like a creditor with power. Modern venture capital often combines genuine risk-bearing with strong control rights, and the rights are not all equivalent: some protect against fraud, mismanagement, or mission drift; others hand investors the power to force outcomes that serve capital at the expense of founders, workers, users, and mission. The moral question is not just whether the investor bears some risk but whether the governance structure reflects genuine common enterprise. Aquinas's *societas* logic implies that shared profit should be tied to shared purpose, not only shared exposure. A partner in the full moral sense is not merely one who risks money; he participates in a common good, and the return to capital should live inside a governance structure that respects the enterprise's purpose. Otherwise risk-bearing turns merely speculative — capital accepting possible loss in exchange for the power to capture upside, with no true commitment to the good being built. Here the Christian account must go beyond a thin financial idea of risk. Gambling involves risk. Speculation involves risk. Predatory finance can involve plenty of risk. The moral legitimacy of partnership profit depends not only on exposure to uncertainty but on participation in an activity that is itself legitimate and ordered toward a good — which is why the merchant-profit analysis of q.77 matters here, and why *periculum sortis*, when it matures, cannot mean “wherever there is risk, surplus is justified.” It must mean: where capital is genuinely exposed in a just undertaking, compensation or profit-sharing may be justified. Risk is necessary, never sufficient; the venture must be morally ordered and the return proportionate.

Labor belongs in the same frame. A partner may contribute capital while another contributes labor or skill, and profit-sharing can be just though the contributions differ — but that raises the question of how gains divide between capital and labor. The mere fact that capital is at risk does not entitle capital to unlimited upside; labor, skill, entrepreneurship, and stewardship also contribute. This is acute in start-ups and mission-driven enterprises, where founders contribute years of unpaid or underpaid labor, personal risk, reputation, creativity, and vocational commitment; workers carry the operational fragility; communities provide trust and context; users create network value. If capital claims disproportionate upside simply because it provided money, the structure can be extractive even where capital genuinely bore some risk. *Societas* requires proportionality among contributions. Aquinas offers no modern cap-table theory, but his justice framework demands that profit-sharing correspond to real participation — money being one contribution among several, not the only one.

Exit, too. A creditor exits by being repaid. A partner exits by some form of separation from the common undertaking, ideally without destroying it. A capital provider who demands an exit that forces the sale of the company, undermines the mission, or transfers control to extractive owners has made the supposed partnership questionable — true partnership does not treat the enterprise as a vehicle for investor liquidity. For steward ownership the point is structural: if a company exists to serve a mission beyond shareholder exit, capital must be shaped accordingly, and a partner in such an enterprise accepts limits on exit, return, and control. Otherwise the capital is not participating in the mission; it is using the mission as an investment wrapper. Participation, in Aquinas's sense, is participation in this enterprise, with its proper end — not merely in financial upside.

The contrast with the *mutuum* yields one last, slightly uncomfortable honesty: debt can sometimes be more truthful than pseudo-partnership. A simple loan with clear principal repayment and no excessive surplus may be morally cleaner than an “equity partnership” that captures governance and upside while pretending alignment. The problem was never that debt is bad and equity good. The problem is whether the form is truthful and just. A modest, transparent, non-extractive loan may serve life; a complex, controlling, mission-capturing equity instrument may extract; a genuine partnership may be beautiful; a fake partnership is worse than honest debt. The analysis must follow substance — which is why the distinction is a diagnostic tool, not an automatic endorsement of equity or condemnation of debt-like structures. If capital is lent as a *mutuum*, it may not claim partnership profit. If it is contributed as *societas*, it shares profit only because it shares risk and purpose. If a contract mixes features, the analysis must identify which claims correspond to which titles — exactly the work the later extrinsic-title tradition takes up. *Damnum emergens* asks whether the lender has suffered loss; *lucrum cessans*, whether he has lost a concrete gain; *poena conventionalis*, whether delay creates a new title; *periculum sortis*, whether risk to principal changes the relation; *stipendium laboris*, whether labor deserves compensation; *carentia pecuniae*, whether the absence of money can be priced without destroying the doctrine. All of them orbit the question Aquinas poses through *mutuum* and *societas*: is the surplus tied to a real moral form, or demanded from the loan itself?

The practical method for modern non-extractive finance is to test every capital instrument along a spectrum. At one end, pure *mutuum*: ownership passes, equivalent repayment is owed, no surplus without title. At the other, genuine *societas*: capital, labor, and enterprise share fate, risk, governance, and gain in proportion. Between them lie the hybrids — secured loans, subordinated debt, revenue shares, preferred equity, redeemable equity, convertible notes, guarantees, recoverable grants, capped-return instruments, mission-locked capital. The task is not to force each into a medieval category but to use the categories to ask better questions. Does this instrument behave like debt, equity, partnership,

insurance, service, or sale? What happens in failure, and in success? Who controls the enterprise, who absorbs loss, who receives surplus? Is capital's return proportionate to its vulnerability? Is the mission protected from capital's exit needs? Is the language of partnership matched by the structure of partnership? These are Aquinas's questions in modern dress, and they give the book one of its central constructive pillars: capital may share in surplus when it truly shares in risk, purpose, and vulnerability; capital may not claim partnership profit while preserving creditor protection. That principle does not decide every case, but it cuts through a great deal of confusion — and it points toward a positive vision. The answer to usury is not the refusal of all return; it is truthful form. If capital wants return, let it participate: share downside, support the enterprise's good, govern modestly, accept limits, be patient, stand with the borrower, founder, worker, and mission when the storms come. Let capital become partner rather than master. That is the moral promise hidden in Aquinas's distinction between *mutuum* and *societas*.

8.4 Actual loss versus profit not made

Aquinas's most important opening toward the later doctrine of the extrinsic titles appears in *Summa Theologiae* II-II, q.78, a.2, ad 1, in a distinction that will shape centuries of debate: a lender may receive compensation for a loss incurred through lending, but he may not demand compensation merely because he did not make a profit from the money. This is the root of the later contrast between *damnum emergens* and *lucrum cessans*. *Damnum emergens* means actual loss arising: the lender has suffered a real detriment because of the loan — an expense incurred, damage caused by the borrower's conduct, having to borrow elsewhere, an obligation missed when repayment failed. Something real has been lost, and compensation for it is restorative; it does not pay the lender for the use of money, it repairs an injury. *Lucrum cessans* means gain ceasing: the lender claims that by lending, he lost the opportunity to profit elsewhere — not the loss of something possessed, but the failure to obtain something he might have gained. That is a far more delicate thing. The gain is future, uncertain, and not yet owned, and to demand compensation for it risks selling what one does not yet have.

Aquinas accepts the first and resists the second, and his reason is precise. Compensation for actual loss is not usury, because the lender is not selling the use of money; he is avoiding or repairing a detriment external to the loan itself. But a lender who demands payment because he did not profit is demanding compensation for something he never possessed. The expected profit might never have materialized; many things could have prevented it; to sell that expected gain is to sell what is not yet his. Justice may repair reality, but it must be cautious about pricing possibility. Modern finance treats the two as close relatives — if I could have earned elsewhere, lending to you cost me that return; opportunity cost becomes a species of loss; the capital provider experiences the absence of gain as deprivation. Aquinas insists on the stricter line. Not every unearned profit is a loss in justice, and not every possible alternative creates a claim against the borrower. Did you actually lose something — or are you charging for a future you did not yet possess?

The difference matters because without it, the usury prohibition simply collapses. If every profit not made counts as compensable loss, every loan can bear a return, since the lender always could have done something else with the money — traded, invested, bought land, purchased goods, lent to another, kept liquidity. If all such possibilities are billable, the borrower always owes more than principal, the *mutuum* is no longer gratuitous, and opportunity cost has quietly replaced the usury doctrine. Aquinas blocks that move. He does not deny that lending can inconvenience or harm the lender — he allows actual loss

— but he refuses to let abstract possibility become a title. And the refusal is spiritually significant, not merely technical. The desire for unrealized gain can become infinite. There is always some imagined alternative, always a better return that might have been earned, always a benchmark, always a portfolio allocation that might have performed differently. If the lender's imagination of possible gain becomes the borrower's obligation, the borrower is made responsible for the lender's entire horizon of desire. Aquinas refuses this. Justice concerns what is due, not every gain one might have wanted.

The distinction also preserves the meaning of gift and help. A person who lends to a neighbor, especially a neighbor in need, gives up the possibility of using the money elsewhere, and that sacrifice may be real in a broad sense. But not every sacrifice creates a claim. Some sacrifices belong to charity, some to neighborly obligation, some to the discipline of mercy — and if every act of help must be compensated for every possible foregone advantage, help becomes indistinguishable from investment. Scripture had already drawn the boundary: Deuteronomy commands the lender not to harden his heart as the release year approaches, though repayment is visibly uncertain; Leviticus commands that the poor brother be upheld so that he may live; Exodus commands the cloak returned. None of these texts denies that generosity costs the lender. They place some costs under the command of mercy, and Aquinas's distinction between actual loss and profit not made stands in continuity with that biblical discipline. Actual harm may be repaired in justice; not every missed gain may be charged to the needy borrower.

None of this makes *lucrum cessans* disappear — commercial life will force the question, and later theologians will develop the title extensively. A merchant's money may not be idle: it may be concretely committed to trade, a sum set aside for a specific profitable transaction, a stock of goods with a predictable future sale. If lending, or being deprived of the money, interrupts that concrete use, the lost gain begins to look like a real detriment. And Aquinas himself supplies some of the tools for the development: in his treatment of restitution he recognizes that preventing someone from obtaining a future good can sometimes create an obligation, and in his treatment of just price he recognizes that a thing may have special value to its owner because parting with it causes loss. Cajetan and others will use exactly these principles to nuance the rejection. But in q.78 his immediate answer stays restrictive, because he sees the danger: future gain becoming the standing pretext for interest. He is not naïve — he knows future goods can matter — and he will not convert every possible future profit into present entitlement. The later tradition lives inside that tension. Hostiensis had already opened space for *lucrum cessans* with restrictions; Peter John Olivi will think hard about merchant capital and future value; Sant'Antonino, Bernardino, Cajetan, Summenhart, Soto, Navarrus, Molina, Lessius, Lugo, and Alphonsus will all wrestle with how far foregone gain can be recognized without destroying the prohibition. The title will be increasingly accepted, always under conditions, and the stricter Thomistic warning will keep sounding underneath: mere possibility is not enough.

That is why q.78, a.2, ad 1 is foundational: it draws the line the later centuries will debate, adjust, and sometimes stretch. Actual loss may be compensated. Profit not made may not simply be sold. For modern finance, the line is explosive. A fund says: if we put capital into this enterprise, we cannot put it elsewhere; the enterprise must compensate us for the return we gave up. Aquinas would ask: what exactly did you give up? Was there a concrete alternative, licit and reasonably certain? Were you actually going to pursue it? Was the gain morally on the way, or merely possible? Is the borrower responsible for your entire investment universe? A venture fund says: our investors expect a certain return, so portfolio companies must be structured to deliver it. Aquinas would ask whether investor expectation creates a title in justice against the company — desire, expectation, and benchmark are not the same as due. A lender says: the rate reflects what capital could earn in the

market. Aquinas would ask whether “the market” names a concrete foregone gain or an abstraction — and whether the alternative gain would itself have been morally legitimate, since one cannot justify a claim against a borrower by pointing to an alternative extraction. A mission-driven fund says: we need to be sustainable. Aquinas would distinguish: real costs, real losses, and real stewardship labor may be compensable, but sustainability must not become a name for whatever return capital would like. The title must be specific.

The distinction also catches *damnum emergens* being stretched into *lucrum cessans* without being named. A lender calls something “loss” when what is meant is “return I did not earn”; a fund calls underperformance a loss; an investor calls lack of yield a cost. Aquinas forces clarity. Did something actually go out? Was something actually damaged? Was an obligation actually missed, a cost actually incurred? Or did a hoped-for gain simply fail to appear? Only the first set belongs to *damnum emergens* — a sorting with direct consequences for accounting. In a moral-finance ledger, actual costs and losses belong in a different category from opportunity costs: administrative expense, legal fees, monitoring costs, emergency liquidity damage, and documented collection costs on one side; foregone return, alternative deployment, and investor hurdle rates on the other. Mixing them manufactures moral confusion. Proportionality follows the same logic. If the title is actual loss, the measure is the loss: a lender who lost 10 is not restored by 20, an administrative cost of 3 does not justify a fee of 15 under the name of cost recovery, and a penalty for delay should correspond to the specific damage or to a proportionate disciplinary function. If the title is foregone gain, the measure is far harder — what gain, how likely, over what time, licit or not, net of costs and risks, and would the lender actually have obtained it? That uncertainty is exactly why Aquinas is cautious. Modern finance resolves the uncertainty with market rates, discount rates, and benchmarks; Aquinas would not necessarily reject all estimation, but he would not let estimation erase moral uncertainty. A benchmark is not a title. A model is not justice.

The distinction protects borrowers from being charged for the lender’s internal portfolio logic — a borrower needs money for a concrete purpose, and to make him responsible for everything capital might have done elsewhere is to impose an abstract financial horizon onto a concrete human relation. It is most troubling where the borrower is vulnerable: the poor borrower of Exodus does not owe the lender for every profitable thing the lender might have done instead of helping him; the poor brother of Leviticus is not a debtor to the lender’s opportunity set; Deuteronomy’s open hand is not governed by market benchmarks. Aquinas gives that scriptural instinct philosophical and juridical form. And the same distinction protects the lender too, because Christian moral economy is not sentimentality about one side. If the borrower’s conduct causes real loss, or lending produces a specific detriment, justice may permit compensation — the lender is also a person, his goods also matter, and commutative justice runs both ways. Aquinas does not say lenders have no rights. He says lenders have the rights that correspond to reality: a right to principal; possibly to compensation for actual loss; possibly to expense reimbursement; possibly to profit-sharing in partnership — but no right to every profit imagination can supply.

For non-extractive capital, the discipline writes itself as a set of separations: actual loss from missed return; cost recovery from yield; mission sustainability from investor appetite; concrete foregone use from abstract opportunity cost; restorative compensation from capital entitlement. Lose those separations and non-extractive finance quietly becomes ordinary finance with gentler language — it begins by recovering costs and ends by defending target returns, begins by compensating real loss and ends by billing opportunity cost, begins by sharing risk and ends by protecting capital while charging for risk. Aquinas’s distinction is the drift-brake. Every surplus claim gets sorted. Is this *damnum emergens*? Show the actual loss. Is this *lucrum cessans*? Show the concrete foregone gain,

and be careful. Is this *poena conventionalis*? Show the culpable delay and the proportionality. Is this *periculum sortis*? Show the real risk to principal. Is this labor? Show the work. Is this expense? Show the cost. Is it merely desired return? Then do not call it justice.

There is a spiritual teaching in the line as well. It tells the lender that not every unrealized possibility is owed to him; it disciplines the imagination of entitlement; it prevents capital from turning the future into property before the future has happened. This may be the deepest point in the whole chapter. Usury is partly a sin against the future — it claims future increase as if already owned and makes the borrower responsible for producing it — and *lucrum cessans*, undisciplined, does something similar, converting the profit I might have had elsewhere into your obligation. Aquinas says no, or at least not so easily. The future is not yours to sell simply because you can imagine it. Actual loss belongs to justice; imagined profit belongs, most of the time, to desire. The hard cases lie between, and later theology will spend centuries in that borderland. But the first distinction remains load-bearing, because without it all moral finance is lost. The lender may be restored. The lender may not automatically be enriched.

8.5 Waiting for payment and hidden usury

Aquinas is especially alert to the possibility that usury can hide inside delay. Usury does not always arrive as a loan with explicit interest. It can arrive as a sale with delayed payment, a higher price for credit, a penalty clause, a fee for waiting — any arrangement in which time quietly becomes the thing being sold. The form changes; the question does not: is someone receiving more merely because payment is postponed?

In *Summa Theologiae* II-II, q.78, a.2, ad 7, Aquinas addresses the case directly. A seller charges more because he allows the buyer to delay payment, and the answer is strict: if the higher price is charged simply because the seller waits, the arrangement has the character of usury. The delay functions like a loan; the extra amount is tied not to the value of the thing sold but to time. This is the crucial bridge between just price and usury. A sale and a loan are different contracts — one sells a thing for a price, the other gives a consumable and receives an equivalent later — but a sale on credit becomes loan-like when the extra charge is not part of the thing's value but a price for deferred payment. The seller says, in effect: have the thing now, pay later, and pay more because I am waiting. Aquinas sees the danger at once. Waiting for payment can be used to smuggle usury into sale. Not every difference between a cash price and a credit price will be simple to judge — a seller may incur actual costs from delayed payment, may bear real risk, the good's price may genuinely vary over time, there may be administrative burdens, and later theologians will work through such cases in detail — but the core warning is fixed: time alone is not a title.

Run the numbers and the point is hard to evade. A seller offers a good for 100 now or 110 in a year. If the extra 10 is simply the price of waiting, the seller has effectively sold the good for 100 and lent that price for a year at 10. The sale contains a hidden loan; the surplus attaches to deferral, not to the good's worth; the transaction is legally a sale and morally on its way to usury. This is why q.77 sits immediately before q.78: the just price of the good must not be confused with the price of time. And the issue, once again, is truth in exchange. What is being sold — the good? time? the use of money the seller is, in effect, leaving with the buyer? Aquinas makes the seller answer. Later centuries of disguised-usury analysis grow from exactly this concern: if direct interest is forbidden, the same economic substance hides inside a higher deferred price, a repurchase agreement, a bill of exchange, a penalty expected from the beginning, a fee for waiting, a manipulated sale. The tradition learns to ask not what the contract is called but what role time plays in

the surplus. Where time is merely the occasion in which real loss, risk, expense, or delay damage occurs, compensation may be analyzable. Where time itself is the commodity being priced, Aquinas is deeply suspicious.

Here he collides squarely with the modern concept of the time value of money — the premise, foundational to discounting, investment valuation, bond pricing, project finance, and the cost of capital, that money now is worth more than money later. His framework does not map neatly onto modern finance, but it puts a searching theological question to it: may the mere passage of time be converted into a claim against another person? His answer is not that time never matters. It is that time matters only through morally relevant realities that occur in time. Time may bring actual loss; time may bring risk; time may involve labor; time may bring inflation or currency change, which later thinkers will have to analyze; time may bring wrongful delay; time may interrupt a concrete alternative use. But time itself, abstracted from these realities, is not something the lender owns and may sell. The lender does not own time; he does not own the borrower's future; he does not retain ownership of money that has passed in a *mutuum*. Waiting can be costly, and not every cost is due from the borrower. Waiting can be inconvenient, and inconvenience is not always compensable. Waiting can involve opportunity, and opportunity is not possession. Waiting can create risk, and risk must be real and borne by the one claiming compensation. And sometimes waiting is precisely what charity requires — Deuteronomy 15 commands the lender not to harden his heart as the release year approaches, when lending has become financially unattractive by design. The biblical imagination does not treat waiting and uncertainty as automatic reasons to demand more from the poor; it treats them as occasions for trust, mercy, and obedience. Aquinas gives that discipline legal-theological form: extra charged merely for delay has the character of usury.

This does not abolish late-payment penalties, and the distinction he preserves matters enormously. Wrongful delay can cause real harm: a debtor who promises repayment on a date and culpably fails may leave the creditor unable to meet obligations, out of pocket, wrongfully deprived of what is owed. Compensation or penalty may then be justified — this is the basis of *poena conventionalis* and *morae poena*. But a penalty for wrongful delay is morally different from a price for agreed delay. The first says: you failed to do what you owed, and the failure created a new injustice. The second says: because payment comes later, I charge more for time. One responds to breach and may restore or discipline justice; the other monetizes waiting and may hide interest. Hence the tradition's sharp concern with penalties expected from the beginning. If a contract sets a due date everyone knows the borrower will miss, and then imposes a penalty, the penalty is not penal at all — it is a planned return, the "delay" fictional, the transaction designed to produce surplus through stumbling. This is *poena conventionalis in fraudem* — a penalty in fraud of the usury prohibition — and Aquinas's warning about delayed payment anticipates the whole later anti-fraud analysis. The moral issue is never the label "sale," "penalty," or "credit term," but whether the surplus is tied to a just title.

Modern finance is dense with the analogous structures. Default interest that becomes a major profit center. A credit-card business that depends economically on late fees. Supplier payment terms with financing costs hidden in the invoice. Buy-now-pay-later products that present themselves as convenience while monetizing delay. Venture instruments that accrue growing repayment obligations; convertible notes that accumulate claims which pressure the company later; revenue-based financing with repayment multiples that function like time-priced capital; extension fees, monitoring fees, and restructuring fees that increase precisely when the borrower is weakest. Aquinas's question applies to every one of them: is this charge tied to a real cost, loss, risk, or service — or is it a price for time under another name? The question matters most where the borrower is

vulnerable. If delay arises from distress, illness, market shock, late receivables, or genuine inability, a charge for delay deepens the very harm moral finance exists to repair; a late penalty proportionate between commercial equals can be oppressive imposed on a poor household or a fragile enterprise. The creditor must ask whether he is restoring justice or harvesting distress. The Exodus cloak returns here. A creditor who charges more when the borrower is late may say he is enforcing discipline — perhaps he is. He may also be holding the cloak overnight, using the borrower's weakness as a source of gain, structuring the contract so that the borrower's difficulty becomes the lender's yield.

Aquinas's strictness protects the borrower from that dynamic, and it protects the lender's soul as well. A lender who profits from delay may come to desire delay — to prefer default to timely repayment, to design terms that look reasonable but generate revenue when borrowers stumble, to grow attached not to justice but to arrears. That is spiritually deforming. A true penalty is something the lender would rather not receive: its purpose is to deter breach or repair harm, not to generate income, and a lender who welcomes delay because delay produces surplus has already changed the moral form of his claim. For non-extractive design the implications are concrete. Late fees should not be revenue centers; default interest should not be a business model; grace periods should be real and cure rights meaningful; hardship should be considered; penalties should be proportionate; delay charges should correspond to actual cost or damage; the lender should prefer timely repayment to penalty income; and where the borrower is in genuine distress, restructuring may be more just than escalation. None of this is softness. It is moral clarity — accountability without extraction, discipline without monetizing failure, repayment expectations without turning delay into yield.

The same analysis separates the honest credit sale from the loan disguised as one. A seller may legitimately weigh many things in a price — cost, risk, storage, transport, scarcity, quality, the value of the good — but if the difference between the immediate and the deferred price is simply the price of waiting for money, the sale has taken on a loan's character: the seller is financing the buyer, and the financing must be judged under usury principles. Modern trade credit and vendor financing live exactly here. Not every difference in payment terms is unjust — businesses incur real costs when receivables are delayed, from administration to default risk to financing — but the moral accounting must be explicit. What does the higher price correspond to: cost recovery, risk, service, or interest hidden in the invoice? Aquinas demands the difference be named truthfully. Early-payment discounts face the same test, since a "discount" can be simply the inverse of a charge for delay; the label answers nothing, and the substance decides.

Underneath all of it lies the deepest issue: whether finance has turned time into a master. Biblical time is punctuated by Sabbath and release — it is not simply a field for accumulation. Aristotelian money exists for exchange, not infinite increase. The Roman *mutuum* transfers ownership and creates a claim to equivalent repayment. Aquinas draws the three together: the lender cannot demand more merely because time has passed. Modern finance runs on the opposite assumption — time is money, delay is chargeable, liquidity has a price, future payments must be discounted, capital must be compensated for waiting — and Aquinas declines to let any of it pass unexamined. He asks whether time has become an idol, a domain where capital expects automatic growth. Not all temporal valuation is thereby forbidden; but time-based claims must be morally grounded in something real — loss, risk, labor, cost, concrete foregone gain, or another just cause. For a non-extractive framework this yields a workable rule: charges that grow merely because time passes are morally suspect unless tied to a real, documented, proportionate title. Taken seriously, the rule would transform familiar structures. It distinguishes ordinary repayment schedules from compounding claims; it scrutinizes default interest and automatic accruals; it

questions preferred returns that accumulate regardless of enterprise health; it examines whether repayment multiples are time-based extraction; it forces funds to justify extension fees by actual cost or risk; it discourages any structure that makes delay profitable for capital. Above all it asks whether time is being used to help life mature or to tighten a claim. In Christian moral economy, time does not belong primarily to capital. It belongs to God, and it includes Sabbath, patience, growth, repentance, mercy, maturation, and release. A financing structure that turns every passing month into a larger claim may be economically familiar; it is theologically dangerous. Aquinas's warning about delayed payment is no medieval technicality. It is a challenge to the financial colonization of time. Waiting can be generous, risky, costly, patient, merciful — and waiting does not automatically entitle the one who waits to more. If more is claimed, the title must be shown. That is Aquinas's discipline, and one of the deepest safeguards against hidden usury.

8.6 Aquinas beyond the Summa

The Summa's usury question is the central text, but it is not the only place where Aquinas's thought matters. To read him fully, q.78 must sit alongside his broader treatments of justice, restitution, just price, partnership, future goods, and delayed repayment — and it must be remembered that he wrote before the extrinsic titles reached mature form. He is not the final manualist synthesizer. He is the architect, whose principles later theologians will extend, dispute, and sometimes stretch. That is why he can be both stricter and more fertile than a summary suggests. Stricter: he clearly condemns surplus from the *mutuum* itself, rejects charging for the use of money, rejects payment merely for profit not made, suspects higher prices for delayed payment, insists on restitution, and issues no blanket permission for opportunity cost, risk premiums, or commercial interest. More fertile: he distinguishes loan from partnership; allows compensation for actual loss; recognizes that preventing someone from obtaining a future good can sometimes require restitution; recognizes that a thing may have special value to its owner; recognizes that merchant profit can be licit when ordered toward household support or public utility; recognizes that delay can cause harm. Those principles create the openings later theologians will develop into the full doctrines of *damnum emergens*, *lucrum cessans*, *poena conventionalis*, and *periculum sortis*. Aquinas stands at the center of the tradition not because he says everything, but because he gives the grammar.

One important text beyond the Summa is De malo, q.13, a.4, ad 14, where Aquinas discusses late repayment and recognizes that a creditor may suffer harm when repayment is delayed. It shows he is not blind to the real effects of time. He does not think delay is irrelevant, or that the lender must absorb every harm caused by the borrower's failure to pay. What he rejects is the automatic monetization of time as such — and the distinction is essential. If a borrower wrongfully delays and thereby harms the lender, compensation may be appropriate: payment not for the mere passage of time but for the damage caused by delay, a different moral object belonging to the logic of restitution rather than the logic of usury. Here is the seed of *morae poena* and the late-payment analysis: a penalty legitimate where delay is culpable and harmful, provided it is not a disguised price for time, not expected from the beginning as a revenue model, not engineered by impossible deadlines. The same pattern holds for actual loss. In the Summa, the lender may agree with the borrower on compensation for loss incurred — the root of *damnum emergens*; he is not selling the use of money but avoiding or repairing loss. The later tradition will argue over what counts: legal costs, collection costs, emergency borrowing, inability to meet obligations, damage from nonpayment, administrative expense, liquidity harm — some expansions

plausible, others dangerous. The principle is Aquinas's: real loss can be restored without usury, because restoration is not profit.

His treatment of restitution in q.62 matters beyond the usury article too, for there he recognizes that one may owe restitution not only for things already taken but sometimes for preventing another from obtaining a good. That principle bears directly on *lucrum cessans*. In q.78 Aquinas resists contractual compensation for profit not made, because the lender should not sell what he does not yet have; q.62 gives later theologians a way to ask whether some future goods are concrete enough to matter in justice — if a person was on the way to receiving a good and another unjustly prevented it, the loss is not pure fantasy. This is why later Thomists can argue over *lucrum cessans* while claiming, with some right, to stand in Aquinas's tradition: they are reading different parts of him together. The question becomes: when is a foregone gain real enough to be treated as a loss? Aquinas remains cautious, fearing that speculative future profit will become a pretext for ordinary interest, but his broader principles do not render every future-oriented claim impossible. They demand discipline — the future gain concrete, causally connected, reasonably certain, and not merely an imagined opportunity — which is exactly what makes him useful for modern opportunity-cost reasoning. He will not let us collapse actual loss into hypothetical gain, and he will not force us to pretend all future goods are morally irrelevant. He teaches us to ask how real the future claim is.

The just-price material adds a further layer. In q.77 he allows that a thing may have special value to its owner, since parting with it can impose a real detriment not captured by ordinary market price — relevant later to both *damnum emergens* and *lucrum cessans*, because a merchant's capital already ordered toward a concrete transaction, or a good held for a specific future sale, may be worth more to its owner than the market says, and parting with it may interrupt a real economic use. The principle stays disciplined — special value is not a blank check, cannot justify arbitrary pricing, must correspond to real circumstances — but it shows that Aquinas's account of value is more contextual than a crude reading suggests. And q.77, a.4 on merchant profit matters in the same way: he permits moderate profit where trade serves household support or public utility, which means commerce itself can be legitimate — and if commerce is legitimate, the interruption of concrete commercial activity may be morally significant, another root from which *lucrum cessans* will grow. His warning travels with the permission: trade pursued merely for gain is dangerous because the desire for gain has no natural limit, so the fact that one could have profited never automatically makes the borrower responsible for that profit. The gain must be tied to real, licit, ordered activity.

The *mutuum-societas* distinction is perhaps his most important non-restrictive principle. In q.78, a.2, ad 5 he allows profit-sharing where money is entrusted to a merchant or craftsman by way of partnership and remains at the investor's risk — the foundation for all later discussion of risk-bearing capital and *periculum sortis*. The key is exposure: the investor is not a lender with a guaranteed claim but a participant in the venture, and profit is the fruit of shared enterprise rather than payment for the use of money. This makes Aquinas far more useful for modern finance than a simplistic anti-interest reading allows. He gives a way to affirm genuine risk-sharing without blessing creditor extraction: capital may serve enterprise, in a form that matches its claim. If capital wants profit, it must participate. If it wants safety, it may not also claim the fruits of risk as if it had borne them. That is the heart of non-extractive capital design.

Reading Aquinas beyond the Summa also means respecting the developmental character of his own thought. He wrote across contexts, genres, and stages — the Commentary on the Sentences, the disputed questions, the Summa itself — and these do not always function identically. Modern scholars such as Pierre Januard have drawn attention

to Aquinas's treatment of risk and commercial uncertainty beyond the simplified textbook account. This does not mean Aquinas secretly endorses modern interest; it means his analysis of risk, uncertainty, and contract form is more nuanced than q.78 alone would show. He is regularly flattened from two directions — into a rigid anti-finance thinker who believed money could never be productive in any sense, or into a proto-modern economist whose principles justify interest the moment commerce grows complex — and both readings miss the tension he actually holds. Aquinas is neither naïve nor permissive. He understands loss, partnership, merchant profit, delay, restitution, and the occasional moral weight of future goods. And he insists that the lender may not sell the use of money in a *mutuum*, that hypothetical profit is not possession, that time itself is not a title, and that unjust surplus must be restored. The tradition after him is a long argument over how to preserve all of these truths at once.

For the same reason, Aquinas should not be cast as the sole inventor of the extrinsic titles. He did not produce all four in mature form. *Poena conventionalis* has roots in legal penalty clauses and canon-law analysis before and around him. *Damnum emergens* is clearly supported by his principle of compensation for actual loss, and develops through the canon-law *interesse*. *Lucrum cessans* is resisted by him in q.78, then admitted by later theologians under conditions, using his own other principles. *Periculum sortis* he never formulates as a title, though his distinction between *mutuum* and partnership supplies its conceptual foundation. Aquinas is central, not solitary. The doctrine is not “what Aquinas invented” but a long conversation among Scripture, Aristotle, Roman law, canonists, scholastics, Franciscans, Dominicans, Salamancans, Jesuits, and later manualists. This matters for this book: the four extrinsic titles should not be presented as if they dropped fully formed from the Summa. They are historical developments, each with its own genealogy, shaped by practical pressure, legal creativity, pastoral concern, and theological debate. Aquinas gives decisive principles; Hostiensis, Olivi, Scotus, Alexander of Alexandria, Cajetan, Summenhart, Navarrus, Soto, Molina, Lessius, Lugo, Alphonsus, and Concina all matter after him.

Reading him whole guards against two mistakes. The first uses Aquinas as a blunt prohibition that cannot speak to complex finance — ignoring his distinctions around loss, partnership, restitution, and merchant profit. The second uses his openings to justify modern finance too quickly — ignoring his strict rejection of surplus from the *mutuum* itself, his suspicion of speculative future gain, his refusal to monetize time. The right reading is more demanding than either: every surplus claim must be morally located. If it comes from the bare *mutuum*, it is unjust. If from actual loss, prove the loss. If from delay, prove the harm and the culpability. If from foregone gain, prove concreteness and causality, and beware speculation. If from risk, prove the principal was genuinely exposed. If from partnership, prove shared fate. If from labor, prove the work. If from cost, prove the cost. That is Aquinas's method extended, and for modern non-extractive finance it is invaluable, because it refuses both ideological extremes — it does not demand that all capital be costless, and it does not bless all capital return. It asks for moral accounting. A fund may recover actual costs, pay for real stewardship labor, share return where it truly bears risk, and be compensated for concrete loss. It may not impose a target return because capital expects growth, call opportunity cost a loss without showing concreteness, claim a risk premium while protecting itself from loss, structure penalties as yield, or use mission language to hide creditor domination. This is not anti-finance; it is finance under judgment.

Aquinas beyond the Summa teaches one more thing: humility. The tradition had to keep thinking because economic life kept changing. He did not close every question; he opened a disciplined way of asking them, and later theologians had to apply his principles to new contracts, markets, institutions, and risks. So must we — and applying Aquinas

does not mean baptizing whatever finance currently does. It means submitting modern finance to the same moral anatomy: ownership, use, risk, loss, title, equality, restitution, purpose. The enduring question is never whether Aquinas would have approved a specific modern instrument by name — he did not know our instruments. The question is whether the instrument can survive his analysis. What is the contract really? Has ownership passed? Is the claim fixed or contingent? Is capital truly at risk? Is the surplus tied to real loss, labor, cost, partnership, or risk? Is time being sold as such? Is the opportunity cost concrete or abstract? Is the borrower vulnerable? Does the structure preserve equality? If unjust gain has been taken, will it be restored? These are the questions Aquinas leaves us, and his work beyond the central article shows that the answers must be precise, not rhetorical. He is never satisfied with “interest bad” or “commerce good.” He asks what is due in justice. That is the grammar later generations inherit.

Aquinas, then, is not the end of the story. He is its center of gravity. The chapters ahead move past him into the full development of the extrinsic titles, and the reader should carry his core discipline forward: do not sell what is not yours; do not charge for what cannot be separately sold; do not confuse possible gain with actual possession; do not call protected credit partnership; do not monetize time without title; do not keep what was unjustly taken; and do not let financial form conceal moral substance. That is Aquinas beyond the *Summa* — not a closed manual, but a moral method for judging capital.

PART IV

**The Extrinsic Titles: Four Ways Surplus Might Be
Restorative Rather Than Extractive**

What Is an Extrinsic Title?

9.1 Intrinsic versus extrinsic claims

The doctrine of the extrinsic titles begins with a deceptively simple distinction: some claims arise inside the *mutuum* itself, and other claims arise outside it. This is the hinge on which the entire scholastic analysis of usury turns. If a payment is demanded because money has been lent and time has passed, the claim is intrinsic to the loan itself — the lender is asking for more than the equivalent principal simply because the borrower has had the use of the money, and in the strict scholastic account that is precisely what the usury prohibition forbids. But if a payment is demanded because something else has happened — the borrower repaid late, the lender suffered an actual loss, the lender was deprived of a concrete and otherwise available gain, the lender truly bore the risk of losing the principal, the lender incurred labor or expense — then the surplus claim may not be intrinsic to the *mutuum* at all. It may be attached to a burden standing outside the loan. That is the basic meaning of an extrinsic title.

The background is the contract the last several chapters have anatomized. The *mutuum* is a loan for consumption: the lender gives money, grain, wine, oil, or some other fungible good; ownership passes; the borrower owes back not the identical coins or sacks but the *tantundem*, the equivalent amount of the same kind and quality. The intrinsic claim of the *mutuum* is therefore simple — repayment of equivalent principal — and the simplicity is morally decisive. Once the money is transferred, the lender no longer owns it; he holds a claim for repayment, not a continuing ownership claim over the money's use. This is why Aquinas argues that charging for both the money and its use is selling the same thing twice: in a consumable good the use cannot be separated from the thing, and if ownership has passed, the lender cannot sell the borrower the "use" of what the borrower now owns. The scholastic objection to usury is not an emotional dislike of profit. It is an argument about ownership, justice, and the moral structure of the contract — the lender may receive back what was lent, and may not, merely by virtue of the loan, demand more, because to do so is to convert the borrower's need, time, or dependence into a revenue stream.

Yet it does not follow that every payment above principal is automatically usury, and here the tradition was far subtler than its reputation. The crucial question was never merely "Was more than principal received?" but "Why was more than principal received?" If the answer is "because the lender lent money," the surplus is intrinsic and falls under the prohibition. If the answer is "because the lender suffered a real loss," the payment may be restorative. If "because the borrower culpably delayed repayment and caused damage," it may be penal or compensatory. If "because the lender actually bore the risk of losing the capital," it may resemble the return due a partner rather than the gain of a usurer. If "because the lender performed real labor or incurred real administrative expense," it may be reimbursement rather than interest.

This is the moral grammar of the extrinsic titles, and one feature of it deserves emphasis

before anything else: the titles do not abolish the usury prohibition. They presuppose it. They make sense only in a world where the *mutuum* itself remains gratuitous and surplus from the loan itself remains morally suspect. Modern readings regularly miss this, treating the titles as loopholes by which medieval theologians slowly learned to tolerate interest. There is some historical truth in the charge — the titles could be stretched, abused, and eventually used to rationalize ordinary interest, and later chapters will watch it happen. But in their strict form they were not loopholes. They were diagnostic instruments, and the question they asked was exact: what, precisely, is being compensated?

Not all compensation is extraction. If the lender's barn burns because repayment was wrongfully delayed, he may be restored. If he must pay legal costs to recover what was owed, those costs may be reimbursed. If a charitable lending institution must pay clerks, appraisers, guards, and accountants, those expenses may be covered. If capital is placed genuinely at risk in a partnership, its provider may share the gain because he shares the possible loss. And the reverse holds with equal force: not every contractual label creates a genuine title. A "late penalty" can be engineered to function as ordinary interest. A claimed "loss" can be fictional. A claimed "foregone profit" can be nothing more than abstract opportunity cost. A claimed "risk premium" can be charged even where the lender has shifted every meaningful downside onto the borrower through collateral, guarantees, seniority, and enforcement rights. The title may be named while the moral reality remains usury. So the distinction between intrinsic and extrinsic claims has to stay disciplined. An extrinsic title is not a magic word; it is a claim that must be proven. It must point to a real burden external to the *mutuum*. It must be proportionate to that burden. It must not double-count the same harm. It must not be pre-arranged so that the lender secretly desires the borrower's failure. It must not convert another person's vulnerability into predictable yield.

What the tradition offers here is a sharper vocabulary than the modern word "interest." Modern finance collapses many different things into one category — interest rate, cost of capital, return, yield, discount rate, risk premium, liquidity premium, penalty, fee. The older tradition pulls them apart and asks whether a payment restores a loss, compensates labor, prices genuine risk, reimburses expense, punishes culpable delay, or merely rewards the ownership of money as such. The distinction matters because moral theology is not satisfied with accounting categories. Two payments can look identical in a spreadsheet and carry different moral forms. A ten-euro payment may be just as reimbursement of a real administrative cost, and unjust as an extraction from a poor borrower who simply needed time. A five percent return may be licit where capital was genuinely at risk in a partnership, and usurious where the lender demanded guaranteed repayment, collateral, penalties, and upside while bearing no meaningful downside. The question is never only how much is paid. The question is what the payment is for.

This is exactly why the extrinsic titles matter for modern non-extractive finance. The old doctrine does not ask anyone to pretend that lending, investing, administration, risk, and delay are costless. It asks that the costs be named honestly; that restoration be distinguished from extraction; that surplus be traced to service, loss, risk, or participation rather than to the borrower's dependence. In that sense the titles are not a retreat from the usury prohibition but the prohibition made more precise: the *mutuum* itself yields only repayment of equivalent principal, while real economic life — with its losses, risks, delays, expenses, and forms of cooperation — is given its honest due. The moral task is neither to condemn every surplus nor to bless every return. It is to ask what kind of surplus this is. Does it come from the loan itself, or from something outside it? Does it restore equality, or exploit inequality? Does it compensate a real burden, or monetize another person's need? That is the question with which the doctrine of the extrinsic titles begins.

9.2 *Interesse* before “interest”

Before there was “interest” in the modern financial sense, there was *interesse* — and the difference is not a matter of spelling but of moral logic. In modern English, “interest” means the price of borrowing money: principal plus an agreed percentage over time, treated as the normal cost of capital, the market price of credit, the compensation due for the time value of money. In ordinary financial language, interest is intrinsic to the loan; it belongs to the very structure of debt. The older Latin term meant something else. *Interesse* is “that which stands between” — the difference, the loss suffered because of an intervening event. In legal and scholastic usage it referred to compensation for damage, loss, or injury: a way of measuring the gap between the position a person should have occupied and the worse position in which another’s action had left him. It was not, in its strict form, a return on capital because capital had been lent.

Translating *interesse* too quickly as “interest” therefore misleads. It makes medieval authors sound as if they were already speaking the language of modern banking, when they were usually doing something different — not asking “What rate of return should money earn?” but “What loss has been caused, and what compensation would restore justice?” The difference is decisive, and a simple case shows it. A borrower promises repayment on the first of May. If he repays on time, there is no additional claim: the *mutuum* is fulfilled, the lender receives the equivalent principal, equality is restored. But suppose he wrongfully delays — and because of the delay the lender cannot meet an obligation of his own, must borrow elsewhere and pay a fee, loses goods he would otherwise have preserved, incurs legal costs recovering what was owed. The lender’s claim for something more does not arise from the fact that he lent money. It arises from the damage caused by the borrower’s failure to repay what was due. The additional amount is not the price of the loan; it is compensation for the injury. That is *interesse* in the older sense — a word that belongs to the language of restitution before it belongs to the language of finance, oriented toward repair, closely tied to *damnum emergens*, the actual loss arising from non-performance.

And it is still not modern interest. It is not automatic, not universal, not due merely because money has been absent for a period, not calculated as a normal yield on principal. It depends on a real injury, caused by the borrower’s action or failure; it must be proportionate; it must restore rather than enrich. Seen from here, the tradition’s two commitments stop looking contradictory. The scholastics could condemn usury and permit compensation because they never began from the collapsed modern category in which all surplus above principal is “interest.” They began by distinguishing the moral reasons for payment. A payment demanded because money was lent is one thing; a payment required because an actual loss was caused is another. A payment extracted because the borrower needs time is one thing; a payment made because wrongful delay injured the lender is another. A payment claimed because capital deserves growth is one thing; a payment made because justice requires repair is another. The doctrine of *interesse* sits exactly at those points of distinction.

It also explains the tradition’s near-obsessive anxiety about language. A contract could be worded as compensation and function as interest. A penalty could be called a penalty and be expected from the beginning. A claim for loss could be inflated with imaginary gains. A title could be named and not be present. The moral question could never be answered from the label attached to a payment; one had to ask what the payment actually did — restore a real loss, or create a hidden return on the loan? The ambiguity grew more dangerous as commercial life grew more complex. Merchants did not hold money idly: it stood behind trade, inventory, shipping, bills of exchange, investment. A delay in repayment might genuinely disrupt commercial activity; a loan might genuinely fore-

close another opportunity. The boundary between actual loss and foregone profit became harder to police, and *interesse* began to stretch — compensation for damage sliding toward payment for lost gain, restitution beginning to resemble return. This stretching is one of the central historical dramas of the extrinsic titles. The language of *interesse* opened a legitimate moral space between absolute gratuitousness and forbidden usury, and that same space could expand until it threatened the whole doctrine. If every lender may claim he is “without his money,” and being without money always makes him worse off, then *interesse* becomes indistinguishable from ordinary interest, and the old word has been transformed into the very thing the tradition resisted.

So the history of *interesse* deserves careful handling. It is not a primitive form of interest, and not a meaningless legal fiction. It is a morally serious attempt to measure damage without blessing extraction — an insistence that justice may require more than the return of principal while every such payment stays tied to something outside the loan itself. The modern world has largely lost the distinction. We assume money is automatically productive, time automatically monetizable, liquidity automatically priced, capital naturally entitled to return. The scholastic tradition asks us to slow down and check whether the additional payment is truly compensation, or whether the language of compensation is hiding a yield. For non-extractive finance the discipline is immediately practical: a fund may need to recover administrative costs, be compensated for real losses, structure penalties for genuine default, account for the risk that capital will not return — and it must not let every burden, inconvenience, or theoretical opportunity convert automatically into a claim on the borrower. *Interesse* is a discipline of moral accounting. It asks not whether money has been paid but what the money corresponds to: a real loss? a documented injury? a causal connection? a proportionate amount? a payment that restores equality, or one that produces gain from another’s dependence? It is one of the key bridges between the older usury doctrine and the titles to come, holding open the space in which compensation can be distinguished from extraction — gratuitous lending without injustice toward the lender, justice toward the lender without domination over the borrower. The word “interest” has forgotten this moral tension. *Interesse* still remembers it.

9.3 The four-title family

The extrinsic titles did not all emerge at once, did not develop with equal clarity, were not equally accepted, and did not pose the same moral dangers. Together they form a family of arguments about when a payment above principal might be justified without becoming usury. The family has four central members — *poena conventionalis* (or *morae poena*), *damnum emergens*, *lucrum cessans*, and *periculum sortis* — and around them stand several adjacent titles: compensation for labor, reimbursement of expenses, the absence of money, and insurance-like risk-bearing. Some of the adjacent titles stayed narrow. Others became dangerous precisely because they approached the logic of ordinary interest.

The first title is *poena conventionalis*, called *morae poena* when the emphasis falls on delay: the agreed penalty for failure to repay or perform on time. Its moral intuition is straightforward — if the borrower wrongfully fails to repay when repayment is due, and the failure causes injury or violates a just contractual obligation, he may owe something beyond the principal, not as the price of the loan but as a penalty for breach. And the title is immediately dangerous, because a late penalty is the easiest disguise interest has ever worn. If the repayment date is unrealistic, if the penalty is excessive, if default is expected, if the lender quietly prefers late repayment because the penalty is profitable, then the “penalty” is no longer penal; it is a hidden yield. The scholastic concern ran past the text of the contract

to the intention, the incentive structure, and the practical likelihood of default. A penalty the borrower cannot realistically avoid is not morally different from interest just because the contract calls it a penalty.

The second is *damnum emergens*, actual loss incurred — the cleanest and least controversial of the majors. If the lender suffers a real loss because of the loan or the borrower's failure to repay, he may be compensated: the claim is restorative, repairing damage rather than enriching the lender for having lent. Aquinas gives the classic formulation in allowing compensation for a loss incurred while refusing to let the lender sell a profit not yet possessed. The line is subtle and crucial. A lender made worse off in a real, demonstrable way may be restored in justice; a lender who says "I might have made money elsewhere" is speculating. Actual loss belongs to restitution; hoped-for gain belongs to speculation. This made *damnum emergens* the central safe title — covering legal costs, collection expenses, liquidity harm, damage caused by delay, and other concrete losses — though even here abuse remained available. Losses could be invented, exaggerated, double-counted, or priced in advance as though every loan automatically generated compensable damage. The title held only where the loss was actual, causally connected, documented or reasonably demonstrable, and proportionate.

The third is *lucrum cessans*, profit foregone — the most morally unstable of the traditional titles, standing at the boundary between compensation and opportunity cost. It claims compensation not for something already lost but for a gain that would have been made had the money not been lent. The intuitive case is the merchant whose capital was already committed to a concrete and profitable use: lend that capital away, and a determinate commercial opportunity is missed — not abstract growth but a particular gain reasonably expected from a specific alternative use. The danger is equally intuitive. Generalize *lucrum cessans*, and every lender can claim that money could always have been invested somewhere; every loan then carries an opportunity cost, every opportunity cost becomes compensable, and the usury prohibition collapses into the modern assumption that capital is always entitled to a market return. This is why Aquinas resisted it as a loan title — compensation for loss incurred, yes; sale of a profit not yet possessed, no — and why later theologians who reopened the question, drawing on his own principles of restitution and special value to the owner, never escaped the tension. *Lucrum cessans* can be morally plausible where the foregone gain is concrete, intended, licit, causally interrupted, and reasonably certain. It becomes usurious as abstract opportunity cost — the metaphysical claim that money, because it could have grown elsewhere, deserves growth here.

The fourth, *periculum sortis*, risk of principal, is structurally different from the other three. *Poena* concerns delay or breach; *damnum*, actual loss; *lucrum*, foregone gain — all events around the loan. *Periculum sortis* concerns the risk structure of the transaction itself, and its central question is: who bears the downside? A lender whose principal is guaranteed, secured, senior, collateralized, and enforceable regardless of the borrower's fortunes has not placed capital at risk in the strong moral sense; the borrower bears the burden of repayment, and the lender bears at most ordinary default risk, itself minimized through legal enforcement. If ordinary default risk automatically justified surplus, nearly every loan would be interest-bearing by another name. But where capital is genuinely exposed to loss, the moral structure changes and the lender begins to resemble a partner — which is why Aquinas's distinction between *mutuum* and *societas* matters so much here. In partnership, capital remains at risk; its provider may share profits because he shares losses; the return arises from participation in a common venture, not from a fixed claim against the borrower. *Periculum sortis* therefore foreshadows the whole modern debate about debt, equity, venture capital, liquidation preferences, guarantees, and mission-locked capital. The issue is never what an instrument is called but whether downside is genuinely shared or shifted.

An equity investor armed with strong control rights, senior claims, preferred returns, liquidation preferences, redemption rights, and exit pressure may in practice offload much of the risk onto founders, workers, and mission — formally risk-bearing, structurally extractive. A patient, subordinated, loss-absorbing capital provider may hold the stronger moral claim to upside precisely because it truly accepts downside.

Around the four majors stand the adjacent categories. *Stipendium laboris*, compensation for labor: lending, investing, administering funds, managing pledges, conducting due diligence, keeping accounts, and doing stewardship work all take human effort, and the tradition recognized — especially around the Monti di Pietà — that charitable credit institutions could not survive if forbidden to recover the real costs of operation. Paying clerks, maintaining buildings, safeguarding pledges, and keeping books is not charging interest; but the charge had to stay tied to actual labor and institutional necessity. Sustainability was permitted; extraction was not. Reimbursement of expenses overlaps *damnum emergens* but has its own practical life: postage, notarial fees, appraisal, accounting, enforcement, administration — recoverable when real and proportionate, and dangerous the moment cost recovery becomes a revenue stream undisciplined by accounting and governance. More dangerous still is *carentia pecuniae*, the lack or absence of money: a claimed compensation for being deprived of one's money for a term, cousin to the modern liquidity premium, the lock-up fee, the time value of money — and for exactly that reason it stands at the edge of ordinary interest. If the mere absence of money is compensable, the passage of time itself has been monetized: the lender is paid not for a specific loss, a concrete foregone gain, or genuine risk, but for not having the money. Finally there are the insurance-like claims connected to capital risk — one party assuming the danger that another's capital may be lost, or a claim discounted because repayment is uncertain — which make risk itself an object of valuation. They matter greatly in the later development of *periculum sortis*, and they carry its characteristic danger: risk language justifying return even where the risk has been shifted away from the one collecting it.

Set side by side, the family forms a spectrum. At one end stands *damnum emergens*, the most concrete and restorative title; close to it, expenses and labor, where amounts can be documented and tied to real cost. *Poena conventionalis* is also concrete but more dangerous, because penalties can be engineered. *Lucrum cessans* moves toward the future — not what was lost from possession but what was not gained. *Periculum sortis* moves from event to structure — not what happened after the loan but how the capital itself was exposed. And *carentia pecuniae* stands near the edge, where the absence of money threatens to become payment for time itself. The spectrum displays both the brilliance and the danger of the scholastic achievement. The brilliance is the refusal of crude categories: the tradition never said “all surplus is evil” or “all contracted return is legitimate,” but asked what kind of surplus was claimed, what burden justified it, and whether the burden was real. The danger lives in the same subtlety, because every distinction can become a loophole and every title a pretext. A penalty becomes expected revenue; a loss becomes fictional; a foregone profit becomes abstract opportunity cost; a risk premium becomes return without downside; administrative cost becomes fee extraction; liquidity compensation becomes the time value of money; partnership becomes disguised domination. The four-title family must therefore always be read together with the anti-abuse logic that surrounds it. The titles are moral tests: is the payment above principal tied to reality — real delay, real loss, real foregone gain, real risk, real labor, real expense — and has that reality been exaggerated, manipulated, or generalized until it is ordinary interest in disguise?

For modern non-extractive finance, the family supplies a remarkably precise diagnostic vocabulary. Late fees are tested as *poena*. Administrative charges are tested as labor or expense. Reimbursements are tested as *damnum emergens*. Claims about alternative

deployment are tested as *lucrum cessans*. Returns to capital are tested as *periculum sortis*. Lock-up premiums are tested against the danger of *carentia pecuniae*. And every one of them is tested against the deeper question: does this payment restore, sustain, and share risk — or does it extract? The four titles do not solve the problem automatically. They teach us how to see it.

9.4 The moral test

The doctrine of the extrinsic titles finally comes down to a test — not a slogan, not a loophole, not a mechanical checklist that blesses a contract because the correct Latin word has been attached to it. The test asks whether the surplus payment is tied to something real outside the *mutuum*, or is merely payment for the use of money; whether the lender is being restored, compensated, reimbursed, or genuinely rewarded for shared risk, or is simply using the borrower's need as an opportunity for guaranteed gain. It does not begin by asking whether the contract is legal, whether both parties signed, whether the market would bear the price, or even whether a payment above principal appears in the text. It begins with the deeper question: what is this payment for?

Is the surplus tied to actual loss? Then the title may be *damnum emergens* — and the loss must be real, not imagined, inflated, presumed, or folded into a general return expectation. It must be caused by the loan, by the borrower's wrongful delay, or by some concrete burden the lender would not otherwise have borne. A real legal cost may be reimbursed; a real administrative expense recovered; a real liquidity harm compensated; a real loss from missed repayment restored. The title fails where the alleged loss is a story told after the fact to justify a desired yield. It fails where the same loss is counted twice — once in fees, once in penalties, once in pricing, once again in return expectations. It fails where a fictional damage claim is built into every loan regardless of what occurs. *Damnum emergens* is restorative only when it corresponds to actual damage; otherwise it is a respectable name for extraction.

Is the surplus tied to culpable delay? Then the title may be *poena conventionalis* or *morae poena*. The borrower promised repayment at a certain time and failed; the failure may have caused injury, forced recovery efforts, missed obligations, real damage; and a penalty may serve a legitimate disciplinary function, marking the seriousness of the obligation and discouraging negligent delay. But the penalty is morally dangerous because it is so easy to engineer. If the due date is unrealistic, if the borrower is likely to miss it, if the penalty is excessive, if the lender expects default or prefers it because the penalty pays, the penalty has ceased to be penal and become a hidden price of time. The diagnostic question is simple and searching: would the lender genuinely prefer repayment on time? If yes, the penalty may still be a penalty. If no, it is suspect — a lender who hopes for default is not protecting justice but designing the borrower's failure into his revenue model.

Is the surplus tied to concrete foregone gain? Then the title may be *lucrum cessans*, the most delicate of the tests, because it reaches past actual loss into future possibility. A merchant may have had money already committed to a specific transaction; a lender may have been deprived of a concrete, licit, intended, reasonably certain profit because the money was lent instead. The claim is never that "money could have earned something somewhere." The claim is that this money, in this person's hands, under these circumstances, was ordered toward a determinate use that the loan interrupted. The title must be handled narrowly: the foregone gain concrete, more than vague possibility, causally connected to the loan, valued reasonably, not demanded in advance in a way that converts the loan into ordinary interest, and never universalized into the doctrine that every

lender deserves compensation because every unit of capital has an opportunity cost. Here the modern world is most vulnerable, because contemporary finance holds opportunity cost as an axiom — capital has alternative uses, so the cost of capital here is the return foregone there. That logic is powerful in financial modeling and morally explosive if imported into usury doctrine without discipline, because it turns *lucrum cessans* from a narrow claim about interrupted concrete gain into a universal metaphysics of money: money, because it could have grown, ought to grow. The scholastic test resists. It asks not whether the lender can imagine a better use, but whether there was a real, licit, intended, reasonably determinate use that the loan actually caused to cease. Without that discipline, *lucrum cessans* becomes the doorway through which modern interest walks into the house.

Is the surplus tied to genuine risk of capital? Then the title may be *periculum sortis*, and the question is not primarily what happened after the loan but what structure the parties created at the beginning. Did the capital provider truly bear the risk of losing the principal, or did the contract shift the downside to the borrower while preserving the upside for the lender? Careful attention to legal and economic reality is everything here. It is not enough that every lender faces some chance of nonpayment; ordinary default risk cannot be allowed to swallow the prohibition. The stronger question is whether the capital is truly loss-absorbing. Is repayment guaranteed? Is there collateral? Is the claim senior? Can the lender enforce against unrelated borrower assets? Are there personal guarantees? Does the borrower still owe even if the project fails? Is the lender insulated while the borrower, the workers, the suppliers, or the mission absorb the damage? If the lender collects a return for risk while the borrower bears the meaningful downside, the title is false — risk has been named but not shared, and the contract speaks the language of *periculum sortis* while preserving the structure of domination. But if capital can actually be lost, if the investor is subordinated, if repayment depends on the success of the common enterprise, if upside and downside are paired, then the moral form is moving away from *mutuum* toward partnership, and the surplus may be participation rather than extraction.

Or is the surplus merely payment for the use of money? This is the question underneath all the others. Strip away the labels, remove the Latin, ignore the spreadsheet category, and ask what remains. If the surplus remains when there is no actual loss, no culpable delay, no concrete foregone gain, no genuine risk, no labor, no expense, and no partnership, then it is not extrinsic. It is intrinsic — payment for the loan itself, the price of having money over time — and in the classical doctrine, that is usury.

This is how the extrinsic titles become a moral diagnostic system: they force finance to name the reason for surplus and refuse to let “return” stay morally vague. The questions are as current as any term sheet. A late fee must be tested — proportionate response to real delay, or profit center? A management fee — real labor and stewardship, or extraction regardless of service? A reimbursement — actual cost recovery, or disguised margin? A preferred return — compensation for genuine risk, or capital’s guaranteed growth before anyone else is made whole? A liquidation preference — real loss-bearing capital, or downside shifted onto founders, workers, and mission while upside is preserved? A risk premium — who actually bears the risk? An opportunity-cost claim — what concrete alternative was truly lost? A lock-up premium — actual deprivation, or time monetized? The discipline is demanding because it refuses both naive condemnation and naive permission: it does not say every surplus is unjust, or every contractual return justified. It asks for moral accounting, for proof, for proportionality, for a contract whose form corresponds to the reality of the burden.

At the deepest level, the test asks whether finance restores equality or exploits inequality. Compensation restores equality; reimbursement restores it; proportionate penalties may restore the order broken by culpable delay; risk-sharing may create just participation

in common gain; labor compensation may sustain the institution that serves the borrower. These forms of surplus can serve life. Extraction does something else: it begins from inequality and deepens it. It sees borrower need as opportunity, uses time as leverage, designs penalties as revenue, invokes risk while shifting loss to others, turns dependence into yield, and lets capital grow because another person or community is vulnerable. The extrinsic titles were developed to prevent exactly this confusion — to make it possible to say that not all surplus is usury while refusing to let usury hide inside every surplus. What matters is never only the amount repaid but the moral structure of the claim. Does the payment correspond to a real burden external to the *mutuum*? Is the burden documented, proportionate, and counted once? Does the lender prefer justice to default, repayment to penalty, partnership to domination? Does the contract share risk, or merely price risk while shifting it? Does the surplus restore, sustain, participate — or extract? This is the moral test. Everything that follows in the history of the extrinsic titles is an attempt to answer it.

PART V

**Poena Conventionalis / Morae Poena: Penalty for
Delay**

Legal Penalty Before Theological Title

10.1 Roman and canon-law penalty clauses

The title of *poena conventionalis* began not as a theological doctrine but as a legal device. Long before scholastic theologians asked whether a penalty clause could become a disguised form of usury, jurists already knew that contracts needed ways to secure performance. A promise without consequence is a fragile thing: debtors delay, sellers fail to deliver, contractors abandon the work half-finished, parties perform badly, late, or not at all. The law, long acquainted with human nature, developed devices by which parties could agree in advance on what would happen if an obligation was breached.

A penalty clause, at first sight, has nothing to do with lending. It is a payment attached to non-performance: one party promises to do something, and if he does not do it, he owes a penalty. The penalty may discipline the will, encourage performance, simplify the proof of damages, or compensate the injured party for the burden of breach. In ordinary legal terms, it gives teeth to the promise.

The theological problem arises only when this device is attached to a loan. A borrower who receives money under a *mutuum* has one primary obligation: to return the equivalent principal at the agreed time. The lender may not demand surplus from the loan itself. But what if the contract says, “If you do not repay on the appointed day, you must pay an additional sum”? Is that additional sum usury, or a legitimate penalty for breach?

The question is anything but artificial, because repayment dates matter in practical life. A lender who expects repayment on a certain day may have obligations of his own; if repayment is delayed, he may suffer inconvenience, loss, or risk. Even where no precise loss can be shown, the borrower’s wrongful delay may still be a real violation of justice — he is retaining what is owed, preventing the creditor from receiving what should already have been restored. A penalty clause therefore appears to have a perfectly legitimate function: it protects the due date and discourages wrongful delay.

Yet the same device can easily become a fraud on the usury prohibition. A lender may formally lend gratuitously while building an expected surplus into the contract through the penalty clause. The loan says one thing; the economic structure does another. The lender does not openly charge interest — he creates conditions under which the borrower is likely to default, then collects the penalty. In form the surplus is conditional, received because of breach; in substance it is expected, received because time has passed. This is why *poena conventionalis* becomes one of the earliest and most revealing tests of the scholastic anti-usury tradition. It forces theologians and canonists to distinguish law from moral reality. The contract may say “penalty” — but does the penalty truly punish culpable delay, or does it merely rename interest?

Roman law provided the basic architecture. Obligations could be strengthened through stipulations: a debtor could promise a sum in case of non-performance, and penalties could be attached to delay, to breach, or to failure to fulfill an agreed act. In that

world the penalty was not primarily a usury device at all; it was a general contractual instrument. Canon law inherited this legal imagination and placed it under a theological discipline. The Church did not merely ask whether the penalty was valid in civil law. It asked whether the penalty was compatible with justice, charity, and the prohibition of usury — for a legal form could be valid and still morally corrupt, a clause enforceable and still a pretext for taking what ought not to be taken. The canon-law concern is captured in the phrase *poena nec in fraudem* — a penalty not in fraud of the usury prohibition. A penalty might be permitted when truly penal and not fraudulent, tolerated when attached to genuine breach and not used to sell time; it could secure repayment, but it could not become a cloak for yield.

To see the distinction, imagine two loans. In the first, the borrower promises to repay on the first of June. The date is realistic, the borrower has reason to expect funds, the penalty for late repayment is modest and proportionate, and the lender wants the money repaid on time. If the borrower fails without excuse, the penalty marks the wrongfulness of the delay and compensates the lender for the disruption. That penalty is at least morally intelligible: it is not demanded from the loan as such; it arises from breach. In the second, the borrower promises to repay on the first of June, but everyone knows this is almost impossible. The due date is too short, the borrower is already desperate, and the penalty is large. The lender does not expect timely repayment — indeed he prefers default, because default is what makes the transaction profitable. That is no longer truly a penalty; it is interest wearing a legal mask.

This is why the penalty title required more than formal analysis. It required attention to intention, proportionality, expectation, and practical structure: whether the borrower was realistically able to avoid the penalty, whether the penalty was proportionate to the harm, whether the creditor was trying to secure performance or to generate revenue, whether the delay was accidental, culpable, engineered, or expected — whether, in short, the clause restored justice or created a business model around default.

The move from Roman penalty clause to canon-law moral title therefore marks a real development. The jurist sees a clause attached to breach, and asks whether the parties agreed and whether the obligation can be enforced. The theologian asks whether the clause truthfully corresponds to breach, whether enforcement would become extraction, and whether the agreement respects the moral form of the *mutuum*. This does not mean canon law rejected penalty clauses; it means canon law subjected them to anti-fraud scrutiny. A penalty could be valid when it was not used to evade the usury prohibition, acceptable when the lender did not profit from the loan itself but was protected against wrongful non-performance — licit, in short, when it remained conditional, proportionate, and genuinely unwanted.

That last condition is the crucial one. A true penalty is something the creditor would rather not collect. It exists to prevent breach, not to make breach desirable; the lender wants repayment, not default. This is what makes the penalty morally different from ordinary interest: the lender's desired outcome is not the passage of time with surplus but the timely restoration of principal. Here is the seed of the later scholastic diagnostic — would the lender rather be repaid on time? If yes, the clause may still be a genuine penalty. If no, it has probably crossed the line: discipline has turned into extraction, and the borrower's failure has been transformed into the lender's profit.

The early legal history of *poena conventionalis* thus displays the pattern that will recur throughout the extrinsic titles. A real moral claim exists. Borrowers should not be free to delay repayment without consequence; lenders should not necessarily bear every harm caused by another's breach; contracts need discipline, institutions need enforceability, and justice requires that obligations be taken seriously. But every real moral claim can be imi-

tated by a false one. The title can be named while the substance is absent; the penalty can be written into the contract while the lender's real intention is profit from time; the legal device can begin as a tool of order and end as a mechanism of domination. The penalty clause becomes the first great laboratory of extrinsic-title reasoning because it teaches that the usury question can never be answered by the presence or absence of surplus alone. One must ask what the surplus is attached to — the *mutuum* itself, or a wrongful breach; a price of time, or a discipline of justice; the protection of repayment, or the monetizing of failure. In that distinction the whole moral drama of *poena conventionalis* begins.

10.2 The usury problem

The penalty clause becomes morally dangerous the moment it is attached to a loan. In itself, a penalty for non-performance is not difficult to understand. If a person promises to deliver goods and fails to deliver them, a penalty may be owed; if a builder misses an agreed completion date without excuse, a penalty may be owed; if a merchant does not perform his contract, a penalty may secure the seriousness of the obligation. In every case the penalty is attached to breach, not to the mere passage of time.

But the *mutuum* is different. In a loan for consumption the borrower receives ownership of the money or other fungible good and promises to return the equivalent principal. The loan itself is formally gratuitous: the lender's intrinsic claim is the return of the *tantundem* — the same amount of the same kind and quality — and he may not demand a surplus simply because the borrower has had the use of the money. Hence the problem. If the loan must be gratuitous, can the lender attach a penalty to late repayment at all, or does the penalty become a way of doing indirectly what cannot be done directly?

The problem is anything but theoretical, because in practice the difference between a penalty and interest can wear very thin. A contract may state that no interest is charged; it may even proclaim itself charitable, friendly, or gratuitous — and then include a clause providing that if repayment is not made on the appointed day, the borrower owes an additional amount. If the repayment date is realistic, the penalty moderate, and default genuinely unwanted, the clause may remain penal. If the date is unrealistic, the penalty large, and default expected, the transaction begins to look like a loan at interest. The form is gratuitous; the substance is not. This is the usury problem of *poena conventionalis*. The lender can hide yield inside delay, preserving the appearance of a free loan while designing the contract so that the borrower is likely to owe more than principal. He does not sell the use of money openly; he sells it through the structure of default.

The danger is especially acute because a late penalty appears so morally defensible. The borrower has promised to repay; repayment dates matter; delay can injure the lender; a borrower should not be allowed to retain what is owed indefinitely. A penalty can therefore seem not only lawful but just — and precisely for that reason it can become an unusually effective disguise for usury, borrowing the language of justice while quietly monetizing time.

The scholastic tradition therefore had to distinguish two things that can look identical on parchment: a true penalty and a disguised price of time. A true penalty is conditional upon wrongful delay, avoidable by timely repayment, and proportionate to the seriousness of the breach or the harm caused. It exists to secure performance — the lender would rather receive the principal on time — and it is not the expected profit of the transaction but a remedy for failure. A disguised price of time is formally attached to delay but materially expected as part of the bargain. The lender may set a repayment date the borrower is unlikely to meet, fix the penalty so high that it functions like interest, renew or roll over the

debt again and again, build the penalty into his revenue expectations, and end by making more from delay than from timely repayment. Such a penalty no longer disciplines breach; it makes breach profitable.

The question, then, is never simply whether a penalty clause exists, but whether the penalty is *in fraudem usurae* — in fraud of the usury prohibition. A contract can be fraudulent in this moral sense even when no one lies about the words. The clause may be written plainly, the borrower may sign it, the due date may be stated and the penalty specified — and the transaction can still be morally deceptive if the clause is structured to generate a predictable surplus from the loan. The deception lies not in the grammar of the contract but in the moral form of the arrangement. This is why the tradition grew so attentive to expectation: whether the lender expected repayment on time, whether the borrower had a reasonable path to repay, whether the penalty was an exceptional consequence of breach or the normal way the lender earned his money — whether delay was treated as a wrong to be avoided or as a profitable event to be anticipated.

Here the penalty title reveals something deeper about usury itself. Usury is not merely excessive pricing, the charging of too much; it is a disorder in the relationship between creditor and debtor. The creditor's gain becomes linked to the debtor's weakness — the borrower's delay, inability, or distress becomes the occasion of the lender's profit — and a relationship that should be ordered toward restoration becomes a relationship ordered toward extraction. The penalty clause can intensify this disorder. In an ordinary interest-bearing loan, the lender profits as time passes. In a disguised penalty loan, the lender profits when the borrower fails. That may be even more morally troubling, for the lender now has an incentive to prefer disorder over order, breach over performance, default over repayment: the contract appears to punish failure while the lender's economic interest is aligned with failure. This incentive problem later becomes central to the scholastic analysis. A true penalty is supposed to deter default; if the lender wants the penalty, the clause has become perverse. It no longer serves justice; it creates a standing temptation against justice, encouraging the lender to design, tolerate, or even desire the borrower's failure.

This is why a penalty cannot be judged by amount alone. A small penalty may be unjust if it is systematically expected from vulnerable borrowers; a larger penalty may be defensible if it is genuinely exceptional, proportionate to real damage, and attached to culpable breach in a commercial setting where timely performance matters. The moral question is not only arithmetic but structural. The same is true of consent. Modern contract thinking often leans heavily on consent: the borrower agreed, therefore the term is legitimate. Scholastic moral theology is more suspicious. A desperate borrower may agree to a penalty because he has no better option; a poor borrower may accept unrealistic terms because immediate need overwhelms future prudence; and a lender may exploit that vulnerability while preserving every appearance of voluntary agreement. Consent alone does not purify a clause that functions as extraction.

This matters because the biblical and theological background of the usury prohibition is concerned above all with the vulnerable borrower. The poor neighbor of Exodus, Leviticus, and Deuteronomy is not an abstract market actor freely optimizing his capital structure. He is a person under pressure, who may need food, seed, clothing, or relief. To lend to such a person and then profit from his inability to repay on time is to violate the moral world that gave birth to the doctrine.

The penalty problem therefore forces a double vigilance. On one side, the tradition must not make lending impossible by forbidding every consequence for delay. A borrower who wrongfully withholds repayment can harm the lender; justice does not require the creditor to absorb every injury; obligations must be real, timely repayment may genuinely matter, and a morally serious credit system needs discipline. On the other side, the

tradition must not allow discipline to become domination. The creditor must not convert enforceability into profit from distress; the penalty must not become a predictable yield; the due date must not be a trap; the borrower's failure must not become the lender's business model.

This is the core usury problem of *poena conventionalis*: the same clause can either protect justice or corrupt it. It protects justice when it preserves the seriousness of repayment, deters culpable delay, compensates real harm, and remains something the lender would rather not collect. It corrupts justice when it monetizes time, engineers default, exploits vulnerability, or lets the lender gain from the borrower's failure. The title is therefore morally possible but never morally automatic. A penalty clause does not become licit merely because it is conditional, or agreed, or enforced by civil law. It becomes licit only if it remains truly external to the loan itself — connected to breach, harm, or culpable delay, and not to the mere fact that money has been lent over time.

This is why *poena conventionalis* is an ideal starting point for the study of the extrinsic titles: it shows the pattern in its simplest form. A real external title may exist, and it may justify payment above principal; but the same title may be simulated, and the moral task is to distinguish the title from the pretext. The old theologians were not naive about any of this. They knew that contracts can tell lies without using false words — a loan calling itself gratuitous while expecting surplus, a penalty calling itself punishment while functioning as yield, a borrower appearing free while trapped by need, a lender claiming justice while hoping for default. The usury problem begins precisely there: when the law says "penalty," but the moral substance says "interest."

10.3 The core distinction

The entire moral analysis of *poena conventionalis* turns on one distinction: true penalty versus disguised price of time. A true penalty is attached to a wrong; a disguised price of time is attached to the loan. The first responds to breach and protects the order of justice; the second monetizes duration and recreates usury under another name.

The distinction sounds simple. In practice it is difficult, because the same words can describe both arrangements: the same contract can use the language of penalty, the same borrower can promise repayment by a stated date, the same clause can provide that an additional sum is owed if repayment is late. On the surface the forms look alike. The moral difference lies beneath the surface, in the relation between the payment and the reality it claims to address.

A true *poena conventionalis* is an agreed penalty. The parties stipulate in advance that if an obligation is not fulfilled, a certain consequence will follow — in the context of a loan, that a borrower who does not repay at the appointed time may owe an additional sum. The penalty is conditional, avoidable, attached to non-performance, and never the desired outcome of the contract. A *morae poena* is a penalty for delay, and its moral focus is more specific: the borrower is late; he retains what should have been repaid and prevents the lender from receiving what is due; if the delay is culpable and causes harm or disorder, the penalty may mark the wrongfulness of that delay.

Both forms must satisfy the deeper requirement: *poena nec in fraudem*, a penalty not in fraud of the usury prohibition — not a device for taking surplus from the loan while pretending to punish breach, not an indirect way of selling time, not a means of doing secretly what the tradition forbids openly. The phrase is the key to the whole analysis. It shows that the medieval question was never merely whether a penalty clause existed, but whether the penalty was being used honestly. A clause can be legally explicit and morally

fraudulent; it can say exactly what will happen and still be structured as a trap; it can be voluntarily accepted and still exploit necessity; it can be enforceable and still violate the moral form of gratuitous lending.

A penalty is not fraudulent when it preserves the lender's legitimate interest in timely repayment. The date is reasonable, the borrower has a real possibility of paying on time, the amount is proportionate, the lender prefers performance to breach, and the clause serves to deter delay rather than to make delay profitable. If the borrower pays on time, the lender is satisfied: the transaction has achieved its intended end. A penalty becomes fraudulent when those conditions are reversed — the due date too short, the borrower unlikely to meet it, the penalty disproportionate, the lender expecting to collect it, the transaction profitable only or chiefly because of default. If the borrower pays on time, the lender is disappointed. Breach is then no longer the failure of the contract but its hidden success.

This is the moral inversion the tradition fears. A true penalty makes default undesirable; a usurious penalty makes default desirable. The one protects repayment and is ordered toward restoration; the other feeds on non-repayment and is ordered toward extraction. The diagnostic question therefore becomes: what outcome does the lender actually want? If he wants the principal back on time, the penalty may still be penal. If he wants the borrower to be late, the penalty has become morally corrupt. The lender's desire reveals the structure of the transaction — the clause may speak of justice while the lender's incentive is aligned with disorder.

This is why Duns Scotus's later concern about the lender who prefers late repayment is so important. It shifts attention from contract wording to economic incentive: a contract may be formally clean and still morally disordered if it rewards the lender when the borrower fails. The question is not only "What does the clause say?" It is also "What behavior does the clause encourage?" — timely repayment, or profit from delay?

The same principle applies to proportionality. A penalty must be proportionate to the harm or to the seriousness of the breach. If it is modest, bounded, and connected to real disruption, it can plausibly function as discipline; if it is excessive, compounding, or unrelated to actual damage, it begins to look like yield. The more a penalty exceeds the burden it claims to address, the more likely that the burden is merely a pretext. Avoidability is equally important. A true penalty must be something the borrower can realistically avoid. If he is given a repayment date that no prudent person expects him to meet, the penalty is built into the transaction from the beginning — no longer the consequence of an unexpected breach but the planned price of the loan. The borrower's "default" has been manufactured by the structure of the contract.

This is especially dangerous in lending to the poor. A desperate borrower may accept terms that already contain his failure. He may need grain, food, rent money, medicine, or urgent relief; he may agree to repay quickly because refusal would leave him worse off immediately, even though repayment is unlikely. In such a setting a penalty clause can become a mechanism by which vulnerability is converted into revenue. The borrower signs the contract, but the lender designs the impossibility.

The scholastic insistence on anti-fraud analysis is therefore not technical fussiness but pastoral realism. It recognizes that creditor power can hide inside legal form, that the poor can consent to their own exploitation when need is severe, that a clause can be named as penalty while functioning as interest — and it refuses to let the vocabulary of contract override the reality of domination. At the same time, the tradition does not deny that culpable delay matters. Borrowers are moral agents too: they can act unjustly, wrongfully withhold repayment, and impose costs on others. A doctrine that forbade every penalty would risk making lending fragile, especially in commercial contexts where timing matters

and non-performance can injure others. The point is not to make debtors immune from responsibility but to keep responsibility from being weaponized by creditors.

The core distinction can thus be stated as a set of paired tests. A true penalty is exceptional, avoidable, proportionate, and attached to culpable delay; disguised interest is expected, built in, calibrated for yield, and attached to time. A true penalty protects the lender from harm and is something he would rather not collect; disguised interest uses the borrower's delay as profit and is something he hopes to collect.

The paired tests also clarify why *poena conventionalis* belongs among the extrinsic titles at all. The penalty is licit only if the reason for surplus is extrinsic to the *mutuum*: the lender receives more not because money was lent but because a separate wrong has occurred — failure to repay as promised, wrongful retention of what is owed, damage caused by delay. The surplus is tied to breach, not to lending. But once the penalty is expected, the extrinsic character disappears. The penalty becomes part of the price of the loan; it is no longer outside the *mutuum* but folded into it, and what was supposed to be an external title has become an intrinsic return. This is the pattern that will reappear in every later title. *Damnum emergens* is legitimate when it restores real loss, abusive when the loss is fictional. *Lucrum cessans* is plausible when a concrete gain is truly foregone, abusive when every lender invokes abstract opportunity cost. *Periculum sortis* is just when capital is genuinely at risk, abusive when the lender prices risk while shifting the downside to the borrower. In each case the title is morally valid only when it corresponds to reality; when it becomes a formula for yield, it collapses into usury.

The practical consequences are clear. A morally serious penalty clause should have a realistic due date and room for genuine hardship. It should be proportionate to actual or reasonably anticipated harm, should not compound without limit, should not be designed around expected default, should not be booked internally as ordinary revenue, and should not be combined with other fees in a way that double-counts the same injury. Above all, it should be structured so that timely repayment is the lender's preferred outcome — which is perhaps the simplest moral test of all. If repayment on time is good news for the lender, the penalty may still be a penalty. If repayment on time is bad news, because the lender has lost his chance to collect the surplus, the penalty has betrayed itself.

The phrase *poena nec in fraudem* therefore remains remarkably contemporary. Modern contracts are filled with late fees, default interest, acceleration clauses, penalty charges, cure periods, grace periods, restructuring fees, and enforcement costs. Some of these are legitimate tools of order; others are profit centers built around borrower distress. The old distinction still asks the right question: is this clause here to secure performance, or to monetize failure? A non-extractive approach to finance must recover exactly this discipline. It cannot simply abolish every consequence for late payment — that would be impractical and sometimes unjust — but neither can it allow default to become a business model. Penalties, if they exist at all, must be designed as reluctant instruments of justice rather than desired sources of return.

The true penalty says: repay on time, and all is well. The disguised price of time says: fail to repay, and the lender profits. Between those two sentences lies the moral boundary of *poena conventionalis*.

Early Theological and Canonical Development

11.1 Robert of Courçon

Robert of Courçon stands near the beginning of the scholastic effort to distinguish a true penalty from a disguised form of usury. He was an Englishman, born about 1160 in Derbyshire, possibly at Kedleston, who crossed to Paris to study under Peter the Chanter — the master whose circle made a specialty of asking what Christian morality actually required in the marketplace — and stayed to teach theology himself. His *Summa* treats usury at length and with feeling. Rome noticed: cardinal in 1212, papal legate the next year preaching the crusade, and in 1215 author of the University of Paris's first great statutes — the ones that renewed the ban on teaching Aristotle's natural philosophy. He died in February 1219 at the siege of Damietta, in the Nile delta, on the Fifth Crusade — about as far from a Paris lecture hall as a theologian could get. He belongs to the world before the great syntheses — before Aquinas, before the later Salamanca refinements, before the extrinsic titles hardened into the familiar categories of the manuals — and precisely for that reason he is important. In him we see the problem while it is still raw.

The question does not yet come wrapped in the apparatus of later moral theology; it arises where Robert lived, in penitential judgment, pastoral discipline, and the early university. Christians are lending; borrowers are failing to repay; creditors are attaching penalties to contracts to secure performance. Some of those penalties may be legitimate, and others may be usury in disguise. The problem is practical before it is systematic: what should confessors, theologians, and canonists say when a lender has received more than principal because a borrower failed to repay on time?

Robert's treatment is marked by suspicion. He does not bless the penalty clause as a clean solution; he sees what it can become — a way of profiting from a loan while avoiding the appearance of usury. A creditor may say, "I did not charge interest. I only collected the penalty that the borrower agreed to pay if he repaid late." For Robert the explanation is not enough: the moral theologian must ask whether the penalty was genuine or expected from the beginning as the lender's gain. The central intuition of the whole later doctrine is already present here — the penalty must not become the lender's profit from the loan. If the lender uses the clause to obtain a surplus he could not licitly demand as interest, the penalty is morally corrupt: the name of the payment does not purify the transaction, and a usurious payment does not cease to be usurious because it is collected after default rather than during the term.

His caution also reflects the biblical and pastoral atmosphere surrounding usury. Lending to those in need had long been treated as an arena of spiritual danger: the lender was not merely a market actor but a Christian dealing with a neighbor, often a vulnerable one, and to lend so that the borrower's distress becomes the occasion of gain violates the moral grammar of charity. A penalty clause can intensify the danger precisely because it appears to punish fault while possibly exploiting weakness. This is why Robert does not

simply ask whether the borrower consented: consent is morally relevant but not decisive. A borrower may consent under pressure — because he needs money, grain, food, or relief — and may agree to a penalty he has little realistic chance of avoiding. If the lender knows this and structures the transaction accordingly, the contract is predatory even though the borrower has formally agreed.

The most striking feature associated with Robert's early approach is the suggestion that where such a penalty is admitted, the surplus should be directed to the poor rather than retained as creditor profit. It is a revealing compromise. The borrower's delay may be a genuine wrong and the penalty may rightly mark it, but the creditor's enrichment remains suspect, so the money is sent elsewhere. And the logic is shrewd. If the penalty exists for punishment and moral discipline, a lender who cannot keep it has no reason to engineer delay or quietly hope for breach; the clause can deter without becoming his revenue, and his interest falls back into alignment with timely repayment. The early tradition, in short, understood the incentive problem about as well as anyone has since: the danger was never only that the borrower pays too much, but that the lender's heart becomes attached to the borrower's failure — that he comes to prefer late repayment because lateness pays.

Robert does not offer the final doctrine. Later authors will distinguish more carefully among penalty, damages, loss, intention, fraud, and civil-law enforceability; they will ask whether a creditor may retain a penalty when actual damage has been suffered; they will analyze proportionality, expectation, and abuse. But his early treatment already contains the seed of it all — a penalty clause may be morally possible, and creditor profit from penalty remains dangerous — because *poena conventionalis* sits at the edge of usury. If the payment is truly attached to culpable delay, it may be external to the loan; if it is expected from the beginning, it has become internal to it. Robert's suspicion is aimed at exactly that edge, where a penalty can serve justice and can equally be a fiction.

Behind the caution, the Church was trying to preserve the gratuity of the *mutuum* without denying the realities of contractual life. A borrower who promises repayment and then culpably delays has done something unjust; the creditor may suffer harm; a community needs mechanisms to secure good faith. What the creditor must not do is exploit that need for discipline to obtain what the usury prohibition forbids. Robert's instinct is therefore protective in every direction at once. He protects the borrower from interest disguised as penalty, the creditor — at least in principle — from wrongful delay, the poor by proposing that penalty surplus be turned toward them, and the doctrine itself from being hollowed out by clever drafting.

That last protection matters, because the history of the extrinsic titles is a history of moral nuance and of moral evasion together: every legitimate exception in this book will sooner or later be tried on as a costume. The theologians knew it from the beginning — abuse was not discovered after the titles expanded. It was part of the problem from the start.

Robert of Courçon thus lets us see *poena conventionalis* in its first theological light: not yet a settled extrinsic title with fully developed conditions, but a contested device, admitted — if at all — under moral suspicion. The early attempt was not to make lending profitable but to distinguish punishment for default from gain from lending — the distinction that will govern the whole later development. The creditor may not profit from the *mutuum* as such; if a penalty is allowed, it must be because something has happened outside it — culpable delay, breach, disorder, injury — and even then the tradition stays anxious about who receives the surplus and what incentives the clause creates. Robert's importance lies in that anxiety: the penalty title was morally suspicious before it was doctrinally standardized. The tradition did not begin by asking how more payment might be permitted. It began by asking how a legal penalty could be kept from becoming a spiritual

fraud — and its starting point was accordingly not convenience, not contract technique, not creditor profit, but vigilance.

11.2 Raymond of Peñafort

Raymond of Peñafort brings the penalty clause into the confessional, which in the thirteenth century is where moral theory went to meet actual human beings. Raymond was a Catalan, born around 1175, who held the chair of canon law at Bologna before joining the new Dominican order in 1222. For confessors he wrote the *Summa de casibus poenitentiae* — a working manual of cases of conscience, composed in the mid-1220s and revised a decade later — which became the standard handbook of the age. Gregory IX then set him to organizing the Church's scattered legislation, and the result — the Decretals of 1234 — remained the core of canon law until 1917. Elected Master General of the Dominicans in 1238, he resigned after two years and lived on to January 1275, within reach of his hundredth birthday if the traditional birth date is right. Canonized in 1601, he is the patron saint of canon lawyers, which seems only fair: he compiled their book.

If Robert of Courçon shows the early anxiety about creditor profit, Raymond supplies the moral language for handling it. His concern is not what a payment has been named — penalty, gift, compensation — but whether it is truly distinct from usury in its intention, its cause, and its moral form. He writes for priests deciding real cases: a borrower has paid more than principal, and the creditor says the extra was not interest — a penalty, perhaps, or compensation, or a gift, or something agreed at the outset and only triggered later. The confessor must ask: is this restitution? Punishment? Damages? Or usury disguised by vocabulary?

Raymond's treatment of *interesse* is especially important. In his moral world *interesse* does not mean modern interest but compensation for loss — “not gain, but avoidance of loss” — and the phrase is decisive: it marks the difference between a creditor restored to the position he should have occupied, which may be just, and a creditor enriched because he lent money, which remains usury. The distinction will later become central to *damnum emergens*, and it shapes the penalty title too. A penalty for delay is morally defensible only insofar as it is connected to some real wrong, injury, or disorder caused by the delay. It is not a way of making money from money, not a premium for the passage of time, not a hidden return on the loan. It is tied to the borrower's failure to do what justice required.

The problem, as ever, is that human beings can manipulate form. A lender may call a payment *interesse* while using it to obtain gain. A borrower may be told the loan is gratuitous while everyone understands that some additional amount is expected. A “gift” may be voluntary in name and demanded in substance; a penalty may be conditional in its wording and predictable in practice. Raymond's contribution is to insist that the moral analysis look past the label to the intention and expectation embedded in the transaction.

This is why expected gifts loom so large in the usury tradition. A creditor might say: “I did not require interest. The borrower gave me something freely.” But if the so-called gift was expected from the beginning, if the borrower knew that future access to credit depended on it, or if the lender intended it as part of the bargain, then the gift is not really gratuitous. It is a concealed price, usurious in moral character even though it lacks the legal form of interest. The same logic applies to penalties. A penalty expected from the beginning is no longer purely penal; a lender who structures a loan so that the penalty will probably be paid is not merely protecting himself against breach but arranging to receive surplus from the loan. The trigger may be delay, but the delay has become part of the economic design, and the surplus is not truly external to the *mutuum*.

None of this makes subjective intention the whole story — a lender cannot purify an abusive contract by claiming good intentions, and a borrower's consent cannot make every clause just. Intention must be read together with structure. What did the parties expect? What did the contract encourage? Was the payment truly avoidable, the penalty proportionate? Did the lender actually suffer loss? Was the supposed gift or penalty freely given, or built into the bargain? So Raymond moves the analysis from surface form to moral reality: the issue is not whether the payment was stipulated but whether the stipulation corresponds to justice.

His formula — not gain, but avoidance of loss — is therefore a governing principle, and it tells us how to read the extrinsic titles generally. A title is morally serious when it prevents the creditor from being unjustly harmed. It becomes corrupt when it allows the creditor to be positively enriched by the borrower's need or delay. The boundary is not always easy to draw, but the principle is clear: restoration is not extraction.

This is why Raymond belongs to the genealogy of both *poena conventionalis* and *damnum emergens*. The penalty for delay and the compensation for actual loss are distinct titles but historically and morally close — a penalty may be justified because delay causes loss, compensation because the creditor has been damaged — and both require an external burden, can be abused, and must be kept from becoming ordinary return on a loan.

The pastoral setting keeps this concrete. A confessor must be alert to spiritual self-deception: the creditor before him may not be lying in any simple sense, but sincerely believe that because the contract says "penalty," or because the borrower "offered" a gift, the transaction is clean. Moral theology asks the deeper question — what does justice require, and what does charity forbid? A person can obey the appearance of a rule while violating its substance, and usury hides precisely there, in the gap between form and substance.

The weight Raymond gives to expectation also reveals the relational nature of the doctrine. Usury is not merely an accounting error; it is a disorder in the relation between lender and borrower. A lender who expects gain from the borrower's need has already bent the relationship toward extraction; a gift the borrower cannot safely refuse is a burden; a penalty expected because the borrower will probably be late is a trap. In each case, what matters is not only the movement of money but the moral posture of one person toward another.

Raymond thus deepens the anti-abuse logic of the penalty title. The question is never only whether the borrower was late, but whether the lender has converted lateness into gain; not only whether a penalty was agreed, but whether the agreement was used to evade the prohibition on charging for the loan itself; not only whether the creditor received more, but whether the "more" was truly tied to loss, delay, or injury — or expected as the hidden fruit of lending. A penalty as compensation for injury can be morally distinct from the price of the loan: if the borrower's delay injures the lender, the lender may be restored; if the failure imposes costs, he may be reimbursed; if the borrower culpably retains what is owed, a penalty may discipline the breach. But none of these claims can be allowed to become a standing entitlement to surplus.

His thought is therefore practical and severe at once — practical because he recognizes that losses happen, delays matter, and creditors can be harmed; severe because he refuses to let the creditor's advantage hide inside friendly forms. Gifts, penalties, and even compensation can all be usurious when they are not what they claim to be. The moral issue is never the name of the payment, but its cause.

For modern readers, Raymond is unexpectedly sharp. Contemporary finance usually treats form as decisive: a fee is a fee, a penalty is a penalty, a voluntary payment is voluntary, a contract is a contract. Raymond would ask what the parties actually expected, whether the borrower could refuse, whether the lender was avoiding loss or seeking gain,

whether the payment restored equality or created profit from dependency. And his questions apply directly to modern late fees, default interest, restructuring charges, “voluntary” founder concessions, advisory fees, and side arrangements. However the payment is described, if it is expected from the beginning as the lender’s return, it has the moral character of interest, and the structure must be read in the light of expectation.

Raymond of Peñafort thus gives the penalty title a rule of discernment it never lost: do not confuse the avoidance of loss with the pursuit of gain. Compensation may be just, and so may penalty — but when either becomes a path to creditor enrichment from the loan itself, the old sin has merely changed its clothes.

11.3 Hostiensis

With Hostiensis, the penalty title moves toward canonical systematization — and acquires its formula. Henry of Susa, better known as Hostiensis, was born around 1200 at Susa in Piedmont, where the Alpine road comes down into Italy, and became by common consent the most brilliant canonist of his century. He took his degree in both laws at Bologna, taught canon law at Paris, served Henry III of England on an embassy to Innocent IV, and rose through the Church: bishop of Sisteron in 1244, archbishop of Embrun in 1250, and from 1262 cardinal-bishop of Ostia, the see that gave him his name. His great *Summa* on the Decretals, written during the Embrun years, was so admired that posterity called it simply the *Summa aurea*, the Golden Summa; his still larger *Lectura* on the Decretals occupied him to his death at Lyon in 1271. He did not invent the problem of the penalty clause — Robert of Courçon and Raymond of Peñafort show theologians and confessors already worrying about penalties, expected gifts, compensation, and disguised usury. What he did was give it a sharper canonical form, bringing it into the legal-theological architecture of the *ius commune*, where Roman law, canon law, pastoral judgment, and scholastic moral reasoning increasingly speak to one another. The question remains the same: can a creditor receive more than principal when the additional payment is attached to breach or delay — and if so, how does the Church prevent that payment from becoming a fraud on the usury prohibition?

His answer is remembered through a formula: *poena nec in fraudem* — a penalty, but not in fraud. The phrase is brief and contains an entire moral world. A penalty may be possible, legally stipulated, even morally acceptable — but only if it is not being used to evade the prohibition on usury. Hostiensis does not treat the penalty as a magic exception. He treats it as a dangerous legal form that must be examined: legitimate when it truly responds to non-performance, illicit when arranged as a substitute for interest. The creditor may not say “I charge no usury” while designing the contract so that the borrower predictably owes more.

Nor is the concern merely semantic. It is not enough that the surplus is called a penalty rather than interest; the moral question is whether the payment is genuinely external to the loan. Is it attached to a real breach? To culpable delay? Is it proportionate to the wrong or the loss? Is it something the borrower could realistically avoid? Or is it the expected mechanism through which the lender receives his gain?

His legal culture was built for this anti-fraud work, being deeply concerned with the way the same external form can conceal different moral realities: a sale can conceal a loan, a partnership a guaranteed return, a gift a demanded payment, a penalty interest. The jurist’s task, for Hostiensis, is not simply to classify the words of the contract but to test whether the legal form is being used truthfully — which is why *nec in fraudem* matters so much. Fraud here need not mean crude deception; it can mean evasion, the use of a

permitted form to achieve a forbidden substance. A transaction may be transparent in its wording — plainly written, understood by both parties, stipulated in advance — and still fraudulent in its moral purpose: if the clause exists in order to produce the lender's return from the loan, it is in fraud of the law and the Gospel.

The anti-fraud principle also explains the famous verse-list associated with Hostiensis and the exception tradition:

Poena nec in fraudem, lex commissoria, gratis
Dans, socii, pompa; plus sorte modis datur istis.

The line is a compressed memory device — one of the rhymes by which canonists kept track of the licit exceptions, thirteen on the count associated with Hostiensis. It gathers several cases in which more than the principal may, under certain conditions, be received: penalty not in fraud, forfeiture or penalty clauses, gifts freely given, partnership, and certain public or ceremonial circumstances. Confessors and jurists needed such practical categories: they had cases to answer and distinctions to remember, and they had to know when “more than principal” might not be usury.

But the very existence of such a list is morally ambiguous. On one side it protects nuance: it keeps the usury doctrine from becoming crude and recognizes that not every surplus is extracted from the *mutuum* itself — a partner may share profits, a true gift may be received, a penalty may respond to breach, a creditor may be compensated for something other than the loan. On the other side, a catalog of exceptions can be studied by the wrong students: once the exceptions are written down, clever parties can learn to imitate them, and the list meant to distinguish justice from usury becomes a handbook for evasion. The lender's question quietly changes from “Is this just?” to “Which label should I attach to this surplus so that it appears permissible?” — and moral discernment gives way to legal engineering.

Poena nec in fraudem is Hostiensis's resistance to that corruption, built into the exception itself: the label is not enough, and the exception is valid only if it is not being used as a fraud. The penalty must be real, the gift free, the partnership genuinely risk-sharing; the legal form must correspond to the moral substance, or the exception becomes a lie. For *poena conventionalis*, this means the lender must not desire the penalty as revenue — not build it into the expected return, not design the due date as a trap, not set the amount excessively, not exploit the borrower's vulnerability — so that the clause secures repayment rather than monetizing non-repayment.

A penalty clause carries a peculiar psychological danger: it lets the lender keep a clean conscience while profiting from a borrower's failure. “I did not ask for interest,” he can say. “I only enforced the contract.” Hostiensis asks the next question: what kind of contract did you make? Was the penalty there to prevent breach, or was breach the event that made the contract profitable? In this way he deepens the tradition's attention to moral substance — to how one structures a demand and not only what one demands, what one intended and expected to receive and not only what one received, whether the contract exploited the borrower's likely inability to perform and not only whether he signed, whether the clause preserves justice and not only whether civil law permits it.

This is why Hostiensis matters for the larger history of the extrinsic titles. He embodies the canonical move from scattered pastoral concern toward disciplined categories: the penalty title is admitted, but only under anti-fraud conditions; the law supplies forms, and theology judges their use; the lender protected from wrongful delay, the borrower from disguised usury. The same pattern will appear in every later title. *Damnum emergens* will be allowed, but not fictive damages; *lucrum cessans* will be admitted by later authors, but

not imaginary opportunity cost; *periculum sortis* will be recognized, but not risk premiums charged by those who have shifted the downside onto others. In each case the title is real only if the burden is real. The name does not create the moral fact.

Hostiensis's contribution is therefore not simply one more item in a technical legal genealogy. It is a principle of moral analysis — surplus above principal may be received in certain modes, but only when those modes do not become instruments of fraud — and his phrase should be read almost as a warning label: penalty, yes, but not as evasion; contract, yes, but not as disguise; enforcement, yes, but not as extraction; legal form, yes, but only when joined to moral truth.

For modern finance, the insight is startlingly relevant. Contemporary contracts bristle with fees, default rates, cure penalties, preferred returns, restructuring charges, break fees, monitoring fees, advisory fees, and reimbursement clauses. Each may have a legitimate purpose, and each may become a vehicle for extracting surplus while preserving legal respectability. Hostiensis teaches us to ask not only whether the clause is enforceable but whether it is *nec in fraudem* — not in fraud of justice. A modern non-extractive finance contract must therefore do more than avoid the word "interest." It must avoid the moral substance of usury: any penalty truly reluctant, proportionate, avoidable, and tied to breach; a lender who does not profit from the borrower's failure; a legal architecture that has not become a machine for moral evasion.

This is the enduring value of Hostiensis. He gives the tradition a compact rule for a recurring danger: whenever a surplus claim is permitted, ask whether the permission has become a pretext. The penalty may be allowed — but only if it is not fraud.

Aquinas, Scotus, and the Anti-Abuse Logic

12.1 Aquinas on damages for delay

Aquinas does not treat *poena conventionalis* as a free-standing loophole in the usury prohibition. He treats delay, damages, and compensation inside the deeper architecture of justice, and that is exactly why his contribution matters so much. He does not begin with the practical question a lender would ask — may I add a penalty clause to a loan? He begins with the nature of the *mutuum*, the equality that commutative justice requires, and the difference between selling the use of money and repairing an injury. Only inside that larger moral grammar can damages for delay be understood at all.

The central text remains *Summa Theologiae* II-II, q.78, where Aquinas asks whether it is a sin to take usury for money lent. His answer is severe. To take payment for the use of money lent in a *mutuum* is unjust, because money, like wine or wheat, is consumed in its use; to sell the thing and the use of the thing separately is to sell the same thing twice. Once ownership of the money has passed to the borrower, the lender may claim the equivalent principal and nothing more, for he cannot charge the borrower for the use of what now belongs to the borrower. This principle governs everything that follows. If a late charge is really a payment for the borrower's use of money over time, it is usury, and calling it a penalty does not change its substance. The lender may not do indirectly what he may not do directly.

Yet Aquinas never says that a lender must absorb every harm connected to a loan. In q.78, a.2, ad 1, he distinguishes compensation for loss incurred from payment for profit not made: the lender may be compensated for a loss he has suffered, but he may not sell a gain he does not yet possess. That distinction becomes the Thomistic root of *damnum emergens* and the Thomistic obstacle to *lucrum cessans*, and it bears directly on penalties for delay, because delay can cause actual damage. If the borrower wrongfully retains what is owed, the creditor may be injured: he may need the funds to meet obligations of his own, incur costs, suffer a concrete loss because what should have been restored was withheld. In that case the additional payment is not demanded as the price of the loan but as compensation for harm. The moral ground has shifted from the *mutuum* itself to the injury caused by the failure to repay.

This is also why q.78, a.2, ad 7 matters so much. Aquinas rejects the practice of charging a higher price merely because payment will come later. If a seller raises his price simply because the buyer will pay in the future, the transaction takes on the character of a loan: the delay has been monetized, and the higher price is attached not to any separate loss, labor, risk, or expense but to waiting itself. Here Aquinas hands the whole doctrine one of its clearest principles: waiting, by itself, is not a commodity that may be sold. Delay can still matter morally, but it must be connected to some real burden. If delay causes loss, the loss may be compensable. If delay is culpable, it may require restitution. If delay merely means the lender waits longer for his repayment, and the charge grows simply because

time has passed, the charge is usurious.

His treatment of restitution in q.78, a.3 deepens the point. A person who unjustly takes or retains what belongs to another owes restitution; wrongful retention is not morally neutral. If the borrower keeps what should be repaid, the creditor is deprived of what is due — and the injustice lies not in the original loan but in the failure to restore. That creates a possible ground for compensation, but the ground is, once again, not the use of money as such; it is the injury of withholding what is owed. This is the crucial anti-abuse logic. Aquinas recognizes damage from delay without endorsing payment for time, allows restoration without allowing extraction, gives the lender a claim when justice has been violated — and refuses to let the lender convert the structure of delay into a revenue model. The same careful balance appears in *De malo*, q.13, a.4, ad 14, where Aquinas is often read as acknowledging that late repayment can create a compensable harm. He is not abandoning the prohibition there, and he is not granting an automatic right to interest upon lateness. He is recognizing that if the debtor's delay injures the creditor, the creditor need not bear that injury without remedy.

The distinction can be stated simply — compensate wrongful delay, but do not monetize time — and it is far easier to state than to preserve. A payment for wrongful delay looks, from the outside, like a payment calculated after time has passed. So does a payment for time itself. The external forms resemble each other; the moral objects differ. In one case the payment repairs an injury; in the other it sells the use of money. And for Aquinas the moral object is the whole question. What is being sold? What is being restored? What is being claimed? A lender may not sell the borrower the use of money that has become the borrower's property, but he may be made whole for damage the borrower's unjust conduct has caused. The first is usury; the second is restitution. This is why his position cannot be filed either under rigid anti-commercialism or under proto-modern interest theory. He is stricter than modern finance, because he denies that money as such deserves a return merely for the passage of time; and he is more nuanced than a crude prohibition of all surplus, because he recognizes that justice may require compensation for real harm.

Applied to *poena conventionalis*, the Thomistic rule means a penalty is legitimate only insofar as it tracks genuine breach, harm, or restitution. If the borrower is late and the delay causes loss, compensation is morally intelligible. If the penalty simply grows with time, like an expected return, it is suspect. If the due date is structured so that delay is likely, the penalty has become a disguised price of credit. And if the lender would rather collect the penalty than receive his principal on time, the clause fails the Thomistic test outright. Aquinas forces one question: what is the payment attached to? Attached to the loan itself, or to the mere passage of time, it is usury; attached to a higher price for waiting, it may well be; attached to real damage from wrongful delay, it may be compensation; attached to restitution for unjust retention, it may restore equality.

The reach of this analysis into modern debate is hard to overstate. Modern contracts routinely treat default interest as a normal escalation of yield — one rate before default, a higher rate after — justified as administrative burden, increased risk, or discipline. Aquinas would ask whether the higher payment corresponds to actual harm, real cost, or culpable delay, or whether it simply monetizes the borrower's distress. A late fee that covers actual collection costs may be defensible; so may a grace period that encourages timely repayment without exploiting hardship, or a proportionate penalty for culpable non-payment. But a compounding default rate that becomes a major source of lender profit begins to look like exactly what Aquinas rejects: payment for time under the cover of delay. A non-extractive fund faces the same discipline. It need not pretend that late repayment creates no problems; it may need mechanisms for accountability, recovery of

real administrative costs, and ways of distinguishing good-faith hardship from negligent non-performance. What it must not do is design delay as a profit center, hope for default, or let penalties quietly substitute for yield.

This is the moral spine Aquinas gives the penalty title. The creditor may be restored, but not enriched by the loan; delay may be repaired, but not sold as time; wrongful retention may trigger restitution, but never a standing right to growth; contractual discipline is just only while it serves repayment rather than extraction. The whole question compresses into a single Thomistic distinction: the lender may receive compensation because he has been harmed, not because he has waited. That distinction will shape every later debate over *poena conventionalis* and *damnum emergens*, and the dangerous expansion toward *lucrum cessans* — and it remains one of the most useful principles available to modern moral finance. Every charge for delay must answer the question Aquinas leaves us with: are we repairing an injustice, or selling time?

12.2 Duns Scotus and the incentive problem

Duns Scotus sharpens the problem of *poena conventionalis* with a question that is morally simple and economically devastating: does the lender actually want the borrower to repay on time?

The question cuts straight through formalism. A contract may be carefully drafted, the loan described as gratuitous, the penalty formally conditional, the borrower's agreement duly recorded, the lender ready to explain that the clause merely protects him against delay. Scotus presses past all of it. When the borrower repays punctually, is the lender satisfied — or quietly disappointed, because the penalty has slipped through his fingers? With that question the analysis shifts from wording to incentives.

The earlier tradition had already sensed the danger of disguise. Robert of Courçon was suspicious of creditor profit from penalties; Raymond of Peñafort insisted that compensation be “not gain, but avoidance of loss”; Hostiensis gave the principle its canonical shape as *poena nec in fraudem* — penalty not in fraud of the usury prohibition; Aquinas separated compensation for real loss from payment for time. Scotus adds a further diagnostic: look at what the clause makes the lender desire.

A true penalty is designed to prevent default. It is a guardrail. It tells the borrower that repayment matters, that delay is not morally indifferent, that wrongful failure to perform will carry consequences — and its author hopes never to invoke it. In such a structure the lender prefers not to collect; he wants performance, and the penalty exists in order not to be used. A usurious penalty reverses the preference. Timely repayment yields the lender only his principal; late repayment yields principal plus penalty; and once the penalty is substantial, expected, or repeatedly collected, the lender's interest has become aligned with delay. Default has been made attractive — to the creditor. That is the incentive problem, and the moral danger runs deeper than the borrower's paying more. The lender's will becomes disordered. He begins to benefit from what should count as a failure of justice, to prefer that the borrower fall short, to treat the borrower's default as his opportunity. The contract no longer merely disciplines breach; it monetizes breach.

This matters because usury was never only an error in pricing. It is a deformation of relationship. In a just lending relationship the lender wants the borrower restored to stability and the debt repaid according to justice; in an extractive one the borrower's weakness is what pays. The penalty clause can become the clearest example of the deformation, because it hands the creditor a standing reason to prefer disorder. Scotus's insight therefore explains why intention cannot be separated from structure. It would be too easy to

ask only what the lender subjectively says he intends: a lender may profess his desire for punctual repayment while designing a contract that makes lateness the more profitable outcome, and a contract may reveal intentions that polite language conceals. Incentives are not the whole of morality, but they are evidence. They show what the arrangement rewards.

The diagnostic question — would the lender rather be repaid on time? — is powerful precisely because it joins inner intention to outward structure. Where the penalty is modest, proportionate, avoidable, and genuinely exceptional, timely repayment remains the lender's preferred outcome and the penalty serves the repayment obligation. Where it is large, expected, or designed around likely default, the service runs the other way: the penalty no longer serves repayment; repayment has been arranged to serve the penalty, with the borrower's failure producing the creditor's gain. The same analysis exposes the artificially short repayment period, in which a due date that looks clear and contractual is unrealistic under the circumstances, so that the borrower formally has an opportunity to avoid the penalty and practically does not. Such a default is not an accident; it is manufactured, part of the expected economics of the transaction. An excessive penalty betrays itself the same way, by exceeding the disciplinary or compensatory purpose it claims: when the amount is far larger than any plausible harm, the payment stops looking like restoration and starts looking like yield — the contract says "delay," but the amount says "profit."

Scotus's test grows sharper still across repeated lending. A one-off penalty clause may pass as a device for discipline. But when a lender writes penalty structures into loan after loan and earns from late payment again and again, the pattern itself becomes morally revealing: the business model depends on default. What might have seemed exceptional in a single case becomes ordinary in a portfolio, and the penalty has become a revenue line. Modern finance knows the pattern intimately. Whole business models rest on penalties, defaults, late fees, overdraft charges, compounding default rates, restructuring fees, and other payments triggered by borrower distress — each charge individually describable as a consequence of non-performance, the institution structurally reliant on the sum of them. Scotus's question exposes the fault line: does the lender want healthy repayment, or does the lender make more money when borrowers stumble? A non-extractive financial structure must be able to answer that question clearly. If timely repayment is bad for the lender's revenue model, something is wrong; if borrower distress is profitable, the relationship has become morally inverted; if defaults are not merely risks to be managed but sources of expected yield, the penalty has ceased to be a reluctant instrument of justice.

Nor does the logic stop at ordinary loans. Venture financing, revenue-based financing, convertible instruments, preferred equity, and restructuring agreements can all contain clauses that reward investor control precisely when the company struggles. Some protections may be legitimate — investors may need safeguards against bad faith, negligence, or mission drift — but they become suspect the moment the investor benefits from the enterprise's weakness. The deeper question is Scotus's, transposed: does the capital provider profit more when the borrower or company fails to flourish? Moral finance, he teaches, must care about incentive alignment. It is not enough for a contract to carry acceptable labels; it must make the right things desirable — timely repayment, borrower flourishing, shared success — and it must not make default, distress, or dependency profitable.

This is why the penalty title requires more than a formal condition. Conditionality alone does not make a payment extrinsic, because the condition itself can be engineered: a lender can structure the very event that triggers the surplus, and a penalty can be perfectly conditional and still usurious when the condition is the hidden path to gain. The true anti-abuse test must therefore include an incentive analysis. Is the due date realistic? Is the penalty avoidable, proportionate, genuinely exceptional? Does the lender book the

penalty as compensation for injury or as expected revenue? Does he prefer timely repayment? Does the contract encourage him to cooperate with the borrower's success, or to wait for the borrower's failure? These questions are not modern additions to an old doctrine; they are latent in the medieval concern itself. Scotus makes explicit what the earlier tradition already sensed — usury can hide not only in words, but in incentives.

It follows that *poena conventionalis* can never be evaluated one clause at a time. The whole relationship matters. A penalty may be moderate in isolation and abusive in context, formally avoidable and practically inescapable, sincerely called exceptional while the portfolio quietly depends on it; the moral reality emerges from the pattern. Scotus's contribution is therefore not simply a technical refinement but a moral anthropology of the creditor. What does the creditor love? What outcome does he desire — justice, repayment, and the borrower's restoration, or the profitable event of default? A true penalty disciplines the borrower for the sake of right order; a usurious one tempts the lender to love the borrower's disorder. That is the danger Scotus exposes, and once seen, it cannot be unseen.

12.3 Late medieval abuse patterns

By the late medieval period the moral danger of the penalty clause was no longer theoretical. The abuse patterns were visible, and the basic device was simple. A lender would make a loan that appeared, on its face, to respect the usury prohibition: principal due on a stated date, no interest charged explicitly, the loan itself — truthfully, at the level of words — gratuitous. But the contract would also contain a penalty clause: if the borrower did not repay on time, an additional sum would be owed. In a just case, such a clause could discipline culpable delay. In the abusive case, the penalty was the real economic point of the transaction. The lender had no need to charge interest openly; he could create a situation in which the borrower would predictably fail, and then collect. The contract preserved the appearance of orthodoxy while reproducing the substance of usury.

The recurring forms became familiar. The first was the artificially short repayment period. The borrower would be given a deadline formally clear and practically unrealistic — he needed time for a harvest, a shipment, a sale, or wages to arrive; perhaps he was already in distress; perhaps everyone involved knew that repayment by the stated date was unlikely. The contract set that date anyway, and when the borrower missed it, the lender could say, truthfully, that the penalty was owed because of delay. But the delay had been engineered. That is morally different from the borrower who freely and culpably fails to repay despite a reasonable opportunity to do so. In the abusive case the due date is a trap; the default is not an unexpected failure of the transaction but the mechanism by which it becomes profitable; the penalty is not an external remedy but the hidden price of the loan.

The second was the excessive penalty. Even where the repayment date was plausible, the penalty might stand in no proportion to the harm of delay: a small late payment triggering a large charge, a brief delay generating a substantial surplus, an amount bearing no relationship to actual loss, administrative burden, or the seriousness of the breach. Its size revealed its purpose — not the restoration of equality but the production of yield. Proportionality therefore became a central test. A penalty must not be so large that it ceases to be penal and becomes profitable; it must not turn a minor delay into a major transfer of wealth; it must not punish beyond the injury. Once the penalty exceeds the moral burden it claims to address, it discloses another purpose: extraction.

The third was expected default — the pattern that most plainly confirms the concern of

Duns Scotus. The lender might formally prefer timely repayment while the economics of the arrangement said otherwise: loans repeatedly structured so that penalties were likely, penalties arriving as a regular part of income, default no longer exceptional but expected. The penalty clause had become a revenue model. And this abuse was especially dangerous because it could hide inside a portfolio. Each borrower appeared to have defaulted individually; each penalty could be justified as the consequence of that borrower's failure; only when many borrowers defaulted under similar terms did the broader structure become visible. The lender had not merely protected himself against occasional breach. He had built a system in which breach was normal and profitable.

The fourth was the borrower who could not realistically avoid the penalty at all — because the repayment date was too short, because his income was uncertain, because he had no alternative source of funds, or because his need was so urgent that he accepted terms he could not prudently fulfill. His formal consent resolved nothing; a person can agree to a trap, because desperation narrows the field of choice. Here is one of the reasons scholastic moral theology cannot be reduced to contract formalism. The borrower's signature is not enough. The lender must not exploit the borrower's likely failure, and a penalty that is legally avoidable but practically unavoidable is morally suspect: if the lender knows the borrower probably cannot escape it, the penalty already belongs to the expected exchange.

The fifth abuse is the general pattern that unites the others: the transformation of penalty into hidden yield. The loan is presented as free, the surplus as conditional, the condition as breach — and in reality the penalty functions as the lender's return on capital: calculated, expected, repeated, desired. It is not an accident; it is the point. At that moment the extrinsic title collapses. The penalty is no longer external to the *mutuum* but internal to it, and the lender receives more not because of a real and exceptional wrong but because the contract was designed to produce more. The name remains *poena* while the substance has become usury.

Seen together, the abuse patterns reveal the practical wisdom behind the earlier cautions. Robert of Courçon's suspicion of creditor profit, Raymond of Peñafort's line between avoiding loss and seeking gain, Hostiensis's requirement that the penalty be *nec in fraudem*, Aquinas's refusal to monetize time, Scotus's incentive test — all converge here, not as abstract scruples but as responses to predictable patterns of evasion. They also show why a merely legal solution was insufficient. A penalty clause could be valid in civil law, enforceable, clearly written, even voluntarily accepted, and still be morally false. Where the law saw a condition, moral theology saw an incentive; where the law saw consent, it saw vulnerability; where the law saw breach, it asked whether the breach had been engineered. The tradition drew deeply on legal categories, but it refused to let legal form be the final judge: a contract can be valid and unjust, a clause clear and predatory, a penalty enforceable and usurious. The question is always whether the structure corresponds to the reality of justice.

The abuses also expose the moral role of time. In a true penalty, time matters because a promise was broken: the date was meaningful, the borrower failed to perform, and harm or disorder followed. In hidden usury, time matters because the lender is selling delay: the later the borrower pays, the more the lender gains, and the penalty becomes a way of pricing duration while avoiding the language of interest. This is why the late medieval theologians and canonists had to remain severe. Admit the penalty clause too broadly, and the prohibition on usury would be emptied from within — every lender could write a short due date, attach a penalty, and claim that any surplus came from default rather than from the loan. Usury would not disappear; it would become contractual choreography.

So the question of *poena conventionalis* becomes, in the end, a question of moral design. What sort of behavior does the contract reward? What does it make profitable, and

what does it make costly? Does it encourage repayment, or default — support borrower responsibility, or exploit borrower weakness — protect justice, or monetize failure? A well-ordered penalty clause makes breach unattractive to the borrower without making it attractive to the lender: it encourages performance without creating a creditor appetite for non-performance, a shield against wrongful delay rather than a harvest from distress. And the modern implications are direct, because contemporary finance contains exactly the same abuse patterns in updated form — unrealistic repayment schedules, compounding default interest, excessive late fees, penalty pricing, automatic escalation clauses, re-financing traps, restructuring fees, and revenue models dependent on borrower failure. The vocabulary has changed; the moral structure is familiar. A clause says “penalty.” The spreadsheet says “yield.” The late medieval tradition teaches us to read the spreadsheet.

It teaches, finally, that abuse is not always hidden in secrecy. Sometimes it hides in plain sight, inside normal clauses, standard forms, and accepted practices, and the question is never whether a penalty exists but whether the penalty has become the lender’s expected profit. With that, the first stage of the penalty title reaches its practical conclusion. A penalty may be allowed, but only if it remains truly penal; a repayment date may be enforced, but only if it is realistic; a delay may be punished, but only if the delay is culpable and the penalty proportionate; a lender may be protected, but not enriched by the borrower’s failure. The moral boundary can be stated plainly: a penalty that protects timely repayment may serve justice, and a penalty that makes late repayment profitable serves usury.

Late Medieval, Salamanca, and Manualist Settlement

13.1 Bernardino of Siena

By the time we reach Bernardino of Siena, the penalty title has entered a more practical and pastoral phase. The early question — can a contractual penalty ever be distinguished from usury? — has not disappeared, but it is now being worked out in a wider world of preaching, confession, commerce, urban life, charitable lending, and moral reform.

Bernardino (1380–1444) is not merely a technical theologian of contracts. He is a Franciscan missionary preacher — canonized in 1450, only six years after his death — a moral teacher, and a reformer concerned with the concrete life of Christian cities. His economic thought grows out of that pastoral world: merchants, lenders, artisans, poor households, urban markets, civic order, and the temptations that arise when money becomes a tool of domination. His approach to the penalty clause is therefore practical in the deepest sense. He is not asking only what can be defended in theory. He is asking how Christian economic life can be disciplined so that commerce does not devour the vulnerable.

The penalty clause remains a dangerous instrument in his world. Bernardino inherits the earlier tradition's concern that *poena conventionalis* can be worn as a mask: the lender claims the loan itself is free while using delay to generate surplus; the clause says "penalty" while the structure says "interest." And his Italy knew such evasions well. Urban credit markets were sophisticated enough that usury rarely appeared crudely, as an explicit rate on a loan. It could hide in sales, exchanges, pledges, penalties, gifts, fees — in any contractual device with room inside it.

This is why standardizing the exceptions mattered. The tradition needed a way to say that some payments above principal could be licit without every payment above principal becoming licit. Bernardino belongs to the process by which the exception categories became recognizable and pastorally usable: penalty, actual loss, labor, expenses, partnership, each named and bounded, so that a moral teacher could tell a real external title from a fraudulent pretext. In this setting *poena conventionalis* is not rejected outright. Borrowers can fail unjustly; they can delay; they can impose real burdens on creditors and on institutions that depend on timely performance. A Christian moral economy is not required to be indifferent to breach — the command against usury is not a command to make promises meaningless. But the penalty must remain a penalty: not converted into the lender's expected gain, not structured so that the borrower's lateness becomes profitable, not a reward to the creditor for the debtor's failure. Bernardino preserves the anti-abuse logic of the earlier tradition and applies it to the increasingly complex commercial world of late medieval Italy.

His Franciscan context matters especially. Bernardino belongs to the same moral atmosphere that produced and defended the Monti di Pietà, the charitable lending institutions designed to give the poor credit without delivering them to the usurers. Those institutions required careful moral reasoning precisely because they were real: they had costs

— staff, buildings, record-keeping, appraisal, the safekeeping of pledges, administrative discipline — and they had to cover those costs without becoming usurious themselves. Anyone concerned with practical institutions of mercy needed a moral vocabulary subtler than “all surplus is forbidden” or “all agreed payment is allowed.” The same subtlety informs the penalty title. The question is never whether a lender or institution may protect itself against delay; it is whether the protection remains ordered to justice. Does the charge cover a real burden and discipline a real wrong? Is it moderate, transparent, proportionate? Does it preserve the lender’s desire for timely repayment — or does it let the institution flourish financially because borrowers fail?

Bernardino’s preaching against usury is severe because he sees how easily money corrupts the moral imagination. The usurer does not simply take too much. He learns to see his neighbor’s need as an opportunity; he converts time, distress, and dependence into gain. Disguised usury is spiritually dangerous for exactly this reason — it lets the lender keep the appearance of respectability while continuing the same inward disorder — and the penalty clause is one of its most comfortable disguises, because it gives greed a moral vocabulary. The lender no longer says, “I profit from your need.” He says, “I punish your default.”

Bernardino’s contribution is therefore not a new theoretical permission so much as a practical discipline of suspicion. The exception must be real; the title must correspond to actual moral substance; the preacher, the confessor, and the jurist must ask whether the clause is serving justice or evading it. A penalty that prevents disorder may be tolerable. A penalty that feeds on disorder is usury in another form. This also explains why late medieval moral theology preserves its lists of acceptable cases inside a hedge of warnings. The list is not a license; it is a map of possible distinctions. *Poena nec in fraudem* means a penalty may be permitted, but only when it is not fraudulent. *Damnum emergens* means actual loss may be compensated, but not invented. *Stipendium laboris* means labor may be paid, but not inflated into extraction. Partnership means profit may be shared, but only when risk is truly shared. The moral work lies not in reciting the category but in discerning whether the category is truly present.

For Bernardino this discernment is inseparable from the reform of Christian society, because usury is not a private vice. It damages the community — weakens households, burdens the poor, distorts commerce, corrodes civic trust — and when penalty clauses become disguised interest they do more than harm individual borrowers. They normalize evasion. They teach a city to admire cleverness over justice and make exploitation look lawful. A well-ordered penalty, by contrast, serves the common good: it supports fidelity to promises, protects institutions from wrongful delay, and preserves trust without turning debt into a machine of extraction, disciplining breach while remaining subordinate to the loan’s deeper purpose — restoration, assistance, exchange, or cooperation.

The distinction presses hardest where lending serves the poor. A charitable lending institution that charges a moderate fee for administration may serve mercy. But if penalties become a major source of its income, the institution begins to resemble the very usurers it was created to displace — the poor person’s failure has become the institution’s sustainability model. Bernardino’s Franciscan concern resists that inversion. The poor may need discipline; they must not become a revenue base.

Here the continuity with the earlier authors is plain. Robert of Courçon worried enough about creditor profit from penalties to want the surplus directed to the poor; Raymond of Peñafort distinguished avoidance of loss from pursuit of gain; Hostiensis insisted on *poena nec in fraudem*; Aquinas separated compensation for injury from payment for time; Scotus asked whether the lender preferred timely repayment. Bernardino receives the whole logic and carries it into the field of pastoral economics — and in doing

so he helps stabilize the penalty title without domesticating its danger. The category becomes standard; confessors and jurists can use it; but the warning stands. A penalty is acceptable only while it remains external to the loan itself. It must respond to delay, not price delay; protect justice, not exploit breach; be a reluctant remedy, not a desired return.

There is a clear implication for everything that follows. Once exception categories become standard they can be taught, repeated, and applied — and they can also be manipulated. Bernardino's importance lies in holding practical usefulness and moral vigilance together: Christian economic life requires workable institutions, and every workable institution can drift. His treatment of penalty, expense, labor, and charitable lending is therefore not a relaxation of the usury prohibition but an effort to preserve it under real economic conditions — a doctrine that cannot distinguish compensation from extraction will become either impossibly rigid or dangerously permissive, and Bernardino's practical theology walks the narrow road between those failures. Modern non-extractive finance meets him at exactly this point. Funds and institutions may need rules, fees, deadlines, penalties; the question is whether those mechanisms serve the mission or quietly replace it — whether they help the borrower flourish, protect the institution without making distress profitable, recover real costs without building extraction into the model, and remain charitable in substance, not only in branding. Bernardino would teach suspicion of any financial design that depends on the failure of those it claims to serve. If the poor, the founder, the worker, or the mission must stumble for capital to be satisfied, the structure has lost its way.

The late medieval settlement of *poena conventionalis* therefore begins not with permission but with disciplined permission. Bernardino makes the category usable while keeping it morally dangerous — under judgment, never a comfortable euphemism for gain from lending. A Christian economy may need penalties; it may not build itself on the hope that debtors fail.

13.2 Sant'Antonino of Florence

Sant'Antonino of Florence (1389–1459) continues the effort to make the exception categories usable without letting them become instruments of evasion. Like Bernardino he stands in the world of practical moral theology — confession, commerce, civic life, charitable lending, merchant practice, the moral governance of Christian society — but Antonino, a Dominican who became archbishop of Florence, adds a further quality: synthesis. In works like his *Summa moralis*, an early landmark in the moral analysis of commerce and banking, he preserves, organizes, and transmits the exception-list tradition in a form later authors could inherit.

The synthesis mattered because by the fifteenth century the anti-usury doctrine was no longer dealing only with simple loans between isolated persons. It confronted cities, merchants, public debt, charitable credit institutions, pledges, contracts, exchange, and carefully drafted legal forms. The problem was no longer that Christians did not know usury was forbidden. The problem was that many knew it was forbidden and had learned to route around the prohibition through technical devices. Antonino's task was therefore not to condemn usury in general but to help distinguish legitimate surplus from disguised usury in concrete cases. The older categories had to be remembered — penalty not in fraud, compensation for real loss, gifts freely given, partnership, expense, labor: the situations in which more than principal might be received without necessarily violating the *mutuum* — and each had to stay bounded by moral substance. *Poena nec in fraudem* remains the standard form. The penalty may be admitted, but only if it is not a fraud; the clause may

be present, but it must not be a pretext; the creditor may protect himself against wrongful delay, but he may not use delay to collect what would otherwise be usury.

In Antonino the importance of lists is especially visible. Medieval and late medieval authors gathered exceptions and permitted cases into memorable formulae because lists were practical tools: a confessor needed to know what to ask, a preacher what to warn against, a jurist how to classify the contract, a merchant where the boundaries lay, a charitable institution what it might not do. The list gave shape to discernment. But a list is never enough, and its danger is precisely that it makes moral reasoning look mechanical. If “penalty” appears on the list, every penalty seems permitted; if “gift,” every expected gift becomes voluntary; if “partnership,” every return-bearing instrument gets described as risk-sharing; if “expense,” every fee becomes cost recovery. Antonino’s tradition prevents that collapse by retaining the qualifying phrase: not in fraud. The small phrase does enormous work. It turns the category from a loophole into a test. A penalty is not allowed because it is called a penalty; it is allowed only if it truly functions as one — attached to real breach or culpable delay, proportionate, realistically avoidable, not expected as ordinary revenue, not making the lender prefer default, not used to sell time.

In this Antonino preserves the moral architecture the tradition had built — Courçon’s suspicion of creditor profit, Raymond’s concern for intention and expectation, Hostiensis’s *poena nec in fraudem*, Aquinas’s line between compensation and payment for time, Scotus’s incentive question, Bernardino’s pastoral suspicion of commercial evasion — all of it converging in the settled late medieval category. The penalty title is real, but guarded.

His Florentine context is no accident. Florence was not an abstract theological classroom; it was a commercial and banking city, where money, credit, reputation, exchange, public finance, and civic ambition were woven together. Moral theology in such a setting could not remain naive. The same intelligence that built trade networks and financial instruments could build moral evasions, and a bishop and moral theologian in such a city needed both charity and suspicion. That is also why the penalty title stayed important. In commercial life, dates matter: delivery dates, repayment dates, settlement dates, market opportunities, and civic obligations all depend on performance. A world without consequences for delay would not be just. But a world in which every delay becomes an occasion for gain is unjust in the other direction. Antonino’s inherited tradition holds the two truths together — obligations are serious, and creditor power is dangerous. The analysis must ask whether the penalty is ordered toward performance or toward profit. Ordered toward performance, it supports trust: it says that promises matter and that one may not casually impose harm by failing to fulfill them. Ordered toward profit, it corrodes trust: it says the creditor benefits when the debtor fails. The same clause can protect civic order or become a mechanism of exploitation.

By keeping the exception lists alive, Antonino also transmits the deeper distinction between intrinsic and extrinsic claims to the later manualist settlement. More than principal may sometimes be received, but only when the reason for the surplus is external to the *mutuum* — when it corresponds to something real: breach, loss, expense, labor, risk, partnership, or a truly free gift. The title must be present in substance, not only in name. This is one of the key lessons of the whole late medieval period: moral theology does not abolish economic complexity, it disciplines it — asking whether complexity serves justice or hides injustice, what a surplus is for, and how legal form measures up against moral truth.

Antonino’s treatment of *poena conventionalis* belongs to this disciplined realism, and it yields a usable gradient of suspicion. The more predictable the penalty, the more suspect. The more profitable, the more suspect. The less avoidable, the more suspect. And the more a lender depends on penalties for revenue, the more likely the whole structure has

become usurious.

The pastoral imagination remains crucial, because Antonino is not thinking only of merchants who bargain from roughly equal positions. He is thinking of ordinary Christians, poor borrowers, debtors under pressure, communities vulnerable to creditor power. For the weak borrower a penalty clause can be especially oppressive: it can turn temporary difficulty into long-term bondage, make a debt grow precisely when the debtor is least able to bear it, convert a moment of need into a spiral of dependence. This concern ties the penalty title back to Scripture, for the biblical prohibition of usury was never merely a technical rule about finance. It is a defense of the poor neighbor against extraction: the cloak must be returned at night; the poor must be allowed to live; the hand must be opened even when the release year approaches; the righteous person does not lend at interest. If a penalty clause recreates the very domination Scripture condemns, no legal ingenuity can save it.

At the same time, the tradition does not romanticize the debtor. Borrowers can act unjustly; delay can be culpable; promises can be broken; creditors and charitable institutions can be harmed by bad faith. The penalty title remains possible because justice requires responsibility on both sides. But the remedy must not exceed the wrong, and the cure must not become another disease. That balance is exactly what non-extractive finance must recover. A modern fund, lending institution, or mission-locked vehicle may need default provisions, reporting deadlines, repayment schedules, and consequences for non-performance — without them it may become unsustainable, or unjust to its other participants. But if default provisions become revenue, if penalties become expected yield, if distress becomes an opportunity for capital to enlarge its claim, the structure has crossed the line. Antonino's inherited phrase remains a practical rule for contract design: do not ask merely whether a penalty is allowed; ask whether this penalty is truthful. Is it a reluctant safeguard, tied to actual breach, proportionate? Does it preserve the desire for timely performance, protect the vulnerable from spiraling debt, remain external to the loan itself? If yes, it may serve justice. If no, it is a disguise.

Sant'Antonino's role in the history of the extrinsic titles is preservation with discipline: he keeps the categories available to a complex economy without letting them become comfortable excuses, and passes the practical wisdom forward — more than principal may sometimes be received, but only when the moral reason is real. A penalty not in fraud is possible. A penalty in fraud is usury with better paperwork.

13.3 Salamanca and Jesuit refinements

With Salamanca and the Jesuit moral theologians, the penalty title enters a still more refined world of legal validity, proportionality, intention, and commercial context. The basic rule is inherited: a penalty may be accepted only if it is not a fraud on the usury prohibition. But the practical questions grow more detailed. What counts as fraud? How much may be stipulated? Does civil law matter? Can compensation be agreed in advance? How should intention be read when the contract sits inside ordinary commercial practice?

The School of Salamanca did not invent these questions; it faced them in a changed economic world. Sixteenth-century commerce was complex — credit, exchange, trade, insurance, public finance, merchant capital, global expansion — and its contractual situations were not easily reduced to the picture of a poor borrower taking a small loan. Yet the old danger had not moved. The *mutuum* still could not become a machine for guaranteed surplus, and the borrower's need, delay, or dependence still could not become the creditor's revenue.

Domingo de Soto (1494–1560), the Dominican whose *De iustitia et iure* of 1553 became one of the school's foundations, represents the cautious side of the tradition. He is deeply concerned to preserve the gratuity of the *mutuum*, and he understands that contractual devices can be used to evade moral law. A penalty clause therefore cannot be allowed merely because the parties agreed to it or because the civil law recognizes it; it must be judged by its moral substance. If the penalty is really a payment for the loan, it is usury. If it is genuinely attached to culpable non-performance or real injury, it may be allowed. The caution is essential because the penalty title is so easily universalized: every loan can include a due date, every due date a penalty, every penalty a calculation that produces surplus. If moral theology accepts such clauses without scrutiny, the usury prohibition is emptied from within. Soto's instinct is to prevent that collapse. The exception must remain exceptional, connected to a real wrong and not to the ordinary passage of time.

Navarrus — Martín de Azpilcueta (1492–1586), the Navarrese canonist whose *Manual de confesores y penitentes* of 1549 became one of the most consulted confessors' guides of the age — belongs to the same broader Salamanca world with a more developed sensitivity to money, exchange, and practical legal arrangements. His work shows late scholastic moral theology learning to account for the realities of trade without surrendering to them. The penalty clause could not be analyzed in abstraction from the commercial world in which it operated: merchants need reliable performance, delay causes real disruption, and a rigid refusal of every penalty could make contracts unstable. But commercial necessity cannot automatically justify creditor gain. The title must still be tied to a real external ground.

Here proportionality becomes central. A penalty may be valid in principle and excessive in amount, and when it far exceeds the injury caused by delay it begins to reveal a different purpose — no longer a discipline of performance but a price of credit. The amount must be measured against the harm, inconvenience, risk, or disorder the delay creates; it must not become a separate profit stream. Legal validity enters the analysis in the same spirit. Civil law may permit certain penalty clauses, set limits, enforce stipulated damages, recognize the parties' freedom to bind themselves — and the Salamanca and Jesuit authors ignore none of it, since moral life takes place inside institutions and jurisdictions. But civil law is not the final measure of justice. A clause may be legally valid and morally usurious. Civil law can guide prudence; it cannot transubstantiate extraction into justice.

Luis de Molina (1535–1600), the Jesuit author of a massive *De iustitia et iure*, develops this integration of moral theology and legal practice with particular care — attentive to real commercial life and, at the same time, to the dangers of fiction. A conventional penalty may be accepted where it corresponds to a legitimate interest in performance and where the civil law recognizes it within proper bounds. Yet everything turns on honesty in the stipulation. One must ask whether the penalty was meant to secure performance or to obtain gain. If the creditor set it because he reasonably wishes to prevent delay and protect himself from harm, the clause may be defensible; if he set it because he expects the debtor to miss the deadline and wants thereby to obtain surplus, the clause is morally corrupt. The same legal form can carry different moral characters depending on purpose, proportion, and context.

Molina also sharpens the question of advance agreement. Can compensation be fixed before any damage occurs? The matter is delicate. Parties often need to know in advance what consequences will follow breach, and stipulated penalties reduce uncertainty and prevent disputes. But advance agreement can also be the means by which interest is hidden inside the contract from the beginning, and the more automatic and yield-like the penalty becomes, the more dangerous it is. The solution is not to forbid every advance clause but to discipline it: proportionate; tied to a real possibility of harm or culpable de-

lay; not set at a level that betrays an intention to profit; not the expected return of the transaction; not triggered by an artificial default; and always with a creditor who still prefers performance.

Leonardus Lessius (1554–1623), the Jesuit of Louvain whose *De iustitia et iure* of 1605 became a standard reference, inherits this world of distinctions and gives it systematic precision. Lessius is often associated with a more finance-aware moral theology — one that understands commercial practice, risk, money, and contract with unusual sophistication — and the sophistication cuts both ways. The more precisely one can distinguish titles, the more precisely one can construct evasions. Lessius stands near the edge where late scholastic analysis begins to resemble modern financial reasoning. For penalties, the anti-fraud rule holds unchanged: legal enforceability, commercial custom, and contractual sophistication do not by themselves establish moral legitimacy. The penalty must not be disguised interest; it must correspond to breach or loss; it must be reasonable in amount; it must not reward the lender for default; and it must not be one of several overlapping devices by which the same burden is counted repeatedly.

The Jesuit refinements matter most in their insistence that moral judgment account for context. A penalty in a simple loan to a poor borrower carries different dangers from a penalty in a commercial contract between merchants; a delay in a household loan may create little measurable harm, while a delay in a trade transaction can disrupt obligations, shipments, payments, and reputational commitments. No single rigid rule captures every case. But context does not abolish the usury problem — it only helps determine whether the title is real. And the contextual reasoning is easily misunderstood. It does not exempt commercial actors from moral law; it requires that the external burdens they claim be examined concretely. If a merchant's delay genuinely causes losses, costs, or disruption, compensation is more plausible. If a lender merely invokes "commercial practice" to justify expected yield, the title is false. The reality must be shown, not assumed.

The same holds for intention. The late scholastic and Jesuit authors attend closely to intention, but intention is no private escape hatch: a creditor cannot declare a good intention and thereby sanctify a predatory clause. Intention must be read through structure. Is the due date realistic? Is the penalty proportionate? Is default likely? Does the lender profit from delay, and is the penalty a regular revenue source? Does civil law treat the clause as penal or as an evasion? Do the surrounding circumstances show a desire for performance or a desire for gain? Commercial context, legal validity, proportionality, and intention must be held together, because each alone is insufficient — civil law may permit too much, intention may be self-deceived, commercial custom may normalize injustice, and proportionality itself can be manipulated if the alleged harm is inflated. The moral theologian must examine the whole structure.

This is the lasting contribution of Salamanca and the Jesuits to *poena conventionalis*: not abandoning the older rule but refining its application, so that "not in fraud" is tested across every dimension at once — legal form, contractual purpose, economic context, likely performance, amount, expectation, civil-law limits, and the lender's actual incentives. The result is a more mature doctrine. A conventional penalty can be licit when it is legally and morally ordered to securing performance, proportionate, attached to real harm or culpable delay, and not desired as profit. It becomes illicit when it is a way of guaranteeing surplus, pricing time, engineering default, exploiting vulnerability, or hiding interest inside a formally gratuitous loan.

For modern non-extractive finance the refinements teach granularity. Ask not only whether a late fee exists, but how it is calculated; not only whether a default rate is legal, but whether it reflects real cost or risk; not only whether the borrower agreed, but whether the borrower had a realistic path to performance; not only whether a penalty is standard

market practice, but whether the practice itself has become extractive. The modern equivalent of *poena nec in fraudem* might read: no penalty as business model, no default as revenue strategy, no clause that makes borrower distress profitable, no legal form that turns a prohibition into a design pattern. Complexity does not abolish the penalty title; it makes the title more demanding. A simple usurious loan is morally easy to condemn. A complex contract that hides usury inside penalties, fees, defaults, legal validity, and commercial custom requires sharper tools — and sharper tools are precisely what the late scholastic refinements provide.

13.4 Alphonsus Liguori and later manuals

By the time we reach Alphonsus Liguori (1696–1787) and the later manualist tradition, *poena conventionalis* has largely become a stable category — no longer a novelty, an impossibility, or a crude evasion to be rejected in every case. It has a recognized place in the moral analysis of usury. But the recognition remains conditional, and the old warning has not softened: a penalty may be allowed, but only if it is not expected profit from the loan.

Alphonsus — founder of the Redemptorists, and author of the *Theologia moralis* (first published in 1748) that would guide generations of confessors — represents a later stage of Catholic moral theology, marked by careful pastoral judgment, attention to probability, and the desire to steer confessors between rigorism and laxity. In his hands the penalty title is neither romanticized nor abolished. It is accepted as a possible extrinsic title under conditions that preserve its penal character, and the mature rule can be stated in a single sentence: a contractual penalty may be licit when it is truly penal, proportionate, avoidable, and not desired as revenue. Each word matters.

Truly penal: the penalty must respond to non-performance, culpable delay, or breach of a real obligation. It cannot be attached to the loan as an ordinary price of time or serve as the hidden way the lender receives a return; it must remain external to the *mutuum*, so that if the borrower repays on time, nothing more is owed — the principal is restored and the matter is complete. Proportionate: it must bear a reasonable relation to the harm, inconvenience, disorder, or seriousness of the breach. A wildly excessive penalty reveals another purpose — enrichment rather than discipline — and the amount itself can testify against the clause. Avoidable: the borrower must have a real possibility of performing on time. If the repayment period is so short, the conditions so burdensome, or the borrower's situation so desperate that default is practically built in from the beginning, the penalty is not truly conditional; it is part of the expected price. A formally avoidable penalty can be morally unavoidable, and the manualist tradition's realism requires attention to that difference. Not desired as revenue: this is the old Scotist diagnostic carried into the mature tradition. A lender who wants timely repayment may use a penalty as a safeguard; a lender who wants default uses it as a profit mechanism. The same clause changes moral character when the lender's incentive inverts, and a creditor disappointed by punctual repayment has already told us what the clause is.

The manuals preserve this suspicion because they are written for confessors. The confessor must help a penitent distinguish lawful compensation from usurious gain, real penalty from fraudulent penalty, disciplined repayment from exploitation — and in confession the question is not whether a civil court would enforce the clause. The question is whether the creditor has taken what, before God, he had no right to take. That is why the manuals keep insisting on intention, expectation, and proportionality. The external form does not settle the matter: a lender may use orthodox language while pursuing an extrac-

tive end; a borrower may consent under pressure; a commercial custom may normalize injustice; a clause may be conventional in the marketplace and still morally corrupt.

Alphonsus's importance lies partly in preserving a balanced path. A rigorist approach might fear abuse so much that it effectively forbids all penalties on loans — but that would be unjust to creditors and impractical for institutions, because borrowers can delay culpably, creditors can suffer harm, and contracts may require enforceability; moral theology cannot pretend that every breach is harmless. A lax approach would accept penalties too easily — because the clause is conditional, because the borrower agreed, because the law permits it — and would thereby invite exactly the evasions the whole tradition had fought: every lender avoiding the word “interest” and collecting surplus through predictable default. The manualist settlement avoids both errors. It permits the penalty title but keeps it under moral discipline; it accepts that not every payment above principal is usury while refusing to let any payment above principal escape scrutiny; it recognizes the practical need for penalty clauses while insisting that they must not become instruments for monetizing time or distress.

The settlement is pastorally important because most real cases are not pure. A borrower may be partly culpable and partly unfortunate; a lender may suffer real inconvenience and also feel the pull of profit; a penalty may be partly disciplinary and partly excessive; a contract may be legal, customary, and still morally questionable. The manuals exist to guide judgment through such mixed cases, and a set of questions became standard for the purpose. Was the repayment date fair and realistic, and was the delay culpable? Was the penalty proportionate, and was it known and agreed without coercion? Did the creditor suffer damage or face real inconvenience, and did he prefer timely repayment? Was the penalty collected only because of actual breach — or compounded and repeated in a way that created hidden interest? Was the borrower poor, desperate, or unable realistically to avoid default? Did the lender structure the arrangement so that default was likely? These questions are not bureaucratic. They are spiritual diagnostics. They uncover the moral form of the transaction and ask whether the penalty served justice or disguised usury.

The later manuals also clarify the relation between penalty and actual damages. Sometimes a penalty approximates a harm that would be difficult to prove precisely, and in such cases a conventional penalty can reduce uncertainty and prevent disputes. But when actual damages are known, the penalty must not become an occasion for disproportionate enrichment — the more clearly the creditor's real loss can be measured, the less defensible an excessive stipulated penalty becomes. Penalty and *damnum emergens* can overlap: a borrower's delay may cause real damage, and a penalty may serve as its pre-agreed measure. When the penalty exceeds any plausible damage and becomes profitable in itself, it has moved from compensation toward usury, and the manualist concern is precisely to keep the penalty from floating free of the burden it claims to address. Civil law receives the same treatment. Its limits on penalty clauses can provide a useful guide, but moral theology asks more, for the law may permit what conscience should reject, and a civilly valid clause does not become morally clean merely because it is enforceable. The Christian creditor must ask not only “Can I collect this?” but “May I justly keep this?” That question of retention is central: a payment received usuriously is not purified by collection, and the creditor must restore what was unjustly taken. The penalty title has consequences not only for contract drafting but for conscience, confession, and restitution.

Alphonsus and the manuals preserve one more distinction, and it may be the most contemporary of all: the occasional versus the systematic. An occasional penalty collected in an exceptional case of culpable delay is one thing; a lending practice organized around penalties is another. If an institution's income depends heavily on late penalties, the structure itself becomes morally suspect — the question is no longer merely whether each bor-

rower defaulted, but whether the lender has built a business model from default. Modern financial institutions often treat penalties, default charges, overdraft fees, late fees, refinancing charges, and restructuring fees as ordinary revenue categories: disclosed, legal, built into risk models. The old moral question stands unmoved — does the institution want healthy repayment, or does it profit from borrower failure? The balanced tradition would not condemn every such charge automatically. It would ask whether the charge is truly penal, proportionate, avoidable, and not desired as revenue; whether the borrower had a fair chance to avoid it; whether hardship was considered; whether the creditor suffered real damage; whether the charge restores order or exploits disorder. And it would design accordingly: a mission-locked lender may need late-payment rules, a fund consequences for missed reporting or delayed payments, a charitable credit institution a way to discourage negligent non-performance — but always so that the preferred outcome is timely repayment, borrower stability, and the restoration of the relationship, never a quiet reliance on penalties to sustain the institution itself.

The later manualist settlement thus completes the development of *poena conventionalis* by giving it a disciplined place in moral theology: accepted but not relaxed, permitted but not trusted, useful but dangerous, able to serve justice only while it remains subordinated to the purpose of justice. A true penalty says that the obligation matters and wrongful delay has consequences. A usurious penalty says: your delay is my gain. Alphonsus and the manuals teach confessors, creditors, and institutions to tell the two apart — and the distinction is not optional. It is the line between discipline and extraction.

13.5 Modern diagnostic checklist

The history of *poena conventionalis* leaves modern finance a practical test. The old question was whether a contractual penalty could be distinguished from usury. The modern question is broader but structurally the same: when a contract imposes a late fee, default rate, penalty charge, cure fee, restructuring cost, or any other consequence for non-performance, is the charge truly ordered toward justice — or has it become a way to profit from borrower distress? The language has changed; the moral problem has not.

A modern contract will not use the Latin. It speaks instead of default interest, late payment fees, penalty rates, acceleration clauses, administrative fees, missed-payment charges, collection costs, break fees, enforcement expenses. Some of these may be legitimate; some may be necessary. A lender, fund, cooperative, charitable institution, or non-extractive capital provider does not need to pretend that delay is harmless — missed payments can create real administrative burdens, liquidity problems, legal costs, accounting work, and relational disorder. But the old tradition requires every such charge to be tested, and its questions translate directly.

First: was the repayment date realistic? A date the borrower can reasonably meet serves justice — it gives shape to the obligation, allows both parties to plan, makes repayment concrete rather than indefinite. A date that is unrealistically short, badly matched to the borrower's cash flow, or knowingly impossible functions as a trap: if the due date is designed to be missed, the penalty is already built into the loan, not an exceptional consequence of breach but the hidden price of credit. This matters especially in mission-driven finance. A repayment schedule for a startup, cooperative, social enterprise, or vulnerable borrower should correspond to the real rhythm of the underlying activity; if revenue arrives seasonally, irregularly, or only after a milestone, the calendar should not pretend otherwise. A lender who imposes an unrealistic schedule and then profits from default is not practicing discipline. He is manufacturing failure.

Second: was the delay culpable? Not every delay has the same moral character. Negligence, bad faith, disorganization, avoidable mismanagement, refusal to honor an obligation — for these, a consequence may be just. But a borrower may also delay because of illness, disaster, delayed receivables, market disruption, war, theft, or family emergency, and a penalty that treats every delay as morally identical is too blunt: it punishes misfortune as though it were fault. The tradition's attention to culpable delay does not abolish responsibility; it refines it. The borrower must take obligations seriously, and the lender must not confuse hardship with vice. A non-extractive contract should therefore distinguish bad-faith non-performance from good-faith difficulty, include a process for communication, cure, and review, and ask why the delay occurred before converting it into revenue.

Third: was the penalty proportionate? A true penalty bears a reasonable relationship to the harm, cost, or disorder the delay caused. Modest, bounded, and connected to actual burden, it may serve as discipline; excessive, compounding, or disconnected from real harm, it begins to look like yield. The larger and more automatic the penalty, the more scrutiny it deserves. Proportionality also requires attention to the borrower's condition: a fee that is trivial for one borrower may be crushing for another, and a penalty that sends a fragile enterprise spiraling into deeper distress defeats the purpose of the financing relationship. In a non-extractive framework, penalties should never be designed to push the borrower closer to ruin. They should restore order, not intensify disorder.

Fourth: did the lender prefer timely repayment? This is the Scotist question, and it remains the most powerful diagnostic in the set. If the lender is genuinely glad when the borrower repays on time, the penalty may still be penal. If the lender is disappointed, because timely repayment prevents the collection of penalty revenue, the structure is morally inverted. The preferred outcome reveals the moral form of the contract: a true penalty exists in order not to be collected — it deters breach, protects the seriousness of the obligation, makes repayment more likely — while a usurious penalty exists in order to be collected, turning late repayment into a profit opportunity and the borrower's failure into something useful. A modern institution should therefore examine its own revenue model. Are late fees, default charges, restructuring fees, and penalty rates a minor and exceptional category, or expected, budgeted, and relied upon? Does financial sustainability depend on borrowers missing deadlines? If so, the penalty structure has become morally dangerous, even if each individual charge is legally disclosed.

Fifth: was the penalty booked as compensation rather than yield? Accounting reveals theology. A payment recorded as cost recovery, reimbursement, or compensation for actual administrative burden has a different moral meaning from a payment treated as return, and if penalties are modeled as part of expected portfolio yield, the institution is no longer merely protecting itself against default. It is monetizing default. Bookkeeping alone does not decide morality — revenue can be misclassified — but transparent accounting helps discipline intention. A non-extractive fund should separate actual costs from penalties, penalties from yield, yield from reimbursement, and reimbursement from profit. The more clearly payments are classified, the harder it becomes for extraction to hide inside vague financial categories.

Sixth: was there a grace period? A grace period is not always required, but it often reveals the spirit of the arrangement. Reasonable notice, time to cure, and space for communication show that the goal is performance, not punishment; penalties triggered immediately, automatically, and without regard to circumstance suggest a revenue device. Grace periods matter most when borrowers are vulnerable or cash flows uncertain. They let the contract distinguish temporary friction from serious breach, create room for mercy without abolishing accountability, and keep the penalty a last resort rather than a first

response.

Seventh: was hardship considered? A Christian and non-extractive approach to finance cannot treat the borrower as a machine. Illness, family crisis, market shock, a customer's delayed payment, political disruption — hardship can alter the moral meaning of delay, and a rigid penalty structure that ignores it may be legal without being just. Considering hardship does not make every obligation disappear. It means the lender must ask what justice requires in the concrete case: perhaps the payment should be rescheduled, perhaps the penalty waived, perhaps documented costs still paid, perhaps a pattern of negligence addressed firmly. But the question must be asked. Without that discernment, penalties can punish precisely those borrowers whom the financing was meant to help.

Eighth: was the same harm double-counted elsewhere? This is one of the most common modern abuse patterns. A lender may charge a late fee, a default rate, an administrative fee, a restructuring fee, legal costs, monitoring fees, and a risk premium, each justified by overlapping claims about the same delay. Each item may appear defensible in isolation; together, they may count the same harm several times. The scholastic tradition insists on proportionality and real external burden: a burden already compensated under one title should not be charged again under another. A lender cannot collect for actual loss, then for penalty, then for increased risk, then for administrative burden, when all refer to the same underlying event. Double-counting converts compensation into extraction. A non-extractive contract should therefore allocate its charges explicitly — what does each payment correspond to: actual cost, penalty, reimbursement, risk-sharing, legal expense? — and where two charges answer to the same harm, one should be reduced or eliminated. Moral accounting requires non-duplication.

Ninth: does the penalty compound? Compounding penalties deserve special suspicion. A one-time proportionate charge for a missed payment may discipline breach; a charge that compounds over time can recreate the very structure usury doctrine fears — debt growing because time passes. If the borrower is already unable to pay, compounding transforms difficulty into bondage: the longer the borrower struggles, the more the lender's claim grows. There may be cases where ongoing delay creates ongoing costs, but those costs should be shown, not presumed. A compounding penalty should never become a silent way of converting late payment into interest-bearing debt; where possible, penalties should be capped, reviewed, and tied to actual additional burden.

Tenth: does the contract create a path back to good standing? A penalty structure ordered toward justice makes restoration possible. It tells the borrower how to cure the breach, how to communicate, how to restructure, and how to return to ordinary performance. A structure ordered toward extraction makes restoration difficult — fees accumulate, defaults cascade, borrower distress deepens. The difference is theological as well as financial. A Christian moral economy is concerned with restoration, not only punishment; the goal is not to trap the borrower in permanent default but to restore right relationship where possible. A penalty without a path to restoration is morally incomplete.

Together the ten questions translate the old doctrine into a modern diagnostic checklist:

1. Was the repayment date realistic?
2. Was the delay culpable?
3. Was the penalty proportionate?
4. Did the lender prefer timely repayment?
5. Was the penalty booked as compensation rather than yield?
6. Was there a grace period?
7. Was hardship considered?
8. Was the same harm double-counted elsewhere?

9. Did the penalty compound?
10. Was there a path back to good standing?

The checklist does not make every case easy. Answers can point in different directions: a borrower partly culpable and partly unlucky, a penalty somewhat proportionate but poorly documented, a lender bearing real cost while tempted by revenue, a contract legally standard and morally mediocre. The checklist is not a machine. It is a discipline of conscience, and its deepest purpose is to prevent the old confusion between a penalty and the price of time. A true penalty is reluctant, protects performance, stays proportionate to breach, remains avoidable, is not the lender's preferred outcome, and helps restore order. A usurious penalty is expected, monetizes delay, runs excessive or automatic, may be practically unavoidable, becomes part of the lender's yield, and profits from disorder.

For modern non-extractive finance the practical implication is plain: default must never become the business model. Late payment may need to be addressed, but borrower failure must not become a source of attractive return; a fund may need discipline but not domination, protection but not profit from distress, consequences but consequences ordered toward restoration. The old phrase *poena nec in fraudem* still speaks with force — penalty, but not as fraud; discipline, but not extraction; consequence, but not yield; enforcement, but not domination. A financial structure passes the test only when it can say honestly: we would rather the borrower repay on time, flourish, and remain whole. Anything else is already too close to usury.

PART VI

Damnum Emergens: Actual Loss Incurred

From Interesse to Actual Loss

14.1 The Roman-law root

The title of *damnum emergens* begins from an intuition so simple it hardly feels like doctrine yet: if one person causes another a real loss, justice may require him to make it good. The intuition is older than scholastic theology. It belongs to the legal world the scholastics inherited and transformed. Roman law had long possessed ways of thinking about damage, loss, obligation, and compensation; it did not yet speak the theological language of the extrinsic titles or frame the question as later Christian usury doctrine would. What it supplied was an indispensable legal grammar: when a person is made worse off by another's action or failure, the law may ask what stands between the injured man's rightful position and his damaged one.

That "standing between" is the world of *interesse*. In its older legal sense the word did not mean interest in the modern sense, a percentage return on a loan. It meant something closer to the difference an injury makes: the gap between what should have happened and what did happen, the amount required to repair damage done by injury, delay, non-performance, or deprivation. It was a measure of compensation before it was a financial term, and the distinction is crucial: translate *interesse* too quickly as "interest" and the whole history that follows comes out distorted, the medieval theologians appearing to permit interest by degrees under another name. Slippage of that kind did sometimes occur, historically. But in its stricter root, *interesse* is not return on capital. It is compensation for loss, restorative rather than productive, and it asks: what has been damaged, and what would make the injured party whole?

This is the Roman-law root from which *damnum emergens* grows. The Latin means "the loss arising" or "the damage emerging," an actual loss that has come into being. A lender who invokes it is not claiming a gain he might have made, nor that money naturally deserves increase, nor a payment for time. He is saying that because of this transaction, or this breach, or this delay, he has suffered a real detriment, and that the detriment may be compensable.

Everything turns on the moral difference between compensation and profit. Compensation aims to restore the injured person to equality; profit aims to leave the recipient better off. Profit may be perfectly legitimate in the right kind of contract, in sale, labor, partnership, or risk-bearing investment. In the *mutuum* it is precisely the problem. If the lender receives more merely because he lent, the surplus is usury. If he receives more because he suffered an actual loss caused by the borrower, the surplus may be restitution. The language of *interesse* let theologians and canonists say both things at once: the lender may not charge for the use of money, and he need not be left damaged by another's wrongful action. Gratuitous lending does not mean absorbing every loss; the prohibition on usury does not require injustice in the opposite direction.

The simplest example is delayed repayment. A lender expects the principal back on

a certain date; if the borrower pays on time, the *mutuum* has been fulfilled and nothing more is owed. But suppose the borrower wrongfully delays, and the delay does damage. Perhaps the lender had an obligation of his own falling due the same week, and because repayment never came he had to borrow elsewhere and pay for the privilege. Or he missed a necessary payment and lost goods, collateral, or a contractual right. Or the money went to collection: legal process, messengers, notaries, all the administrative machinery of recovering what was already his. In such cases the additional payment is not naturally a price of the loan but restoration for damage caused by non-payment; the lender is not charging for the time the borrower used the money.

This is why *damnum emergens* is morally cleaner than *lucrum cessans*. The former concerns something that has actually been lost, which can be identified, documented, and proportioned. The latter concerns something that might have been gained but was not, which reaches into the future, invites speculation, and slides easily toward ordinary opportunity cost. The Roman-law root of *interesse* belongs far more securely to actual damage than to hypothetical gain.

Not that every claimed loss is valid. A lender can exaggerate damage, invent it, or blame the borrower for a harm that had another cause; he can count the same burden twice, or pre-price “loss” into every contract until compensation becomes yield. Even the cleanest title can be abused. But the underlying moral structure of *damnum emergens* remains comparatively clear: the payment is justified only insofar as it corresponds to a real loss that has actually arisen.

The Roman-law background also explains why the title is no exception that abolishes the usury prohibition and no permission to charge interest: it is an application of restitution. The lender receives more than principal not because the *mutuum* yields more than principal, but because a separate injury has disturbed justice. The loan itself remains gratuitous. The damage does not. If the borrower repays on time and causes no loss, there is no claim under *damnum emergens*. The lender may not say “I suffered loss because I lacked the money during the term of the loan” unless that lack produced a concrete and compensable injury. Mere absence of money is not enough, nor mere inconvenience, nor the mere possibility of some other use. The loss must emerge.

The word “emerging” is doing real work. *Damnum emergens* is not an abstract condition of lending, presumed automatically wherever money is lent. It arises from circumstances, through some real event: a delay, a damage, a cost, a deprivation, an interruption, an injury. It must be traced, explained, connected to the borrower’s act or to the structure of the transaction, and measured. This gives the title a natural affinity with accounting. Vague opportunity cost is content with plausibility; actual loss asks for evidence. What was paid, and what was damaged? What cost was incurred, what expense became necessary, what obligation was missed? What amount would restore the prior equality? The title demands documentation because its whole moral force depends upon reality.

For modern non-extractive finance this is enormously important. Many legitimate charges can be understood as forms of *damnum emergens*: documented collection costs, legal fees caused by breach, administrative work triggered by default, specific liquidity harm, actual expenses caused by late payment. And the same category corrupts the moment every inconvenience is converted into a fee, every fee into revenue, and every revenue stream into expected return. The Roman-law root leaves modern finance a disciplined question: is this payment compensation for an actual loss, or a return disguised as compensation? A non-extractive institution should be able to answer that question with records: the loss, the cause, the amount, the proportionality. It should be able to distinguish reimbursement from profit, to keep actual damages out of any generic target return, and never to run *damnum emergens* as a revenue model.

The older legal language of *interesse* holds one more reminder: restoration is different from extraction. Restoration looks backward, to repair a disturbance of justice, and asks what was lost; its limit is the injury. Extraction looks forward, to secure capital's growth, and asks what can be obtained; its limits are only power, contract, and market tolerance. The title of *damnum emergens* became important in the Christian tradition precisely because it let the theologians protect the lender from real injustice without surrendering the borrower to usury. Lending would generate no profit from itself; wrongful conduct would still generate compensable damage; and two truths usually kept apart were held together: creditors can be harmed, and debtors can be exploited.

The Roman-law root therefore does not weaken the usury doctrine; it clarifies what the doctrine was against. Not compensation, which belongs to justice, but gain from the *mutuum* as such, which belongs to the danger the doctrine was built to resist. The difference is the difference between being made whole and being made richer, and the title of actual loss permits only the first. Rome supplied the grammar; what the Church built with it is the next part of the story.

14.2 Canon-law incorporation

The Roman-law language of *interesse* gave medieval jurists a way to think about compensation for loss. Canon law then carried that language into another climate entirely, the moral and spiritual world of usury, and the move was not a simple borrowing. Roman law supplied categories of obligation, damage, and compensation; canon law asked whether those categories could be reconciled with Scripture, with charity, with the prohibition of usury, and with the pastoral care of souls. The question was no longer merely "can a person be compensated for loss?" It was "can a lender receive more than principal without violating the moral form of the *mutuum*?" This is where *damnum emergens* becomes an extrinsic title.

The canon-law tradition did not begin by trying to make lending profitable. It began from the inherited conviction that usury was forbidden: lending to need could not become a means of gain, and the lender, entitled to receive back the principal, the *tantundem*, could not sell the use of consumable money. But real cases forced further analysis. What if the lender suffered damage because of the borrower's delay? What if the creditor incurred costs, or the borrower's non-performance left the lender genuinely worse off? Was the lender required to absorb that loss merely because the underlying contract was a *mutuum*? Canon law answered: not necessarily.

The key move was to distinguish gain from restoration. If the creditor receives more than principal because he lent money, that is usury; if because he has suffered an actual loss caused by the borrower, that may be compensation, attached not to the loan but to an injury external to it, restoring a damaged equality rather than creating profit from the *mutuum*.

This is also why *damnum emergens* was accepted earlier and more easily than *lucrum cessans*. Actual damage sits close to the ordinary logic of justice, which everyone already accepted in other departments of life. A man who breaks his neighbor's property should repair it; a man who wrongfully withholds what is owed and thereby causes loss should make restitution; a man whose failure to perform saddles another with costs may be answerable for them. None of these claims depends on the idea that money naturally produces money, only on the idea that injury should be repaired. Foregone profit was the more dangerous claim because it reached toward what the lender did not yet possess. "I would have made money elsewhere" is speculative, and it generalizes with alarming ease into the argument that every loan has an opportunity cost and every lender therefore de-

serves a return. Actual loss is different: it can be identified, narrated, and measured. It has already emerged.

Canon law therefore incorporated loss compensation into usury analysis as an external ground. The lender could not charge for the loan, but he could be restored for damage connected to the borrower's wrongful action. The prohibition was preserved and an injustice against the creditor prevented: the borrower was protected from extraction but not freed from responsibility, and the lender was denied profit from lending but not forced to suffer uncompensated harm. The balance matters, because a simplistic reading of the usury doctrine makes the tradition sound as though it required lenders to absorb every loss. It did not. The doctrine was never an anti-credit absolutism; it was a discipline of moral causation, and it asked why the payment was owed. Owed because of the loan itself, the payment was illicit; owed because of a real external loss, it could be just.

Incorporation also required attention to proof. A claimed loss cannot be assumed merely because a lender says he was inconvenienced. The damage must be real, caused by the borrower or the relevant transaction, proportionate, and not a pretext for gain. Without that discipline, *damnum emergens* would be indistinguishable from usury.

Here, in miniature, is the recurring pattern of the extrinsic titles. A real moral claim exists, so the title cannot be dismissed; the same claim can be simulated, exaggerated, or universalized, so it cannot be trusted automatically. Canon law's task was to preserve the one while guarding against the other, and in this case both are easy to picture. The valid claim: a lender advances money without charging interest, the borrower agrees to repay on a certain date, and the lender has obligations of his own. If the borrower wrongfully fails to repay, the lender may be forced to borrow elsewhere, pay notarial costs, miss a payment, incur collection expenses, or suffer some other specific economic loss, and compensation for any of these is a remedy for harm, not a return on the loan. The abuse: a lender defines "loss" so broadly that every loan becomes compensable. He says that not having the money is itself a loss; he builds assumed damages into the contract from the beginning, treats administrative inconvenience as an opportunity for margin, double-counts the same injury through fees and penalties and reimbursements, and so transforms restoration into revenue.

The decisive question was therefore whether the loss was truly external to the *mutuum*. A loss is not extrinsic simply because the lender names it as such; it must be a burden that arises beyond the loan's ordinary structure. The mere fact that the borrower had the money during the loan term is not a loss: the lender made the *mutuum* voluntarily, and the borrower's use of it is no injury to him. What may be compensable is something more: wrongful delay, breach, cost, damage, some other real detriment. The distinction protects the gratuity of the *mutuum*. A lender who says "I lost the use of my money, therefore compensate me," meaning only that he lent it, is monetizing lending itself; grant that claim and the loan as such becomes a compensable injury, which destroys the doctrine. A lender who says "your failure to repay as owed caused me this specific loss" is repairing harm, and that claim the tradition could accept.

The incorporation rests, in fact, on a precise moral sequence. First, the *mutuum* itself gives rise only to repayment of equivalent principal. Second, the borrower may commit a further wrong, by delaying, withholding, damaging, or causing costs. Third, that further wrong may create an external loss. Fourth, compensation for that loss may be owed. Fifth, the compensation must be limited to restoration and must not become gain from the loan. The sequence is what keeps the title from being pulled back inside the *mutuum*: the lender cannot pre-assume the loss as the normal condition of lending; he must identify the external burden, and the title must remain extrinsic.

All of this made *damnum emergens* the foundational title. It threatened the doctrine less

than *lucrum cessans* or *periculum sortis* would, because it stayed closest to restitution. The creditor is paid not because money is fertile but because damage was done. The payment looks backward toward repair, not forward toward expected return, and its natural limit is the amount of the loss.

Even this comparatively safe title required vigilance. The more commercial life developed, the more forms of damage a lender could claim: liquidity harm, missed obligations, collection costs, legal costs, business disruption, loss from delayed repayment, the need to borrow elsewhere. Some of these claims were real. Others could be inflated, the boundary between actual loss and foregone gain could turn porous, and what began as *damnum emergens* could drift toward *lucrum cessans*. Canon law's deeper contribution was therefore not only to permit compensation but to insist that compensation remain what it claims to be: a payment corresponding to the injury, measured by the damage and not by the creditor's appetite, restoring equality rather than creating superiority, tied to proof, causality, and proportion.

For modern non-extractive finance the instruction is direct. A fund or lender may legitimately recover actual losses caused by borrower breach: documented legal fees, direct administrative costs, bank charges, recovery expenses, specific liquidity damage. But these must remain reimbursements. They must not become standard margins, hidden returns, or fee waterfalls, and the accounting must show what loss emerged, why it was caused, and how the amount corresponds to restoration. The point matters most in complex financing contracts, where several clauses can all claim to compensate the same problem. A borrower who pays a late fee, default interest, legal costs, monitoring fees, and restructuring charges may be compensating the lender five separate times for one delay. Canon-law reasoning resists that arithmetic. Restoration has a limit, and once the loss has been repaired, additional extraction cannot claim the name of justice.

What canon law drew from all these cases is one of the clearest principles in the whole history of the extrinsic titles: actual damage may be restored, but it may not be converted into an entitlement to profit. The principle keeps both sides of justice in one frame: no exploiting the borrower because he needs credit, no leaving the lender without remedy for real damage. The usury prohibition remains intact without becoming irrational: it forbids gain from lending, not restitution for injury. Canon law did not weaken the doctrine by admitting actual loss; it made the doctrine morally coherent, and produced in the process the cleanest working model of what an extrinsic title is supposed to do. *Damnum emergens* identifies a burden outside the loan, measures compensation by that burden, preserves the gratuitous character of the *mutuum*, and repairs equality without licensing extraction.

14.3 Hostiensis and the canon-law exception structure

Hostiensis did not invent *damnum emergens*, and the fact matters. The idea that a person may be compensated for real loss is not a late medieval trick, nor a clever loophole devised to escape the usury prohibition; it belongs to the older legal and moral logic of restitution. What Hostiensis did, as one of the great systematizers of the canon-law world, was give the principle a home. He located it within the broader canon-law structure of exceptions, titles, and anti-fraud distinctions, and so helped show when a payment above principal is received because the creditor is being restored, not enriched.

The central challenge was the one this book keeps returning to: more than principal may sometimes be received, but never because of the *mutuum* itself. The *mutuum* is still a loan for consumption: ownership passes to the borrower, who owes the equivalent principal, and a lender who demands more because he lent demands usury. A lender who

has suffered real damage through the borrower's delay, breach, or wrongful conduct may have a different kind of claim, external to the loan: not a price of money but compensation for injury.

The exception structure existed to keep such cases in order, and there were many, because more-than-principal came before the canonists in a remarkable variety of costumes. A penalty not in fraud might be allowed. A true gift, freely given, might be received. A partner might share in profits, a creditor be compensated for loss, expenses be reimbursed, labor be paid. These cases had to be remembered and classified, because confessors, judges, merchants, lenders, and borrowers all needed guidance. But classification created its own danger. Once a category was known, it could be imitated; once the exceptions were listed, they could be invoked strategically. A lender could call interest a penalty. He could call an expected payment a gift, call ordinary return compensation, call a fixed loan a partnership. The exception structure was necessary, and it had to be guarded by moral substance.

This is why Hostiensis's anti-fraud logic is so important. The title must be real; the external ground must actually exist; a payment above principal is licit only if it corresponds to the thing it claims to compensate. If the title is named but not present, the contract remains usurious. For *damnum emergens* this means that actual loss must actually arise. The creditor cannot simply assert loss because he is without his money during the term of the loan (a claim that would make every loan compensable and end the prohibition altogether), nor claim compensation for a vague inconvenience that has produced no identifiable harm. The loss must be concrete enough to be distinguished from the ordinary fact of lending.

That is the canon-law meaning of an external title. The lender's claim does not come from the essence of the loan. It comes from something that happens around or beyond the loan: delay, breach, expense, damage, deprivation, legal cost, some other real detriment. The *mutuum* itself does not generate surplus. The external injury does.

Hostiensis helped stabilize this way of reasoning by treating the usury question through juridical distinctions. What is the contract? What is the obligation? What is the cause of the payment? Is the surplus attached to the loan or to another title, and is that title honest or in fraud of the prohibition? This legal-theological discipline became one of the great strengths of the canon-law tradition, because it refuses two tempting shortcuts at once. Crude literalism says that more than principal has been received and therefore the payment is always usury, which ignores real injuries, costs, and compensable damages. Permissive formalism says that the payment has been called damages and therefore is not usury, which ignores fraud, fiction, and disguised gain. The canon-law structure takes the harder middle path: more than principal may be received only when the moral reason for the surplus is real and external to the *mutuum*.

Damnum emergens matters here because it gives that structure its cleanest example, and you can hear the difference in the creditor's own grammar. He is not saying "my money should have grown" but "I have been damaged"; not "time has passed" but "this specific loss has arisen"; not "the borrower used my money" but "the borrower's failure, or the circumstances of this transaction, caused me this harm." The logic is restorative throughout.

The systematizer's role was practical as much as intellectual. The medieval world increasingly needed categories that could guide repeated cases. A confessor could not reinvent the doctrine every time a penitent described a loan; a judge could not treat every contract as morally unprecedented; a merchant needed to know whether an arrangement was permissible before he signed it. The categories made moral judgment teachable. They also had to be used with fear and trembling, because Hostiensis's world understood that law can be manipulated by the very intelligence that makes it useful. A sophisticated debtor

might evade his obligations; a sophisticated creditor might evade the usury law. Technical language could protect justice, and it could conceal injustice. The canonist's task was to read through the form to the substance.

For *damnum emergens*, reading through form to substance meant asking several questions. What was lost? When did the loss arise? Who caused it: the borrower's delay or breach, or circumstances with no connection to him? Is the amount claimed proportionate to the loss? Has the same loss already been compensated by another clause? Was the loss anticipated honestly, or manufactured as a way to charge more? The questions show that the title is not a blank check but a disciplined claim. Actual loss is morally compelling, which is the title's strength, and the strength is exactly what makes it tempting to abuse: a lender who wants to charge interest soon discovers that "damages" sounds more respectable than "yield." Against that discovery the canon-law structure holds a single line. The damage must be real.

The title also stands in a precise relation to its predecessor, *poena conventionalis*. Penalty and actual loss are closely related but not identical. A penalty may be agreed in advance as a consequence of breach or delay; actual loss concerns the damage that has in fact arisen. A penalty can approximate loss, and it can also exceed it, and once it grows disproportionate to any actual damage it begins to lose its compensatory character. *Damnum emergens* can therefore discipline *poena conventionalis*, by asking whether the penalty corresponds to real harm. The reverse collapse is not allowed. Actual loss must not be folded into penalty, because a creditor may suffer real loss without any penalty clause at all; the moral claim arises from the injury, not from the stipulation. A written clause may help identify consequences in advance, but it does not create the moral fact. The loss itself does.

This is one reason Hostiensis and the canon-law tradition proved so valuable to later moral theology: they teach the difference between contract form, legal title, and moral title. The contract may contain a clause; the law may recognize a claim; the moral title depends on whether justice truly supports the payment. A creditor may hold a civil right that exceeds what conscience allows, and, just as truly, may hold a moral claim for actual damage even where the original loan was entirely gratuitous.

The structure also corrects a common modern misunderstanding: that the extrinsic titles were merely the excuses by which Christian thinkers gradually abandoned their own doctrine. They were also guardrails. They required lenders to name the moral basis of any surplus, and they kept "interest" from functioning as a vague and universal category. They asked whether the payment was penalty, damage, labor, expense, risk, partnership, gift, or something else, and then they asked whether the named title was real. That double question, what title is invoked and does it truly exist, has lost none of its usefulness.

For modern non-extractive finance, Hostiensis's systematizing suggests the same explicit classification. Every payment above principal should be named. Is it reimbursement for documented expense? Compensation for actual loss? A proportionate penalty for culpable delay? A fee for real labor? A return for genuine risk-bearing? A share in partnership surplus? Or simply return on capital under another name? And once named, the payment must be tested, because naming is not enough; without categories the tradition becomes crude, and with categories but without truth it becomes corrupt. A reimbursement must correspond to expense, and a damage payment to loss; a penalty must not be in fraud; a risk premium must correspond to actual downside; a partnership return must involve real sharing of profit and loss. The legal or accounting label does not create the moral reality.

Damnum emergens survives as a legitimate title because it is anchored in restoration, and Hostiensis's wider structure of disciplined exceptions is what held the anchor. It admitted real compensation without surrendering to usury; it organized exceptions without turning

them into loopholes; it allowed more than principal only when the reason was genuinely external to the loan. Actual loss may be restored, and the title must never become a mask, which is what the anti-fraud rule exists to prevent. Later authors would name, refine, and sometimes stretch the titles, but the structure they stretched was this one, and its rule was already in view: surplus is licit only if it rests on something outside the *mutuum*. What remained was for a theologian to state the principle in its classic form, that compensation may be made for loss incurred but not for profit not yet possessed. The theologian was Thomas Aquinas, and the next chapter belongs to him.

Aquinas and the Classic Formula

15.1 ST II-II, q.78, a.2, ad 1

The classic formula for *damnum emergens* appears in Aquinas's treatment of usury, in *Summa Theologiae* II-II, q.78, a.2, ad 1. The question in article 2 is whether a lender may ask for some other kind of consideration in return for money lent. Aquinas has already argued in article 1 that taking usury for a *mutuum* is unjust because it sells what does not exist as a separate thing: money, like wine or wheat, is consumed in its use, so charging for the money and for the use of the money is selling the same thing twice. The lender may receive back the principal. He may not demand a surplus from the loan itself.

But article 2 forces the harder question. What if the lender does not ask for "interest" in the crude sense but for something else: a gift, a service, a benefit, some compensation? Usury rarely remains crude once a moral prohibition exists. It hides. It seeks another vocabulary and attaches itself to side payments, penalties, favors, and supposed damages. Aquinas therefore has to ask whether anything beyond principal may be received at all, and if so, why.

In the first reply he gives the decisive distinction. The lender may make an agreement for compensation for a loss he incurs, because this is not to sell the use of money, but to avoid loss. He may not make an agreement for compensation for a profit he does not yet have, because he must not sell what he does not possess, and because the profit might be prevented in many ways. Here is the root of the later distinction between *damnum emergens* and *lucrum cessans*: compensation for loss incurred is allowed, and compensation for profit not yet made is rejected.

The force of the distinction depends on Aquinas's broader account of justice. Commutative justice requires equality between persons in exchange, restitution, and voluntary transactions. If one party has taken, damaged, or withheld what belongs to another, equality has been broken, and restitution restores it. Compensation for actual loss therefore belongs to the logic of repair. It does not create a gain from the loan; it repairs a loss caused around the loan.

This is why the formula matters so much: the lender may be restored, but not enriched. To be restored is to be brought back to the position one should have occupied. To be enriched is to receive an additional advantage. In the *mutuum* the lender has no intrinsic right to enrichment; he voluntarily transferred ownership of the money to the borrower and received in return a claim to equivalent principal. But if he suffers an additional loss because of the borrower's action, or because the transaction imposes a concrete burden beyond the loan itself, that loss may be compensated. The distinction protects both parties: the borrower from usury, by denying the lender any right to profit from the loan itself; the lender from injustice, by recognizing that the borrower may not impose real damage without repair. The borrower is not a revenue stream, but neither is the lender required to become the victim of uncompensated harm.

The phrase “not to sell the use of money, but to avoid a loss” is therefore the purest expression of *damnum emergens*. It states the whole title in miniature. The payment is legitimate only if it avoids or repairs loss; it is illegitimate if it sells the use of money. The same amount of money can be licit or illicit depending on what it corresponds to. The moral object of the payment matters.

This is also why Aquinas cannot be assimilated to modern interest theory. Modern finance often treats the lender’s deprivation of money as itself a compensable fact: time has a price, capital has a cost, opportunity has a value. Aquinas does not reason this way. He does not say the lender may charge because he is without his money; he says the lender may be compensated because he incurs a loss. The difference is not trivial. To lack money after voluntarily making a loan is simply what it means to lend. If that absence itself generated a claim to payment, every loan would become interest-bearing and the usury prohibition would collapse. But if a specific loss arises because of the transaction or the borrower’s wrongful conduct, the compensation remains external to the loan, and the title is preserved.

The rejection of profit not yet made is equally important. Aquinas does not allow the lender to say, “I could have profited with this money elsewhere, therefore you must compensate me.” The reason is metaphysical as well as moral: the profit does not yet exist, is not possessed, and might never have been obtained. To sell it is to sell what one does not have. This is the Thomistic obstacle to *lucrum cessans* as a general loan title. Later authors will work hard to reopen the question, asking whether a merchant whose capital is already ordered toward trade holds something more determinate than a mere possibility, and whether a foregone gain can come close enough to actual loss to be compensable; they will draw on Aquinas’s own treatments of restitution and of special value to the owner. But the direct statement in q.78, a.2, ad 1 remains cautious: actual loss may be compensated; expected profit may not simply be sold.

This makes *damnum emergens* the clean title and *lucrum cessans* the dangerous one. Actual loss is bounded by reality. It can be investigated; it has a cause, an amount, and a history. Foregone profit reaches into possibility. It requires assumptions about what would have happened, it can be honest or it can become fiction, and it can be concrete in one case and universalized into abstract opportunity cost in the next. Aquinas’s instinct is to guard the doctrine by refusing to let possible gain become an object of sale.

In practical terms, the rule means that a lender may recover costs or losses truly caused by the borrower. If delayed repayment forces the lender to incur expenses, compensation may be possible. If the borrower’s failure to repay causes the lender to lose something already due or possessed, restitution may be owed. If wrongful non-payment saddles the lender with legal or administrative costs, those costs may fall under the logic of actual loss. What the lender may not do is add a charge because the money could have been used elsewhere, pre-price ordinary lending as though every loan necessarily damaged him, treat the borrower’s use of money as an injury, or convert “I might have earned” into “you owe me.”

That last conversion is a profound challenge to modern financial consciousness, which treats foregone return as the most obvious cost of all and builds the opportunity cost of capital into discount rates, hurdle rates, and portfolio allocation. Aquinas’s formula does not deny that people make prudential comparisons among uses of money; it refuses to turn every imagined alternative return into a moral claim against the borrower. The moral discipline is short enough to memorize: the lender may be compensated for what he has lost, not automatically for what he might have gained.

For non-extractive finance that discipline is essential. A fund may need to recover actual losses, to be reimbursed for real costs, to document damages when a borrower

breaches an obligation. It must not confuse these claims with a target return. A target IRR is not *damnum emergens*. A missed investment opportunity is not automatically a compensable loss, and a general market benchmark is not actual damage caused by the borrower. Here Aquinas's rule becomes a tool of moral accounting. Every payment above principal should be classified. Is it actual loss? Is it documented? Was it caused by the borrower? Is it proportionate? Or is it a desired return recovered under the language of damages?

Three further requirements keep the classification honest. Causality: the loss must be connected to the borrower's action or to the external burden created by the transaction. A lender cannot charge the borrower for every misfortune that occurs while the money is absent, nor attribute to him losses caused by the lender's own imprudence, unrelated business decisions, or market changes. *Damnum emergens* requires not only loss but caused loss. Proportionality: if the loss is 100, the compensation cannot be 500 under the pretense of restoration. Restitution is measured by the injury, and once the lender receives more than the loss, the surplus begins to detach from its title. Non-duplication: if the lender has already been compensated for a loss through a penalty, fee, insurance payment, or collateral adjustment, he may not claim the same loss again as *damnum emergens*. Justice restores equality; it does not multiply claims.

Aquinas's classic formula therefore draws four boundaries. First, the payment must compensate loss, not sell the use of money. Second, the loss must be incurred, not merely imagined. Third, the lender may be restored, not enriched. Fourth, expected profit is not the same as actual loss.

These boundaries explain why *damnum emergens* became the safest of the extrinsic titles. It sits closest to restitution. It does not require treating money as naturally fruitful, or monetizing time, or valuing speculative alternatives; it says only that where a real loss has arisen, justice may repair it. The clarity should not make anyone careless, though, because the word "loss" is easy to stretch. A lender can call inconvenience loss. He can call foregone yield loss, the ordinary absence of money loss, business disappointment loss. Aquinas's formula resists every one of these expansions, and the heart of *damnum emergens* lies exactly here: the lender may be made whole, but the loan may not be made fruitful. The loss must be real enough that compensating it avoids damage rather than producing gain.

15.2 The boundary against *lucrum cessans*

Aquinas's acceptance of *damnum emergens* is inseparable from his resistance to *lucrum cessans*, and the boundary between them is one of the most important in the entire history of the extrinsic titles. It marks the difference between compensation for an actual loss and compensation for a profit not made, and it marks the point at which the usury doctrine begins to come under real pressure from commercial life. If a lender may be compensated for what he has lost, may he also be compensated for what he would have gained? If so, under what conditions? And if the conditions are drawn too broadly, does the prohibition on usury survive at all?

Aquinas's direct answer in *Summa Theologiae* II-II, q.78, a.2, ad 1 is cautious and restrictive. A lender may contract for compensation for a loss he incurs, because this is not to sell the use of money, but to avoid a loss. He may not contract for compensation for the profit he might have made, because he must not sell what he does not yet possess, and because that profit could be prevented in many ways. Actual loss may be repaired; expected gain may not be sold.

This is not merely a technical distinction; it flows from Aquinas's metaphysics of justice,

property, and exchange. A thing that has actually been lost can be the object of restitution. If I deprive you of something you had, damage something you possessed, or cause you to incur a cost, justice can identify what was disturbed and seek to restore it. A future profit is different. It is not yet possessed. It may or may not come to be, since it depends on market conditions, weather, timing, and human decisions. To demand compensation for it in advance is to claim a right over something that does not yet exist: in Aquinas's phrase, to sell what one does not have.

Put the exchange plainly. The lender says: "If I had not lent you this money, I might have used it profitably elsewhere." Aquinas replies: "But you do not yet possess that profit." The difference between loss and non-gain is morally decisive. A loss has emerged and can be measured by the damage; a possible gain has not emerged and can be inflated by desire. The one belongs to restitution; the other can slide into speculation.

None of this makes Aquinas blind to economic reality. He knows that people use money in trade, that merchants buy and sell, that goods can hold different value for different owners, that a person can suffer harm by being deprived of something useful. But in the specific context of the *mutuum* he refuses to let hypothetical profit become a contractual claim, and the reason is not hard to see. If foregone profit were generally compensable, the prohibition would turn fragile. Every lender can say that money could have been used elsewhere; every sum has a possible alternative deployment; every loan prevents some other use. Every loan, therefore, could justify a payment above principal, and at that point *lucrum cessans* would no longer name an exceptional external title. It would be ordinary interest. Aquinas draws the line where he does to protect the whole structure of the doctrine. *Damnum emergens* is bounded by actual injury. *Lucrum cessans* threatens to become unbounded, because possible profit can always be imagined.

The danger is especially clear in the modern concept of opportunity cost. As a planning tool it is useful: it helps investors compare alternatives, helps managers allocate resources, and explains why capital is never neutral in a portfolio. But when opportunity cost becomes a moral title against the borrower, it comes dangerously close to universalized *lucrum cessans*. Aquinas's resistance asks us to slow down. A possible alternative use is not automatically a compensable loss. A benchmark return is not automatically damage. A desired yield is not something the lender already possesses, and a missed possibility is not the same as an incurred loss. The borrower does not owe the lender every future the lender can imagine.

The boundary also protects the poor. A wealthy lender can always imagine profitable alternatives, and if every imagined alternative became a claim, the borrower's need would become the occasion for capital to demand its full imagined future. The poor borrower, who needs food, seed, rent, medicine, or survival, would then be asked not only to repay what was lent but to compensate the lender for the wealth the lender might have accumulated elsewhere. That turns inequality into entitlement. Aquinas's refusal prevents it. The lender may be restored for real loss; he may not make the borrower responsible for every unrealized possibility.

The boundary clarifies, too, the difference between lending and partnership. A person who wants to share in commercial profit has another route, and Aquinas names it. In *Summa Theologiae* II-II, q.78, a.2, ad 5, he distinguishes the *mutuum* from money entrusted to a merchant by way of partnership. In partnership, capital remains exposed to risk, and the provider of capital may share in profit because he also shares in loss. That is not *lucrum cessans* but participation in a common venture. A lender who wants guaranteed principal plus compensation for foregone profit wants the security of debt and the upside of investment at the same time, and Aquinas resists the combination. Profit-sharing belongs where risk-sharing is real. In the *mutuum*, where the borrower owes equivalent

principal, the lender may not add a claim for profit simply because the money might have been productive elsewhere.

The modern equivalent is obvious. A lender who requires repayment regardless of outcome, takes collateral, demands guarantees, and holds senior rights, but who also claims a return because his capital could have earned elsewhere, is not sharing risk; he is asserting capital's opportunity cost while shifting the downside to the borrower. In scholastic terms, the claimed *lucrum cessans* risks becoming disguised usury.

This does not settle every later case. Suppose a merchant has already arranged a profitable transaction and lends the money only at another's urgent request, so that the alternative gain is not vague but determinate, and the borrower's request directly interrupts an intended, licit, and reasonably certain use. Is that still merely imaginary, or has the lender suffered a real economic detriment? Questions of this kind will lead later authors, especially from the fifteenth century onward, to reopen the title, and they will draw on other parts of Aquinas to do it. His own treatment of restitution in q.62 allows partial compensation when someone prevents another from obtaining a future good. His treatment of just price in q.77 recognizes that a thing may be worth more to its owner because of special circumstances. Later Thomists will use these texts to argue that foregone gain can sometimes be compensable when sufficiently concrete. But the direct boundary in q.78 remains. Aquinas does not allow the lender to contract for profit not yet possessed simply because he lends money, and the later developments must be read as qualifications, extensions, and tensions within the Thomistic framework, not as the obvious meaning of his usury article. For Aquinas, *damnum emergens* is compensation for a reality; *lucrum cessans* risks becoming compensation for a possibility; and possibility, in his moral world, must be treated with suspicion.

The suspicion is not anti-commercial sentiment but moral discipline. The ability to calculate a hypothetical return does not create a moral right to receive it, and the fact that capital could have been elsewhere does not automatically impose a burden on the borrower here. The boundary protects, finally, the meaning of gratuitousness. A *mutuum* need not be emotionally generous in every case; it may be a legal loan, made between merchants, required by circumstance. But its form remains: principal is transferred, ownership passes, equivalent principal is owed. If the lender can add whatever he might have made elsewhere, the *mutuum* is no longer gratuitous in any meaningful sense. It has become a vehicle for guaranteed return. Aquinas's formula therefore asks the lender to accept the moral consequences of the contract he has chosen. If he lends by *mutuum*, he may claim repayment of equivalent principal. If he suffers actual loss, he may be restored. If he wants to share in profit, he should enter a partnership and share risk. What he may not do is make a loan while selling an unrealized profit as though it were already his.

This is a standing challenge to modern capital structures that seek downside protection and upside compensation at once. Many instruments are designed precisely to secure principal while preserving claims on future value: preferred returns, liquidation preferences, redemption rights, debt-like convertibles, guaranteed yields, cumulative dividends, default premiums, and various forms of priority repayment. Each must be examined carefully. Is the capital provider truly sharing risk? Is the payment compensation for actual loss? Or is the borrower being asked to guarantee the lender's imagined alternative future? The boundary against *lucrum cessans* does not forbid all modern investment return; it forbids a particular moral confusion, treating unrealized, uncertain, unpossessed gain as though it were a debt owed by the borrower under a *mutuum*. It directs profit-seeking toward forms that carry risk and participation, directs compensation toward actual loss, and denies that every opportunity cost is morally chargeable.

For non-extractive finance the boundary is indispensable. A fund may have a cost struc-

ture. It may have real losses, make risk-bearing investments, enter partnerships. What it should be extremely cautious about saying is, "Because this capital could have earned a market return elsewhere, the enterprise owes us that return here." That sentence is precisely the generalization of *lucrum cessans* that Aquinas's direct text resists. The non-extractive question has to be narrower and more concrete. Was there a specific alternative use? Was it licit, and actually intended? Was it reasonably certain, or merely possible? Did this loan or investment truly cause it to be lost? Is the claim proportionate? Is the capital provider also bearing risk? Has the claim been converted into a guaranteed yield? Only under such discipline can the later title avoid becoming ordinary interest. The lender may be made whole for loss, he may not demand that the borrower purchase his imagined profit, and behind both clauses stands Aquinas's warning: do not sell what you do not yet have.

15.3 *Damnum emergens* and commutative justice

Damnum emergens belongs naturally to commutative justice, and that is why it is the cleanest of the extrinsic titles. It does not begin with the fertility of money, the productivity of capital, the opportunity cost of alternative investments, or the risk premium demanded by a lender; it begins with a broken equality between persons. Someone has been harmed; something has been lost; a burden has arisen. The question is whether justice requires repair.

For Aquinas, commutative justice governs exchanges between persons: buying and selling, lending and borrowing, depositing and returning, hiring and paying, injuring and restoring. Its characteristic form is equality. If one person has too much because another has too little, if one has taken what belongs to another, if one has damaged another's goods, justice requires that the equality be restored. Distributive justice, by contrast, concerns the proportional allocation of common goods within a community: how honors, burdens, offices, and resources should be distributed according to proportion. Commutative justice asks a more direct question. Has this person wrongfully taken from or damaged that person, and what must be restored?

Usury is a problem of commutative justice because the lender receives more than is due from the *mutuum*. The borrower owes equivalent principal; if the lender demands more from the loan itself, the equality of the exchange is broken. The lender sells what cannot be sold separately, the use of consumable money, and the borrower pays twice for the same thing. *Damnum emergens* works in the opposite direction. Here the lender is not the one who has received too much. The lender has suffered a loss: the borrower's delay, breach, or other wrongful act has imposed a burden that leaves him worse off than justice requires. Equality has been broken again, but this time by damage to the lender, and compensation restores the balance.

So *damnum emergens* is not a retreat from the usury prohibition but an application of the same principle. Usury is unjust because it gives the lender more than he is owed; compensation for actual loss may be just because it gives the injured lender no more than what is needed to repair the loss. The first creates inequality. The second restores it. The key word is restores. Aquinas's moral world is not indifferent to loss: one who causes damage owes restitution, one who wrongfully withholds another's property owes restitution, and one whose action imposes costs on another may owe compensation. The purpose in every case is repair, not enrichment. Restitution is ordered toward making whole.

The title therefore has a natural limit. The compensation may not exceed the loss. If the damage is 100, the compensatory claim cannot be 150 simply because the creditor would

like a margin; the amount must be governed by the injury. Once the injury has been repaired, further surplus no longer belongs to *damnum emergens*. It needs another title, and if no real title exists, it is extraction. This limit is crucial for moral accounting, because modern charges accumulate: late fees, administrative fees, legal costs, default rates, restructuring fees, monitoring fees, and collection costs, each justified by reference to some harm or burden. Commutative justice asks whether the total payment restores equality or overshoots it. If the lender is compensated several times for the same damage, the structure becomes unjust: restitution has become gain.

The same precision governs causality. A lender may suffer market losses, business losses, opportunity losses, or liquidity problems for many reasons, and not every one of them can be charged to the borrower. *Damnum emergens* requires that the loss be caused by the borrower's act, by the borrower's delay, or by the specific external burden associated with the transaction. Without causality, the borrower becomes a convenient source of recovery for losses he did not cause. Commutative justice does not merely ask whether someone is worse off; it asks who caused the inequality, what was damaged, and what restoration is due between these persons. The borrower is not responsible for every misfortune that befalls the lender, only for the losses justice can connect to his own failure or obligation.

This is one reason *damnum emergens* differs so sharply from abstract opportunity cost. Opportunity cost can be generalized infinitely: the lender might have invested elsewhere, might have earned a return, might have avoided some future inconvenience. Commutative justice requires more than imagined alternatives. It requires a determinate disturbance of equality, a loss that can be morally attributed. Later authors will wrestle with cases where a lender's foregone profit seems concrete enough to resemble loss, but Aquinas's cleanest logic remains backward-looking and restorative: what loss has arisen, and what amount repairs it? That backward-looking character is one of the title's safeguards, because it resists the tendency to turn finance into a claim on the future. The lender does not say, "I should have grown wealthier." He says, "I was made worse off." A claim to be made whole is limited; a claim to have grown wealthier can expand without limit.

The title also preserves the difference between justice and greed. It does not shame the lender for wanting not to be harmed; that desire is legitimate. It does not allow him to use harm as a pretext for gain; he may recover what was lost, and he may not turn the borrower's fault into an opportunity to improve his position beyond restoration. And the principle disciplines the borrower in turn. The prohibition on usury does not license negligence, dishonesty, or wrongful delay. A borrower who causes loss must repair it; a borrower who retains what is owed may be responsible for the consequences. The debtor is protected from extraction, not exempt from justice. Aquinas's balance here is worth noticing. He is not pro-creditor in the modern sense, for he denies the creditor any right to profit from the *mutuum*; neither is he indifferent to the creditor's injury, for he does not imagine justice as a one-sided protection of the borrower regardless of conduct. Commutative justice binds both parties: the creditor must not take more than is due, and the debtor must not cause loss without restitution.

The moral architecture can be stated in three movements. First, the *mutuum* establishes equality through the obligation to return equivalent principal. Second, usury violates that equality by adding a surplus from the loan itself. Third, *damnum emergens* restores equality when a real loss external to the loan has broken it. That is why the title is called "extrinsic." The loss does not arise from the essence of the *mutuum* as a loan for consumption; it arises from some additional circumstance, such as wrongful delay, damage, cost, or legal burden. The payment is due not because money was lent but because justice was disturbed.

The distinction becomes extremely important in institutional settings. A lender or fund

has real operating costs. It incurs actual losses when borrowers delay; it pays lawyers, accountants, auditors, administrators, and collection agents; it may suffer liquidity harm if repayment fails. Some of these burdens may be compensable under the logic of actual loss, but the institution must keep them tied to reality. It must not average, inflate, or pre-price them into every transaction as yield. A non-extractive institution should therefore practice restorative accounting. Each compensatory charge should be connected to a specific loss or cost; the amount should be documented; the borrower should be able to understand what is being reimbursed; and if a charge exceeds the cost, the excess should not hide under the same category. This is not merely administrative good practice but a moral discipline, because accounting determines whether compensation remains compensation. If the books treat damages as revenue, the institution's moral imagination begins to shift: what was supposed to restore equality becomes part of the business model, the lender begins to benefit from damage, and the title is corrupted from within.

Commutative justice also asks whether the compensation leaves the borrower in a dominated position. Even when a loss is real, the response must be proportionate and humane. If the borrower caused a small loss, the remedy should not create a much larger burden. If the borrower acted in good faith under hardship, the lender may still have a claim, but mercy and prudence may shape how it is enforced. Justice restores order; it does not delight in crushing the weaker party. Here the theological dimension exceeds narrow contract law. The creditor may have a claim, but the claim must be exercised as a neighbor, not merely as an owner. The borrower remains a person, not a revenue source, and the lender's right to compensation, though real, is never detached from charity, prudence, and the common good. At the same time, charity does not erase justice. A borrower who repeatedly harms others cannot simply appeal to mercy as a way of avoiding responsibility. Restorative justice names both sides: repair the harm, but do not exploit the harm; hold the borrower accountable, but do not use accountability as a mask for gain.

This balance is what makes *damnum emergens* such an important title for a renewed moral economy. It offers a way to distinguish cost recovery from extraction, repair from yield, accountability from domination. It permits finance to be practical without becoming predatory, and it allows institutions to survive without turning survival into profit from borrower weakness. Not every payment above principal is extraction, and every payment above principal must justify itself: actual loss can be repaired, fictive loss cannot; documented damage can ground compensation, desired yield cannot. Commutative justice does not ask whether capital has earned; it asks whether equality has been restored. In this the extrinsic titles show their deepest logic. They are not loopholes but instruments for preserving equality in a fallen economic world where real harms occur and real abuses hide, and they allow surplus only when surplus repairs something broken.

A charge is morally cleaner, then, when it can answer the questions of commutative justice. What equality was broken? What actual loss arose? Who caused it? What amount repairs it? Has it already been compensated elsewhere? Does the remedy restore order without creating domination? If these questions can be answered honestly, the charge may belong to *damnum emergens*. If they cannot, the charge should be treated with suspicion.

15.4 Aquinas on special owner value

Aquinas's treatment of just price gives later theologians one more principle, and it will matter for the history of *damnum emergens* and, more dangerously, for the later development of *lucrum cessans*: a thing may be worth more to its owner than its ordinary market price, because of the particular loss the owner suffers in parting with it. The idea appears

outside the usury article, in the treatment of buying and selling in *Summa Theologiae* II-II, q.77. There Aquinas asks whether one may sell a thing for more than it is worth. His answer is governed by equality in exchange; fraud, coercion, and taking advantage of another's ignorance violate justice. But he also recognizes that "worth" is not always a bare market abstraction. A thing may have a special value to the person who owns it, because of the circumstances in which he holds it, the need he has for it, or the loss he would suffer by giving it up.

This complicates the meaning of loss. Take a man who owns a horse. In the market the horse has one ordinary value. To this owner, at this moment, it may be worth more, because he needs it to travel, to work, to plow, to haul goods, or to fulfill an obligation. If another person asks him to sell it, he may suffer a particular loss by parting with it, and Aquinas allows that special burden to be taken into account. The owner is not exploiting the buyer by recognizing that the thing has a special value to him; he is acknowledging the real loss caused by giving it up. The principle applies more generally: when a person parts with something, justice may consider not only the generic value of the thing but the concrete damage or deprivation suffered by the owner. This does not abolish just price. It does not make price whatever the seller wants, and it does not license exploitation. It means that justice must attend to the owner's actual circumstances.

The principle matters for *damnum emergens* for exactly this reason. If a lender gives up money or goods and thereby suffers a real loss, the compensation may be measured not only by the bare principal but by the actual damage caused by parting with the thing, or by not receiving it back when due. The lender's claim is not, "Money deserves growth." The claim is, "Because I was deprived of this thing under these circumstances, I suffered this concrete loss." That is a *damnum emergens* logic.

But the principle is also dangerous, because it can become a bridge to *lucrum cessans*. If a thing may be worth more to its owner because of the use the owner intended to make of it, then one may begin to ask: what if the owner intended to use the money in trade? What if the money was not idle but already ordered toward a concrete commercial purpose? What if lending it prevented the owner from making a gain he would otherwise have made? Is that merely a profit not yet possessed, which Aquinas rejects in q.78? Or is it a special owner value, because the money was worth more to the lender in his particular circumstances? Here the tension within later Thomistic interpretation begins.

Aquinas's direct usury text is restrictive. In q.78, a.2, ad 1, he says that compensation may be made for loss incurred, but not for profit not made; the lender may not sell what he does not yet possess, and the expected profit might never have been obtained. This seems to block *lucrum cessans* as a general title. But his broader treatment of justice gives later authors tools for nuance. In q.77, he recognizes special value to the owner. In q.62, he recognizes that preventing someone from obtaining a future good can sometimes require partial compensation. These texts do not simply overturn q.78, but they complicate it. They suggest that not every future-oriented harm is pure fantasy, and that some future goods may be sufficiently connected to present circumstances that depriving a person of them creates real detriment. The history of the extrinsic titles develops in precisely this tension.

On the safe side, special owner value strengthens *damnum emergens*. It shows that actual loss must be evaluated concretely. If a person loses the use of something under circumstances where that loss causes real damage, justice may recognize the particular harm; compensation is not limited to abstract market categories, and it may consider the owner's situation. On the dangerous side, the same principle can be stretched. A lender may say, "This money was worth more to me because I could have used it profitably." If that claim is accepted too broadly, the boundary against *lucrum cessans* begins to erode: every lender can claim special owner value, every sum of money can be described as potentially produc-

tive, and every loan can be said to deprive the lender of some alternative gain. The result would be ordinary interest under the language of owner-specific loss. Aquinas himself does not make that move in the usury article; he refuses to allow the lender to contract for profit not yet possessed, and the refusal remains decisive. The later use of special owner value to justify foregone profit must therefore be disciplined by his own warning: do not sell what you do not have.

The key question becomes whether the owner's special value is concrete enough to count as actual loss, or whether it remains speculative expectation. If the lender merely says, "I could always have earned something elsewhere," the claim is too abstract. That is not *damnum emergens*; it is generalized opportunity cost, and it universalizes the title until the doctrine collapses. But if the lender can show that the money or goods were already committed to a determinate, licit, and reasonably certain use, and that the borrower's request or delay directly interrupted that use, the claim becomes more serious. He is not simply imagining a possible gain; he is pointing to a concrete plan, a specific use, a real deprivation. Later theologians will debate whether and when such a case can be admitted. Special owner value is in this way a hinge between the clean world of actual loss and the unstable world of foregone profit. It does not automatically justify *lucrum cessans*, but it explains why later authors found the issue harder than a simple opposition between "loss" and "profit." Economic life includes cases where the line between losing something one has and failing to receive something one was about to obtain becomes morally difficult. Suppose a merchant has purchased goods for resale, arranged transport, and committed capital to a specific transaction, and another person's urgent request for a loan diverts that capital: the merchant loses not an abstract opportunity but a determinate commercial use. Or suppose delayed repayment prevents him from completing a transaction already underway. Is the resulting harm actual loss, foregone profit, or special owner value? The answer is not obvious.

Aquinas's principles require careful classification. One must ask what was actually possessed, what was merely hoped for, what was reasonably certain, what was caused by the borrower, and what amount would restore equality without creating gain from the loan itself. The analysis becomes more granular than a simple prohibition, and more demanding. The principle of special owner value also helps explain why *damnum emergens* cannot be reduced to crude out-of-pocket expense. Actual loss may include more than money already paid. A thing can be worth more in use than in market abstraction; a delay can impose a real burden that no invoice quite captures; a deprivation can be actual even when measuring it requires judgment. But the judgment must remain governed by commutative justice. The compensation must restore equality, not hand the owner a blank authorization to name any subjective value he wishes. Special owner value is not sentimental value without limit, and it is not private desire converted into public obligation; it is the recognition of a real, reasonable, and morally relevant loss caused by parting with a thing or being deprived of it.

The point presses hard on modern finance, where capital providers often speak as though their capital always had special owner value, since it could always be deployed elsewhere. Aquinas's framework resists that universalization. Special owner value must be specific; it must arise from concrete circumstances; it must be shown. Otherwise it becomes simply another form of the modern assumption that capital must be compensated for every possible alternative. For non-extractive finance the lesson is precise. It may be legitimate to recognize that a capital provider, lender, or institution suffers a particular loss by being deprived of funds in certain circumstances, but the claim must be disciplined. What was the specific use of the funds? Was that use actually intended? Was it licit and mission-aligned? Was it reasonably certain, or merely possible? Did the borrower's ac-

tion or delay directly prevent it? Can the loss be valued without turning it into a target return? Does the compensation restore, or does it enrich? These questions preserve the difference between Aquinas's special owner value and modern opportunity cost. The first is concrete and justice-oriented: it asks what loss this owner actually suffers in this situation. The second can become abstract and yield-oriented: it asks what return capital might have earned in some alternative world. Aquinas gives us permission to attend to concrete circumstances; he does not give permission to make every possible alternative world chargeable to the borrower.

For now, within the doctrine of actual loss, the lesson stays modest: loss must be understood concretely, but not expansively without limit. The lender's circumstances matter, the owner's special value matters, the loss caused by parting with a thing matters, and the claim must remain tethered to reality, causality, and proportion. Special owner value enriches the doctrine on exactly these terms. It prevents moral theology from going blind to circumstance, it allows justice to see the particular burden a person bears, and it warns against mistaking imagined gain for real burden: a thing may be worth more to its owner, but not every imagined use of money becomes a debt owed by another. That distinction will become central in the later debates, for the history of *lucrum cessans* is in large measure the history of attempts to define when foregone gain becomes concrete enough to resemble loss. Some authors will allow the title narrowly. Others will fear that it opens the door to universal interest. The Thomistic texts themselves supply both the caution and the possible development.

Late Medieval and Commercial Expansion

16.1 The title becomes standard

By the late medieval period, *damnum emergens* had become the most stable and least controversial of the major extrinsic titles. That does not mean every claim of loss was accepted, or that the category could not be abused. It means the underlying principle had become widely intelligible: if a lender suffers an actual loss because of the loan, the borrower's delay, or some external burden connected to the transaction, compensation for that loss may be licit. The payment is not taken from the loan itself, not a return on the use of money, not the price of time; it is restitution.

This title settled first because the distinction under it is morally intuitive. An actual loss has already happened. It can be described, often documented, connected to a cause, and measured with at least rough proportionality. A lender who has incurred legal costs, collection expenses, liquidity damage, or some other specific loss because of a borrower's wrongful non-performance has not merely failed to become richer. He has become poorer, or has been burdened in a way he can point to. *Lucrum cessans*, by contrast, concerns a profit that was never made, which moves the question from what has been lost to what might have been gained. Perhaps the lender would have used the money profitably; perhaps the profit would have materialized, or some other event would have eaten it first; perhaps the claim is genuine, and perhaps it is only opportunity cost. Foregone profit therefore remained controversial while actual loss found a firm place early.

The Spanish historian of economic thought Fabio Monsalve has traced the chronology of the extrinsic titles, and his central finding is worth holding onto: the titles did not all develop at the same pace. The tradition never moved in a single leap from absolute prohibition to general interest. Different kinds of surplus were admitted with different degrees of confidence. Compensation for actual loss came easiest, because it could be anchored in restitution. Compensation for profit foregone required more argument, and compensation for risk to the principal required a different analysis again, of contract structure, uncertainty, and who bears a loss when it arrives.

The chronology guards against a flat reading of the doctrine. The extrinsic titles were never a single package of "exceptions to usury"; they were different moral claims standing at different distances from the *mutuum*. *Damnum emergens* stood close to the ordinary logic of justice. *Lucrum cessans* stretched toward commercial expectation. *Periculum sortis* raised the question of capital at risk and the difference between a creditor and a partner. The titles form a spectrum, and *damnum emergens* sits near the safe end because it asks nothing exotic of anyone. It does not require treating money as naturally fruitful, or capital as entitled to growth, or time as something to be monetized, or every lender as owed compensation for roads not taken. It says only that actual damage may be repaired, which is why scholastic moral theology could absorb it without immediately putting the usury prohibition in danger.

It also fit Aquinas's own language. His formula in *Summa Theologiae* II-II, q.78, a.2, ad 1, that compensation may be made for loss incurred but not for profit not made, gave the later tradition a clean boundary: the lender may be restored for loss; he may not sell an uncertain future gain. The formula did not resolve every later dispute, but it gave *damnum emergens* a Thomistic foundation solid enough to build on.

As the title became standard, its practical scope expanded, because late medieval commerce kept producing situations in which actual loss could plausibly be claimed. Loans were no longer simple accommodations between neighbors. They sat inside merchant networks, urban markets, public obligations, pledges, bills, repayments, and chains of dependency in which each payment leaned on the one before it, so that a delay in one could stall the next. Collecting a debt could mean hiring messengers, notaries, and lawyers, or several days on the road, and lost liquidity could impose a specific, demonstrable burden. In such a world the abstract rule became a practical tool. If a borrower's delay forced the lender to pay a penalty to someone else, that could be loss; so could legal expenses run up in recovering the principal, or the cost of borrowing elsewhere while repayment was wrongfully withheld, or goods damaged, pledges mishandled, and obligations missed because payment never came. Real economic interdependence meant that breach caused real harm, and the title was useful because it named that harm.

Standardization brought its own danger. An accepted title becomes routine, and a routine title is ready to inflate: the lender claims real damages in exceptional cases, then assumes them in ordinary ones, and ends by attaching a standard charge to every loan under the name of loss. What began as restitution drifts toward yield. This is the recurring pattern of the extrinsic titles. Each is legitimate because it names a real burden, and each becomes dangerous the moment the burden is presumed without proof; *damnum emergens* is no exception, exposed precisely because its plausibility is so complete. Everyone understands that damage should be repaired, so a lender who wants more than his principal has every incentive to describe the surplus as damage.

The late medieval tradition therefore had to develop not only the title but its safeguards, and they make a demanding set. The loss must be actual, and it must have been caused, by the borrower or by the transaction's external burden. It must be proportionate and external to the loan itself, not double-counted against some other charge, not dressed-up compensation for the ordinary condition of being without money, and not a general fee for the fact of lending.

Standardization also sharpened the boundary with *lucrum cessans*. In simple cases the line is clear enough: legal costs paid are actual loss; profit that might have been earned in trade is foregone gain. Real cases blur it. If delayed repayment prevents a merchant from completing a transaction already arranged, is the harm actual loss or lost profit? If the lender must borrow elsewhere to preserve a business opportunity, is the claim the cost of the borrowing or the opportunity itself? If money was already committed to a concrete use, does losing that use count as damage? These are the cases that made late medieval and early modern theologians pay such close attention to commercial circumstances. They were not hunting for ways around the doctrine; they were confronting genuinely difficult cases in an economy dense enough that actual loss, lost gain, and risk overlapped, where a rigid formula could not capture the moral reality and an elastic one would dissolve the title into generalized capital return.

The standardization of *damnum emergens* is best read, then, as a development of moral precision rather than a relaxation. The tradition was learning to ask more exact questions of every claim. What kind of loss is this, and did it actually arise? Was it caused by the borrower? Was the thing lost already in the lender's possession, or was it a concrete deprivation, or merely a possible gain? Can it be measured? Has it been compensated elsewhere?

Does the claim restore equality, or improve on it? The more standard the title became, the more necessary the questions were, because an uncertain title gets used cautiously (everyone knows it is dangerous) while a standard title gets used carelessly (everyone assumes it is safe). The safest categories become unsafe at exactly the point where people stop examining them.

The point carries into modern finance with very little translation: accepted categories still need moral audit. A charge called “cost recovery” may be legitimate, but it must recover real costs. A fee called “administrative reimbursement” must correspond to actual administration, and a loss claim must correspond to actual loss. Acceptance does not relieve an institution of proof. It increases the duty to account truthfully, since nobody scrutinizes the respectable categories.

Non-extractive capital should feel this keenly. A fund may legitimately need to recover actual losses: legal costs caused by breach, due diligence expenses, accounting costs, administrative burdens. But the moment such charges become standardized, the drift begins. Standard fees detach from actual costs; cost recovery becomes margin; documentation becomes ceremonial; the language of damage becomes the habit of revenue. The late medieval standardization of *damnum emergens* therefore hands us permission and warning in the same gesture: actual loss may be restored, and restoration must not become a routine claim to surplus. The title became standard because it is morally sound. It remains dangerous because human beings are entirely capable of naming extraction as compensation, and everything depends on keeping the title tethered to reality: a loss must have emerged, and if no loss has emerged, *damnum emergens* has not either. The rest of this chapter watches the tradition work at that tether, in the concrete cases first, then in Munro’s limit, then at Cajetan’s boundary.

16.2 Concrete cases of actual loss

The strength of *damnum emergens* lies in its concreteness. Where *lucrum cessans* looks toward a gain that might have been made, *damnum emergens* looks at a loss that has actually arrived. The lender does not say, “I could have earned.” He says, “I have been damaged.” The claim is built on injury rather than possibility, and for that reason the title has always demanded examples. The tradition’s stock of concrete cases shows why actual loss won acceptance more readily than foregone profit, and why the title could never stay inside a narrow theoretical formula. Economic life produces losses in more shapes than any formula anticipates, and the question in every case is the same: was the harm real, was it caused, and is the compensation proportionate?

Start with emergency need for funds. Suppose a lender makes a gratuitous loan, expecting repayment on a certain date, and then faces an urgent obligation of his own: taxes, rent, wages, a debt due to another creditor, a purchase that cannot wait, a family need. If the borrower wrongfully fails to repay, the lender must find money somewhere. Perhaps he borrows at cost; perhaps he sells goods in a hurry, at hurried-sale prices; perhaps he pays a penalty to someone else. His harm is not the ordinary condition of having lent money. It arises because repayment was not made when due, so the compensable claim is not “you used my money for longer” but “your wrongful delay caused me this specific loss.” If the lender would have faced the emergency regardless, and the delay did not cause the loss, the borrower cannot be made to carry it; the title turns on causality.

A second family of cases involves physical damage and disaster: fire, storm, the destroyed barn, the lost livestock, spoiled goods, damaged stores, the ruin of necessary tools. These look less directly connected to lending, but late medieval life ran on chains of de-

pendency. A lender might need his repayment to repair damage, replace goods, buy seed, keep livestock alive, or hold his productive capacity together, and if wrongful non-payment prevents him and further loss follows, the claim can become concrete. The caution writes itself. Not every disaster that happens while the money is away can be charged to the borrower; if lightning burns the lender's barn, the borrower is not responsible for the barn merely because he happens to owe money. But if his wrongful delay kept the lender from a necessary and already-due step that would have prevented further loss, the causal chain becomes morally relevant. The title never asks merely whether something bad happened. It asks whether the borrower's act or failure caused the damage being claimed.

Legal costs are the clearest examples in the set. A borrower who refuses or neglects to repay can put the lender to real expense in recovering his own principal: notarial fees, court costs, legal counsel, documentation, messengers, enforcement costs, travel, administrative time, and the rest of the apparatus of recovery. None of that is a return on the loan. It is cost created by the borrower's failure to fulfill the obligation, and if proportionate and necessary it may be reimbursed. Here too is the most obvious modern analogue: contemporary contracts routinely allow recovery of reasonable collection costs or legal fees caused by default, and there is nothing inherently usurious about them. The danger begins when "legal costs" are inflated, standardized beyond actual expense, outsourced to collection systems that run at a profit, or stacked on top of penalties and default rates that already compensate the same delay. Actual legal cost may be restored; legal-cost language may not become another route to yield.

Collection costs work the same way. Contacting the borrower, restructuring payment, verifying records, processing late payments, safeguarding collateral, pursuing repayment: all of it takes labor and expense, and where it arises from wrongful delay or breach it may be compensable. The discipline is the familiar one. The cost should be documented or reasonably estimated, should not harden into an arbitrary fee, should not exceed the burden, and should not be charged automatically where no significant cost was incurred.

The case of borrowing elsewhere deserves particular attention, because it marks the boundary between actual loss and opportunity cost. A lender who says "I could have used the money elsewhere" is drifting toward *lucrum cessans*. A lender whom the borrower's delay forced to borrow from someone else, at real cost, is claiming an expense that has actually arisen, not a hypothetical profit. The difference is not subtle. "I might have earned five percent elsewhere" is a speculative claim, which may or may not later be admitted, under strict conditions, as *lucrum cessans*. "I had to pay fifty in fees because you wrongfully failed to repay me" is an actual-loss claim, and it belongs to *damnum emergens* as naturally as anything can.

Liquidity harm belongs on the list too, though it needs the most careful handling. Lack of ready money can do real damage. A merchant who cannot pay suppliers loses access to goods; a household that cannot pay rent incurs penalties; a farmer who cannot buy seed misses the planting season (a loss no later abundance repairs); a charitable lender who cannot recycle repayments must turn the next borrower away. Delayed repayment can create every one of those harms. But liquidity harm is also the most tempting bridge to modern interest theory, because if every absence of money counts as liquidity harm, then every loan generates *damnum emergens*, and that cannot be right. The lender's lack of money during the term is not an injury; it is the *mutuum* itself, voluntarily entered. Liquidity harm becomes compensable only when the absence of funds causes a specific, concrete, attributable loss beyond the ordinary fact of lending, so this case above all requires proof. What obligation could not be met? What cost was incurred, what loss followed, how did the borrower's delay cause it, and what amount would restore the harm? Without that

specificity, liquidity harm is a polite name for charging for time.

The last of the classic cases is loss inside chains of obligation. Medieval commerce ran on timing: one payment funded another, one delivery enabled the next contract, and one merchant's failure could roll down a whole sequence of undertakings. Delayed repayment in such a chain might cost the lender a settlement date, a discount, a penalty, the discharge of an obligation, or his commercial reputation, with consequences that could be counted. The moral claim is strongest where the chain is concrete and foreseeable, where the borrower knew or should have known that repayment was needed for a specific obligation and wrongful delay caused a defined loss. Where the chain is vague, speculative, or reconstructed after the fact, caution returns, because the title must not become a way of billing the borrower for the lender's entire commercial environment.

Run the cases side by side and they share a spine. First, something actually happened: a cost was incurred, a payment missed, a penalty paid, goods damaged, legal expenses run up, money borrowed elsewhere. The harm is not imagined. Second, the borrower's action or delay caused it; *damnum emergens* is not a general insurance policy on the lender's life, and it compensates only losses attributable to breach, delay, or the external burden of the transaction. Third, the amount is proportionate: it follows the injury, small cost bringing small compensation and larger documented loss bringing larger, and a real loss may not become an occasion for additional gain. Fourth, nothing is double-counted. If a late penalty already compensates the delay, or legal costs have already been reimbursed, or a restructuring fee already covers the administrative work, the same burden is not charged again under a new name; restitution restores equality once, and does not multiply claims. Fifth, and decisively for the theology, the payment remains external to the loan. It is owed because a separate loss arose, never because the borrower had the use of the money, and if no such loss arises the title simply disappears.

The cases also keep the titles from bleeding into one another. When the borrower is punished for delay, the analysis belongs partly to *poena conventionalis*. When the lender is compensated for an actual cost caused by that delay, it belongs to *damnum emergens*. A claim of missed profitable opportunity moves toward *lucrum cessans*, and a claim of return because the principal was genuinely at risk moves toward *periculum sortis*. Real cases involve several titles at once, and the discipline is to keep them distinct. Suppose a borrower repays late; the contract imposes a penalty, and the lender also claims legal costs, lost profit, and increased risk. Each claim gets examined separately: the penalty as *poena*, the legal costs as *damnum*, the lost profit as *lucrum*, the risk as *periculum*. One event cannot automatically justify four claims. Moral accounting exists to prevent the stacking.

For modern non-extractive finance the concrete cases yield a design rule of almost embarrassing simplicity: tie actual-loss charges to records. If legal costs are charged, show the invoice. If administrative costs are charged, show the basis of calculation; if liquidity harm is claimed, show the missed obligation or the actual cost; if collection costs are charged, show the work performed; if emergency borrowing was necessary, show the causal connection; and if a loss was softened by mitigation, charge only the actual net cost. This is not a compliance burden wearing moral dress but the modern form of the old discipline: it keeps *damnum emergens* from becoming fictional, lets both parties see whether a payment restores or extracts, and puts the moral reason for every surplus where it can be examined.

The cases also press a distinction between bad-faith breach and good-faith hardship. If a borrower delays out of negligence or refusal, the lender's actual costs may justly be recovered. If he delays because of disaster, illness, or circumstances beyond his control, the lender may still suffer perfectly real loss, but the enforcement of compensation may call for mercy, restructuring, or shared burden. Actual loss establishes that compensation is permitted; it does not settle how restoration should be pursued, and a Christian account

of justice asks about the borrower's condition, responsibility, and vulnerability before it collects. Without that question the title turns harsh: legally neat, morally brittle.

Nor can the borrower's vulnerability be used to wish away the lender's harm. Non-extractive finance is not a fantasy in which costs disappear; someone bears every loss, and the moral question is how losses are allocated truthfully, proportionately, and humanely. *Damnum emergens* helps exactly here, naming actual damage without converting it into yield, so that loss can be seen and repaired while its exploitation is resisted. The discipline in practice is short enough to memorize (name the loss, show the cause, measure the amount, avoid double-counting, do not turn restoration into revenue), and beneath the complicated cases the rule is shorter still: actual loss may be repaired, but only actual loss, and only as repair.

And the old cases translate with almost no effort. A startup misses a payment and forces its fund into legal review. A cooperative delays its reporting and creates audit costs. A borrower's non-performance makes a foundation miss a restricted-use deadline. A revenue-based financing agreement has to be restructured because payments were withheld. The question in each is the one the tradition taught: not whether any charge above principal is automatically wrong, but whether this charge corresponds to a loss that actually arrived.

16.3 John Munro and the post-loan damage emphasis

John Munro (1938–2013), the University of Toronto historian of late medieval money, cloth, and credit, is especially useful on *damnum emergens* because he sharpens one of the title's most important limits: the damage must arise as a real consequence of the loan, or of the borrower's failure, after the loan has been made. It must not be smuggled into the original contract as an automatic, pre-priced return.

The point sounds technical and is anything but, because the moral clarity of *damnum emergens* hangs on its relation to actual damage. The title does not exist to compensate the mere fact of lending, or to reward the lender for being without his money, or to stand in for ordinary interest under a nobler name. It exists to repair a loss that has actually arisen, and Munro's historical sensitivity shows why the limit mattered in practice. Late medieval commercial life was full of genuine losses caused by non-payment, delay, and breach. Creditors ran up legal expenses. Merchants missed their own obligations because a borrower failed them. Lenders borrowed elsewhere at cost, and collection meant travel, documentation, officials, intermediaries. These were the ordinary burdens of economic interdependence, and none of them was imaginary.

But their very reality created the temptation. If damages after the loan could be compensated, why not anticipate them before it? A lender could build a standard damage charge into every loan, reasoning that since some loans cause losses, every borrower should pay a fixed surplus; or he could price the possibility of future damage into the original bargain as a matter of course. At that point *damnum emergens* starts to drift. It no longer compensates a loss that has emerged; it becomes an assumed surcharge.

The participle is doing the moral work here. *Emergens*: the loss must emerge, must arise, must come into being through some event, delay, breach, cost, or injury. It cannot be presumed as the normal condition of making a loan. A lender who enters a *mutuum* voluntarily has not been damaged by the temporary absence of his money; the absence is the structure of the contract. Treat that absence as compensable, and the *mutuum* has been converted into an interest-bearing instrument.

Munro's post-loan emphasis guards the line. The lender may say: after the borrower

failed to repay, I incurred this cost; after the delay, I had to borrow elsewhere; after the breach, I paid legal fees; after the non-performance, I suffered this documented loss. Every one of those claims looks backward to an injury, which is what restitution does. What the lender may not say is: before the loan was made, I calculated that I might suffer inconvenience, so I built a damage payment into the contract. Modern finance would call that prudent risk management. Scholastic moral theology asks a ruder question: does the payment still correspond to an actual loss? If the borrower pays the charge even when no damage occurs, it is not compensation but a price.

None of this forbids advance agreement as such. As with *poena conventionalis*, parties may stipulate consequences ahead of time, agreeing that if the borrower delays, certain reasonable costs or penalties will be owed. The moral basis stays conditional. The payment must be triggered by an actual event and proportioned to an actual burden, and a charge agreed before the loan remains morally accountable after the fact. Did the loss arise? Was the borrower culpable? Was the amount tied to cost, or did it function as yield? If no damage emerged, *damnum emergens* cannot justify the payment, whatever the contract said.

Here the title parts company with modern risk pricing. A modern lender prices expected losses across a portfolio: some borrowers will default, so all borrowers are charged enough to cover the expected losses and produce a return. Actuarially this is unremarkable. Morally, expected portfolio loss is not actual loss caused by this borrower, and a general surcharge for expected loss is closer to a risk premium, insurance, or ordinary interest than to compensation for damage. That is not a prohibition on managing risk or holding reserves, only on misfiling them. A fund that charges every borrower a margin against expected defaults is not being compensated for a loss each borrower has caused; it is doing something else, which must be examined under its own logic: risk-bearing, insurance, administrative sustainability, another title. Moral accounting begins with accurate naming.

Munro's emphasis is finally a defense against category confusion. *Damnum emergens* is not a universal bucket for every prudent financial adjustment; it is a claim for damage that has arisen. If an institution is building reserves, call that reserve-building. If it is charging for administration, that is labor or expense. If it is pricing risk, that is risk, and if it is seeking return, honesty can say so. The title of actual loss must not hide the other claims, and one practical fact favors the discipline: post-loan damages can be verified. After the fact there are invoices, records, missed payments, penalties paid to third parties, collection expenses, legal fees, liquidity costs, documented losses. Before the fact there are only expectations, which may be perfectly reasonable and are still not damage. The more a claim depends on projection rather than occurrence, the further it stands from *damnum emergens*.

The danger of automatic advance pricing shows best in a pair of clauses. The first says: every loan carries a five percent damage charge, because lending always creates administrative uncertainty and possible loss. Even if this lender does sometimes suffer real damages, the charge is not limited to them. Borrowers who cause no damage pay it; borrowers who repay on the day pay it; borrowers whose loans require almost no administration pay it. The charge does not restore a broken equality; it creates a new inequality, five percent at a time. The second clause says: if late repayment causes documented legal, administrative, or liquidity costs, those actual costs may be reimbursed up to a reasonable cap. That structure is conditional, tied to actual burden, limited, and it assumes nothing merely because money was lent. The whole distance between pre-priced surplus and post-loan repair sits in the difference between those two sentences.

The discipline matters more, not less, as financial structures grow complicated. A modern contract may carry origination fees, monitoring fees, default fees, legal-cost reimburse-

ment, reserve contributions, risk margins, servicing fees, restructuring fees, and penalty rates. Some correspond to real costs; others are general price components; and if everything is grouped under “costs” or “damages,” moral clarity disappears and the institution begins to believe that all of its surplus is compensation, even when much of it is return. A scholastic audit would sort the pile:

- An actual legal bill: possible *damnum emergens*.
- A documented collection expense caused by breach: possible *damnum emergens*.
- Staff time for ordinary loan administration: more likely labor or expense.
- A general reserve against possible future defaults: not *damnum emergens* for this borrower.
- Expected portfolio yield: not *damnum emergens*.
- A market-rate spread: not *damnum emergens*.
- A penalty for culpable delay: test under *poena conventionalis*, and perhaps also as actual loss.
- The risk of non-repayment: test under *periculum sortis* or insurance-like logic.

The sorting matters because each title has different moral limits. Actual loss must be documented and proportionate; a penalty must be avoidable and not desired as revenue; a risk return requires genuine downside; labor compensation requires real work; and opportunity-cost claims require a concrete alternative use and remain dangerous even then. Collapse them all into “damages” and the contract becomes morally opaque.

What the limit forces, in the end, is specificity, which is the extrinsic-title tradition’s method in miniature. What happened? What loss arose? Who caused it? How much would repair it? A claim that cannot answer those questions should not invoke the title. And the specificity does not make moral finance impractical; it makes it truthful. A non-extractive fund can still protect itself with reimbursement clauses, reasonable costs charged to actual breach, documented expenses, and processes for late payment, hardship, and restructuring. What it cannot honestly do is use the language of actual loss to justify automatic surplus unrelated to actual damage.

Better contract design follows the same grain. Instead of hiding margins inside vague fees, a contract can say what each thing is: ordinary administration covered by a transparent management fee; extraordinary costs caused by borrower breach reimbursed at actual cost; penalties capped and reserved for culpable delay; hardship procedures that run before default escalation; risk-bearing returns tied to genuine loss absorption; and no double-counting across the categories. A structure like that is cleaner morally and clearer relationally. The borrower can see what each charge is for, the lender can examine its own conscience, and the institution can audit whether it is recovering costs or extracting yield. The old doctrine turns out to make rather good governance.

One more Munro point is the hardest for modern habits: time alone is not damage. We are trained to assume that the passage of time must be priced. In the strict logic of *damnum emergens*, time matters only when something happens in it. Delay may cause damage; time may reveal breach; non-payment may force costs. But time as such is not the compensable injury, which does not make time economically irrelevant, only morally unspecified until someone says what happened during it. Did the borrower wrongfully withhold repayment? Did the lender incur a cost? Did an obligation fail, and did a real loss emerge? Without those answers, payment for time is simply interest.

That is the boundary the post-loan emphasis protects. *Damnum emergens* is a doctrine of repair, not of anticipation. It repairs losses that have arisen; it does not pre-authorize gain because losses might arise, or convert expected inconvenience into return, or treat the

act of lending as itself a harm. For a non-extractive fund the working translation is short: charge actual losses when they arise; document them, cap them, and keep them separate from return; and never bill a borrower as though he had defaulted before he has. The loss must come after the loan as a real event, not before it as a financial assumption. Only then is the title what it claims to be: compensation for damage that has actually emerged.

16.4 Cajetan and the boundary problem

Cajetan stands at one of the most difficult boundaries in the history of the extrinsic titles: the line between actual loss and foregone profit. He was born Jacopo de Vio at Gaeta in 1469, joined the Dominicans at fifteen over his parents' objections, and took the name Tommaso in religion; he became Master General of the order in 1508, a cardinal in 1517, and, between 1507 and 1522, the author of the commentary on the *Summa Theologiae* that became the standard companion to Aquinas's text. (He is also the legate who spent three days at Augsburg in 1518 failing to persuade Martin Luther to recant, which is, a little unfairly, what he is chiefly remembered for.)

Why the boundary matters is plain by now. *Damnum emergens* is the morally safer title: actual loss can be restored, while profit not made is harder to claim. Aquinas's classic formula in *Summa Theologiae* II-II, q.78, a.2, ad 1 gives the direct distinction: a lender may be compensated for a loss incurred, but may not sell a profit he does not yet possess. The first is restoration; the second risks becoming usury.

But commercial life declines to respect clean categories. By the late medieval and early modern period, theologians kept meeting cases where the line between loss and non-gain would not hold still. A merchant's capital might not be idle; it might already be ordered toward trade. A repayment might be expected so that another transaction could be completed. A delayed loan might interrupt not an abstract possibility but a concrete commercial sequence already in motion. In such cases, what exactly has the lender lost?

Cajetan's importance lies in trying to think that question through without abandoning the Thomistic structure. As a Dominican commentator on Aquinas he could not throw out the master's restriction against selling profit not yet possessed; as a moralist in a commercial age he had to account for cases in which future gain seemed to carry present moral weight. And the problem was not a seminar exercise. It concerned merchants, lenders, borrowers, repayment dates, concrete opportunities, and the real economic damage that can arrive when money is unavailable at the moment it was promised.

The central question can be put in one sentence: when is a future gain so connected to present possession, intention, and circumstance that its loss can be treated as a kind of actual detriment? Answer "always," and the usury prohibition collapses. Every lender can say his money could have been used profitably, every loan has an opportunity cost, and every borrower owes compensation for a possible alternative; that is the paved road from *lucrum cessans* to ordinary interest. Answer "never," and the tradition stops accounting for real commercial harm. A merchant whose capital was already practically committed to a transaction can suffer genuine detriment when that capital is diverted or withheld; the loss is not as simple as an invoice already paid, but neither is it a fantasy. Commercial reality contains future-oriented goods more concrete than vague hope. Cajetan's task was to preserve the distinction while recognizing the difficulty.

One way into the boundary is the idea of virtual possession. Nobody possesses a future profit the way he possesses coins in a chest, grain in a barn, or goods in a warehouse. But some expected goods are so closely tied to present arrangements that losing them feels less like failing to receive a hypothetical advantage and more like being deprived of something

already morally on the way. A merchant has a buyer, goods, transport, timing, and a likely margin; another man's action breaks the sequence. Has the merchant merely failed to gain, or has he suffered a loss? This is the exact zone where *damnum emergens* begins to stretch toward *lucrum cessans*.

Aquinas himself had supplied some of the stretching material, though not in the usury article. In q.77 he allows that a thing may be worth more to its owner because of the particular loss the owner suffers in parting with it. In q.62 he recognizes that preventing someone from obtaining a future good can sometimes require compensation. Later Thomists could put those texts to work, arguing that some foregone gains are not merely speculative but connected to the owner's present situation, and so could be considered under a broader understanding of loss. The warning, however, stands exactly where Aquinas left it: the lender must not sell what he does not have. The boundary problem cannot be solved by relabeling lost profit as actual loss; that would be too easy. The question is whether an expected gain carries enough concreteness, causality, and moral proximity to be compensable without turning every opportunity into a title.

Hence a set of safeguards, each earning its place. The alternative use must be concrete: not "I could have invested somewhere," but a specific use, transaction, obligation, or commercial opportunity, because without concreteness the claim is abstract opportunity cost. The use must have been actually intended, since an alternative invented after the fact is retrospective imagination; the claim is strongest where the money was already earmarked, committed, or practically ordered toward the use. The gain must be reasonably probable, not merely possible: no future gain is certain, some are commercially probable and others speculative, and the more uncertain the gain, the weaker the claim. The borrower's action or delay must have caused the loss; if the alternative transaction would have failed anyway, if market conditions changed, if the merchant lacked capacity or another party withdrew, causality breaks, and both *damnum emergens* and any morally disciplined form of *lucrum cessans* require causation. Finally, compensation must be proportionate and discounted for uncertainty, because even a concrete foregone gain was future and contingent, and a morally serious calculation refuses to treat possibility as certainty.

Stated that way, the boundary problem becomes recognizable: it is the problem of opportunity cost, centuries before modern finance universalized opportunity cost. The late medieval theologians were asking whether capital's alternative uses could generate a claim. Aquinas had resisted the general version; later authors, Cajetan among them, explored the narrower cases; and the standing danger was that the narrow case would become the universal rule. That is why Cajetan belongs at the hinge between the safer title of actual loss and the dangerous birth of foregone-profit reasoning. He helps explain how Thomists could begin stretching the loss category while still claiming fidelity to Aquinas. They were not necessarily saying that every lender may charge interest; they were asking whether Aquinas's own broader principles of restitution and special owner value allowed compensation when a lender's loss was future-facing but concrete.

The distinction matters for how the history gets told. Portray the tradition as a simple movement from prohibition to permission and you miss the drama. The real development is subtler: theologians trying to preserve the prohibition while accounting for commercial harms of increasing complexity, sometimes succeeding, sometimes stretching a category further than it could bear, sometimes watching a real moral insight become a pathway to evasion.

The boundary problem also explains how *damnum emergens* could later swell into an umbrella category. Once actual loss is understood broadly enough to include certain future-oriented detriments, it becomes tempting to gather lost gain and risk under a general theory of damage. Juan de Lugo will later make exactly that unifying move, treating

risk and foregone gain as losses of a sort, and the synthesis carries power and danger in roughly equal measure: the more expansive the concept of loss becomes, the more it can absorb the prohibition it was meant to preserve. Whether the expansion stays disciplined by reality is the question. A narrow *damnum emergens* asks what the lender actually lost. A broader account asks what detriment he suffered, including concrete goods he was prevented from obtaining. A dangerous account asks what return he might have earned in any alternative world. Only the first sits safely inside the classic title; the second requires careful argument; the third is ordinary interest in scholastic dress.

None of this stayed in the sixteenth century. A lender says: if I had not lent to you, I could have earned a market return. A fund says: our capital has a hurdle rate. An investor says: our opportunity cost is eight percent. A private equity firm says: we require compensation for the use of capital. All four statements may be useful for internal decision-making, and none of them automatically becomes a moral claim against the borrower. A Cajetan-like analysis would run down the old list. Is this a concrete foregone gain or a generalized opportunity cost? Was the capital actually committed elsewhere? Was the alternative licit, and mission-aligned? Was the gain reasonably certain, and did this borrower's use of the funds cause its loss? Or is the investor simply importing the logic of market return into every transaction it touches?

For non-extractive finance the stakes are high, because the category of loss must not be allowed to swallow the category of return. A fund may suffer actual losses, incur real costs, and miss concrete opportunities by choosing one deployment over another. But if every desired return can be classified as loss, the language of non-extraction means nothing, and the borrower is made responsible for capital's imagined future. Mission-locked and steward-owned enterprises feel this most sharply. They accept capital precisely because they do not want to be governed by ordinary extractive return expectations; if investors then claim that every concession to mission must be compensated as foregone profit, the mission is subordinated to capital's opportunity cost after all. The structure may remain mission-oriented on paper; the investor's lost alternative governs it in fact.

A disciplined *damnum emergens* resists this by insisting on demonstration. Show the loss; show the concrete alternative; show the causality and the valuation; show that the payment is restoration, not the importation of market yield. What cannot be shown may not be called actual loss. That is the warning Cajetan leaves the tradition. The line between actual loss and foregone profit is porous, but it must not be allowed to disappear, because the burden of proof is high and the danger is grave: once every possible profit becomes compensable, usury has returned. The lender may recover what he has truly lost; he may not baptize every possible gain as loss. The title stays morally clean only while it stays tethered to actual detriment, recognizing concrete commercial damage, acknowledging special owner value, granting that economic goods have uses embedded in real plans, and refusing, all the while, to become a doctrine that money is owed its best unrealized future. Whether the tradition could hold that line once Lugo began gathering risk and foregone gain into a single account of loss is the next chapter's business.

Salamanca, Jesuits, Lugo, and the Master Title

17.1 Salamanca casuistry

By the time the question of *damnum emergens* reached the theologians of Salamanca, the doctrine had already lived several lives. It began as an intuition: a lender should not be made poorer by an act of charity. It passed through the canon-law vocabulary of *interesse*, compensation for what “stands between” the injured party and the position he ought to have occupied. And it arrived in Spain as a working moral instrument, used by confessors, jurists, merchants, and theologians to distinguish two very different kinds of surplus payment: payment that restored a real loss, and payment that smuggled profit back into the loan.

Salamanca matters because its theologians did not meet usury as an abstract classroom problem. They lived amid expanding commerce, imperial administration, long-distance trade, monetary instability, public debt, merchant credit, and contractual forms of increasing ingenuity. Money in their world did not sit still. It moved through fairs, ships, exchange networks, tax systems, royal treasuries, ecclesial institutions, and commercial partnerships, where it could be delayed, displaced, diverted, exposed, and interrupted in ways the simple village loan never imagined. The old categories remained morally binding; they now had to govern all of this.

Within that world, *damnum emergens* stood out as the safest and most important of the extrinsic titles. Compared with *lucrum cessans* it was morally cleaner: the claim was not “I might have earned something elsewhere” but “I have actually suffered a loss because of this transaction, this delay, this deprivation.” Compared with *periculum sortis* it was less dangerous, since it never proposed that risk as such justified a return, only that a real detriment, causally connected to the lending relationship, could be compensated without turning the loan itself into a source of profit. Yet even this apparently clean title required casuistry: no longer whether actual loss could be compensated (that was by now widely accepted) but how to know when the alleged loss was real.

Domingo de Soto represents the cautious side of the inheritance. Soto was not trying to dismantle the usury prohibition with clever exceptions. Like Aquinas, he remained concerned to preserve the gratuity of the *mutuum*: a loan for consumption was still, in its own nature, a transfer of ownership in which the borrower became owner of the money and owed back only the equivalent principal. The lender could not charge simply because time had passed, and he could not treat the loan itself as a productive asset that naturally generated yield. If more than principal was demanded, the moral question had to be asked precisely: what is the title?

For Soto, *damnum emergens* could be admitted because it did not arise from the use of the money as such. It arose from an injury external to the loan. Suppose a lender, because he has lent, cannot meet an obligation of his own and must incur costs. Suppose repayment is delayed and he must borrow elsewhere. Suppose he suffers a concrete commercial harm

because funds that should have returned to him were wrongfully withheld. These are not payments for the use of money. They are attempts to repair a disturbance of justice: the lender is not being enriched, he is being restored.

Soto's caution matters because he could see exactly how the language would be abused. A lender could claim "damage" whenever he was inconvenienced. He could build compensation into the contract in advance, not because damage was likely or measurable but because the word provided respectable cover for interest. He could inflate the amount, treat all delay as profitable delay, and convert a restorative title into a pricing mechanism. The Salamanca problem was therefore not whether *damnum emergens* existed. It was whether it could be disciplined.

Martín de Azpilcueta, better known as Navarrus, belongs to the same world of practical moral analysis. His work is mostly remembered now for its sophistication about money, exchange, and the changing value of currency, but his importance for the extrinsic titles lies in the same basic movement: moral theology had to become concrete without becoming permissive, understanding merchant practice well enough to judge it truthfully. A moralist who did not understand commercial reality would condemn too much, too crudely, failing to distinguish genuine compensation from exploitation; a moralist who allowed commercial practice to set its own terms would eventually bless whatever the market had already normalized.

That tension is the heart of Salamanca casuistry. The Spanish scholastics are regularly caricatured from two directions, as rigid medieval opponents of finance or as early apologists for capitalism; neither caricature survives contact with their actual task, which was more delicate. They were trying to preserve the moral architecture of the usury prohibition while recognizing that not every payment above principal was morally identical. A fee for actual administrative cost was not the same as a guaranteed yield. Compensation for proven loss was not the same as interest. A penalty for culpable delay was not the same as the monetization of time, and a profit-share in a genuine partnership was not the same as a fixed return on a loan.

In this sense Salamanca casuistry is not hair-splitting but moral accounting. It asks what the payment is really for: whether the named title corresponds to the actual economic substance of the transaction, whether the borrower is paying because he has caused a real loss or because the lender has the power to demand growth from money. The distinction is subtle, not trivial; it is the difference between restoration and extraction.

Commercial losses made the discipline especially difficult. A merchant's money may be tied to specific operations: buying goods, paying workers, settling accounts, maintaining inventory, fulfilling contracts, participating in exchange. If that money is lent, and the merchant thereby incurs real costs or misses an obligation, the resulting harm may be more than subjective inconvenience. It may be a genuine commercial loss. The Salamanca theologians had to determine when such losses were concrete enough to count as *damnum emergens* and when they were really claims about foregone profit, expectation, or opportunity.

Here the boundary with *lucrum cessans* shows itself, and it is worth watching the cases slide. If a merchant says, "Because I lent this money, I had to pay a penalty on another obligation," that sounds like actual loss. If he says, "Because I lent this money, I could not complete a transaction that I was already morally and practically positioned to complete," the case is harder: is the lost transaction an actual damage, because it was virtually possessed, or a foregone gain, because the profit was not yet in hand? And if he says only, "Had I kept the money, I could have earned something with it," the claim has begun to slide toward the dangerous abstraction of opportunity cost.

Salamanca did not eliminate these boundary problems; it made them explicit. The the-

ologians increasingly recognized that commercial life could generate real detriment, and also that commercial language could manufacture fictive detriment. The same merchant sophistication that made moral theology more realistic made usury harder to detect. A crude usurer simply demanded interest. A sophisticated one could invoke delay, damage, risk, exchange, partnership, penalty, insurance, or lost profit. The more refined the contractual world became, the more important it was to ask whether the title was real.

Civil law entered the analysis too: by the early modern period, theologians were not working in isolation from legal institutions. Questions of proof, enforceability, damages, and contractual expectation mattered. If compensation for loss was to be morally legitimate, it needed more than a private assertion; it had to be capable of some kind of demonstration. What loss occurred, and when? Was it caused by the borrower's action, by the lender's own imprudence, by ordinary market fluctuation, or by some unrelated event? Was the amount proportionate? Was the compensation agreed in advance? And if so, was it a reasonable estimate of probable loss or merely a disguised rate of return?

That last question, whether compensation could be agreed in advance, carried particular weight. Advance agreement could serve justice: it could clarify expectations, prevent disputes, and name beforehand the kinds of loss that would require compensation, which in a commercial world of predictable harms was not irrational. It could also become a fiction. If every loan contract included a predetermined "damage" payment regardless of whether damage occurred, then *damnum emergens* would cease to be a restorative title and become ordinary interest under another name.

The Salamanca approach therefore required several controls. First, the loss had to be real: not imaginary, not merely possible, not a rhetorical inconvenience, but actual detriment. Second, it had to be causally connected to the loan, the delay, or the borrower's failure; a lender could not make the borrower responsible for every misfortune that occurred while the money was absent. Third, the compensation had to be proportionate. It could restore equality, but it could not become a hidden profit center. Fourth, the claim had to be capable of proof, or at least of reasonable moral demonstration. Fifth, the title could not be used to double-count the same harm under multiple names.

These controls show why *damnum emergens* was not an exception that swallowed the usury prohibition. Properly understood, it never said, "The lender may charge more because money has been lent." It said, "The lender may be compensated if, because of some external injury connected to the transaction, he has actually been made worse off." The difference is the whole doctrine: one turns lending into yield, the other restores a damaged equality.

It also reveals the deeper continuity between Aquinas and Salamanca. Salamanca expands the range of practical cases, but it does not abandon the Thomistic structure. Aquinas had already allowed compensation for loss incurred while rejecting the sale of hoped-for profit. Salamanca carries that principle into a more complex world and asks what "loss incurred" means when merchants operate in chains of obligation, when money has scheduled uses, when non-payment can cause cascading costs, and when civil law recognizes damages. The theologians do not merely repeat Aquinas. They operationalize him.

The lesson carries directly into modern finance. The moral question is not answered by legal permission, market convention, or contractual disclosure, nor by a plausible story about inconvenience; it is answered by whether the payment corresponds to a real, external, documented burden the recipient should not have to bear alone. Where it does, compensation may be just. Where it does not, the language of compensation is a mask for extraction.

Salamanca casuistry teaches a double distrust. It refuses the simple claim that every

surplus payment is usury, and it refuses the modern assumption that every cost of capital deserves compensation. Between the extremes lies the discipline of moral specification: name the title, prove the burden, test the causality, measure the proportion, and ask whether the structure restores equality or exploits dependence.

That discipline is why *damnum emergens* appears in this chapter as the “master title” in embryo. It begins as the cleanest of the extrinsic titles, compensation for actual loss. But once theologians begin asking what counts as loss, the title becomes capable of organizing its neighbors. Lost profit may be treated as a kind of detriment if it is concrete enough. Risk may be treated as a kind of detriment if capital is genuinely exposed. Delay may create detriment if it causes real damage. The danger, of course, is that everything can be redescribed as loss. The achievement of Salamanca is that it sees the possibility and the danger at once: it expands the analysis without letting the title float free of proof, causality, and proportionality.

What emerges is a moral theology that is neither anti-commercial nor naively pro-finance, a theology of disciplined compensation. It asks whether the surplus payment repairs something that has truly been damaged, or whether it merely protects the lender from the ordinary vulnerability of economic life while leaving the borrower exposed. Salamanca asked that question of fairs and exchange networks. The chapters ahead will ask it of term sheets.

17.2 Molina and practical legal integration

Luis de Molina stands at one of the decisive turning points in the history of the extrinsic titles. With Molina the inherited doctrine is not abandoned, but it is brought into far closer contact with the practical legal and commercial world of early modern Europe. The question is no longer whether *damnum emergens* can be admitted in principle; that argument had been won. The harder question is how such compensation should be identified, measured, limited, and integrated into actual contracts without becoming a disguised price for the loan itself.

Molina’s importance lies in this movement from principle to administration. Earlier scholastic theology had insisted that a lender could be restored for real loss but not enriched by the mere act of lending. Molina accepts that framework entirely. But he writes in a world where credit relations intersect with sales, exchange, public obligations, merchant inventories, delayed payments, and legally enforceable damages, and in such a world moral theology must speak not only to the confessional interior of the lender’s conscience but to the external structures of law, contract, proof, and commercial practice.

His first requirement is real damage. Molina does not allow the language of *damnum emergens* to float as a general justification for surplus. A lender may not say, “I was without my money, therefore I deserve more”; that moves the title toward the monetization of time. He may not say, “Money is useful, therefore being deprived of it is automatically compensable”; that transforms the gratuitous *mutuum* into an interest-bearing instrument by definition. Something must actually have happened to the lender, something that leaves him worse off in a way that can be morally attributed to the loan, the delay, or the borrower’s failure.

The insistence preserves the difference between compensation and yield, and the two can be told apart by the direction they face. Compensation looks backward or sideways, toward an injury that has occurred, and asks what loss needs to be repaired. Yield looks forward, toward growth expected from capital, and asks what return money should receive. For Molina, as for the broader tradition, these are not the same question. A payment above

principal may be legitimate when it restores what was lost. It becomes usurious when it is demanded simply because money was lent.

The second requirement is causality, and it is where Molina's refinement bites hardest. A loss may be perfectly real and still not be chargeable to the borrower. If the lender suffers because of his own negligence, his own speculative commitments, ordinary market fluctuation, or an unrelated misfortune, it does not follow that the borrower must compensate him. The relevant question is whether the lender is worse off because of the loan, the delayed repayment, or some specific obligation the borrower failed to fulfill. If the lender would have suffered the same loss anyway, the title fails. If the loss arose only because he imprudently overextended himself, the borrower may not be responsible. If the alleged damage is too remote, too speculative, or self-created, it cannot ground a just claim. Without causality, *damnum emergens* becomes a dumping ground for the lender's general business risk.

The third requirement is proportionality. Even when damage is real and causally connected, compensation must be measured; it cannot exceed the injury. The lender may be restored, not rewarded. This keeps *damnum emergens* rooted in commutative justice, whose goal is the restoration of equality rather than the creation of advantage. If a borrower's delay causes the lender ten units of cost, the lender does not thereby acquire a right to twenty. If the damage is minor, the compensation must be minor. If the damage is uncertain, the valuation must be cautious, and if the damage has already been compensated under another title, it cannot be counted again.

Proportionality also polices the contractual fiction. Parties in commercial settings may wish to agree in advance on a fixed sum in the event of delay or non-performance, and such an agreement can be legitimate if it reasonably estimates probable loss. But if the fixed sum is excessive, automatic, or unrelated to likely damage, it begins to look less like compensation and more like interest. Molina therefore requires attention not just to the existence of a clause but to its moral substance. What does this clause actually do? Does it approximate real harm, or does it guarantee surplus under the respectable name of damages?

The fourth requirement is legal recognizability, and it is here that Molina earns the word "integration." He brings moral theology into working partnership with civil-law categories without collapsing the one into the other. Civil law can help identify legitimate damages, provide procedures of proof, distinguish enforceable compensation from arbitrary demand, and screen out purely subjective claims. Yet civil law is not morally ultimate. A payment may be legally enforceable and still morally suspect if it functions as a disguised return on the loan; a real damage may exist morally even where legal proof is difficult. The law is a necessary partner in practical moral reasoning, but not its master.

The partnership makes Molina practical as no purely abstract account could be. Commercial life requires predictability. Parties cannot always wait until after damage occurs to begin thinking about remedies; contracts need to specify consequences, merchants need to know what happens if repayment is delayed, courts need criteria, confessors need guidance. The challenge is to build structures that can recognize damage without normalizing interest. That is the narrow legal-moral space in which Molina works.

This is why the question of advance agreement becomes so important in his hands. Can compensation for *damnum emergens* be agreed in advance? A rigorist would say no, because any predetermined surplus risks becoming a price for lending. A permissive answer would say yes without restriction, opening the door to disguised usury. Molina's answer is more subtle: advance agreement can be morally acceptable when it is ordered toward real, probable, proportionate damage, and it becomes morally dangerous when it substitutes a fixed gain for actual proof of loss.

In modern terms, Molina is asking whether a damages clause is liquidated damages or a hidden interest rate. The language may be identical; the moral substance is not. A clause that estimates administrative cost, collection cost, documented liquidity harm, or losses caused by culpable delay can serve justice. A clause that simply adds five, ten, or twenty percent because payment comes later has merely repackaged the sale of time. The decisive question is never what the contract calls the payment. The decisive question is whether the payment corresponds to damage.

Molina's method also clarifies the boundary with *lucrum cessans*. A merchant who cannot pay an obligation because his funds have not been returned suffers something close to actual loss. A merchant who cannot complete a profitable transaction because his funds are tied up claims something closer to foregone gain. But some cases refuse to sort themselves: if a future gain was practically certain, contractually arranged, and lost only because repayment failed, does it remain merely expected, or has its loss become a real detriment? Molina does not erase the distinction. He makes it administrable. He asks whether the alleged loss is concrete, intended, probable, and causally interrupted. A vague claim that money could always have earned something elsewhere is insufficient; a specific commercial arrangement, already in motion and frustrated by the borrower's failure, may be morally relevant. The more determinate the alternative, the stronger the case. The more abstract the opportunity, the weaker the title.

Beyond *damnum emergens* narrowly understood, Molina is building a general grammar of morally disciplined surplus. The question is never simply whether a lender can receive more than principal. The question is whether the "more" corresponds to a real title external to the loan. Damage, lost profit, risk, labor, expense, and penalty each require specification: each must be named, tested, limited, and prevented from becoming a pretext.

Contemporary finance tends to treat legal enforceability and market pricing as sufficient moral justification: disclosed, negotiated, enforceable, therefore legitimate. Molina's framework declines the assumption. It asks whether the clause corresponds to real damage, whether the amount is proportionate, whether the borrower caused the loss, whether the same burden is counted twice, and whether the lender is being restored or enriched.

Consider a modern investment contract that includes late fees, default interest, monitoring fees, break fees, legal cost reimbursement, and a preferred return. Each item has a plausible explanation. Each may be legally permitted, and each may even correspond to a real cost in some cases. Molina would force us to disaggregate them. Which payment compensates actual damage? Which compensates labor or expense? Which compensates risk? Which compensates foregone gain? Which is merely a target return? Which becomes payable regardless of actual harm? And which gives the investor an incentive to prefer default?

This is not a technical exercise but a theological discipline of truthfulness. The lender must not hide yield inside damage, or profit inside penalty, or domination inside legal form. A moral economy depends on the truthful naming of claims. If a payment is for administrative work, call it that and limit it accordingly. If it is for actual loss, document the loss. If it is for risk, show who bears the downside. If it is for foregone profit, prove the profit was concrete and causally lost. If none of these can be shown, the surplus may be extraction.

Molina thus helps move the tradition from a simple prohibition to a structured audit. The prohibition remains: one may not demand gain from the *mutuum* itself. The audit grows more sophisticated: examine the legal form, identify the moral title, require causality, require proportionality, require proof, and refuse fictive losses. This is not a weakening of moral theology. It is an attempt to make moral theology capable of governing real

economic life.

His approach also exposes the danger of modern financial abstraction. Once every cost can be modeled, every risk priced, every delay monetized, and every alternative return converted into opportunity cost, the language of compensation can expand without limit. Molina's legal integration offers a counter-discipline: commercial actors do suffer real losses, but not every financial inconvenience is morally chargeable to the borrower; contracts do need remedies, but remedies may not become disguised yield; law is genuinely useful, but legality alone cannot purify extraction.

This is why Molina belongs in the genealogy of non-extractive finance. He teaches that moral finance cannot remain at the level of slogans. It requires accounting, documentation, classification, and legal design. It must know the difference between reimbursement and return, between loss and expectation, between remedy and revenue, and it must build contracts that make those distinctions visible rather than hiding them in technical language.

In Molina, then, *damnum emergens* becomes both more practical and more dangerous. More practical, because it can be integrated into real contracts, civil-law procedures, and commercial life. More dangerous, because the more administrable the title becomes, the easier it is to standardize, automate, and abuse. The moral task is double: recognize real damage where justice requires compensation, and prevent the title from becoming a universal permission for surplus.

The result is a theology of disciplined legal realism. Molina does not pretend that money is never embedded in productive activity, that delay causes no harm, or that law is irrelevant to moral judgment. Neither does he allow commercial complexity to dissolve the usury prohibition. Surplus must be justified by something other than the loan itself: real damage, caused by the relevant act, measured proportionately, recognized without fiction, and kept within the bounds of restoration. That is the enduring value of his integration. It gives us a way to ask, in each concrete case: what exactly has been lost, who caused it, how do we know, what would restore equality, and when does restoration become extraction?

17.3 Lessius and systematization

With Leonardus Lessius, the doctrine of *damnum emergens* enters a still more systematic and finance-aware phase. Lessius knew the commercial world at first hand: the merchants of Antwerp consulted him on the morality of their dealings, and he is said to have gone regularly to the exchange himself to question the most experienced of them, a moral theologian doing field work. Molina had shown how the title could be integrated into legal and commercial practice. Lessius goes further and places *damnum emergens* within a broader moral architecture of contracts, money, exchange, risk, delay, lost profit, and deprivation of capital. The result is one of the most important late scholastic attempts to think morally about finance without collapsing into permissiveness or retreating into a world commerce had already left behind.

Lessius writes at the edge of modern financial life. The simple local loan between neighbors still existed, but his world is one of merchants, credit instruments, exchange transactions, commercial opportunity, maritime risk, insurance-like arrangements, partnerships, and increasingly refined contractual classification. Money has become visibly active in commercial circulation: held, deployed, committed, exchanged, delayed, risked. The old scholastic question, whether one may sell the use of money in a *mutuum*, remains central. But the cases surrounding it have multiplied.

The multiplication of cases is exactly why systematization becomes necessary. Treat

every case in isolation and moral theology becomes a pile of exceptions: one for loss, another for delay, another for penalty, another for risk, another for labor, another for foregone profit, another for exchange, another for partnership. Such a list can guide confessors, but it can also confuse them. Worse, it can train clever lenders to search for whichever title will justify the payment they already intend to demand. Lessius matters because he tries to locate the cases inside a coherent contractual and moral order.

For Lessius, *damnum emergens* remains one of the most secure titles because it is anchored in actual detriment. A person who lends does not thereby acquire a right to profit; a person who suffers real damage because of the loan, or because of the borrower's failure to repay as owed, may be compensated. The payment is not due because money naturally bears fruit. It is due because justice has been disturbed. The compensation is not the price of the loan but the repair of an injury.

Yet Lessius also recognizes that actual damage cannot be considered in isolation from its neighbors. A merchant may suffer actual loss because money is unavailable, and also lose a concrete profit because the money could not be used as intended, and also bear risk because capital is exposed to uncertain repayment, and also incur labor and expense in administering the transaction. These realities overlap in practice. The task is not to deny the overlap but to classify it truthfully.

This is where his broader moral theology of contracts does its work. The question is not simply, "May more than principal be received?" The question is, "What kind of contract is this, and what kind of claim does it generate?" If the contract is a *mutuum*, the lender has transferred ownership of the money and is owed only the equivalent principal by virtue of the loan itself. If it is a partnership, the capital remains exposed to loss and profit may be shared. If it is an exchange, the surplus may belong to the difference in place, currency, time, or valuation. If the contract involves labor or administration, compensation may be owed for service. If it involves real damage, the title is restorative, and if it involves risk, the question becomes whether the risk is genuinely borne or merely invoked.

Lessius thereby moves moral theology from prohibition alone to contract diagnosis. He does not ask only whether the contract contains a surplus. He asks what the surplus is attached to. This is the crucial late scholastic move: the moral object of the payment must be identified. If the payment attaches to the *mutuum* as such, it is usurious. If it attaches to a real external burden, it may be licit. But the burden must not be fictional, duplicated, or inflated. The name of the title is never enough.

For *damnum emergens* this means the loss must remain actual. Lessius inherits the tradition's concern that lenders not convert every inconvenience into damage. The lender cannot appeal to the general usefulness of money, and he cannot charge automatically for having been without his funds for a time. The damage must be identifiable, caused by the relevant transaction or failure, proportionate, and restorative rather than enriching.

At the same time, Lessius is more comfortable than earlier authors with the financial sophistication of commercial life. He understands that money in a merchant's hands is not always idle. It may be ordered toward real transactions, committed in expectation, needed to meet obligations, or part of a chain of payments, and depriving such a merchant of funds can cause more than psychological frustration. It can cause real economic detriment. His systematization gives moral theology room to see this without surrendering the principle that money, simply as lent money, does not generate a right to gain.

All of which brings *damnum emergens* close to *lucrum cessans*, and the difference between actual loss and foregone profit turns out to be easy to state and hard to administer. A merchant forced to pay a penalty because funds were not returned has suffered actual loss. A merchant who cannot complete a profitable transaction may claim foregone gain. But if the transaction was already arranged, practically certain, and frustrated only by the

borrower's delay, the lost profit begins to resemble a concrete detriment. Lessius's system does not erase the distinction; it lets moral reasoning ask whether a given foregone gain is determinate enough to be treated as compensable.

And that is where the danger begins. Once lost profit is admitted in sufficiently concrete cases, the logic invites generalization. A merchant might say he could always have done something profitable with his money. A lender might say capital has a market price. A financier might say every deployment has an opportunity cost. Lessius is important precisely because his work stands near this edge: his expansion makes sense of commercial reality, and the same expansion exposes the doctrine to a danger later critics would name exactly. If all deprivation of money is treated as compensable, the usury prohibition becomes almost impossible to maintain.

The related title of *carentia pecuniae*, being without one's money, illustrates the peril. Lessius is associated with its more developed treatment. The claim is not that the lender has suffered a particular loss, nor even that a specific profit has ceased, but that deprivation of money for a term may itself have value. In one sense this captures a real feature of commercial life: liquidity matters, committing money for a period can be burdensome, and being unable to recall funds constrains action. Modern finance would call it a liquidity premium or a term premium and think no more about it. From the standpoint of the usury tradition, though, the idea is morally perilous. If being without money is compensable simply because money is useful, then nearly every loan can bear a charge. The title becomes a general payment for time, which is precisely what the doctrine had always resisted. The lender no longer needs to prove a particular damage; he needs only to say that he lacked his money. That move can become the doorway through which ordinary interest returns wearing scholastic vocabulary.

Lessius therefore occupies an ambiguous position. He is no crude apologist for usury. He remains inside the moral world of the extrinsic titles: payments above principal require justification, contract classification matters, the *mutuum* remains gratuitous in itself, and the lender may not simply demand gain from lending. Yet his sophisticated treatment of commercial deprivation, lost profit, and risk brings scholastic theology measurably closer to the logic of modern money markets. The system becomes more realistic and more vulnerable in the same motion.

The ambiguity is not a failure of intelligence. It is the difficulty of the problem itself. These theologians were trying to preserve a distinction that modern finance would later tend to erase: the distinction between capital as a claim of domination and capital as a participant in shared risk or real service. As commercial life grew more complex, surplus payments were not always obviously exploitative. Some restored real loss, some compensated real labor, some corresponded to actual risk, some reflected exchange or partnership. Others merely translated bargaining power into financial return. Lessius's system is an attempt to tell the difference.

His treatment of risk bears directly on *damnum emergens* too. Risk can be understood as exposure to possible loss, and if the lender's principal is genuinely at risk, one might argue the exposure itself is a kind of burden. But this cannot be allowed too broadly. Every creditor faces some risk of nonpayment; if ordinary default risk justified surplus, all loans would become interest-bearing. Lessius's broader system therefore has to distinguish genuine, morally relevant risk-bearing from ordinary risk shifted back onto the borrower through guarantees, collateral, seniority, or enforcement. A lender may claim to bear risk while structuring the contract so that the borrower bears nearly all the downside, demanding collateral, personal guarantees, default penalties, senior repayment, and legal enforcement, and still charging a risk premium. In such a case risk language does not signal solidarity. It masks risk-shifting. Lessius's systematizing impulse invites exactly the

right question: who bears what, under which contract, in return for which title?

For modern non-extractive finance, Lessius is indispensable, and for two opposite reasons. He shows why it is not enough to condemn finance from outside: moral theology must understand the actual instruments, must distinguish loans, partnerships, guarantees, exchange contracts, insurance-like arrangements, service fees, damages, and risk-sharing structures, must know how surplus is generated and justified. And he shows why sophistication is dangerous: the more titles one has, the easier it becomes to hide extraction inside complexity. A non-extractive framework needs his realism (capital really can be delayed, risked, committed, and burdened) and his system (every surplus claim classified by its real title), plus a stricter diagnostic than modern finance usually permits: does the payment restore actual loss, compensate real work, value genuine risk, or merely protect capital from vulnerability while everyone else stays exposed?

Lessius's system also clarifies why documentation matters. If losses can be complex, they must be traceable. If titles can overlap, they must be separated. If a payment compensates administrative cost, it should not also be counted as damages. If a risk premium is charged, the contract should show that the investor actually bears downside. If lost profit is claimed, the alternative use should be concrete, and if deprivation of money is invoked, the danger of converting time into yield must be faced directly rather than waved away.

Here the tradition begins to resemble a moral audit. Lessius does not merely ask whether the lender may receive more; he asks what the "more" means. In contemporary terms, he would force a financing contract to disclose its moral accounting. Which part is principal? Which part is reimbursement? Which part is penalty? Which part is damages? Which part is risk compensation? Which part is labor? Which part is foregone profit? And which part has no real title except the lender's power to demand return?

The virtue of the approach is clarity. The danger is normalization. Once every payment has a label, the labels themselves can become legitimating devices, and a morally serious reading of Lessius must refuse to turn his system into a checklist for permission. It is better treated as a discipline of suspicion and specification: the more complex the transaction, the more carefully each title must be tested. Complexity is not proof of legitimacy. It is a reason for closer scrutiny.

Lessius thus prepares the way for Juan de Lugo's still broader synthesis, in which actual loss, foregone gain, and risk are drawn explicitly into a unified theory of detriment. That synthesis will be powerful because it sees the common structure behind the titles, each claiming that surplus is justified by a burden external to the *mutuum*, and dangerous because the broader the category of detriment becomes, the easier it is to redescribe almost anything as loss. Lessius is the bridge. He systematizes without fully dissolving the boundaries, makes moral theology more commercially intelligent without wholly surrendering to commercial logic, and shows that *damnum emergens* cannot remain an isolated doctrine of simple damages; it must be understood in relation to lost profit, risk, liquidity, labor, and contract form. He also leaves behind the unresolved question that haunts the rest of the tradition: how broad can compensation become before it turns back into usury?

The question is still alive. Modern finance assumes that capital deserves compensation for time, risk, illiquidity, opportunity cost, administrative burden, and inconvenience, and Lessius would understand the logic of every item on the list. The older doctrine would ask the harder question: which of these are real external burdens, and which are simply different ways of saying that money must grow? A non-extractive financial system has to be intelligent enough to recognize real loss, real work, real risk, and real commercial complexity, and ascetic enough to refuse the automatic monetization of time, the fictionalization of damage, and the transformation of every vulnerability into yield. Lessius supplies the grammar for that discipline; keeping the grammar truthful is the work he left to everyone

after him, and the first person to take it up at full scale was a Spaniard in Rome.

17.4 Juan de Lugo's synthesis

Juan de Lugo was born in Madrid in 1583, entered the Society of Jesus in 1603, and taught theology at the Roman College for over two decades. When his *De iustitia et iure* appeared in 1642, dedicated to Urban VIII, the pope was so taken with it that he made the author a cardinal the following year; Lugo tried to decline the honor and was commanded to accept it. He died in Rome in 1660. With him, the doctrine of *damnum emergens* reaches one of its most powerful and dangerous moments. The title no longer functions merely as a narrow claim for actual loss in the simple sense. It begins to operate as a broader theory of detriment, under which loss incurred, profit foregone, and risk assumed can all be interpreted, in certain conditions, as ways a lender or investor is made worse off by a transaction. In Lugo, the scattered logic of the extrinsic titles is gathered into a comprehensive account.

This is why Lugo matters. He does not add one more opinion to an already crowded debate; he offers a synthesis. The earlier tradition had treated the titles with varying degrees of separation. *Damnum emergens* concerned actual loss. *Lucrum cessans* concerned profit not made. *Periculum sortis* concerned risk to principal. *Poena conventionalis* concerned culpable delay or breach, and adjacent titles such as labor, expense, and deprivation of money occupied their own disputed places. Lugo sees that all of them share a common moral form: each claims that payment above principal is justified not by the loan itself but by some burden external to the loan.

The insight allows moral theology to ask a single unified question: has the lender suffered, or genuinely assumed, a detriment that justice allows to be compensated? If so, the surplus is not necessarily usury. It may be restorative; it may repair equality, compensate exposure, reimburse loss. If the alleged detriment is fictive, speculative, duplicated, or merely a polite way of demanding growth from money, the title fails and the surplus becomes extraction.

Lugo's synthesis is therefore clarifying and destabilizing at once. It clarifies why actual loss, lost profit, and risk can be discussed together: each is a form of disadvantage connected to the transaction. It destabilizes the older boundaries. Once foregone profit and risk are understood as "losses of a sort," the category of *damnum emergens* can expand dramatically and begin to absorb the other titles. What began as the cleanest and most concrete title may become an umbrella under which much of modern finance can seek shelter.

The power of the move lies in its realism. Economic harm does not always appear as a pile of coins already lost. Sometimes it appears as a frustrated transaction, sometimes as exposure to loss, sometimes as a liability incurred because another party failed to perform, sometimes as a concrete profit that would almost certainly have been obtained had the borrower not withheld repayment. A theology that recognizes only direct, visible, past loss will fail to do justice to real commercial life.

The danger of the move lies in its elasticity. Broaden loss too far and everything becomes loss. The lender without his money has "lost" liquidity. The investor who might have earned elsewhere has "lost" return. The creditor who faces any possibility of default has "lost" certainty, and the financier who accepts a lower return in one place has "lost" the higher return he imagines he could have made in another. At that point the usury prohibition is no longer denied outright. It is dissolved through expansion. Lugo's greatness is that he sees the common structure; his danger is that the common structure can become too common.

To feel both sides, walk the three titles in their strongest forms. Begin with *damnum emergens* in its classic shape. The lender suffers actual damage: because of the loan, the delayed repayment, or the borrower's failure, he incurs a real cost. He must borrow elsewhere, or he pays a penalty, loses property, incurs legal expense. The harm can be documented and causally connected to the borrower's action, and compensation restores him to the position he should have occupied. This is the cleanest case. It is not gain from the loan; it is repair.

Now consider *lucrum cessans*. Here the lender does not lose something already possessed. He fails to obtain a gain he would otherwise have obtained. Aquinas had resisted this strongly when framed as a contractual claim in lending: one must not sell what one does not yet have, for the expected profit might never have materialized, and to charge for it in advance risks selling possibility as possession. Yet later theologians recognized that not all future gain is merely imaginary. Some gains are concrete, intended, proximate, and morally certain enough that their frustration can resemble damage. If a merchant had already arranged a transaction and lost it only because funds were not returned, the foregone gain may be more than a dream. It may be a real detriment.

Lugo's synthesis allows this kind of lost profit to be understood under the broader logic of loss: not *damnum emergens* in the narrowest sense, but still a harm, a position worsened by the interruption of a concrete good. And he insists on limits. The profit must be genuinely caused by the loan or the delay. The amount must not exceed the value of the profit lost. Compensation should not become an automatic upfront deduction, and the title must not become a universal claim that money could always have made more elsewhere. This is crucial: Lugo's acceptance of *lucrum cessans* is not modern opportunity-cost theory in its broadest form. Modern finance assumes that capital always has an alternative market return and that any deployment must compensate the owner for the return not taken. Lugo's logic is more disciplined. The alternative must be concrete, the causality real, the valuation bounded, and the claim must never become an abstract metaphysics of money's right to grow.

The same pattern holds for *periculum sortis*. Risk to principal can be interpreted as a kind of detriment: the lender exposes capital to possible loss and bears uncertainty. If repayment is genuinely contingent, if the principal can truly be lost, if the lender shares downside rather than merely shifting it to the borrower, then compensation for the exposure may be morally intelligible. Risk is not nothing. To bear it can be a real burden. But here the danger is immense, since every lender faces some possibility of default. If ordinary default risk were enough to justify surplus, every loan could be priced by risk and the usury doctrine would collapse into ordinary credit markets. Lugo's synthesis therefore requires a careful distinction between genuine capital exposure and merely nominal risk. The relevant question is never whether risk can be imagined; risk can always be imagined. The question is who legally and economically bears the downside.

That question lands with particular force on modern structures. A lender may claim to bear risk while holding collateral, seniority, guarantees, covenants, default penalties, and enforcement rights against the borrower's assets. In such a structure the lender's principal is protected as far as law and paper can protect it, while the borrower's life, work, mission, and community absorb the real shock. Calling this "risk-bearing" may be formally plausible and morally misleading. Lugo's broad theory of detriment remains non-extractive only if risk is not fictionalized. Capital must actually be capable of loss.

Hence Lugo's depth for non-extractive capital: he lets us see risk, lost profit, and actual damage as morally related without making them morally identical. The common question is whether surplus corresponds to a real burden; each burden is then tested according to its own form. Actual damage must be documented. Lost profit must be concrete and causally

interrupted. Risk must be genuinely borne. None may be duplicated, none inflated, none turned into a pretext for guaranteed growth.

His synthesis also explains how the extrinsic titles come to sound like modern finance, which is built on categories remarkably like expanded titles: default interest, damages, opportunity cost, risk premium, liquidity premium, management fee, monitoring fee, transaction cost, insurance, preferred return, exit compensation. Each can be morally legitimate in some form. Each can become extractive. Lugo's framework lets us see the moral anatomy beneath the terminology and ask whether a payment corresponds to loss, foregone gain, risk, labor, or expense, or whether the words simply disguise the expectation that capital must be protected and enlarged.

The significance of Lugo is not that he "permits interest" in a simple modern sense (that flattens the doctrine), nor that he preserves the earlier prohibition unchanged (equally misleading). His importance is that he gathers the tradition into a more flexible and comprehensive theory of compensable detriment, one that handles complex economic life far better than a rigid list of isolated exceptions. And because the theory is flexible, it requires even stronger safeguards.

The safeguards are the heart of the matter, and Lugo's synthesis needs all six. First, the detriment must be real; a purely imaginary or hypothetical burden cannot justify surplus. Second, it must be external to the loan itself; the lender cannot demand payment merely because the borrower used the money. Third, it must be causally connected; the transaction, delay, or risk-bearing structure must actually produce the detriment. Fourth, it must be proportionate; compensation must not exceed the burden. Fifth, it must not be counted twice; the same harm cannot justify damages, penalties, fees, and premiums all at once. Sixth, it must not shift vulnerability onto the weaker party while pretending to compensate the stronger.

The sixth safeguard deserves its own pause. Scholastic theology is not finally concerned with conceptual neatness but with justice between persons, and the borrower is not an abstract counterparty. The borrower may be a poor neighbor, a merchant in difficulty, a household under pressure, a worker-owned enterprise, a mission-driven company, a community-serving institution. A contract can be technically sophisticated and still morally ugly. It can name titles while preserving domination, and it can allocate all the downside to the borrower while giving the lender a rich vocabulary of compensation.

Lugo's synthesis must therefore be read through the whole tradition, not against it. The biblical grammar of debt still matters: the debtor is not to become prey. The Aristotelian suspicion of money breeding money still matters. The Roman-law structure of the *mutuum* still matters, and so do Aquinas's refusal to sell the use of consumable money, the Franciscan concern for practical institutions serving the poor, and Salamanca's demand for proof and proportionality. Lugo does not abolish these constraints. He tests how far they can be carried into complex finance.

Which explains why later critics grew alarmed. A broad theory of detriment can be pastorally useful, and it can also hollow out the prohibition from within. If every lender is permitted to redescribe ordinary lending as risk, lost opportunity, deprivation of money, or commercial damage, the old doctrine remains in words and disappears in practice. The danger was never open rebellion against moral theology; the danger was successful translation, for usury survives by learning to speak scholastic Latin, and by Lugo's time it had native fluency within reach.

And yet rejecting Lugo entirely would also be a mistake. Without his synthesis, moral theology risks becoming too blunt for real economic life: unable to distinguish a predatory lender from an institution that must recover actual costs, or genuine risk-bearing from guaranteed debt, or the foregone gains concrete enough to matter, and unable to design

financial structures that are both just and sustainable. Lugo's work is dangerous because it is useful. It must be disciplined, not discarded.

For non-extractive finance, he offers a model of moral integration. A modern contract should not merely ask whether a return is "interest" in the legal sense; it should ask what kind of detriment, if any, justifies each payment. If the payment is for actual damage, where is the documentation? If for foregone profit, where is the concrete alternative? If for risk, where is the loss absorption? If for labor, where is the work? If for expense, where is the cost? If for delay, where is the culpability? Where none of these can be answered, the payment may be legally sophisticated and morally empty.

This is the point at which the extrinsic titles become a diagnostic system rather than a list of loopholes. Lugo helps us see the system whole. The titles are not random exceptions to an outdated ban but tests of moral reality, asking whether capital is being compensated for a real burden or simply enthroned as a thing that must grow, whether the borrower's payment restores equality or entrenches subordination, whether risk is shared or shifted, whether finance serves life or extracts from it.

His synthesis is a gift and a warning in the same package. The gift: moral theology that can speak to complex capital structures. The warning: complexity is where extraction goes to hide, and the broader the category of compensable detriment becomes, the more rigorously each claim must be examined, or the "master title" becomes the master loophole. The task ever since has been to keep Lugo's insight without losing Aquinas's restraint. Actual loss, foregone gain, and risk can all matter; money still does not deserve growth simply because it is money; capital acquires no moral sovereignty from having alternatives, and risk language does not sanctify contracts that protect the investor while exposing the borrower. A payment above principal must still answer the old question: is this surplus from restoration, from participation, or from domination? Lugo gives us the broadest version of that question. Modern finance has yet to answer it.

17.5 Benedict XIV and Alphonsus

The late scholastic expansion of the extrinsic titles did not end the usury debate. It made the debate more subtle. By the time of Lugo, the tradition had developed a broad and flexible account of compensable detriment: actual loss, foregone profit, and risk to principal could all, in carefully bounded circumstances, justify payment above principal. The flexibility itself created a new danger. The prohibition against usury could remain formally intact while being practically emptied of force.

Later Catholic teaching confronted the problem in a characteristic way: it neither erased the older doctrine nor canonized every late scholastic expansion, but restated the core principle while acknowledging that genuine extrinsic titles remained possible. Benedict XIV's *Vix pervenit* and the later manualist synthesis of St. Alphonsus Liguori belong to this moment of consolidation, the attempt to preserve the heart of the usury doctrine in a world where legal interest, commercial lending, public finance, and complex contracts had become increasingly normal.

Vix pervenit, issued by Benedict XIV (Prospero Lambertini, one of the most learned men ever to hold the office) on November 1, 1745, and addressed to the bishops of Italy, is often misunderstood because it is read through modern categories. Modern readers want to know whether the document condemns "interest" in the contemporary sense. The older theological question is more precise: may a lender, by reason of the *mutuum* itself, demand more than the equivalent principal? On that point the answer remains no. The loan for consumption does not generate a right to gain from itself. The borrower receives

ownership of the money and owes back the *tantundem*, the equivalent amount of the same kind and quality. To demand surplus simply because of the loan is to seek gain from the loan itself.

This is the line Benedict XIV insists on, and he closes the customary escape routes one by one. The sin of usury does not disappear because the parties consent, because the contract is common, because the borrower is willing, or because commercial life has grown accustomed to such payments. The moral issue lies in the structure of the claim. If the lender demands more than principal from the very nature of the loan, the surplus lacks a just title. It is not compensation or restitution, not partnership, not risk-sharing. It is gain from the loan as loan.

At the same time, and this is crucial, *Vix pervenit* does not deny the possibility of extrinsic titles. Benedict XIV does not say that every payment above principal is always and everywhere usury. He recognizes that a lender may have a legitimate claim arising from something outside the loan itself, and the tradition had already named the possibilities: actual loss, penalty for culpable delay, foregone gain in certain cases, risk-bearing, labor, expense, other just causes. The point is not that surplus is impossible. The point is that surplus must be justified by a real title distinct from the *mutuum*.

The continuity with the preceding chapters is exact. The whole doctrine of the extrinsic titles turns on one distinction: surplus from the loan itself is usury; surplus from a real external burden may be just. Benedict XIV restates the first half with such clarity precisely because the second half had grown so expansive. The more theologians admitted real cases of compensation, the more necessary it became to say plainly that the titles are not permissions to charge for lending, not magic words, not loopholes, but claims that must correspond to reality.

Vix pervenit is best read, then, not as a rejection of the extrinsic-title tradition but as a warning against its abuse. One cannot merely say "loss" when no loss exists. One cannot merely say "risk" while shifting all the downside to the borrower. One cannot merely say "foregone profit" whenever money might have been invested elsewhere, and one cannot merely say "penalty" when the contract is designed so that the lender profits from default. The title must be real, external, and not the loan itself under another name.

The danger is sharpest when the payment is predetermined. A contract may specify an added amount, a fee, a penalty, or a return in advance, and the clause may be innocent: an estimate of actual damages, a covering of real expenses, a reflection of genuine risk-sharing. It may also transform an extrinsic title into a standardized yield, written in the language of compensation while functioning economically as interest. Benedict XIV's insistence on the continuing prohibition works as a moral brake. The contract's words cannot be allowed to outrun its substance.

St. Alphonsus Liguori inherits this settled but complicated tradition, and his relation to it has a pleasing irony: the man who ranked Lugo "easily first after St. Thomas" among theologians spent much of his own career disciplining the expansions Lugo had made possible. As a moral theologian and later a Doctor of the Church, Alphonsus represents the manualist effort to guide confessors through real cases. He does not write as a radical innovator. His importance lies in careful synthesis. By his time the older absolute rigor had been modified by a long history of accepted titles, civil-law developments, commercial practice, and theological debate, and the core concern remained what it had always been: how to permit just compensation without licensing usury.

His approach is pastoral and casuistical in the best sense. He gathers the common teaching, weighs authorities, distinguishes cases, and attempts to give confessors workable rules. Extrinsic titles may justify surplus under conditions. Actual loss may be compensated. Lost profit may be admitted where the conditions are sufficiently concrete. Penal-

ties may be allowed when they are truly penal, proportionate, and not desired as ordinary revenue. Risk may matter when it is genuine, and labor and expense may be reimbursed. None of these titles is to be invoked lightly.

The mature manualist settlement therefore preserves permission and warning together. It does not revert to the claim that any amount above principal is necessarily usury in every possible case; the tradition had become too sophisticated for that. Neither does it embrace the modern assumption that interest is simply the natural price of money. The *mutuum* remains morally dangerous precisely because it can disguise domination as contract. Where principal is guaranteed, repayment is enforceable, and surplus is demanded regardless of outcome, the old question remains alive: what exactly justifies the surplus? Not every surplus is usury, but every surplus must answer for itself, and the manualist settlement is essentially a procedure for putting the question.

Alphonsus matters especially because he worked in a world where practice and doctrine could easily drift apart. Legal systems increasingly allowed interest. Commercial life increasingly depended on credit. Public finance and private lending increasingly normalized return on money, and theologians had to decide whether to condemn all such practice, tolerate it under protest, distinguish it through titles, or defer to civil law. Alphonsus's method is to remain within the doctrinal inheritance while allowing careful case distinctions, seeking a morally usable path between rigorism and laxism.

That middle path is not compromise in the weak sense; it is discipline. Rigorism can be morally simple and practically blind. Laxism can be practically convenient and morally empty. The manualist task is harder than either: to ask what is happening in the concrete case, whether the claimed title is real, and whether the payment restores justice or exploits need. This is why Alphonsus belongs in the same line as Salamanca and the Jesuits even though his tone and purpose differ. He is not expanding the doctrine. He is stabilizing it for pastoral use.

Taken together, Benedict XIV and Alphonsus prevent the extrinsic titles from being misunderstood as the death of the usury doctrine. The titles are not a concession that the Church was wrong to condemn usury; they are the means by which the Church distinguished usury from other kinds of payment. The doctrine was never "no one may ever receive more than was given under any conceivable circumstance," and it was never "any surplus is acceptable if the contract is clever enough." The doctrine was: no gain may be demanded from the loan itself, but real external burdens may be compensated.

The consequences are enormous: the moral center is not the presence or absence of surplus but its source. Is the lender being restored for a loss? Compensated for labor or expense? Sharing risk as a partner? Is the borrower paying a proportionate penalty for culpable delay? Or is he simply paying because he needed money and the lender had power? Benedict XIV keeps the tradition anchored in the prohibition; Alphonsus makes the prohibition pastorally and commercially navigable. The Church did not move from "usury is sinful" to "interest is fine." It maintained the moral suspicion of gain from lending while gradually recognizing that some payments above principal arise from justice rather than extraction.

For modern readers this matters because the category "interest" is too crude to hold the moral distinctions. A late fee, a risk premium, a preferred return, a management fee, a damages clause, a profit share, a cost reimbursement, and a usurious charge may all appear as "financial return" in a spreadsheet, and morally they are not identical. Some may restore equality, some may compensate real work, some may share risk, and some may merely extract. The older doctrine forces us to disaggregate the surplus.

Modern finance, oddly enough, often has the opposite problem: it disaggregates so extensively that every payment receives a technical label and the moral unity of the struc-

ture disappears. Fees, penalties, premiums, preferences, warrants, covenants, monitoring charges, and exit rights may each be defensible in isolation and may together create domination. Benedict XIV's insistence on substance over form remains relevant on exactly this point. The question is not only whether each clause has a plausible title. The question is whether the structure as a whole demands gain from another's vulnerability.

Alphonsus's pastoral caution completes the picture. A confessor could not judge only the abstract contract type; he had to consider intention, proportionality, custom, civil law, actual harm, borrower vulnerability, and the danger of scandal or abuse. A modern moral audit must do something similar. It must ask not merely whether a financial instrument is legal or market-standard but whether its claims are truthful. Does the investor really bear risk? Are damages documented? Are costs actual? Are penalties avoidable? Is lost profit concrete? Is the borrower protected from ruin, and does the lender profit from failure?

The mature tradition also explains why legality is never enough. Civil law may permit a charge, but moral theology asks whether the charge has a just title. A court may enforce a clause, but the conscience may still ask whether the clause is exploitative. Market practice may normalize a return, but custom does not automatically create justice. Benedict XIV stands squarely against the idea that common practice can redefine the moral nature of the *mutuum*, and Alphonsus helps confessors navigate the cases where law, custom, and conscience refuse to align.

For non-extractive finance the lesson is direct. The task is not to abolish every surplus payment. A financial institution that cannot recover costs will collapse. An investor who genuinely shares risk may justly participate in upside. A lender who suffers real damage may be restored, and a worker or steward may be paid for labor. But the structure must refuse guaranteed growth extracted from the vulnerability of the borrower, refuse the conversion of time into automatic yield, refuse fictional damages, engineered default, and risk premiums without real risk-bearing.

This is why *Vix pervenit* remains more radical than it first appears. Its central claim is not merely about eighteenth-century loan contracts. It challenges the metaphysics of capital: it denies that money, simply by being lent, carries a natural right to increase; it denies that the passage of time alone creates a moral claim; it denies that consent and custom are sufficient to make extraction just. Gain must be justified by something real, external, and proportionate. Alphonsus then shows how that insistence can be lived with pastoral prudence, in the details where moral theology actually operates: distinguishing actual loss from imagined loss, concrete foregone profit from abstract opportunity cost, real risk from risk-shifting, penalty from yield, cost recovery from profit extraction, patient enough to classify and courageous enough to say no.

The movement from Salamanca through Molina, Lessius, and Lugo to Benedict XIV and Alphonsus is thus the full arc of *damnum emergens*: the simplest and cleanest of the extrinsic titles grows precise through casuistry, legally integrated through Molina, systematized through Lessius, expansive through Lugo, and is then brought back under the discipline of the central prohibition. The title may expand. What it may not do is forget what it is for: restoration rather than enrichment, the repair of a burden rather than the monetizing of another's need.

17.6 Modern diagnostic checklist

By the end of this history, *damnum emergens* is much more than a narrow medieval exception. It is a disciplined way of asking whether a payment above principal is restorative or extractive, and the modern task is to turn that inheritance into a working diagnostic.

Not because moral theology can be reduced to a checklist, but because finance has become so complex that a checklist helps prevent moral evasion. Modern contracts do not announce themselves as usurious. They arrive as fees, premiums, preferred returns, penalties, covenants, risk adjustments, breakage costs, liquidity charges, monitoring fees, legal reimbursements, and damages clauses. Each has a legitimate function. Each can become a mask.

The question is therefore never simply whether the contract requires more than principal. The question is what justifies the “more.” Is it actual loss? Is it documented? Was it caused by the borrower? Is it proportionate? Is the same harm counted elsewhere? Does the accounting restore equality, or does the whole structure convert the borrower’s need into the lender’s guaranteed return? The tradition’s answer unfolds as ten diagnostics.

The first diagnostic is actual loss. A claim under *damnum emergens* must begin with something real: legal costs, collection costs, administrative costs caused by default, liquidity damage, penalty payments to third parties, losses directly caused by non-payment or culpable delay. The loss cannot be rhetorical. It cannot be the vague claim that money is useful, or the abstract claim that capital could always have been deployed elsewhere, or a generalized complaint that lending involves inconvenience. This first test already cuts against much of modern financial language, which treats the absence of return as a kind of loss: capital that earns less than expected is “underperforming,” money that is tied up is “lost optionality,” and a late borrower is monetized automatically. *Damnum emergens* asks a stricter question. Not what return was desired, not what spreadsheet projection failed, not what benchmark was missed, but what real burden has arisen that justice requires someone else to repair.

The second diagnostic is causal connection. A real loss is not enough; the borrower or the transaction must have caused it in a morally relevant way. If the lender suffers because of his own imprudence, his market speculation, an unrelated business failure, or general economic volatility, the borrower cannot automatically be made responsible. The title requires a line of causality: because this money was not returned, the lender had to borrow elsewhere; because the borrower culpably delayed, the lender incurred legal expenses; because the agreed payment was withheld, the lender missed a concrete obligation and suffered a penalty. Causality is what prevents *damnum emergens* from becoming a general transfer of risk from lender to borrower. Without it, every misfortune of the capital provider could be pushed downward, and the borrower would become the insurer of the lender’s whole financial life, which is not restoration but domination. A non-extractive structure must ask: would this loss have occurred anyway? Was it caused by the borrower’s breach, by ordinary business risk, by the lender’s own choices, or by wider market conditions? Only the first can plausibly ground the title.

The third diagnostic is proof or documentation. The tradition did not require modern accounting software, but it did require moral seriousness, because a loss that cannot be specified can easily become a fiction. Today the burden should be clearer still. If administrative costs are claimed, they should be itemized. If legal costs are claimed, they should be evidenced. If liquidity harm is claimed, it should be traceable; if a third-party penalty was incurred, it should be documented, and if a damages clause estimates future harm, the estimate should be reasonable and connected to likely loss. Documentation serves more than compliance. It serves truth. It prevents the language of loss from becoming a fog, lets the borrower, auditor, steward, or community see what is actually being charged and why, and blocks the slow accumulation of vaguely justified payments: a fee here, a penalty there, a premium elsewhere, each individually plausible, together a structure of extraction.

The fourth diagnostic is proportionality. Compensation may restore a loss; it may not

exceed it. This is where *damnum emergens* stays tied to commutative justice: the payment repairs the inequality created by the loss and must not create a new inequality in favor of the lender. A lender who suffers a loss of 1,000 may not claim 5,000 under the name of damage. If administrative costs are modest, the fee should be modest. If delay causes inconvenience but no measurable harm, the response should be restrained, and if the amount is fixed in advance, it should be a reasonable estimate rather than a hidden yield. Proportionality matters doubly in modern contracts because small clauses compound. Late fees, default interest, legal costs, monitoring fees, penalties, and accelerated repayment can interact until they overwhelm the borrower, each defensible separately, punishing rather than restoring together. A moral audit therefore examines proportionality twice over, in each charge and in the structure: not only whether each item has a title, but whether the total burden remains ordered toward restoration.

The fifth diagnostic is no double-counting. The same harm cannot be charged under several titles. A lender cannot claim administrative cost through a management fee, then again through a monitoring fee, then again through damages, then again through default interest. A risk cannot be priced through a risk premium and simultaneously eliminated through collateral, guarantees, and seniority while still being charged as though borne. A delay cannot justify both a penalty and a separate damages amount unless the two correspond to distinct harms. Double-counting is one of the most common ways extraction hides inside complexity: in the spreadsheet each line item appears rational, while in lived reality the borrower pays repeatedly for the same burden. The titles must be read relationally. *Damnum emergens*, *lucrum cessans*, *periculum sortis*, labor reimbursement, and penalties cannot be stacked without careful scrutiny, and where all are invoked at once, the burden of proof becomes heavier, not lighter.

The sixth diagnostic is restorative accounting, the positive form of the previous tests. A non-extractive financial structure should be able to show how each payment restores, reimburses, shares, or sustains. Principal restores the capital advanced. Cost reimbursement covers actual expenses. Labor compensation pays for real work. Damages repair documented loss. Risk compensation corresponds to genuine loss absorption, and profit-sharing corresponds to real participation in upside and downside. A payment that cannot be mapped to one of these restorative or participatory functions should be morally suspect. Note that this is not ordinary financial accounting, which tells us how a payment is booked: revenue, fee income, penalty income, interest income, reimbursement. Restorative accounting asks whether the moral substance matches the label. A “fee” may be profit. A “penalty” may be yield. A “risk premium” may exist without meaningful risk; a “preferred return” may function like guaranteed interest, and a “cost reimbursement” may include hidden margin. The moral ledger asks not how the payment is recorded but what it does.

The seventh diagnostic is no conversion into target IRR, and it may be the clearest modern test in the set. A true *damnum emergens* claim is not reverse-engineered to achieve a desired internal rate of return. If a fund decides it needs 8 percent, 12 percent, or 20 percent and then searches for titles to justify the return, the logic has already shifted from compensation to extraction; the title is decorative and the real driver is yield. This is precisely what the older doctrine was designed to prevent. The extrinsic titles are not methods for sanctifying a target return. They are moral descriptions of real burdens. Actual loss does not expand or contract according to investor expectations. Causality is not created by portfolio targets, and proportionality is not determined by benchmark returns. If the payment is calculated from the capital provider’s desired yield rather than from the burden incurred, it is not *damnum emergens* in any serious sense. The test matters most for venture capital, private equity, and other return-oriented structures, which begin with portfolio math: ex-

pected losses, desired multiples, management fees, hurdle rates, preferred returns, exit timelines. From inside that world every clause appears necessary. Scholastic moral theology asks the prior question: necessary for what? To restore loss? To sustain stewardship work? To share risk fairly? Or to make capital grow according to a predetermined expectation?

The eighth diagnostic is borrower vulnerability. Strictly speaking, *damnum emergens* concerns loss to the lender, but the broader tradition never treats the borrower as irrelevant. Scripture, canon law, and scholastic theology all retain a memory of the poor borrower, the neighbor in need, the debtor whose vulnerability can be exploited, and a damages claim may be technically real and still pastorally dangerous if enforced without regard to hardship, disproportion, or domination. Not every borrower is poor and not every lender powerful; merchants borrowed from one another, states borrowed, companies and wealthy actors borrow still. But in many modern settings, especially mission-driven enterprises, worker-owned companies, small businesses, social ventures, and community institutions, the borrower is structurally weaker than the capital provider. A non-extractive framework must ask whether the damages claim restores equality or intensifies vulnerability. Is there a hardship clause? Is there a cure period? Are penalties capped? Is the lender incentivized to help the borrower recover, or to profit from distress?

The ninth diagnostic is substance over form. A contract may use the language of damages while functioning as interest, the language of risk while guaranteeing repayment, the language of partnership while imposing debt-like control, the language of stewardship while preserving investor domination. The tradition's entire analysis of the extrinsic titles depends on refusing to be deceived by form: the question is not what the clause is called but what the clause does. The test is central to modern moral finance because the failure modes are so respectable. A "non-extractive" instrument can become extractive if the legal architecture shifts downside to founders, workers, or mission while protecting capital. A "patient" investment can dominate if it accumulates preferred claims that eventually force an exit. A "recoverable grant" can become debt, and a "stewardship fee" can become rent. Substance over form requires a moral reading of economic reality, not merely a legal reading of contractual language.

The tenth diagnostic is orientation toward life. It sounds less technical than the others, and it is the final test that gives the others their meaning. The question is not merely whether a clause can be defended but whether the structure as a whole serves the life of the borrower, the lender, the workers, the mission, the community, and the wider economy. Does it preserve the possibility of work? Does it protect the vulnerable? Does it sustain institutions that serve real needs? Does it distribute risk truthfully, and does it allow capital to participate without ruling? This last test returns the checklist to the deepest purpose of the usury doctrine, which was never to forbid financial sophistication. It was to prevent money from becoming a tool of domination. The extrinsic titles were not loopholes but disciplines of truth: they forced the lender to say why more was owed, tied the surplus to reality, and kept the borrower's need from becoming the lender's automatic revenue stream.

For working use, the *damnum emergens* checklist compresses into seven core questions, and they are worth setting down as the deliberate apparatus they are:

1. **Is there an actual loss?** The claim must begin with real detriment, not inconvenience, expectation, or generic cost of capital.
2. **Was the loss caused by the borrower, the loan, or the delay in a morally relevant way?** Without causality, compensation becomes risk transfer.
3. **Can the loss be proven or reasonably documented?** Without documentation, loss-

language becomes fiction.

4. **Is the amount proportionate?** Compensation restores equality; it does not create yield.
5. **Is the same harm counted only once?** Multiple titles must not be stacked to charge repeatedly for the same burden.
6. **Is the accounting restorative?** Each payment should correspond to loss, labor, expense, risk-bearing, or participation, not to hidden return.
7. **Has the title been converted into target IRR?** If the desired return comes first and the title comes afterward, the moral order has been reversed.

These questions do not resolve every case, and they are not a machine for producing moral certainty. What they impose is discipline. They slow the rush from legal permission to moral approval, force the financial structure to explain itself, and allow founders, investors, confessors, lawyers, auditors, and stewards to distinguish compensation from extraction. The history behind them bears directly on modern non-extractive capital: a fund may need to recover real costs, be compensated for real damages, hold reserves for legal enforcement, administration, stewardship, and care, and recognize that certain delays create genuine harm. What it must not do is translate all of this into a guaranteed return on capital, use damage language to achieve yield, or make the vulnerable pay for losses they did not cause.

So the master title remains under judgment, which is where this chapter leaves it. *Damnum emergens* is powerful because real losses should be repaired. It is dangerous because almost anything can be narrated as loss by those with enough power and imagination. The moral task, from Soto's Salamanca lecture hall to the term sheets of the present, is to keep the title concrete, causal, documented, proportionate, and restorative, so that compensation remains compensation and capital serves life instead of extracting from it.

PART VII

**Lucrum Cessans: Foregone Profit and the Dangerous
Birth of Opportunity Cost**

Why *Lucrum Cessans* Was So Controversial

18.1 Definition

Lucrum cessans means “gain ceasing,” or more naturally, “profit foregone.” It names a claim for compensation when someone has been prevented from obtaining a gain that would otherwise have been made, rather than suffering an actual loss already incurred. In the history of scholastic usury doctrine this became one of the most controversial of all the extrinsic titles, because it stands at the dangerous boundary between compensation and opportunity cost.

The basic idea is simple enough. Suppose a merchant has money he intends to use in trade: he could buy goods, transport them, sell them, and earn a profit. Instead he lends the money to another person, and the transaction cannot be completed. If the profit would truly have been made, the loan has not merely deprived him of idle money; it has interrupted a concrete gain. The question is whether he may be compensated for that lost gain without committing usury.

This is different from *damnum emergens*. There the lender suffers an actual loss: something he already has, or ought securely to have, is diminished. He pays a penalty, incurs legal costs, must borrow elsewhere, or finds his goods damaged. His position is worsened by a concrete injury, and the moral logic is restorative. The payment repairs a loss that has emerged.

In *lucrum cessans* the lender claims instead that a profit has failed to appear. The harm is not that something possessed has been taken away but that something expected was prevented from arriving. The lender does not say, “I had 100 and now have only 90.” He says, “I had the means and the intention to earn 120, but because of this loan I received only the return of my 100.” The claim is not for the restoration of a lost possession but for compensation for an unrealized future.

That is why the title was dangerous from the beginning. It asks moral theology to decide when a future good is concrete enough to be treated as a compensable loss. Some future goods are nearly certain, others merely hoped for; some gains are tied to specific transactions already arranged, others are vague possibilities. Some claims are honest (“I was prevented from completing this definite commercial act”) and some are fictional (“money can always earn somewhere, so every loan deprives me of profit”), and the title becomes morally explosive because both can be made in the language of foregone gain.

The phrase itself reveals the problem. *Lucrum* means gain, profit, advantage; *cessans* means ceasing, stopping, coming to a halt. The title does not describe damage already suffered in the most concrete sense. It describes a stream of gain that has been interrupted, and the moment one speaks this way, one is close to a modern financial imagination: capital pictured as moving, earning, growing, producing, so that lending it without compensation counts as a sacrifice.

The older usury doctrine did not deny that such sacrifice could sometimes be real. It

denied that the sacrifice was automatic: that every lender could simply appeal to the general productivity of money, or that the possible gain of money elsewhere created a natural right to surplus in every loan. *Lucrum cessans* was not originally a blanket permission to charge opportunity cost but a disputed title, admitted only under conditions, precisely because it could so easily swallow the whole prohibition.

A simple example helps. Imagine a merchant who has already contracted to buy cloth at one fair and sell it at another. The transaction is concrete, the price known, the route planned. The profit is not guaranteed in some absolute metaphysical sense, but it is determinate enough that ordinary commercial judgment treats it as real. If someone urgently asks to borrow the money, and the merchant lends it and loses the cloth transaction, one can at least understand the claim: the loan caused a definite gain to cease.

Now imagine a different case. A wealthy lender has no particular plan for his money. He simply says, "Had I not lent this sum, I could have invested it somewhere; therefore the borrower must compensate me for the return I might have earned." Here the claim is much weaker. No concrete transaction has been interrupted, and no definite gain was morally or practically in hand. The lender is pointing not to a particular lost profit but to the abstract productivity of capital, and this is precisely where *lucrum cessans* begins to become modern opportunity cost.

The entire controversy lives between these two cases. The first seems too concrete to ignore, the second too broad to permit, and the scholastic tradition spent centuries trying to draw a line between them.

Aquinas represents the deep caution of the tradition. In his treatment of usury he allows compensation for actual loss incurred and resists compensation for profit not made, and not because he lacks imagination about commerce. He sees the moral danger of selling what one does not yet possess. A future profit may never be obtained at all; it can fail through market change, weather, dishonesty, illness, or the ordinary uncertainty of trade. To demand payment for it in advance risks turning possibility into property, and that phrase captures the heart of the problem. May a merely possible gain be treated as if it were already the lender's? If yes, under what conditions? If no, does justice fail to compensate real commercial sacrifice? The tradition could not avoid the question, because economic life kept presenting cases in which money was not simply idle. Merchants did use capital productively, lending could interrupt real activity, and refusing all compensation for foregone gain could sometimes burden the lender unfairly. But allowing all such compensation could make every loan interest-bearing.

This is why *lucrum cessans* develops more slowly, and more controversially, than *damnum emergens*. Actual loss was easier to see, was tied to something already possessed or owed, and could often be documented. Foregone gain required a judgment about the future, was tied to something expected, and demanded probability, intention, and valuation. Above all, actual loss restored equality, while foregone gain risked creating a claim that money deserves growth simply because it could have grown.

The title also raises a question about vocation and activity. A merchant who normally trades may plausibly claim that money in his hands is ordered toward a specific commercial use. A private lender who habitually lends at a return cannot make the same claim without circularity: if his "lost profit" is simply the interest he would have charged someone else, then *lucrum cessans* becomes a justification for lending at interest because one could otherwise have lent at interest. That reasoning collapses into itself. The alternative use must be licit, it must be real, and it must not presuppose the very practice the usury doctrine is questioning.

The point is essential for modern finance, where opportunity cost is treated as universal: capital always has a benchmark, money an alternative deployment, a fund a hurdle

rate, an investor an expected return. From this perspective every below-market or patient investment appears as a sacrifice requiring compensation. The scholastic tradition asks a more morally demanding question. Is the alternative gain concrete, licit, intended, and causally prevented by this transaction, or is it merely the abstract claim that capital could always have earned somewhere?

Lucrum cessans therefore marks the dangerous birth of opportunity cost, because it introduces the idea that not earning can sometimes count as losing. This is not obviously false; in many situations a prevented gain really does harm a person. But once “not earning” becomes morally equivalent to “losing,” the whole architecture of finance changes. The owner of capital can begin to treat every act of patience, mercy, solidarity, or restraint as a cost imposed upon him, until what was once generosity reads as underperformance, patience as illiquidity, solidarity as concessionary return.

This is why the title must be handled with ascetic discipline. It is not enough to say that money could have produced profit. One must ask: whose money? In what vocation? For what concrete use? With what degree of certainty? Interrupted by whom? Valued how? Claimed when? Charged to whom? And does the claim preserve the difference between compensation and extraction?

Beneath the casuistry sits a theological question: should capital be presumed to have a right to growth? The Christian tradition’s answer was not simply anti-commerce. It allowed merchants to earn profit for labor, service, risk, and public utility; partners to share gains and losses; compensation for real loss; eventually even certain forms of foregone gain. What it resisted was the idea that money as such has a moral entitlement to increase. *Lucrum cessans* is controversial because it can either remain within that resistance or overthrow it from inside.

Properly bounded, *lucrum cessans* says: “A concrete, licit, intended gain was truly prevented, and justice may require proportionate compensation.” Improperly generalized, it says: “Capital could always have earned, therefore capital must always be paid.” The first may be restorative; the second is the seed of extraction. That is the question that will occupy the next several chapters. How did the canonists first make room for future value? Why did Aquinas resist the title and yet supply principles later used to defend it? How did Peter John Olivi, from within a Franciscan moral world, take merchant capital seriously without simply blessing interest? Why did fifteenth-century theologians begin to admit lost profit in some cases? How did Salamanca and the Jesuits discipline, expand, and eventually normalize the title? And how did *lucrum cessans* become one of the main bridges between scholastic compensation and modern opportunity-cost thinking?

The answer begins with a deceptively simple claim: sometimes a loan prevents a gain. Whether compensation for that prevented gain is justice or usury depends on everything else.

18.2 Why it differs from *damnum emergens*

The difference between *damnum emergens* and *lucrum cessans* can look small at first. Both concern harm; both claim that the lender has been made worse off by a loan, a delay, or an interruption; both present themselves as compensatory rather than profitable; and both are invoked as extrinsic titles, that is, as claims external to the *mutuum* itself. Yet the difference is one of the most important distinctions in the whole history of usury doctrine.

Damnum emergens means actual loss arising: a loss that has emerged, appeared, come into being. The lender is deprived of something he already had, or is forced to bear a cost he should not have had to bear. He pays a penalty to someone else, incurs legal or collection

costs, must borrow at expense because repayment was delayed, suffers a concrete injury because the borrower failed to return what was owed. The claim is backward-looking or present-facing: something has happened, and justice requires repair.

Lucrum cessans, by contrast, means gain ceasing: a profit that did not come into being. The lender is not necessarily poorer in what he already possessed; he has failed to become richer in the way he expected and intended. He did not complete the trade, earn the margin, buy the goods, send the ship, participate in the fair, close the transaction. The claim is forward-looking: something would have happened, and justice may require compensation because it was prevented.

The distinction sounds technical. Morally it is enormous. *Damnum emergens* deals with the repair of broken equality, *lucrum cessans* with the valuation of unrealized possibility. The first asks what loss has actually arisen, and is usually easier to document; the second asks what gain would have arisen, and requires judgment about intention, probability, causality, and the future. The first is anchored in what has been lost, the second in what might have been gained.

Aquinas's caution turns on precisely this difference. He allows the lender to contract for compensation for loss incurred, because this does not mean selling the use of money; the lender is simply avoiding harm. He resists compensation for profit not made, because the lender may not sell what he does not yet have. The expected profit might never have materialized. It belongs to the realm of contingency, not possession, and to charge for it risks treating a hoped-for future as though it were already property.

This is not because Aquinas denies that future goods matter. Elsewhere he recognizes that someone can wrongfully prevent another from obtaining a future good, and that partial compensation may be owed; he recognizes too that a thing may have special value to its owner because of the use its owner intends for it. Both principles later became important for defenders of *lucrum cessans*. But in the specific context of the *mutuum* he is deeply cautious. The loan already transfers ownership of the money to the borrower, the lender is owed the equivalent principal, and to demand more because of an unrealized gain risks adding a price to the loan itself.

The practical reason for the caution is easy to see. Actual loss has limits: it can be exaggerated, but it is at least tied to some event, a bill, a penalty, a lawsuit, a missed obligation. Foregone profit is much more elastic; it expands to fill the imagination. A merchant may say, "I would have earned ten." A financier may say, "I would have earned twenty." A speculative investor may say, "I might have doubled my money." The more hypothetical the gain, the easier it is to convert desire into claim.

This is why *lucrum cessans* sits closer to modern opportunity cost than *damnum emergens* does. Opportunity cost says that the cost of choosing one option is the value of the best alternative not chosen. In ordinary prudential reasoning this can be useful; people do give up alternatives when they act. But when opportunity cost becomes a moral claim against another person, the stakes change. The lender is no longer simply saying, "I made a sacrifice." He is saying, "You must pay me for the alternative I did not pursue."

Sometimes that may be just. If the alternative was concrete, licit, intended, and truly prevented by the borrower, the claim has moral weight. If the alternative is vague, speculative, or merely the ordinary possibility that money could earn elsewhere, the claim becomes dangerous. It turns the whole financial world into a field of compensable non-events, in which every unrealized possibility is a loss, every act of patience an injury, every failure to maximize return something someone else must repay.

The distinction also changes the meaning of proof. In *damnum emergens*, proof often looks like documentation: what did the lender pay, what cost was incurred, what asset was damaged, what penalty became due, what invoice or legal bill or replacement borrowing

shows the loss? In *lucrum cessans*, proof is more complex. One must show not merely that profit was possible but that it was sufficiently determinate. Was there a real alternative transaction? Had the lender actually intended to undertake it? Was the profit reasonably certain? Did the loan or the delay truly cause the gain to cease? Was the valuation sober?

This is why later theologians, from the Salamanca casuists to the Lugo synthesis of the previous chapter, imposed conditions rather than granting the title outright. The profit had to be concrete rather than imaginary. The alternative use had to be licit. The lender had to have a real intention, or at least a virtual one, to use the money that way. The loan had to be what caused the profit to be lost. The amount demanded could not exceed the value of the lost profit, and compensation could not simply be deducted up front as though the gain were guaranteed. The conditions exist because *lucrum cessans* is morally unstable.

The difference can also be put as loss of possession versus loss of trajectory. *Damnum emergens* concerns something already in the lender's possession or legally secured position. *Lucrum cessans* concerns the path the lender's property would have taken. If that path was definite and interrupted, the loss may be real; if it was merely one among countless imagined futures, the claim becomes speculative. The challenge is to decide when a trajectory has enough moral solidity to matter.

This becomes especially difficult in commercial life, because merchants do not hold money as mere coins in a chest. Their money is often part of an operating cycle: it buys inventory, pays suppliers, transports goods, meets obligations, generates profit. When such money is diverted into a loan, something may truly be interrupted. The older image of money as sterile can fail to describe the merchant's reality; money in trade may already be ordered toward productive activity.

But recognizing this reality does not settle the moral question. It sharpens it. If money in trade can generate real profits, then lending it may impose a real sacrifice; yet if every commercially active person can charge for whatever profit his money might have made, the usury prohibition collapses. The problem is not whether money can be productive in a commercial setting but whether the lender may convert that productive possibility into a guaranteed claim against the borrower.

The line between the two titles is also the line between restoration and expectation. Restoration seeks to put the lender back where he was; expectation seeks to put him where he hoped to be. Justice does sometimes protect expectations, especially when they are concrete and wrongfully frustrated, but expectations are not all equal. A contracted delivery is different from a fantasy, a near-certain trade from a vague investment idea, a planned commercial operation from the abstract statement that markets offer returns.

A modern analogy may help. Suppose a small business lends equipment to another firm, and because the equipment is not returned on time, the business must rent a replacement at a cost of 1,000. That is close to *damnum emergens*: the loss is actual, documented, and caused by the delay. Now suppose the same business says, "Had I had the equipment, I would have completed a contract and earned 5,000 in profit." That is closer to *lucrum cessans*. It may be true, but it requires more proof. Was the contract real? Was the profit likely? Was the equipment the only missing condition? Was the delay truly the cause? The claim may be legitimate, but it cannot be presumed.

The same structure applies to money. If a lender must borrow elsewhere because the borrower delays repayment, the cost of the replacement borrowing may be actual loss. If the lender says he missed a specific transaction because the money was unavailable, the claim enters the realm of foregone gain. If he says he could always have earned a market return, the claim has become abstract opportunity cost. These are not the same moral object.

The older tradition's genius is that it refused to treat them as the same. It did not let

all surplus payments collapse into “interest,” and it did not let all justifications collapse into “compensation.” It insisted on naming the title precisely: actual damage is not lost profit, lost profit is not risk, risk is not labor, labor is not penalty, penalty is not yield. The distinctions matter because each carries its own dangers.

Damnum emergens can be abused through fictive damages, *lucrum cessans* through abstract opportunity cost. The first invents losses that did not happen and inflates injury; the second claims gains that were never truly possessed and monetizes possibility. Both can become extraction. They do so in different ways.

For non-extractive finance, this distinction is vital. A fund or lender may rightly recover actual costs and damages. But when it begins to claim compensation for the returns it might have earned elsewhere, the moral burden becomes heavier. What was the alternative? Was it mission-aligned? Was it actually intended? Was it licit? Was it concrete? Was the expected return reasonable? Did this borrower truly cause the gain to cease? Or is the fund merely importing a benchmark return from the wider market and calling it loss?

That last possibility is especially dangerous. Modern finance often treats market return as the baseline and anything below it as sacrifice, but Christian moral theology cannot simply accept the market as the measure of justice. If the market itself is shaped by extraction, domination, speculation, or misallocated risk, then “what capital could have earned elsewhere” may not be a morally clean benchmark. The alternative use must be not only profitable but licit and just. Otherwise *lucrum cessans* becomes a way of forcing the borrower to compensate the lender for not participating in a more extractive opportunity.

This is one of the doctrine’s most important implications. Foregone profit is not morally neutral. The profit that ceased must be a profit that could have been pursued rightly; a lender cannot say, “I could have made money through usury, exploitation, speculation, or harmful trade, therefore you must compensate me for not doing so.” The lost gain must belong to the order of justice, a good that one could licitly have obtained. Without that condition, *lucrum cessans* becomes morally absurd.

The distinction from *damnum emergens* therefore protects moral sanity as well as analytic clarity. It prevents the lender’s imagination from becoming the borrower’s obligation, hypothetical gain from becoming automatic debt, capital from treating every unchosen path as an injury. It asks whether the future being claimed was real enough, just enough, and causally connected enough to deserve compensation.

At the same time, the distinction prevents a different injustice: pretending that interrupted future goods never matter. A rigid account that recognizes only actual out-of-pocket loss may fail to compensate real harm. If a borrower’s wrongful delay destroys a concrete and nearly certain commercial opportunity, the lender may truly be injured, and justice may require more than repayment of principal. The task is not to deny this but to discipline it.

Thus the two titles form a moral pair, the first safer because it concerns loss already arisen, the second more dangerous because it concerns gain that failed to arise; both ask whether payment above principal can be tied to something external to the loan itself, become usurious when they become fictions, and are just only while they remain truthful. The summary is simple. *Damnum emergens* says, “Because of this transaction, I have lost something”; it repairs a wound, and the wound is easy to see. *Lucrum cessans* says, “Because of this transaction, I did not gain something I otherwise would have gained”; it compensates an interrupted harvest, and the harvest must be proven. That is why *lucrum cessans* was so controversial: it forced scholastic theology to ask whether a future that did not happen can nevertheless create a claim in justice. The answer, eventually, was yes, but only sometimes, only carefully, and only when the future was more than a dream.

18.3 The danger

The danger of *lucrum cessans* is that it can make the usury prohibition disappear without ever denying it. No one needs to say that usury is good, reject Aquinas, or overturn Scripture, canon law, and the moral tradition. One needs only to say, with enough plausibility, that every loan prevents some possible gain. Once that is granted, every borrower can be asked to compensate the lender for the profit that might have been made elsewhere.

This is why *lucrum cessans* was so much more dangerous than *damnum emergens*. Actual loss has natural limits: exaggerate, invent, or manipulate it as one may, it still points toward something concrete, a bill paid, a penalty suffered, an obligation missed. Foregone profit has no such obvious limit. It points toward a future that did not happen, and futures that did not happen are infinitely expandable.

A lender can always imagine another use for the money. A merchant can say he might have traded, a banker that he might have lent elsewhere, an investor that he might have earned the market return, a fund that it had a hurdle rate, a wealthy man that capital always has alternatives. The claim can be made in calm and reasonable language: "This loan deprived me of opportunity." But if every opportunity becomes compensable, every loan becomes a source of return. The *mutuum* remains verbally gratuitous, but economically it has become interest-bearing.

The danger is not merely theoretical; it is built into the structure of the title. *Lucrum cessans* begins with a real moral intuition: sometimes a person is harmed not only by losing what he has but by being prevented from obtaining what he was about to receive. This is true. If someone wrongfully blocks a worker from receiving wages, destroys a merchant's arranged transaction, or prevents a farmer from harvesting a crop, the harm is not imaginary simply because the gain was future. Human life depends on expected goods, and justice cannot ignore them completely.

But the same intuition can be stretched until it becomes unrecognizable. If a near-certain harvest counts, why not a likely harvest? If a likely harvest counts, why not a possible one? If a possible harvest counts, why not the average return of similar harvests? And if the average return counts, why not the best alternative return available in the market? Step by step, compensation for a concrete interrupted gain becomes a universal claim for opportunity cost.

This sliding scale is the moral instability of *lucrum cessans*. It begins with a specific loss of expected profit and ends with the idea that capital deserves payment for every path not taken. Once that happens, the Christian suspicion of gain from lending has been replaced by a modern financial axiom: money has a time value, capital has opportunity cost, and the borrower must pay for access. The older question, whether the surplus is tied to a real external burden, is absorbed without remainder into a theory of capital allocation.

The most dangerous version of the title is therefore not the honest merchant case but the abstract lender case. The honest merchant says: "I had this particular transaction ready. I lent the money instead, the transaction could not happen, and the profit was concrete, licit, and reasonably certain." This claim may still require scrutiny, but it is at least morally intelligible. The abstract lender says: "Money can always earn somewhere. Therefore any borrower who uses my money must compensate me for what I could have earned." That is not a bounded claim but a theory of money's entitlement.

At that point *lucrum cessans* becomes an engine for turning possibility into property. The lender begins to own not only the principal but also the imagined futures attached to it. The borrower must repay not only what was received but also the shadow income that might have arisen elsewhere; the lender's unrealized alternatives become the borrower's actual obligation. The borrower is made responsible for a future that never happened.

This is why Aquinas's warning remains so important. One must not sell what one does not yet have. The statement is not economically naive; it is morally exact. A future profit may be possible, likely, even expected, but it is not a possessed good. It may fail for many reasons: it depends on labor, risk, weather, timing, and providence. To treat it as already owned is to flatten the difference between reality and projection.

Modern finance does this constantly. It treats expected return as a baseline and short-fall as loss, a benchmark as a moral entitlement, the refusal to maximize as a cost, capital's patience as something to be priced. In such a world mercy becomes expensive, generosity becomes irrational, and solidarity becomes concessionary. The owner of capital can always say, "By helping you, I am giving up something." And because the something can be modeled, it can be charged.

Beneath the financial danger lies a spiritual one. *Lucrum cessans* can train the soul to experience generosity as injury. If every act of lending, waiting, forgiving, or restraining oneself is measured against the return one could have obtained, then love itself begins to appear as underperformance. The neighbor becomes the occasion of lost yield; the borrower becomes the one who stands between capital and its imagined future. The lender may still speak the language of justice, but his imagination has been captured by maximization.

None of this means that foregone profit is never real. The tradition eventually admitted that it can be, in carefully defined cases, and precisely because it can be real, it must be disciplined. A false title is easy to reject. A partly true title is more dangerous: it carries enough truth to persuade the conscience while leaving enough elasticity to serve self-interest.

The first danger, then, is universalization. If every lender can invoke *lucrum cessans*, the usury prohibition collapses. The title must therefore be restricted to cases where the alternative use is concrete, licit, intended, and sufficiently certain. It cannot belong automatically to every possessor of money, cannot be claimed simply because capital has market opportunities, and cannot become the ordinary price of lending.

The second danger is abstraction. The more abstract the foregone gain, the weaker the moral title. A specific shipment, contract, purchase, or sale is one thing, a general market return another; a concrete interrupted operation is one thing, a portfolio benchmark another; a real plan is one thing, a hypothetical best alternative another. *Lucrum cessans* becomes morally suspect when it detaches from actual activity and attaches instead to the general idea that money could have grown.

The third danger is circularity. The lender may claim compensation because he could have lent the money to someone else at interest. But if the morality of interest is precisely what is in question, this cannot justify the charge; one cannot defend usury by saying that one could otherwise have committed usury elsewhere. The alternative use must itself be licit. A foregone sinful gain does not create a just title. The modern implication is large: a fund cannot justify its return by comparison with extractive market opportunities, because the benchmark itself must be morally examined.

The fourth danger is valuation inflation. Future gains are difficult to measure, and the lender may choose the most favorable scenario, ignore risk, exaggerate probability, or treat gross revenue as net profit. He may forget costs, uncertainty, labor, and the possibility of failure. A projected gain can become more certain on paper than it ever was in reality, and if compensation is based on such a projection, the borrower pays for an idealized future, not a real lost opportunity.

The fifth danger is upfront monetization. Later theologians were wary of allowing compensation for foregone profit to be deducted or charged automatically at the beginning of the loan, and the reason is clear. If the lost profit is paid up front, before the relevant period unfolds, the lender effectively receives a guaranteed return; the future gain, which

might never have materialized, is converted into present certainty. This again resembles interest. Compensation for *lucrum cessans* must be tied to the actual loss of the gain, not merely to the lender's expectation at the outset.

The sixth danger is pressure on the borrower's need. The borrower may seek a loan because of necessity, vulnerability, or urgent need. If the lender responds by pricing every alternative use of the money, the borrower pays not only for principal but for the lender's entire imagined opportunity landscape, and the more desperate the borrower, the more willing he may be to accept such terms. Consent under pressure does not purify the contract. The biblical memory of the poor borrower continues to judge the transaction.

The seventh danger is the conversion of charity into cost accounting. In the older tradition, lending to the poor was supposed to be an act of mercy; the lender was commanded to open the hand, not harden the heart. *Lucrum cessans* can invert this posture. The lender may begin by asking not "What does my neighbor need?" but "What am I giving up by helping?" That question is not always illegitimate, especially for institutions that must remain sustainable. But if it becomes primary, the moral center shifts from neighbor-love to capital preservation.

The eighth danger is mission drift. Institutions founded for service can adopt opportunity-cost logic by degrees. A charitable lender begins by recovering administrative costs; then it compensates real losses; then it prices foregone opportunities; then it benchmarks against market returns; then it worries about competitiveness. Eventually the institution still uses the vocabulary of mission, but its internal logic has changed: it no longer asks what is needed to serve life but what return capital could have earned elsewhere. The drift is especially relevant for non-extractive capital. A fund may begin with a desire to provide patient, mission-aligned, steward-owned finance, but investors may still ask about benchmark returns, managers may still compare against venture funds, portfolio models may still import market assumptions, and "opportunity cost" may enter as a neutral technical term. Left undisciplined, it reintroduces the very extractive logic the fund was created to resist.

The ninth danger is moral laundering through sophistication. The more complex the financial model, the easier it becomes to hide the claim. A simple usurer says, "Pay me interest." A sophisticated instrument says, "This preferred return reflects opportunity cost, liquidity constraints, risk-adjusted capital allocation, and foregone deployment options." The words are more respectable. The moral question is the same: is this payment tied to a concrete external burden, or is it a return demanded because capital was made available?

The tenth danger is forgetting providence and contingency. Not every planned gain is ours. The future is not a warehouse of already-owned goods, and Christian moral theology insists on the contingency of earthly plans: the merchant may intend, but God governs. The market may look certain, and then storms come, ships sink, crops fail, buyers disappear. The future is real but not possessed, and *lucrum cessans* becomes morally dangerous the moment it forgets this creaturely condition.

These dangers explain why the tradition was right to move slowly. It could not simply deny all foregone profit, because doing so would ignore real cases of interrupted gain; it could not easily admit the title either, because the title contained within itself the possibility of unlimited expansion. The whole doctrine depended on restraint. The title had to be tied to concrete alternative use, licit gain, actual intention, causal interruption, reasonable valuation, and non-automatic compensation.

A modern diagnostic for *lucrum cessans* must therefore begin with suspicion: not cynical suspicion, but moral sobriety. The first question is not "Could this capital have earned elsewhere?" Of course it could have. The questions that matter come in a stricter order:

1. **What specific, just, intended gain was prevented?**
2. **How certain was it?**
3. **Did this borrower's action truly cause it to cease?**
4. **Is the amount proportionate to the gain actually lost?**
5. **Is the claim being used to impose a target return?**
6. **Would the alternative gain itself have been morally licit?**
7. **Does enforcing the claim serve justice, or does it burden vulnerability?**

These questions keep *lucrum cessans* from becoming the universal solvent of the usury prohibition. They preserve the difference between a real interrupted harvest and an imagined field of endless returns, allowing compensation where justice requires it while refusing capital's claim to be paid for every unrealized possibility.

This is why *lucrum cessans* belongs at the center of any serious attempt to build non-extractive finance. Modern finance is saturated with opportunity-cost reasoning. It assumes that investors must be compensated for alternatives, that capital's benchmark is morally neutral, that time, liquidity, and optionality have prices. Some of these insights are practically useful. None of them is morally innocent. Each must be tested against the older question: does this surplus restore a real external burden, or does it make the borrower pay tribute to capital's imagined future?

The final danger is that we may forget the distinction entirely. Once opportunity cost becomes common sense, the older doctrine sounds absurd. Of course money has a time value; of course capital needs return; of course lending requires compensation. The scholastic tradition interrupts that "of course." It asks whether what seems obvious to finance is actually just, whether capital's alternatives should automatically become the borrower's obligations, whether a future that did not happen can be priced as though it belonged to the lender already.

The tradition's answer was neither never nor always. It allowed the interrupted harvest to be considered; it did not allow the owner of capital to claim every field he might have planted. That is the difficult wisdom of a title at once necessary and dangerous: necessary, because justice must sometimes account for lost future goods; dangerous, because once every possible gain is monetized, usury has returned in the language of compensation. The tradition spent centuries drawing that line, beginning with a pope's answer about a loan to a merchant sailing to the fairs.

Canon-Law Prehistory and Hostiensis

19.1 Gregory IX's *Naviganti*

Before *lucrum cessans* became a named and contested extrinsic title in the usury debates, the problem underneath it appeared in another form: future value. Medieval theologians and canonists had to ask whether a thing could be worth more now because of what it would predictably become, or because of the use to which it was already ordered. The question did not begin with a simple loan. It arrived first in cases of sale, storage, trade, and delayed realization of value.

One of the key texts in this prehistory is the decretal *Naviganti*, which travels in Gregory IX's great collection of decretals, the *Liber Extra*, promulgated on 5 September 1234. Its importance lies not in creating a general permission to charge interest but in opening a canonical space for thinking about goods whose present value is connected to future commercial circumstances. It asks, in effect, whether one may sell or value something with reference to what it will be worth later, after time, storage, risk, and market movement have played their part.

The typical example concerns a merchant holding grain. A merchant who holds his stock until spring may reasonably expect a better price than the one on offer just after harvest, and the increase need not be mere exploitation: it may reflect scarcity, storage costs, spoilage risk, transport, time, and the ordinary rhythm of supply and demand. If he sells now with reference to the higher future price, or values the grain in light of what it would bring later, the moral question is not identical to lending money at interest.

The distinction matters. In a loan for consumption, the lender transfers ownership of fungible money or goods to the borrower and is owed the equivalent principal; to demand more from the loan itself is usury. In the grain case, the merchant may still own the thing being sold, and the question concerns the value of a commodity in relation to time, place, storage, and future market conditions. The moral object is not necessarily the sale of time. It may be the sale of a good whose value is already shaped by future circumstances.

Naviganti belongs to the prehistory of *lucrum cessans* because it helps make future value thinkable. If a good may be worth more because of a concrete future use or sale, then perhaps a person can be harmed when that future value is prevented. If the merchant could have held his grain for a higher and sufficiently predictable price, then forcing him to sell early, or depriving him of the means to hold it, might cause a real detriment. The future is not pure fantasy here; it can sometimes enter moral valuation.

But this is not yet *lucrum cessans* as a loan title, and the distinction is essential. The grain case concerns the valuation of goods in commerce; it does not follow that every lender of money may charge for whatever profit he might have made elsewhere. The future price of grain is connected to a specific good, a specific season, a specific market pattern, and often specific costs of storage and risk. It is not an abstract claim that capital as such deserves growth. This is why *Naviganti* is both important and limited. It does not overthrow

the usury prohibition, does not say that money has a natural right to increase over time, and does not create a universal opportunity-cost doctrine. What it acknowledges is that economic value may be temporally situated: goods are not always valued only by their immediate present price, and a thing may have a future-oriented value when that future is concrete enough to affect present justice.

Watch the merchant himself to see why. The man who stores grain does not sit passively on an abstract financial asset: he bears costs and the risk of spoilage, he forgoes immediate sale, and he preserves a useful good for the moment when it may be needed more. The higher price may therefore reflect real economic circumstances, not simply greed. Even here moral scrutiny remains necessary: hoarding grain to exploit hunger is not the same as legitimate storage, and future value, real as it is, can also become an instrument of domination.

That ambiguity is why the case matters for the later usury debates. *Lucrum cessans* would eventually ask whether a lender may be compensated for profit he would have made but did not make because of the loan. The canon-law prehistory asks a related but narrower question: can a future commercial value be morally recognized at all? *Naviganti* suggests that it can, though only in relation to concrete goods and circumstances. That gave later thinkers a bridge: if future value can matter in sales, perhaps foregone gain can matter in lending. The bridge is narrow, and crossing it carelessly leads into usury.

The connection to just price matters too: medieval just-price theory was never a mechanical theory of one fixed number. It recognized that price could vary within a range according to circumstances: need, scarcity, labor, expense, risk, place, time, and common estimation. A merchant who carries goods to where they are scarce may sell at a higher price, and one who stores them may sell later because circumstances have changed. Value, these cases show, is not indifferent to time.

But the fact that value changes over time does not mean time itself is being sold, and this is the subtlety. In usury, the worry is that the lender charges for the passage of time over a consumable loan. In a legitimate sale of stored grain, the higher price may reflect the value of the grain under changed conditions, plus the labor, expense, and risk involved in making it available later. The moral difference lies in what is being priced. Is the merchant selling a good in its concrete commercial situation, or is the lender selling the mere delay of repayment?

Later defenders of *lucrum cessans* would draw on exactly this kind of reasoning. A merchant's money, they would argue, when already ordered toward trade, is not simply idle cash; it is connected to future commercial value, and if lending it interrupts a concrete gain, the lender has suffered something analogous to being deprived of a valuable commercial opportunity. The argument would matter enormously in the hands of later canonists, Franciscans, Thomists, and Salamanca theologians.

Yet the limitations never disappear. The grain merchant has no right to any imagined future price. The expected spring price must be reasonable, storage costs must be considered, risk must be acknowledged, and the merchant may not exploit famine or manipulate scarcity. The higher future price may be morally relevant, but it is not infinitely elastic; it must remain attached to real goods, real markets, and real burdens. The same limits will later have to govern *lucrum cessans*. A foregone profit can be compensable only if it remains attached to something concrete: a real alternative use, a real intention, a real probability, a real causal interruption, and a just valuation. If it floats free from those anchors it becomes abstraction, and abstraction is where usury returns.

The grain case also shows the difference between future value and guaranteed return. The merchant may hope to sell later at a higher price, but he still bears uncertainty: the price may fall, the grain may spoil, transport may fail, demand may change. In a usurious

loan, by contrast, the lender seeks a fixed surplus regardless of what happens to the borrower's use of the money, a gain insulated from the uncertainty of the productive activity. This is why risk allocation remains central. Recognition of future value does not justify guaranteed gain without risk.

Naviganti therefore helps us see a distinction that will run through the rest of this book: the tradition was not blind to temporality. It never denied that goods can change value over time, that merchants can be harmed by losing future opportunities, or that commercial life involves risk, storage, delay, and expectation. What it resisted was the automatic conversion of time into yield, and the automatic conversion of possible gain into debt owed by another. The distinction is vital for modern finance, where time-value-of-money reasoning often treats the mere passage of time as sufficient to justify return: a euro today is worth more than a euro tomorrow, so repayment tomorrow must include more. The scholastic tradition asks what stands behind that "more." Storage, risk, labor, scarcity, lost concrete opportunity, actual damage? Or is time itself being monetized? The answer determines whether the payment is compensation or usury.

The canon-law prehistory is also a reminder that *lucrum cessans* did not emerge from nowhere. It grew from a web of legal and moral cases in which future value was already being weighed: grain held for later sale, goods transported to a different market, merchants deprived of expected use, damages assessed for non-performance, prices determined by circumstances rather than bare physical substance. Cases like these trained medieval jurists to think about unrealized value without immediately reducing it to interest, and the training was needed: a moral theology that could see only present possession would be inadequate, and one that treated every future possibility as present possession would be corrupt. The genius of the tradition lies in trying to occupy the narrow space between those errors.

For the later history of *lucrum cessans*, then, *Naviganti* is a seed text. It does not yet produce the full doctrine, settle the controversy, or create ordinary interest. It gives later thinkers a canonical memory that future-oriented valuation can sometimes be legitimate, to be developed, restricted, expanded, and contested by Raymond of Peñafort, Hostiensis, Aquinas, Olivi, Cajetan, Salamanca, Molina, Lessius, Lugo, and Alphonsus. The decisive question, when recognition of future value becomes justice and when it becomes extraction, is one *Naviganti* does not answer completely; it teaches the tradition how to ask it. And the collection that carried the decretal into the schools had been compiled, at Gregory's request, by the man to whom the reasoning passed next.

19.2 Raymond of Peñafort and the Decretal Tradition

If *Naviganti* helped make future value thinkable, Raymond of Peñafort helped transmit that kind of reasoning into the practical moral world of confessors, canonists, and penitents. Raymond stands at the intersection of law, pastoral care, and moral theology, and abstract doctrine is not his chief interest. He wants to know how priests should judge real cases, how consciences should be formed, and how legal distinctions should guide Christian life without becoming clever instruments of evasion.

This is why he matters for the prehistory of *lucrum cessans*: the title had not yet reached its developed form, but the ingredients were already present: future value, delayed realization, compensation, intention, loss and gain, and the danger of disguising usury under another name. Raymond's role is to carry the decretal tradition into a more usable casuistical framework, preserving the distinction between legitimate compensation and illicit gain at precisely the moment commerce was becoming more complex.

The decretal tradition treated usury not as a private moral failing only but as a disorder in Christian social life: the usurer was not simply someone who had made a bad investment decision but someone who sought gain from another's need, converted lending into domination, and demanded more than justice allowed. Yet the same tradition had to recognize that not every surplus payment was usury. Damages, penalties, costs, exchange differences, partnership profits, and certain future-oriented valuations all complicated the picture, and the canonist had to distinguish.

Raymond's *Summa de casibus poenitentiae* belongs to this world of distinction. It is a penitential and pastoral work, designed for the practical examination of conscience, and in that setting the question is never merely what the contract says. What is intended? What is expected? What has really happened? Is the payment truly compensatory, or has the lender dressed profit in the language of compensation? Raymond's treatment of usury attends to the moral substance beneath the legal form.

This mattered especially for the transmission of the price cases. The decretals had already created space for the idea that goods could be valued in relation to future circumstances: a merchant holding grain for later sale might reasonably consider the future price, minus storage costs and risks, and a seller might value goods differently depending on time, place, scarcity, and expected use. Such reasoning does not yet amount to a loan title for lost profit, but it does show future gain entering moral analysis under disciplined conditions. Raymond carries it into the broader moral conversation without letting it become a blank check. Future value can matter, but it must be tied to a real thing, a real circumstance, and a just price. A merchant may consider what grain will likely be worth later; he may not manipulate hunger. A seller may account for costs and risks; he may not turn necessity into extortion. A person may be compensated for injury; he may not claim gain merely because he has power over another.

The link between pricing and the later lost-profit claims is subtle but decisive. If a good can be worth more because of a concrete future sale, then depriving its owner of that future sale may cause a kind of harm. If a merchant's grain would have sold at a higher price in spring, and another's wrongful action forces an early sale or prevents the later one, the shape of *lucrum cessans* begins to show. The harm is not simply damage to the grain itself. It is the cessation of a gain that was connected to the grain's future commercial situation.

Raymond's world still resists abstraction, though. The future gain must remain attached to the concrete. It is not enough to say, "I could have earned something"; the expected value must be located in a real object, a real market, a real plan, or a real legal injury. This is what separates the decretal tradition from modern opportunity-cost reasoning. The canonists did not begin with the assumption that capital always deserves compensation for its best alternative use. They began with cases: grain, sale, storage, delay, damage, intention, injury, and restitution.

The case-based method is often misunderstood. To modern readers, casuistry can sound like loophole-making; in its best form it is the opposite, a refusal to let broad abstractions conceal moral reality. Instead of saying "all surplus is bad" or "all compensation is acceptable," Raymond's tradition asks what kind of surplus this is. A price? A penalty? A reimbursement? A gift? A disguised interest payment? A repair of loss? A valuation of goods in time? The answer depends on the case.

The attention to the case matters because usury often hides in intention and expectation. A lender may demand no interest explicitly yet expect a "gift" from the beginning. He may call a payment voluntary while making it socially unavoidable, or frame compensation as damage while intending ordinary profit. Raymond's pastoral concern is alert to this: a payment is not purified merely by being renamed, and the confessor must ask whether it was expected, intended, and structured from the start as a gain from the loan.

The point becomes central for later *lucrum cessans*. A lender might say, after the fact, that he lost a profit. But was there really a profit in view? Was the alternative use actually intended, or is the claim manufactured after lending in order to justify gain? Raymond's concern with intention prepares the way for the later conditions requiring actual or virtual intention: a foregone gain cannot be morally charged if it was never genuinely part of the lender's practical horizon.

The decretal tradition also contributes another crucial element, the difference between gain and the avoidance of loss. Raymond is often associated with the formula that *interesse* is "not gain, but avoidance of loss," and the distinction, which will become foundational for *damnum emergens*, casts a long shadow over *lucrum cessans*. A claim truly about avoiding or repairing loss is the safer kind; a claim about obtaining gain is the more dangerous. *Lucrum cessans* sits precisely at the edge, because it describes a gain whose non-arrival is treated as a kind of loss.

The ambiguity explains why later authors disagreed. For stricter thinkers, foregone profit remained too close to gain: the lender does not have the profit yet, and to demand compensation is to sell an expectation. For more permissive thinkers, a concrete lost profit could be a real detriment: if the profit was morally certain enough, its loss injured the lender. Raymond does not resolve the later controversy. He gives later theologians the tools to conduct it: intention, expectation, compensation, loss, legal form, and moral substance.

His transmission also keeps future value within a juridical and penitential frame. That goods can rise in price is not, in this frame, merely an economic observation; it is a question of justice before God. What may one demand? What must one restore? What may one keep? What must one confess? What looks lawful but is spiritually dangerous? Such questions keep the analysis from becoming merely technical: the aim is not financial efficiency but right relation.

This matters because future-oriented valuation can easily become detached from love of neighbor. The merchant who stores grain for a future market may perform a useful social function by preserving supply; he may also exploit scarcity. The lender who claims lost profit may have made a real sacrifice; he may also burden a desperate borrower with the cost of capital's ambition. The decretal tradition insists that the future cannot be priced without moral scrutiny, because time, scarcity, and expectation are not morally neutral. In this sense Raymond preserves the older biblical memory inside the technical legal tradition: the borrower remains a neighbor, not merely a counterparty, and the lender's intention matters, not merely his paperwork. A payment may be legally subtle and spiritually corrupt, and the confessional setting forces the question inward: what did you really seek?

For modern non-extractive finance, Raymond's importance lies in this combination of technical distinction and moral seriousness. A contemporary contract may include a preferred return, a late payment fee, a breakage fee, a reimbursement clause, a liquidity premium, and a damages provision, each with its own legal name. Raymond would ask what is expected from the beginning. Is the payment truly contingent on harm, or is it designed as ordinary revenue? Is the borrower free, or pressured? Is the "gift" really voluntary? Is the lost profit real, or a story told by capital about its own importance?

The link between *Naviganti* and Raymond also helps us avoid an overly simple history. *Lucrum cessans* did not suddenly appear as an obvious loophole. It developed slowly, as canonists first learned to think about future value in sales, storage, and damages and only later asked whether the logic could apply to lending; the earlier tradition was cautious precisely because it knew that the passage from future value to foregone profit to ordinary interest was perilous. That history also explains why the early cases are so concrete: grain stored until spring, goods transported to another market, a sale delayed or prevented, a

merchant harmed by non-performance. They are embodied cases, with goods, seasons, costs, risks, and human obligations attached.

Raymond's pastoral method therefore offers a rule of thumb that remains useful: beware of claims that become more profitable as they become less concrete. A general claim that money could always have earned elsewhere is almost impossible to discipline, because it gives the lender the benefit of an imagined world and charges the borrower for it. A specific loss, by contrast, can be examined; a specific foregone transaction can be tested; a specific cost can be reimbursed.

The decretal tradition did not yet have the full modern language for this problem, but it understood the moral danger. It knew that usury is not defeated by verbal rearrangement, that contracts can be structured to appear lawful while violating charity and justice, and that future value can be real yet still become a pretext. Raymond's role was to transmit that disciplined suspicion into the practical formation of conscience. In the genealogy of *lucrum cessans*, then, he matters not for giving the final doctrine but for carrying forward the tools that make the later doctrine possible: the decretal recognition of future value, the pastoral suspicion of expected gifts, the distinction between compensation and gain, the importance of intention, and the insistence that legal form be judged by moral substance.

With Raymond the tradition is still before the threshold. It has not yet said that a lender may generally claim foregone profit; it has only begun to recognize that future-oriented value can sometimes matter in justice. The next step would be more daring, and it would need to keep Raymond's caution packed alongside it: if the title was to be admitted, it must not become a disguise for the very usury it claimed to avoid. The man who took the step was the most brilliant canonist of his century.

19.3 Hostiensis

Hostiensis, Henry of Susa, marks one of the decisive moments in the prehistory of *lucrum cessans*. Earlier canon law had made future value thinkable, and Raymond had carried it into the world of the confessor. With Hostiensis, the possibility begins to emerge more clearly that foregone profit itself might function as an extrinsic title in relation to lending. This does not mean he simply invents modern interest; that would be far too crude. He remains within the moral and canonical world in which usury is a serious sin, the *mutuum* is not naturally productive of gain, and surplus from the loan itself is forbidden. His importance lies elsewhere. He begins to explore whether a lender who is not in the business of lending, and who suffers a real commercial sacrifice by lending, may be compensated for a profit that the loan prevented him from obtaining. The question is still exceptional, and that exceptionality is the key.

Hostiensis inherits a tradition already alert to the difference between compensation and gain. *Interesse* could be claimed where someone suffered a loss or was kept from the position he ought to have occupied. Penalties could be allowed when they were not frauds on the usury prohibition. Certain future-oriented valuations could be recognized in sales and commercial settings. But the step toward *lucrum cessans* as a lending title remained dangerous, because it seemed to permit compensation for something not yet possessed.

The classic concern remains Aquinas's concern, even where Hostiensis is moving in a different direction: one must not sell what one does not have. A future profit may be imagined, expected, even likely, but it is not yet in hand. If the lender is allowed to demand compensation for that unrealized profit, what prevents every lender from claiming that his money could have earned elsewhere? What prevents *lucrum cessans* from becoming a universal title for interest?

Hostiensis's answer, in its most important form, is restriction. The claim is not for everyone: not for habitual lenders, not for those whose ordinary business is to lend money for gain, and not as a general price for the use of money. It is a possible title for someone who, by lending, gives up a real and concrete opportunity that he otherwise would have pursued. The title is exceptional because the sacrifice is exceptional.

The restriction to non-habitual lenders is morally significant. A habitual lender cannot plausibly say, without circularity, that his lost profit is the interest he would have earned by lending to another; that would justify lending at interest by appealing to the lost opportunity to lend at interest. The alternative gain must be licit. If the supposed lost profit depends upon the very practice under judgment, it cannot serve as a just title. Hostiensis therefore keeps the door open only where the lender's foregone gain arises from something other than ordinary usurious lending.

The paradigmatic case is the merchant. A merchant has capital already directed toward trade: he plans to buy goods, carry them, sell them, and earn a profit, and the expected gain is not a vague fantasy but part of a concrete commercial practice. If he lends the money instead, especially at another's request or need, he may be prevented from carrying out the transaction. The loan does not simply deprive him of idle money. It interrupts his ordinary, licit, profit-making activity, and the moral question is whether compensation for that interruption is usury or justice.

Hostiensis's opening suggests that, under strict conditions, it may be justice. The payment is not for the use of money as such; it is for the profit that ceased because the money was diverted from its intended use. The loan is still not intrinsically fruitful. The surplus is tied to an external circumstance, the lender's concrete commercial sacrifice, and this is the logic that later authors will develop, refine, and contest under the name *lucrum cessans*.

The danger is obvious. The more commerce expands, the easier it becomes for many people to say that money was intended for profit: a merchant today, a banker tomorrow, an investor the day after, each claiming that capital had an alternative use. What begins as an exception for a particular person in a particular situation can become a general theory of opportunity cost. Hostiensis matters because he opens the door, and because he shows why the door must be narrow.

The narrowness is reinforced by several implied conditions. First, the gain must be concrete: the lender must point to a real commercial opportunity, not merely the general usefulness of money. Second, the gain must be licit: the alternative must not be usurious or unjust in itself. Third, the lender must genuinely have intended to pursue it: a purely retrospective story is not enough. Fourth, the loan must be the cause of the gain's cessation: if the merchant would have missed the opportunity anyway, the borrower cannot be charged. Fifth, the compensation must be proportionate: the lender may not transform an uncertain commercial possibility into a guaranteed and inflated claim.

These conditions are not always formulated in the later systematic language of Salamanca or Lugo, but the moral logic is already present. The title must be tied to reality, must not become a pretext, must not reward the lender for the loan itself, and must compensate a sacrifice genuinely external to the *mutuum*. The usury prohibition remains the rule; *lucrum cessans* is a carefully watched exception.

Hostiensis's importance also lies in his role as a canon-law systematizer. He does not merely repeat isolated cases; he helps organize the growing body of exceptions, distinctions, and titles that medieval lawyers and theologians used to judge payments above principal. His famous exception-list tradition, including formulas such as *poena nec in fraudem* (the anti-fraud test that governed the penalty title), shows the medieval effort to catalog situations in which more than the principal might be received without usury. Such lists could clarify moral reasoning. They also carried a danger: once exceptions are named,

they can be mechanically invoked.

That danger applies especially to *lucrum cessans*. A named title can become a moral shield: the lender says “foregone profit,” and the case appears respectable. Hostiensis’s own caution suggests that the title should never be accepted merely because it is named. The confessor or judge must ask whether the facts match the title. Was there truly a foregone profit? Was the lender truly a merchant, or otherwise deprived of a licit gain? Was the loan truly the cause? Was the claim proportionate? Was the title being used by a habitual lender as a way of normalizing interest?

This is why Hostiensis does not create ordinary interest. Ordinary interest is a standing charge attached to a loan because money has been lent for a period of time. Hostiensis’s opening is narrower: it concerns compensation for a particular lender’s particular lost profit. It does not treat time as the object sold, does not treat money as automatically fruitful, and does not say that all lenders deserve return because all money has opportunities. The title remains circumstantial, and the distinction can be stated sharply. Ordinary interest says: “Because you have used my money for a term, you owe me more.” *Lucrum cessans*, in its strict form, says: “Because this loan prevented me from obtaining a concrete and licit profit I otherwise would have obtained, compensation may be due.” The first claim is intrinsic to the loan and the second extrinsic to it; the first generalizes and monetizes time itself, while the second particularizes, compensating a lost opportunity if the opportunity is real.

But the two can look similar in practice, and that is the problem. A contract that requires payment for foregone profit may, in economic effect, resemble interest. If the compensation is calculated as a percentage of principal, payable automatically over time, without proof of a specific lost gain, then the title has collapsed. It no longer matters that the document says *lucrum cessans*. It functions as a price for the loan.

Hostiensis therefore belongs in the genealogy of both moral sophistication and moral risk. His reasoning is sophisticated because it recognizes that lending can impose real sacrifice on a person whose capital was otherwise committed to licit activity. It is risky because the same reasoning can be generalized by people who simply want a return. The tradition’s later history is largely an attempt to preserve the first while preventing the second.

He also helps reveal a shift in moral imagination. Earlier anti-usury arguments often emphasize the sterility of money in the *mutuum*: money is consumed in use, ownership passes, and the lender cannot sell the use separately from the thing. With *lucrum cessans*, attention shifts from the money in the borrower’s hands to the lender’s alternative use of money. The argument is no longer that the borrower’s use of money produces something owed to the lender, but that the lender has been prevented from using his own money elsewhere. The center of analysis moves from the borrower’s use to the lender’s sacrifice.

The shift is understandable and dangerous at once. Once the lender’s sacrifice becomes central, the borrower’s need can fade from view: the lender’s alternatives become vivid while the borrower’s vulnerability becomes background. A Christian moral economy cannot allow this. The biblical and theological memory of debt insists that the borrower remains a neighbor, and if *lucrum cessans* is admitted, it must be admitted in a way that does not convert the borrower into the insurer of capital’s missed ambitions.

The point lands directly on modern finance. Investors often begin with their own alternatives: market return, risk-adjusted yield, liquidity, opportunity cost. The borrower or investee appears as one possible deployment among others. Hostiensis’s strict version of *lucrum cessans* would challenge this abstraction. It would not ask merely what the investor could have earned. It would ask whether a concrete, licit, intended opportunity was truly lost because of this particular act, and whether charging the borrower for that loss is

consistent with justice and charity.

The restriction to non-habitual lenders is especially relevant here, because many modern capital providers are professional investors whose ordinary business is deploying capital for return. If they invoke *lucrum cessans*, they risk the old circularity: their “lost profit” is often simply the return they might have earned through another investment. But if the moral legitimacy of that alternative return is itself uncertain, or if it depends on extractive structures, it cannot automatically justify a claim. The alternative must be morally examined, not merely financially benchmarked.

This is one reason *lucrum cessans* cannot be reduced to modern opportunity cost. Opportunity cost assumes that alternatives can be ranked by value and that the best foregone alternative represents the cost of the chosen one. Scholastic moral theology asks additional questions. Was the alternative just? Was it actually intended? Was it concrete? Was the gain reasonably certain? Was the borrower responsible for its loss? Would enforcing the claim oppress the borrower? These questions are not incidental. They define the difference between compensation and extraction.

Hostiensis’s opening also prepares the way for later debates about “virtual possession” of future profit. If a profit is sufficiently certain, can it be treated almost as though it were already possessed? Later Thomists, especially Cajetan, will wrestle with that question when trying to reconcile *lucrum cessans* with Aquinas’s stricter language. Hostiensis does not resolve it; his willingness to consider foregone profit as an extrinsic title is what sets the stage.

The title remains exceptional because the profit remains future. It has not yet arrived, it can fail, and it must be valued under uncertainty. Compensation for *lucrum cessans* should therefore be cautious even where admitted. The amount cannot be inflated to full certainty if the gain was uncertain; costs must be deducted, risks considered, and the lender’s own labor and risk in the alternative transaction must not be ignored. A lost gross revenue is not a lost net profit, and a possible profit is not a certain one. Such caution keeps the title from becoming a fantasy of perfect compensation. Profits in real commerce are not guaranteed; a lender compensated as though they were ends up better off than if he had pursued the transaction, receiving certainty without labor, risk, or exposure, which is not justice: the borrower pays not for a real lost gain but for an idealized gain stripped of its uncertainties.

The issue grows in later scholastic and modern contexts, where financial projections make possible gains appear cleaner than they are. A spreadsheet can turn uncertain futures into precise numbers, but precision is not certainty. Hostiensis’s exceptional opening must therefore be governed by humility about the future: the more speculative the profit, the weaker the title.

In the larger narrative of this book, Hostiensis is a hinge. Before him, the tradition had recognized future value mostly through sales, damages, and price cases; after him, the possibility of foregone profit as a lending title becomes increasingly visible. The doctrine is not yet settled, and it will remain contested. Aquinas will resist it in the context of usury, even while leaving principles that later authors can use. Olivi will bring a Franciscan and commercial sophistication to productive capital. Fifteenth-century authors will begin to admit the title more widely, Salamanca and the Jesuits will discipline and expand it, Lugo will synthesize it, and Alphonsus will settle it cautiously. Hostiensis is one of the first major figures to make that debate possible, showing at once how a lender might claim compensation not for the use of money but for the gain that ceased because the money was lent, and why the title must be restricted, lest the exception become the rule.

For non-extractive finance, the lesson is immediate. Foregone-profit claims should be treated as exceptional, concrete, and morally burdened: not assumed, not benchmarked

automatically against market returns, and not used by professional capital to demand tribute from mission-driven borrowers. They should be admitted only where the alternative was real, just, intended, causally interrupted, and proportionately valued. Hostiensis opened the door, and the rest of the tradition asks how wide it may be opened before usury walks back in. The first sustained answer was a refusal, and it came from Thomas Aquinas.

Aquinas: Rejection and Latent Opening

20.1 ST II-II, q.78, a.2, ad 1

Aquinas stands at the center of the controversy over *lucrum cessans* because he gives the tradition both things at once: its strongest resistance to the title, and some of the principles later used to soften that resistance. Nowhere is this more visible than in Summa Theologiae II-II, q.78, a.2, ad 1. The text is brief, a few lines buried in a reply to an objection, but it became one of the decisive reference points of the whole later scholastic debate. Aquinas allows compensation for loss incurred and refuses compensation for profit not made, and in doing so draws the line between *damnum emergens* and *lucrum cessans* with unusual clarity.

The objection he is answering is practical: what if the lender suffers because of the loan, losing something he otherwise would have had? Can he ask for compensation? Aquinas's answer is carefully divided. If the lender incurs a loss because of the loan, he may lawfully contract for compensation. That is not selling the use of money; it is avoiding harm. The lender is not being enriched by the loan but restored from an injury.

Then comes the boundary. The lender may not contract for compensation for profit not made. He may not sell what he does not yet have, because the profit might never have been obtained. Here, in a few lines, the whole later debate over *lucrum cessans* is already present: Aquinas sees the possible legitimacy of compensation, and he sees the danger of turning an expected future into a present claim.

The logic is rooted in the nature of the *mutuum*. In a loan for consumption, ownership passes to the borrower, who becomes owner of the money or fungible good and owes back the equivalent: the *tantundem*. The lender no longer owns the particular coins. He owns a claim to repayment of the same amount and kind. To demand more from the borrower simply because the borrower has had use of the money is, for Aquinas, to sell what has already been transferred, to charge for the use of something whose use cannot be separated from its consumption.

This is why compensation for actual loss must be external to the loan. If the lender is harmed by the transaction in some additional way, the borrower may owe compensation not because money was used but because justice has been disturbed. The title is not intrinsic but extrinsic: the surplus payment arises not from the *mutuum* itself but from a real damage associated with the circumstances of the loan. Aquinas's acceptance of actual loss is therefore not a loophole but a continuation of commutative justice. If one person's action causes another to suffer damage, equality must be restored, and the compensation must correspond to the damage: not a reward for lending, not the price of time, not a return on capital, but the repair of loss.

The rejection of profit not made is equally important. Aquinas's phrase, that one must not sell what one does not yet have, is the anti-speculation principle in miniature. The lender imagines a future profit. Perhaps he would have made it; perhaps not. It depends

on market conditions, timing, weather, trust, and providence. The profit is not yet possessed, and to demand compensation for it in advance is to treat a merely possible gain as a present possession.

This is what separates Aquinas from later, more permissive treatments. He does not deny that commercial activity may produce profit, nor that someone may be harmed by losing a future good in other contexts. But in the context of the loan, he refuses to let the lender attach a claim to an unrealized gain. His concern is not economic ignorance but moral precision. The lender has not lost a possessed thing; he has failed to obtain a possible thing. That difference matters.

His caution also reflects his theological understanding of contingency. The future is not fully ours. Human beings plan, but they do not possess the outcomes of their plans, and a merchant may intend a profitable transaction while the profit remains uncertain until realized. To sell the profit before it exists is to overstate one's ownership of the future. The moral problem is not only financial but anthropological: it concerns how creatures relate to time, risk, and providence.

This is why *lucrum cessans* is so dangerous in Aquinas's framework. If the lender may charge for a profit he hoped to make, then every lender may begin to ask what else he could have done with the money: the merchant could have traded, the banker could have lent elsewhere, the investor could have invested, the landlord could have bought land, the capitalist could have pursued a higher return. Once possible profit is admitted as a general title, the usury prohibition becomes fragile. The lender need only point to an alternative.

Aquinas refuses this move at the root. He does not say that all future goods are morally irrelevant. He says that the lender may not contract for profit not made as a condition of the loan. The distinction is subtle but crucial. The loan itself cannot become a vehicle for selling expected gain, and the borrower cannot be made responsible for the lender's unrealized commercial imagination. Repayment of principal restores the loan. Compensation for actual damage may restore an injury. But payment for possible profit risks creating gain from the loan itself.

This line explains why Aquinas became such an important authority for rigorists. His text appears to shut the door on *lucrum cessans* as a loan title: the lender may receive compensation for *damnum emergens* but not for *lucrum cessans*, may avoid loss but not sell hope, may be restored but not enriched by a future that did not occur.

And yet Aquinas's direct statement in q.78, a.2, ad 1, restrictive as it is, does not seal the door in the broader Thomistic corpus. He recognizes that preventing someone from obtaining a future good can require partial compensation, that a thing may have special value to its owner because of its intended use, and that partnership differs from *mutuum* because capital can remain at risk. These principles do not cancel q.78, but they complicate its reception.

For now the text must be heard in its full force. Aquinas is not giving a general theory of opportunity cost; he is resisting one, denying that expected productivity can be charged to the borrower. The lender's alternatives are not meaningless, but they do not, simply as alternatives, create a contractual right to surplus in a *mutuum*.

This is especially important for modern readers, because the language of opportunity cost has become so natural that Aquinas can sound unrealistic. Modern finance teaches that every use of capital has a cost because capital could have been used elsewhere. If I lend to you at no return, I lose what I could have earned in the market; therefore you should compensate me. Aquinas interrupts this reasoning. He asks whether the lender is selling an actual thing, repairing an actual loss, or charging for a possible future that was never his possession.

The modern financial mind tends to answer that the alternative return is real enough.

Aquinas asks: real in what sense? Was it possessed? Was it guaranteed? Was it licit? Was it certain? Was it caused to cease by this borrower, or is it merely one possible future among many? These questions expose the moral assumptions hidden inside opportunity-cost reasoning.

His refusal also protects the borrower, who otherwise becomes liable not only for what he received but for the lender's whole field of possible alternatives: a heavy burden, and one that lets the lender's imagination, market access, and bargaining power shape the borrower's obligation. The richer and more financially sophisticated the lender, the greater the opportunity cost he can claim. The doctrine could perversely make the poor borrower pay more precisely because the wealthy lender had more profitable alternatives.

This would invert the biblical grammar of lending. In Scripture, lending is surrounded by warnings against exploiting the needy: the creditor is commanded to remember the brother, the poor neighbor, the cloak, the cry of the vulnerable, the Sabbath release, and the fear of God. Opportunity-cost logic shifts attention from the borrower's vulnerability to the lender's foregone advantage. Aquinas's restriction keeps the older moral anthropology alive. The borrower is not merely the occasion of the lender's missed profit.

None of this makes Aquinas hostile to profit. In q.77 he allows that merchants may trade for moderate gain when it is directed to household support or public utility; he distinguishes morally ordered commerce from greed; he understands that human labor, service, risk, and exchange can produce legitimate surplus. But the *mutuum* is different. A loan for consumption, as such, does not entitle the lender to profit. If the lender wants profit from commercial activity, he should enter a different kind of contract: partnership, trade, or some form in which risk and ownership are structured differently.

Hence the importance of the distinction between *mutuum* and *societas*. In partnership, capital remains exposed: the investor shares the uncertain outcome, profit is not guaranteed, loss is possible, and surplus may be legitimate because the investor participates in the venture. In a *mutuum*, repayment of equivalent principal is owed regardless of how the borrower uses the money; the lender does not share the borrower's productive risk, and to demand profit anyway is to claim upside without participation.

That distinction makes Aquinas unexpectedly relevant to modern capital structures. If a financing instrument is debt-like (fixed repayment, seniority, collateral, guarantees, enforcement against borrower assets), then claims to foregone profit become morally suspect: the lender is not truly participating in the borrower's venture, he is protecting principal while demanding surplus. If the capital provider genuinely shares downside, remains subordinated, and participates in uncertain outcome, the analysis may move away from *mutuum* and toward partnership. The moral form changes.

But within q.78, a.2, ad 1, the answer remains restrained. Actual loss may be compensated; profit not made may not be sold. This is not a minor technicality but a defense against the universalization of opportunity cost, and it prevents capital from claiming every unrealized future as a debt, keeping compensation tied to reality rather than projection and preserving the difference between restoring loss and monetizing possibility.

Later theologians will challenge, nuance, and reinterpret this boundary: Hostiensis had already opened a limited door, Olivi will press the significance of merchant capital, Cajetan will try to reconcile Aquinas with a more permissive view by drawing on q.62 and q.77, Salamanca and the Jesuits will introduce conditions, Lugo will synthesize lost profit with broader detriment, and Alphonsus will eventually accept the title under discipline. All of it must answer to Aquinas's warning: one must not sell what one does not yet have.

That sentence remains the moral center of the controversy. It does not settle every case, but it prevents easy answers. It forces every claim of foregone profit to prove that it is more than hope, more than possibility, more than benchmark, more than the ordinary ambition

of capital. The claim must show why this future good was concrete enough, just enough, intended enough, and causally interrupted enough to be treated as compensable. Until that showing is made, *lucrum cessans* remains exactly what Aquinas feared: the sale of a profit that was never possessed.

20.2 The Anti-Speculation Principle

Aquinas's rejection of *lucrum cessans* in the context of usury rests on what we might call the anti-speculation principle. The lender may not sell a future profit that he does not yet possess, may not treat a possible gain as though it were already his property, may not convert expectation into entitlement. This principle is no incidental detail in his usury doctrine; it is one of the deepest reasons why *lucrum cessans* remained so controversial.

The principle begins with a simple observation: the future is uncertain. A merchant may expect profit from trade, a farmer a harvest, a lender redeployment, a craftsman a commission; some of these expectations are reasonable, some even highly probable, but none is identical to possession. All remain vulnerable to contingency. Storms come, markets change, buyers disappear, and providence stands between intention and realization.

For Aquinas this matters morally. Justice concerns real goods, real injuries, real exchanges, and real obligations; it can sometimes take account of future goods, but it may not collapse the difference between what one has and what one merely hopes to have. The lender demanding compensation for profit not made does exactly that, treating the expected profit as a possession unjustly taken from him. Aquinas refuses the move. The profit might never have been obtained.

This is why the anti-speculation principle is not merely economic caution but a discipline of truth. It prevents the lender from overstating reality, keeps a projected future from becoming a present claim, and denies imagination, however plausible, the force of ownership, asking the lender to distinguish between a loss actually suffered and a gain that might have occurred.

The doctrine is in fact profoundly realistic. Modern readers sometimes assume realism means recognizing that money can be productive, and that Aquinas simply failed to see the commercial use of capital; the criticism is too quick. His realism lies elsewhere: he sees that expected profit is not the same as realized profit, that human beings often exaggerate their claims when self-interest is at stake, that the powerful can translate possibility into obligation, and that the future, precisely because it is unknowable, can be manipulated in the present.

The principle therefore protects the borrower from the lender's imagination. Without it, the borrower is liable for whatever profitable future the lender can plausibly narrate: the lender's opportunity becomes the borrower's burden, and the asymmetry runs the wrong way, since the borrower pays not only for need but for the lender's lost access to opportunity.

The claim is especially problematic because the lender's alternative future may be impossible to verify. He may say he would have bought goods, made a trade, entered a partnership, financed another merchant, or earned a certain return. Perhaps he would have; perhaps the deal would have failed, the profit run lower, the capital sat unused, or the alternative itself been unjust. The future gives the lender room to speak with confidence about things that never had to be tested by reality.

Aquinas's refusal to sell what one does not yet have functions as a brake on this confidence. It says: do not convert untested possibility into enforceable debt; do not demand certainty from the borrower in exchange for a profit that was uncertain for you; do not

remove risk from your own imagined venture and place it on the person who borrowed; do not make another pay for the best version of a future that may never have occurred.

The last imperative is the crucial one. Compensated for foregone profit as though it were certain, the lender ends up better off than if he had pursued the profit directly, for the actual venture would have involved risk, labor, delay, and possible failure. He receives a purified future: gain without risk, expectation without contingency, imagined profit without commercial exposure. That is not compensation. It is extraction from a hypothetical, and the concern is therefore not merely about the amount demanded but about the kind of thing being sold.

In a *mutuum* the lender transfers ownership and is owed the equivalent principal; actual loss because of the loan may be compensated, but a foregone profit is not yet a thing possessed. To charge for it in the loan contract is to sell an absence, a possibility, a shadow, and Aquinas refuses to let shadows become the basis of ordinary financial claims.

The anti-speculation principle also guards against circular reasoning. A lender cannot justify charging surplus by saying that he could otherwise have earned surplus through another loan. If the alternative gain is itself usurious, then its loss cannot become a just title. One cannot say, "Because I refrained from one unjust contract, I may impose a similar charge in this one." The alternative must be morally licit. Otherwise *lucrum cessans* becomes a machine for laundering usury through comparison.

This has direct relevance for modern finance, where opportunity cost is often calculated by reference to market alternatives. An investor says: "I could have put this money into a fund earning 10 percent, so if I accept 3 percent here, I am losing 7 percent." Aquinas's principle forces us to ask whether the benchmark itself is morally acceptable. If the higher return comes from extractive labor practices, predatory lending, speculative bubbles, or risk shifted onto the vulnerable, then the investor cannot simply treat that return as a morally neutral lost opportunity. A sinful or extractive alternative cannot create a just claim.

The principle therefore disciplines not only uncertainty but desire, asking whether the profit one imagines is a profit one should have wanted in the first place. That capital could grow elsewhere does not mean the growth is morally clean, and that the market offers a benchmark does not mean the benchmark should govern Christian conscience.

Here the principle reaches beyond technical usury doctrine into a wider theology of economic life. It challenges the assumption that capital's highest available return is the natural baseline from which generosity must depart. In a Christian moral economy, the baseline is not maximum return but justice, charity, vocation, and the common good. A lender or investor may have to sacrifice certain gains precisely because those gains would not serve life, and to demand compensation for not pursuing them would be morally incoherent.

Aquinas's restraint also protects patience. Modern finance prices patience as illiquidity (capital tied up longer must be paid more), and there is some practical truth in that, especially when actual burdens arise. But if patience is always monetized, waiting for another becomes an injury: the lender who waits must be compensated merely because he waits. Aquinas resists the logic. Time alone does not create a title, and the non-occurrence of a future profit does not automatically create a debt.

This is especially important in relationships of need. If a poor borrower requires time, mercy, or flexibility, opportunity-cost logic says that the lender is sacrificing return and should be compensated. The biblical tradition says something different: open your hand; do not harden your heart; remember the poor brother; return the cloak; fear God. The anti-speculation principle does not erase every legitimate claim of the lender, but it prevents the lender's possible profit from becoming the center of the moral universe.

Lucrum cessans threatens precisely that inversion: the borrower's need becomes the setting in which the lender calculates opportunity cost, and the old moral grammar of debt (neighbor, mercy, justice, restoration, release) risks being replaced by a grammar of alternatives, benchmarks, and foregone return. Aquinas's refusal slows the shift.

The principle must nonetheless be distinguished from a denial of all future-oriented harm. Aquinas does not say the future is morally irrelevant; in other contexts he recognizes that preventing someone from obtaining a future good can cause injury. The issue is whether, in a *mutuum*, the lender may contract for profit not yet possessed, and Aquinas's answer is no, because the danger of abuse is too great and the object sold too uncertain.

Later theologians will try to refine this answer, asking whether some future profits are so concrete that they can be treated as virtually possessed, distinguishing vague possibility from determinate expectation, and requiring actual intention, causal connection, licit alternative use, and reasonable valuation. They will not simply reject Aquinas; they will attempt to preserve his anti-speculation principle while making room for cases where a future good is more than a fantasy.

But the principle remains the measure. Any later defense of *lucrum cessans* must show why the claimed gain is not merely speculative, why the lender is not selling what he does not have, why the future good is sufficiently concrete, proximate, and causally interrupted, and why the claim does not treat a merely possible profit as property already owned.

This is where the distinction between concrete interrupted profit and abstract opportunity cost becomes essential. Concrete interrupted profit may have moral force. A merchant had a specific shipment ready, and the funds were diverted; a seller had a contract, and nonpayment prevented performance; a business had a real obligation, and delayed repayment caused a measurable commercial loss. These cases may deserve consideration. Abstract opportunity cost is different: it says only that capital could have earned somewhere. It names no specific transaction, proves no intention, accounts for no uncertainty, tests no morality of the alternative, and often uses market return as a substitute for moral reasoning. The anti-speculation principle stands firmly against this abstraction.

For non-extractive finance the relevance is immediate. A fund may be tempted to justify investor return by what capital could have earned elsewhere; the tradition asks: elsewhere doing what? With whom? At whose expense? Under what risk allocation? With what effect on workers, founders, communities, and mission? If the alternative return arises from extractive structures, it cannot serve as a clean moral baseline. If the alternative is merely generic, it cannot justify a specific charge. If the foregone profit is only a target IRR in disguise, the title has collapsed.

The principle also challenges projections inside non-extractive capital models. A simulator may show expected returns, scenarios, opportunity costs, and portfolio outcomes; such modeling can be useful, but it must not confuse projection with entitlement. A projected return is not yet possessed, a modeled opportunity is not automatically a moral claim, and a benchmark is not a title. Moral finance makes its assumptions visible precisely so that they can be judged, not so that they can masquerade as necessity.

The deeper lesson is humility about the future. Human beings may plan, estimate, and prudently account for risk, but they must not pretend to own every profit they can imagine, charge others for uncertain futures as though they were guaranteed possessions, or use the language of compensation to secure themselves against the ordinary contingency of economic life.

The anti-speculation principle therefore keeps *lucrum cessans* under judgment. It does not make the title impossible in every later development, but it places a heavy burden on anyone who invokes it. The claimant must prove that the gain was not merely possible, but concrete. Not merely desired, but intended. Not merely available, but licit. Not merely

projected, but reasonably certain. Not merely absent, but causally prevented. Not merely profitable, but just.

Without these conditions, *lucrum cessans* becomes exactly what Aquinas feared, the sale of what one does not have. And once people begin selling what they do not have, finance no longer rests on reality but on imagined futures enforced against the vulnerable.

20.3 ST II-II, q.62, a.4

The difficulty with Aquinas is that he is not as simple as either his strictest defenders or his later revisers sometimes make him appear. In *Summa Theologiae* II-II, q.78, a.2, ad 1, he seems to reject *lucrum cessans* as a loan title: the lender may be compensated for loss incurred, but not for profit not made. Yet elsewhere Aquinas gives later theologians a principle that appears to open the door again. It appears in his treatment of restitution, at II-II, q.62, a.4, where he considers whether restitution must include what someone is prevented from obtaining.

The text is not about usury directly, and that is important: Aquinas is discussing restitution, not the *mutuum*, the sale of the use of money, or the extrinsic titles in their later technical form. But the question is structurally relevant. If one person prevents another from acquiring a good, does the wrongdoer owe compensation? Aquinas answers that, in some cases, restitution is owed not only for what has been taken away, but also for what someone has been prevented from obtaining. Here we find the latent opening.

The principle is easy to understand in ordinary life. Suppose someone unjustly prevents a worker from receiving wages, or blocks another from obtaining an inheritance, a position, or a sale that was on its way to him. The wrong is not the taking of a possessed object but the prevention of a good's arrival; the injured person may not yet have physically possessed it, but he had a real relation to it, and if the prevention was unjust, compensation may be required.

This matters because it complicates the simple opposition between actual loss and foregone gain. Aquinas's anti-speculation principle remains intact: one may not sell what one does not have. But q.62, a.4 shows that not every future good is morally irrelevant. Some future goods may be sufficiently connected to a person that preventing them creates an injury. The future is not owned in the same way as the present, but neither is it always mere fantasy.

Later theologians seized upon this distinction. They asked: if Aquinas admits that preventing someone from obtaining a future good can require restitution, then why can a lender never be compensated for a profit that was truly prevented by a loan? If a merchant had a concrete transaction prepared, if the profit was reasonably certain, if the loan directly caused the transaction to fail, is this not analogous to preventing someone from obtaining a future good? Is *lucrum cessans* always speculation, or can it sometimes be a genuine injury?

This is the Thomistic tension: in q.78 Aquinas directly rejects the lender's contractual claim for profit not made, while in q.62 he recognizes that preventing future acquisition can be compensable. The later tradition will try to reconcile the texts, some emphasizing q.78 and maintaining the stricter line, others using q.62 to argue that the rejection applies only to vague or speculative profits, not to concrete, determinate, causally frustrated gains.

The distinction between vague and determinate future goods becomes crucial. Aquinas does not say that every possible future acquisition creates a right. If someone merely hoped to become rich, no one owes him compensation because that hope was frustrated; a merchant who vaguely thought he might trade someday has no claim. But

if a future good was already morally, legally, or practically approaching him, the case changes. The more determinate the future good, the stronger the claim.

This is why later thinkers developed the idea of “virtual possession.” A future profit might not be physically possessed, but perhaps it is so certain, so connected to an existing right or concrete transaction, that it is virtually possessed. The concept is dangerous, but it is not absurd. A signed contract for future payment, goods already purchased for resale, a crop already planted and nearing harvest: these are not the same as a vague hope of future commerce. A profit from a specific transaction already underway may be more than fantasy, even if it is not yet cash in hand.

The restitution principle gives later theologians room to think about such cases: justice can sometimes look forward, accounting for goods that have not yet arrived if they were unjustly prevented from arriving. But forward-looking justice must remain disciplined, not a general right to all imagined gains; the future good must be sufficiently proximate, determinate, and causally connected to the wrongdoing.

Here we can see why q.62, a.4 does not simply overturn q.78. In q.78 Aquinas is concerned with the structure of the loan contract itself, refusing to let the lender build a claim for unrealized profit into the *mutuum* and sell possibility as part of the loan. In q.62 he is concerned with restitution after wrongful prevention: the wrongdoer has caused another to miss something that, in justice, he should have obtained. The difference between contractual pricing and restitution is morally significant.

Aquinas may therefore be read as saying: do not contract in advance to sell expected profit as a condition of lending; but if someone wrongfully prevents another from obtaining a sufficiently determinate future good, restitution may be owed. This reading preserves both texts. It maintains the anti-usury structure while recognizing that future goods can sometimes matter.

The distinction also explains why later theologians often resisted upfront payment for *lucrum cessans*. If foregone profit is restitution for a gain actually prevented, it should not be charged automatically before the gain is lost: upfront payment makes the future profit certain for the lender even though the alternative was uncertain, transforming restitution into guaranteed yield. Aquinas’s q.62 principle supports compensation for wrongful prevention, not the advance monetization of possibility.

The restitution framework also requires causality. Someone must have prevented the future good; it is not enough that the good failed to arrive. Many expected gains fail for ordinary reasons: markets move, crops fail, buyers change their minds, and human plans collapse without anyone committing injustice. Restitution is owed only where the loss of the future good is morally attributable to another’s action. This requirement later becomes one of the central conditions for *lucrum cessans*: the loan or the delay must truly cause the foregone profit.

It also requires proportion. Aquinas’s doctrine of restitution does not authorize unlimited recovery for every imagined consequence. Compensation should correspond to the injury. If the future good was uncertain, compensation may be partial; if the probability was lower, the valuation should reflect that; if costs, risks, and labor would have been required to obtain the profit, they must be considered. The person prevented from gaining should not be placed in a better position than if the gain had been pursued in reality.

If a lender is compensated for a lost commercial opportunity as though the opportunity were riskless, the compensation exceeds the true injury: he receives the imagined profit without bearing the original risk. That is not restitution but a transfer of certainty from the borrower to the lender, and Aquinas’s restitution principle, properly read, does not allow it. It requires attention to the real shape of the future good that was prevented, including its uncertainty.

The q.62 principle also helps explain why *lucrum cessans* became more plausible in commercial settings than in ordinary lending. Merchants often operate with concrete future goods: purchase orders, contracts, inventory cycles, seasonal markets, scheduled obligations. Their future gains may be more determinate than the vague possibilities of an idle money-holder, and if lending interrupts such an operation, the claim of foregone profit may resemble wrongful prevention of a future good. But that is precisely why the merchant case cannot be universalized: the concreteness is doing the moral work.

A habitual lender, by contrast, faces the circularity problem. If his “future good” is simply the interest he would have earned by lending to someone else, then q.62 cannot rescue him. The future good must be just, and Aquinas’s restitution principle cannot require compensation for being prevented from committing injustice. A foregone usurious gain is not a moral injury; it is a mercy. Any appeal to q.62 must therefore first ask whether the future good was licit.

This point has powerful implications for modern finance. A fund may say that by making patient, mission-aligned capital available, it gives up higher returns elsewhere. But the moral question is not only whether those higher returns were available. It is whether they were just. If the alternative returns depend on extractive leverage, predatory debt, exploitative labor, or risk shifted onto weaker parties, then their loss cannot automatically be treated as a compensable injury. The Christian tradition does not require borrowers to compensate investors for abstaining from injustice.

The q.62 principle therefore opens a path, but not a highway. It allows consideration of future goods, but only under the discipline of justice. The future good must be real enough, licit enough, proximate enough, and causally prevented enough to matter; the compensation must be proportionate and should not become a guaranteed price for the loan; the borrower’s vulnerability must remain visible; and the lender’s projection must not be treated as ownership.

This is why later Thomists could appeal to q.62 without simply betraying Aquinas: he rejected speculative *lucrum cessans*, they could argue, not every case of prevented gain; q.78 guards against selling unrealized profit as part of the loan, while q.62 allows restitution where a concrete future good has been wrongfully blocked. The reconciliation is not effortless, but it is intelligible.

Still, the danger remains. Once the door is opened, one must guard it carefully, because the language of “prevented future good” can be stretched: a business plan becomes a future good, then a forecast, then a benchmark return, then a portfolio target, then a hypothetical investment. If every projected return becomes compensable, then q.62 is being misused, and Aquinas’s restitution principle has been converted into the very speculation q.78 warned against.

The challenge, then, is to hold the two texts together. Q.78 says: do not sell profit not yet possessed as part of a loan. Q.62 says: if someone is unjustly prevented from obtaining a future good, restitution may sometimes be owed. Together they produce a disciplined doctrine of foregone profit. Future goods are not nothing, but they are not automatically property; prevented gain can matter, but it must be concrete; compensation can be just, but it must not become yield.

This tension is one of the most fruitful parts of Aquinas’s economic thought, because it prevents both rigidity and laxity. Against rigidity, q.62 reminds us that justice may need to account for goods not yet in hand. Against laxity, q.78 reminds us that the future cannot be sold as though already possessed. The two texts together require practical judgment.

For non-extractive finance this is exactly the kind of judgment needed. A modern capital provider may sometimes suffer a real opportunity loss by making patient, mission-aligned capital available, but the claim must not be automatic; it must be tested. Was the

alternative concrete? Was it morally licit? Was it actually intended? Was the expected gain reasonably certain? Did this transaction truly prevent it? Is the compensation proportionate? Is it charged after the loss becomes real, or built in as a guaranteed return? Does it support the borrower's life and mission, or does it burden them with capital's imagined future?

Aquinas gives us no spreadsheet formula for these questions. He gives us something better: two principles that must correct each other. Do not sell what you do not yet have; but do not ignore a future good that has truly been unjustly prevented. The entire later doctrine of *lucrum cessans* lives between those two sentences.

20.4 ST II-II, q.77, a.1

The second latent opening in Aquinas appears not in his treatment of usury but in his treatment of buying and selling. In *Summa Theologiae* II-II, q.77, a.1, Aquinas asks whether it is lawful to sell a thing for more than it is worth. The question belongs to just-price theory, not directly to *lucrum cessans*. Yet this text becomes important because Aquinas recognizes that a thing may be worth more to its owner than to others because of some special loss or special use connected to that owner, and this principle later becomes one of the bridges by which theologians try to defend compensation for foregone gain.

The basic rule in q.77 is that exchange should preserve equality: a seller may not knowingly sell a thing for more than its worth in a way that injures the buyer, just as a buyer may not knowingly buy for less than its worth in a way that injures the seller. Buying and selling belong to commutative justice, and voluntary exchange is not morally self-validating. Consent does not erase injustice; if the price seriously violates equality, the contract wounds justice even if both parties appear to agree.

This matters for usury because Aquinas's whole account of financial morality is governed by equality in exchange. The problem with usury is not merely that biblical law prohibits it; the lender demands more than is owed under the structure of the *mutuum*, selling the use of money in addition to the money itself even though in consumable goods use and substance cannot be separated. He disrupts equality by charging twice. In q.77 the same concern appears in another form: a price must correspond to the thing's worth, not merely to the stronger party's advantage.

But q.77 also contains a nuance. Aquinas recognizes that a thing can have a special value to its owner that exceeds its common market value. If selling the thing causes the owner a particular loss, that loss may be considered. The owner is not always bound to part with the thing at the ordinary market price if, because of his particular circumstances, he would be harmed by losing it. The price may account for the loss caused by parting with the good.

This is not a general permission to overcharge; Aquinas is not saying that sellers may inflate prices because they feel attached to their goods or can exploit another's need. The point is more precise. Value is not always exhausted by common estimation alone: a good may be ordered to a particular use, serve a function for its owner, and impose a real burden in the parting. Where that burden is genuine, it may be morally relevant to price.

Later theologians saw the importance of this principle. If a good may be worth more to its owner because of the use the owner would have made of it, then perhaps money used in commerce may also have a special value to the merchant. Not because money as such naturally bears fruit, but because this money, in this person's hands, was ordered toward a concrete activity. If the merchant parts with it by lending, and thereby loses the use for which it was destined, perhaps the loss of that intended use can be considered.

This is the just-price bridge to *lucrum cessans*. The argument does not say simply, "Money could have earned profit, therefore the borrower must pay." That would be too broad. It says that a particular owner may suffer a real detriment by parting with a particular good, because that good had a concrete use in his circumstances, and that if this is true in sale, it may illuminate some lending cases. The key is concreteness: the money must not be treated as abstract capital with universal entitlement but tied to a real, intended, licit use.

A simple example can clarify the point. Suppose a farmer owns a horse worth a certain price in the local market. To another person, it is simply a horse. To the farmer, it may be necessary for plowing his field, and if he is required to sell it, he loses more than the generic market value. He loses the use that allowed him to cultivate his land. Aquinas's principle allows us to see that the farmer's circumstances matter. The value to the owner is not pure sentiment; it can reflect real economic and practical dependence.

Now apply the analogy to merchant capital. Suppose a merchant has money already intended for a specific purchase of goods, not imaginary but part of his ordinary trade: the profit is not guaranteed, but the transaction is concrete. Lending the money instead deprives him not merely of coins but of the commercial use toward which those coins were ordered, and later theologians could argue that this resembles the special owner value Aquinas recognizes in q.77. The money has a value to this owner because of what it was about to do.

Yet the analogy must be handled carefully. Aquinas's q.77 case concerns selling a thing that remains the seller's until sold. The usury case concerns lending money in a *mutuum*, where ownership passes to the borrower, and Aquinas himself, in q.78, remains cautious and rejects contracting for profit not made. Therefore q.77 cannot simply override q.78. It provides a principle, not a blanket permission. It suggests that intended use can affect value; it does not automatically justify charging foregone profit on a loan.

The difference between sale and loan is central. In a sale, the seller transfers ownership of a thing in exchange for a price, and if the thing is specially valuable to him, he may require a price that reflects the burden of parting with it, provided he does not exploit the buyer unjustly. In a *mutuum*, the lender transfers ownership of consumable money and is owed equivalent principal. To add a charge for the expected use of the money risks making the borrower pay for something external to his ownership. That is why the later use of q.77 must pass through the discipline of extrinsic-title analysis.

Still, q.77 opens an important conceptual possibility: value may be relational to use. One of the pressures on the old usury doctrine was the realization that money in commercial life is not always inert; it may be integrated into a merchant's operations, needed to buy inventory, pay workers, fulfill contracts, or maintain a business cycle. Depriving the merchant of that money may cause a harm not captured by simple repayment of principal.

The strictest anti-usury position might respond: if the merchant wishes to profit, he should trade or enter partnership, not lend. There is force in that answer, but q.77 makes the matter less simple. If the merchant lends because another is in need, and doing so deprives him of a concrete use of the money, the tradition must ask whether justice allows any compensation for the sacrifice. Refuse all compensation, and lending is discouraged precisely where it would help; allow too much, and usury reopens. The whole difficulty of *lucrum cessans* lies here.

Aquinas himself does not resolve the difficulty in favor of a broad title, but he gives later thinkers a language for discussing it. Special owner value becomes a way to talk about the loss caused by parting with a good, and combined with q.62 on preventing future goods, q.77 allows later Thomists to argue that some foregone profits are not merely speculative: tied to concrete uses, they may be treated, cautiously, as compensable.

Cajetan will later become especially important in this reconciliation, trying to harmonize Aquinas's direct rejection of *lucrum cessans* in q.78 with the more flexible principles of q.62 and q.77. The basic move is to distinguish between speculative future profit and determinate future profit. Aquinas rejects selling what one does not have. But if a profit is sufficiently determinate, perhaps it is not merely imaginary, and if a good has special value because of its intended use, perhaps the owner can be compensated when that use is lost. The reconciliation depends on the degree of concreteness.

Here "virtually possessed" future gain re-enters the discussion: a profit not yet in hand may be so closely connected to present arrangements (a signed contract, a shipment already arranged, a seasonal sale nearly certain to occur) that its loss is morally significant. Q.77 helps explain why. The present good is already ordered toward a future use, and that use can affect its value to the owner.

Yet this line of reasoning carries danger. The more broadly special owner value is interpreted, the more every owner of money can claim it. An investor says his money is worth more to him because he could deploy it in a fund; a banker, because he can lend it elsewhere; a private equity firm, because it has a target return; a venture fund, because every euro is part of a portfolio strategy. Suddenly the special use of money becomes universal, and if everyone has a special use, the exception disappears into the rule.

This is why q.77 must be read through q.78. Aquinas's just-price nuance cannot be detached from his anti-usury caution. Special owner value may matter, but it cannot become a general license to monetize opportunity. The owner must show a real and particular burden; the intended use must be concrete; the value must be proportionate; the claim must not exploit the other party's need. Above all, the payment must not function as a price for the mere use of money.

The danger is even greater in modern finance, because capital is almost always narrated as having alternative use. Money is never just money; it is portfolio allocation, dry powder, liquidity reserve, deployment capacity, option value. Every euro can be surrounded by a cloud of strategic possibilities. If q.77 is interpreted without restraint, all of those possibilities can be folded into "special value to the owner," and Aquinas's careful nuance becomes a universal opportunity-cost doctrine he himself would likely have resisted.

For non-extractive finance the correct lesson is more disciplined. Q.77 allows us to ask whether capital has a particular mission-aligned use that is being sacrificed; it does not allow us to assume that capital deserves market return. If a community fund has money earmarked for a specific project, and lending it elsewhere causes that project real harm, the special use may matter; if a steward-owned enterprise diverts reserves to help another and misses a concrete obligation, the special value may matter. But if an investor simply says, "I could have earned more elsewhere," the title remains weak.

The moral test must therefore be precise. What was the intended use? Was it concrete or generic? Was it licit and mission-aligned? Was the owner actually prepared to use the money that way? Was the borrower's request or delay the cause of the lost use? What was the value of the use, net of costs and risks? Is the compensation proportionate? Does the claim burden a vulnerable borrower? Does the structure still preserve the gratuity of the *mutuum*, or has it become interest under another name?

This returns us to Aquinas's central concern with equality. Just price is not whatever the owner can demand, not subjective attachment converted into legal claim, not the market power of the seller, but an attempt to preserve fairness in exchange. Special value to the owner matters only insofar as ignoring it would create injustice. It does not permit the owner to dominate the buyer or borrower through private valuation.

The insight is deeply relevant today. Investors often present their return requirements as objective, but from a moral perspective these are often forms of special owner valua-

tion: capital is worth this much to me because of my expectations, obligations, strategy, or alternatives. Aquinas would ask whether those expectations are just, whether those obligations should be borne by the borrower, and whether the claimed value reflects a real burden or merely the owner's desire for yield.

Thus q.77, a.1 contributes to the debate in a paradoxical way, opening the door by recognizing that intended use can affect value and limiting it by subordinating all price to justice. The owner's special circumstances matter, but they do not rule: the buyer or borrower remains a neighbor, the exchange must preserve equality, and a claim of special value must be truthful, proportionate, and non-exploitative.

Read together, q.62 and q.77 explain why later theologians could not simply ignore foregone profit. Q.62 says that preventing someone from obtaining a future good can require restitution. Q.77 says that a good may have special value to its owner because of the loss caused by parting with it. These principles create room for a limited, disciplined *lucrum cessans*. But q.78 remains the warning: the lender may not sell what he does not yet have, nor demand profit from the loan itself.

The task of the later tradition is to hold all three texts together. If q.78 stands alone, *lucrum cessans* seems almost entirely excluded. If q.62 and q.77 stand alone, opportunity cost may expand too far. Together, they create a demanding moral framework. Future gain can matter, but only when it is concrete. Special value can matter, but only when it reflects real burden. Compensation can be just, but only when it restores rather than extracts.

This is the Thomistic bridge. It does not abolish the usury prohibition, does not bless modern interest, does not make opportunity cost automatic. It simply recognizes that the world is complex enough that some future-oriented losses deserve consideration. The bridge is narrow, and the guardrails are essential. Without q.77, Aquinas may look too rigid for later commercial life. Without q.78, q.77 can be misused to justify nearly anything. The wisdom lies in reading them together: a thing may have special value because of its intended use, but money does not thereby acquire a universal right to grow; an owner may be harmed by parting with a good, but the borrower does not thereby become responsible for all the owner's imagined alternatives.

The final question remains the same. Is the claimed surplus tied to a real, concrete, just, and proportionate burden external to the loan, or is it merely payment for capital's unrealized ambition? Aquinas gives later theologians the tools to ask that question. He does not make it easy to answer.

20.5 The Thomistic Tension

The debate over *lucrum cessans* does not arise because Aquinas is careless. It arises because Aquinas is precise in more than one direction. In his treatment of usury, he draws a hard line: compensation for actual loss may be permitted, but compensation for profit not made may not be contracted for in a loan. Yet in his wider treatment of justice, he recognizes that preventing someone from obtaining a good can require restitution, and that a thing may have special value from its intended use: future goods can sometimes matter. The tension is not accidental; it is built into the moral reality he is trying to describe.

On one side stands *Summa Theologiae* II-II, q.78, a.2, ad 1, the text later rigorists could quote with force: the lender may not demand compensation for profit not made, because he must not sell what he does not yet possess, and the profit, being uncertain, may never have arrived. To make the borrower pay for it turns a possible future into a present claim. In the *mutuum* the danger is sharpest, because the lender has already transferred ownership and is owed only the equivalent principal. The loan itself does not bear fruit for

him.

On the other side stand the broader principles of restitution and just price: q.62, where someone who prevents another from obtaining a future good may owe restitution, and q.77, where a thing may be worth more to its owner because of the use to which it is ordered or the loss caused by parting with it. The future, these principles seem to say, is not morally irrelevant. A person may be harmed not only by losing what he already has, but by being prevented from receiving what he was truly on the way to obtaining.

This creates the central Thomistic tension: Aquinas directly rejects *lucrum cessans* as a loan title, yet indirectly supplies principles later used to defend it.

The tension can be sharpened further. If future goods can never be considered, q.62 becomes unintelligible: justice would be blind to real injuries that prevent a person from obtaining wages, inheritance, sale proceeds, or harvest. If future goods can always be considered, q.78 becomes fragile: every lender can say that the money would have been used for something profitable, every loan can be framed as preventing a gain, and every borrower can be asked to compensate the lender for a future that did not occur.

The later tradition therefore had to ask: what kind of future good was Aquinas excluding in q.78, and what kind of future good was he recognizing in q.62 and q.77?

One possible answer is that Aquinas excludes speculative future profit but recognizes determinate future goods. In q.78 the lender's claim is too indefinite: he might have made a profit, but the profit is not possessed, not certain, and not necessarily connected to the borrower's act, and to charge for it in the loan contract would be to sell hope. In q.62 the future good may be more determinate: someone was actually on the way to receiving it, and it was unjustly prevented. Restitution responds to a concrete injury, not a general possibility.

Another possible answer is that Aquinas distinguishes contractual pricing from restitution after injury. In q.78 the lender may not build compensation for expected profit into the loan as part of the bargain; that would turn the *mutuum* into a profit-generating contract. In q.62 restitution concerns a wrong that has occurred: compensation is then not the price of lending but the repair of an injury. The timing and the moral structure differ.

A third possible answer is that Aquinas permits consideration of special value in sale but not in the same way in the *mutuum*. In q.77, the owner who sells a thing may account for the particular loss caused by parting with it; but lending money for consumption is not selling a non-consumable good, for in the *mutuum*, ownership passes, use and substance coincide, and the lender is owed the equivalent principal. The special-value principle may illuminate certain cases; it cannot erase the structure of the loan.

These reconciliations are not evasions but attempts to preserve the whole Aquinas. The strict reading of q.78 captures something essential: *lucrum cessans* is dangerous because it sells what is not yet possessed. The broader reading of q.62 and q.77 captures something equally real: justice sometimes must account for future-oriented harms. The question is how to prevent the second insight from destroying the first.

This is why later commentators disagreed. Those who feared the collapse of the usury prohibition emphasized q.78. The lender's expected profit, they argued, is too uncertain to be charged; a loan must not become a way of securing gain from another's need; the lender who wants profit should enter a partnership or commercial transaction where risk and ownership are properly structured, not demand profit while preserving the creditor's right to repayment. Those who wanted to account for commercial reality emphasized q.62 and q.77. Some future profits are not vague possibilities: a merchant may have a concrete transaction ready, his money virtually committed, the gain reasonably certain. If he lends the money and thereby loses that opportunity, he suffers a real detriment, and compensation in such a case need not be payment for the use of money but for a lost good

that was sufficiently determinate.

Both sides have truth. The rigorist sees the danger of fiction, protects the borrower from the lender's imagined future, and guards the gratuity of the *mutuum*. The permissive commentator sees the danger of ignoring real sacrifice, protects the lender from being made poorer by an act of assistance, and attends to merchant life. The tradition develops because both concerns are real.

The tension also raises a deeper question: when does commercial expectation become morally weighty? Not all expectations are equal. A fantasy of profit has little weight. A vague plan has more, but not much. A habitual business practice has more still, a specific negotiated transaction has greater weight, and a legally enforceable contract may have greater weight again. Somewhere along this spectrum, the future good becomes concrete enough that preventing it seems injurious. The line is difficult to draw.

Aquinas does not give a full technical answer, because his purpose in q.78 is not to construct a theory of commercial opportunity cost but to explain why usury is sinful. He therefore draws the line in a way that protects the doctrine: actual loss may be compensated; profit not made may not be sold. Later theologians, faced with more complex cases, returned to the wider Thomistic corpus to ask whether this line could be nuanced without betrayal.

Cajetan's later reconciliation will be especially important. He will argue that a future gain may sometimes be so determinate that it is treated as virtually possessed. In such a case, compensation for its loss may not violate Aquinas's principle, because the claim is no longer based on a merely possible profit. But this reconciliation depends entirely on the strength of the word "virtually." If virtual possession means a concrete, morally certain, causally interrupted gain, the argument has force. If it means any plausible investment opportunity, the doctrine collapses.

This is the same problem modern finance faces, though in different language. Investors routinely speak as though expected returns are real before they happen. A projected IRR becomes a target, the target becomes a promise, the promise becomes a contractual claim, and the claim becomes enforceable against the company. The future return, never yet possessed, becomes structurally protected. Aquinas's q.78 warning speaks directly to this transformation. It asks whether capital has converted expectation into entitlement.

But q.62 and q.77 also speak to modern finance. They remind us that not all future-oriented claims are fictional. A mission-driven lender may genuinely suffer if funds are diverted from a concrete project. A cooperative may lose a specific opportunity because repayment is delayed. A community institution may be prevented from obtaining a grant match, a property, or a contract because promised funds did not return. To say "future goods never count" would be unjust. The question is not whether they count, but how.

A non-extractive reading of Aquinas must therefore preserve the tension rather than flatten it. It must refuse abstract opportunity cost but allow concrete prevented goods to be considered; reject target-return logic but allow restitution for real commercial injury; protect borrowers from capital's imagined alternatives but also protect lenders from actual detriment caused by lending. It must distinguish market expectation from moral claim.

The practical test might be stated this way. The more a claimed profit depends on imagination, market benchmarking, or generalized capital opportunity, the closer it is to the danger Aquinas rejects in q.78. The more it depends on a concrete, licit, intended, proximate, and causally interrupted good, the closer it is to the restitution logic Aquinas recognizes in q.62 and the special-value logic of q.77.

The test does not eliminate judgment; it demands it. It forces the moral analyst to ask what kind of future is being claimed. Was it a dream, a plan, a practice, a contract, or a near-possession? Was it licit? Was it certain enough? Was it prevented by the borrower?

Was it valued with humility? Was it charged in a way that preserves the difference between compensation and yield?

The Thomistic tension is therefore not a problem to be solved once and for all but a discipline to be maintained. Resolve it entirely in favor of q.78, and we risk ignoring real future-oriented harms. Resolve it entirely in favor of q.62 and q.77, and we risk turning every future possibility into a claim against the borrower. Aquinas forces us to live inside the difficulty, and the difficulty is a gift. It prevents moral theology from becoming either crude or captured: the crude view that every surplus is identical, the captured view that every return is justified by opportunity cost. It teaches us to ask what kind of surplus this is, what kind of future is being claimed, and whether the borrower is being asked to pay for reality or for projection.

In the later history of *lucrum cessans*, this tension will never fully disappear. Olivi will bring merchant capital into sharper focus. Fifteenth-century theologians will begin to admit foregone profit under conditions. Cajetan will develop the Thomistic reconciliation, Salamanca and the Jesuits will make the conditions more explicit, Lugo will fold lost profit into a broader theory of detriment, and Alphonsus will accept the title cautiously as part of the common teaching. Each step remains answerable to Aquinas's double witness: do not sell what you do not yet have; do not ignore a future good that has truly been prevented.

Between those two commands lies the whole moral drama of *lucrum cessans*: whether finance can recognize real sacrifice without enthroning capital's imagined future, whether compensation can remain restorative when it begins to look forward, whether the borrower will remain a neighbor or become the debtor of every profit the lender might have made. Aquinas does not let the tradition escape that drama; he teaches it to reason within it. The first to take up the reasoning in earnest was a Franciscan vowed to the strictest poverty his order knew, whose sharpest pages would be written about merchant capital.

Olivi and the Commercialization of Lost Gain

21.1 Peter John Olivi

Peter John Olivi enters the history of *lucrum cessans* as one of its most fascinating and most misunderstood figures, and the facts of his life account for both distinctions. He was born around 1247 at Sérignan, in the Languedoc, where the vineyards run down toward the Mediterranean, and at about twelve he was given to the Franciscans at nearby Béziers. He studied at Paris, became the intellectual champion of his order's rigorist party — the men later called the Spiritual Franciscans, who held that the vow of poverty bound a friar not merely to own nothing but to use little, the doctrine of *usus pauper* — and spent much of his career paying for it. In 1283 a commission of seven Parisian masters censured a sheaf of propositions drawn from his works and had his writings confiscated. He defended himself so ably that the order's general chapter cleared him at Montpellier in 1287 and sent him to teach at Santa Croce in Florence. He died at Narbonne in March 1298, still in good standing. The good standing did not survive him. Pilgrims took to crowding his tomb in numbers that alarmed the authorities; in 1318 the tomb was demolished and his bones were carried off, no one knows where; in 1326 his great commentary on the Apocalypse was condemned outright.

It is one of history's neater ironies, then, that this man — vowed to poverty, censured, posthumously exhumed — produced the most searching medieval analysis of capital anyone had yet written. In the mid-1290s, living at Narbonne amid one of the busiest commercial landscapes in Europe, its streets full of merchants, notaries, and money-changers, he composed a treatise on contracts, usury, and restitution, the *Tractatus de contractibus*. In it he observed that money firmly committed by its owner's intention to a probable profit is no longer mere money: it carries "a certain seminal character of profit, which we commonly call capital" — *quod communiter capitale vocamus*. *Capitale* was the merchants' own word for working stock; Olivi was, so far as anyone has found, the first theologian to take it seriously enough to give it a definition. And because his books were banned, the definition traveled under an assumed name. A century and a half later Bernardino of Siena — the most celebrated preacher in Italy, and eventually a canonized saint — kept a manuscript of the treatise in his library and worked long stretches of it, verbatim and unattributed, into his own sermons on economic life. The Church had burned Olivi's books, and a saint retailed their contents to all of Italy anyway.

None of this makes sense if you imagine Franciscan poverty and economic sophistication as opposites. In fact the tradition that renounced property produced some of the Middle Ages' subtlest thinking about money, credit, ownership, and use, precisely because Franciscans could not take possession for granted. A friar who has vowed to own nothing must still eat, dress, and live somewhere, and so is forced to work out, distinction by distinction, what possession actually is — the way a man on a strict diet ends up knowing more about food than anyone else at the table.

Olivi does not matter because he “permits interest.” That reading badly distorts him. He matters because he takes seriously a fact that earlier anti-usury reasoning could obscure: money in a merchant’s hands may not be idle. It may already be ordered toward exchange — bound up in trade, circulation, and expected gain — so that lending it away deprives the merchant not merely of a sum of coins but of a concrete commercial use. At that point *lucrum cessans* stops being an abstract possibility and becomes part of a theory of merchant capital.

The key word is capital. Nothing here disturbs the strict Roman-law analysis that Aquinas made his own: money lent in a *mutuum* passes into the borrower’s ownership; the borrower owes back the equivalent; the lender cannot sell the use of the money separately from the money itself. That structure stands. Olivi simply asks us to look also at the lender’s side, before the loan is made. What was this money? Stored purchasing power, waiting for nothing in particular? Or merchant capital — money intended, arranged, and morally directed toward trade?

The answer decides everything. If the money was idle, the claim of foregone profit is weak; “money could always earn something somewhere” is less an argument than an appetite. But if the money was already inside an active commercial process, the claim grows teeth. The merchant may have intended to buy wool, grain, cloth, or spices; he knows his markets, has his suppliers, has arranged his transport, and holds a realistic expectation of resale — wool bought at Narbonne does not carry itself to the buyer. Interrupt that process with a loan and a gain may truly cease. The lost profit is not a fantasy pinned to abstract capital; it is the interrupted fruit of a concrete commercial vocation.

This is Olivi’s distinctive contribution: he taught moral theology to see that not all money is economically situated alike. Money hidden in a chest, money lent to a poor neighbor, money placed in a merchant partnership, money committed to a purchase, money circulating through trade — the coins are identical, and their moral-economic forms are not. The legal category of the *mutuum* remains essential; it simply does not exhaust the economic story.

His Franciscan formation is not incidental to the insight. The poverty controversy forced the order to distinguish, with lawyerly precision, ownership from use, dominion from necessity, legal title from evangelical poverty. Men trained on those distinctions were primed to notice that the same object can be morally different depending on how it is held, used, claimed, or shared — which is exactly the perception Olivi brings to money.

None of it requires believing that money breeds. Money is not magically fertile, and Aristotle’s suspicion of money begetting money, like Aquinas’s objection to selling the use of a consumable, remains perfectly intelligible. What money can do is take its place inside a productive human activity — trade, with its labor, knowledge, risk, service, transport, scarcity, timing, and judgment. Profit arises from those activities, not from coins as such. But if money is necessary to the activity, then stripping the merchant of the money may strip him of the activity’s expected gain.

This shifts the whole shape of *lucrum cessans*. The title is no longer “I could have earned a profit”; it is “this money was already ordered toward a concrete, licit, productive use, and lending it caused that use to cease.” The move from abstract possibility to interrupted commercial form makes the claim stronger — and considerably more demanding. The merchant must show that the money really had this character. He must show intention, probability, and causality, and he may not simply wrap ordinary lending in the vocabulary of commerce.

Olivi’s position is therefore bounded on every side. He is not saying that anyone holding money may charge for whatever it might have earned, or that the market return on capital is automatically owed, or that a poor borrower must compensate a rich lender for

all the profitable uses the lender can imagine. He is saying that in commercial life, money may sometimes already have the character of capital committed to productive activity, and that interrupting such activity can be morally relevant. That is all — and it is a great deal.

It matters, too, that this came from a Franciscan rather than from some secular celebrant of accumulation. Olivi's commercial realism sits inside a theological world shaped by poverty, use, restraint, and the common good, and it refines the critique of avarice rather than abolishing it. A merchant's profit may be legitimate when it arises from real service, labor, risk, and socially useful exchange — and it remains morally judged all the same. Commerce is never self-justifying; it must be ordered, and the ordering is the point. Capital, in Olivi's account, gains no sovereignty. It gains the possibility of being embedded in morally meaningful activity, its legitimacy hanging on the activity, the risk, the labor, the intention, the justice of the exchange, and the social function of the trade. Money does not become fruitful by metaphysical right; it joins a fruitful process when joined to human work, skill, risk, and need-serving exchange.

This is also why Olivi is not simply a precursor of modern capitalism, however tempting some modern readers have found that claim. He does not reduce moral theology to market functionality, or mistake efficiency for justice, or hold that whatever capital can earn it is morally owed. He brings commercial practice inside a framework that keeps asking the old questions: whether the gain is just, whether the borrower is exploited, whether the transaction serves real need, whether the claim reflects truth rather than greed.

His importance for *lucrum cessans*, precisely stated, is that he made the merchant's case harder to dismiss. Aquinas had worried that the lender may not sell what he does not yet have. Olivi does not deny the worry; he asks whether some commercial gains are rooted deeply enough in present activity that their interruption should count as real detriment. A merchant's capital is not merely waiting. It is poised — aimed at an intended operation, standing between possession and realization. It is not the harvested fruit, but it may be the planted field, the purchased seed, the arranged transport, the negotiated sale. Its future is uncertain, but not empty. That narrow strip of ground is exactly where *lucrum cessans* lives.

Because the ground is morally delicate, Olivi's advance also multiplies the questions. If capital must be ordered toward trade, how ordered must it be — is general merchant status enough, or must a specific transaction be in view? What degree of certainty is required, and how should risk discount the claim? What if the expected profit depended on exploitative scarcity, or the trade itself was unjust, or the loan relieved someone in serious need? These questions cannot be waved away. Olivi made the problem more realistic and, in the same stroke, more complicated.

He also set the terms for every later debate about productive capital and sterile money. The old formula that money is sterile never denied that human beings can profit by using money; it denied that money lent in a *mutuum* gives the lender, by itself, a right to profit. Olivi's contribution was to show that money can be commercially fruitful without the *mutuum* becoming intrinsically fruitful. The fruit belongs to the activity, not to the bare loan — a distinction the next section takes up in earnest.

The distinction carries straight into modern finance. Investors like to say that capital is productive and therefore deserves a return. Olivi would force a more careful statement: capital is not productive in isolation; it becomes productive when embedded in enterprise, labor, risk, skill, infrastructure, trust, and social need, and the moral claim to surplus depends on participation in that productive process. An investor who shares the risk and contributes to the activity may legitimately share the profit. An investor who lends with guaranteed repayment and demands surplus anyway has walked straight back into the old usury question.

Followed honestly, Olivi points toward partnership rather than guaranteed debt. Where the provider of capital stays exposed to the outcome, profit can be shared because risk and enterprise are shared. Where the provider demands repayment regardless of outcome, takes collateral, shifts the downside onto the borrower, and still claims the profit the capital might have made elsewhere, the claim turns deeply suspect. The language of productive capital cannot sanctify risk-shifted debt.

This is where Olivi speaks most directly to non-extractive finance. A non-extractive investor should not ask, "What could my money have earned?" — too abstract — nor announce, "Because this enterprise may become productive, I deserve a fixed return," which claims the fruit while refusing the vulnerability. The better questions are Olivi's own, updated: How is the capital participating in the life of the enterprise? Does it absorb loss? Does it support real work? Does it serve production, community, and mission? Does it share upside only where it also shares downside? Does it remain subordinate to the enterprise's purpose? Productive use matters, and productive use is not enough. An investor who stands outside the risk while borrowing the language of participation has merely modernized the demand for interest. If money is to be treated as capital, its provider must accept capital's moral conditions: uncertainty, exposure, stewardship, and service.

The Franciscan in Olivi sharpens the point further. An account of commerce built on capital's self-assertion was never available to him; his had to be built on use ordered to life. Economic activity exists for provision, exchange, community, and the support of human vocation, and profit may be tolerated or justified where it serves those ends. The moment profit becomes the ruling purpose, the Franciscan critique returns in force: capital must be converted from master to servant.

His sensitivity to merchant capital also foreshadows the later Franciscan wrestling with the *Monti di Pietà*, the charitable lending institutions the order's preachers would help bring into being. Their questions belonged to the same moral world: how lending can serve the poor without collapsing financially, whether administrative costs may be charged and labor compensated, how an institution stays sustainable without becoming usurious. The Franciscans were never content with abstract condemnation; they wanted institutions that could actually serve vulnerable people without betraying the Gospel. And institutions, it turns out, can invoke this title too. A charitable lender may say that money lent to one borrower cannot help another; a mission fund, that capital tied up in one project is lost to a second; a cooperative bank, that delays impair its capacity to serve members. The claims may be perfectly real. The Franciscan discipline is to handle them as questions of service, not entitlement — the point being to sustain the institution's mission, never to maximize capital's return.

What emerges is an account of opportunity considerably more morally serious than the modern one. Modern opportunity cost is neutral and quantitative: the value of the next-best alternative, whatever it happens to be. For Olivi, the morally relevant opportunity must be real, concrete, ordered, and embedded in a just activity; the lost gain matters because it belonged to a legitimate commercial or service function, not because capital holds an abstract right to its best return. This may be one of the most valuable lessons the whole tradition has to teach. Opportunity is not morally neutral — some opportunities should be refused, some profits should not be made, some returns arise from injustice — and a Christian account of foregone profit must therefore ask not only whether the profit was likely but whether it was good.

At the same time, Olivi will not let anyone romanticize poverty into economic incompetence. Serving the poor takes material intelligence; sustaining institutions takes accounting; supporting trade takes an understanding of how merchants actually operate; building non-extractive finance takes a working knowledge of how capital moves, where losses

arise, how opportunities are structured, and when claims are real. Franciscan poverty never meant ignorance of money; it meant freedom from money's domination. And that freedom is precisely what lets Olivi be commercially realistic and morally critical at once — granting that merchant capital differs from idle coin, while insisting that the merchant's claim is never self-validating. It must still pass the tests of justice, poverty, use, and charity.

In the development of *lucrum cessans*, then, Olivi stands for the title's commercialization in the exact sense: he tied foregone profit to the real operations of trade, and thereby made it plausible. He did not thereby create a universal right to interest. His achievement is not the liberation of capital from theology but the more careful placement of capital within it — which is why later thinkers could draw on him without becoming moderns. The questions survived him intact: Is the gain concrete? Licit? Intended? Causally prevented? Proportionate? Compatible with the borrower's dignity? Does it serve life? What Olivi left behind is not a formula but a reorientation. Do not think of money only as sterile coins, and do not think of capital as sovereign either; think of economic goods according to their use, their purpose, their risk, their social function, and their relation to justice — then ask whether the gain that ceased was truly part of a morally ordered activity, or merely the imagined fruit of capital's desire to grow. Every modern appeal to opportunity cost is that question in disguise. Olivi helps us ask it better.

21.2 Productive Capital Versus Sterile Money

The controversy over *lucrum cessans* turns, in large part, on a deceptively simple question: what kind of thing is money? If money is merely a consumable medium of exchange, then the lender who transfers ownership of it in a *mutuum* is owed the equivalent principal and nothing else; to charge more is to sell the use of the money in addition to the money itself, which is precisely what Aquinas condemns. But if money can become capital — organized toward productive commercial use — then the lender who parts with it may sometimes lose more than bare possession. He may lose a concrete opportunity for gain.

Olivi's importance lies in forcing that distinction into view and stating it with precision. He does not say that money is productive by nature; that would be crude, and it would collapse at once into a justification of interest. He says that money can be placed within a productive human activity. Money in a merchant's hands may belong to an ordered process — buying goods, transporting them, storing them, selling them, bearing risk, exercising judgment, serving demand. The money itself does not breed; but without it the activity cannot happen. It is commercially potent because it is embedded in a productive form of life.

That is different from saying all money deserves a return, and the difference preserves the older doctrine. The claim that money is "sterile" was never a denial that commerce exists or that money can be used profitably. It was a claim about the moral structure of the loan. The lender in a *mutuum* does not remain owner of the money, does not share the borrower's risk as a partner, and need contribute no labor, skill, or service; his claim is to the equivalent principal, and the loan as such entitles him to nothing more.

Olivi sharpens this by distinguishing money in abstraction from money in use. Money sitting idle is not money ordered toward trade; money held as reserve is not money committed to a purchase; money lent to a poor neighbor is not money placed in partnership with a merchant; money circulating as commercial capital is not money demanded back with a guaranteed surplus. The same coins take different moral-economic forms depending on how they are situated.

For *lucrum cessans* the consequence is direct. A lender who says only "money could

have earned something" makes a weak claim; he treats money as abstract opportunity. A merchant who says "this money was already destined for a specific transaction, and because I lent it, that transaction failed" makes a stronger one; the profit that ceased was the expected fruit of a real commercial activity, interrupted. Call the first abstract productivity and the second concrete productive ordering. Abstract productivity — money can always be invested somewhere, so every use of money has an opportunity cost — tends toward universal interest. Concrete productive ordering grounds, at most, a limited claim for a particular foregone profit. Olivi's insight is thus expansive and restrictive at once. It dismantles the oversimple picture of money as always idle, and it demands attention to the actual form of this money's use: the title arises from the interruption of a real commercial arrangement, never from money's general capacity to earn.

The same distinction organizes the difference between capital and debt. Productive capital participates in an enterprise. It is exposed to uncertainty, contributes to an activity that may succeed or fail, shares gain and loss, and earns — when it earns — through participation. Debt commonly seeks repayment regardless of outcome, fortified by collateral, guarantees, seniority, covenants, and enforcement rights. A lender so protected does not participate in the productive activity; he stands outside the enterprise, holding a claim against it. If he then demands surplus by appeal to the productivity of capital, he wants the language of capital without the vulnerability of capital — and the claim is morally suspect for exactly that reason.

Modern finance blurs this line habitually. Capital is productive, runs the refrain, therefore capital must be paid. The scholastic question is sharper. Is this capital actually participating in production, or functioning as protected debt? Does it share the downside, or merely claim the upside? Is it subordinated to the enterprise's life, or senior to it? Can it be lost, or must the borrower bear the loss? Is the return tied to actual success, or demanded regardless of outcome? Productivity is not an aura surrounding capital; it is a relation among goods, work, risk, skill, time, need, and social usefulness. Money becomes morally productive only when embedded in such a relation — not because its owner could have invested it, and not because a spreadsheet assigns it a target return.

Three conditions keep the title honest. First, actual intention. A merchant cannot claim after the fact that the money could have been productive; the productive use must have belonged to his practical horizon before the loan, or the title becomes a story told by the lender to make interest look like compensation. Second, reasonable probability. The expected gain must have a basis in real commercial practice — goods available to buy, markets available to sell in, knowledge of prices, ability to transport, an ordinary expectation of profit — and it must be discounted for costs, risks, and possible failure. The compensable loss is never the highest imaginable gross return; it is the sober estimate of a net gain that was actually likely enough to matter. Third, licitness. Money may be productive in unjust ways — predatory lending, exploitative trade, speculation in necessities, monopoly manipulation, extraction from vulnerability — and profitability of that kind grounds no just claim. A foregone unjust profit is not a compensable injury. It is a temptation refused.

The Franciscan setting keeps the whole analysis truthful. The point of distinguishing productive capital from sterile money is not to enthrone the merchant but to tell the truth about economic activity: commerce can move goods, distribute scarcity, support households, and sustain communities, and commerce can exploit, hoard, deceive, and dominate. The productivity of capital is therefore morally conditional, judged by the ends it serves. Handled this way, the phrase "sterile money" keeps its exact truth. As a claim that money can never be involved in productive activity, it is false; as a claim that money, by itself and by the mere passage of time, generates no moral right to gain, it is true. The tradition defends the second claim, and Olivi prevents the first from smuggling in economic unreality.

Money does not bear fruit by nature, but it can be seed within human activity — and the fruit belongs to the activity, not to the money alone.

Modern opportunity-cost reasoning runs the smuggling operation in the other direction. Because there is always a market, there is always an alternative; because there is always an alternative, there is always an opportunity cost; because there is always an opportunity cost, the borrower should pay. Olivi's framework interrupts the chain at its first link. It asks whether the alternative was concrete, intended, licit, and causally prevented, and it refuses to let abstract market availability stand in for any of that.

The difference shows plainly in practice. Suppose a mission-aligned fund holds capital specifically earmarked for a steward-owned open-source infrastructure company. The capital is diverted temporarily to rescue another portfolio company, and the first company loses a concrete grant match or procurement opportunity as a result. There may be a real lost gain or actual detriment here: the opportunity was specific, mission-related, and causally forfeited. But if the same fund says merely, "We could have earned 12 percent in a conventional venture fund," the moral character of the claim changes entirely. That is not Olivian productive capital. It is generic benchmark thinking.

The borrower's side follows the same logic. A borrower may be responsible for the specific harm caused by non-payment or delay, and may even, in rare cases, owe compensation for a concrete profit caused to cease. He does not owe tribute to capital's general capacity for growth; to impose that burden is to make the borrower pay for the lender's abstract financial identity. A non-extractive fund, for its part, may recognize real opportunity losses — money lent to one enterprise cannot serve another, and capital allocation has consequences — but must interpret them through mission rather than return. The question is never "What is the highest return we could have earned?" It is "What concrete good, consistent with our mission, was prevented — and is compensation necessary for justice or sustainability?"

Olivi's account also dissolves a false dichotomy that still cramps this debate. One can grant that capital can be productive without accepting that debt should carry guaranteed yield; grant that merchants suffer real lost profits without universalizing opportunity cost; grant that financial institutions need sustainability without licensing extraction from vulnerability. Modern usage makes these middle positions hard even to state — we call almost everything "capital," call all payments "returns," and treat loans, equity, preferred shares, convertible notes, revenue-based finance, grants, guarantees, and partnership shares as interchangeable items in a financial toolkit. Scholastic analysis reaches beneath the instrument to its moral form. Is ownership transferred? Who bears the risk? What is owed regardless of outcome, and what is contingent? What is being compensated, what is being sold, and what future is being claimed? The productive-capital distinction is, in short, a tool for moral diagnosis: it separates real productive participation from protected ownership — partnership from debt, service from rent, risk-bearing from risk-shifting, concrete lost gain from abstract opportunity cost.

It even illuminates so contemporary a creature as venture capital. On paper, venture investment looks closer to partnership than to *mutuum*: the capital can be lost, the upside is uncertain, returns depend on success. But the same investment can turn extractive through liquidation preferences, control rights, forced exits, founder dilution, and pressure to maximize growth at the expense of mission. The legal form of risk-bearing is not enough; the actual allocation of power and downside must be examined. A genuinely Olivian audit asks whether the investor's capital serves the enterprise or rules it — whether it helps the enterprise become more fully itself, supports useful production and work and community, and accepts the vulnerability of shared outcome, or instead imposes capital's need for return and bends the mission toward exit.

This is why the productive-capital distinction must travel with stewardship. Capital may be productive — productive of what, for whom, under whose governance? A factory can be productive and exploit its workers; a platform can be productive and undermine digital sovereignty; a fund can be productive and accelerate extraction. Productivity alone is not a moral criterion; it must be ordered to life. The Franciscan dimension returns here with full force. To recognize the productive use of money is not to worship growth but to see how material means can serve human purposes — and to guard against the means becoming master. The Franciscan response to that danger was never to destroy the means but to dispossess the soul of its domination by them.

Within the narrow history of *lucrum cessans*, all of this compresses into a rule. Foregone profit can be considered only when the profit belonged to a morally ordered use of capital — not a generalized claim of money's fertility, not a disguised price of time, not capital's demand to be protected from all sacrifice, but a concrete gain, rooted in licit productive activity, truly caused to cease. Put simply: sterile money deserves no yield, and productive capital may participate in fruit — but participation requires vulnerability, service, and a truthful relation to the productive activity. Where capital refuses vulnerability and still demands fruit, it becomes extractive. Where it shares risk and serves real work, it may become just. That is Olivi's lasting value. He moved the tradition beyond a flat account of money without letting money become sovereign, making room for commercial reality without surrendering to financial abstraction — and he left the decisive question standing. Does this claim to surplus arise from real, just, risk-bearing participation, or from the old desire to make money breed money while someone else bears the cost?

21.3 Franciscan Nuance

The Franciscan role in this history keeps surprising people. You would expect the medieval world's most radical apostles of poverty to be its least helpful interpreters of commerce, and the opposite is nearer the truth. Because the Franciscans took poverty, use, ownership, and money with total seriousness, they produced some of the most nuanced economic reflection of the age. They did not denounce commerce from a safe distance. They asked how money, property, credit, labor, and institutions could be ordered toward life without becoming instruments of domination.

Olivi's thought is a fruit of that discipline, not a departure from it. Franciscan poverty demanded a refined moral vocabulary: what it means to use a thing without owning it, to possess without clinging, to let goods serve need rather than status; where use ends and dominion begins; what separates administration from stewardship, and stewardship from exploitation. The questions are spiritual, and they are also, unavoidably, economic. They train the mind to see that legal ownership does not exhaust moral reality — which is why a Franciscan could judge a coin, a cloak, a field, a pledge, a loan, or a merchant investment not by its external legal category alone, but by how it was used, toward what end, under what conditions, and with what effect on the poor, the community, and the soul. That sensitivity catches distinctions a cruder moralism misses.

Read in this light, Olivi's account of merchant capital is a characteristic Franciscan performance, because it refuses two opposite errors at once. It refuses economic unreality. Serving the poor requires institutions; institutions require administration; administration requires labor. Lending requires bookkeeping, pledges, buildings, staff, risk controls, and accountability; trade requires capital, transport, timing, knowledge, and risk. A purely abstract condemnation of surplus, made in the name of purity, ends by leaving the poor no creditor but the actual usurer — an outcome Franciscan practical intelligence declined

to accept. And it refuses to let practical necessity become an excuse for extraction. That an institution has costs does not mean it may seek profit from the poor; that capital is useful does not mean capital may rule; that a merchant may earn legitimate profit does not mean all profit is legitimate; that foregone gain is sometimes real does not mean every opportunity cost may be charged. Franciscan nuance consists in building institutions that can survive without surrendering their soul.

The later Franciscan defense of the Monti di Pietà belongs to exactly this moral universe. The Monti were charitable lending institutions — the first founded at Perugia in 1462, with Franciscan preaching behind it — designed to lend small sums to the poor against pledges, at charges far below what the usurers demanded. They ran headlong into a practical bind: administration costs money. If lending to the poor requires staff, records, storage, and buildings, someone must pay for them. Charge nothing, and the institution collapses; chase profit, and it betrays its purpose. The Franciscan answer was not simply “charge interest.” It was more careful: certain payments may be justified as reimbursement for labor, expense, and institutional necessity, provided they remain ordered to sustainability rather than gain. That is not *lucrum cessans* in the narrow sense, but it is the same disciplined realism. Not every payment above principal is usury — and every payment above principal must be morally specified. What is it for? Whom does it serve? Is it proportionate, and necessary? Does it protect the poor or burden them? Does it sustain charity, or monetize vulnerability? Olivi’s treatment of merchant capital follows the same pattern. He does not flatten all surplus into usury; he requires every surplus to correspond to a real commercial reality; and he sees the practical necessity and the spiritual danger at the same time.

Mission-driven funds today face a thoroughly Monti-like problem. They want to provide capital on just terms and to avoid extraction, and they have real costs: due diligence, legal work, governance, accounting, portfolio support, auditing, reporting, stewardship, administration. Ignore those costs and the institution may fail; turn them into a profit center and the institution drifts. The Franciscan question was never whether money may be charged, but what the charge is for — and whether it remains ordered to service.

Foregone profit poses the same test in modern dress. A non-extractive fund may sometimes give up a concrete, mission-aligned opportunity by deploying capital elsewhere, and may need to account for that in order to remain sustainable. But the moment it begins benchmarking itself against conventional venture capital or private equity returns, the logic inverts. The fund begins to treat extractive alternatives as its baseline. It begins to experience its own restraint as loss. It begins to ask borrowers to compensate it for not becoming what it was founded to resist. Franciscan nuance has a name for that condition: mission drift.

So Olivi’s recognition of productive capital is no license to import modern opportunity-cost logic wholesale; it is a call to moral specificity. Which capital, and whose? Ordered toward what use? What gain — how certain, and how just? Interrupted by what act, and charged to whom? With what effect on the poor, the borrower, the worker, the community, and the mission?

Nor does poverty excuse anyone from competence. Evangelical poverty never required economic ignorance; if you mean to serve the poor without exploiting them, you must understand economics better than the exploiter does — costs, incentives, drift, accounting, risk, governance — or watch good intentions be captured by bad structures. The Monti made the lesson institutional: charitable lending required institutional design. The modern corollary is direct. A non-extractive fund cannot merely declare itself ethical. It must build structures that resist drift; it must distinguish reimbursement from yield, stewardship costs from rent, risk-sharing from risk-shifting, patient capital from disguised control,

and mission lock from marketing language; it must know when a payment is needed to sustain service and when the same payment has become a claim of domination. The Franciscan tradition gives us permission to be practical and a command to remain poor in spirit — both at once, and neither negotiable.

All of this complicates the easy contrast between “Franciscan” and “commercial.” The Franciscans were not simply anti-commercial; they were anti-avarice, anti-domination, anti-hoarding, anti-exploitation. Commerce, rightly ordered, could move goods, support households, and serve social need — but it was never morally autonomous, and the merchant could be legitimate only as a servant of real human use, never as an idol of accumulation. That is how Olivi could appreciate merchant capital while remaining Franciscan to the bone. Trade is a real human activity requiring skill, risk, and capital; its legitimacy depends on its ordering; and profit is justified, where it is justified, because it arises from service, labor, risk, prudence, and the provision of goods in ways compatible with justice — never merely because it is possible.

For *lucrum cessans*, this yields a rule modern readers still need: a foregone profit is not morally relevant simply because it would have been profitable. It must be profit from a morally ordered activity. If the lost gain would have come from exploiting scarcity, manipulating desperation, imposing unjust prices, or extracting from the vulnerable, it creates no just title; the amount of a gain is never separable from the moral quality of the activity that would have produced it. The point bites hardest in a world of financial benchmarks. An investor says: by choosing patient capital, I gave up the higher return I could have earned in conventional finance. The Franciscan reply is a question. What was that return made of? Leverage that pressured workers? Exits that destroyed missions? Monopoly rents, ecological damage, speculative bubbles, value extracted from companies rather than added to them? If so, the lost return is no clean moral baseline; it may be precisely the gain one was called to renounce. Not every foregone gain is a loss. Some are acts of liberation; some profits are not ours to seek; and some returns should be left on the table because the table itself was unjustly built.

Yet the same tradition refuses to romanticize unsustainability. A mission that cannot pay its staff, maintain its records, audit its books, or protect its assets may end by serving no one; there is a difference between renouncing extraction and refusing the material conditions of service. The Monti were controversial precisely because they stood in this difficult middle — charging small amounts so that charitable lending could continue, their defenders explaining why such charges were not usury, their critics warning that even small charges could drift. The tension has never resolved, because it cannot. Every non-extractive institution must keep asking what it must charge to remain faithful and alive, what it must refuse to charge lest it become extractive, and how to prevent sustainability from becoming profitability, and profitability from becoming domination. The Franciscan answer was never a single number but a discipline: governance, transparency, proportionality, and spiritual vigilance.

Olivi’s contribution to *lucrum cessans* should therefore be placed within this broader institutional imagination. The goal was never to maximize foregone-profit claims but to recognize real economic sacrifice where justice requires it, while refusing to let that recognition harden into a theology of capital’s entitlement. The merchant’s lost gain may matter; the lender’s administrative cost may matter; the institution’s sustainability may matter — as servants of life, never as masters. This is also why the tradition keeps arriving at stewardship. Stewardship is not ownership absolutism but responsible use under a higher purpose. The steward does not ask, “How much can I extract from this asset?” The steward asks, “What is this for, and how must it be cared for so that it serves the good?” Applied to capital, stewardship means that money is judged by the life it enables, not by the yield

it commands.

Seen whole, non-extractive finance is a contemporary Franciscan problem. How can capital be used without being idolized, institutions sustained without becoming extractive, risk shared without exploiting vulnerability? How can returns be limited, disciplined, and tied to real service — and accounting made a practice of truth rather than a technology of concealment? How can finance remain poor in spirit even while it handles money? Olivi does not answer all of these questions, but he helps us ask them. He teaches that money can be commercially meaningful without being sovereign; that foregone gain can sometimes be real without becoming universal opportunity cost; and — through the Franciscan world he inhabited — that use matters, poverty matters, service matters, and profit remains under judgment.

The nuance, finally, is this. Franciscan moral theology is neither anti-institutional nor pro-capital; it is practical without being captured. It can defend a small charge for the Monti without blessing usury, recognize merchant capital without enthroning money, admit lost gain under strict conditions without turning every possible return into a debt — and build systems of credit while remembering the poor borrower's face. That last memory is decisive. Technical finance forgets faces; it sees risk profiles, repayment schedules, expected returns, opportunity costs. Franciscan finance must see the person, the household, the worker, the community, the mission, and Christ among the poor — and if a title, fee, penalty, or lost-profit claim makes those faces disappear, it has already begun to drift. The Franciscan contribution to *lucrum cessans* is in that sense not merely historical but spiritual and institutional: economic intelligence joined to poverty of spirit, sustainability joined to restraint, capital joined to service, and every claim to surplus judged by whether it helps goods circulate toward life or traps persons in subordination.

Olivi's merchant may truly have lost a gain. The Monti truly needed to recover their costs. A modern non-extractive fund truly must sustain its stewardship. None of it gives capital permission to forget its place. Capital is useful. It may even be fruitful. But it is not lord.

Fifteenth-Century Acceptance and Thomist Reconciliation

22.1 General Opinion Begins to Shift

The history of *lucrum cessans* is not a straight line from prohibition to permission. It is a slow and uneasy movement from suspicion toward conditional acceptance. The title begins as a dangerous possibility: perhaps a lender may be compensated, not only for actual loss incurred, but for a profit that ceased because of the loan. Aquinas resists this in the context of the *mutuum*. Hostiensis opens the door narrowly. Olivi makes the merchant case more plausible by showing that money in trade may function as productive capital. By the fifteenth century, the general opinion begins to shift.

The shift does not mean the usury prohibition disappears; it means theologians and canonists become more willing to admit that foregone profit can sometimes be real enough to matter. The earlier suspicion remains; the title is still dangerous, still a potential pretext for ordinary interest. But the commercial world has become too complex, and the intellectual tools too refined, for every claim of lost gain to be dismissed as mere speculation.

The movement is gradual because the moral risk is obvious. If every lender can say, "I could have earned elsewhere," then the prohibition against usury collapses. The lender no longer needs to charge for the use of money directly; he can charge for the gain he claims to have lost by lending. The borrower still pays more than principal, the lender still receives a return, and the loan still becomes economically interest-bearing. Only the explanation has changed.

The fifteenth-century shift therefore had to be bounded. The emerging acceptance of *lucrum cessans* did not originally mean that all capital has a standing right to opportunity-cost compensation. It meant that some lenders, in some circumstances, could plausibly suffer a real detriment when a concrete, licit, intended profit was interrupted. This is why the title remained attached to merchant practice rather than abstract possession of money. The money had to be going somewhere. The gain had to have a shape. The lender had to be able to say more than, "I might have earned."

Fabio Monsalve's reconstruction of the late scholastic chronology is useful here: the titles did not develop at the same speed or with the same level of controversy. *Damnum emergens* was accepted earlier and more easily because it concerned actual loss. *Lucrum cessans* took longer because it concerned expected gain. *Periculum sortis* would be still more structurally explosive, because it concerned risk to principal and could be generalized even more easily. The titles form a spectrum from concrete damage to increasingly abstract forms of detriment.

The fifteenth century marks the point at which *lucrum cessans* becomes more broadly thinkable. The older caution does not vanish, but theologians begin to admit that opportunity cost, in a disciplined sense, may have moral relevance. A merchant deprived of

capital may be prevented from carrying out a real trade; a lender who assists another may be sacrificing a specific commercial gain, not merely giving up idle money. If so, justice may require some compensation.

But the title remains bounded, because the tradition continues to distinguish concrete interrupted profit from abstract opportunity cost. Concrete interrupted profit points to a definite commercial act: goods to be purchased, a contract to be fulfilled, a seasonal market to be entered, an obligation to be met. Abstract opportunity cost points only to the general fact that money can be useful elsewhere. The fifteenth-century shift concerns the first, not the second.

The distinction is essential. Without it, *lucrum cessans* becomes a universal solvent: every lender becomes a merchant in imagination, every idle coin becomes capital in potential, every borrower becomes responsible for the lender's best unrealized alternative. The title ceases to be an exception and becomes the normal justification for interest. The late medieval authors who admitted the title were aware of this danger, and their acceptance was therefore accompanied by caution, conditions, and pastoral scrutiny.

Why did opinion begin to shift? One reason is the growing recognition of commercial reality. Medieval Europe was not economically static. Trade, banking, public finance, exchange fairs, and urban credit were all developing, and theologians could not simply apply village categories to every case. Money was often integrated into chains of obligation and trade, and to lend it could interrupt real economic activity. A moral theology that ignored this would be too blunt.

Another reason is the gradual refinement of the concept of compensation. Earlier authors had already accepted that *interesse* could repair loss. Once compensation for actual loss was admitted, the question naturally arose whether a lost future gain could ever be a kind of loss, and Aquinas's q.62 made it unavoidable. If preventing someone from obtaining a future good can require restitution, then the future cannot be excluded entirely. The debate shifts from whether future goods matter to which future goods matter enough.

A third reason is the influence of merchant-oriented thinkers such as Olivi. His recognition of productive capital gave later authors a way to distinguish idle money from money already ordered toward trade. The lender who had no concrete use for the money could not claim much. But the merchant whose capital was already practically committed to commerce could say that lending caused a real sacrifice. This did not make money naturally fruitful. It made the loss of a particular use compensable.

A fourth reason is the pastoral need to encourage useful lending without encouraging usury. If a person with capital is asked to lend in a way that causes him real commercial sacrifice, a strict refusal to compensate might discourage assistance, especially where the borrower's need is real but the lender is not wealthy enough to absorb every loss. The tradition had to find a way to distinguish exploitative profit from compensation for genuine sacrifice.

Yet the pastoral concern cuts both ways: a doctrine too strict may discourage lending, a doctrine too loose may exploit borrowers, and the movement toward acceptance occurs within this tension. The theologian must protect the lender from real harm without allowing the lender to monetize every possible advantage. The borrower must not be made the insurer of capital's ambition, and the lender must not be punished for charity. The title exists in the space between these two injustices.

This is why *lucrum cessans* remained more suspect than *damnum emergens*. Actual loss points to a burden already visible; lost profit points to a future whose reality must be argued. The moralist must ask: was the profit truly expected, or merely hoped for? Was the alternative use concrete, or generic? Was the gain licit, or exploitative? Was the loan the cause, or only one factor among many? Was the amount proportionate, or inflated?

Was the title invoked before the loss was real, turning uncertainty into guaranteed yield?

The acceptance of *lucrum cessans* therefore represents not a capitulation but a refinement: the tradition increasingly recognizes that future-oriented commercial harms can be real, while insisting that such harms be proven, limited, and morally examined. The title develops through casuistry rather than doctrinal reversal. It enters through cases, not slogans.

Sant'Antonino of Florence and Bernardino of Siena will be important here, both of them working where practical moral theology, urban commerce, and pastoral concern meet. They do not simply discard the older prohibition; they try to guide Christians through a world in which trade and credit are unavoidable. Their acceptance of *lucrum cessans* in some circumstances reflects the growing consensus that real commercial sacrifice may be compensable, and their warnings against disguised usury preserve the older moral grammar.

Cajetan will later give a more explicitly Thomist reconciliation, arguing from q.62 and q.77 that some future gains are determinate enough to be treated as virtually possessed. The move allows later Thomists to accept the title under conditions while claiming fidelity to Aquinas; whether it succeeds depends on how carefully the conditions are maintained.

Conrad Summenhart also belongs to this transitional landscape, his systematic attention to contracts and extrinsic causes marking the move from medieval case discussion toward early modern moral-economic analysis. By Salamanca and the Jesuits *lucrum cessans* will be treated with increasing sophistication, the conditions clearer still: concrete alternative use, actual or virtual intention, causality, reasonable certainty, proportionate valuation, and avoidance of automatic upfront payment. The fifteenth century is the moment when the title begins to move from exceptional possibility toward broader acceptance.

The development should not be read as simple moral decline, though it is tempting to tell the story that way: first the Church condemned usury, then clever theologians invented loopholes, and eventually interest became normal. There is some truth in the warning; the titles could be abused, and some expansions did make the doctrine easier to evade. But the theologians were also trying to solve real problems of justice. Commercial sacrifice does exist, future goods can be wrongfully prevented, lenders can be harmed by lending, and institutions serving the poor can collapse if they cannot recover real costs. A moral doctrine that cannot handle these realities becomes brittle.

The better story is that the tradition was trying to keep compensation from becoming extraction as the economy grew more complex, and *lucrum cessans* was one of the hardest tests of that effort. Admit too little, and real harm goes uncompensated; admit too much, and opportunity cost becomes a universal right of capital. The shift begins a more permissive settlement, but the moral tension remains unresolved.

For modern non-extractive finance this history is close to home. Opportunity cost is no longer exceptional; it is assumed. Investors compare every deployment against alternatives. Funds benchmark themselves against markets. Philanthropic capital measures concession, patient capital is described as taking a discount, and mission-aligned finance is asked to explain why it does not pursue higher returns. The language of *lucrum cessans* has become common sense, even when the Latin is forgotten.

The fifteenth-century theologians would warn us that this common sense is dangerous. That capital could have earned elsewhere does not automatically create a moral claim: the alternative must be concrete, licit, intended, and causally prevented. A market benchmark is not a moral title, a target return is not a lost profit, and a hypothetical opportunity is not the same as a real interrupted transaction. The borrower should not be made responsible for the lender's whole landscape of unrealized possibility.

The shift also warns against excessive simplicity, though: non-extractive finance can-

not simply pretend that opportunity costs never matter. Capital deployed in one mission project cannot be deployed in another. A fund that makes a patient loan may give up a concrete use of money elsewhere. A cooperative lender may suffer if repayment delays prevent service to other members. Some future-oriented harms are real, and the task is to distinguish them from abstract claims of return.

The general opinion begins to shift, then, because reality presses upon doctrine. Commerce forces theology to become more precise, and precision brings danger: once foregone profit is admitted, even narrowly, it must be guarded against expansion, tethered to actual commercial form rather than floating into the general atmosphere of capital markets.

The fifteenth-century acceptance of *lucrum cessans* is therefore a hinge in the history of moral finance, the tradition becoming more realistic and more vulnerable at once. The title is admitted because some foregone gains are real, and it remains dangerous because not every imagined gain is owed. What it recognizes, that future profit can sometimes cease in a way justice must consider, opens the path toward opportunity-cost reasoning, which, generalized, can turn every borrower into the debtor of capital's imagined future.

22.2 Sant'Antonino of Florence

Sant'Antonino of Florence belongs to the moment when *lucrum cessans* begins to move from narrow possibility toward cautious pastoral acceptance. He is not a revolutionary overturning the older usury doctrine. He is a bishop, moral theologian, and practical guide to Christian life in a commercial city, and Florence was not an abstract theological setting. It was a dense world of merchants, bankers, artisans, family firms, public finance, charitable institutions, and poor borrowers. In such a world, the question of foregone profit could not remain merely theoretical.

Antonino's importance lies in his ability to preserve the older suspicion of usury while recognizing the real pressures of urban commercial life. He understood that the Christian moralist could not simply say "no surplus ever" and leave it at that. Nor could he allow every merchant or lender to baptize profit-seeking under the language of compensation. His task was pastoral and diagnostic: to identify when a payment above principal corresponded to a real external title, and when it was merely a disguised charge for lending.

On *lucrum cessans* Antonino represents a cautious acceptance: foregone profit may be compensable in some circumstances, especially where the lender is genuinely deprived of a concrete use of money. But the title remains bounded: not ordinary interest, not the automatic price of time, not a general right belonging to every holder of capital. It applies where lending causes the lender to lose a real, licit, and sufficiently determinate gain.

Antonino works in a world where merchant life is morally complex, and merchants are not simply villains in his analysis. Commerce can serve real needs: it can move goods, support households, employ workers, and sustain cities. But commerce can also become avaricious, manipulative, and exploitative. The merchant's profit is not automatically unjust, but neither is it morally self-justifying. It must be judged by intention, moderation, service, risk, labor, and the common good.

That same balanced approach shapes his treatment of foregone profit. If a merchant lends money that he would otherwise have used in trade, and if the loan prevents him from making a real gain, the claim of *lucrum cessans* may be intelligible. The merchant is not necessarily charging because money was lent; he may be asking to be compensated for a commercial opportunity sacrificed. But the sacrifice must be real, the gain must not be imaginary, and the claim must not be a mask for habitual lending at interest.

Borrower need is important here: the loan usually arises because someone needs help,

and the Christian lender is called to charity, not exploitation. Yet charity does not always require the lender to absorb every consequential loss, especially if the lender is not wealthy or if the loss is substantial and concrete. Antonino's pastoral realism allows room for this: the lender may be generous without being required to impoverish himself through every act of assistance. But the borrower's need also intensifies the danger. A desperate borrower may accept terms that a free borrower would reject, and the more vulnerable the borrower, the more carefully the title must be examined.

The key distinction is between sacrifice and revenue. If the lender truly sacrifices a concrete commercial gain to help another, compensation may be considered. If the lender structures the transaction so that lending itself becomes a recurring source of revenue, the title has changed its nature. *Lucrum cessans* in the strict sense is tied to a particular foregone gain; usury is tied to the lender's expectation that money lent should return with more. Antonino's acceptance of the former does not imply permission for the latter.

This is why habitual lending remains suspect. A merchant who occasionally lends money needed for trade may claim that a specific commercial opportunity was lost. But a professional lender who habitually lends for gain cannot simply say that he lost the opportunity to lend profitably elsewhere. That would be circular: his lost profit would be another interest payment, and the title would justify usury by comparison with usury. Antonino's caution preserves the older rule that the alternative gain must itself be licit.

The title also depends on intention. Did the lender actually intend to use the money in trade? Was the opportunity already in view, or was the lost profit invented after the fact? Intention alone is not sufficient (people intend unrealistic things), but without it the title has no moral substance: a person cannot be compensated for a gain he never actually planned to pursue. The claim must arise from a real orientation of the money toward use.

The opportunity must also be sufficiently determinate. It is not enough to say that money is generally useful. A merchant must be able to point to a transaction, a trading practice, a seasonal opportunity, or some other concrete use. The more specific the opportunity, the stronger the claim; the more general the claim, the more it becomes opportunity cost in the abstract. Antonino's world of pastoral cases is precisely where this distinction matters. Confessors had to ask what happened, not merely what could have happened.

Valuation is another difficulty. Even where the lost profit is real, how much was lost? The expected gain must be adjusted for costs, risks, labor, and uncertainty. The lender cannot claim the highest imaginable profit as though it were guaranteed, and if he would have had to bear risk in the commercial transaction, the compensation should not give him the profit without the risk. Otherwise the borrower pays for a purified fantasy of commerce: all gain, no uncertainty.

The point is central to the moral meaning of *lucrum cessans*: a foregone profit is not a guaranteed profit. If compensation gives the lender certainty that he would not have enjoyed in the alternative transaction, it may overcompensate him. Antonino's caution belongs here. To compensate lost gain justly, one must value the gain soberly; one must not transform a possible harvest into a certain debt.

His acceptance therefore remains pastoral rather than ideological: not a theory in which capital deserves return, but an answer to cases where refusing to compensate a real sacrifice might be unjust, rooted in the practical life of conscience. What did the lender actually give up? What did the borrower actually cause? What does justice require? What does charity require? Where does compensation end and profit-seeking begin?

The pastoral method is especially important in Florence, where commerce and religion were deeply intertwined. A merchant might fund churches, support charities, participate in civic life, and also engage in morally ambiguous financial practices. A poor borrower might depend on credit but be vulnerable to exploitation. Public debt might support the

city but burden citizens, and banking might facilitate trade but also tempt Christians into usury. Antonino's moral theology had to move within this complexity. A blunt rule could miss reality; a permissive rule could bless sin.

His position is therefore part of a broader moral discipline. He accepts the title only when it remains tied to a real external burden: the payment must arise not from the loan itself but from the loss of a concrete gain caused by the loan, the claim must be proportionate and non-fraudulent, the borrower must not be made to bear speculative possibilities, and the title must not become a standard clause in every loan.

His approach also anticipates later manualist diagnostics. We can already hear the questions that will become more explicit in Salamanca and the Jesuit tradition. Was the alternative use real? Was it licit? Was there intention? Was the gain probable? Did the loan cause the loss? Was compensation proportionate? Was it demanded upfront? Was the borrower vulnerable? Was the same harm counted elsewhere? Was the title a genuine title or a pretext?

Antonino also helps us see why the shift cannot be reduced to moral laxity. Accepting *lucrum cessans* was partly an attempt to prevent another kind of injustice: making a lender bear a real and serious loss simply because he helped someone else. A Christian moral economy cannot depend upon pretending that costs do not exist. If lending causes real sacrifice, the sacrifice may need to be named. But naming sacrifice is not the same as monetizing every opportunity. The distinction is everything.

Mission-driven capital providers face similar questions today. A fund may deploy capital patiently to one enterprise and thereby lose a concrete opportunity to support another. A cooperative lender may suffer when delayed repayment prevents it from serving members. A charitable institution may have to choose between absorbing losses and remaining sustainable. In these cases, foregone gain or foregone use may be real. But the title must be handled in Antonino's spirit: carefully, concretely, and under the discipline of charity.

The danger today is that we begin not with concrete sacrifice but with market benchmark. We say: conventional capital could have earned this; therefore patient capital has lost that. Antonino would force a more careful analysis. What specific good was lost? Was the alternative morally licit? Was it part of the institution's vocation? Did the borrower cause its loss? Is compensation necessary to preserve the mission, or is it simply an attempt to import conventional return expectations into a moral structure?

Borrower need therefore remains central. A non-extractive finance structure exists to serve enterprises, workers, communities, and missions, not to preserve capital from all inconvenience. If the borrower is already vulnerable, a claim for foregone profit must be scrutinized with particular severity. Does the claim restore justice, or does it burden need? Does it help sustain a shared mission, or does it make the borrower pay for the lender's unrealized advantage? Does it strengthen solidarity, or weaken it?

His pastoral realism also suggests that one-size-fits-all answers will fail. A wealthy lender who can easily absorb a foregone gain stands differently from a small merchant whose household depends on trade; a desperate borrower differently from a commercial borrower seeking advantage; a concrete lost transaction differently from a vague market opportunity; a one-time act of assistance differently from habitual lending. Moral theology must attend to these differences.

Yet such attention must not become relativism. The underlying rule remains: surplus from the *mutuum* itself is usury, and extrinsic titles justify surplus only when they correspond to real external burdens. Antonino's acceptance of *lucrum cessans* operates within this rule. He does not let the title become a universal permission, and he does not erase the difference between lending and partnership, compensation and yield, charity and revenue.

The most important lesson from Antonino may be this: commercial realism must remain pastoral. It is not enough to understand markets; one must understand souls. The lender's desire can disguise itself as loss. The borrower's need can be exploited through consent. A contract can appear reasonable while training both parties in avarice, and a legitimate title can become a habit of extraction. The confessor's task is to see not only the transaction, but the formation of the persons within it.

For modern finance, this is a bracing thought. Financial instruments do not merely allocate cash flows; they shape moral perception. If every patient act is booked as foregone return, investors learn to see patience as injury. If every delay becomes monetized, lenders learn to prefer compensation over mercy. If every mission-aligned investment is measured against extractive alternatives, mission becomes a discounted version of greed. Antonino's pastoral lens asks what kind of people a financial structure creates.

In that sense his cautious acceptance is no technical permission detached from spiritual formation. It is a narrow act of justice in concrete cases, not an invitation to build an entire financial imagination around lost profit. The lender may sometimes be compensated, but he must still learn generosity. The borrower may sometimes owe compensation, but he must not be reduced to a revenue source. The institution may need sustainability, but it must not drift into self-preservation at the expense of its purpose.

Antonino therefore stands as a bridge between the earlier caution of Aquinas and the later systematization of Salamanca: foregone profit can matter, but only within a moral world of confession, charity, borrower need, merchant responsibility, and anti-usury suspicion. His acceptance is not modern opportunity cost but pastoral compensation for concrete sacrifice, and the distinction must not be lost. *Lucrum cessans* remains morally tolerable only while it remains a servant of justice; the moment it becomes the ordinary language of capital's entitlement, it has ceased to be Antonino's title and has become the return of usury by another name.

22.3 Bernardino of Siena

Bernardino of Siena belongs beside Sant'Antonino as one of the great fifteenth-century moral interpreters of commerce. He was a Franciscan preacher, reformer, and practical theologian whose economic thought grew out of the pulpit as much as the classroom. He wrote not as a detached theorist of capital markets but for merchants, lenders, artisans, civic officials, and poor borrowers trying to live faithfully in cities shaped by trade, credit, inequality, and temptation. His treatment of money is therefore both spiritually urgent and economically concrete.

This matters for *lucrum cessans* because Bernardino sees the same difficulty that runs through the whole tradition. On one side, Christian moral theology must condemn usury: the demand for gain from the loan itself, especially where another's need becomes the lender's opportunity. On the other side, it must not become so economically crude that it cannot distinguish exploitative gain from legitimate commercial profit, real service, labor, risk, and sacrifice. Bernardino's practical genius lies in holding those two concerns together.

As a Franciscan, Bernardino inherits a tradition deeply suspicious of avarice and domination, but also deeply invested in practical responses to poverty. This is the same world that will defend the Monti di Pietà: charitable lending institutions that offered credit to the poor at modest charges to cover administration and labor. The Franciscan concern was not merely to denounce usurers, but to replace them. A sermon against usury was not enough if the poor still had nowhere else to go. Moral theology had to become institutional.

That practical orientation shapes his understanding of commerce. Merchants are not automatically sinful; trade can perform a real social function: merchants move goods from places where they are abundant to places where they are scarce, bear risk, exercise skill and judgment, and support households and cities. Profit can therefore be legitimate when it arises from useful service, labor, risk, and prudent activity ordered toward the common good.

But Bernardino also knows that commerce is morally dangerous. The same merchant who serves the city can exploit scarcity, the same skill that enables distribution can become deception, the same credit that supports trade can become domination, and the same profit that sustains a household can become avarice. He therefore does not sanctify commerce simply because it is useful. He subjects it to moral judgment: profit is permitted where rightly ordered, but condemned where it arises from fraud, manipulation, hoarding, or the mere power to demand.

This is precisely the moral environment in which *lucrum cessans* becomes thinkable but dangerous. A merchant's money may be part of an active commercial life, intended for a trade, a purchase, a journey, or a resale rather than sitting idle. If that money is lent and the merchant thereby loses a concrete profit, the claim of foregone gain may be morally relevant. But such relevance depends on the same conditions that govern all legitimate profit: reality, service, risk, moderation, and justice.

In Bernardino's world *lucrum cessans* cannot mean that every possessor of money may charge for the return he might have earned; that would be the collapse of the prohibition. It must mean something narrower: a real and particular profit, arising from licit commercial activity, was prevented because the lender parted with the money. The title therefore depends on concrete merchant life, not abstract financial possibility.

His treatment therefore belongs to the fifteenth-century shift rather than to modern opportunity-cost theory: not a move from "interest forbidden" to "capital deserves market return," but from simple suspicion of profit not made toward a more careful recognition that some foregone profits may be real sacrifices. Bernardino's contribution is pastoral and commercial at once: he can see that the merchant who lends may give up something real, and he can also see that the language of sacrifice can become a cloak for greed.

The anti-abuse logic remains central. If a lender claims *lucrum cessans*, the moralist must ask what profit ceased. Was there a real trade? Was the lender genuinely prepared to undertake it? Was the profit reasonably probable? Was it licit? Did the loan cause its loss? Was the amount claimed proportionate? Was the borrower in need? Was the lender acting from charity, justice, or avarice? Without such questions, *lucrum cessans* becomes a loophole.

Bernardino's Franciscan context also keeps the poor borrower visible. The doctrine of lost profit can easily center the lender's sacrifice and forget the borrower's need. The lender says, "I could have earned." The borrower says, "I needed help." A Christian moral theology must hear both, but it must not let the lender's imagined alternative drown out the borrower's vulnerability. Bernardino's preaching against avarice keeps the human and spiritual stakes in view. Money is not an abstract asset. It is a social power that can either serve or enslave.

The point mattered because urban credit was growing complex. Poor people borrowed for survival, merchants for trade, cities for public finance; families pledged goods, and money circulated through formal and informal networks. In such a world usury could hide in many forms: penalties, exchange contracts, delayed payment, fictive damages, lost-profit claims. The lender did not need to be crude. Bernardino's moral theology is therefore vigilant. It knows that sin can become sophisticated.

The vigilance does not prevent him from recognizing real costs; this is the Franciscan

balance. Lending to the poor requires administration; trade requires risk; public utility may require moderate profit; a merchant may be harmed by losing the chance to trade. But every such claim must remain subordinate to charity and justice. The purpose of economic life is not the multiplication of claims, but the right ordering of use. Money must circulate toward human need, not accumulate as power over the needy.

A modern fund may claim that it gives up market return by providing patient capital, and that may sometimes be true in a practical sense. Bernardino would not stop there. He would ask whether the foregone return was tied to a concrete, licit, mission-compatible alternative. He would ask whether the borrower should bear that cost, whether the claim helps sustain service or simply imports conventional finance's expectations into a moral project, and whether the fund's language of sacrifice has become a form of entitlement.

The distinction between sustainability and extraction is central. Support for practical institutions does not mean blessing unrestricted return. The Monti di Pietà could charge to cover costs because without such charges they could not serve the poor. But cost recovery is not the same as profit maximization, administration is not rent-seeking, and stewardship labor is not capital's dominion. The moral question is always: what is the payment for, and whom does it serve?

In the case of *lucrum cessans*, the same logic applies. A payment for foregone profit may be justified if it prevents the lender from being unjustly harmed by a concrete act of assistance. But it becomes extractive if it gives capital a general claim to compensation for every unrealized return. The first protects real sacrifice. The second protects capital from having to love. Bernardino's whole moral world stands behind that difference.

The spiritual language is not decorative; it belongs at the center of the doctrine. Usury was condemned not merely for violating a technical rule about consumable goods but for forming the soul wrongly: it trained the lender to see another's need as revenue, the borrower to accept subordination as necessity, and the community to tolerate a world in which money breeds power. Bernardino's preaching attacks precisely this deformation.

Lucrum cessans risks a subtler deformation. It trains the lender to see another's need as the cause of his missed opportunity: the borrower becomes the person who prevented profit, the act of lending becomes a sacrifice to be priced, and charity becomes a negotiable loss. Again, this does not mean foregone profit is never real; it means the title must be held under spiritual discipline, without which it transforms the imagination.

This is why Bernardino's practical commerce is never separated from moral exhortation. He does not merely classify contracts; he preaches conversion. The merchant must examine his conscience. Is he seeking moderate gain for household and public utility, or is he driven by avarice? Is he serving real needs, or manipulating them? Is he bearing risk, or shifting it? Is he using money as a tool, or being used by it? These questions are as relevant to *lucrum cessans* as to ordinary trade.

His thought also helps us distinguish merchant profit from lender profit. A merchant may earn profit by buying, transporting, storing, and selling goods; his gain can arise from labor, knowledge, risk, and service. A lender, in a *mutuum*, simply transfers ownership of money and receives a claim to equivalent repayment. The foregone-profit title becomes plausible only when the lender's money was otherwise embedded in merchant activity. If there is no such activity, the claim loses force. This preserves the distinction between commerce and usury.

Modern finance often blurs this distinction by calling all money "capital" and all capital "productive." Bernardino's world would force us to ask what the capital is actually doing. Is it enabling work, trade, and service, or merely commanding payment? Is the capital provider sharing risk, or enforcing repayment? Is the return connected to productive participation, or to bargaining power? These questions prevent the language of productivity

from becoming an automatic justification for return.

Bernardino also belongs to the broader Franciscan pattern of institutional moral imagination, whose goal is not merely to identify sinful contracts after the fact but to build better alternatives. The Monti di Pietà are the clearest example: institutions designed to provide credit without usury, to serve the poor while covering necessary costs, to discipline lending through public and charitable purpose. This is deeply relevant to the modern project of non-extractive capital. Critique is not enough. One must design institutions that make just finance possible.

Such institutions require rules against drift, and Bernardino would have understood this. A charitable institution can become self-serving, a cost-recovery charge can grow into a revenue stream, a moral exception can become a business model, and a title admitted for necessity can become habitual entitlement. The more practical the institution, the more it needs spiritual and governance safeguards.

For *lucrum cessans*, the drift pattern is especially clear. First, compensation is admitted for a concrete lost merchant profit; then for regular commercial opportunity; then for being deprived of money; then it is benchmarked against market return; then it becomes ordinary interest. Bernardino's caution belongs at the beginning of this chain. He does not deny the first step. But his whole moral world warns against the later ones.

This makes his position more subtle than either rigorist rejection or modern acceptance. He does not treat all foregone gain as fiction, nor all foregone gain as compensable. He asks whether the gain was real enough, just enough, and causally interrupted enough to matter. He asks whether compensation would serve justice or feed avarice, and whether the borrower's need has become the lender's opportunity.

For modern non-extractive finance, Bernardino's lesson might be stated this way: do not let opportunity cost become the grammar of mission. A mission-driven fund may need to account for real sacrifices, recover costs, and avoid harming itself in ways that prevent future service. But the moment it begins to measure itself primarily against the profits it could have earned elsewhere, it is in danger. It has begun to let the wider market define its imagination.

A Bernardino-inspired fund would ask different questions. What is necessary for sustainability? What is sufficient for stewardship? What charges correspond to real work, risk, loss, or foregone mission-aligned use? What returns would compromise the borrower's mission? What structures protect the vulnerable? What prevents managers or investors from benefiting from distress? What keeps capital in service rather than command?

Such questions show why Bernardino's contribution is not merely historical: he gives us a way to think about finance as moral formation, where the issue is not only whether a payment can be justified but what kind of economic community it creates. Does it create trust, mutual service, responsible trade, and protection for the poor? Or does it create a world in which every relationship is measured by lost yield?

In the development of *lucrum cessans*, then, Bernardino represents practical commerce under Franciscan judgment: he recognizes the merchant's reality and that lost profit can sometimes be a real sacrifice, but refuses to let the recognition become capital's automatic defense. The title must remain concrete, limited, and spiritually suspect, used to protect justice rather than to normalize gain from lending.

That is why he belongs in this chapter. The fifteenth century begins to accept *lucrum cessans* more widely, but its best representatives treat it not as a loophole but as a dangerous instrument, used rightly only by those willing to remain under judgment. The merchant may be compensated for real sacrifice, and the Christian must still be converted from avarice.

22.4 Cajetan

Cajetan (Tommaso de Vio) stands at one of the most important points of reconciliation in the history of *lucrum cessans*. He is a Thomist, deeply committed to reading Aquinas carefully. Yet he also belongs to a later world in which the conditional acceptance of foregone profit had become increasingly difficult to ignore. His task, therefore, is not to choose between Aquinas and commercial reality but to ask whether a properly bounded doctrine of *lucrum cessans* can be reconciled with Aquinas himself.

The task is not easy, because Aquinas's direct statement in *Summa Theologiae* II-II, q.78, a.2, ad 1 appears severe: compensation may be contracted for loss incurred but not for profit not made, since the lender may not sell what he does not yet have. A future profit is uncertain and may never be obtained. To charge for it in a loan risks treating a merely possible gain as the lender's property, making the borrower pay for a future that did not yet belong to the lender.

Cajetan cannot simply erase this text; as a Thomist, he must respect it. But he reads it in light of Aquinas's wider doctrine of justice: II-II, q.62, where preventing another from obtaining a future good may require restitution, and II-II, q.77, where a thing may have special value to its owner because of its intended use or the loss caused by parting with it. These texts do not directly authorize *lucrum cessans* as a loan title, but they complicate a simple rejection.

The reconciliation depends on a distinction between speculative and determinate future gain. Aquinas rejects the sale of a profit not yet possessed because such a profit may be merely possible. But what if it is not? What if it is concrete, proximate, intended, morally licit, and reasonably certain? What if the lender, especially a merchant, was already ordered toward a specific transaction, and the loan caused that transaction to fail? In such a case, Cajetan can ask whether the future gain has enough moral solidity to be treated as a real detriment when it is prevented.

This is the idea sometimes described as virtual possession. A profit may not yet be in the lender's hands, but it may be so closely connected to present arrangements that its loss is not mere disappointment. It is more like being prevented from receiving a good already on its way. A merchant with a specific purchase arranged, a known resale opportunity, a seasonal market, or a contract in view stands differently from an idle lender imagining vague returns. The gain has not yet arrived, but it may be virtually present in the structure of the activity.

The strength of the reconciliation depends entirely on how strictly virtual possession is understood. If it means a concrete and causally interrupted gain, the argument has real force. If it means any plausible financial opportunity, the doctrine collapses. Cajetan's task is to preserve Aquinas's anti-speculation principle while admitting that some expected gains are not merely speculative. The line is narrow.

The first condition is concreteness. A lender cannot claim *lucrum cessans* simply because money could have been useful elsewhere. The foregone profit must be tied to a determinate use: some identifiable commercial act, obligation, or opportunity that was interrupted. The more general the claim, the weaker the title. "I could always have earned something" is not Cajetan's case. "I was about to complete this specific transaction, and lending prevented it" is much closer.

The second condition is intention. The lender must genuinely have intended to pursue the profitable use. A lost profit invented after the loan cannot justify compensation. The money must already have been practically ordered toward the use. This need not always mean a signed contract, but it does require more than imagination: the lender's ordinary activity, concrete plans, preparations, and circumstances matter. Without intention, the

supposed profit was never truly in the lender's path.

The third condition is licitness. The foregone gain must have been morally legitimate. A lender cannot claim compensation because he refrained from usury, fraud, exploitation, or any other unjust gain. This point is sometimes underdeveloped in modern opportunity-cost reasoning, but it is essential in a Christian moral framework. Only a justly obtainable good can become the basis for restitution or compensation. A sinful gain that ceased is not a compensable injury.

The fourth condition is causality. The loan or the borrower's action must truly cause the profit to cease. It is not enough that the lender failed to earn during the loan; the market might have changed, the lender might have lacked skill, the goods might not have sold. The claimed gain must be lost because the money was lent or because repayment was delayed. Without causality, the borrower is made responsible for the lender's general business uncertainty.

The fifth condition is proportionate valuation. Even if the profit was concrete and causally lost, compensation must not exceed the true value of the lost gain. Costs must be deducted, risk considered, the chance of failure acknowledged, and the labor and time required for the alternative transaction not ignored. A projected gross return is not a compensable net profit, and a possible profit is not a guaranteed profit. Compensation must not place the lender in a better position than the one he would likely have occupied.

The last condition is especially important. Compensated for the full expected profit without bearing the risk that would have accompanied the transaction, the lender receives a purified version of the future: gain without danger, commercial fruit without commercial exposure. That is not restitution but overcompensation. Cajetan's reconciliation must therefore remain realistic about uncertainty. Virtual possession does not mean absolute possession.

Through this framework, Cajetan can claim fidelity to Aquinas while allowing a limited *lucrum cessans*. Where the future gain remains speculative, q.78's rejection holds; where it is determinate enough to be treated as virtually possessed, q.62 and q.77 open the possibility of compensation.

The reconciliation is elegant, but dangerous. Its danger lies in the elasticity of "determinate enough." Once theologians admit that future gain can be virtually possessed, later users may stretch the concept. A merchant's arranged transaction becomes a merchant's ordinary practice, ordinary practice becomes general commercial opportunity, commercial opportunity becomes market return, market return becomes target return, and target return becomes a contractual claim. At the end of the chain, Aquinas's warning has been swallowed by the very principle meant to nuance it.

Cajetan's argument therefore requires strict guardrails. The title must not be universalized or treated as belonging to every lender; it must not be applied automatically, paid simply because time has passed, or reduced to a percentage of principal; it must not be invoked where the alternative is vague; and it must not become the ordinary price of money.

This is why Cajetan matters so much for the later tradition: he gives Thomists a way to accept *lucrum cessans* without openly contradicting Aquinas, and he shows that the acceptance must stay disciplined to remain Thomistic. The title is not a triumph over Aquinas but an attempt to apply his whole doctrine of justice to complex cases.

The reconciliation also clarifies the difference between foregone profit and opportunity cost. Modern opportunity cost begins with the best alternative available to capital; Cajetan begins with a concrete good sufficiently connected to the lender that its prevention causes real detriment. These are not the same. Opportunity cost is broad, comparative, and often abstract; it belongs easily to portfolio theory. Cajetan's *lucrum cessans* is narrow, causal, and concrete; it belongs to restitution and commutative justice.

The distinction is not merely technical. It changes the moral imagination. If the baseline is opportunity cost, the lender asks, "What could I have earned elsewhere?" If the baseline is Cajetan's disciplined *lucrum cessans*, the lender asks, "What concrete, just gain was actually prevented?" The first question tends toward entitlement, the second toward proof. The first centers capital's alternatives, the second centers justice in the specific case.

For modern non-extractive finance, Cajetan offers both a resource and a warning. The resource is that not every future-oriented claim must be dismissed. A patient capital provider may sometimes give up a concrete mission-aligned opportunity; a cooperative fund may be harmed if delayed repayment prevents it from financing another specific member; a steward-owned enterprise may lose a definite project because funds were unavailable. Such cases may deserve compensation, or at least moral recognition. The warning is that these cases must not become generic benchmark logic. A non-extractive fund cannot simply say, "We could have earned more in the market, so this borrower must compensate us." That is not Cajetan's *lucrum cessans* but abstraction. The alternative must be concrete and morally ordered, part of the fund's real vocation, not an extractive opportunity disguised as a baseline, and causally prevented by the transaction at hand.

Cajetan's emphasis also has implications for contract design. If foregone profit is truly concrete and determinate, a contract should be able to describe it without hiding behind vague formulas. What opportunity is being preserved? What loss would occur if repayment is delayed? How will the loss be measured? What costs and risks are deducted? When is the compensation triggered? Is it capped? Is it subject to proof? Is it waived in hardship? Does the lender benefit from default? These design questions translate Thomistic reconciliation into modern governance.

They also prevent the title from being converted into target IRR. If a fund begins with a desired return and then names that return *lucrum cessans*, the moral order has been reversed. Cajetan begins with the concrete lost good, not the desired yield. The amount follows from the injury; it is not imposed by portfolio expectation. Any non-extractive use of *lucrum cessans* must preserve this order.

Cajetan also deepens the relation between *lucrum cessans* and *damnum emergens*. Actual loss is safer because it deals with damage already arisen; foregone profit is more dangerous because it deals with gain not yet realized. But if a future gain is virtually possessed, its loss begins to resemble actual detriment. This is the conceptual move that later authors, especially Lugo, will expand. Lost gain becomes "loss of a sort," and the boundary between the titles becomes less sharp.

The expansion can be useful, and perilous. If too many future gains are treated as virtually possessed, the category of loss becomes enormous. A lender can always say he lost certainty, liquidity, optionality, or return. Cajetan's narrow reconciliation can become a broad theory of capital's grievance. This is why his argument must remain anchored in the concrete.

Cajetan's broader theological importance is that he shows how a tradition develops without simply reversing itself: the later acceptance of *lucrum cessans* can be read not as betrayal but as an attempt to apply Aquinas's principles to cases he did not fully systematize. But development is faithful only if it preserves the underlying moral structure. If the development abolishes the distinction between compensation and gain from the loan itself, it is no longer development. It is contradiction.

The reconciliation therefore stands or falls by its fidelity to the anti-usury core: no surplus demanded from the *mutuum* itself, no sale of a merely possible future, no borrower made liable for the lender's whole imagined field of alternatives. Compensation is possible only where a concrete, just, causally interrupted gain is sufficiently determinate to count as real detriment.

That formulation is demanding, but it is exactly what makes the title morally usable: it accounts for real commercial sacrifice without surrendering to financial abstraction, honoring the rule that one must not sell what one does not have while recognizing that some goods not yet possessed may be close enough to possession that their unjust prevention matters.

Cajetan is in this sense not merely a commentator but a hinge between Aquinas and the early modern moral economists. He gives the later tradition a Thomistic path toward conditional acceptance. Salamanca, Molina, Lessius, Lugo, and Alphonsus will all move in a world where *lucrum cessans* has become more acceptable under conditions, and Cajetan helps explain how that acceptance could be seen as continuous with Aquinas rather than simply opposed to him.

But the final lesson remains caution. A bridge is not a highway. Cajetan builds a narrow bridge from actual justice to foregone profit. It can carry concrete cases; it cannot carry the entire weight of modern opportunity-cost finance without collapsing. The future may sometimes be close enough to matter, and it is not therefore owned by capital.

22.5 Conrad Summenhart

Conrad Summenhart belongs to the transition from late medieval moral theology into the more systematic contract analysis of the early modern period. Born at Calw in the Black Forest around 1455, he taught theology at Tübingen until his death in 1502, and his seven-part treatise on contracts (the *Opus septipartitum de contractibus*, printed at Hagenau in 1500) treats the loan, obligation, and usury with a jurist's appetite for order. He stands after the first major openings toward *lucrum cessans*, after the practical Franciscan and Dominican engagements with commerce, and before the full flowering of Salamanca and Jesuit moral theology. His importance lies in helping gather the scattered cases, titles, and distinctions into a more comprehensive treatment of contracts and extrinsic causes.

By the time Summenhart writes, the question is no longer whether the usury prohibition exists (that remains foundational), nor simply whether actual loss can be compensated (*damnum emergens* is already comparatively secure). The harder questions concern the expanding borderlands: foregone profit, risk, deprivation of money, exchange contracts, merchant practice, and the many ways in which a payment above principal might be justified, or disguised. Summenhart belongs to this world of classification.

The classificatory work matters because the more complex the economy becomes, the easier it is for sin to hide inside form. A simple usurer demands more than principal because he lent money; a sophisticated usurer can invoke penalty, damages, lost profit, risk, exchange, or contractual custom. The moral theologian must therefore do more than repeat the prohibition: what kind of contract is being made, what kind of surplus is being claimed, and does the named title correspond to the real substance of the transaction?

Summenhart's work on contracts contributes to this more systematic moral analysis. The extrinsic titles cannot be understood merely as isolated exceptions; they belong to a wider moral anatomy of exchange. In one case, surplus may arise from labor. In another, from expense. In another, from actual damage. In another, from a concrete gain prevented. In another, from risk genuinely borne. In another, from an exchange difference or a partnership share. The task is to identify the moral object of the payment.

For *lucrum cessans* this is especially pressing. By the late fifteenth and early sixteenth centuries the title is increasingly accepted in some circumstances, and the acceptance makes systematization more urgent, not less: a dangerous title cannot be left vague, so the conditions must be clarified. What counts as a profit? How concrete must it be? Must

the lender be a merchant? Must there be actual intention? How certain must the gain be? Must the alternative use be licit? May the compensation be agreed in advance? May it be deducted upfront? How should risk and costs be discounted?

Summenhart's transitional role is to help moral theology toward these structured questions. The title cannot rest on sentiment; "I could have earned" is not enough. The lender must show that the gain was connected to a real, morally permissible activity, that the loan or delay was the cause of its cessation, that the amount is proportionate, and that the claim has not become habitual interest under another name. These principles will become more explicit in later Salamanca and Jesuit authors, but Summenhart belongs to the path by which they become thinkable as a system.

He also matters because he helps bridge medieval theology and early modern economic life. The medieval authors had already developed the core grammar: *mutuum*, *interesse*, *damnum emergens*, *lucrum cessans*, penalty, partnership, just price, and the distinction between the loan itself and external titles. The early modern authors would refine these in light of expanding commerce, currency exchange, global trade, and sophisticated legal practice. Summenhart stands between them, helping transform a body of cases into a more analytical treatment of contracts.

The transition matters because case lists alone can become dangerous. Medieval writers preserved exception lists (situations in which something more than principal might be received without usury), useful because they named distinctions. But they could also become mechanical. A lender might search the list for a label rather than examine the moral substance: "penalty" becomes enough, "loss" becomes enough, "foregone profit" becomes enough. The list becomes a menu of excuses.

A more systematic contract analysis tries to prevent this by asking why the title works. Why may actual loss be compensated? Because justice restores what was damaged. Why may labor be paid? Because work has been performed. Why may partnership profit be shared? Because capital and activity are exposed to common risk. Why may foregone profit sometimes be considered? Because a concrete future good may have been causally prevented. Why may risk matter? Because genuine exposure to loss can be a burden. The question moves from naming the title to explaining its moral structure.

This is the movement Summenhart represents: moral theology analyzing contracts according to both legal form and economic reality, where the name of the contract is not enough. A sale can hide a loan, a penalty can hide interest, an exchange can hide usury, a partnership can hide guaranteed debt, and a claim of lost profit can hide ordinary return on money. Moral analysis must therefore look through the form to the substance.

The substance-over-form analysis is essential for the history of *lucrum cessans*. The title is legitimate only if it remains external to the loan. If the lender receives more because he has suffered the loss of a concrete gain, then the payment may be compensatory. If he receives more because money was lent and time passed, then the title has failed. The same words can describe either case. Only analysis of substance can distinguish them.

Summenhart's transitional work also prepares the later scholastic habit of identifying conditions. The more dangerous the title, the more conditions it requires. *Damnum emergens* asks: was there actual loss? *Lucrum cessans* must ask more: was the gain concrete, intended, licit, probable, and caused to cease? *Periculum sortis* must ask still more: was the principal truly at risk, or was the risk shifted away from the lender? The movement from titles to conditions is one of the great achievements of the tradition.

The development also reveals the inner connection among the titles. At first they appear separate: penalty for delay, actual loss, foregone profit, risk to principal, labor and expense. But in practice they overlap. A delay may cause actual loss; actual loss may include lost opportunity; lost opportunity may be linked to risk; labor and expense may be

embedded in institutional lending. Summenhart's systematic attention to contracts helps create the intellectual space in which these overlaps can be analyzed without dissolving all boundaries.

The danger is that systematization can make permission easier: the more technically sophisticated moral theology becomes, the easier it is to game. A clever lender structures the transaction to fit the permitted category, a merchant presents ordinary profit as lost gain, a financier frames interest as compensation for deprivation. The more precise the map, the more tempting it becomes to find the road around the prohibition.

This is why the spiritual purpose of the doctrine must not be lost. The point of contract analysis is not to make more surplus payments permissible. The point is to tell the truth. If a payment is compensatory, it should be recognized as such; if it is extractive, it should be named as such. The sophistication of the analysis must serve justice, not evasion. Summenhart's place in the tradition is valuable only if his systematizing impulse remains under the discipline of the anti-usury core.

That core remains clear. The *mutuum* itself does not generate profit for the lender; the borrower owes the equivalent principal; any surplus must come from a real title external to the loan. The more abstract the title, the more scrutiny it requires: foregone profit looks toward a future not yet possessed and must be kept concrete, while risk, if it becomes a universal premium, must be tied to real loss absorption.

In this sense he prepares the later Salamanca method. Salamanca will inherit a world in which the titles are already named, debated, and partially accepted; its theologians, working amid commercial expansion, empire, monetary change, and civil-law development, will need a moral theology capable of classifying contracts with precision. Summenhart helps provide part of that bridge.

His importance also lies in the movement from local cases to general moral-economic analysis. Earlier usury discussions arise from particular pastoral problems (a late payment, a merchant loan, a penalty clause, a pledge, a grain sale); by Summenhart's period the tradition increasingly seeks a general account of contractual justice. What makes an exchange equal? What makes a payment compensatory? What makes a claim external to the loan? What role do intention, risk, loss, and future gain play? These are no longer isolated questions. They form a moral system.

For modern readers the systematic turn is extremely useful, because contemporary finance is built out of contract forms: loans, equity, preferred shares, convertible instruments, revenue-based financing, guarantees, covenants, default provisions, and liquidation preferences all create complex patterns of rights and obligations. A moral theology that only says "interest bad" or "market terms good" cannot evaluate them. It needs a Summenhart-like habit of contractual diagnosis.

But modern readers also need the warning. Contractual sophistication can hide domination. A preferred return may function like interest. A liquidation preference may shift downside to founders and workers. A penalty may be engineered revenue. A risk premium may remain after risk has been eliminated by collateral and guarantees. A foregone-profit claim may be nothing more than a target IRR with a scholastic label. The title must be tested against reality.

This is why his transitional position is so relevant to non-extractive finance. Non-extractive capital cannot be built merely by rejecting conventional labels; it must develop its own moral accounting, saying what each payment is for. It must distinguish capital repayment, cost recovery, stewardship labor, actual damages, concrete foregone mission-aligned opportunity, and genuine risk-sharing. It must prevent double-counting, and it must ask whether returns are tied to service or to power.

In a modern fund, the equivalent of Summenhart's contract analysis might become a

review template. What is the legal form? What is the moral form? Who owns the capital? Who bears risk? What surplus is claimed? Which title justifies it? Is the title documented? Is the amount proportionate? Is the borrower vulnerable? Does the structure incentivize default, distress, or mission drift? Does it preserve the enterprise's life? Does capital serve, or rule?

The fifteenth-century movement toward acceptance of *lucrum cessans* therefore ends not with a simple yes, but with a need for system. Sant'Antonino and Bernardino show how foregone profit can be admitted in pastoral and commercial cases. Cajetan shows how the title can be reconciled with Aquinas if the future gain is sufficiently determinate. Summenhart helps move these insights into a more systematic analysis of contracts and extrinsic causes. Together, they prepare the terrain for Salamanca and the Jesuits.

Yet the basic problem remains unresolved. Every refinement that makes the title more realistic also makes it more usable, every condition that clarifies it can become a drafting technique, and every distinction that protects justice can be turned into a loophole by those seeking gain. The history of *lucrum cessans* is therefore a history of permanent vigilance.

Summenhart's role is to give that vigilance intellectual form: moral theology must understand contracts well enough to judge them, identifying the real title behind the payment. It must distinguish actual loss from foregone gain, foregone gain from risk, risk from labor, labor from rent, rent from domination. It must refuse both crude condemnation and clever evasion.

In the end, Summenhart belongs to the tradition because he helps make moral finance analytical. He stands between the preacher and the jurist, between the confessor and the contract drafter, between medieval case lists and early modern systems. He reminds us that financial morality is not only a matter of good intentions; it is a matter of form, substance, causality, title, proportion, and truth. The title *lucrum cessans* could be admitted only if it could be analyzed, and Summenhart helps build the tools for that analysis.

Salamanca and the Jesuit Expansion

23.1 Domingo de Soto

By the time the debate over *lucrum cessans* reached the School of Salamanca, the question was no longer whether Christian theology should take commerce seriously. It clearly had to. The sixteenth century was not the village economy of an earlier moral imagination: Spanish merchants, bankers, royal officials, confessors, theologians, and jurists all faced a world in which money moved across distances, time mattered, exchange rates fluctuated, credit instruments circulated, and a commercial opportunity could be lost for want of ready capital. The problem was not whether this world existed but whether its existence should be allowed to dissolve the older moral distinctions between a loan and a partnership, between compensation and profit, between justice and usury.

Domingo de Soto stands at this threshold. A Dominican theologian of Salamanca, he inherited the Thomistic structure with unusual seriousness, and he did not deny that lenders could suffer loss, or that merchants might sometimes forego real gain by parting with money already ordered toward profitable use. But he remained cautious, precisely because *lucrum cessans* was the most dangerous of the extrinsic titles. Actual loss could be documented, and a penalty for culpable delay could be distinguished from a payment for time; those titles had concrete anchors. Foregone profit was more elusive. It invited imagination, hypothetical accounting, and the claim available to every owner of money: "Had I not lent this money, I could have gained elsewhere."

For Soto, that move was perilous because it threatened to universalize the title. Once *lucrum cessans* became universal, the usury prohibition could remain formally intact while being practically emptied of force. The lender would no longer be saying, "Pay me because this loan itself bears interest." He would be saying, "Pay me because I might otherwise have profited." And if that claim could be made by any lender, at any time, simply because money might always have found some profitable employment, the old doctrine would collapse into a verbal game: the sin of usury condemned in theory while ordinary interest was reconstructed under the name of compensation.

Soto's caution therefore belongs to the anti-abuse logic of the tradition. He is best read not as economically naive but as a theologian who saw the moral danger of abstraction. *Lucrum cessans* could be legitimate only if the lost gain was concrete rather than merely possible, tied to a real alternative use and not to the bare metaphysical idea that money is always capable of increase. A merchant whose capital was already committed to a determinate transaction, and who was interrupted in an actual commercial course of action, has a stronger claim than a passive lender who merely imagines what he could have earned and may simply be demanding yield on the grounds that capital should not be idle.

The distinction preserves the gratuity of the *mutuum*. In the strict loan for consumption, ownership passes to the borrower, and the borrower owes the *tantundem*, the equivalent amount of the same kind and quality. The lender may not sell the "use" of money, because

in a consumable loan the use cannot be separated from the money itself: the borrower does not rent the coins and return the same ones after use; he receives ownership, consumes or spends the thing, and returns an equivalent. To demand surplus from the loan itself is therefore to sell what has already been transferred, or to charge twice for the same thing.

The question raised by *lucrum cessans* is whether the surplus is truly from the loan, or from something external to it, and Soto's answer is careful: only in restricted circumstances can the lost profit be treated as genuinely external. The lender must not merely point to a world of possible investments. He must show that the loan deprived him of a determinate gain that he was positioned and intending to pursue. The claim must be morally specific, something more than the modern language of opportunity cost, in which every choice is measured against every other possible use of capital. For Soto, that kind of abstraction is precisely what turns compensation into extraction.

His position also reflects a Dominican concern for the integrity of commutative justice. Justice in exchange does not permit one party to use superior bargaining power, legal sophistication, or economic necessity to obtain more than is due. If the borrower is in need, the lender's moral responsibility increases rather than decreases. A theology of lending cannot be built around the creditor's imagination of missed opportunities while ignoring the borrower's vulnerability, which is why the scholastic question is always double: what has the lender really lost, and what burden is the borrower being asked to bear?

Soto's restraint matters because of what came next. Salamanca would become more commercially sophisticated than earlier medieval theology, analyzing exchange, money, risk, price, and profit with extraordinary subtlety, and the later Jesuit thinkers, especially Molina, Lessius, and Lugo, would give more expansive accounts of lost profit and capital risk. Soto marks the Dominican checkpoint before that expansion. He reminds the tradition that the recognition of commercial reality must not become a license for moral evasion.

Theologically, he protects the difference between a loan and a partnership. A lender who wishes to share profit can enter a form of association in which he also shares risk; a lender who insists on the security of a creditor while claiming the gain of an investor has made the moral form suspect. The same concern will reappear in the later debates over *periculum sortis*: who bears the downside? If the borrower must repay regardless of outcome, while the lender demands additional compensation because the money might otherwise have earned profit, the structure may still be extractive, however carefully it is dressed in the language of loss.

Soto's caution is not a historical footnote. Much of contemporary investment logic rests on generalized opportunity cost: capital is assumed to deserve growth because it could always have been placed somewhere else, and a required return is then treated as neutral, technical, morally obvious. Soto's framework interrupts that assumption. It asks whether the alleged lost gain is real, concrete, intended, probable, and causally connected to the loan, or whether it is simply the ordinary claim of capital to be compensated for not being elsewhere.

The question remains central for non-extractive finance. A financing structure may legitimately reimburse real costs, compensate genuine loss, and reward shared risk, but it must be far more careful with claims based on foregone profit, because the more abstract the claim becomes, the more dangerous it is. "I lost this specific, documented opportunity because I made this loan" is one kind of statement. "My capital could have earned something somewhere" is another. The former may be restorative; the latter easily becomes the theological ancestor of target return, hurdle rate, and guaranteed yield.

Soto therefore gives the Salamanca treatment of *lucrum cessans* its disciplined starting point. He does not abolish the title, and he does not pretend commerce has no opportu-

nity costs; he refuses to let opportunity cost become an all-purpose justification for surplus. His caution protects the heart of the older doctrine: surplus must be tied to a real external burden, not merely to the lender's power, expectation, or imagined alternative. The *mutuum* remains gratuitous, compensation remains possible, and compensation must remain compensation, or it becomes usury by another name.

23.2 Martín de Azpilcueta / Navarrus

If Domingo de Soto represents the cautious Dominican checkpoint in the Salamanca treatment of *lucrum cessans*, Martín de Azpilcueta, known as Navarrus, represents the widening of moral theology into the world of money, exchange, and commercial circulation. He does not simply ask whether a lender may claim compensation for foregone profit. He asks what money is doing in a changing economy, how value shifts across place and time, and how confessors should judge transactions in a world where trade, currency, exchange contracts, and credit practices had become increasingly complex.

Azpilcueta's importance lies partly in this wider horizon. He is famous for his analysis of money, scarcity, and exchange, and he saw with unusual clarity that money does not have the same value in every place or circumstance: its purchasing power changes, its abundance or scarcity matters, and exchange between currencies and regions cannot be morally analyzed as if money were a static object with a single obvious value. None of this makes him a modern economist in the anachronistic sense, but it shows Salamanca theology beginning to confront the real dynamics of commercial life.

That broader context matters for *lucrum cessans* because lost profit is not an isolated issue. It arises within a world in which money may be tied to trade, exchange, inventories, bills, and expected commercial movement. A merchant who lends money may not simply be giving up inert coins. He may be interrupting a chain of exchange, deprived of funds that a concrete business operation actually needed, missing a determinate commercial opportunity. In such cases, the question becomes sharper: is the lender asking for payment merely because time has passed, or because the loan has caused a specific commercial detriment?

Azpilcueta's moral significance lies in his attention to this distinction. His tradition refuses to collapse all surplus into usury, and refuses just as firmly to let commercial sophistication sanctify extraction. Exchange contracts, currency dealings, and compensation for loss may all be legitimate. They may also conceal loans, becoming ways to receive more than the principal while avoiding the appearance of usury. The moral theologian must therefore look beneath the legal form to the substance of the transaction.

Exchange is where this mattered most. Medieval and early modern merchants often used bills of exchange to move value across distance, and a bill could be a genuine exchange contract, involving different currencies, different places, and real services of transfer and conversion. But it could also become a disguised loan, especially when the exchange element was fictive, circular, or arranged primarily to generate a return over time. The scholastic problem was not what an instrument was called but whether it truly functioned as an exchange.

Here Azpilcueta's world of money and exchange intersects with the question of lost gain. If money can be productively deployed in commerce, then depriving a merchant of money can sometimes cause real economic loss. But if that insight is generalized too far, every lender can claim that money is always productive somewhere, and the more sophisticated the commercial system becomes, the more tempting it is to treat liquidity itself as automatically deserving compensation. Azpilcueta's context therefore intensifies

the same danger Soto had recognized: *lucrum cessans* must not become a universal permission slip for interest.

The Salamanca contribution is to make the analysis more concrete. Instead of asking abstractly whether money can generate profit, one must ask: whose money, in what circumstances, with what intention, toward what use, and with what causal connection to the alleged loss? Was the lender a merchant actually engaged in trade? Was the money already destined for a specific transaction? Was the foregone profit probable, determinate, and morally licit? Did the borrower's use of the money truly prevent the lender from gaining it? Or is the lender simply invoking commerce as a cloak for ordinary yield?

Navarrus helps us see why the old usury doctrine could not remain a simple denunciation of all surplus (the commercial world had become too complicated for that), and why it could not safely be abandoned either. The very complexity of money made it easier to hide domination inside apparently legitimate instruments. Exchange could be real or fictive, compensation restorative or extractive, lost profit concrete or imaginary, and the moral task was to distinguish them without being dazzled by the technical form of the contract.

This is one of the great strengths of Salamanca moral theology. It does not treat finance as morally neutral machinery; it treats finance as a field of human action, and therefore as a field of conscience. The confessor, jurist, and theologian must ask not only what the contract says but what it does. Does it move money across regions? Does it compensate a real loss? Does it enable commerce? Does it distribute risk fairly? Or does it manufacture a surplus claim from the borrower's dependence?

Azpilcueta's treatment of money and exchange thus prepares the way for the more systematic accounts of *lucrum cessans*. Molina will press the questions of merchant intention, real alternative use, foreseeability, and causality; Lessius will move still further into the logic of money markets and the deprivation of money over time; Lugo will later gather these lines into a more permissive synthesis. Navarrus belongs at the point where the analysis becomes unmistakably commercial. He helps shift the discussion from a narrow question about lending to a broader moral inquiry into the circulation of capital.

For modern non-extractive finance, the point carries directly. A financing instrument cannot be judged merely by its name: a "loan," an "exchange," a "revenue-share," a "SAFE," or a "preferred equity" round may have a legal form that obscures its moral substance. What matters is how the instrument allocates risk, control, time, priority, and surplus. Does the investor truly participate in the venture? Does the company retain enough freedom to serve its mission? Is the claimed return tied to real service, real risk, or real loss? Or is the structure designed to guarantee capital's growth while shifting vulnerability to founders, workers, suppliers, or communities?

Azpilcueta's world was not ours, but the diagnostic problem is familiar: money moves through instruments that can be morally ambiguous, technical sophistication can serve justice or hide extraction, and the presence of exchange, currency, or commercial opportunity does not automatically justify gain. It merely requires a more careful moral anatomy.

His contribution to the history of *lucrum cessans* is not that he "allowed" or "disallowed" foregone profit in some mechanical way; it is that he situated the problem inside a broader theology of money in motion. In a commercial society, lost gain may sometimes be real; but because money is always capable of being imagined elsewhere, the claim must be disciplined, tied to a concrete interrupted use rather than to the abstract power of capital.

Navarrus stands between Soto's caution and the later Jesuit expansion, seeing why commercial reality matters and why moral theology must not surrender to it. Money may circulate, exchange may be legitimate, profit may sometimes be lost. The borrower must not become a revenue stream merely because the lender can imagine a more profitable

world in which the loan was never made.

23.3 Luis de Molina

With Luis de Molina, the Salamanca treatment of *lucrum cessans* becomes more systematic, more commercially attentive, and more dangerous. Molina does not merely inherit the older debate about whether a lender may be compensated for profit foregone. He works inside a world in which commerce has become sufficiently complex that moral theology must ask precise questions about intention, alternative use, foreseeability, causation, and valuation. The question is no longer only whether lost profit can ever be compensated but how one distinguishes a real lost profit from an invented one.

This is the great Molina problem. By the sixteenth century, it was no longer plausible to say that money was always economically sterile in the ordinary sense. Money in the hands of a merchant could be part of a larger productive process: it could buy goods for resale, finance transport, settle exchange obligations, or carry a trader into a commercial opportunity that would otherwise be lost. To lend such money could impose a real cost, interrupting a planned transaction and depriving the lender of a gain that was not merely imagined but reasonably expected.

Molina gives moral theology tools for taking this reality seriously. He asks, in effect: did the lender have a real alternative use for the money? Was that use actually intended, or at least virtually intended as part of the lender's ordinary commercial activity? Was the profit reasonably foreseeable? Was there a causal connection between making the loan and losing the profit? Could the loss be valued without fantasy? These questions make *lucrum cessans* more usable in practice, and they reveal its danger in the same stroke: the more precise the title becomes, the more easily it can be translated into commercial technique.

The framework begins with intention. A merchant who has money already destined for trade stands in a different position from a person who simply possesses money and later claims that it might have been invested. The difference is not merely psychological; it is moral and evidentiary. Intention links the money to a determinate course of action and shows that the lender did not invent a hypothetical alternative after the fact. The title depends on the claim that the lender was deprived of something real: not a fantasy, not a bargaining story, not a generalized expectation that money deserves growth.

Yet Molina's notion of intention is not limited to a single explicit plan written down in advance; commercial life runs on habitual patterns, standing practices, and ordinary readiness. A merchant may not know the exact transaction that would have occurred on a particular day and may still be engaged in a line of business in which available capital is normally turned over for gain. This creates the possibility of what later moralists would describe as actual or virtual intention. The lender need not always identify a single lost sale with mathematical certainty, but the claim must still be grounded in a real commercial vocation and not merely in abstract ownership of money.

Here the treatment becomes both pastorally useful and morally unstable. Useful, because real commerce does not always provide perfect documentation: a merchant's loss may be probable, contextual, and commercially intelligible even where it cannot be proven like a broken window or a burned barn. Unstable, because the same logic expands quickly: if ordinary commercial readiness is enough, how far does the title extend? To every merchant? To every household with savings? To every investor? To every institution that could always have placed capital somewhere else?

Molina's answer depends on discipline. The alternative use must be real, the profit reasonably foreseeable, the loss caused by the loan, and the compensation proportionate

to the lost gain. The title cannot be treated as an automatic property of money itself. It is not enough to say, "I lent money, and money can earn profit." One must be able to say, "This loan deprived me of this kind of gain, in these circumstances, with this degree of probability."

The emphasis on causality is essential: without it, *lucrum cessans* becomes an all-purpose excuse. The lender must not simply identify an attractive alternative after the fact; the loan must be the reason the gain ceased. If the profit would not likely have occurred anyway, or if the lender had no real capacity to pursue it, or if the opportunity was merely speculative, then the claim fails. Moral theology here functions almost like forensic accounting. It asks what actually happened, what would probably have happened, and whether the borrower is being asked to repair a real detriment or to finance the lender's imagination.

Foreseeability plays a similar role. Molina's more permissive approach does not authorize compensation for any possible gain: the expected profit must be sufficiently probable to count as a real moral loss. That does not mean guaranteed (commercial profit rarely is), but it must be more than remote possibility. A merchant who gives up a regular, ordinary, and morally licit trading opportunity is different from a lender who says that, in theory, money might have been placed into some profitable venture. The first claim has a definite shape. The second is only the modern opportunity-cost argument in early form.

Valuation must also be restrained: even where compensation is allowed, the lender may not demand more than the value of the lost gain. The title is restorative, not generative: it repairs a deprivation rather than converting the loan into a vehicle for enrichment. Molina remains inside the older architecture of commutative justice, whose purpose is to restore equality between parties when one has suffered a real detriment because of the transaction, not to create a general entitlement to return on capital.

Molina's commercial sophistication is easy to misread. He is not baptizing modern finance before its time, or saying that capital has an inherent right to yield, or that every lender may charge for the time during which money is absent. He is trying to preserve the difference between a gratuitous *mutuum* and an external claim arising from real detriment. But because he gives greater room to commercial detriment, his framework becomes one of the bridges from medieval usury doctrine toward early modern finance.

The bridge is morally ambiguous. On one side, Molina protects justice for the lender: it would be unjust to require a person to suffer a real, concrete, and causally connected loss simply because the transaction took the form of a loan, and if the borrower's request deprives the lender of a determinate commercial gain, compensation may be appropriate. On the other side, once foregone profit is admitted as compensable, broader claims follow. The lender's world of missed possibilities can expand indefinitely, and the title can slip from "this profit ceased" to "profit as such was unavailable," and finally to "capital must be paid for being withheld."

Molina's importance for later Jesuit thought lies in this disciplined expansion. Lessius will push further into the logic of money's productive use, term, and deprivation; Lugo will synthesize the common teaching and set out conditions under which *lucrum cessans* may be accepted. Molina provides the moral infrastructure they build on: actual or virtual intention, real alternative use, foreseeability, causality, and proportional valuation. These conditions are the difference between a bounded title and a disguised return.

For modern non-extractive finance, Molina is unavoidable. We cannot simply pretend that capital has no alternative uses. A mission-driven fund that commits money to one enterprise may truly be unable to deploy that money elsewhere; a patient investor may forego other mission-aligned opportunities; a non-extractive financing structure may need to acknowledge real opportunity costs in some limited sense if it is to remain sustainable.

But Molina would not allow this to become a generic hurdle rate. He would ask: what alternative use was actually intended? Was it morally licit? Was it concrete? Was the gain reasonably foreseeable? Did this financing truly cause the gain to cease? Is the claimed compensation proportionate, documented, and non-extractive?

This is a very different moral logic from modern portfolio theory. Modern finance often treats opportunity cost as universal: every unit of capital is measured against the next-best alternative, and return expectations are normalized through markets, benchmarks, risk-adjusted pricing, and target rates. Molina's framework is more personal, concrete, and moral. It asks whether this lender, in these circumstances, suffered this determinate detriment because of this loan, and it resists the abstraction by which capital becomes a self-referential claimant, demanding growth simply because growth was possible elsewhere.

Molina both advances and endangers the tradition: advances it by making it capable of judging real commercial life, endangers it because the tools he develops can be generalized beyond his limits. Once lost profit is recognized, one must constantly guard against its inflation. The title must not become a metaphysical claim that money naturally bears fruit. It must remain a claim about a real, causally connected, morally legitimate profit that ceased.

Molina therefore stands at the center of the Salamanca expansion of *lucrum cessans*. He gives the title practical criteria, makes the doctrine more commercially intelligent, and forces the tradition to confront its most difficult question: whether one can recognize the real cost of foregone opportunity without enthroning opportunity cost as the hidden god of finance. The answer depends on whether compensation remains tied to concrete detriment, or capital is allowed to transform every unrealized possibility into a claim upon the borrower.

23.4 Leonardus Lessius

With Leonardus Lessius, the doctrine of *lucrum cessans* moves closer to the edge of modern finance. The older scholastic problem remains the same: when may a lender receive more than the principal without committing usury? But Lessius works in a world in which money markets, commercial practice, exchange, credit, and contractual ingenuity have become increasingly sophisticated, and he treats money not merely as an object that can be consumed but as something whose absence can matter economically. That makes his analysis powerful and dangerous at once.

He does not abandon the old usury doctrine; he remains within the tradition that distinguishes the *mutuum* from external titles: a lender may not demand surplus merely because a loan has been made; the loan itself, considered as a loan for consumption, remains gratuitous; the borrower owes the equivalent principal; and any further claim must be justified by something outside the bare loan, whether loss, delay, risk, labor, expense, or some other real detriment. But Lessius presses hard on what counts as detriment in a commercial world.

His treatment of *lucrum cessans* follows the line already opened by Molina. If money was truly destined for profitable use, and if the lender is deprived of that use by making the loan, then a claim for compensation may arise. The lender is not selling the use of money as such; he is being compensated for a profit that has ceased because the money is no longer available for the intended transaction. The logic is still restorative: the lender is to be made whole, not enriched.

Yet his analysis also broadens the field: he is more attentive than many earlier theologians to money's commercial usefulness over time. In an active economy, money is not

simply a heap of sterile metal: it can be inventory in motion, exchange capacity, readiness for trade, participation in a network of profitable opportunities. To lack money for a period may therefore be a real disadvantage. This is where the related title of *carentia pecuniae* enters the discussion.

Carentia pecuniae means the lack, absence, or deprivation of money. It is related to *lucrum cessans*, but not identical to it. *Lucrum cessans* asks whether a specific profit has ceased because the lender made the loan. *Carentia pecuniae* asks whether the lender may be compensated simply for being without his money for a determinate term, especially where that absence restricts his commercial freedom. The first title points toward a lost gain. The second points toward liquidity deprivation.

This is an extraordinarily important development, and in strict scholastic terms an extraordinarily dangerous one. Once the deprivation of money itself becomes compensable, the line between compensation and ordinary interest becomes very thin. Every lender is without money during the term of a loan; every lender can say that liquidity has value and that being unable to recall money imposes some burden. If *carentia pecuniae* is accepted without strict limits, the old usury doctrine can be dissolved from within. The lender need not say, "I charge for the loan." He can say, "I charge because I am without money."

Lessius's genius is that he sees the commercial plausibility of this claim. His danger is that the claim is almost too plausible. In modern finance, liquidity preference is obvious: a lock-up has value, a term commitment has value, and capital unavailable for one use cannot be used for another. The modern apparatus of term structure, liquidity premium, and time value of money rests on intuitions his world was beginning to articulate. But scholastic theology cannot simply accept these intuitions without moral scrutiny, because doing so risks transforming time into yield and money into a thing that naturally deserves growth.

The crucial question is therefore whether *carentia pecuniae* names a real external burden or merely renames the loan's duration. If the lender suffers a concrete deprivation because he cannot use the money in a particular way, the claim may resemble *lucrum cessans*. But if the claim is simply that the lender is deprived of money whenever he lends, the title becomes universal: it no longer distinguishes compensation from usury; it simply provides a new vocabulary for interest.

His broader money-market logic marks a significant shift. Earlier authors often wanted a clear event: a late payment, a destroyed good, a missed commercial opportunity, a provable loss. Lessius moves toward structures: the term of a loan, the availability of money, the commercial value of liquidity, the lender's inability to call funds back. Moral theology begins to analyze not only discrete injuries, but the economic architecture of capital commitment.

The structural turn is both necessary and risky. Necessary, because modern finance is built through structures: capital is not lost only in obvious accidents; it is tied up, subordinated, delayed, collateralized, or made unavailable, and these arrangements affect who can act, who can survive, and who bears vulnerability. A moral theology that ignores them becomes naive. Risky, because the more structural the title becomes, the easier it is to make the title automatic: every structure can be priced, every deprivation monetized, every inconvenience to capital converted into a charge imposed on the borrower.

Lessius forces the tradition to face one of its deepest tensions. The lender's situation can matter: he may suffer because money is unavailable for a term, miss real opportunities, be constrained in trade, bear real commercial burden. But the borrower's situation matters too. The borrower may be in need, may be the weaker party, and may be forced to pay not for any real injury caused, but for the fact that capital dislikes being unavailable. At that point, *carentia pecuniae* stops being restorative and becomes extractive.

This is why later theologians would worry about the title. Juan de Lugo, although more permissive in some respects, saw clearly that if *carentia pecuniae* were admitted broadly, hardly any loan would remain usurious. The title could swallow the rule. The very thing the tradition had refused, payment for the passage of time in a loan, could return under the name of deprivation, the older prohibition still honored verbally while its moral content was evacuated.

Lessius is therefore not a permissive author to be celebrated or condemned but a diagnostician of a changing world. He sees that money in commerce has a use-profile that the earlier simple examples of wine, wheat, and coins did not fully capture, that liquidity can matter, that being without money can be a burden. But his analysis also reveals how close scholastic reasoning comes to modern money-market assumptions once it begins to treat the absence of money as compensable in itself.

Lessius is indispensable to non-extractive finance, because contemporary financing is built around precisely these questions. What is the value of locked capital? What is the moral status of a liquidity premium? When is a term commitment a real service? When is patient capital legitimately compensated for its patience? When does a return reflect genuine risk, sacrifice, or stewardship labor? And when is it simply the old usurious claim that money must be paid because it has been absent for a time?

A non-extractive framework cannot answer these questions by pretending liquidity has no value; that would be false. Patient capital can be costly, a fund that commits capital to one company may truly be unable to support another, and a lender or investor may accept constraints that deserve recognition. But Lessius's danger warns us that liquidity value cannot be converted into an automatic right to yield. The claim must still be examined. What exactly was lost? Was the deprivation concrete? Was the borrower responsible for it? Was the compensation proportionate? Was the lender also bearing downside? Or was the borrower simply made to pay because capital was unavailable to itself?

The distinction matters especially in mission-driven investment. A fund may say that it needs returns because its capital is locked up, and that may be partly true. But if the return is guaranteed, senior, collateralized, and insensitive to the venture's actual outcome, then the borrower may be carrying the burden of the lender's liquidity preference without receiving genuine risk-sharing in return. The language of patience can conceal impatience, the language of sacrifice can conceal entitlement, and the language of term commitment can conceal ordinary extraction.

Lessius brings us to the threshold of a modern question: can the time-structure of capital be morally priced without making time itself the object sold in a *mutuum*? The older usury doctrine says no, if the payment is simply for the passage of time in a loan. The more expansive late scholastic doctrine says perhaps, if the payment corresponds to a real external burden. Lessius explores the "perhaps" with unusual seriousness, and the more seriously we take his analysis, the more carefully we must guard the boundary.

What follows is not that *carentia pecuniae* must always be rejected, but that it must never become automatic. It stays subordinate to the deeper moral distinction between compensation and extraction: to be without money may be a burden, and not every burden borne by capital may be shifted to the borrower; not every inconvenience deserves yield, not every term deserves a premium, and not every liquidity claim is morally external to the loan. Lessius helps us see why the extrinsic titles became more subtle as commerce matured, and why subtlety can become dangerous. Once the absence of money is monetized, moral theology stands at the edge of modern interest. Whether it falls over that edge depends on whether the title remains concrete, proportionate, and truly external, or becomes the ordinary demand that capital be paid for waiting.

23.5 Juan de Lugo

With Juan de Lugo, the late scholastic treatment of *lucrum cessans* reaches one of its most mature and permissive forms. The title has traveled a long road. In Aquinas, compensation for actual loss was admitted while compensation for profit not yet made was treated with deep suspicion; in Hostiensis and the later canonists, the possibility of foregone profit began to emerge under narrow conditions; in the fifteenth century, the title became increasingly accepted in concrete commercial cases; in Salamanca and the Jesuit tradition, the analysis became precise about intention, causality, probability, valuation, and the commercial use of money. Lugo gathers these developments and gives them a more systematic form.

His importance lies not only in his conclusions, but in the conditions he imposes. Lugo does not simply say that a lender may charge for lost profit; he places the claim inside a disciplined moral structure. Three conditions are especially important. First, the loan must truly cause the foregone profit. Second, nothing may be demanded beyond the value of that profit. Third, compensation should not be paid upfront. Together they reveal both the breadth and the limits of the late scholastic settlement.

The first condition, causality, is the heart of the matter. The lender must be able to show that the loan caused the profit to cease. It is not enough that the money might have been profitable, that money in general is useful, or that an attractive alternative investment can be identified after the fact. The moral claim depends on a real link between lending the money and losing the gain. Without that link, *lucrum cessans* becomes a fiction: it ceases to be compensation and becomes ordinary interest under another name.

The causal requirement keeps the title anchored in commutative justice. The borrower may be required to repair a real detriment caused by the transaction; he may not be made responsible for every unrealized possibility in the lender's financial imagination. The foregone profit must have a determinate relation to the loan, and the lender must not turn the borrower into the guarantor of a world in which the lender always could have done better.

The second condition, proportionality, is equally important. Even when lost profit is real, the lender may not demand more than its value. The title is restorative, not expansive: it authorizes no premium, no penalty, no target return, no indefinite claim on the borrower, only compensation to the extent that a real gain has ceased. The amount must correspond to the detriment. Anything beyond that begins to look like surplus from the loan itself.

Proportionality is one of the ways Lugo preserves the older anti-usury logic inside a more permissive doctrine. He is saying not that capital has a right to grow, but that a person should not be unjustly harmed by being deprived of a real, probable, morally licit gain. The lender may be restored to equality. He may not use the title to convert a loan into a profit engine.

The third condition, that compensation should not be paid upfront, may be the most revealing. If the lender deducts the alleged lost profit in advance, the title becomes nearly indistinguishable from interest: the borrower receives less than the stated principal while being obligated to repay the full amount, and the supposed compensation for a future lost gain is folded into the structure of the loan from the beginning. This is precisely the danger the earlier theologians feared: the title becomes a pretext. The lender no longer waits to see whether the loss actually occurs or how much it is worth; he prices the claim into the transaction as yield.

By rejecting or restricting upfront payment, Lugo maintains the logic of compensation. A claim for lost profit should follow the reality of the loss, not be capitalized automatically into the loan, because the moral status of the payment depends on its relation to an actual detriment. If the payment is imposed in advance, regardless of whether the loss materi-

alizes, it begins to function as a fixed return for the use of money. The external title has been internalized into the loan.

Lugo's position became part of what could be described as a *sententia communis*, a common teaching, in the more permissive late scholastic and manualist tradition. Under strict conditions, *lucrum cessans* could be admitted. Mere possibility of profit was not enough, but concrete, probable, causally connected foregone gain could justify compensation. The settlement did not abolish the usury prohibition; it tried to preserve it while recognizing that commercial lending could impose real opportunity-related detriments.

The settlement was, of course, inherently unstable. Once lost profit is admitted, the pressure to generalize it becomes intense: in a commercial society, everyone can imagine profitable alternatives, and in a financialized society, every capital holder can compare every use of money to every other possible deployment. Lugo's conditions are designed precisely to prevent that slide. That they are necessary at all shows how dangerous the title has become.

Lugo also draws the major titles into a broader theory of detriment. Actual loss, foregone gain, and risk to principal can be understood as different ways in which the lender may suffer, or assume, a burden external to the loan itself. It is a powerful synthesis: it shows that the extrinsic titles are not random loopholes but attempts to identify real burdens that disturb equality between the parties. It also risks expanding the language of loss. If foregone gain is a loss "of a sort," and risk is a loss "of a sort," then much depends on how carefully those "sorts" are distinguished.

This is why Lugo matters for modern non-extractive finance: his framework is sophisticated enough to recognize real costs of capital without collapsing into the assumption that capital automatically deserves return, and his three conditions translate directly into contemporary diagnostics.

First: did this financing actually cause the investor or lender to forego a concrete alternative? Not a vague market benchmark, not a generic return expectation, not a theoretical claim that money could have earned elsewhere, but a concrete, mission-compatible, morally licit, reasonably probable alternative use.

Second: is the claimed compensation limited to the value of that foregone gain? Or has the title been inflated into a target IRR, a preferred return, a compounding rate, or a hurdle that exceeds any identifiable detriment?

Third: is the compensation demanded upfront or embedded automatically in the instrument? If so, the structure may no longer be compensating a realized or reasonably established loss. It may simply be charging for time, dressed in the language of opportunity cost.

These questions cut deeply into contemporary finance. A fund may claim that it needs a return because its capital could have been elsewhere. Lugo would neither dismiss that claim immediately nor accept it abstractly. He would ask: elsewhere where? With what intention? With what probability? With what moral legitimacy? What profit was truly lost? How was it valued? Why should this borrower bear it? And why is it being charged in advance?

The scrutiny lands especially hard on venture capital and private equity, where expected returns are often justified by portfolio logic. The investor does not usually point to one specific alternative transaction that was lost because of this investment; he appeals to a broader opportunity set, a risk class, a benchmark, a fund model, a required return. From Lugo's perspective, such claims may describe a business model, but they do not automatically establish an extrinsic title. A portfolio may require returns to satisfy investors. That does not prove that a particular founder or company owes compensation for a concrete lost gain.

The same applies to modern “cost of capital” language, which often functions like a universalized *lucrum cessans*: capital has an expected return because it could be invested elsewhere, every project must clear the hurdle, and every borrower or company must compensate capital for not choosing the next-best alternative. Lugo’s conditions challenge this abstraction, insisting that compensation remain tied to a real causal detriment, not to capital’s generalized self-comparison.

At the same time, Lugo prevents non-extractive finance from becoming simplistic. Anyone serious about building sustainable mission-aligned capital structures cannot pretend that capital has no cost, that funders have no alternatives, or that foregone gain is never real. A non-extractive fund may actually give up a concrete opportunity in order to support a particular enterprise; it may accept a lower return, a longer term, or higher uncertainty than it otherwise would, and some compensation may be legitimate. Lugo’s test forces that compensation to be specific, proportionate, and morally accountable.

That is the difference between disciplined *lucrum cessans* and ordinary opportunity-cost ideology. Disciplined *lucrum cessans* says: a real gain, already reasonably within reach, ceased because of this loan, and compensation is limited to that loss. Opportunity-cost ideology says: every use of money must compensate capital for not being used elsewhere. The first can belong to justice; the second easily becomes extraction.

Lugo stands near the culmination of the permissive scholastic tradition, but he is not a simple advocate of interest. He is a systematizer of conditions, who recognizes that commercial life can produce real foregone gains and knows that without causality, proportionality, and timing discipline, the title becomes a fraud upon the usury prohibition. His thought makes the doctrine more usable and the need for moral audit more urgent. His achievement is to admit the title without letting it float free (keeping it from floating free again is the work he leaves behind), and in the history of *lucrum cessans* he marks the moment when the permissive view becomes common teaching, but never unconditional teaching: the title is valid but dangerous, able to restore equality or to disguise domination, to compensate a real lost gain or to become the ancestor of the modern claim that capital must always be paid for its unrealized alternatives.

23.6 Alphonsus Liguori

By the time the question of *lucrum cessans* reaches Alphonsus Liguori, the debate has entered the world of the later manuals. The dramatic medieval and early modern struggle has not disappeared, but it has been organized into a more settled pastoral form. The confessor needs rules; the merchant needs guidance; the penitent needs to know whether a particular contract is sinful, doubtful, or permissible. Alphonsus therefore receives the long scholastic tradition not as an abstract intellectual puzzle but as a practical moral inheritance, applied to souls, contracts, consciences, and ordinary economic life.

He represents the mature Catholic manualist settlement. *Lucrum cessans* is no longer treated as simply impossible. The stricter Thomistic suspicion remains part of the background, but the majority view has shifted: under proper conditions, compensation for foregone profit may be allowed. Yet Alphonsus does not thereby convert lost profit into a general right to interest. He accepts the title, and accepts it as dangerous: a possible extrinsic claim rather than an intrinsic property of the *mutuum*.

The loan itself remains gratuitous: the lender cannot demand surplus simply because money has been lent, and the borrower owes the equivalent principal, not a rent for the use of the money. If more than principal is received, the moral justification must come from outside the loan. That is the whole meaning of an extrinsic title, and it is why Alphonsus’s

acceptance of *lucrum cessans* does not abolish the usury prohibition. It preserves the older grammar while admitting that real foregone profit may sometimes constitute a compensable burden.

But what kind of foregone profit? Here Alphonsus remains disciplined. Mere possibility is not enough: a lender cannot simply say, "I might have made money with this sum," or invoke the abstract fact that money, in a commercial society, can often be put to profitable use. The profit must have a sufficient degree of reality. It must be connected to a concrete alternative use, something the lender was actually positioned to obtain, not something imagined after the fact to justify a charge. The title concerns a gain that truly ceased, not a gain that could be rhetorically constructed.

This is why Alphonsus belongs to the tradition of moral moderation rather than financial permissiveness. He understands that the older rigorist position can become too narrow if it refuses to acknowledge real commercial detriment: a merchant deprived of working capital may suffer genuine loss, a lender may be asked to forego a morally legitimate gain in order to assist another, and justice may allow compensation in such cases. But he also sees that the opposite danger is greater in practice. Once lost profit is admitted, lenders may begin to treat every loan as a missed opportunity and every borrower as responsible for capital's unrealized gain.

The manualist settlement therefore depends on careful conditions. The foregone profit must be reasonably certain, or at least sufficiently probable in the concrete circumstances; causally connected to the loan; morally licit; valued proportionately; not double-counted alongside other titles; and not converted into a universal charge. Above all, it must remain a title of compensation, not a mechanism for ordinary yield.

Alphonsus's pastoral importance lies in his refusal to treat moral theology as either impossibly rigid or casually permissive. He is often associated with a balanced approach to conscience, avoiding both laxism and excessive rigorism, and that balance is visible here. The lender should not be forced to absorb every real detriment merely because usury is forbidden; the borrower must not be made to carry the lender's speculative imagination. The moral law protects both sides, and it gives special vigilance to the danger of creditor power.

The problem with *lucrum cessans* is not only that the claim may be false; it is that the lender usually holds the stronger position: he can define the contract, set the terms, describe the opportunity cost, and demand compensation before the borrower has any meaningful ability to contest the story. If the title is not carefully restricted, it becomes a way for the stronger party to impose hypothetical losses on the weaker. Alphonsus's insistence that mere possibility is insufficient protects the borrower from being charged for a fantasy.

The word "fantasy" may sound too sharp, but it captures the moral danger. A missed profit can be real; it can also be imagined, inflated, selected, or retrospectively invented, since the lender can always picture a better use of money. Modern finance institutionalizes this imagination through benchmarks, expected returns, hurdle rates, and portfolio targets. Alphonsus's logic resists the move. He requires that the gain have enough concreteness to be treated as a true detriment, not merely as an unrealized possibility among countless unrealized possibilities.

This makes Alphonsus especially useful for translating the tradition into contemporary non-extractive finance. Many modern investors assume that capital has a cost because it could always be deployed elsewhere. In Alphonsian terms, that is not yet a moral title; it is a background fact. To become a title, the alleged foregone profit must be concrete, licit, probable, causally connected, and proportionate, and the claim must be capable of moral explanation. "Our fund model requires this return" is not the same as "this specific gain was lost because this capital was made available to you."

A non-extractive capital structure may need to account for real sacrifice: patient capital may genuinely forego other mission-aligned uses, a fund may have operational needs, a lender may incur actual damages, an investor may bear genuine risk. The moral tradition asks only that each claim be named honestly, and the demand is not anti-finance; it is anti-fiction. Is this a cost? Is this labor? Is this risk? Is this actual loss? Is this foregone profit? Or is it simply the desire for return, translated into technical language?

Alphonsus helps us see why the permissive settlement never fully eliminates the need for scrutiny. A title can be valid in principle and abusive in practice, and the fact that *lucrum cessans* is allowed under conditions does not mean every invocation of opportunity cost is justified. The more common the title becomes, the greater the danger that it will be used mechanically. What began as a careful exception can become a standard clause, then a default percentage, then a pricing convention.

This is the recurring pattern in the history of the extrinsic titles. A real burden is recognized; a name is given to it; a legitimate case is distinguished from usury. Then the name becomes portable: it travels into new contracts, becomes a formula, a way of receiving surplus while preserving plausible deniability. Alphonsus's manualist discipline attempts to prevent this drift. The title must remain morally examined; it must not become automatic.

His treatment also sits under the shadow of *Vix pervenit*, Benedict XIV's eighteenth-century restatement of the usury doctrine. That text insists that gain from the loan itself remains usury, while allowing that legitimate extrinsic titles may exist. Alphonsus's position is fully intelligible within that frame. He does not deny the possibility of extrinsic titles, and neither does he allow them to erase the core prohibition. The crucial distinction remains: surplus from the loan itself is illicit; compensation for a real external title may be licit.

Alphonsus is thus a guardian of the distinction rather than an innovator. He receives the late scholastic expansion and places it into pastoral order, showing how a mature moral tradition can permit limited compensation without surrendering its central concern. The lender may be restored. The lender may not be transformed into a guaranteed beneficiary of the borrower's need.

For modern readers, this may be the most useful thing about him. We often treat opportunity cost as morally obvious because it is economically familiar, and Alphonsus asks us to slow down: familiarity is not moral proof. The fact that capital could have earned elsewhere does not automatically mean that the borrower owes for that elsewhere. The claim must be tested, made concrete, limited, and subordinated to justice.

Alphonsus therefore gives us the late pastoral form of *lucrum cessans*: accepted but bounded, useful but dangerous, legitimate in concrete cases but never universal. Mere possibility of profit is rejected; real foregone gain may be compensable; the loan remains gratuitous; the title remains extrinsic; the purpose remains the restoration of equality, not the enthronement of capital's expectation. At the end of the long debate, he does not return us to a simple medieval world before commerce, and he does not deliver us into modern finance's automatic logic of return. He stands between them, insisting that moral theology must be realistic without becoming captured. Profit may cease and compensation may be just, but opportunity cost must not become the route by which usury returns.

23.7 Modern Diagnostic Checklist

The history of *lucrum cessans* leaves us with a title that is both necessary and dangerous. It is necessary because real foregone profit can exist. A person may lend money and thereby lose a concrete, morally legitimate gain that would otherwise have been obtained: a mer-

chant may miss a planned transaction, a mission-driven fund may be unable to support another enterprise, a cooperative lender may tie up capital in one place and thereby forego a specific use elsewhere. To pretend that such losses never occur would be morally simplistic.

But *lucrum cessans* is dangerous because it can so easily become the theological ancestor of generalized opportunity cost. Once a lender may say, "I lost what I could otherwise have earned," the claim can expand without limit: every unit of capital can imagine an alternative, every fund can point to a benchmark, every investor can invoke a hurdle rate, every lender can say that money elsewhere would have grown. At that point, foregone profit is no longer a concrete detriment. It has become an ideology of capital's entitlement.

A modern diagnostic checklist is therefore needed, and it should not begin with vocabulary. Whether the contract uses the language of interest, yield, preferred return, liquidity premium, or opportunity cost settles nothing; names can mislead. The real question is whether the claimed surplus is tied to a genuine external burden, or whether it is merely payment for the use of money under another name. The questions below translate the late scholastic conditions into modern moral-accounting terms.

The first question is whether there was a concrete alternative use. *Lucrum cessans* cannot rest on the abstract idea that money is always useful. It must point to something more definite: a trade not undertaken, a project not funded, an inventory purchase not made, a mission-aligned investment not pursued. The alternative need not always be proven with absolute certainty, but it must have enough shape to be morally intelligible. "We could have earned somewhere else" is not enough. "We had a specific, probable, licit opportunity that we gave up in order to make this financing available" is a much stronger claim.

The second question is whether the alternative use was licit. A lender cannot claim moral compensation for being prevented from making an unjust gain. If the foregone opportunity would itself have been exploitative, speculative in a destructive way, dependent on injustice, or contrary to the lender's stated mission, then it cannot ground a legitimate title. In non-extractive finance, this matters deeply: a mission fund should not justify pressure on one enterprise by pointing to a more lucrative but morally misaligned opportunity elsewhere. The foregone gain must be not only financially plausible, but morally acceptable.

The third question is whether there was actual intention or virtual intention. Actual intention means the lender really meant to use the money in a determinate way. Virtual intention is broader: the lender may not have identified one exact transaction, but the money was genuinely part of an ongoing practice in which capital was normally and concretely deployed for gain. A working merchant, for example, may not always be able to name the precise sale that was lost, but may still show that available capital would ordinarily have been turned over in trade. By contrast, a passive lender who invents an alternative only after the loan is made has a weak claim.

The fourth question is causality, the core Lugo condition. Did the loan truly cause the gain to cease? It is not enough that the lender made a loan and also failed to earn some other profit; the failure to earn must be attributable to the loan. If the alternative was uncertain, unavailable, morally impossible, already missed, or unrelated to the money lent, the causal link is broken. Without causality, *lucrum cessans* becomes a story told by capital about what it wishes had happened.

The fifth question is reasonable valuation. Even if a gain was truly foregone, the compensation must be limited to the value of that gain. It may not be inflated into a target return, a preferred yield, a compounding rate, or a generalized market benchmark, unless that benchmark genuinely corresponds to the concrete lost opportunity. The valuation should account for probability, costs, uncertainty, and the fact that the foregone gain was

never guaranteed. A possible profit cannot be valued as if it were a certain profit, and a risky gain cannot be charged as if it were already possessed.

The sixth question is whether compensation is deducted or demanded upfront. Upfront deduction is morally suspect because it makes the alleged lost profit function like ordinary interest: the borrower receives less, owes more, and bears a charge before the loss has been established. This was one of Lugo's warnings. If the title is truly compensatory, it should remain connected to the actual or reasonably demonstrable loss; built into the transaction automatically from the beginning, it begins to look less like restoration and more like pricing the loan.

The seventh question is whether the title has been universalized. A valid *lucrum cessans* claim is specific: it does not apply to every lender, every loan, every term, or every sum of money, and the more standardized the claim becomes, the more dangerous it is. If every financing instrument includes a return justified by opportunity cost, without showing the concrete opportunity foregone, then *lucrum cessans* has ceased to be an extrinsic title. It has become ordinary interest under a scholastic name.

The eighth question is double-counting. Foregone profit must not be counted again under another name. A lender may not claim lost profit, risk premium, late penalty, liquidity premium, administrative fee, and management fee where these charges overlap in substance; each title must name a distinct burden. If the same deprivation of money is counted as *lucrum cessans*, *carentia pecuniae*, and *periculum sortis*, the borrower may be paying several times for one underlying reality. Moral accounting requires separation, documentation, and restraint.

The ninth question is whether the claim is merely that "capital could always have earned somewhere." This is the modern form of the danger, the point at which *lucrum cessans* dissolves into generalized opportunity-cost ideology. The tradition does not deny that capital often has alternative uses. It refuses to make the borrower responsible for the entire universe of unrealized alternatives. A concrete lost gain may be compensable. The metaphysical fertility of capital is not.

These questions can be gathered into a practical checklist for modern contracts:

1. Was there a concrete alternative use of the capital?
2. Was that alternative use morally licit and mission-consistent?
3. Did the lender actually intend, or virtually intend, to pursue it?
4. Did the loan truly cause the foregone gain?
5. Was the gain reasonably probable, rather than merely possible?
6. Is the valuation proportionate and discounted for uncertainty?
7. Is compensation limited to the value of the foregone gain?
8. Is the compensation avoided as an upfront deduction or automatic charge?
9. Is the title applied only in specific cases, rather than universalized?
10. Is the claim separated from other titles to avoid double-counting?
11. Is the borrower being asked to repair a real detriment, or to satisfy capital's general expectation of return?
12. Would the structure still make moral sense if the borrower were poor, vulnerable, mission-driven, or dependent?
13. Does the contract preserve the difference between compensation and extraction?

The final question is the most important. Does the claim restore equality, or does it create domination? A valid *lucrum cessans* claim should leave the parties more justly ordered: it compensates a real sacrifice made by the lender without turning the borrower's need into a revenue stream, and it stays limited, intelligible, and accountable. It should

not create a structure in which capital receives a guaranteed return simply because it could imagine other places to go.

The checklist cuts against some of the market's deepest assumptions. The language of opportunity cost is everywhere: in investment committees, venture capital, public finance, philanthropy, and even mission-driven capital. It often sounds neutral, mathematical, and inevitable, but the scholastic tradition forces a more moral question: opportunity for whom, at whose expense, with what proof, and under what obligation?

For non-extractive finance, *lucrum cessans* must therefore be handled with unusual care. It may sometimes justify compensation; it should never be allowed to become the ordinary architecture of return. The moment foregone profit becomes generic, the title has drifted, and the moment every financing arrangement begins with the premise that capital must be compensated for not being elsewhere, the old usury problem has returned in modern dress.

The diagnostic discipline of the tradition is therefore not antiquarian. It is a tool for moral clarity: it makes finance name its claims, ties every surplus to a demonstrated burden, separates real sacrifice from entitlement, and asks whether the structure serves life or merely protects the expectation that money, simply by being withheld for a time, must always come back with more.

PART VIII

**Periculum Sortis: Risk of Capital and the Moral
Structure of Downside**

Why Periculum Sortis Is Different

24.1 Definition

Periculum sortis means the risk of the principal: the risk of the capital sum, the risk that the *sors* itself may be lost. It is the fourth and most structurally disruptive of the major extrinsic titles. Where *poena conventionalis* concerns culpable delay, *damnum emergens* concerns actual loss incurred, and *lucrum cessans* concerns profit foregone, *periculum sortis* concerns exposure to downside. It asks whether the lender, investor, or capital provider is genuinely at risk of losing the capital itself.

The word *sors* can mean the principal sum, the capital originally advanced, the stake. In usury analysis this matters because the ordinary *mutuum* requires the borrower to return the equivalent principal. The lender gives money or another fungible good, ownership passes, and the borrower owes the *tantundem*, the equivalent amount of the same kind and quality. In the pure form of the loan for consumption, the lender's principal claim remains intact and the borrower bears the burden of repayment. The capital provider may face practical default risk, but legally and morally the borrower still owes the full equivalent.

Periculum sortis becomes relevant when this structure changes, or when the lender can plausibly claim that the principal itself is genuinely exposed. If the capital provider may lose the capital depending on the outcome of the venture, the transaction begins to resemble partnership, investment, sea loan, *commenda*, insurance, or some other risk-bearing form rather than a simple guaranteed loan. The question then becomes whether the surplus payment is compensation for bearing real capital risk rather than payment for the use of money as such.

This is why *periculum sortis* matters for the history of moral finance: it pushes the usury debate beyond the question of time and into the question of downside. The older prohibition is most forceful where the lender demands a guaranteed surplus while the borrower bears the economic vulnerability. The lender's capital must come back, and more must come back with it. But if the lender can actually lose the principal, the moral structure is different. The surplus may be not a payment extracted from the borrower's need but the lender's share in a risky venture.

Yet the title is dangerous precisely because every loan involves some risk: death, fraud, insolvency, business collapse, and ordinary misfortune can all prevent repayment. If every possibility of default justified surplus, every loan could become interest-bearing and the prohibition would collapse. A lender would only need to say, "I might not be repaid," and that is true of nearly every human contract.

The central problem of *periculum sortis* is therefore not whether risk exists (risk always exists) but what kind of risk counts. Is ordinary default risk enough? Is the risk of non-payment by a poor or unreliable borrower enough? Must the lender assume special risk beyond the normal risks of lending? Must repayment be contingent on the success of a venture? Must the lender lose legal recourse if the project fails? Must the capital be sub-

ordinated, unsecured, or genuinely loss-absorbing? These questions determine whether *periculum sortis* remains a real extrinsic title or becomes a universal justification for interest.

The strictest version of the tradition answers that ordinary default risk cannot be enough. In a normal *mutuum* the borrower remains obligated to repay. The lender may face the practical risk that the borrower will not or cannot pay, but that does not transform the loan into a partnership. The lender still has a claim: he may pursue repayment, enforce against the borrower, use collateral, guarantees, or legal remedies. The risk is a risk of enforcement, not necessarily a shared risk of the enterprise.

A stronger form of *periculum sortis* arises where the capital provider's claim is genuinely contingent. If the venture fails, the capital may be lost; if the ship sinks, the sea loan may not be repaid; if the trading expedition fails, the investor in a partnership may suffer loss; if the enterprise produces no surplus, the investor may receive nothing. In such cases the provider of capital is not merely waiting for repayment but participating in the uncertainty of the undertaking. The capital is exposed to the outcome.

This distinction between risk of enforcement and risk of participation is crucial. A lender who has a fixed claim, collateral, guarantees, seniority, and legal recourse may say that repayment is uncertain, but the borrower is still the one who carries the main economic burden; the lender's downside is protected as far as possible. A partner or genuinely subordinated investor, by contrast, may have no claim to repayment if the venture fails. The capital provider's fortune is tied to the fortune of the enterprise. That is a different moral form.

Aquinas supplies the architecture for this distinction, though he does not develop *periculum sortis* as a named title in the later sense. In his discussion of usury he distinguishes the *mutuum* from partnership. If money is transferred by way of a loan, the borrower owns it and owes the principal. But if money is entrusted to a merchant by way of partnership, the capital owner may share in the profit because he also bears the risk. Profit-sharing becomes licit where the capital remains exposed. The moral issue is not merely money's productivity but who bears loss.

This is why *periculum sortis* becomes the most important extrinsic title for modern finance. Modern debt, venture capital, private equity, revenue-based finance, preferred equity, convertible instruments, guarantees, liquidation preferences, and collateral structures all depend on the allocation of downside, and legal form alone is insufficient. An instrument may be called "equity" and still protect capital through preference, control, redemption rights, and exit pressure. Another may be called "debt" and include genuine loss-sharing, subordination, or repayment tied to available surplus. The scholastic question is: who can actually lose?

This is also why *periculum sortis* cannot be reduced to a "risk premium" in the modern sense. Modern finance often treats risk as something that can be priced into return while the borrower or company remains obligated to protect capital: the investor demands a higher yield because the borrower is riskier. From a scholastic perspective, the key question is not whether the lender faces statistical uncertainty but whether the lender actually bears the downside in the moral and legal structure of the transaction. Risk that is priced but shifted away is not the same as risk that is shared.

The title therefore forces a distinction between loss-bearing and loss-shifting. If capital receives extra return because the enterprise is uncertain, but the contract still allows capital to recover first, seize collateral, enforce guarantees, impose penalties, or leave workers, founders, suppliers, or communities absorbing the failure, then the risk has not been shared so much as monetized. The lender has charged for risk while retaining protection against it. That is exactly the structure a moral theology of *periculum sortis* must scrutinize.

At its best, *periculum sortis* points toward solidarity. The capital provider says: "I will

not demand gain unless I also bear the possibility of loss.” This aligns surplus with participation, makes profit contingent upon the success of the shared undertaking, and refuses the asymmetry in which the borrower must pay regardless of outcome while the lender claims extra reward for having faced uncertainty. Properly understood, the title is not a loophole for charging more but a demand that return be joined to vulnerability.

At its worst, *periculum sortis* becomes the most powerful wedge by which usury doctrine is hollowed out. If every lender can charge because every borrower might default, then risk becomes the universal justification for interest. The older moral test disappears: the lender need not prove actual loss, culpable delay, concrete foregone profit, or genuine participation in downside. He simply invokes uncertainty, and the title becomes indistinguishable from modern risk-adjusted pricing.

The difference between these two versions is the difference between non-extractive capital and extractive capital that has merely improved its vocabulary. A non-extractive structure uses *periculum sortis* to ask whether capital is truly at risk with the enterprise. Is repayment contingent on success? Is capital subordinated to mission, labor, or community? Are returns capped or tied to real surplus? Are losses shared proportionately? Does the investor lack unilateral power to extract repayment regardless of consequences? These are the questions that make the title morally serious.

In this sense *periculum sortis* is not merely one title among others; it is the bridge between usury doctrine and the moral structure of investment. It helps explain why partnership profit can be legitimate while guaranteed interest remains suspect, and it helps expose modern instruments that claim to be risk-bearing while shifting risk downward. The issue is not whether capital is present but whether capital serves, participates, and shares vulnerability, or demands protection for itself and uncertainty for everyone else.

The definition must therefore be narrow enough to preserve the usury prohibition and broad enough to recognize real investment. It cannot mean merely that repayment is never absolutely certain; it must mean that the capital provider genuinely bears risk to the principal in the structure of the transaction. The *sors* must be exposed. The capital must be capable of being lost, not merely delayed, inconvenienced, or made statistically uncertain. Only then can surplus plausibly be understood as compensation for risk rather than payment for the loan itself.

This is the threshold on which Part VIII stands. The next several chapters will trace how the title emerged through partnership, sea loans, and risk-bearing contracts; how Aquinas provided the architecture without the later terminology; how Alexander of Alexandria gave an early named formulation; how the Spanish scholastics and Jesuits expanded the title; and how later critics warned that risk could become the most dangerous pretext of all. The whole debate turns on one simple but devastating question: when capital receives more, was it truly willing to lose?

24.2 Why This Title Is Structurally Different

Periculum sortis is not simply another item in the list of extrinsic titles; it changes the angle of the whole inquiry. *Poena conventionalis*, *damnum emergens*, and *lucrum cessans* all concern burdens that arise around the loan: delay, loss, or missed gain. They ask whether some event connected to the transaction has injured the lender in a way that may be restored without turning the loan itself into a source of profit. *Periculum sortis* asks a more structural question: what kind of transaction is this, and who is actually exposed to loss?

That makes it the most architecturally important of the titles. A late penalty can be added without changing the loan’s basic form. Actual loss can arise from circumstances

surrounding the loan. Foregone profit can be claimed because the lender's money was unavailable for another use. But capital risk concerns the internal distribution of vulnerability. It asks whether the capital provider is merely a creditor awaiting repayment, or has truly joined the uncertain fate of the undertaking.

The difference is not cosmetic. In a standard *mutuum*, ownership passes to the borrower and the borrower owes the equivalent principal. The lender's legal and moral claim is fixed: the *tantundem* must be returned. The borrower may use, consume, spend, or transform the money, but the obligation remains. If the venture fails, the harvest comes in poor, or the business collapses, the debt still exists, unless it is forgiven, restructured, or rendered unenforceable by law or circumstance. The creditor's claim is structurally protected.

In a partnership, *commenda*, sea loan, or genuinely loss-bearing investment, the structure is different. The provider of capital may have no unconditional claim to repayment; the return of principal may depend on the success of the voyage, trade, enterprise, or project. Profit is possible because loss is possible. The capital provider participates in the venture's uncertainty rather than standing outside it with a fixed claim against the borrower, which is why the moral analysis cannot be limited to the presence or absence of surplus. It must ask how the surplus is related to downside.

This is the distinctive contribution of *periculum sortis*: it moves the analysis from event-based compensation to structural participation. The first three titles can often be analyzed after the fact. Was there a delay? Was it culpable? Was there actual damage? Was there a foregone gain? Was it concrete? *Periculum sortis* requires us to analyze the contract before the fact. What happens if the project fails? Who absorbs the loss? Who has legal recourse? Who is senior? Who is collateralized? Who can walk away? Who remains obligated?

This is why ordinary default risk is not enough. A creditor always faces the possibility that the debtor will fail to pay, but if the debtor remains legally bound and repayment can be pursued through collateral, guarantees, enforcement, or claims against other assets, the creditor has not necessarily shared the enterprise's risk. He has faced collection risk: real, but not the same as participation in loss, and the borrower still carries the burden of the failed outcome.

The title therefore turns on the difference between risk as uncertainty and risk as burden. Modern finance often treats risk as uncertainty: a probability distribution, a volatility measure, a default likelihood, a risk-adjusted return. Scholastic moral theology is more interested in risk as moral burden: when loss happens, who must bear it? Statistical uncertainty may justify caution; it does not automatically justify surplus. What matters is whether the lender is exposed in such a way that capital can genuinely be diminished or lost without the loss simply being transferred to the borrower.

The distinction is especially important because risk can be priced while still being shifted. A lender may charge a higher rate because the borrower is risky, while also demanding collateral, personal guarantees, seniority, covenants, penalties, default interest, and enforcement rights. In that case the lender has monetized risk while attempting to avoid bearing it. The borrower pays for being risky, but still bears the consequences if things go wrong. Such a structure may be legal and commercially ordinary. The logic of *periculum sortis* asks whether it is morally coherent.

A genuinely risk-bearing structure looks different. The capital provider's return is tied to the success of the enterprise; the capital may be subordinated; repayment may be limited to available surplus; losses may reduce or extinguish the claim; the investor may lack recourse to unrelated borrower assets; the provider of capital may have to wait behind workers, suppliers, community obligations, or mission commitments. In such cases the capital provider is not charging for risk but participating in it.

This is why *periculum sortis* reaches toward the modern distinction between debt and

equity, though it cannot be reduced to it. Debt often resembles the *mutuum* because it preserves a fixed claim to repayment; equity often resembles *societas* because it shares upside and downside. But legal labels are not decisive. Debt can be structured with real loss-sharing features, and equity can be structured with preferences, redemption rights, liquidation priorities, drag-along rights, and governance powers that protect capital while placing pressure on founders, workers, and mission. The scholastic question cuts beneath the label: who can lose, and who is protected?

This makes *periculum sortis* more radical than it first appears. It does not merely justify a risk premium; it interrogates the moral architecture of capital itself, asking whether profit is joined to vulnerability, whether surplus is earned by participation or extracted through protected priority, whether the capital provider is a partner in uncertainty or a creditor insulated from the consequences of the very venture from which surplus is sought.

The title also reveals why priority matters. If capital is repaid before labor, mission, community, ecological repair, suppliers, and the long-term life of the enterprise, capital may be formally at risk but practically privileged: a senior claim can make loss possible in theory while shifting actual loss downward in practice. The stricter Franciscan intuition is especially sensitive here. A structure that protects capital first may fail the deeper moral test even if it contains some statistical uncertainty, because the question is not only whether capital can lose in the abstract but where capital stands in the order of loss.

The implications for modern non-extractive investment are direct. A fund may say that its return is justified by risk, but the moral question is: what risk? If the fund has downside protection, repayment priority, collateral, contractual control, and the ability to force an exit, its risk may be less than the risk borne by the entrepreneur, the workers, or the community. If the entrepreneur can lose vocation, reputation, livelihood, health, relationships, and mission while capital merely suffers a delayed or reduced return, the language of risk needs to be examined carefully.

Periculum sortis therefore introduces a relational account of finance. It refuses to treat risk as an abstract property of capital alone. Risk exists among persons and institutions; it is distributed by contract, shaped by law, intensified by need and bargaining power, and hidden in governance rights, liquidation waterfalls, guarantees, collateral, and default clauses. A moral analysis of risk must ask not only how much uncertainty exists, but who is made vulnerable by the structure.

This also explains why *periculum sortis* belongs with stewardship. A steward does not merely demand return while protecting himself from loss but accepts responsibility for the life of the thing entrusted. In finance this means capital must be willing to serve the enterprise rather than dominate it. If capital claims upside while refusing downside, it acts less like stewardship and more like ownership absolutism, treating the enterprise as an instrument for its own preservation and growth.

The structural difference of *periculum sortis* can be summarized in one diagnostic contrast. The first three titles ask: did something happen that justifies compensation beyond principal? The fourth asks: what has the lender become in relation to the borrower or the enterprise? A creditor, a partner, an insurer, a co-adventurer, a steward, or a protected extractor? The answer determines whether surplus looks like restoration, participation, or domination.

This is why the title is indispensable for analyzing modern capital structures. It is not enough to ask whether a return is capped, moderate, patient, or socially motivated. A capped return can still be extractive if it is guaranteed and senior; a patient loan can still dominate if the borrower must carry all the downside; a mission investment can still undermine mission if it uses the language of risk while protecting capital through priority and control. The title requires us to look at the full loss waterfall.

For the same reason, *periculum sortis* is structurally different from *lucrum cessans* as well. *Lucrum cessans* asks what gain the lender did not receive because the money was lent; *periculum sortis* asks whether the lender can lose the money because of the transaction's outcome. The first can easily become opportunity-cost logic, the second risk-premium logic, and both are dangerous when universalized. But *periculum sortis* has the deeper transformative potential, because it points toward genuine risk-sharing. It asks not how capital should be compensated but whether capital has accepted vulnerability.

This is the heart of the matter. The moral legitimacy of surplus depends not only on what is paid but on the structure that makes payment possible. If the borrower bears all loss while capital receives protected gain, surplus tends toward extraction; if capital shares loss and receives gain only through participation, surplus becomes more intelligible as just. *Periculum sortis* names this difference, which is why it is not merely an extrinsic title but a test of whether finance has become a relationship of shared fate.

24.3 The Danger

The danger of *periculum sortis* is simple: every loan has risk. No repayment is absolutely certain, and even the most secure debtor may fail. A crop can be destroyed, a ship can sink, a king can default, and a borrower can disappear, deceive, or die. Human affairs are contingent. If the mere possibility of nonpayment were enough to justify surplus, every loan could be made interest-bearing.

This is what makes *periculum sortis* the most dangerous of the extrinsic titles. *Poena conventionalis* can be limited by asking whether the delay was culpable, whether the due date was realistic, and whether the penalty was proportionate. *Damnum emergens* can be limited by asking whether actual loss was documented, caused, and restorative. *Lucrum cessans* can be limited by asking whether a concrete, licit, probable gain really ceased. But risk is everywhere: it can be invoked before anything has happened, priced into the structure from the beginning, and generalized across whole classes of borrowers, until usury looks like prudence.

The title therefore threatens to universalize interest through the language of uncertainty. The lender need not say that he charges because time has passed, nor claim to sell the use of money; he need only say, "I may not be repaid." Once that is enough, the usury prohibition remains formally intact but practically empty. The rule says that gain from the loan itself is forbidden; the market replies that every loan contains risk, and every risk deserves a premium. The result is a doctrine defeated by its own exception.

The tradition therefore had to distinguish narrow from broad versions of the title. The narrow version says that surplus may be justified only when the lender truly bears risk to the principal in the structure of the transaction. The capital must be genuinely capable of being lost; repayment must depend, in some real way, on the outcome of the enterprise, voyage, trade, or project; the lender must not simply possess a fixed legal claim against the borrower regardless of outcome. In this narrow version, *periculum sortis* points toward partnership, *commenda*, sea loan, insurance-like risk-bearing, and genuine investment.

The broad version says that any risk of nonpayment may justify surplus, and this is the dangerous version. It treats ordinary default risk as sufficient. The borrower still owes the principal; the lender still has legal recourse; collateral may still be pledged, guarantees still demanded, default penalties still imposed; the lender may still stand senior to workers, suppliers, community, and mission. Yet because repayment is not absolutely certain, the lender claims a premium. Risk has been invoked, but not truly shared.

The difference between these two versions is decisive. In the narrow version, surplus

is linked to vulnerability accepted by capital; in the broad version, surplus is linked to vulnerability imposed on the borrower. The narrow version asks whether the lender can lose; the broad version reasons that the borrower might fail and must therefore pay more. One turns capital toward participation; the other turns borrower weakness into capital's justification for gain.

This is the moral inversion at the heart of the danger. A borrower who is more fragile may be charged more because the lender's risk is higher, but if the lender remains structurally protected, the higher charge can deepen the borrower's fragility. The poorer borrower pays more because he is poor; the less secure enterprise pays more because it is insecure; the mission-driven company pays more because it lacks collateral. Risk pricing then becomes a way of extracting from vulnerability while appearing merely rational.

Modern finance treats this as obvious: higher risk requires higher return, and in many contexts that seems like common sense. The scholastic tradition asks a more uncomfortable question: who created, bears, and benefits from that risk? If the lender receives higher compensation because the borrower is vulnerable, while the borrower remains legally obligated and economically exposed, then the premium may be less a reward for shared risk than a tax on weakness.

This does not mean that risk is irrelevant. It would be unjust to demand that a capital provider accept genuine exposure without any possibility of proportionate return; the tradition asks capital not to be blind but to be honest. A return justified by *periculum sortis* must correspond to risk actually borne by the capital provider, not merely risk observed in the borrower. It must be tied to loss absorption rather than default probability alone, and it must distinguish between participating in uncertainty and charging others for being uncertain.

The practical danger is that contracts can blur this distinction. A lender may describe itself as taking risk while building in protections that shift loss elsewhere: collateral, security, personal guarantees, covenants, acceleration rights, default interest, liquidation priority, control rights, or mandatory exit provisions. Each clause may be defensible on its own. Together, they may create a structure in which the lender's downside is cushioned while the borrower's downside is intensified, so that the lender charges for risk while refusing, as far as possible, to bear it.

This is why *periculum sortis* requires a full loss-waterfall analysis. One cannot judge the title by looking only at the stated return; one must ask what happens in failure. Who gets paid first? Who waits? Who is written down? Who can enforce, and who can seize assets? Who loses labor, livelihood, reputation, vocation, mission, or community? Who has legal remedies, and who has only consequences? The moral location of risk is revealed not in success but in failure.

The title is also dangerous because it can be double-counted. A lender may charge a risk premium, require collateral, impose penalties, claim administrative fees, deduct upfront charges, and demand compensation for foregone profit; but if all these charges are responses to the same underlying uncertainty, the borrower is paying multiple times for one burden. Scholastic moral reasoning resists this. Each title must name a distinct reality, and risk cannot be invoked as a general atmosphere that justifies every surplus claim.

Another danger is that *periculum sortis* can obscure the difference between risk and speculation. Genuine risk-bearing can be morally legitimate when it supports real enterprise, shared work, and common benefit. But speculation may seek return precisely from volatility, distress, or asymmetry: the capital provider profits not by serving a productive undertaking but by positioning itself advantageously within uncertainty. In such cases risk language can become morally flattering. It makes the speculator appear brave, even when the structure allows others to absorb the deepest harms.

The danger intensifies in venture capital and private equity. These forms often present themselves as risk capital, and sometimes they are: investors can lose everything, accepting uncertainty and receiving nothing if the company fails. But specific contract terms matter. Liquidation preferences, participating preferred shares, redemption rights, anti-dilution provisions, board control, drag-along rights, and exit pressure can change the moral structure, so that capital is legally equity but economically privileged, sharing some risk while controlling the conditions under which others bear more.

This is why *periculum sortis* cannot be satisfied by the word “equity.” The title demands substantive vulnerability. If capital claims the upside of ownership, the governance power of control, and the downside protection of debt, the structure becomes morally suspect. The investor may say it bears risk because the company could fail, but if in partial failure the investor is protected first while everyone else absorbs the damage, the risk has not been shared so much as ranked.

The strict Franciscan concern about priority repayment belongs here. If capital is repaid before mission, labor, community, and the continued life of the enterprise, the moral claim to risk-bearing must be examined, because a structure can be loss-exposed at the outer edge while arranging ordinary distress so that others suffer first. That is not necessarily full participation in risk; it may be priority disguised as courage. And the danger is not only theoretical. It appears wherever capital receives the language of heroism for accepting uncertainty while the deepest vulnerability falls on others. To call both losses simply “risk” is morally imprecise: founders lose years of life and vocation, workers lose jobs, communities lose essential services, suppliers go unpaid, and the mission is compromised, while capital writes down an investment and moves on.

A scholastic reconstruction of *periculum sortis* must therefore be more exact. Risk has depth, order, and quality: legal risk is not the same as existential risk, delayed repayment is not the same as loss of livelihood, and portfolio loss is not the same as community collapse. A fund that loses one investment among many is not exposed in the same way as an entrepreneur whose entire life is bound up with the enterprise. The title must take account of these asymmetries.

This does not mean that capital can receive no return unless it suffers as much as everyone else; it means the justification for return must be truthful. If the return is said to arise from risk, then risk must be genuinely borne, and if capital is protected by priority, collateral, diversification, governance power, and exit rights, those protections must be part of the moral analysis. The title cannot be evaluated by abstract probability alone.

The deepest danger of *periculum sortis* is that it can convert vulnerability into price. The borrower’s weakness becomes the lender’s premium, the enterprise’s uncertainty becomes capital’s yield, and the possibility of failure becomes a reason to increase the burden placed on the party most likely to fail. This is the point at which risk pricing becomes extraction. It may be economically rational, legal, and standard; moral theology asks whether it serves justice.

For non-extractive finance, the answer must be structural. It is not enough to cap returns or use benevolent language; the contract must allocate downside in a way that corresponds to the claim being made. If the investor receives surplus because of risk, the investor must accept real loss absorption. If the capital is called patient, it must not punish distress too quickly. If it claims partnership, it must not act like senior debt. If it invokes mission, it must not abandon mission when repayment is threatened.

The danger of *periculum sortis* thereby becomes a diagnostic tool. Whenever a return is justified by risk, we should ask: risk to whom? Risk of what? Risk borne how? Risk protected by which rights? Risk priced once, or several times? Risk shared with the borrower, or shifted onto the borrower? Risk in legal form, or risk in economic substance? Risk that

serves enterprise, or risk that feeds on vulnerability?

The title survives only if these questions are answered honestly. Otherwise *periculum sortis* becomes the most elegant path from the medieval usury prohibition to modern risk-adjusted return, and the tradition's warning is severe: risk can justify surplus only when it is real, proportionate, and actually borne by the one who claims the surplus. It cannot be a general excuse for charging the vulnerable more, cannot be invoked while contract terms shift the downside away, cannot be counted again and again under different names, and cannot, above all, become the principle that every uncertain loan deserves yield. If that happens, the title has swallowed the prohibition, and risk has become usury's most sophisticated disguise: the name remains scholastic, the function has become financial, and capital, once again, receives more while arranging that others lose first.

Prehistory: Partnership, Sea Loans, and Risk-Bearing Contracts

25.1 Societas

Before *periculum sortis* could become a named extrinsic title, Christian moral theology already possessed a more basic and more secure category for risk-bearing finance: *societas*, the partnership. A partnership was not a loan. It did not transfer ownership of consumable money to a borrower who then owed the equivalent principal. It created a relationship of shared undertaking, in which the parties joined for a common enterprise under some arrangement for shared gains, shared losses, labor, capital, and responsibility. That made *societas* one of the tradition's most important moral alternatives to the *mutuum*.

The difference is fundamental. In a *mutuum*, the borrower receives ownership of the thing lent and becomes obligated to return the equivalent; the lender's claim is fixed. In a partnership, the capital provider does not stand outside the enterprise as a creditor. He participates in the venture's fortune. If the enterprise succeeds, he may share in the profit; if it fails, he may lose. The moral legitimacy of surplus therefore rests not on the loan itself but on participation in a common risk-bearing activity.

This is why Aquinas's distinction between the *mutuum* and the partnership matters so much. When he rejects usury, he does not reject all gain from capital. He rejects gain demanded from a loan for consumption, where the lender has transferred ownership and yet seeks payment for the use of what no longer belongs to him. But he allows that one may entrust money to a merchant by way of partnership and share in the profit, because the capital remains at the owner's risk. The money is not merely lent; it is placed into a venture whose outcome is uncertain.

The phrase "at the owner's risk" is doing the moral work here. Profit is not justified because money automatically produces money. Profit is justified because the owner of capital has exposed his capital to loss within a shared enterprise: he has not demanded guaranteed increase from another's need, and he has accepted that the venture may fail and his capital may not come back. Later discussions of *periculum sortis* will develop exactly this insight.

Societas, then, is the positive form of the risk title, the shape morally intelligible risk-bearing takes before anyone abstracts it into a premium. The partner is not compensated for the statistical possibility of nonpayment. He joins the adventure, placing capital under the uncertainty of a real undertaking; his gain depends on the venture's gain, his loss follows the venture's loss, and the surplus he receives, if any, is not a charge imposed on the other party but his share in a common result.

Notice how far this stands from a guaranteed loan wearing a risk premium. There the borrower owes principal and surplus whether the financed activity succeeds or not. The lender may say he is taking risk, but the borrower remains bound; if the project fails, the

obligation survives it. In a partnership, failure changes the claims. The capital provider cannot insist on being made whole while the active partner absorbs the consequences, because the capital is part of the venture, not merely a claim against it.

None of this made partnerships morally simple: the Roman and medieval legal traditions classified them in various ways, and questions could always arise about fraud, unequal bargaining power, the division of labor, the division of gains, and the allocation of losses. But the basic category mattered because it gave theologians a way to say: profit from capital is not always usury. The question is not whether capital receives something, but whether it has remained outside the risk while demanding a return, or has entered into shared vulnerability.

Critics of usury doctrine often miss this point. The tradition was not hostile to commerce, enterprise, investment, or profit as such. It was hostile to a specific asymmetry: guaranteed gain to the lender from a consumptive loan, while the borrower carries the economic burden. Partnership offered a different structure, gain tied to participation, labor, risk, and common enterprise, and it showed that the tradition could tell extractive lending apart from productive cooperation.

The partnership model also clarifies what stewardship means. A partner does not merely own a claim; he has a stake in the life of the enterprise, and must care about its success, not only its repayment schedule. That does not automatically make every partnership virtuous, but it changes the moral posture. The capital provider's interest is bound to the enterprise's flourishing. If the venture is destroyed, he suffers too. There is at least the possibility of shared fate.

That shared fate is the heart of *periculum sortis* in its morally strongest form. Risk is not an excuse to charge more; risk is the condition that makes shared profit intelligible. The capital provider says, in effect, "I may receive more if the enterprise succeeds, because I may also receive less or nothing if it fails," which is not at all the same as saying, "You must pay me more because you might fail to repay." The first joins the venture; the second prices the borrower's fragility.

The difference becomes pointed in modern investment contracts. Many instruments are called "equity" without functioning like true partnership. Preferred shares may carry liquidation preferences. Investors may receive priority repayment before founders, workers, or mission commitments see anything. Redemption rights may allow capital to force repayment; control rights may let investors compel an exit even when the enterprise's mission would be harmed by it. In such cases the legal label of equity conceals a creditor-like priority.

The traffic runs the other way too. A revenue-based financing agreement may cap returns, defer payments when revenue falls, avoid personal guarantees, and accept genuine downside. A patient loan may subordinate capital to wages, taxes, suppliers, and mission obligations. A recoverable grant may return funds only if the project succeeds. None of these is *societas* in the strict legal sense, but they can come closer to the moral logic of shared risk than some forms of preferred equity manage.

The lesson of *societas*, then, is not that modern finance should swap all debt for equity, but that moral analysis must look beneath legal labels to the actual allocation of risk, control, and surplus. Who participates in the venture? Who has a fixed claim? Who benefits from success? Who suffers in failure? Who has the power to force repayment or exit? Who waits, who absorbs loss, and who is protected?

In the older scholastic framework, *societas* also helps preserve the gratuity of the *mutuum*. If a person wants a guaranteed claim to the return of principal, he should not also demand the gains of partnership; if he wants to share profit, he must share risk. The two forms cannot be casually combined without moral danger. A lender who takes the legal se-

curity of debt and the economic upside of partnership is not building a more sophisticated contract; he may be building a disguised form of domination.

Which is precisely the issue in many contemporary capital structures. Investors often seek debt-like downside protection with equity-like upside: priority, collateral, covenants, liquidation preferences, anti-dilution rights, control rights, and exit rights, all while claiming the moral dignity of risk capital. The scholastic tradition would ask whether that combination is coherent. If capital is truly a partner, it must not arrange the relationship so that others lose first while it gains first.

The moral beauty of *societas*, at least in its ideal form, is that it binds gain to common work and common uncertainty. Capital is not allowed to remain aloof from the fate of the borrower; it is invited into relationship, and its profit becomes a share in a venture both parties made possible rather than a toll on another's need. That does not eliminate every problem of inequality, but it gives moral theology a structure in which surplus reads as participation rather than usury.

For non-extractive finance, *societas* offers a deep design principle: return should follow shared fate. If capital receives more when things go well, it should receive less when things go badly. If it claims participation in upside, it should accept participation in downside. If it wants the language of partnership, it should accept the vulnerability of partnership. The more a structure protects capital from loss, the more suspect its claim to partnership becomes.

This also explains why *periculum sortis* cannot be treated as a mere pricing tool. Modern finance translates risk into return almost by reflex: higher risk, higher required return. *Societas* teaches a different order of thought. First comes relationship, then shared undertaking, then shared exposure; only then does shared profit become intelligible. Risk is not a number attached to a loan; it is a condition of moral participation.

The partnership tradition also remembers that capital is not the only contribution. One partner may bring money, another labor, another expertise, another access, another reputation, another management. Justice requires attention to all of them, which matters for modern enterprises, where founders, workers, communities, and even ecosystems contribute value and bear risk that contracts often fail to recognize. A *societas* worth the name does not let financial capital treat every other contribution as subordinate.

In this sense the recovery of *societas* is not antiquarian. It reimagines finance around participation rather than extraction, asking not simply how to compensate capital for risk but how to design institutions in which capital, labor, mission, community, and stewardship are ordered toward a shared good. Partnership becomes not only a contract form but a moral image of economic life.

Societas stands at the beginning of the prehistory of *periculum sortis* because it is the tradition's clearest answer to the problem of capital and gain, an answer the later risk title must never be allowed to forget. If capital remains a creditor, surplus is suspect. If capital becomes a partner, surplus may be just, and only because capital has also become vulnerable: the legitimacy of profit depends on the willingness to share loss.

25.2 Commenda

If *societas* gives the general moral architecture of partnership, the *commenda* gives one of its most important commercial forms. It was a practical instrument for long-distance trade, above all in the medieval Mediterranean. One party, often a capital provider who stayed at home, entrusted goods or money to a traveling merchant, who used that capital in a commercial venture, usually overseas or across a long trade route. If the venture succeeded,

the parties divided the profits according to an agreed formula. If it failed, the capital provider could lose the capital, and the traveling merchant could lose his labor, his time, his effort, and sometimes his reputation.

That structure made the *commenda* morally significant, because it did not function like a simple loan. The active merchant was not a borrower who owed the principal regardless of outcome; the silent capital provider was not a creditor waiting to be repaid. The capital was committed to an undertaking and exposed to the fortunes of trade, voyage, market, theft, weather, war, and commercial judgment. Profit was possible because loss was possible. The return to capital was tied to *periculum sortis*, risk of the principal, rather than to the mere passage of time.

The *commenda* also solved a practical problem. Some people had capital but could not or would not travel. Others had skill, courage, local knowledge, or commercial access, but not enough capital to trade with. The *commenda* joined these contributions without reducing one party to a debtor and the other to a creditor, which made it a powerful vehicle for trade and, just as important, a moral alternative to usurious lending.

In the simplest moral terms, the *commenda* says: capital may receive gain when capital joins risk. The silent partner's profit is not a fixed payment owed merely because money was advanced; it is a share in the result of the venture. If no profit is made, there may be nothing to share. If the capital is lost without fault, the capital provider bears that loss, and the traveling merchant may not owe the *tantundem* as he would in a *mutuum*. The contrast can be stated sharply. In a *mutuum*, the borrower must return the equivalent principal even if the money was used badly, lost, spent, or consumed. In a *commenda*, the capital provider's claim is tied to the commercial outcome: the active merchant must act faithfully and competently, but he is not a guarantor of the capital against the ordinary hazards of the venture. His obligation is fiduciary and practical, not debtor-like, and that changes the moral form of the relationship.

This is why the *commenda* appears in the prehistory of *periculum sortis*: it shows that medieval commercial practice already contained risk-bearing capital that did not have to be condemned as usury. The tradition did not need to pretend that trade could occur without capital, or that capital could never receive more than it put in. It needed to distinguish risk-sharing investment from guaranteed gain on a loan, and the *commenda* made that distinction visible in the ordinary business of the ports.

The form also reveals that capital risk is not the only kind of risk. The silent partner risks the principal. The traveling merchant risks labor, opportunity, bodily safety, time, and reputation, sometimes his standing in the commercial community along with it. The capital provider's risk is financial; the merchant's is existential and practical. A just arrangement has to consider the contributions and vulnerabilities of both, and it would be too simple to hand the capital provider all the profit because he supplied the money. Without the merchant's work, judgment, and exposure, the capital would have sat at home doing nothing.

The point carries into modern finance with uncomfortable ease. Contemporary investment often overvalues financial capital because it is easily measured, contractually protected, and legally privileged. But enterprises are built from more than money. They require founders, workers, customers, communities, and trust, little of which appears on a term sheet. The *commenda* reminds us that a morally serious investment structure must ask what each party contributes and what each party risks. Money is one contribution. It is not the whole enterprise.

At its best, the *commenda* embodies complementarity: one party contributes capital, the other labor and commercial agency; neither alone is sufficient, and the profit, if there is profit, arises from their cooperation. The moral basis of distribution is participation in

a common undertaking, a very different logic from a lender's demand to be repaid with surplus whatever happens to the borrower's activity.

But the *commenda* had its own moral dangers, and the scholastics knew it. Any contract form can be abused. A supposed *commenda* could be structured so that the traveling merchant effectively guaranteed the capital while the capital provider still claimed a share of profit, and the arrangement then resembled a loan with disguised interest. The active merchant could be pressured into obligations that shifted too much of the downside onto him. The legal name settled nothing; the theologian or confessor still had to ask who truly bore the loss. Here is a theme that recurs through the whole scholastic analysis: legal form is not moral substance. A contract may be called partnership but function like debt. It may be called exchange but conceal a loan. It may be called investment but impose repayment obligations that eliminate any real risk to capital. The *commenda* was licit not because of its name but because of its structure when properly formed: the capital provider's principal genuinely exposed, the active merchant's obligation something other than repay-no-matter-what, the profit contingent upon success.

The *commenda* thereby clarifies the difference between risk-bearing and risk-shifting. In a genuine *commenda*, the silent partner cannot claim the upside while forcing the active merchant to insure the downside. The capital provider has accepted *periculum sortis*; if the venture fails without fault, he bears the loss. If the structure instead requires the merchant to restore the capital regardless of ordinary commercial failure, then the capital provider has shifted the very risk that was supposed to justify his profit. The title collapses into pretext.

That distinction bears directly on venture capital and private equity. These forms claim to be risk capital, and in some respects they are: investors may indeed lose their investment if the company fails. But the details matter. Liquidation preferences, redemption rights, control provisions, protective covenants, forced sale rights, and senior claims can shift practical risk away from capital and onto founders, workers, or the mission of the enterprise. The arrangement may remain equity in law while ceasing, morally, to resemble a true *commenda* or *societas*. It becomes a hybrid that takes partnership upside while preserving creditor privilege.

The *commenda* also raises the question of control. The silent partner provides capital but does not undertake the journey or conduct the trade, so there must be trust: the active merchant must have enough freedom to act. If the capital provider controls every decision while avoiding the practical burdens of the journey, the moral relationship changes underneath the paperwork. Modern investors exercise considerable control through board seats, consent rights, vetoes, reporting requirements, and exit rights. Some control may be legitimate stewardship. But excessive control can transform partnership into domination, especially when capital also receives priority.

A moral reading of the *commenda* does not romanticize medieval trade. It extracts a structural insight: capital may rightly share in profit when it is truly committed to the venture and exposed to loss, and the active entrepreneur may rightly share because labor, skill, and risk are real contributions too. A just contract aligns claim, contribution, risk, and control. When these come apart, the form becomes morally unstable.

For non-extractive finance, the *commenda* offers a model of capital that travels with the enterprise rather than standing over it. The capital provider does not merely ask, "What return do I receive?" He asks: What venture am I joining? What risk am I accepting? What contribution am I making? What claim do I have if things go well? What loss do I bear if things go badly? That is a very different posture from capital that demands fixed repayment, priority, and surplus while describing itself as mission-aligned.

The *commenda* also helps us think about silent capital and active stewardship. Many

modern funds are silent in the sense that they do not build the enterprise day by day; founders and workers do that. Yet capital often receives stronger legal claims than the people who contribute their lives and labor. A *commenda*-like moral analysis would ask whether financial capital's share is proportionate to its real exposure and contribution, and whether the active stewards of the enterprise retain enough freedom, dignity, and upside to make the partnership just.

That has consequences for repayment design. In a non-extractive structure, capital might receive a capped share of surplus only when surplus exists. It might accept slower repayment when the enterprise is fragile. It might subordinate itself to wages, taxes, suppliers, and mission-critical reinvestment. It might waive claims in failure rather than pursue founders personally. These features approximate the *commenda* logic far more closely than a fixed debt obligation with a risk premium does, because they make return contingent upon shared success.

The same logic disciplines the language of "patient capital." Patience is not only a longer time horizon. A patient creditor may still expect full repayment with accrued return, no matter what happens. True patience includes vulnerability to outcome: the capital provider waits not only for time to pass but for the enterprise to flourish, and if flourishing does not occur, the waiting does not automatically convert into a claim against the borrower. That is closer to partnership; the alternative is delayed extraction.

At the same time, the *commenda* reminds us that risk-bearing capital deserves moral recognition. Non-extractive finance should not treat all return as suspect. If capital truly accepts the possibility of loss, supports real enterprise, refrains from domination, and shares gain proportionately, then surplus may be just. The problem is not that capital receives. The problem is when capital receives without sharing fate, or receives first while others lose more deeply.

The prehistory of *periculum sortis* passes through the *commenda* because this contract made shared commercial risk concrete: it put money into trade without a usurious loan, linked gain to exposure, joined silent capital to active labor, and made profit contingent rather than guaranteed, forcing moral theology to distinguish the creditor who must be repaid from the partner who may lose. Capital's claim to surplus is strongest when capital has genuinely entered the adventure; if it stays safely at home while others bear the journey, the danger, the labor, and the failure, its claim weakens. The *commenda* is not merely a medieval trade instrument; it is a moral image of finance as shared venture, and a warning against every structure that wants the profits of partnership without the vulnerability of partnership.

25.3 Foenus Nauticum

The *foenus nauticum*, or sea loan, is one of the most revealing premodern forms of risk-bearing finance, sitting as it does at the boundary between loan, investment, insurance, and partnership. In its basic form, capital was advanced for a maritime venture, and repayment depended on the safe arrival or successful completion of the voyage. The sea was dangerous; if the ship was lost, the lender's principal could be lost with it; and for that reason the lender could receive a higher return than would be permissible in an ordinary *mutuum*. The crucial point was not that time passed while the ship was away. The crucial point was that the capital stood exposed to maritime risk.

That made the sea loan morally different from a simple loan for consumption. In a normal *mutuum*, the borrower receives ownership of money or other fungible goods and owes the equivalent principal regardless of what happens; the lender may face practical

uncertainty about repayment, but the borrower remains obligated. In a sea loan, by contrast, repayment could be contingent on the successful outcome of the voyage itself. If the ship arrived safely, the lender might be repaid with a substantial premium. If the ship was lost, the lender might lose the principal. The claim was tied to the adventure.

The *foenus nauticum*, then, provides a concrete image of *periculum sortis*. The lender's *sors*, the principal, is not merely delayed or inconveniently out of reach; it is genuinely at risk, and it may not come back at all. The surplus, when permitted, was justified not as payment for the use of money alone but as compensation for assuming the risk of loss. The lender had, in a sense, insured or underwritten the venture. He had accepted a danger that would otherwise fall more heavily on the merchant or the shipper, and his return corresponded, at least in principle, to that exposure.

This is why the sea loan placed such pressure on strict usury doctrine. It looked like a loan, used the language of lending, and involved repayment with more than principal. But its moral structure was not identical to the ordinary *mutuum*, because the maritime condition mattered: the lender's gain was paired with the possibility of his loss. The form forced theologians and jurists to ask whether all surplus above principal was usury, or whether risk-bearing transformed the nature of the transaction. The answer depended on the allocation of risk. If the lender truly bore the maritime risk, then the higher return could be defended as compensation for bearing it. If the contract was structured so that the borrower had to repay whatever became of the ship, then the supposed sea loan collapsed back into an ordinary loan with interest. The name alone settled nothing. The moral question was whether repayment was genuinely contingent upon the risky event.

A voyage may be dangerous, in other words, but the danger must be borne by the party claiming the premium. A lender who charges for danger while shifting the danger back to the borrower holds a hollow title: he has monetized risk without sharing it. That is precisely the danger the later discussions of *periculum sortis* will have to confront on dry land.

The sea loan also shows why risk-bearing finance can be socially useful. Maritime trade required capital, and it involved hazards that individual merchants could not always bear alone. By advancing capital under conditions tied to the voyage, the lender could enable trade while absorbing part of the downside. There is nothing inherently extractive in that. In a properly structured sea loan, the lender's return is linked to a real service: the assumption of a risk that makes the venture possible.

Here the analogy to insurance becomes important. The sea lender does not merely provide money; he also accepts a particular, defined danger, and the premium may be understood as payment for bearing that risk, much as an insurer receives a premium for assuming a specified danger. This does not make the transaction morally simple. Insurance itself can be fair or exploitative, proportionate or excessive, socially useful or speculative. But it clarifies why the sea loan was never quite the same thing as a guaranteed interest-bearing loan: the lender had taken on a defined exposure.

The *foenus nauticum* thereby separates two questions that modern finance often blends together. First, has capital been made available? Second, has risk been borne by the capital provider? In an ordinary loan, the first may be true while the second stays limited, especially where repayment is guaranteed, collateralized, or enforceable against the borrower's other assets. In a genuine sea loan, the second question is the whole point. The lender receives more not simply because his money was unavailable for a term, but because his money could disappear with the ship.

This made the sea loan an important precedent, and a dangerous one. It provided a historical case in which surplus above principal seemed morally intelligible because the lender's principal was exposed to loss, and later theologians could reach for the same

logic when discussing other forms of commercial risk. If a capital provider truly bears the risk of the principal, perhaps surplus may be licit. But the analogy had a slope, and the slope was real: once maritime risk justified a return, could ordinary business risk justify one? Could debtor unreliability? Could any default risk at all? The narrow lesson of the sea loan is defensible: return may be justified when principal is genuinely at risk in a defined venture. The broad lesson is dangerous: all risky lending deserves a premium. The history of *periculum sortis* is, in large part, the history of that tension, the tradition laboring to preserve the difference between a capital provider who truly shares the fate of a risky undertaking and a creditor who merely charges more because the borrower might fail.

The maritime setting makes the difference vivid. If the ship sinks, who loses? In a genuine sea loan, the lender loses the capital. In a disguised usurious loan, the borrower still owes. The storm exposes the contract: the same physical event, the shipwreck, reveals two different moral forms, one in which capital has joined the venture's danger, and one in which capital has priced the danger and left the merchant crushed by debt after the disaster.

Which is why a moral theology of finance must always ask what happens in failure. Success makes almost any structure appear harmless: the ship arrives, the lender is repaid, the merchant profits, and everyone may be satisfied. The moral architecture is tested when the ship does not arrive. Does the lender's claim disappear, diminish, or wait? Or does the borrower remain bound? Does the premium compensate a shared risk, or does it add to the burden of catastrophe? The answers determine whether the arrangement resembles partnership, insurance, or usury.

For modern non-extractive finance, the *foenus nauticum* is deeply instructive. Many contemporary instruments claim a return because the financed enterprise is risky. The sea-loan test asks: if the enterprise fails, does capital lose with it? If yes, the return may be tied to real risk-bearing. If no, or only superficially, then the language of risk may be misleading. A lender with collateral, guarantees, priority, and enforcement rights may face some probability of nonpayment, but that is not the same as accepting the shipwreck.

The test matters most for the instruments that live nearest the line: venture capital, revenue-based finance, recoverable grants, subordinated debt, mission-oriented investment. A venture investor may genuinely lose principal if the company fails, yet liquidation preferences and control rights still shape who loses first and who controls the response to distress. A revenue-based investor may share risk if payments fall with revenue and claims are capped, but minimum payments, personal guarantees, or default penalties slide the structure back toward creditor protection. A recoverable grant may resemble a sea loan when repayment occurs only upon success. In every case, the moral substance depends on the contingency.

The sea loan also warns against romanticizing risk. Maritime danger was real, but the existence of danger did not automatically make every premium just. The premium could be excessive. The borrower could be desperate. The lender could exploit what he knew and the merchant did not, and the contract could be drafted to preserve the lender's advantage in every weather. Risk-bearing is a necessary condition for a legitimate *periculum sortis* claim, but not always a sufficient one; proportionality, fairness, intention, and the borrower's vulnerability still matter. Even when capital truly bears risk, the reward may be disproportionate: a vulnerable entrepreneur may give away too much upside because no other capital is available; a fund may demand control rights that exceed its real exposure. Scholastic moral analysis would not stop at the fact of risk. It would also ask whether the reward is proportionate to the risk and whether the structure serves the common good of the enterprise.

The *foenus nauticum* therefore belongs in this book not as an odd maritime exception, but as a foundational case for thinking about capital, danger, and justice, and it foreshadows the central modern question: when is capital a creditor, and when is it a participant? The sea loan's answer is practical and dramatic. If the ship is lost and the capital is lost with it, the lender has participated. If the ship is lost and the borrower still owes, the lender has remained a creditor. The same advance of money can carry two different moral meanings, and the difference is decided by who bears the shipwreck. That makes the *foenus nauticum* a powerful image for non-extractive capital: capital that serves life must be willing, in some measure, to board the ship. It cannot stand safely on shore, charge for the danger of the voyage, and demand repayment after the wreck. Surplus may be just when return and vulnerability travel together; the language of risk becomes corrupt when capital demands the premium but refuses the storm.

25.4 Insurance-like Contracts and Exchange Contracts

Alongside *societas*, the *commenda*, and the *foenus nauticum*, medieval and early modern commerce developed a wider family of contracts that placed pressure on the strict usury prohibition: insurance-like contracts, exchange contracts, bills of exchange, currency dealings, and arrangements for moving value across distance and time. These forms matter here because they show that not every payment above principal can be understood through the simple categories of a loan: some payments compensate risk, some service, some exchange, transport, uncertainty, or the assumption of an obligation. And the very sophistication of these forms made them dangerous: each could be real, and each could be used as a disguise.

Insurance-like contracts are especially important for understanding *periculum sortis*. In a genuine insurance arrangement, one party receives a premium for assuming a specified risk. The premium is not paid because money has been lent but because the insurer has taken on the burden of a possible loss. If the insured event occurs, the insurer must pay; if it does not, he keeps the premium. The structure is not identical to a *mutuum*, because the payment is tied to risk transfer rather than to the use of consumable money.

This matters for moral theology because risk-bearing can be a real service. A merchant whose ship may be lost, whose goods may be stolen, whose cargo may be damaged, has something to gain from transferring part of that danger to another party. The party assuming the risk does something economically and morally distinct from lending: he bears exposure, he makes the venture possible or at least less ruinous, and he stands ready to absorb a specified loss. A payment for such a service is not automatically usury.

Yet insurance brought its own moral dangers, and the theologians catalogued them. The premium might be excessive. The insured might be desperate. The insurer might exploit superior knowledge, the contract might encourage recklessness, the risk might be poorly specified. Above all, a supposed insurance arrangement might conceal a loan. If a contract is called insurance but in substance guarantees a return to capital without real risk transfer, the moral form has changed, whatever the document says. The name of a contract cannot do the work that its structure refuses to do.

Here is the recurring scholastic insight in its most compact form: contracts must be judged according to their substance, not merely their legal vocabulary. If a payment is made for risk, the risk must be real. If a payment is made for exchange, the exchange must be real. If a payment is made for service, the service must be real. If a payment is made for loss, the loss must be real. Otherwise the contract becomes a verbal screen for usury.

Exchange contracts presented a parallel problem. In a world of multiple currencies,

cities, fairs, and trade routes, exchange was a legitimate commercial activity. Money in Bruges was not simply money in Florence, Venice, Seville, or Antwerp: different currencies had different values, risks, availability, and uses, and a merchant might need funds in one place and payment in another. The service of transferring value across distance could be real. Currency conversion could be real. A bill of exchange could facilitate trade without a single coin physically traveling, and the man who provided such services was not merely lending money for consumption: he enabled commercial circulation, connecting places, currencies, and obligations. Properly structured, this belongs to exchange rather than usury.

But exchange contracts were notoriously susceptible to abuse. A bill of exchange could be genuine, or it could be fictive. The parties could dress a loan in exchange language, run a circular exchange in which no value needed to move at all, or manipulate place, currency, and timing until the exchange reliably produced what was, functionally, interest. The contract would appear to be an exchange, but morally it would be a loan with surplus. This is why later scholastic authors, and modern historians such as Raymond de Roover, paid such close attention to bills of exchange. The problem was never that exchange was illicit but that exchange could become a mask, and the moral theologian had to ask whether there was genuine diversity of place, currency, risk, and service, or whether these elements had been staged to justify gain. Once again, the issue was not the presence of surplus alone, but the title under which surplus was claimed.

Insurance-like contracts and exchange contracts therefore sharpen the central question of the extrinsic titles: what is the surplus for? Is it for the loan itself? Is it for risk assumed? Is it for a real service? Is it for exchange? Is it for loss? Is it for labor? Or is it simply payment for time and capital, routed through a more respectable form? The question grows more important as commerce grows more complex. In a simple village loan, the moral form is relatively visible: one person lends grain or money, another must repay, surplus is demanded. In a developed commercial economy, the same economic effect can be produced through several legal forms, and a usurious loan can be hidden inside a sale, a lease, an exchange, an insurance contract, a partnership, a penalty clause, a discount, a premium, or a fee. The theologian must therefore become a diagnostician of structure.

That diagnostic task is not anti-commercial. It takes commerce seriously enough to distinguish its legitimate forms from its corruptions. Real insurance should not be condemned as usury, nor real exchange, nor real risk-bearing investment. But neither should usury be blessed merely because it has picked up the vocabulary of insurance, exchange, or partnership.

The deeper moral issue is whether the contract distributes burdens truthfully. In genuine insurance, the insurer assumes risk. In genuine exchange, the exchanger provides conversion or transfer. In genuine partnership, the capital provider shares the outcome. In genuine lending, the lender transfers ownership and receives back the equivalent principal. Each form has its own justice, and injustice arises when one form is used to obtain the benefits of another while avoiding its burdens.

The relationship between insurance and *periculum sortis* makes this especially clear. A party who assumes risk may receive a premium, and a premium without exposure is extraction: if the same party shifts the risk back onto the borrower or the insured, through exclusions, guarantees, recourse rights, or hidden conditions, then the premium becomes suspect, because the title is valid only to the extent that the burden is actually borne.

Exchange contracts raise a similar issue with time. A bill of exchange may legitimately involve time, because settlement occurs later or elsewhere. But if the time element becomes the real source of gain, and the exchange element is only a fiction, then the transaction drifts toward usury. The tradition's concern was not that time is present; time is present

in almost all human action. The concern was whether time itself was being sold, in a loan traveling under another name.

Modern finance is filled with analogous structures. Derivatives, swaps, factoring, invoice discounting, revenue contracts, convertibles, insurance products, guarantees, hedges, currency instruments, and structured finance can all serve real economic purposes. They can allocate risk, provide liquidity, stabilize cash flow, transfer exposure, and make enterprise possible. But they can also obscure who bears loss, who receives surplus, and whether capital is being compensated for real service or merely protected in its demand for growth.

A scholastic moral analysis would not begin by condemning these forms. It would begin by asking what they are really doing. Is a derivative hedging a real exposure, or creating speculative extraction? Is invoice discounting compensating early payment and collection risk, or imposing hidden interest on a vulnerable supplier? Is a guarantee protecting a lender from extraordinary loss, or shifting all downside away from capital while a risk premium is still charged? Is a convertible instrument sharing venture risk, or combining creditor protection with equity upside? Is a currency transaction serving trade, or disguising a loan?

The same questions apply to mission-driven finance. A non-extractive fund may need insurance, hedging, currency management, guarantees, or exchange services. None of these is morally unclean simply because it is financially complex. But complexity must not be allowed to hide extraction. The fund must be able to name each payment: What is this fee for? What burden does it compensate? Who bears the risk? Is the charge proportionate? Is the same risk being charged for elsewhere? Does the contract serve the enterprise, or does it protect capital at the expense of the enterprise?

Insurance-like contracts also invite a deeper reflection on solidarity. At their best, they distribute risk so that no one party is destroyed by misfortune, and that can be a form of mutual aid. A community can pool risk, a cooperative fund can absorb shocks, and a mission-aligned investor can protect founders from catastrophic downside. In such hands, risk-bearing finance serves life; it keeps vulnerability from becoming ruin. At their worst, however, the same mechanisms allow powerful parties to offload danger while keeping profit. A financial institution may insure itself, hedge itself, collateralize itself, and then charge others for the residual uncertainty. A capital provider may appear bold while being structurally protected. Risk does not disappear. It migrates downward, to whoever is least protected, and the poor, the worker, the founder, the supplier, the public, or the environment becomes the final bearer of loss.

This is precisely what *periculum sortis* should help us see. The title asks not only whether risk exists, but where it goes. Insurance-like contracts and exchange contracts make that question more complicated and more necessary at once, revealing that risk can be sliced, moved, priced, hidden, multiplied, and renamed. Moral theology must follow the risk through the structure.

The historical importance of these contracts is that they forced scholastic theologians to become more precise. It was no longer enough to say that surplus above principal was always usury, and it was not safe to say that any sophisticated contract justified surplus. The tradition had to develop a language of titles, causes, burdens, intention, proportionality, and fraud, and to ask, form by form, whether the surplus arose from something truly external to the loan, or whether the external title had become a pretext. This is why insurance and exchange belong in the prehistory of *periculum sortis*. They show that risk can be a legitimate object of contract. They also show that risk language can be manipulated, and that without the tradition's distinctions between real risk-bearing and risk-shifting, real exchange and fictive exchange, the usury prohibition could be evaded by technical skill

alone.

For modern non-extractive finance, the lesson is direct. Complexity is not the enemy; hidden extraction is the enemy. A contract may be sophisticated and just, or simple and exploitative. What matters is whether the form truthfully reflects the moral reality: capital that takes surplus for bearing risk must bear the risk, payment for exchange requires an exchange, a fee for service requires a service, and compensation for loss requires a loss that can be shown.

The old theologians understood that finance can become a theater of names, in which a loan is called exchange, interest is called penalty, yield is called compensation, and extraction is called risk. The task of moral theology is to look through the names and ask what is actually happening. Insurance-like contracts and exchange contracts make that task harder. They also make it unavoidable. At the threshold of the later doctrine of *periculum sortis*, they leave us with a disciplined question: has the party receiving surplus truly assumed a burden that justifies it? If yes, the payment may belong to justice. If no, the payment may be usury in another form, and the complexity of the contract changes nothing about the moral test except the care needed in applying it.

Aquinas: The Architecture Without the Title

26.1 ST II-II, q.78, a.2, ad 5

Aquinas does not give us the later, fully developed doctrine of *periculum sortis* as a named extrinsic title. He does, however, give us the architecture without which the title cannot be understood. The key text is Summa Theologiae II-II, q.78, a.2, ad 5, where Aquinas distinguishes sharply between a loan and a partnership. The distinction became one of the foundations of the whole later tradition, because it explains why gain from a *mutuum* is usurious while profit from risk-bearing participation can be legitimate.

The objection Aquinas is answering concerns whether one may receive something beyond the principal when money has been given to another. His response is precise. If a person entrusts money to a merchant by way of partnership, he may licitly share in the profit, because the money remains in some sense at his risk. But if the money is given as a loan, the borrower becomes owner of the money and must return the equivalent. In that case, to demand more than the principal is to demand usury.

Everything turns on the phrase “by way of partnership.” Aquinas is not saying that money can never be involved in profitable enterprise, that merchants may never receive capital, or that the owner of capital may never receive profit. He is saying that the moral form of the transaction matters. If the capital provider remains exposed to the venture, the surplus has a different character than if he transfers ownership through a loan and retains a fixed claim to repayment.

Here is the decisive difference between creditor and partner. The creditor says: “You owe me the equivalent principal, regardless of what happens to your use of the money.” The partner says: “My capital is joined to the undertaking, and my gain or loss depends upon its outcome.” The creditor’s claim is fixed; the partner’s claim is contingent. The creditor stands outside the borrower’s enterprise with a right to repayment. The partner participates in the enterprise’s uncertainty.

Behind this stands the nature of the *mutuum* itself. In a loan for consumption, the borrower receives ownership of the thing lent. Money, like wine or grain, is consumed in its use; the borrower does not return the identical thing but an equivalent. Because ownership has passed, the lender cannot separately sell the use of the money. To charge for the use of what has already become another’s property is to sell the same thing twice. The just claim of the lender is therefore the return of the *tantundem*, not a surplus for use.

Partnership changes the analysis because the money is not simply alienated in the same way. The capital is committed to a joint undertaking. The owner of capital does not merely hand over money and receive a fixed debtor’s obligation; he remains connected to the outcome. If the merchant succeeds, the capital owner may share in the gain. If the merchant fails without fault, the capital owner may suffer loss. The capital is productive only by being exposed.

This is why the text matters so much for *periculum sortis*. Aquinas does not need the

later term to state the principle: profit-sharing is licit where capital remains at risk. The legitimacy of gain is tied to vulnerability. The capital provider may receive more because he may also receive less. This is not usury, because the surplus is not demanded from the loan as such; it arises from participation in a risky common enterprise.

The moral contrast is stark. In the usurious loan, the lender seeks guaranteed gain while shifting the uncertainty of use to the borrower. In partnership, the capital provider accepts that the outcome of the undertaking affects him too. That does not make every partnership just, nor every profit virtuous, but it changes the category: the payment is not rent charged on a consumable loan but a share of the fruit of a venture in which the capital provider has remained exposed.

Aquinas thereby offers a structural criterion rather than a merely verbal one. The question is not whether the contract mentions "profit," "loan," "investment," or "partnership." The question is where ownership, claim, and risk lie. If the borrower owns the money and owes the equivalent principal unconditionally, the structure is a *mutuum*. If the capital provider remains at risk in the undertaking, the structure begins to resemble *societas*. Moral theology must look to the substance.

This is why the text remains so relevant for modern finance. Many contemporary instruments blur the line between creditor and partner. Investors may want equity upside with debt-like protection. Lenders may demand warrants, convertibility, default interest, collateral, personal guarantees, and covenants. Venture investors may claim to be risk capital while using liquidation preferences and control rights to improve their position in downside scenarios. The Thomistic question is not what the instrument is called. The question is whether capital has truly accepted the venture's risk.

Aquinas would also force us to distinguish practical uncertainty from structural risk. Even a creditor can fail to be repaid. That does not necessarily make him a partner. If the borrower remains obligated, if the lender can sue, seize collateral, accelerate repayment, or enforce guarantees, the lender still holds a fixed claim. He may face collection risk, but he has not necessarily joined the enterprise's loss. Partnership requires more than the possibility that enforcement may fail. It requires that the capital provider's claim itself be contingent upon the outcome.

This distinction guards against a broad and dangerous reading of *periculum sortis*. If ordinary risk of nonpayment were enough, every loan could bear a risk premium. Aquinas's architecture points in a stricter direction. The morally relevant risk is not merely that the borrower may default. It is that the capital provider's principal is actually committed to the venture and can be lost within its ordinary operation. He is not merely exposed to the borrower's failure to pay. He is exposed to the venture's failure to succeed.

The same architecture underwrites a critique of modern "risk-adjusted return." Modern finance often says that riskier borrowers must pay more. Aquinas's distinction asks whether the lender is truly bearing the risk or simply charging the borrower for being risky. If the borrower still owes full repayment and the lender remains senior, collateralized, and protected, then the higher return may not be payment for shared risk at all. It may be extraction from vulnerability. The borrower's fragility becomes the lender's yield.

In the partnership model, by contrast, the capital provider's gain is tied to the venture's flourishing, and he cannot simply demand payment when the undertaking fails. That creates a different moral relationship. The capital provider has reason to care about the enterprise as a whole, not only about repayment. He may still be self-interested; he may still be unjust in other ways. But the structure itself binds his outcome to the outcome of the venture.

This is the beginning of a theology of shared fate. Aquinas does not use the phrase, but his distinction points toward it. Usury is suspect because it separates gain from shared vul-

nerability. Partnership is more morally intelligible because it reunites them. The capital provider may receive surplus because he has not insulated himself entirely from loss. Return becomes connected to participation.

The implications for non-extractive finance are direct. A financing structure that wishes to claim the moral dignity of investment must not merely provide capital; it must ask how the capital is exposed. If repayment is fixed, guaranteed, senior, collateralized, and enforceable regardless of outcome, then surplus is morally difficult to justify by appeal to risk. If repayment is contingent, subordinated, capped, tied to available surplus, and genuinely loss-absorbing, then the structure moves closer to Aquinas's partnership logic.

This does not mean every non-extractive instrument must be legal equity, nor that every debt instrument is automatically immoral. It means the moral justification for surplus must match the structure. If a lender claims only reimbursement of actual costs, that is one analysis. If a lender claims compensation for delay or actual loss, that is another. If a capital provider claims a share of upside because of risk, then Aquinas asks whether capital truly shares downside. The title must fit the burden.

The text also disciplines the language of stewardship. A steward does not use another's need merely as an occasion for gain; he entrusts resources to a purpose and accepts responsibility for how they serve it. Partnership is not automatically stewardship, but it is structurally closer to stewardship than a protected claim that extracts surplus regardless of outcome. The partner's capital is at stake with the enterprise. The creditor's capital stands over against the borrower as a claim.

The later tradition will debate how far the principle can be extended. Can special risk in a loan justify surplus? Can risk of nonpayment be priced? Can the value of a risky claim be discounted? Can insurance of capital be charged? Molina, Lessius, Lugo, and their critics will develop these questions in more technical ways. But Aquinas gives the moral baseline: profit is licit when capital is truly placed at risk in a common undertaking; surplus from a guaranteed loan remains usury.

The power of II-II, q.78, a.2, ad 5 is that it prevents two opposite errors. It prevents the rigorist error of treating all profit from capital as usury: Aquinas clearly allows profit-sharing where capital is entrusted by way of partnership. And it prevents the permissive error of treating all capital provision as investment: a loan remains a loan, and if the borrower owns the money and owes the principal unconditionally, the lender may not simply rebrand surplus as profit.

For the purposes of this book, the distinction is foundational. It teaches that the morality of finance depends on contract anatomy. Who owns the capital? Who bears risk? Who has the claim? What happens in failure? Is gain tied to participation, or to the borrower's obligation? These questions are not modern additions to the tradition. They are already present in Aquinas's careful distinction between *mutuum* and *societas*.

In the end, Aquinas leaves us the simplest and most enduring test. If capital wants the fruit of partnership, it must accept the risk of partnership; if it insists on the security of a loan, it must not demand the gain of partnership. The later title of *periculum sortis* will grow from this root, but the root itself is already clear. Surplus becomes morally intelligible when capital is truly vulnerable to loss. Without that vulnerability, the language of risk ends up doing usury's work.

26.2 The Thomistic Rule

The Thomistic rule can be stated simply: in a *mutuum*, the borrower owns the money and owes the equivalent principal; in partnership, the capital remains exposed to the undertaking. The first structure permits restitution of the *tantundem*. The second may permit profit-sharing. The moral difference lies not in the material object, money, but in the form of the relationship the contract creates.

The rule is more powerful than it looks, because Aquinas is not drawing a legal distinction between two technical categories. He is identifying two different moral worlds. In the *mutuum*, the lender transfers ownership; the borrower receives the money as his own and owes an equivalent; and because the thing lent is consumed in its use, charging separately for that use is charging for what now belongs to the borrower.

Partnership has a different moral anatomy. The capital provider does not hand over money in exchange for a fixed claim; he places capital into a common undertaking, where it is not protected as loan principal is. It may succeed, fail, increase, diminish, or disappear according to the fortune of the enterprise. Profit-sharing is therefore not a payment for the use of money in a consumptive loan. It is a share in the outcome of a venture to which the capital provider remains joined.

That establishes the moral difference between guaranteed debt and risk-bearing capital. Guaranteed debt preserves the lender's claim regardless of outcome; risk-bearing capital makes the claim depend on outcome. The creditor asks to be repaid. The partner waits to see whether the enterprise produces anything to distribute. The creditor's relationship to the borrower is one of obligation. The partner's relationship to the venture is one of participation.

The rule thereby prevents a confusion running in both directions: it is not wrong for capital to receive profit simply because it is capital, and it is not right for capital to receive profit simply because it has been provided. The decisive question is whether capital has accepted the form of vulnerability that corresponds to profit.

Here is the root of the later doctrine of *periculum sortis*. The risk of the principal is morally relevant because it changes the nature of the surplus. When principal is guaranteed, surplus looks like payment for the loan. When principal is genuinely at risk, surplus may look like compensation for exposure or participation in gain. The later theologians will argue about how broad the principle should become. But the Thomistic baseline is clear: the right to profit follows participation in risk, not mere provision of money.

The rule also clarifies why ordinary default risk is insufficient. A lender may always fail to be repaid; human affairs are uncertain. That does not automatically make the lender a partner. If the borrower remains obligated, if the lender retains a fixed claim, and if legal recourse remains available, the lender's structure is still creditor-like. He faces the risk that the borrower will not fulfill the obligation, but the obligation itself remains. He has not necessarily accepted the venture's outcome as his own.

The difference between enforcement risk and venture risk is essential. Enforcement risk means the creditor might not successfully collect what is owed. Venture risk means the capital provider's claim is itself dependent on the success or failure of the undertaking. In enforcement risk, failure is a problem of collection; in venture risk, failure changes what is owed. The former is present in almost every loan. The latter belongs to partnership, investment, sea loans, *commenda*-like arrangements, and other genuinely contingent forms.

Without this distinction, *periculum sortis* becomes too broad. Every lender can say that repayment is uncertain; every creditor can demand a premium for possible default; the usury prohibition would be emptied of content. Aquinas's rule resists that collapse, and the resistance can be put in one line: risk matters when it is structurally borne, not merely

statistically observed. The creditor who charges more because the borrower might fail is not necessarily bearing the borrower's risk. He may be pricing the borrower's weakness while preserving the borrower's obligation.

This is one of the most important points for modern finance. A loan to a fragile enterprise may be "risky" in financial terms. But if the lender demands collateral, personal guarantees, default interest, covenants, acceleration rights, seniority, and legal recourse, then the lender has built a structure designed to reduce or shift that risk. The borrower may still carry the existential burden of failure: workers may lose jobs, suppliers may go unpaid, the mission may collapse. The lender may suffer a loss, but only after using contractual tools to protect the claim. That is not partnership.

Aquinas's rule asks us to look at what happens when things go wrong. If the enterprise fails, does the capital provider simply lose the capital, or does the borrower remain bound? Does the investor share the downside, or does capital stand first in line? Does the provider of funds have a claim against the whole person and property of the borrower, or only a claim to a share of surplus if surplus exists? The answers reveal whether the transaction is closer to *mutuum* or *societas*.

Priority deserves the same examination. Even where capital is formally at risk, it may be protected by senior claims. Priority does not eliminate all risk, but it changes its distribution. If capital is repaid before labor, community, mission, and the long-term health of the enterprise, then capital may be less vulnerable than others. The stricter reading of *periculum sortis* would ask whether capital's claimed return is proportionate to the risk it actually bears after all protections, preferences, and priorities are taken into account.

This is why modern equity does not automatically satisfy the Thomistic rule. Legal equity may still contain creditor-like features. Preferred equity may receive liquidation preference. Investors may have redemption rights. Control rights may allow capital to force a sale. Anti-dilution clauses may protect investors from downside while exposing founders. Participating preferred structures may let capital receive both priority repayment and upside participation. In such cases the investor claims the language of partnership while retaining significant protection from loss. The moral question is not the legal label but the real exposure.

Conversely, some debt-like forms may approximate partnership more closely than their names suggest. A revenue-based agreement that requires payment only from actual revenue, caps total return, pauses automatically in hardship, avoids personal guarantees, and subordinates itself to wages and essential obligations may share risk more meaningfully than a preferred equity instrument with aggressive control rights. A recoverable grant repaid only upon success may be closer in spirit to the sea loan or *commenda* than to ordinary debt. The Thomistic rule cuts beneath categories.

The consequences for non-extractive finance are demanding. A fund cannot justify surplus merely by saying it is taking risk. It must show where the risk sits. Is the principal genuinely vulnerable? Is repayment contingent? Are returns tied to real surplus? Are losses absorbed by capital, or pushed onto the enterprise? Does the contract allow capital to recover first while others bear deeper harm? Does the structure place capital in relationship with the mission, or over against it as a protected claim?

The rule also disciplines opportunity-cost arguments. A lender may say that money could have been used elsewhere. But in a *mutuum*, the lender has chosen the security of principal. To claim both security and foregone-profit compensation risks combining the benefits of debt and investment. If the lender wants the return associated with productive use, Aquinas points toward partnership: put the money at risk in the venture, share in gain because you share in loss. Do not preserve the creditor's claim while demanding the investor's reward.

This is especially relevant to capital structures that seek downside protection and upside participation at the same time. Warrants attached to loans, convertible debt, preferred returns, redemption rights, and liquidation preferences can all create hybrid claims. Hybrids are not automatically immoral, but they require careful analysis. Does the hybrid allocate risk and reward fairly, or does it allow capital to remain protected while capturing additional upside? Does it serve the enterprise, or does it create a one-way option for the funder?

The rule would also challenge the assumption that legal enforceability settles moral legitimacy. A contract may be enforceable and still unjust. A borrower may consent under pressure. A founder may accept terms because no other capital is available. A poor household may pledge collateral because survival requires it. The Thomistic distinction between loan and partnership is therefore not merely about formal consent. It is about the objective justice of the exchange: what is being claimed, and on what basis?

At the same time, the rule avoids romanticism. It does not require all capital to be donated, deny legitimate profit, condemn commercial partnership, or pretend that risk-bearing is costless. It gives a morally intelligible place to investment: capital may receive profit when it participates in a venture and remains exposed to loss. None of this is hostility to capital. What it refuses is guaranteed gain without vulnerability.

The rule can therefore be summarized as a moral proportionality between claim and exposure. A fixed claim belongs with principal repayment. A variable claim belongs with shared outcome. A higher claim requires a stronger title. A claim to upside requires acceptance of downside. The more capital is protected, the weaker its appeal to risk; the more capital is genuinely vulnerable, the stronger its claim to participate in surplus.

For modern contract review, this yields a simple but demanding sequence of questions. Is the instrument structured as a loan, partnership, investment, insurance, or hybrid? Who owns the capital after transfer? Does the recipient owe the principal regardless of outcome? What happens if the project fails? Is there collateral or recourse? Are there personal guarantees? Is capital senior or subordinated? Is return fixed or contingent? Does capital share losses, or merely charge for the possibility that the borrower may fail?

These questions expose the moral form of the transaction. A contract that calls itself partnership but guarantees capital's return may fail the partnership test. A contract that calls itself debt but limits repayment to actual surplus may be less creditor-like than its label suggests. A contract that claims a risk premium while shifting risk downward may be morally incoherent. Aquinas gives us the grammar to see this.

The Thomistic rule is ultimately a rule against asymmetry. It refuses to let one party take the upside of ownership, the security of creditorship, and the moral language of stewardship all at once. If capital is a creditor, let it be a creditor and receive what is due. If capital is a partner, let it be a partner and share fate. If capital claims risk, let it bear risk. If capital claims service, let it serve. What it may not do is claim every title while accepting only the burdens that suit it.

This is why the rule remains central to a renewed moral economy. The question is not simply whether finance is legal, efficient, or innovative, but whether its claims correspond to its vulnerabilities. Does capital receive because it has restored loss, borne risk, performed labor, or joined enterprise? Or does it receive because it has power to demand more? Aquinas's distinction between *mutuum* and partnership gives us a way to answer. The rule is both ancient and contemporary: guaranteed principal belongs to the logic of the loan; shared profit belongs to the logic of shared risk. When finance respects this distinction, surplus can become morally intelligible. When finance confuses the two, extraction begins.

26.3 Why Aquinas Matters for Modern Finance

Aquinas matters for modern finance because he refuses to let legal form do the work of moral truth. His distinction between *mutuum* and partnership is not an antiquarian curiosity. It is a diagnostic tool for examining the structure of capital, and it asks the questions beneath every modern financing contract: who owns the money, who bears the risk, who has the claim, who receives the surplus, and what happens when the undertaking fails.

Modern finance often treats capital as a neutral input. Money is supplied, time passes, risk is priced, and return is expected; the language is technical, mathematical, and apparently impersonal. Aquinas forces a more basic moral inquiry. Is the capital provider a lender or a partner? Is the return fixed or contingent? Does the borrower owe the principal regardless of outcome? Does the investor share downside, or only upside? Is surplus being claimed because capital has truly participated in a risky undertaking, or because capital has the power to demand growth?

The questions bite because modern finance frequently blends categories that Aquinas held apart. A lender may want a creditor's right to repayment, but also a warrant, conversion right, or success fee. A venture investor may claim to be risk capital, but also demand liquidation preferences, veto rights, anti-dilution protection, redemption rights, and control over exit. A private equity structure may call itself ownership while loading the company with debt, extracting fees, and placing repayment pressure on the operating business. These structures may be legal, ordinary, even celebrated as sophisticated. Aquinas asks whether their claims correspond to their burdens.

The Thomistic distinction is especially helpful because modern labels can mislead. Debt is not always morally identical to the medieval *mutuum*, and equity is not always morally identical to *societas*. Some debt-like instruments share risk in meaningful ways; some equity-like instruments protect capital with creditor-like priority. The moral question is not what the contract is called but how it distributes ownership, control, downside, and surplus.

Consider guaranteed debt. If the borrower must repay principal regardless of the outcome of the financed activity, the structure resembles the *mutuum*. If surplus is added simply because time has passed, the old usury problem appears. If surplus is justified by actual administrative cost, documented loss, culpable delay, or another genuine extrinsic title, the analysis changes. But the basic structure remains important: the lender has a fixed claim, the borrower bears the obligation, and the lender may face some risk of non-payment without the contract ever making him a partner in the venture's fate.

This is why seniority, collateral, and guarantees matter. A loan with collateral does not merely provide capital; it gives the lender a claim against specific assets. A personal guarantee extends the claim beyond the business into the life of the borrower. Seniority places the lender ahead of others when things go wrong. Covenants restrict the borrower's freedom, and default clauses accelerate pressure at precisely the moment of weakness. Each provision may be defensible in some contexts, but together they reveal how risk is allocated. Aquinas would ask whether capital is actually sharing risk, or merely protecting itself against the borrower's risk.

The same applies to modern equity. Ordinary shares may share upside and downside, but preferred equity often changes the structure. A liquidation preference can allow investors to be repaid before founders or common shareholders receive anything. Participating preferred shares can allow investors to take both priority repayment and a share of remaining upside. Redemption rights can pressure the company to repurchase shares. Anti-dilution protections can shift the cost of later difficulties onto founders and employees. Board control can allow capital to determine the company's direction. These rights

may make investment more attractive. They also complicate the claim that capital is simply sharing risk.

From a Thomistic perspective, the moral danger is the combination of protected downside and captured upside. If capital receives priority in failure and disproportionate benefit in success, it begins to resemble a hybrid of creditor and owner that takes the advantages of both forms: the dignity of partnership with the protection of debt. Aquinas's rule warns against exactly this asymmetry. If capital wants partnership profit, it should accept partnership vulnerability. If capital wants creditor security, it should not demand the full fruits of partnership.

This is not a call to abolish financial complexity. Modern enterprises need many kinds of capital: some projects require loans, some equity, some grants, guarantees, revenue shares, recoverable grants, cooperative financing, or subordinated instruments. Aquinas does not give us a ready-made term sheet. He gives us a moral anatomy. He teaches us to ask whether the form of the claim matches the form of the risk.

That teaching is crucial for steward ownership and mission-locked enterprise. A company may be legally steward-owned, asset-locked, or mission-driven, and its financing can still create extraction. If outside capital has priority claims, excessive control rights, guaranteed returns, or exit pressure, the mission may be subordinated in practice even if protected in legal language. The enterprise may belong formally to stewards, but economically to capital. Aquinas helps reveal the contradiction by asking what happens when mission and repayment conflict.

Digital sovereignty makes the question sharper still. Infrastructure companies, open-source enterprises, cybersecurity firms, AI companies, and platform cooperatives all need capital. But if that capital demands exit, control, or guaranteed growth, the governance of essential infrastructure can be pulled away from the people and communities it serves. A structure may begin with public-interest language and end with capital-driven control. The old question, who owns, who governs, who bears risk, who receives surplus, becomes a question of technological sovereignty.

Aquinas also exposes the moral insufficiency of "market rate." Modern finance often assumes a return is justified because similar capital receives similar return elsewhere. Aquinas does not begin with market comparison. He begins with justice in the transaction: what is being sold, what is being transferred, what is being risked, what is owed. A market rate tells us what is customary. It does not tell us whether the custom is just. A whole market can normalize extraction.

The point extends to opportunity cost, which contemporary finance treats as almost self-evident: capital must be compensated because it could have been elsewhere. Aquinas's distinction asks whether the lender has chosen the form of a loan or the form of participation. If the lender wants the safety of principal, the appeal to missed speculative gain is morally limited, and the claim that capital "could have earned elsewhere" cannot automatically be imposed on the borrower.

Aquinas likewise helps distinguish risk-bearing from risk-pricing. Modern finance often prices risk without sharing it: a riskier borrower pays more even when the lender uses collateral, seniority, covenants, and guarantees to reduce actual exposure, and the borrower's fragility becomes, once again, the lender's yield. Aquinas's partnership logic asks whether capital has truly become vulnerable with the borrower, or whether it is charging for vulnerability while remaining structurally protected. The question goes to the heart of non-extractive finance.

The difference can be stated in contemporary terms. A non-extractive instrument should not merely ask, "What return compensates the investor for risk?" It should ask, "What risk is the investor actually willing to bear, and how should return be shaped in

light of that shared vulnerability?" This reverses the ordinary order. Instead of using return expectations to build protections for capital, the structure begins with the needs of the enterprise and the just distribution of risk. Return follows service, participation, and loss-bearing.

Aquinas also matters for accounting. If surplus is justified by actual loss, labor, expense, risk, or foregone profit, then each title should be named and documented, not hidden inside a single blended return. A management fee should correspond to management labor. A late fee should correspond to culpable delay and actual inconvenience. A risk return should correspond to real loss exposure. A cost reimbursement should correspond to cost. This kind of moral accounting prevents the same burden from being charged several times under different names.

In modern funds this matters enormously. Management fees, carried interest, preferred returns, monitoring fees, transaction fees, default penalties, liquidation preferences, warrants, and redemption rights can interact in ways that make the total claim of capital opaque. Each element may be defended separately; together, they may produce extraction. Aquinas's framework invites a contract audit: what does each payment compensate, and is the underlying burden real?

This is also where Aquinas corrects a narrow legalism. A contract may be valid under civil law and still morally questionable. Consent may be formally present but economically constrained. A founder may accept terms because there is no alternative. A small supplier may accept invoice discounting because survival requires liquidity. A worker-owned or steward-owned company may accept capital terms that later undermine its mission. Aquinas's concern for commutative justice asks whether the exchange itself preserves equality, not merely whether signatures were obtained.

At the same time, Aquinas protects us from a simplistic anti-capital stance. He does not say that capital can never receive profit; he allows profit where capital is truly placed into partnership. This matters for building realistic alternatives. Non-extractive finance cannot depend only on gifts. It must find legitimate ways for capital to support enterprise without dominating it, and Aquinas gives one such path: capital may share in surplus when it shares in risk and serves a common undertaking.

The design implications are practical. Returns can be capped rather than unlimited. Repayment can be tied to actual surplus rather than fixed schedules. Capital can be subordinated to wages, taxes, suppliers, and mission-critical reinvestment. Personal guarantees can be avoided. Default penalties can be limited by grace periods and hardship provisions. Investor control can be restrained by steward ownership. Losses can be shared explicitly. These are not ethical add-ons. They change the moral species of the transaction.

Beneath all of this, Aquinas helps us see why capital structure is spiritual, not merely technical. Finance forms relationships. A contract is a moral pedagogy: it trains the enterprise in a certain order of love, teaching a company whom it must serve first, shaping whether founders act from mission or fear, determining whether workers and communities are protected or sacrificed, influencing whether technology serves the common good or the exit preferences of investors.

This is why the distinction between *mutuum* and *societas* belongs in a book about capital that serves life. The issue is not whether ancient categories can be mechanically applied to modern instruments. The issue is whether the moral logic remains true. Guaranteed gain without shared vulnerability is dangerous. Profit joined to risk-bearing participation is more defensible. Legal form must be tested against economic substance. Surplus must justify itself.

Aquinas therefore gives us the grammar for resisting financial fatalism. Modern finance often presents its terms as inevitable: risk requires return, capital requires growth,

markets set price, investors need protection, exit is normal, seniority is prudent. Aquinas slows the conversation. He asks what is owed in justice. He asks whether money has become a claim over life. He asks whether capital is serving the enterprise or arranging the enterprise to serve capital.

For non-extractive finance, the Thomistic test can be put plainly:

If capital receives more, what burden has capital actually borne?

If the answer is labor, cost, documented loss, real foregone gain, or genuine risk-sharing, then surplus may have a moral title. If the answer is simply time, power, custom, market expectation, or the borrower's need, then the claim is suspect. Aquinas gives us the courage to make that distinction.

In the end, Aquinas matters for modern finance because he reveals that the structure of a contract is a moral statement. A loan says one thing. A partnership says another. A hybrid may say something confused. A non-extractive structure must say something truthful: capital is here to serve, to share risk, to support mission, and to receive only what corresponds to its real contribution and vulnerability. Anything else may be legal finance, but it is not yet moral economy.

Alexander of Alexandria and the First Named Formulation

27.1 Alexander of Alexandria / Alexander Lombard

The title *periculum sortis* enters the story cautiously, almost timidly. It first appears not as a mature doctrine, ready to bear the weight of modern risk pricing, but as a fragile recognition that there may be cases in which a lender, or more precisely a provider of capital, is exposed to something morally different from the ordinary expectation of repayment. The question is no longer simply whether the lender has suffered delay, incurred an actual loss, or given up a concrete commercial gain. The question is whether the capital itself has been placed in danger.

This is why Alexander of Alexandria, also known in some sources as Alexander Lombard, matters. He was born at Alessandria in Piedmont around 1270 (the town supplied the name), joined the Franciscans, and taught theology at Paris; in 1313 the order elected him minister general, and he died in office at Rome the next year. His *Tractatus de Usuris*, composed around 1307 (it then sat in manuscript for six centuries, until a modern edition in 1962), is often associated with one of the earliest explicit formulations of *periculum sortis* as a possible title. He does not yet give us the full late-scholastic doctrine; that will come later, especially through the Spanish and Jesuit moral theologians. But Alexander marks a conceptual threshold. He helps make it thinkable that risk to the principal (the *sors*) might be morally relevant when judging whether a surplus payment is unjust usury or legitimate compensation.

The term itself is revealing. *Periculum* means danger, hazard, or risk. *Sors* means the principal, the capital sum, the amount placed into the transaction. *Periculum sortis*, then, is not merely the inconvenience of being without money, nor the opportunity cost of a better investment forgone. It is the danger that the principal itself may not return, and in this the title differs sharply from *lucrum cessans*: lost profit asks whether the lender sacrificed a gain that could otherwise have been made; risk of principal asks whether he may lose the capital itself.

This distinction is morally decisive. In a strict *mutuum* the borrower becomes owner of the money and owes back an equivalent amount; the lender is not a co-owner of the venture, does not share directly in its success or failure, and holds instead a claim to repayment. The classical usury problem arises precisely because the lender demands not only the equivalent principal but also something more by reason of the loan itself. If repayment is guaranteed, if the borrower bears the whole burden of failure, and if the lender receives additional surplus simply because time has passed, the surplus looks like usury in its classic form.

But if the lender's capital is genuinely at risk, the moral structure begins to change. In that case the surplus may not be a charge for the bare use of money but compensation

for exposure to loss. This is why *periculum sortis* stands so close to partnership, sea loans, *commenda* arrangements, and the other risk-bearing forms of finance. It asks whether the person supplying capital has remained exposed to the downside. If so, the relationship may no longer be adequately described as simple credit; it may contain something closer to participation.

Alexander's importance lies in naming this possibility before the tradition had fully stabilized it. Earlier Christian moral theology certainly recognized the difference between a loan and a partnership. Aquinas had already drawn the crucial distinction: one may not charge for the use of money in a *mutuum*, but one may entrust money to a merchant by way of partnership and receive a share of the profit, because in that case the capital remains at the owner's risk. What Alexander helps introduce is the idea that risk to principal might itself function as an extrinsic title, a reason external to the mere loan that could justify receiving something beyond the principal.

Yet this early formulation must be handled with care. It would be anachronistic to treat Alexander as though he had already invented modern risk-adjusted return. He did not. The medieval concern was not to produce a generalized theory of capital markets, but to distinguish morally different contracts from one another. The question was not: "What return does this risk deserve in the market?" The question was: "Is this surplus truly attached to an external burden, or is it merely a disguised price for lending money?"

That is why *periculum sortis* was dangerous from the beginning. It opened a real and necessary door, and one that could easily be abused. Where the risk is genuine, the title has moral force: a lender who can truly lose the principal may be compensated for a real exposure. But if every lender can say, "There is always some risk that I will not be repaid," then the whole usury prohibition begins to unravel. Ordinary default risk would justify interest everywhere, for every loan carries some uncertainty, every creditor could claim danger, and every surplus could be renamed compensation.

This is the unresolved tension that Alexander's early formulation leaves to later theologians. How much risk is enough? Must the risk be extraordinary, or is ordinary non-payment sufficient? Must the lender's claim be legally subordinated or contingent? Does collateral eliminate the title? Does a personal guarantee shift the risk back to the borrower? If the lender can enforce repayment against unrelated assets, is the capital truly exposed to the fortunes of the venture? These are not merely technical questions. They are moral questions about who bears downside, who receives upside, and whether the language of risk is being used to describe reality or conceal domination.

Alexander of Alexandria therefore stands at the beginning of a new stage in the doctrine. With *poena conventionalis*, the tradition asked whether a penalty was truly a penalty or merely planned revenue. With *damnum emergens*, it asked whether compensation restored an actual loss. With *lucrum cessans*, it asked whether foregone gain was concrete enough to be compensable. With *periculum sortis*, it now had to ask whether capital was genuinely exposed to loss.

This final title presses most directly into the architecture of finance itself. It asks not only what happened after the loan, nor what the lender might otherwise have done, but what the transaction is. Is it a guaranteed claim? Is it a shared venture? Is it insurance-like risk bearing? Is it partnership in substance, even if not in name? Or is it a loan dressed in the language of risk?

That is why Alexander matters even though the title consolidates later. He belongs to the moment when scholastic moral theology begins to notice that the morality of surplus cannot be judged by vocabulary alone. A contract may call itself a loan, a partnership, an investment, an exchange, or an insurance arrangement. But the deeper question is always the same: who can lose, who must pay, and who is protected from the consequences of

failure?

In this sense the first named appearance of *periculum sortis* is not a minor technical footnote but the beginning of a moral inquiry that leads directly into modern finance. For once risk enters the analysis, the old doctrine of usury can no longer be reduced to a simple condemnation of “interest.” It becomes an inquiry into the structure of downside: whether capital is actually sharing danger, or merely demanding guaranteed growth while others bear the cost of loss. Alexander did not complete that inquiry. But he helped open it, and in doing so he gave the tradition one of its most important and most perilous tools.

27.2 Early Fourteenth-Century Significance

The early fourteenth century is a decisive moment in the history of usury doctrine because the inherited categories were beginning to strain under the pressure of commercial life. The old distinction between a gratuitous loan and a profit-sharing partnership remained foundational. The *mutuum* still named the contract in which ownership of the money passed to the borrower, who owed back an equivalent amount. *Societas* still named the partnership in which capital remained exposed to the fortunes of the venture. Yet actual economic practice often moved along the edges of these categories. Merchants advanced funds, investors assumed hazards, debtors promised repayment under uncertain conditions, and commercial actors sought ways to finance trade without falling into the sin of usury. Theologians and canonists therefore had to ask whether the older legal categories were sufficient to describe the moral substance of increasingly complex transactions.

This is the setting in which the early appearance of *periculum sortis* becomes significant. The title names something that had long been present in practice but had not yet been fully stabilized in doctrine: the danger that the principal itself might be lost. Earlier discussions had already made room for compensation when a creditor suffered a real loss, when a debtor culpably delayed repayment, or when a lender gave up a determinate gain. But *periculum sortis* presses the analysis deeper, asking whether the risk built into the transaction itself may justify surplus. It shifts attention from the events surrounding the loan to the internal allocation of downside.

This shift changes the moral question the tradition had learned to ask of the other titles: not whether the lender suffered an actual loss (*damnum emergens*), truly forwent a concrete gain (*lucrum cessans*), or met culpable delay with a penalty that is genuinely penal rather than revenue-seeking (*poena conventionalis*), but whether, with *periculum sortis*, the capital itself can be lost, and who bears that loss if the venture fails.

That question is structurally close to Aquinas’s distinction between lending and partnership: profit-sharing is allowed where money is entrusted to a merchant by way of partnership, because the owner of the capital bears the risk of loss. But Aquinas did not develop a named title of *periculum sortis* as later authors would. The early fourteenth-century significance of Alexander’s formulation is that it begins to turn this structural distinction into an explicit analytical title: not only is partnership profit licit when capital is at risk, but risk to principal may itself be a morally relevant ground for compensation.

This does not mean the doctrine was settled. Quite the opposite. The title appears before it is widely solid, a possibility rather than a mature common teaching. That distinction between early appearance and late consolidation is crucial. Many doctrines in moral theology do not arrive fully formed. They appear first as intuitions, then as case distinctions, then as cautiously admitted exceptions, then as more systematic teachings, and finally as either settled principles or contested compromises. *Periculum sortis* follows this pattern. Its early appearance signals that theologians had begun to recognize the moral

relevance of capital risk; its later consolidation shows how difficult that recognition was to discipline.

The difficulty lies in the ambiguity of risk itself. Risk can name genuine exposure to loss, but it can also become a rhetorical device. A lender may say, truthfully, that every borrower might fail to repay; every loan contains some possibility of default. If that ordinary possibility alone is enough to justify surplus, the usury prohibition loses its force: the lender no longer needs to show actual loss, culpable delay, or concrete foregone gain, only to point to uncertainty. Risk then becomes the universal solvent of the doctrine. The theologians of the early fourteenth century were not modern financial economists; they had no formal theory of probability, portfolio diversification, expected value, or risk-adjusted return. But they did understand the moral danger of using a real burden as a pretext.

This is the recurring pattern in the extrinsic titles. A penalty can be just, but an engineered penalty is usury in disguise. Compensation for actual loss can be just, but fictive damages are a fraud. Foregone profit can sometimes be compensable, but abstract opportunity cost can swallow the whole prohibition. So too with risk: genuine exposure to loss may justify surplus, but generalized default risk can turn every loan into an interest-bearing instrument.

This is why *periculum sortis* had to develop slowly. It touched the deepest fault line in the doctrine: the difference between risk-sharing and risk-shifting. If the capital provider truly shares downside, the moral structure begins to resemble partnership; if he receives guaranteed repayment, secured by collateral, seniority, guarantees, or enforcement against the borrower's other assets, the claim remains much closer to a loan. The language of risk may still appear in the contract, but the substance must be examined: is the investor truly exposed to failure, or has failure been transferred to the borrower?

The early appearance of *periculum sortis* therefore marks a new analytical sophistication in usury doctrine. Theologians were beginning to see that the moral analysis of surplus could not stop at the nominal form of the contract; it had to ask how the contract allocated loss. That mattered especially in commercial finance, where transactions could be designed to appear as one thing while functioning as another. A contract might look like a partnership but behave like secured debt, look like a sale but conceal a loan, or look like compensation for danger while guaranteeing the creditor's gain and imposing ruin on the borrower.

Once capital risk becomes thinkable as an extrinsic title, late scholastic authors can begin to analyze risk more explicitly. Medina, Molina, Lessius, and Lugo will develop the logic further, asking whether uncertainty of repayment affects the value of a claim, whether risk can be priced, and whether risk-bearing may justify surplus. The title will eventually become part of the mature scholastic repertoire. But its early appearance remains unstable, because the central question has not yet been answered: what kind of risk counts?

That instability is not weakness; it is the sign of a tradition wrestling honestly with new economic realities. The scholastics were not merely defending an old rule against clever merchants, nor blessing whatever commerce required; they were trying to distinguish compensation from extraction in situations where the difference was no longer obvious. *Periculum sortis* became necessary because capital could be placed in real danger. It became dangerous because creditors could use the language of danger to justify guaranteed gain.

The early fourteenth-century significance of the title, then, is twofold. First, it names risk to principal as a morally relevant fact, a genuine development: capital exposed to loss differs from capital protected by a fixed claim. Second, it introduces a problem that will haunt the doctrine from that point forward. If risk can justify surplus, the tradition must

specify what kind of risk, how much risk, borne by whom, under what legal structure, and with what proportionality between danger and return.

In that sense Alexander's moment is not the end of a doctrinal story but the beginning of a new line of inquiry. The title is named before it is safe, visible before it is disciplined, opening a door that later theologians must guard. And this is precisely why it matters: *periculum sortis* brings us to the edge where medieval moral theology begins to look startlingly modern. It asks the question that every serious moral analysis of finance must still ask: is capital truly sharing risk, or is it merely charging others for the privilege of bearing it?

27.3 The Unresolved Question

The early appearance of *periculum sortis* raises the question that the tradition could not avoid: how much risk is enough?

This is the question that makes the title both necessary and dangerous. Necessary, because genuine exposure to loss really does change the moral form of a transaction; dangerous, because some degree of risk can be found almost everywhere. No debtor is immortal, no business is perfectly secure, and no legal system can absolutely guarantee repayment in every circumstance. If mere possibility of nonpayment justified surplus, every loan would become interest-bearing by definition, and the prohibition would remain in words while disappearing in practice.

The problem, then, is not whether risk exists but what kind of risk matters morally. Ordinary default risk is not yet enough. A lender may always face the possibility that a borrower will fail, disappear, die, become insolvent, or resist collection. But in the ordinary *mutuum* this risk exists alongside a legal and moral claim to repayment. The borrower still owes the principal; the lender may pursue it, and his claim does not rise and fall with the success of the borrower's use of the money. Even if the borrower's project fails, the borrower remains bound to repay. In such a case the lender's risk is not partnership risk. It is enforcement risk, collection risk, or credit risk, but not necessarily shared venture risk.

Periculum sortis was morally strongest where the capital provider could truly lose the principal because the transaction itself made repayment contingent. In a partnership, the investor may gain if the venture succeeds and lose if it fails. In a sea loan, repayment may depend upon the safe arrival of the ship. In a *commenda*-like arrangement, capital may be placed into a commercial enterprise whose outcome is uncertain. Here risk is not accidental to the transaction; it is built into the structure, and the capital is exposed to the fate of the venture.

By contrast, in a secured loan, risk may be reduced or shifted. If repayment is guaranteed by collateral, personal sureties, senior claims, penalty clauses, or enforceable recourse against the borrower's other assets, then the capital provider may keep the vocabulary of risk while avoiding much of its substance. The borrower, the worker, the family, the supplier, or the community may absorb the actual downside. The lender may still be inconvenienced, still face delay and some probability of non-recovery. But the moral question is whether he is truly sharing the loss, or whether he has structured the transaction so that loss falls primarily on someone else.

This is the heart of the unresolved question: is ordinary default risk sufficient, or is special assumed risk required?

A broad interpretation says that any genuine uncertainty of repayment diminishes the value of the lender's claim. A risky claim to one hundred is not worth the same as a certain claim to one hundred. On this reasoning, surplus may compensate for the lower present value of a risky obligation. This line of thought becomes more visible in later scholastic and

early modern discussions, as theologians become more attentive to valuation, commercial uncertainty, and the practical world of trade. It has an intuitive appeal. Risk is real. A claim that may not be paid is worth less than a claim certain to be paid, and to treat them as identical may ignore economic reality.

But a narrow interpretation worries that this reasoning proves too much. If every uncertain claim is worth less than a certain claim, then every loan can be priced upward for risk. The lender need not share in a venture, accept contingency, or subordinate his claim. He need only say that repayment is not mathematically certain, and the language of risk could become a universal permission slip. The usury prohibition then becomes a technical relic, preserved only in cases of impossibly riskless loans. This is why rigorists resisted broad uses of the risk title.

The deeper issue is whether risk is being shared or merely priced. To price risk while shifting it to the borrower is not the same as bearing risk with the borrower. A creditor may charge a risk premium because the borrower is fragile, undercollateralized, or desperate. But if the contract still requires repayment regardless of outcome, and if failure leaves the borrower ruined while the creditor retains legal recourse, the premium may intensify domination rather than express solidarity. The creditor is not necessarily participating in the borrower's risk. He may be monetizing the borrower's vulnerability.

This is where *periculum sortis* becomes one of the most important titles for modern moral finance. It forces us to look past the presence of risk and ask about its allocation. Who can lose principal? Who must repay after failure? Who has collateral? Who holds seniority? Who can force liquidation? Who can walk away? Who is protected by legal form? Who is exposed by economic necessity? The moral question is not simply whether the transaction is risky in the abstract. It is whether the person receiving surplus actually bears the risk for which that surplus is claimed.

The same question also disciplines proportionality. Even when risk is genuine, it does not follow that any amount of surplus is justified; compensation must remain proportionate to the burden. A small possibility of loss cannot justify unlimited upside; a modest exposure cannot justify a claim that consumes the borrower's future. If the surplus is framed as compensation for risk, the amount must correspond to the risk actually borne; otherwise the title becomes an excuse for extraction.

There is also the problem of double-counting. A lender might claim a penalty for delay, compensation for actual loss, foregone profit, administrative fees, and a risk premium all in the same transaction. Each title may have some legitimate use in principle, but the same underlying burden cannot be counted repeatedly. If default risk has already been addressed through collateral, guarantees, covenants, fees, and penalties, an additional risk premium may no longer be restorative; it may be cumulative extraction. The scholastic concern for specific titles, proof, and proportionality is therefore not antiquarian fussiness but a method for preventing moral inflation.

The unresolved question also exposes the limits of legal form. A contract may be called equity while functioning like debt. It may be called investment while guaranteeing repayment. It may be called partnership while giving one party control, priority, and exit rights that protect it from meaningful downside. Conversely, a contract may be legally structured as debt but contain real loss-sharing features. The scholastic method asks us to examine the moral substance: who owns, who governs, who bears loss, and who receives surplus?

This is why the early doctrine of *periculum sortis* cannot be reduced to a primitive anticipation of modern interest theory. The scholastics were not simply saying, "Risk deserves return." Their question was sharper and more moral: "Is the return being claimed for a risk that the capital provider actually bears?" That distinction is decisive. Modern finance often speaks as though risk and return are naturally paired. The scholastic tradition asks

whether they are paired in the actual contract, or whether return has been secured for one party while risk has been pushed onto another.

Alexander of Alexandria's early formulation leaves this question open. Later authors will attempt to answer it in different ways: some will move toward broader acceptance of risk pricing, others will warn that the movement hollows out the usury prohibition. Molina, Lessius, and Lugo will help consolidate the title. Concina and other rigorists will later attack its permissive use. Benedict XIV will insist that gain from the loan itself remains usury, even while leaving room for legitimate extrinsic titles. The tension never fully disappears.

And perhaps that is fitting. *Periculum sortis* names a real moral fact, but one that resists mechanical application. It cannot be judged by formula alone. It requires attention to legal structure, economic substance, intention, proportionality, vulnerability, and actual loss allocation. It asks whether finance creates fellowship in risk, or a hierarchy in which one party is protected and another is exposed.

The unresolved question, then, is not only medieval. It is ours. How much risk is enough? What kind of risk counts? Who bears the downside? Can principal actually be lost? Or has the language of risk become another way for capital to demand guaranteed growth from those least able to bear failure?

The answer cannot be found merely by naming the title, only by examining the transaction. *Periculum sortis* is legitimate only where risk is real, borne by the claimant, proportionate to the surplus, and not already shifted elsewhere. Without those disciplines, it becomes the most dangerous of the extrinsic titles: the opening by which compensation turns into extraction without ever giving up the vocabulary of justice.

Late Medieval Hesitation and Spanish Scholastic Transition

28.1 Why the Title Remained Unstable

Periculum sortis remained unstable because it touched the most explosive question in the whole usury tradition: whether a lender could receive surplus simply because repayment was uncertain.

The earlier extrinsic titles had their dangers, but their boundaries were somewhat easier to see. *Poena conventionalis* concerned delay: a borrower had failed to repay on time, and the question was whether a penalty could be imposed without turning it into hidden yield. *Damnum emergens* concerned actual loss: a lender had suffered damage, and the question was whether compensation restored equality or enriched him. *Lucrum cessans* was more dangerous, since it concerned a profit not made, but even there the tradition could ask whether the foregone gain was concrete, intended, probable, and caused by the loan.

Periculum sortis was different. It concerned the danger that the principal itself might be lost, which made it morally serious (real exposure to loss does change the nature of a transaction) and uniquely dangerous, because every loan contains at least some possibility of nonpayment. If any uncertainty of repayment were enough to justify surplus, the old prohibition would collapse into a theory of risk-priced debt. Usury would not disappear by being refuted. It would disappear by being renamed. This is why the title took so long to settle: it was not obvious how to distinguish genuine capital risk from ordinary creditor risk.

In a partnership, the distinction is relatively clear. The capital provider shares in the venture; if it succeeds he may share in gain, and if it fails he may lose his capital. In a sea loan, repayment may depend on the safe arrival of the ship. In a *commenda*-like structure, the capital may be exposed to the commercial outcome. In such cases risk is not merely accidental. It is built into the moral form of the transaction. But in an ordinary *mutuum* the borrower still owes the principal even when his project fails. The lender may face collection risk, but the borrower bears the primary burden of failure, and the lender's claim is not naturally subordinated to the outcome of the venture. It is a fixed obligation. Hence the hesitation: was the risk of nonpayment enough to justify a return, or did *periculum sortis* require something more like true loss-sharing?

The hesitation was intensified by the relative safety of *damnum emergens*, the cleanest title because it fit neatly within commutative justice. If a lender suffered a real, documentable loss because of the loan or its delayed repayment, compensation could be understood as restoration: he was not being paid for the mere use of money; he was being made whole. That logic preserved the gratuity of the *mutuum* while allowing justice to repair injury. *Lucrum cessans* was more controversial, but it too developed limiting ques-

tions. Was there a real alternative use? Was the lender actually engaged in commerce? Was the profit sufficiently probable? Did the loan truly cause the gain to cease? Was the compensation proportionate? The questions did not eliminate the danger of abstraction, but they helped discipline it, and lost profit could be admitted in bounded cases without necessarily turning every lender into a person entitled to market return.

Periculum sortis, however, pressed toward universality more quickly. Risk is pervasive. It exists not only in merchant ventures but in ordinary lending, public debt, municipal finance, household credit, and commercial exchange. Once risk becomes compensable, it becomes tempting to treat every creditor as bearing a compensable burden. The borrower's unreliability, the debtor's poverty, the uncertainty of law, the instability of markets, the lack of collateral, the possibility of delay: all of it can be gathered under the heading of risk. The title therefore threatened to become a general theory of interest.

That threat explains the late medieval hesitation. The tradition had to preserve the difference between capital genuinely at risk and capital merely owed under uncertain conditions, and this was no trivial technicality: it was the difference between participation and domination. A partner shares a venture's fate, and his profit comes with exposure to loss. A creditor may stand outside the venture and still demand repayment, and his surplus may come with legal protection, collateral, priority, and enforcement rights. To call both "risk-bearing" is to blur a morally decisive line.

The instability of the title also reflected a deeper uncertainty about valuation. Later scholastics would increasingly recognize that an uncertain claim to one hundred is not worth the same as a certain claim to one hundred. The insight is important: a claim exposed to nonpayment really does differ in value from a guaranteed one. Once it enters the usury debate, though, it raises a hard question. Does the reduced value of a risky claim justify charging more at the beginning? Or does such pricing convert risk into a standing excuse for interest?

The problem becomes sharper when risk is used against the vulnerable. Suppose a poor borrower is charged more because he is less likely to repay. From one perspective, the lender is pricing risk. From another, he is extracting more precisely from the person least able to bear it: the poorer the borrower, the higher the charge; the more fragile the debtor, the greater the surplus demanded. Risk pricing can therefore become a moral inversion: vulnerability itself becomes the reason for a heavier burden.

This is why *periculum sortis* could not simply be accepted as an economic fact. The scholastic question was not whether risk exists, but whether charging for it restores justice or exploits weakness. If the lender truly bears the downside, compensation may be reasonable. If the borrower bears the downside and the lender merely charges more because the borrower might fail, the title becomes morally suspect. It may describe the lender's anxiety, not necessarily his participation in loss.

The title also remained unstable because it could overlap with other claims. A lender might charge for actual loss, for foregone profit, for late payment, for administrative expense, and for risk of nonpayment, and each claim might appear plausible in isolation; together, they could bury the borrower under cumulative surplus. So the tradition asked whether the same burden was being counted multiple times. If risk was already addressed through collateral, guarantees, penalties, or higher prices, could it also justify a separate premium? If the lender was protected by legal priority, could he still claim to be exposed in a morally significant way?

Here the late medieval hesitation becomes especially relevant for modern finance. Contemporary contracts often layer protections: seniority, collateral, covenants, liquidation preferences, personal guarantees, default interest, fees, conversion rights, redemption rights, and control provisions. Each protection may be justified as risk management.

Together they can shift nearly all downside away from capital while preserving upside for capital. The language of risk remains, but the substance of risk-bearing disappears.

The late medieval theologians did not describe the problem in modern financial vocabulary, but they saw its moral shape. They knew that a title could be true in principle and false in use, that legal form could conceal economic substance, and that a payment described as compensation could become extraction if the burden was fictive, exaggerated, duplicated, or imposed on the vulnerable. *Periculum sortis* remained unstable because it required the tradition to judge not only the existence of risk, but the structure of risk.

The instability carried into the Spanish Scholastic transition. As commerce expanded and moral theologians became more attentive to market valuation, the title became harder to ignore. Medina, Juan de la Peña, Molina, Lessius, and Lugo would all contribute to a more sophisticated analysis of risk, repayment probability, and the value of uncertain claims. But the hesitation did not disappear. It could not, because the danger was built into the title itself.

Periculum sortis names a real burden. Capital can be lost; risk can be borne; loss exposure can justify compensation. Yet the same title can also give usury its most elegant cover. It can transform every borrower's fragility into a lender's claim, turn uncertainty into yield, and make guaranteed growth appear morally justified because risk was once present somewhere in the transaction.

The title remained unstable, then, not because medieval theologians were confused but because they were alert. They understood that the moral difference between risk-sharing and risk-shifting is easy to name and difficult to enforce, and the whole question of *periculum sortis* turns on that difference. Is capital truly exposed to loss? Or is it protected while charging others for exposure they themselves must bear?

That unresolved tension is precisely why the title became so important. It forced moral theology to look inside the architecture of finance: to ask where loss goes, who is protected, and whether surplus is tied to real vulnerability in the capital provider or extracted from vulnerability in the borrower. And it refused to let the mere word "risk" settle the matter.

28.2 Medina

Medina stands at an important transitional point in the development of *periculum sortis*. (The man behind the single name is Juan de Medina, 1490–1546, who taught theology at Alcalá; his treatise on restitution and contracts, the *Codex de restitutione et contractibus*, was printed at Alcalá in 1546.) By the time the Spanish Scholastics take up the problem, the question is no longer merely whether capital risk can be named; Alexander of Alexandria had already helped make that thinkable. The sharper question is how risk should be judged in practical lending and commercial life. Is risk relevant only when the capital is placed into a partnership-like venture? Or can the risk of nonpayment in an ordinary loan affect the moral valuation of the transaction?

Medina is significant because he represents an early movement toward risk pricing. He does not simply repeat the older distinction between the safe *mutuum* and the risky *societas*. He begins to treat the reliability of repayment itself as morally and economically relevant. A claim against a solid debtor is not the same as a claim against an uncertain one: collateral, reputation, and stable income on one side; doubtful repayment on the other. The probability of repayment begins to matter.

The move is subtle, but important. In the stricter medieval analysis, the central issue was whether the lender had transferred ownership of the money in a *mutuum* and retained only a claim to equivalent repayment. If so, surplus from the loan itself was usury, and risk-

bearing was clearer in partnership, sea loans, *commenda*, or other structures where capital remained exposed to the outcome of a venture. Medina's thought begins to move risk analysis closer to the creditor's claim itself. If repayment is uncertain, is the claim worth less than its nominal amount? And if so, may the lender receive more to compensate for that uncertainty?

Here the logic of valuation enters the usury debate. A certain claim to one hundred and a doubtful claim to one hundred carry the same face value and different practical values; a debtor almost certain to repay and one who may not repay at all are not economically equivalent. Medina's importance lies in letting this reasoning press upon moral theology. Risk is no longer only an external feature of adventurous trade. It becomes attached to the debtor, the contract, and the probability of repayment.

Yet this is precisely where the danger begins. Once the debtor's risk characteristics become relevant, the road opens toward differential pricing of credit: a more reliable borrower pays less, a less reliable borrower pays more. In modern terms this seems obvious, since riskier loans carry higher rates. Within the scholastic tradition, the obviousness is morally explosive. It risks turning borrower vulnerability into a source of creditor gain: the weaker the borrower, the higher the charge; the more precarious the household, the more expensive the loan; the more uncertain the repayment, the more the debtor must promise.

This is why Medina's transitional role must be read carefully. He helps moral theology acknowledge something real (uncertainty affects value), but the tradition cannot simply adopt risk pricing as a morally neutral mechanism. It must still ask whether the lender actually bears the risk, whether the price is proportionate, whether the borrower is being exploited, and whether the surplus remains external to the *mutuum* or becomes a disguised payment for the loan itself.

The risk characteristics of the debtor are therefore morally ambiguous. They may reflect a real burden: a lender who truly faces a higher chance of losing the principal might claim restoration rather than extraction. But the debtor's weakness may be precisely the reason Christian moral theology becomes suspicious. The biblical tradition does not say: charge the poor more because they are less creditworthy. It says: do not use the poor person's need as an occasion for gain. It commands openhandedness, release, and neighborliness precisely where repayment may be fragile.

Medina's significance is that he brings these two moral intuitions into contact. The first intuition is commercial: risk changes value. The second is theological: vulnerability must not become a revenue stream. A mature doctrine of *periculum sortis* has to hold both together. It cannot deny risk, and it cannot allow risk to become a justification for domination.

The rate adapted to risk is therefore not merely a technical matter but a moral diagnosis of the relationship between creditor and debtor. If the rate reflects genuine exposure to loss and remains proportionate, the case may differ from ordinary usury. If the rate is imposed because the borrower lacks alternatives, it may simply monetize dependence. And if the lender has collateral, recourse, guarantees, and priority while the borrower faces ruin, then the lender's claim to risk must be examined with suspicion. The existence of uncertainty is not enough; the allocation of uncertainty is what matters.

This is why Medina's movement toward risk pricing cannot be separated from proof and proportionality. How is the risk assessed: from real knowledge of the debtor's circumstances, or from a general category of borrower weakness? Is the premium proportionate to the actual danger of losing the principal? Is the danger already covered through pledges, sureties, or legal enforcement? Does the borrower have realistic freedom to accept or refuse? Does the structure help the borrower live, work, and recover, or does it

tighten the chain?

The Spanish Scholastic context made these questions unavoidable. Expanding commerce, public finance, international trade, exchange contracts, and increasingly sophisticated credit relationships forced theologians to think more carefully about uncertainty. The older categories remained essential, but they needed finer tools. Medina's contribution belongs to this movement: the analysis shifts from the simple presence or absence of risk to the valuation of uncertain repayment.

Yet the shift remains incomplete. Medina does not eliminate the older concerns but intensifies them: by making the debtor's risk relevant, he makes the danger of abuse more acute. If risk can affect the permitted surplus, then moral theology must become more exacting, not less. It must ask what kind of risk is being priced, who bears it, how it is measured, whether it is already secured, and whether the resulting charge remains within the bounds of justice.

Here *periculum sortis* begins to look recognizably modern, and here it becomes most spiritually dangerous. Modern credit markets routinely classify borrowers by risk and charge accordingly. The scholastic tradition asks the question modern markets often avoid: does this system merely reflect risk, or does it deepen the vulnerability that created the risk in the first place? A theology of finance cannot stop at the actuarial fact. It must ask whether the contract serves the borrower's life or profits from the borrower's fragility.

Medina therefore belongs to the transition from medieval title-analysis to early modern moral economics. Risk, he shows, is not only a property of maritime adventure or partnership capital; it can appear in the uncertain value of a repayment claim itself. But he leaves the tradition with a dangerous question: once risk is attached to the debtor's reliability, how can the doctrine prevent risk pricing from becoming a moral cover for charging the vulnerable more?

The answer can be neither to deny the reality of risk nor to bless every risk premium; it must lie in disciplined moral analysis: genuine exposure, real possibility of loss, proportionate compensation, no double-counting, no disguised payment for time, and special caution where borrower vulnerability is the very source of the claimed surplus. In this sense, Medina does not settle *periculum sortis*; he sharpens it. He draws the tradition closer to the modern problem by recognizing that uncertainty affects value, and he reveals why a Christian account of finance cannot be satisfied with the language of risk alone. It must always ask whose risk is being priced, whose vulnerability is being burdened, and who actually bears the loss when things go wrong.

28.3 Juan de la Peña

Juan de la Peña belongs to the same transitional world as Medina: the world in which scholastic moral theology had to confront risk not merely as a rare feature of maritime adventure or partnership, but as a pervasive problem within ordinary commercial life. (Peña, born around 1513, was a Dominican trained under Melchor Cano; in 1561 he won the Vísperas chair of theology at Salamanca and held it until his death in 1565.) His significance is that he helps carry the debate over *periculum sortis* into a more precise question about price, probability, and moral classification. If repayment is uncertain, does that uncertainty affect the just value of the claim? And if it does, can a creditor morally receive more than the principal without falling into usury?

This is the point at which the old categories begin to strain. The *mutuum* had been morally intelligible because it was simple: ownership of the money passed to the borrower, who owed back an equivalent amount. The lender could not sell the use of the money

because, in a consumable loan, the use passed with the money itself; to demand a surplus for the loan as such was to demand payment for what no longer belonged to him. The logic was clear, even elegant. But commerce is rarely elegant. Claims differ in security, and debtors differ in reliability. Repayment may be likely, doubtful, delayed, collateralized, guaranteed, disputed, or contingent. A right to receive one hundred from a solvent and honorable merchant is not the same practical thing as a right to receive one hundred from a debtor of uncertain means; the nominal amounts match; the values do not. Juan de la Peña's importance lies in belonging to the discussion in which that difference becomes morally visible.

The question of risk therefore becomes a question of price. What is the just value of an uncertain claim? If a person sells, discounts, transfers, or otherwise values such a claim, should its uncertainty be taken into account? In one sense, the answer seems unavoidable. No prudent person treats a doubtful claim as equal to a certain one; a claim exposed to danger is worth less than one protected from it.

Yet the moral consequence is not straightforward. Once uncertainty affects value, it becomes possible to argue that a creditor who accepts a doubtful obligation may receive a greater return, having accepted a claim worth less than its face amount. Risk becomes not only a factual problem but a valuation problem, and the theologian must ask whether the surplus is truly compensation for the reduced value of the claim, or whether the language of valuation has been used to justify interest on a loan.

Juan de la Peña's place in the tradition matters because this line of reasoning sits near the edge of later controversy. On the one hand, it makes moral theology more realistic: it stops theologians pretending that all repayment claims are equal, acknowledges that uncertainty is not imaginary, and recognizes that risk changes the economic substance of a transaction. In this respect, it helps prepare the way for Molina, Lessius, and Lugo, who will treat uncertain claims and risk-bearing with increasing sophistication. On the other hand, the same reasoning threatens to dissolve the older prohibition. If every uncertain claim may be valued below its face amount, then every lender may demand a premium for accepting the uncertainty of repayment. The creditor can say: "I do not charge for the use of money. I charge because my claim is risky." The form of the argument has changed, but the borrower still pays more than the principal, and the doctrine must decide whether this is a genuine extrinsic title or merely a new vocabulary for the old vice.

The controversy turns on the difference between valuation and extraction. Uncertainty may truly reduce the value of a claim; it does not follow that every charge built upon it is just. A claim can be risky because the lender has genuinely exposed capital to loss. It can also be risky because the borrower is poor, politically weak, commercially desperate, or structurally disadvantaged. To charge more in the second case may not restore equality; it may deepen it.

This is the theological problem hidden inside risk pricing. Modern finance often treats risk as morally neutral: the higher the risk, the higher the required return. The scholastic tradition cannot be satisfied with that formula. It has to ask why the risk exists, who bears it, and whether the additional return burdens precisely the person already exposed. If the borrower is charged more because he is fragile, the language of risk may become a way of monetizing fragility.

Juan de la Peña's significance therefore lies not only in the movement toward valuation under uncertainty, but in the controversy that follows from it. The more precisely theologians analyze risk, the more they must discipline its use. The title cannot be allowed to float free from the actual structure of the transaction. Is the lender's principal truly endangered? Is repayment contingent upon the success of the venture? Are there guarantees, collateral, or legal remedies that shift the real loss back to the borrower? Is the surplus

proportionate to the risk actually borne? Is the same risk already compensated through another title?

These questions show why *periculum sortis* is more dangerous than it first appears. It sounds concrete: the principal may be lost. But the moment it enters valuation, it becomes capable of abstraction. Risk can be described statistically, commercially, rhetorically, or legally; it can be made visible in one place and hidden in another. A creditor may appear to bear risk because repayment is uncertain, while in fact the borrower bears ruin if repayment fails. A financier may demand a return for risk while also holding priority, security, covenants, penalties, and control rights. The word “risk” by itself tells us almost nothing. The moral analysis must trace the actual path of loss.

This is also why the debate over Juan de la Peña belongs within the broader Spanish Scholastic transition. The Spanish theologians were not naive opponents of commerce; they were among the most sophisticated moral analysts of money, exchange, price, contract, and conscience in early modern Europe. They understood that markets produce real information and prices can reflect real conditions, and also that markets can disguise coercion, especially where need and power are unequal. Their task was not to reject valuation, but to judge it.

The question of risk and price therefore becomes a test case for the whole tradition. Can moral theology acknowledge that uncertainty affects value without turning uncertainty into a blank check? Can it recognize that capital exposed to loss deserves different treatment from capital fully protected by legal claims? Can it distinguish between a just discount for danger and an unjust premium charged to weakness? Can it preserve the anti-usury principle while admitting that not all surplus is usury?

Juan de la Peña helps bring these questions into view. He stands near the moment when *periculum sortis* begins to move from an exceptional insight toward a broader analytical tool. The movement is necessary, because real commercial risk cannot be ignored, and perilous, because the broader the tool becomes, the more easily it is abused. The title must be held close to its moral root: compensation for risk actually borne by the capital provider. If it becomes compensation for risk shifted onto the borrower, it has betrayed itself.

The later controversy over risk pricing is therefore no accidental scholastic quarrel; it is the inevitable result of asking a question modern finance still struggles to answer: what is the moral difference between pricing risk and sharing risk? Juan de la Peña’s contribution helps us see that this difference cannot be settled by mathematics alone. It requires moral judgment about power, vulnerability, contract structure, and the real allocation of loss.

In this sense, his role in the history of *periculum sortis* is transitional but essential. He helps carry the doctrine into the terrain of uncertain claims and risk-adjusted valuation, and he exposes the danger of that terrain. Once risk becomes price, the tradition must ask whether price still serves justice; once uncertainty becomes a title, it must ask whether the title restores equality or legitimates domination. The unresolved problem remains, and it is not a technical one. A risky claim may indeed be worth less than a certain claim. But a vulnerable borrower is not merely a risk category. He is a neighbor. And Christian moral theology cannot permit the language of risk to erase that fact.

28.4 Salamanca Context

The Salamanca context is the setting in which *periculum sortis* begins to move from a fragile medieval possibility toward a more systematic early modern doctrine. The title had appeared earlier, and figures like Medina and Juan de la Peña had pressed the questions

of risk, debtor reliability, and uncertain claims. But Salamanca gave these questions a broader intellectual home, where moral theology, canon law, civil law, commerce, confession, and practical economic life all met in one dense field of analysis.

The theologians of Salamanca were not writing in a world of abstract loans between isolated individuals. They were writing in a commercial and imperial world marked by long-distance trade, currency exchange, public debt, merchant contracts, colonial expansion, fluctuating prices, complex credit, and rapidly changing legal forms. Money did not sit still. It moved through bills of exchange, merchant partnerships, public obligations, private loans, and commercial ventures, and the old usury doctrine had to decide whether its inherited categories could still distinguish justice from exploitation in an increasingly sophisticated financial environment.

This did not mean abandoning the older doctrine. The gratuity of the *mutuum* remained a core principle; gain from the loan itself remained morally suspect; the lender who transferred ownership of consumable money and demanded a guaranteed surplus for that transfer still stood within the traditional usury problem. Salamanca did not simply bless interest. But neither did it ignore the complexity of actual finance. Its task was to determine when a payment above principal was truly attached to an external title and when it was merely a disguised price for the use of money.

In this setting, *periculum sortis* became increasingly important because practical finance continually raised questions about risk. Borrowers differed in reliability. Some debts were secured, others doubtful; some claims were enforceable, others exposed to political, commercial, maritime, or legal uncertainty. Some capital was placed into ventures where it could genuinely be lost, while other capital was protected by collateral, guarantees, priority, or recourse against the debtor's assets. The moral theologian could not simply ask whether a document used the word "loan" or "partnership." He had to ask how the transaction actually distributed risk.

Borrower reliability was one central issue. A claim against a dependable, well-capitalized merchant was not a claim against a debtor of uncertain solvency; the probability of repayment mattered. Yet the fact created a moral dilemma: to recognize different probabilities of repayment is to acknowledge reality; to charge vulnerable debtors more because they are vulnerable is to risk turning fragility into profit. Salamanca had to hold together two truths: uncertain repayment affects value, and the needy borrower must not be treated as a revenue opportunity.

Collateral and security sharpened the question. If a lender claimed compensation for risk while holding strong collateral, how much risk did he truly bear? If a pledge fully covered the principal, could he still demand surplus for danger to the principal? If a surety or guarantor stood behind the debt, had the risk been shifted to another party? If the lender could enforce repayment against unrelated assets, was the capital really exposed to the success or failure of the borrower's project? Such questions show why *periculum sortis* required more than a general appeal to uncertainty. It required analysis of legal and economic substance.

Legal enforceability also mattered. A claim that can be enforced through courts, pledges, penalties, or seizure of property is different from a claim that rises and falls with the venture itself. The more enforceable and secured the claim, the more it resembles a protected debt; the more contingent and subordinated the claim, the more it resembles risk-bearing capital. And the distinction did not map perfectly onto legal labels. A contract could be called an investment while functioning like a secured loan; another could be legally debt-like while containing genuine contingency. The Salamanca method therefore pushed beyond names toward moral anatomy.

Practical finance forced this kind of analysis. Merchants needed credit. Cities needed

funding. Trade required advances, and currency exchange involved delay, distance, and uncertainty. Commercial life could not function without mechanisms for allocating capital and risk; the question was not whether finance should exist, but whether it would serve the common good or exploit weakness. Salamanca's contribution was to bring rigorous moral reasoning into the details of contracts, rather than leaving finance either condemned in the abstract or morally unexamined in practice.

This is why the Spanish Scholastics became so important for the later history of the extrinsic titles. They inhabited a world in which *damnum emergens*, *lucrum cessans*, and *periculum sortis* could not remain merely theoretical categories. Merchants, confessors, judges, and civic authorities needed guidance. Could compensation be agreed in advance? Could a doubtful claim be discounted? Could a lender receive something for risk of nonpayment? Could a merchant charge more because money was tied up in a risky transaction? Could public debt or exchange contracts be distinguished from usurious loans? Such questions required careful distinctions.

In the case of *periculum sortis*, the central distinction remained risk-sharing versus risk-shifting. If the capital provider genuinely bore the possibility of losing the principal, surplus could be understood as attached to a real burden. If, however, the borrower remained bound to repay regardless of the venture's outcome, while the lender was protected by collateral, seniority, or legal recourse, then the claim to risk became weaker. The mere fact that collection might be inconvenient or uncertain did not automatically transform the creditor into a partner.

This is where Salamanca's concern for probability and valuation had to be tempered by Christian moral anthropology. It is economically true that a risky claim has a different value from a certain claim. But the debtor is not only a probability of repayment. He is a person embedded in household, vocation, community, and need, and a theology of finance cannot reduce him to a risk score. The more vulnerable he is, the more carefully the theologian must ask whether the transaction supports life or deepens dependence.

The Salamanca context therefore exposes the double edge of sophistication. More refined financial analysis can serve justice by distinguishing real risk from fictive risk, real loss from imaginary loss, and partnership from disguised debt; the same sophistication can also multiply evasions. The more complex contracts become, the easier it is to hide usury beneath exchange, insurance, penalty, damages, opportunity cost, risk premium, or administrative charge. Moral theology must therefore become more precise as finance becomes more inventive.

This precision required attention to intention, causality, proportionality, and proof. Intention mattered because a title could be invoked in bad faith. Causality mattered because the surplus had to be connected to the burden claimed. Proportionality mattered because compensation could not exceed the loss, risk, or burden it purported to address. And proof mattered because fictive titles are always easier to invent than real ones are to document. These criteria were not bureaucratic details; they were spiritual safeguards against extraction.

The Salamanca context also reveals why *periculum sortis* could not be isolated from the other titles. Risk of capital overlaps with actual loss, because risk may become loss. It overlaps with lost profit, because risky deployment may prevent another gain. It overlaps with penalties and security, because default risk may be handled through contractual remedies, and it overlaps with labor and expense, because risk management itself may require administration. The moral danger is that all of these titles can be stacked until the borrower pays several times for the same underlying uncertainty. A disciplined doctrine must prevent such double-counting.

This is especially important because the Spanish Scholastic transition begins to move

toward the world we now inhabit. Modern finance routinely separates, prices, trades, insures, discounts, securitizes, and reallocates risk. But the moral question remains recognizably scholastic: who actually bears the downside? If capital receives a premium for risk while legally avoiding loss, the title is suspect; if the borrower pays for risk that has already been shifted elsewhere, the title is suspect; and if the structure makes the lender whole while the borrower absorbs ruin, the language of *periculum sortis* has been severed from its moral root.

Salamanca did not solve all of this once and for all. It could not; the questions were too complex, and later authors would disagree about how far risk pricing could go. Molina, Lessius, and Lugo would develop more permissive and systematic treatments. Rigorists would later worry that the tradition had given away too much. Benedict XIV would insist again that gain from the loan itself remains usury, while leaving room for genuine extrinsic titles. The tension survived because it belongs to the subject matter.

The importance of the Salamanca context, then, is not that it eliminates the instability but that it gives the instability a method, teaching the tradition to ask concrete questions. Is the borrower reliable? Is repayment probable? Is the claim secured? Can the lender enforce repayment? Is the capital genuinely exposed? Is the return proportionate? Is the surplus compensation, participation, or domination? Those questions allowed moral theology to enter the details of finance without surrendering its central concern for justice.

The movement from Alexander to Salamanca is thus a movement from naming risk to analyzing risk. Alexander helps make *periculum sortis* thinkable; Medina and Juan de la Peña begin to connect risk with repayment probability and valuation; Salamanca places those questions within a broader moral, legal, and commercial framework. The result is not a simple permission for interest, but a more demanding inquiry into the structure of downside. That inquiry remains indispensable, because finance becomes morally legible only when we know where loss goes. What endures from Salamanca is the refusal to accept the language of risk at face value: it must be tested against the actual structure of the contract, the vulnerability of the borrower, the protections of the creditor, and the purpose of the surplus. Only then can *periculum sortis* remain what it was meant to be, not a loophole for guaranteed growth, but a disciplined title for genuine risk-bearing.

Molina, Lessius, and Lugo

29.1 Luis de Molina

Luis de Molina marks a decisive step in the maturation of *periculum sortis*. By the time Molina enters the discussion, the problem of capital risk is no longer a marginal exception or an uneasy intuition. It has become part of a broader late-scholastic attempt to analyze contracts according to their real economic substance. Molina's importance lies in bringing valuation, uncertainty, and repayment risk into a more systematic moral framework. He helps the tradition ask not only whether the lender may receive more than principal, but whether the claim the lender is holding is itself worth its face value.

The core insight is deceptively simple: a risky claim to one hundred is not worth the same as a certain claim to one hundred. If repayment is secure, enforceable, collateralized, and practically certain, the claim has one value. If repayment is doubtful, contingent, unsecured, exposed to commercial failure, or dependent on uncertain circumstances, it has another. The nominal amount may be the same, but the moral and economic substance differs. Molina's treatment gives greater room to this difference.

This is not yet modern finance in the full technical sense. Molina is not building a mathematical theory of expected value, probability-weighted cash flows, or risk-adjusted return. He is working within the language of moral theology, law, conscience, and just exchange. Yet his analysis moves in a direction modern readers will recognize: he treats uncertainty as relevant to valuation, recognizes that a claim exposed to nonpayment may be worth less than a secure claim, and helps develop the possibility that surplus may sometimes compensate for the diminished value or danger attached to the claim, rather than being charged for the mere use of money.

This is why Molina matters for *periculum sortis*: the title had always depended on the idea that capital could be genuinely at risk, and Molina helps articulate what that risk does to the value of a right to repayment. If the lender's principal is exposed, then the lender does not possess the same kind of secure claim as in an ordinary guaranteed *mutuum*. The risk is not just a psychological discomfort; it changes the substance of the transaction, and the lender holds something uncertain.

This line of thought appears in later summaries of Molina, including the Conimbri-censes tradition (the Jesuit commentators of Coimbra), which expresses the point as unequal value between secure and risky claims. The risk of nonrepayment diminishes the value of the claim: a promise to pay one hundred in uncertain circumstances is not equivalent to one hundred safely in hand, nor to a perfectly secure right to one hundred. Once this difference is acknowledged, the moral analysis of surplus becomes more complex. A payment above principal may be described not as interest on the loan, but as compensation for the risk attached to the claim.

Yet Molina's sophistication also makes the danger clearer. If risk diminishes value, and if diminished value can justify compensation, then risk can become a broad justification

for surplus: every debt has some risk, every borrower might fail, every repayment claim is subject to some uncertainty. Without limits, Molina's insight could be used to turn the whole usury prohibition into a theory of credit pricing. The very realism that strengthens moral theology could also weaken its discipline.

Molina's importance therefore lies not in making risk a magic word, but in forcing the tradition to analyze risk carefully. It is not enough to say that a claim is uncertain: the uncertainty must be real, borne by the person claiming compensation, not already eliminated by collateral, guarantees, sureties, penalties, or legal priority, and proportionate to the surplus demanded, and it must not merely rename the lender's desire for profit.

This is where Molina's account remains connected to the older scholastic grammar. The extrinsic title must remain extrinsic. The surplus must not arise from the *mutuum* as such; it must arise from something outside the bare transfer of consumable money: a real burden, danger, loss, or uncertainty borne by the lender. If the lender simply says, "I lent money, and lending is always risky, therefore I may charge more," the title begins to collapse into ordinary interest. But if the lender can show that the principal is genuinely exposed to loss in a specific transaction, the moral case becomes different.

The difference depends on the structure of the contract. Suppose repayment depends on the success of a commercial venture. Suppose the capital provider cannot demand repayment if the venture fails. Suppose the claim is subordinated, unsecured, or genuinely contingent. In such a case the lender (or perhaps more accurately, the capital provider) bears a risk closer to partnership, and the surplus received may be tied to the danger of losing principal. But suppose the lender holds collateral, personal guarantees, seniority, and full recourse against the borrower's assets. Then the claim to *periculum sortis* is weaker. The capital may be legally protected even if the borrower is economically exposed.

This distinction is crucial because Molina's reasoning can be misunderstood if detached from moral substance. The point is not that uncertainty automatically deserves return, but that a risky claim is not identical to a secure claim, and moral theology must ask whether the surplus corresponds to that difference in value, or whether it exploits the borrower's need. The question, in other words, is not merely actuarial but relational. What does the transaction do to the borrower? What does it protect in the lender? What happens when things go badly?

Molina also links *periculum sortis* to the broader late-scholastic interest in price and exchange. The Spanish Scholastics were acutely aware that value is not always fixed by face amount or formal category. Market conditions, scarcity, risk, utility, time, distance, and legal uncertainty can affect valuation. Their moral theology was therefore more flexible and commercially aware than caricatures of anti-usury doctrine suggest. But this flexibility was not moral surrender. It was an attempt to bring justice into increasingly complex transactions.

Molina's analysis helps us see why the scholastic tradition cannot be reduced to a simple opposition between medieval moralism and modern financial realism. The late scholastics were realists. They knew that risk changes value, that secure and insecure claims differ, and that commercial life required more than rigid formulas. But they also knew that financial realism without moral discipline becomes a tool of domination. A realistic account of risk must be matched by a theological account of vulnerability.

This is especially important when risk is connected to the debtor's condition. If the debtor is unreliable because he is poor, desperate, politically weak, or economically fragile, then risk pricing can become morally perverse. The more vulnerable the borrower, the more expensive the credit. What appears as compensation for danger may become extraction from need. Molina's framework therefore requires a further question: does the risk premium correspond to risk genuinely borne by the lender, or does it intensify the burden

on the borrower who is already exposed?

This question also applies to commercial borrowers. A merchant seeking capital for a risky venture may rightly be treated differently from a borrower seeking food, medicine, housing, or survival. The biblical tradition's special concern for the poor does not disappear in scholastic contract analysis; the old command not to act as a moneylender toward the poor remains in the background. Molina's valuation logic must therefore be read within a wider moral world in which need, vulnerability, and neighbor-love remain central.

The Conimbricenses-style summary of Molina's position helps clarify the intellectual transition. Risk is not merely an accidental inconvenience. It can affect the value of the claim itself. But this does not mean that every lender may simply add a premium. The value difference must be grounded in the actual uncertainty of the claim, not in a fictional or generalized appeal to risk. The compensation must correspond to the burden. And the transaction must not be structured so that the lender receives the premium while the borrower bears the real loss.

Molina therefore brings *periculum sortis* closer to a mature theory, but he also reveals why the title remains morally delicate. It is powerful because it recognizes that capital exposed to loss differs from capital guaranteed repayment; dangerous because the language of risk can be stretched to cover almost any loan; useful because it asks whether the claim is secure or doubtful; and perilous because it can make the debtor's weakness into the creditor's justification.

For modern non-extractive finance, Molina's insight is indispensable but insufficient by itself. It teaches us to ask whether the capital provider's claim is genuinely at risk, shows that a fixed claim and a contingent claim are not morally identical, and helps us see why loss-absorbing capital differs from guaranteed debt. But it also warns us that risk language must be audited. A return justified by risk must be matched by real exposure to loss, not paired with contractual protections that shift the downside away from capital while preserving capital's upside.

In this sense, Molina stands between medieval usury doctrine and modern finance. He does not abandon the prohibition on gain from the loan itself. But he expands the analytical tools by which theologians can judge whether a surplus is truly from the loan, or from an external burden attached to the lender's claim. His contribution is not a license for ordinary interest. It is a more precise question: what is the value of an uncertain claim, and who truly bears the uncertainty?

That question remains at the center of moral finance. A risky claim to one hundred is not the same as a certain claim to one hundred. But a human borrower is not merely a risk-adjusted claim. Molina helps us see the first truth. A Christian moral economy must never forget the second.

29.2 Leonardus Lessius

Leonardus Lessius brings *periculum sortis* closer to its decisive late-scholastic consolidation. If Molina helps clarify the valuation problem (that a risky claim to one hundred is not equivalent to a certain claim to one hundred), Lessius presses the doctrine further into the practical world of contracts, commerce, money, and uncertainty. He belongs to the moment when scholastic moral theology becomes highly sensitive to the realities of early modern finance, yet still tries to preserve the moral difference between compensation and usury.

Lessius is important because he treats risk of repayment not as a marginal curiosity,

but as a serious title within a broader theory of legitimate and illegitimate surplus. The question is no longer simply whether capital is at risk in obvious partnership forms, but whether uncertainty of repayment itself can constitute a burden for which compensation may be received. In this sense, Lessius helps give *periculum sortis* solid ground. He does not merely inherit the title. He helps make it analytically usable.

The heart of the matter is uncertainty. If the lender's capital is genuinely exposed to nonrepayment, then the lender does not hold a secure equivalent of money in hand. He holds a claim that may fail. That uncertainty can diminish the value of the claim and impose a real burden on the capital provider. Lessius's contribution is to take this burden seriously. Where earlier rigor might have treated any surplus above principal as presumptively usurious unless attached to very concrete loss, Lessius allows a more developed account of risk itself as a compensable factor.

But this development is perilous. To admit compensation for uncertainty of repayment is to approach the edge of modern interest theory. If the possibility of non-payment justifies surplus, then almost every loan can be framed as risky, and every risky loan may seem to warrant a premium. The title that began as a way of recognizing genuine exposure to loss can become the ordinary justification for charging interest. Lessius therefore stands at a crucial boundary: he helps make the doctrine realistic, and in doing so brings it closer to the danger of dissolution.

His treatment must therefore be understood within the wider architecture of the extrinsic titles. Lessius is not simply saying that money naturally deserves growth over time. That would abandon the usury doctrine. The title remains extrinsic. The surplus must be tied to a burden outside the mere transfer of money in a *mutuum*. Risk must be real, actually borne by the capital provider, proportionate in amount, and no fiction created to disguise ordinary interest.

Still, Lessius's work shows how the center of gravity is shifting. Earlier discussions often began from the simple moral anatomy of the *mutuum*: ownership passes to the borrower; the lender is owed equivalent principal; surplus for the loan itself is usury. Lessius remains within that tradition, but he is increasingly attentive to the market reality that not all claims to repayment are equal. Some are secure, some doubtful, some exposed to a debtor's solvency, honesty, circumstances, or commercial success. This difference matters, and Lessius gives theology language to address it.

His treatment of *periculum sortis* also sits near his discussion of *carentia pecuniae*, the lack or absence of money. This adjacent title concerns the lender's being deprived of the use of his money for a time. It is related to, but distinct from, lost profit and capital risk. Lessius's willingness to analyze *carentia pecuniae* shows how far scholastic moral theology had moved into the territory that modern finance would later describe in terms of liquidity, term commitment, and time value. But it also reveals the danger. If being without money for a term is treated too broadly as compensable, then the whole doctrine risks becoming ordinary interest by another name.

The relationship between *periculum sortis* and *carentia pecuniae* is therefore instructive. Risk concerns the danger of losing principal. *Carentia pecuniae* concerns the burden of being without money. Lost profit concerns the gain that could otherwise have been made. Actual loss concerns damage suffered. In practice these can overlap: a lender might be without money, lose an alternative profit, face risk of nonpayment, and incur actual damage if repayment fails. But moral discipline requires that these burdens be distinguished rather than stacked indiscriminately. Otherwise, the borrower pays several times for the same underlying fact: that the lender parted with money.

Lessius's sophistication therefore demands an equally sophisticated anti-abuse logic. If *periculum sortis* is invoked, can the principal actually be lost? If *carentia pecuniae*, is the

absence of money a distinct burden or merely another way of charging for time? If *lucrum cessans*, was the foregone gain concrete or merely imagined? If *damnum emergens*, is the loss actual and documented? Lessius's world requires careful classification, because the financial instruments are increasingly capable of moral camouflage.

This is the edge of modern money-market logic. In a money market, capital is priced according to time, liquidity, creditworthiness, risk, and alternative uses. Lessius does not simply endorse such a world in modern terms, but his analysis begins to touch its conceptual foundations. He sees that money's absence, risk of nonpayment, and commercial opportunity are not imaginary; they affect real economic life. But he is also working within a theological tradition that refuses to let these realities become automatic claims to growth.

This tension makes Lessius especially important for a modern non-extractive finance framework. He helps us see why a morally serious analysis cannot simply say "no surplus ever." There can be real risk, real labor, real cost, real loss, and real sacrifice. Institutions that provide capital may need compensation to remain sustainable. Capital genuinely exposed to loss may be treated differently from capital guaranteed repayment. Yet Lessius also shows why every claim to compensation must be tested. The more refined the title, the easier it is to abuse.

In practical terms, Lessius forces us to ask whether capital is truly exposed or merely inconvenienced. If the lender's claim is fully secured, senior, collateralized, and enforceable, then the appeal to *periculum sortis* becomes weak. If the lender can recover from the borrower regardless of the project's failure, the lender has not truly joined the borrower in the venture's fate. If the lender receives a risk premium while legal documents shift loss onto the borrower, workers, suppliers, or guarantors, then the title becomes morally suspect.

By contrast, if capital is subordinated, unsecured, contingent, or genuinely loss-absorbing, then the analysis changes. A provider of such capital does not merely rent money; he participates in uncertainty, may not recover the principal, and may bear real downside. In that case, surplus may be closer to compensation for risk or participation in a venture than to usury. Lessius's consolidation of *periculum sortis* gives theology a way to recognize that distinction.

But Lessius's work also shows why the distinction cannot be made by legal labels alone. A contract may call itself partnership while guaranteeing the capital provider's return, call itself debt while actually sharing loss, call itself investment while enforcing repayment through collateral and penalties, or call itself a loan while adding charges for risk, term, opportunity cost, administrative expense, and late payment. The moral theologian must look through the document to the actual structure of claims and losses.

This is where Lessius belongs in the genealogy of the extrinsic titles. Hostiensis and the canonists helped formalize exceptions. Aquinas gave the basic moral grammar of *mutuum*, partnership, actual loss, and usury. Later medieval authors wrestled with lost profit and commercial reality. Molina sharpened valuation under uncertainty. Lessius consolidates the risk title in a more finance-aware moral theology. He brings the discussion close to the threshold of modern credit markets while still insisting, at least in principle, that the surplus must not arise from the loan itself.

The danger is that this threshold can be crossed almost invisibly. Once risk, absence of money, and alternative use are all admitted as possible titles, the lender's position becomes easier to defend and the borrower's burden easier to rationalize. The doctrine can still invoke the extrinsic titles while permitting ordinary interest in substance. This is why later critics would worry that the late scholastic tradition had stretched the doctrine too far. Lessius stands near the center of that tension.

Yet it would be unfair to reduce him to permissiveness. His contribution is better un-

derstood as disciplined realism. He recognizes that financial life contains genuine risks and burdens that earlier formulations could not always describe adequately, and gives confessors and moral theologians tools for analyzing them. He helps distinguish secure claims from risky claims, bare loans from risk-bearing capital, and fictional titles from potentially legitimate ones. The problem is not that he takes risk seriously. The problem is that risk, once taken seriously, must be governed with extraordinary care.

For modern moral finance, Lessius therefore offers both a resource and a warning. The resource is his insistence that uncertainty and capital risk can matter morally. The warning is that the same insight can become the gateway to generalized interest. If risk is real, borne by the capital provider, proportionate, and not otherwise compensated, it may justify surplus. If risk is vague, shifted, duplicated, insured away, or invoked merely because all future repayment is uncertain, it becomes a pretext.

Lessius helps consolidate *periculum sortis* because he gives the title analytical depth. But in doing so, he also reveals its spiritual danger. The more precisely finance can price risk, the more carefully theology must ask whether the one receiving the price is actually the one bearing the risk. That remains the decisive question. Without it, *periculum sortis* becomes ordinary interest with a scholastic name. With it, the title can still serve its original purpose: distinguishing genuine risk-bearing from extraction disguised as compensation.

29.3 Juan de Lugo

Juan de Lugo brings the late-scholastic discussion of *periculum sortis* to one of its most mature and expansive formulations. If Molina sharpened the problem of uncertain claims, and Lessius helped consolidate the title as a serious ground for compensation, Lugo gathers the strands together into a broader theory of detriment. Risk, lost gain, and actual loss begin to appear not as isolated exceptions, but as related ways in which a lender or capital provider may suffer a burden external to the bare *mutuum*.

This is what makes Lugo so important. He does not merely add one more opinion to a list of scholastic cases; he helps reveal the underlying logic late scholastic moral theology had been moving toward: surplus may be licit when it is not taken from the loan as such, but from a real burden borne by the person who supplies capital. That burden may be an actual loss already suffered, a concrete gain prevented, or a genuine risk of losing the principal. In each case, the surplus is defended not as the natural fruit of money, but as compensation for detriment.

This is also why Lugo is both illuminating and dangerous. His synthesis helps make sense of the extrinsic titles as a coherent family. But by gathering them under a broad theory of detriment, he also expands the space in which surplus can be justified. If risk, lost gain, and actual loss are all treated as forms of compensable disadvantage, then the moral task becomes more complex. The question is no longer simply whether a title exists in name, but whether the alleged detriment is real, borne by the claimant, proportionate, not already compensated, and not a pretext for payment on the loan itself.

Lugo's treatment of *periculum sortis* fits this broader pattern. Where the lender or capital provider truly takes on risk of losing the capital lent, surplus may be justified, because the lender has accepted a danger that is not intrinsic to a safe *mutuum*. The claim is not: "Money deserves more money because time has passed." The claim is: "The capital provider may lose the principal, and this exposure to loss is a real burden." If the burden is real, then compensation may be understood as restorative, or as payment for risk-bearing rather than as usury.

But Lugo's reasoning depends on the reality of risk. It cannot function if the risk is

merely verbal. A lender who claims risk while holding full security, recourse, and enforceability does not stand in the same position as one whose capital is genuinely exposed to loss. A creditor who can recover from the borrower regardless of the venture's outcome is not sharing the venture's fate in the way a partner does. A financier who charges for risk while shifting loss to the borrower, guarantor, workers, suppliers, or community has not borne the burden for which he claims compensation.

This is why Lugo's synthesis must be read with the older distinction between *mutuum* and *societas* still in view. Aquinas had already drawn the basic line: in a *mutuum*, ownership of the money passes to the borrower, who owes back an equivalent; in partnership, the capital remains at the owner's risk, and profit-sharing can be licit. Lugo's mature doctrine does not abolish that distinction. Rather, it asks how far the logic of risk-bearing can extend into more complex transactions. When does a creditor's claim remain a secure right to repayment? When does it become an exposed, uncertain, loss-bearing claim? And when does the language of risk conceal what is still, in substance, a protected loan?

Lugo's willingness to consider risk as a separate ground for surplus also brings the discussion close to insurance-like reasoning. If a person bears a danger that another does not bear, and if that danger can be valued, then compensation for assuming the danger may be just. The logic is visible in many forms of risk transfer and risk-bearing contracts. The moral issue is not whether danger has value. It does. The issue is whether the person receiving compensation is the one actually bearing the danger.

This point is crucial. Insurance-like reasoning can be legitimate when a party truly assumes another's risk. But it becomes morally deceptive when risk is merely priced without being assumed. A lender may charge a borrower because the borrower is risky. But if the lender has structured the contract so that the borrower remains fully liable and the lender can enforce repayment, then the lender has not necessarily assumed the borrower's risk. He has priced the borrower's weakness. Lugo's synthesis can help expose that distinction, but only if its own logic is applied rigorously.

The relation between risk and lost gain is especially important. A capital provider might forgo a concrete gain by placing capital into a risky transaction, or might face the loss of the principal itself; these are not identical burdens. Lost gain concerns what might otherwise have been earned. Risk of principal concerns what might be lost. Actual loss concerns what has already been suffered. Lugo's broad theory of detriment helps relate them, but it also makes it necessary to keep them distinct. Otherwise, the same economic situation can be used to justify multiple overlapping charges.

For example, a lender might say: I lost the chance to earn elsewhere; I bore risk of nonpayment; I was deprived of my money; I incurred administrative expense; and if payment is late, I deserve a penalty. Each claim may have a place in the scholastic taxonomy. Together they can become a machinery of extraction. Lugo's synthesis therefore requires careful accounting. Which burden is actually present? Who bears it? Has it already been compensated? Is the surplus proportionate? Is the title specific enough to be tested? Without such discipline, the broad theory of detriment becomes too elastic.

This elasticity is the great strength and great danger of Lugo's approach. It allows moral theology to recognize the complexity of real finance. Not all surplus is usury: some restores loss, some compensates for sacrifice, some reflects genuine exposure to danger, and some supports the administration of institutions that lend or invest for good purposes. Lugo helps us see this without collapsing everything into a crude prohibition of all payments above principal.

Yet the same elasticity can also make the doctrine vulnerable to rationalization. If every inconvenience to capital becomes a detriment, then every surplus can be justified. If every risk can be priced, every missed opportunity monetized, every delay penalized, and every

cost reimbursed without restraint, the borrower becomes surrounded by titles. The usury prohibition may remain formally intact, while practically emptied of force. This is precisely why later rigorists would look back on late scholastic permissiveness with suspicion.

Lugo's importance for modern non-extractive finance lies in this double lesson. On the one hand, he gives us tools: to distinguish the different kinds of burdens (actual loss, foregone gain, risk to principal), to avoid the simplistic view that any surplus is automatically unjust, and to ask whether a return is connected to a real burden borne by capital. On the other hand, Lugo warns us, perhaps unintentionally, that moral categories can be stretched until they protect the very thing they were meant to judge. A non-extractive finance framework cannot simply list titles and assign charges to each. It must test the whole structure. Does the capital provider actually bear downside? Is the borrower protected from ruin? Are penalties designed to restore or to generate revenue? Are damages actual? Is foregone profit concrete rather than abstract? Is risk compensated once, or counted several times? Does the structure create fellowship, or does it preserve hierarchy under the language of partnership?

Lugo's synthesis also makes clear why *periculum sortis* belongs near the center of any modern moral analysis of capital. Modern finance is built around the language of risk. Investors demand returns for risk. Lenders price default probability. Venture capitalists justify upside by pointing to portfolio losses. Private equity claims expertise in allocating and managing risk. Banks charge according to creditworthiness. Insurance markets sell risk transfer. The entire system speaks the language of danger, uncertainty, and expected return.

But Lugo's deeper question remains: is the claimant actually bearing the risk? A financier who receives upside while shifting downside to workers, founders, suppliers, taxpayers, or communities cannot simply invoke *periculum sortis*. A senior creditor protected by collateral cannot claim the same moral position as a subordinated, loss-absorbing partner. A venture investor with liquidation preferences, control rights, and exit pressure may formally hold equity while still shifting unacceptable burdens onto the company and its mission. The moral analysis must trace the path of loss.

This is where Lugo's synthesis can be recovered in a disciplined form. Risk may justify surplus only when it is real, specific, and borne by the person receiving the surplus. Lost gain may justify compensation only when it is concrete, causally connected, and not merely a generalized claim that money could have earned somewhere. Actual loss may justify reimbursement only when documented and not double-counted. The titles must remain instruments of moral truth, not devices for financial creativity.

Lugo therefore stands as one of the most important figures in the history of the extrinsic titles because he helps us see their unity: they are not random loopholes but attempts to answer one question: is the surplus payment tied to a real external burden, or does it arise from the mere fact of lending? His answer is expansive, but not lawless. It gives moral theology room to recognize real economic burdens while still requiring that the surplus be justified by something other than the loan itself.

The challenge is that the broader the theory becomes, the more it depends on conscience, proof, and institutional discipline. A narrow doctrine can be harsh but clear; a broad doctrine can be humane but easily abused. Lugo's synthesis belongs to the second category. It is capable of great moral nuance. It is also capable of being weaponized by those who know how to name every advantage as compensation.

For this reason, Lugo should not be read either as the destroyer of usury doctrine or as a simple defender of modern interest. He is better understood as the theologian of financial complexity. He shows that capital can suffer real burdens, and that justice may require compensation for them. But he also leaves us with the demanding task of dis-

cerning whether the burden is real or fictional, borne or shifted, proportionate or inflated, restorative or extractive.

In the end, Lugo's mature synthesis brings *periculum sortis* into relation with the whole moral architecture of finance. Risk, loss, and foregone gain are not morally irrelevant. But neither are they self-justifying. The question is not whether the language of risk appears; the question is whether capital truly stands where risk falls, and that question must be put to the structure of the transaction and to the dignity of the persons involved.

29.4 Lugo's Unifying Move

Lugo's most important contribution is not simply that he permits *periculum sortis* in certain cases. It is that he helps gather risk, lost profit, and actual loss into a broader moral theory of detriment, in which the different extrinsic titles are not isolated loopholes floating separately beside the usury prohibition, but related claims. Each says, in its own way, that the payment above principal is not being taken from the loan itself, but from some real burden that stands outside the bare *mutuum*.

This is Lugo's unifying move. *Damnum emergens* concerns loss already incurred. *Lucrum cessans* concerns a concrete gain that has been prevented. *Periculum sortis* concerns exposure to the loss of principal. These are not identical, and they must not be confused. But they all belong to the same moral family, because each one tries to name a disadvantage suffered by the lender or capital provider. The surplus is defended as compensation for detriment, not as the natural fruit of money.

This is why Lugo can treat risk as a "loss of a sort." Risk is not yet actual loss. The capital has not necessarily disappeared, and the lender may in fact be repaid. But if the principal is genuinely exposed to loss, the lender has accepted a burden that differs from the position of someone holding a secure claim. The danger itself has moral and economic significance. A capital provider who may lose the *sors* does not stand in the same position as a creditor whose repayment is guaranteed. In that sense, risk can be understood as a kind of detriment, even before it becomes realized damage.

This move is powerful because it gives coherence to the doctrine. Without it, the extrinsic titles can look like a list of exceptions: late penalty, actual loss, lost profit, risk of capital, labor, expenses, lack of money, and so on. Lugo helps reveal the deeper principle beneath the list. A surplus payment may be just when it restores, compensates, or corresponds to a real burden external to the loan. It is unjust when it arises from the loan as such, or when the title invoked is fictional, exaggerated, duplicated, or used as a pretext.

But the same move is also dangerous, because a broad theory of detriment can become too broad. If actual loss, foregone gain, and risk are all gathered under one umbrella, then the umbrella can expand until almost every inconvenience to capital counts as compensable. The lender can say: I was without my money; I faced uncertainty; I lost alternative opportunities; I incurred administrative burdens; I suffered delay; I accepted risk; therefore every surplus is justified.

At that point, the language of detriment no longer disciplines finance. It baptizes it. Lugo's unifying move must therefore be governed by strict moral tests. First, the detriment must be real. A merely imagined loss, vague opportunity, or generic risk is not enough. Second, it must be borne by the person claiming compensation. One cannot charge for a risk that has been shifted to the borrower, the guarantor, the worker, the supplier, the public, or the community. Third, it must be causally connected to the transaction. The loan must actually cause the loss, foregone gain, or exposure claimed. Fourth, the compensation must be proportionate. A small burden cannot justify unlimited surplus. Fifth, the

burden must not be double-counted. The same risk cannot justify a premium, a penalty, a fee, a guarantee, and a liquidation preference all at once.

These tests preserve the older logic of commutative justice. The purpose of the extrinsic title is not to create a right to profit, but to restore equality where the lender or capital provider has suffered some external disadvantage. This is clearest in *damnum emergens*, where actual loss breaks equality and compensation repairs it. Lugo's synthesis extends that restorative logic to other kinds of detriment: the concrete loss of a gain that would otherwise have been made, and the danger of losing principal where capital is genuinely exposed.

The difficulty is that the further the title moves from actual loss, the more fragile the moral claim becomes. Actual loss can often be documented: a barn burned, a fee was paid, a legal cost was incurred, a collection expense arose, a lender had to borrow elsewhere. Foregone gain is harder. It depends on intention, probability, and causality. Risk is harder still, because it concerns something that might happen but has not yet happened. The more abstract the detriment, the greater the need for discipline.

This is why *periculum sortis* sits at the outer edge of the compensation logic. It may be legitimate, but it is never morally automatic. Risk must be concrete enough to test. Can principal actually be lost? Is repayment contingent? Is the claim unsecured or subordinated? Is the capital provider exposed to the fortunes of the venture? Or does the contract preserve repayment through collateral, guarantees, seniority, covenants, penalties, and recourse? The mere word "risk" cannot settle the matter. The structure must be examined.

Lugo's treatment of risk as a "loss of a sort" also helps explain why later theologians could place *periculum sortis* under a broad understanding of *damnum emergens*. Strictly speaking, risk is not actual loss; it is ordered toward possible loss, the exposure to loss. If a person can be compensated for actual damage, perhaps he can also be compensated for accepting a real danger of damage. This reasoning preserves the compensation framework while allowing the doctrine to handle more complex financial realities.

Yet the price of this expansion is increased vulnerability to abuse. Once risk is treated as a kind of loss, one must be careful not to treat every possibility of loss as morally equivalent to loss itself. Otherwise, the title becomes speculative. A lender could demand certain compensation for uncertain harm. Worse, the lender could receive compensation for risk and then avoid the risk through security. The borrower would pay for danger that the lender no longer meaningfully bears.

Here is one of the most important lessons Lugo offers modern finance. Contemporary financial structures often excel at separating risk language from risk substance. Investors demand returns for risk while negotiating protections against loss. Creditors charge risk premiums while taking collateral. Venture capitalists speak of shared upside and downside while using liquidation preferences and control rights to protect capital before founders, workers, or mission. Private equity funds claim entrepreneurial risk while financing acquisitions with debt placed on the company itself. The vocabulary of risk can remain even after risk has been shifted elsewhere.

A Lugo-inspired analysis would not be impressed by vocabulary. It would ask where the downside actually falls. If capital receives compensation for risk, capital must bear the risk. If the borrower bears the risk, then capital's claim to compensation is weakened. If the risk is insured, collateralized, guaranteed, senior, or shifted, then the surplus must be reduced or reclassified. If multiple contractual devices compensate the same risk, the structure becomes suspect. The title cannot be allowed to float free from the actual allocation of loss.

This is also where Lugo's synthesis becomes useful for non-extractive finance. A non-extractive capital structure should be able to name the title under which any surplus is

received. Is it reimbursement for actual loss or expense? Is it compensation for concrete foregone gain? Is it payment for genuine risk-bearing? Is it labor or administrative cost? Or is it simply return demanded because capital has bargaining power? Lugo's unifying move gives us a diagnostic framework, but only if we refuse to let the categories become vague.

The broad theory of detriment also clarifies why not all surplus is morally equal. A modest management fee that covers real stewardship work is different from a hidden yield. A late penalty designed to repair actual injury is different from a penalty engineered as revenue. A return on subordinated, loss-absorbing capital is different from interest on a guaranteed claim. A documented liquidity loss is different from an abstract assertion that money always deserves growth. The question is always whether the surplus corresponds to a real burden, or whether the burden has been invented to justify the surplus.

Lugo therefore helps move the tradition from a rule-based analysis toward a more structural moral inquiry. The old rule remains: gain from the *mutuum* itself is usury. But the application of that rule requires attention to the whole transaction. What is the legal form? What is the economic substance? Who owns the capital? Who bears risk? Who controls the outcome? Who receives surplus? Who is protected if the venture fails? Who is left exposed? These are the questions that determine whether an extrinsic title is real or fictive.

This structural inquiry is especially important because financial contracts can be morally mixed. A transaction may contain some genuine risk-bearing and some extraction, compensate real administrative costs while imposing excessive penalties, share some downside while preserving too much priority for capital, or use a legitimate title but overstate its amount. Lugo's synthesis allows for this complexity. It does not force every transaction into a simple category of licit or illicit at first glance. But it does require careful moral accounting.

The danger, of course, is that careful accounting can become clever accounting. The very sophistication that allows justice to be done can also allow injustice to be disguised. This is why a renewed moral economy cannot rely on titles alone. It needs institutions, documentation, transparency, audit, borrower protections, caps, mission locks, and governance structures that prevent the titles from being manipulated. The scholastic tradition understood this in its own way through confession, canon law, pastoral scrutiny, proportionality, and suspicion of fraud. Modern non-extractive finance must develop analogous safeguards.

Lugo's unifying move is therefore best understood as both culmination and warning. It culminates the late-scholastic effort to make sense of surplus payments in a complex economy, shows that the extrinsic titles are not arbitrary loopholes but moral attempts to distinguish compensation from extraction, and warns that the more expansive the doctrine becomes, the more easily it can be captured by financial ingenuity.

The task, then, is not to reject Lugo's synthesis, but to discipline it. Risk can be a loss of a sort, but not every risk is compensable. Lost gain can be a detriment, but not every imagined opportunity is real. Actual loss can be restored, but not inflated. Expense can be reimbursed, but not transformed into profit extraction. Labor can be paid, but not used as cover for domination. Each title must be named, tested, documented, limited, and integrated into the whole moral structure of the contract.

In the end, Lugo helps us see the extrinsic titles as a single moral grammar. They ask whether surplus is attached to a real external burden, whether the claimant actually bears it, whether the payment restores equality or exploits need, and whether finance shares vulnerability or monetizes it. This is why Lugo remains so important for a modern recovery of moral economy. His synthesis teaches us that capital may sometimes receive more

than principal without committing usury, and that every such claim must pass through the fire of moral scrutiny.

For if risk is treated as a loss of a sort, then the decisive question becomes unavoidable: who truly stands to lose? Where the answer is “capital,” *periculum sortis* may have moral force. Where the answer is “the borrower, the worker, the community, or the mission,” the title has been turned inside out.

Backlash and Moral Danger

30.1 The Risk-Title as a Dangerous Wedge

The title *periculum sortis* was necessary because risk is real. Capital can be lost, a claim can be uncertain, and a lender or investor may genuinely expose principal to danger. A moral theology that could not recognize this would go blind at exactly the wrong spot: it could no longer tell guaranteed debt from loss-bearing participation, and it would treat every payment above principal as though it had the same moral meaning, which would be too crude. Some surplus payments restore a loss. Some compensate for labor or expense. Some correspond to genuine risk-bearing. A tradition that wants to distinguish extraction from compensation must have room for such differences.

But *periculum sortis* was also dangerous, because risk is everywhere. No repayment is absolutely certain. No borrower is perfectly safe. No contract is immune from fraud, insolvency, war, legal change, illness, crop failure, shipwreck, currency instability, or simple human failure. Once risk is admitted as a title, the temptation is obvious: every lender can claim it, every creditor can say his principal is in danger, and every payment above principal can be described not as interest but as compensation for uncertainty. The usury prohibition can then remain formally intact while being practically hollowed out.

This is the risk-title as a dangerous wedge. It begins with a true distinction and can end by dissolving the rule it was meant to clarify. The true distinction runs between a secure claim and a risky claim, between guaranteed repayment and capital exposed to loss, between lending and participation. Widen it too far, and it becomes a general permission for interest. The title that was supposed to identify genuine risk-bearing becomes a vocabulary for ordinary credit pricing.

The move from special risk to general default risk is where the danger lives. Special risk means the capital provider is exposed in a distinctive way: repayment is contingent, the principal may be lost, the claim is subordinated, the capital remains tied to a venture's outcome, or the provider genuinely shares downside with the borrower. In such cases the surplus may have a plausible external basis: the capital provider is not merely selling the use of money but bearing a burden that a secure lender does not.

General default risk is different. It is the ordinary possibility that a borrower may not repay, and it exists in nearly every loan. If this alone justifies surplus, the usury prohibition becomes nearly meaningless. The lender need not share the venture's fate, give up legal recourse, subordinate his claim, or accept loss as part of the transaction's structure. He need only point out that repayment might fail. Risk then becomes not a mark of participation, but an excuse for charging the borrower more.

This is why rigorists objected to broad uses of *periculum sortis*. Their concern was not that risk never matters, but that it could be invoked so broadly that no usurious loan would remain identifiable. If a risky claim to one hundred is worth less than a certain claim to one hundred, and if every claim is at least somewhat risky, then every lender can de-

mand compensation above principal. The logic seems modest at first. Its consequences are sweeping. What begins as compensation for a special burden becomes a universal justification for gain.

The danger sharpens when risk is attached to borrower weakness. In modern financial language, a risky borrower pays more. In Christian moral theology, this is precisely the point at which suspicion should intensify. The poor, the desperate, the marginal, and the unstable are often riskier borrowers because they have fewer reserves, fewer assets, and fewer alternatives. Charging them more because they are risky may appear rational. It can also mean the lender profits from the very vulnerability that Scripture commands us to protect.

This is the moral inversion at the heart of abusive risk pricing. The borrower's fragility becomes the lender's title. The more precarious the debtor, the stronger the creditor's claim to surplus. The person most in need of mercy becomes the person most burdened by the price of money. Risk language then turns the biblical command inside out: instead of lending to the vulnerable without extraction, the lender extracts more because the borrower is vulnerable.

None of this means all risk-based compensation is unjust; it means risk must be analyzed according to who bears it. If the capital provider truly accepts loss, subordination, contingency, or non-recourse exposure, then the risk is borne by capital. If the borrower remains liable regardless of failure, and if the lender holds collateral, guarantees, penalties, security, or seniority, then much of the risk may in fact be borne by the borrower. In that case, charging the borrower for the lender's supposed risk may be morally incoherent. The borrower pays for a burden that the borrower himself may ultimately carry.

The wedge does its worst when risk is both priced and shifted. A lender may charge a premium because the borrower might default, while also taking collateral that protects the principal. He may add penalties for delay, require personal guarantees, demand priority over other creditors, impose covenants, and retain legal recourse against the borrower's assets. Each protection reduces the lender's actual exposure. The risk premium somehow survives them all. The result is not compensation for risk-bearing, but surplus layered on top of risk avoidance.

Here is one of this history's most important lessons for modern finance: the language of risk often survives long after the contractual structure has transferred much of the downside elsewhere. Investors speak of risk while negotiating liquidation preferences. Creditors speak of risk while taking security. Venture capital speaks of failure while demanding control rights and exit pressure. Private equity speaks of entrepreneurial risk while placing debt on the acquired company. Banks speak of credit risk while requiring collateral and guarantees. In each case, the moral question is not whether the word "risk" appears. The question is where loss actually falls.

The scholastic tradition's suspicion of *periculum sortis* therefore remains deeply relevant. It stops us from accepting the modern equation of risk and return too quickly. Modern finance often says: higher risk deserves higher return. The older moral tradition asks: higher risk for whom? If capital bears the risk, the claim may be one thing. If the borrower, the worker, the community, or the mission bears the risk, the claim is another. A return cannot be morally justified by risk unless the one receiving the return actually carries the danger.

This is why the title had to be kept narrow, or at least disciplined. To be morally meaningful, *periculum sortis* must name genuine exposure to loss. Principal must be capable of being lost in substance, not merely delayed in collection. The lender must lack full protection. The claim must not be fully guaranteed. The surplus must be proportionate to the risk actually borne. The risk must not already be compensated through other titles. Above

all, the structure must not convert the borrower's vulnerability into the lender's revenue.

Rigorists feared that these disciplines would not hold. They had seen how easily financial actors could redescribe ordinary interest as compensation for danger, and how, once uncertainty enters the analysis, clever distinctions multiply without end. A payment can be called risk compensation, opportunity cost, lack of money, administrative expense, penalty, insurance, discount, exchange, or damages. The forms change. The borrower still pays. The creditor still receives surplus. The prohibition remains in theory while the practice evolves around it.

Their fear was not irrational. It was a recognition of sin in contractual form. Human beings are capable of turning moral distinctions into instruments of evasion, and a doctrine created to protect justice can be captured by anyone with enough sophistication to manipulate it. This is why the extrinsic titles must never be treated as loopholes. They are tests. Each title asks whether the surplus is tied to a real external burden. And each title can become a mask if the burden is invented, exaggerated, duplicated, or shifted.

Periculum sortis is especially susceptible to this abuse because risk is intangible until loss occurs. An actual loss can be documented, a penalty compared to the delay it answers, a foregone profit tested against a concrete alternative. But risk concerns possibility. It lives in the future. It can be estimated, imagined, dramatized, or strategically overstated, which makes it easy to claim and difficult to police. The more abstract the risk, the more dangerous the title.

The movement from special risk to general default risk is therefore not merely a technical development. It is a moral drift. At first, the title protects genuine risk-bearing. Then it recognizes uncertain claims. Then it prices ordinary debtor unreliability. Then it becomes an ordinary feature of lending. At the end of the process, the difference between usury and interest has been relocated from moral substance to legal vocabulary. What was once prohibited as gain from the loan itself is now permitted as compensation for the universal fact that the future is uncertain.

The tradition's backlash against this movement should not be dismissed as nostalgia or economic ignorance. It was an attempt to defend the central intuition of the usury doctrine: money lent to another must not become a tool for guaranteed growth at the other's expense. The lender may be restored for real loss, compensated for genuine burdens, and allowed to share profit where he shares risk. But he may not use the borrower's need, delay, uncertainty, or weakness as a standing claim to surplus.

This is why the risk-title must always be examined with the question of domination in view. Does the contract make the lender vulnerable alongside the borrower, or does it protect the lender while intensifying the borrower's vulnerability? Does it create solidarity in uncertainty, or a hierarchy in which one party receives upside and the other absorbs failure? Does it restore equality, or does it monetize asymmetry?

In a non-extractive framework, *periculum sortis* can still have a legitimate role. Loss-absorbing capital, subordinated investment, genuine partnership, non-recourse financing, revenue-sharing with downside protection for the enterprise, and mission-aligned risk participation may all involve real capital exposure. In such cases surplus can be morally different from interest on a guaranteed loan, but the title must be tied to actual loss-sharing, not merely to the rhetoric of risk.

The danger of *periculum sortis* is therefore also its gift. It forces moral finance to become honest about downside: it refuses to let capital claim the dignity of risk-bearing while contractually avoiding the pain of loss, it asks whether the return follows the risk or the risk has been displaced onto someone else, and it exposes the difference between capital that participates and capital that extracts.

For this reason, the backlash against broad risk-title reasoning is not an embarrassment

to the tradition. It is part of the tradition's wisdom. It reminds us that every legitimate title can become a pretext, insists that the more powerful the justification, the more rigorous the scrutiny must be, and warns that once risk becomes a universal wedge, the old sin of usury may return wearing the respectable clothing of prudence, valuation, and market realism.

30.2 Daniele Concina

Daniele Concina (1687–1756), a Dominican with twelve volumes of moral theology to his name, enters the story as a voice of backlash. By the eighteenth century, the scholastic doctrine of the extrinsic titles had become both rich and unstable. The tradition had developed tools for distinguishing genuine compensation from usury: late penalties, actual loss, lost profit, risk of principal, labor, expense, and other adjacent titles. These tools allowed theologians to handle real commercial complexity. They also created opportunities for evasion. A lender could now invoke a title, or several titles at once, to justify payments that earlier moralists would have regarded with suspicion.

Concina's importance lies in his resistance to this permissive drift. He saw that the usury doctrine could be emptied from within: never formally denied, simply surrounded by exceptions until almost nothing remained. The language of moral theology could continue in use, the practical result ordinary interest under the names of compensation, risk, loss, delay, or lack of money. Concina's rigorism was therefore not merely a conservative temperament. It was an attempt to defend the substance of a doctrine that he believed had been hollowed out by increasingly elastic distinctions.

The risk-title was one of his major targets because it was among the most elastic of all. *Periculum sortis* could begin with a real case: a capital provider truly exposes principal to loss and receives compensation for that danger. It could then expand into a general claim: every lender faces some danger of nonpayment, therefore every lender may receive surplus. Concina recognized where this expansion led. If ordinary default risk justifies additional payment, then the distinction between usury and legitimate compensation becomes almost impossible to maintain.

His objection was not that loss is irrelevant, nor that all commercial sophistication is immoral. The stricter anti-usury tradition did not need to deny every form of finance. It could admit partnership, reimbursement, damages, expense, labor, and other real burdens. What Concina resisted was the conversion of possibility into entitlement. The fact that something might go wrong does not automatically give capital a right to guaranteed growth. A mere possibility of nonpayment cannot be allowed to become a standing title for surplus in every loan.

This is why Concina's critique strikes at the conceptual heart of the late scholastic expansion. Molina, Lessius, and Lugo had treated risk, uncertain claims, and detriment with great subtlety. They had recognized that a doubtful claim is not worth the same as a secure one, and allowed that risk of principal might function as a compensable burden. Lugo in particular had gathered risk, lost gain, and actual loss into a broader theory of detriment. Concina worried that this synthesis had become too broad. Once risk itself becomes a kind of loss, the lender can claim compensation before any loss has occurred. Once uncertain future harm is monetized, nearly every creditor can present himself as injured.

The rigorist objection is therefore deeply moral. It asks whether the doctrine has lost its preferential concern for the vulnerable. The biblical and patristic suspicion of usury began from a scene of need: the poor borrower, the pledged cloak, the brother in distress, the neighbor who must be allowed to live. But risk pricing can reverse the biblical instinct.

The more fragile the borrower, the riskier the loan. The riskier the loan, the higher the charge. The higher the charge, the more fragile the borrower becomes. What begins as compensation for risk can end as a mechanism for intensifying the very vulnerability that Christian moral theology was meant to protect.

Concina's backlash must be understood against this background. He feared that the theologians had become too clever, and that the distinctions developed to protect justice were being used to defeat it. A penalty could become planned revenue. Actual loss could become fictional damage. Lost profit could become abstract opportunity cost. Risk of principal could become ordinary credit pricing. Lack of money could become the time value of money. Each step might appear modest. Together, they could transform the old prohibition into a collection of verbal safeguards with little practical force.

In this sense, Concina represents the conscience of the doctrine. He reminds the tradition that moral theology is not only a science of distinctions. It is also a discipline of suspicion toward sin. Human beings can manipulate categories; contracts can hide domination; economic necessity can be redescribed as consent; vulnerability can be made to look like risk; extraction can be renamed compensation. A rigorous doctrine is sometimes necessary not because commerce is evil, but because financial intelligence is capable of moral self-deception.

His critique of the risk-title matters all the more because *periculum sortis* is attractive to modern minds. It seems obvious to us that risk deserves return; we think naturally in risk premiums, credit spreads, probability of default, expected value, and portfolio loss. Concina interrupts this modern instinct. He asks whether the risk is truly borne by the person receiving the return, whether the return is proportionate, whether the borrower's need has become the lender's opportunity, and whether the old sin has simply learned a new vocabulary.

Concina's resistance also helps clarify the difference between risk-bearing and risk-pricing. Risk-bearing means that the capital provider actually stands to lose. The principal may not return; the claim may be subordinated; repayment may be contingent; the capital provider may share the venture's fate. Risk-pricing, by contrast, can occur even when the lender has shifted or limited much of the downside. A creditor may price the borrower's risk while retaining collateral, guarantees, seniority, penalties, and legal recourse. In such a case, the borrower pays for risk, but capital may not fully bear it.

This is the distinction Concina helps us recover, even if his own formulations are stricter than later commercial practice would accept. His rigorism protects a vital question: does the title correspond to reality? If capital claims compensation for danger, is capital actually in danger? If not, the title is fraudulent in moral substance, however defensible in form. The issue is not the name of the contract, but the allocation of loss.

Concina also anticipates a distinctly modern problem: the cumulative layering of protections and premiums. A lender may demand a risk premium because repayment is uncertain. But the same lender may also demand collateral, a personal guarantee, a late penalty, default interest, administrative fees, monitoring fees, legal cost reimbursement, covenants, and priority over other claims. Each provision may be justified separately. Together, they may ensure that the lender is protected while the borrower bears nearly all the downside. Concina's suspicion toward permissive titles helps us see how this accumulation can become extraction.

None of this means that Concina's stricter position resolves every difficulty. A doctrine that is too narrow can fail to recognize genuine burdens. Capital can be truly at risk, commercial finance can require legitimate compensation, and institutions serving the poor incur real costs. A rigid refusal to acknowledge risk might discourage useful lending, partnership, or investment. The challenge is therefore not to choose simply between Concina

and Lugo, between rigor and expansion, but to hold their insights together.

Lugo teaches that risk, lost gain, and actual loss may sometimes be real detriments; Concina warns that the language of detriment can become infinitely elastic. Lugo gives the tradition flexibility; Concina demands discipline. Lugo helps moral theology enter the complexity of finance; Concina prevents finance from capturing moral theology. A renewed moral economy needs both: the capacity to recognize legitimate compensation, and the courage to reject clever extraction.

Concina's backlash also prepares the way for *Vix pervenit*. The Church would have to reaffirm that gain from the loan itself remains usury, even while admitting that extrinsic titles may exist. This balance reflects the unresolved tension that Concina exposed. The doctrine cannot deny every payment above principal, and it cannot permit the extrinsic titles to become pretexts. The line between title and pretext is the line on which the whole tradition depends.

For modern non-extractive finance, Concina is a necessary irritant. He refuses to let us become too comfortable with our own sophistication. He asks whether our models, dashboards, contracts, and classifications are naming real burdens or rationalizing desired returns; whether risk has been measured honestly or inflated strategically; whether losses are truly borne by capital or shifted out of sight onto founders, workers, customers, suppliers, communities, or the public; and whether the borrower's vulnerability is being protected or monetized.

This is why Concina should not be dismissed as merely anti-modern. He saw a danger that modern finance confirms daily. Once risk becomes a universal justification, capital can demand return while insulating itself from loss. Once opportunity cost becomes universal, every use of money demands compensation. Once time itself becomes yield, every delay becomes revenue. And once every inconvenience to capital becomes a title, the borrower stands surrounded by claims.

Concina's rigorism recalls the original moral nerve of the usury doctrine. Lending must not become domination, surplus must not be extracted from need, and the language of justice must not be used to sanctify exploitation. Capital may be compensated for real burdens, but it must not manufacture burdens to secure growth. Above all, the vulnerable borrower must not become the place where financial theory proves its cleverness.

The risk-title remains useful only if Concina's warning is remembered. *Periculum sortis* can distinguish genuine loss-bearing capital from guaranteed debt. But it can also give usury its most respectable cover. The difference depends on scrutiny: real risk, an actual bearer, proportional compensation, no double-counting, no hidden guarantee, no exploitation of vulnerability.

Concina's role in the story is therefore prophetic. He stands against the drift by which exceptions become norms, titles become formulas, and compensation becomes yield. He reminds the tradition that the purpose of the extrinsic titles was never to help capital escape moral judgment, but to judge capital more precisely. When they cease to do that, rigorism returns as a necessary act of memory.

In the end, Concina forces the question that every theory of non-extractive finance must face: are our distinctions protecting the vulnerable, or protecting the surplus? If they protect the vulnerable, they belong to moral economy. If they protect the surplus, they have become part of the problem.

30.3 Benedict XIV and *Vix Pervenit*

The controversy over the extrinsic titles could not be left to drift indefinitely. By the eighteenth century, the tradition had reached a point of genuine tension. On one side stood the older and stricter conviction that gain from a *mutuum* as such is usury; on the other, centuries of increasingly sophisticated moral analysis that had identified real cases where a payment above principal might be justified: damages, delay, lost profit, labor, expense, and risk of capital. The question was not simply whether the usury prohibition still existed. The question was whether it still had teeth.

Benedict XIV's *Vix pervenit* enters this moment as an attempt to reaffirm the center. The document does not deny that extrinsic titles may exist, does not collapse all surplus payments into usury, and does not pretend that every financial transaction is a simple loan between two individuals. But it insists on the essential point: gain demanded from the loan itself remains usury. No matter how common the practice becomes, no matter how clever the contract, no matter how plausible the economic explanation, the bare *mutuum* does not generate a right to surplus.

This is the crucial balance. *Vix pervenit* preserves the distinction between title and pretext. A legitimate extrinsic title may justify something beyond principal. But the title must be real. It cannot be a verbal decoration placed upon what is, in substance, ordinary interest, or a convenient label for the lender's desire to receive more because he has lent money. It must name a real burden external to the loan: a loss, an expense, a danger, a penalty, or some other just ground that does not arise merely from the use of money.

This matters especially for *periculum sortis*, which had become at once the most powerful and the most dangerous of the extrinsic titles. It could name genuine risk-bearing: capital truly exposed to loss, repayment contingent, principal that could actually be lost, a moral structure different from a guaranteed loan. It could equally become a pretext for universal interest, since every loan contains some uncertainty and every lender can claim risk. Accepted without scrutiny, the claim would leave the old usury doctrine surviving only in name.

Vix pervenit resists that collapse by returning the analysis to the source of the gain. Where does the surplus come from? Is it demanded because of the loan itself, or because of some external and just title? The question is simple in form and demanding in practice. It requires moral theology to examine the whole structure of the transaction: whether the claimed title is causally connected to the payment, whether the amount is proportionate, whether the burden is real, and whether the lender is being restored or enriched.

The document's importance lies in refusing both extremes. It refuses the permissive extreme that would let every payment be justified by some broad appeal to custom, commerce, risk, or opportunity. It equally refuses the crude simplification in which every surplus payment is automatically condemned without examining the reason for it. Benedict XIV's position is therefore not, in any simplistic sense, a case against finance. It is a case against pretext. Moral language must correspond to moral reality.

This insistence becomes essential once financial contracts grow more complex. A transaction may contain several possible titles. There may be administrative costs. There may be real risk. There may be delayed payment, losses caused by the borrower's default, a foregone commercial opportunity. But the presence of one legitimate title does not sanctify the whole transaction, and several titles may not be stacked without limit. The same burden cannot be counted repeatedly. A title must justify only what corresponds to it.

In this sense, *Vix pervenit* protects the moral architecture of the extrinsic titles and keeps them from becoming loopholes. The titles remain subordinate to the usury doctrine, not replacements for it; they do not abolish the prohibition but refine its application. Their

purpose is to distinguish compensation from extraction, not to hand capital a catalogue of ways to secure guaranteed growth.

This is why Benedict XIV's intervention must be read together with Concina's critique, even if the two are not identical in tone or function. Concina represents the rigorist alarm: the doctrine has become too permissive; the titles have expanded too far; usury is being hidden beneath refined distinctions. *Vix pervenit* gives magisterial weight to the central concern behind that alarm. Whatever legitimate complexities may exist, it says in effect, the basic principle remains in force. The loan itself does not bear fruit, and the phrase "from the loan itself" is decisive. In scholastic terms, the *mutuum* transfers ownership of consumable money to the borrower, who owes back the equivalent principal, the *tantumdem*. To demand more simply because the loan has been made is to sell what is not there: a separate use of money that cannot be separated from the money itself, or a claim to profit generated by another's ownership and need. The old Thomistic structure remains visible beneath the eighteenth-century reaffirmation.

But *Vix pervenit* also recognizes that human affairs are not exhausted by the pure *mutuum*. Other grounds may exist. A lender may suffer actual damage, incur expenses, be wronged by delay, or bear risk in a way that is truly external to the bare loan. The presence of such grounds must be examined, and this is the space in which the extrinsic titles remain possible. The document does not erase late-scholastic casuistry; it reinscribes it under the primacy of the central prohibition.

For *periculum sortis*, this means the title must be purified by the question of actuality. Can the principal truly be lost? Is the lender genuinely exposed? Or is repayment guaranteed in law or in economic substance? Does collateral cover the claim? Is there recourse against the borrower's assets? Are there sureties, guarantees, or public backstops? Does the lender charge for risk while contractually avoiding risk? If so, the title begins to look like pretext.

The same logic applies to modern finance. A venture investor may say that capital is risky, but if liquidation preferences, control rights, redemption rights, or exit pressure protect capital at the expense of workers, founders, or mission, the risk claim must be scrutinized. A lender may say that a borrower is risky, but if the lender holds collateral, guarantees, covenants, penalties, and seniority, the claim to compensation for risk may be overstated. A fund may say that its return reflects uncertainty, but if downside is shifted to portfolio companies while upside flows to capital, the structure may reproduce precisely the domination that usury doctrine was meant to resist.

Benedict XIV's central concern therefore remains contemporary: financial language must not conceal the source of surplus. "Interest," "yield," "risk premium," "management fee," "preferred return," "liquidity premium," "default charge," "late fee," "commitment fee," "discount," "carried interest": each of these may name something legitimate in some cases. But each may also hide a claim from the loan itself, or from bargaining power, or from another's vulnerability. The moral task is to identify the source.

This is why *Vix pervenit* is so important for non-extractive finance. It requires every surplus claim to answer a simple but searching question: what exactly justifies this payment? If the answer is actual cost, show the cost. If the answer is loss, document the loss. If the answer is delay, prove the delay and its harm. If the answer is foregone profit, show the concrete alternative and the causal connection. If the answer is risk, show where capital can actually lose. If none of these can be shown, the surplus may be legal, customary, and financially rational, and still morally suspect.

The document also reminds us that legality and morality are not identical. Civil law may permit interest, commercial custom may normalize it, markets may require it. But Christian moral theology asks a different question: does the transaction preserve justice

between persons? Does it restore equality, share risk, compensate real burdens, and protect the vulnerable? Or does it allow one party to profit from another's need while hiding behind accepted practice?

This distinction between legal permission and moral sufficiency is essential, because one of the great dangers of modern finance is that legality becomes the horizon of conscience. If the contract is enforceable, the transaction is assumed acceptable; the usury tradition refuses that reduction. A contract can be lawful and still extractive. A payment can be market-standard and still morally disordered. A risk premium can be rational and still unjust, if the risk is not truly borne by the one receiving the premium.

Vix pervenit therefore does not ask us to return simplistically to a pre-modern economy. It asks us to recover a moral question that modern economies often suppress. What is the surplus for? Is it restoration? Is it participation? Is it compensation for real risk? Or is it guaranteed growth extracted from the borrower's obligation? The answer determines whether capital serves life or feeds upon it.

The document's enduring power lies in its refusal to let exceptions swallow the rule. The extrinsic titles remain possible, but they must remain exceptional in the moral sense: tied to specific, demonstrable burdens. They cannot become a generalized entitlement, be invoked in advance as an automatic return, or transform the *mutuum* into a revenue-generating asset simply because time passes or uncertainty exists.

This is also why the title *periculum sortis* requires especially careful treatment after *Vix pervenit*. Risk can be real, but it can also be infinitely expandable. The mere fact that the future is uncertain does not create a right to profit. The capital provider must bear a specific danger that justifies a specific compensation. Where risk is eliminated or shifted, the title weakens. Where risk is genuine and loss-absorbing, the title may stand. Where the title cannot be tested, it should not be trusted.

In the end, Benedict XIV brings the tradition back to its moral center. The extrinsic titles are not escape routes from the usury doctrine. They are instruments for applying it justly. Their purpose is to prevent two errors: condemning legitimate compensation as usury, and blessing usury as compensation. The whole doctrine depends on maintaining that distinction.

Vix pervenit therefore remains a necessary checkpoint in the history of *periculum sortis*. After Alexander, Medina, Juan de la Peña, Molina, Lessius, Lugo, and Concina, Benedict XIV reasserts the governing principle: gain from the loan itself remains usury; genuine extrinsic titles may exist; the difference must be proved, not presumed. That principle is as important for modern non-extractive capital as it was for eighteenth-century confessors.

For the moral question has not changed. When capital receives more than it gave, what is the reason? If the answer is real loss, real labor, real expense, real foregone gain, or real risk borne by capital, the surplus may be examined as compensation. If the answer is merely that money was lent and time passed, then the old warning still stands. The name may have changed, but the sin has not.

30.4 Modern Diagnostic Checklist

The tradition's debate over *periculum sortis* leaves us with a practical task: how do we tell whether a modern financial return is genuinely tied to risk of capital, or whether the language of risk is being used to disguise extraction?

This question cannot be answered by vocabulary alone. A contract may call itself a loan, an investment, a partnership, a preferred equity instrument, a revenue-based financing agreement, a convertible note, a SAFE, a profit-share, a redeemable share, or an impact

investment. None of these labels settles the matter. The moral question is deeper: who can lose, who must pay, who is protected, and who receives surplus?

A modern diagnostic checklist for *periculum sortis* must therefore begin with the most basic question: can principal actually be lost?

If the answer is no, the title is weak. If the capital provider is guaranteed repayment, fully collateralized, insured, or protected by enforceable claims against the borrower's general assets, the risk to principal may be more apparent than real. There may still be delay, inconvenience, administrative cost, or collection uncertainty, but those are not the same as genuine loss-bearing capital. A protected creditor cannot claim the moral position of a partner simply because the future is uncertain.

If the answer is yes, the analysis continues. Principal can be lost in many ways. The investment may be subordinated to other claims; repayment may be contingent on the success of the enterprise; the capital may be non-recourse; the investor may have no collateral, no guarantee, no priority, and no claim on unrelated assets. The capital provider may accept that if the venture fails, the money is gone. In such cases *periculum sortis* may have real force: capital is not merely lending at a price but standing somewhere within the field of loss.

The second question is: who legally and economically bears the loss? Legal form matters, but economic substance matters more. A contract may legally place risk on capital while economic pressure shifts the burden elsewhere. Conversely, a contract may legally look debt-like while containing genuine hardship protections or loss-sharing features. The moral analysis must examine both formal rights and practical consequences. If the company fails, what happens? Who absorbs the unpaid amount? Who loses wages, mission, housing, ownership, livelihood, reputation, or control? Who can walk away?

This question matters because risk can be displaced. A lender may appear to bear default risk, but if the borrower has pledged personal assets, signed a guarantee, granted security, or accepted aggressive enforcement rights, the practical burden of failure may rest largely on the borrower. The lender's risk is then reduced, while the borrower's vulnerability deepens. A return justified by *periculum sortis* becomes suspect when the actual downside has been shifted away from the person receiving the return.

The third question is: is repayment guaranteed? A guarantee is one of the clearest signs that the risk-title is weak, because a guaranteed claim is not the same as loss-bearing capital. The guarantee may come from the borrower, a parent company, a founder, a public institution, a donor pool, a surety, collateral, or a contractual right to recover regardless of the project's outcome. The stronger the guarantee, the less plausible the claim to compensation for risk of principal.

This does not mean guaranteed claims can never involve any burden. There may be administrative costs, delay costs, or actual damages if payment is late. Those belong to other titles, and they do not automatically create *periculum sortis*. If principal is effectively protected, the surplus cannot honestly be justified as compensation for capital exposed to loss.

The fourth question is: is the claim collateralized? Collateral changes the moral structure: if the lender can seize pledged assets, the lender's risk falls and the borrower's rises. The pledged asset may be a house, inventory, receivables, intellectual property, equipment, shares, or personal savings. In each case, the lender's exposure is partly transferred onto the borrower's property. The more complete the collateral coverage, the weaker the lender's claim to a risk premium.

But collateral must be examined carefully: some covers only a fraction of the claim, some is difficult to liquidate, some is worth less in distress, and some protects against ordinary nonpayment but not catastrophic loss. The question is not simply whether col-

lateral exists, but how much risk it removes, and from whom. If collateral already compensates or protects the lender, adding a substantial risk premium may double-count the same danger.

The fifth question is: is the capital senior? Seniority determines where loss falls in a capital stack. Senior capital is paid first, subordinated capital later, equity usually last. A senior claim may still face some risk, but it is protected relative to junior claims, workers, suppliers, founders, communities, or mission reserves. A return justified by *periculum sortis* must be assessed in light of this priority.

This is especially important in venture capital, private equity, and structured finance, where capital can claim to be risky while negotiating rights that place it ahead of others in liquidation. Preferred equity may legally be equity and economically behave like protected debt, if it carries liquidation preferences, redemption rights, cumulative dividends, veto rights, or forced exit mechanisms. The moral question is not whether the instrument is called equity, but whether capital is truly exposed to loss alongside the enterprise or stands first in line when value is distributed.

The sixth question is: does the borrower still owe if the project fails? This is the difference between participation and domination. If the project fails and the borrower still owes the full amount, the capital provider has not fully shared the project's risk. The borrower bears failure twice: first through the failed project, and then through the continuing debt. The lender may suffer delay or collection risk, but the legal burden remains on the borrower.

By contrast, if repayment is contingent on success, if losses are shared, or if the obligation is reduced or extinguished when the underlying project fails, the structure is closer to risk-bearing participation. Non-recourse financing, true revenue-sharing with hardship protections, subordinated recoverable grants, patient capital with loss absorption, and genuine equity may all be more compatible with *periculum sortis* than ordinary guaranteed debt. But even here, the details matter. A revenue-share that drains the company in bad years may still be extractive. Equity with aggressive control rights may still distort mission. Contingency alone is not enough; the structure must serve life.

The seventh question is: is risk priced proportionately? Even where risk is real, not every return is justified: a small risk cannot justify unlimited upside, and a limited exposure cannot justify a claim that captures the whole future of the enterprise. The surplus must correspond to the burden. This is a basic requirement of commutative justice: compensation that exceeds the risk becomes enrichment.

Proportionality is difficult because risk is uncertain, but difficulty does not eliminate the moral requirement. The parties should ask how the return relates to the amount of capital genuinely at risk, the probability of loss, the severity of possible loss, the presence of other protections, and the social purpose of the transaction. A non-extractive structure should err on the side of protecting the enterprise, workers, mission, and vulnerable stakeholders, rather than maximizing capital's upside.

The eighth question is: are upside and downside shared? The moral force of *periculum sortis* is strongest where upside and downside travel together. If capital shares in gain because it also shares in loss, the surplus resembles participation. If capital receives upside while avoiding downside, the surplus resembles extraction. If the borrower bears downside while capital receives upside, the title has been inverted.

This is why partnership remains the classic reference point: in true partnership gain and loss are connected, and the partner does not merely charge the other party for the use of capital but participates in a common venture. Modern structures need not replicate the medieval *societas* exactly, but they should be judged by the same moral question: does the capital provider stand with the enterprise in both success and failure?

The ninth question is: can the lender enforce repayment against unrelated borrower assets? Full recourse is morally significant: if the lender can pursue assets unrelated to the financed project, the claim extends beyond the venture. The borrower's household, future earnings, other business lines, personal property, or community resources may be exposed. This weakens the claim that capital is sharing project risk. The borrower may instead be guaranteeing capital's position with broader life assets.

A non-recourse or limited-recourse structure is morally different. It confines the lender's claim to the financed project or an agreed revenue stream, prevents failure from becoming total personal ruin, and aligns the capital provider more closely with the actual venture. This does not automatically make the structure just, but it strengthens the case that capital is bearing real risk.

The tenth question is: is risk double-counted through fees, penalties, and premiums? Double-counting is one of the most common paths from compensation to extraction. A lender may charge a risk premium, demand collateral, add origination fees, require monitoring fees, impose default interest, collect late penalties, pass on legal costs, and retain seniority. Each item may be defended individually. Together, they may compensate the same risk several times.

A scholastic audit must therefore identify the specific title for each payment. What burden does this fee address? Has that burden already been addressed elsewhere? Is this payment restorative, or does it become yield? If risk is already reduced by collateral, it should not also be priced as though unsecured. If delay is already compensated by a penalty, it should not also be treated as a separate actual loss unless there is evidence of distinct damage. If administrative expense is covered by a fee, it should not be hidden again inside a return target.

The eleventh question is: does the contract create solidarity or domination? This is the final and deepest question. A contract can satisfy many technical criteria and still create domination. It can be legally sophisticated, economically rational, and formally consented to, while still using another's need as an occasion for control. The Christian moral tradition asks not only whether the numbers work, but what kind of relationship the contract creates.

Does the capital provider become a steward, a partner, a servant, an ally? Or does capital become a protected claimant standing over the borrower? Does the structure preserve the borrower's agency, mission, and capacity to recover after failure, or does it tighten control precisely when the borrower is weakest? Does it distribute loss in a way that honors human dignity, or does it make workers, founders, communities, and mission absorb the downside while capital receives priority?

This final question gathers the whole tradition together. *Poenā conventionalis* asks whether delay penalties are restorative or revenue-seeking. *Damnum emergens* asks whether actual loss is repaired or invented. *Lucrum cessans* asks whether foregone gain is concrete or abstract. *Periculum sortis* asks whether risk is borne or shifted. All of them finally ask whether surplus serves justice or domination.

A modern diagnostic checklist for *periculum sortis* should therefore include at least the following:

1. Can principal actually be lost?
2. Who legally bears the loss?
3. Who economically bears the loss?
4. Is repayment guaranteed?
5. Is the claim collateralized?
6. Is the capital senior?

7. Does the borrower still owe if the project fails?
8. Is risk priced proportionately?
9. Are upside and downside shared?
10. Can the lender enforce repayment against unrelated borrower assets?
11. Is risk double-counted through fees, penalties, guarantees, or premiums?
12. Does the contract create solidarity or domination?

These questions do not produce an automatic answer. They are not a formula; they are a discipline of moral attention. They force finance to become legible, prevent risk from becoming a magic word, and make capital show where it actually stands when loss arrives.

If capital truly stands where risk falls, *periculum sortis* may justify a surplus. If capital stands protected while others fall, the title fails. That is the modern meaning of the old scholastic test.

PART IX

**Adjacent Titles, Institutions, and Practical Moral
Finance**

Labor, Expense, and the Monti di Pietà

31.1 The Franciscan Problem

The Monti di Pietà arose from a problem that was at once practical, pastoral, and theological: how can one lend to the poor without either exploiting them or allowing the institution of mercy to collapse?

This was the Franciscan problem. It was not enough to denounce usury from the pulpit. The poor still needed credit. They needed seed, tools, food, dowries, rent money, emergency funds, and temporary relief from crisis. If no lawful source of credit existed, they would turn to those who lent at crushing rates. The moral purity of refusing all institutional lending could leave the poor in the hands of harsher creditors. Yet if a charitable lending institution charged too much, it would become the very thing it had been created to oppose.

The Monti di Pietà were born in this narrow and difficult space. They were designed as charitable pawn-lending institutions, especially associated with the Franciscan Observant movement, that would provide small loans to the poor against pledges. The aim was not capital accumulation. The aim was protection: to rescue borrowers from usurers, stabilize households, and make credit available without turning need into a revenue stream. But even a charitable institution has costs. Someone must receive and record pledges. Someone must store them. Someone must appraise them. Someone must keep accounts. Someone must administer repayments. Buildings must be maintained. Staff must eat. Records must be kept. Losses must be absorbed. Fraud must be prevented.

This created the central question: may a charitable lending institution charge more than the principal to cover its expenses?

For a strict anti-usury logic, the question was dangerous. The *mutuum* itself did not justify surplus. A loan for consumption required repayment of the equivalent principal, not more. If the Monte lent ten and required eleven, was that not usury? Could the fact that the lender was charitable change the moral nature of the transaction? Could good intentions make surplus lawful? Or was the extra payment still a charge for the use of money?

The Franciscan answer had to be more precise than sentiment. The argument could not simply be: "We are helping the poor, therefore the charge is lawful." That would make intention swallow justice. Instead, the defenders of the Monti had to show that the surplus was not profit from the loan, but reimbursement for real labor and expense. The charge had to be tied to the costs of operating the institution, not to the time value of money, not to the borrower's vulnerability, and not to the lender's desire for gain.

This is why the Monti belong among the adjacent titles. Their small charges are not exactly *damnum emergens*, because they are not always compensation for a particular loss caused by a specific borrower. They are not *lucrum cessans*, because the institution is not claiming a profit it could otherwise have earned. They are not *periculum sortis*, though insti-

tutional lending may involve some risk of loss. They are not *poena conventionalis*, because they are not penalties for culpable delay. They are closer to *stipendium laboris* and expense reimbursement: compensation for the work and cost necessary to make charitable lending possible.

This distinction matters. The charge is justified, if it is justified, by institutional necessity. It is not a return on capital, not rent on money, not compensation for the mere passage of time. It is payment for the concrete labor and administration without which the charitable lending work cannot continue. If the institution cannot pay clerks, store pledges, maintain records, guard against fraud, and keep its doors open, then its mercy becomes unsustainable. But if it turns those costs into a profit engine, then its mercy becomes compromised.

The Franciscan problem therefore exposes one of the deepest tensions in moral finance: sustainability is necessary, but sustainability can become the language by which extraction justifies itself. Every institution must survive. Not every survival strategy is morally legitimate. A charitable lender may need to recover costs; it may not use cost recovery as a cover for yield. It may need staff, buildings, accounting, and administration; it may not allow the expenses of the institution to become an expanding claim upon the poor.

This tension was especially sharp for the Franciscans because their own charism placed poverty at the center of Christian life. They were not trying to build banks in the modern profit-seeking sense. They were trying to create instruments of mercy within a world where debt could destroy households. Their support for the Monti was not a retreat from the anti-usury tradition, but an attempt to embody it institutionally. They saw that condemnation alone did not free the poor from usury. Alternative institutions were needed.

Here the Monti teach a crucial lesson: moral theology must sometimes become institutional design. It is not enough to say what is forbidden. One must build structures that make the good possible. If the poor need credit, and if exploitative lenders dominate the market, then a just alternative must be created. But that alternative must be governed by the very moral principles it seeks to defend. Its accounting, charges, governance, and mission must all be shaped by the distinction between service and extraction.

This is why bookkeeping mattered. A Monte could not simply claim that its charges covered costs; it needed to know what those costs were. Labor, storage, administration, and losses had to be made visible; otherwise the line between reimbursement and profit would blur, and without accounting, titles become rhetoric. The same discipline holds in every moral-finance institution: if a charge is justified by expense, the expense must be documented; if a fee is justified by stewardship labor, the labor must be real; if a reserve is justified by risk, the risk must be borne.

The Monti also show that small charges can be morally different from interest, but only under disciplined conditions. A fee that covers the cost of administering a charitable loan is not the same as a percentage return demanded because money has been lent. A clerk's wage is not usury. A storage cost is not usury. A reasonable administrative fee is not usury if it corresponds to real work and does not enrich the lender. But the moral difference depends on the purpose, calculation, and limits of the charge. The same amount may be restorative in one structure and extractive in another.

This is the point at which the Franciscan problem becomes relevant for modern non-extractive funds. A fund that refuses extraction still has costs. It needs due diligence, legal work, accounting, governance, reporting, stewardship, technical assistance, compliance, portfolio support, and administration. These functions do not perform themselves: people must be paid, systems maintained, audits run. If no costs are covered, the institution may collapse or become dependent on hidden subsidy. But if costs are over-recovered, or if fees become disconnected from service, then the fund begins to reproduce the extractive logic

it rejects.

The Monti therefore help distinguish cost recovery from profit entitlement. Cost recovery asks: what does this institution actually need in order to serve? Profit entitlement asks: what can capital demand because it has power, risk, or opportunity? The first may be compatible with non-extractive finance. The second must be scrutinized. A moral institution may charge enough to sustain its mission. It may not transform mission into a justification for unlimited surplus.

This also means that a non-extractive institution must be willing to audit itself. The danger is not only external usury. The danger is internal drift. A small administrative charge becomes a standard fee. A standard fee becomes a margin. A margin becomes a revenue expectation. A revenue expectation becomes a business model. A business model begins to shape the institution's behavior. Eventually the institution created to protect borrowers may come to rely on borrower payments in ways that subtly compromise its mission.

The Franciscans understood this danger because they understood poverty not merely as an economic condition, but as a spiritual discipline. To serve the poor requires more than good intentions. It requires ongoing resistance to possession, accumulation, status, and institutional self-protection. A charitable lender can become attached to its own survival. It can begin to justify burdens on the poor because those burdens sustain the institution. The Franciscan witness presses the question: does the institution exist for the poor, or have the poor become the means by which the institution exists?

This question is uncomfortable, but necessary, and every mission-driven financial institution faces it. The Monti remind us that even mercy needs governance, and every nonprofit, cooperative lender, impact fund, steward-owned vehicle, and non-extractive capital structure must ask whether the mission remains primary or whether the financial mechanism has taken on a life of its own.

In the history of the extrinsic titles, the Franciscan problem widens the inquiry. We are no longer dealing only with individual lenders and borrowers, but with institutions built to mediate capital morally. The question is not simply whether one creditor may receive surplus from one debtor. It is whether an institution may collect charges in order to make non-usurious lending possible. That requires a different but related moral logic: labor may be paid, expenses may be reimbursed, administration may be sustained, but capital must not turn the poor into a source of gain.

The Monti di Pietà were therefore not loopholes in the usury doctrine. They were experiments in moral infrastructure. They asked whether a society could build credit institutions that served the vulnerable without exploiting them. They recognized that the poor need more than exhortation; they need alternatives. But they also recognized that alternatives must be morally governed, or they will drift.

The Franciscan problem remains ours. How do we build financial institutions that are sustainable but not extractive? How do we pay for real work without creating hidden yield? How do we recover costs without burdening the very people we intend to serve? How do we keep administration from becoming accumulation? How do we ensure that capital, labor, governance, and accounting remain ordered toward mercy?

The answer begins where the Franciscans began: with a refusal to let need become profit, and with a willingness to design institutions that make that refusal practical.

31.2 Monti di Pietà

The Monti di Pietà were among the most important institutional experiments in the history of Christian moral finance. They were not merely charitable funds, nor were they ordinary banks with pious decoration. They were designed to answer a very specific problem: how can the poor obtain small loans without falling into the hands of usurers?

The name itself points to their purpose. A *mons pietatis* was a “mountain” or fund of mercy: a pooled store of resources intended to serve the needy. These institutions lent small sums, usually against pledges, to people who needed temporary relief. The borrower might bring a cloak, tool, household item, piece of jewelry, or other object as collateral. The Monte would advance money, hold the pledge, and return it when the loan was repaid. The goal was not speculation but mercy organized into durable form.

But mercy, once institutionalized, requires administration. A private almsgiver can hand a coin to a poor neighbor and walk away. A public lending institution cannot. It must receive pledges, record loans, guard property, manage repayments, assess values, prevent fraud, pay staff, rent or maintain buildings, keep accounts, and absorb some losses. The work of charity becomes embodied in procedures, desks, ledgers, locks, scales, clerks, rooms, and rules. Without these, the institution cannot function. With them, it incurs costs.

This is why the Monti became central to the usury debate. They were created to fight usury, yet they often charged small amounts above principal to cover operating expenses. Critics asked the obvious question: if a borrower receives ten and must repay ten plus a fee, is this not usury? Does the lender’s charity change the nature of the payment? Can an institution founded to oppose usury require more than principal without contradicting itself?

The defenders of the Monti answered by distinguishing profit from reimbursement. The charge was not supposed to be a return on capital, a price for the use of money, or a reward for the mere passage of time. It was meant to cover the costs of administering the loan. Clerks had to be paid, pledges stored, accounts maintained, buildings supported. If these costs were not covered, the institution would collapse, and the poor would return to predatory lenders.

This is where the Monti connect to the adjacent titles of *stipendium laboris* and expense reimbursement. *Stipendium laboris* refers to compensation for labor. Expense reimbursement refers to repayment of costs actually incurred. These are not identical to the four major extrinsic titles, but they belong to the same moral universe. They ask whether a payment above principal is tied to a real burden external to the loan itself. If the burden is real, necessary, proportionate, and not profit-seeking, the payment may be morally different from usury.

This distinction is crucial. The Monte could not simply say, “We are a good institution, therefore our charges are good.” Its moral legitimacy depended on the character of the charge. Was the payment truly connected to labor and expense? Was it limited to what was necessary? Was it calculated in a way that avoided profit extraction? Was it transparent? Was it proportionate to the administrative burden? Was the poor borrower being served, or made, little by little, to sustain an expanding institution?

The Monti therefore required a different kind of moral accounting. If the institution claimed to charge for expenses, the expenses had to be identifiable; if it claimed to charge for labor, the labor had to be real. If the charge exceeded the cost, the surplus became morally suspect. The distinction between reimbursement and profit could not remain in the realm of intention alone. It had to become visible in the books.

This is one of the most important lessons the Monti offer to modern moral finance. A

fee is not justified merely because it is called a fee. A management charge is not automatically non-extractive because the institution has a mission. An administrative cost is not morally clean simply because administration is necessary. The charge must correspond to reality: real work, real expense, real institutional need. Otherwise, cost recovery becomes a pious name for yield.

The Monti also reveal why collateral is morally ambiguous. On one hand, pledges made the lending model possible: they reduced losses, protected the common fund, and allowed loans to be offered at lower cost. The pledge was not necessarily a tool of domination; it could be a way to make charitable credit sustainable. On the other hand, taking pledges from the poor always carries danger. A cloak, tool, or household object may have value beyond its market price. It may be necessary for work, warmth, dignity, or family life. The institution therefore had to treat pledges not merely as security, but as objects embedded in human need.

Here the biblical memory of the cloak returns. In Exodus, the cloak taken in pledge must be returned by night, because it is the poor person's covering. That text does not abolish pledges altogether, but it subjects them to mercy. A pledge is not just collateral. It may be a person's life-support. The Monti, if faithful to their purpose, had to remember that the poor borrower was not a risk unit, but a neighbor.

This is why charitable pawn-lending required moral restraint. The institution had to avoid lending so little against pledges that the poor were effectively dispossessed, avoid harsh forfeiture, avoid turning unredeemed pledges into a revenue strategy, and avoid designing the system so that default became profitable. The same anti-abuse logic used for *poena conventionalis* applies here: if the institution benefits from borrower failure, the structure becomes suspect.

The administrative charge also had to avoid becoming proportional interest in disguise. A small fee for processing and storing a pledge may be legitimate. But if the fee rises automatically with time or principal in a way that resembles yield, the usury question returns. Is the borrower paying for actual work, or for the use of money? Does the institution incur more labor because the loan lasts longer, or is time simply being monetized? Does the fee correspond to cost, or does cost provide a cover for return?

This distinction remains decisive for modern analogues. A non-extractive fund may need to charge management fees. It may need to recover legal costs, accounting costs, due diligence costs, audit costs, and stewardship costs. But each charge should be able to answer the Monte question: what real work or expense does this payment cover? If the answer is vague, the charge should be suspect. If the charge grows with assets merely because that is market standard, the moral basis must be examined. If the fee continues after the work has been done, it may have drifted from reimbursement toward entitlement.

The Monti also show that moral finance requires institutional limits. Good intentions at founding are not enough. An institution created to serve the poor can gradually begin to serve itself. Salaries can rise, buildings can expand, administration can become heavy, reserves can become excessive, fees can normalize, and borrowers can become a revenue base. The original mission may still be named, while the actual structure slowly shifts. This is mission drift in its early form.

To prevent this, the Monti needed governance, scrutiny, and public moral accountability. Their defenders had to persuade Church authorities that the charges were not usurious. Their practices were debated and their structures examined. Their legitimacy depended not only on compassion, but on disciplined institutional design. The lesson is clear: if a financial institution claims a moral exemption from ordinary profit logic, it must accept a higher burden of transparency.

This is especially relevant for non-extractive capital today. If a fund claims not to be

extractive, it should be willing to show how fees are calculated, how costs are documented, how surplus is capped, how mission is protected, how borrower or portfolio-company vulnerability is respected, and how downside is shared. It cannot simply invoke impact, stewardship, Catholic Social Teaching, solidarity, or mission. The Monti remind us that moral language must become accounting practice.

The Monti di Pietà therefore occupy an important place in the history of the extrinsic titles because they demonstrate that not every payment above principal is usury, but also that every such payment must be justified. Their charges were defended as necessary for labor and expense, not as profit on the loan. That defense was morally serious only insofar as the charges actually remained within those limits.

They also show that non-extractive finance is not costless finance. To serve the poor well requires work. To administer capital justly requires infrastructure. To protect against fraud and drift requires systems. The question is not whether an institution may survive. The question is how it survives, on whose back, and with what limits.

At their best, the Monti were institutions of mercy made operational. They did not merely condemn usury. They built an alternative. They tried to create a form of credit in which the poor could receive help without becoming prey. Their small charges, when properly limited, were not meant to make money fruitful for its own sake. They were meant to make mercy sustainable.

That is the enduring significance of the Monti di Pietà. They teach that moral finance must do more than refuse extraction. It must build institutions that can serve without exploiting, sustain themselves without accumulating unjustly, and keep their accounts ordered toward mercy. Their question remains ours: how can the necessary costs of serving life be covered without turning life itself into the source of profit?

31.3 Bernardino and Antonino

Bernardino of Siena and Sant'Antonino of Florence stand at the center of the moral defense of the Monti di Pietà. They are important because they show that the Franciscan and late-medieval concern with usury was not merely negative. It did not only condemn. It also tried to build. These theologians and preachers understood that if the poor were to be protected from usurers, alternative institutions had to exist. The question was not whether the Church should care about credit. The question was what form credit could take without becoming extraction.

Bernardino's role is especially significant because he combined moral rigor with pastoral realism. He was deeply suspicious of usury, greed, and commercial vice, but he was not blind to the economic conditions of ordinary people. He knew that the poor often needed small amounts of money to survive crises, that artisans, widows, laborers, and households could be trapped by predatory lenders, and that denunciation without institutional alternative could leave them with no practical help. The Monti answered this pastoral problem by creating a structured form of charitable lending.

Bernardino's defense of these institutions therefore did not weaken the anti-usury tradition. It gave it a concrete social form. The point was not to make lending profitable. The point was to prevent the poor from being driven into ruin by those who made lending profitable. A Monte could serve as a kind of public work of mercy: a financial instrument ordered not toward enrichment, but toward relief, stability, and household preservation.

Yet Bernardino also understood that an institution of mercy could drift. A charge above principal might be necessary to cover labor and expense, but it could not be allowed to become a profit claim. The moral boundary was the difference between sustainability

and extraction. Sustainability meant that the institution could pay necessary staff, keep accounts, safeguard pledges, maintain buildings, and continue lending. Extraction meant that the institution began to treat the borrower's need as a source of gain.

This distinction is fundamental. The Monti were defended not because they were exempt from moral scrutiny, but because their charges could be interpreted as cost recovery rather than usury. The charge had to correspond to real work and real expense, had to be limited, had to serve the institution's charitable purpose, and could not become a hidden return on capital. Bernardino's practical moral theology therefore insisted that institutional usefulness did not erase the need for moral limits.

Sant'Antonino of Florence deepens this tradition of practical discernment. As a Dominican theologian, archbishop, and moral guide, Antonino stands as one of the great figures of late-medieval pastoral economics. His importance lies in his careful attention to real cases, commercial practice, conscience, and the dangers of disguised usury. He was not content with abstract principles alone; he wanted moral theology capable of guiding merchants, confessors, civic leaders, lenders, borrowers, and institutions.

Antonino's treatment of lending, commerce, and just exchange belongs to a larger project of moral governance. Economic life had to be ordered to justice, charity, and the common good. But this ordering required distinctions. A merchant's profit could be licit when tied to labor, risk, service, or public utility; a penalty, when truly penal and not a fraud; compensation for loss, when real; a charitable lending institution's charge for administration, when necessary and restrained. In each case, the question was not simply whether money changed hands, but why.

This is why Antonino is such an important bridge figure. He preserves the anti-usury tradition while helping it deal with complex urban economies. Florence was not an abstract theological classroom. It was a commercial city, full of banking, trade, guilds, political conflict, poverty, and wealth. A moral theologian in such a setting could not avoid the question of institutions. The poor needed help. Merchants needed guidance. Civic authorities needed forms that could serve the common good. Antonino's moral theology tried to supply that guidance without surrendering to commercial convenience.

Together, Bernardino and Antonino show that the defense of the Monti depended on moral boundaries. The first boundary was purpose. The institution had to exist for the poor, not for investors, administrators, civic prestige, or institutional self-expansion. Its reason for being was mercy. If that purpose changed, the moral status of its charges changed with it.

The second boundary was proportionality. Charges had to correspond to real costs. A small administrative payment might be defensible. A charge designed to generate surplus would not be. The amount mattered because excess reveals intention. A fee far beyond the cost of labor and administration begins to look less like reimbursement and more like yield.

The third boundary was transparency. If the charge is justified by expense, the expense must be visible. The books become part of the argument: without accounting, the moral distinction between reimbursement and profit cannot be maintained, and the institution must be able to show what it costs to operate.

The fourth boundary was anti-abuse. The Monte must not profit from default. It must not design repayment terms so that borrowers are likely to fail. It must not use pledges harshly. It must not turn forfeited goods into a revenue strategy. It must not become dependent on the misfortune of those it serves. Here the anti-abuse logic of the other extrinsic titles returns. A legitimate title becomes illegitimate when the institution begins to desire the event that triggers payment.

The fifth boundary was care for the borrower's dignity. A poor borrower is not merely

a client, account, pawn ticket, or credit risk. He is a neighbor. The pledged object may not be merely collateral. It may be connected to work, family, warmth, memory, or survival. The institution's procedures must therefore be shaped by mercy as well as efficiency.

These boundaries are what distinguish the Monti from ordinary profit-seeking finance. An ordinary lender asks whether the loan can produce return. A Monte, at least in its ideal form, asks whether the borrower can be helped without injustice. The difference is not cosmetic: a Monte must not only lend differently, it must want differently, and the wanting shows up in pricing, enforcement, governance, accounting, and institutional culture.

This point is essential. Bernardino and Antonino were not defending a technical loophole. They were defending a moral form. A charitable lending institution could charge for costs only because its purpose, structure, and limits differed from those of a usurer. Remove those limits, and the same charge becomes suspect. The institution's moral identity depends on continual discipline.

This has direct implications for modern non-extractive finance. A mission-driven fund cannot justify fees or returns merely by pointing to its mission. It must show that the charges are ordered to the mission and limited by it. Management fees must correspond to real stewardship labor. Administrative charges must correspond to actual costs. Risk compensation must correspond to real loss-bearing. Any surplus must be governed by the question: does this serve the enterprise, the worker, the community, and the mission, or does it turn them into sources of capital growth?

Bernardino and Antonino also teach that practical institutions need public moral imagination. It is not enough to say that lending should be charitable. One must design an institution capable of doing charitable lending in the real world. This means procedures, reserves, staff, records, governance, and accountability. It also means spiritual vigilance: the institution must continually return to its purpose. Otherwise, practicality becomes the path by which the original moral vision is lost.

The Monti therefore show how moral theology becomes institutional architecture. The scholastic distinction between compensation and usury is not only a matter for confessors and books. It shapes how ledgers are kept, how fees are calculated, how pledges are treated, how defaults are handled, and how administrators are paid. The moral doctrine becomes visible in the operating model.

This is why Bernardino and Antonino matter beyond their historical moment. They represent an approach to finance that is neither naively anti-institutional nor complacently permissive. They know that institutions are necessary, that costs must be covered, and that commerce and credit cannot simply be wished away. But they also know that financial structures must be subordinated to justice and mercy. Practical necessity is real, but it is not sovereign.

The distinction between sustainability and profit extraction is therefore one of their enduring contributions. A charitable or mission-driven institution may need money to continue serving. But the need to survive can become an idol. If institutional sustainability becomes detached from the people served, the institution's charges begin to protect the institution rather than the vulnerable. The Monti are legitimate only insofar as their sustainability remains ordered to mercy.

For modern purposes, the lesson is sharp. A fund, foundation, steward-owned structure, or non-extractive capital vehicle should ask: What costs are truly necessary? Who benefits from each fee? Are charges capped? Are they reviewed? Are borrowers or portfolio companies protected from fee drift? Does the institution become more prosperous when those it serves struggle? Are defaults treated as failures of mercy or as revenue events? Are the accounts intelligible enough to prove that cost recovery has not become extraction?

Bernardino and Antonino would not let us hide behind good intentions. They would ask whether the structure itself is ordered toward the good, whether the institution's revenue depends on the vulnerability of the poor, and whether the charge is truly labor, expense, or loss, or simply usury with a Franciscan face.

Their defense of the Monti is therefore both encouraging and demanding. Encouraging, because it shows that Christian moral theology can inspire practical financial innovation. Demanding, because it shows that such innovation must be governed by strict moral boundaries. The Church can bless institutions that serve the poor. But it must also scrutinize them, because even institutions of mercy can drift toward self-interest.

In the end, Bernardino and Antonino teach that moral finance is not a refusal of practicality. It is practicality converted. It is the design of institutions that can survive without extracting, lend without dominating, charge without profiteering, and administer mercy without losing the spirit of mercy itself.

31.4 Fifth Lateran Council

The controversy over the Monti di Pietà eventually required ecclesial judgment. The question was too important, and too contested, to remain only a matter of local practice or theological debate. These institutions had been founded to protect the poor from usury, yet they charged small amounts above principal to cover their expenses. Critics saw contradiction. Defenders saw necessary institutional mercy. The Church had to decide whether such charges were usurious, or whether they could be justified as something other than profit from the loan.

The Fifth Lateran Council gave decisive support to the Monti di Pietà (the bull *Inter multiplices*, 1515). Its approval mattered because it recognized an essential distinction: not every payment above principal is usury. A charge may be illicit if it is demanded as gain from the loan itself. But a charge may be legitimate if it corresponds to real labor, real expense, and institutional necessity. The Council's judgment did not abolish the usury doctrine. It clarified how the doctrine applied to a practical institution created for the relief of the poor.

This was a crucial moment in the history of moral finance. The Church was not saying that charitable intention makes any charge lawful. Nor was it saying that the poor may be burdened at will so long as the lender is religious or philanthropic. Rather, it affirmed that a small and necessary payment could be morally different from usurious gain when it existed to sustain the institution's work. The surplus had to be tied to costs, not to capital's claim to increase.

The distinction is subtle but decisive. In a usurious loan, the creditor demands more because money has been lent. The surplus is attached to the *mutuum* as such. In the properly ordered Monte, the charge is attached to administration: the wages of staff, the keeping of accounts, the custody of pledges, the maintenance of buildings, the operational costs required to continue lending. The borrower is not paying for the mere use of money. The borrower is contributing to the real costs of a charitable credit institution.

This does not make the charge morally trivial. The borrower is still poor. Any additional payment matters. The approval of the Monti therefore had to be read under the discipline of proportionality. A charge that exceeds the actual cost begins to lose its justification. A fee that becomes a source of profit no longer rests on expense reimbursement. A system that relies on borrower failure or forfeited pledges as revenue betrays its purpose. The Council's approval protects the institution only insofar as the institution remains ordered to mercy rather than gain.

The Fifth Lateran Council's approval also shows that moral theology can recognize institutional necessity without surrendering to institutional self-interest. This is important. A purely individualistic view of lending might imagine that every loan is simply a relation between one lender and one borrower. But the Monti were institutions. They required infrastructure, governance, staff, and systems of recordkeeping and accountability. If such an institution could never recover its costs, it could not endure. The Council recognized that mercy sometimes needs administration.

Yet administration is spiritually dangerous. Once mercy becomes institutional, the institution can begin to protect itself. Costs can expand, fees normalize, staff structures grow, reserves swell, and a charitable fund can become attached to its own continuity. The Council's approval must therefore be held together with ongoing scrutiny. Institutional necessity may justify cost recovery, but it does not justify institutional accumulation without limit.

In this sense, the approval of the Monti belongs to the wider logic of the extrinsic titles. The charge is legitimate only if it is extrinsic to the loan as such. It must be grounded in a real external burden: labor, expense, administration, preservation of pledges, accounting, and the maintenance of a charitable service. It is adjacent to *damnum emergens* because it concerns real costs. It is adjacent to *stipendium laboris* because it pays for real work. But it must not become a hidden form of *lucrum* or ordinary yield.

The Council's judgment also demonstrates that the usury doctrine never set itself against finance as such. It set itself against extraction. The Church could condemn usury while supporting institutions of credit. It could oppose profit from the poor while authorizing structures that allowed the poor to borrow safely. It could say no to money breeding money, while saying yes to the careful organization of mercy. This is precisely the distinction that modern readers often miss. The old doctrine did not forbid all financial mediation. It judged the moral source of surplus.

The approval of the Monti therefore has enduring significance. It shows that Christian moral theology can inspire concrete alternatives to predatory finance. The Monti were not simply sermons in institutional form. They were operating systems: funds, ledgers, pledges, clerks, rules, buildings, and procedures. The Church's approval recognized that such systems could serve justice when properly ordered. It also implied that financial design itself is a field of moral theology.

This point is especially important for modern non-extractive capital. A fund, cooperative lender, steward-owned financing vehicle, or mission-locked investment institution may need to charge fees, pay staff, and secure legal support, due diligence, accounting, audit, reporting, and portfolio stewardship. These costs are not automatically extractive. But they must be named honestly, limited, tied to real service, and governed by the mission rather than by capital's appetite.

The Monti also remind us that a just institution must be designed for the people it serves, not merely for its own survival. The question is not simply: can this fee sustain the institution? The question is: does this fee sustain the institution to serve the borrower, or does the borrower now exist to sustain the institution? The Fifth Lateran Council's approval makes sense only under the first condition. The institution exists for mercy. It does not turn mercy into a revenue base.

This distinction matters because "sustainability" is morally ambiguous. In modern institutional language, sustainability often sounds unquestionably good. But any institution can use sustainability to justify growing fees, expanding administration, or protecting itself from sacrifice. The Monti force us to ask: sustainable for what, and at whose expense? A charitable lending institution should be sustainable enough to continue serving the poor, not sustainable by extracting from the poor.

The Council's approval also strengthens the argument that bookkeeping is not morally neutral. If charges are justified by costs, costs must be knowable. Accounts must be kept, expenses separated from profit, labor distinguished from return on capital. Forfeited pledges, late payments, administrative fees, and donations must be tracked. Without this accounting discipline, a lawful charge can drift into usurious practice.

Here the Monti anticipate a central concern of modern moral finance: auditability. A non-extractive financial institution should be able to show why each payment exists. What is reimbursement? What is labor? What is risk? What is reserve? What is surplus? What is mission-related cost? What is capital return? If the institution cannot answer, then it cannot prove that its charges are non-extractive. The Fifth Lateran Council's approval of cost-covering charges implies the need for cost transparency.

The approval of the Monti also complicates any simplistic reading of Franciscan economics. Franciscan poverty did not lead only to withdrawal from economic life. It also generated institutional creativity. The Franciscans saw that the poor needed structures of protection. They were willing to build financial institutions, but only under strict moral conditions. Their poverty sharpened their economic imagination rather than eliminating it.

This is one of the great lessons of the Monti di Pietà: the answer to predatory finance is not merely less finance. It is better finance, governed finance, merciful finance, finance that knows its limits. The Fifth Lateran Council recognized that lending could be organized for the common good when its charges served labor and expense rather than gain from money itself. The Council thereby preserved the usury doctrine while making room for practical mercy.

For modern purposes, the Council's decision suggests a simple but demanding principle: institutional charges can be legitimate when they are necessary to serve life, but they become suspect when they make life serve the institution. A fee for real stewardship work may be just. A fee that grows into hidden yield is not. A reserve for real losses may be prudent. A reserve that becomes capital accumulation without accountability is suspect. A charge for administration may sustain mercy. A charge that burdens the vulnerable for institutional comfort betrays mercy.

The Fifth Lateran Council therefore stands as a major turning point in the history of the adjacent titles. It confirms that labor, expense, and institutional necessity can matter morally. It shows that the usury doctrine is capable of recognizing practical costs. But it also leaves intact the central prohibition: surplus from the loan itself remains illicit. The charge is permissible only because it is not that.

This distinction should shape every modern attempt at non-extractive finance. The question is not whether a fund may have costs. It may. The question is whether those costs are real, transparent, proportionate, mission-ordered, and not converted into capital's entitlement. The Monti were approved because their small charges could be understood as the cost of mercy. That approval becomes morally meaningful only if mercy remains the measure of the cost.

In the end, the Fifth Lateran Council teaches that moral finance must be both principled and practical. It must refuse usury, protect the poor, and build institutions capable of doing so over time. But every institution that handles money must be examined, because the line between service and extraction is never self-enforcing. The Church's approval of the Monti was not permission for financial complacency. It was a disciplined recognition that mercy, if it is to endure, may require administration. But administration must remain servant, not master.

31.5 Lessons for Modern Non-Extractive Funds

The Monti di Pietà offer one of the clearest historical precedents for modern non-extractive finance. They were created to solve a problem that has never disappeared: people and enterprises need capital, but the available forms of capital often exploit their need. The Monti did not respond by saying that credit should not exist. They responded by building institutions whose purpose was to provide credit without usury. In doing so, they showed that moral finance is not merely a doctrine of prohibition. It is also a discipline of institutional design.

This is the first lesson for modern non-extractive funds: condemnation is not enough. If extractive capital dominates the market, then moral critique alone will not help borrowers, founders, workers, or communities. Alternatives must be built. The poor in the late medieval city needed a place to go besides the usurer. Likewise, mission-driven enterprises today need sources of capital other than venture capital that demands exit, private equity that loads companies with debt, or lenders that require guarantees, collateral, and control rights that shift nearly all downside away from capital. Moral economy must become practical infrastructure.

The second lesson is that non-extractive finance still has costs. The Monti needed staff, buildings, ledgers, guards, appraisers, storage, governance, and systems. Modern funds need due diligence, legal work, accounting, auditing, administration, reporting, compliance, portfolio support, impact review, governance stewardship, and sometimes technical assistance. These activities require labor. Labor deserves compensation. An institution that refuses all cost recovery may appear pure, but it may also become fragile, dependent on hidden subsidy, or unable to serve at scale.

The question is therefore not whether costs may be covered. The question is whether cost recovery remains cost recovery. This is the third lesson. A management fee is morally defensible only if it corresponds to real stewardship work; administrative charges, only if they correspond to real administration; due diligence fees, only if due diligence is actually performed and priced proportionately. Legal, audit, and accounting fees must be tied to real services. The moment these payments become disconnected from actual work, they begin to drift from reimbursement into yield.

This is why accounting is morally central. The Monti had to distinguish expenses from profit. Modern non-extractive funds must do the same with far greater precision. Every charge should be classifiable. Is it reimbursement for an actual expense? Is it compensation for labor? Is it a reserve against documented loss? Is it a payment for genuine risk-bearing? Is it a penalty for culpable delay? Or is it simply a return demanded by capital? Without this classification, non-extractive finance remains a slogan rather than a discipline.

The fourth lesson is that fees should be mission-locked. A fund that exists to serve enterprises, workers, communities, or public goods should not allow its fee structure to redirect the institution, by degrees, toward self-preservation or investor satisfaction. Fees should be capped, reviewed, and justified. They should not grow automatically because assets under management grow, unless the work truly grows with them. They should not create incentives to keep companies dependent, prolong unnecessary processes, or maximize administrative complexity. The fee structure must serve the mission, not the other way around.

The fifth lesson concerns due diligence. In extractive finance, due diligence often serves capital protection: how can the investor avoid loss, secure priority, and maximize upside? In non-extractive finance, due diligence must still be serious, but its purpose is different. It should ask whether the enterprise can responsibly receive capital, whether the structure

protects mission, whether repayment expectations are realistic, whether downside is fairly allocated, and whether the financing will strengthen or distort the company. Due diligence becomes a form of stewardship rather than a technique of control.

The sixth lesson concerns audit. The Monti needed oversight because charitable institutions can drift. Modern non-extractive funds need the same, and today's contracts are more complex. An independent audit should not merely check whether money was spent legally. It should check whether the moral claims of the fund are true. Are fees actually covering costs? Are returns actually tied to risk-bearing? Are penalties actually restorative? Are hardship clauses being honored? Are portfolio companies being protected from hidden extraction? Are investor rights consistent with the fund's stated mission?

This kind of audit is not an optional add-on; it is part of the moral structure. If a fund claims to be non-extractive, it must be willing to be examined. The claim cannot rest only on intention, branding, or founding documents. It must be visible in the books, contracts, governance, and lived experience of the companies financed.

The seventh lesson is that borrower and portfolio-company protections must be designed in from the beginning. The Monti existed to protect the poor from predatory lenders. A modern non-extractive fund exists, at least in part, to protect mission-driven enterprises from capital structures that extract control, force premature exits, or shift failure onto workers and founders. This means using grace periods, cure periods, hardship clauses, realistic repayment schedules, caps on fees, limits on penalties, and clear rules for what happens when things go badly. The test of a financing structure is not only how it behaves in success, but how it behaves in distress.

The eighth lesson is that collateral and security must be treated with caution. The Monti used pledges, but the pledge remained morally sensitive because it often belonged to a poor person's household life. Modern funds may use security mechanisms, but they must ask what those mechanisms do to the enterprise. Does collateral protect the fund at the cost of mission? Does a personal guarantee place founders or families in danger? Does seniority push losses onto workers, suppliers, or community stakeholders? Does capital claim risk compensation while also protecting itself through security? If so, the moral claim to risk-bearing weakens.

The ninth lesson is that sustainability must not become extraction. The Monti needed to survive in order to serve, but survival can become an idol. The same danger applies to modern funds. A fund may begin with a mission to serve enterprises, then gradually become organized around its own budget, staff, reputation, investor reporting, and growth. What began as service becomes institutional self-protection. A non-extractive fund must therefore ask regularly: are we sustaining ourselves in order to serve, or are the enterprises now serving our sustainability?

The tenth lesson concerns governance. The Monti required public and ecclesial scrutiny because they handled money in the name of mercy. Modern non-extractive funds need governance structures that protect mission from investor pressure, founder charisma, managerial drift, and financial normalization. This may require steward ownership, asset locks, mission locks, independent guardians, borrower representation, community oversight, transparent reporting, or other mechanisms that prevent capital from slipping into control. Governance is not separate from finance. It is the structure that determines whether finance remains obedient to its purpose.

The eleventh lesson is that administration can be a form of charity. This is easy to forget. Ledgers, audits, loan records, payment schedules, classification systems, and governance minutes may seem dry compared with preaching mercy. But if the institution exists to prevent extraction, accurate administration is part of the work of mercy. Bad accounting allows drift. Vague fees hide extraction. Unclear contracts shift risk invisibly. Poor records

make accountability impossible. Administration, rightly ordered, protects the vulnerable.

The twelfth lesson is that non-extractive funds should distinguish between reimbursement, compensation, and return. Reimbursement restores an expense. Compensation pays for labor, loss, or genuine risk-bearing. Return, in the extractive sense, is what capital demands because it is capital. A moral fund may reimburse expenses, compensate labor, and allow proportionate surplus where capital truly bears downside. But it must resist the idea that money deserves growth simply because it has been deployed.

This distinction should shape the entire capital stack. Management fees should correspond to work. Administrative fees should correspond to cost. Risk-sharing returns should correspond to actual loss exposure. Late penalties should correspond to real harm and should not be desired as revenue. Reserves should correspond to prudent mission protection, not accumulation for its own sake. Investor distributions should be bounded by the moral purpose of the fund.

The thirteenth lesson is that mission language must be translated into contract terms. It is not enough to say that capital is patient, steward-owned, solidarity-based, Catholic, Franciscan, impact-oriented, or non-extractive. The contract must show it. What happens if revenue drops? What happens if repayment threatens payroll? What happens if the company refuses an exit? What happens if mission conflicts with investor return? What happens if the fund itself faces pressure? A mission that does not govern these moments is not yet structurally real.

The fourteenth lesson is that the fund should not profit from failure. This was a crucial concern in late penalties and charitable pawn-lending. If default, delay, distress, or forfeiture becomes lucrative for the financing institution, incentives are corrupted. A non-extractive fund should prefer healthy repayment, mission preservation, and enterprise flourishing. Its contracts should not make distress more profitable than success. If late fees, default interest, collateral seizure, or restructuring charges become revenue sources, the fund has begun to resemble the systems it was meant to replace.

The fifteenth lesson is that the people served must remain visible. The poor borrower at the Monte was not merely a pawn ticket, and the modern portfolio company is not merely an asset. Founders, workers, users, suppliers, communities, and missions are all affected by financing structure. A non-extractive fund should therefore ask not only whether the investor is treated fairly, but whether the whole ecosystem is protected from unreasonable downside. This is especially important in digital infrastructure, healthcare, food systems, education, and other fields where mission failure harms more than shareholders.

The sixteenth lesson is that non-extractive finance should be willing to be less lucrative than extractive finance. This seems obvious, but it is often avoided. If the point is to prevent extraction, capital cannot expect the same upside it receives in structures designed to maximize capital. Cost recovery, modest compensation, and proportionate risk-sharing are not the same as market-rate extraction with better branding. A fund that promises non-extraction while preserving conventional return expectations may be trying to serve two masters.

The seventeenth lesson is that non-extractive funds need drift countermeasures. The Monti themselves became historical examples of both innovation and vulnerability. Any institution can drift. Modern countermeasures might include capped returns, open-book fee reporting, mission guardians, independent ethics review, borrower feedback mechanisms, periodic contract audits, transparent surplus classification, limits on related-party payments, and rules preventing the stacking of fees, penalties, and premiums. These are not bureaucratic burdens. They are the modern equivalent of confessional scrutiny.

The eighteenth lesson is that technology can help, but only if it is morally designed. A dashboard or simulator can classify payments, test risk allocation, flag double-counting,

compare contract forms, and show who bears downside under different scenarios. But the software must be built around the right moral questions. It should not simply optimize returns. It should ask whether surplus is justified, whether titles are documented, whether risk is borne or shifted, whether fees match costs, and whether the structure serves life. In this sense, code can become a kind of moral ledger.

The nineteenth lesson is that non-extractive funds should not hide subsidy. Some mission-driven finance will require grants, donations, public support, volunteer labor, or concessionary capital, and that is not shameful. The Monti themselves often depended on charitable foundations, civic support, or donations to build their lending capital. The danger is pretending that a structure is self-sustaining when it depends on unacknowledged sacrifice. Hidden subsidy can obscure the true economics of mercy. Better to name clearly what is paid by borrowers, what is paid by donors, what is paid by investors, and what is absorbed by the institution.

The twentieth lesson is that capital must be converted from master to servant. This is the deepest continuity between the Monti and modern non-extractive finance. The issue is not merely the amount charged but the role capital plays. Does capital command the institution, or does it serve the institution's mission? Does it demand guaranteed growth, or does it accept limits? Does it stand above the borrower, or alongside the borrower? Does it use legal rights to protect itself from loss, or does it share vulnerability in a disciplined way?

The Monti di Pietà show that Christian moral finance is not anti-institutional, anti-accounting, or anti-practical. It is intensely practical. It asks how mercy can be organized without becoming exploitation, how administration can be paid without becoming extraction, how capital can be pooled without becoming sovereign, and how the vulnerable can receive help without becoming a revenue source.

For modern non-extractive funds, the lesson is clear: build the institution, but bind it. Pay for the work, but prove the work. Recover costs, but cap them. Share risk, but do not merely price it. Use contracts, but make them instruments of mercy. Keep accounts, but let the accounts serve conscience. Protect the fund, but not at the expense of those it exists to serve. Above all, never let the language of mission excuse the return of usury in institutional form.

The Monti were approved because they made a difficult claim plausible: a payment above principal can be lawful when it sustains the work of mercy rather than rewarding capital as such. That claim remains available to modern non-extractive finance. But it remains true only under the same discipline. The payment must be real, limited, transparent, proportionate, mission-ordered, and accountable. Otherwise, the mountain of mercy becomes a mountain of debt.

Carentia Pecuniae and the Edge of Modern Interest

32.1 Definition

The phrase *carentia pecuniae* means, quite literally, the lack, absence, or deprivation of money. At first glance, it sounds almost harmless. A lender parts with money for a certain period; during that period the lender no longer has it, and the borrower has use of it instead. Should the lender not be compensated for this temporary deprivation?

This is precisely why *carentia pecuniae* sits at the dangerous edge of modern interest. It seems to name something real. The lender is indeed without money for a term. The money cannot be used elsewhere, spent, invested, pledged, lent, or held as liquid reserve. In ordinary modern financial language, this sounds like a liquidity premium, a term premium, or even simply the time value of money. But from within the older scholastic framework, the matter is much more delicate. If the mere absence of one's money for a period of time is enough to justify surplus payment, then almost every loan can generate a return simply because time has passed. And if that is true, then the old prohibition against usury has been emptied from within.

To understand the title, we must distinguish it carefully from *lucrum cessans*. *Lucrum cessans* concerns profit foregone. The lender says, in effect: "Because I lent this money to you, I was unable to use it in a concrete, profitable activity that I otherwise would have undertaken." In its stricter form, this title requires more than a vague appeal to possibility. It requires a real alternative use, a genuine intention to use the money in that way, a probable or reasonably determinate profit, and a causal connection between the loan and the lost gain. It is not enough to say, "Money can always earn something somewhere." The claim must be anchored in a concrete interrupted opportunity.

Carentia pecuniae shifts the emphasis. It does not necessarily claim that a specific profit was lost, but that being deprived of money for a fixed period is itself a compensable burden. The lender's money is tied up. The lender cannot call it back. The lender accepts a period of illiquidity. The title therefore moves from "I lost this concrete gain" toward "I was without my money for this term." That shift may look small. Morally it is enormous.

In the stricter scholastic imagination, money lent in a *mutuum* has passed into the ownership of the borrower. The borrower does not owe the identical coins, but an equivalent amount of the same kind. The lender has not rented out a thing while retaining ownership of it, as in a lease. Nor has the lender entered a partnership in which capital remains exposed to shared gain and loss. The lender has transferred ownership and retains a personal claim to repayment of the equivalent principal. This is why the tradition was so suspicious of charging merely for the "use" of money. In a consumable loan, the use of the thing cannot be separated from the thing itself. To sell the thing and then also sell its use is, in Aquinas's classic analysis, to sell the same thing twice.

The title of *carentia pecuniae* presses against that boundary. It asks whether the lender may be compensated not for the use of money as such, but for the inconvenience, depri-

vation, or binding of liquidity that results from committing money for a term. This is not exactly the same as selling the use of money, nor exactly the same as compensating actual loss. It lives in the gray zone between them.

This gray zone explains both the attraction and the danger of the title. On the one hand, there may be cases where the lender really does incur a burden by being deprived of funds. A merchant may be unable to meet obligations. A household may lose flexibility. A charitable institution may have to keep reserves available for its mission. A fund may be unable to redeploy capital for a defined purpose. To be without money can be a real cost, especially when liquidity itself has practical value.

On the other hand, once this burden is abstracted from concrete loss, concrete foregone gain, or genuine shared risk, it begins to resemble ordinary interest. The lender need not show that anything actually went wrong, need not prove a specific missed opportunity, and need not bear the downside risk of a partnership. The lender only needs to say: "I was without my money for a time." From there, the logic of modern finance is very close: money today is worth more than money tomorrow; therefore, delayed repayment must command a price.

Scholastic moral theology resists precisely this automatic monetization of time. Time, by itself, is not a moral title. The passage of time does not automatically create a right to surplus. A delay may cause damage, and then *damnum emergens* may apply. A delay may interrupt a concrete profitable use, and then *lucrum cessans* may apply under strict conditions. A transaction may expose capital to genuine loss, and then *periculum sortis* may be relevant. But mere duration is not enough. The lender must be able to name the real burden that justifies compensation.

This is why *carentia pecuniae* is related to *lucrum cessans* but distinct from it. *Lucrum cessans* says: "Because of this loan, this gain ceased." *Carentia pecuniae* says: "Because of this loan, I was deprived of money for a term." The first points toward a lost use and can remain tied to concrete commercial reality; the second points toward illiquidity itself, and can easily become a universal claim that all money, simply by being absent from its owner, deserves growth.

Here the older theological question returns in a sharper form: what exactly is being compensated? If the answer is actual loss, the title belongs under *damnum emergens*. If the answer is a concrete foregone gain, the title belongs under *lucrum cessans*. If the answer is genuine exposure of principal to loss, the title belongs under *periculum sortis*. But if the answer is simply "the lender did not have the money for a while," then the title risks becoming indistinguishable from interest on a loan as such.

That is why *carentia pecuniae* must be treated as a border concept. It reveals the pressure that commercial life placed on the inherited usury doctrine; it acknowledges that liquidity matters and that committing money for a term can impose constraints. But it also exposes the point at which compensation can shade into extraction, and at which an external title can become a general price for time.

In modern language, *carentia pecuniae* is the scholastic ancestor of the liquidity premium and the time value of money. But unlike modern finance, the scholastic tradition does not begin by assuming that money must grow because time has passed. It asks instead whether the absence of money has created a real, demonstrable, proportionate burden external to the loan itself. Only then can compensation be considered. Without that discipline, *carentia pecuniae* becomes not a title but a solvent, dissolving the distinction between restorative payment and usurious yield.

32.2 Lessius

Leonardus Lessius stands at one of the most important transition points in the history of scholastic moral finance. By the time Lessius writes, the older medieval prohibition against usury has not disappeared; it remains formally intact. A lender may not simply profit from a *mutuum* as such. The borrower, having received ownership of the money, owes back the equivalent principal. To demand more merely because money was lent remains morally suspect.

And yet the commercial world around Lessius had become far more complex than the world assumed by the simplest form of the usury prohibition. Merchants needed working capital. Trade required timing. Money could be held, deployed, reserved, pledged, converted, exchanged, or locked into ventures. The problem was no longer only the poor borrower in immediate need, though that remained morally central. The problem was also the merchant, the investor, the city, the charitable institution, and the lender whose money might be tied up in one place when it could have been used elsewhere.

Lessius's importance lies in his taking this commercial complexity seriously without simply abandoning the inherited doctrine. He does not say, in modern fashion, that money automatically has a price through time. Nor does he reduce the old usury doctrine to a primitive misunderstanding. Instead, he works within the scholastic apparatus of titles, contracts, intentions, losses, risks, and compensable burdens. His treatment of *carentia pecuniae* belongs inside this broader effort to distinguish illicit gain from morally intelligible compensation.

The key move is subtle. The lender, according to this line of thought, may suffer a burden not only because a concrete profit has been lost, but because he has committed money for a definite period and therefore cannot recall it. The lender has accepted a term. The money is unavailable. It cannot be used to meet obligations, respond to new opportunities, protect against uncertainty, or serve other purposes. The burden is not necessarily a proven lost profit in the strict sense of *lucrum cessans*. It is the condition of being without one's money for the agreed duration.

Lessius is therefore associated with the development of *carentia pecuniae* as a distinct and dangerous title. The title does not simply say, "I could have earned a profit elsewhere." That would be *lucrum cessans*, and it would require proof of a concrete alternative. Instead, it says something closer to: "By agreeing not to call this money back for a term, I have accepted a real limitation. I have surrendered liquidity. I have bound myself." The compensable element is not simply the loan, but the term commitment attached to the loan.

This distinction matters because it attempts to separate the price of the loan from the price of the lender's restraint. If the lender could call back the money at any moment, the borrower would receive less security. A fixed term gives the borrower stability, permits planning, and protects against sudden recall. In modern language, the lender has provided not only money, but also a commitment of duration. Lessius's analysis allows the question to be asked: is that commitment itself something for which compensation may be due?

There is a real practical insight here. A term is not nothing. A promise not to demand repayment immediately can have value to the borrower. A lender who locks funds away for a year is in a different position from someone who keeps funds instantly available. Liquidity can matter morally because it matters practically. The ability to respond, pay, invest, rescue, or adapt is part of the real economy of human action. Lessius sees that the deprivation of money can be more than a fiction.

But the moral danger appears at exactly the same point as the insight. If the lender may be compensated simply because the money is unavailable for a term, then the old usury

prohibition is placed under severe strain. For every ordinary loan deprives the lender of money for some period. Every term loan involves a commitment. Every borrower receives the benefit of time. If *carentia pecuniae* is admitted too broadly, then the lender no longer needs to show actual loss, concrete foregone profit, or real exposure of capital to loss. The passage of time plus lack of liquidity becomes enough.

Lessius's treatment therefore belongs to the edge of modern money-market logic. It approaches the idea that time-bound liquidity has a price, and begins to see that money available now and money unavailable until later are not economically identical. But the scholastic question remains: does this difference justify surplus in justice, or does it merely describe the economic desire of the lender?

This is where the older categories still discipline the analysis. A term commitment might be compensable if it produces a real burden external to the bare loan. But it cannot be allowed to become a general permission to charge for time. The lender must not smuggle ordinary interest back into the contract by redescribing every loan as a deprivation of liquidity. The title must remain attached to something morally specific: a concrete commitment, a real limitation, a proportionate burden, and a genuine benefit to the borrower that is distinct from the mere use of the principal.

The distinction is difficult to maintain. In practice, *carentia pecuniae* can slide toward *lucrum cessans*, toward *damnum emergens*, or toward ordinary interest. If the lender says, "I lacked money and therefore had to borrow elsewhere," the claim begins to resemble actual loss. If the lender says, "I lacked money and therefore missed a concrete profitable transaction," the claim begins to resemble foregone profit. If the lender says, "I lacked money and therefore deserve compensation because money over time deserves payment," the claim begins to look like usury.

Lessius's importance is that he forces this ambiguity into the open. He does not allow the moral theologian to pretend that liquidity has no value. But neither does his framework allow the financier to pretend that every inconvenience of capital is automatically a moral title. His analysis reveals the increasingly fine line between compensation and yield, between commercial realism and doctrinal erosion, between a legitimate term commitment and the monetization of time itself.

For modern readers, Lessius is especially important because he helps us see how close late scholastic thought came to the conceptual machinery of modern finance. A lock-up period, a liquidity premium, a commitment fee, a term spread, a standby facility: all of these can be read as descendants of the problem that *carentia pecuniae* names. The lender gives up flexibility. The borrower receives stability. The question is whether the resulting payment is proportionate compensation for a real burden, or whether it has become a normalized return on money because money was absent for a while.

This is why Lessius should not be read simply as a permissive theologian who opened the door to interest. He should be read as a diagnostician of a changing economy. He saw that the moral world of lending could not be reduced to a single abstract formula. Money could be sterile in one contract and commercially entangled in another. A term could be a disguised price for time, or it could be a real commitment with practical consequences. The task of moral theology was not to bless every surplus, but to ask with precision what the surplus was really for.

In this sense, Lessius brings the usury tradition to a threshold. On one side stands the older rule: surplus from the *mutuum* itself is usury. On the other side stands modern finance: money has a time value, and therefore the future payment must exceed the present advance. *Carentia pecuniae* stands in between. It tries to say that being without money can matter, without conceding that time itself is a sufficient title. Whether that middle ground can be held is the question that will trouble later authors, especially Lugo.

32.3 Lugo's Criticism

Juan de Lugo saw the danger clearly. If *carentia pecuniae* were admitted too broadly, the usury doctrine would be in danger of dissolving. The problem was not that the absence of money could never matter. The problem was that the title could become so general that no loan would remain usurious. Every lender could say, "I am without my money." Every borrower could be charged for the term. Every act of lending could be reframed as a compensable deprivation. What had once been forbidden as gain from the loan itself would return under a more sophisticated name.

Lugo's criticism therefore strikes at the heart of the title. A true extrinsic title must be external to the *mutuum*. It must name something other than the bare fact that money has been lent and will be repaid later. *Damnum emergens* can do this when the lender suffers an actual loss. *Lucrum cessans* can sometimes do this when a concrete, intended, probable gain is interrupted by the loan. *Periculum sortis* can do this when the lender genuinely bears the risk of losing principal. But *carentia pecuniae* threatens to name nothing more than the lender's ordinary condition after making a loan: the lender no longer has the money.

That is why Lugo worries that the title is too close to the very thing the doctrine prohibits. In a *mutuum*, ownership passes to the borrower, who owes an equivalent amount rather than the same coins; the lender therefore cannot charge for the "use" of money as if ownership had remained with him. But *carentia pecuniae* can easily become a backdoor way of doing exactly that. Instead of saying, "Pay me for using my money," the lender says, "Pay me because I am without my money while you use it." The words are different. The economic substance may be the same.

Lugo's concern is not merely semantic. It is structural. If the title is allowed simply because the lender lacks money during the term, then duration itself becomes monetized. Time becomes the source of yield. The longer the borrower has the money, the more the lender may demand. This is the logic of ordinary interest. The old scholastic question, "What external burden justifies the surplus?", is replaced by the modern financial assumption that money over time should naturally generate more money.

This is why *carentia pecuniae* is more dangerous than it first appears. *Lucrum cessans* still requires a story. The lender must say what profit was lost, how it would have been gained, why the loan prevented it, and why the amount claimed is proportionate. *Damnum emergens* requires evidence of loss. *Periculum sortis* requires genuine exposure to downside. But *carentia pecuniae*, if generalized, requires very little. It can be invoked wherever money is absent. The title risks turning the lender's ordinary lack of possession into a universal claim on the borrower.

Lugo's criticism therefore protects the difference between a real title and a pretext. A real title identifies a specific moral reason for compensation. It says: this loss, this delay, this risk, this concrete foregone gain, this labor, this expense. A pretext takes a feature present in nearly every loan and treats it as if it were an exceptional burden. Because every loan deprives the lender of money, deprivation alone cannot be enough. Otherwise the exception has swallowed the rule.

This is also where Lugo's broader synthesis matters. Lugo is not a simple rigorist who refuses all surplus. On the contrary, he is one of the major late scholastic figures who helps organize and expand the theory of extrinsic titles. He understands that modernizing commercial life creates real forms of detriment, sees that risk, lost profit, and actual loss can be connected, and is willing to think broadly about compensable burdens. But precisely because he is analytically sophisticated, he also sees the danger of uncontrolled expansion: a title that explains everything explains too much, and for Lugo the moral question

is not whether the lender experiences inconvenience (most human action involves inconvenience) but whether the inconvenience is sufficiently determinate, external, and proportionate to justify charging the borrower. To be without money is not automatically a loss. It may become a loss if the lender must borrow elsewhere, misses a concrete transaction, fails to meet an obligation, or bears some identifiable harm. But then the claim should be analyzed under the more specific titles: actual loss, foregone profit, or perhaps risk. *Carentia pecuniae* by itself is too vague to carry the moral weight.

This is why Lugo's criticism is so important for the later development of moral finance. He resists the move from "money can be absent in a costly way" to "the absence of money is always costly in a way the borrower must pay for." The first claim may be true in particular circumstances. The second claim effectively baptizes the time value of money. It turns a possible burden into a universal law.

The danger is especially clear when the amount charged is calculated automatically by time and principal. A percentage rate applied to the amount lent, increasing with the duration of the loan, looks less like compensation for a particular burden and more like yield on capital. The form of calculation reveals the moral logic. If the payment rises simply because more time has passed, without any corresponding increase in actual loss, foregone gain, or real risk, then the title has ceased to function as compensation. It has become interest under another name.

Lugo's criticism also exposes the problem of double-counting. A lender might claim compensation for actual loss, for foregone profit, for risk of principal, for administrative expense, and then also for *carentia pecuniae*. But if the deprivation of money is already the reason why a concrete profit was lost, or why a concrete loss was incurred, then charging separately for the abstract lack of money risks counting the same burden twice. Scholastic analysis repeatedly returns to this concern: a title must correspond to a real burden, and the same burden must not be multiplied into several streams of payment.

The deeper issue is that *carentia pecuniae* changes the imagination of money. In the older account, money lent in a *mutuum* is a consumable good transferred to the borrower, with repayment of the equivalent owed in justice. Surplus requires some further reason. In the emerging modern account, money is treated as an asset that deserves compensation whenever it is not under the owner's control. The absence of money becomes a kind of injury. But if every temporary alienation of money is an injury, then lending itself is no longer gratuitous in principle. It has become a revenue-generating act by nature.

Lugo's objection is therefore not only technical. It is theological. The usury doctrine was meant to prevent the creditor from transforming the borrower's need into the lender's guaranteed growth. It insisted that not every advantage held by the lender can be monetized; it disciplined the creditor's imagination; it asked whether surplus restored equality or exploited dependency. *Carentia pecuniae*, if left unchecked, weakens that discipline by making the lender's lack of liquidity the central moral fact, rather than the borrower's vulnerability, the contract's substance, or the actual allocation of risk and loss.

This does not mean that liquidity is morally irrelevant. Lugo's point is subtler. Liquidity matters when its loss produces a real and nameable detriment, when the lender's commitment creates an identifiable burden that justice can measure. But liquidity cannot become a metaphysical entitlement to growth. The lender must not be permitted to say, in effect, "Because my money was not with me, it must return to me increased."

In this respect, Lugo helps preserve the architecture of the entire extrinsic-title tradition. The question is always: what is the surplus for? If it is for actual damage, name the damage. If it is for foregone gain, name the gain. If it is for capital risk, show where the principal can truly be lost. If it is for labor or expense, document the labor or expense. But if it is only for the fact that money was absent over time, then the title has slipped into the very

logic the tradition sought to resist.

Lugo's criticism of *carentia pecuniae* therefore marks a boundary. It is a warning that moral reasoning can become too clever for its own good. The more refined the titles become, the easier it is to use them as instruments of evasion. A doctrine created to distinguish compensation from extraction can itself be captured by extraction if its categories are stretched beyond recognition.

The result is a paradox. *Carentia pecuniae* arises because the tradition wants to be realistic about liquidity, commitment, and commercial time. Lugo criticizes it because that realism can become indistinguishable from surrender to modern interest. The title names a real pressure on the doctrine, but also reveals the point at which the doctrine may break. If absence of money alone suffices, then the lender no longer needs justice to justify surplus. The clock does the work.

And for Lugo, that is precisely the danger. Once time itself becomes yield, usury has not been defeated. It has simply learned a better vocabulary.

32.4 Modern Analogue

The modern analogue to *carentia pecuniae* is everywhere. It appears whenever finance speaks of liquidity premium, lock-up, term premium, duration, commitment fees, and the time value of money. It appears whenever a lender or investor says that money unavailable for a period of time deserves compensation simply because it is unavailable. In modern financial theory, this claim is so ordinary that it barely seems to require defense. A euro today is worth more than a euro tomorrow. Capital locked up for five years should earn more than capital available tomorrow. Liquidity has a price. Time has a price. Money has a price through time.

The scholastic tradition does not deny that liquidity matters. That would be foolish. A person with cash on hand is not in the same position as a person whose funds are locked away. A charitable institution with reserves can respond to need; one without reserves cannot. A business with working capital can pay wages, buy materials, and survive shocks; one deprived of liquidity may fail. A fund that commits capital for a long period loses flexibility. A lender who cannot call back money has accepted a constraint. In this practical sense, the absence of money can be real, costly, and morally relevant.

But scholastic moral theology resists the automatic monetization of that absence. It asks a question modern finance often does not: what kind of claim is being made when we say that liquidity has a price? Is the payment compensating a real loss? Is it compensating a concrete foregone use? Is it compensating genuine risk? Is it paying for labor, administration, or a service? Or is it simply rewarding money for being away from its owner for a while?

This is where the older doctrine cuts through the surface language of modern finance. A liquidity premium may be morally intelligible when it corresponds to a concrete burden. A lender may have committed funds in a way that prevents meeting known obligations. A fund may have reserved capital for a borrower and thereby declined other specific mission-aligned deployments. An institution may have taken on real costs to maintain standby liquidity. In such cases, the payment can be analyzed under more specific titles: actual loss, foregone gain, labor, expense, or perhaps risk.

But if the liquidity premium is merely a percentage added because money is locked up for time, the scholastic warning returns. The claim may no longer be restorative. It may have become yield. The lender is not identifying a specific harm, cost, or exposure, but saying that the temporary alienation of money itself deserves increase. This is exactly the

logic that *carentia pecuniae* threatened to introduce.

The same applies to lock-up periods. In modern investment practice, a lock-up is often treated as an obvious basis for higher return. The investor cannot withdraw for a fixed period, and so demands compensation for illiquidity. In equity or partnership-like structures, this may be easier to justify because the investor may genuinely share downside risk. The investor's capital may be lost. The return may depend on the success of the enterprise. The illiquidity is tied to participation and risk-bearing.

But in debt-like structures, the moral question is sharper. If the investor has a fixed claim, seniority, collateral, guarantees, and enforceable repayment regardless of the borrower's success, then the lock-up begins to resemble a term loan. If the return is justified mainly by the fact that money is unavailable for a period, then we are back at *carentia pecuniae*. The lender may be insulated from downside while still claiming surplus because time has passed. That is the danger.

The modern phrase "time value of money" is perhaps the clearest descendant of the problem. In contemporary finance, it functions as a foundational axiom: money now is worth more than money later, because present money can be invested, consumed, or used. Discounting, valuation, interest rates, net present value, and investment decisions all depend upon it. It is one of the basic grammars of modern financial rationality.

From a scholastic perspective, however, the time value of money is not a neutral axiom. It is a moral claim disguised as a technical one. It says that time, attached to money, generates a legitimate claim to increase. The tradition would want to slow that claim down. It would ask: whose time? Whose money? Whose need? What risk? What loss? What concrete alternative? What social relationship? What vulnerability? What kind of contract? What kind of power?

This does not mean that all discounting is immoral, or that every modern financial calculation is usurious. It means that calculation is not justification. Mathematics can describe relative values across time. It cannot, by itself, tell us whether a surplus claim is just. A discounted cash flow model may tell an investor what return would satisfy a portfolio target. It does not tell us whether the borrower should morally bear that cost. A liquidity premium may tell us what the market demands. It does not tell us whether the premium corresponds to compensation rather than extraction.

This distinction is crucial for non-extractive finance. A non-extractive capital structure cannot simply import the modern logic of time value and then decorate it with mission language. It must ask whether the payment above principal is tied to a real moral title. If the investor bears genuine downside risk, a risk-sharing return may be justified. If the investor contributes labor, governance, mentoring, stewardship, or administration, some compensation may be justified. If the investor suffers an actual, documented loss because funds are committed, that may be compensable. If a concrete mission-aligned opportunity was foregone, that may require careful analysis. But a generic claim that "capital locked up for five years deserves X percent" is not enough.

This also helps us distinguish patient capital from merely patient extraction. Patient capital sounds morally attractive because it does not demand immediate repayment. It may give the enterprise room to breathe, avoid short-term pressure, and support mission, work, and community. But patience alone does not make capital non-extractive. If patience is priced as a guaranteed premium, secured by senior claims, enforced through control rights, and insulated from downside, then the capital may still dominate. It has only extended the timeline of extraction.

By contrast, genuinely patient non-extractive capital should share vulnerability. It should be willing to wait without turning time itself into a meter that charges the borrower, should accept that mission, labor, community, and enterprise survival may come before

capital's growth, and should seek restoration, participation, and stewardship rather than automatic yield. Where returns exist, they should be tied to real surplus created without crushing the conditions that made that surplus possible.

The older title of *carentia pecuniae* therefore gives us a diagnostic tool for modern finance. Whenever we encounter a charge for lock-up, illiquidity, duration, or time value, we can ask: is this payment for a real burden, or simply for the absence of money? Is the investor being compensated for a specific loss, concrete foregone use, genuine risk, or actual service? Or is capital claiming growth because the clock has been running?

This question becomes especially important in venture capital, private equity, infrastructure finance, and debt funds. These structures often combine long lock-ups, return targets, priority repayment, management fees, monitoring fees, late fees, liquidation preferences, and risk premiums. Each element may have a plausible explanation when viewed alone. Together, however, they can produce double-counting. The investor may be compensated for risk while shifting risk away; compensated for illiquidity while also receiving control; compensated for foregone opportunity while also receiving priority; compensated for labor through fees while also demanding high returns. The scholastic tradition would insist on disaggregation. Name the title. Prove the burden. Prevent duplication. Preserve the borrower and the mission from domination.

In this sense, *carentia pecuniae* is not merely an obscure scholastic curiosity. It is the hinge between older moral theology and modern financial common sense. It shows how the question "May I be compensated for being without my money?" can become the much larger claim "Money over time deserves increase." It reveals how quickly compensation becomes yield when time itself is treated as a title.

The tradition's answer is not to deny time, liquidity, or commercial complexity. Its answer is to refuse automaticity. Time may be relevant, but time alone is not enough. Illiquidity may matter, but illiquidity must be connected to a real burden. Lock-up may justify compensation in some cases, but only when the compensation is proportionate and not already covered by another title. The absence of money may cause harm, but the harm must be named.

This is the lasting value of the scholastic resistance to *carentia pecuniae*. It protects us from treating money as if it possesses a natural right to grow merely because it has been away from home. It reminds us that finance is not morally purified by duration, sophistication, or market convention. The moral test remains the same: does the payment restore equality, compensate real burden, share risk, and serve life? Or does it convert time into a machine for extracting surplus?

Modern finance tends to answer that money has a price through time. The older tradition asks a more human question: what happened during that time, who bore the burden, and why should another person have to pay for it?

Exchange, Bills, Public Debt, and Disguised Loans

33.1 Foreign Exchange and Scholastic Analysis

Foreign exchange forced scholastic moral theology to confront one of the hardest problems in the usury tradition: not every payment above principal occurs inside an obvious loan. Some transactions look like exchange, some like sale, some like transfer, some like credit. Some are genuinely commercial instruments. Others are loans in disguise. The moral task is not merely to ask whether money has increased, but to ask what kind of contract produced the increase.

This is why the scholastic analysis of foreign exchange is so important. A simple *mutuum* is relatively easy to describe: one person lends money or another fungible good, ownership passes to the borrower, and the borrower owes the equivalent amount in return. Surplus from the loan itself is usury unless an extrinsic title can be shown. But foreign exchange complicates the picture. Money is not merely lent and returned; it is exchanged across currencies, cities, jurisdictions, dates, and payment networks. The object of the contract may be not only money, but money in another place, money in another currency, money payable at another fair, or money transferred through a bill.

This complexity created room for legitimate commerce and for moral abuse. A merchant in Bruges might need funds payable in Venice. A banker in Florence might issue a bill payable in Lyon. A trader might exchange local currency for foreign currency, not merely as a speculative operation, but because commerce required settlement across distance. Such transactions involved real services: transfer, accounting, correspondence, credibility, risk, and knowledge of exchange rates. They also involved real market differences: money in one place was not always equivalent to money in another. Currency, availability, political conditions, distance, and timing all mattered.

For this reason, scholastic theologians and canonists did not simply condemn all exchange profit as usury. Exchange could be legitimate: a money changer could perform useful work, and a merchant banker could facilitate trade. A bill of exchange could avoid the dangers and costs of physically transporting coin. Differences in currency and place could justify differences in price. If one thing is truly being exchanged for another (florins for ducats, local money for foreign money, present payment here for payment there), then the analysis belongs at least partly to the moral theology of exchange and just price, not simply to the theology of the *mutuum*.

But the same instruments could also be used to hide a loan. This was the recurring danger. A bill of exchange could be genuine or fictitious. A currency difference could be real or invented. A payment in another place could correspond to actual trade, or it could be a legal fiction designed to generate a return. The contract might say “exchange,” while the substance says “loan with interest.” Scholastic analysis therefore had to look beneath the name of the instrument to the reality of the transaction.

Raymond de Roover’s work is especially helpful here because he showed how sophisti-

cated medieval and early modern finance had become, and how deeply the usury debate was entangled with foreign exchange. The medieval bill of exchange was not a marginal instrument but central to international commerce. It allowed funds to be moved between trading centers without shipping specie, and it supported fairs, banking networks, merchants, and ecclesiastical payments. It made possible a world in which commerce crossed political and monetary boundaries.

Yet precisely because the bill of exchange could combine exchange, credit, and time, it became morally ambiguous. A normal exchange contract might involve payment in one place and repayment in another, with a difference reflecting exchange rates and costs. But when the same parties used exchange and re-exchange to create a guaranteed gain over time, the instrument could become a disguised interest-bearing loan. The famous problem was not merely exchange, but dry exchange: exchange without real commercial substance, exchange that existed only on paper, exchange used to cloak lending at interest.

The scholastic question was therefore: is there a real exchange? Are different currencies involved? Are different places involved? Is there actual transfer? Is the rate justifiable by market conditions, risk, cost, or service? Or is the entire structure a circular route by which one party advances money and receives more money later with no real exchange taking place?

This is the contract-classification problem in one of its most sophisticated forms. The name of the contract cannot settle the matter. Calling something exchange does not make it exchange. Calling something sale does not make it sale. Calling something partnership does not make it partnership. The moral form may differ from the legal form. Scholastic theology therefore asks what the contract does. Who gives what? Who receives what? Who bears risk? Who can lose? Who must repay? What is being priced? What justifies the surplus?

Foreign exchange also illuminates the difference between just profit and usurious gain. A money changer may profit from labor, skill, risk, and service. A merchant banker may charge for the difficulty of transferring funds across distance. Exchange rates may vary because money in one place is not identical in practical value to money in another. These are not necessarily usury; they may correspond to real differences in value and real work performed. But when the difference in price is merely a way to guarantee surplus on a loan, the moral character changes.

The issue becomes even sharper when time enters the transaction. A bill payable later is not the same as payment now. Modern finance immediately sees the time element and reaches for discounting. The scholastic tradition is more cautious. A deferred payment may involve risk, cost, and exchange conditions. But the fact that payment occurs later does not automatically justify a surplus. Once again, time by itself is not enough. The analysis must identify the title: exchange difference, labor, risk, actual loss, foregone gain, or some other real burden. Without such a title, the time element risks becoming ordinary interest hidden inside an exchange contract.

This helps explain why bills of exchange became such a contested field. They were not simply loopholes but necessary commercial instruments in an economy that had outgrown purely local cash transactions. But they were also morally dangerous because they allowed the economic substance of lending to be wrapped in the legal form of exchange. The more sophisticated the instrument, the greater the need for moral diagnosis.

The late medieval and early modern theologians were therefore not naive opponents of finance. They understood that commerce required instruments, networks, and specialized services, and they understood that finance could become a language of concealment. The same contract could support trade or evade moral law. The difference could not always be seen from the surface. It required attention to intention, structure, risk, pricing, and

economic reality.

For a modern reader, this is directly relevant. Contemporary finance is filled with instruments whose legal form and moral substance may diverge. Derivatives, convertible notes, preferred equity, revenue-based finance, management fees, payment-in-kind interest, sale-leasebacks, factoring, and structured credit can all be legitimate in some forms and extractive in others. The lesson from scholastic foreign exchange analysis is not that complex instruments are automatically corrupt. The lesson is that complexity increases the need for moral clarity.

The key question is always whether the surplus corresponds to something real. Is there actual exchange? Actual service? Actual risk? Actual loss? Actual partnership? Actual transfer across place and currency? Or is the complexity merely ornamental: a technical costume placed over a simple demand for guaranteed increase?

Foreign exchange thus belongs in this book not as a side topic, but as a crucial bridge. It shows how the usury doctrine moved from simple lending cases into the complexity of commercial finance. It reveals the scholastic capacity to distinguish real economic functions from disguised extraction. It also shows why moral theology cannot stop at slogans. "Interest is forbidden" is too crude if it cannot distinguish a genuine exchange contract from a loan. But "all finance is legitimate if legally structured" is equally crude if it cannot see when exchange has become a mask for usury.

The scholastic tradition learned to ask a better question: what is the transaction really? In foreign exchange, that question became unavoidable. A bill could be a bridge between cities, currencies, and merchants. Or it could be a mirror maze in which a loan returned disguised as exchange. The moral theologian's task was to tell the difference.

33.2 Public Debt and Forced Loans

Public debt created another major pressure point for the scholastic usury tradition. The ordinary usury case imagined a private lender and a private borrower. One person advanced money, another received it, and the borrower owed the equivalent principal. Any surplus demanded from the loan itself required moral scrutiny. But public debt complicated this picture. Cities, princes, republics, and public authorities needed funds for war, infrastructure, famine relief, administration, defense, and political survival. They borrowed, taxed, compelled, delayed, consolidated, and promised future payments. The line between loan, tax, investment, annuity, and civic obligation became difficult to draw.

The medieval and early modern city-state was not a modern sovereign with a developed bond market, central bank, and standardized public securities. It was often a fragile political community, dependent on merchants, guilds, noble families, ecclesiastical institutions, and wealthy households. When urgent funds were needed, the city could not always rely on voluntary gifts or ordinary taxation. It might impose forced loans. Citizens were required to advance money to the public treasury, sometimes in proportion to assessed wealth, sometimes with a promise of future repayment, sometimes with periodic payments attached.

Such forced loans were morally ambiguous from the beginning. If the payment was truly a tax, the citizen was not lending in the ordinary sense: the public authority was collecting what it had the right to collect for the common good. If the payment was truly a loan, the citizen retained a claim to repayment. If the city promised additional payments, the theologian had to ask whether these were compensation, annuity income, public obligation, disguised interest, or something else. The same instrument could look like taxation from one angle and lending from another.

Municipal obligations sharpened the problem. A city might owe money to citizens or outside creditors and promise a regular payment. That payment might be understood as compensation for funds advanced, as a share in public revenues, as an annuity purchased from the city, or as interest on debt. The vocabulary could shift, the structure could shift, and the moral interpretation could shift with it.

The older categories did not disappear, but they became harder to apply. Was the citizen a lender, a taxpayer, a participant in public finance, or a purchaser of a revenue stream? Did ownership of money pass in a *mutuum*? Was repayment of principal guaranteed? Did the creditor bear risk that the city might fail? Was the payment tied to actual public revenues? Was the arrangement voluntary or compelled? Did the payment compensate loss, reward risk, sustain public necessity, or simply provide a return on money?

Public finance therefore forced theologians to ask whether the identity of the borrower mattered. Lending to a poor neighbor raised one set of concerns, lending to a merchant another, lending to a city still another. A city was not merely an individual debtor. It represented, at least in principle, a political community. Its debts could be linked to defense, famine relief, roads, bridges, hospitals, walls, or civic order. The creditor might be supporting the common good. But the city could also become a machinery of coercion, extracting from citizens, favoring elites, and normalizing public rent payments to the wealthy.

This double possibility is crucial. Public debt can serve the common good, but it can also create a creditor class with claims on the future labor of the community. A city under permanent debt may find its revenues captured before they reach the poor, workers, artisans, or public goods. Taxes collected from many may flow to a few. What begins as emergency finance can become a structure of dependency. The political community may become organized around servicing claims held by those with surplus capital.

The scholastic tradition had to nuance doctrine because public debt did not fit neatly into the simplest private-lending model. Some forms of public revenue purchase could be treated more like annuities than loans. Some forced loans were closer to taxation. Some municipal obligations involved real risk. Some payments could be justified by public necessity. But this complexity did not mean that public debt was automatically morally clean; on the contrary, it required sharper analysis.

Forced loans are particularly revealing because they invert the usual power relation. In ordinary usury, the creditor often has power over the needy borrower. In a forced loan, the public authority has power over the lender. A wealthy citizen may be compelled to advance money to the city. The moral anxiety shifts: is the city unjustly taking private property, or is it legitimately mobilizing resources for the common good? If the city later pays something above principal, is that illicit interest, lawful compensation, or a political settlement for compelled deprivation?

Here again the extrinsic titles become useful. A citizen compelled to lend may suffer *damnum emergens* if the forced advance causes actual loss. A merchant may lose a concrete commercial opportunity, raising a possible *lucrum cessans* question. If repayment is uncertain, some form of *periculum sortis* may be present. If the citizen is deprived of liquidity for a fixed term, the dangerous logic of *carentia pecuniae* may appear. But none of these titles can be assumed automatically. They must be named, limited, and tested.

Public debt also raises the question of proportionality. Even if compensation is justified, how much is enough? A city may owe restitution for harm caused by forced deprivation. It may need to compensate risk, and to maintain credibility so that future emergency financing remains possible. But if public payments become excessive, perpetual, or transferable in ways that create speculative markets, then compensation can mutate into rent extraction. The community's future revenues become a tradable asset. Public necessity becomes private income.

This was not merely a theoretical possibility. Late medieval and early modern public finance often generated complex markets in civic obligations, annuities, and debt claims. The line between supporting the city and profiting from the city could become thin. A wealthy investor might present himself as a servant of public need while in practice receiving a secure flow of payments backed by taxes. The risk might be socialized, while the income was privatized. The city might borrow for war or crisis, and generations of ordinary people might pay.

The moral problem is therefore not solved by saying “public purpose.” A public purpose can justify extraordinary measures, but it can also become a cloak for injustice. War finance, especially, complicates the matter. A city may claim necessity, but the justice of the cause matters. A loan used to defend the vulnerable is not morally identical to a loan used for aggression, vanity, conquest, or dynastic ambition. The scholastic concern for justice cannot stop at the financial instrument; it must also ask what the instrument serves.

At the same time, public debt reveals why an overly simplistic anti-usury doctrine could not suffice. Cities needed mechanisms for mobilizing resources over time; public goods required funding; emergencies could not always be met by immediate taxation; institutions needed stability. Moral theology had to distinguish between predatory lending and legitimate public finance, between usurious gain and civic participation, between forced extraction and shared burden for the common good.

This is why contract classification became so important. A municipal obligation might be a loan, an annuity, a tax refund, a revenue assignment, or a forced contribution with later compensation. Each structure carried different moral implications. The theologian had to ask not only what the document said, but what economic reality it created.

Public debt also exposes the social dimension of usury doctrine. The issue is not only whether one lender sins against one borrower, but whether a community’s financial architecture directs surplus toward restoration or extraction. When public finance burdens the many for the secure enrichment of the few, it recreates at civic scale the very domination that the usury doctrine sought to restrain. When public finance mobilizes resources for genuine common need, shares burdens proportionately, protects the vulnerable, and avoids permanent rent extraction, it may serve justice.

The modern relevance is obvious. Public debt today is usually treated as a technical matter of fiscal policy, bond markets, yields, credit ratings, and monetary management. But the older moral questions remain. Who lends to the state? Who pays the interest? Who benefits from public borrowing? What purposes are financed? Are future taxpayers being burdened for present speculation, war, or elite rescue? Are bondholders bearing real risk, or are they protected while austerity is imposed on the vulnerable? Does public debt serve the common good, or does it convert the political community into a revenue stream?

Forced loans may seem distant from modern life, but their moral structure persists. Pension funds, banks, sovereign bondholders, development lenders, central banks, and private creditors all participate in systems where public obligation becomes financial asset. The question is not whether such systems can exist, but whether their claims are ordered toward justice, proportionality, and public purpose, or toward guaranteed extraction from the future.

The scholastic tradition gives us no simple formula for public debt. It gives us something more demanding: a set of questions. Is this really a loan? Is it a tax? Is it an annuity? Is the payment compensation or yield? Who bears risk? Who is compelled? Who benefits? What public good is served? Does the structure protect the vulnerable, or does it mortgage them?

Public debt forced theologians to nuance usury doctrine because the city itself could

become both borrower and creditor, servant and exploiter, common good and financial machine. The old moral distinction remained: surplus can restore, participate, or dominate. Public finance is just only when it serves the first two and resists the third.

33.3 Lex Commissoria, Gratis Dans, Socii, Pompa

Medieval authors often tried to summarize complicated moral distinctions in compact lists. These lists were not merely memory devices but tools for confessors, canonists, theologians, and legal practitioners who had to decide whether a payment above principal was usurious or whether it arose from some other legitimate title. The verse associated with Hostiensis is one of the most famous examples: *Poenā nec in fraudem, lex commissoria, gratis / Dans, socii, pompa; plus sorte modis datur istis*.

The meaning, in rough form, is that more than the principal may be received in certain modes: a penalty not made in fraud of the usury prohibition; a *lex commissoria*; something freely given; partnership; and *pompa*, often associated with the additional value or cost attached to pomp, ceremony, or expense. The list is compressed, technical, and easy to misunderstand. But it reveals a crucial feature of the medieval usury tradition: the prohibition on usury did not mean that every surplus above principal was automatically illicit. It meant that surplus had to be classified.

The first phrase, *poena nec in fraudem*, we have already encountered. A penalty may be valid if it is not a fraud on the usury prohibition. The point is not that a creditor may simply attach a penalty and thereby legalize interest. Quite the opposite. The phrase itself contains the warning: the penalty must not be *in fraudem*, not a trick, not a disguise, not an engineered substitute for yield. A true penalty punishes or compensates wrongful non-performance; a false penalty prices time. The due date must be realistic, the penalty must be avoidable, the lender must prefer repayment on time, and the amount must be proportionate to the injury caused by delay.

The *lex commissoria* is more difficult because it appears in several legal contexts. Broadly, it refers to a contractual clause by which some consequence follows if a party fails to perform. In sale, pledge, or other arrangements, it could involve forfeiture, cancellation, or transfer of rights on default. Its presence in exception lists shows that medieval jurists recognized that certain contractual consequences might give one party more than the initial principal or equivalent amount, not because money as money had generated offspring, but because a condition had been violated or a contractual structure had changed.

Yet here too the danger is obvious. A forfeiture clause can become oppressive. If a borrower pledges an asset worth far more than the debt, and the creditor takes the whole asset upon default, the clause may become a tool of extraction. A *lex commissoria* may be formally agreed and still morally abusive. The scholastic instinct is therefore not to bless the clause merely because it has legal form, but to examine proportionality, intention, vulnerability, and substance. Does the clause compensate real harm or enforce a legitimate contractual consequence? Or does it allow the creditor to profit from another's inability to perform?

The phrase *gratis dans* points in another direction: the person who gives freely. A borrower may voluntarily give something beyond principal out of gratitude, charity, friendship, or honor. Such a gift is not usury if it is genuinely free and not expected, demanded, stipulated, coerced, or built into the transaction from the beginning. The moral difference lies in freedom. A gift that is required is not a gift. A "customary" gift that the lender expects as the price of lending may become usurious. A donation that the borrower feels

socially or economically compelled to make may not be truly voluntary.

This distinction was pastorally important because real communities often operated through gifts, favors, patronage, gratitude, and social expectation. The problem was not gratitude itself (gratitude can be beautiful, and a borrower who has been helped may naturally want to thank the lender). The problem arises when gratitude becomes a disguised obligation, especially when the lender's willingness to lend depends on receiving it. The tradition's suspicion here is psychologically subtle: people can demand without formally demanding; they can expect without writing the expectation down; they can use social pressure to turn gift into payment.

The category *socii* refers to partners. This is one of the most important exceptions because it leads directly back to the distinction between *mutuum* and *societas*. In a partnership, the capital provider is not merely a lender with a guaranteed claim to repayment. The capital remains exposed to the fortunes of the venture. Gains may be shared because losses are shared. Profit is not demanded simply because money was advanced; it arises from participation in a common undertaking. The partner may receive more than principal because the partner bears risk and participates in the productive activity.

This is the logic that Aquinas had already recognized when he distinguished lending from entrusting money to a merchant by way of partnership. In the loan, the borrower owns the money and owes the equivalent; in the partnership, the investor's capital remains at risk, and the investor may share in profit because he may also share in loss. The *socii* category therefore shows that medieval theology was not anti-investment. It was anti-guaranteed gain from a consumptive loan. Partnership profit could be licit where the structure truly involved shared venture, shared uncertainty, and shared downside.

But partnership too could be faked. A contract may be called *societas* while giving the capital provider guaranteed repayment, priority over everyone else, collateral, control, and a fixed return. In such a case, the name "partner" may conceal the substance of a lender. The scholastic method therefore again asks about reality. Can the capital provider lose principal? Is repayment contingent on the success of the venture? Are gains and losses actually shared? Does the active partner bear all the vulnerability while the capital partner receives protected income? If so, the partnership form may be a mask.

Finally, *pompa* is the strangest term in the list. It is often connected to the costs, ceremony, display, or circumstances surrounding certain transactions. In practical terms, it points toward cases where additional payment may correspond to expense, labor, public burden, or the particular conditions under which the transaction occurs. It belongs near the family of adjacent titles such as *stipendium laboris* and expense reimbursement. The point is that some surplus may compensate something real that accompanies the transaction without being a price for the loan itself.

The importance of *pompa* is not the specific word alone, but the logic it represents. Medieval writers knew that transactions do not occur in abstraction. They involve messengers, scribes, notaries, witnesses, storage, travel, risk, ceremony, administration, and public form. A payment above principal may sometimes cover such real costs. The Monti di Pietà debate later turns on precisely this kind of reasoning: charitable lending to the poor requires staff, buildings, accounting, pledge management, and administration. Reimbursement for such costs is not the same thing as usury, provided it remains proportional and does not become profit extraction.

These lists could clarify moral reasoning, but they could also obscure it. Their advantage was that they prevented crude absolutism, reminding confessors that "more than principal" is not automatically the same as usury. A penalty, a forfeiture clause, a free gift, a partnership, or reimbursement of expense might each explain why surplus appears. The list preserved the analytical flexibility needed for real life.

Their danger was that they could be treated as loophole catalogues. A clever lender could search the list for a label and attach it to a transaction. If a penalty works, call it penalty. If a gift works, call it gift. If partnership works, call it partnership. If expense works, call it cost recovery. The moral theologian's task, therefore, was not only to know the categories but to test them. The title must be real, must correspond to the substance of the transaction, and must not be used *in fraudem*, in fraud of the prohibition.

This is why the exception-list tradition is so useful for reconstructing the moral logic of the extrinsic titles. It shows that scholastic usury doctrine was never simply a blunt rule mechanically applied, but a disciplined practice of classification. The rule against usury created the starting point: surplus from a *mutuum* as such is illicit. The lists then identified circumstances in which surplus might arise from something else: penalty, loss, risk, partnership, gift, labor, expense, exchange, or contractual condition.

But the existence of a category never ended the analysis. It began it. The real question was always whether the category described the transaction truthfully. A penalty must be penal, not revenue. A gift must be free, not expected. A partnership must share risk, not merely rename debt. An expense charge must reimburse costs, not generate institutional profit. A forfeiture clause must be proportionate, not predatory. A legal form must not conceal a moral lie.

For modern non-extractive finance, the lesson is immediate. Our own contracts are full of labels: management fee, commitment fee, origination fee, monitoring fee, preferred return, liquidation preference, default interest, advisory fee, carried interest, success fee, redemption premium, downside protection. Each label may name something legitimate. Each may also hide extraction. A management fee may reimburse labor, or it may become rent. A default fee may compensate delay, or it may make default profitable. A preferred return may reflect risk-sharing, or it may guarantee capital's priority over mission. A "gift" to investors may be structurally coerced. A "partnership" may leave founders and workers bearing all the real risk.

The medieval exception lists therefore train us in suspicion without cynicism. They do not tell us to reject every financial instrument; they tell us to ask what the instrument really does, teach us to distrust both moral laziness and legal cleverness, and insist that justice cannot be reduced to the name of a clause.

In that sense, *lex commissoria*, *gratis dans*, *socii*, and *pompa* are not antiquarian curiosities. They are early forms of a moral audit vocabulary. They ask whether surplus arises from compensation, participation, service, or domination. They remind us that finance is often most dangerous not when it openly violates moral law, but when it wears moral language over extractive substance.

The old verse-list is therefore both helpful and hazardous. Helpful, because it preserves the memory that not every surplus is usury. Hazardous, because every listed exception can become a tool of evasion. The tradition's wisdom lies in holding both truths together: moral finance requires categories, but categories must be tested against reality.

33.4 The Contract-Classification Problem

The whole usury tradition depends on a deceptively simple question: what kind of contract is this?

That question sounds legal, but for the scholastics it was also moral and theological. The name of a contract did not merely determine which rule applied. It revealed, or concealed, the real structure of justice between the parties. A *mutuum* created one moral relation, a sale another, a partnership another. A lease, deposit, insurance-like arrangement,

exchange contract, pledge, annuity, or penalty clause each carried its own moral logic. To misclassify the contract was therefore not a harmless technical error. It could turn extraction into apparent legitimacy.

The simplest case was the *mutuum*. In a loan for consumption, ownership of money or another fungible good passed to the borrower. The borrower did not owe the same physical object, but an equivalent amount of the same kind and quality. Because the thing was consumed in its use, the lender could not separately sell both the thing and its use. This is why surplus from the loan itself was condemned as usury. The lender's intrinsic claim was to the equivalent principal. Anything more required some external title.

But real economic life rarely stayed simple. A transaction might look like a sale while functioning like credit. It might look like a partnership while protecting one party from loss. It might look like a lease while transferring economic ownership. It might look like insurance while guaranteeing return. It might look like exchange while concealing a loan. The scholastic tradition therefore had to develop a habit of looking beyond formal labels to economic substance.

The first question was: is this a sale? In a sale, one thing is exchanged for another at a just price: the seller gives up ownership of a good, and the buyer pays a price. Profit may be legitimate when it compensates labor, transport, risk, improvement, market service, or the needs of household and community. But a sale can hide a loan. A seller may raise the price merely because payment is delayed, turning the extra amount into a disguised charge for time. Aquinas saw this danger clearly. To charge more solely because the buyer will pay later can have the character of a loan with usury, unless some real difference in value, risk, cost, or loss is present.

The second question was: is this a loan? If the transaction is truly a *mutuum*, then the old rule applies with full force. The borrower receives ownership and owes the equivalent principal. Surplus requires an extrinsic title: actual loss, culpable delay, concrete foregone gain, genuine risk of principal, labor, expense, or some other real burden. The lender cannot simply say that money was used, or that time passed, or that money could have earned elsewhere in the abstract. The title must be external to the loan and proportionate to the burden.

The third question was: is this partnership? Partnership changes the moral structure because the capital provider does not merely stand outside the venture as creditor. The investor participates in the undertaking; gains and losses are shared; capital remains exposed. Profit can be legitimate because the partner bears downside and contributes to a common enterprise. But here the danger of misclassification is acute. If the supposed partner has guaranteed repayment, seniority, collateral, fixed return, and the power to enforce against the active partner's assets regardless of outcome, then the "partnership" may be debt in disguise. The name *socius* does not make a person a partner if the structure leaves others bearing all real vulnerability.

The fourth question was: is this insurance or risk transfer? Some contracts concern the bearing of risk. Maritime contracts, insurance-like arrangements, guarantees, and risk-sharing agreements can involve legitimate payment because one party assumes uncertainty that another party wishes to avoid. But risk language can also be abused. A lender may charge a risk premium while shifting nearly all downside to the borrower through collateral, guarantees, covenants, priority, or enforcement rights. In that case, the payment is not really compensation for risk borne. It is yield protected by legal power.

The fifth question was: is this exchange? Foreign exchange, bills of exchange, and money-changing contracts created some of the most sophisticated classification problems in medieval and early modern finance. If one currency is exchanged for another, or if payment is made in one city for settlement in another, differences in price may be legitimate.

Distance, currency, availability, risk, transfer service, and market conditions can matter. But exchange can also become a disguise for lending at interest. If the currency difference is fictitious, if the place difference is merely formal, or if exchange and re-exchange are arranged only to guarantee a gain over time, the contract may be a *mutuum* wearing the clothes of exchange.

The sixth question was: is this a disguised *mutuum*? This is the question that haunts all the others. A disguised *mutuum* exists when the legal form differs from the moral substance. The documents may describe sale, partnership, exchange, lease, fee, penalty, or revenue participation. But if one party advances money, the other party is bound to repay the equivalent or more, the capital provider is protected from downside, and the surplus arises because of time, need, or bargaining power, then the structure may be a loan with usury hidden inside it.

This contract-classification problem shows why the scholastic tradition cannot be reduced to a simple anti-interest slogan. The theologians and canonists were not merely asking whether the final amount exceeded the initial amount. They were asking why: what kind of moral relation had been created, and whether surplus came from sale, service, risk, partnership, loss, delay, exchange, or domination.

The method requires several layers of analysis.

First, identify ownership. Who owns the money or asset during the transaction? Has ownership passed to the recipient, as in a *mutuum*? Has it remained with the provider, as in a lease or certain investment structures? Is ownership shared? Is it conditional? Is it held in trust? Ownership determines who may claim use, profit, and risk.

Second, identify risk. Who can lose principal? Who bears failure? Who is protected by collateral, seniority, guarantees, or public backstop? A person who claims partnership profit while refusing partnership loss is not acting as a true partner. A person who claims risk premium while shifting risk onto the borrower is not truly being compensated for risk borne.

Third, identify the source of surplus. Is the surplus tied to actual loss? To labor? To expense? To delay? To foregone gain? To real exchange difference? To risk? Or is it simply attached to the fact that money was advanced and later returned? The same numerical surplus may be moral or immoral depending on its source.

Fourth, identify proportionality. Even when a legitimate title exists, it cannot justify unlimited payment. A late penalty must correspond to the harm of delay. Cost reimbursement must correspond to actual costs. Risk compensation must correspond to actual exposure. Foregone profit must be concrete and reasonably valued. The title limits the claim.

Fifth, identify intention and incentive. Does the lender want repayment on time, or profit from default? Does the investor want the enterprise to flourish, or merely to trigger control rights? Does the contract reward cooperation, or does it reward failure, distress, and dependency? Duns Scotus's question about late penalties belongs here: would the lender rather be repaid on time? If not, the structure itself reveals moral disorder.

Sixth, identify vulnerability. Is the borrower poor, distressed, dependent, uninformed, or lacking alternatives? Is the counterparty a merchant, a city, a household, a worker cooperative, a startup, a monastery, or a desperate family? Scholastic analysis is not blind to context. The same formal instrument can have different moral weight depending on need, power, knowledge, and bargaining conditions.

Seventh, identify whether the contract serves a good beyond capital's increase. Does it support trade, household stability, public necessity, charitable lending, mission, work, community, or stewardship? Or does it merely organize a claim by which money becomes more money while others bear the fragility of real life?

These questions are especially important because sophisticated finance often multi-

plies forms. A single modern financing arrangement may contain debt, warrants, preferred equity, liquidation preferences, management fees, monitoring fees, default interest, covenants, board control, redemption rights, anti-dilution provisions, and exit obligations. Each feature may be defensible when viewed alone. Together, they may create a structure in which capital receives priority, control, upside, downside protection, liquidity rights, and penalties, while founders, workers, suppliers, mission, and community absorb the real risk.

The scholastic contract-classification problem therefore becomes a modern moral audit. What is this instrument really? Is it called equity but behaving like debt? Is it called partnership but structured as domination? Is it called a fee but functioning as yield? Is it called risk-sharing while legally transferring downside to someone else? Is it called patient capital while silently metering time? Is it called mission investment while extracting from the mission's future?

The point is not that legal classification is irrelevant. Legal form matters; law structures rights, remedies, enforceability, duties, and expectations. But legal form is not morally sufficient. A contract can be enforceable and still unjust. It can be standard market practice and still extractive, beautifully drafted and still a misrepresentation of the moral substance of the relationship.

This is why the older tradition insisted on substance over label. The category *mutuum* was not merely a Roman legal artifact. It was a way of seeing when one party had transferred consumable value and retained only a claim to equivalent repayment. The category *societas* was not merely a business form. It was a way of seeing shared enterprise and shared risk. The category *interesse* was not modern interest. It was compensation for a real difference created by loss. The categories mattered because they helped name the moral reality.

But categories can also lie. They lie when they are used as costumes. They lie when a penalty is expected revenue, when a gift is coerced, when a partnership guarantees one partner, when exchange is fictitious, when risk is shifted, when fees become return, when time becomes yield, when the borrower's need becomes the lender's opportunity.

The contract-classification problem is therefore not a technical appendix to usury doctrine. It is the central discipline that keeps the doctrine honest. Without classification, every surplus is suspect; with lazy classification, every surplus can be excused, and only careful classification can distinguish compensation from extraction.

This is the bridge from scholastic theology to non-extractive finance. A modern financing contract must be read not only by lawyers, but by moral accountants. It must be examined for ownership, risk, surplus, intention, proportionality, vulnerability, and mission. The question is not simply, "What is legally permitted?" The question is, "What relationship of justice does this instrument create?"

That is the question the scholastics kept asking in different forms: is this a sale, a loan, a partnership, insurance, exchange, or a disguised *mutuum*? The list may sound medieval. The problem is not. It is the problem of every age in which capital learns to rename its claims.

PART X

**The Great Syntheses and the Historians Who Help Us
Reconstruct Them**

From Hostiensis to Salamanca: A Compressed Intellectual Genealogy

34.1 Early Canonists and Confessors

The history of the extrinsic titles did not begin as a neat academic theory. It began in the tangled world of confession, canon law, pastoral judgment, and concrete cases. Before the late scholastics built elaborate systems, and before Salamanca and the Jesuits refined the analysis into a sophisticated moral technology, there were confessors and canonists trying to answer practical questions: may this creditor receive more than principal? Is this penalty legitimate? Is this gift truly free? Is this exchange real? Has the borrower been exploited? Must restitution be made?

The early canonists and confessors mattered because they stood at the crossing point between biblical prohibition, Roman legal categories, ecclesial discipline, and ordinary economic life. Scripture had condemned lending to the poor at increase, the hardening of the heart against the needy, and the transformation of the vulnerable neighbor into a revenue stream. Roman law had supplied the technical category of the *mutuum*, in which ownership of a consumable good passed to the borrower and the borrower owed back an equivalent. The Church inherited both: the moral vision of covenantal debt restraint and the legal anatomy of consumptive lending.

But pastoral practice required more than repeating prohibitions. Confessors had to guide souls, canonists had to interpret rules, and bishops and ecclesiastical courts had to distinguish genuine wrongdoing from legitimate compensation. Merchants, landowners, monasteries, students, widows, pilgrims, artisans, and poor households all encountered credit in different forms. A crude rule (“never receive more than principal”) could protect the poor from exploitation, but it could also fail to explain cases where the lender had suffered actual damage, where a borrower had delayed culpably, where an exchange contract was real, or where a partnership genuinely shared risk.

This is the practical world in which Robert of Courçon, Raymond of Peñafort, and Hostiensis belong. They are not yet the full late scholastic system. They are the bridge from penitential case to legal-theological structure.

Robert of Courçon represents an early Parisian theological moment in which the suspicion of creditor profit remains strong, but the need for case analysis is already visible. He belongs to the world of university theology and pastoral discipline, where usury is treated not merely as a technical irregularity but as a spiritual danger. The creditor’s soul is at stake because usury disorders love of neighbor. It converts another’s need into one’s own gain. It teaches the lender to see the borrower not as brother, but as occasion of profit.

And yet Robert’s treatment of penalties shows that early theologians already had to distinguish punishment for wrongdoing from gain from lending. A penalty attached to default might be permissible if it was genuinely penal and not a hidden price for the loan.

But Robert remains wary. The surplus is dangerous; it can easily become profit to the creditor. In some early formulations, the surplus associated with a penalty was directed to the poor rather than retained by the lender, precisely so that the creditor would not desire default.

The intuition is powerful, and it anticipates a theme that will recur through the whole tradition. The moral problem is not only what the contract says, but what the contract makes the lender want. Does the lender want repayment, restoration, and the borrower's flourishing? Or does the lender benefit from delay, distress, and failure? A penalty that rewards the creditor for default creates a perverse incentive: the lender becomes financially interested in the borrower's breakdown. Robert of Courçon's caution therefore prepares the later anti-abuse logic of *poena nec in fraudem*.

Raymond of Peñafort moves the discussion into the world of confessional casuistry. His *Summa de casibus poenitentiae* belongs to a genre designed not for abstract speculation alone, but for practical judgment in the care of souls. The confessor needed to know when a penitent creditor had sinned, whether restitution was required, and how to distinguish legitimate compensation from usurious gain. Raymond's importance lies partly in this pastoral orientation: the usury doctrine becomes a tool for examining conscience and repairing injustice.

Raymond's treatment of *interesse* is especially significant. *Interesse* did not originally mean "interest" in the modern sense of a normal return on capital. It meant something more like the difference between the position one should have occupied and the position one now occupies because of another's action. It was compensatory; it concerned loss, damage, or detriment. In this sense, Raymond helps preserve a distinction that modern readers easily miss: compensation for loss is not the same as profit from a loan.

That distinction is the seed of *damnum emergens*. If a lender suffers real damage because of the transaction or because of the borrower's wrongful delay, compensation may restore equality rather than violate it. But Raymond also understands how fragile the distinction is. A gift expected from the beginning may be usurious even if it is not written into the contract. A penalty may be usurious if it is really the price of time. A surplus may be unjust even when it wears the appearance of gratitude, compensation, or custom.

Raymond's world is deeply attentive to intention. Did the lender expect the gift? Was the payment demanded? Was the borrower truly free? Was the penalty designed to repair harm, or to generate profit? These questions are essential because usury often hides in expectation. It may not be written down; it may be socially understood. The borrower may know that future access to credit depends on "voluntary" gratitude; the lender may not demand, but may still intend. Raymond's pastoral subtlety helps expose these hidden obligations.

Hostiensis (Henry of Susa) then gives the tradition a more systematic canonical form. He is not the inventor of every exception, but one of the great organizers of the legal-theological material. With Hostiensis, the scattered practical distinctions begin to assume a more recognizable structure. His name is associated with the famous verse-list: *Poena nec in fraudem, lex commissoria, gratis / Dans, socii, pompa; plus sorte modis datur istis*.

The significance of the list is not simply that it catalogues exceptions. Its deeper significance is that it teaches classification. More than principal may sometimes be received, but only if the surplus arises from something other than the loan itself. A penalty, if not fraudulent. A contractual forfeiture or condition, if just. A free gift, if truly free. Partnership, if risk and profit are actually shared. Expense or circumstance, if genuinely compensatory. The list is a compressed grammar of moral finance.

But Hostiensis's list also contains its own warning. The phrase *poena nec in fraudem* is crucial: a penalty may be valid only when it is not a fraud on the usury prohibition. The

word fraud does enormous work. It tells us that medieval canonists were already alert to legal cleverness. They knew that one could preserve the appearance of obedience while violating the substance of justice. A lender could say “penalty” while intending interest. A lender could say “gift” while expecting payment. A lender could say “partnership” while guaranteeing capital. A lender could say “exchange” while arranging a circular loan.

This anti-fraud principle becomes one of the deepest continuities in the tradition. The Church does not merely ask whether the contract fits a recognized label. It asks whether the label is being used truthfully. Is the penalty really penal? Is the gift really free? Is the partnership really shared? Is the loss really actual? Is the foregone profit really concrete? Is the risk really borne by the lender? Without this scrutiny, the extrinsic titles become loopholes. With it, they remain moral tests.

The movement from Robert of Courçon to Raymond of Peñafort to Hostiensis therefore marks the passage from pastoral suspicion to structured discernment. Robert emphasizes the danger of creditor profit and the need to prevent penalties from becoming revenue. Raymond sharpens the confessional distinction between compensation and gain, especially through *interesse* and the analysis of intention. Hostiensis organizes the exception-list tradition and gives canonical form to the anti-fraud logic.

Together, they prepare the ground for Aquinas and the later scholastics. Aquinas will supply a deeper metaphysical and moral account of the *mutuum*: in a consumptive loan, one cannot sell both the thing and its use; surplus from the loan itself is unjust; compensation for actual loss may be allowed; partnership profit differs from usury because capital remains at risk. But Aquinas does not appear in a vacuum. He inherits a world already shaped by canonists and confessors who were sorting the cases, naming the dangers, and trying to protect both justice and practical life.

This early phase also helps correct a common misunderstanding. The extrinsic titles were not originally invented as cynical loopholes by financiers determined to evade the Gospel. They emerged because moral theology had to face real cases. Borrowers defaulted, lenders suffered losses, merchants traded across distance, partnerships shared risk, gifts could be free or coerced, public authorities borrowed, and charitable institutions needed administration. The world was complex, and justice required distinctions.

At the same time, the early canonists knew that distinctions can be abused. The sharper the category, the easier it may be to weaponize. A title can become a mask; a list can become a toolkit for evasion. The confessor and canonist therefore had to cultivate suspicion without becoming simplistic, distinguishing compensation from extraction without pretending that every surplus was identical.

This is why the early canonists and confessors are indispensable to the genealogy of the extrinsic titles. They gave the tradition its practical seriousness. They kept the borrower’s vulnerability in view. They insisted on restitution where injustice had occurred. They permitted compensation where equality had genuinely been disturbed. And they repeatedly warned that legal form could conceal moral fraud.

Their work reminds us that moral finance begins not with an equation, but with examination of conscience. What did the lender intend? What did the borrower suffer? What was promised, expected, concealed, or coerced? Did the payment repair a real burden, or did it turn another person’s need into gain? Those questions began in confessionals and canon-law commentaries. They remain the questions of non-extractive finance today.

34.2 Thirteenth-Century Theologians

The thirteenth century gave the usury tradition its deeper theological architecture. The early canonists and confessors had developed practical distinctions: penalties, gifts, partnership, damages, and other cases in which more than principal might be received without necessarily collapsing into usury. But the theologians of the thirteenth century asked a more foundational question: why is usury unjust in the first place?

The question mattered because a doctrine built only on rules is fragile. Rules can be evaded, lists manipulated, legal forms rearranged. If the prohibition against usury was to remain morally coherent, it needed an account of the kind of exchange involved in a loan, the nature of money, the structure of ownership, the difference between use and consumption, and the meaning of justice between persons. The thirteenth-century theologians supplied this architecture.

Thomas Aquinas stands at the center of this development. His treatment of usury in the *Summa Theologiae* is famous because it gives the doctrine its classic form. The basic argument is not that money is evil, or that trade is evil, or that profit is always evil. Aquinas's argument is more precise. In a loan for consumption, such as a loan of wine, wheat, or money, the use of the thing consists in its consumption. One cannot drink wine and still return the same wine. One cannot spend money and still return the same coins. In such a case, ownership passes to the borrower, and the borrower owes back an equivalent. To charge separately for the thing and for its use is to sell the same thing twice.

This argument depends on the Roman legal category of the *mutuum*, but Aquinas gives it moral and theological force. The lender has transferred ownership. The lender's intrinsic claim is therefore to the equivalent principal. If the lender demands more from the loan itself, the equality of exchange is broken: the borrower is made to pay for what the lender no longer owns. The sin is not merely technical; it is a violation of commutative justice.

Aquinas's importance, however, is not only that he condemns usury. It is also that he carefully identifies the cases in which surplus is not necessarily usury. In ST II-II, q.78, a.2, ad 1, he allows compensation for loss incurred. A lender who suffers actual damage because of the loan may be restored. This is the root of *damnum emergens*. The lender may not be enriched by the loan, but the lender need not be harmed by it either. Justice restores equality.

At the same time, Aquinas rejects the attempt to charge for profit not made. The lender may not sell what he does not yet have. A hoped-for profit is uncertain and may never have materialized. Here Aquinas sets a boundary against *lucrum cessans*, or at least against its broad and speculative form. This boundary will become one of the great tensions of the later tradition. Later theologians will ask whether Aquinas's rejection applies to all foregone profit, or only to vague, uncertain, and speculative claims. They will use other parts of Aquinas's own thought (especially restitution for preventing future goods, and special value to the owner) to reopen the question.

Aquinas also gives the tradition its decisive distinction between *mutuum* and *societas*. In ST II-II, q.78, a.2, ad 5, he explains that one may entrust money to a merchant by way of partnership and receive profit from the venture, because the money remains at the risk of the one who entrusted it. This is not usury, because the investor is not demanding guaranteed increase from a loan. The investor participates in the uncertainty of the enterprise. Capital remains exposed. Profit follows risk-bearing and participation, not the mere passage of time.

This distinction becomes the theological root of the later analysis of *periculum sortis*. Aquinas does not yet develop the title in its later form, but he builds the architecture that makes it thinkable. The moral difference between creditor and partner depends on down-

side. Who bears the loss? Who owns the capital? Who can enforce repayment? Is the return guaranteed, or does it depend on the outcome of the venture? These questions remain at the heart of modern non-extractive finance.

Aquinas also alerts the tradition to hidden usury in delayed payment. If a seller charges more merely because payment is delayed, the transaction may become a loan in disguise. Again, the issue is not the label but the substance. A sale on credit may be legitimate if there are real differences in value, cost, risk, or circumstance. But if the higher price is simply the price of waiting, then time has been monetized. This anticipates the later problem of *carència pecuniae* and the modern time value of money.

Aquinas thus gives the doctrine a disciplined structure. Surplus from the *mutuum* itself is usury. Actual loss may be compensated. Partnership profit is legitimate when capital remains at risk. Speculative foregone gain is rejected. Delayed payment can conceal a loan. These principles do not solve every later case, but they provide the grammar through which later cases must be judged.

Duns Scotus enters the tradition with a different emphasis, especially in relation to penalties and incentives. Whereas Aquinas gives the metaphysical and juridical structure of the *mutuum*, Scotus sharpens attention to the lender's intention and the incentive effects of contractual design. The question is not only whether a penalty clause exists, but whether the lender wants the borrower to default. Would the lender rather be repaid on time, or would the lender rather receive the penalty?

A late penalty may be formally attached to default, but if the penalty is so profitable that the lender prefers delay, the contract has become morally disordered: the question is devastatingly simple, and it turns the analysis from wording to desire. The creditor's gain depends on the borrower's failure. The clause is no longer merely protective; it is revenue-seeking. Scotus's insight anticipates modern concerns about default fees, penalty interest, predatory lending, and financial structures that profit from distress.

Peter John Olivi, the Franciscan theologian, brings another kind of sophistication. Olivi takes commercial life seriously from within a Franciscan moral imagination, which often surprises modern readers who assume that Franciscan poverty must imply economic simplicity. In fact, Franciscan thought often displayed acute sensitivity to the practical and moral dynamics of trade, credit, valuation, and poverty.

Olivi's contribution matters especially for the later development of *lucrum cessans*. He recognizes that money used in commerce is not always merely idle money. Capital already ordered toward exchange may have a determinate commercial use. A merchant who lends money that was actually committed to a trading operation may not be in the same position as someone who had no concrete use for the funds. In such a case, the loan may interrupt a real commercial process.

This does not make Olivi a simple defender of interest. His point is subtler. He is not saying that all money naturally deserves return. He is saying that money embedded in a concrete commercial project may have a different practical character from money lying unused. If lending interrupts that project, the lender may suffer a real detriment. Later theologians will develop this insight into a more general theory of foregone profit, though not without controversy.

Olivi's Franciscan context matters here. The Franciscans were concerned with poverty, but they were also deeply involved in the moral analysis of markets and credit, especially through the later debates around the Monti di Pietà. Their concern was not to abolish all economic activity, but to prevent economic relations from becoming domination. Olivi's commercial realism therefore sits alongside a radical concern for evangelical poverty and social inclusion. He helps show that moral theology can be economically intelligent without becoming permissive.

Alexander of Alexandria (also known in some discussions as Alexander Lombard) represents another important development, especially in relation to risk. His *Tractatus de Usuris* of 1307 is associated with the early naming or systematization of *periculum sortis*, the risk of principal. Although he technically stands at the beginning of the fourteenth century, he belongs intellectually to the world created by thirteenth-century scholastic analysis. The questions generated by Aquinas, Scotus, Olivi, and the canonists continue in him.

Alexander's significance lies in making capital risk thinkable as an extrinsic title. If a lender truly bears the risk of losing principal, then perhaps a surplus payment is not merely profit from the loan, but compensation for exposure to loss. This idea is structurally different from penalties, actual damages, or foregone profit. It concerns not an event around the loan, but the architecture of the transaction itself. Who bears downside? Can the capital actually be lost? Is repayment guaranteed? Does the lender stand as creditor or as risk-bearing participant?

The danger, of course, is immediate. Every loan has some possibility of nonpayment. If ordinary default risk is enough to justify surplus, then the usury prohibition collapses. This is why *periculum sortis* remains unstable for a long time. It names something real, but if generalized too quickly, it becomes a universal risk premium. Alexander's importance is therefore not that he resolves the problem, but that he brings it into view.

Together, Aquinas, Scotus, Olivi, and Alexander reveal the increasing analytical sophistication of the usury tradition. Aquinas gives the doctrine its central grammar of *mutuum*, commutative justice, actual loss, and partnership. Scotus sharpens the analysis of intention and incentives. Olivi brings commercial realism and the possibility of concrete foregone gain. Alexander brings the risk of principal into explicit theological analysis.

They also reveal the emergence of analytical uncertainty. The early rule is clear in principle: do not demand gain from a loan as such. But real transactions are not always clear. Is this a loan or a partnership? Is this compensation for loss or disguised yield? Is this foregone profit concrete or speculative? Is this risk truly borne or merely invoked? Is this penalty protective or desired? Theologians increasingly had to analyze not only contracts, but the moral reality beneath contracts.

This is where the "risk of analysis" becomes important. The danger is not only that a borrower may default, or that a lender may lose money. The danger is that the moral theologian may misclassify the transaction. A structure may be blessed as partnership when it is really debt. A payment may be approved as compensation when it is really extraction. A penalty may be tolerated as protective when it is actually revenue. The more complex the economy becomes, the more important accurate moral diagnosis becomes.

The thirteenth-century theologians therefore did not simply repeat an inherited ban. They deepened it. They gave it concepts: ownership, use, consumption, equality, restitution, intention, risk, partnership, foregone gain, and hidden form. They made it possible to distinguish real compensation from usury without surrendering the prohibition itself.

For modern finance, their legacy is still alive. Aquinas asks whether the return comes from a loan or from shared risk. Scotus asks whether the lender profits from failure. Olivi asks whether capital was genuinely committed to productive use. Alexander asks whether principal can truly be lost. Together, they ask the questions every non-extractive capital structure must answer. What is the contract really? What is the surplus for? Who bears downside? Does the lender want the borrower's flourishing, or the borrower's dependence? Is the return restorative, participatory, or extractive?

The thirteenth century did not close the usury debate. It gave later centuries the tools to argue it properly.

34.3 Late Medieval Moral Theologians

By the late medieval period, the usury tradition had become both more practical and more fragile. The great theological architecture was in place: Aquinas had given the classic account of the *mutuum*, actual loss, and partnership; Scotus had sharpened attention to intention and incentives; Olivi had brought commercial reality into moral theology; the canonists had organized their exception lists and warned against fraud. But the world of commerce kept pressing against the categories. The question was no longer only whether usury was sinful in principle. The question was how to govern real financial life without either permitting exploitation or making necessary economic cooperation impossible. Merchants needed credit, cities needed funding, poor households needed emergency loans, and charitable institutions needed administrative support. Trade crossed distances, and money moved through exchange networks. A moral theology that could only say “no” would fail to guide practice. But a moral theology too eager to say “yes” would become a servant of extraction.

This is the context in which Bernardino of Siena and Sant’Antonino of Florence become so important. They belong to a pastoral and civic world in which preaching, confession, commerce, poverty, public order, and institutional innovation were deeply entangled. They were not abstract theorists writing from a distance but moral theologians of a living economy.

Bernardino of Siena, the great Franciscan preacher, stands at the intersection of evangelical poverty and practical economics. The combination matters. It would be easy to imagine that Franciscan concern for poverty would lead only to denunciation of markets and money. But the Franciscan tradition was often more subtle than that. Because it cared so intensely about poverty, it also cared about the institutions that shaped the lives of the poor. Credit, prices, pledges, wages, reputation, charity, and civic trust were not peripheral matters. They were part of the moral fabric of communal life.

Bernardino’s treatment of economic questions reflects this practical moral seriousness. He condemns usury because it turns need into gain and corrodes charity. But he also recognizes the need for morally ordered economic activity. The merchant is not automatically wicked. Profit is not automatically sinful. Trade can serve the common good when it distributes goods, sustains households, assumes real labor and risk, and avoids fraud. The moral issue is not simply whether money increases, but how and why it increases.

This helps explain Bernardino’s importance for the Monti di Pietà and the wider development of practical moral finance. Lending to the poor was necessary. Without access to small loans, poor households could fall into desperation, pawn essential goods to predatory lenders, or become trapped by abusive creditors. Yet charitable lending institutions could not operate without costs. Someone had to administer pledges, keep accounts, maintain buildings, pay staff, assess goods, and protect the institution from collapse. The question became whether small charges for administration and labor could be morally distinguished from usury.

Bernardino’s world pushed the tradition to see the difference between sustainability and extraction. A charge may be illicit if it is profit from the loan itself. But reimbursement for actual institutional costs may be legitimate if it remains proportionate, transparent, and ordered toward service rather than enrichment. This is an adjacent title, related to *damnum emergens* and *stipendium laboris*, but not reducible to ordinary interest. The purpose is not to make capital grow, but to keep a charitable institution alive so that the poor are not abandoned to worse lenders.

The distinction shows that the late medieval tradition was capable of institutional reasoning. The moral unit was not only the individual contract between lender and borrower

but also the institution. What does this institution exist to do? Does it serve the poor? Does it recover costs or extract profit? Does it remain accountable to its mission? Does it prevent worse injustice, or does it become a respectable version of the same injustice?

The Monti di Pietà became a test case for these questions. Their defenders argued that modest charges were not usury because they covered necessary costs of operation. Their critics worried that any required payment above principal could violate the prohibition. The debate forced theologians to distinguish more carefully between gain, expense, labor, and institutional necessity. It also exposed the danger of drift. A charge introduced for sustainability could become a habit of revenue. A charitable institution could slowly begin to think like a financial institution. A mission tool could become a profit machine.

Bernardino's contribution lies in holding together moral rigor and practical mercy. He does not want the poor exploited. But he also does not want them deprived of access to nonpredatory credit because of an overly abstract rule. The challenge is to create structures that serve need without feeding on need. This is precisely the challenge of non-extractive finance.

Sant'Antonino of Florence continues and systematizes much of this practical moral theology. As archbishop of Florence, he stood within one of the great commercial cities of Europe. Florence was not an imaginary economy but a world of merchants, bankers, artisans, guilds, civic finance, exchange, poverty, and political complexity. A moral theologian in Florence could not avoid the realities of commerce. The question was how to judge them.

Antonino preserves the exception-list tradition and treats the recognized cases in which more than principal may be received. He works within the inherited categories: penalty not in fraud, free gift, partnership, actual loss, expense, and other circumstances that may justify surplus. But like the best of the tradition, he does not treat these categories as automatic permissions. He is concerned with fraud, intention, proportion, and the real substance of the transaction.

His importance lies partly in his pastoral and civic realism. Moral theology must be usable by confessors, merchants, rulers, and ordinary Christians. It must be able to speak to the actual practices of a commercial society without surrendering the Gospel's judgment on greed. Antonino's work therefore helps transmit the tradition from earlier medieval analysis into the late medieval and early modern world. He becomes one of the figures through whom the older categories remain alive and available for later Salamanca and Jesuit development.

Both Bernardino and Antonino show that late medieval moral theology was neither anti-commercial simplicity nor financial permissiveness. It was a disciplined attempt to govern commerce by justice. They recognized that money, credit, and trade could serve human life. They also recognized that these same instruments could easily become domination. Their task was to identify the difference.

This period also marks the increasing standardization of the extrinsic-title tradition. Penalties, actual losses, foregone gains, risk, partnership, expense, and labor become increasingly available as analytical categories. But standardization creates a new danger. Once categories become familiar, they can be invoked too easily. What began as careful discernment can become formula. A lender can learn the approved words. A contract can be drafted to fit the list. A moral exception can become a business model.

The late medieval theologians therefore had to preserve anti-abuse analysis. A penalty must not be expected revenue. A gift must not be coerced. A partnership must not guarantee the capital provider while exposing only the active partner. Administrative charges must not exceed real costs. Foregone profit must not be imaginary. Risk must actually be borne. This is the recurring discipline: the title must correspond to the truth.

Their work also helps us see why the history of usury doctrine is not a simple story of decline from purity to compromise. There is indeed a risk of erosion. Some titles become broader. Some arguments become more permissive. Commercial practice pushes theologians toward accommodation. Later critics will complain, not without reason, that the doctrine has been hollowed out by exceptions.

But there is also a genuine development of moral intelligence. The tradition learns to distinguish poverty lending from merchant finance, loss from gain, partnership from debt, cost recovery from profit, institutional sustainability from extraction. These distinctions are not corruptions in themselves. They are necessary if moral theology is to govern real life. The danger lies not in making distinctions, but in losing the ascetical and pastoral discipline that keeps them truthful.

For modern readers, Bernardino and Antonino are especially relevant because they help us think institutionally. A non-extractive fund, a steward-owned company, a charitable lender, or a mission-locked investment vehicle faces the same basic problem as the Monti di Pietà: it must be financially sustainable without becoming extractive. It must pay for labor, administration, diligence, accounting, legal work, and stewardship. But it must not convert those needs into a justification for unlimited fees, hidden yield, or capital priority over mission.

The late medieval lesson is therefore concrete. Cost recovery is legitimate only when it remains cost recovery. Labor compensation is legitimate only when it corresponds to real labor. Institutional sustainability is legitimate only when the institution remains ordered to service. Once the charge becomes a source of profit detached from mission, the moral form changes. What began as a remedy can become the disease.

Bernardino and Antonino also remind us that finance must be judged by its effects on the vulnerable. Does the structure protect the poor from worse lenders? Does it help households remain intact? Does it sustain work and community? Does it prevent desperation from becoming someone else's revenue? Or does it cloak extraction in the language of service?

The late medieval moral theologians thus occupy a crucial place in the genealogy of the extrinsic titles. They receive the categories from the canonists and the great scholastics, and they apply them in the commercial and civic realities of late medieval Europe. They defend practical institutions like the Monti di Pietà while insisting on moral boundaries. They standardize the exception lists while warning against abuse. They prepare the way for Salamanca, where the categories will be expanded and systematized still further.

Their enduring contribution is not a single formula, but a posture: practical without being cynical, strict without being useless, merciful without being permissive. They understood that moral finance must serve real human beings in real institutions, and that every institution must be watched, because extraction often begins as a reasonable exception. That is why the late medieval period matters. It shows moral theology learning to build institutions without forgetting sin.

34.4 Early Modern and Salamanca

The early modern period transformed the usury debate by placing the inherited scholastic categories under the pressure of a rapidly expanding commercial world. The older questions did not disappear. The *mutuum* remained central. The prohibition against gain from the loan itself remained formally intact. The extrinsic titles still had to distinguish compensation from extraction. But the setting had changed. European commerce was becoming more complex, more international, more legally sophisticated, and more dependent on

credit, exchange, merchant networks, public debt, and capital deployment.

This is the world of Conrad Summenhart, Cajetan, Domingo de Soto, Martín de Azpilcueta, Medina, Juan de la Peña, and Luis de Molina. It is the world in which late medieval categories become early modern systems. Theologians are no longer dealing only with simple loans, late penalties, or local merchant cases. They are dealing with exchange rates, price movements, risk, insurance-like arrangements, public obligations, colonial trade, merchant banking, money scarcity, and increasingly elaborate contracts. Moral theology has to become technically competent, or it will be ignored.

Conrad Summenhart belongs to the transitional moment between medieval and early modern contract analysis. His work on contracts and extrinsic causes helps carry the older scholastic categories forward into a more systematic framework. Summenhart matters because he treats economic and contractual life with an analytical seriousness that anticipates later developments. The question is no longer merely whether a lender may receive something above principal, but under what contractual cause, title, or circumstance such a payment might be justified.

Summenhart helps clarify the world in which *lucrum cessans* becomes more thinkable. The older suspicion remains: one must not sell what one does not yet have. A merely possible gain is not a possession. But commerce creates cases in which foregone gain is not purely imaginary. A merchant may have had a determinate use for capital. A transaction may have been planned. A profit may have been reasonably expected. The problem becomes how to distinguish concrete interrupted gain from abstract opportunity cost. Summenhart's transitional role lies in helping make such distinctions more explicit.

Cajetan, or Tommaso de Vio, is especially important because he works as a Thomist interpreter under new commercial conditions. His task is not simply to repeat Aquinas, but to ask how Aquinas's principles apply when the economy has become more complex. This matters particularly for *lucrum cessans*. Aquinas appears to reject compensation for profit not made in ST II-II, q.78, a.2, ad 1. Yet Aquinas also allows compensation for future goods in certain restitution cases, and recognizes that a thing may have special value to its owner because of its concrete use. Cajetan helps develop the Thomist reconciliation: foregone profit may be compensable when it is sufficiently determinate, but not when it is speculative or universalized.

The reconciliation is delicate. If *lucrum cessans* is admitted too broadly, every lender can claim that money might have earned something elsewhere, and the usury prohibition collapses into opportunity cost. But if it is rejected entirely, real commercial losses may go uncompensated. Cajetan's importance lies in holding the line between concrete and speculative gain. He helps preserve the Thomistic concern that one must not sell what one does not yet have, while allowing that some future goods may be close enough to possession or expectation that their wrongful interruption creates a compensable detriment.

Domingo de Soto represents a more cautious Salamanca voice. He inherits a world of expanding commerce, but he remains concerned to preserve the gratuity of the *mutuum*. Soto understands that the extrinsic titles can easily become general permissions for interest. His caution matters especially for *lucrum cessans*. He worries that if foregone profit is too easily admitted, then the lender's imagination becomes limitless. Every coin can be imagined as potentially productive, and every loan can be said to interrupt some possible gain. The title then ceases to identify a real burden and becomes a justification for ordinary return on capital.

Soto's restraint is not economic ignorance but moral discipline. He wants to prevent the category of compensation from becoming a fiction. A concrete loss may be compensated. A real interrupted use may require analysis. But the mere fact that money could have been used profitably somewhere cannot automatically create a claim against the borrower. Soto

helps keep alive the suspicion that opportunity cost, if detached from concrete intention and probability, becomes usury with a more refined vocabulary.

Martín de Azpilcueta, known as Navarrus, brings the Salamanca tradition into close contact with money, exchange, and commercial practice. He is famous in economic history for his reflections on money, price, and exchange, and he belongs to a world in which theologians had to think seriously about monetary conditions. Changes in money supply, exchange rates, and market conditions were not abstract curiosities. They affected prices, debts, wages, trade, and moral judgment.

Navarrus's importance for the extrinsic titles lies partly in this broader commercial awareness. He helps situate lending within a wider monetary economy. Money is not merely a neutral token in a static world; its abundance, scarcity, place, and exchangeability matter. But again, the moral question is not simply whether money has market value. The question is whether a surplus payment corresponds to a just title or merely to the creditor's power. Navarrus's world makes it harder to deny economic complexity, but it does not eliminate the need for moral classification.

Medina and Juan de la Peña are significant especially in relation to risk and the movement toward risk pricing. The older title of *periculum sortis* had appeared earlier, but it remained unstable. The difficulty was obvious: if risk of nonpayment justifies surplus, then every loan appears to have a title. But in actual commercial life, not all claims are equally secure. A risky claim to one hundred is not worth the same as a certain claim to one hundred. Debtor reliability, collateral, legal enforceability, commercial conditions, and probability of repayment all affect value.

Medina's attention to the risk characteristics of the debtor points toward a more modern valuation logic. A creditor facing a higher probability of nonpayment may claim that the value of the claim is reduced by risk. A payment above principal might then be interpreted not as profit from the loan, but as compensation for uncertainty. This is a powerful insight, but also a dangerous one. It risks transforming every loan into a priced bundle of default probability and return. Once again, the title names something real but threatens to universalize interest.

Juan de la Peña belongs within this same contested field. Risk becomes not only a moral issue but a valuation issue. How should uncertain repayment be priced? Can risk be separated from the loan itself? Is the creditor being compensated for genuine exposure, or merely charging for the ordinary possibility that borrowers sometimes fail? The problem is not solved by naming risk. The theologian must determine whether the lender actually bears it, whether the amount is proportionate, and whether the risk has already been shifted through collateral, guarantees, or priority.

Luis de Molina brings the Salamanca tradition into one of its most sophisticated forms. Molina is intensely attentive to the commercial world and to the practical conditions under which economic action occurs. He does not simply repeat inherited formulas. He examines intention, causality, probability, contractual form, and commercial context. In relation to *lucrum cessans*, Molina asks whether the lender had a real alternative use for the money, whether the profit was foreseeable, whether the loan truly caused the profit to be lost, and whether the amount claimed is proportionate. Not every holder of money has the title. The title depends on real circumstances.

This is crucial. Molina's framework does not simply collapse into modern opportunity cost. It does not say that because money could always be invested somewhere, the borrower must always pay a return. The lender must show more: a concrete alternative, a genuine intention or commitment, probable gain, and causal interruption by the loan. Molina therefore expands practical moral analysis while trying to preserve the distinction between compensation and ordinary interest.

Molina is also important for *periculum sortis*. He recognizes that a risky claim is not equal in value to a certain claim. If repayment is uncertain, then the creditor may be exposed to a real detriment. But the same danger persists: if this logic applies to ordinary default risk in every loan, the usury prohibition dissolves. The problem becomes one of moral valuation under uncertainty. The theologian must ask whether the risk is genuine, whether it is borne by the lender, whether it is special or ordinary, whether it is already covered by other contractual protections, and whether the return is proportionate.

The Salamanca tradition thus brings the extrinsic titles into a more expansive and technically aware environment. Its theologians are often more permissive than earlier rigorists, but they are not simply secular economists in clerical dress. They remain committed to the moral distinction between gain from the loan itself and compensation for external burdens. What changes is the range of burdens they are willing to analyze: lost profit, risk, liquidity, exchange, valuation, commercial intention, and legal enforceability.

The expansion has two sides. On the positive side, Salamanca demonstrates the intellectual power of moral theology in a complex economy. It refuses to remain at the level of slogans. It asks detailed questions about contracts, markets, probabilities, intentions, and institutions. It recognizes that justice in commerce requires knowledge of commerce. The theologian must understand the instrument being judged.

On the negative side, the expansion risks erosion. Every new title creates a possible path around the prohibition. Every practical nuance can become a legal strategy. Every recognition of commercial burden can be transformed into a general claim of capital. The more sophisticated the analysis becomes, the more vigilant it must be against capture. Salamanca therefore stands as both achievement and warning.

For modern non-extractive finance, this is precisely the tension we inherit. We need the technical seriousness of Salamanca. We need to understand capital structures, risk allocation, liquidity, opportunity cost, fees, governance rights, accounting, and incentives. A moral critique that does not understand these things will remain vague. But we also need Soto's caution, Cajetan's boundary-setting, Molina's causal discipline, and the anti-fraud instinct of the canonists. Otherwise, technical sophistication becomes the servant of extraction.

The early modern and Salamanca theologians teach us that finance must be examined at the level of structure. It is not enough to ask whether a return is legal or market-standard. We must ask what title justifies it. Is it actual loss? Concrete foregone gain? Genuine risk? Labor? Expense? Exchange? Or is it merely the universal modern claim that capital deserves growth?

They also teach us that moral categories must be neither too rigid nor too elastic. If too rigid, they fail to govern real economic life. If too elastic, they cease to restrain anything. The history of Salamanca is the history of that dangerous middle: moral theology entering the technical machinery of finance without wanting to be swallowed by it.

In that sense, Salamanca is not merely a chapter in the decline of usury doctrine. It is a laboratory. It shows theologians trying to preserve justice while analyzing increasingly modern economic forms. Sometimes they succeed. Sometimes they open doors that later authors will fear cannot be closed. But their central question remains indispensable: not "what does capital want?" but "what does justice permit, and under what title?" That question is the bridge from medieval usury doctrine to any serious contemporary account of non-extractive capital.

34.5 Jesuit and Late Scholastic Systematizers

With the Jesuit and late scholastic systematizers, the doctrine of the extrinsic titles reaches both its greatest analytical sophistication and its point of greatest danger. The inherited prohibition against usury remains. The *mutuum* still cannot generate surplus from itself. The lender may not simply demand gain because money has been lent. Yet by this stage the world of commerce has become so complex, and the titles so numerous, that the doctrine must be reorganized at a higher level of abstraction.

This is the world of Leonardus Lessius and Juan de Lugo. They inherit the canonists, Aquinas, Scotus, Olivi, the late medieval preachers, the Monti di Pietà debates, Summenhart, Cajetan, and Salamanca. They also inherit the practical realities of early modern commercial life: merchant finance, exchange contracts, risk, delay, liquidity, partnership, insurance-like arrangements, public debt, and the growing sense that money could be economically productive in ways the simplest medieval formulas had not fully captured.

Lessius is one of the key figures in this development, and his importance lies not merely in his conclusions, but in his method. He treats contracts with extraordinary precision. He asks what the parties intend, what the legal form does, what risk is borne, what loss is incurred, what profit is foregone, what service is rendered, and what burden is created. He belongs to a tradition of moral theology that is not content with pious generalities. It wants to understand the machinery of economic life well enough to judge it.

This makes Lessius indispensable for the history of moral finance. He is not simply a theologian who repeats the prohibition against usury, nor is he simply a proto-modern economist who abandons it. He is a systematizer of the threshold. In him, the old categories remain visible, but they are pressed toward the edge of modern financial reasoning.

His treatment of risk is especially important. The title of *periculum sortis* (risk of principal) had appeared earlier, but Lessius helps consolidate it. If the lender genuinely bears uncertainty about repayment, if the principal is truly exposed, then the surplus may be understood not as gain from the loan itself but as compensation for risk borne. This is a powerful move because it recognizes that not all claims are equal. A certain claim to one hundred and a risky claim to one hundred do not have the same value. The risk of nonpayment changes the moral and economic structure of the transaction.

But the insight is also dangerous. If every loan includes some risk of nonpayment, and if every risk of nonpayment justifies surplus, then the prohibition against usury disappears. Lessius's consolidation of the risk title therefore places enormous weight on the distinction between genuine risk-bearing and ordinary lending. The question cannot simply be whether default is imaginable. The question must be whether the lender actually bears the downside in a morally significant way, whether the risk is proportionate to the return, whether the risk has already been shifted to the borrower through collateral or guarantees, and whether the claim is really loss-absorbing.

Lessius is also crucial for the development of *carentia pecuniae*, the title based on being without one's money for a term. This is one of the most delicate and dangerous titles because it approaches the logic of the time value of money. The lender commits funds and cannot call them back. The borrower receives not only money, but stability over time. The lender loses liquidity. In a commercial world, this loss of liquidity can be real. Money unavailable for a term is different from money immediately available.

Yet here again Lessius stands at the edge. If the deprivation of money for a term is itself compensable, then almost every loan can generate surplus. The lender is always without money after lending it. The borrower always has time. The loan always involves duration. If *carentia pecuniae* becomes a general title, then the old prohibition dissolves into ordinary interest. Lessius's analysis therefore reveals how close late scholastic thought comes to

modern money-market logic: liquidity, term, duration, and availability become morally visible. But whether they can be priced without monetizing time itself remains contested.

Lessius also develops the relationship between *lucrum cessans*, *damnum emergens*, and risk. In practice, these titles overlap. A lender deprived of funds may suffer actual loss. Or the lender may miss a concrete profit. Or the lender may bear the risk of not recovering principal. Or all three may appear in the same case. The danger is double-counting. The same burden may be renamed several times: loss, foregone gain, liquidity deprivation, risk premium, administrative cost. A disciplined moral theology must prevent one real inconvenience from becoming five streams of surplus.

This is where the late scholastic systematizers become so important. They do not merely multiply titles. At their best, they try to organize them into a coherent theory of detriment. The guiding question remains: has the lender borne a real burden external to the loan itself? If so, what is its nature? Is it past damage? Future profit prevented? Risk of capital? Labor? Expense? Loss of liquidity? And how can it be measured proportionately?

Juan de Lugo brings this systematizing movement to a mature synthesis. Lugo's importance lies in the way he gathers the major titles under a broader account of compensable detriment. Risk, lost gain, and actual loss can be understood as related forms of harm or burden. They are not identical, but they can be analyzed together. This makes Lugo extraordinarily useful for modern non-extractive finance because he asks the question at the right level: what burden is capital actually bearing, and does the surplus restore or compensate that burden rather than extract from the borrower?

Lugo is willing to think broadly. He accepts that in some cases *lucrum cessans* may justify compensation, provided conditions are met. The loan must truly cause the foregone profit. The amount demanded must not exceed the value of that profit. Compensation should not be taken upfront in a way that turns the whole transaction into a disguised interest charge. These conditions show that Lugo is not simply blessing opportunity cost. He is disciplining it. The lost gain must be concrete, causal, and proportionate.

He also treats risk with sophistication. If the lender truly bears risk of the principal, surplus may be justified as compensation for that exposure. But here too the question is whether the risk is real. A lender who is guaranteed repayment, protected by collateral, senior in liquidation, supported by personal guarantees, and able to enforce against unrelated assets is not bearing the same kind of risk as a partner whose capital can actually be lost. The moral question is not whether the contract uses the language of risk, but whether the lender is genuinely vulnerable.

At the same time, Lugo is sharply critical of titles that threaten to dissolve the doctrine. His criticism of *carentia pecuniae* is especially revealing. If being without money for a term is enough, then no contract remains usurious. Every loan deprives the lender of money, every lender can claim absence, and every borrower can be charged for time. Lugo sees that this title risks converting duration into yield and thereby making the usury prohibition meaningless. His criticism shows that late scholastic sophistication did not necessarily mean surrender. It could also mean greater diagnostic clarity.

This is the paradox of Lessius and Lugo. They expand the analytical field, but they also reveal the dangers of expansion. They understand commercial complexity better than many earlier authors. They see risk, liquidity, opportunity, and contractual structure with greater technical precision. But this precision brings the doctrine close to modern finance, where all burdens of capital can be priced, all time can be monetized, and all risk can become return.

The relation between loss, foregone gain, and risk becomes the central organizing problem. *Damnum emergens* is the cleanest title because it concerns actual loss. Something has

been lost, damaged, paid, or incurred. Compensation restores equality. *Lucrum cessans* is more dangerous because it concerns something not obtained. The gain may be real, but it may also be imagined. *Periculum sortis* is structurally powerful because it concerns exposure to loss, but it can become universal if ordinary default risk is enough. *Carentia pecuniae* is perhaps most dangerous because it treats the absence of money itself as compensable, thereby approaching the time value of money.

Lessius and Lugo help us see these titles as a spectrum. At one end stands concrete damage. At the other stands abstract time. In between are foregone opportunity, risk, liquidity, and contractual commitment. The further one moves from documented loss toward abstract financial possibility, the greater the danger that compensation becomes extraction.

This late scholastic synthesis is therefore not simply a technical chapter in the history of usury. It is the moment when Christian moral theology almost touches the conceptual world of modern finance. The categories are familiar: risk premium, liquidity premium, opportunity cost, term commitment, probability of repayment, valuation under uncertainty. But the moral grammar is different. Modern finance tends to treat these as pricing inputs. The scholastic tradition treats them as possible titles that must be morally tested.

That difference is decisive. In modern finance, if capital is risky, it demands return. If capital is illiquid, it demands return. If capital has alternative uses, it demands return. If time passes, it demands return. The scholastic question is not what capital demands. It is what justice permits. Does the claimed return correspond to a real burden? Is the burden borne by the claimant? Is the amount proportionate? Is the burden already compensated elsewhere? Does the contract protect or exploit the vulnerable? Does the structure create solidarity or domination?

Lessius and Lugo also remind us that moral theology must understand technical instruments without being captured by them. They are finance-aware, but not finance-subservient. They take contracts seriously, but they do not let contract language settle the moral question. They analyze risk, but they ask who bears it. They analyze foregone profit, but they ask whether it is concrete. They analyze liquidity, but they resist turning time itself into a title.

This is exactly the discipline required for non-extractive capital today. We cannot simply condemn every return. Nor can we bless every return because it can be assigned to some financial concept. We must ask whether the return is restorative, participatory, or extractive. We must identify the title, document the burden, test proportionality, and examine the structure of downside.

The late scholastic systematizers give us both permission and warning. Permission to think carefully about real economic burdens. Warning that every real burden can become a pretext when detached from moral limits. Lessius shows how commercial reality presses the doctrine toward technical sophistication. Lugo shows how necessary it is to resist the moment when sophistication becomes dissolution.

Their place in the genealogy is therefore pivotal. After them, the tradition has acquired a powerful set of tools: actual loss, foregone gain, capital risk, liquidity deprivation, labor, expense, partnership, exchange, and anti-fraud analysis. But it has also acquired the danger that these tools may be used to justify almost anything.

The question that remains is whether the doctrine can preserve its soul after becoming so technically refined. Can it still say no? Can it still identify extraction? Can it still protect the borrower, the poor, the mission, and the common good? Can it still distinguish capital that serves life from capital that merely imitates the vocabulary of service? Lessius and Lugo leave us at that threshold.

34.6 Later Settlement and Backlash

By the time we reach the later manualist tradition, the doctrine of usury has become both stable and contested. Stable, because the basic framework is now familiar: gain from the *mutuum* itself remains illicit; surplus may be justified only by some title external to the loan; actual loss, foregone gain, risk of principal, penalties, labor, expense, partnership, exchange, and related cases must be carefully distinguished. Contested, because the very abundance of titles has made the prohibition seem fragile. The more refined the analysis becomes, the easier it is for critics to ask whether anything meaningful remains of the original ban.

This is the world of Benedict XIV, Alphonsus Liguori, and Daniele Concina. It is a world in which earlier distinctions have hardened into manualist categories, but also a world in which moral theologians continue to worry that the categories have been stretched too far. The question is no longer simply whether usury is wrong. It is whether the doctrine still has teeth after centuries of exceptions, refinements, and commercial accommodations.

Benedict XIV's *Vix pervenit* is central to this later settlement. The encyclical does not abolish the older doctrine. It reaffirms the basic principle: a loan contract by its nature requires the return of the amount lent, and gain demanded from that loan itself is usurious. The lender cannot claim surplus merely because the borrower has had use of the money. The old heart of the doctrine remains intact.

At the same time, *Vix pervenit* does not deny the possibility of extrinsic titles. This is crucial. Benedict XIV does not collapse the tradition into a crude rule that every payment above principal is always usury. He preserves the distinction between illicit gain from the loan itself and legitimate compensation arising from some other just title. The point is not to erase the work of the canonists, Aquinas, Salamanca, Lessius, or Lugo. The point is to insist that the titles must remain truly extrinsic. They must not become pretexts.

This is the central concern of the later settlement: title versus pretext. A title names a real reason in justice. A pretext borrows the name of a title while lacking its substance. A late penalty is a title only when delay is culpable, the due date is realistic, the penalty is proportionate, and the lender does not desire default. Actual loss is a title only when loss is real, documented, caused, and not double-counted. Foregone profit is a title only when the alternative use is concrete, intended, probable, and truly interrupted. Risk is a title only when capital can actually be lost and the lender bears that loss. Expense is a title only when it corresponds to actual cost. Labor is a title only when labor has truly been performed. Otherwise, the word "title" becomes a costume for usury.

Benedict XIV's importance lies in preserving this boundary at a moment when economic practice was increasingly comfortable with interest. The surrounding world was moving toward the normalization of money over time. Markets, states, merchants, and lenders increasingly treated interest as ordinary. The Church's doctrine had to decide whether it would simply follow the market or continue to judge it. *Vix pervenit* keeps judgment alive. It says, in effect: legal custom and commercial convenience do not determine moral truth.

Alphonsus Liguori represents the later manualist settlement in a pastoral key. He inherits a doctrine already full of distinctions and controversies. His task is not to invent the extrinsic titles anew, but to guide confessors through them with prudence. Alphonsus holds together moral seriousness and pastoral moderation. He does not wish to burden consciences unnecessarily, but neither does he wish to declare every common practice innocent merely because it is common.

In the Alphonsian settlement, some titles that had once been controversial are more broadly accepted under conditions. *Lucrum cessans*, for example, becomes a permissible

title in the common teaching when properly limited. But the conditions still matter. A merely possible gain is not enough. The lender cannot simply say, "My money might have earned something." The foregone gain must be sufficiently grounded in reality. The old danger remains: if every lender can invoke abstract opportunity cost, then the doctrine has collapsed.

Similarly, penalties, damages, risk, and expenses are treated with pastoral practicality, but not without limits. The confessor must still ask whether the payment is truly compensatory, whether it is proportionate, whether the lender has intended profit from the loan, and whether the borrower has been injured. Alphonsus's moral theology is therefore not a capitulation to finance. It is an attempt to preserve workable moral guidance in a world where commerce has become too complex for simple slogans.

Yet the very moderation of the later manuals provoked backlash. Daniele Concina represents the rigorist anxiety that the doctrine has been hollowed out. From this perspective, the late scholastic and manualist tradition has multiplied exceptions until the prohibition survives in words but not in practice. The risk title, the lost-profit title, the liquidity title, penalties, exchange contracts, public debt, and other devices all seem to create pathways by which lenders receive more than principal while denying that they are taking usury.

Concina's concern is not absurd. It arises from a real danger within the tradition. Every extrinsic title can be abused. *Poena conventionalis* can become engineered default. *Damnum emergens* can become fictive damage. *Lucrum cessans* can become abstract opportunity cost. *Periculum sortis* can become universal risk premium. *Carentia pecuniae* can become the time value of money. Exchange can become dry exchange. Partnership can become guaranteed debt. Expense reimbursement can become institutional profit. A doctrine meant to restrain extraction can be colonized by extraction if its categories are stretched beyond recognition.

Concina's backlash therefore performs an important function. Even if one does not accept the most rigorous conclusions, his critique reminds the tradition that moral theology must be able to say no. A doctrine that can always find a title for surplus has ceased to be a doctrine. It has become a legitimating machine. Concina forces the question: are the titles still tests, or have they become permissions?

That question remains essential. The purpose of the extrinsic titles was not to create loopholes but to preserve justice in complex cases; the titles were meant to distinguish compensation from extraction. But when the commercial imagination becomes dominant, the same titles can be inverted. They can become a way to guarantee capital's growth while maintaining theological respectability. That inversion is precisely what the backlash fears.

The later settlement and backlash therefore reveal the internal drama of the entire tradition. On one side stands the need for nuance. Not every surplus is usury: real losses exist, real risks exist, real labor exists, real expenses exist, real exchange differences exist, and real foregone opportunities may sometimes exist. A moral theology that refuses to recognize these things becomes unjust in the opposite direction, forcing one party to bear burdens that should be restored.

On the other side stands the need for discipline. Not every burden claimed by capital is real: not every risk is borne by the lender, not every opportunity cost is concrete, not every fee is reimbursement, not every partnership shares downside, and not every exchange is genuine. A moral theology that recognizes every claimed burden becomes a servant of capital rather than a judge of it.

Benedict XIV, Alphonsus, and Concina belong together because they show the three movements required for a living doctrine. Benedict reaffirms the principle: gain from the loan itself remains usury, and extrinsic titles must be real. Alphonsus translates the accumulated distinctions into pastoral guidance, seeking a prudent path through complex

practice. Concina warns that prudence can become permissiveness, and that a tradition of exceptions can lose its ascetical edge.

The modern relevance is direct. Today, nearly every financial return can be described in morally plausible language. A late fee compensates delay. A management fee compensates labor. A preferred return compensates risk. A liquidity premium compensates lock-up. A success fee compensates value creation. A monitoring fee compensates oversight. A liquidation preference compensates early risk. A discount rate compensates time. Each explanation may be partly true. Each may also be a pretext.

The later tradition teaches us that the question cannot be settled by vocabulary. We must test substance. Does the payment restore equality, or does it create domination? Does it compensate a real burden, or monetize bargaining power? Does the investor bear downside, or shift it to founders, workers, suppliers, community, or mission? Does the contract serve the common good, or simply protect capital's guaranteed growth?

The backlash also helps us recover the ascetical dimension of the usury doctrine. The doctrine was never only about technical fairness. It was about disciplining the desire of the creditor. It asked the person with surplus not to turn another's need into a revenue stream. It asked capital not to imagine itself as naturally entitled to increase. It asked Christians to see the borrower as neighbor before counterparty. If the extrinsic titles lose this ascetical dimension, they become spiritually dangerous even when technically sophisticated.

This is why the later settlement should not be read simply as the end of the story. It is a mirror. It shows the tradition wrestling with the same problem that modern non-extractive finance must face. How can we recognize legitimate compensation without normalizing extraction? How can we build institutions that are sustainable without making capital sovereign? How can we price real burdens without turning time, need, risk language, and legal complexity into machines of accumulation?

The answer cannot be pure rigorism, because real burdens must be compensated. But it also cannot be permissive sophistication, because cleverness is one of extraction's favorite tools. The answer must be disciplined discernment: title, proof, proportionality, anti-fraud analysis, and attention to vulnerability.

Benedict XIV, Alphonsus Liguori, and Daniele Concina leave us with this unresolved but fruitful tension. The doctrine survives only if it can do both things at once: permit compensation where justice requires it, and refuse every attempt to convert compensation into guaranteed yield. That is the later settlement. That is the backlash. And that is the burden any renewed moral economy must inherit.

Modern Scholarship and What Each Scholar Contributes

35.1 John T. Noonan

Any modern reconstruction of scholastic usury doctrine must begin with John T. Noonan. His classic study, *The Scholastic Analysis of Usury* (1957), remains one of the indispensable modern works on the subject, not because it answers every question, but because it shows the full historical drama of the doctrine. Noonan helps us see that the Christian teaching on usury was not a flat, static prohibition mechanically repeated across the centuries. It was a living and contested tradition of moral reasoning, shaped by Scripture, Roman law, canon law, scholastic theology, commercial practice, pastoral judgment, and institutional pressure.

Noonan's great contribution is historical breadth. He follows the doctrine across time, watching it develop from patristic and canonical condemnation into increasingly refined scholastic distinctions. He shows how theologians and canonists struggled with the same recurring problem: how to preserve the prohibition against gain from a loan as such while also recognizing cases in which a payment above principal might arise from something else. Penalties, damages, exchange contracts, partnership, annuities, public debt, risk, and foregone profit all enter the story. The doctrine does not remain simple because economic life does not remain simple.

This is why Noonan is so useful for the present book. He makes visible the difference between usury doctrine as slogan and usury doctrine as analytical tradition. The slogan says, "Interest was forbidden." The analytical tradition asks: what kind of contract is this? Is it a *mutuum*? Is the surplus intrinsic to the loan? Is there an external title? Is the payment compensation, penalty, partnership profit, exchange difference, risk premium, or hidden yield? Noonan helps recover the intellectual world in which these questions mattered.

He also helps correct the common modern caricature that medieval theologians simply failed to understand economics. The scholastic tradition did understand a great deal about contract form, risk, ownership, exchange, intention, fraud, damages, and commercial practice. It may not have used modern economic vocabulary, but it was far from naive. One of the striking lessons of Noonan's work is that scholastic authors often asked more morally precise questions than modern finance does. Modern finance asks what return capital can command. Scholastic moral theology asks what title, if any, justifies the return in justice.

At the same time, Noonan does not romanticize the tradition. He shows development, tension, pressure, and, in some readings, erosion. The doctrine becomes more complex partly because theologians are genuinely trying to distinguish compensation from exploitation. But it also becomes more complex because commercial society keeps finding ways to press against the prohibition. Every refinement creates the possibility of evasion.

Every exception can become a loophole. Every title can be stretched.

Noonan is especially helpful in tracing the way the extrinsic titles gradually alter the practical force of the usury prohibition. *Damnum emergens* is relatively easy to understand because actual loss fits naturally within restitution. A lender who suffers a real, provable loss because of the borrower's action may be restored without necessarily profiting from the loan. But *lucrum cessans* is more dangerous because it moves from actual loss to profit not made. If strictly limited to concrete foregone gain, it may still be compensatory. If generalized into opportunity cost, it threatens to normalize interest. *Periculum sortis* raises a similar danger. If the lender truly bears risk of principal, compensation may be intelligible. But if ordinary default risk justifies return, the doctrine may collapse. Noonan's history allows us to see these shifts as part of a long movement from prohibition toward accommodation.

This does not mean that Noonan should be read as the final word. His framework can sometimes make the history appear as a gradual, almost inevitable movement from medieval prohibition to modern interest. That story is powerful, but it can become too linear, and it can understate the continuing moral intelligence inside later scholastic analysis. Lessius and Lugo, for example, are not merely agents of decline. They are also serious thinkers trying to preserve the difference between title and pretext in a far more complex commercial world. The fact that their distinctions are dangerous does not mean they are foolish.

Noonan's usefulness is therefore greatest when read alongside other scholars. Odd Langholm helps deepen the analysis of scholastic value, price, and exchange. Giacomo Todeschini opens the Franciscan and social-belonging dimensions of medieval economic thought. Raymond de Roover clarifies the technical world of exchange and banking. Fabio Monsalve helps organize the late Spanish scholastic treatment of the extrinsic titles. Wim Decock brings Lessius into the history of contract law and moral theology. Pierre Januard complicates any simplistic reading of Aquinas on risk. Noonan gives us the great narrative arc, but the arc needs to be filled in, corrected, and deepened by more specialized work.

For the purposes of this book, Noonan's chief value is that he shows how the usury doctrine became a moral diagnostic system. The doctrine was not simply "no more than principal." It became a way of asking whether surplus came from the loan itself or from some external burden. That diagnostic method is precisely what we need for modern non-extractive finance. When a fund charges management fees, default fees, preferred returns, liquidity premiums, risk premiums, monitoring fees, or carried interest, the old question returns: what is the title? What is the payment for? Does it compensate labor, loss, risk, or service? Or does it merely guarantee capital's growth?

Noonan also helps us see the danger of moral drift. A doctrine may begin with a clear evangelical and biblical intuition: do not exploit the needy borrower; do not make money from another's vulnerability; do not treat the neighbor as a revenue stream. Over time, however, legal and commercial distinctions multiply. Each distinction may have a reason. But the cumulative effect may be to weaken the original moral force. This is not only a medieval problem but a modern institutional one. Mission drift often happens through reasonable exceptions.

That insight is central to a renewed moral economy. Non-extractive finance cannot survive by good intentions alone. It needs categories, rules, accounting, governance, and audit. But it must also constantly ask whether its categories have become self-justifying. Are management fees still cost recovery? Are risk premiums still tied to real downside? Are returns still linked to mission-aligned surplus? Are penalties still protective, or have they become revenue? Are legal forms still serving the moral form, or concealing its loss?

Noonan's history is therefore more than background; it is a warning. The tradition's

movement from prohibition to titles, from titles to refinements, from refinements to widespread permissibility, shows how difficult it is to keep capital morally disciplined once it becomes fluent in exception. But it also shows that the answer is not to abandon distinctions. Without distinctions, we cannot tell the difference between exploitation and legitimate compensation. The answer is to keep the distinctions accountable to their original purpose.

That original purpose was not hostility to all finance. It was the protection of justice. It was the insistence that surplus must not arise merely from another person's need, delay, weakness, or dependency. It was the refusal to let money claim growth by nature. It was the demand that the lender remain a neighbor.

Noonan helps us recover the seriousness of that tradition. He shows us its complexity, its development, its compromises, and its unresolved tensions. He also gives us the historical confidence to say that moral finance has a deeper lineage than modern markets admit. Long before contemporary debates about predatory lending, private equity, venture capital, public debt, or non-extractive capital, Christian theologians were already asking: when does compensation become extraction?

That is why Noonan belongs at the head of this chapter on modern scholarship. His work opens the archive, shows the terrain, and gives us the broad map of the scholastic struggle. But it also leaves us with the task this book has taken up: to read that history not merely as the story of how interest became possible, but as the story of how moral theology tried (and must still try) to distinguish capital that restores from capital that dominates.

35.2 Odd Langholm

Odd Langholm belongs among the indispensable modern historians of scholastic economic thought because he helps us see the intellectual machinery behind the doctrine. If John T. Noonan gives us the broad historical drama of usury's development, Langholm gives us the finer analytical structure: value, price, exchange, need, utility, risk, and the ways medieval theologians tried to reason morally about economic life before the emergence of modern economics as a separate discipline.

Langholm's importance lies partly in his refusal to treat scholastic economic thought as primitive economics wearing theological clothing. He reads the scholastics as serious analysts. They were not modern economists, and they should not be forced into modern categories. But neither were they economically naive. They asked detailed questions about equivalence in exchange, the just price, merchant profit, fraud, compulsion, scarcity, estimation, and the social conditions under which value is formed. Their work belongs to moral theology, but it is also a sophisticated theory of economic action.

This matters for the usury question because usury doctrine cannot be understood apart from the wider scholastic account of exchange. The problem of usury is not only a problem of loans. It is a problem of equality. In commutative justice, one party must not take more than is due from another. A sale, a lease, a partnership, an exchange contract, a wage bargain, and a loan all create different forms of relation, but each must be judged by whether it preserves or violates justice between persons. Langholm helps us see that the usury doctrine sits inside this larger moral universe.

In that universe, price is not simply whatever the strongest party can obtain. The just price is not a fixed mathematical point detached from market reality, but neither is it pure bargaining power. It is formed through common estimation, need, scarcity, quality, labor, risk, utility, and social judgment. The scholastics understood that prices move. They understood that merchants may buy in one place and sell in another. They understood that

costs and risks matter. But they also insisted that exchange remains morally accountable. Market price may inform justice, but it does not abolish justice.

Langholm shows how deeply scholastic authors cared about the distinction between value and exploitation. A thing may be worth more in one context than another. A merchant may create value by transporting goods, assuming risk, storing goods, or making them available where they are needed. A seller may sometimes charge more because the good has special value, or because circumstances have changed. But the same fluidity can be abused. Scarcity can be manipulated. Ignorance can be exploited. Necessity can be priced. A person in distress can be made to pay not because the thing is justly worth more, but because they have no alternative.

This framework illuminates the extrinsic titles. *Damnum emergens* is intelligible because justice permits restoration for actual loss. If one party's action causes another to be worse off, compensation may restore equality. *Lucrum cessans* is more difficult because it concerns value that would have arisen but did not. Langholm's work on value and expectation helps us understand why this title becomes so contested. A future profit may be real enough to matter in commercial life, but it may also be speculative. The moral theologian must ask whether the claimed value is grounded in concrete circumstances or merely imagined by the lender.

The same is true for *periculum sortis*. Risk affects value. A claim exposed to real uncertainty is not equivalent to a claim that is secure. A merchant who risks capital in trade is not in the same position as a creditor who is guaranteed repayment. Langholm's attention to scholastic value theory helps us see why risk-bearing can become morally relevant. But it also helps us see why risk language must be disciplined. Risk changes value only when it is truly borne. If legal structure shifts downside away from the capital provider, then the appeal to risk becomes morally hollow.

Langholm also helps us avoid a common mistake in reading the scholastics: the temptation to separate their economic analysis from their moral anthropology. Medieval theologians did not imagine economic actors as isolated utility maximizers. They understood persons as neighbors, sinners, householders, merchants, rulers, poor borrowers, religious communities, and members of a moral order. Economic action was not morally neutral because human action is not morally neutral. Buying, selling, lending, pricing, and profiting all reveal the shape of desire.

This is why scholastic economic thought remains so useful for a book on non-extractive finance. Modern finance tends to reduce economic action to contract, price, risk, and return. Scholastic thought asks what kind of relationship is being created. Is the other party being treated as neighbor or opportunity? Does the contract restore equality or deepen dependency? Does profit arise from service, labor, risk, and usefulness, or from another person's weakness? Does price reflect real value, or does it monetize vulnerability?

Langholm also situates scholastic thought historically without flattening it into a single position. There is no one simple medieval theory of economics. Authors and contexts differ. Theologians, canonists, jurists, and confessors emphasize different things. The treatment of usury, just price, merchant profit, risk, and exchange develops over time. Langholm helps us see this development as an intellectual tradition rather than as a set of isolated quotations.

This is particularly important for the history of the extrinsic titles. The titles did not appear all at once in finished form. They emerged from many overlapping problems: penalties for delay, damages, merchant losses, risk-bearing partnerships, exchange contracts, public finance, and the practical need to distinguish compensation from gain. Langholm's broader work on scholastic economic reasoning gives us the background against which these titles become understandable. They are not random exceptions. They are attempts

to preserve commutative justice under increasingly complex economic conditions.

At the same time, Langholm's scholarship helps us see where the tradition becomes unstable. The more scholastic authors recognize the complexity of value, the more difficult it becomes to maintain simple boundaries. If future value matters in pricing, why not in lending? If risk affects value in trade, why not in credit? If scarcity affects price, why not liquidity? If merchant skill and opportunity matter, why not foregone profit? Each question has moral force. Each also creates danger.

This is the great tension of scholastic economic thought. It is realistic enough to see that economic value is not static. But it is theological enough to resist the idea that value is simply whatever markets, power, or capital can command. Langholm helps us appreciate that tension rather than resolve it too quickly. The scholastics were not anti-market in any simple sense, nor market absolutists; they were trying to place exchange inside justice.

For modern readers, this is a major corrective. We often imagine moral finance as a choice between technical economics and ethical exhortation. Either one understands markets and therefore becomes permissive, or one condemns markets and becomes irrelevant. Langholm's scholastics show a third possibility: technical moral reasoning. One can understand price, risk, exchange, and commercial practice while still judging them by justice, charity, and the common good.

This third possibility is exactly what a renewed moral economy requires. Non-extractive finance cannot rest on sentiment. It must understand the instruments it judges. It must know how return is generated, how risk is allocated, how fees accumulate, how liquidation preferences work, how opportunity cost is invoked, how collateral shifts downside, and how governance rights create power. But technical understanding must not become moral surrender. Langholm's reconstruction of scholastic economic thought helps model this combination of analytical seriousness and moral accountability.

His work also helps us understand why the just price and usury belong together. Both doctrines resist the reduction of justice to consent. A person may consent under pressure. A borrower may agree because they are desperate. A seller may accept a low price because they have no alternative. A founder may sign extractive investment terms because the company will otherwise die. Formal agreement does not settle the moral question. The scholastics knew this. Langholm helps us see how deeply this concern shaped their economic thought.

This is especially relevant to venture capital and private equity. Modern investors often defend terms by pointing to sophistication, consent, and market practice. The founder signed, the company agreed, the valuation was negotiated, the term sheet was standard. But the scholastic tradition would ask more. What was the bargaining context? Was there distress? Was the price just? Was the return tied to real risk or to control? Was the downside shared? Did the contract preserve the mission, workers, and community, or did it make them subordinate to capital's exit?

Langholm's contribution is not that he directly answers these modern questions, but that he gives us the medieval intellectual resources to ask them well. He shows that scholastic economic thought was already concerned with the moral formation of value. He shows that price, exchange, and profit were never merely technical matters. He shows that the usury doctrine belongs to a larger attempt to prevent economic life from becoming a theater of domination.

There is also a caution in using Langholm. His work is detailed, historical, and conceptually careful. It resists easy appropriation. We should not simply recruit medieval scholastics as if they had already endorsed modern non-extractive finance, steward ownership, or impact investing. They lived in different legal, theological, and economic worlds. Their categories must be translated, not copied. But careful translation is exactly what this

book is trying to do.

Langholm helps us perform that translation with discipline. From him we learn to take scholastic concepts seriously on their own terms before applying them to modern finance. *Iustum pretium, mutuum, societas, interesse, damnum emergens, lucrum cessans*, and *periculum sortis* are not slogans. They are analytical tools formed inside a moral universe. If we detach them from that universe, we will either romanticize them or misuse them.

The central lesson Langholm offers is that medieval economic thought was a theology of ordered exchange. It asked how goods, money, risk, labor, and need could circulate without violating justice. It recognized that human beings must trade, borrow, lend, invest, and organize institutions. But it also recognized that each of these activities can become a site of sin. Economic sophistication does not remove the need for virtue. It increases it.

For the argument of this book, Langholm therefore supplies the deep background. Noonan shows the historical drama of usury's development. Langholm shows the moral-economic world in which that drama makes sense. He helps us see that the extrinsic titles were part of a larger scholastic attempt to distinguish legitimate compensation from unjust advantage, service from exploitation, and value from domination.

That distinction remains the heart of non-extractive finance. Capital must be allowed to serve, repair, participate, and sustain. But it must not be allowed to rename domination as price, or extraction as value. Langholm's scholastics knew that the market can reveal value, but they also knew that it can conceal injustice. Their question remains ours: what would exchange look like if it were governed by justice rather than by the maximum claim capital can enforce?

35.3 Giacomo Todeschini

Giacomo Todeschini is indispensable because he helps us see that medieval economic thought was never only about contracts, prices, and loans. It was also about belonging. His work on Franciscan economics, poverty, credit, and social inclusion reveals a dimension of the usury tradition that can easily disappear if we treat the doctrine as merely technical. The medieval debate over money was also a debate over who counted as trustworthy, who could participate in the community, who was excluded, and how economic behavior revealed one's moral and spiritual status.

This matters deeply for a book about non-extractive finance. Usury is not merely a bad pricing mechanism. It is a disorder of relationship. It changes the social meaning of the borrower. The debtor becomes an opportunity. The poor become risky. The excluded become costly. The creditor becomes entitled. A financial relation that should serve life becomes a mechanism for sorting persons into the worthy and the unworthy, the credit-worthy and the disposable, the included and the excluded.

Todeschini shows how Franciscan thought developed a sophisticated moral-economic vocabulary around poverty and use. The Franciscans were not simply hostile to economic life. Their radical poverty forced them to think with unusual precision about ownership, use, exchange, necessity, and the social function of goods. If one renounces ownership, what does it mean to use things justly? If goods are not absolute possessions, how should they circulate? If wealth is entrusted rather than possessed without limit, what obligations follow?

This Franciscan lens changes the way we read the usury debate. The central issue is not only whether a lender has a legal title to surplus. It is whether the structure of lending supports or destroys the social body. Does credit allow the poor to remain participants in community? Does it restore households, work, and dignity? Or does it mark some people

as permanently inferior, dependent, and exploitable?

The Monti di Pietà become especially significant in this light. They were not merely clever institutional solutions to a technical usury problem. They were attempts to build credit institutions that could protect the poor from predatory lending while preserving social participation. Small loans against pledges were not meant to generate profit for capital. They were meant to prevent desperate people from falling into worse forms of dependency. The issue was not simply “may the institution charge a small fee?” The deeper question was: can a Christian community create financial structures that keep vulnerable people inside the circle of economic life?

Todeschini helps us see that this question is social, not only contractual. A usurious society does not merely contain unjust loans. It produces forms of exclusion. Those without capital must pay to survive. Those with capital define the terms of participation. Credit-worthiness becomes a moralized category. The poor are made to appear unreliable, dangerous, or burdensome, while the wealthy appear prudent and deserving. Finance then becomes a technology of social ranking.

The usury doctrine has often been narrated as a story of theological rigidity slowly giving way to economic reality. Todeschini complicates that story. The medieval concern was not simply that money should not breed money. It was that economic relations formed moral communities. Lending, pricing, pledging, and exchanging were ways of defining who belonged to the city, who could be trusted, who could act, who could flourish, and who would be pushed outside.

In this sense, Franciscan economics is not merely about poverty as lack. It is about poverty as a site where the truth of the economy is revealed. How a community treats those without surplus capital shows what that community believes goods are for. If goods exist for domination, the poor become instruments of gain. If goods exist for use, life, and communion, then credit must be ordered toward restoration rather than extraction.

Todeschini’s attention to economic citizenship is particularly important for modern finance. Today, inclusion is often measured by access: access to credit, access to banking, access to investment, access to markets. But access alone is not enough. One can be included on extractive terms. A payday loan includes the borrower in the credit system. A predatory mortgage includes the homeowner in the housing market. A venture capital term sheet includes the founder in the startup ecosystem. Inclusion can become another form of capture if the terms of inclusion transfer disproportionate value, risk, or control to capital.

The Franciscan question is sharper: does the financial structure allow the person or community to live? Does it restore agency? Does it preserve dignity? Does it keep households, workers, founders, and missions from being reduced to collateral for someone else’s return? Does it make participation possible without requiring surrender to domination?

This is why Todeschini’s work belongs in the genealogy of non-extractive finance. Non-extractive finance cannot be satisfied with “access to capital” as its goal. Access to capital may be good, but only if the capital serves life. If the structure demands growth that the enterprise cannot bear, if it imposes exit pressure that distorts the mission, if it subordinates labor and community to investor priority, if it turns vulnerability into yield, then access has become extraction.

Todeschini also helps us understand the moral meaning of trust. Credit is never only a calculation. It is a judgment about persons. The Latin root of credit is tied to belief and trust. To extend credit is to believe that another can receive, use, and return value. But in societies structured by inequality, trust is unevenly distributed. Some people are presumed reliable; others must pay more because they are presumed risky. Some are given time; others are charged for delay. Some are rescued; others are punished. Finance

distributes not only money, but credibility.

The medieval usury debate is therefore also a debate about the abuse of trust. The lender who takes usury violates trust by turning the borrower's need into profit. The borrower is not met as neighbor, but evaluated as income stream. The relation becomes spiritually disordered because the creditor's gain depends on the debtor's dependency. Todeschini's work helps us see that this disorder has communal effects. It shapes who is honored, who is ashamed, who is inside, who is outside.

The Franciscan tradition's emphasis on use rather than absolute possession is another powerful contribution. If goods are given for use, then ownership cannot be morally absolute. The owner is not sovereign over wealth as if wealth had no social purpose. Wealth is entrusted, and it must circulate toward life. This does not abolish property or contract, but it relativizes them. Property is morally judged by use. Capital is judged by what it enables or destroys.

This is directly relevant to steward ownership and mission-locked governance. A steward-owned company does not treat ownership as an unlimited right to extract. It separates governance from speculative profit rights, protects mission, and limits capital's claim. In a Franciscan key, this can be understood as a modern institutional attempt to discipline ownership by use. The question is not "how much can owners take?" but "how can the enterprise remain ordered toward its purpose?"

Todeschini does not give us a ready-made modern legal form, but he gives us a way of seeing. He helps us interpret financial structures as practices of inclusion or exclusion, communion or domination, use or possession, trust or suspicion. This is why his scholarship is so important for the moral economy project. He widens the frame beyond the contract and asks what kind of society the contract helps create.

This also changes how we understand the extrinsic titles. A title is not merely a technical permission to receive surplus. It is a test of whether a payment corresponds to a real burden without destroying social belonging. A late penalty may be compensatory in one case, but exclusionary in another if it traps vulnerable borrowers in spirals of default. Cost recovery may sustain a charitable lender, but become exclusionary if fees price out the poor. Risk compensation may be legitimate when risk is truly borne, but destructive when "risk" becomes the language by which already-excluded people are charged more for being poor.

Todeschini's work therefore pushes us to add a social diagnostic to the contractual diagnostic. It is not enough to ask: is there a title? We must also ask: what does the title do to belonging? Does it restore the borrower to participation, or mark the borrower as permanently costly? Does it strengthen the community, or create a creditor class living from the vulnerability of others? Does it support economic citizenship, or deny it?

This is especially important in the modern context of digital sovereignty, venture capital, and infrastructure finance. Ownership and finance determine who participates in the digital world, who governs platforms, who controls data, who benefits from public infrastructure, and who is excluded from technological power. A financing structure that extracts from mission-driven companies does not merely affect investors and founders. It shapes the public ecology of technology. It determines whether infrastructure serves communities or becomes another enclosure.

Todeschini helps us see that the moral economy of finance is inseparable from the moral economy of membership. Who gets to build? Who gets to govern? Who gets to remain? Who gets pushed out? Who pays for access? Who receives trust? Who bears suspicion? These are financial questions because they are theological questions about the body politic and the body of Christ.

His contribution also helps recover the Franciscan dimension of this book. Much of the

technical usury tradition is often read through Dominican and scholastic lenses, especially Aquinas, Cajetan, Soto, and later systematizers. That is necessary. But the Franciscan tradition adds something essential: a sharper eye for poverty, use, exclusion, and the social meaning of economic life. Olivi, Bernardino, the Monti di Pietà, and the wider Franciscan moral imagination show that finance must be judged by whether it allows the vulnerable to live.

This is where Todeschini is most valuable. He teaches us that medieval economic thought was not only about avoiding individual sin. It was about forming a Christian society in which goods circulated toward use, participation, and salvation rather than greed, exclusion, and domination. That vision may not translate directly into modern pluralistic finance, but it challenges us at the root.

For non-extractive capital, the lesson is clear. A financing structure is not moral merely because it is legal, voluntary, market-rate, impact-branded, or even mission-aligned in its stated intention. It must be judged by the social relation it creates. Does it include on humane terms? Does it protect the vulnerable party? Does it keep capital from becoming a gatekeeper of belonging? Does it allow enterprises, workers, founders, and communities to remain agents of their own purpose?

Todeschini belongs in this chapter because he prevents the history of usury from becoming too narrow. He reminds us that the Church's moral concern with finance was never merely arithmetic. It was about the ordering of community. It was about whether money serves communion or exclusion. It was about whether the poor remain neighbors or become instruments.

In that sense, Todeschini gives us one of the deepest questions in the whole book: what kind of belonging does this financial structure create? If the answer is dependency, humiliation, exclusion, or capture, then the structure remains morally suspect no matter how clever its titles. If the answer is restoration, participation, trust, and life, then finance begins to recover its proper place: not as master of the community, but as one of the tools by which the community learns to care for its members.

35.4 Raymond de Roover

Raymond de Roover (1904–1972), the Belgian historian of medieval and Renaissance banking whose *The Rise and Decline of the Medici Bank* appeared in 1963, is indispensable because he helps us understand the technical world of medieval and early modern finance from the inside. If Noonan gives us the grand history of scholastic usury doctrine, Langholm gives us the intellectual structure of value and exchange, and Todeschini restores the social and Franciscan dimensions of belonging, de Roover brings us into the counting house. He shows how merchants, bankers, money changers, bills of exchange, exchange fairs, and commercial instruments actually worked.

The usury debate was never only about abstract theology; it was also about instruments. A theologian could not judge foreign exchange without understanding what a bill of exchange did. A confessor could not distinguish legitimate exchange from disguised usury without knowing how exchange and re-exchange were structured. A canonist could not identify fraud merely by looking at the name of a contract. The moral question depended on technical reality.

De Roover's work on scholasticism, usury, banking, and foreign exchange is especially valuable because it corrects two opposite mistakes. The first mistake is to imagine medieval theologians as economically ignorant men condemning what they did not understand. The second mistake is to imagine medieval bankers as merely modern financiers

trapped inside outdated religious language. De Roover shows a more interesting world: theologians and merchants were engaged in a complex negotiation over real instruments, real risks, real services, and real evasions.

The bill of exchange is central to this story. In its legitimate form, it was a practical and often necessary commercial instrument. It allowed merchants to move funds across distance without physically transporting coin. It enabled payment in another city, in another currency, at another fair, or through another banking network. It reduced risk, supported trade, and reflected real differences in place, currency, availability, and timing. A banker or merchant who facilitated such exchange performed a real service. Profit from that service was not automatically usury.

But the same instrument could be abused. A bill of exchange could become a way to lend money and receive more later while preserving the appearance of an exchange transaction. The key danger was fictitious exchange or dry exchange. If there was no real need to transfer funds, no genuine currency difference, no real commercial movement, and no meaningful exchange risk, then the transaction might simply be a loan disguised as exchange. The parties could arrange exchange and re-exchange so that one advanced money now and received more money later. The legal form was exchange; the moral substance was interest-bearing debt.

De Roover helps us see why this was difficult. The line between legitimate exchange and disguised loan was not always visible from the surface. Both could involve bills, time, different cities, and differences in amount. The moral theologian had to ask whether the exchange difference corresponded to something real. Was money genuinely being transferred between places? Were currencies actually exchanged? Were rates determined by market conditions? Did the banker perform a service? Was there risk? Or was the entire apparatus designed to create a fixed return on an advance?

This is the contract-classification problem at a high level of sophistication. De Roover's historical work shows that scholastic theologians had to become analysts of financial substance. It was not enough to ask whether the contract said "exchange." They had to determine whether the transaction functioned as exchange. This is precisely the same discipline needed today when examining convertible notes, preferred equity, revenue-based financing, sale-leasebacks, synthetic instruments, derivatives, or "partnerships" that behave like debt.

De Roover also helps us understand why the scholastics did not simply condemn bankers as such. Money changing, transfer, safekeeping, accounting, correspondence, and settlement could serve real economic purposes. The merchant banker could be a facilitator of trade, not merely a usurer. This matters because Christian moral theology was not meant to abolish commercial life. It was meant to discipline it. The question was not whether finance could perform useful work. The question was whether the payment received corresponded to that work, risk, or service, or whether it extracted surplus from a disguised loan.

This distinction is central to the whole tradition of extrinsic titles. The same numerical surplus can have different moral meanings depending on its source. If the surplus compensates actual exchange service, it may be legitimate. If it compensates real risk, it may be legitimate. If it compensates labor, administration, or transfer across place, it may be legitimate. But if the surplus is merely a fixed gain from money advanced over time, then it remains morally suspect, no matter how elaborate the instrument.

De Roover also helps explain the importance of Sant'Antonino of Florence and the late medieval exception-list tradition. Antonino lived in one of the great commercial centers of Europe, where banking and exchange were not theoretical matters. His moral theology had to speak into a world of merchants, bills, credit, public debt, and civic finance. De

Roover's attention to Antonino helps show how scholastic moral analysis interacted with actual commercial practice. The theologian was not speaking into a vacuum. He was interpreting instruments that shaped the daily life of Florence and beyond.

It is tempting to narrate the development of usury doctrine as a simple progression: the Church condemned interest; commerce became more complex; theologians invented exceptions; eventually interest became acceptable. De Roover complicates this by showing that some of the "exceptions" corresponded to real economic differences. Exchange profit was not always a trick. A bill was not always a disguised loan. A banker was not always a usurer. Moral theology needed to distinguish real finance from false finance.

Yet de Roover also shows why commercial complexity could become a field of evasion. The more complex the instruments, the more opportunities existed for disguise. A straightforward usurious loan could be condemned easily. A structured exchange transaction required expertise to unravel. Moral evasion often becomes more effective as financial technique becomes more sophisticated. The sin does not disappear; it becomes harder to see.

This is one of de Roover's most important lessons for modern non-extractive finance. Complexity is not proof of legitimacy. A financial structure may be technically elegant, legally enforceable, market-standard, and still morally false. It may assign names to payments that do not correspond to their substance. A fee may function as interest. A partnership may function as secured debt. A risk premium may be charged by someone who has shifted away the risk. An exchange contract may function as a loan. A liquidity premium may simply monetize time. The theologian, or moral auditor, must understand the instrument well enough to see through it.

De Roover also helps us appreciate the importance of accounting. Bills of exchange, banking networks, and merchant finance depended on records. Who owed what? In what currency? Payable where? At what date? At what rate? To whom? Through which correspondent? Moral analysis could not be separated from the documentary structure of the transaction. The truth of the contract was partly visible in its books. If the books showed circular exchange with no commercial substance, that mattered. If they showed real transfer, service, risk, and settlement, that mattered too.

This connection between moral theology and bookkeeping is directly relevant to modern non-extractive capital. A fund that claims to be non-extractive must be able to show, in its own records, what each payment is for. Is this a management cost? Is this reimbursement? Is this risk-sharing return? Is this penalty? Is this actual loss? Is this foregone gain? Is this mission-aligned surplus? Or is this simply yield under another name? Like medieval exchange, modern finance must be audited not only legally, but morally.

De Roover also gives us a way to think about digital and cross-border finance today. Medieval bills of exchange solved problems of distance, currency, trust, and settlement. Modern financial infrastructure solves similar problems through payment systems, platforms, banking APIs, stablecoins, correspondent networks, and digital rails. These systems can serve real exchange and coordination. They can also hide extraction, fees, arbitrage, and power. The moral question remains: does the instrument serve human exchange, or does it create a disguised claim by which capital extracts from dependence?

For this book, de Roover's contribution is therefore both historical and methodological. Historically, he illuminates the world of bills, banking, and exchange that forced scholastic theologians to refine their analysis. Methodologically, he teaches us to examine financial instruments in detail before judging them. We cannot make moral claims about finance from too great a distance. We must know how the transaction works.

But de Roover also warns us not to be seduced by technical understanding. To understand an instrument is not to bless it. The banker may perform a real service, or may hide

usury inside exchange. The bill may transfer value across distance, or may circle value back with profit. The contract may serve trade, or may simulate trade in order to justify yield. The moral task is to tell the difference.

This makes de Roover especially important for a renewed moral economy. Non-extractive finance will require new instruments, or at least old instruments used differently. Steward-owned capital, revenue-sharing agreements, capped returns, redeemable equity, patient capital, mission-locked funds, public-interest infrastructure finance, and community investment vehicles all involve technical design. They must be understood structurally. Good intentions will not be enough. The instrument itself must embody the moral claim.

De Roover helps us see that this has always been true. Medieval theologians did not only preach against greed. They asked whether the bill was real. Whether the exchange was real. Whether the risk was real. Whether the service was real. Whether the surplus was real compensation or hidden usury. Their discipline was not anti-financial; it was anti-fraud.

The modern equivalent is clear. A financing structure should not be judged by its label: impact, patient, catalytic, blended, mission-aligned, steward-owned, non-extractive. It must be judged by what it actually does. Does capital bear downside? Are fees tied to costs? Are returns capped and proportionate? Is mission protected? Are workers and founders subordinated? Is time monetized? Is risk shifted? Is liquidity priced twice? Are penalties revenue? Are there circular flows that make extraction look like service?

De Roover's scholarship equips us to ask these questions with historical humility. The medieval world was not ours. Bills of exchange are not convertible notes. Florentine bankers are not venture capital funds. But the moral problem of disguise remains strikingly continuous. Finance constantly invents forms that can serve real needs or conceal unjust gain. The task of moral theology is to understand the form well enough to discern the truth.

That is why Raymond de Roover belongs in this chapter. He teaches us that the history of usury cannot be written from the pulpit alone; it must also be written from the ledger. And if we want capital that serves life, we must be willing to read the ledger with theological eyes.

35.5 Fabio Monsalve

Fabio Monsalve is especially useful for this book because he brings focused attention to the late Spanish scholastics and to the extrinsic titles as a family of moral-financial arguments. Where some histories of usury doctrine emphasize the broad movement from prohibition to permissibility, Monsalve helps us see the inner logic of the titles themselves: *damnum emergens*, *lucrum cessans*, and *periculum sortis* as distinct but increasingly related ways of thinking about compensable detriment.

The late scholastic tradition is often misunderstood. It is easy to treat Salamanca and the later scholastics as a transitional stage on the way to modern interest, as if their only historical role were to weaken an older prohibition until ordinary finance could emerge. There is some truth in that story, but it is incomplete. The late scholastics were not merely dissolving doctrine. They were trying to determine what justice required in a commercial world where loss, risk, exchange, and opportunity had become increasingly difficult to separate.

Monsalve's contribution is to clarify that development. He helps show how the extrinsic titles emerge, become named, gain acceptance, and eventually become organized

into a broader theory. In particular, he is useful for understanding the chronology and relative moral status of the major titles. *Damnum emergens* is accepted earlier and more easily because it concerns actual loss. *Lucrum cessans* is more controversial because it concerns profit not obtained. *Periculum sortis* becomes increasingly important as theologians confront risk, uncertainty, and the valuation of claims.

The sequence shows a movement from the concrete to the more abstract. Actual loss is easiest to justify because something has been damaged, paid, lost, or incurred. The lender is not asking to profit from the loan, only not to be made worse off. This fits naturally within commutative justice and restitution. If equality has been disturbed by a real loss, compensation can restore it.

Foregone profit is harder. The lender says not, "I lost what I had," but "I failed to gain what I would have gained." The claim may be true. A merchant may have had a concrete, intended, probable use for the funds. Lending the money may have interrupted that use. But the claim may also be fictive. Anyone can imagine a missed opportunity after the fact. Every sum of money can be imagined as potentially profitable. If *lucrum cessans* becomes abstract opportunity cost, then the usury doctrine is in danger. Monsalve's work helps us see why this title had to be both admitted and disciplined.

Risk of principal is different again. *Periculum sortis* does not primarily concern an event after the loan, such as delay or damage, nor a lost alternative use. It concerns the structure of the transaction itself. The lender may be exposed to the possibility that the principal will not be recovered. A risky claim is not the same as a certain claim. In that sense, risk can affect value. But here too the danger is obvious. Every loan contains some risk of nonpayment. If that ordinary risk is enough to justify surplus, then every loan can become interest-bearing.

Monsalve's reading of the late scholastics reveals the internal discipline of the titles. The titles are not merely labels. Each one has conditions. Each one names a particular kind of burden. Each one can be abused if detached from proof, causality, proportionality, and moral substance. The late scholastics increasingly recognize the relatedness of the titles, but they also need to preserve their differences.

Juan de Lugo is especially important in Monsalve's reconstruction because Lugo gathers the major titles under a broader account of detriment. Risk, lost gain, and actual loss can be understood as different forms of harm or burden. This is a powerful synthesis. It allows moral theology to see that a lender may be disadvantaged in more than one way. The lender may lose something already possessed, fail to receive something reasonably expected, or bear exposure to the loss of capital itself. All of these can be treated as ways in which equality may be disturbed.

But Lugo's synthesis is also dangerous if read carelessly. If every inconvenience, possibility, risk, or absence of money becomes a "loss of a sort," then the doctrine loses its ability to restrain. A universalized theory of detriment can become a universal justification for return. Monsalve's work helps us see this tension clearly. Lugo matters because he brings coherence to the titles, but his coherence must not become overextension.

For this book, Monsalve is particularly helpful because we are not simply asking whether medieval and early modern theologians "allowed interest." We are asking how they distinguished compensation from extraction. The extrinsic titles are best understood as a diagnostic system. They ask: what burden does the surplus correspond to? Is the burden actual loss, foregone gain, risk of principal, labor, expense, or delay? Is the burden real? Is it external to the loan? Is it caused by the transaction? Is it proportionate? Is it already compensated elsewhere?

Monsalve helps organize this diagnostic system historically. He shows that the titles were not equally obvious, equally accepted, or equally safe. *Damnum emergens* is close to

restitution. *Lucrum cessans* moves toward opportunity. *Periculum sortis* moves toward risk pricing. Together, they form a spectrum. As one moves from actual damage to expected gain to uncertain capital exposure, the moral analysis becomes more commercially realistic but also more vulnerable to abstraction.

This spectrum is directly relevant to modern finance. A modern investor may claim a return because of actual costs incurred. That resembles *damnum emergens* or expense reimbursement. The same investor may claim a return because capital could have been deployed elsewhere. That resembles *lucrum cessans*. The investor may claim a return because capital is at risk. That resembles *periculum sortis*. The investor may also claim a liquidity premium because capital is locked up, which touches *carentia pecuniae*. Modern finance often combines all these claims at once.

The danger is that the claims accumulate. A fund may charge management fees for labor, origination fees for transaction costs, preferred returns for time, risk premiums for uncertainty, liquidation preferences for downside protection, default interest for delay, and carried interest for upside. Some of these may be legitimate in some contexts. But together they can create double-counting and domination. Monsalve's reconstruction of the titles helps us disaggregate the claims. What is each payment for? Which title justifies it? Has the same burden been counted twice? Is the capital provider actually bearing the burden named?

This disaggregation is essential for non-extractive capital. Without it, mission language can hide conventional financial accumulation. A fund can say it is patient, catalytic, or impact-oriented while still demanding the full modern stack of capital claims: fees, priority, downside protection, upside participation, liquidity premiums, and control rights. Scholastic analysis, especially as clarified through Monsalve's work, asks us to separate each claim and test it.

Monsalve also helps us avoid an overly Dominican or Aquinas-only reading of the tradition. Aquinas is foundational, but the doctrine does not stop with him. Later commercial life raised questions Aquinas did not systematize in full. The Spanish scholastics and Jesuit systematizers had to address new forms of exchange, credit, risk, and opportunity. Their answers must be judged critically, but they cannot be ignored. They show moral theology trying to remain alive inside economic change.

This is important for our own project because modern non-extractive finance cannot simply quote Aquinas and stop. Aquinas gives us the grammar: the *mutuum*, commutative justice, actual loss, partnership, and the danger of selling what one does not yet have. But contemporary finance presents problems that require further analysis: portfolio theory, venture capital, revenue sharing, capped returns, mission locks, downside allocation, governance rights, liquidity, and systemic risk. The late scholastics show one historical example of moral theology extending itself into new economic terrain.

Monsalve also shows that the late scholastics were not careless about proof. The titles require causality and evidence. A loss must be shown. A foregone profit must be connected to a real alternative. Risk must be borne, not merely invoked. This is a deeply modern insight. Moral finance requires documentation. It is not enough to claim a title; one must show the burden.

This is where accounting becomes important. A non-extractive fund should be able to document the moral basis of its payments. Administrative costs should be traceable. Losses should be evidenced. Risk-bearing should be visible in the legal structure. Foregone opportunities should not be vague appeals to market return. Penalties should be tied to actual harm and should not become revenue. The titles require books, records, and audit.

Monsalve's reconstruction also points to the theological importance of proportionality.

Even when a title is real, it does not justify unlimited payment. Actual loss permits restoration, not enrichment. Foregone gain permits compensation only up to the value of the lost gain. Risk permits compensation only in proportion to genuine exposure. Administrative cost permits reimbursement, not profit extraction. The title measures and limits the claim.

This principle is crucial in modern capital design. A risk-bearing investor may deserve upside, but not infinite upside if the downside is capped or shifted. A fund manager may deserve compensation, but not unlimited fees detached from labor. A lender may deserve compensation for delay, but not a penalty structure that makes default profitable. A mission-aligned investor may deserve a return, but not one that hollows out the mission it claims to support.

Monsalve therefore contributes more than historical detail. He gives us a way to structure the moral audit of capital. His work helps us ask whether a modern financial return corresponds to a specific, bounded, documented burden or whether it is simply the generalized claim of capital to growth. That is the central distinction of this book.

There is, however, a caution. Because Monsalve helps clarify the late scholastic expansion of the titles, one might be tempted to treat that expansion as full authorization for modern finance. That would be a mistake. The late scholastics operated within a moral universe in which usury remained a sin, the *mutuum* remained restricted, and surplus required justification. Their categories were not meant to bless the modern assumption that capital naturally deserves return. They were meant to discipline surplus by tying it to real burdens.

For this reason, Monsalve should be read as a guide to moral structure, not as a permission slip. His work helps us reconstruct how the tradition thought, where it expanded, and where it became vulnerable. It helps us understand why *damnum emergens*, *lucrum cessans*, and *periculum sortis* matter, but it also helps us see why they must be handled carefully.

In the architecture of this book, Monsalve stands at the point where historical theology becomes diagnostic method. The extrinsic titles are no longer scattered exceptions. They become a matrix. Actual loss, foregone gain, and risk of capital become distinct tests of whether surplus is restorative or extractive. Lugo's synthesis becomes especially important because it shows how these tests can be gathered under a broader theory of detriment, but only if the theory remains disciplined by proof, causality, proportionality, and anti-fraud analysis.

That is why Fabio Monsalve is essential. He helps us see the extrinsic titles not as loopholes and not merely as steps toward modern interest, but as a contested moral technology. They are tools for asking whether capital is being compensated for something real or whether it is learning to disguise its demand for guaranteed growth. And that question remains the heart of non-extractive finance: what exactly is capital being paid for?

35.6 Wim Decock

Wim Decock is especially important for understanding the transition from scholastic moral theology into modern contract thinking. His work on Leonardus Lessius, early modern contract law, and the moral theology of economic life helps us see that the late scholastic tradition was not simply a set of opinions about interest. It was a sophisticated legal-theological analysis of obligations, promises, risk, consent, restitution, and contractual justice.

The extrinsic titles are not merely economic concepts but contract concepts. They ask when one party may justly receive more than principal, but they do so by examining the structure of the obligation. What was promised? What was transferred? Who owns the

capital? Who bears risk? What loss was caused? What gain was prevented? What burden was voluntarily assumed? What does the contract actually do?

Decock's work helps us recover this juridical precision. Late scholastic moral theologians were deeply interested in contracts because contracts shape moral relations. A contract is not only a private instrument for coordinating preferences. It is a way of creating obligations in justice. It can repair equality, but it can also break equality. It can express trust, but it can also conceal domination. It can make cooperation possible, but it can also formalize exploitation.

Lessius stands at the center of Decock's contribution. Lessius is one of the figures through whom scholastic theology comes closest to modern commercial reasoning without simply becoming modern finance. He understands that contracts can be complex. He sees that money may be committed, risk may be borne, opportunities may be lost, liquidity may be surrendered, and parties may structure obligations in ways that do not fit neatly into the simplest medieval categories. But he still works within a moral universe in which gain from the *mutuum* itself remains forbidden unless a real external title exists.

Decock shows how Lessius's contract analysis is both expansive and disciplined. Lessius is willing to take commercial practice seriously. He does not treat every financial innovation as automatically corrupt. He asks whether a particular contractual form creates a legitimate title. But this does not mean that the market settles the moral question. The contract must be analyzed according to justice, not merely enforceability.

This is especially important for the title of *periculum sortis*. Decock's work helps clarify how capital risk becomes thinkable in contract terms. If the lender genuinely bears the risk of losing principal, the lender's position is not the same as that of a creditor with a guaranteed claim. A risky claim has a different value from a certain claim. If the lender truly assumes exposure, a payment may be analyzed as compensation for risk rather than gain from the loan as such.

But the word "truly" matters. Risk cannot merely be invoked. It must be located in the contract. Can principal actually be lost? Does the borrower remain personally liable regardless of outcome? Is there collateral? Are there guarantees? Is the claim senior? Can the lender enforce repayment against unrelated assets? Is the lender protected while still charging for risk? Decock's contract-sensitive reading helps us see that risk is not a vague atmosphere around finance; it is legally and economically allocated.

This insight is essential for modern non-extractive finance. Investors often claim return because they are "taking risk." But a moral audit must ask what risk they actually bear. Preferred equity, liquidation preferences, redemption rights, security interests, covenants, board control, personal guarantees, and seniority can all reduce or shift downside. If the investor claims a risk premium while the structure pushes most real fragility onto founders, workers, suppliers, customers, community, or mission, then the appeal to risk becomes morally suspect.

Decock also helps us understand *carentia pecuniae*, the title based on being without one's money. In Lessius, this title becomes visible as a contractual commitment: the lender agrees not to call back money for a term. The borrower receives stability. The lender gives up liquidity. This can be analyzed not simply as a loan, but as an obligation of duration. The lender has bound himself.

Yet this is precisely where the danger appears. If every commitment of money for a term justifies surplus, then every loan can generate interest. The lender is always without money after lending it. Every term loan deprives the lender of liquidity. If that deprivation alone becomes a title, the usury doctrine dissolves. Decock's attention to Lessius helps us see both sides: the genuine contractual insight and the dangerous proximity to modern time-value logic.

Decock helps us avoid simplistic readings of Lessius. Lessius is not merely a villain who opened the door to interest, nor merely a hero who discovered modern contract freedom. He is a sophisticated moral theologian working at the edge of a changing economy. His categories are powerful because they recognize real commercial burdens. They are dangerous because those same burdens can be generalized into ordinary yield.

Decock's broader work on contract law also matters because it situates late scholastic moral theology as a precursor to modern legal thought. Early modern theologians and jurists were not only discussing sin in the confessional. They were developing concepts of consent, obligation, promise, restitution, unjust enrichment, and contractual fairness that would shape later legal development. Economic life was still morally thick. Contract was not yet imagined as a purely autonomous private space outside theological judgment.

This has profound implications for the modern reader. Today, contract law often assumes that informed consent and legal enforceability do much of the moral work. If sophisticated parties agree, the contract is presumed legitimate. But the scholastic tradition asks deeper questions. Consent can be pressured. Bargaining power can be unequal. Legal form can conceal moral substance. A contract can be valid and still extractive. Decock's work helps recover that older, richer understanding of contract.

This is especially relevant in venture capital and private equity, where the contract is often treated as the final moral authority. The founder signed the term sheet, the company accepted the valuation, the investors negotiated their rights, the covenants are standard, the liquidation preference is market practice. But scholastic contract analysis would not stop there. It would ask: what obligations does this structure create? Who is protected? Who is exposed? Who has control? Who receives upside? Who bears downside? What happens in failure? Does the contract serve the enterprise's purpose, or subordinate the enterprise to capital's exit?

Decock helps us see that late scholastic moral theology had the tools to ask such questions because it refused to separate contract from justice. Contract was a moral form, not merely an expression of will, and it had to be examined according to the kind of relationship it created.

This is also why Decock matters for the transition toward money-market logic. Lessius and related authors begin to analyze liquidity, risk, time, and opportunity in ways that resemble modern finance. But the resemblance should not be confused with identity. Modern finance often treats these features as pricing inputs. Late scholastic moral theology treats them as possible titles requiring justification. The difference is decisive.

A risk premium in modern finance is usually a market price. In scholastic terms, it must be a title grounded in real risk borne. A liquidity premium in modern finance is usually compensation for lock-up. In scholastic terms, it must be tested against the danger of *carentia pecuniae*. Opportunity cost in modern finance is a basic assumption of rational allocation. In scholastic terms, it must be disciplined by the requirements of concrete alternative use, causality, and probability. Decock's scholarship helps us locate the moment where these languages begin to overlap, while still preserving their moral difference.

His work is also important because it reveals the role of legal imagination in economic transformation. Finance changes not only when people become greedier or markets become larger, but when contractual forms make new claims thinkable. Once liquidity deprivation can be named, it can be priced. Once risk of principal can be named, it can be priced. Once foregone gain can be named, it can be priced. Naming can clarify justice, but it can also enable extraction. A title can become a product.

This is one of the central warnings for non-extractive finance. We too are creating names: patient capital, steward ownership, mission lock, non-extractive return, catalytic investment, recoverable grant, revenue-based finance, capped upside, solidarity finance.

These names may clarify moral intention. But they can also become brands that hide conventional extraction. Decock's reading of scholastic contract law warns us that every named form must be tested against its actual obligations.

The connection to audit is unavoidable. A contract-sensitive moral theology must read the documents. It must examine repayment rights, priority, security, governance, control, default provisions, information rights, exit rights, fees, redemption rights, and distribution waterfalls. It must ask whether the moral title claimed in the narrative is actually embodied in the legal structure. If the story says "partnership" but the contract says "guaranteed priority," the contract tells the truth. If the story says "risk-sharing" but the investor is insulated from loss, the structure tells the truth. If the story says "mission-aligned" but the exit rights force sale against mission, the rights tell the truth.

Decock's contribution is therefore methodological as much as historical. He teaches us to read moral theology and contract law together. The moral question is not outside the contract. It is inside the contract, in the allocation of rights, duties, remedies, risks, and powers.

For the architecture of this book, Decock helps us understand Lessius not only as a theologian of usury, but as a thinker of contractual modernity. Through Lessius, the extrinsic titles become more precisely connected to legal obligation. *Periculum sortis* becomes a question of risk allocation. *Carentia pecuniae* becomes a question of term commitment and liquidity. *Lucrum cessans* becomes a question of interrupted opportunity and causal loss. *Damnum emergens* becomes a question of compensable damage. All of these require contractual analysis.

This also explains why Decock's work is so important for the transition from moral theology to law and economics. The categories that modern finance treats as normal (risk, time, liquidity, opportunity, contractual freedom) were once morally contested. They had to be justified. They had to be named as titles. They had to be limited. Recovering that contestation helps us resist the modern tendency to treat financial claims as natural.

Decock therefore belongs in this chapter because he gives us a bridge: from scholastic theology to contract law, from usury doctrine to modern finance, from confessional analysis to legal structure. He shows that the history of usury is also a history of how contracts learned to carry, conceal, or discipline moral claims.

The lesson for non-extractive capital is clear. Do not trust labels: read the contract. Do not trust mission language: read the repayment rights. Do not trust the word "risk": read the downside allocation. Do not trust the word "partnership": read the guarantees, preferences, and control rights. Do not trust the word "patient": read what time does to the payment. Do not trust the word "stewardship": read who governs and who can force exit.

Wim Decock helps us see that moral finance must be legally literate. Capital becomes extractive not only through greed, but through clauses. And if capital is to serve life, the clauses themselves must be converted.

35.7 André Lapidus

André Lapidus is important because he helps us see the usury tradition through the lens of information, uncertainty, risk, and analytical instability. Where many histories of usury focus on law, doctrine, or commercial practice, Lapidus draws attention to the epistemic problem beneath the doctrine: what do the parties know, what do they not know, and how does uncertainty affect the justice of a financial claim?

Usury doctrine is not only about money; it is about knowledge under conditions of

time. A loan reaches from present to future. The lender gives now and receives later. The borrower uses now and promises later. Between the two moments stand uncertainty, possibility, delay, loss, failure, opportunity, risk, and interpretation. The extrinsic titles arise because the simple loan relation becomes morally complicated when something changes between advance and repayment.

Lapidus is especially useful for understanding why the titles cannot be judged merely by their names. A penalty for delay may be legitimate, but only if the delay is wrongful, avoidable, and not engineered. Actual loss may be compensable, but only if the loss is real and caused by the transaction. Foregone profit may be relevant, but only if the lost opportunity was concrete rather than imagined. Risk of principal may justify surplus, but only if the lender truly bears the risk. In every case, the moral problem depends on information: what can be known, proven, expected, estimated, and distinguished from fiction?

This is why Lapidus's attention to uncertainty is so valuable. Medieval and scholastic theologians were not only deciding whether surplus was allowed. They were deciding how one could know whether the surplus corresponded to a real burden. The title is not self-validating; it must be interpreted. The facts must be established. The structure must be understood. The incentives must be examined. The claim must be tested against reality.

Consider *poena conventionalis*. On paper, a penalty is simple. The borrower promises to repay by a certain date. If the borrower does not repay, a penalty is due. But the moral analysis is not simple. Did the lender choose a realistic due date? Did the borrower have a fair chance to avoid default? Was the penalty proportionate? Did the lender expect or desire the borrower's delay? Was the contract designed so that default was likely? The information problem is not merely factual but interpretive. The same clause can be protective in one context and predatory in another.

Lapidus helps us see that the medieval concern with fraud is partly a concern with information asymmetry. The creditor may know more than the borrower. The creditor may understand the legal consequences better. The creditor may structure the contract to appear legitimate while hiding its true economic function. The borrower may see only the immediate need. The confessor or theologian must therefore uncover the real transaction beneath the stated transaction. Moral judgment requires analysis.

The same is true of *periculum sortis*. Risk is not a simple word. It must be located. Who bears uncertainty? Who bears loss if the project fails? Who can enforce repayment? Who is protected by collateral, guarantees, seniority, or legal remedies? A lender may claim risk because repayment is never absolutely certain. But if the contract shifts most downside to the borrower, the risk claim may be exaggerated or false. Lapidus's framework helps us see that the moral problem of risk is also a problem of classification under uncertainty.

This is particularly important because risk can be used rhetorically. Modern finance often invokes risk as a universal justification for return. Venture investors take risk. Lenders take risk. Private equity takes risk. Banks take risk. But the scholastic question is more exact: what risk, borne by whom, and compensated how? If risk is merely asserted, it becomes a magic word. If it is analyzed, it becomes a moral question.

Lapidus also helps clarify why *lucrum cessans* is so unstable. Foregone profit is a claim about a future that did not happen. The lender says: "Had I not made this loan, I would have gained something else." But the alternative world is invisible. It must be reconstructed through intention, probability, commercial practice, available opportunities, and causal connection. The lender may be telling the truth. The lender may be exaggerating. The lender may be imagining after the fact. The theologian must distinguish a real interrupted opportunity from a speculative narrative.

This is why the late scholastic conditions around *lucrum cessans* matter so much. The

alternative use must be concrete. The gain must be reasonably probable. The lender must have intended or virtually intended the alternative. The loan must truly cause the gain to cease. The amount must be proportionate. These conditions are not arbitrary restrictions. They are epistemic safeguards. They protect the title from becoming a fiction.

Lapidus's attention to information also illuminates the contract-classification problem. Many financial structures are ambiguous because they combine features from different contract types. A bill of exchange may be real exchange or disguised loan. A partnership may be real shared enterprise or secured debt in costume. A penalty may be compensation or revenue. A fee may be cost recovery or yield. A risk premium may be compensation or extraction. Classification requires knowing not only the legal form but the economic substance.

In this sense, the usury tradition is an early form of moral due diligence. It asks for documents, facts, intentions, incentives, causality, proportionality, and risk allocation. It is not satisfied by the name of the instrument. It wants to know what actually happens. Lapidus helps us see the analytical sophistication required by that task.

His work also connects medieval usury doctrine to the broader economics of uncertainty. In modern finance, uncertainty is often treated as something to be priced. Risk becomes premium, volatility becomes return expectation, illiquidity becomes spread, and default probability becomes yield. But the scholastic tradition does not immediately transform uncertainty into a right to profit. It asks whether uncertainty creates a real burden borne by the claimant, and whether compensation for that burden is just.

That difference is critical. Modern finance often moves from uncertainty to price almost automatically. Scholastic moral theology inserts a judgment. Is the uncertainty voluntarily assumed? Is it necessary to the transaction? Is it borne by the lender or shifted to the borrower? Does it justify compensation, or has it become a pretext for yield? Does the payment reflect shared risk, or does it make one party secure while another bears ruin?

Lapidus's focus on information therefore helps this book articulate one of its central claims: non-extractive finance requires epistemic honesty. It is not enough to intend good. It is not enough to choose better labels. The structure must reveal who bears what. The accounting must show what each payment is for. The legal documents must match the moral story. The risk model must not hide ruin. The dashboard must not convert human vulnerability into attractive portfolio metrics.

This connects directly to the idea of a usury metric or moral finance simulator. Any attempt to evaluate a contract for usury must deal with incomplete information. It must ask what can be inferred from the contract, what requires external evidence, and what cannot be known without further inquiry. For example, a contract may reveal that repayment is senior and secured. It may reveal penalty rates, management fees, liquidation preferences, or redemption rights. But it may not reveal whether a lender had a concrete alternative use, whether a borrower was under distress, or whether the investor privately expected default. A serious analyzer must therefore distinguish between observable structure and uncertain moral facts.

Lapidus helps us see why this distinction matters. Some moral risks are visible in the contract. Others require context. Still others require prudential judgment. A good moral audit should therefore produce not only a verdict, but a map of uncertainty. Which claims are well supported? Which titles are documented? Which are asserted but unproven? Which structures create incentives toward extraction? Which questions must be asked before judgment can be final?

This is particularly important for *periculum sortis*. A contract may claim that capital is at risk, but the moral analyzer must inspect the waterfall, security, guarantees, seniority, covenants, and enforcement rights. If the investor is protected in most downside scenarios,

the risk title weakens. But if the capital is genuinely subordinated, loss-absorbing, and dependent on enterprise success, the title becomes more plausible. Risk is not a label. It is a structure.

Lapidus also sharpens the connection between risk and time. The future is uncertain because it has not happened. A lender may want to charge for that uncertainty. A borrower may need time to act. The contract allocates the burden of the future. Does the future belong to capital as a claim to yield? Or does the future remain open to shared uncertainty, mercy, adjustment, and mission? This is not only an economic question but a theological one.

The usury tradition resists the idea that time automatically belongs to the lender. Time may cause damage. Time may interrupt opportunity. Time may expose capital to risk. But time itself is not a title. Lapidus's work helps us see why: because the moral meaning of time depends on what happens, what was known, what was expected, and who bears the uncertainty. To monetize time automatically is to erase the difference between real burden and abstract claim.

This is why his work belongs in this chapter on modern scholarship. Lapidus adds analytical depth to the genealogy. Noonan gives the broad doctrinal history. Langholm gives value and exchange. Todeschini gives belonging and Franciscan social meaning. De Roover gives banking and exchange technique. Monsalve gives the structure of the late scholastic titles. Decock gives contract law and Lessius. Lapidus adds uncertainty, information, and the risk of misclassification.

His contribution is especially relevant because modern finance often hides behind complexity. The more complex the instrument, the harder it is to see who bears what. Information asymmetry becomes moral asymmetry. The sophisticated party can design, price, and justify; the vulnerable party can only accept. A non-extractive framework must therefore make hidden structure visible.

This is where Lapidus's perspective becomes not only historical but programmatic. Moral finance must reduce ambiguity where ambiguity serves extraction. It must expose risk allocation. It must disclose fees. It must document titles. It must distinguish modeled return from moral entitlement. It must show when compensation is grounded and when it is speculative. It must treat uncertainty not as a license to charge, but as a call to truthfulness.

For the purposes of this book, Lapidus helps us frame the extrinsic titles as information-sensitive moral tests. Each title asks for evidence. *Poena* asks whether delay was culpable and not engineered. *Damnum* asks whether loss was real and caused. *Lucrum* asks whether the lost gain was concrete and probable. *Periculum* asks whether principal was genuinely at risk. *Carentia pecuniae* asks whether absence of money produced a real burden or merely monetized time. Without evidence, titles become stories capital tells about itself.

This is the lasting lesson. Usury is not always obvious. Extraction often hides in uncertainty, classification, and information asymmetry. The moral theologian must therefore be an analyst. The non-extractive financier must be an auditor. The contract must be read not only for what it says, but for what it conceals.

Lapidus helps us recover that discipline. He reminds us that the problem is not only greed, but opacity. Capital can dominate by knowing more, structuring more, and hiding more. A renewed moral economy must therefore make finance legible again, so that compensation can be distinguished from extraction, and so that risk can no longer be used as a veil for power.

35.8 John Munro

John Munro is important for this book because he helps ground the usury debate in concrete economic history. Some scholars illuminate the theological architecture of the doctrine. Others explain the contract law, the canon law, the Franciscan social imagination, or the internal logic of the extrinsic titles. Munro helps us see the financial world in which these questions had to be answered: late medieval commerce, public debt, merchant credit, damages, annuities, and the practical mechanisms by which money moved through cities, fairs, firms, and states.

Usury doctrine can become misleading if treated only as an abstract debate about whether “interest” is permitted. The actual historical question was more complex. What did lenders and borrowers do? What instruments did they use? What losses did they incur? How did cities finance themselves? How did merchants handle delay, default, exchange, and public obligations? What counted as a loan, a sale, an annuity, a forced contribution, or an exchange contract in practice?

Munro’s work is especially helpful for understanding *damnum emergens* in concrete commercial cases. Actual loss is the cleanest of the major extrinsic titles because it is closest to restitution. If a lender suffers a real loss because of the borrower’s action, compensation can restore equality. But the historical question is: what did such losses look like? They were not always theoretical. Delay in repayment could prevent a merchant from meeting obligations. It could force someone to borrow elsewhere. It could generate legal costs, collection costs, lost goods, missed payments, reputational harm, or liquidity damage. In a tightly connected commercial world, one delayed payment could cascade through many obligations.

Munro helps us see why actual loss mattered so much. In a world of merchant networks, fairs, credit chains, and civic obligations, money unavailable at the wrong time could create real damage. A lender might not be asking for gain from a loan, but for restoration after a borrower’s failure caused measurable harm. This is why *damnum emergens* could be accepted earlier and more easily than the more dangerous titles. It did not require the theologian to imagine what might have happened in an alternative world. It asked what loss actually emerged.

Yet Munro’s historical attention also helps preserve the limits of the title. Actual loss must be actual. It must be caused. It must be documented or at least reasonably demonstrated. It cannot be a generalized charge applied to every loan in advance. The danger is that a real category of damage becomes standardized into a fee or premium. Once that happens, *damnum emergens* begins to lose its restorative character. It becomes not compensation after loss, but priced expectation before loss.

This distinction between post-loan damage and automatic advance pricing is crucial. If a borrower’s late repayment causes the lender to incur collection costs, replacement borrowing, or other real expenses, compensation may be just. But if every loan includes an automatic “damage” charge regardless of whether damage occurs, the charge begins to resemble ordinary interest or hidden yield. Munro’s attention to real commercial cases helps us keep the title tied to evidence rather than abstraction.

Munro also matters for public debt and late medieval finance. Cities, princes, and public authorities often needed money, sometimes urgently. They might impose forced loans, issue obligations, sell annuities, pledge revenues, or borrow from citizens and merchant-bankers. These instruments did not fit neatly into the simplest usury framework. A forced loan might be partly tax and partly debt. An annuity might be understood as the sale of a revenue stream rather than a loan. A municipal obligation might support the common good or create a rentier class. Public finance forced theologians to classify contracts care-

fully.

Munro helps us see that public debt was not merely an exception to private lending rules. It was a field in which the moral meaning of financial obligation became politically charged. If a city borrowed for defense, famine relief, infrastructure, or public necessity, the transaction had a different social context from a private usurious loan to a desperate household. But public purpose did not automatically purify the instrument. Public debt could also burden the many for the benefit of the few. Taxes collected from artisans, laborers, and households could flow to wealthy creditors holding secure claims on civic revenues.

This is where economic history deepens moral theology. A doctrinal category may look legitimate in isolation, but its institutional effects may be unjust. A municipal obligation may be legally valid. A public annuity may be contractually clear. A forced loan may be authorized by civic necessity. But who ultimately pays? Who receives? Who bears risk? Who has political power? Does the structure serve the common good, or does it transform public necessity into private income?

Munro's work also helps us understand why late medieval and early modern theologians could not avoid finance. Cities, merchants, and rulers were not operating in a world where money could be treated as static. Credit relations were woven into trade, taxation, war, production, and public administration. To judge usury without understanding these mechanisms would be pastorally and politically inadequate. Moral theology had to become historically and institutionally literate.

This institutional literacy is exactly what modern non-extractive finance requires. It is not enough to ask whether an individual clause is defensible. We must ask how the structure functions in practice. A management fee may correspond to real labor. But does the total fee structure drain the enterprise? A risk premium may correspond to real exposure. But is the risk actually borne by the investor? A public guarantee may support useful investment. But does it socialize losses while privatizing gains? A mission fund may claim patience. But does its repayment waterfall place capital ahead of workers, suppliers, community, and mission?

Munro's historical work helps us resist abstract moral bookkeeping detached from economic reality. The same title can function differently in different institutional settings. A charge that restores equality in one case may become extraction in another. A public debt that mobilizes resources for the common good in one case may become a permanent claim of capital over civic life in another. Moral analysis must therefore attend not only to title and contract, but also to the surrounding system.

This is especially relevant to the problem of post-loan damage. In theory, *damnum emergens* is straightforward. In practice, damage often emerges through networks. A delayed payment causes a missed obligation. The missed obligation causes penalty charges elsewhere. The lender must borrow at unfavorable terms. A merchant loses reputation. A city delays wages. Workers suffer. Suppliers are unpaid. The original borrower may not foresee the whole chain. Moral judgment must therefore trace causality without exaggerating it.

Munro helps us see both the reality and the danger of this tracing. On the one hand, finance is relational. Losses propagate. A narrow view of damage may undercompensate genuine harm. On the other hand, too broad a view can justify excessive claims. If every downstream inconvenience becomes chargeable to the borrower, then the title becomes unlimited. The discipline of proportionality is therefore essential. Compensation must correspond to real, attributable damage, not to every imagined ripple.

His attention to economic history also sharpens our reading of *lucrum cessans*. In a commercial world, foregone profit may sometimes be more concrete than Aquinas's stricter

rejection seems to allow. A merchant may have goods to buy, a voyage to finance, an exchange operation to complete, or an obligation to meet. Lending money may genuinely interrupt a planned commercial action. But history also shows how easily such claims can become speculative. Merchants always have possible uses for money. The line between concrete alternative use and generalized opportunity cost must therefore be guarded.

Munro's public-finance work also connects with the problem of annuities. An annuity might be structured as the sale of a right to receive periodic payments, rather than a loan at interest. This classification could be legitimate in some contexts, but also morally ambiguous. If a public authority sells a revenue stream, has it borrowed? Has it sold an asset? Has it created a perpetual burden on the community? Is the buyer sharing risk, or receiving secure rent? The form matters, but the substance matters more.

This is why Munro belongs in a chapter on modern scholars. He reminds us that moral theology must be historically concrete. The extrinsic titles were not floating abstractions. They were responses to damages, delays, debts, instruments, institutions, and fiscal pressures. Their meaning becomes clearer when we see the world that produced them.

For modern finance, this means that any moral audit must include institutional context. A contract does not exist in isolation. It sits inside a funding market, a legal regime, a governance system, an accounting practice, a set of power relations, and often a public policy environment. A non-extractive contract can be undermined by extractive ecosystem incentives. A mission-locked company can be pressured by investor expectations. A public subsidy can become private enrichment. A charitable fund can drift into fee dependence. An impact investment can reproduce the same extraction it claims to solve.

Munro also helps us see the importance of documentation. Actual loss, public obligation, forced contribution, repayment structure, annuity, and exchange all require records. Moral judgment depends on the ability to reconstruct what happened. In the *Monti di Pietà*, bookkeeping was not merely administrative. It was part of the moral safeguard. In modern non-extractive capital, accounting must perform the same role. Payments must be classified. Losses must be evidenced. Costs must be separated from returns. Related-party payments must be visible. Penalties must not become hidden yield. Public subsidies must not be captured without accountability.

This is where Munro's contribution speaks directly to the design of a modern usury metric. A metric cannot rely only on declared intent. It must ask for historical and accounting evidence. What payments actually occurred? What losses were actually incurred? What fees accumulated? What priority rules were triggered? What happened in distress? Did capital absorb losses, or did labor and mission absorb them? Did public funds reduce risk for investors without reducing their return? Did a "temporary" claim become permanent rent?

Munro also reminds us that the moral status of finance may change over time. A structure created for emergency public necessity can become a normal revenue machine. A charge introduced to cover costs can become profit. A temporary obligation can become permanent debt. A forced loan can become tradable public security. A charitable institution can drift. Historical time matters. The question is not only whether a structure was justified at the beginning, but whether it remains justified as conditions change.

This temporal dimension is crucial for non-extractive finance. Mission drift is rarely immediate. It happens when exceptions become defaults, when safeguards become formalities, when cost recovery becomes margin, when risk-sharing becomes risk-shifting, when public purpose becomes private asset, when patient capital becomes delayed extraction. Munro's economic history helps us watch these transitions.

In the architecture of this book, Munro therefore provides grounding. He keeps the doctrine from becoming too abstract, too purely theological, or too easily modernized. He

shows that late medieval finance had real institutional complexity, and that the extrinsic titles developed in response to real commercial and public problems. But he also shows that those problems could generate structures of dependence, rent, and public burden.

His contribution to the moral economy project is a disciplined realism. Real losses must be recognized. Real institutions must be sustained. Real public needs must be financed. Real commerce requires credit and exchange. But real history also shows how quickly finance can convert necessity into permanent claim. That is why the extrinsic titles must remain tied to evidence, proportion, and institutional purpose.

John Munro helps us remember that usury is not merely a doctrine about contracts. It is a doctrine tested in ledgers, courts, city treasuries, merchant networks, and public obligations. It is tested wherever money claims the right to return increased from the life of another person or community. The question, then and now, is whether that increase repairs a real burden or captures a future. Munro helps us ask that question with both historical seriousness and moral precision.

35.9 Pierre Januard

Pierre Januard is important because he complicates any overly simple account of Aquinas and risk. It is easy to summarize Aquinas as the theologian who condemned interest because money is sterile, or because the use of money cannot be sold separately from the money itself. That summary is not false, but it is incomplete. Januard helps us see that Aquinas's treatment of usury, risk, and commercial exchange contains more nuance than a simple anti-interest reading allows.

This matters for the whole argument of this book. If Aquinas is treated as merely anti-finance, then later scholastic developments can appear only as compromises or corruptions. But if Aquinas already contains a more careful analysis of risk, ownership, intention, partnership, and classification, then the later tradition can be read as an extension (sometimes faithful, sometimes dangerous) of problems already present in the Thomistic framework.

Januard's work is especially valuable because he draws attention to Aquinas beyond the familiar passages in the *Summa Theologiae*. The standard text is ST II-II, q.78, where Aquinas argues that taking usury for money lent is sinful. But Aquinas also treats related issues in the *Commentary on the Sentences*, in *De malo*, and in his broader account of justice, restitution, and exchange. Januard's reading encourages us to examine the wider architecture rather than isolating one formula.

At the heart of Aquinas's account is the *mutuum*. In a loan for consumption, ownership passes to the borrower, and the borrower owes an equivalent amount. The lender cannot sell the use of what the lender no longer owns. This remains essential. But Januard helps us see that Aquinas is also attentive to cases where risk and uncertainty change the moral structure of the transaction. The question is not merely whether money was advanced, but under what form, with what allocation of risk, and with what kind of claim to return.

This becomes clearest in Aquinas's distinction between the *mutuum* and partnership. If one lends money, one may not demand surplus from the loan itself. But if one entrusts money to a merchant by way of partnership, one may share in the profit because one also bears the risk. Capital that remains exposed to loss is morally different from capital that demands guaranteed repayment. Januard's reading helps bring this risk-sensitive dimension to the foreground.

This is not yet the fully developed later title of *periculum sortis*. Aquinas does not simply say that all risk of nonpayment justifies a premium. But he does establish a crucial

principle: profit-sharing can be licit where capital is genuinely at risk. The creditor and the partner are not the same. The creditor transfers ownership and receives a claim to equivalent repayment. The partner remains exposed to the fortunes of the venture. The difference is not merely legal but moral.

Januard's attention to risk helps us read this distinction more carefully. The moral legitimacy of surplus depends in part on whether capital participates in uncertainty. If the capital provider can lose, then the return may arise from shared venture. If the capital provider cannot lose, then the return begins to look like usury unless another title is present. This distinction is central for modern finance, where many instruments call themselves equity, partnership, or risk capital while contractually protecting capital from meaningful downside.

Januard also points toward what might be called the "risk of analysis." Financial transactions are not always easy to classify. A contract may appear to be one thing while functioning as another. A theologian or confessor must determine whether the transaction is truly a loan, partnership, sale, exchange, or disguised *mutuum*. The risk is that the analyst gets it wrong. Misclassification is not merely intellectual error; it can bless injustice.

This is a profound insight for the modern project. In complex finance, the moral danger is not always visible on the surface. A convertible note may look like debt now and equity later. Preferred equity may look like partnership but operate with debt-like priority. A revenue-based financing agreement may share upside but still impose burdens that crush the enterprise. A liquidation preference may be justified as risk protection while shifting risk onto founders and workers. A moral auditor must analyze the transaction's substance, not merely its label. Januard's reading of Aquinas helps us see that this problem is not new.

Aquinas's treatment of late repayment also benefits from Januard's wider approach. In *De malo*, Aquinas recognizes that late repayment can cause damage, and such damage may be compensable. This does not mean that time itself can be monetized. It means that wrongful delay can create actual loss. Januard helps us see Aquinas as more precise than the caricature: he is not blind to commercial harm, but he refuses to treat duration as an automatic title.

This matters for the distinction between *damnum emergens* and *carentia pecuniae*. Aquinas can allow compensation for actual damage caused by delay. But that is different from saying that being without money for a term is itself always compensable. The former restores a real loss. The latter risks converting time into yield. Januard's risk-sensitive Aquinas strengthens the argument that the tradition is not irrationally hostile to economic reality; it is morally resistant to abstraction.

Januard also helps reopen the question of commercial risk. Aquinas's world knew that trade involved uncertainty. Merchants could lose goods, ships, money, and reputation. A person who participates in such risk is not simply renting money. They are exposed to the real contingencies of exchange. This is why partnership matters. The moral issue is not whether capital can ever receive more than it contributed. The issue is whether the capital remains bound to the fate of the common undertaking.

This has obvious implications for venture capital. Modern venture capital often presents itself as risk-bearing capital, and in some respects it is. Startups fail. Equity can be lost. Investors may not recover their money. But the moral analysis cannot stop there. The structure may include preferred shares, liquidation preferences, anti-dilution rights, control rights, redemption rights, drag-along rights, and exit pressure. These can alter who actually bears downside. If the investor receives equity upside while also securing debt-like protections, the partnership analogy weakens. Aquinas's distinction, read through Januard, asks: is this truly *societas*, or a protected capital claim wearing partnership clothes?

Januard also helps us avoid using Aquinas as a blunt weapon against all financial return. Aquinas does not condemn profit as such. He permits merchant profit under morally ordered conditions. He permits partnership profit where risk is shared. He permits compensation for actual loss. His doctrine is not anti-economic life. It is anti-duplication, anti-domination, and anti-profit from the bare *mutuum*. This distinction is crucial if Aquinas is to inform non-extractive finance rather than merely condemn modern finance from outside.

Aquinas's broader account of justice also matters here. Usury is a problem of commutative justice because it disturbs equality between lender and borrower. But this equality is not only numerical. It is relational. The lender must not use the borrower's need, delay, or dependence to extract more than is due. If surplus restores a real loss, it can serve equality. If surplus arises from shared risk, it can reflect participation. If surplus arises from the mere fact that the borrower needed money, it becomes domination.

Januard's contribution is to show that Aquinas's own framework contains the tools for this more nuanced analysis. The later extrinsic titles are not arbitrary departures from Aquinas. Some are rooted in his own distinctions. *Damnum emergens* has a clear Thomistic basis in compensation for loss. *Periculum sortis* has a Thomistic foundation in the distinction between *mutuum* and partnership. *Lucrum cessans* remains more contested because Aquinas directly resists selling what one does not yet have, though other Thomistic principles later create openings. *Carentia pecuniae* remains highly dangerous because it presses against Aquinas's refusal to monetize use or time in a consumptive loan.

This map helps us read the later tradition critically. When later theologians develop risk-bearing finance, they may be extending a Thomistic insight. When they allow compensation for actual loss, they are clearly within Aquinas's logic. When they admit concrete foregone gain, they are working at the edge of Aquinas's own tensions. When they generalize liquidity deprivation or opportunity cost, they may be moving beyond Aquinas in a way that threatens the doctrine. Januard helps us distinguish these movements.

For the purposes of this book, Januard also strengthens the argument that risk analysis is not a modern import imposed on medieval theology. The tradition already had risk-sensitive distinctions. It knew that bearing downside matters. It knew that partnership differs from debt. It knew that delay can cause actual harm. It knew that misclassification can create injustice. Modern non-extractive finance can therefore draw on Aquinas not only as a critic of interest, but as a thinker of risk allocation.

This is especially important for the NEC simulator or any usury metric. A Thomistic risk analysis would not simply ask whether the nominal instrument is debt or equity. It would ask whether capital is truly at risk. It would ask whether repayment is guaranteed. It would ask whether the investor can enforce against the borrower regardless of outcome. It would ask whether downside is shared or shifted. It would ask whether the surplus comes from participation, compensation, or domination.

Januard also suggests humility. Aquinas's texts do not give an automatic answer to every modern instrument. They require interpretation. Applying them to venture capital, private equity, public debt, or revenue-based finance involves judgment. The "risk of analysis" is real. We can misread the contract. We can misread Aquinas. We can misread the economic substance. A serious moral finance framework must therefore be transparent about uncertainty.

This is not a weakness but part of the tradition's honesty. The scholastic method does not pretend that every case is easy. It distinguishes, tests, qualifies, and sometimes hesitates. That hesitation is morally important. It prevents the analyst from baptizing complexity too quickly. It also prevents the rigorist from condemning what may in fact be legitimate compensation or participation.

Januard's contribution therefore sits at a crucial point in this chapter. After Noonan's broad history, Langholm's value theory, Todeschini's Franciscan social imagination, de Roover's technical finance, Monsalve's title structure, Decock's contract analysis, Lapidus's uncertainty, and Munro's economic history, Januard brings us back to Aquinas with fresh eyes. He shows that the Thomistic foundation is not flat. It contains a living architecture of ownership, risk, compensation, partnership, delay, and classification.

This matters because Aquinas will remain one of the central authorities for any Christian reconstruction of moral finance. But the Aquinas we need is not a slogan. He is not merely "money is sterile." He is the theologian who asks what kind of thing is being transferred, who owns it, whether its use can be separated from its substance, whether loss has occurred, whether capital remains at risk, and whether the contract is truly what it claims to be.

That Aquinas is far more useful for modern finance. He does not give capital a natural right to increase. But he does give us a way to distinguish lending from participation, compensation from yield, and risk-bearing from risk-shifting. Pierre Januard helps us recover precisely that Aquinas. For a renewed moral economy, this is invaluable. It means that the tradition's greatest theologian can still speak to capital structures, not by offering a ready-made policy, but by asking the questions that capital would often prefer to avoid: who bears risk, who claims surplus, and is the contract telling the truth?

35.10 David Graeber

David Graeber belongs in this chapter for a different reason than Noonan, Langholm, de Roover, Monsalve, Decock, Lapidus, Munro, or Januard. He is not primarily a historian of scholastic usury doctrine. He does not give us the technical development of the extrinsic titles. He does not reconstruct the canon-law tradition, the Thomistic account of the *mutuum*, or the late scholastic debates over *damnum emergens*, *lucrum cessans*, and *periculum sortis*. For those purposes, he is not the safest guide.

Yet Graeber is enormously useful for the civilizational frame. His great contribution is to remind us that debt is older, stranger, more social, and more morally charged than modern financial theory often admits. Debt is not merely a neutral contract between rational market participants. It is a relationship of obligation, memory, hierarchy, violence, trust, dependence, and sometimes domination. Long before modern money markets, human communities were already organizing themselves through credit, tribute, gift, temple accounting, palace administration, household obligation, debt bondage, and periodic release.

Scholastic usury doctrine did not emerge into an empty world. It inherited Scripture, and Scripture itself stands inside a much older Near Eastern memory of debt, land, household, bondage, and release. Graeber helps recover that deep background. He reminds us that debt has always had the power to reorder social life. It can coordinate cooperation, but it can also turn persons into objects of claim. It can bind communities together, but it can also create permanent classes of creditors and debtors. It can express trust, but it can also justify violence.

Graeber's *Debt: The First 5,000 Years* (2011) is especially useful for challenging the modern myth that money and debt arise primarily from barter among equals. In his account, credit relations, units of account, temple and palace systems, and social obligations often precede coinage. Debt is not a late technical development added to a neutral market economy. It is part of the deep structure of civilization. This is important because it prevents us from treating usury as a narrow problem of "interest rates." The deeper problem

is the moral power of obligation.

Graeber also helps us understand the link between debt and violence. A debt may begin as a promise, but under conditions of inequality it can become coercive. It can justify seizure of land, labor, children, bodies, and future harvests. In many ancient societies, debt bondage was not metaphorical. Failure to repay could mean loss of freedom, loss of household stability, or loss of ancestral land. The creditor's claim could become a claim on life itself.

This is why ancient debt release matters. Graeber's discussion of amnesties, jubilees, and debt cancellations belongs alongside the work of Michael Hudson and other scholars of the ancient Near East. The point is not that ancient rulers were economically naive, but that they often understood something modern societies forget: if debts accumulate without limit, they can destroy the social order that makes economic life possible. Periodic release was not merely charity but political and social restoration. It prevented creditor claims from consuming households, land, and the future.

This deep background illuminates the biblical material. Exodus, Leviticus, Deuteronomy, Nehemiah, the Psalms, Proverbs, and Ezekiel do not treat debt as a morally neutral instrument. Lending to the poor, taking pledges, charging increase, refusing release, and exploiting the vulnerable are spiritual matters. The debtor is not merely a counterparty but brother, neighbor, poor person, covenant member, image-bearer. Debt must be subordinated to life.

Graeber helps us see why this biblical moral grammar matters before we ever arrive at Roman law or the *mutuum*. The scholastic doctrine will later become technically precise. It will ask whether ownership passed, whether the good was consumable, whether the lender can sell use separately from substance, whether surplus arises from an external title. But beneath that technical structure lies an older intuition: creditor power must be restrained because debt can become domination.

This is Graeber's main value for the present book. He widens the frame. He reminds us that the scholastic analysis of usury is part of a longer human struggle to prevent obligation from becoming enslavement. The extrinsic titles matter not because medieval theologians enjoyed classification for its own sake, but because surplus claims can determine whether debt remains a tool of life or becomes a tool of capture.

At the same time, Graeber must be used carefully. He is not a technical guide to Aquinas. He is not the authority to rely on for the precise development of *poena conventionalis*, *damnum emergens*, *lucrum cessans*, or *periculum sortis*. He does not replace Noonan, Langholm, Monsalve, Decock, Januard, or the primary scholastic texts. His contribution is anthropological and civilizational, not scholastic and doctrinal. If we use him to interpret the extrinsic titles directly, we risk flattening the historical specificity of medieval theology.

But if we use him as background, he is powerful. He helps us remember why debt has always been morally dangerous. He helps us resist the modern claim that finance is just a set of voluntary transactions among equals. He helps us see that obligation is always embedded in power. A contract may be formally voluntary and still shaped by desperation, hierarchy, custom, dependence, or lack of alternatives. A borrower may sign because refusal is impossible. A community may accept debt because survival requires it. A founder may accept extractive terms because the company will die otherwise. Consent is not always freedom.

This is one of the strongest bridges from Graeber to non-extractive finance. Modern capital often presents itself through the language of consent. The borrower agreed. The startup signed. The municipality issued the bond. The country accepted the loan. The company took the investment. But the older moral tradition, strengthened by Graeber's anthropology, asks a deeper question: what were the conditions of agreement? Was the

borrower free? Was there genuine alternative? Did the structure exploit need? Did the creditor's claim grow because of another's vulnerability?

Graeber also helps us understand the emotional and symbolic power of debt. Debt is often moralized. To owe is to be placed under judgment. The debtor becomes guilty, irresponsible, dependent, or inferior. The creditor appears disciplined, prudent, deserving, and superior. This moralization can conceal structural injustice. Those with capital are treated as virtuous because they have surplus. Those without capital are treated as suspect because they need help. Usury doctrine resists this inversion by reminding us that the creditor, too, can sin. The borrower's need does not make the creditor righteous.

This is extremely relevant for modern impact and development finance. Poor communities, founders from marginalized backgrounds, indebted countries, and mission-driven enterprises are often treated as risky recipients of capital. Because they are risky, they are charged more. Because they are charged more, they become more fragile. Because they become more fragile, they are judged riskier. Finance then creates the very risk it claims to price. Graeber helps us see how debt can become a self-reinforcing moral and social hierarchy.

The scholastic tradition gives us tools to interrupt that hierarchy. *Damnum emergens* asks whether actual loss has occurred. *Lucrum cessans* asks whether a foregone gain is concrete rather than imaginary. *Periculum sortis* asks whether the lender truly bears risk. *Poena conventionalis* asks whether default is culpable or engineered. *Carentia pecuniae* asks whether time is being monetized without real burden. These tools discipline the creditor's claims. Graeber gives us the wider reason why such discipline is necessary: unchecked debt reorganizes society around creditor power.

Graeber's account of debt before coinage also helps challenge the metaphysical imagination of money. Modern finance often treats money as if it naturally seeks growth. Capital must be allocated efficiently. Money today must become more tomorrow. Idle money is waste. Investment return is normal. Debt service is obligation. Graeber's long view unsettles this common sense. Money, credit, and debt are human institutions, not laws of nature; they can be organized differently. Their moral meaning depends on the social order they create.

This is deeply compatible with the argument of this book. The extrinsic titles were not loopholes in a natural order of interest. They were moral tests imposed on surplus claims. They asked whether a payment above principal corresponded to real loss, risk, labor, expense, delay, or participation. They refused to assume that money deserves increase merely because time has passed. Graeber helps us see how radical that refusal is in a world where debt has so often justified domination.

He also helps us connect ancient debt release to modern non-extractive capital. Jubilee was not only cancellation. It was restoration of social possibility. It prevented families from losing land permanently. It interrupted the accumulation of creditor power. It returned people to participation. A modern non-extractive finance framework need not copy ancient Jubilee mechanically, but it must inherit its moral imagination. It must ask: does this financial structure preserve the possibility of life, work, family, community, and mission? Or does it turn temporary need into permanent subordination?

This is especially relevant to venture capital and private equity. A startup investment may not look like ancient debt bondage. But the structure can still capture the future. Liquidation preferences, control rights, exit pressure, anti-dilution provisions, redemption rights, and investor vetoes can place the company's future under capital's claim. Workers, founders, users, and mission may become subordinated to the return requirements of investors. The ancient pattern reappears in modern form: a financial claim over the future can reshape social life.

Graeber's anthropology also helps us see why "forgiveness" is such a powerful financial and theological word. In many languages, debt and sin are connected. To forgive a debt is to release a claim. To forgive sin is to release moral bondage. The Christian tradition cannot treat debt as merely technical because its own central prayer asks for debts or trespasses to be forgiven as we forgive others. This does not mean every financial obligation must be canceled, but it does mean finance must remain open to mercy. A system with no room for release, grace, restructuring, or restoration is spiritually malformed.

The scholastic titles operate within this wider moral universe. They do not abolish obligation. They do not deny repayment. They do not romanticize default. But they refuse to let obligation become absolute. They ask whether the creditor's surplus claim is justified. They place limits on what can be demanded. They preserve the possibility that justice may require restraint, not maximization.

This is where Graeber's civilizational sweep becomes useful for the conclusion of this chapter. The modern scholars we have surveyed each contribute something essential. Noonan gives the doctrinal history. Langholm gives value and exchange. Todeschini gives belonging and Franciscan social meaning. De Roover gives banking and exchange. Monsalve gives the structure of the extrinsic titles. Decock gives contract law and Lessius. Lapidus gives information and uncertainty. Munro gives concrete economic history. Januard gives Aquinas on risk. Graeber gives the deep human drama of debt itself.

Used properly, Graeber prevents us from making this book too narrow. The history of usury is not only the history of a doctrine. It is the history of human beings trying to prevent debt from devouring the world. The scholastic extrinsic titles are one chapter in that longer struggle. They are Christian moral theology's attempt to say: surplus must justify itself before justice. Capital may not simply claim the future because it has the power to do so.

For non-extractive finance, this is the final lesson Graeber helps us recover. Debt and investment are never merely instruments. They are ways of organizing time, power, trust, and belonging. They decide whose future is open and whose is already owed, who can recover from failure and who is trapped by it, and whether money serves the household, the city, the mission, and the common good, or whether all of these become tributaries to capital's increase.

Graeber is not enough for technical scholastic doctrine. But he is invaluable for remembering why the doctrine matters. Behind every title, every contract, every fee, every risk premium, every liquidity premium, every repayment waterfall, and every claim to return stands a human question: does this obligation serve life, or does it bind life to another's gain? That question is older than scholasticism. It is older than coinage. It is as old as debt itself. And it is the question this book must carry forward.

PART XI

Reconstructing the Moral Logic

The Four Titles Compared

36.1 The Basic Table

By now the four extrinsic titles can be seen for what they are: not isolated exceptions, but a structured moral vocabulary. Each title names a different kind of burden that may arise around a loan or financing arrangement. Each asks whether a surplus payment above principal is genuinely compensatory, or whether it is merely the price of having access to money. Set them side by side and the family resemblance becomes visible.

Extrinsic Title	Literal Meaning	Moral Basis	What It Compensates	Main Danger
<i>Poena conventionalis</i> / <i>morae poena</i>	Agreed penalty / penalty for delay	Culpable delay	Harm caused by late repayment or breach	Engineered default
<i>Damnum emergens</i>	Actual loss arising	Restitution	Real loss suffered by the lender	Fictive damages
<i>Lucrum cessans</i>	Gain ceasing	Interrupted gain	Concrete profit foregone because of the loan	Abstract opportunity cost
<i>Periculum sortis</i>	Risk of principal	Risk-bearing	Genuine exposure of capital to loss	Universalized risk premium

The first title, *poena conventionalis* or *morae poena*, concerns delay. The borrower has promised to repay by a certain date, and then fails to do so. If that failure causes real harm, and if the delay is culpable rather than unavoidable, a penalty may be morally intelligible. But the penalty must remain truly penal. It must not become a hidden interest charge. The classic diagnostic question is simple: would the lender genuinely prefer repayment on time? If the answer is yes, the penalty may still function as punishment or compensation. If the answer is no, and the lender is privately hoping for default because default produces revenue, the penalty has begun to imitate usury.

The second title, *damnum emergens*, is the cleanest and most intuitively restorative of the four. It concerns actual loss. The lender has suffered some real damage because of the loan, or because of the borrower's failure to repay as agreed. Perhaps the lender incurred legal costs, had to borrow elsewhere, lost goods, paid expenses, or suffered a concrete liquidity harm. In such a case, the surplus is not paid because money naturally breeds money. It is

paid because an injury has disturbed equality, and justice seeks to restore it. This is why *damnum emergens* fits so naturally within the Thomistic grammar of commutative justice: something has been damaged, and something must be repaired.

The third title, *lucrum cessans*, is more dangerous. It concerns not a loss already suffered, but a gain that would have been made if the lender had not lent the money. A merchant, for example, might have used the capital in a concrete commercial venture. If lending the money prevented that venture, and if the expected profit was sufficiently determinate, later scholastic authors increasingly allowed compensation. But here the ground becomes unstable. Actual loss is one thing; hypothetical gain is another. Once every lender may say, "I could have earned something elsewhere," the entire usury prohibition risks collapse into ordinary opportunity-cost pricing. The moral question therefore becomes: was there a concrete, intended, licit, and reasonably certain alternative use of the money, or only an abstract claim that capital always deserves growth?

The fourth title, *periculum sortis*, concerns risk to the principal itself. Here the issue is not primarily delay, damage, or foregone profit, but the structure of the transaction. Does the lender truly bear the possibility of losing the capital? Is the principal genuinely exposed? Or has the contract shifted all downside to the borrower while preserving upside for the lender? In Aquinas's distinction between *mutuum* and *societas*, this difference is decisive. A lender who transfers ownership of money in a *mutuum* and demands guaranteed repayment is not in the same moral position as a partner whose capital remains exposed to loss. Profit-sharing is easier to justify where loss-sharing is real.

The four titles therefore ask related but distinct questions. Was there culpable delay? Was there actual loss? Was there concrete foregone gain? Was there genuine risk to principal? Each question tries to locate the surplus somewhere outside the bare loan itself. If the surplus arises from a real external burden, it may be restorative. If it arises simply because one person had money and another needed it, the old usury problem returns.

The table also reveals a movement from the concrete to the abstract. *Poenam conventionalis* begins with a specific breach. *Damnum emergens* begins with a specific loss. *Lucrum cessans* moves into the realm of future possibility. *Periculum sortis* shifts the analysis to the risk structure of the whole transaction. This does not make the later titles illegitimate, but it does make them more dangerous. The more abstract the title becomes, the easier it is to convert moral compensation into financial yield.

For modern non-extractive finance, this comparison is crucial. The question is not simply whether a contract charges "interest" or avoids the word. Nor is it enough to ask whether a payment is legally permitted. The deeper question is what the payment is morally doing. Is it repairing loss? Is it compensating real labor, cost, risk, or delay? Is it sharing downside as well as upside? Or is it transforming another person's need, weakness, or lack of liquidity into a reliable stream of surplus?

The extrinsic titles were meant to prevent exactly this confusion. They did not abolish the usury prohibition; they refined it. They showed that not every payment above principal is unjust, but also that not every justification is morally serious. The lender must be able to name the title, document the burden, prove proportionality, and show that the surplus is not merely profit from the loan itself. In this way, the four titles form a diagnostic table for distinguishing restoration from extraction.

36.2 Their Shared Structure

The four extrinsic titles differ in content, but they share a common moral architecture. Each one attempts to answer the same basic question: can this surplus payment be justi-

fied by something other than the loan itself? The scholastic tradition did not deny that lenders might suffer losses, bear risks, incur costs, or forgo concrete opportunities. What it denied was the idea that a *mutuum*, precisely as a *mutuum*, naturally entitled the lender to growth. The titles therefore function as a disciplined way of separating compensation from extraction.

This is why the word “extrinsic” matters. The surplus must be tied to something outside the bare transfer of consumable money. In the strict analysis of the *mutuum*, the borrower receives ownership of the money and owes back the *tantundem*: the same amount, of the same kind and quality. Nothing more is owed simply because the borrower has used the money. If anything more is demanded, it must be justified by a different moral fact: delay, damage, foregone gain, risk, labor, expense, or some other burden not identical with the loan itself.

The titles share a three-part structure. First, there must be a real burden. Second, that burden must be caused by, or sufficiently connected to, the transaction. Third, the surplus payment must be proportionate to that burden. Without reality, the title becomes fiction; without causality, it becomes opportunism; without proportionality, it becomes extraction disguised as compensation.

This structure is clearest in *damnum emergens*. If the lender can show an actual loss, caused by the borrower’s delay or by the transaction itself, compensation may restore equality. But the same structure also applies to the other titles. A late penalty must respond to a real default, not an engineered one. A claim for foregone profit must be connected to a concrete alternative use, not to a generalized theory that money always could have earned something somewhere. A risk premium must correspond to real exposure of capital, not to a transaction in which the lender is fully protected by collateral, seniority, guarantees, and enforcement rights.

This shared structure also explains why the extrinsic titles are not loopholes. A loophole is a way around a rule. An extrinsic title is supposed to clarify the rule’s meaning. The rule is not “no surplus may ever be received.” The deeper rule is that one may not profit from the loan itself, from another person’s need, or from a claim over something one no longer owns. But one may be restored for real loss, compensated for real burden, or participate in profit where one also shares risk. The titles do not cancel the prohibition. They ask whether the thing being paid for is truly something other than the use of money.

At their best, the titles are therefore instruments of truth-telling. They force the contract to name what it is doing. Is this payment a penalty? Then show the default, the proportional harm, and the lender’s preference for timely repayment. Is it compensation for loss? Then document the loss and avoid double-counting. Is it foregone profit? Then identify the specific alternative use that was interrupted. Is it risk compensation? Then show that principal can actually be lost and that the lender is not merely shifting downside to the borrower.

This is also why intention matters but is never enough. The lender may sincerely believe a charge is fair. The borrower may freely agree to it. The contract may be enforceable under civil law. None of these facts alone settles the moral question. Scholastic analysis looks beneath consent and legality to the structure of the exchange. What is being transferred? What is being promised? Who owns the capital? Who bears the risk? Who suffers if the venture fails? Who benefits if the borrower is late, desperate, or weak?

The shared structure of the titles also contains a built-in suspicion of abstraction. The more detached the title becomes from a concrete burden, the more easily it becomes a pretext. A late penalty can be concrete, but it can also be engineered. A loss can be real, but it can also be inflated. A foregone gain can be determinate, but it can also become a generic opportunity-cost claim. A risk premium can reflect genuine loss exposure, but it can also

become the language by which capital demands guaranteed growth while pretending to be brave.

For this reason, each title requires discipline: the creditor must not merely invoke a category but prove the moral substance behind it. The name of the title is not magic. Calling a charge *damnum emergens* does not make a fictional loss real. Calling a return *periculum sortis* does not put capital at risk if legal documents guarantee repayment. Calling a fee a “penalty” does not make it penal if the business model depends upon default. And calling a claim “lost profit” does not make it compensable if the supposed profit was never concrete enough to be morally possessed.

The shared structure is therefore both permissive and restrictive. Permissive, because it recognizes that finance can involve real burdens. The tradition is not economically naive. Lending can create administrative costs. Delay can injure the lender. Capital can be diverted from a real commercial use. Partnership capital can be exposed to loss. Institutions can require sustainable funding if they are to serve the poor over time. Moral finance must be able to account for these realities.

Restrictive, because it refuses to let every burden become a revenue model. The question is not whether the lender would like compensation, or whether the market would allow it, or whether another investment might have earned more. The question is whether the surplus corresponds to a real, named, proportionate external burden. This is the difference between scholastic moral reasoning and modern financial abstraction. Modern finance often begins with the assumption that capital deserves a return. The extrinsic-title tradition begins with the question: what, exactly, is this return paying for?

That question remains powerful today. In venture capital, private credit, public debt, project finance, and even philanthropic lending, surplus claims are often justified through vague appeals to risk, cost, opportunity, liquidity, or market norms. The extrinsic titles force these claims to become specific. Which risk? Whose cost? What harm? Who bears loss, and who is protected?

In this sense, the four titles form not only a medieval doctrine but a moral audit method. They ask finance to slow down and disclose its geometry. They refuse to treat all surplus as either automatically evil or automatically justified. Instead, they ask whether surplus restores what has been damaged, compensates what has truly been borne, or participates in a risk that is genuinely shared. Where that connection is real, surplus may serve justice. Where it is absent, surplus becomes extraction.

Their shared structure can therefore be summarized in one sentence, the moral grammar beneath all four titles and the beginning of any serious non-extractive finance: no surplus is justified unless it is tied to a real external burden that is documented, causally connected, proportionate, and not merely a disguised price for the use of money.

36.3 Their Different Dangers

The four extrinsic titles share a common structure, but they do not share the same danger. Each can be abused, and each is abused in its own characteristic way, following the internal logic of the title itself: the penalty becomes a business model, the loss becomes a fiction, the foregone gain becomes an abstract opportunity cost, the risk claim becomes a universal premium on capital. The moral work is therefore not only to identify which title is being invoked, but to understand how that title tends to deform.

The danger of *poena conventionalis* is engineered default. In its clean form, the penalty responds to culpable delay. The borrower had a realistic due date, failed to repay on time, and thereby caused harm. The penalty then functions as discipline, deterrence, or compen-

sation. But the same structure can be corrupted if the lender designs the contract so that default is likely, expected, or profitable. The repayment date may be unrealistically short. The borrower's cashflow may make timely repayment nearly impossible. The penalty may be disproportionate. The lender may internally model the penalty as expected yield. In such a case, default is no longer a regrettable breach but the mechanism by which the lender earns surplus.

This is why the older theologians and canonists were so concerned with intention, proportionality, and fraud. A penalty clause could be formally separate from the loan, yet materially function as the price of the loan. The lender could say, "I do not charge for lending; I only charge if the borrower is late." But if lateness is built into the design, the distinction collapses. A penalty that the lender hopes to collect is not morally the same as a penalty the lender hopes never to need, and in modern terms, default interest, late fees, aggressive covenant breaches, and punitive cure provisions all need to be examined under this suspicion. Does the contract help the borrower return to good order, or does it monetize the borrower's stumble?

The danger of *damnum emergens* is fictive damage. Actual loss is the cleanest title, which is exactly what makes it tempting to stretch. A lender may take real administrative costs, legal costs, liquidity burdens, or collection expenses and inflate them into a broad category of harm. The moral danger is not that losses should go uncompensated. The danger is that the word "loss" becomes a container for whatever the lender wishes to recover. When every inconvenience becomes a charge, every internal allocation becomes an expense, and every projected burden becomes a reimbursable damage, *damnum emergens* ceases to restore equality and begins to manufacture entitlement.

This danger is especially subtle because many losses are real in some sense. Staff time, legal review, and accounting work are all real; liquidity stress can be real too. But not every real cost may be shifted without limit onto the borrower. The title requires causal connection, documentation, proportionality, and non-duplication. A lender cannot charge for the same harm twice: once as an administrative fee, again as a penalty, again as a risk premium, and again as a higher return. Nor may a lender turn ordinary overhead into a moral claim against a vulnerable borrower. The question is not merely, "Did the lender experience some cost?" The better question is, "Is this cost specifically caused by this transaction, and is the requested compensation restorative rather than opportunistic?"

The danger of *lucrum cessans* is abstract opportunity cost. Here the tradition stands at the edge of modern finance. In its narrow form, *lucrum cessans* compensates a concrete gain that the lender would probably have made but did not make because the money was lent. This might involve a merchant who had already intended to deploy the capital in trade, had a realistic opportunity, and can show that the loan interrupted that opportunity. But once the claim becomes generalized ("this money could always have earned something somewhere"), the title becomes nearly indistinguishable from ordinary interest.

This is the dangerous birth of opportunity-cost logic. In modern finance, capital is often imagined as permanently pregnant with return. Money not invested is money "losing" yield. A loan therefore appears to deprive the lender of whatever the market might otherwise have produced. But scholastic moral theology resists this metaphysics. A possible profit is not the same as a possessed good, a hypothetical market return is not the same as a concrete interrupted use, and a benchmark is not a vocation. The lender may not simply invoke the whole field of possible investments as though all of them were already morally owned. Otherwise, *lucrum cessans* swallows the usury prohibition by translating every loan into a claim for missed yield.

The danger of *periculum sortis* is the universalized risk premium. This is perhaps the most structurally important danger for modern finance. In its legitimate form, the title rec-

ognizes that capital exposed to real loss stands in a different moral position from capital that is guaranteed repayment. If the lender truly bears downside, if principal can genuinely be lost, and if return is proportionate to that exposure, then surplus may be tied to risk-bearing rather than to the mere use of money. But if every loan contains some possibility of nonpayment, then every lender may claim risk. The title then becomes a general justification for interest.

This is why the moral analysis must distinguish genuine risk-bearing from risk-shifting. A lender may use the language of risk while securing repayment through collateral, seniority, guarantees, covenants, personal liability, liquidation preferences, or enforcement against unrelated assets. The legal documents may create a world in which the borrower bears the operational risk, the worker bears the wage risk, the community bears the social risk, the founder bears the personal risk, and the investor bears only delayed upside. In such a structure, the phrase “risk premium” becomes morally misleading. The relevant question is not whether the investment feels risky in a portfolio model. The question is whether this capital is actually loss-absorbing inside the life of the enterprise.

These different dangers reveal why the titles cannot be applied mechanically. Each title requires its own anti-abuse logic. For *poena*, ask whether default is desired, expected, or engineered. For *damnum*, ask whether the damage is actual, documented, causally connected, and not double-counted. For *lucrum*, ask whether the foregone gain is concrete, licit, intended, reasonably certain, and not merely a generic market alternative. For *periculum*, ask whether principal can truly be lost, whether downside is shared, and whether the claimed return is proportionate to the actual risk borne.

The modern financial system frequently blurs these categories. A single contract may contain late penalties, administrative fees, liquidation preferences, default interest, warrants, collateral, legal cost reimbursements, and expected portfolio returns. Each clause may look plausible on its own. But together, they may layer title upon title until the borrower faces the full burden of delay, cost, foregone opportunity, and risk, while the lender is insulated from loss. This layering is one of the great moral dangers of complex finance. The problem is not only whether one title is valid. The problem is whether many partial justifications combine into an extractive whole.

The different dangers also correspond to different forms of untruth. Engineered default lies about penalty; fictive damage lies about loss; abstract opportunity cost lies about possession; the universalized risk premium lies about courage. In this sense, usury is not merely excessive payment. It is also false description: calling domination compensation, calling yield restoration, calling control risk, calling another’s vulnerability a market opportunity. Each of these claims appears plausible, and each conceals the real geometry of the transaction.

A non-extractive framework must therefore be more than generous in spirit. It must be analytically sharp, knowing how surplus justifies itself and where each justification tends to decay. The old scholastic categories help because they identify recurring patterns of moral drift. Finance drifts when penalties become revenue, when damages become fictional, when opportunity becomes metaphysical, and when risk becomes a word used by those who have arranged not to lose.

The task is not to abolish all surplus. The task is to discipline surplus so that it remains truthful: the penalty stays penal, the damage claim stays restorative, the lost-profit claim stays concrete, the risk premium stays tied to real loss exposure. When these boundaries hold, the extrinsic titles can serve justice; when they break, they become masks for extraction.

36.4 Why the Titles Form a Spectrum

The four extrinsic titles form a spectrum because they move from the most concrete forms of compensation toward the most structurally complex and morally ambiguous forms of finance. They all ask whether surplus can be justified by something outside the loan itself, but they do not ask this question from the same distance. Some titles begin with a visible event: a missed payment, an actual cost, a documented harm. Others begin with a counterfactual future or with the deeper risk structure of the transaction. The more concrete the burden, the easier it is to judge. The more abstract the burden, the easier it is to disguise extraction as compensation.

At one end of the spectrum stands *poena conventionalis*. It begins with a breach. The borrower promised to repay at a certain time and did not. The moral fact is relatively visible: there was a date, an obligation, a delay, and possibly a harm. The title can still be abused, of course: default can be engineered, penalties can be excessive, the lender can secretly prefer delay. But the basic structure remains event-based. Something happened that should not have happened, the borrower failed to perform, and the penalty responds to that failure.

Next comes *damnum emergens*, which stays close to the ground. The lender has suffered damage: legal costs, collection costs, emergency borrowing, destroyed goods, liquidity harm, administrative expense, or some other identifiable detriment. Here the moral reasoning is especially close to restitution. Equality has been disturbed, and compensation seeks to repair it. The danger here is not abstraction so much as inflation: a real loss may be exaggerated, a general cost assigned to the borrower, a harm counted twice. Yet the moral center is still relatively clear: damage has arisen, and justice asks whether it should be restored.

With *lucrum cessans*, the spectrum shifts. Now the claim is not that something already possessed has been lost, but that a gain which might have been obtained has ceased. This moves the analysis from actual loss into counterfactual judgment. What would have happened if the lender had not made the loan? Was there a concrete alternative use of the money? Was the gain reasonably certain? Was the lender truly intending to pursue it? Was the opportunity licit? Was the valuation proportionate? The question is no longer simply, "What damage occurred?" but "What future was interrupted?" This is much harder to judge.

That difficulty explains why *lucrum cessans* was so controversial. It sits at the hinge between compensation and modern opportunity cost. In its disciplined form, it can still be restorative. A merchant deprived of capital already ordered toward trade may really have lost something. But in its generalized form, it becomes a claim that money always has a natural right to earn. Once every possible investment becomes a morally possessed future, the lender can charge simply because the borrower has interrupted capital's imagined growth. At that point, the title no longer protects against usury. It redescribes usury in the language of unrealized alternatives.

Periculum sortis moves the analysis again. It does not focus primarily on a past event or a foregone gain, but on the structure of downside. The question is whether principal is genuinely at risk. Does the investor bear real loss exposure? Does capital participate in the uncertainty of the enterprise? Or does the legal form preserve repayment while shifting operational, personal, and social risk to others? This title therefore belongs closest to modern debates about debt, equity, venture capital, liquidation preferences, subordination, guarantees, collateral, and loss absorption.

In this sense, *periculum sortis* is both morally promising and morally dangerous. It is promising because it recovers the intuition that profit may be licit where risk is genuinely

shared. Aquinas's distinction between *mutuum* and *societas* already points in this direction. The partner who shares loss is not merely selling the use of money. The partner participates in the venture. But the title is dangerous because risk language can be used even when risk has been carefully shifted elsewhere. Modern capital often wants the moral prestige of courage without the economic reality of vulnerability. It wants the language of risk-bearing while demanding seniority, collateral, control, guarantees, covenants, and exit rights.

The spectrum therefore runs from event-based compensation to structural participation. *Poena conventionalis* asks whether delay occurred. *Damnum emergens* asks whether loss occurred. *Lucrum cessans* asks whether a concrete future gain was interrupted. *Periculum sortis* asks whether capital truly shares downside. Each step requires a more complex judgment, and each creates a greater possibility of abstraction: delay can be verified and loss documented, but foregone gain must be reconstructed, and risk analyzed through the full architecture of the contract.

The titles also form a temporal spectrum. *Poena* looks to a missed due date. *Damnum* often looks to harm already incurred. *Lucrum* looks to a future that did not happen. *Periculum* looks to the possible futures embedded in the structure itself. The movement is from past breach, to present loss, to unrealized future gain, to distributed uncertainty. This matters because moral clarity weakens as we move from concrete actuality toward possible outcomes. The future may be real enough to matter, but it is also uncertain enough to be manipulated.

They also form a spectrum of proof. A late payment can be shown. A legal invoice can be produced. A foregone profit requires evidence of intention, probability, and valuation. A risk claim requires a full reading of the contract, the priority stack, the collateral, the guarantees, the downside allocation, and the practical enforceability of repayment. The more sophisticated the title, the more sophisticated the proof must become. A one-line appeal to "risk" or "opportunity cost" is therefore morally inadequate. The more abstract the claim, the more evidence it requires.

Finally, the titles form a spectrum from restitution toward finance. *Poena* and *damnum* remain closest to repair. They ask how to restore order after delay or loss. *Lucrum* begins to ask how capital should be compensated for interrupted productive use. *Periculum* asks how capital may participate in the uncertain life of an enterprise. This is why the extrinsic titles become so important for modern non-extractive finance. They show how the tradition moved from simple anti-usury prohibition toward a more subtle moral analysis of economic participation, without surrendering the core conviction that money must not dominate need.

This spectrum also reveals why modern finance must be read morally, not merely legally. A legal instrument may call itself debt, equity, revenue-sharing, SAFE, convertible note, redeemable preference share, foundation loan, or stewardship investment. But the moral question is not settled by the label. Where does the instrument sit on the spectrum? Is it compensating for a concrete burden? Is it claiming foregone gain? Is it pricing risk? Is the risk genuine? Is the surplus restorative, participatory, or extractive?

The spectrum helps us avoid two opposite mistakes. The first is rigorism without analysis: treating every surplus payment as usury, even when it compensates real loss, labor, expense, or risk. The second is permissiveness without discipline: treating every surplus payment as justified because some title can be named. The scholastic tradition refuses both simplifications: it permits surplus only when the moral substance is real, demands evidence, and asks whether the payment corresponds to justice or merely to power.

For non-extractive finance, the spectrum can become a practical diagnostic tool. The closer a payment is to concrete loss, the easier it is to justify as compensation. The more

it relies on hypothetical gain, liquidity preference, generalized risk, or market convention, the more scrutiny it requires. A late fee may be licit if it is proportionate and avoidable. A reimbursement may be licit if the cost is real and documented. A lost-profit claim may be licit only if the alternative use was concrete. A risk return may be licit only if capital actually absorbs loss.

Finance, in short, becomes more morally dangerous as it becomes more abstract. Abstraction allows capital to forget persons, places, work, vulnerability, and concrete harm. It allows time to become yield, possibility to become entitlement, and risk to become a premium charged by those who have arranged not to lose. The extrinsic titles resist this drift by pulling every surplus claim back toward moral reality. What happened? What was lost? What was foregone? Who can lose? Who is protected? Who pays when things go wrong?

The four titles thus form a spectrum not only of doctrine but of discernment, teaching us to move from visible events to hidden structures, from accounting entries to moral substance, from legal form to economic truth. At every point, the question remains the same: is this surplus tied to a real burden borne in justice, or is it simply capital asserting its power to grow? That question carries us from the medieval confessional manual to the modern term sheet, from the *Monti di Pietà* to venture capital, from scholastic theology to the design of capital that serves life.

The Difference Between Compensation and Extraction

37.1 Compensation

Compensation is the moral opposite of extraction. It does not begin with the question “How much can capital demand?” It begins with the question “What has been lost, borne, damaged, risked, or spent, and what would restore justice?” In the older language, compensation belongs to the repair of equality: not a reward for power, not a premium on another person’s need, not the automatic growth of money over time, but the attempt to make whole what has been disrupted.

This is why compensation sits at the center of the extrinsic titles. The titles are not arbitrary exceptions to the usury prohibition; they are forms of moral accounting. *Poena conventionalis* asks whether delay has caused a compensable injury. *Damnum emergens* asks whether actual loss has arisen. *Lucrum cessans* asks whether a concrete gain has truly been prevented. *Periculum sortis* asks whether capital has actually borne risk. In each case the surplus is justified only if it corresponds to a real burden. Compensation is therefore not “interest by another name.” It is surplus disciplined by justice.

To compensate is first to restore equality. In commutative justice, the basic concern is that exchange should not injure one party for the benefit of another. If one person takes, withholds, damages, delays, or prevents what is due to another, the equality between them is broken, and restitution seeks to repair the break. Compensation belongs to this restorative logic. It asks not what the market will bear but what justice requires in order to undo, as far as possible, the injury that has occurred.

That restorative character gives compensation its limit. The lender may be made whole, but not enriched beyond the burden suffered. If legal costs were incurred, legal costs may be reimbursed. If an administrative expense was genuinely caused by the borrower’s default, that expense may be recovered. If capital was truly exposed to loss, the return may reflect that risk. If a concrete alternative use was interrupted, compensation may be considered. But the payment must remain proportionate to the thing compensated. Once it exceeds restoration and becomes a revenue engine, it changes moral species.

This matters in finance because monetary claims can expand invisibly. A small fee becomes a recurring charge. A penalty compounds. A reimbursement gets inflated. A risk premium stays in place after the risk has been removed. A lost-profit claim is benchmarked to an abstract market return rather than to the actual opportunity foregone. In each case the language of compensation remains while the substance changes, and what began as repair becomes extraction.

True compensation therefore requires proof. It must be named, documented, and traceable. What is the burden? Who bore it? When did it arise? Was it caused by this transaction? Has it already been compensated elsewhere? Is the amount proportionate? Would the burden have existed even without the borrower? These questions are not bureaucratic distractions. They are the safeguards that keep compensation from becoming a pious word

for yield.

Compensation also repairs loss, and this is the clearest case. If the lender suffers actual damage because of the borrower's wrongful delay or failure, compensation can be a matter of justice. The lender is not profiting from the loan but recovering from injury; the borrower is not paying for the use of money but repairing the harm caused by breach, delay, or damage. *Damnum emergens* occupies so important a place in the tradition precisely because it shows that the usury prohibition was never meant to require one party to absorb another party's wrongful harm without remedy.

But compensation for loss must not become indifference to vulnerability. The tradition's concern for justice does not erase the biblical concern for the poor borrower. A borrower may be late out of bad faith, but also because of illness, crop failure, market collapse, war, theft, or genuine inability. A compensation framework that ignores hardship can become cruel even when its accounting is technically accurate. The question is not only whether a cost occurred but whether shifting that cost to the borrower serves justice, mercy, and the common good. Moral finance cannot be reduced to invoice recovery.

Compensation may also price real risk, but only if the risk is truly borne. This is where *periculum sortis* becomes important. If capital is genuinely exposed to loss, the investor is not in the same position as a creditor demanding guaranteed repayment. A loss-absorbing investment can justly participate in upside because it also participates in downside; the surplus is then linked to shared uncertainty rather than to domination. But this requires careful scrutiny. The word "risk" is often invoked by parties who have already protected themselves through collateral, guarantees, seniority, covenants, liquidation preferences, or personal liability. In such cases the supposed compensation for risk may actually be payment for risk shifted onto others.

Compensation also supports sustainability, and here the Monti di Pietà are instructive. Charitable lending institutions could not serve the poor without buildings, staff, accounting, administration, pledge management, and governance. To reimburse real labor and expense was not necessarily usury; it could be the condition for the institution's continued service. Modern non-extractive funds face the same problem. Due diligence, legal structuring, accounting, reporting, stewardship, pastoral accompaniment, and governance all cost money. If those costs are real and proportionate, recovering them may serve the mission rather than undermine it.

Yet sustainability too can become an excuse, because every institution is tempted to call its own preservation necessary. Salaries grow, overhead expands, professional services multiply, reporting turns elaborate, and management fees detach from actual stewardship. A mission-serving institution can drift, without anyone deciding it, into a self-serving one. For this reason the compensation logic of sustainability must remain accountable. What costs are truly necessary? Who benefits from them? Are they transparent? Are they proportionate to the scale of the work? Are they borne in solidarity with the community served, or imposed upon it from above?

The deepest mark of compensation is that it does not dominate the borrower. It does not use the borrower's vulnerability as leverage, does not profit from confusion, distress, late payment, lack of alternatives, or legal weakness, and does not design the contract so that harm becomes revenue. Compensation may require payment, but it seeks restoration rather than subjection. It wants the borrower to recover, the relationship to be repaired, and the common good to be preserved.

Here compensation parts company with the modern financial instinct. Modern finance often begins with expected return and then searches for justification; compensation begins with the burden and asks what justice permits. Modern finance may ask, "What yield does this risk class command?" Compensation asks, "Who is actually bearing risk, and

what would be proportionate?" Modern finance may ask, "What is the opportunity cost of this capital?" Compensation asks, "Which concrete opportunity was actually foregone?" Modern finance may ask, "What late fee will induce repayment?" Compensation asks, "What harm did the delay cause, and does this penalty help restore order?"

For non-extractive capital, this reversal is decisive. The goal is not to remove every payment to capital, nor to romanticize financial unsustainability. The goal is to prevent surplus from becoming detached from truth. Investors, lenders, workers, founders, funds, and communities all bear real costs, and justice may require that some of these costs be compensated. But each claim must be examined according to its moral form. Is it repair? Is it reimbursement? Is it risk-sharing? Is it participation? Or is it simply the monetization of another's need?

Compensation, properly understood, is therefore not hostile to finance. It is hostile to false finance: finance that names extraction as service, domination as risk, and guaranteed growth as justice. A moral economy does not deny the reality of cost, loss, work, and risk. It insists that these realities be truthfully named and proportionately addressed. Compensation is the disciplined form of surplus that remains answerable to equality, mercy, and the common good.

In the end, compensation asks capital to remain humble. It may receive what restores, what corresponds to burden, and what reflects genuine participation in risk. It may not claim growth simply because it is capital, may not demand tribute from need, and may not convert another person's vulnerability into its own security. Compensation serves life because it repairs what has been harmed; extraction begins where repair ends and entitlement begins.

37.2 Extraction

Extraction begins where compensation loses its connection to repair. It occurs when surplus is no longer tied to a real burden borne in justice, but to the weakness, need, confusion, dependency, or lack of alternatives of another person. In financial terms, extraction may look like a fee, a penalty, a premium, a preference, an interest charge, a management cost, a liquidity adjustment, or a risk return. In moral terms it is the transformation of another's vulnerability into one's own gain.

The old usury doctrine understood this danger with remarkable clarity. It did not treat lending as morally dangerous because money is dirty, business is impure, or all profit is sinful. It treated lending as dangerous because the borrower is often in a position of need. The lender has what the borrower lacks. That asymmetry can serve mercy, solidarity, and productive cooperation. But it can also become domination. The creditor may begin by helping the borrower live, trade, plant, build, or survive, and end by claiming a right to harvest the borrower's future.

The first mark of extraction is that it uses need as opportunity. The borrower comes because there is a lack: seed, food, working capital, liquidity, bridge financing, time, bargaining power, access to better terms. A compensatory structure asks what would help restore the borrower to agency. An extractive structure asks how much can be charged because the borrower has nowhere else to go. It treats urgency as pricing power.

Extraction is therefore not always visible in the formal contract. A contract may be freely signed and still be morally disordered. Consent under constraint is real consent in one sense, but it is not the full moral vindication of the exchange. The scholastics knew this through the just-price tradition and through their long suspicion of fraud, coercion, and disguised usury. Modern finance often reduces morality to legality and consent. Christian

moral theology asks a deeper question: what kind of relationship is being created between the parties?

The second mark is that extraction converts time into yield. In its simplest form, usury demands more because time has passed: the borrower had the money for a term, therefore the lender claims growth. The older doctrine resists the premise. Time is not a commodity privately owned by capital, and money, merely by being absent from the lender's hand, does not automatically generate a moral right to increase. A real burden may arise during the term (delay damage, actual loss, foregone concrete gain, genuine risk, administrative expense), but time alone is not enough.

This matters especially for modern concepts such as the time value of money, the liquidity premium, and generic opportunity cost, which are usually presented as neutral financial truths. In one sense they are: they describe how markets price claims over time. But moral theology asks whether market pricing corresponds to justice. If the passage of time is monetized automatically, without reference to actual loss, concrete foregone use, or real risk-bearing, then the old usury problem returns in modern mathematical dress. The formula may be sophisticated, but the moral claim is ancient: because you needed my money, your future now owes tribute to mine.

The third mark is that extraction uses penalty as revenue. A penalty should be something the lender hopes not to collect. It exists to protect order, deter breach, and compensate harm. In extractive finance, penalties become expected income. The repayment schedule is tight, the borrower's cash flow fragile, the default triggers broad, the cure periods short, the penalty interest severe. The lender may insist that all of this is merely prudent protection. The economic model tells the truth: the lender benefits when the borrower fails.

This is why engineered default is so morally revealing. It exposes a desire for the borrower's disorder. A just creditor wants repayment, stability, and a restored relationship; an extractive creditor wants triggers, leverage, renegotiation, fees, control rights, and priority. Default becomes not a breakdown of the relationship but a profitable event within it, and at that point the penalty has stopped serving justice and become a trap.

The fourth mark is that extraction uses risk language while shifting the downside to others. Modern capital speaks constantly of risk: investors are rewarded for it, funds raise money on it, returns are justified by it. The moral question is not whether the word appears in the model but who can actually lose. A party may claim risk while holding seniority, collateral, liquidation preferences, personal guarantees, covenants, information rights, veto rights, anti-dilution protection, drag-along rights, and exit rights. Meanwhile founders, workers, suppliers, communities, users, and the mission itself absorb the real consequences of failure.

When this happens, risk becomes a moral costume. Capital presents itself as courageous while arranging the transaction so that others stand beneath it. The borrower may lose the company; workers may lose wages or employment; the community may lose essential infrastructure; the founder may lose reputation, livelihood, and personal assets; the mission may be bent toward exit. But the investor speaks of risk because the portfolio might underperform. Scholastic analysis would ask more concretely: does this capital absorb loss inside this transaction, or does it enforce repayment and control against the life of the enterprise?

The fifth mark is that extraction profits from structural weakness. Sometimes the borrower's vulnerability is personal: poverty, desperation, lack of knowledge, a poor bargaining position. Sometimes it is structural: a startup ecosystem designed around exit, a public sector dependent on private infrastructure, a farmer dependent on seasonal credit, a city dependent on bond markets, an open-source project dependent on venture capital because

grants do not provide continuity. Extraction does not merely respond to such weakness. It organizes itself around it.

For non-extractive finance the point is easy to miss, because many modern borrowers are not poor in the traditional sense. A technology founder, a social entrepreneur, a co-operative, a public-interest infrastructure company, or an open-source project may not resemble the poor peasant borrower of biblical imagination. Yet the structure of dependency can still be real. If the only available capital demands exit, control, compounding growth, mission drift, or governance capture, then extraction enters through the borrower's need for capital itself.

Extraction can therefore be polite, professional, and legally immaculate. It arrives in beautiful pitch decks, standard term sheets, careful legal drafting, and respectable return models, wrapped in the language of innovation, impact, fiduciary duty, and scale. But moral theology is not impressed by polish. It asks whether the structure protects the vulnerable or converts vulnerability into yield, and whether capital serves the work or the work serves capital.

A key feature of extraction is double-counting. The lender may charge an interest rate for risk, collateralize the claim to reduce that risk, impose default penalties for delay, require reimbursement of costs, add warrants for upside, demand liquidation preferences for downside protection, and retain control rights to force an exit. Each element may be defended separately. Together they reveal a structure in which the lender is compensated for risks it has already shifted, losses it has already avoided, and opportunities it has already priced. The surplus becomes layered, cumulative, and self-justifying.

This layering is one reason modern finance can become extractive without any single clause looking outrageous. The contract does not say, "We intend to dominate you." It says: standard preference, standard default interest, standard legal fees, standard governance rights, standard drag-along, standard anti-dilution, standard redemption right, standard market return. The word "standard" becomes a moral anesthetic. It tells the borrower that there is nothing to question, because everyone does it. But scholastic moral theology asks precisely what standardization can conceal: whether the structure restores equality or entrenches asymmetry.

Extraction also appears when capital claims the upside of partnership while preserving the security of debt. This hybrid temptation is common. Capital wants equity-like returns with debt-like protection, participation in growth without full participation in loss, influence over mission without accountability to mission. It wants to be called patient while retaining exit rights, called aligned while demanding preferential economics, called risk-bearing while standing first in line. The moral issue is not hybrid form as such. The issue is whether the hybrid allocates upside and downside truthfully.

Theologically, extraction is a failure of neighbor-love. It sees the borrower not first as neighbor, brother, sister, co-worker, or image-bearer, but as counterparty. The relationship becomes calculative before it becomes fraternal. This does not mean finance must be sentimental or informal. Contracts, prudence, and accountability all matter. But a Christian moral economy cannot accept a view of the other person as merely a site of enforceable claims. The borrower's flourishing remains morally relevant even after the contract is signed.

Extraction is also a failure of stewardship. Ownership is treated as absolute power rather than entrusted responsibility. The owner of capital says, "This is mine; therefore I may demand whatever the market allows." Stewardship says, "This has been entrusted to me; therefore I must ask what use serves life, justice, and the common good." The usury tradition is unintelligible without this deeper theology. It assumes that property rights are real but not ultimate, that contracts are binding but not morally exhaustive, and that

capital is powerful but accountable.

Extraction is finally a failure of truth: it misnames things. A trap is called a penalty; a fiction, a loss; a hypothetical return, a foregone profit; a shifted downside, a risk premium. Domination is called discipline, dependency partnership, impatience liquidity, mission drift scale. The old language of usury cuts through these misnamings by asking what is really being sold, what is really being borne, and who is really exposed.

A non-extractive framework must therefore identify extraction not only by the amount of surplus, but by its source. A high return may be licit if capital genuinely participates in a risky, mission-aligned enterprise and the upside is proportionate to real downside. A small fee may be illicit if it is charged to the poor for no reason except their vulnerability. The moral issue is not merely percentage; it is geometry. Where does the surplus come from? What does it correspond to? Who pays for it? What happens under stress? Does the structure heal, share, or dominate?

Stated plainly: compensation remains accountable to the burden borne, while extraction expands beyond the burden and then invents reasons for itself. Compensation receives in order to restore. Extraction takes because it can. Compensation wants the borrower to recover; extraction can profit from the borrower's weakness. Compensation is limited by justice, extraction only by enforceability, reputation, and market tolerance.

This is why the extrinsic titles remain so valuable. They teach us to distrust vague justifications for surplus, and they force every claim to become specific. If the surplus is for delay, was the delay culpable and the penalty proportionate? If for loss, was the loss real and documented? If for foregone gain, was the opportunity concrete and actually interrupted? If for risk, who truly bears the downside? These questions expose extraction, because extraction thrives in vagueness. It prefers "market terms" to moral anatomy.

Extraction, in the end, is not simply a defect in pricing. It is a disorder of relationship. It turns need into leverage, time into tribute, law into weapon, risk into rhetoric, and capital into a claim over life. The answer is not financial naivete, but disciplined moral design: capital structured so that it cannot slide unnoticed from service into domination, held within forms of accountability, transparency, proportionality, and shared risk. Only then can finance move from extraction back toward compensation, participation, and stewardship.

37.3 The Theological Difference

The difference between compensation and extraction is not only economic but theological. It concerns what kind of world we believe we inhabit, what kind of creatures human beings are, and what kind of responsibility comes with possessing capital. At the surface the question may appear technical: is this payment justified by delay, loss, foregone gain, risk, labor, or expense? Beneath that technical question lies a deeper one: does finance treat the other person as neighbor, or as material for yield?

Christian moral theology cannot answer this question by contract law alone. Law matters, but it is not the whole of justice; consent matters, but it is not the whole of charity. Property is real but not absolute dominion, and risk is not a magic word that sanctifies return. The theology beneath the usury tradition insists that economic life is always relational before it is merely transactional. The creditor and the debtor do not meet as isolated abstractions. They meet as persons before God.

This is why charity and domination stand at the center of the theological difference. Charity does not mean sentimentality, passivity, or the refusal to make hard judgments. Charity is the rightly ordered love of the other person's good, and it asks whether the financial relationship helps the borrower, the enterprise, the worker, the community, and

the mission move toward life. Domination, by contrast, is the use of another's dependency to secure one's own advantage. It may be polite, legal, and market-standard. It still bends the other person's future around the creditor's claim.

The usury tradition understood that debt can easily become domination because debt creates asymmetry. One party lacks what the other possesses. One party needs time, liquidity, seed, food, working capital, or survival; the other can grant or withhold. This asymmetry is not evil in itself. It can become mercy, solidarity, investment, partnership, or stewardship. But it can also become a relation of command, in which the lender's claim begins to govern the borrower's labor, choices, household, company, land, and future. At that point the issue is no longer merely price; it is lordship.

Here the biblical background matters. Scripture repeatedly treats lending as a spiritually dangerous act when the borrower is vulnerable. The poor borrower is not to be treated as a revenue stream. The cloak taken in pledge must be returned by night. The brother is not to be charged as an outsider. Debts are limited by Sabbath and Jubilee rhythms. The cry of the debtor reaches God. Debt is never just debt. It is a test of whether power will become care or predation. These texts do not provide a complete scholastic contract taxonomy, but they do provide the moral world in which the taxonomy later makes sense.

Stewardship is therefore the alternative to ownership absolutism. Ownership absolutism says: because the capital is mine, I may demand whatever the contract permits, the market bears, and the law enforces. Stewardship says: because the capital has been entrusted to me, I must ask what kind of use serves God, neighbor, work, community, and creation. Stewardship does not abolish ownership; it relativizes it, placing property inside vocation. The owner is not merely a rights-holder, but a trustee before God.

This matters all the more because modern capital has become highly abstract. The investor may never meet the borrower, the fund may never see the worker, the model may never name the community. The dashboard may show return, risk, default probability, liquidity, volatility, and exit scenarios, but not the human lives through which those numbers are realized. Abstraction makes domination easier because it removes the face of the neighbor. The old theological language brings that face back into view.

The difference between compensation and extraction is also the difference between risk-sharing and risk-shifting. Risk-sharing belongs to partnership. It says: I enter this uncertainty with you; if the enterprise succeeds, I may participate in the gain, and if it fails, I too bear loss. Risk-shifting says: you face the uncertainty, but I retain my claim; if things go well, I receive my return, and if things go badly, I enforce against you, your assets, your labor, your guarantees, your mission, or your future. The first can be a form of economic communion. The second can become disguised servitude.

Aquinas's distinction between *mutuum* and *societas* remains so powerful because it is not merely technical. It names two moral forms. In the *mutuum*, ownership of the money passes to the borrower, and the borrower owes the equivalent back; the lender may not sell the use of what no longer belongs to him. In *societas*, the capital remains exposed within a shared venture, and profit is justified because the investor is not merely a creditor standing outside the risk, but a participant within it. The theological difference is participation versus extraction, communion versus external claim.

Modern equity does not automatically satisfy this standard. Legal equity may resemble *societas*, but it can still become extractive if it uses control rights, liquidation preferences, drag-along provisions, redemption rights, or exit pressure to shift downside and capture mission. Likewise, debt does not automatically become immoral in every case. Some debt may be modest, transparent, proportionate, and tied to real compensation or productive use. The theological question is not the label. It is whether the structure creates solidarity or domination.

The vocabulary of neighbor and counterparty matters here. Modern finance prefers the counterparty, because the counterparty is morally thin. A counterparty has obligations, representations, warranties, covenants, and liabilities; a neighbor has a claim upon my conscience. A counterparty can be optimized against. A neighbor must be loved. Of course, business cannot operate without contracts. But contracts inside a Christian moral economy must remain subordinate to the command to love the neighbor, and when the counterparty eclipses the neighbor, extraction becomes easier to justify.

The theological difference also concerns the meaning of time. In extractive finance, time becomes yield: the longer the borrower has the money, the more the lender is owed, simply because time has passed. In a Christian vision, time is not first a financial resource but a creaturely gift. It belongs to God before it belongs to any balance sheet. This does not mean that time creates no burdens. Delay can injure, capital can be tied up, opportunities can be foregone, and risk can unfold over time. But the passage of time itself does not automatically give capital a claim over another person's future.

This point is crucial for resisting the metaphysics of automatic growth. Modern finance often treats capital as if it naturally deserved increase; money that is not growing appears idle, wasted, or irrational. But Christian theology sees created goods as ordered toward use, service, communion, and the common good, not toward infinite self-expansion. The moral problem with usury is therefore not merely that the rate is too high. It is that money begins to behave like a false living thing, demanding growth from the lives of others.

The theological difference also appears in how each framework understands vulnerability. Compensation sees vulnerability as a reason for care; extraction sees it as a reason for pricing power. A borrower's need, a founder's lack of options, a community's dependency, a worker's precarity, or a public institution's weakness can either summon solidarity or invite capture. The usury tradition stands on the side of solidarity. It does not deny prudence, but it refuses to make prudence a mask for exploitation.

This is why mercy must remain inside justice. A purely mechanical account of compensation can become harsh. It can say: the borrower delayed, therefore the fee applies; the contract permits it, therefore it is owed; the collateral is available, therefore it may be seized. But Christian justice is not blind mechanism. It is ordered toward right relationship. Mercy does not abolish justice, but it prevents justice from degenerating into domination. Especially where poverty, misfortune, illness, market collapse, or sincere failure is involved, the creditor must ask not only, "What can I collect?" but "What does love require?"

At the same time, mercy cannot mean financial unreality. Institutions that serve life must also survive. Workers must be paid, administrative costs must be covered, and capital that truly bears loss cannot be treated as if risk were costless. The theological difference is not between hard-headed finance and naive charity. It is between finance ordered toward life and finance ordered toward self-expansion. Moral finance must be prudent, but its prudence must be in service of charity.

This is where stewardship becomes practical. A steward asks: how should this capital be structured so that it serves the mission without dominating it? How should downside be shared? How should repayment adjust when circumstances change? How should fees be limited to real costs? How should penalties be designed so that the lender does not profit from default? How should governance rights protect purpose rather than force extraction? How should investors be compensated without becoming lords?

The old extrinsic titles can be read as instruments of stewardship. They discipline the steward's claim. You may recover real loss, but not fictive loss. You may receive compensation for delay, but not engineer default. You may claim foregone gain only when it is concrete, not metaphysical. You may receive for risk only when you truly bear downside.

In each case, the title asks capital to remain truthful, limited, and accountable.

Theologically, then, compensation belongs to truth, justice, and charity; extraction belongs to falsehood, domination, and disordered love. Compensation tells the truth about burden; extraction invents burdens to justify gain. Compensation restores right relation and serves the neighbor's recovery; extraction entrenches dependency and benefits from the neighbor's weakness. Compensation receives within limits; extraction expands until checked by force, law, reputation, or collapse.

This distinction leads directly into the modern problem of capital structure. The moral form of finance is not determined by vocabulary alone. Debt, equity, convertible notes, revenue-sharing agreements, redeemable shares, foundation loans, cooperative capital, and venture capital term sheets must all be read through the same theological lens. Do they embody charity or domination? Stewardship or ownership absolutism? Neighbor-love or counterparty optimization? Risk-sharing or risk-shifting?

A Christian moral economy cannot be content with asking whether finance is legal, efficient, innovative, scalable, or market-conforming. It must ask whether finance is truthful about what it charges for, merciful toward weakness, proportionate in compensation, and humble before God. It must ask whether capital is serving life or extracting from it. That is the theological difference. It is also the reason the old usury doctrine still speaks.

The Mutuum, Equity, and Modern Capital Structures

38.1 Why Modern Debt Resembles Mutuum

Strip away the documentation and most modern debt begins where the classical *mutuum* began: one party transfers money to another; ownership of that money passes to the borrower; the borrower becomes obligated to repay an equivalent amount. The legal forms have changed, the documents have grown longer, the enforcement machinery more sophisticated, the accounting more complex. The moral anatomy has barely moved. The borrower receives capital and owes principal back.

In the Roman *mutuum*, the thing lent was consumable: money, grain, wine, oil, or another fungible good. The borrower did not owe the identical object back. He owed the *tantundem*, the same quantity and quality. This mattered because ownership passed to the borrower. Once the money was handed over, the lender no longer owned that specific money; the borrower did. What the lender held was a claim for repayment, not a continuing ownership interest in the money itself. And this is the legal and moral background of the whole usury problem. If the lender no longer owns the thing, what exactly is he selling when he demands payment for its use?

Modern debt usually preserves this structure. A bank loan, a bridge loan, a private credit facility, a promissory note, a convertible note before conversion, a revenue loan with fixed repayment obligations, a venture debt instrument: the details differ, but each commonly creates a claim to repayment. The borrower receives funds and becomes obligated to return principal, often with interest, fees, default interest, covenants, collateral, or other protections attached. The capital has moved into the borrower's control, but the lender's legal claim remains.

This is why modern debt is morally closer to *mutuum* than to partnership. The lender does not normally share ownership in the enterprise as such, and does not normally accept that repayment disappears if the project fails. The lender stands outside the business with an enforceable claim against it. The enterprise may have a bad year, lose customers, suffer delays, or watch its market collapse; the debt remains due regardless. The lender's claim does not rise and fall with the fortunes of the venture, and this fixedness is the heart of the resemblance.

The resemblance has six features, and together they describe the default shape of the modern loan.

The first is fixed repayment. In a debt instrument the borrower ordinarily owes a determinate sum: principal, interest, fees, and whatever else was agreed. The schedule may be monthly, quarterly, annual, bullet, amortizing, revenue-linked, or contingent in minor ways, but the basic expectation is that repayment is owed. The lender's return is contractual, not primarily a share of profit. That is the *mutuum*'s signature: an obligation to restore an equivalent, not to distribute the gains of a shared venture.

The second, and morally the most important, is principal owed regardless of outcome.

In a true partnership, loss is shared; if the enterprise fails, the investor may lose the capital. In debt, the failure of the borrower's project does not usually extinguish anything. The company may be insolvent, but the claim survives. The lender can enforce, restructure, seize collateral, trigger guarantees, accelerate repayment, or take a place in the creditor queue. Failure becomes a default event rather than a shared loss, which is why debt slides so easily into risk-shifting.

The third is seniority. Debt often stands ahead of equity, ahead of founders, ahead of workers' long-term upside and mission reserves, and sometimes, in practical effect, ahead of suppliers or communities. In a capital stack, senior creditors are paid before subordinated creditors and shareholders. The priority is legally rational and economically familiar, and it has moral significance all the same. Seniority means the lender may be protected while others absorb loss. When the enterprise struggles, cash that might have gone to reinvestment, wages, resilience, mission, or community benefit goes first to debt service. The lender's claim is structurally privileged.

The fourth is collateral. Modern debt frequently secures repayment through assets: receivables, equipment, intellectual property, bank accounts, inventory, real estate, shares, or other property. Collateral changes the moral geometry, because it reduces the lender's exposure by increasing the borrower's vulnerability. The lender can say that capital is at risk while the contract places specific assets under the lender's control if repayment fails. The borrower not only owes money; the borrower may lose the tools needed to keep operating. Collateral can turn a temporary liquidity problem into a crisis of survival.

The fifth is personal guarantees, which matter especially in small-business, startup, and founder-led settings. The company borrows; the founder personally guarantees repayment. Risk has moved from capital to person. The lender's claim now reaches past the enterprise into the founder's household, savings, future income, or personal assets. The borrower is no longer merely risking a project but placing a personal life under creditor claim, and here the resemblance to ancient debt anxiety becomes vivid. The old fear that debt can become domination has not disappeared. It has been contractually modernized.

The sixth is enforcement against borrower assets. Debt is not merely a promise; it is enforceable. Courts, security interests, insolvency procedures, acceleration clauses, default provisions, collection rights, and restructuring processes give the lender practical power. None of this is inherently immoral (a world without enforceable promises would make most cooperation impossible), but enforceability is what gives debt its sharp edge. The claim can survive hardship, disappointment, failed strategy, market change, and mission vulnerability. Unless the contract builds in mercy, flexibility, or loss-sharing by design, the creditor's right can be indifferent to the borrower's life.

These six features explain why modern debt must be read through the old usury doctrine with particular care. The scholastic concern was never simply that a lender might receive "too much." It was that the lender might demand gain from a transaction in which the borrower bore the ownership, the use, the operational risk, and the repayment obligation, while the lender retained a guaranteed claim. The moral issue is not merely the rate; it is the structure. Who owns the money after the transfer? Who owes repayment? Who bears failure? Who is protected? Who can enforce against whom?

If anything, modern debt intensifies the old structure, because it adds layers of protection that earlier lenders lacked or held in cruder form. The classical *mutuum* already required repayment of equivalent principal. A modern facility may add interest, default interest, covenants, legal fees, security interests, reporting duties, acceleration rights, mandatory prepayment, financial ratios, control triggers, and cross-default clauses. Each layer may be defensible in a particular context. Stacked together, they can produce a lender insulated from nearly every downside while continuing to receive return.

This is where *periculum sortis* becomes crucial. If a lender invokes risk to justify surplus, one must ask whether the principal is actually at risk in the relevant moral sense. Default risk alone is not enough if the contract is designed to shift that risk back to the borrower through collateral, guarantees, seniority, and enforcement. The lender may face some probability of nonpayment in a portfolio model, but the borrower faces the concrete consequences of failure in life and work. Scholastic moral theology would not stop at the statistical claim. It would ask who bears the burden when the negative scenario arrives.

The same caution applies to claims built on *lucrum cessans*. A modern lender may say that the capital could have been invested elsewhere and demand compensation for the foregone return. But if the instrument is also senior, collateralized, guaranteed, and enforceable, the lender is claiming the opportunity cost of productive capital without actually entering productive partnership. The result can be morally incoherent: equity-like return expectations combined with debt-like protection. The lender wants to be compensated as if the capital were ventured, while protected as if it were not.

The resemblance between modern debt and mutuum does not make every debt instrument automatically usurious; that would be too simple. Debt can be modest, short-term, necessary, interest-free, cost-recovering, hardship-sensitive, subordinated, patient, or structured to support rather than dominate. A bridge loan may carry an organization across a timing gap. A working-capital facility may smooth cash flow. A recoverable grant may recycle funds for mission. A loan between friends or community members may be solidarity in contractual form. The moral question is not whether the legal form is called debt, but whether the structure extracts from need or serves life.

Nevertheless, debt earns suspicion, because its default shape is the mutuum's: ownership passes, principal remains owed, and surplus can easily become payment for the use of money. When repayment is fixed, senior, collateralized, and enforceable regardless of outcome, any additional return must be examined carefully. Is it compensation for actual cost? Is it proportionate to real loss? Is it tied to genuine risk borne by the lender? Does it answer a concrete foregone gain? Or is the borrower simply paying more because capital was absent from the lender and present with the borrower for a time?

For non-extractive finance, this analysis suggests a practical discipline. Debt should not be treated as morally neutral merely because it is common. It should be designed with safeguards: realistic repayment schedules, grace periods, hardship provisions, capped charges, transparent cost recovery, no engineered default, limited collateral, no unnecessary personal guarantees, and a real willingness to restructure when circumstances change. If surplus is charged, the title should be named and documented. If risk is claimed, the lender should actually absorb loss. If sustainability costs are recovered, they should be proportionate and auditable.

Modern debt resembles the mutuum, in short, because it preserves the central creditor claim: repay the equivalent, whatever happens. That structure may sometimes be useful and just. It becomes morally dangerous when combined with surplus, seniority, collateral, and indifference to the borrower's vulnerability. The old doctrine therefore remains relevant not as a historical curiosity but as a lens for reading the capital stack, asking of each instrument whether it is a tool of service or a mechanism of domination. The question is not whether debt can exist, but whether it has been disciplined by justice, mercy, and truth. A debt that restores, bridges, supports, and stays proportionate may serve life. A debt that guarantees capital's growth while shifting downside to the borrower repeats the old usury problem in modern form: legal, standard, efficient, and still, morally, the mutuum from which the tradition warned us not to extract gain.

38.2 Why Equity Resembles Societas Only Sometimes

Equity appears, at first glance, to solve the moral problem that debt creates. It does not ordinarily promise fixed repayment of principal. The investor receives an ownership interest in the enterprise: if the company succeeds, the investor may share in the upside; if it fails, the investor may lose the capital invested. That looks like *societas* rather than *mutuum*, a partnership rather than a loan, participation rather than a creditor claim, shared risk rather than guaranteed repayment.

The resemblance is real, but incomplete. Equity resembles *societas* only when it truly shares the life, risk, and purpose of the enterprise, and legal form alone establishes none of that. An instrument may say “shares,” “membership units,” “preferred stock,” “participation rights,” or “ownership interest” on its face. The moral question remains: does this capital actually participate in both upside and downside, or does it use the equity form to capture upside while shifting downside, control burdens, and mission risk to others?

In the scholastic imagination, *societas* was morally different from *mutuum* because the partner’s capital remained exposed. The partner did not stand outside the venture demanding repayment regardless of outcome; the partner entered the uncertain commercial activity itself. Profit was licit because it was not payment for the mere use of money but the fruit of participation in a shared enterprise. The partner could gain and could also lose. The profit claim was linked to vulnerability.

That is the core test for modern equity. Does the investor’s return arise from genuine participation in the enterprise, including exposure to loss? Or does the instrument create a privileged claim that behaves like debt under stress while preserving equity-like upside in success? If the latter, the legal word “equity” conceals a morally hybrid structure: partnership in good outcomes, creditor-like protection in bad ones.

Common equity is often closer to *societas* than preferred equity is. A common shareholder usually stands last in line: if the company fails, common equity may be wiped out; if it succeeds, common equity may share in growth. Founders, employees, and mission-aligned investors often hold common-like claims, and the structure can embody real risk-sharing (though even common equity can become extractive if voting control, exit pressure, or shareholder primacy bends the company away from its purpose).

Preferred equity is more ambiguous. Venture capital, private equity, and growth finance often use preferred shares that carry liquidation preferences, anti-dilution rights, veto rights, redemption rights, drag-along rights, board control, protective provisions, and exit expectations. These rights can be justified as ways to protect investors from abuse, information asymmetry, or founder opportunism. They can also shift the moral structure away from partnership, granting the investor downside protection before others receive anything while retaining upside if the company grows.

Liquidation preferences deserve particular attention. A liquidation preference determines who gets paid first when the company is sold, liquidated, or otherwise exits. A simple preference may allow the investor to recover invested capital before common shareholders receive proceeds. A participating preference may allow the investor to recover the preference and then also participate in remaining upside. Multiple preferences may entitle the investor to two, three, or more times the original investment before others share at all. The legal details vary; the moral question is constant. Does this preference reflect genuine risk-bearing, or does it place capital ahead of founders, workers, mission, and community in a way that undermines shared enterprise?

Control rights create a second ambiguity. In *societas*, partners deliberate together for the good of the venture, and modern equity investors may indeed bring wisdom, networks, governance, accountability, and strategic discipline. But control rights become extractive

when they allow capital to force decisions that serve investor liquidity rather than enterprise purpose. A veto over major decisions may protect against reckless management; a veto over mission-preserving choices may become domination. Board seats may support stewardship, and they may also become instruments of exit pressure.

Drag-along rights create a third. A drag-along provision can require minority shareholders to join in a sale approved by specified majorities or investor classes. In some cases this merely prevents small holdouts from blocking a legitimate transaction. But in mission-driven companies, steward-owned firms, open-source infrastructure, or non-extractive enterprises, drag-along rights become morally serious: they may allow financial investors to force an exit that founders, workers, users, or mission guardians would not otherwise choose. Equity is then no longer simply sharing in the enterprise. It has gained the power to redirect the enterprise toward liquidity.

Exit pressure is perhaps the deepest difference between venture equity and true *societas*. A partner may seek profit, but a partnership can remain ordered toward the continuing good of the enterprise. Venture capital often cannot, because the fund itself has a life-cycle: investors expect distributions, and returns are measured through liquidity events. The result is a structural pressure to sell, to scale aggressively, or to pursue strategies that maximize valuation rather than long-term mission. The investor may bear financial risk, but the enterprise bears existential and vocational risk.

Equity, then, can be extractive even without fixed repayment. The investor may demand no monthly interest and no principal, and instead demand a growth path that exposes the company to mission drift, worker burnout, user exploitation, governance capture, or sale to an acquirer whose purposes contradict the company's original vocation. The extraction occurs not through debt service but through teleology. Capital does not merely participate in the company's fruit; it reshapes what the company is for.

The moral form of equity therefore depends on more than loss exposure. It also depends on governance, purpose, time horizon, and exit rights. A truly partnership-like investment shares downside, accepts uncertainty, respects the mission, supports the work, and receives surplus in proportion to its participation. An extractive equity investment captures upside, protects itself from downside, imposes growth imperatives, and treats the company as a vehicle for investor liquidity.

This distinction is especially important for non-extractive capital, because many people assume that moving from debt to equity automatically solves the usury problem. But the scholastic distinction between *mutuum* and *societas* was never merely a distinction between legal labels. It was a distinction between moral forms. If equity capital genuinely remains at risk and participates in the shared enterprise, it may escape the logic of usury. If equity capital uses legal rights to dominate the enterprise and secure preferential outcomes, it reproduces extraction under a different name.

One can therefore imagine a spectrum of equity. At one end is common, patient, mission-aligned, loss-absorbing capital that shares upside and downside without forcing exit; this resembles *societas* most strongly. In the middle are preferred structures that offer some investor protections but remain proportionate, capped, transparent, and subordinated to mission; these require careful discernment. At the other end are highly preferential, control-heavy, exit-driven instruments that demand equity upside while insulating capital from loss and bending governance toward liquidity. These resemble partnership in form but not always in substance.

The question of proportionality remains crucial. Investors may legitimately need some protection where founders control information, where capital is exposed to real uncertainty, or where downside is genuine. But protections must be proportionate to the risk and compatible with the common good of the enterprise. If every risk is compensated,

every downside protected, every decision controlled, and every exit right preserved, then the investor's supposed participation becomes increasingly false. Capital cannot claim the moral status of partnership while refusing the vulnerability of partnership.

This is where steward ownership and mission-locked governance earn their place. By separating economic participation from absolute control, limiting exit rights, capping returns, protecting purpose, or placing certain decisions under stewardship rather than investor liquidity, these structures make equity more genuinely participatory and help keep it from becoming a tool of mission capture. They do not automatically solve every problem, but they do create a legal architecture more hospitable to moral partnership.

Non-extractive equity should therefore face several questions. Can the investor lose principal? Is the return capped or open-ended? Does the investor receive priority before workers, founders, mission reserves, or community obligations? Can the investor force a sale? Are the control rights protective or dominating? Is the time horizon patient enough for the enterprise's real vocation? Does the structure support the company's purpose, or does it subordinate purpose to exit without anyone ever quite deciding to?

This also matters for open-source software, digital sovereignty, and mission-driven technology, because these enterprises often create public or quasi-public goods. Their value may lie not only in shareholder return but in resilience, trust, transparency, user freedom, security, and ecosystem health. An equity structure that forces rapid scale and exit may destroy precisely the goods that made the enterprise worth funding, so that the investor's upside is purchased at the cost of the mission's integrity. That is not *societas*; it is extraction through governance.

Theologically, equity resembles *societas* when it embodies shared fate. The investor says: I will walk with this enterprise; I will bear uncertainty with it; I will not demand guaranteed growth; I will not force its vocation into my liquidity timetable; I will receive only in a way compatible with its life. Equity becomes extractive when the speech changes: I will call myself a partner in order to capture upside, but I will arrange the documents so that others bear the deeper losses.

Thus modern equity is neither automatically licit nor automatically suspect. It must be read. Its preferences, rights, caps, conversion mechanics, governance provisions, redemption clauses, information rights, and exit pathways must be examined as a moral structure, and the question is never simply "Is this equity?" but "What kind of equity is this, and what kind of relationship does it create?" Aquinas's distinction remains useful because it points to the moral heart of the matter. Profit from partnership can be just where capital is genuinely at risk and joined to the venture. But partnership is not a costume. It requires shared downside, truthful governance, and a common good beyond capital's own expansion. Equity resembles *societas* only when it remains faithful to that deeper form.

38.3 Priority Repayment and Franciscan Concern

Now to the place where modern capital structures give themselves away most reliably: the repayment queue. The question could not be simpler. When money becomes scarce, who gets paid first? Legal and financial analysis usually treats this as a matter of seniority, risk allocation, and bargaining. Moral theology also treats it as a question of order. What does the structure protect? Whose claims are treated as sacred? Whose vulnerability is allowed to absorb the shock?

The Franciscan concern begins here. A financing arrangement may call itself patient, mission-aligned, impact-oriented, or non-extractive. But if capital is repaid before workers, community, mission, resilience, or the poor are protected, the structure may still embody a

disordered priority. It may not extract through a high interest rate; it may extract through placement in the queue. Priority is theology in legal form. The investor's claim has become the first claim upon the life of the enterprise.

Under stricter Franciscan logic, this is morally troubling because it reverses the order of service. Capital should serve life, work, and the common good; priority repayment can make life, work, and mission serve capital. The issue is not only whether the investor eventually receives more than principal. It is whether the investor is insulated first, before those whose labor, dependency, or social vulnerability make the enterprise morally significant in the first place.

The Monti di Pietà help us see the problem. These Franciscan-inspired institutions arose to provide charitable credit to the poor without leaving them to predatory lenders. Their small charges were defended, when they were defended, as necessary for administration, labor, and institutional survival, and the moral center was service: the institution existed so that poor borrowers would not be crushed by need. Had such an institution gradually reorganized itself so that its own financial preservation, staff comfort, or creditor claims came before the poor, the Franciscan defense would have collapsed under it. Sustainability was licit only as the servant of mercy, not as its replacement.

Modern funds face the same danger. A non-extractive fund may need to repay investors, preserve its capital base, cover costs, and maintain credibility, and these are real concerns. But if repayment to capital is always structurally prior, the fund's moral claim becomes unstable. The fund may say it exists for founders, workers, open-source ecosystems, digital sovereignty, ecological resilience, or mission-driven enterprise. Under stress, the documents reveal the true hierarchy. If the first question is always "How do we make capital whole?", then capital remains the governing subject.

Priority repayment is especially problematic when combined with downside shifting. Suppose an investor receives a preferred return, repayment before common shareholders, collateral, covenants, and control rights, and describes all of it as prudent protection. If the company struggles, cash that might have gone to wages, maintenance, product quality, community commitments, mission reserves, or long-term resilience is diverted to satisfy capital's priority, and the enterprise becomes an instrument for protecting the investor from loss. In such a case the claim to *periculum sortis* becomes weaker, because the investor has arranged to stand above the risk rather than within it.

This does not mean that every repayment priority is automatically illicit; the analysis must be more careful than that. Some ordering of claims is unavoidable. Suppliers may need to be paid before founders. Workers' wages may require priority over investor distributions. Small recoverable grants may be repaid so that money can revolve into future mission use. A modest, capped, subordinated repayment structure may be what keeps a fund alive to serve many enterprises over time. The question is not whether order exists. The question is whether the order reflects justice, mercy, and the purpose of the capital.

A stricter Franciscan view presses the question harder than ordinary finance does: is capital being repaid before those whose claims are more closely connected to life? Labor is not merely another input; workers depend on wages for livelihood. Communities may depend on the services provided. Founders may have invested years of unpaid or underpaid work. Users may rely on digital infrastructure. The mission may require reserves, maintenance, and long-term independence. If capital is always made whole before these claims are honored, the structure may be formally legal but morally inverted.

Venture capital and preferred equity feel this pressure most directly. Liquidation preferences place investors ahead of common shareholders in an exit or liquidation, and in ordinary venture practice this is standard. Theologically, "standard" does not settle the question. If investors receive their capital back before founders, workers, mission stew-

ards, or community stakeholders receive anything, the structure says something about whose sacrifice counts. A 1x non-participating preference may be less severe than a multiple or participating preference, but even a simple preference establishes priority. It must therefore be justified, not merely assumed.

The Franciscan concern becomes sharper when preference combines with control over exit. Investors who can force or pressure a sale, and who also receive priority repayment from the proceeds, control both the timing of liquidity and the distribution of value. The company's mission may then be sacrificed not because the business failed but because capital required realization. Founders and workers bear the cost of growth while investors stand first at the exit. This is not merely a technical governance issue. It is the question of whether capital has become lord of the enterprise.

The same problem can hide inside non-extractive and mission-oriented structures. A repayment-capped investment may seem morally cleaner than conventional equity because returns are limited and no exit is required. Even here, the repayment order matters. If the investor is repaid from free cash flow only after wages, taxes, operating needs, reserves, and mission commitments are satisfied, the structure looks more like patient stewardship. If the investor is repaid before the company has resilience, before workers are secure, or before the mission is protected, the cap alone does not solve the problem. A capped return can still be extractive if its priority is wrong.

Priority must therefore be analyzed together with sufficiency: before capital is repaid, what must first be sufficient? Wages? Taxes? Supplier obligations? Maintenance? Resilience reserves? Reinvestment? Stewardship costs? Community obligations? Open-source maintenance? Mission-protection funds? The moral question is not only "How much will capital receive?" but "After what other needs have been met?" A lower return paid too early may be more harmful than a higher return paid only after the enterprise and its stakeholders are secure.

Here the concept of a resilience reserve shows its moral weight. If a company must fill a reserve before investor repayment begins, the structure acknowledges that the enterprise's survival is not secondary to capital's liquidity. It says that the company must be able to withstand shocks, pay workers, serve customers, and maintain its mission before surplus is distributed. This is the Monti logic at its best: institutional sustainability exists to protect service, not to enrich capital.

Priority also affects the interpretation of risk. An investor repaid only after the enterprise has met its obligations, built reserves, and generated true surplus bears a different kind of risk from an investor paid first. The first participates in the enterprise's actual flourishing; the second imposes a claim upon it. The first can invoke *periculum sortis* more plausibly, because the capital is genuinely exposed to whether surplus exists at all. The second must be scrutinized more carefully, because the structure may transform enterprise risk into borrower risk.

Beneath all of this sits a theological anthropology. The worker, founder, borrower, user, and community are not abstractions; they are persons and communities whose lives are affected by the capital structure. A repayment waterfall is therefore not morally neutral. It is a hierarchy of concern. It decides whose claims are honored in scarcity, who waits, who absorbs loss, whose future is flexible and whose claim is fixed.

A Christian moral economy should therefore be wary of structures in which capital is fixed and human beings are flexible. Too often, wages are cut, founders go unpaid, communities lose services, open-source projects decay, and missions are compromised while capital's contractual claim remains firm. This is the deeper Franciscan concern: the living become adjustable so that money can remain secure. Such a structure may be efficient, but it is not ordered toward fraternity.

The alternative is not chaos or irresponsibility. Capital providers also make sacrifices; they may be pensioners, foundations, religious institutions, families, or mission-aligned investors with legitimate needs of their own, and they cannot be treated as infinitely patient or morally irrelevant. But their claims must be placed within a broader order of goods. Capital should receive from surplus, not from depletion; be repaid after life has been protected, not before; and be structured to accompany the enterprise, not stand above it.

For non-extractive finance, this leads to practical design principles. Investor repayment should generally come after operating costs, fair wages, taxes, essential reinvestment, and resilience reserves. Returns should be capped, transparent, and tied to actual surplus. Default should not automatically trigger punitive economics. Collateral and guarantees should be limited or avoided where they would shift existential risk to founders or mission. Governance should prevent investors from forcing liquidity events that violate purpose. Workers, mission stewards, and affected communities should have some form of protection in the structure itself.

Priority repayment therefore becomes a test of whether capital is truly patient. Patience does not simply mean a long repayment term; a long-term claim can still dominate if it is senior, rigid, and enforceable regardless of circumstances. True patience means waiting until the enterprise can pay without harm. It means accepting uncertainty, allowing the mission to breathe, and receiving only from fruit, not from the cutting of roots.

So the Franciscan concern refuses to let finance hide behind moderation. A modest return may still be morally disordered if it is paid before the poor, the worker, the mission, or the community are secure. A capped return may still be extractive if the cap is reached by draining resilience. A mission fund may still betray its mission if its waterfall reveals that capital comes first. The issue is not only excess; it is order.

Priority repayment, then, is not a technical afterthought. It is one of the central places where the moral form of capital becomes visible: whether the structure is built around capital's preservation or the enterprise's flourishing, whether risk is shared or shifted, whether the investor arrives as partner, steward, creditor, or lord, and whether the language of non-extraction has been embodied in the actual documents. A Franciscan reading asks capital to step down from first place: not to disappear, not to be despised, not to be used irresponsibly, but to take its proper place as servant of life. Capital may be repaid, but not at the cost of the mission it claims to support. It may receive a return, but not by standing ahead of those whose labor and vulnerability make the enterprise human. It may be protected, but not so completely that others bear every wound. In a moral economy, repayment order must become an expression of love rightly ordered.

38.4 Opportunity Cost and Usury

Opportunity cost is one of the most powerful ideas in modern finance, and one of the most dangerous when viewed through the older usury tradition. It begins with an apparently reasonable intuition: if capital is used in one way, it cannot be used in another. To lend money to a borrower may mean not investing it elsewhere, not using it in trade, not keeping it liquid, not earning a return in another project. Something has been given up. The question is whether that something is concrete enough to justify compensation, or whether it becomes a universal claim that money is always owed growth.

This is precisely the problem of *lucrum cessans*, "gain ceasing," profit foregone. In its disciplined form, the title concerns a real alternative gain that would probably have been obtained if the lender had not made the loan. The lender does not say merely, "My money

could have earned something somewhere.” The lender says, “This capital was already ordered toward a concrete, licit, intended, and reasonably certain use, and the loan prevented that use.” Under those conditions, later scholastic authors increasingly allowed compensation, though often with caution.

Modern opportunity cost is much broader. It usually treats the next-best alternative return as a general benchmark: capital could have earned the risk-free rate, the market rate, the internal hurdle rate, the fund target, the weighted average cost of capital, the expected portfolio return, or some comparable yield. Therefore, the borrower must compensate the lender for the return foregone. This way of thinking is so common that it feels almost self-evident. To the usury tradition, it is exactly where the danger begins.

The older doctrine resists the idea that possible profit is morally equivalent to possessed property. A gain that might have happened is not the same as a good already held. Aquinas’s objection to *lucrum cessans* as a loan title turns on this point: the lender must not sell what he does not yet have. The profit might never have been obtained. It may be imagined, hoped for, projected, or statistically probable, but it is not possessed the way actual goods are possessed, and to demand payment for it risks turning possibility into entitlement.

This does not mean that foregone gain is always morally irrelevant. The later tradition saw that commercial life can create more concrete cases. A merchant may have capital already committed in practice to a trading opportunity. A farmer may have money needed for seed; a workshop, funds set aside for inventory. A lender may be deprived of money that would otherwise have gone into a definite, licit, income-producing activity. In such cases the loan can interrupt a real economic path, and the lender’s claim, though still dangerous, is not necessarily fictional.

The working distinction is between concrete opportunity and abstract opportunity. Concrete opportunity has shape. It can be described; it was actually intended; it was licit; it was reasonably likely; it had a foreseeable value; it was causally prevented by the loan. Abstract opportunity has no particular form. It says only that capital could always have earned something elsewhere. The first may sometimes support *lucrum cessans*. The second is the seedbed of usury.

Modern finance often collapses this distinction. It treats opportunity cost as a universal feature of capital, not as a specific interrupted use. The lender does not need to prove what would actually have been done with the money; the benchmark does the work, with a market index, a fund hurdle, a discount rate, or a target return standing in for the concrete alternative. This is analytically convenient, but morally dangerous. It abstracts the lender from actual intention, actual use, and actual loss. It makes capital’s imagined alternatives infinite.

And once opportunity cost is universalized, every loan becomes interest-bearing by nature. Even if there is no actual damage, no culpable delay, no concrete foregone transaction, and no genuine risk-sharing, the lender can still say: I was without my money, and money could have earned. This is the point at which *lucrum cessans* mutates into *carentia pecuniae* and then into ordinary modern interest. Being without money becomes itself a compensable harm; time becomes yield; liquidity becomes entitlement. The usury prohibition is not openly rejected, only dissolved.

The theological problem is not that opportunity cost calculations are useless. They can be useful for prudence. A steward must know what is being sacrificed. A foundation, a religious order, a pension fund, or a mission investor may need to ask whether placing capital in one use prevents another good use. A non-extractive fund must consider sustainability, the recycling of capital, and the needs of future beneficiaries. Opportunity cost can help reveal trade-offs. The danger comes when a prudential calculation becomes

a moral claim against the borrower.

This difference is crucial. I may use opportunity cost to decide whether I should lend; that does not automatically mean I may charge the borrower for every return I might have earned elsewhere. Prudence asks: should I deploy this capital here? Usury begins when prudence becomes tribute: because I chose to help you, you must now pay me the yield my capital imagines for itself. The first is discernment. The second risks domination.

In non-extractive finance, this distinction matters deeply. A fund may compare uses of capital: grant, loan, revenue-share, equity, recoverable grant, cooperative investment, guarantee, or reserve. It may ask which deployment best serves mission, and it may even need modest returns so that capital can revolve and serve others. But if the fund simply imports a market benchmark and calls it necessary compensation, it may reproduce the very logic it seeks to escape. A benchmark may be financially conventional while morally arbitrary.

This is especially true when the alternative use is itself extractive. Suppose a lender says, "I could have earned ten percent elsewhere." The scholastic question would not stop with probability; it would also ask whether that alternative gain was licit. A foregone profit from an unjust activity does not become a title for compensation. If the alternative investment would itself have relied on extraction, mission drift, predatory lending, ecological harm, exploitative labor, or unjust speculation, it cannot provide a clean moral benchmark. One cannot justify a charge to a borrower by pointing to a sinful profit one refrained from taking elsewhere.

This point is underdeveloped in modern finance because opportunity cost is often treated as morally neutral. But in Christian moral theology, not all opportunities are equal. The opportunity to profit unjustly is not a loss justice must restore. The opportunity to dominate another borrower is not a legitimate benchmark. The opportunity to earn through speculation, harm, or extraction is not a moral asset. *Lucrum cessans* therefore requires not only concreteness and causality, but licitness: the foregone gain must have been a good that one could rightly have pursued.

The same logic applies to "market return." The market is not a sacrament. It does not automatically reveal justice. It reflects productivity and scarcity, but also bargaining power, monopoly, and sometimes exploitation. To say that capital could have earned the market return is not yet to say that justice requires the borrower to pay it. The moral question is whether the particular return corresponds to a real, licit, proportionate burden borne by the lender.

A strict scholastic logic therefore resists modern opportunity cost in its universal form. It does not necessarily deny all compensation for foregone gain; rather, it disciplines the claim. The lender must show that the alternative use was concrete, intended, licit, reasonably certain, causally prevented, and proportionately valued. The claim may not be deducted automatically upfront. It may not be generalized to all holders of money. It may not be double-counted with risk premiums, penalties, administrative fees, or liquidity charges. And it may not become a disguised price for time.

Without that discipline, modern capital structures become morally confused. An investor may demand a return because of opportunity cost, add a premium for risk, receive preferred repayment, secure collateral, retain governance rights, and impose default penalties. But if opportunity cost has already priced the alternative use of capital, and risk has already been priced separately, and collateral has reduced downside, and priority repayment has improved recovery, what exactly is each surplus component compensating? Without careful moral accounting, opportunity cost becomes one layer in a stack of overlapping claims.

Opportunity cost also obscures the difference between capital's perspective and the

enterprise's perspective. From the investor's side, money placed in one company cannot be placed in another. From the enterprise's side, capital may be the condition for work, service, technology, care, or community benefit. A purely opportunity-cost framework centers the investor's sacrificed alternatives. A moral economy must also ask what the borrower's alternatives are. Is the borrower choosing among abundant fair options, or accepting terms because every available path is shaped by extractive capital? The lender's lost opportunity cannot be the only morally relevant absence.

The deeper problem lies past calculation. Opportunity cost can train capital to see the world as a field of missed returns, where every act of patience becomes a sacrifice, every act of mercy has a yield foregone, and every non-extractive choice appears as financial underperformance. But Christian stewardship may require precisely such "underperformance" relative to extractive alternatives. To refuse unjust gain is not to suffer a compensable loss; it is to choose justice.

Capital should not be careless, of course: a steward who wastes entrusted resources is not virtuous, and mission capital must remain attentive to sustainability, future beneficiaries, institutional survival, and prudent allocation. But prudence must be ordered toward love, not toward maximization. The question is not, "How can I recover every yield I might have earned?" The question is, "What return, if any, allows this capital to continue serving without dominating those it serves?"

A non-extractive approach to opportunity cost would therefore begin with disciplined questions. What concrete alternative use was actually available? Was it aligned with the mission? Was it morally licit? Was there a real intention to pursue it? How certain was the gain? Did this loan or investment truly prevent it? Is the claimed compensation proportionate? Is the same foregone return already reflected elsewhere in the structure? Would charging this amount burden the borrower's flourishing, wages, resilience, or mission?

In many cases, the answer may be that opportunity cost should guide internal decision-making but not become a charge to the borrower. The fund may decide not to make a loan because the sacrifice is too great relative to mission. It may make the loan at below-market return as an intentional act of stewardship. It may recover only administrative costs and actual losses, or structure its return as surplus-sharing after resilience is achieved. What it should not do is simply baptize the market rate as moral necessity.

Opportunity cost becomes usurious when it asserts that money deserves growth merely because it could have grown elsewhere. It remains potentially legitimate only when it names a concrete, licit, intended, and reasonably certain gain that was truly interrupted and proportionately valued. This is the narrow bridge between *lucrum cessans* and usury. The bridge can be crossed, but only carefully; widened into a highway for all capital, it becomes the road by which the old doctrine disappears.

The central question is therefore not whether opportunity cost is real. It often is, as a prudential consideration. The question is whether it is morally chargeable to the borrower, and the older tradition answers: only sometimes, only under conditions, and never as a universal metaphysics of money. Capital may have alternatives. But not every alternative becomes a title, not every missed yield is a loss, not every market return is just, and not every absence of money from the lender's hand gives the lender a claim over the borrower's future.

38.5 Risk Premium and *Periculum Sortis*

The modern risk premium appears, at first glance, to be the natural descendant of *periculum sortis*. If capital is exposed to loss, then a return above principal may compensate for

that exposure: the investor accepts uncertainty, the borrower or enterprise receives capital, and if the venture succeeds the investor shares in the fruit, while if it fails the investor may lose. This seems morally different from a guaranteed loan, and in many cases it is. The resemblance becomes dangerous when the language of risk is used without the substance of risk-bearing.

Periculum sortis means risk of the principal: the possibility that the *sors*, the capital sum itself, may be lost. This is not the mere inconvenience of waiting, nor the fact that money is absent from the lender's account, nor the statistical possibility that any borrower might default. It is the real exposure of capital to downside. The principal must be genuinely vulnerable, and the investor must be able to lose not only the expected gain but the capital itself.

This is why *periculum sortis* stands so close to Aquinas's distinction between *mutuum* and *societas*. In a *mutuum*, the borrower receives ownership of the money and owes back the equivalent; the lender stands outside the venture with a claim. In a *societas*, capital is placed into a common enterprise and remains exposed to its fortunes. Profit-sharing is intelligible there because loss-sharing is real. The moral foundation is not that money deserves growth, but that capital has entered into shared uncertainty.

A risk premium can therefore be licit only if it corresponds to genuine risk-bearing, and the first question is blunt: can the principal actually be lost? If repayment is guaranteed, fully collateralized, senior, insured, personally guaranteed, or enforceable against unrelated assets, then the claim to risk must be narrowed accordingly. Some risk may remain, but it is not partnership-like exposure. A creditor who can seize collateral, trigger guarantees, accelerate repayment, and stand first in line cannot claim the moral status of capital that truly absorbs loss.

The second question: who bears the loss when things go wrong? Modern finance often speaks of investor risk, but the real downside may be distributed elsewhere. Founders may lose years of labor; workers, wages and employment; suppliers may go unpaid; communities may lose services; users may lose infrastructure; the public sector may absorb the cleanup costs; the mission may be sacrificed. If capital meanwhile retains senior claims, preferences, covenants, or exit rights, risk has not disappeared. It has been shifted.

That distinction between risk-bearing and risk-shifting is the heart of the moral analysis of risk premium. Risk-bearing says: I stand inside the uncertainty with you; if the enterprise fails, I too lose. Risk-shifting says: the uncertainty is real, but I have arranged the documents so that you, not I, absorb it. The first can justify participation in upside. The second cannot honestly invoke *periculum sortis* as though the capital were courageously exposed.

Subordination is one practical sign of risk-bearing. If capital is repaid only after workers, taxes, suppliers, essential operating needs, resilience reserves, and mission obligations are met, then the investor's return depends on true surplus. Such capital is more exposed to the enterprise's actual condition; it waits until the organization can pay without harming its own life. That does not automatically make every return just, but it gives the risk claim substance.

Seniority, by contrast, weakens the claim. Senior capital may still face some risk of nonpayment, especially in insolvency, but it is designed to be protected before others, and that design is morally different from loss absorption. A senior creditor who demands a large risk premium may be asking to be paid for a risk that others actually bear first. The more protected the capital, the more modest the risk-based surplus should be.

Collateral changes the moral picture in the same way. An investor with claims on essential assets, intellectual property, receivables, equipment, or founder guarantees has reduced its own risk by enlarging the borrower's vulnerability. This is not automatically

unjust (collateral may sometimes be what makes financing possible at all), but collateral cannot be ignored when *periculum sortis* is being assessed. A return justified by capital risk must be adjusted downward when the contract gives capital tools to recover value from the borrower's remaining life.

Shared downside is therefore more important than the language of risk. A true risk-sharing structure might reduce or suspend repayment when revenue falls. It might repay only from distributable surplus, include hardship provisions, avoid personal guarantees, subordinate itself to wages and reserves, cap its total return, and allow capital to lose principal if the enterprise genuinely fails. Such structures begin to look more like *societas*, or at least like a morally disciplined hybrid.

A risk premium also requires proportionality. Even where capital is genuinely at risk, not every return is justified: the premium must correspond to the degree, duration, and character of the risk actually borne. A small, diversified, senior, collateralized claim is not the same as an unsecured, subordinated, mission-locked, loss-absorbing investment, and a return model that ignores these differences becomes morally crude. The title of *periculum sortis* does not say, "risk exists, therefore any premium is licit." It says, "to the extent real capital risk is borne, compensation may be considered."

This has direct implications for venture capital. VC investors often do bear genuine risk at the portfolio level: many startups fail, capital can be lost, returns are uncertain. In that respect, venture capital is not simply ordinary usury. Yet it can still become extractive if it responds to risk by imposing structures that shift too much downside onto founders, workers, users, mission, or later investors, while preserving asymmetric upside for the fund. The presence of risk does not automatically purify the whole structure.

Liquidation preferences illustrate the danger of double-counting. A 1x non-participating preference may be defended as partial downside protection. A participating or multiple preference goes further, allowing investors to recover capital first and then share in the remaining upside. The stronger the preference, the more the investor is insulated before common holders receive anything, and when risk premium, preference, control rights, and exit pressure accumulate in one instrument, the investor may be compensated several times for the same uncertainty. This is the moral danger of double-counting risk.

Convertible notes and SAFEs create another ambiguity. They may begin as debt-like or contract-like claims and later convert into equity; before conversion they may include valuation caps, discounts, maturity dates, interest, or repayment rights, and after conversion they may become preferred equity. Such instruments can be useful, but they must be read morally as sequences of risk allocation. At each stage: who can lose? Who has priority? Who controls conversion? Who benefits from the uncertainty? Does the instrument become more partnership-like over time, or does it preserve creditor-like protection while acquiring equity-like upside?

Revenue-based financing is also mixed. If repayment rises and falls with revenue, and if total repayment is capped, the structure may be more patient than conventional debt. But if repayment begins too early, drains operating cash, ignores profitability, or continues regardless of resilience, it may still shift risk to the enterprise. Revenue is not the same as surplus: a company can have revenue and still lack the capacity to pay without harm. A morally serious structure asks not only whether repayment is variable, but whether it comes from true distributable surplus after life-sustaining obligations are met.

The same scrutiny applies to private credit and impact debt. These instruments often describe themselves as filling a financing gap, serving underserved markets, or supporting mission-driven borrowers, and they may indeed do so. But if they combine high rates, strict covenants, collateral, seniority, default penalties, and limited hardship flexibility, the

language of impact may cover a structure of extraction. The risk premium must be tested against actual loss absorption, not against marketing language.

In non-extractive finance, *periculum sortis* should be translated as loss absorption, not statistical decoration. It is not enough that a spreadsheet includes default probability, volatility, or downside scenarios. The question is what happens when the downside arrives. Does capital absorb loss, or does it enforce claims against the company? Does repayment pause, reduce, convert, subordinate, or disappear? Or does the borrower bear the shock while capital preserves its entitlement?

Here the analysis touches ergodicity. A fund may survive because losses are diversified across a portfolio, while an individual borrower may be ruined by one adverse path. The ensemble average may look acceptable to capital while the time-average experience of the enterprise is destructive. A moral risk premium therefore cannot be justified only from the investor's portfolio perspective; it must also consider the borrower's path through time. If the downside scenario destroys the enterprise while preserving capital's claim, the structure is not truly risk-sharing, whatever the portfolio model shows.

The moral question is path-sensitive. What happens in bad years? What happens after delayed revenue? What happens if a customer fails to pay? If the market shifts? If the founder becomes ill? If the mission requires slower growth? A risk-sharing structure adapts to preserve the life of the enterprise where possible; a risk-shifting structure accelerates, penalizes, seizes, or forces exit. The difference is not theoretical. It appears in the covenant, the waterfall, the default clause, and the boardroom.

A non-extractive risk premium should therefore satisfy several tests. Principal must be genuinely at risk. The investor must not be fully protected by collateral, guarantees, or seniority. Repayment should depend on true surplus, not merely gross revenue or calendar time. Return should be capped and proportionate. Downside should be shared rather than shifted. The structure should include grace, hardship, or restructuring mechanisms. Capital should not be able to force mission-destroying exits merely to recover liquidity. And risk should not be double-counted through simultaneous premiums, penalties, preferences, and fees.

None of this makes capital irrelevant or disposable. Investors who truly bear risk deserve moral recognition: they may enable work that would otherwise not happen, accept uncertainty for the sake of mission, and provide patient support when conventional finance will not. In such cases, return can be participation, not extraction. The tradition does not condemn the partner who shares the voyage. It condemns the creditor who stays safely on shore while charging the sailor for storms. The sea loan made the same point in contract form: in maritime finance, repayment could depend on the safe arrival of the ship. The risk was not a metaphor; the capital could be lost with the voyage. That structure differs morally from a loan on which repayment remains due whether the ship arrives, sinks, burns, or is captured, and modern contracts must be read in the same way. Does capital sail with the enterprise, or does it merely finance the ship while holding a claim against the sailor's house?

Periculum sortis therefore does not justify the modern risk premium automatically; it disciplines it. It asks whether the claimed risk is real, borne by capital, proportionately priced, and not already shifted elsewhere; whether upside is paired with downside; whether the risk language corresponds to actual legal and economic vulnerability; whether capital can lose in the same world in which it seeks to gain.

The old title remains powerful because modern finance is saturated with risk talk but often evasive about loss. Everyone speaks of risk; fewer ask who bleeds. A moral economy must ask precisely that. When things go wrong, who absorbs the wound? If the answer is always the borrower, the worker, the founder, the user, the community, or the mission,

then the investor's risk premium is morally suspect. If capital truly shares the wound, then a proportionate return may be just.

In the end, *periculum sortis* teaches that risk is not a spreadsheet variable only. It is a moral relation: to bear risk is to accept vulnerability with another, and to charge for risk while shifting vulnerability away from oneself is falsehood. Non-extractive capital must therefore make risk-bearing visible in the documents, the accounting, the waterfall, the governance, and the downside scenario. Only then can a risk premium become compensation rather than extraction.

PART XII

Toward Non-Extractive Finance

A Scholastic Audit of a Modern Financing Contract

39.1 First Question: What Is the Contract Really?

A scholastic audit of a modern financing contract begins before the numbers. Before the interest rate, the valuation cap, the liquidation preference, the maturity date, the management fee, or the projected return, there is a more basic question: what is this contract really? Not what does it call itself. Not how is it described in the pitch deck. Not which legal template was used. Morally, structurally, and economically: what kind of relationship does this instrument create?

This question is necessary because contracts can misname themselves. A transaction may be called an investment while functioning like a loan. It may be called a partnership while granting one party creditor-like protection, a service fee while operating as disguised yield, a revenue share while behaving like senior debt, or impact finance while placing the mission beneath capital's repayment claim. Legal form matters, but moral theology cannot stop at form. It must ask what the contract does.

The scholastic tradition developed this instinct through the classification of contracts. A *mutuum* was not the same as *commodatum*, *depositum*, *locatio*, *societas*, exchange, insurance, or sale. Each contract had a different moral anatomy because each distributed ownership, use, risk, and return differently, and the usury question depended upon this anatomy. Classification was not legal pedantry. It was moral diagnosis. If the transaction was truly a loan for consumption, demanding surplus from the loan itself was suspect. If it was truly a partnership, profit-sharing could be justified by shared risk. If it was truly a sale, the just price tradition applied. If it was truly compensation for loss, the question became restitution.

The same is true today. A modern contract may be a loan, sale, partnership, investment, insurance arrangement, exchange contract, service contract, license, lease, guarantee, or hybrid. It may also be a disguised *mutuum*: a transaction that uses another form while preserving the lender's basic claim to repayment with surplus. The first task is therefore to identify both the legal form and the moral form. Sometimes they align. Often they do not.

A loan is the easiest starting point. If capital is transferred to the borrower, ownership of the money passes, and the borrower owes repayment of principal regardless of outcome, the structure resembles *mutuum*. Additional return then requires serious scrutiny. Is the surplus tied to actual loss, administrative expense, culpable delay, concrete foregone gain, or genuine risk of capital? Or is it simply charged because the borrower had use of money for a time? Fixed repayment, maturity dates, interest, default interest, collateral, personal guarantees, and senior enforcement rights all strengthen the resemblance to *mutuum*.

A sale raises different questions. If one party sells an asset, product, claim, receivable, license, or future revenue stream, the issue is not automatically usury; the moral analysis shifts toward just price, disclosure, defects, bargaining power, and whether the sale is

genuine or a loan in disguise. A discounted receivable, for example, might be a true sale of an uncertain claim. But if the seller remains obligated to make the buyer whole regardless of whether the receivable pays, the transaction begins to look less like sale and more like secured lending. The question is not the word “sale,” but where ownership and risk actually go.

A partnership or investment resembles *societas* only if the investor truly participates in the fortunes of the enterprise. The investor must be able to lose. Return should arise from shared success, not from guaranteed repayment, and governance rights should support the common good of the venture, not merely secure investor exit. If the instrument gives capital upside in success but creditor-like protection in failure, the partnership label becomes questionable. The audit must ask whether this is participation or extraction through ownership form.

Insurance is another distinct form. A party may receive payment for assuming a defined risk, which is not the same as lending money at interest. But insurance-like structures can also conceal financing. If a fee is charged for risk transfer, the risk must actually be transferred, defined, priced proportionately, and not double-counted elsewhere. A “capital protection fee,” guarantee fee, or risk charge may be legitimate in some contexts, but it must be examined: who is insuring whom? What risk is transferred? Who pays when the bad event occurs? Is the fee compensation for risk-bearing, or simply another layer of yield?

Exchange contracts raise still another set of questions. Medieval theologians paid close attention to bills of exchange because they could be legitimate foreign exchange transactions or disguised loans. The modern analogues are many: currency swaps, forward contracts, token structures, convertible instruments, synthetic claims, factoring, and complex derivatives. The moral question remains: is there a genuine exchange of different goods, currencies, times, places, or risks? Or is the exchange form being used to extract a return from a loan while avoiding the name?

Hybrids require particular care. Many modern instruments intentionally combine features of debt and equity. Convertible notes, SAFEs, revenue-based financing, redeemable preference shares, venture debt with warrants, profit-participating loans, recoverable grants, and capped-return instruments all sit between categories. Their hybrid nature is not automatically immoral. It may even be morally creative. But hybrids must be audited clause by clause, because each clause may shift the moral form. One provision may share risk; another may guarantee repayment. One clause may cap return; another may accelerate default. One term may support mission; another may create exit pressure. The whole instrument must be read as a living structure.

A disguised *mutuum* is the central danger. This occurs when the transaction avoids the appearance of an interest-bearing loan while preserving its substance: capital is advanced, repayment is expected or enforceable, principal is protected, and surplus is demanded. The disguise may take many forms: a sale with full recourse, a lease that functions as financing, a service fee calculated as return on capital, a penalty expected from the beginning, a revenue share with a fixed repayment multiple and aggressive covenants, or a preferred equity instrument with redemption rights and liquidation preferences so strong that it behaves like debt. In each case, the audit must ask whether the lender has simply changed costumes.

This first question therefore requires looking at the transaction under stress. Contracts reveal their true nature when things go badly. If the company succeeds, many instruments look friendly: payments are made, investors are satisfied, founders retain hope, and mission language remains intact. But what happens when revenue drops, repayment is late, the project fails, the company needs more time, or a sale is proposed? Does capital absorb

loss? Does repayment pause? Does the investor share the pain? Or do default rights, collateral, preferences, guarantees, and control provisions suddenly appear? The downside scenario often reveals the real contract.

The audit should also ask who has recourse. If the investor can pursue the company's assets, founder guarantees, pledged shares, receivables, intellectual property, bank accounts, or unrelated assets, the instrument has creditor-like force. If the investor's only claim is to distributions from genuine surplus, the structure is more partnership-like. If the investor can force redemption, sale, conversion, or control changes, the structure may be equity in form but debt-like in moral pressure. Recourse is one of the clearest signs of moral form.

The source of repayment matters as well. Is repayment due from gross revenue, net income, free cash flow, distributable surplus, exit proceeds, liquidation value, or general assets? Repayment from gross revenue can burden a company even when it is not profitable. Repayment from free cash flow after wages, taxes, operating needs, reserves, and mission commitments is more patient. Repayment from exit proceeds may create pressure to sell. Repayment from general assets resembles debt. Repayment only from true surplus resembles participation.

The audit must also examine control. Who can decide when repayment happens? Who can declare default? Who can waive breach? Who can force restructuring? Who can block mission-protective decisions? Who can require sale? Who can change management? A contract may claim to be non-extractive economically while embedding domination in governance. The old categories of loan and partnership must therefore be supplemented by a modern question: who governs the future of the enterprise?

To ask what the contract really is, then, is to ask a series of concrete questions. What is transferred? Who owns it after transfer? What must be returned? Is repayment fixed or contingent? Is principal guaranteed or loss-absorbing? What happens if the project fails? Who bears downside? Who receives upside? What rights arise on default? What assets are reachable? Can the investor force liquidity? Does the contract protect mission, or protect capital from mission?

This first question must be answered before invoking any extrinsic title. One cannot responsibly say that a payment is justified by *damnum emergens*, *lucrum cessans*, *periculum sortis*, penalty, labor, or expense until the underlying contract is understood. The same fee may have different meaning in different structures. A return on loss-absorbing capital is not the same as interest on guaranteed debt. A penalty in a realistic repayment structure is not the same as a penalty in a trap. A service fee for actual stewardship work is not the same as a disguised management carry. Classification comes first.

For non-extractive finance, this step is liberating as well as critical, because it shows that moral design is possible. We are not trapped between conventional debt and conventional venture capital. We can create instruments that share risk, cap returns, protect mission, subordinate capital to resilience, repay from surplus, avoid personal guarantees, and prevent forced exit. But such instruments must be honest about what they are. A non-extractive contract should not rely on ambiguity. It should make its moral form visible.

The first question of a scholastic audit is therefore the question of truth. What is this contract really? Does it lend, sell, partner, insure, exchange, serve, govern, or disguise? Does it create solidarity or domination? Does it place capital inside the risk of the enterprise or above it? Does it receive from life's fruit or claim against life's roots? Until this question is answered, no calculation of return can be morally trusted.

39.2 Second Question: Who Owns the Capital?

After asking what the contract really is, the second question is: who owns the capital? This question lies at the heart of the classical distinction between *mutuum* and *societas*, and it is not merely a technical question of title. It determines who has use, who bears risk, who may claim return, and what kind of surplus can be morally justified. Ownership tells us whether capital has been transferred, entrusted, shared, pledged, stewarded, or retained. Without answering this question, the moral form of the transaction remains hidden.

In the classical *mutuum*, ownership passes to the borrower. The lender gives money, grain, wine, oil, or another fungible good. The borrower becomes owner of the thing received and owes back the *tantundem*, an equivalent amount of the same kind and quality. This transfer of ownership is why the lender may not charge for the use of the thing as though it remained his. The lender no longer owns the specific money. The borrower does. What the lender owns is a claim to repayment, not the money's use.

This is the source of the old usury problem. If the lender has transferred ownership, then demanding additional payment merely because the borrower uses the money appears to sell what the lender no longer owns. The lender can be repaid principal. The lender can be compensated for real external burdens. But the lender cannot simply say, "This money remained mine in such a way that you must pay me rent for using it." In a true *mutuum*, that claim misunderstands the ownership structure.

Modern debt often preserves this pattern. A borrower receives funds and uses them in the business. The lender no longer owns the particular funds advanced; what remains is a receivable, a note, a contractual claim, perhaps a security interest, perhaps covenants, perhaps recourse. But the borrower owns and deploys the money. This means that any surplus demanded from the borrower must be tested carefully. Is it interest from the loan itself, or is it tied to some separate title such as loss, delay, expense, foregone concrete gain, or genuine risk?

By contrast, in partnership-like structures, ownership may be retained, shared, or transformed into an equity interest. The investor does not simply hand over money and stand outside the enterprise with a fixed claim. The investor becomes a participant in the venture, with capital placed at risk within the common undertaking. If the enterprise fails, the investor may lose. If it succeeds, the investor may receive profit. Here surplus can be more plausibly justified, because it arises from participation in a shared enterprise rather than from the use of money by another.

But modern arrangements complicate the distinction. Ownership may be formally transferred while control remains with the lender, or formally shared while economic priority belongs to the investor, or a contract may describe the capital as investment while preserving repayment rights that resemble debt. The moral question therefore cannot be answered by asking only, "Who is the legal owner?" We must also ask who has practical control, who has economic priority, and who bears the consequences of failure.

The first possibility is ownership transferred. This is the ordinary loan case. The borrower receives money and becomes obligated to repay. The lender has no continuing ownership interest in the money or the enterprise, unless collateral or conversion rights create one. In this case, surplus is morally suspect unless justified by an extrinsic title. The lender cannot appeal vaguely to ownership of capital, because the capital has been transferred. The lender owns a claim, and the moral quality of that claim must be examined.

The second possibility is ownership retained. This may occur in leases, licenses, deposits, custody arrangements, or certain investment structures. If the owner retains ownership of the asset and another party pays for its use, the transaction may not be a *mutuum*. Renting a building, leasing equipment, licensing software, or using a non-consumable as-

set differs from borrowing consumable money. The owner still owns the thing and may charge for its use, subject to just price and fairness. But if the supposedly retained asset is economically consumed by the user and only an equivalent must be returned, the arrangement may drift back toward *mutuum* in substance.

The third possibility is a conditional claim, common in modern finance. The investor may not own the company outright, and the borrower may not owe fixed repayment in all circumstances, but the investor may hold a claim that converts, redeems, accelerates, or participates under certain conditions. Convertible notes, SAFEs, redeemable preference shares, revenue-based instruments, warrants, and structured repayment rights all create conditional claims. These must be examined carefully, because conditionality can either share risk or disguise control. A claim that converts into true risk-bearing equity is different from a claim that preserves debt-like recovery while adding equity upside.

The fourth possibility is trust or stewardship structure. Here ownership is deliberately separated from ordinary private dominion. A foundation, steward-owned company, cooperative, trust, golden-share holder, or mission-locked entity may hold rights not for personal extraction but for purpose protection. In such structures, ownership is not abolished but redirected. Control may be held in trust for mission. Economic rights may be capped or limited. Exit may be restricted. The question becomes not simply “who owns?” but “for whom and for what is ownership exercised?”

This stewardship question is essential for non-extractive finance. Modern capitalism often treats ownership as a bundle of rights oriented toward value extraction: control, sale, income, appreciation, exclusion, and liquidation. Stewardship treats ownership as responsibility. The steward may hold rights, but those rights are ordered toward the good of the enterprise, workers, users, community, mission, and creation. Ownership becomes vocational rather than absolute. The owner is not merely the one who may take, but the one who must answer for how the asset serves life.

A scholastic audit should therefore distinguish between legal ownership, economic ownership, and moral ownership. Legal ownership asks who holds title or contractual rights. Economic ownership asks who receives the benefits and bears the burdens. Moral ownership asks who is responsible for the good served by the asset. These may diverge. A shareholder may legally own shares but shift downside to workers. A creditor may not own the company but exercise decisive control through covenants. A foundation may own voting rights but hold them only to protect mission. A founder may control the company but be morally accountable to a community that depends on it.

The question of ownership also affects risk. If the borrower owns the capital and owes repayment regardless of outcome, the borrower bears the central risk. If the investor owns an equity stake that can be wiped out, the investor bears more risk. If a steward entity owns control rights but not economic upside, its risk is not primarily financial but fiduciary and moral. If a creditor has collateral over essential assets, the creditor may not own them initially but can become owner through default. Ownership can therefore shift over time, especially under stress.

This is why the audit must ask what happens in failure. Ownership in success may look generous, but ownership in failure reveals the truth. If the company fails, who owns the remaining assets? Who can seize the intellectual property? Who can force sale? Who controls the bank account? Who has rights to receivables? Who can convert debt into equity? Who can remove management? Who can block mission-preserving decisions? The downside scenario shows whether ownership is serving the enterprise or waiting to capture it.

Collateral is a particularly important ownership-adjacent device. A lender may say, truthfully, that it does not own the borrower’s assets. But a security interest gives the

lender conditional power over those assets. If the borrower defaults, the lender may seize, sell, or control them. This means that collateral must be included in the moral analysis of ownership. It can convert a repayment claim into potential domination over the borrower's productive life. When the collateral is essential (equipment, receivables, code, intellectual property, land, or housing), the creditor's conditional ownership can become existentially powerful.

Personal guarantees intensify this problem. The lender may not own the founder's home, savings, or future income, but the guarantee creates a pathway from business failure to personal liability. The founder's household becomes morally entangled in the capital structure. This resembles the ancient concern that debt can reach beyond contract into life itself. A non-extractive audit should therefore ask whether personal guarantees are truly necessary, proportionate, limited, and consistent with the mission of the financing.

Ownership also shapes upside. Who has the right to future surplus? If investors own uncapped equity, they may receive unlimited appreciation even after their contribution has been amply rewarded. If workers create value but hold no economic rights, ownership directs fruit away from labor. If users, communities, or open-source ecosystems generate network value but have no claim, ownership may extract from a commons. If steward ownership caps investor return and protects mission, the surplus can be redirected toward resilience, reinvestment, wages, community, or public benefit. The moral question is not only who can lose, but who may receive the fruit.

This question becomes crucial in digital infrastructure. Code, data, platforms, protocols, security tools, and open-source ecosystems often depend on contributions from many parties. Legal ownership may sit in a company, foundation, or investor-backed entity, but moral ownership may be more distributed: users, maintainers, communities, public institutions, and future generations may all have legitimate interests. A financing contract that gives capital control over such infrastructure may create a mismatch between legal ownership and moral responsibility. The audit must notice this mismatch.

The same applies to mission-driven companies. A company may exist to serve ecological transition, care work, digital sovereignty, local resilience, education, health, or economic justice. If ownership rights allow capital to sell, redirect, strip, or financialize the company against that mission, then legal ownership has become morally disordered. A mission lock, asset lock, steward share, cooperative membership, or foundation ownership can help align ownership with purpose. But these structures must be real, enforceable, and protected from investor override.

The question "who owns the capital?" therefore leads quickly to "what is ownership for?" In extractive finance, ownership is often for exit, appreciation, control, and priority. In non-extractive finance, ownership should be for stewardship, accountability, mission protection, and right distribution of surplus. This does not eliminate economic participation: investors may still receive a fair, capped, proportionate return, founders may still be rewarded, and workers may still build wealth. But ownership is not allowed to become an unlimited claim upon the future.

The audit should make ownership visible in a simple map. Before the transaction: who owns the money, assets, shares, intellectual property, voting rights, and mission rights? During the transaction: who controls decisions, cash flow, distributions, default rights, and information? After success: who receives surplus, appreciation, repayment, or exit proceeds? After failure: who absorbs loss, seizes assets, keeps control, or walks away? This ownership map reveals the moral geometry of the contract.

Only after this map is drawn can the extrinsic titles be applied responsibly. If the lender no longer owns the money, payment for use is suspect. If the investor retains ownership and bears loss, profit-sharing may be licit. If capital is held in trust for mission, economic

rights must be judged by stewardship. If collateral gives the creditor conditional control, risk claims must be reduced accordingly. If ownership rights allow forced exit, the partnership claim must be questioned.

The second question of the scholastic audit is therefore not a narrow legal inquiry. It is a theological inquiry into dominion, stewardship, and responsibility. Who owns the capital, the claim, the upside, the downside, control, the mission? And perhaps most importantly: does ownership serve life, or does life serve ownership?

A non-extractive contract should be able to answer these questions without evasion. It should show that ownership has been structured to protect the enterprise rather than capture it. It should make clear when capital is transferred, when it remains at risk, when repayment is owed, when return is capped, when mission rights are protected, and when investors must accept loss. The more honest the ownership structure, the easier it becomes to distinguish compensation from extraction.

In the end, ownership is not merely the background of finance. It is one of finance's central moral facts, and the old *mutuum* doctrine saw this clearly: one cannot charge rent for what one has ceased to own. Modern non-extractive finance must recover the same clarity. Capital may be lent, invested, entrusted, shared, stewarded, or placed at risk. But each form carries different moral consequences. To know what surplus is just, we must first know who owns what, and for whom.

39.3 Third Question: Who Bears Risk?

The third question in a scholastic audit is: who bears risk? This question cuts through much of the ambiguity in modern finance. Every contract speaks, in one way or another, about risk. Some contracts name it explicitly: risk premium, default risk, downside protection, liquidation preference, collateral, guarantee, volatility, uncertainty, portfolio loss. Others distribute risk without announcing it, through repayment schedules, covenants, seniority, control rights, and default clauses. But every financing structure answers the question, even when it does not state the answer plainly: when things go badly, who suffers?

This question is central because *periculum sortis* can justify surplus only where risk to principal is real. A lender or investor may not simply invoke risk as a general atmosphere. The risk must land somewhere. It must be borne by someone. The moral question is not whether the transaction is uncertain in the abstract, but whether capital itself is genuinely exposed to loss, or whether the contract has arranged for founders, workers, borrowers, suppliers, communities, users, public institutions, or the mission to absorb the downside instead.

Modern finance often speaks from the perspective of capital. From that perspective, risk means the possibility that expected return will not materialize, that repayment may be delayed, that portfolio performance may disappoint, or that capital may be impaired. These are real concerns. But a Christian moral audit cannot look only from the investor's side. It must ask how risk is experienced by all parties inside the transaction. A five percent loss in a diversified fund is not the same as a founder losing her company, a worker losing wages, a community losing essential service, or an open-source ecosystem losing core infrastructure. The same event can be tolerable for capital and ruinous for the borrower.

The audit must therefore distinguish between statistical risk and existential risk. Statistical risk appears in models. It can be diversified, priced, discounted, and averaged. Existential risk appears in lives. It can mean insolvency, job loss, burnout, loss of housing, loss of vocation, or collapse of a community-serving enterprise. A non-extractive analysis

must consider both. It is not enough to say that the investor bore risk because a spreadsheet showed default probability. One must ask what happens to each party when the adverse scenario arrives.

The first risk-bearer may be the founder or borrower. This happens when repayment remains due regardless of outcome, when personal guarantees are required, when default triggers severe penalties, or when collateral reaches essential assets. The founder may bear not only business risk but personal risk: savings, home, reputation, future income, and psychological burden. In such cases, capital may appear to be “at risk,” but much of the risk has been pushed downward into the borrower’s life. This is morally significant. A contract that claims to finance entrepreneurship may in fact place the entrepreneur under intensified vulnerability.

The second risk-bearer may be the worker. Workers often stand behind capital in the real economy, even if not always in the formal documents. When debt service, investor repayment, or exit pressure becomes urgent, wages may stagnate, jobs may be cut, benefits may be reduced, workloads may increase, and working conditions may deteriorate. Workers may not have signed the financing contract, but they live inside its consequences. A scholastic audit should therefore ask whether the capital structure protects work or treats labor as the shock absorber for investor claims.

The third risk-bearer may be the mission. This is especially important in mission-driven companies, steward-owned firms, social enterprises, open-source projects, and public-interest technology. A contract may not destroy the company financially, but it may force mission drift. Repayment pressure may push the enterprise toward more profitable but less faithful customers. Exit rights may force sale to an acquirer with incompatible goals. Growth targets may redirect attention from depth to scale. Governance rights may subordinate purpose to liquidity. In such cases, the mission bears risk even if the investor bears some financial uncertainty.

The fourth risk-bearer may be the community or users. A platform, cybersecurity tool, healthcare provider, school, energy cooperative, food system, or civic technology project may serve people beyond its shareholders. If financing pressures lead to higher prices, reduced access, lower quality, data extraction, surveillance, layoffs, sale, closure, or loss of trust, the affected community bears part of the downside. Conventional finance often treats these effects as externalities. Moral theology cannot. If the community is exposed while capital is protected, the contract’s risk language is incomplete.

The fifth risk-bearer may be the public sector. When private capital finances essential infrastructure but exits, fails, extracts, or underinvests, public institutions may have to rescue, regulate, repair, or replace what remains. This is common in digital infrastructure, energy, housing, care, transport, and financial systems. Capital may privatize upside while socializing downside. A scholastic audit should therefore ask whether the financing structure creates hidden public risk. If so, the investor’s claim to private risk premium must be morally qualified.

The sixth risk-bearer may be the investor. This is real and should not be dismissed. An investor who provides subordinated, unsecured, patient, capped, loss-absorbing capital may genuinely bear *periculum sortis*. If the enterprise fails, capital is lost. If revenue is delayed, repayment waits. If surplus never arises, return never comes. Such capital stands much closer to partnership than to domination. It may justly receive a proportionate return because it has accepted vulnerability within the shared undertaking.

The audit therefore asks not simply, “Is the investor taking risk?” but “What kind of risk, compared with whom, and under what contractual protections?” An investor can bear some risk while shifting deeper risk to others. A venture investor may lose money in a failed company, but may also impose exit pressure across a portfolio that reshapes

the lives of founders and workers. A lender may face default probability, but may hold collateral that allows recovery by stripping the borrower's assets. A fund may have patient capital, but may still require repayment before the company has built resilience. Risk is rarely all-or-nothing. It is distributed.

This is why the documents must be read under stress. In good times, everyone appears aligned. Investors receive updates, founders build, workers are paid, customers are served, and mission language flourishes. But the moral allocation of risk becomes visible when things go wrong. What happens if revenue falls by half? What happens if a major customer does not pay? What happens if the company needs another year? What happens if the founder becomes ill? What happens if the market turns against the product? What happens if mission fidelity requires slower growth? The answer to these questions reveals who really bears risk.

Repayment obligations are one of the clearest indicators. If repayment is fixed by calendar time regardless of profitability, risk is shifted to the borrower. If repayment is linked to gross revenue, some flexibility exists, but the company may still be forced to pay while unprofitable. If repayment is linked to free cash flow after wages, taxes, operating needs, reserves, and mission commitments, capital bears more risk. If repayment occurs only from distributable surplus, the structure moves closer to participation. The source of repayment tells us where downside lands.

Seniority also reveals risk allocation. Senior capital is protected before subordinated capital, founders, and common equity. This may reduce the cost of capital, but it also means others absorb losses first. Subordinated capital, by contrast, waits. It stands behind more urgent claims. It accepts that workers, taxes, suppliers, operating needs, and resilience may come before investor repayment. Subordination is not automatically virtuous, but it is one sign that capital is willing to bear risk rather than merely price it.

Collateral and guarantees must be scrutinized carefully. A lender who holds collateral may still face risk, but the risk is mitigated by the right to seize assets. A personal guarantee shifts enterprise risk into the founder's private life. A guarantee from a foundation, parent company, or public body shifts risk to another balance sheet. Insurance may shift risk to an insurer. Each risk-transfer mechanism may be legitimate, but each weakens the claim that the original capital provider bears full *periculum sortis*. One cannot morally charge as though exposed while legally arranging to be protected.

Covenants and control rights also distribute risk. Financial covenants may allow a lender to intervene before default. Information rights may reduce uncertainty. Veto rights may prevent reckless action. These protections can be prudent. But they can also transfer risk by giving capital power to force decisions that protect repayment at the expense of mission or workers. If capital can control the company under stress, then capital is not simply bearing risk. It is governing risk, often in its own favor.

Exit rights are another major site of risk allocation. An investor who can force sale, redemption, IPO, or liquidity may shift time risk onto the enterprise. The company may need patient development, but capital may need realization. If the investor's liquidity timetable governs the enterprise's future, the mission bears risk. A truly patient investor accepts that liquidity may come only when compatible with the company's life. A non-extractive structure should therefore limit forced exit rights, especially in mission-critical enterprises.

The audit should also ask whether risk is double-counted. A contract may charge interest for risk, require collateral to reduce risk, impose personal guarantees to reduce risk further, add default penalties when risk materializes, require legal cost reimbursement, and include warrants or upside participation. Each item may have a plausible rationale. Together, they may compensate capital repeatedly for the same uncertainty. Double-

counting is a sign that risk language has become extraction. The burden is counted many times, while the borrower bears it once in life.

A morally serious risk analysis must also consider scale and resilience. A small borrower and a large investor do not experience risk symmetrically. A foundation with diversified assets may absorb a failed investment. A founder may not absorb a failed company. A fund may survive one write-off. A community may not survive the loss of essential infrastructure. Proportionality must therefore consider the relative capacity of each party to bear loss. Justice is not blind to fragility.

This does not mean that the more vulnerable party can never bear risk. Entrepreneurship, trade, lending, investment, and mission all involve uncertainty. The goal is not to eliminate risk from life. The goal is to distribute risk truthfully and justly. Founders may bear entrepreneurial risk. Investors may bear capital risk. Workers may bear some organizational uncertainty, though not unjust precarity. Communities may accept change, but not abandonment. A good contract does not pretend risk can disappear. It orders risk according to vocation, capacity, and justice.

For non-extractive capital, this means designing for shared downside. Repayment should flex with actual capacity. Capital should be subordinated where appropriate. Returns should come from surplus rather than depletion. Personal guarantees should be avoided or strictly limited. Collateral should not strip the enterprise of its life. Grace periods and hardship clauses should be real. Governance should protect mission in bad times, not only in good times. The investor should be able to lose in the same world in which the investor hopes to receive.

Theologically, the question “who bears risk?” is a question about solidarity. To bear risk with another is to enter some form of shared fate. It does not require equality in every respect, but it does require genuine vulnerability. The investor who says, “I will benefit if you flourish, and I will also suffer if you fail,” stands in a different moral position from the creditor who says, “I will benefit if you flourish, and I will enforce if you fail.” The first approaches partnership. The second approaches domination when surplus is demanded.

This question also reveals whether capital is courageous or merely protected. Modern finance often honors risk-takers, but the honor is deserved only where the risk is real. There is no moral courage in charging a risk premium while standing first in line, holding collateral, demanding guarantees, and shifting loss to others. Courage requires exposure. *Periculum sortis* is not a decorative label. It is a claim that capital can be wounded.

The third question of the scholastic audit therefore becomes a map of downside. In each scenario (ordinary operation, delay, underperformance, default, insolvency, sale, mission conflict, and failure), who loses what? Who waits? Who is paid? Who decides? Who can enforce? Who can walk away? Who cannot? This map reveals whether the contract shares risk or merely prices risk from the safest available position.

Only after this map is drawn can the risk premium be morally assessed. If capital truly bears principal risk, receives only from surplus, waits behind more urgent human and mission claims, and cannot force extraction under stress, then a proportionate return may be justified. If capital is protected while others absorb the wound, then the appeal to risk is morally weak. The old title of *periculum sortis* demands more than uncertainty. It demands real participation in loss.

In the end, “who bears risk?” may be the most revealing question in the whole audit. It shows whether finance is structured as solidarity or hierarchy. It shows whether capital serves life by standing with the enterprise, or governs life by standing above it. It shows whether surplus is compensation for vulnerability accepted, or reward for vulnerability imposed on others. A non-extractive contract must be able to answer this question honestly, not only in the upside case, but in the valley where risk becomes real.

39.4 Fourth Question: What Justifies Surplus?

After identifying the contract, mapping ownership, and tracing risk, the fourth question is: what justifies surplus? This is the central question of the extrinsic-title tradition. The issue is not simply whether more than principal is paid. The issue is why more than principal is paid. What moral title supports the surplus? What burden does it correspond to? What does the payment repair, reimburse, compensate, share, or sustain? If the answer is vague, the contract has not yet been morally understood.

Modern finance often treats surplus as self-evident. Capital expects return. Loans carry interest. Equity expects upside. Funds have target rates. Investors require compensation for risk, illiquidity, time, inflation, opportunity cost, administration, and market norms. These explanations may be financially familiar, but the scholastic audit refuses to accept them as a bundle. It asks each claim to separate itself from the others and name its moral basis. Is this payment for loss? Delay? Foregone gain? Risk? Labor? Expense? Or bargaining power?

This separation matters because surplus can be overdetermined. A single contract may include interest, default interest, arrangement fees, monitoring fees, legal cost reimbursement, warrants, liquidation preferences, redemption rights, penalties, collateral, and governance rights. Each component may be justified by a different story. But unless these stories are carefully distinguished, the same burden may be charged many times. Risk may be priced in the interest rate, reduced through collateral, compensated through warrants, protected through covenants, and penalized again on default. The result is not moral precision, but cumulative extraction.

The first possible justification is loss. This is the logic of *damnum emergens*. If the lender or investor suffers an actual loss caused by the transaction or by the borrower's wrongful delay, compensation may be just. Legal expenses, collection costs, emergency borrowing, administrative costs, damaged collateral, or liquidity harm may fall into this category when they are real, documented, causally connected, and proportionate. The surplus is justified not because capital deserves growth, but because equality has been disturbed and must be repaired.

But loss must be actual. It cannot be merely notional, inflated, anticipated in a vague way, or invented after the fact. A lender may not label ordinary overhead as borrower-caused damage without evidence. A fund may not convert its general operating model into a damage claim against each enterprise. A contract may not impose liquidated damages so large that they cease to resemble any plausible harm. The moral test is restorative: does this payment make whole a real loss, or does it create a profit center under the name of loss?

The second possible justification is delay. This is the logic of *poena conventionalis* or *morae poena*. A borrower has failed to repay on time, missed an obligation, or breached a covenant. A penalty may be justified if the delay is culpable, the due date was realistic, the penalty is proportionate, and the lender genuinely prefers timely repayment. In this case, the surplus is not payment for the original loan, but a response to disorder introduced by default.

Yet delay is one of the easiest titles to abuse. If the repayment schedule is unrealistic, default triggers are broad, cure periods are short, or penalties are excessive, the contract may engineer the very delay it claims to punish. A lender who models default charges as expected income is not merely protecting against harm. The lender is monetizing failure. Therefore the question is not only whether delay occurred, but whether the structure made delay likely and profitable.

The third possible justification is foregone profit. This is the logic of *lucrum cessans*.

The lender claims that the loan prevented a concrete gain that would otherwise have been obtained. This title is more dangerous than actual loss because it concerns a future that did not happen. To be morally serious, the foregone gain must be concrete, intended, licit, reasonably certain, causally prevented by the loan, and proportionately valued. It cannot be a general appeal to the fact that money might always have earned something somewhere.

This is where modern opportunity cost must be disciplined. A fund may say that capital could have earned a market return elsewhere. But which market? Which investment? Was the alternative morally licit? Was the capital actually intended for that use? Was the gain reasonably certain? Or is the lender simply importing a benchmark and demanding that the borrower compensate capital for all imagined alternatives? *Lucrum cessans* may justify surplus in narrow cases. It cannot justify the universal metaphysics of money-as-growth.

The fourth possible justification is risk. This is the logic of *periculum sortis*. If principal is genuinely exposed to loss, the investor may have a claim to proportionate participation in upside. This is especially plausible where capital is subordinated, unsecured, patient, capped, loss-absorbing, and repayable only from true surplus. The surplus is justified by vulnerability accepted. The investor has entered the uncertainty of the enterprise rather than standing above it.

But risk must be real. A risk premium is morally weak if repayment is guaranteed, collateralized, senior, insured, personally guaranteed, or enforceable against unrelated assets. It is also weakened when downside is shifted to founders, workers, suppliers, users, communities, public institutions, or the mission. The question is not whether risk exists somewhere in the system. The question is whether the party receiving the surplus bears the risk for which the surplus is charged.

The fifth possible justification is labor. This is the logic of *stipendium laboris*. Finance often requires real work: due diligence, mentoring, governance, accounting, reporting, structuring, stewardship, legal review, portfolio support, conflict mediation, and administration. Where this labor is necessary and actually performed, compensation may be justified. The Monti di Pietà depended on this logic. Charitable lending could not function without people to manage pledges, accounts, buildings, records, and operations.

But labor compensation too can become extraction. Management fees may detach from actual work. Monitoring fees may become routine yield. Advisory fees may be charged whether advice is useful or not. Fund managers may be paid comfortably while the enterprises they serve remain fragile. The moral test is whether the labor is real, necessary, proportionate, transparent, and ordered toward service. A fee for stewardship must actually steward.

The sixth possible justification is expense. This is related to labor and *damnum emergens*, but not identical. A financing structure may involve legal costs, audit costs, accounting systems, regulatory compliance, bank fees, transaction costs, reporting tools, insurance, governance infrastructure, or administrative overhead. These may be reimbursed when they are necessary, reasonable, and tied to the mission of the financing. Without cost recovery, non-extractive institutions may collapse, leaving borrowers to predatory alternatives.

Yet expense claims must be scrutinized, because institutions easily rationalize their own growth. What begins as necessary administration can become bureaucratic self-preservation. Every professional service, consultant, platform, reporting burden, and internal process may be described as necessary. The audit must ask: necessary for what? For serving the borrower? For satisfying investors? For regulatory compliance? For institutional prestige? For managerial convenience? Expense reimbursement is licit only

when the expense is real, proportionate, and properly allocated.

The seventh possible justification is bargaining power. This is not a legitimate extrinsic title, but it is often the hidden reason surplus exists. The borrower pays because the lender can demand it. The founder accepts terms because no better capital is available. The community agrees because the infrastructure is needed. The entrepreneur signs because time is short. The contract is “market standard” because the market is structured by capital’s preferences. Bargaining power can explain surplus sociologically, but it cannot justify it morally.

This distinction is crucial. Much of modern finance confuses enforceability with justice. If a term can be negotiated, signed, and enforced, it is treated as legitimate. But scholastic moral theology does not accept this shortcut. A price may be agreed and still unjust. A borrower may consent and still be exploited. A contract may be legal and still extractive. Bargaining power tells us who had leverage. It does not tell us whether the surplus corresponds to a real burden.

The audit should therefore require every surplus component to identify its title. Interest: what does it compensate? Default interest: what harm does it address? Arrangement fee: what cost or labor does it reimburse? Monitoring fee: what work is performed? Liquidation preference: what risk does it protect against, and is that risk already priced elsewhere? Warrant coverage: what uncertainty does it compensate? Redemption premium: what burden justifies it? Legal cost reimbursement: are the costs actual and reasonable? Management fee: what stewardship is provided? Carry: what risk or value creation supports it?

This exercise often reveals moral confusion. Some charges have no title beyond convention. Some charges duplicate others. Some charges remain after their justification has disappeared. Some charges are calculated as percentages of capital when the underlying burden is not percentage-based. Some charges are imposed automatically without regard to actual harm. Some charges are justified by risk even though the contract protects capital from loss. The audit does not assume bad faith. It asks for truthfulness.

A non-extractive structure should make this truthfulness easy. It should state why each payment exists. Administrative fees should correspond to actual administration. Stewardship fees should correspond to actual stewardship. Late penalties should be proportionate and avoidable. Risk returns should be tied to real loss absorption. Opportunity-cost claims should be concrete and mission-aligned, if used at all. Repayments should come from surplus, not depletion. Caps should prevent compensation from becoming unlimited extraction.

The source of surplus also matters. Does the surplus come from genuine value created by the enterprise? From distributable profit after obligations and reserves? From an exit? From gross revenue despite losses? From late payment? From legal enforcement? From refinancing by another lender? From cutting wages? From reducing mission commitments? The same amount may have different moral meaning depending on its source. Surplus taken from flourishing differs from surplus taken from fragility.

Timing matters as well. A payment demanded upfront may be more suspect than one paid after the burden is known. This was one of the concerns with *lucrum cessans*: compensation for foregone profit should not simply be deducted in advance as if the future were already certain. Similarly, risk compensation should not be structured so that capital receives premium returns before risk has actually unfolded or while the enterprise remains fragile. Payment after true surplus is morally different from payment before resilience.

Proportionality is the final discipline. Even a valid title can be exceeded. A real loss does not justify unlimited damages. A real delay does not justify punitive revenue. A real opportunity does not justify speculative benchmarks. Real risk does not justify uncon-

strained upside. Real labor does not justify excessive fees. Real expense does not justify institutional bloat. The title opens the door to compensation; proportionality determines how far one may walk through it.

This is where caps become important. A cap acknowledges that the purpose of surplus is not infinite growth. It limits return to a defined, transparent, morally reviewable amount. In non-extractive finance, caps can help keep compensation from becoming domination, especially when combined with repayment from surplus, loss absorption, mission locks, and hardship provisions. A cap does not automatically make a structure just, but it expresses a refusal of unlimited claim.

The fourth question of the scholastic audit is therefore a question of moral accounting. Every euro above principal must tell the truth about why it is owed. It must point to a real burden, a real service, a real risk, a real loss, or a real participation. It must not hide behind convention, complexity, or bargaining power. The older language of the extrinsic titles gives us a disciplined vocabulary for this accounting.

In the end, the question “what justifies surplus?” is the question that separates compensation from extraction. Compensation can name its burden; extraction hides behind abstraction. Compensation is limited by the reality it repairs; extraction expands as far as power allows. In a moral economy, surplus answers to truth, which is why a contract that cannot clearly explain its surplus should not be trusted merely because it is legal, standard, or financially sophisticated.

39.5 Fifth Question: Can the Title Be Abused?

The fifth question in a scholastic audit is: can the title be abused? This question must be asked even when a surplus payment appears to have a valid justification. The older tradition did not merely ask whether a lender could name an extrinsic title. It asked whether that title was real, proportionate, and free from fraud. This matters because the most dangerous forms of extraction often do not appear as open violations. They appear as plausible titles stretched beyond their proper limits.

A title can be true in principle and false in use. A late penalty can be legitimate, but also engineered. A damage claim can restore equality, but also invent loss. A foregone-profit claim can compensate a concrete interrupted use, but also universalize opportunity cost. A risk premium can reward genuine loss-bearing, but also disguise risk-shifting. A management fee can pay for real stewardship, but also become institutional rent. A legal cost reimbursement can be fair, but also become a weapon. The audit must therefore examine not only the title’s name, but its pattern of use.

The danger of engineered default belongs especially to *poena conventionalis*. A penalty for delay is morally plausible only when delay is culpable, avoidable, and genuinely unwanted by the lender. But if the repayment schedule is unrealistic, the grace period too short, the covenants too sensitive, the reporting burden too heavy, or the penalty too profitable, the contract may be designed to fail. Default then becomes not an accident but a revenue event. The penalty is no longer a remedy for disorder. It is the business model.

The simplest diagnostic question is: does the lender prefer timely repayment? If the lender would rather be paid on time and never collect the penalty, the title may be genuine. If the lender expects, models, or welcomes the penalty as yield, suspicion is warranted. In modern contracts, this requires looking at default interest, late fees, covenant breach fees, extension fees, restructuring charges, and acceleration clauses. A humane contract helps the borrower return to order. An extractive contract profits when the borrower falls out of

order.

The danger of fictive loss belongs especially to *damnum emergens*. Actual loss is the cleanest title because it is tied to restitution. But precisely because it is morally strong, it can be tempting to label many things as loss. General overhead becomes borrower-specific cost. Ordinary business expense becomes damage. Internal time becomes a billable injury. Conservative provisioning becomes a claim against the borrower. A vague liquidity inconvenience becomes a quantified charge. The word “loss” expands until it covers nearly everything the lender wants to recover.

To prevent this, the audit must require documentation and causality. What exactly was lost? When? By whom? Because of what act or delay? Would the cost have existed anyway? Is it already compensated by another fee? Is the amount proportionate? If a fund charges an administration fee, it should not also treat the same administration as damages. If legal costs are reimbursed, they should be actual and reasonable. If liquidity harm is claimed, it should be specific rather than merely asserted. *Damnum emergens* restores equality only when the damage is real.

The danger of abstract opportunity cost belongs especially to *lucrum cessans*. This title begins with a plausible claim: lending may prevent the lender from using capital elsewhere. But it becomes abusive when “elsewhere” is undefined. If every holder of money can say that the money could have earned something somewhere, then every loan becomes a claim for lost profit. The title ceases to be an exception and becomes the ordinary logic of interest.

A scholastic audit must therefore ask whether the foregone gain was concrete. Was there a real alternative use? Was it intended? Was it licit? Was it reasonably certain? Was it actually prevented by the loan? Was the valuation modest and proportionate? Or is the lender simply importing a market benchmark, fund hurdle, or imagined return? The abuse of *lucrum cessans* occurs when hypothetical yield is treated as morally possessed property. The lender does not repair a loss. The lender charges the borrower for interrupting capital’s fantasy of itself.

The danger of pretended risk belongs especially to *periculum sortis*. Risk can justify surplus only when the principal is genuinely exposed. But modern finance is skilled at speaking the language of risk while reducing capital’s vulnerability through seniority, collateral, guarantees, covenants, insurance, liquidation preferences, redemption rights, and control provisions. The investor then charges for risk while arranging for others to bear much of it. This is not risk-bearing. It is risk-shifting.

The audit must therefore ask what happens in the downside case. Can principal actually be lost? Does repayment disappear, pause, subordinate, or convert when the enterprise fails? Or does capital enforce against assets, founders, workers, or mission? Is the investor paid before the company has rebuilt resilience? Does the investor hold preference and also claim a risk premium? Are warrants, default interest, collateral, and fees all compensating the same uncertainty? A true risk title requires vulnerability. Without vulnerability, risk language becomes false description.

Double-counting is one of the most common forms of abuse. The same burden may be charged under several names. Risk appears in the interest rate, again in the liquidation preference, again in the warrants, again in the covenants, again in default penalties, and again in legal cost reimbursement. Administrative work appears in a management fee, monitoring fee, transaction fee, and expense reimbursement. Delay appears in default interest, late fees, extension fees, and accelerated repayment. Each charge may look modest alone. Together, they create an extractive stack.

A scholastic audit must therefore examine the whole structure, not isolated clauses. It should ask: what burdens have already been compensated? What protections reduce

the risks being priced? What fees overlap? Which charges remain even when their justification disappears? Which payments are percentage-based even though the underlying cost is fixed? Which charges compound? Which charges are paid before the borrower has recovered? The moral unit is the transaction as a whole.

Hidden compounding is another danger. The older usury tradition was particularly concerned with the way debt could grow beyond the borrower's capacity to repay. Modern contracts can reproduce this through default interest, capitalized interest, payment-in-kind provisions, rolling fees into principal, extension charges, refinancing fees, and penalty accruals. The borrower begins with one obligation and ends with another, larger obligation generated by distress itself. This is the financial logic by which weakness becomes yield.

The audit should therefore ask whether hardship increases the lender's gain. If the borrower is late, does the claim grow? If the borrower cannot pay, are fees added? If the company needs restructuring, is the lender rewarded for granting time? If the borrower is already fragile, does the contract deepen fragility? A non-extractive structure should not turn distress into compounding advantage. It should contain mechanisms for grace, restructuring, loss-sharing, or capped recovery.

Another abuse is title migration. When one justification becomes difficult to defend, another is invoked. A lender may begin by claiming risk, then emphasize opportunity cost, then point to administrative expense, then rely on penalty, then invoke market standard. The surplus remains constant while the justification shifts. This is a sign that the title may be serving the charge, rather than the charge serving the title. In moral accounting, the title should determine the payment. In extractive accounting, the desired payment searches for a title.

There is also abuse through abstraction. The more abstract the title, the more easily it can be manipulated. Actual loss is easier to verify than foregone gain. Foregone gain is easier to discipline than generalized liquidity absence. Genuine risk-bearing can be examined, but portfolio risk language can obscure the borrower's lived downside. The audit must therefore demand more evidence as the title becomes more abstract. A vague appeal to "risk," "market," "cost of capital," or "illiquidity" is not enough.

Abuse can also arise through asymmetry of knowledge. Financial contracts are often written by sophisticated parties for less sophisticated counterparties. Founders, cooperatives, nonprofits, social enterprises, or community organizations may not understand how clauses interact under stress. They may see the headline cap but not the priority. They may see the patient term but not the default trigger. They may see the mission language but not the exit right. A title can be formally disclosed and still practically obscure.

A non-extractive contract should therefore be intelligible. It should explain what each surplus claim is for. It should show repayment scenarios. It should disclose downside consequences. It should make clear who gets paid first, what happens in default, how return is capped, how hardship is handled, and when capital can lose. Complexity is not inherently unjust, but complexity that hides moral consequences is dangerous. The scholastic instinct is toward clarity, because unclear titles easily become pretexts.

Abuse may also occur through external pressure. A fund manager may sincerely want non-extractive terms but face LP expectations, regulatory constraints, benchmark comparisons, budget needs, or reputational pressure. These pressures can push the structure toward higher fees, faster repayment, stricter protections, or more aggressive enforcement. The title may remain in the documents, but the institution's surrounding incentives may hollow it out. A serious audit should therefore examine not only the contract but the ecosystem of pressure around it.

This is where governance becomes part of the anti-abuse framework. Who decides

whether a penalty is enforced? Who determines whether hardship is genuine? Who can waive repayment? Who reviews fees? Who represents the borrower, workers, mission, or community? Who audits the classification of surplus? Without governance, even well-designed titles can drift. The Monti di Pietà show this historical lesson clearly: good institutions need countermeasures, because mission can decay through routine, cost, and self-preservation.

Anti-abuse analysis also requires attention to time. A title that is justified at the beginning may cease to be justified later. Risk may decline after collateral increases or the company becomes stable. Administrative costs may fall as processes standardize. A foregone opportunity may no longer be relevant. A penalty may cease to be proportionate after partial repayment. A management fee may no longer correspond to actual work. Moral review should therefore be periodic, not merely initial. Surplus should remain accountable throughout the life of the contract.

The audit should also ask whether the borrower's flourishing is part of the design. A contract may avoid obvious abuse and still fail the deeper test if it treats the borrower merely as a payment source. Does the structure help the enterprise become more resilient? Does it allow reinvestment? Does it protect wages? Does it prevent mission drift? Does it reduce the chance of destructive default? Does it create pathways for amendment under hardship? If not, the title may be technically valid but pastorally thin.

The fifth question therefore turns the audit from classification to vigilance. It recognizes that moral categories decay when they meet incentive, fear, pressure, and power. The extrinsic titles are useful only if they remain disciplined. A title without anti-abuse safeguards is an invitation to drift. The history of usury doctrine is, in large part, the history of this drift: from compensation to convention, from exception to norm, from title to pretext.

For modern non-extractive finance, anti-abuse design should be explicit. Late penalties should be capped, proportionate, avoidable, and subject to grace. Damages should require documentation. Opportunity-cost claims should be rare, concrete, licit, and never generic. Risk premiums should be tied to actual loss absorption and reduced when protections increase. Management and stewardship fees should be transparent and reviewable. Collateral should be limited. Personal guarantees should be avoided. Returns should be capped. Repayment should come from surplus after resilience. Mission-protective governance should be able to override extractive enforcement.

The final abuse is spiritual: the desire to be justified without being changed. A lender or investor may want the language of moral finance while retaining the instincts of ordinary capital. It may want to say "stewardship" while preserving priority, "risk-sharing" while avoiding loss, "mission" while forcing exit, "compensation" while seeking yield, "non-extractive" while importing market expectations. The scholastic audit is meant to prevent this self-deception. It asks capital to tell the truth not only in words, but in structure.

The question "can the title be abused?" must therefore accompany every title from beginning to end. It is what keeps poena from becoming a trap, damnum from becoming fiction, and lucrum from becoming opportunity-cost metaphysics. It is what keeps periculum from becoming risk rhetoric, and labor and expense reimbursement from becoming institutional rent. And it is what keeps non-extractive finance from becoming conventional finance with gentler language.

In the end, this fifth question protects the moral seriousness of the whole tradition. The extrinsic titles were never meant to be passwords that unlock surplus. They were tests. And every test can be cheated. A scholastic audit must therefore examine not only whether a title exists, but whether the contract has been designed so that the title remains truthful

under pressure. Only then does surplus remain compensation rather than extraction.

Translating the Four Titles into a Non-Extractive Capital Framework

40.1 Poena Conventionalis in Modern Contracts

In modern contracts, *poena conventionalis* appears wherever a borrower, company, or counterparty must pay an additional amount because of delay, default, breach, or non-performance. The language has changed. We now speak of late fees, default interest, cure periods, grace periods, acceleration clauses, penalty rates, extension fees, break fees, covenant breaches, and liquidated damages. But the moral question remains close to the medieval one: is this charge a true penalty for disorder, or a disguised way of earning surplus from the loan?

A penalty can be legitimate. Contracts require reliability, and a lender, investor, supplier, worker, or institution may be harmed when payment is late or obligations are ignored. Delay can create administrative costs, liquidity stress, legal expenses, planning disruption, or lost trust. A penalty can therefore serve a real function: it can deter breach, compensate harm, encourage timely performance, and protect the order of the relationship. The older tradition did not deny this. It asked whether the penalty was truly penal, proportionate, and not a fraud on the usury prohibition.

Modern late fees should be read through this lens. A modest late fee may be justified if it corresponds to real administrative burden or harm caused by delay. But if the late fee is automatic, excessive, compounding, unrelated to actual damage, or imposed on borrowers who could not realistically avoid delay, it becomes morally suspect. The question is not simply whether the contract permits the fee. The question is whether the fee restores order or monetizes distress.

Default interest is even more dangerous. In many debt instruments, the interest rate increases when the borrower defaults. This may be defended as compensation for increased risk, increased monitoring, or the cost of disorder, and sometimes that may be true. But default interest can also become a way for the lender to profit precisely when the borrower is weakest. The borrower misses a payment, breaches a covenant, or faces a cash flow problem, and the cost of capital rises at the very moment when repayment capacity has fallen. Unless carefully limited, default interest can turn fragility into yield.

The scholastic diagnostic question remains powerful: does the lender genuinely prefer timely repayment? In a just structure, the lender wants the borrower to perform. The penalty is a regrettable remedy. It exists to protect order, not to create revenue. In an extractive structure, default is expected, modeled, or even privately desired. The lender may price the transaction assuming that late fees, default interest, extension fees, or restructuring charges will be collected. At that point, the penalty no longer looks like *poena conventionalis*. It looks like hidden interest.

Cure periods are therefore morally significant. A cure period gives the borrower time

to correct a breach before harsher consequences follow. It recognizes that disorder may be temporary, accidental, or remediable. A contract with no meaningful cure period treats breach as an opportunity for immediate leverage; a contract with a fair cure period seeks restoration. This is not only a legal difference but a theological one. The first asks, "How quickly may I enforce?" The second asks, "Can the relationship be repaired?"

Grace periods carry a similar meaning. A grace period acknowledges that small delays may occur without bad faith. Payments can be missed because of bank processing, customer delays, illness, administrative error, or short-term cash flow mismatch. A morally serious contract distinguishes between culpable delay and ordinary human fragility. Grace periods prevent the lender from treating every stumble as a profit event. They make room for mercy inside justice.

Hardship exceptions are equally important, because not every delay is morally equivalent. A borrower who refuses to pay despite capacity differs from a borrower affected by illness, disaster, market collapse, theft, war, regulatory delay, or the failure of a major customer to pay. A contract that imposes the same penalty in every case may be administratively simple, but morally crude. Christian moral theology asks whether delay is culpable, unavoidable, or tragic. A non-extractive contract should include mechanisms for hardship review, payment suspension, restructuring, or negotiated cure.

Caps are necessary because penalties can grow beyond their moral basis. A late fee may begin as modest compensation and become extractive if it compounds, repeats, or accumulates without limit. Default interest can overwhelm the original obligation, extension fees can become recurring tribute, and legal fees can balloon. A cap says that the purpose of the penalty is not unlimited enrichment. It limits the penalty to a defined and reviewable relationship with the harm caused, and in moral terms a cap helps preserve the difference between discipline and domination.

Proportionality is the central test. A penalty should correspond to the seriousness of the breach, the harm caused, and the borrower's capacity to avoid it. A minor administrative delay should not trigger a severe financial burden. A technical covenant breach that causes no material harm should not become an excuse for punitive economics. A missed report should not allow the lender to impose default interest designed for payment failure. When penalties are disproportionate, they cease to repair order and begin to exploit technical power.

Modern contracts often contain multiple default triggers. Payment default is one. Breach of financial covenants is another. Failure to deliver information, maintain insurance, meet reporting deadlines, preserve ratios, obtain consent, avoid certain transactions, or comply with representations may all trigger consequences. Some of these protections are reasonable. But the more numerous and sensitive the triggers, the greater the risk of engineered default. The borrower may remain economically viable while technically exposed. The lender gains leverage not because the borrower has failed morally, but because the document creates many ways to fall.

This is especially important in venture debt, private credit, and growth finance. Covenants may allow the lender to intervene before severe deterioration, which can be prudent. But covenants can also become tripwires. If breach triggers higher interest, fees, warrants, acceleration, control rights, or renegotiation leverage, then the lender may benefit from the borrower's volatility. The contract may claim to manage risk while actually monetizing instability. A *poena* analysis asks whether each trigger protects a real interest or creates a pretext for surplus.

Acceleration clauses require similar scrutiny. Acceleration allows the lender to demand immediate repayment of the full outstanding amount after default. This may be necessary when the borrower is dissipating assets or acting in bad faith. But acceleration can also be

destructive. A borrower who could have cured over time may be pushed into insolvency because the whole debt becomes due at once. The lender then gains enforcement power precisely when the borrower has least capacity to respond. A non-extractive structure should reserve acceleration for serious, uncured, material defaults rather than technical or temporary breaches.

Extension fees also sit near the boundary. If a borrower needs more time, the lender may incur administrative work, liquidity burden, or increased exposure, and a reasonable extension fee may compensate real cost. But if extension fees are routine, percentage-based, repeated, or expected, they can become payment for time under another name. The older warning returns: to charge merely because the borrower has money longer is morally suspect unless tied to a real external burden. Extension should be a tool of restoration, not a toll gate.

Liquidated damages clauses present another version of the same issue. Parties may agree in advance to a sum payable upon breach because actual damages would be difficult to calculate later. This can be legitimate. But the agreed amount must be a reasonable forecast of harm, not a punitive or revenue-generating charge. If liquidated damages greatly exceed plausible loss, they become a fiction. The name “damages” does not make them restorative. They must still answer to truth.

A modern *poena conventionalis* framework should therefore ask several questions. Was the due date realistic? Was the obligation clear? Was the breach material? Was the delay culpable? Was there a grace period? Was there a cure period? Was hardship considered? Was the penalty proportionate? Did the lender prefer timely performance? Is the penalty capped? Is the penalty calculated from actual harm or from desired yield? Is the same harm also charged elsewhere through interest, fees, costs, or risk premiums?

This last question, double-counting, is crucial. A lender may already be compensated for risk through the ordinary return, may already recover administrative costs through fees, and may already hold collateral and legal cost reimbursement. If default interest, late fees, and extension fees are added on top, what exactly remains uncompensated? Without careful accounting, *poena* becomes one more layer in a surplus stack, and the borrower pays repeatedly for the same disorder.

For non-extractive capital, penalties should be designed with a restorative purpose: their goal is to bring the relationship back into good order. This means the contract should distinguish between technical, temporary, material, and bad-faith defaults; allow cure and provide grace; allow communication before escalation; include hardship provisions; cap penalties and prevent their compounding; prohibit the lender from treating penalties as expected return; and make default less profitable than timely repayment.

This last design principle is decisive. The lender should be economically better off when the borrower performs on time than when the borrower defaults. If the lender earns more from default than from performance, the moral incentives are inverted, and the contract becomes a machine that feeds on disorder. A truly penal clause should be something no one wants to activate. It should protect the relationship from breach, not make breach lucrative.

In mission-driven finance, this matters even more. The goal is not simply repayment. The goal is the flourishing of the enterprise, the protection of mission, the dignity of workers, the service of users, and the responsible stewardship of capital. A harsh default regime can destroy these goods even if it protects the investor. If late penalties force layoffs, prevent reinvestment, drain reserves, or trigger mission drift, then they must be judged not only financially but theologically. They may protect capital while wounding the life capital was meant to serve.

There is also a pastoral dimension. Borrowers should not be trained to hide distress

because the contract punishes early disclosure. If every warning sign triggers penalty or enforcement, founders and managers may delay communication until the crisis is worse. A non-extractive contract should encourage truth-telling. It should reward early notice, cooperative restructuring, and shared problem-solving. This is not softness. It is prudent mercy. It makes recovery more likely and domination less tempting.

A good penalty clause therefore contains both firmness and mercy. Firmness says that obligations matter, time matters, and breach has consequences. Mercy says that not every failure is bad faith, not every delay is culpable, and not every wound should be monetized. The older tradition held these together. It did not deny penalties. It denied penalties used *in fraudem*: in fraud of the usury prohibition, in fraud of justice, in fraud of the borrower's vulnerability.

The modern translation is clear. Late fees, default interest, cure periods, grace periods, caps, and hardship exceptions are not merely drafting details. They are moral architecture. They reveal whether the lender wants restoration or leverage, whether time is being monetized as yield, whether the borrower's weakness becomes a source of revenue, and whether the contract disciplines disorder or profits from it.

For a non-extractive capital framework, *poena conventionalis* should be permitted only under strict conditions. The obligation must be clear and realistic, the delay culpable or at least materially harmful, and the penalty proportionate to actual or reasonably anticipated harm. Grace and cure must be available, hardship must be considered, and penalties must be capped and non-compounding. The lender must prefer timely repayment, the penalty must not be double-counted with other charges, and the structure must be designed to restore relationship, not exploit default.

In the end, *poena conventionalis* teaches modern finance that default is morally dangerous for both parties. It can reveal borrower disorder, but also lender temptation. The borrower may fail to perform. The lender may discover that failure is profitable. A just contract guards against both. It calls the borrower back to fidelity without allowing the lender to turn infidelity into yield. In that discipline, the old title still serves the design of capital that serves life.

40.2 Damnum Emergens in Modern Accounting

In modern accounting, *damnum emergens* appears wherever a lender, investor, fund, or financing institution claims reimbursement for actual loss. The old phrase means "loss arising": not profit expected, not yield desired, not money absent, but damage actually incurred. In contemporary terms, it may include administrative costs, enforcement costs, liquidity harm, legal expenses, audit costs, restructuring costs, collection costs, or other documented losses caused by the transaction or by the borrower's failure to perform. Its moral logic is restorative. Something has been harmed, and justice permits repair.

This title is the cleanest of the four because it remains closest to commutative justice. If one party causes another to suffer real loss, the injured party may be restored. The point is not to enrich the lender, but to re-establish equality. This is why *damnum emergens* is so important for non-extractive finance. It allows moral seriousness without financial naivete. It recognizes that serving borrowers, enterprises, and missions can impose real burdens. Non-extractive capital still requires administration, accounting, legal work, governance, monitoring, reporting, and sometimes enforcement. These costs do not disappear because the mission is good.

But *damnum emergens* is also dangerous, because the language of loss is morally powerful. Once a cost is called "damage," it appears to demand reimbursement; once a fee

is called “cost recovery,” it appears modest; and once an institution says, “We only recover our expenses,” the moral suspicion seems to fade. Yet not every cost is a borrower-caused loss, not every institutional expense should be shifted to the enterprise, not every internal burden is proportionate, and not every invoice belongs to this transaction. A non-extractive accounting system must therefore distinguish actual loss from institutional appetite.

The first category is actual administrative cost. A financing relationship requires work: onboarding, due diligence, KYC or compliance checks, contract preparation, payment administration, reporting, bookkeeping, portfolio review, and communication. These are real costs, and a fund that does not recover them may become unsustainable. The Monti di Pietà already faced this problem in another form. Charitable lending required staff, buildings, records, pledge management, and operational discipline. The question was not whether administration existed, but whether charges remained tied to administration rather than becoming profit.

Modern administrative costs should therefore be transparent, reasonable, and allocated carefully. A flat onboarding fee may be justifiable if it reflects actual setup work. A recurring administration fee may be justified if recurring work is performed. But if the fee is calculated as a percentage of principal without relation to actual labor, or if the same work is also covered by a management fee, monitoring fee, and expense reimbursement, the moral basis weakens. The accounting must show what work was done, by whom, for whose benefit, and at what reasonable cost.

The second category is enforcement cost. When a borrower refuses to pay, fails to communicate, breaches material obligations, or forces legal action, the lender may incur costs that would not otherwise exist. Legal letters, mediation, court filings, collection proceedings, restructuring counsel, valuation work, and recovery administration can all be real. If caused by culpable borrower conduct, reimbursement may fall under *damnum emergens*. The lender is not profiting from the loan, but recovering costs imposed by disorder.

Yet enforcement costs are morally delicate. A powerful lender can use legal machinery to overwhelm a weaker borrower, and the mere fact that a lawyer was hired does not mean the cost should be shifted without question. Was enforcement necessary? Was it proportionate? Was there an attempt to resolve the matter cooperatively? Were the legal costs reasonable relative to the amount at stake? Did the lender escalate prematurely? Did the contract encourage communication and cure before enforcement? A non-extractive framework should not allow legal cost reimbursement to become a weapon.

The third category is liquidity harm, and it is more difficult. A lender may suffer because expected repayment did not arrive when due. The lender may have obligations to others, payroll, fund commitments, planned deployments, or operational needs. If the borrower’s delay forced the lender to borrow elsewhere, sell assets at a loss, miss a payment, or incur specific costs, those may be actual losses. But vague inconvenience from being without money is not enough. Liquidity harm must be concrete, not merely asserted.

This is where *damnum emergens* approaches *carentia pecuniae* and *lucrum cessans*. Being without money may create a real loss in some cases. But if the claim becomes simply, “I did not have my money for a period of time,” then the title slides toward monetizing time. The audit must ask: what specific loss arose from the absence of liquidity? Was another obligation missed? Was emergency borrowing necessary? Was a real cost incurred? Was the harm caused by this borrower’s delay? Without such specificity, liquidity harm becomes a disguised time charge.

The fourth category is documented losses. Documentation is not a bureaucratic luxury; it is a moral safeguard. *Damnum emergens* depends on reality, and reality must be traceable. In modern accounting, that means invoices, timesheets, bank statements, loan

agreements, legal bills, accounting entries, correspondence, cash flow reports, and board minutes where relevant. A claim that cannot be documented may still be emotionally understandable, but it is not yet morally chargeable. Documentation prevents the title from becoming fiction.

Documentation also enables proportionality. If the actual legal cost was €2,000, the lender should not claim €10,000 under the name of damages. If staff time was two hours, it should not be billed as twenty. If a delay caused a small bank fee, it should not trigger a large percentage penalty. If a liquidity gap was covered from reserves without cost, the lender should not invent a market-rate loss. Accounting disciplines desire by forcing the claim to meet the ledger.

The fifth category is reimbursement. Reimbursement differs from yield because it returns the injured or burdened party to its prior position. A reimbursed cost should leave the lender whole, not better off. This is the moral center of *damnum emergens*. The lender may recover what was actually spent or lost. But reimbursement should not be calculated to meet a target return, internal rate of return, hurdle rate, or portfolio expectation. Once a damage claim is shaped by desired yield, it ceases to be pure reimbursement.

This creates an important rule for non-extractive capital: no target IRR should be hidden inside *damnum emergens*. If a fund wishes to earn a return, it must name the title supporting that return. Is it risk-bearing? Is it concrete foregone gain? Is it stewardship labor? Is it surplus-sharing? It should not inflate administrative costs or damages to reach a financial target. Damage accounting must be boring, concrete, and modest. Its credibility lies precisely in its refusal to become a return model.

The sixth category is fictional damages. These are charges that appear as losses but do not correspond to real harm. They may be formulaic, excessive, duplicative, or disconnected from the transaction. A contract might impose a fixed “damage” amount upon breach without regard to actual injury. A fund might allocate general overhead to a borrower because the borrower is available to charge. A lender might treat expected profit as a damage. A creditor might claim reputational harm, opportunity loss, or internal inconvenience without evidence. These are not *damnum emergens*. They are extraction in the grammar of injury.

Fictional damages often arise through percentages. Many fees are calculated as a percentage of principal because that is easy and conventional. But not every cost scales with principal. Preparing a €50,000 loan may not cost one-tenth of preparing a €500,000 loan, and monitoring a €1 million investment may not cost exactly twice as much as monitoring a €500,000 investment. Percentage-based charges are not automatically wrong, but they must be tested. Are they a reasonable proxy for cost, or a yield mechanism disguised as cost recovery?

A related danger is allocation drift. In a fund or institution, costs are often pooled: staff, rent, software, legal retainers, compliance, audits, travel, communications, governance, and reporting. Some allocation is necessary. But if cost allocation is opaque, borrowers may be charged for institutional expenses only loosely related to them. A non-extractive fund should therefore have an allocation policy. Which costs are charged directly? Which are covered by general management fees? Which are borne by the fund? Which are never passed to portfolio companies? Without such rules, *damnum emergens* can slip into institutional self-preservation.

Modern accounting systems can help preserve moral clarity. Each surplus payment can be classified: principal repayment, administrative cost, legal reimbursement, stewardship fee, late penalty, risk return, foregone-profit compensation, expense reimbursement, donation, grant recycling, or other. Payments that do not fit should be marked “needs review.” Related-party payments should be flagged. Owner distributions should be sepa-

rated from operating costs. Management fees should be distinguished from pass-through expenses. This is not merely bookkeeping. It is moral theology in ledger form. Exact On-line exports, bank statements, invoices, and fund accounting can therefore become tools of discernment. They can show whether charges correspond to real costs or drift into yield, reveal double-counting, distinguish reimbursement from profit, identify whether penalties are recurring revenue, and show whether administrative fees exceed administrative work. They can help investors, founders, auditors, and mission stewards see whether the structure remains truthful.

A useful non-extractive accounting framework would classify *damnum emergens* claims according to several tests. Is the loss actual? Is it documented? Was it caused by this transaction or this breach? Was it reasonably avoidable by the lender? Was the response proportionate? Is the cost necessary? Is it allocated fairly? Has it already been covered by another fee? Is the amount restorative rather than profitable? Does collection of the reimbursement harm the borrower's recovery more than justice requires?

This last question matters because even real losses must be handled with prudence and mercy. Suppose a borrower causes €5,000 in legal costs but is already in serious distress. The lender may have a claim. But should it collect immediately? Should it defer? Should it waive part? Should it convert the amount into a longer-term repayment? Should it distinguish between bad faith and misfortune? The existence of *damnum emergens* does not abolish pastoral judgment. It identifies a possible claim; it does not command harsh enforcement in every circumstance.

In mission finance, reimbursement should also be assessed against the purpose of the relationship. If collecting every cost undermines the enterprise's mission, destroys trust, or prevents recovery, the fund must ask whether mercy better serves the common good. This does not mean absorbing all losses automatically. It means that reimbursement remains within a broader moral order. Justice repairs equality; mercy protects life; stewardship must hold them together.

Damnum emergens also requires no double-counting. If administrative costs are covered by a management fee, they should not be charged again as damages. If legal costs are reimbursed separately, they should not be embedded in a default penalty. If liquidity harm is compensated through an agreed extension fee, it should not also be claimed as lost profit. If risk is priced through a return premium, the same risk should not be relabeled as damage when it materializes. Double-counting transforms compensation into extraction.

This is particularly important for fund structures. Investors may pay management fees to cover the fund's operations. Portfolio companies may also pay arrangement fees, monitoring fees, legal fees, and expense reimbursements. The fund must be careful not to charge both sides for the same work. If LPs fund operating capacity, and companies are charged again for that capacity, the structure may over-recover costs. Non-extractive finance requires transparent accounting not only between fund and borrower, but also between fund, LPs, managers, and mission beneficiaries.

The Monti di Pietà remain instructive because their historical problem was not abstract. They had to lend cheaply enough to serve the poor, but charge enough to survive. Their moral legitimacy depended on keeping charges tied to real expense and labor, not turning charitable lending into ordinary profit. Modern non-extractive funds face a similar test. They must survive without letting survival become an idol. They must recover costs without making cost recovery a mask for extraction.

A good *damnum emergens* policy should therefore be written into the contract and the accounting system. It should define reimbursable costs and exclude general overhead unless specifically allocated by transparent policy, require documentation, cap certain categories, and require borrower notice where possible. It should distinguish ordinary ad-

ministration from extraordinary enforcement, provide hardship review, require periodic audit, and classify every payment according to title.

This policy should also state what may not be included: no fictional damages, no generic market return, no internal target IRR, no duplicated management costs, no penalty disguised as reimbursement, no unrelated institutional expenses, no speculative liquidity harm, no legal escalation costs caused by the lender's own unnecessary aggression, and no expenses that primarily serve investor extraction rather than enterprise stewardship.

The theological importance of this discipline is profound. *Damnum emergens* tells the truth about harm. It says that justice does not require one party to absorb real injury caused by another. But it also says that harm must not be invented. In a fallen economy, the language of injury can be used to justify taking. The creditor can portray himself as wounded in order to wound the borrower. Accounting becomes moral when it prevents this reversal.

For non-extractive finance, *damnum emergens* should become the foundation of transparent cost recovery. It allows funds to be sustainable, contracts to be enforceable, and lenders to be protected from real injury. But it also limits them. It refuses to let reimbursement become yield, expenses become entitlement, or losses become fictional. It keeps capital's claim tied to reality.

In the end, *damnum emergens* in modern accounting asks a simple question: what actual loss arose, and what payment would restore it without exceeding it? That question is humble, concrete, and powerful. It disciplines finance by making surplus answerable to proof; it protects borrowers by preventing vague charges and protects institutions by allowing real cost recovery. And it protects the moral integrity of non-extractive capital by ensuring that compensation remains compensation, not profit wearing the face of damage.

40.3 *Lucrum Cessans* in Modern Portfolio Theory

In modern portfolio theory, *lucrum cessans* reappears under the language of opportunity cost, benchmark return, hurdle rate, cost of capital, expected return, and efficient allocation. The old phrase means "gain ceasing": a profit that would have been made, but was not made because the capital was used elsewhere. In its strict form, this title concerned a concrete foregone gain. In modern portfolio theory, however, the claim often becomes much broader: capital always has alternative uses, and therefore any use of capital must compensate the owner for the return that could have been earned somewhere else.

This is where the old doctrine becomes newly important. Modern finance often treats opportunity cost as a neutral fact. If money is invested in one enterprise, it cannot be invested in another. If a fund makes a below-market loan, it forgoes a market-rate return. If an investor accepts capped upside, it forgoes uncapped upside. If capital is locked into a patient structure, it loses liquidity and optionality. All of this may be true at the level of prudential reasoning, and a steward must know what is being sacrificed. But *lucrum cessans* asks a sharper question: when does a foregone alternative become a morally chargeable claim against the borrower?

The scholastic answer was never simply, "whenever capital could have earned elsewhere." That would have destroyed the usury prohibition. If every lender can say that money might have been profitably deployed in some alternative use, then every loan carries a title to surplus. The strict tradition therefore demanded concreteness. The foregone gain had to be more than possible. It had to be connected to a real, intended, licit, and reasonably certain alternative. The loan had to be the cause of the gain ceasing. The compensation had to be proportionate. The title was possible, but dangerous.

Modern portfolio theory tends to abstract away from precisely those conditions. It does not usually ask what specific alternative use the lender actually intended, but what return a rational investor could have expected from a comparable asset class; not whether the lender had a concrete transaction ready, but what the benchmark would have produced; not whether the alternative investment was morally licit, but whether the risk-adjusted return was competitive. The abstraction is analytically powerful, but morally incomplete.

A non-extractive finance framework must therefore distinguish between portfolio prudence and borrower chargeability. Portfolio prudence asks: how should entrusted capital be allocated across possible uses? What risks should be taken? What liquidity should be preserved? What return is needed to sustain the institution? What future beneficiaries must be considered? These are legitimate questions. But borrower chargeability asks something different: may this specific borrower be required to compensate the capital provider for a specific foregone gain? The answer requires more than a benchmark.

The first condition is a concrete alternative deployment. The capital provider must be able to identify a real alternative use of the funds. Not merely “the market,” not merely “a diversified portfolio,” not merely “our normal hurdle,” but a specific kind of deployment that was actually available or sufficiently determinate. A merchant who refrains from a known trade to make a loan presents one kind of case. A fund that says it could always have invested in public equities, private credit, or venture capital presents a much more abstract claim. The more abstract the alternative, the weaker the title.

The second condition is mission alignment. For non-extractive capital, the relevant alternative cannot be merely profitable. It must be compatible with the purpose for which the capital is held. A Catholic foundation, mission fund, steward-owned vehicle, or digital sovereignty fund cannot treat every profitable opportunity as morally equivalent. If the alternative return would have come from extractive lending, predatory platform economics, speculative trading, worker exploitation, ecological damage, surveillance, or mission-destroying exits, then that foregone return is not a loss that justice must restore. One cannot claim compensation for refusing an unjust profit.

This matters because many modern benchmarks are morally mixed. A market index, private equity benchmark, venture return target, or credit spread may include gains produced by structures that a non-extractive fund explicitly rejects. To import that benchmark uncritically is to let the old economy set the moral price of the new one. The fund may need to know the benchmark for comparison, but it should not automatically treat the benchmark as a title against the borrower. The market may reveal opportunity, but it does not canonize it.

The third condition is real intention to deploy. *Lucrum cessans* is stronger when the capital provider actually intended to use the money in the alternative way. It is weaker when the alternative is invented afterward to justify a charge. In modern portfolio terms, this means that the fund should be able to show its allocation policy, pipeline, mandate, or investment committee record. Was this capital genuinely scheduled for another deployment? Was there an approved alternative? Was the fund forced to decline or delay it because of this investment? Or is the opportunity cost merely theoretical?

The fourth condition is probability and valuation. A foregone gain must be reasonably certain enough to value. This does not require mathematical certainty, but it does require disciplined modesty. A projected venture return, speculative upside, or best-case scenario cannot be treated as a possessed good. Expected return must be adjusted for probability, risk, time, costs, and moral uncertainty. The valuation should be conservative rather than maximal. If the supposed foregone gain is highly uncertain, the compensation claim should be weak or absent.

This is where modern expected-value reasoning must be corrected by moral humility.

A spreadsheet can assign probabilities to future returns, but probability is not possession. A 20 percent expected return does not mean the investor already owns that 20 percent in moral terms. It means that, under assumptions, a distribution of outcomes has a certain average. The borrower should not be made to pay as though the expected value were a certain loss. *Lucrum cessans* requires an interrupted good, not merely a modeled possibility.

The fifth condition is causality. The loan or investment must truly cause the gain to cease. If the capital provider would not actually have made the alternative investment, or if the alternative was unavailable, or if the capital was idle for other reasons, then the borrower did not cause the foregone gain. Modern funds often hold reserves, dry powder, liquidity buffers, or unallocated capital. Being uninvested may be part of the fund's own strategy. A borrower should not be charged for a gain that would not in fact have occurred.

The sixth condition is proportionality. Even when a foregone gain is real, compensation must not exceed it. The claim must be limited to the value of the gain actually foregone, adjusted for uncertainty and costs. It must not become a general return target, be compounded automatically, or be stacked on top of risk premiums, management fees, administrative charges, and penalties in a way that over-recovers the same sacrifice. A legitimate *lucrum cessans* claim remains narrow.

The seventh condition is no upfront deduction. Historically, one of the concerns with lost-profit compensation was that future gain should not be treated as already certain at the moment of lending. In modern terms, this cautions against deducting opportunity-cost charges upfront or embedding them automatically into principal. If compensation is justified at all, it should be tied to actual unfolding circumstances and paid in a way that does not burden the borrower before the enterprise has generated capacity. For non-extractive finance, this points toward surplus-based repayment rather than time-based yield.

Portfolio theory also introduces the concept of the hurdle rate. A fund may say it cannot make an investment unless expected return exceeds a threshold. This may be institutionally necessary. A fund with obligations to its own investors, future beneficiaries, or mission pipeline cannot deploy capital recklessly. But a hurdle rate is an internal governance tool, not automatically an extrinsic title. It may determine whether the fund invests. It does not automatically determine what the borrower morally owes.

The same applies to the cost of capital. A fund may receive capital from LPs who expect a certain return. It may have debt obligations, operating expenses, inflation exposure, or regulatory capital needs. These realities affect institutional sustainability. But they do not automatically become the borrower's moral burden. If the fund has promised extractive returns to its own capital providers, it cannot simply pass those promises down the chain and call them *lucrum cessans*. The moral defect may lie upstream in the fund structure itself.

This is crucial for non-extractive capital design. If the fund's own investors require high, fixed, or priority returns, then the fund will be pressured to impose those expectations on portfolio companies. The fund may speak of mission, but its capital stack will push it toward extraction. A non-extractive fund must therefore discipline opportunity cost at the LP level as well as the portfolio level. Patient capital requires patient capital providers. Otherwise, the fund becomes a conduit through which conventional return expectations enter mission enterprises.

Mission-aligned alternatives offer a better benchmark. Instead of asking, "What could this capital have earned in the market?" the fund can ask, "What other mission-aligned use could this capital have served?" A grant to an open-source project, a recoverable grant to a cooperative, a capped-return investment in a steward-owned company, a guarantee

for a public-interest technology firm, or a reserve for future crisis response may all be relevant alternatives. The opportunity cost is then measured within the universe of licit and mission-consistent uses, not against the highest available yield in the broader market.

Even here, caution is required. The fact that another mission-aligned investment might have earned more does not automatically create a charge. The alternative must still be concrete, intended, probable, and causally foregone. But the moral frame changes. The question becomes one of stewardship among goods, not maximization across all available returns. This is closer to the older discipline of *lucrum cessans*: not every possible profit, but a particular good foregone.

Generic market return is therefore insufficient as a moral title. It may be useful for reporting, may help investors understand the financial sacrifice of non-extractive capital, and may help a fund communicate concessionary return relative to conventional markets. But it should not be treated as an automatic claim against the borrower. A borrower should not have to pay more simply because capital could have participated in a morally questionable market elsewhere. The market can be a comparison, but not a confessor.

This distinction also helps clarify below-market finance. A foundation may make a loan at 2 percent when the market would charge 8 percent. Modern finance describes the 6 percent difference as concessionary. That may be useful language. But morally, the foundation has not necessarily “lost” 6 percent in the sense relevant to *lucrum cessans*. It may have chosen a different good: mission, mercy, resilience, digital sovereignty, community ownership, or non-extractive enterprise. The difference from market return is not automatically damage. It may be the cost of faithfulness.

This has theological significance. Christian stewardship may require refusing certain returns. It may require accepting slower growth, lower yield, longer time horizons, and less liquidity. These are not always losses to be recovered. Sometimes they are the shape of love. If every act of patience is priced back to the borrower, then patience is emptied of gift. Non-extractive finance must be sustainable, but it must also preserve space for generosity.

At the same time, generosity should not be confused with poor management. A fund that ignores opportunity cost entirely may waste capital, fail future beneficiaries, or collapse institutionally. The right discipline is not to abolish opportunity-cost thinking, but to locate it properly. It belongs first in internal discernment: should we make this investment? Can we afford this level of patience? What future mission uses are we giving up? How do we preserve the fund’s capacity to serve? Only in narrower, well-defined cases does it become a charge to the borrower.

A practical non-extractive portfolio framework might therefore classify opportunity cost in three ways. First, internal-only opportunity cost: relevant for fund allocation, not charged to the borrower. Second, mission-aligned foregone deployment: potentially relevant where a concrete alternative was actually displaced. Third, generic market opportunity cost: useful for comparison, but not a valid title for borrower payment unless translated into a concrete and licit foregone gain. This classification prevents opportunity cost from becoming an all-purpose justification for yield.

Such a framework would also prevent double-counting. If a fund charges a risk-based return because capital is loss-absorbing, it should not also charge a full opportunity-cost premium as if capital had been safely deployed elsewhere. If management fees cover the institution’s operating needs, opportunity cost should not be inflated to cover them again. If the investment is repaid from surplus with a cap, the cap should include all relevant return claims rather than allowing additional opportunity-cost charges to accumulate outside it. The moral accounting must be integrated.

In portfolio reporting, the fund can still disclose financial sacrifice. It may say: compared with conventional benchmarks, this capital accepted lower liquidity, lower expected

return, and capped upside in order to serve mission. But this should be framed as stewardship, not as a debt owed by the borrower. The fund's investors may choose to accept that sacrifice. They may view it as part of their vocation, philanthropy, faith, or mission. They may still receive modest return. But they should not expect every foregone market gain to be pushed onto the enterprises they claim to serve.

For the NEC simulator or similar tools, this means opportunity cost should be a visible assumption, not a hidden default. The model should allow users to distinguish generic market benchmark, mission-aligned alternative deployment, and concrete foregone gain. It should ask whether the alternative is licit, intended, and causally displaced, show when opportunity-cost assumptions drive extraction scores upward, and prevent the user from treating every missed market return as morally equivalent to actual loss.

This is where *lucrum cessans* becomes useful not because it validates modern opportunity cost, but because it disciplines it. It teaches that foregone gain may matter, but only under conditions, and it refuses to let capital claim all possible futures as already its own. It forces portfolio theory to become morally particular: this capital, this alternative, this intention, this probability, this borrower, this mission, this lost good.

The final question is therefore not, "What could the money have earned?" It is, "What good, if any, was truly foregone by making this financing available, and is it just to ask this borrower to compensate it?" Sometimes the answer will be yes, at least in part; often it will be no, or not directly. The foregone return may turn out to be a gift, or an internal stewardship cost, or a sign that the fund's own capital structure is too demanding, or the basis for a modest, capped, surplus-based return.

Lucrum cessans in modern portfolio theory therefore stands at a narrow and dangerous bridge. On one side is prudent stewardship: recognizing that capital has alternative uses and must be allocated responsibly. On the other side is usury: treating every imagined alternative return as a claim against the borrower. Non-extractive finance must walk the bridge carefully. It must think like a steward without charging like an extractor, and know the opportunity cost without worshipping it. It must remember that not every profit foregone is a loss, and not every market yield refused deserves to be resurrected in the borrower's repayment schedule.

40.4 Periculum Sortis in Investment Design

In investment design, *periculum sortis* asks whether capital is genuinely at risk. The phrase means "risk of the principal," and it is one of the most important concepts for translating the scholastic tradition into modern non-extractive finance. It does not ask merely whether an investment feels uncertain, whether a spreadsheet contains downside scenarios, or whether a fund manager describes the asset class as risky. It asks whether the capital provider can truly lose principal, and whether that loss is borne by capital rather than shifted onto the borrower, founder, worker, community, or mission.

This question is central because modern finance often justifies return through risk. Investors are compensated for risk. Interest rates include risk premiums. Venture capital seeks high returns because startups are risky. Private credit prices default risk. Preferred equity protects against downside. Revenue-based financing claims to align repayment with business performance. Yet the moral question is not simply whether risk exists. Risk always exists somewhere. The question is who bears it.

In a non-extractive investment, principal must be genuinely at risk. This does not necessarily mean that capital should be reckless, unsecured in every circumstance, or indifferent to stewardship. But it does mean that the investor may not claim partnership-like surplus

while preserving creditor-like certainty. If repayment is guaranteed, fully collateralized, senior, insured, personally guaranteed, or enforceable regardless of outcome, then the appeal to *periculum sortis* becomes weak. Capital may face inconvenience, delay, or some residual default risk, but it is not standing fully inside the uncertainty of the enterprise.

Loss absorption is therefore the key design principle. Capital that invokes risk should be capable of absorbing loss when the enterprise cannot pay without harm. Repayment should pause, reduce, subordinate, convert, or disappear under defined conditions. The investor's return should depend on genuine surplus, not on extracting cash from a fragile company. If the company fails honestly, capital should be able to lose. Without this possibility, risk compensation becomes morally unstable.

Subordination is one practical way to embody loss absorption. Subordinated capital stands behind more urgent claims. It waits until workers are paid, taxes are met, suppliers are treated justly, operating needs are covered, and resilience reserves are built. It does not insist on being first in line. This does not automatically make the structure just, but it makes the investor's risk claim more truthful. Capital that waits behind life-serving obligations bears a different moral burden from capital that demands priority repayment before the enterprise is secure.

The absence of guarantee is another crucial feature. A guarantee shifts risk away from the investor and onto another party. A personal guarantee shifts business risk into the founder's household and future life. A parent-company guarantee shifts risk to another balance sheet. A public guarantee may shift risk to taxpayers. A foundation guarantee may shift risk to philanthropic capital. Guarantees may sometimes be useful, especially where they unlock affordable capital or protect vulnerable parties, but they must be honestly named. A guaranteed investor should not charge as though unprotected.

Collateral must be treated with similar care. A security interest in assets may reduce the lender's risk, but it does so by giving the lender power over the borrower's productive life. If the collateral consists of equipment, receivables, code, intellectual property, shares, land, or other essential assets, enforcement may destroy the enterprise's capacity to recover. Collateral can therefore be morally disproportionate, even when legally ordinary. A non-extractive structure should avoid collateral that allows capital to survive by stripping the mission of its means of life.

Risk proportionate to return is the next principle. Even where capital is genuinely exposed, the return must correspond to the degree of exposure. A small subordinated risk may justify modest surplus. A deeply loss-absorbing, patient, mission-locked investment may justify a larger but still capped return. A senior collateralized claim justifies far less. The title of *periculum sortis* does not say, "risk exists, therefore return is unlimited." It says that real exposure may be compensated in proportion to the vulnerability accepted.

This is where caps become morally important. A capped return acknowledges that risk-bearing does not give capital an infinite claim over the future. It allows the investor to be compensated, perhaps generously enough to sustain the fund, but prevents the investment from becoming open-ended extraction. Once the agreed return has been reached, surplus can remain with the enterprise, workers, mission, community, or future reinvestment. A cap is not sufficient by itself, but it is a powerful sign that capital has accepted limits.

Upside must be paired with downside. This principle is the heart of partnership. If capital shares in success, it must share in failure; if it participates in surplus, it must absorb loss; if it has governance influence, it must be accountable to the mission; and if it seeks return from the company's flourishing, it must not enforce claims that destroy the company during hardship. Upside without downside is extraction. Downside without upside may be charity or subsidy. Shared upside and shared downside are the moral territory of *societas*.

Repayment should therefore be tied to true surplus wherever possible. Gross revenue is not enough. A company can have revenue while losing money, underpaying workers, delaying maintenance, neglecting security, or failing to build reserves. Repayment from gross revenue can drain an enterprise before it is healthy. Free cash flow is better, but still requires definition. A non-extractive contract should specify that repayment begins only after operating costs, fair wages, taxes, essential reinvestment, and resilience reserves have been met. Capital should receive from fruit, not from the cutting of roots.

Resilience reserves are one of the clearest modern translations of moral priority. Before investors are repaid, the company should have enough buffer to survive ordinary shocks. This is especially important for mission-driven enterprises, open-source infrastructure, cybersecurity, care work, ecological transition, and other fields where continuity matters. A company that pays investors before building resilience may satisfy capital while remaining fragile. A non-extractive waterfall should protect resilience before return.

Hardship provisions also embody shared downside. If the company faces illness, disaster, customer nonpayment, market disruption, war, regulatory delay, or other serious hardship, repayment should not automatically become more punitive. Instead, the contract should allow suspension, extension, restructuring, waiver, or conversion. This does not mean that obligations disappear casually. It means that the contract recognizes the difference between bad faith and misfortune. *Periculum sortis* becomes real when capital accepts that not all negative outcomes can be pushed back onto the borrower.

No guarantee and no collateral are not always possible, but any protection given to capital should reduce the permitted risk-based return. This is a basic moral accounting rule. If the investor is protected by collateral, the risk premium should be lower. If the claim is senior, the risk premium should be lower again. If a guarantee exists, the risk premium should be lower still. And if information rights and covenants reduce uncertainty, that too should be considered. Capital should not be paid as if exposed while documented as protected.

This principle prevents double-counting. Modern instruments often compensate risk multiple times: through interest, default interest, warrants, liquidation preference, management fees, collateral, covenants, and priority. A non-extractive design should identify all risk protections and all risk compensations in one place. The contract should be able to say: here is the risk capital actually bears; here is how the return corresponds to that risk; here are the protections that reduce risk; here is why the total claim remains proportionate. Without this integrated view, risk language becomes a fog.

Investment design must also distinguish between portfolio risk and enterprise risk. A fund may diversify across many investments. A portfolio company cannot diversify across its one life. The fund may survive a failure. The company may not. This asymmetry matters. If the fund prices risk from its own portfolio perspective while enforcing repayment against the company's singular path, the structure may be non-ergodic in moral terms. What is manageable for the ensemble may be ruinous for the individual. Non-extractive finance must not treat the borrower's ruin as merely one data point in capital's distribution.

This is where ergodicity connects with *periculum sortis*. Averages can deceive. A portfolio may show acceptable expected returns even if several companies are destroyed by downside paths. The investor may say that risk is fairly priced because the expected value is positive. But the moral question includes the time path of each enterprise. Does the structure allow companies to survive bad sequences, or does it extract fixed payments until one shock becomes fatal? A risk-sharing investment should be designed to reduce ruin risk, not merely price it.

Loss absorption can be designed in several ways. Return can be paid only from distributable surplus, and repayment can pause when cash flow falls below a threshold. Prin-

capital can be written down after defined mission-preserving triggers, or debt can convert into non-controlling, capped, loss-absorbing equity. Repayment terms can extend automatically without penalty under hardship. Investors can stand behind workers and essential suppliers, reserves can be filled before distributions, and exit rights can be limited. Each of these mechanisms makes risk-bearing more real.

A non-extractive investment should also limit control rights that protect capital at the expense of mission. Some governance rights are appropriate: information, consent over major changes, protection against fraud, and safeguards against mission betrayal. But control rights become extractive when they allow investors to force sale, block mission-preserving decisions, demand growth beyond capacity, replace leadership for liquidity reasons, or redirect the enterprise toward investor return. If capital claims return for risk while also controlling the response to risk in its own favor, then risk-sharing is compromised.

Mission locks and steward ownership can help here. They can ensure that capital does not gain absolute control simply because it provides funds, separate economic rights from purpose governance, and prevent forced exits, asset stripping, or mission drift. They can protect the company's vocation through golden shares, foundation ownership, steward boards, asset locks, or capped investor instruments. These structures make it easier for capital to participate without dominating.

However, mission locks must be integrated with financial design. A company may have steward ownership but still accept capital with rigid repayment claims. A foundation may hold voting control but still owe investors priority distributions. A mission lock may prevent sale but not prevent cash extraction. Therefore the audit must examine the whole structure: governance, repayment, downside, caps, collateral, guarantees, and reserves. *Periculum sortis* lives in the combined architecture, not in one clause.

The timing of return also matters. Early repayment may reduce investor risk before the enterprise has stabilized. This can make the structure look safer for capital while leaving the company under-resourced. A better design may delay investor repayment until the company has achieved defined resilience: positive operating cash flow, adequate reserves, fair wage levels, tax compliance, maintenance budgets, and mission-critical reinvestment. The investor waits not arbitrarily, but because the enterprise's life comes before capital's return.

A non-extractive investment can also use capped surplus-sharing. Instead of fixed interest, the investor receives a percentage of distributable surplus until a capped multiple is reached. If surplus is low, repayment is low or zero. If surplus is high, repayment accelerates, but stops at the cap. This structure ties return to actual flourishing. It is not automatically perfect, because definitions of surplus and priority still matter. But it moves closer to *societas* than a fixed claim does.

Revenue-based financing can be adapted in this direction, but only carefully. Revenue-sharing is often presented as founder-friendly because payments fluctuate with revenue. Yet revenue is not profit. A business may owe payments while still unable to pay wages properly or invest in survival. A non-extractive revenue share should therefore include profitability thresholds, reserve requirements, hardship pauses, total caps, and mission protections. Otherwise it may simply become a smoother-looking form of senior debt.

Equity can also be designed non-extractively. Investors may receive non-voting or limited-voting shares, capped redemption rights, dividends only from surplus, no forced exit, no participating liquidation preferences, and no mission override. If the company fails, capital can be lost. If it succeeds, investors receive a fair return and then step back economically. Such equity more closely resembles partnership because it shares fate without claiming dominion.

Convertible instruments require particular caution. A convertible note may begin as debt and later become equity. During the debt phase, it may accrue interest, have a maturity date, and require repayment. During conversion, it may receive discounts or valuation caps. After conversion, it may become preferred equity. The moral question is whether the instrument accumulates protections at each stage. If it receives debt protection, conversion upside, preference, and control, it may overcompensate capital. A non-extractive convertible should be simple, capped, transparent, and designed to move toward genuine loss-sharing rather than layered advantage.

A practical *periculum sortis* checklist for investment design would ask: Can principal actually be lost? Is repayment guaranteed? Is the claim senior or subordinated? Is there collateral? Is there a personal guarantee? Does repayment come from revenue, profit, free cash flow, or distributable surplus? Are wages, taxes, suppliers, reserves, and mission commitments protected first? Is return capped? Can the investor force exit? Can default make the investor better off? Is risk already compensated elsewhere? What happens in the downside scenario?

The answer should be visible not only in legal drafting but also in accounting and reporting. The dashboard should show whether payments to capital came from true surplus or from fragile cash flow, whether reserves were full before repayment, and whether any hardship provisions were triggered. It should show principal at risk, write-downs, deferred payments, and losses accepted by investors. A fund that claims non-extractive risk-sharing should be able to prove it.

There is a spiritual discipline here. Capital often wants to be called brave while remaining safe. It wants the dignity of risk without the wound of loss. *Periculum sortis* refuses this self-deception. It says that risk is not a costume. To bear risk is to accept the possibility of not being repaid; to share upside is to share downside; to accompany an enterprise is to stand with it under uncertainty, not merely above it with documents.

This does not mean investors should be careless. Stewardship requires diligence, diversification, prudence, and governance. Capital entrusted for mission should not be wasted. But prudence must not be confused with insulation from every loss. If capital is structured so that everyone else can be wounded while it remains whole, then the return it receives is not truly compensation for *periculum sortis*. It is payment extracted from risk borne by others.

In the end, *periculum sortis* in investment design asks capital to become honest about vulnerability. If capital wants return for risk, it must bear risk in the legal documents, the repayment waterfall, the governance structure, the downside scenario, and the accounting. It must accept loss absorption, subordination where appropriate, no guarantee, no excessive collateral, proportional return, and upside paired with downside. Only then can risk premium become compensation rather than extraction.

A non-extractive investment is therefore not defined merely by good intentions or mission language. It is defined by where the pain goes when things go wrong. If capital shares the pain, it may share the fruit. If capital shifts the pain, its claim to the fruit becomes suspect. That is the enduring moral force of *periculum sortis*.

40.5 Stipendium Laboris and Operational Sustainability

Not every legitimate payment above principal concerns delay, damage, foregone profit, or risk. Some payments compensate labor. The older phrase *stipendium laboris* names this reality: a stipend or payment for work performed. In modern non-extractive finance, this category is essential because moral capital still requires human labor. Someone must

find enterprises, evaluate them, structure agreements, perform due diligence, manage accounts, support founders, monitor mission, prepare reports, handle governance, mediate problems, and preserve the integrity of the institution. If this work is real, necessary, and proportionate, it may justly be compensated.

This point prevents a false opposition between morality and sustainability. A fund, cooperative lender, recoverable-grant vehicle, steward-ownership transition office, or mission-locked investment institution cannot serve anyone for long if it cannot pay for the work required to operate. The Monti di Pietà faced this problem centuries ago. Lending to the poor required buildings, pledge storage, records, staff, accounting, supervision, and administration. If no charge could ever be made for these costs and labors, the institution would collapse or become dependent on endless subsidy. If charges became profit-seeking, the institution would betray its purpose. The moral path lay between these extremes: cost and labor could be covered, but not converted into extraction.

Modern funds face the same tension. Due diligence takes time. Legal structuring costs money. Accounting systems must be maintained. Portfolio companies may need mentoring, governance support, conflict mediation, financial review, and mission-protection work. A non-extractive fund may require more work than a conventional fund, not less, because it refuses simple extractive defaults. It may need to design custom instruments, monitor surplus definitions, review hardship cases, audit payments by moral title, and ensure that governance remains faithful to mission. This labor is not incidental. It is part of the stewardship.

Management fees are therefore not automatically extractive. A modest, transparent fee that pays for real fund administration can be morally legitimate. The question is whether the fee corresponds to actual labor and necessary institutional capacity. If a fund manager spends time sourcing aligned enterprises, supporting founders, preparing reports, maintaining accounts, and protecting mission, compensation may be just. The worker is worthy of wages. Moral finance should not depend on invisible unpaid labor, burnout, or romanticized self-sacrifice.

But management fees are also dangerous. They can detach from work performed and become an automatic claim on capital under management. They can reward asset accumulation rather than mission service, make the institution more interested in growing the fund than serving enterprises, and be charged regardless of whether stewardship is good, useful, or proportionate. Once this happens, *stipendium laboris* becomes institutional rent. The fee is no longer primarily payment for labor. It becomes payment for occupying a financial position.

This danger is especially acute when fees are calculated as a percentage of committed or invested capital. Percentage-based fees may be administratively convenient, but labor does not always scale linearly with capital. A larger fund may require more work, but not necessarily in exact proportion to assets under management. A €10 million fund charging 2 percent receives €200,000 per year. A €100 million fund charging the same percentage receives €2 million per year. The work may be greater, but is it ten times greater? A non-extractive fund must ask whether its fee formula reflects actual labor or merely imitates market convention.

Fund administration is another legitimate but limited category. Bookkeeping, audits, tax filings, regulatory compliance, bank administration, payment processing, investor reporting, portfolio tracking, document storage, and governance logistics all create costs. These may be covered. But they should be distinguished from return on capital, risk premium, damages, and penalties. Administrative cost recovery should not be hidden in interest rates or repayment multiples if it can be named directly. Moral clarity improves when each payment says what it is for.

Due diligence likewise requires care. It is real labor: reviewing business models, governance structures, ownership forms, financial statements, mission alignment, legal documents, technology, cybersecurity, market context, team capacity, and downside scenarios. In a non-extractive fund, due diligence may also include theological, ethical, or mission analysis. This work protects both capital and enterprise. It can prevent harmful investments, badly designed repayment structures, mission drift, and avoidable failure.

But due diligence costs must be allocated justly. If a fund charges large due-diligence fees to applicants regardless of whether they receive capital, it may burden precisely the enterprises it claims to support. If fees are imposed upfront on fragile organizations, the process can become exclusionary. If due diligence primarily protects investors rather than serving the enterprise, it is not obvious that the portfolio company should bear the full cost. A non-extractive framework should ask who benefits from the labor and allocate the cost accordingly.

Accounting is not merely technical. In moral finance, accounting becomes a safeguard against drift. Someone must classify payments: principal, reimbursement, labor, expense, penalty, risk return, surplus share, donation, reserve allocation, owner distribution, or item needing review. Someone must ensure that the same burden is not counted twice, verify that investor repayment begins only after agreed thresholds are met, and check whether fees correspond to actual work. This is stewardship labor. It is worthy of compensation because it protects the truthfulness of the structure.

Legal work is also often necessary. Non-extractive contracts may require more careful drafting than standard templates. They must define surplus, caps, mission locks, hardship provisions, repayment waterfalls, governance rights, stewardship obligations, investor limits, and anti-abuse mechanisms. They may involve foundations, cooperatives, steward-owned companies, golden shares, asset locks, or capped-return instruments. Lawyers must be paid. But legal costs must remain proportionate and mission-serving. If legal complexity becomes so expensive that only well-funded enterprises can access non-extractive structures, the form begins to undermine its own purpose.

Stewardship work deserves particular attention. A conventional investor may monitor performance mainly to protect return. A steward investor must do more. It must ask whether the company remains faithful to its mission, whether workers are treated justly, whether governance remains healthy, whether repayment burdens are sustainable, whether investor pressure is distorting purpose, and whether the enterprise is growing in a way compatible with life. This work is relational, qualitative, and often invisible. It may involve accompaniment rather than control. It may require patience, listening, and discernment. Such labor should not be treated as costless.

Yet stewardship fees can also become performative. A fund may charge for stewardship while providing little more than occasional calls, generic advice, or investor reporting. It may use the language of accompaniment while functioning like ordinary portfolio management. It may charge companies for support they did not request or do not need. Therefore stewardship labor must be accountable. What work was promised? What work was performed? Did it serve the enterprise? Was it useful? Was it proportionate? Was it welcomed? Did it protect mission, or merely monitor capital?

Operational sustainability is the broader category that gathers all these concerns. A non-extractive institution must endure if it is to serve across time. It cannot depend entirely on heroic founders, unpaid volunteers, emergency grants, or hidden subsidies. It needs a sustainable operating model. But sustainability must be defined carefully. The institution exists to serve the mission, not the mission to serve the institution. The fund must be sustainable enough to continue its work, but not so self-protective that it extracts from the enterprises it was created to nourish.

This is one of the recurring dangers of moral institutions. They begin with service, and service develops administrative needs. Those needs become budgets, budgets become fixed expectations, expectations become claims, claims become pressure, and the pressure is passed down to the vulnerable. At the end of this chain, the institution still speaks the language of mission, but its practical energy has shifted toward its own preservation. The old concern about the Monti di Pietà remains relevant: cost recovery can drift into self-serving finance unless disciplined by governance, transparency, and limits.

A non-extractive fund should therefore distinguish between several kinds of operational payment. First, direct reimbursement for specific expenses. Second, labor compensation for specific work performed. Third, general management fees for maintaining institutional capacity. Fourth, stewardship fees for ongoing mission support. Fifth, success-based or surplus-based compensation, where appropriate, for value actually created. Each category should be named separately. The more clearly payments are classified, the less likely they are to become disguised yield.

The source of these payments also matters. Should they be paid by portfolio companies, by investors, by philanthropic subsidy, by the fund itself, by a shared pool, or from surplus after resilience? The answer may differ by category. Investor reporting arguably benefits investors and should not automatically be charged to companies. Mission stewardship may benefit both the fund and enterprise. Legal structuring may benefit the specific transaction. General fundraising costs may belong to the fund manager. A moral accounting system should allocate costs according to benefit, causality, and capacity.

Timing matters as well. Upfront fees can burden fragile enterprises before they have received any benefit. Recurring fees can drain cash flow during difficult periods. Success-based fees can align payment with capacity, but may also create incentives to push for growth or exit. Fees paid from distributable surplus after reserves may be more compatible with non-extractive logic. A fee is not only an amount. It is a claim on time, cash flow, and priority.

Caps and review mechanisms help preserve proportionality. Management fees can be capped relative to budgeted work. Direct expenses can require approval above thresholds. Legal costs can require estimates and borrower notice. Stewardship fees can be reviewed annually. Related-party payments can be disclosed. Success fees can be limited or avoided. Total cost recovery from portfolio companies can be capped so that the fund does not shift its entire institutional burden onto them unnoticed. These mechanisms keep *stipendium laboris* tied to labor.

Transparency is essential. A borrower should know what fees exist, what they pay for, when they are charged, whether they are optional, whether they are capped, and whether they duplicate other charges. Investors should know how much of their capital goes to enterprises and how much to fund operations. Mission stewards should know whether the institution's cost structure pressures portfolio companies. Transparency does not eliminate every moral problem, but secrecy almost guarantees drift.

A non-extractive fee policy might include several rules. Fees must correspond to real labor or necessary expense, be proportionate, and be disclosed. They must not duplicate other charges, must not be calculated primarily to reach a target return, and must not be imposed in ways that endanger wages, reserves, or mission. They must be reviewable, they must distinguish investor-serving work from enterprise-serving work, and they must be reducible or waivable under hardship.

This has implications for the design of the NEC simulator or any moral-finance dashboard. Operational costs should be visible, not hidden inside return assumptions. Users should be able to see how management fees, stewardship costs, legal costs, accounting costs, and administration affect both fund sustainability and enterprise burden. The model

should distinguish cost recovery from yield, show when fees are paid from capital, revenue, free cash flow, or surplus, and flag double-counting and related-party payments. It should ask whether operational sustainability is being achieved by serving the mission or by burdening it.

Theologically, *stipendium laboris* honors work. This is important. A moral economy should not pretend that the labor of stewardship is worthless. It should not rely on hidden female labor, unpaid religious labor, founder self-exploitation, or activist burnout. Justice includes paying people for real work. In this sense, operational sustainability is part of moral finance, not a concession to it. Institutions that cannot pay for necessary labor may become fragile, chaotic, or dependent on charismatic sacrifice.

But the same theology also disciplines institutional desire. Work deserves wages, but not every institutional desire is work; stewardship deserves support, but not every managerial activity is stewardship; administration deserves reimbursement, but not every bureaucratic expansion serves the poor, the borrower, or the mission. The fact that an institution has costs does not mean every cost should be passed on. The fact that a manager works hard does not mean every fee is proportionate. Labor must be real, useful, necessary, and ordered toward service.

This distinction becomes especially important when finance borrows the language of vocation. A fund may say it is accompanying entrepreneurs, stewarding mission, serving digital sovereignty, or building a moral economy. These may be true. But vocation is not a blank check. Precisely because the language is sacred, the accounting must be more honest. A ministry can exploit, a mission can overcharge, and a steward can become a rentier. The antidote is not cynicism, but disciplined transparency.

The Monti di Pietà again offer the warning and the hope. They showed that institutions can charge small amounts for labor and expense without becoming usurious, if those charges are necessary for service and constrained by mission. They also remind us that institutions drift: what begins as sustainability can become self-protection, what begins as cost recovery can become profit, and what begins as service to the poor can become service to the institution. Modern non-extractive finance must build countermeasures from the start.

In the end, *stipendium laboris* and operational sustainability teach that capital serving life must also support the labor required to serve life. The question is not whether fund managers, administrators, accountants, lawyers, and stewards may be paid. They may. The question is whether their payment remains truthful: tied to real work, proportionate to the burden, transparent in the accounts, and subordinate to the mission. When this discipline holds, operational payments sustain non-extractive finance. When it fails, they become extraction under the name of service.

40.6 Carentia Pecuniae and Lock-Up

Carentia pecuniae is one of the most dangerous adjacent titles because it stands so close to the modern idea of the time value of money. The phrase means lack, absence, or deprivation of money. It asks whether a lender may be compensated simply because the lender is without the money for a period of time. In modern finance, this appears under the language of lock-up, liquidity premium, commitment period, duration, illiquidity, and time-based return. The moral danger is obvious: if being without money is itself enough to justify surplus, then almost every loan becomes interest-bearing by nature.

This is why *carentia pecuniae* must be handled with caution. It is related to *lucrum cessans*, but it is not identical. *Lucrum cessans* concerns a concrete profit foregone. The lender

would have used the money in a specific, licit, intended, and reasonably certain way, and the loan prevented that gain. *Carentia pecuniae* is more abstract. It concerns the lender's deprivation of money as such. The lender cannot use the money because it has been committed to another. In modern terms, the lender has lost liquidity and optionality.

This can be real. To commit capital for a term is not nothing. A fund that locks money into a five-year instrument cannot use that money elsewhere. A foundation that provides patient capital may have less liquidity for emergencies. An investor who accepts a long repayment horizon loses flexibility. A lender whose funds are tied up may be unable to respond to new opportunities or obligations. Time, illiquidity, and commitment do create burdens. The question is whether those burdens are concrete enough to charge to the borrower, or whether they simply become a new vocabulary for ordinary interest.

The older suspicion is important because *carentia pecuniae* can dissolve the whole doctrine. If every lender may say, "I lacked my money during the term of the loan," then every lender has an extrinsic title. The title is no longer extrinsic in any meaningful sense. It becomes intrinsic to lending. Every loan involves the lender being without the money. Therefore, if absence alone is compensable, the prohibition on profit from the loan itself has effectively vanished.

Modern liquidity premiums face the same danger. A liquidity premium compensates an investor for holding an illiquid asset rather than a liquid one. In financial markets, this may be a standard valuation concept. Illiquid investments are less flexible and may require higher expected return. As a prudential tool, this is understandable. But as a moral title charged to the borrower, it requires discipline. The borrower should not automatically owe surplus merely because the investor chose an illiquid form. Otherwise, every patient commitment becomes a claim for yield.

The same is true of lock-up. In investment funds, a lock-up period prevents investors from withdrawing capital for a defined time. This can be necessary. Long-term mission finance cannot function if investors can demand liquidity at every moment. Patient capital requires patient funding. But if the fund then charges portfolio companies simply because its own investors are locked up, the moral question shifts upstream. Who created the liquidity expectation? Who benefits from the structure? Why should the enterprise bear the cost of the fund's promise to its capital providers?

A commitment period can also be morally ambiguous. Investors may commit capital that is drawn down over time. The fund may charge fees on committed capital, invested capital, or undrawn commitments. The investor may claim that the capital must remain available and therefore cannot be used elsewhere. This is a real institutional constraint. But again, the question is allocation. Is the burden caused by a specific borrower? Or is it part of the fund's general operating model? A specific enterprise should not automatically bear the cost of capital being reserved for the fund's broader strategy.

The time value of money is the broadest modern expression of the problem. Finance commonly assumes that money today is worth more than money tomorrow. This assumption underlies discounting, valuation, interest rates, net present value, bond pricing, and investment decisions. As a descriptive or prudential tool, it can be useful. Future payments are uncertain. Liquidity matters. Inflation may erode purchasing power. Delay may create real burdens. But as a moral claim, the time value of money must not be absolutized. Time itself does not belong to capital.

This is the theological heart of the matter. If time is treated as capital's private property, then the passage of time becomes a rent-producing asset. The borrower must pay because time has passed while the money was absent from the lender. But the older tradition resists exactly this move. Time is not a thing the lender owns and leases. Money transferred in a *mutuum* is not an asset whose use remains with the lender. The lender may

be compensated for real burdens that occur during time, but not simply for time itself.

This distinction is subtle but decisive. Delay may cause *damnum emergens*. A concrete alternative use may support *lucrum cessans*. Genuine exposure over time may support *periculum sortis*. Administrative work over time may support *stipendium laboris*. But time alone is not any of these. The fact that a contract lasts twelve months does not automatically create twelve months of moral entitlement. The passage of time must be connected to a real burden, not treated as a burden in itself.

Inflation complicates the analysis. If repayment of nominal principal after a long period leaves the lender with substantially reduced purchasing power, one might argue that the lender has not truly received the equivalent. This is not exactly *carentia pecuniae*, but it is adjacent. The moral issue becomes whether preserving real value is repayment of the *tantundem* in economic substance, or whether inflation adjustment becomes an interest-like surplus. A careful non-extractive framework may allow transparent inflation adjustment in some cases, especially for long-term instruments, but should distinguish it from profit. Preserving principal is not the same as extracting yield.

Currency risk raises a similar issue. If capital is advanced in one currency and repaid in another, exchange-rate movements can create real loss. Compensation for such loss may be closer to *damnum emergens* or exchange-contract logic than to *carentia pecuniae*. But it must be documented and proportionate. The fact that money was locked up is not enough. The specific loss must be shown.

In modern fund design, *carentia pecuniae* should therefore be treated primarily as an internal stewardship consideration, not a default borrower charge. A fund may ask: how much illiquidity can we accept? How long can capital be patient? What reserves do we need? What commitments have we made to our own investors? What future mission opportunities might we be unable to support if capital is locked? These are legitimate questions. But they do not automatically become reasons to charge a portfolio company a liquidity premium.

When a liquidity premium is considered, it should satisfy strict tests. Is the lock-up real? Is it caused by this specific investment? Does it impose a concrete burden beyond the general nature of patient capital? Is the burden necessary for the borrower's benefit or primarily for the fund's structure? Is the premium proportionate? Is it already captured in another return component? Does it burden the enterprise before it has generated surplus? Is the premium capped? Is the investor also receiving risk compensation, administrative fees, or opportunity-cost compensation for the same commitment?

This last point is crucial because liquidity, opportunity, and risk are easily double-counted. The investor may charge for being without money, for the opportunity foregone because of being without money, and for the risk borne while being without money. These are related but not identical. Without careful classification, they merge into a single justification for return. The language changes, but the result is ordinary interest: payment because capital was absent from the lender and present with the borrower for a time.

A non-extractive contract should therefore avoid generic lock-up premiums unless they are clearly tied to real burden and paid from surplus. If an investor accepts a long-term commitment for mission reasons, part of that patience may be gift, vocation, or stewardship. It should not automatically be monetized. The investor may receive a capped surplus share for genuine risk-bearing. The fund may recover actual costs. It may adjust for inflation if necessary to preserve principal. But it should resist turning illiquidity itself into an open-ended claim.

There is also a deeper spiritual danger in *carentia pecuniae*. It can train capital to experience every act of patience as deprivation. The money is not immediately available, so capital feels wronged; the fund cannot redeploy instantly, so it demands compensation;

the investor waits, so the borrower owes. This psychology is the opposite of stewardship. Stewardship may require waiting without full compensation. It may require accepting that mission capital is not always maximally liquid, and patience as a form of love.

Yet patience should not be romanticized in a way that destroys institutions. A fund that ignores liquidity entirely may fail its future beneficiaries. A foundation that locks too much capital may be unable to respond to crisis. A mission investor that accepts indefinite illiquidity without planning may become irresponsible. The question is not whether liquidity matters. It does. The question is whether the cost of illiquidity is borne justly, transparently, and proportionately, rather than passed automatically to the borrower.

One practical solution is to hold liquidity reserves at the fund level. Instead of charging each enterprise a liquidity premium, the fund can manage its own liquidity through reserves, staggered maturities, diversified instruments, patient LP agreements, and clear redemption policies. The burden of patience is then structured into the fund honestly. Portfolio companies are not forced to pay for liquidity promises that the fund made elsewhere. This is especially important for non-extractive funds that claim to protect enterprises from conventional capital pressure.

Another solution is to align LP expectations from the beginning. If investors in the fund demand liquidity, the fund will be tempted to demand liquidity from portfolio companies. If investors accept lock-up as part of their mission, the fund can offer patient capital downstream. Non-extractive capital therefore begins upstream. The fund cannot be more patient with borrowers than its own capital providers allow, unless it absorbs the tension internally. A moral capital stack must be coherent from LP to portfolio company.

A third solution is to use surplus-based liquidity. Instead of fixed time-based compensation, capital may receive repayment when the enterprise has true distributable surplus. The investor accepts that liquidity depends on the company's health. This makes the lock-up part of risk-sharing rather than a separate entitlement. If the company flourishes, capital returns. If it struggles, capital waits. The absence of money is not charged as such; it is embedded in shared fate.

A fourth solution is to distinguish principal preservation from return. Inflation adjustment, currency protection, and cost reimbursement may sometimes preserve the real value of what was entrusted. But these should be explicitly classified as preservation or reimbursement, not profit. If a fund wants an additional return, it should name the title: risk, surplus participation, concrete foregone gain, or labor. Clarity prevents *carentia pecuniae* from smuggling yield into the contract.

In the NEC simulator or similar tools, *carentia pecuniae* should be visible as a high-risk moral assumption. Users should be able to toggle whether lock-up or liquidity premium is treated as chargeable. Strict Franciscan mode might reject it almost entirely, except where it becomes actual loss or principal preservation. Thomistic moderate mode might allow only concrete burdens tied to delay, loss, or foregone use. Salamanca or late-scholastic mode might explore more permissive interpretations, while clearly flagging the danger of doctrine collapse. Modern finance comparison mode might include ordinary liquidity premiums to show how far they move from the stricter tradition.

This makes *carentia pecuniae* useful pedagogically. It exposes the hidden assumption behind much of modern finance: that capital must be compensated for not being elsewhere. The simulator could ask: is this liquidity premium tied to actual loss? Is it a generic time charge? Is it already included in opportunity cost? Is it already compensated through risk return? Is it paid before surplus? Does it burden the enterprise's resilience? These questions would show whether the lock-up is being treated as stewardship or entitlement.

For modern contracts, a cautious rule would be: do not charge for lock-up as such unless the burden is concrete, necessary, proportionate, not double-counted, and compatible

with the borrower's flourishing. Prefer internal fund-level liquidity management, patient LP capital, repayment from surplus, caps, and transparency. Treat generic liquidity premium as morally suspect, and treat the time value of money as a prudential tool, not a theological truth.

The broader lesson is that not every absence is an injury. The lender's money is absent because the lender chose to deploy it. That deployment may be prudent, generous, risky, or foolish. It may create real burdens. But the mere fact of absence does not automatically make the borrower a debtor for more than principal. If absence causes actual loss, document it. If it prevents concrete gain, examine it under *lucrum cessans*. If it exposes principal to loss, examine it under *periculum sortis*. If it requires labor, examine *stipendium laboris*. Do not let absence itself become a universal title.

In the end, *carentia pecuniae* marks the edge of modern interest. It is the point where compensation shades into payment for time, and payment for time settles into the assumption that money naturally deserves growth. A non-extractive moral economy must resist that slide. It must acknowledge liquidity without worshipping it, plan for lock-up without charging every burden downstream, and honor patience as a real form of stewardship. Capital may sometimes be compensated for what it truly bears. But it may not claim the borrower's future simply because it was willing to wait.

The NEC Simulator as Moral Theology in Code

41.1 Why Model the Titles

At first glance, it may seem strange to translate scholastic moral theology into code. The extrinsic titles were born in Scripture, Roman law, canon law, confession manuals, university disputations, merchant practice, and pastoral anxiety. They were not mathematical formulas. They were moral distinctions. They asked whether a surplus payment was truly compensation for something external to the loan, or whether it was simply gain extracted from the loan itself. To place such distinctions inside a simulator can feel like a category mistake.

But in a modern financial world, many of the most important moral assumptions are already hidden inside models. Every spreadsheet contains a theology of capital, even when it denies having one. Every discounted cash-flow model, fund-return projection, repayment waterfall, sensitivity analysis, IRR target, and valuation model answers moral questions without announcing them. It decides what counts as value, whose claims are senior, and which losses matter. It decides whether the borrower's survival is a constraint or merely a variable, and whether capital should be restored, compensated, protected, multiplied, or privileged. It decides whether downside is shared or shifted, and whether the human enterprise exists to serve life, or whether life must be reorganized to serve capital.

The purpose of the NEC Simulator is not to replace moral judgment with code but to make moral judgment more explicit.

The old scholastic tradition did not ask only whether money had increased. It asked why it had increased. Was the increase tied to culpable delay? Then the relevant title might be *poena conventionalis* or *morae poena*. Was it tied to an actual loss incurred by the lender? Then the relevant title might be *damnum emergens*. Was it tied to a concrete foregone gain that the lender really would have earned? Then the relevant title might be *lucrum cessans*, though always under suspicion because of its tendency to become abstract opportunity cost. Was the surplus tied to genuine risk of losing principal? Then the relevant title might be *periculum sortis*, though only if the capital was truly exposed to loss and not protected by guarantees, seniority, collateral, or enforcement against the borrower's unrelated assets.

The NEC Simulator takes this old moral diagnostic system and asks whether it can be made visible inside modern investment design. Instead of treating a return as a single undifferentiated number, the simulator decomposes it. It asks what portion of the surplus, if any, is justified by actual cost recovery, what portion by documented loss, what portion by real risk-bearing, and what portion by stewardship labor; what portion is merely yield, what portion depends on the borrower's weakness, and what portion would disappear if the contract were truly solidaristic.

This is why modeling matters. Without modeling, extraction often hides behind language. A penalty can be described as discipline while functioning as revenue, a manage-

ment fee as sustainability while drifting into institutional self-interest, a risk premium as compensation while the actual risk has been shifted elsewhere. An opportunity cost can be described as sacrifice while functioning as a universal claim that money deserves growth simply because it could have been deployed elsewhere. A repayment cap can be described as non-extractive while still producing pressure, fragility, or mission drift if the repayment waterfall privileges capital too strongly over workers, founders, community, or mission.

The simulator is therefore a tool of moral exposure. It does not merely calculate returns; it reveals the moral geometry of the contract.

This is especially important because modern finance often collapses all surplus into yield. Once a fund has a target return, every contractual feature tends to be interpreted in relation to that return. Fees, penalties, repayment schedules, preferred returns, liquidation preferences, warrants, convertibles, collateral, guarantees, and redemption rights can all become instruments for protecting capital's expected growth. The language may vary, but the gravitational pull is the same: capital must be compensated for time, protected from loss, and positioned to capture upside.

Scholastic moral theology interrupts that gravitational pull. It refuses to begin with the premise that capital is entitled to growth. It asks first whether there has been a real burden, and then who bears that burden. It asks whether the burden is documented, proportionate, and external to the *mutuum*, and whether the surplus restores equality or creates domination. It asks whether the creditor would have preferred repayment on time, whether the lender actually lost something, whether the alleged foregone gain was concrete rather than speculative, and whether the investor truly stood to lose principal.

These questions are difficult to hold in ordinary financial conversation because modern finance has trained us to treat them as secondary. The simulator makes them primary again. It forces the user to name the title, to classify the surplus, and to distinguish compensation from yield.

This does not mean the model can determine sin. A simulator cannot know the full interior intention of the parties. It cannot replace prudence, conscience, pastoral judgment, legal analysis, or theological discernment. It cannot know whether a borrower felt pressured, whether a founder signed under desperation, whether an investor secretly preferred default, or whether a board gradually drifted from stewardship into extraction. But it can make visible the structures in which those intentions operate. It can show whether the contract invites solidarity or domination, whether the downside is actually shared, and whether the same harm has been counted twice. It can show whether the lender's return depends on real loss absorption or on protected seniority, and whether a supposedly non-extractive instrument still behaves like extractive finance under stress.

This is why the NEC Simulator is not just a financial tool. It is moral theology in code. It is also a form of practical casuistry. The medieval and early modern theologians did not apply the usury doctrine only in abstraction. They examined concrete cases: delayed repayment, damaged merchants, foregone trade, risky voyages, public debt, charitable pawn banks, bills of exchange, penalties, partnerships, and disguised loans. They asked what the transaction really was, not merely what it called itself. The simulator continues this casuistic method in a modern environment. It asks about repayment priority, loss allocation, risk-bearing, administrative costs, late penalties, stewardship labor, collateral, guarantees, caps, and upside participation. It tries to classify the moral substance beneath the legal form.

The deepest purpose of the model is to prevent self-deception. Good people can build extractive systems without intending to. Mission-driven funds can drift, charitable institutions can become self-protective, stewardship language can be used to justify capital privilege, risk-sharing language can conceal risk-shifting, and cost recovery can slowly be-

come profit extraction. A model that makes moral assumptions explicit creates friction against this drift. It slows the user down. It asks: what are you really charging for? What loss are you restoring? What risk are you actually bearing? What cost are you recovering? What burden are you placing on the borrower? What happens if the enterprise fails? Who can lose everything? Who remains protected?

In this sense, the simulator is not an answer machine but an examination of conscience. The scholastic doctors developed the extrinsic titles because they knew that surplus could be either restorative or predatory. They knew that a payment above principal was not automatically usury, but they also knew that nearly any title could become a pretext. The task, then and now, is not merely to prohibit all surplus. It is to discipline surplus: to ask whether capital is being compensated for a real burden, or whether it is using law, contract, time, and bargaining power to secure its own increase at the expense of another's vulnerability.

The NEC Simulator models the titles because modern finance needs this discipline again. It needs tools that can distinguish actual loss from fictive damages, concrete foregone gain from abstract opportunity cost, real risk-bearing from risk premiums without downside, and stewardship labor from fee extraction. It needs models that do not simply optimize return but interrogate the moral basis of return.

To model the titles, then, is not to reduce theology to mathematics. It is to refuse the false neutrality of mathematics: to insist that every model of capital already carries a moral vision, and that a Christian moral economy must make that vision visible, testable, and accountable. The old question remains, whether a surplus is restorative, participatory, or extractive. The simulator exists to make that question impossible to ignore.

41.2 Inputs and Classifications

A moral model begins with the humility to ask what it is actually measuring. Modern financial models usually begin with familiar inputs: principal, valuation, revenue, growth rate, repayment rate, discount rate, default probability, exit multiple, IRR, cash-flow timing, and expected return. These are useful, but they are not morally neutral. They often assume that the central question is how capital can be repaid, preserved, or multiplied. They rarely begin by asking whether the surplus claimed by capital is restorative, participatory, or extractive.

The NEC Simulator therefore needs a different kind of input architecture. It must still speak the language of finance, because it must analyze real contracts and real capital structures. But it must also speak the language of moral theology. It must ask not only what the contract pays, but why it pays; not only how much surplus is generated, but what title justifies that surplus; not only whether a return is possible, but who bears the loss if reality disappoints the projection.

The first input is principal. In ordinary finance, principal is the amount invested, loaned, or advanced. In scholastic moral analysis, however, principal has a more specific significance. It is the *sors*: the underlying sum, the thing placed at stake, the amount whose repayment may be demanded or whose loss may be borne. The moral meaning of principal depends on the structure of the transaction. If the principal is owed back absolutely, regardless of the borrower's success or failure, then the contract resembles a *mutuum*. If the principal is genuinely exposed to loss, then the contract moves closer to *societas*, *commenda*, risk-bearing capital, or another participatory structure. The same numerical input therefore has different moral meaning depending on whether it is protected or exposed.

The second input is repayment priority. This is one of the most morally revealing fea-

tures of a capital structure. Who gets paid first? Does capital stand ahead of labor, suppliers, founders, mission, community, taxes, reserves, or reinvestment? Does the investor receive repayment before the enterprise has achieved resilience? Does the contract require repayment while the organization is still fragile? Does the repayment waterfall protect the investor from losses that are pushed onto others?

A repayment schedule may look moderate in isolation, but become morally troubling when viewed in priority order. A capped return may seem non-extractive compared to venture capital, but if capital is still repaid before wages, reserves, or mission-critical reinvestment, it may retain a structure of privilege. This is why the simulator cannot simply ask whether the return is capped. It must ask where the capital claim sits in the moral order of payment.

The third input is risk-bearing. This is central to *periculum sortis*. The simulator must distinguish between risk language and actual risk exposure. Many contracts speak as if investors bear risk because repayment is uncertain in practice. But the real question is whether the contract legally and economically permits the principal to be lost. If the investor has collateral, guarantees, seniority, enforcement rights, default penalties, or recourse to unrelated borrower assets, then the investor may be protected even when the entrepreneur, workers, or mission bear the effective downside.

Risk-bearing therefore cannot be entered as a vague impression. It must be classified. Is principal fully guaranteed? Partially guaranteed? Unsecured but still legally owed? Subordinated? Repayable only from surplus? Written down if the enterprise fails? Converted into a non-economic participation right after a cap? Does the investor share losses proportionally, or only share upside after downside has been absorbed by others? The moral classification depends on these details.

The fourth input is loss allocation. Risk-bearing asks whether capital can lose. Loss allocation asks who actually loses when things go wrong. This is often the place where the moral reality of a contract becomes visible. A financing structure may appear fair during success, but reveal its extractive character under stress. If revenue falls, who absorbs the shock? Are founders pressured into unpaid labor? Are workers laid off to service capital? Are suppliers stretched? Is mission postponed? Are communities abandoned? Are public subsidies used to protect private return? Does the investor's claim remain intact while everyone else is forced to adjust?

The simulator should therefore classify losses across parties: investor, founder, worker, enterprise, mission, community, supplier, public sector, and future beneficiaries. A non-extractive capital structure should not merely cap upside. It should also discipline downside. It should prevent the investor from enjoying theological language of risk-sharing while contractually pushing the wounds of failure onto weaker parties.

The fifth input is foregone opportunity. This corresponds to *lucrum cessans*. Here the simulator must be especially strict, because this title is morally dangerous. In modern finance, opportunity cost is often treated as universal. Money could have earned elsewhere; therefore money must be compensated here. But scholastic theology does not begin from the assumption that money deserves growth. It asks whether a concrete, licit, intended, and reasonably certain gain was actually interrupted by the loan or investment.

The simulator must therefore refuse vague opportunity-cost claims. It should ask: what alternative deployment was actually available? Was it mission-aligned? Was the investor genuinely intending to use the funds in that way? Was the expected gain reasonably determinate? What probability attaches to it? What costs and risks would have accompanied it? Did this specific transaction truly cause the gain to cease? Or is the investor merely invoking a general market return as if abstract capital always has a moral claim to growth?

In a non-extractive framework, foregone opportunity can sometimes matter. A small mission-driven fund may truly sacrifice one concrete deployment to make another. A patient capital provider may forgo a specific licit use of capital in order to support an enterprise. But the simulator must distinguish this from the metaphysical claim that all money, by nature, should grow over time. *Lucrum cessans* is admissible only when disciplined. Undisciplined, it becomes the bridge from compensation to ordinary interest.

The sixth input is actual damages. This corresponds to *damnum emergens*. It is the cleanest of the titles because it concerns real loss rather than hypothetical gain. But even here, classification matters. The simulator must ask whether the loss is actual, documented, caused by the transaction, proportionate, and not double-counted elsewhere. Administrative inconvenience is not necessarily damage. A desired return is not damage. A disappointment in portfolio performance is not damage. A modeled shortfall from target IRR is not damage. Actual damages must be tied to something the lender or investor truly lost.

Examples may include legal costs caused by default, collection costs, documented liquidity harm, emergency replacement financing, actual operational disruption, or specific expenses caused by the borrower's wrongful delay. But even these must be handled carefully. If the same harm is already covered by a late penalty, administrative fee, reserve requirement, or management charge, it cannot be counted again as *damnum emergens*. Restorative accounting requires moral anti-duplication.

The seventh input is late penalties. This corresponds to *poena conventionalis* or *morae poena*. Late penalties can be legitimate when they discipline culpable delay and compensate for real inconvenience or harm. But they are also among the easiest devices to abuse. A contract can create an unrealistically short repayment date, expect default, and then harvest penalties as hidden yield. The simulator must therefore ask whether the due date is realistic, whether delay is culpable, whether the penalty is proportionate, whether there is a grace period, whether hardship is considered, and whether the lender would genuinely prefer repayment on time.

This last question is morally crucial. If the lender benefits more from default than from timely repayment, the penalty has begun to function as revenue. Scotus's diagnostic insight becomes programmable here: the structure of incentives reveals the truth of the title. A penalty that the lender hopes to collect is no longer simply a penalty. It is a disguised price of time.

The eighth input is administrative costs. These belong near *damnum emergens* and *stipendium laboris*, but they require their own classification. Non-extractive finance still needs administration. The Monti di Pietà faced this problem directly. Lending to the poor required staff, accounting, buildings, record-keeping, pledge management, and institutional continuity. A charitable institution that refuses all cost recovery may collapse. But an institution that converts cost recovery into profit extraction may betray its purpose.

The simulator should therefore distinguish between actual cost recovery, allocated overhead, management fees, surplus-generating fee structures, related-party payments, and unexplained institutional leakage. Administrative cost should not become a cloak for return. A management fee should be tested against actual work performed, actual expenses incurred, proportionality, transparency, and mission necessity.

The ninth input is labor and stewardship costs. This is related to *stipendium laboris*, but in a modern fund it has special importance. Stewardship work is real work. Due diligence, accompaniment, governance support, mentoring, financial structuring, impact reporting, mission protection, legal design, and conflict mediation all require time and skill. A non-extractive capital structure should not romanticize unpaid labor or pretend that good finance sustains itself without human effort.

But stewardship compensation must remain compensation for labor, not a disguised claim on capital. The simulator must ask whether the payment corresponds to actual work, whether the work serves the enterprise, whether the fee is proportionate, whether it scales reasonably, and whether it remains necessary after the fund or institution grows. A fee that begins as *stipendium laboris* can drift into institutional self-interest. Classification must therefore be revisited over time.

These inputs are not merely data fields. They are moral questions translated into model structure. A conventional simulator might ask what return the investor receives. The NEC Simulator asks: what kind of return is this? Is it repayment of principal? Is it restoration of actual loss? Is it compensation for culpable delay? Is it recovery of administrative cost? Is it payment for stewardship labor? Is it compensation for concrete foregone gain? Is it reward for genuine risk-bearing? Is it partnership profit? Or is it simply yield extracted from the borrower's need?

The classifications should therefore include at least the following categories: principal repayment, actual damages, late penalty, administrative cost, stewardship labor, foregone opportunity, capital risk, partnership participation, mission reinvestment, investor distribution, related-party payment, owner distribution, borrower protection, reserve-building, and needs review. The "needs review" category is essential. A moral simulator should not force false certainty. Some payments will be ambiguous, some contracts will mix titles, and some classifications will require human judgment, documentary proof, or theological review. The point is not to automate conscience but to structure attention.

Once the inputs are classified, the simulator can begin to show moral patterns. It can reveal when a contract relies heavily on opportunity cost, when risk premiums are charged despite strong downside protection, and when penalties become a major source of return. It can show when administrative fees exceed plausible cost recovery, when capital is repaid before the enterprise has resilience, when the same burden is used to justify multiple payments, and when a supposedly patient structure becomes aggressive under stress.

The simulator should also preserve the distinction between legal form and moral form. A payment may be legally permitted but morally suspicious. A contract may call itself equity while functioning like senior debt. A revenue-based financing instrument may appear flexible but still pressure the enterprise if repayment begins too early. A redeemable instrument may appear capped but still dominate cash flow. A foundation-owned or steward-owned structure may still contain extractive financial terms. Moral classification must therefore pierce labels.

In this sense, the input layer of the simulator performs the first task of scholastic analysis: it asks what the thing really is. The old theologians knew that usury often hides in classification errors. A loan is called a partnership. A penalty is called discipline. A profit claim is called compensation. A risk premium is charged without real risk. A future gain is treated as if it were already possessed. An administrative charge becomes institutional revenue. The simulator must be designed precisely to catch these misclassifications.

A good moral model therefore does not begin with output. It begins with naming. It asks the user to name the principal, the priority, the risk, the loss, the opportunity, the damages, the penalty, the cost, and the labor. Only then can it ask whether surplus is justified.

The central rule is simple: every surplus payment must be classified, documented, and tested. If a payment cannot be classified, it should not be treated as morally clean. If it cannot be documented, it should be marked uncertain. If it is disproportionate, it should be flagged. If it duplicates another charge, it should be challenged. If it depends on the borrower's fragility, it should be treated as morally dangerous. If it protects capital while exposing everyone else, it should not be called risk-bearing.

The NEC Simulator therefore begins with inputs, but it does not end with numbers. It begins by translating the four extrinsic titles into a disciplined data structure. It classifies the financial anatomy of the contract so that theology can see what finance has built. Only then can the simulator ask the question that matters: does this structure restore equality, share risk, sustain stewardship, and serve life, or does it merely teach extraction to speak the language of justice?

41.3 Switches and Moral Regimes

A simulator that models moral finance must not pretend that the tradition speaks with only one voice.

The scholastic tradition is coherent, but it is not flat. It contains strict voices, moderate voices, expansive voices, pastoral voices, commercial voices, Franciscan voices, Thomistic voices, Salamanca voices, Jesuit voices, rigorist voices, and later manualist settlements. Across the centuries, theologians agreed on the central prohibition: gain demanded from the *mutuum* itself is usury. But they differed over how broadly the extrinsic titles could be applied, how much proof was required, how concrete a foregone gain had to be, how real capital risk had to be, and how easily compensation could be agreed in advance.

This means that the NEC Simulator should not have only one moral setting. It should allow the user to see how the same contract appears under different moral regimes.

This is not relativism but historical honesty. A financing structure that looks acceptable under late scholastic casuistry may look dangerous under stricter Franciscan reasoning. A term that passes modern legal review may fail a Thomistic test of commutative justice. A risk premium that seems normal in contemporary finance may look like a universalized *periculum sortis* to a rigorist. A repayment waterfall that seems generous compared to venture capital may still appear morally suspect if capital is repaid before labor, mission, resilience, and community.

The point of moral-regime switches is therefore not to let the user choose the most convenient theology. It is to make disagreement visible. It allows the simulator to ask: under which moral assumptions does this structure appear justified? Under which assumptions does it become questionable? What must be true for the surplus to be restorative rather than extractive? How strict must the proof be? How real must the risk be? How concrete must the loss be? How subordinated must capital become before its return can be called participatory?

The first switch should be a Strict Franciscan mode. This mode represents the most suspicious posture toward financial surplus. It is not anti-commerce in a simplistic sense. The Franciscan tradition was often remarkably sophisticated about markets, merchants, poverty, credit, and practical institutions. Peter John Olivi, Bernardino of Siena, and the defenders of the *Monti di Pietà* show that Franciscan moral theology could understand the real needs of trade and credit. But Franciscan reasoning is especially sensitive to poverty, vulnerability, the dangers of accumulation, and the temptation to justify extraction in the name of necessity.

In Strict Franciscan mode, the simulator should treat surplus with a high burden of proof. Administrative costs may be allowed, but only as genuine cost recovery. Stewardship labor may be compensated, but not converted into a profit engine. Late penalties should be narrow, proportionate, avoidable, and clearly not desired as revenue. *Damnum emergens* should be actual, documented, and restorative. *Lucrum cessans* should be treated with deep suspicion unless the foregone gain is unusually concrete and morally compelling. *Carentia pecuniae* should generally be flagged as dangerous because it comes

too close to charging for the mere absence of money. *Periculum sortis* should require real loss absorption, not merely default risk priced into an otherwise enforceable claim.

Strict Franciscan mode should also be especially sensitive to repayment priority. It should ask whether capital is being restored before the human, communal, and mission conditions of the enterprise have been secured. Even priority repayment of principal may be morally questioned when it places capital ahead of workers, founders, suppliers, community obligations, or mission resilience. This mode should ask not only whether the investor can lose, but whether the structure still trains the enterprise to serve capital first.

Under this regime, a contract may be marked “technically non-usurious but spiritually dangerous.” This is an important category. Not every morally dangerous structure is formally usurious in a narrow sense. Some structures may be legal, non-usurious under moderate scholastic analysis, and still corrosive to the spirit of non-extractive finance. Strict Franciscan mode preserves this sensitivity.

The second switch should be a Thomistic moderate mode. This mode begins from Aquinas’s central architecture: in a *mutuum*, the borrower becomes owner of the money and owes back only the equivalent principal; gain from the use of the money itself is usury. But Aquinas also recognizes that external circumstances can create genuine claims of compensation. The lender may recover actual loss. Wrongful delay can create injury. Partnership can justify profit-sharing when the capital remains at risk. Exchange must preserve equality. Just price must account for real value, fraud, need, and the specific situation of the parties.

Thomistic moderate mode should therefore be disciplined but not absolutist. It should allow *damnum emergens* when real loss is shown. It should allow late penalties when they are genuinely penal and compensatory rather than expected yield. It should allow partnership-like profit when capital is truly exposed to risk and the arrangement is not merely a disguised loan. It should be cautious about *lucrum cessans*, because Aquinas directly warns against selling what one does not yet have. But it may acknowledge the later Thomistic opening through restitution and special owner value when the foregone gain is concrete enough to be morally intelligible.

This mode should make the *mutuum-societas* distinction central. If the investor’s claim is fixed, senior, guaranteed, collateralized, and enforceable regardless of outcome, the simulator should classify the instrument as *mutuum*-like. If the investor shares downside, accepts subordination, receives payment only from genuine surplus, and can lose principal if the enterprise fails, the simulator may classify the instrument as closer to partnership or risk-bearing capital. The question is not simply whether the legal document calls the instrument debt or equity. The question is whether the economic and moral substance resembles lending or participation.

Thomistic moderate mode should therefore produce outputs such as: “restorative compensation,” “partnership-like participation,” “*mutuum*-like yield,” “possible disguised loan,” “actual loss documented,” “foregone gain insufficiently concrete,” “risk-bearing insufficient,” or “priority structure morally concerning.” It should be rigorous enough to challenge modern finance, but spacious enough to recognize legitimate compensation, labor, cost, and real partnership.

The third switch should be Salamanca / late scholastic mode. This mode reflects a more commercially developed moral theology. By the time of the Spanish scholastics and later Jesuit systematizers, theologians were analyzing a more complex financial world: merchants, exchange contracts, public debt, risk, liquidity, foregone profit, money markets, commercial opportunities, and increasingly sophisticated contracts. Figures such as Soto, Navarrus, Molina, Lessius, and Lugo did not simply abandon the usury doctrine. But they developed more elaborate ways to recognize loss, risk, and commercial context.

Salamanca / late scholastic mode should therefore permit broader use of *lucrum cessans* and *periculum sortis*, but under conditions. It should ask whether the lender or investor had a real alternative use, whether the foregone profit was probable and determinate, whether the transaction caused the loss of that opportunity, whether the compensation is proportionate, and whether payment is demanded in a way that converts the title into ordinary yield. It should allow risk-based compensation where the principal is genuinely uncertain, but it should still distinguish between true risk-bearing and mere contractual language.

This mode should also recognize the late scholastic tendency to unify the titles under a broader theory of detriment. Lugo's synthesis matters here. Actual loss, foregone gain, and risk of principal can all be understood as burdens suffered by the capital provider, but only if they are real and not fictive. Salamanca / late scholastic mode may therefore be more permissive than Thomistic moderate mode, but it should still insist on proof, causality, proportionality, and anti-fraud scrutiny.

This mode is useful for modern non-extractive finance because many real cases are not simple almsgiving, simple loans, or simple partnerships. A mission-driven fund may need to account for portfolio risk, opportunity tradeoffs, administrative burdens, and long lock-up periods. It may need to compare one deployment against another. It may need to preserve institutional continuity. A Salamanca-informed mode can help analyze these complexities without collapsing into modern return-maximization.

But this mode also requires warnings. The simulator should show when late scholastic permissiveness begins to approach the edge of modern interest. If every alternative use counts as foregone profit, if every default possibility counts as *periculum sortis*, if every lock-up counts as *carentia pecuniae*, and if every cost of being without money becomes compensable, the old doctrine dissolves. Salamanca / late scholastic mode should therefore include a "doctrine-dissolution risk" indicator: a warning that the title may be formally invoked but functionally universalized.

The fourth switch should be Modern finance comparison mode. This is not a moral endorsement. It is a contrast layer.

Modern finance comparison mode should show how a contemporary investor, lender, VC fund, private equity sponsor, or portfolio model would normally interpret the same structure. It might calculate IRR, multiple on invested capital, payback period, default-adjusted return, liquidity premium, risk premium, opportunity cost, portfolio diversification, repayment sensitivity, and downside protection. It might treat time value of money as automatic. It might treat opportunity cost as universal. It might treat risk as priceable even when the downside is shifted through collateral, covenants, guarantees, or seniority. It might treat capital preservation as a baseline expectation.

By placing this modern layer beside the scholastic modes, the simulator can reveal the distance between moral economy and financial convention. It can show that what modern finance calls "normal" may be precisely what scholastic theology sought to discipline. It can show how easily opportunity cost becomes a secularized *lucrum cessans* without the old restrictions, and how risk premium becomes generalized *periculum sortis* without real solidarity. It can show how late fees become yield management, how administrative fees become fund economics, and how time value of money transforms the mere passage of time into capital's claim to growth.

Modern finance comparison mode is therefore useful because it makes the contrast explicit. It prevents the user from unconsciously importing modern assumptions into the theological model. It says, in effect: here is how the market sees the contract; now here is how Franciscan, Thomistic, and late scholastic regimes see it. The gap between those outputs is often where moral discernment begins.

The fifth switch should be ergodicity on / off. At first, ergodicity may appear to belong to mathematics rather than theology. But it has deep moral significance because it asks whether the average outcome across many possible worlds is relevant to a person or enterprise that must live through one actual path over time. A portfolio investor may survive because losses in one company are offset by gains in another. A founder, worker, borrower, or community may not survive the one path in which the enterprise fails. The ensemble average can look attractive while the time-average experience of the vulnerable party is ruinous.

When ergodicity is off, the simulator may show conventional expected values. It may display average returns, average repayments, average downside cases, and portfolio-level outcomes. This is how much of modern finance thinks. It treats risk statistically across many exposures.

When ergodicity is on, the simulator should follow the path of the actual enterprise over time. It should ask whether a sequence of repayments, fees, shocks, delays, and capital claims gradually pushes the borrower toward fragility or ruin. It should show whether a structure that is acceptable on average becomes destructive under realistic stress sequences, whether upside sharing matters if downside events bankrupt the enterprise before upside can emerge, and whether the investor can diversify across many companies while each entrepreneur faces existential risk.

This switch is crucial for *periculum sortis*. A contract may claim that capital bears risk, but ergodic analysis may show that the borrower bears the path-dependent danger. The investor may have many bets, legal protections, portfolio reserves, and downside instruments. The enterprise may have one life. A non-extractive model must take this asymmetry seriously.

The sixth switch should be extraction geometry view. Extraction geometry is the visual and structural representation of who bears downside, who receives upside, who has priority, who can force action, who can wait, who can absorb loss, and who is exposed to ruin. It turns moral classification into a visible shape. Instead of presenting a contract as a list of terms, the simulator shows the direction of claims and burdens.

Does capital sit above the enterprise, extracting repayment before resilience? Does it sit beside the enterprise, sharing risk and reward? Does it sit beneath the enterprise, absorbing loss first as patient and subordinated capital? Does it surround the enterprise with covenants, penalties, control rights, and exit pressure? Does it leave the mission protected or exposed? Does it convert the founder's vocation into a repayment engine?

The extraction geometry view should make these patterns visible. A senior secured loan has one geometry. A revenue-based financing instrument has another. A capped redeemable equity instrument has another. A steward-owned mission-locked investment with subordinated, loss-absorbing capital has another. A venture capital term sheet with liquidation preferences, anti-dilution rights, drag-along rights, and exit pressure has another. The simulator should help users see these structures, not merely calculate them.

These switches together allow the simulator to function as a moral laboratory. The same contract can be tested under different regimes. A user might see that a structure is acceptable in modern finance comparison mode, questionable in Salamanca mode, rejected in Thomistic moderate mode, and deeply problematic in Strict Franciscan mode. Or a user might see that a contract passes all regimes because its surplus is tied to real cost recovery, genuine loss absorption, proportional stewardship labor, and capped participatory return. The point is not to flatten these judgments into a single score too quickly. The point is to show the moral landscape.

A mature version of the simulator might therefore display multiple outputs side by side: Strict Franciscan mode, with its high suspicion of surplus, priority repayment

flagged, opportunity cost rejected, and cost recovery allowed with documentation; Thomistic moderate mode, with actual loss accepted, partnership-like return accepted if downside is shared, and mutuum-like yield rejected; Salamanca / late scholastic mode, with foregone gain and risk compensation conditionally accepted, documentation and proportionality required; Modern finance comparison mode, with IRR, risk premium, liquidity premium, default-adjusted return, and market comparables displayed without moral endorsement; the ergodicity view, with path-dependent fragility, ruin risk, and the asymmetry between portfolio investor and single enterprise shown; and the extraction geometry view, with its visual mapping of upside, downside, control, priority, and vulnerability.

Such a design would make the simulator pedagogical as well as analytical. It would teach users that moral finance is not a matter of sprinkling ethical language on ordinary capital structures. It requires a different way of seeing. It requires recognizing that the same number can have different moral meaning depending on the title invoked, the risk borne, the loss restored, the priority claimed, and the vulnerability created.

The switches also protect against false certainty. A single moral score can be useful, but it can also conceal too much. If the simulator merely says “licit” or “illicit,” it may reproduce the very simplification the extrinsic-title tradition was designed to avoid. The tradition developed distinctions because real life required distinctions. The simulator should do the same.

The goal is not to let the user shop for a permissive setting. The goal is to expose the moral cost of permissiveness. If a structure only works under modern finance comparison mode, the user should see that clearly. If it works only under the broadest late scholastic assumptions, the user should know that too. If it fails under Franciscan poverty-sensitive analysis because it privileges capital over the vulnerable, that failure should not be hidden. If it passes a Thomistic test but still raises concerns about mission drift, priority, or spiritual danger, the simulator should say so.

In this way, the moral-regime switches become an examination of conscience for capital design. They ask not only, “Can this be justified?” but also, “What kind of world must I assume in order to justify it?” They ask, “Which authorities would be comfortable with this structure, and which would warn me against it?” They ask, “Am I building capital that serves life, or merely designing a more polite form of extraction?”

The NEC Simulator needs these switches because the tradition itself teaches discernment. It does not offer a single mechanical rule for every case. It offers a disciplined moral grammar: name the contract, identify the title, prove the burden, test proportionality, expose incentives, locate risk, and protect the vulnerable. The switches make that grammar visible. They allow the simulator to move between historical rigor, practical realism, mathematical modeling, and theological conscience. They show that moral finance is not only a question of what return is paid, but of which moral world the return belongs to.

A simulator without these switches would simply encode one hidden theology of capital. A simulator with them forces the theology into the light.

41.4 Ergodicity and Scholastic Risk

Risk is one of the most abused words in finance. It can mean many things: volatility, uncertainty, default probability, loss exposure, variance, downside, ruin, illiquidity, legal insecurity, technological uncertainty, market timing, counterparty failure, or simple discomfort. Modern finance often treats these risks as measurable, priceable, and diversifiable. A little more uncertainty justifies a little more return. A higher probability of default

justifies a higher interest rate. A less liquid investment justifies a premium. A volatile asset justifies a spread. Risk becomes the grammar by which capital explains its demand for surplus.

But scholastic moral theology asks a sharper question: who actually bears the risk? This is the heart of *periculum sortis*. The title does not ask whether the transaction contains uncertainty in some abstract sense. Every human action contains uncertainty. Every borrower may fail. Every market may move. Every repayment may be delayed. If mere uncertainty were enough to justify surplus, the usury prohibition would collapse immediately, because every loan could claim some risk of non-payment. *Periculum sortis* becomes morally meaningful only when the capital provider truly exposes the sors, the principal itself, to loss.

Ergodicity helps us see why this matters. In many financial models, risk is viewed from the perspective of an investor with a portfolio. One company fails, another succeeds. One borrower defaults, another repays. One investment produces a loss, another produces an extraordinary return. Across a large enough pool, the investor may calculate an expected average outcome. This is ensemble thinking: what happens across many parallel cases, many investments, many possible worlds.

But a founder, worker, borrower, or community does not live inside an ensemble. They live through one path over time. They cannot average their bankruptcy with another company's success. They cannot offset the loss of their livelihood with the investor's gain elsewhere. They cannot diversify their vocation across fifty portfolio companies. They experience risk sequentially, historically, and bodily. A single ruinous sequence can destroy the enterprise before any later upside appears.

This is the basic moral importance of ergodicity. A system is ergodic when the average across many parallel cases corresponds to the average experienced by one participant over time. But many financial and entrepreneurial situations are not ergodic. The average portfolio outcome can look attractive while the time-path of the individual enterprise is fragile, asymmetric, or ruinous.

For non-extractive finance, this distinction is crucial. A capital provider may say, "We are taking risk because some of our investments will fail." At the portfolio level, this may be true. But the moral question is not only whether the investor's portfolio contains risk. It is whether this particular contract shares risk with this particular enterprise in this particular path through time. If the investor has seniority, collateral, repayment priority, redemption rights, default penalties, control rights, and legal recourse, the investor may be protected even while claiming a risk premium. The entrepreneur may face the real non-ergodic danger: exhaustion, insolvency, loss of reputation, broken relationships, unpaid labor, mission collapse, and spiritual discouragement.

The simulator must therefore distinguish statistical risk from moral risk-bearing. Statistical risk asks what the probability distribution of outcomes is. Moral risk-bearing asks who absorbs the wound when the bad outcome occurs.

This distinction transforms the meaning of *periculum sortis*. The title cannot be satisfied by showing that the future is uncertain. It must show that capital is actually loss-absorbing. It must show that if the enterprise fails, the investor's principal can be reduced, deferred, subordinated, converted, forgiven, or lost. It must show that the investor does not merely price risk while shifting the destructive consequences of risk onto others.

Ergodicity also exposes the weakness of simple upside-sharing models. A financing structure may offer the enterprise a fair share of upside after capital is repaid. But if the repayment structure is too aggressive, the enterprise may never reach the upside. It may be drained during the early years, weakened by fixed obligations, or forced to prioritize investor repayment over resilience. The average projection may show success, but the time

path may show fragility. A single bad year, followed by a repayment obligation, followed by deferred maintenance, followed by founder burnout, may destroy the enterprise long before the model's average case appears. This is why upside sharing is not enough. The moral structure of downside matters first.

A truly non-extractive capital model must ask whether the enterprise can survive the sequence of events it is likely to face. What happens if revenue is delayed? What happens if a customer fails to pay? What happens if a founder gets sick? What happens if inflation raises costs? What happens if a key employee leaves? What happens if the market changes? What happens if the project needs more time than expected? Does capital wait? Does capital absorb loss? Does capital subordinate itself? Or does capital continue to demand repayment according to schedule, forcing the living enterprise to become a repayment machine?

This is where ergodicity becomes moral theology in mathematical form. The scholastic tradition was already concerned with the difference between genuine risk-bearing and disguised certainty. Aquinas distinguished *mutuum* from partnership. In a *mutuum*, the borrower owns the money and owes an equivalent. The lender's claim is fundamentally to repayment. In a partnership, capital remains exposed to the uncertainties of the enterprise. Profit can be shared because loss is also shared. The moral difference does not lie merely in paperwork. It lies in whether the provider of capital participates in the fate of the venture.

Ergodic analysis deepens this old distinction. It asks whether the investor participates in the enterprise's time path, or merely extracts from it. It asks whether the investor's claim adjusts to the lived reality of the venture, or whether the venture must adjust itself to the investor's claim. It asks whether capital is patient in bad sequences, or only generous in good projections.

A simulator with ergodicity turned off may display conventional expected outcomes: average repayment, average return, average enterprise surplus, average investor multiple, average probability of default. These are not useless. They can show whether a model is financially plausible. But they can also conceal the lived danger of path dependency.

A simulator with ergodicity turned on should display sequence-sensitive outcomes. It should show the probability of ruin, the time to fragility, and the points of cash-flow stress. It should show whether repayment obligations cluster too early, whether a temporarily weak enterprise is forced into permanent damage, whether the investor's return survives scenarios in which workers, founders, or mission do not, and whether the same expected return can be achieved through a more loss-sharing structure.

This matters because extraction is often path-dependent. It does not always appear as an obviously abusive term at the beginning. It appears through accumulation: a fee here, a penalty there, a repayment obligation during a weak quarter, a covenant triggered by a temporary shock, a founder deferring salary, a supplier paid late, a mission investment postponed, a community promise broken. Each individual claim may appear modest. Together, over time, they redirect the enterprise toward capital service.

The scholastic doctors would have recognized this problem even without the language of ergodicity. They knew that a formally permitted title could become a pretext. They knew that a penalty could become desired revenue, that compensation for loss could become fictive, that foregone profit could become abstract opportunity cost, and that risk could become a justification for ordinary interest. Ergodicity gives us a modern mathematical way to detect one version of that drift: the difference between a structure that looks fair on average and a structure that wounds the vulnerable over time.

This also changes how the simulator should treat risk premiums. In modern finance, risk premium is often added because an investment is uncertain. But in scholastic terms, the simulator should ask: risk premium for whom? If the investor's capital is senior, collat-

eralized, guaranteed, or protected by covenants, then the investor may not be bearing the kind of risk that justifies a strong *periculum sortis* claim. If the founder must personally guarantee repayment, then the downside has been moved from capital to person. If workers lose jobs before investors lose principal, then the workers bear risk before capital does. If the mission is sacrificed to meet payment obligations, then the mission bears risk. If the public sector subsidizes failure while private capital captures upside, then the community bears risk.

A non-extractive risk model must therefore map risk across persons and institutions, not merely across asset classes. The simulator should classify risk-bearing in layers. First, legal risk: who has the enforceable claim? Second, economic risk: whose cash flows absorb losses first? Third, operational risk: who must change behavior under stress? Fourth, personal risk: who faces livelihood loss, burnout, reputational harm, or debt burden? Fifth, mission risk: what purpose is sacrificed when capital is served? Sixth, community risk: who bears externalities if the enterprise fails?

Only after these layers are mapped can the simulator ask whether *periculum sortis* is genuinely present. The old title must be rescued from abstraction. It is not a license to charge more because the future is uncertain. It is a recognition that someone who truly places capital in danger may have a claim to share in the fruits of a successful venture. But that claim becomes morally thin when the danger is transferred to others.

Ergodicity also clarifies why diversification can become morally ambiguous. Diversification is prudent for investors. It can allow patient capital to exist. A fund that diversifies may be able to absorb losses and continue supporting enterprises. But diversification can also create moral distance. The investor experiences the company as one item in a portfolio. The founder experiences the company as a life. The worker experiences it as a livelihood. The community experiences it as a local institution. The mission experiences it as a vocation. The simulator should therefore not treat portfolio-level survival as sufficient evidence of non-extraction. The question is not only whether the fund survives. It is whether the enterprise can live.

This is especially important for mission-driven and steward-owned companies. Such companies are often not designed for rapid exits or explosive growth. They may need time to build trust, culture, governance, community, and resilience. They may intentionally refuse extractive revenue models. They may prioritize open-source infrastructure, digital sovereignty, fair wages, ecological responsibility, or service to vulnerable communities. A capital structure that assumes venture-style growth may impose a non-ergodic danger: it forces a patient mission into an impatient financial time path.

A simulator that includes ergodicity can show this mismatch. It can ask whether the repayment schedule matches the enterprise's actual rhythm. It can show whether early repayment pressure increases ruin risk, whether revenue-sharing becomes burdensome during slow growth, whether caps are meaningful or merely decorative, and whether capital is truly patient or only less impatient than venture capital.

Theologically, this matters because time is not morally empty. Modern finance often monetizes time. The longer capital is outstanding, the more capital expects to be paid. Scholastic theology resists this automatic conversion of time into yield. Time can create real burdens: delay, loss, risk, foregone use, administrative cost. But time itself is not a commodity that money owns. Ergodicity helps express this distinction. It shows that the passage of time affects different parties differently. Time may be a manageable portfolio duration for the investor, but an existential trial for the enterprise.

The simulator should therefore use ergodic analysis not to justify higher returns automatically, but to test whether the structure remains livable over time. It should ask whether the enterprise becomes stronger or weaker as time passes, whether capital's claim

compounds while mission's resilience erodes, whether delay produces restorative adjustment or punitive escalation, and whether the passage of time is being used to accompany the enterprise or to harvest from it.

This produces a different kind of financial dashboard. Instead of simply showing expected investor return, the simulator should show moral survivability indicators: probability of enterprise ruin, probability of founder distress, repayment burden under low-revenue sequences, reserve depletion, mission underfunding, worker impact, capital loss absorption, and timing of investor recovery. These indicators should sit beside the extrinsic-title classifications. A return justified by *periculum sortis* should be tested against actual loss absorption. A return justified by *lucrum cessans* should be tested against opportunity realism. A penalty justified by *mora* should be tested against path-dependent harm. A management fee justified by labor should be tested against enterprise fragility.

The central insight is that non-extractive finance cannot be evaluated only at the moment of contract signing. It must be evaluated through time. This is deeply consonant with the moral tradition. The scholastic question was never merely, "What does the contract say?" It was also, "What does the contract do?" Does it restore equality or disturb it? Does it discipline wrongdoing or create temptation? Does it compensate loss or invent loss? Does it share risk or conceal domination? Does it serve the common good or exploit need?

Ergodicity gives the simulator a way to ask what the contract does across a lived path. Under stress, the truth of the contract appears. A solidaristic structure becomes patient, adaptive, and loss-sharing. An extractive structure becomes rigid, senior, punitive, and self-protective. The simulator should therefore stress-test moral claims. If a contract calls itself patient capital, what happens during delay? If it calls itself risk-sharing, what happens during loss? If it calls itself non-extractive, what happens when expected growth does not arrive? If it claims compensation for risk, does capital actually lose before labor, mission, or community are harmed?

This is why *periculum sortis* must be understood as loss absorption, not statistical decoration. A risk premium without loss absorption is morally suspect. A return for uncertainty without shared downside is morally thin. A portfolio-level risk argument that ignores enterprise-level ruin is incomplete. A model that shows attractive averages while hiding fragile time paths is dangerous.

The NEC Simulator should make these dangers visible. It should show the user not only whether a structure can pay, but whether it can live. It should not ask only whether the investor is compensated for risk, but whether the risk has been carried in solidarity. It should not ask only whether capital receives a fair return, but whether the enterprise survives the sequence of obligations through which that return is produced.

In this way, ergodicity becomes more than a mathematical toggle. It becomes a moral lens. It helps translate the old scholastic concern with real risk into a modern analysis of path dependency, ruin, and asymmetric vulnerability. It protects *periculum sortis* from becoming a slogan. It reminds us that the morality of finance is not found in the average alone. It is found in the lived path of the vulnerable. Capital that serves life must be able to walk through time with the enterprise. If it only succeeds in the average case, while leaving the borrower exposed to ruin in the actual path, then it has not yet learned the moral meaning of risk.

41.5 Accounting and Proof

The extrinsic titles depend on proof. This is one of the most important lessons of the whole tradition. A title is not a magic word. It is not enough to say “actual loss,” “foregone profit,” “risk,” “penalty,” “labor,” or “expense.” The claim must be shown. The burden must be real. The amount must be proportionate. The causal connection must be intelligible. The same harm must not be counted twice. The title must not become a pretext for what would otherwise be usury.

This means that moral finance requires accounting. The scholastic tradition often appears abstract because it speaks in Latin categories, legal distinctions, and theological arguments. But underneath the language lies a deeply practical concern: can we tell what is really happening? Is this payment compensation or profit? Is this penalty punishment for culpable delay or a disguised price for time? Is this charge reimbursement for actual expense or institutional revenue? Is this return a share in risk or a protected claim? Is this loss documented or imagined? Is this opportunity truly foregone or merely asserted?

Without records, the distinction collapses. If no one can show the damage, then *damnum emergens* becomes a fiction. If no one can show the missed opportunity, then *lucrum cessans* becomes abstract opportunity cost. If no one can show capital exposure, then *periculum sortis* becomes a risk premium without real risk. If no one can show labor and expense, then *stipendium laboris* and administrative reimbursement become vague covers for extraction.

A non-extractive capital model therefore needs more than good intentions and elegant contracts. It needs a bookkeeping system that can classify payments according to their moral basis. This is where accounting becomes part of moral theology.

The NEC Simulator should not merely ask users to enter projected returns. It should ask them to connect those returns to documentary categories. A late penalty should be tied to a due date, a missed payment, a grace period, a reason for delay, a proportional formula, and evidence that the lender would have preferred timely repayment. Actual damages should be tied to invoices, legal bills, replacement financing costs, liquidity records, collection expenses, or other concrete losses. Administrative costs should be tied to payroll, bookkeeping, legal support, office expenses, due diligence, audit work, software, and other operational costs. Stewardship labor should be tied to time spent, work performed, and mission-related services actually delivered. Risk-bearing should be tied to legal terms showing subordination, loss absorption, absence of guarantees, absence of collateral, write-down mechanisms, or repayment contingent on surplus.

This means the simulator should ideally connect to real accounting exports, such as Exact Online data. The purpose is not to outsource moral judgment to bookkeeping software. The purpose is to create traceability. If a payment is classified as administrative cost, the accounting system should show the underlying expense. If a payment is classified as owner distribution, it should not be confused with cost recovery. If a payment is made to a related party, it should be flagged for review. If a fee is booked as reimbursement but consistently exceeds actual cost, the simulator should reveal the drift. If a penalty is booked as income rather than compensation for harm, the system should ask whether the penalty has become yield. If investor distributions are paid while mission reserves are depleted, the model should make the priority visible.

Accounting is the discipline that keeps moral language honest. A payment classification system for non-extractive finance should therefore include at least several broad categories. First, principal repayment: the return of the original amount advanced. Second, documented actual damages: losses tied to specific evidence. Third, late penalties: payments triggered by culpable delay, with proportionality and anti-fraud checks. Fourth,

administrative cost recovery: real operating costs necessary to sustain the financing institution. Fifth, stewardship labor: compensation for human work of accompaniment, governance, due diligence, and mission protection. Sixth, foregone opportunity: carefully documented and morally reviewed claims of concrete lost gain. Seventh, risk-bearing return: surplus tied to genuine exposure of principal. Eighth, partnership distribution: participation in upside where downside is also shared. Ninth, mission reinvestment: surplus retained for the common purpose of the enterprise. Tenth, related-party payment: any transfer to insiders, affiliates, managers, founders, investors, or connected entities. Eleventh, owner distribution: extraction from the enterprise to those with residual claims. Twelfth, other or needs review: payments whose moral basis is ambiguous.

The “needs review” category is especially important. A system that forces every transaction into a clean moral box will create false confidence. Real accounting data is messy. Payments are mislabeled. Descriptions are vague. One invoice may include several kinds of work. A contractor may be related to a founder. A legal fee may include both legitimate compliance work and investor-protection structuring. A management fee may include both stewardship labor and institutional surplus. A repayment may include principal, compensation, and yield. The simulator must therefore preserve ambiguity rather than hide it.

Misclassification risk is one of the central dangers. In ordinary finance, misclassification may be treated as an accounting error. In moral finance, it can become a theological error. If extraction is misclassified as compensation, the entire structure becomes morally distorted. If a return is booked as risk-bearing while the investor has no meaningful downside, the model lies. If a fee is booked as cost recovery while it creates profit for a related management company, the institution has begun to drift. If a payment is called mission reinvestment while it actually supports organizational self-preservation detached from mission, the language of stewardship has become opaque.

The simulator should therefore treat classification as an auditable claim, not a mere label. Every moral category should have evidentiary requirements. *Damnum* emergens requires proof of actual loss. *Lucrum cessans* requires proof of concrete alternative use, intention, causality, probability, and valuation. *Periculum sortis* requires proof that principal can actually be lost and that downside is not shifted elsewhere. *Poena conventionalis* requires proof that delay was culpable, that the date was realistic, that the penalty was proportionate, and that default was not desired. *Stipendium laboris* requires proof of work performed. Administrative cost recovery requires proof of actual cost. *Carentia pecuniae*, if admitted at all, requires special warning because it risks converting the mere absence of money into a claim on time.

This structure could be implemented as an evidence layer inside the simulator. Each surplus payment would receive not only a classification, but also a proof status: documented, partially documented, asserted, estimated, ambiguous, disputed, or unsupported. A payment with an unsupported title should not appear as morally justified. It should be flagged. A payment with partial documentation should remain provisional. A payment supported by strong evidence may pass the first test, but still require proportionality and anti-duplication review.

The second layer is proportionality. Even a real title can be abused by excess. A real administrative cost does not justify unlimited fees. A real late payment does not justify punitive escalation designed to enrich the lender. A real loss does not justify compensation beyond the loss. A real risk does not justify a return that bears no relation to the risk actually borne. A real foregone opportunity does not justify claiming a generic market return detached from the specific lost gain.

The simulator should therefore compare the claimed amount with the underlying bur-

den. If a €1,000 documented cost becomes a €10,000 charge, the moral problem is obvious. But the same logic applies in more subtle cases. If risk is small because capital is collateralized, the risk-based return should be small or absent. If administrative costs decline with scale but fees remain fixed as a percentage of assets, fee drift may appear. If a penalty grows faster than actual harm, the penalty may become revenue. If an investor claims both a risk premium and strong downside protection, the simulator should ask whether the same risk has been priced while also neutralized.

The third layer is double-counting. Double-counting is one of the hidden ways extraction enters morally serious finance. A fund may charge a management fee for administration, then also reimburse administrative expenses separately. It may charge a risk premium, then also require collateral and guarantees. It may charge a late penalty, then also charge default interest and collection costs. It may claim foregone opportunity, then also claim risk compensation for the same period. It may take priority repayment, then also claim partnership upside. It may require mission reporting fees, then also fund those costs from the enterprise's own resources.

The simulator should identify overlapping justifications. The same burden should not generate multiple surplus claims. If risk is shifted away from the investor through collateral, guarantees, seniority, insurance, or public subsidy, the investor cannot also claim a full *periculum sortis* premium as if the risk remained entirely with capital. If administrative costs are already covered by a fee, they should not reappear as separate damages. If late delay has already been compensated, it should not also inflate opportunity-cost claims. Restorative accounting requires moral uniqueness: one harm, one proportionate remedy.

The fourth layer is timing. Many extrinsic titles are morally sensitive to when they are charged. A late penalty should arise after culpable delay, not be built into the contract as expected revenue. *Damnum emergens* should correspond to a loss that has actually occurred or is concretely caused, not a speculative future inconvenience. *Lucrum cessans* is especially dangerous if deducted upfront, because the foregone profit may never have materialized. Risk-based participation may be legitimate when capital remains exposed over time, but morally suspect if the investor is quickly repaid while still retaining upside. Administrative charges may be legitimate during active stewardship, but questionable if they continue after the work has ceased.

The simulator should therefore show a timeline of claims. When does principal return? When do fees accrue? When do penalties begin? When does risk end? When does upside continue? When does labor actually occur? When does the enterprise become resilient enough to pay? Timing reveals whether capital accompanies the enterprise or extracts from it prematurely.

The fifth layer is related-party scrutiny. Many institutions drift not through explicit greed, but through internal arrangements that become normalized. A fund pays a management company. The management company is owned by the same people who control the fund. A steward-owned entity pays consulting fees to affiliated advisors. A nonprofit pays rent to a related foundation. A portfolio company pays service fees to an investor-affiliated platform. Each payment may be legally disclosed and individually plausible. Together, they may move value out of the mission-bearing entity into private or semi-private hands.

The simulator should therefore flag related-party payments as morally sensitive. Not all related-party payments are wrong. Some are efficient, fair, and transparent. But they must be tested carefully: Was the service necessary? Was the price fair? Was there independent approval? Could the service have been obtained elsewhere? Does the payment undermine mission? Does it convert stewardship into self-dealing? Does it allow extraction to bypass formal return caps?

This is where the historical example of the Monti di Pietà becomes especially important. The Monti were designed as anti-usury institutions. They sought to provide poor borrowers with access to credit without forcing them into the hands of predatory lenders. But they still required administration. They needed staff, records, buildings, pledge storage, valuation procedures, governance, and oversight. Their defenders argued that modest charges for expenses and labor were not usury because they sustained the institution rather than enriching capital. Yet the very need for charges created the possibility of drift. A small administrative fee can become institutional revenue. A charitable lender can become self-protective. A mission institution can begin to prioritize its own continuity over the poor it was designed to serve.

The Monti show that moral finance must be institutionally guarded. Good origins do not prevent drift. A mission statement does not prevent misclassification. A charitable purpose does not eliminate the need for audit. A non-extractive structure does not remain non-extractive automatically. The difference between sustainability and extraction must be watched in the books.

The NEC Simulator should therefore include drift detection. Over time, it should ask whether administrative costs are rising faster than service delivered. Whether fees remain tied to actual labor. Whether investor distributions are increasing while mission outcomes stagnate. Whether related-party payments are growing. Whether reserves are adequate. Whether hardship clauses are actually used. Whether penalties are rare and corrective or common and revenue-producing. Whether risk-bearing claims remain valid after capital has been de-risked. Whether the organization still serves the vulnerable party it was created to support.

Accounting also makes possible independent audit. A moral finance institution should not simply declare itself non-extractive. It should be able to show why. It should be able to produce records showing how each payment was classified, what title justified it, what evidence supported the title, how proportionality was tested, how double-counting was avoided, and how related-party conflicts were handled. It should be possible for an external reviewer to examine whether the institution's financial flows match its stated theology.

This has practical implications for data architecture. An Exact Online export, for example, could be mapped into moral categories. General ledger accounts could be tagged according to payment type. Supplier data could identify related parties. Descriptions could be reviewed for ambiguity. Invoices could be attached as evidence. Investor payments could be separated into principal repayment, capped return, cost reimbursement, stewardship fee, and other distributions. Portfolio company payments could be tracked against contractual terms. Exceptions could be flagged. Review notes could be stored. Audit trails could preserve changes in classification.

The simulator should not need perfect automation. In fact, perfect automation would be dangerous. Moral classification requires judgment. But software can help structure that judgment. It can identify transactions needing review, highlight inconsistencies, compare actual payments to moral rules, and reveal patterns that no one intended but everyone needs to see.

This is especially important when an institution grows. Small mission-driven organizations often begin with trust, shared values, informal review, and charismatic leadership. But growth creates distance. New staff arrive. Investors change. Memory fades. Exceptions accumulate. Pressure increases. The founding moral grammar becomes diluted. Accounting categories become the institutional memory of the mission. If they are poorly designed, drift becomes invisible. If they are well designed, they can keep asking the original questions long after the founders are gone.

The simulator should therefore be designed not only for contract review, but for ongo-

ing governance. At the point of investment, it can classify the intended structure. During the life of the investment, it can compare actual payments to intended moral categories. At review points, it can ask whether assumptions remain true. At audit, it can produce a moral finance report. At governance meetings, it can show whether the institution is drifting toward extraction. At renewal, it can recommend changes: lower fees, longer grace periods, stronger hardship protections, deeper subordination, clearer documentation, related-party review, or revised repayment priority.

The ultimate aim is accountability. Scholastic moral theology was never content with verbal justification alone. It asked whether the transaction preserved justice. Justice requires truth. Truth requires visibility. Visibility requires records. Records require classification. Classification requires judgment. Judgment requires conscience.

Accounting and proof are therefore not bureaucratic add-ons to non-extractive finance. They are part of the moral structure itself. A fund that cannot explain its surplus cannot claim that its surplus is clean. A lender that cannot document loss cannot invoke *damnum emergens*. An investor that cannot lose principal cannot rely on *periculum sortis*. A manager that cannot show work cannot claim *stipendium laboris*. A penalty that functions as recurring income cannot hide behind *poena conventionalis*. A foregone profit that exists only as generic market expectation cannot safely claim *lucrum cessans*.

The NEC Simulator should make these truths operational. It should take the ancient insistence on title, proof, proportionality, and anti-fraud analysis and translate it into data fields, flags, evidence statuses, dashboards, audit trails, and review workflows. It should allow moral theology to enter the ledger. For in the end, the question is not only whether a contract was designed well. It is whether the money actually moved according to justice. The books will tell the truth, if we teach them how to speak.

41.6 Dashboard Ethics

A dashboard is never merely a dashboard. It teaches the user what to notice. It decides which facts become visible and which remain background noise. It gives some numbers prominence and hides others in secondary tabs. It frames success. It creates urgency. It tells the user whether the system is healthy, whether intervention is needed, and whether the structure is doing what it was designed to do. For this reason, the dashboard of the NEC Simulator must itself be morally designed.

A conventional financial dashboard usually foregrounds investor-facing metrics: total capital deployed, repayment status, expected return, realized return, IRR, multiple on invested capital, default rate, portfolio performance, revenue growth, margin, cash runway, and exit value. These metrics may be useful. But if they dominate the screen, they subtly teach the user that capital's perspective is primary. The enterprise becomes an object of monitoring. The borrower becomes a risk. The mission becomes a constraint. The question becomes: is capital being repaid according to plan?

A non-extractive dashboard must begin elsewhere. It should ask: which surplus is justified? Which title is invoked? Is the title documented? Is the same harm counted twice? Who bears downside? Who receives upside? Does the structure serve life? These questions should not be hidden in footnotes. They should be the heart of the interface.

The first dashboard question is: which surplus is justified? The simulator should separate payments above principal into moral categories. It should show how much surplus is attributed to actual damages, late penalties, administrative cost recovery, stewardship labor, foregone opportunity, capital risk, partnership participation, mission reinvestment, and unexplained yield. A single return number is morally insufficient. A capped return

of 1.5x, for example, may be far more acceptable in one structure than another. If the return comes from genuine risk-sharing, patient participation, and enterprise surplus after resilience, it may have the character of partnership. If it comes from priority repayment, penalties, fees, and pressure on fragile cash flows, the same numerical cap may still be extractive.

The dashboard should therefore display a “surplus anatomy.” It should show not only how much capital receives, but what moral claim each portion of the payment makes. Principal repayment should be visually and conceptually distinct from compensatory surplus, compensatory surplus distinct from participatory surplus, and participatory surplus distinct from unexplained yield. Ambiguous payments should not be absorbed into clean categories. They should remain visible as “needs review.”

The second question is: which title is invoked? Every surplus claim should name its title. If the payment is justified by *poena conventionalis*, the dashboard should show that it is a penalty for culpable delay. If it is justified by *damnum emergens*, the dashboard should show the actual loss. If it is justified by *lucrum cessans*, the dashboard should show the concrete foregone opportunity. If it is justified by *periculum sortis*, the dashboard should show the principal genuinely at risk. If it is justified by *stipendium laboris*, the dashboard should show the labor performed. If it is justified by administrative necessity, the dashboard should show the costs recovered.

This naming discipline prevents moral fog. It should be difficult for a payment to appear as justified without explaining itself. “Return” is not enough. “Premium” is not enough. “Fee” is not enough. “Market rate” is not enough. “Opportunity cost” is not enough. “Risk” is not enough. The dashboard should require the moral basis of the claim to be stated.

The third question is: is the title documented? A title without evidence is only an assertion. The dashboard should therefore include a proof status for every material surplus claim: documented, partially documented, estimated, asserted, unsupported, disputed, or needs review. These statuses should matter. A surplus claim that is unsupported should not be counted as morally justified simply because it has been named. A payment classified as *damnum emergens* without invoices, records, or clear evidence should be flagged. A risk-based return without actual loss absorption should be challenged. A late penalty without proof of culpable delay should remain suspect. A foregone-profit claim without a concrete alternative use should be marked as weak.

This evidence layer should produce a different kind of dashboard confidence. Instead of only showing financial certainty, the simulator should show moral confidence. Not “How likely is the investor to be repaid?” but “How well supported is the moral justification for this payment?” A high return with weak moral documentation should appear dangerous. A modest return with strong evidence of cost recovery, labor, and risk-sharing should appear cleaner. A structure with many ambiguous payments should prompt review before celebration.

The fourth question is: is the same harm counted twice? Double-counting should be visible. The dashboard should identify when the same burden supports multiple charges. If a fund charges a management fee and separately charges the same administrative expenses back to the enterprise, the dashboard should flag duplication. If a lender charges default interest, late penalties, and collection costs for the same delay, the dashboard should ask whether the total exceeds restorative compensation. If an investor claims a risk premium while also requiring collateral, guarantees, seniority, and downside protection, the dashboard should ask whether risk has been both shifted and priced. If foregone opportunity and risk-bearing are both invoked for the same capital commitment, the dashboard should ask whether the justifications overlap.

This is not a technical detail. Double-counting is one of the most discreet paths from compensation to extraction. It allows each charge to appear reasonable in isolation while the total structure burdens the enterprise beyond justice. A dashboard that shows only individual line items may miss this. A moral dashboard must show cumulative burden.

The fifth question is: who bears downside? This should be one of the most prominent elements in the interface. The dashboard should map downside across the parties: investor, founder, workers, enterprise, mission, suppliers, community, public sector, and future beneficiaries. It should show who loses first, who loses last, who is protected, who is exposed, and who can be ruined. It should distinguish legal loss from economic loss, and economic loss from personal or mission loss.

For example, a contract may show that the investor bears legal risk because repayment is not formally guaranteed. But under stress, the founder may defer salary, workers may lose hours, suppliers may be stretched, and mission investments may be postponed before investor repayment is reduced. The dashboard should reveal this order of suffering. If capital is protected while everyone else absorbs shock, the structure should not be allowed to describe itself as risk-sharing without qualification.

The sixth question is: who receives upside? Upside must be mapped with the same seriousness as downside. A structure is morally distorted when downside is socialized and upside is privatized. The dashboard should show the distribution of surplus among investors, founders, workers, mission reserves, community benefit, reinvestment, related parties, and public stakeholders. It should show whether workers participate in success, whether mission receives durable benefit, whether investor upside is capped, whether founder upside is aligned with mission, and whether related-party channels redirect value out of the enterprise.

The dashboard should also show the relationship between upside and downside. If the investor receives significant upside while bearing limited downside, the structure should be flagged. If workers and founders bear heavy downside but receive little upside, the structure should be flagged. If the mission absorbs risk while capital captures return, the structure should be flagged. If upside is shared only after capital is fully protected, the simulator should ask whether participation is real or merely residual.

The seventh question is: does the structure serve life? This is the final dashboard question, and it should gather the others into a moral synthesis. "Serving life" is not a vague slogan. In this context, it means that the capital structure supports the real flourishing of the enterprise, its workers, its mission, its community, and its stakeholders, while allowing capital to be restored or compensated only in ways that are proportionate, transparent, and morally justified.

A structure serves life when it restores equality rather than exploiting vulnerability. It serves life when it shares risk rather than shifting it to the weaker party, and it serves life when it sustains work rather than subordinating work to repayment. It serves life when it protects mission rather than turning mission into branding for capital, and it serves life when it allows institutions to remain financially sustainable without becoming self-serving. It serves life when it makes room for mercy, delay, hardship, and human fragility. It serves life when capital becomes a servant of vocation rather than its master.

The dashboard should therefore include not only quantitative metrics, but interpretive flags. These might include: "capital priority concern," "weak documentation," "possible disguised yield," "risk shifted to borrower," "penalty revenue concern," "fee drift concern," "related-party concern," "mission underfunding," "enterprise fragility," "double-counting risk," "opportunity-cost abstraction," "principal genuinely at risk," "strong cost recovery evidence," "proportionate stewardship labor," "loss-sharing present," "hardship protection active," and "mission reserves protected." These flags should not replace judg-

ment. They should discipline attention.

A dashboard should also avoid false moral scoring. It may be tempting to reduce everything to a single usury score or extraction metric. Such a metric can be useful, especially for comparison and communication. But it must not pretend to be the whole truth. The danger of a single score is that it can hide the reasons behind the judgment. A contract might receive a moderate score because some features are excellent and others are dangerous. Another might receive the same score because everything is mediocre. These are not morally identical situations.

The dashboard should therefore use any aggregate metric as an entry point, not an endpoint. A score should open into explanation. Why was the structure flagged? Which title is weak? Which proof is missing? Which party bears downside? Which payments are ambiguous? Which assumptions change under different moral regimes? A good dashboard should invite examination rather than close it down.

The interface should also show regime comparison. A structure may pass under modern finance assumptions, appear conditionally acceptable under Salamanca / late scholastic mode, raise warnings under Thomistic moderate mode, and fail under Strict Franciscan mode. This comparison should be displayed clearly. It teaches that moral judgment depends on assumptions about proof, risk, opportunity, priority, and vulnerability. It also prevents the user from hiding behind the most permissive interpretation. If a structure only appears clean under the broadest regime, that fact is morally relevant.

The dashboard should also display ergodic stress. It should show not only the expected case, but the lived path under unfavorable sequences. What happens if revenue is delayed? What happens if two bad years occur early? What happens if repayment begins before reserves are built? What happens if the investor receives payments while the enterprise's resilience declines? What happens if a penalty is triggered during temporary hardship? The dashboard should show ruin risk, cash-flow pressure, reserve depletion, founder stress, worker impact, and mission sacrifice. If the average looks acceptable but the time path is dangerous, the dashboard must say so.

This is especially important because many extractive structures look reasonable in the base case. They become extractive under stress. The dashboard should therefore not treat stress testing as a secondary technical feature. Stress is where the truth of solidarity appears. When things go wrong, does capital wait, absorb, forgive, subordinate, and accompany? Or does it enforce, accelerate, penalize, and withdraw? The dashboard should make this visible.

A morally serious dashboard should also show drift over time. It should not only evaluate the contract at the beginning. It should monitor whether actual behavior remains aligned with the original moral classification. Are penalties becoming frequent? Are fees growing? Are related-party payments increasing? Are cost-recovery charges exceeding actual costs? Are investor distributions being paid while mission reserves remain weak? Are hardship clauses unused because borrowers fear invoking them? Are risk-bearing claims still valid after capital has been de-risked? Has the institution begun to treat its own continuity as more important than the people it serves?

Drift indicators are essential because moral finance decays slowly. It rarely announces itself as betrayal. It becomes a habit of exception, a small accounting reclassification, a tolerated fee increase, an unexplained payment, a slightly more aggressive repayment schedule, a more investor-friendly interpretation of ambiguity, a reluctance to forgive, a preference for measurable return over patient accompaniment. A dashboard that tracks drift becomes a guardrail for conscience.

The design language of the dashboard also matters. A dashboard filled with aggressive growth curves, investor multiples, and target-return gauges will train users differ-

ently from one that foregrounds risk-sharing, resilience, mission protection, and justified surplus. The simulator should not visually celebrate extraction. It should not make high investor return look like success by default. It should not use green indicators merely because capital is being repaid. If capital is being repaid by weakening the enterprise, the dashboard should show danger, not success.

The deepest ethical question is therefore: success for whom? If the investor succeeds while the enterprise becomes fragile, the dashboard should not call the structure healthy. If the fund survives while the mission is compromised, the dashboard should not call the model sustainable. If a payment is legally due but morally unsupported, the dashboard should not call it clean. If upside is captured by capital while downside is borne by labor, the dashboard should not call the structure participatory. If the return depends on borrower weakness, the dashboard should not call it non-extractive.

A dashboard for non-extractive capital must therefore reverse the ordinary hierarchy of attention. It should begin with the vulnerable party, the mission, and the structure of risk. Capital's return should be shown, but as one moral claim among others, not as the organizing center of the interface.

This is not anti-investor; it is pro-truth. Investors who genuinely want to provide non-extractive capital need to see whether their instruments are doing what they intend. They need to know when a repayment structure creates fragility, when a fee begins to drift, and when a risk premium is no longer justified. They need to know when a cap is not enough, and when their capital is still standing above the enterprise rather than beside it or beneath it. A truthful dashboard helps good investors remain good.

The same is true for entrepreneurs and stewards. They need a way to see the moral structure of the capital they accept. They need to know what claims they are agreeing to, who will bear downside, and whether mission is protected. They need to know whether the contract's language matches its behavior. A moral dashboard gives them a form of financial self-defense.

The dashboard also has educational value. It teaches the extrinsic titles by applying them. Users learn that *poena conventionalis* is not simply a late fee, but a narrowly justified penalty for culpable delay. They learn that *damnum emergens* requires actual loss, that *lucrum cessans* is not generic opportunity cost, and that *periculum sortis* requires real exposure of principal. They learn that administrative costs and stewardship labor may be legitimate, but only when proportionate and documented. They learn that time itself is not a sufficient moral title, and that legal form and moral form can diverge.

In this way, the dashboard becomes a catechetical tool for moral economy. It teaches users to see finance differently. It slows them down. It asks them to name, prove, classify, and test. It reveals hidden assumptions, refuses to let capital hide behind abstraction, and brings the old questions of the scholastic tradition into the visual language of modern financial technology.

The final screen of the dashboard should not merely say "approved" or "rejected." It should offer a moral reading of the structure. It might say: "This contract contains documented cost recovery and proportionate stewardship labor. Principal is partially at risk, but investor repayment remains senior to mission reserves. Opportunity-cost claims are weakly documented. Penalty provisions are proportionate but require hardship protections. Under Thomistic moderate mode, the structure is conditionally acceptable if risk-sharing is strengthened. Under Strict Franciscan mode, repayment priority remains morally concerning. Extraction risk is moderate, driven primarily by capital priority and weak evidence for foregone opportunity."

Such an output would be far more useful than a simple score. It would tell the user where to work. It would invite redesign. It would show that moral finance is not a binary

label, but a practice of disciplined correction.

Dashboard ethics, then, is not a decorative concern. It is the interface between conscience and capital. It determines whether the simulator becomes a tool for rationalizing returns or a tool for conversion. It determines whether the user is trained to ask, “How much can capital receive?” or “What may capital receive justly?” It determines whether non-extractive finance remains a slogan or becomes a visible, auditable, revisable discipline.

The NEC Simulator should therefore be designed as a mirror. It should show capital what it is doing, the enterprise what it is carrying, and the mission what is being protected or sacrificed. It should show the investor whether their return is restorative, participatory, or extractive. And above all, it should keep asking the question that stands behind the whole tradition: does this structure serve life?

Mission Drift and the Countermeasures of Moral Finance

42.1 The Monti di Pietà as Historical Warning

The Monti di Pietà began as an act of mercy. They were created to answer a painfully concrete problem: the poor needed credit, and the available credit was often predatory. A family might need money for food, rent, tools, clothing, medicine, burial expenses, or survival between harvests. A small artisan might need working capital. A widow might need temporary liquidity. A laborer might need to pawn an object in order to endure a season of hardship. Without access to fair lending, such people could be forced into the hands of moneylenders whose terms deepened their vulnerability.

The Monti were designed as a different kind of institution. They were charitable pawn banks, often promoted by Franciscans, intended to lend small sums against pledges at modest charges. The aim was not to enrich capital. The aim was to protect the poor from usury. If some payment above principal was charged, it was justified not as profit from the loan itself, but as reimbursement for the real costs of administering the institution: staff, accounting, buildings, storage, valuation of pledges, records, legal compliance, and operational continuity. The moral logic was close to *stipendium laboris* and expense reimbursement. The institution could not serve the poor if it collapsed. Sustainability itself had to be morally distinguished from extraction.

This is why the Monti became such an important test case for Christian moral economy. They revealed that the usury question could not be reduced to a simple numerical rule. A payment above principal might be usurious if it was demanded as gain from the loan. But a payment above principal might be licit if it merely covered the labor and expense necessary to keep a charitable lending institution alive. The challenge was to preserve that distinction in practice. And that is precisely where the danger appeared.

The Monti di Pietà are not only a historical inspiration. They are also a historical warning. They show how a genuinely charitable institution can generate moral ambiguity as soon as it must survive in the world. Good intentions require administration. Administration requires money. Money requires systems of collection, record-keeping, governance, and enforcement. Those systems create habits. Habits create institutional interests. Institutional interests can drift away from the original mission.

The drift does not need to begin with greed. It can begin with prudence. A small fee is charged to cover staff. A reserve is created to protect the institution. A rule is standardized to reduce discretion. A pledge is sold when repayment is not made. A manager is hired. A building is maintained. A process is professionalized. The institution becomes more durable, more efficient, and more scalable. But precisely because it becomes an institution, it begins to have needs of its own.

This is the moral tension of the Monti. They existed to serve the poor, but they also

had to preserve themselves in order to continue serving the poor. If they charged nothing, they might fail. If they charged too much, they might resemble the very lenders they were created to replace. If they were too lenient, they might exhaust their funds; if they were too rigid, they might burden the vulnerable. If they relied only on donations, they might be unstable; if they relied too much on borrower charges, they might shift the cost of mercy back onto the poor. This tension is not accidental. It belongs to every mission-driven financial institution.

A non-extractive fund faces the same problem in modern form. It must pay for legal work, due diligence, administration, accounting, stewardship, reporting, governance, and staff time. It may need reserves. It may need software. It may need audit. It may need to compensate people fairly so that the work does not depend on hidden unpaid labor. These costs are real. A fund that refuses to acknowledge them may become fragile, amateurish, or exploitative toward its own workers. But a fund that over-recovers them may become extractive. The difference between sustainability and self-interest is often difficult to see from inside the institution.

The Monti therefore teach a first principle of moral finance: mission does not abolish the need for proof. It is not enough for an institution to say, "We exist for the poor," or "We are non-extractive," or "We are steward-owned," or "We are mission-locked." The money must still be traceable. Charges must still be justified. Costs must still be documented. Fees must still be proportionate. Governance must still prevent conflicts of interest. The institution must still be able to show that payments above principal are tied to real labor, real expense, real risk, or real loss, not to the unnoticed growth of an institutional appetite.

The second principle is that anti-usury institutions can still develop usury-like habits. This is a sobering thought. An institution can oppose usury in theory while reproducing extraction in practice. It can charge less than commercial lenders and still burden the poor. It can use the language of mercy while building rigid collection practices. It can cap returns while still prioritizing capital over mission. It can reject profit maximization while allowing administrative structures to become too comfortable. It can begin as a work of charity and gradually become a machine for its own preservation.

This is why the Monti are so important for the NEC Simulator. The simulator cannot merely ask whether a financing structure was founded with good intentions. It must ask whether those intentions remain visible in the flows of money. Are administrative charges still tied to actual cost? Are stewardship fees tied to actual labor? Are reserves proportionate to real risk? Are penalties rare and corrective, or common and revenue-producing? Are hardship cases treated with mercy? Are related-party payments monitored? Are borrowers protected from institutional self-interest? Does the financing structure still serve the people it was created to serve?

The third principle is that drift often appears through accounting categories. A charge originally classified as reimbursement may become a revenue stream. A labor stipend may become a management fee. A management fee may become a percentage of assets under management, detached from actual work. A reserve may become a pool for institutional expansion. A penalty may become expected income. A pledge sale may become routine. A "small charge" may remain small in percentage terms but large relative to the borrower's fragility. The moral problem appears not only in the contract, but in the books.

This is why accounting is not spiritually neutral. The ledger records the institution's actual priorities. It shows whether the poor are being served or monetized, and whether capital is being restored or privileged. It shows whether labor is being compensated or inflated, whether mission is receiving surplus or merely legitimating it, and whether the institution's original theology still governs its economic life.

The Monti also reveal the need for governance. A charitable purpose must be pro-

tected by institutional countermeasures. There must be oversight, rules against excess, and scrutiny of fees. There must be limits on penalties and review of hardship cases. There must be clarity about who benefits from surplus, and there must be mechanisms to prevent the managers of mercy from becoming beneficiaries of the system they administer.

Modern non-extractive finance needs the same safeguards. Asset locks, steward ownership, mission locks, caps, independent audit, borrower protections, grace periods, hardship clauses, transparent accounting, related-party review, and loss-sharing rules are not bureaucratic decorations. They are the modern equivalents of anti-drift disciplines. They exist because institutions cannot rely indefinitely on founding charisma, personal virtue, or good intentions. The structure must help preserve the conscience of the institution after the first generation of founders is gone.

The Monti di Pietà therefore stand at the beginning of this chapter not as a romantic model to imitate uncritically, but as a case study in the fragility of moral finance. They show that a Christian financial institution must answer three questions continuously. First, what problem was this institution created to solve? Second, what payments does it require in order to survive? Third, at what point do those payments begin to recreate the problem it was created to solve?

This third question is the heart of mission drift. The Monti were created to protect vulnerable borrowers from usury. But if their charges, penalties, procedures, or institutional needs became burdensome, they risked moving toward the moral territory they were meant to resist. The same is true today. A non-extractive fund is created to protect mission-driven enterprises from extractive capital. But if its fees, repayment priorities, control rights, risk premiums, administrative layers, or investor expectations begin to burden those enterprises, it too risks becoming a softer version of the thing it opposes.

This does not mean the Monti failed. Nor does it mean modern non-extractive finance is impossible. It means moral finance requires vigilance. The Monti teach that mercy must become institutional, but institutional mercy must remain accountable. They teach that cost recovery can be just, but only when it remains cost recovery. They teach that labor should be compensated, but not allowed to become a concealed profit claim. They teach that sustainability is necessary, but never absolute. They teach that serving the vulnerable requires systems, and that systems can begin to serve themselves.

Their warning is therefore deeply relevant for the NEC Simulator. A simulator that models only the original contract will miss the danger. It must also model actual behavior over time. It must track drift. It must compare stated purpose with financial flows. It must ask whether fees remain proportionate, whether penalties remain exceptional, whether risk is still shared, whether mission remains protected, and whether the vulnerable party remains at the center.

The lesson of the Monti is not that moral finance should avoid institutions. Without institutions, mercy remains episodic, fragile, and dependent on personal charity. The lesson is that institutions of mercy must be designed for self-examination.

The Monti di Pietà began with a beautiful intuition: credit could be reordered toward the poor. Lending could be removed from the logic of predation and placed under the discipline of charity. Money could serve life rather than feed on need. But that intuition had to be defended in practice, transaction by transaction, fee by fee, ledger by ledger, year by year.

So too with non-extractive capital. The danger is not only that hostile finance will remain extractive. That is obvious. The deeper danger is that friendly finance, moral finance, Christian finance, steward-owned finance, mission-driven finance, and non-extractive finance will slowly forget what they were created to do. They will keep the language while losing the discipline. They will keep the brand while losing the burden of proof. They

will keep the mission statement while allowing the flows of money to tell another story. The Monti di Pietà warn us that this can happen. They also show us what must be built to resist it.

42.2 Drift in Modern Funds

Mission drift rarely begins as betrayal. It usually begins as adjustment. A fund faces pressure. A portfolio company underperforms. Legal costs rise. Staff capacity is stretched. Investors ask harder questions. A promising deal requires faster execution. A reporting requirement becomes more complex. A manager wants to professionalize. A co-founder leaves. A new partner joins. A side letter is granted. A fee is increased slightly. A repayment schedule is tightened. A hardship clause is interpreted narrowly. A cap remains in place, but the path toward the cap becomes more aggressive.

Nothing dramatic has happened. No one has announced that the mission is being abandoned. No one has declared a preference for extraction. The language remains intact. The website still speaks of stewardship, patient capital, mission alignment, impact, dignity, resilience, and service. But the internal gravitational field begins to shift. The fund starts to protect itself. The investor's position becomes a little more secure. The entrepreneur's burden becomes a little heavier. The mission's flexibility becomes a little smaller. The vulnerable party becomes a little less central. This is drift.

Modern funds are especially vulnerable to drift because they sit inside a financial ecosystem that assumes capital should grow. Even when a fund begins with a non-extractive intention, it must still relate to lawyers, accountants, regulators, investors, banks, consultants, auditors, portfolio companies, tax structures, market conventions, and expectations about professionalism. These surrounding systems carry their own anthropology. They assume that capital has rights, that risk deserves return, that time has a price, that investors require incentives, that fund managers require fees, that growth is proof of success, and that survival justifies many compromises. A mission-driven fund may resist these assumptions explicitly, but still absorb them implicitly.

The first form of drift is fee drift. Every fund needs administration. Legal structuring, compliance, due diligence, accounting, reporting, governance support, investor relations, audit, and portfolio accompaniment all cost money. These costs are real. A fund that refuses to pay for them may become fragile or dependent on hidden sacrifice. But fee drift begins when cost recovery becomes fund economics. A fee that once reimbursed necessary labor becomes a stable revenue line. A management charge becomes detached from actual work. A percentage-of-assets model continues even when marginal costs decline. Related-party service companies appear. Consulting arrangements accumulate. "Stewardship" becomes a billable category broad enough to absorb almost anything.

Fee drift is morally dangerous because it often hides behind necessity. The institution says, truthfully, that it needs money to operate. But the relevant question is not whether costs exist. The question is whether the charges remain proportionate, transparent, documented, and ordered toward the mission. If fees grow while service quality does not, if fees rise while portfolio companies struggle, if fees continue after active stewardship has ended, or if fees become a way to extract value despite return caps, then the fund has begun to move away from cost recovery toward institutional self-interest.

The second form of drift is return drift. A fund may begin with a modest return expectation. It may promise capped returns, patient repayment, or non-extractive upside participation. But over time, the target can harden. What began as a ceiling becomes a goal. What began as a possible return becomes an expected return. What began as compensa-

tion for risk becomes a portfolio requirement. The cap stops functioning as a restraint and starts functioning as a target.

Return drift is subtle because capped capital often looks morally cleaner than uncapped capital. And indeed, it may be cleaner. But a cap alone does not determine whether a structure is non-extractive. If the fund designs repayment schedules, covenants, fees, penalties, and priorities to make the cap highly likely, then the cap may simply define the desired yield. A 1.5x cap can still be extractive if the path to 1.5x burdens the enterprise, suppresses wages, weakens reserves, or forces mission compromise. A non-extractive fund must therefore ask not only how much capital can receive, but how capital receives it, when it receives it, and what the enterprise must sacrifice along the way.

The third form of drift is mission drift. Mission drift occurs when the fund's stated purpose remains the same, but its practical decision criteria change. At first, the fund may exist to serve mission-driven enterprises, steward-owned companies, open-source infrastructure, digital sovereignty, ecological repair, community resilience, or economic justice. But as pressures mount, it may begin selecting companies that are easier to finance, easier to measure, easier to explain to investors, easier to exit, or more likely to repay. The mission language remains, but the portfolio edges toward safer, more conventional, more investor-legible opportunities.

This form of drift is especially dangerous because it can be rationalized as prudence. A fund does need viable companies. It does need repayment. It does need discipline. But mission drift begins when financial legibility replaces mission fidelity. The fund starts asking: which enterprises make our model look successful? Rather than: which enterprises are we called to serve? It may still fund good companies, but it gradually stops reaching the more difficult edges of its original vocation.

The fourth form of drift is investor-pressure drift. Even patient, mission-aligned investors can become anxious. They may support non-extractive finance in principle, but still expect updates, benchmarks, repayment, comparables, risk controls, liquidity, and evidence that the model "works." A fund manager may begin adapting to these expectations. Reporting becomes more investor-facing. Metrics emphasize financial performance. Portfolio support is reframed around de-risking capital. Terms become slightly more protective. The fund begins to anticipate investor discomfort before investors explicitly demand change.

Investor-pressure drift is powerful because it does not require coercion. It works through imagination. The manager imagines what investors will tolerate. The manager imagines what will help the next fundraise. The manager imagines what will look credible to the market. Over time, the fund's internal audience changes. It no longer thinks first from the perspective of the enterprise, worker, mission, or community. It thinks first from the perspective of capital confidence.

The fifth form of drift is governance drift. A fund may begin with strong mission protections, independent stewards, asset locks, advisory boards, borrower protections, or community voice. But governance structures can weaken over time. Independent reviewers become passive. Mission boards become ceremonial. Conflicts of interest are disclosed but not challenged. Founders retain informal power. Investors gain influence through side agreements or repeated fundraising dependence. Legal documents remain intact, but the living practice of governance becomes thinner.

Governance drift matters because moral finance cannot depend only on documents. The real question is who can say no. Who can challenge a fee increase? Who can protect a borrower in distress? Who can stop a related-party arrangement? Who can insist that a hardship clause be honored? Who can prevent investor expectations from reshaping the

mission? Who can defend the purpose of the fund when financial pressure rises? If no one has real authority to protect the mission, the mission is not truly locked. It is merely stated.

The sixth form of drift is measurement drift. What gets measured becomes what gets managed. A fund may begin with a rich understanding of mission: human dignity, worker flourishing, community resilience, digital sovereignty, ecological repair, open infrastructure, ownership justice, spiritual purpose, and non-extraction. But over time, these may be compressed into measurable proxies: revenue growth, jobs created, tons of carbon avoided, users served, diversity statistics, governance documents signed, or impact scores. Some of these metrics may be useful. But they can gradually replace the deeper moral reality they were meant to approximate.

Measurement drift is not the same as using metrics. Moral finance needs measurement. The problem arises when measurement becomes a substitute for discernment. A dashboard can show that a company is growing while hiding that its workers are exhausted. It can show that an impact target was met while hiding that mission governance is weak. It can show that capital is being repaid while hiding that resilience is declining. It can show that a fund is “impactful” while leaving its extraction geometry untouched.

The seventh form of drift is legal-form drift. Steward ownership, asset locks, foundations, cooperatives, trusts, golden shares, capped returns, and mission locks can all help protect purpose. But legal form is not moral substance. A steward-owned company can still accept extractive capital. A foundation-owned structure can still create related-party leakage. A capped-return instrument can still pressure cash flow. A cooperative can still exploit suppliers. A nonprofit can still underpay workers. A mission lock can still be interpreted narrowly.

Legal-form drift occurs when the institution begins to trust the form more than the underlying moral analysis. It assumes that because the structure is steward-owned, foundation-owned, or mission-locked, the finance is clean. But the scholastic tradition warns against exactly this kind of formalism. The name of the contract is not enough. One must ask what the contract does. Is it a loan, a partnership, a sale, an insurance contract, a disguised *mutuum*, or a hybrid? Who bears risk? Who receives surplus? Who can enforce? Who is vulnerable?

The eighth form of drift is solidarity drift. This may be the deepest of all. A non-extractive fund begins with a desire to accompany enterprises. It wants to be patient, human, relational, and mission-aligned. But as the portfolio grows, relationships become standardized. Templates replace conversation. Exceptions become inconvenient. Covenant monitoring replaces trust. Distress cases become “portfolio management.” The fund still speaks of accompaniment, but its practices become increasingly procedural.

Solidarity drift occurs when the fund stops suffering with the enterprise. It may still be polite, flexible, and mission-oriented. But when stress arrives, the fund’s first instinct is self-protection. It asks how to preserve the model, not how to share the burden. It asks how to prevent loss, not how to remain faithful. It asks how to maintain investor trust, not how to protect the vulnerable party from ruin. A genuinely non-extractive fund must therefore design for solidarity under stress, not only alignment under success.

This is where ergodicity becomes important again. Many drift patterns are invisible in the average case. The fund appears patient when companies perform well. It appears mission-aligned when repayments arrive on schedule. It appears non-extractive when the cap is respected. But under stress, the hidden hierarchy appears. Does the fund wait? Does it forgive? Does it subordinate? Does it reduce its claim? Does it help the enterprise rebuild? Or does it enforce the terms that were always present but rarely noticed? Stress reveals whether the fund is truly non-extractive.

Modern funds also face a particular danger that the Monti did not face in the same way: comparison pressure. A non-extractive fund will often be compared to venture capital, private equity, private credit, philanthropy, impact investing, ESG funds, catalytic capital, recoverable grants, or bank loans. Each comparison can pull the fund in a different direction. Compared to venture capital, the fund may look gentle. Compared to philanthropy, it may look demanding. Compared to bank debt, it may look risky. Compared to private equity, it may look underpowered. Compared to impact investing, it may look insufficiently standardized. These comparisons can distort the fund's self-understanding.

The danger is that the fund begins to define itself by being "less extractive than venture capital" rather than by being positively ordered toward justice. But non-extraction is not merely a relative improvement. It is not enough to be kinder than the market. The question is whether the structure itself is morally coherent. Does it restore rather than dominate? Does it share risk rather than shift it? Does it discipline surplus rather than normalize yield? Does it serve life rather than merely soften extraction?

This is why the extrinsic titles are useful. They give the fund a vocabulary that is not borrowed from modern finance. Instead of asking only whether a term is market-standard, below-market, concessionary, catalytic, or impact-aligned, the fund can ask: what title justifies this payment? Is there actual loss? Is there culpable delay? Is there concrete foregone gain? Is there real risk to principal? Is there labor? Is there expense? Or is this simply a return claim looking for moral language?

Drift often occurs when this vocabulary is lost. A fund begins with strong moral language but gradually reverts to market categories. It starts talking less about loss, risk-sharing, proportionality, and vulnerability, and more about portfolio performance, target returns, de-risking, investor appetite, liquidity, scalability, and fund economics. These terms are not automatically wrong. But if they become the dominant language, they reshape the imagination. The moral grammar weakens. The fund begins to think like the system it hoped to reform.

The antidote is not to reject all financial discipline. A non-extractive fund must be financially competent. It must understand risk, repayment, operations, governance, regulation, and sustainability. But it must discipline financial competence under a stronger moral grammar. It must know modern finance without being converted by it.

This is why the NEC Simulator should include drift monitoring as a core function, not an optional add-on. It should track fee drift by comparing fees to actual labor and expenses. It should track return drift by comparing realized and targeted returns to the original moral justification. It should track mission drift by comparing portfolio selection against mission criteria. It should track investor-pressure drift by monitoring changes in reporting, terms, side letters, and fundraising language. It should track governance drift by reviewing who actually exercises oversight. It should track measurement drift by identifying whether proxies are replacing substantive mission judgment. It should track legal-form drift by testing whether the moral substance matches the legal form. It should track solidarity drift by analyzing distress behavior, hardship treatment, restructuring decisions, and loss-sharing.

A modern fund also needs drift thresholds. Some change is legitimate. Institutions learn. Costs change. Regulations evolve. Portfolio realities differ from projections. A moral finance institution should not be frozen in its founding assumptions. But changes should be named, justified, and reviewed. A fee increase should require evidence. A new investor protection should require moral analysis. A repayment acceleration should require vulnerability review. A related-party arrangement should require independent approval. A change in mission criteria should require governance consent. A repeated exception should trigger rule revision.

Drift becomes dangerous when change becomes invisible, and this is why the simulator should create an institutional memory. It should preserve the original moral theory of the fund. It should record why certain terms were chosen, which titles justified them, what risks were accepted, what protections were promised, and what assumptions were made. Later decisions can then be compared against this original moral charter. The question becomes: are we still doing what we said we were doing? If not, why? Is the change faithful development, or drift?

This distinction matters. Not all change is drift. Some change is maturation. A fund may discover that its original fee model underpaid necessary labor. It may learn that its hardship clauses need to be stronger. It may find that a repayment schedule is too aggressive and must be softened. It may realize that a return cap is still too high. It may decide to subordinate capital more deeply. It may add stronger related-party safeguards. These changes are not drift away from mission. They are conversion toward mission. Drift, by contrast, moves toward self-protection, capital privilege, abstraction, and hidden extraction.

The moral direction of change is therefore essential. Is the fund becoming more patient, more transparent, more solidaristic, more accountable, more protective of mission, and more honest about surplus? Or is it becoming more return-oriented, more fee-dependent, more investor-facing, more legally defensive, more abstract in its justifications, and more willing to burden the enterprise? This is the question every modern fund must ask.

The Monti di Pietà remind us that institutions created to resist usury can themselves become morally ambiguous. Modern funds deepen the warning because the surrounding financial ecosystem is far more sophisticated, far more globalized, and far more capable of absorbing moral language into market logic. A fund can call itself non-extractive while using familiar return expectations. It can speak of stewardship while privileging capital. It can reject exits while demanding redemption. It can cap upside while protecting downside. It can serve mission while making mission pay for the privilege. Drift is therefore not a peripheral risk. It is one of the central moral problems of non-extractive finance.

A fund that wants to remain faithful must build countermeasures from the beginning. It must assume that drift will happen unless resisted. It must design accounting systems, governance structures, dashboards, audits, borrower protections, mission locks, fee reviews, hardship processes, and theological reflection into the institution itself. It must make it easier to remain faithful than to slide back into extraction.

Modern funds need this discipline because capital is patient in its own way. It waits for language to weaken. It waits for pressure to rise. It waits for exceptions to become precedents. It waits for founders to tire. It waits for governance to become ceremonial. It waits for mission to become brand. It waits for the dashboard to celebrate repayment more than justice. Non-extractive finance must be more patient still. It must return again and again to the old questions: What is this payment for? What title justifies it? Who bears risk? Who receives surplus? Who is protected? Who is burdened? What happens under stress? Are we restoring equality, sharing risk, sustaining mission, and serving life? The drift of modern funds is real. So the countermeasures must be real too.

42.3 Scholastic Countermeasures

The scholastic tradition did not trust moral language by itself. This is one of its great strengths. The theologians, canonists, confessors, and jurists who developed the usury doctrine knew that people could describe an extractive arrangement in respectable terms. A lender could call gain “compensation.” A penalty could be called “discipline.” A spec-

ulative expectation could be called "loss." A disguised loan could be called a partnership. A payment for time could be hidden inside a sale price. A risk premium could be charged even when the lender had protected himself against the risk. The form of the contract could be made to say one thing while the moral substance said another.

The scholastic response was not simply to condemn everything. It was to develop countermeasures. These countermeasures were intellectual, legal, pastoral, and institutional. They did not eliminate ambiguity, but they disciplined it. They asked specific questions. They required specific titles. They demanded proof. They tested proportionality. They examined intention. They looked for fraud. They distinguished legal form from moral substance. They placed the transaction under the scrutiny of conscience. Modern non-extractive finance needs these countermeasures again.

The first scholastic countermeasure is the requirement of a specific title. A surplus payment cannot justify itself. It must be named. Is it a penalty for culpable delay? Is it reimbursement for actual loss? Is it compensation for a concrete foregone gain? Is it payment for genuine risk to principal? Is it recovery of expense? Is it compensation for labor? Is it profit from partnership? Or is it simply gain from the loan itself?

This requirement sounds simple, but it is powerful. It prevents vague moral blending. Modern finance often uses broad terms like "return," "premium," "yield," "risk-adjusted compensation," "cost of capital," or "market rate." These terms are not precise enough for moral theology. The scholastic tradition forces the question: what exactly is being paid for? If the answer is "time," the claim is dangerous. If the answer is "money could have earned elsewhere," the claim must be tested under *lucrum cessans* and disciplined severely. If the answer is "risk," the simulator must ask whether capital is actually at risk. If the answer is "cost," the cost must be documented. If the answer is "labor," the labor must be shown. If the answer is "delay," the delay must be culpable, not engineered. The specific-title requirement prevents surplus from dissolving into abstraction.

The second scholastic countermeasure is specific proof. A title is not enough. It must be substantiated. *Damnum emergens* requires actual loss. *Lucrum cessans* requires a concrete foregone opportunity. *Periculum sortis* requires real exposure of principal. *Poena conventionalis* requires culpable delay and an anti-fraud structure. *Stipendium laboris* requires work. Expense reimbursement requires expense. Partnership profit requires genuine sharing of gains and losses.

This proof requirement is the difference between moral analysis and moral branding. Without proof, every fund can claim to be compensating risk, covering costs, supporting stewardship, or recovering losses. The scholastic method asks: show me. Show the invoice. Show the missed payment. Show the actual liquidity harm. Show the alternative opportunity. Show the subordination. Show the loss-absorption mechanism. Show the grace period. Show that the lender preferred timely repayment. Show that the fee corresponds to labor. Show that the investor can lose before the founder, worker, mission, or community is harmed. This is why bookkeeping and audit are not external to moral finance. They are the practical form of proof. A non-extractive fund should not only assert that its payments are justified. It should be able to document the title behind each significant claim.

The third scholastic countermeasure is proportionality. Even when a title is real, the amount must fit the burden. A real loss justifies restoration, not enrichment. A real delay may justify a penalty, but not a revenue strategy. A real administrative cost may justify reimbursement, but not institutional extraction. A real risk may justify participation in upside, but not unlimited protection plus return. A real foregone gain may justify compensation, but not an abstract market yield detached from the actual opportunity lost. Proportionality is the discipline that keeps compensation from becoming profit.

This is especially important because modern finance often scales payments according to capital, not burden. A management fee may be charged as a percentage of assets even when the actual work does not rise proportionally. A risk premium may increase with principal even when the real risk has been mitigated. A late penalty may compound beyond any actual harm. A return cap may be set according to investor appetite rather than mission resilience. Scholastic proportionality pushes back. It asks whether the claimed payment corresponds to a real burden. It asks whether the payment restores equality or creates a new inequality. It asks whether the surplus exceeds the title that justifies it.

The fourth scholastic countermeasure is anti-fraud analysis. The tradition repeatedly worried about transactions *in fraudem usurarum*: arrangements designed to evade the usury prohibition while preserving the economic substance of usury. A penalty clause might be formally valid, but if default was expected or engineered, the penalty became disguised interest. A sale on credit might be legitimate, but if the higher price simply concealed a charge for waiting, it could become a loan in disguise. A partnership might be licit, but if the capital provider was guaranteed repayment while also taking profit, the partnership label might conceal a *mutuum*. An exchange contract might be real, or it might be a way to hide lending for gain. Anti-fraud analysis is therefore the discipline of looking beneath labels.

Modern finance needs this urgently. A revenue-based financing agreement may be more flexible than a loan, but it can still function like debt if repayment is mandatory and aggressive. Preferred equity may be called equity, but function like senior secured debt if redemption rights, liquidation preferences, and control provisions protect the investor too strongly. Convertible instruments may appear founder-friendly while preserving investor optionality behind the scenes. Stewardship fees may appear mission-oriented while extracting value through related-party structures. Impact terms may appear ethical while leaving the extraction geometry untouched.

The scholastic question is always: what is this really? Is it truly partnership, or a disguised loan? Is it truly risk-sharing, or risk-shifting? Is it truly cost recovery, or revenue? Is it truly a penalty, or expected yield? Is it truly foregone profit, or universalized opportunity cost? Is it truly mission protection, or investor control in moral language? Anti-fraud analysis protects moral substance against contractual cleverness.

The fifth scholastic countermeasure is scrutiny of intention and incentive. The tradition did not reduce morality to subjective intention, but it also did not ignore intention. Scotus's concern about the lender who prefers late repayment because of the penalty is a powerful example. The external structure reveals the internal temptation. If the lender benefits from default, the penalty is morally suspect. If the investor benefits from distress, the structure is dangerous. If capital receives more when the enterprise is weak, the incentive is disordered.

Modern contracts create many such temptations. Default interest may make delay profitable. Warrants may make distress financing attractive. Liquidation preferences may make an early sale better for investors than long-term mission preservation. Control rights may allow capital to force an exit. Fees may create incentives to raise more capital than the mission needs. Related-party arrangements may reward complexity. Short repayment schedules may pressure companies into growth strategies they would otherwise reject.

Scholastic scrutiny of intention asks not only what the contract says, but what it trains the parties to desire. Would the investor prefer the enterprise to flourish slowly, or to repay quickly? Would the lender prefer timely repayment, or default penalties? Would the fund manager prefer mission fidelity, or larger assets under management? Would the governance structure reward patience, or exits? Would the investor share pain in downturns, or benefit from enforcement? Would the institution choose mercy when mercy reduces its

own revenue? A moral finance structure must be designed so that incentives support the stated mission.

The sixth scholastic countermeasure is confessional scrutiny. In the medieval and early modern world, usury was not merely a legal matter. It was a matter for conscience, confession, restitution, and pastoral guidance. This matters because many usury-like structures cannot be judged by formal legality alone. They require examination of intention, pressure, vulnerability, bargaining power, knowledge, and actual effects. A confessor or moral theologian might ask questions that a lawyer would not ask. Did you exploit need? Did you intend gain from the loan itself? Did you disguise interest as something else? Did you impose terms the borrower could not realistically avoid? Did you restore what was unjustly taken?

Modern finance does not have a direct equivalent of the confessional forum. But non-extractive finance needs some analogous space of moral review. This could take the form of an ethics committee, theological advisory board, independent steward council, borrower ombuds process, annual moral audit, or structured examination of conscience for the fund. The point is not to recreate medieval confession in corporate form. The point is to create a place where the institution is asked questions deeper than compliance. Legal review asks: is this permitted? Financial review asks: is this viable? Impact review asks: does this produce measurable good? Scholastic moral review asks: is this just? That question must have an institutional home.

The seventh scholastic countermeasure is the distinction between legal form and moral substance. The tradition repeatedly refused to let names settle the matter. A contract could be called a sale, but morally function as a loan. A partnership could be called *societas*, but morally function as guaranteed debt. A gift could be called voluntary, but morally expected from the beginning. A penalty could be called punishment, but morally function as a price for time. A payment could be legally valid but spiritually dangerous.

This distinction is essential for modern non-extractive capital. Steward ownership, asset locks, foundations, capped returns, recoverable grants, revenue-based financing, redeemable equity, preferred shares, convertible notes, and mission locks all need moral analysis. None is automatically clean. Each must be examined according to ownership, risk, priority, control, surplus, enforceability, vulnerability, and mission effects. The legal form matters, but it is not enough. A steward-owned company can still be financed extractively. A capped-return investor can still dominate cash flow. A nonprofit can still exploit workers. A foundation can still preserve capital privilege. A cooperative can still shift risk to suppliers. A mission-locked fund can still design investor-friendly terms. A contract called patient can still be impatient under stress. The scholastic method teaches us to ask what the thing is, not merely what it is called.

The eighth scholastic countermeasure is restitution. The usury doctrine did not end with classification. If usury was taken, restitution was owed. This is morally important because it means that unjust surplus cannot be made clean by later explanation. If a payment was extracted without legitimate title, the problem is not merely reputational. It creates a duty of repair.

Modern non-extractive finance should recover this logic. If a fund discovers that a fee exceeded actual cost, the excess should be corrected. If a penalty was wrongly charged, it should be refunded or credited. If a risk premium was taken while risk was shifted to the borrower, the structure should be revised. If related-party payments created hidden extraction, the value should be restored. If repayment pressure damaged the mission, the fund should not merely note the harm; it should participate in repair.

Restitution turns moral audit into moral action. Without restitution, the simulator becomes a diagnostic toy. With restitution, it becomes part of conversion. It allows the in-

stitution to say: we have discovered that this payment was not justified; we will correct it. This is not weakness. It is fidelity. A fund that can repair itself is morally stronger than a fund that must pretend it never errs.

The ninth scholastic countermeasure is suspicion toward universalized titles. The tradition understood that extrinsic titles could swallow the usury prohibition if generalized too broadly. If every delay justifies penalty, penalty becomes interest. If every inconvenience justifies damages, damages become yield. If every possible alternative use justifies lost profit, *lucrum cessans* becomes opportunity cost. If every uncertainty justifies risk premium, *periculum sortis* becomes ordinary interest. If every period without money justifies compensation, *carentia pecuniae* becomes the time value of money.

Modern finance lives largely inside these universalized titles. It assumes opportunity cost. It assumes liquidity premiums. It assumes risk pricing. It assumes time value. It assumes return expectations. The scholastic countermeasure is to resist universalization. A title must remain tied to a specific burden in a specific case. The more abstract the title becomes, the more dangerous it becomes. This is why the NEC Simulator should flag generalized claims. "Market return" should not automatically count as *lucrum cessans*. "Default risk" should not automatically count as *periculum sortis*. "Lock-up" should not automatically count as *carentia pecuniae*. "Administrative burden" should not automatically justify fees. "Investor expectation" should not become a moral title. Each claim must be brought back to concrete proof.

The tenth scholastic countermeasure is care for the vulnerable borrower. This is the biblical root beneath the whole tradition. The poor neighbor, the brother in need, the debtor whose cloak must be returned at night, the covenant community tempted to harden its heart, the people restored through release: all of this remains beneath the later legal and theological distinctions. The scholastic titles are not merely technical devices. They are meant to prevent finance from turning need into revenue.

Modern non-extractive finance must therefore ask not only whether a title is analytically valid, but whether the vulnerable party is protected. A payment may be technically defensible and still pastorally harsh. A repayment schedule may be legal and still fragile. A fee may be documented and still excessive relative to the borrower's condition. A risk-sharing structure may be real and still misaligned with the enterprise's capacity. A fund may be morally better than venture capital and still not merciful enough. The scholastic tradition, at its best, disciplines both greed and abstraction. It keeps returning moral analysis to the concrete person before us.

For the NEC Simulator, these scholastic countermeasures can become operational rules. Every surplus payment must name a title. Every title must have evidence. Every amount must be proportionate. Every structure must be tested for disguised usury. Every incentive must be examined. Every legal form must be tested against moral substance. Every ambiguity must be marked for review. Every unjust surplus must be repairable. Every generalized title must be treated with suspicion. Every judgment must ask how the vulnerable party is affected. This is not a replacement for conscience. It is a training in conscience.

The scholastic tradition developed these countermeasures because it understood both the necessity and the danger of finance. Credit can help households survive, merchants trade, institutions endure, and communities flourish. But credit can also dominate, extract, enslave, and disguise exploitation as contract. The extrinsic titles were created to preserve a narrow path between naive prohibition and permissive collapse. They allowed genuine compensation without surrendering to the idea that capital deserves growth simply because it is capital.

Modern non-extractive finance walks the same narrow path. It must compensate real

labor without creating fee extraction. It must preserve institutional sustainability without becoming self-serving. It must recognize risk without monetizing every uncertainty. It must allow participation without domination. It must recover costs without burdening the vulnerable. It must model opportunity without baptizing opportunity cost. It must use contracts without trusting labels. It must build institutions without losing mercy.

The scholastic countermeasures are therefore not antiquarian details. They are design principles. They teach a fund how to remain honest. They teach a dashboard what to display. They teach an audit what to ask. They teach a governance board when to intervene. They teach investors how to examine their claims. They teach entrepreneurs how to recognize disguised extraction. They teach moral finance that its own language is not enough. The old theologians knew that usury could hide in cleverness. Our task is to build institutions where it has fewer places to hide.

42.4 Modern Countermeasures

If drift is predictable, countermeasures must be designed in from the beginning. This is the first practical rule of modern moral finance. A fund should not assume that good intentions, shared values, charismatic founders, or a beautiful mission statement will preserve its purpose. These things matter, but they are not enough. Institutions grow tired. People change. Investors become anxious. Legal structures are tested. Market pressure returns. Exceptions accumulate. The language of mission remains, but the flows of money begin to tell another story.

The question, then, is not whether a non-extractive fund can avoid pressure. It cannot. The question is whether the fund is built so that pressure reveals and strengthens its mission, rather than slowly converting it back into ordinary finance.

Modern countermeasures are the institutional descendants of the scholastic disciplines. Where the scholastics required a title, modern finance needs explicit classification. Where they required proof, modern finance needs documentation and audit. Where they tested proportionality, modern finance needs caps and review processes. Where they looked for fraud, modern finance needs substance-over-form analysis. Where they examined conscience, modern finance needs governance capable of moral scrutiny. Where they required restitution, modern finance needs mechanisms for correction.

The first modern countermeasure is the asset lock. An asset lock prevents the underlying mission-bearing assets from being freely converted into private gain. It changes the background assumption of ownership. Instead of treating the company or fund as property that can be sold, stripped, or redirected for the benefit of capital, the asset lock places limits on extraction. It says that the organization's value is not simply available for appropriation. Its assets are held for a purpose.

For non-extractive finance, this matters because many forms of extraction occur not through ordinary interest, but through capital gains, exits, liquidation preferences, asset sales, recapitalizations, and control rights. A company may avoid formal debt and still be structured so that mission-built value can later be captured by investors or insiders. An asset lock creates a structural barrier against this. It protects the accumulated value of the enterprise from being treated as a prize.

But an asset lock is not enough. It can protect residual value while leaving operating cash flows exposed. A company may be asset-locked and still pay excessive fees, burdensome redemptions, inflated management charges, or related-party payments. The lock protects one door, but extraction can enter through another. The simulator should therefore treat asset locks as important but incomplete. They are a countermeasure against

ownership extraction, not a substitute for contract-level moral analysis.

The second countermeasure is steward ownership. Steward ownership separates governance rights from pure economic rights. It aims to ensure that those who control the enterprise are bound to its mission rather than to the maximization of shareholder value. In a steward-owned structure, voting control is held by stewards, trusts, foundations, golden-share bodies, or mission-guarding mechanisms, while economic claims are limited. The enterprise is not simply for sale to the highest bidder. It is governed for purpose.

This is deeply relevant to the usury tradition because ownership and lending are both ways of structuring claims on future value. The old *mutuum* problem asked whether a lender could demand more than principal from the borrower. Modern corporate finance adds another question: can owners demand that the entire enterprise be governed for their financial upside? Steward ownership answers by limiting the dominion of capital over governance.

Yet steward ownership too can drift. Stewards may become passive. Mission guardians may lack power. Economic instruments may still create pressure. Investors may receive capped returns that are modest in theory but aggressive in timing. Founders may retain informal control. Related-party structures may leak value. Therefore steward ownership must be paired with financial design. Purpose governance and non-extractive capital are complementary; neither replaces the other.

The third countermeasure is the mission lock. A mission lock states what the institution exists to do and restricts decisions that would undermine that purpose. It may appear in articles of association, foundation statutes, investment documents, shareholder agreements, governance charters, side letters, or ethical covenants. It gives the institution a formal memory. It says: this is the purpose that capital must serve.

But a mission lock must be specific enough to govern. Vague language about impact, sustainability, innovation, or social good is too easy to absorb into ordinary finance. A strong mission lock should identify the protected purpose, the prohibited forms of extraction, the hierarchy of stakeholders, the treatment of surplus, the role of capital, and the conditions under which the mission cannot be subordinated to repayment or return.

A mission lock should also have an enforcer. A mission that no one can defend is not locked. It is ornamental. Modern countermeasures therefore require a person or body with standing to object when mission is threatened: a steward board, golden-share holder, foundation, ethics council, borrower representative, community guardian, or independent trustee. Someone must be able to say no when financial pressure rises.

The fourth countermeasure is caps. Caps are among the simplest and most visible restraints on extraction. A capped return says that capital cannot take unlimited upside. A capped management fee says that administration cannot grow without limit. A capped penalty says that delay cannot become a revenue engine. A capped repayment burden says that the enterprise cannot be drained beyond a certain threshold. Caps discipline appetite.

But caps must be designed carefully. A return cap can become a target. A fee cap can still be too high. A penalty cap can still be punitive. A revenue-share cap can still burden the company if repayment begins too early or takes too much from fragile cash flow. A cap limits the maximum, but it does not by itself prove that the claim is justified. The simulator should therefore distinguish between “capped” and “clean.” A capped surplus still needs a title. It still needs proof. It still needs proportionality. It still needs downside analysis. A cap is a guardrail, not a sacrament; it restrains extraction, but it does not automatically convert extraction into justice.

The fifth countermeasure is transparency. Hidden finance is dangerous finance. Non-extractive capital must be legible to the people it affects. Entrepreneurs should understand

what capital can claim, when it can claim it, what happens under stress, what fees may be charged, what penalties may arise, what rights investors hold, what protections the mission has, and how disputes are handled. Investors should understand that their return is limited by moral commitments. Governance bodies should understand the flow of money. Auditors should be able to trace classifications. Communities should be able to trust that the mission is not being used as a cover for extraction.

Transparency should include clear term sheets, plain-language summaries, repayment waterfall diagrams, downside scenarios, fee schedules, related-party disclosures, moral-title classifications, hardship procedures, and annual reporting. It should also include transparency about uncertainty. If a payment category is ambiguous, the institution should say so. If a title is contested, it should be reviewed. If a moral regime produces different judgments, the dashboard should show the disagreement. Transparency is not merely communication. It is a discipline against self-deception.

The sixth countermeasure is independent audit. A fund should not be the sole judge of its own non-extraction. Independent audit brings an external eye to the institution's claims. Financial audit verifies that the numbers are accurate. Moral-finance audit asks whether the classifications are true. Are fees tied to actual cost and labor? Are penalties rare and proportionate? Are related-party payments fair and approved? Are risk premiums supported by real loss absorption? Are opportunity-cost claims concrete? Are hardship protections used? Are mission reserves protected? Are capital claims consistent with the stated theology of the fund?

This kind of audit will require new methods. Ordinary auditors may not be trained to evaluate extrinsic titles. Theological advisors may not be trained to read ledgers. Lawyers may understand enforceability but not moral substance. Economists may understand risk but not usury. Non-extractive finance therefore needs interdisciplinary audit: accounting, law, finance, theology, governance, and borrower experience. The audit should not only produce a pass or fail. It should produce findings, recommendations, and required corrections. If fees exceed documented cost, adjust them. If a penalty structure creates perverse incentives, rewrite it. If related-party payments create leakage, restructure governance. If capital is insufficiently at risk for a *periculum sortis* claim, reduce the return or increase loss absorption. If repayment priority weakens the mission, revise the waterfall. Audit should lead to conversion.

The seventh countermeasure is borrower protection. This is where the biblical root of the doctrine returns most directly. The borrower must not be treated merely as a counterparty. The borrower is a person, a community, a mission-bearing institution, a neighbor. Modern borrower protections can include grace periods, cure periods, hardship clauses, payment holidays, restructuring rights, caps on repayment burden, limits on penalties, no personal guarantees, no aggressive collateral, no compounding default charges, no acceleration without review, and access to mediation.

Borrower protections should not be hidden as emergency exceptions that no one dares to use. They should be part of the moral architecture. The entrepreneur should know that distress does not automatically turn the fund into an adversary. If the capital is truly non-extractive, then hardship must be a moment of discernment, not merely enforcement. This does not mean borrowers have no obligations. Non-extractive finance is not irresponsibility. It can require reporting, honesty, effort, transparency, and repayment when possible. But it must distinguish inability from bad faith, fragility from exploitation, and human difficulty from moral failure. A structure without mercy will eventually become extractive, even if its financial terms are modest.

The eighth countermeasure is grace and hardship clauses. Grace is not sentimentality. It is a structural recognition that human beings and enterprises live through time, uncer-

tainty, illness, delay, error, and shock. A hardship clause gives the contract a way to remain human when reality departs from projections. It can allow temporary deferral, reduced payments, restructuring, forgiveness, conversion, standstill periods, or mission-protective renegotiation.

The old tradition worried about delay because delay could harm the lender. But modern moral finance must also worry about enforcement because enforcement can destroy the borrower. Grace and hardship clauses help preserve the distinction. They prevent late payment from automatically becoming revenue. They prevent stress from immediately triggering extraction. They create space for discernment before penalty. The NEC Simulator should track whether hardship clauses exist and whether they are actually used. A clause that is never invoked may indicate that borrowers are afraid, unaware, or discouraged. A fund should be evaluated not only by the kindness of its documents, but by the mercy of its practice.

The ninth countermeasure is loss-sharing rules. This is central to *periculum sortis*. If capital claims a return for risk, it must share loss. Loss-sharing rules specify when investor claims are reduced, deferred, subordinated, converted, forgiven, or written down. They make risk-bearing real. Without such rules, risk language remains vague.

Loss-sharing can take many forms. Repayment may be contingent on surplus. Investor return may pause when wages or mission reserves fall below thresholds. Capital may be subordinated to workers, suppliers, or mission-critical obligations. Principal may be written down if the enterprise fails despite good-faith effort. Returns may be reduced in low-revenue years. Upside participation may be paired with downside absorption. Public or philanthropic first-loss layers may protect vulnerable enterprises, though care must be taken that private investors do not use public loss absorption to justify private gain. The key principle is that the party claiming risk compensation must actually be wounded by the risk. If the investor is protected while others absorb the loss, the return is morally suspect.

The tenth countermeasure is repayment waterfall design. A repayment waterfall reveals the moral order of the institution. Who is paid first? What must be protected before capital receives return? Are workers paid living wages before investors receive surplus? Are taxes, suppliers, reserves, maintenance, and mission-critical reinvestment protected? Does the enterprise build resilience before capital is repaid? Does investor return begin only after the company reaches stability? Are there thresholds for liquidity, solvency, and mission health? A non-extractive waterfall should not simply place capital at the top. It should reflect the purpose of the enterprise. Capital may be repaid, but not in a way that hollows out the living body of the organization. The waterfall should be designed so that the enterprise can breathe.

The eleventh countermeasure is related-party governance. Hidden extraction often occurs through side channels. Management companies, advisory firms, consulting contracts, licensing fees, service agreements, real estate leases, software charges, and affiliate transactions can move value out of a mission structure without appearing as investor return. A fund may cap investor upside while allowing insiders to receive uncapped value through related parties. Modern moral finance must therefore treat related-party payments as high-risk. They should require disclosure, independent approval, market comparison, mission necessity, proportionality review, and periodic audit. The simulator should flag them automatically. A related-party payment is not wrong by default, but it should never be invisible.

The twelfth countermeasure is stakeholder voice. The people who bear risk should have some way to speak into the structure. Workers, founders, borrowers, mission guardians, community representatives, or beneficiaries may see forms of pressure that

investors and managers miss. They may know when repayment is harming resilience, when fees are burdensome, when reporting requirements are excessive, when hardship clauses are not accessible, or when mission is being compromised. Stakeholder voice can be built through advisory councils, borrower feedback, worker representation, grievance mechanisms, periodic interviews, governance seats, ombuds processes, or mission review forums. The key is that voice must be safe and consequential. If borrowers fear retaliation, voice will be formal but empty. If feedback produces no change, voice becomes performance.

The thirteenth countermeasure is a moral dashboard. The dashboard should not celebrate capital repayment in isolation. It should show justified surplus, title documentation, double-counting risk, downside allocation, upside distribution, mission reserves, fee drift, penalty frequency, hardship use, related-party payments, risk-bearing reality, and regime comparison. It should ask whether the structure serves life. A moral dashboard turns the scholastic examination into institutional practice. It makes visible what otherwise drifts into the background. It reminds the fund that its task is not merely to perform financially, but to remain faithful.

The fourteenth countermeasure is periodic re-underwriting of moral assumptions. A contract may be morally acceptable at signing and become problematic later because circumstances change. Risk may decline. Costs may fall. The enterprise may become fragile. The fund may become larger. Fees may no longer match labor. The investor may have recovered principal but still retain upside. A once-justified title may expire. The fund should therefore periodically re-underwrite the moral basis of its claims. Does this fee still correspond to labor? Does this risk premium still correspond to risk? Does this repayment schedule still fit the enterprise's capacity? Does this penalty still discipline culpable delay, or has it become expected income? Does this return still reflect participation, or has capital already been made whole? This is the temporal form of justice. A moral claim must remain true through time.

The fifteenth countermeasure is restitution and correction. No structure will be perfect. Errors will occur. Classifications will be mistaken. Fees may drift. Penalties may be overcharged. A hardship case may be mishandled. A related-party payment may prove excessive. A risk premium may no longer be justified. The question is whether the institution can repent. Restitution mechanisms should be built in. Overcharges can be refunded or credited. Terms can be amended. Fees can be reduced. Penalties can be waived. Investor return can be lowered. Capital can be subordinated. A borrower can be compensated for harm. A governance rule can be tightened. The institution can acknowledge error without collapsing. This is perhaps the most Christian countermeasure of all. It recognizes that moral finance is not a claim to purity. It is a practice of ongoing conversion.

Modern countermeasures should therefore be integrated into a coherent system. An asset lock protects accumulated value, and steward ownership protects governance from capital domination. A mission lock preserves purpose. Caps restrain appetite. Transparency makes claims visible, and independent audit tests whether the claims are true. Borrower protections guard the vulnerable. Grace and hardship clauses humanize enforcement. Loss-sharing rules make risk-bearing real. Repayment waterfalls reveal and discipline priority. Related-party governance blocks hidden leakage. Stakeholder voice brings the burdened party into the conversation. A moral dashboard keeps the institution attentive. Periodic re-underwriting tests whether titles remain valid. Restitution repairs unjust surplus.

Together, these countermeasures do what the scholastic tradition tried to do in its own time: distinguish compensation from extraction, preserve justice in exchange, and prevent financial cleverness from overwhelming moral truth. They also make non-extractive

finance credible. Without countermeasures, non-extractive finance is only an aspiration. With countermeasures, it becomes a discipline. It can be examined, audited, corrected, and trusted. It can tell investors what they may justly receive. It can tell entrepreneurs what they are protected from. It can tell communities that mission is not merely decorative. It can tell the Church, civil society, and the market that another kind of capital structure is possible.

The deepest purpose of these countermeasures is not compliance. It is conversion of capital. Capital must be trained to wait, to serve, to accept limits, to bear risk, to tell the truth, to share loss, to receive only what is just, and to relinquish what it cannot morally claim. Institutions do not learn these habits automatically. They must be built into governance, accounting, contracts, dashboards, audits, and daily practice.

The Monti di Pietà teach us that even charitable finance can drift. The scholastics teach us how to ask the right questions. Modern countermeasures teach us how to build the answers into institutions. If non-extractive finance is to remain faithful, it must not only begin with a moral vision. It must become an architecture of accountability.

PART XIII

Conclusion: Capital That Serves Life

What the Tradition Actually Teaches

43.1 Not All Surplus Is Usury

The tradition does not teach that every payment above principal is usury. This is one of the most important conclusions of the whole book, because it corrects two opposite misunderstandings at once. The first is the modern assumption that the old usury doctrine was economically naive, hostile to finance, and incapable of distinguishing predatory lending from legitimate compensation. The second is the rigorist temptation to treat every surplus payment as morally corrupt simply because it exceeds the original principal. The scholastic tradition is more demanding than the modern world, but also more subtle than its critics imagine. It did not say that all surplus is evil; it said that surplus must be morally explained.

The central prohibition was narrow but profound: one may not demand gain from the *mutuum* itself. In a loan for consumption, ownership passes to the borrower, who owes back the equivalent (the *tantundem*), not a payment for the “use” of what has already become the borrower’s own. To demand more simply because time has passed, or because money as money has been lent, is to sell what one does not own, or to sell the same thing twice. It is to convert the borrower’s need into the lender’s increase.

But this prohibition does not eliminate every possible payment above principal. It requires that such payment arise from something external to the loan itself. If the lender has suffered actual loss, compensation may be just. If the borrower has culpably delayed repayment and thereby caused injury or disorder, a proportionate penalty may be just. If the lender has truly foregone a concrete and licit gain because of the transaction, some later theologians allowed compensation under strict conditions. If capital is genuinely exposed to loss in a partnership-like or risk-bearing structure, profit-sharing may be just. If an institution must recover real administrative costs in order to serve the poor or sustain its mission, reimbursement may be just. And if stewardship labor is actually performed, compensation for that work may be just. The moral problem, in short, is not surplus as such but unjust surplus.

This distinction matters for modern finance because much contemporary criticism of capitalism becomes imprecise at exactly this point. It notices extraction, but cannot always distinguish extraction from compensation, participation, sustainability, or service, and it can therefore collapse into slogans: profit is bad, interest is bad, investment is bad, return is bad, finance is bad. The scholastic tradition offers something sharper. It asks what the surplus is for: whether it restores equality, compensates a real burden, rewards genuine participation, sustains necessary labor, or instead arises from power over another’s need.

The distinction matters in the other direction too, because modern defenders of finance often use the complexity of legitimate surplus to defend illegitimate surplus. They point to risk, labor, opportunity, inflation, administration, default, liquidity, or market norms, and conclude that capital must be paid. But the tradition refuses that leap. Risk must be real,

labor must be performed, opportunity must be concrete, loss must be actual, and costs must be documented; penalties must be proportionate and not desired; partnership must share downside. A title that is possible in principle may still be false in the particular case. The extrinsic titles therefore form neither a blanket prohibition nor a blanket permission. They form a moral diagnostic system.

Compensation can be just. This is clearest in *damnum emergens*, actual loss incurred. If the lender or investor suffers a real loss because of the transaction or because of wrongful delay, justice may require restoration. Aquinas himself allows compensation for loss incurred, precisely because this does not sell the use of money. It repairs a harm: the lender is not enriched by the loan but restored from damage. The logic is restorative, not extractive. Modern finance needs this distinction. A non-extractive fund may incur legal costs, administrative costs, restructuring costs, or liquidity harm; a borrower's default may create real expenses; a mission-driven institution may need reimbursement in order to remain viable. To deny all compensation would not be justice. It could simply shift the burden unfairly onto the capital provider, administrator, steward, or worker. But the compensation must remain tied to the harm. It cannot become a target return disguised as damages.

Risk-bearing can be just. This is the core insight behind partnership, *societas*, *commenda*, and the later title of *periculum sortis*. When capital is truly placed at risk, and when the provider of capital shares the fate of the enterprise, participation in upside can be morally intelligible. Aquinas's distinction between lending and partnership remains decisive: if money is entrusted to a merchant as capital that remains exposed to the risks of the venture, then the provider of capital may share in profit because the provider also shares in loss. This is not gain from a *mutuum*. It is participation in a common undertaking. Modern finance often invokes risk, but does not always bear it, and here the tradition is a necessary discipline. A risk premium is not justified merely because the future is uncertain. The question is whether principal can actually be lost. Is capital subordinated? Is repayment contingent on success? Are guarantees absent? Is collateral limited? Does the investor lose before workers, mission, or community are sacrificed? Is upside paired with downside? If so, surplus may have the character of participation. If not, the language of risk may be a cloak for protected yield.

Labor and expense can be just. The Monti di Pietà forced this question into institutional form. Lending to the poor required buildings, clerks, records, pledge storage, valuation, administration, and governance, and if no one paid for these things the institution could not survive. A modest charge for real expense and labor could therefore be defended as something other than usury. It was not a price for the use of money; it was a way of sustaining the work required to make charitable lending possible. This is directly relevant to non-extractive funds, steward-owned institutions, open-source infrastructure, and mission-driven capital. Moral finance still needs administration. Stewardship is not weightless. Due diligence, accompaniment, legal structuring, audit, accounting, governance support, and mission protection all require skilled labor, and to pretend otherwise often results in hidden exploitation of the people doing the work. But the charge must remain proportionate to the work and expense. It must not become a private profit channel under the language of stewardship.

Partnership profit can be just. The Christian tradition does not condemn all profit. Aquinas allows merchant gain when it is ordered to household support, public utility, or necessary service rather than greed, and partnership profit can be legitimate when parties join in a common venture, share uncertainty, contribute different forms of value, and divide surplus according to a just agreement. The moral danger appears when partnership language is used without partnership reality, when one party receives protected return

while the other bears the enterprise's vulnerability. Modern equity is therefore ambiguous. It may resemble *societas* when it shares upside and downside. But it may also become extractive through liquidation preferences, redemption rights, control rights, drag-along provisions, anti-dilution clauses, exit pressure, and governance domination. Legal equity is not automatically moral partnership. The tradition again requires substance over form.

This is the conclusion toward which the extrinsic titles have been leading: surplus must be judged by its source, structure, proportionality, and effect. A payment above principal may be just when it restores what was lost, when it compensates work actually performed, when it reimburses expense actually incurred, when it shares the fruits of a venture whose losses are also shared, when it sustains an institution genuinely ordered toward service, or when it reflects concrete, documented, and proportionate burdens external to the loan itself. But surplus becomes usurious or usury-like when it arises from the mere fact of lending, the mere passage of time, the borrower's need, the lender's bargaining power, a fictive loss, an abstract opportunity cost, a penalty designed as revenue, a risk premium without real risk, or a partnership form without shared downside.

This is why the tradition remains so powerful: it refuses both naive anti-finance and naive pro-finance. It does not ask, "Is there surplus?" and stop there. It asks, "What kind of surplus is this?" It asks, "Does this payment heal a rupture in justice, or create one?" It asks, "Does this structure restore equality, or dominate the vulnerable?" It asks, "Does capital participate in a shared venture, or demand growth while shielding itself from loss?" It asks, "Does the institution recover the cost of service, or turn service into a revenue model?"

For anyone hoping to recover moral economy in an age of extraction, this distinction is essential, because either collapse is fatal. If all surplus is condemned, then we cannot build durable institutions. We cannot compensate stewardship labor, sustain charitable lending, share risk in common enterprise, design patient capital, or distinguish exploitative debt from legitimate partnership. We collapse the complexity of economic life into a purity that may be spiritually attractive but institutionally fragile. And if all surplus is accepted, then usury doctrine disappears and capital's claim becomes unlimited in principle. Every burden becomes priceable, every risk becomes yield, every delay becomes revenue, every foregone possibility becomes opportunity cost, and every institution learns to justify itself. The vulnerable are once again told that their need is a market opportunity.

The extrinsic titles preserve the narrow path between those two cliffs. They teach that surplus may be permitted, but never presumed. It must be named, proven, and proportionate; it must be external to the loan itself, tested against fraud, and examined under conditions of stress; it must be accountable to the vulnerable party, and it must remain ordered toward restoration, participation, service, or sustainability, not domination. This is the theological discipline that modern capital has largely forgotten. Modern finance tends to treat return as normal and asks only how much risk adjusts it. The older tradition treats return as morally questionable until its title is known. That shift in default assumption changes everything. It does not make finance impossible; it makes finance answerable. Not all surplus is usury, but all surplus must be judged, and the rest of this chapter is about how the judging is done.

43.2 Not All Legal Interest Is Morally Clean

If not all surplus is usury, it is equally true that not all legal interest is morally clean. Modern law permits many things that Christian moral theology may still question, and this should not surprise us. Law and morality overlap, but they are not identical. Civil law

must govern public order, enforce contracts, regulate markets, protect property, and create predictable rules for social life. Moral theology asks a deeper question: whether an act, structure, or claim is rightly ordered before God, neighbor, justice, and the common good.

A contract can be enforceable and still be unjust. A payment can be legal and still be extractive. A lender can comply with regulation and still exploit vulnerability; an investor can disclose every term and still structure domination; a fund can satisfy its documents and still betray its mission. A return can be permitted by law and still lack a legitimate moral title.

The distinction is crucial because modern finance often treats legality as moral absolutism. If the borrower signed, if the terms were disclosed, if the interest rate is permitted, if the investor complied with regulation, if the fund documents authorize the fee, then the transaction is presumed clean. The moral question is reduced to consent and compliance. The usury tradition refuses that reduction. Consent is important, but consent alone does not make a transaction just. The desperate can consent. The uninformed can consent. The weaker party can consent because no better option is available. A founder can sign terms that threaten the mission because payroll is due; a borrower can accept punitive interest because the alternative is eviction, hunger, or bankruptcy; a community can accept extractive infrastructure because no patient capital exists. Consent under pressure may create legal enforceability. It does not necessarily create moral equality.

This is why the biblical background remains so important. The commands against usury are not built around abstract market exchange between equally situated parties. They arise in scenes of vulnerability: the poor neighbor, the cloak taken in pledge, the brother who has fallen into need, the debtor whose cry reaches God, the community tempted to harden its heart as the year of release approaches. The moral concern is not merely whether the borrower agreed but whether the lender has turned need into revenue.

Legal interest often does exactly that. It may be priced according to market norms, but market norms can normalize extraction. It may compensate risk, but the risk may be shifted to the borrower. It may reflect opportunity cost, but the opportunity may be abstract. It may include default penalties, but default may be structurally likely. It may be disclosed, but not understood; affordable in the base case, but destructive under stress; ordinary, but ordinary does not mean just.

The old doctrine is therefore not refuted by the fact that modern law permits interest. The law may permit what theology still judges dangerous. The law may treat money as capital entitled to return, while theology asks whether the specific return restores loss, compensates labor, shares risk, or merely monetizes time. The law may enforce repayment, while theology asks whether repayment destroys the borrower's household, mission, or dignity. The law may recognize a creditor's right, while theology asks whether that right has become domination. Formal legality is not moral sufficiency.

This matters most in modern corporate finance, where extraction often appears through highly sophisticated legal forms. A venture capital term sheet may be entirely legal. Its liquidation preferences, anti-dilution provisions, drag-along rights, protective provisions, redemption rights, board controls, and exit expectations may all be standard. Yet the structure may still subordinate founders, workers, mission, and community to capital's preferred path. Legal equity may become morally debt-like when capital is protected too strongly; partnership language may conceal asymmetry; upside may be shared only after downside has been shifted.

Private equity raises similar questions. Debt-financed acquisition, dividend recapitalization, management fees, monitoring fees, related-party transactions, aggressive cost-cutting, and exit-driven governance may all be legal. But legality does not answer whether

the structure serves the acquired company, its workers, its customers, its suppliers, or its community. The law may allow capital to extract value from the enterprise. Moral theology asks whether capital has a just title to that value.

Private credit, revenue-based financing, convertible notes, and venture debt raise still other questions. A revenue share may look gentle because it flexes with revenue, but it may still drain cash flow if the percentage is too high or begins too early. A convertible note may look efficient, but it may give investors optionality without real solidarity. Venture debt may look less dilutive than equity, but it can increase fragility through fixed repayment, warrants, covenants, and default provisions. Legal innovation does not automatically produce moral innovation.

This is why contract form can hide extraction, and why the scholastic tradition repeatedly insisted that one must ask what the transaction really is. Is this a true sale, or a disguised loan? Is this a partnership, or a mutuum with profit attached? Is this a penalty, or expected yield? Is this compensation, or a price for time? Is this exchange, or evasion? Is this risk-sharing, or protected capital claiming risk language? Modern law often emphasizes form, disclosure, and enforceability. Moral theology must examine substance, burden, vulnerability, and effect.

A legally valid interest charge may still be morally unclean if it lacks a real extrinsic title. If the lender has suffered no actual loss, borne no genuine risk, performed no additional labor, incurred no expense, and sacrificed no concrete opportunity, then the charge may be little more than payment for the use of money. Modern law may call it interest. The older tradition may call it usury.

A legally valid default penalty may still be morally unclean if it is excessive, expected, engineered, or desired as revenue. A penalty is supposed to discipline wrongful delay or compensate harm. If the lender structures the contract so that default is likely, or profits more from late repayment than timely repayment, then the penalty has become a disguised yield. Legal enforceability does not cleanse the incentive.

A legally valid risk premium may still be morally unclean if capital is not truly at risk. If the lender has collateral, guarantees, seniority, covenants, insurance, public guarantees, or enforcement against unrelated borrower assets, then the investor may be protected while still charging for risk. In such a case, *periculum sortis* is invoked without its moral substance. The law may permit the pricing. Theology asks who actually bears the wound.

A legally valid opportunity-cost claim may still be morally unclean if the foregone opportunity is abstract. Modern finance routinely assumes that capital could have earned elsewhere, and therefore must be compensated for being deployed here. But the older tradition asks whether the foregone gain was concrete, intended, licit, probable, and caused by the transaction. "Money could always have earned something somewhere" is not a moral title. It is a metaphysics of capital growth.

A legally valid management fee may still be morally unclean if it exceeds real labor and expense. A fund manager may be entitled by contract to a fee, but the moral question is whether the fee corresponds to actual stewardship work, administration, due diligence, governance support, and mission protection. If the fee scales with assets while labor does not, if related-party structures absorb value, or if fees continue after work declines, then cost recovery has drifted toward extraction.

A legally valid repayment priority may still be morally unclean if it protects capital while making everyone else absorb loss. Seniority, collateral, and guarantees are legal tools, but they reveal a moral order. If workers, suppliers, founders, mission reserves, and community obligations are sacrificed before capital takes loss, then the structure may be legally safe and morally inverted. Capital has placed itself above the living body of the enterprise. The legal system may not see this as a problem. Moral theology must.

None of this means that civil law is irrelevant or that all legal interest is sinful. Law can restrain abuse, provide clarity, enforce promises, protect parties, and create institutions in which trust is possible, and many legal interest charges may correspond to real cost, risk, inflation, administration, or other legitimate burdens. The point is not to dismiss law but to refuse to let it have the final word.

Christian moral economy requires a second reading of the contract. Where the first reading asks what the law says, the second asks what justice says. The first identifies rights; the second identifies burdens. The first asks whether the contract can be enforced; the second asks whether it should be. The first asks whether consent was obtained; the second asks whether vulnerability was exploited. The first asks whether a payment is authorized; the second asks whether the payment is morally titled. The first asks whether capital is protected; the second asks whether life is served.

The second reading is especially necessary because modern financial systems are very good at making extraction look normal. Extraction does not usually appear as crude oppression. It appears as discount rates, risk premiums, preferred returns, liquidity preferences, covenants, default interest, commitment fees, origination fees, monitoring fees, transaction costs, redemption rights, and market terms. Each instrument has a rationale; each can be defended; each may be legal. But taken together, they can create a system in which capital's growth is treated as natural and the borrower's vulnerability as priceable.

The scholastic tradition interrupts that normalization. Do not begin with the market, it says; begin with justice. Do not ask only whether the term is standard; ask whether it is rightly ordered. Do not ask only whether the borrower signed; ask whether the borrower was treated as neighbor. Do not ask only whether capital was compensated; ask whether capital had a title to compensation. Do not ask only whether the return was legal; ask whether the return was clean.

This has demanding implications for non-extractive finance. A non-extractive fund cannot simply rely on legal documents to prove its morality. It must design beyond compliance, and that means asking whether its terms remain just under stress, whether its fees are proportionate, whether its caps are meaningful, whether its risk-sharing is real, whether its investors can lose, whether its repayment priority protects or weakens the enterprise, and whether its governance preserves mission or merely decorates capital. A fund may be legally innovative and still morally ordinary. It may use a foundation, a steward-owned form, a capped return, a revenue share, a mission lock, or a new corporate vehicle, and yet still reproduce the deeper logic of capital priority. Moral cleanliness requires more than novelty. It requires conversion of the claim itself.

The same is true for public policy. Legislators may create new legal forms, tax incentives, investment categories, social enterprise structures, or digital sovereignty funds, and these can be useful. But unless they address risk allocation, surplus claims, governance rights, asset locks, mission drift, related-party leakage, and borrower protections, they may simply create new legal containers for old extraction. A moral economy cannot be legislated by label alone. The deeper question is whether the law helps capital serve life.

This is where Christian moral theology can make a distinctive contribution. It does not merely denounce finance; it brings a grammar that can examine finance from within. It can distinguish loan from partnership, compensation from yield, loss from opportunity, risk-bearing from risk-shifting, labor from fee extraction, legality from justice, and ownership from stewardship. It can honor law while refusing legalism. It can build institutions while judging their moral substance.

The conclusion, then, is not that legal interest is always immoral, nor that the Church should ignore modern financial complexity. The conclusion is more exacting: every legal interest claim must still answer the moral question. What is the title, and what is the proof?

What is the burden? Who bears downside, and who receives upside? Who is vulnerable, and who is protected? What happens under stress? Does the payment restore equality, compensate real loss, share genuine risk, support labor, sustain mission, or merely secure capital's growth? These questions remain necessary even when the law has already spoken.

The old usury doctrine survives wherever legality is not mistaken for justice. It reminds us that a permitted contract can still wound the soul of an economy. It reminds us that disclosure is not mercy, consent is not equality, and enforceability is not righteousness; that capital can obey the law while failing love of neighbor. Not all surplus is usury, and not all legal interest is clean. Between those two truths lies the work of moral economy, and the next section names the distinction that organizes it.

43.3 The Central Distinction

The central distinction is not between finance and no finance. Nor is it between money and holiness, business and charity, profit and purity, or markets and morality. These oppositions are too crude to carry the weight of the tradition. They cannot explain Aquinas's distinction between *mutuum* and partnership. They cannot explain the *Monti di Pietà*. They cannot explain *damnum emergens*, *lucrum cessans*, *poena conventionalis*, *periculum sortis*, *stipendium laboris*, or the long debates over exchange, risk, merchant life, public debt, and institutional sustainability. The central distinction is between surplus from restoration, surplus from participation, and surplus from domination. That threefold distinction gathers the entire usury tradition into a form that can speak to modern finance.

Surplus from restoration is the cleanest. It arises when a payment above principal repairs a real burden: the lender or institution has suffered actual loss; a borrower has culpably delayed repayment and caused damage; a steward has performed real labor; an institution has incurred real administrative costs; a creditor has spent money on collection, legal process, or replacement financing; a charitable lending institution must recover expenses in order to continue serving the poor. In such cases the surplus does not arise from the mere use of money; it arises from the need to restore equality after some external burden has disturbed it.

Restorative surplus has a moral shape. It points backward, to a loss, burden, cost, or injury. It asks what was actually harmed, and it seeks proportional repair. It does not aim to enrich the capital provider, does not convert the borrower's need into yield, does not demand growth because time has passed. It says: something has been lost, spent, damaged, or labored; justice permits compensation. *Damnum emergens* belongs most clearly here, along with many legitimate administrative costs and some forms of *stipendium laboris*. *Poena conventionalis* may also belong here, but only when it remains truly penal and restorative: a proportionate response to culpable delay, not a revenue strategy. And restoration is morally bounded by the burden it restores. If the payment exceeds the loss, it begins to move away from restoration. If the loss is invented, it becomes fiction; if the same loss is counted twice, it becomes extraction; if cost recovery becomes institutional surplus, it drifts; if penalty becomes expected income, it no longer restores justice but profits from disorder.

The second kind is surplus from participation. This arises when capital, labor, skill, governance, and risk are joined in a common undertaking. Here surplus is not merely compensation for a past loss; it is a share in the fruits of a venture, and the key moral question is whether the sharing is real. Does the capital provider participate in downside as well as upside? Does the investor share the fate of the enterprise? Is repayment contingent

on success? Is the investor's claim subordinated to the life of the organization? Does the structure resemble partnership rather than guaranteed debt?

This is the logic of *societas*. It is also the moral intuition behind *commenda*, genuine equity, and some forms of risk-bearing capital. Aquinas's distinction is decisive: if money is transferred in a *mutuum*, the borrower owes back the equivalent principal, and the lender cannot charge for the use of what now belongs to the borrower; but if capital is entrusted by way of partnership, remaining at the risk of the capital provider, then profit-sharing can be legitimate. The surplus arises not from lending as such, but from participation in a common venture. Participation is therefore not a mere label; it is a structure of shared fate.

Modern finance often uses the language of participation while preserving capital privilege. Equity may claim to share risk, but liquidation preferences, redemption rights, anti-dilution protection, control rights, and exit pressure may shield capital from true downside. Revenue-based financing may claim to flex with performance, but if the repayment burden is too heavy or begins too early, it can still function extractively. A capped-return investment may appear modest, but if capital is repaid before the enterprise builds resilience, participation remains shallow. Surplus from participation is morally clean only when upside is joined to downside. If the investor receives upside while the founder, worker, mission, or community bears the real loss, the structure is not participation but domination in participatory language. *Periculum sortis* becomes legitimate only when the *sors* is genuinely exposed. Risk must be borne, not merely priced; loss must be possible, not merely statistical; capital must be able to suffer with the enterprise.

The third kind is surplus from domination. This is the surplus the usury tradition condemns most deeply. It arises when one party uses another's need, weakness, delay, dependence, lack of alternatives, or legal obligation as an opportunity for gain. It may appear as interest on a *mutuum*. It may appear as excessive penalty, as fictive damages, as abstract opportunity cost, as a risk premium without real risk, as fees detached from labor, as priority repayment that hollows out the enterprise, as legal equity that functions like protected debt, as a contract that is formally consensual but materially coercive.

Domination does not always look cruel. Often it looks normal. It uses ordinary financial language: yield, market rate, preferred return, time value, default interest, liquidity premium, cost of capital, investor protection, risk adjustment, downside control. Each phrase can be legitimate in some contexts. But when these claims are detached from real burden, shared risk, or service, they become a language of domination.

Surplus from domination has a different moral shape. It is not bounded by restoration, and it is not disciplined by shared fate. It seeks protected increase: upside without wound, compensation without loss, penalty without mercy, opportunity without concreteness, risk premium without exposure, ownership without stewardship, governance without accountability. It converts the other party's need into capital's growth.

This is why the old doctrine remains radical. It says that capital may not grow simply because another lacks money, may not demand increase merely because time passes, may not monetize vulnerability, and may not hide behind contract form. It may not call domination "risk" when the wounds fall elsewhere. It may not call speculation "loss," or institutional appetite "expense," or control "partnership," or legality "justice."

The difference between these three forms of surplus can be stated simply. Restoration asks: what real burden is being repaired? Participation asks: what common venture and shared risk is being joined? Domination asks: what vulnerability is being used?

The triad also translates the extrinsic titles into modern language, one by one. *Poenam conventionalis* is clean only when it restores order after culpable delay; it becomes domination when delay is engineered or desired. *Damnum emergens* is clean when it restores

actual loss; it becomes domination when losses are fictive, inflated, or double-counted. *Lucrum cessans* may be defensible when a concrete, licit, intended, and reasonably certain gain has truly been interrupted; it becomes domination when it universalizes opportunity cost and treats all money as entitled to growth. *Periculum sortis* is clean when capital genuinely bears loss; it becomes domination when risk is priced but shifted to others. *Stipendium laboris* is clean when labor is real, necessary, and proportionately compensated; it becomes domination when fees detach from work. Administrative reimbursement is clean when it sustains service; it becomes domination when the institution's own appetite becomes the hidden beneficiary. And *carentia pecuniae* is dangerous precisely because it sits so close to domination: the mere absence of money for a time can easily become a claim that time itself must pay tribute to capital.

This distinction also clarifies modern debates over debt and equity. Debt often tends toward domination when repayment is fixed, senior, collateralized, guaranteed, and enforceable regardless of outcome. But not every debt instrument is equally extractive. Some may include grace, forgiveness, hardship protections, proportional cost recovery, and genuine concern for the borrower; the moral question is whether the lender's claim remains bounded by justice or becomes protected growth from another's vulnerability. Equity often tends toward participation because it shares upside and downside. But not all equity is morally clean. If equity includes strong preferences, control rights, exit pressure, and downside protections that leave workers, founders, and mission exposed first, then it can become domination in the form of ownership. Legal equity can still violate the spirit of *societas*.

Non-extractive finance must therefore avoid both formalism and sentimentality. It cannot say "debt bad, equity good." It cannot say "capped return good, uncapped return bad." It cannot say "steward ownership solves everything." It cannot say "impact language makes finance clean." It must ask the deeper questions: restoration, participation, or domination?

This is also the difference between capital serving life and capital extracting from life. Capital serves life when it repairs what was lost, supports work, shares risk, strengthens mission, builds resilience, and accepts limits; when it enters the enterprise as servant, partner, steward, or helper; when it can wait; when it can lose; when it does not confuse its own preservation with the common good; when it receives only what it can morally claim. Capital extracts from life when it demands priority over the living body of the enterprise; when it turns time into automatic yield; when it prices risk while shifting loss; when it treats the borrower's lack of alternatives as a business model; when it uses law to enforce what justice would temper; when it forces mission, labor, community, and vocation to bend around its repayment schedule; when it becomes impatient with life's actual rhythm.

The moral economy this book proposes is not hostile to capital. It is hostile to capital's false sovereignty. Capital is not evil. It is a tool, a claim, a stored capacity, a form of social power, and sometimes a gift. It can help households survive, enterprises begin, workers flourish, communities build, technologies serve, and missions endure. But capital becomes dangerous when it forgets that it is subordinate to life, and the usury tradition is one long attempt to keep capital in its proper place. That proper place is not absolute ownership but stewardship, which means that capital is held under a purpose beyond itself. It may be preserved, but not idolized. It may be restored, but not guaranteed at all costs. It may be compensated, but only for real burdens. It may participate, but only with shared risk. It may sustain institutions, but not become their hidden master. It may serve enterprise, but not devour it.

The distinction between restoration, participation, and domination gives us a practi-

cal way to examine whether the stewardship is real. When a fund receives surplus, ask: did this restore a real burden? When an investor receives upside, ask: did this investor share downside? When a lender charges for delay, ask: was delay culpable, or profitable? When an institution charges fees, ask: do these correspond to labor and expense, or to self-preservation? When capital claims opportunity cost, ask: what opportunity was truly lost? When risk is priced, ask: who was actually wounded by failure? When governance rights are exercised, ask: do they protect mission or protect capital? When a structure is called non-extractive, ask: where does the money go under stress? The answer to these questions reveals the moral form of the transaction.

This is the central distinction that modern finance needs to recover. Finance is not morally judged by complexity, legality, sophistication, innovation, or market acceptance. It is judged by whether its surplus arises from restoration, participation, or domination; the first can be just, the second can be fruitful, and the third is the old sin in new clothes. What remains is to state the test itself.

43.4 The Final Moral Test

The tradition's teaching can now be put in final form. A book's worth of distinctions, titles, cases, and controversies comes down, in the end, to five questions, and they can be asked of any financing arrangement in any century, under any legal wrapper. Does finance restore equality? Does it share risk? Does it protect the vulnerable? Does it support work, mission, and community? Or does it transform another's need into capital's guaranteed growth?

The first four questions share a grammar: they ask what the surplus is doing. The fifth asks what the surplus is hiding. Take them in order.

Does finance restore equality? This is the restorative test, and it points backward. Commutative justice treats exchange between neighbors as something that should leave both parties whole, so a burden that falls on one of them (a loss suffered, an expense incurred, labor performed, a culpable delay endured) may justly be repaired by the other. Surplus that restores equality can name the burden it repairs, show that the burden was real, and stop when the repair is complete. If nothing was actually lost, spent, or labored over, restoration cannot be the explanation. If the payment continues after the burden has been made whole, it has stopped restoring and started collecting.

Does it share risk? Not price risk: share it. The word "risk" appears in nearly every modern financing document, so the question has to be asked of the structure rather than the vocabulary. Can this capital be wounded? Does the provider stand to lose alongside the enterprise, or has it arranged, through seniority, collateral, guarantees, preferences, and covenants, to be paid in every state of the world while others absorb the states that hurt? Where capital genuinely shares the fate of the venture, its portion of the fruits is participation, and the tradition blesses it. Where capital charges a premium for danger that has been shifted onto someone else, the premium is tribute, whatever the term sheet calls it.

Does it protect the vulnerable? The usury commands were not written for negotiations between equals; they were written for the poor neighbor, the cloak in pledge, the brother fallen into need. So the test asks where a structure's weight lands when things go wrong, because that is when protection costs something, and because a structure shows what it believes at exactly the point where the weaker party has run out of choices. At default, at renegotiation, at collection, does the arrangement remember that the borrower is a neighbor, with grace where hardship is honest, penalties that discipline rather than profit, collection that stops short of the household's survival? Or does it treat the borrower's

weakness as the moment of maximum leverage?

Does it support work, mission, and community? Capital is one contributor to an enterprise among several, and not the first. There are also the people who do the work, the mission that justifies it, and the community that depends on it, and a financing arrangement either strengthens that living order or bends it around the repayment schedule. The question sounds soft and is not, because it can be asked of budgets and board minutes. What was cut when the payment came due? Who absorbed the sacrifice so the covenant could be met? Did the mission adjust to the financing, or the financing to the mission? An arrangement can pass the first three questions and still fail this one, by making the enterprise exist for the capital rather than the capital for the enterprise.

Or does it transform another's need into capital's guaranteed growth? This fifth question gathers the other four, because every failure they detect has the same shape at the bottom: need converted into yield, time converted into tribute, vulnerability converted into a revenue model. It is the old definition of usury restated for an age that has retired the word. The tradition never objected to money changing hands above principal; it objected to increase that grows from the mere fact that someone else lacked money and could not wait. Whenever the honest answer to the first four questions is no, because nothing was restored, no loss was possible, no one was protected, and nothing was served, the answer to the fifth is almost always yes, and the arrangement has earned the old name, whatever the new one is.

A word about how the questions work together. The first four are not four hurdles to be cleared at once; they are four distinct sources of a just claim, and one honest yes can be enough. A lender genuinely made whole for a genuine loss owes no apology for not also sharing risk. But each yes has to be honest in the tradition's sense, which this chapter has already spelled out: named, proven, proportionate, and still true when the enterprise is struggling. And no yes to any of the first four can be manufactured after the fact to dress up a structure that was built for the fifth.

Five questions, then. They are not a scoring rubric, and they cannot be answered once at signing and filed away. They have to be asked the way the scholastics asked their own versions: of the substance rather than the form, under stress rather than in the base case, and on behalf of the party least able to ask them. The audit questions posed earlier to a financing contract examined its anatomy; these examine its fruit. A contract can answer them well and still fail in practice, and a contract that answers them badly will usually come with excellent documentation.

Nor are the questions new. The first is the logic of restoration that runs from commutative justice through *damnum emergens*. The second is the soul of *societas* and *periculum sortis*. The third is what the Scriptures command and what the *Monti di Pietà* tried to build in brick and ledger. The fourth is *stipendium laboris* widened to the whole living enterprise. The fifth is the ancient prohibition itself, the refusal to let a *mutuum* breed. The final moral test is simply the tradition, folded small enough to carry into a meeting.

The tradition does not hand us a rate cap or a model statute. It hands us these five questions and the nerve to keep asking them. What it would take for a modern economy to answer them well, and what could be rebuilt from a doctrine so long forgotten, is the business of the final chapter.

Recovering Moral Economy in an Age of Extraction

44.1 Why the Old Doctrine Is Newly Relevant

Chapter 43 ended with five questions and a promise: that what it would take for a modern economy to answer them well would be the business of this final chapter. The preface made a claim at the very beginning of the book, that the old question of usury has not disappeared but has only changed its clothing. Forty-three chapters later, that claim can be stated more exactly. The question is wearing more clothing than it has ever worn, cut by better tailors, and the wardrobe is still growing.

A reasonable reader might still ask why a doctrine worked out by confessors, canonists, and friars should matter to an economy they could not have imagined. The question deserves an answer built from the present rather than the past, so consider where the old questions have turned up lately.

Somewhere tonight a founder is reading a term sheet at a kitchen table, trying to work out what the liquidation preference on page nine will mean for the people down the hall if the next two years go wrong. Somewhere a finance official is discovering that the repayment schedule, not the budget debate, will decide what her country builds next. Somewhere a volunteer maintainer is weighing an acquisition offer for a piece of code that other systems everywhere depend on. None of them is likely to reach for a treatise on the extrinsic titles. All of them are standing exactly where the tradition stood for seven centuries: at the point where capital meets need and must explain its claim.

Begin with debt itself. Debt is now the ordinary weather of economic life. Households borrow for housing, schooling, medical care, and the gap between paychecks; enterprises borrow to smooth revenue, to bridge receivables, and to grow; nations borrow on a scale that makes their repayment schedules a more binding constraint on public life than most legislation. Each of the three cases raises the tradition's questions in its own register. The tradition's core case, remember, was the consumption loan: the *mutuum* extended not to launch a venture but to survive until harvest. A great deal of modern household borrowing is closer to that case than to venture finance, which means the tradition's central concerns apply to it directly, and they are not gentle concerns. Is the surplus titled, or is it payment for time and need? Does repayment leave the debtor's household standing? Is default priced as a risk or farmed as a revenue stream, with penalties and fees designed into the expected return? Enterprise debt raises the participation questions: whether the lender shares any of the fate of the business it feeds, or has arranged to be whole in every state of the world. Sovereign debt raises the protection questions, since the parties who ultimately carry a nation's repayment schedule, in reduced services and foreclosed futures, are rarely the parties who signed it. When these questions are answered badly for one borrower, the tradition called it usury. When they are answered badly for whole populations at once, the modern world calls it a debt crisis. The two names describe the same failure at different scales: need transformed into capital's guaranteed growth until something breaks.

Venture capital presents the opposite face, and claims the noblest scholastic pedigree. On paper it is *societas*: capital joining labor, skill, and vision in a common venture and sharing its fate. Sometimes it is exactly that, and when it is, the tradition has nothing against it and much to say for it; a fund that puts capital genuinely at risk beside a founder's years of work is practicing what the scholastics spent centuries defending against rigorists who wanted every return condemned. But the instruments that have grown up around the form tell a more complicated story. Liquidation preferences, redemption rights, anti-dilution protection, drag-along provisions, and protective covenants can arrange matters so that one partner's downside is cushioned at every point where the other partners remain exposed. A founder can discover, usually at the worst possible moment, that the partnership was structured to be a partnership only on the way up. The question this book has taught the reader to ask of a term sheet is the one Aquinas asked of merchants and Olivi asked of capital: is this a partnership, or a *mutuum* wearing partnership's clothing? Where upside is shared and downside is shifted, the answer is already in.

Private equity raises the ownership questions in their sharpest modern form. A company can be bought with borrowed money and then made to carry the debt that bought it, while paying management fees to the buyer for the privilege of being owned. The scholastics never saw a dividend recapitalization, but they would have recognized the shape of the problem at once, because it is their problem: what is really being sold here, who really owns this enterprise, and who really bears its risk? The last question has the most uncomfortable answer, because when a leveraged acquisition fails, the loss rarely lands on the acquirer alone. It lands on workers whose jobs are restructured away, on suppliers whose invoices go unpaid, on pension obligations, on the towns built around the enterprise. Chapter 39 traced these hidden risk-bearers one by one, and the tracing turns the risk-premium argument inside out: capital claims payment for a danger that has been arranged to fall on someone else. An acquisition structure can be brilliant as engineering and still fail every one of these questions. Cleverness was never the issue; the title of the surplus was.

Digital infrastructure adds a dimension the tradition did not have to face but supplies the grammar for. Code, data, platforms, and protocols now run beneath commerce, speech, government, and daily life, and much of that layer depends on open-source work maintained by communities rather than companies. Legal ownership of such infrastructure tends to concentrate; moral ownership, as chapter 39 argued, is distributed among maintainers, users, communities, and the future. When capital takes control of an infrastructure layer and begins pricing access to what has become a common utility, the old questions of ownership and just price return with force, and they are joined by the familiar asymmetry: when such systems fail or are abandoned, the public rescues, regulates, or replaces them, so downside is socialized while upside remains private. Digital sovereignty, on this reading, is not a technology policy so much as an ownership question, and the tradition has been asking ownership questions for seven centuries.

The newest clothing of all is artificial intelligence, and it dresses the old question twice. The first direction is the financing of AI itself. Capital is gathering around a general-purpose capability at a scale with few precedents, and whatever that capability becomes, whoever owns and governs it will hold something closer to infrastructure than to product: a layer that other enterprises, and eventually other institutions, must build upon and pay for. None of the book's questions (who owns, who governs, who bears the risk, who is protected) can wait here until the building is finished; ownership and governance structures harden early, and they are being drafted now, mostly with the same instruments and assumptions this book has spent five chapters auditing. The second direction is AI inside finance: underwriting, pricing, servicing, and collection are increasingly done by models,

and here the tradition's oldest worry acquires a new precision. A system that can estimate what each borrower will bear can price need itself, borrower by borrower, at scale; what the tradition condemned as turning another's necessity into revenue can become, without anyone deciding it in so many words, an optimization target. Extraction can now be automated and refined, with the confessor's questions nowhere in the loop. Condemning the tools is not the doctrine's move here, since the same computational machinery can as easily be turned to protection as to extraction (chapter 41 showed it running in the opposite direction, as a conscience rather than a collector); refusing the delegation is: a claim on another person's need must answer to a person, and conscience cannot be outsourced to a model any more than it could be outsourced to a contract form. The scholastics pierced clever paperwork to reach the substance of transactions; their heirs will have to pierce cleverer software, and the questions to carry through are the same ones.

Mission drift, the subject of chapter 42, completes the survey from the inside. There has never been more mission-language in finance than there is now: impact, purpose, ESG, stewardship, regeneration. Some of it is sincere, some of it is marketing, and the two are not always distinguishable from the outside, or, after enough years, from the inside. The *Monti di Pietà* teach that even finance founded in charity drifts unless its governance, accounting, and incentives are disciplined, and the more mission-language an era produces, the more territory that lesson has to police. A label is a promise, not a structure, and promises drift; the countermeasures of chapter 42 exist because the drift is predictable enough to plan for.

And yet the survey should end on the encouraging item, because there is one. Ownership and governance have become live questions again. Steward ownership, foundation ownership, cooperatives, mission locks, and golden shares are being debated, drafted, and adopted by people who have mostly never heard of the extrinsic titles, and who are nonetheless asking the scholastic questions in modern dress: who should own the firm, who should govern it, and what may capital claim from it? A generation of founders is discovering that it does not want to sell its life's work into extraction, and a smaller but growing pool of capital is discovering that it does not want to demand extraction, and between them they are improvising structures that the tradition would have recognized and, in most cases, blessed. This book has tried to supply that movement with its missing pedigree. The questions being asked at law firms and founder retreats are older than the corporation, and the tradition that asked them first also worked out, in exacting detail, how to tell good answers from bad ones.

Relevance, however, is not recovery. A doctrine can be newly relevant and stay buried. Recovery begins when its questions are actually asked of actual structures, and for that the questions must be put in their modern form.

44.2 The Old Question in New Form

The scholastics asked one question of every payment above principal: by what title? Everything else in the tradition is commentary on that question, apparatus for testing the answers, and case law from applying it. Asked of modern structures, the one question unfolds into six. The preface posed them at the beginning of this book; they can now be asked with the whole tradition behind them.

Who owns? The *mutuum*'s central insight was about ownership: in a loan for consumption, the thing lent becomes the borrower's, so charging the borrower for the use of what is now the borrower's own is selling what one does not own. Ownership analysis is where the tradition always began, and it is where modern analysis should begin too. Legal title can be read off the documents; moral ownership takes more work. Who owns the

acquired company that carries its own purchase debt? Who owns the platform built on open-source labor and its users' data? Who owns the enterprise: its shareholders alone, or in some morally relevant sense its workers, its mission, and the community that depends on it? The tradition never treated ownership as a mere fact to be looked up; it treated ownership as a claim to be justified, bounded by purpose and by the common good. That habit of asking what has actually been transferred, and to whom, and under what obligations, cuts through a remarkable amount of modern paper, and it is the doctrinal root of every steward-ownership structure described in this book.

Who governs? Governance is where domination goes when yield is being watched. A capital provider whose return is capped or scrutinized can still take structurally what it may no longer take openly: board control, veto rights over hiring and strategy, covenant packages that steer the enterprise from a distance, consent rights over every consequential decision. The canonists' phrase *in fraudem usurarum* named contract forms designed to evade the usury prohibition while reproducing its substance, and the modern equivalent is often governance design. What interest can no longer take as price, control can take as power. A moral audit therefore reads the governance terms as carefully as the economic ones, and the test is the one this book has used throughout: ask whom the structure obeys when interests conflict, and especially whom it obeys under stress, because a board that serves mission in good years and capital in bad years is governed by capital.

Who bears risk? *Periculum sortis* earned its place among the titles only when the risk was real, and chapter 43 put the modern test plainly: risk must be borne, not merely priced. The place to look is the seniority stack, together with everything that reorders it behind the scenes: collateral, personal guarantees, security interests, covenants that accelerate repayment at the first sign of trouble. The order in which parties absorb loss is the structure's honest confession of whom it protects, however the marketing reads. Chapter 41 added the time dimension: a structure can look fair on average and still be ruinous in sequence, because an enterprise lives through one path of events, not an average of them, and a repayment schedule that ignores bad sequences shifts their whole weight onto the borrower. Where capital stands last in line for loss and first in line for payment, its claim to a risk premium deserves scholastic suspicion; where capital genuinely stands to be wounded, its share in the fruits has the shape of participation.

Who receives surplus? This is the triad of chapter 43 doing its daily work. Every fee, preference, premium, and penalty in a structure can be assigned to one of three families: restoration, compensating a real and provable burden; participation, sharing fruits where fate is shared; or domination, collecting on need, time, or bargaining power. A late-payment charge that tracks actual collection costs is restoration; the same charge tripled and built into the expected return is domination with a restorative name. A management fee that pays for real stewardship labor is restoration; the same fee scaling with assets while the labor does not is extraction on autopilot. A share of profits where losses are also shared is participation; a preferred return that must be paid whether or not there are profits is a *mutuum's* yield in equity costume. The assignment is not always easy, which is why the tradition built tests, but the sorting question itself is simple, and merely asking it changes what a fund document looks like from the inside.

Who can lose everything? The tradition asked this question on behalf of the neighbor whose cloak was taken in pledge, and it remains the most revealing question on the list. In any financing arrangement, someone's whole position can be at stake: the founder who signed the personal guarantee and can lose home and livelihood together, the workers whose livelihoods travel with the payroll, the community whose utility or care infrastructure is the collateral, the small supplier for whom one unpaid invoice is the difference between solvency and ruin. Total loss is a different kind of thing from partial loss, and the

tradition treated it differently: this is why collection was to stop short of the household's survival, and why the pledge laws protected the cloak. A structure that concentrates survivable losses on capital and unsurvivable losses on everyone else has inverted that order. Capital that has arranged to lose nothing, in a structure where others can lose everything, has already answered the moral question about itself, whatever its documents say.

Who is protected? Chapter 43's final test asked where a structure's weight lands when things go wrong, because protection only costs something at default, renegotiation, and collection. Modern law protects capital by default: collateral, seniority, enforcement, and the presumption that contracts mean what they say. The older tradition protected the borrower by default: proof before surplus, proportion in penalty, mercy in collection, grace where hardship is honest, and the standing suspicion that need was being farmed. The difference shows up in drafting. A hardship clause that pauses repayment during honest distress is protection written down; a default-interest clause that raises the rate at the borrower's weakest moment is the opposite, and both are perfectly legal. A renewed moral economy does not need law to abandon capital; it needs law, contract, and custom to remember both parties, and to remember them especially at the moments when one of them has run out of choices.

Six questions, and they are one question. Each asks, from a different side, whether surplus has a title. The preface asked them with a seventh that gathers the rest: who is served? Any financing arrangement, in any century, answers these questions somehow. The only real choice is whether they are answered by design or by default, and structures that answer them well by design now exist, which is what the next section is about.

44.3 Toward Non-Extractive Capital

If the six questions are the diagnostic, what does treatment look like? Part XII assembled the toolkit piece by piece: the audit of chapter 39, the translations of chapter 40, the simulator of chapter 41, the countermeasures of chapter 42. Gathered into one place, the program has six elements. None of them is utopian. Each is a structure that exists, has been drafted, and can be audited, and each has both a doctrinal ancestor and a known failure mode.

Steward ownership holds the firm's ownership under its purpose. Control goes to people bound to the mission rather than to the highest bidder; the company cannot be sold out from under its work; capital's claims are limited by design rather than by goodwill. The change is not cosmetic, because it alters what the enterprise can be made to do. An extractive acquirer has nothing to acquire, an exit-driven investor has no exit to force, and the pressure that bends so many enterprises around their financing simply has less to push against. Its ancestor is the tradition's deepest teaching about property: that ownership is stewardship, held under a purpose beyond itself, rather than absolute dominion. Its failure mode is the label without the structure. Chapter 43 already issued the warning that steward ownership cannot be said to solve everything; a steward-owned shell with extractive financing on top of it drifts like anything else.

Mission-locked governance binds the purpose into the legal skeleton: asset locks that keep value from being converted into private gain, golden shares or mission veto rights that can block a betraying transaction, governance documents that protect the mission from capital and from management fashion alike, and stakeholder voice that brings the burdened parties into the room where decisions are made. The ancestors here are the statutes of the *Monti di Pietà*, which did not trust their own founders' piety and wrote the discipline into the institution: audits, caps, records, accountability. The failure mode is decoration: locks that exist on paper but are never tested, veto rights held by parties with

no will to use them, a mission clause admired at the annual meeting and ignored in the term sheet. A lock is only as good as the last time someone tried it.

Patient capital restores time to its proper place. The tradition refused to let the mere passage of time generate a claim, and refused to treat *carentia pecuniae*, the bare absence of one's money for a while, as a wound requiring tribute. Patient capital operationalizes that refusal: repayment schedules that follow the enterprise's actual rhythm rather than the calendar's, grace built in for honest hardship, capital that can wait without charging for waiting. This is not softness; it is accuracy. An enterprise's cash flows are seasonal, lumpy, and mortal, and financing that pretends otherwise is not neutral, it is a transfer of risk dressed as a schedule. The failure mode is patience priced as a premium. A lock-up charge, a liquidity premium, or a time-based return converts waiting back into yield, and chapter 40 showed how quickly that door swings open once absence alone is allowed to count as a burden.

Loss-sharing finance makes *societas* contractual rather than rhetorical. Repayment rises and falls with actual performance; downside is genuinely shared; capital's claim is subordinated to the survival of the living enterprise; revenue shares carry honest caps and honest pauses, and equity comes without the protective moats that would turn it into debt in costume. The ancestor is the whole partnership tradition, *commenda* to *societas*, with *periculum sortis* as its test: profit-sharing was blessed exactly where loss-sharing was real. The failure mode was named in chapter 43: participation language with domination mechanics, upside shared in the brochure and downside shifted in the definitions section.

Non-extractive returns are returns that can answer the title question in the tradition's own terms: named, proven, proportionate, and still just under stress. Chapter 40 translated each title into modern accounting, *damnum emergens* into documented cost, *lucrum cessans* into a discipline on opportunity-cost claims, *poena conventionalis* into penalties that discipline rather than earn, *stipendium laboris* into fees that track real labor. Chapter 41 built the working conscience for it: the NEC Simulator's whole purpose is to make a return show its title, to ask not how much capital can receive but what capital may receive justly, and to keep asking under simulated bad years, not just good ones. And chapter 42 supplied the maintenance schedule: periodic re-underwriting to test whether titles remain valid as circumstances change, disclosure that lets the burdened party see the structure, restitution where surplus turns out to have been unjust. The failure mode is the dashboard as rationalization, a tool that computes what capital wants to hear, which is why chapter 41 spent a section on dashboard ethics.

Capital that serves life is the sixth element and not really an element at all; it is the standard the other five serve, and the title of this part of the book. A structure earns the description not by declaring it but by passing the tests: the audit questions of chapter 39 on its anatomy, the five questions of chapter 43 on its fruit. Serving life is what the whole apparatus is for; the apparatus is what keeps the phrase from being a slogan.

The elements are listed separately but work as one structure, each guarding the others' backs. Steward ownership settles who cannot buy the enterprise; mission-locked governance settles who cannot bend it; patient and loss-sharing capital shape what its financing may demand; non-extractive returns discipline what its capital may receive. Remove one and the pressure finds the gap. Locked governance funded by impatient capital lives under siege; patient capital without locks is a takeover waiting for a bid; titled returns without stakeholder voice drift in exactly the way chapter 42 described, one reasonable exception at a time. The Monti survived, where they survived, on the whole kit, statutes and audits and caps together, and there is no reason to expect less of their successors.

None of this is self-executing. Every element on the list can be adopted as fashion,

drained by exceptions, or outgrown by an institution that has learned to love its own surplus; chapter 42 exists because drift is the normal weather of mission-driven finance. So the elements come with the countermeasures attached: audit, disclosure, stress-testing, re-underwriting, restitution, and governance that lets the burdened parties speak. It is worth remembering that the tradition's own institutions were structures rather than sentiments. The Monti di Pietà ran on statutes, auditors, ledgers, and pledge shelves, and needed every one of them, because they had discovered what every mission-driven fund eventually discovers: good intentions do not survive contact with compound arithmetic unless something in the constitution is watching.

An architecture like this will not assemble itself. Markets do not spontaneously build limits on their own claims, and never have. The Monti were built by people who thought theology was worth institutionalizing, and worth defending clause by clause against clever drafting; the structures in this section are being built, right now, by their heirs, whether or not the heirs know the family history. That work is where the book has been heading all along, and it brings us to the final thesis.

44.4 Final Thesis

The thesis of this book can now be stated in four sentences. The extrinsic titles were not loopholes. They were moral tests. Their purpose was to distinguish restoration from extraction. A renewed moral economy must do the same.

The familiar story says otherwise, and saying why it is wrong is a fair summary of everything the preceding chapters have shown. In the familiar story, the usury prohibition was an economic naivete that could not survive contact with real commerce, and the titles were the slow, embarrassed retreat: exception after exception wrung from the theologians until interest slipped in through the back door and the doctrine died of its own qualifications. But titles designed as loopholes would not have come with tests attached. Each title named a burden external to the loan itself; each demanded proof in the particular case; each was bounded by proportion, policed against fraud, and capable of failing. *Damnum emergens* required an actual loss. *Lucrum cessans*, the most contested of the four, was hedged with conditions precisely because the theologians saw where an abstract version would lead. *Poenam conventionalis* was disqualified the moment delay became desirable. *Periculum sortis* demanded that capital could bleed. This is not the architecture of surrender. It is the architecture of discrimination, in the old and honorable sense of that word: the patient work of telling one thing from another, compensation from extraction, partnership from predation, a titled surplus from a tribute collected on need.

The distinction the titles enforced is the one chapter 43 placed at the center: surplus from restoration and surplus from participation can be just, and surplus from domination cannot, however it is papered. Every title is clean in its restorative or participatory use and corrupt in its dominating use, which is why the tradition never tired of asking which use was actually before it, case by case, contract by contract, and why its heirs cannot retire the question either.

To say that a renewed moral economy must do the same is not to import medieval conclusions. It is to recover the medieval question, and the discipline that made it answerable: titles named, proof required, proportion enforced, structures examined under stress, and the weaker party protected at the moments that reveal what a structure believes. Section 44.3 described what that discipline looks like when it is drafted into modern instruments, and the demand it makes falls on everyone who touches capital. It asks investors to know the title of every return they accept, and founders and enterprises to refuse structures that

price their need. From the drafters of contracts, the designers of funds, and the builders of models it asks something more: to treat their instruments as moral architecture, because that is what they are. And of the Church, civil society, and the market together it asks what chapter 42 asked, that legality stop being mistaken for justice. The tradition never promised that just finance would be effortless, only that it was possible, and that the difference between just and unjust finance could be known.

The preface opened with the suspicion that a civilization equipped with derivatives and discount models had left the medieval question behind, and answered that the old question had only changed its clothing. The question was this: when may capital receive more than it gives? After forty-four chapters, the book's answer can be given in final form. Capital may receive more than it gives when the surplus can name its title and prove it: when it restores a real and documented burden, or shares the fate of the venture it feeds, or sustains real work and real service in proportion to their cost. It may never receive more than it gives merely because time has passed, because money was scarce, or because the other party's need left no better option. That is the whole doctrine. The rest, from Deuteronomy to the dashboard, is the working out.

For seven centuries the tradition retranslated that doctrine into whatever instruments its economy had just invented: the confessors carried it in their questions, the canonists in their tests, the preachers in their sermons, the Monti in their statutes and pledge shelves, Salamanca in its lecture notes on exchange, the manualists in their cases. Every generation received the questions, found them slightly too small for its new instruments, and did the tailoring. The instruments in front of us are term sheets, fund documents, covenant packages, dashboards, and models, and the tailoring has begun again, some of it described in Part XII of this book. The tradition hands over its questions in working order. Where they go next is not written in any of its books.

Appendices

APPENDIX A

Glossary of Latin Terms

The terms gathered here are the book's working vocabulary, defined as the book uses them and given in the order the table of contents gives them, which is a logic of families rather than an alphabet. First come the contracts of Roman law, the taxonomy that let jurists and theologians tell one transfer of money or goods from another. Then the two words modern readers are most tempted to merge, *usura* and *interesse*, whose difference carries most of the book's argument. Then the penalty family, the earliest gate through which compensation entered the loan, including the first of the four extrinsic titles. Then the titles themselves and their two neighbors: *carentia pecuniae*, which the main tradition refused as a freestanding title, and *stipendium laboris*, which stands beside the titles rather than among them. Two terms of art from the canonists and the schools close the list. Each entry names the chapters where the full treatment lives; the definitions are deliberately short, since a glossary is a place to check a term, not to learn the doctrine.

Mutuum (loan for consumption). The Roman contract at the center of this book. Ownership of money or other fungible goods passes to the borrower, who consumes what he receives and owes back not the same coins but their equivalent, the *tantundem*. Because the thing lent is consumed and only its equivalent returns, the scholastics reasoned that money's use cannot be sold separately from its substance, and that a lender who demands more than the principal on the strength of the loan itself is charging for something that does not exist. Chapter 4 gives the contract's anatomy; the argument built on that anatomy runs through every chapter that follows.

Tantundem (equivalent amount of same kind and quality). What the *mutuum* borrower owes back: the same in quantity and quality, though never the same physical coins or grain. The term fixes the loan's moral baseline. Repayment of the *tantundem* settles the debt exactly, and anything demanded above it needs a justification that is not the loan itself. Chapter 4 introduces it alongside the *mutuum*.

Commodatum (loan for use). The loan in which the very thing comes back: a plow, a horse, a book lent and returned. Ownership stays with the lender, the borrower has the use of the thing for a time without payment, and the thing itself is restored. It matters to the argument as the *mutuum*'s foil, the case where use and substance really are separable. Chapter 4 sets out the contrast.

Depositum (deposit). A thing handed over to be kept safe and returned. The keeper takes custody, not use; safekeeping is the whole point of the arrangement. Chapter 4 places it among the contracts Roman law formed by delivery of the thing itself, and it reappears wherever the book rehearses the contract taxonomy, a reminder that holding another's property and having it for one's own are different acts.

Locatio-conductio (hire or lease). The contract of letting for payment: a house, a field, a horse, a laborer's services, hired out for a price. The thing endures, the owner keeps ownership and its risks, and the rent pays for a use genuinely distinct from the thing's substance. In the book it usually appears as the standard against which money fails: a

house can be leased because it survives its use, while money is spent in the using. The book's short form is *locatio*, following its own chapter 4 usage.

Societas (partnership). Resources joined in a common enterprise, with gain and loss shared and each partner's capital remaining at its owner's risk. That last clause does the moral work: because the investor's money continues to share the venture's fate, a partnership return is earned by risk actually borne rather than by the mere passage of a loan's term. Whether an arrangement is truly a *societas* or a *mutuum* dressed as one is among the book's most repeated tests. Chapters 4 and 25 give the anatomy, chapter 36 sets it formally against the *mutuum*, and the modern chapters of Part XII lean on it throughout.

Commenda (merchant investment partnership). The medieval instrument of long-distance trade: a silent investor entrusts capital to a traveling merchant, profits divide by agreement when the venture ends, and the capital's risk stays with the investor throughout. It mattered to the moralists as proof that capital could seek gain honestly by genuinely sharing a venture's fate, and it matters to this book as an honest partnership to point to. Chapter 25 tells its story.

Foenus nauticum (sea loan). The Roman maritime loan, under which repayment is owed only if ship or cargo arrives safely. The premium prices a real peril, the sea's, and the lender genuinely stands to lose the principal, which is why the book reads it as prehistory of *periculum sortis* rather than as an ordinary loan. Chapters 4 and 25 treat it, and the medieval argument over pricing such risk runs through Part VIII.

Usura (usury or interest). In Roman speech *usurae* were the sums paid for the use of borrowed money, and *foenus* was lending at interest as a business. In the moral tradition this book follows, the word is narrower and sharper: usury is whatever is demanded on the *mutuum* beyond the principal, on the strength of the loan itself. The scholastic case against it does not turn on the rate being high or the borrower being poor; it is an argument about unjust gain as such. Chapters 5 through 8 build the doctrine, and chapter 43 states what it does and does not condemn.

Interesse (compensation for loss). "That which stands between": the gap between the position a person should have occupied and the one he occupies, measured so that it can be made good. In its older legal sense the word named compensation for damage, delay, or deprivation, not a return on capital; it was a measure of harm before it was a financial term. The modern word "interest" descends from it without preserving that sense, and chapters 9 and 14 are largely about what changed in the descent.

Poena conventionalis (agreed penalty). A penalty stipulated in the contract itself: if the debtor fails to perform, an additional sum falls due. Its legitimacy rests on its shape. A true penalty is conditional, avoidable, attached to breach, and never the outcome the lender hopes for; the moment the surplus becomes the expected point of the bargain, the clause has changed character, whatever the contract calls it. It is the first of the four extrinsic titles the book examines, and the whole of Part V, chapters 10 through 13, tests where its line runs.

Morae poena (penalty for delay). The penalty family's specific case: the borrower is late, retains what should have been repaid, and owes something for the culpable delay. Its focus is narrower than the *poena conventionalis*, not breach in general but time wrongfully taken, and the same discipline governs it: the penalty must mark a wrong, not manufacture a yield. Chapter 10 draws the distinction, and chapter 36's comparison of the titles returns to it.

Poena nec in fraudem (penalty not in fraud of usury prohibition). The canonists' proviso attached to every permitted penalty: it must not operate *in fraudem usurarum*, in fraud of the usury prohibition. A penalty could be enforceable, attached to genuine breach, and still condemned if it existed to sell time under another name. The phrase is the book's com-

pact form of the canonical warning. Chapter 10 introduces it, and the fraud test it names recurs in nearly every later chapter.

Damnum emergens (actual loss arising). Loss the lender actually incurs because of the loan or its delay: a payment missed, a debt contracted elsewhere, a real hole in the accounts. Compensation under this title restores; it does not enrich. Backward-looking and provable, it was the most readily accepted of the four titles, with a classic formula in Aquinas that the later tradition refined for centuries. Part VI, chapters 14 through 17, follows it from *interesse* to what chapter 17 calls the master title.

Lucrum cessans (gain ceasing or profit foregone). The claim that lending prevented a gain: the lender points not to a loss suffered but to a profit that never arrived because the money was out on loan. Forward-looking and therefore contested, since expected profits are easy to assert and hard to bound, it was admitted late, reluctantly, and under strict conditions: the foregone gain concrete, probable, and causally connected, never the bare fact that money can always earn something. Part VII, chapters 18 through 23, tells that story, controversy included.

Periculum sortis (risk of principal). The risk that the *sors*, the principal sum itself, may be lost. The title asks the structural question: does the capital provider genuinely stand to lose the capital? Where the answer is yes, as in partnership, return can be earned by the risk borne; where the contract arranges matters so the provider cannot lose, a risk premium is being charged for a danger that has moved onto other shoulders. The book calls it the most structurally disruptive of the four, and Part VIII, chapters 24 through 30, is its territory.

Carentia pecuniae (lack or absence of money). Literally the lender's being without his money for the term of the loan. It sounds like the most natural title of all, which is exactly its danger: taken alone it would justify charging for time and liquidity as such, and the prohibition would dissolve. The main tradition therefore refused it as a freestanding title; deprivation counts only when it shows up as demonstrable loss or as qualifying foregone gain. Chapter 32 examines it as the edge where scholastic doctrine and modern interest face each other.

Stipendium laboris (compensation for labor). The wages of real work: appraising pledges, keeping books, staffing the loan desk. Not one of the four titles but their near neighbor, invoked above all around the Monti di Pietà, whose small charges kept charitable lending staffed and solvent without pretending the loan itself had earned anything. The family's usual test applies: the payment must answer to work and cost actually incurred. Chapter 31 gives it its fullest treatment.

Lex commissoria (forfeiture or penalty clause). A clause by which failure to perform triggers a consequence: forfeiture of a pledge, cancellation of an arrangement, transfer of a right. It appears in several legal contexts, and in the canonists' compressed lists of modes by which more than the principal might lawfully be received it stands beside the permitted penalty, the free gift, and partnership. It faces the family's standard question, whether it secures performance or disguises yield. Chapters 11 and 33 handle it.

Sententia communis (common teaching). The shared judgment of the school: the position that, once enough weighty authorities converge on it, a confessor or adviser could reasonably follow in practice. Not a decree and not unanimity, but the settled center of gravity of a long argument. The book's chief example is the late scholastic settlement, organized around Lugo's position, that admitted *lucrum cessans* under strict conditions; chapter 23 shows the term at work.

APPENDIX B

Key Scriptural Texts

The nine texts gathered here are the scriptural backbone of the book's argument, listed in the order the table of contents gives them, which is also the order of the canon: the three great law texts first, then a scene from Israel's history, a psalm, a proverb, and the prophet who presses the matter hardest. A note on handling. This book renders Scripture in its own words, closely and at the texts' own scale, and it does not quote at length; the entries below do the same, carrying the book's renderings and nothing else. Each entry says what the text says, what it contributes to the moral grammar of debt that chapter 2 assembles, and where in the book the full treatment lives. The appendix is a place to check a reference. The texts themselves, and the argument they carry, live in chapter 2.

Exodus 22:25–27. The law the whole tradition keeps returning to. If one lends money to the poor among God's people, one must not act toward him as a creditor who exacts interest; and if the borrower's cloak is taken in pledge, it must be returned before sunset, because it may be his only covering, the garment in which he sleeps, and if he cries out, God will hear, because God is compassionate. The text sets the prohibition beside the image of a poor body at night, and that placement is its contribution: a creditor's right is real and is limited by the debtor's vulnerability, and the more the loan arises from vulnerability, the more strictly the creditor's surplus claim must be judged. Chapter 2 opens its account of Scripture with this scene, and the cloak returns in chapter 31, when pledge-taking becomes a working institution at the Monti di Pietà and the old command about security and mercy has to be honored in procedure.

Leviticus 25:35–37. When a brother becomes poor and cannot maintain himself, the community must uphold him; no interest or profit is to be taken from him; the lender is to fear God, and the purpose is stated in the gentlest phrase in the legal material and the most demanding: "so that he may live," and live "beside you," not beneath you. The chapter of the Sabbath year and the Jubilee surrounds the command: land returns, households are restored, and the land itself belongs to God, so that one generation's misfortune cannot become a permanent dispossession. The contribution is the purpose clause. Lending exists for the neighbor's life, not for the growth of the lender's claim, and poverty is not an opportunity for yield. Chapter 2 develops the command and its Jubilee frame; chapter 1 sets out the older ancient Near Eastern world of debt release and restoration that the Jubilee tradition stands within.

Deuteronomy 15:1–11. Every seventh year, debts are to be released, and the creditor is not to press his brother, because the Lord's release "has been proclaimed." Then the law turns from the ledger to the lender: as the release year approaches and lending becomes unattractive by design, the heart may grow hard and the hand may close, and the text commands the opposite, an open hand toward the poor brother even when repayment is visibly uncertain. The contribution is double. Time itself interrupts the creditor's claim, so that the past cannot own the future forever; and the law disciplines the lender's heart, not only the debtor's conduct, treating the fear of loss as a moral danger in its own right.

Chapter 2 gives the full treatment; chapter 8 returns to the hardened-heart command when Aquinas asks what waiting may and may not cost the borrower.

Deuteronomy 23:19–20. Interest to the brother is forbidden outright: not on money, not on food, not on anything that may be lent at interest. Interest to the foreigner is permitted, and the prohibition closes with a promise, “so that the Lord may bless you.” Two things make the text load-bearing. First, it judges interest by relationship: the borrower within the covenant is a brother before he is a debtor, and brotherhood and extraction cannot be reconciled, while the foreigner clause, difficult then and difficult now, has often been read as marking off external commercial dealings rather than licensing exploitation of the vulnerable, and the Gospel’s widening of neighbor-love presses the prohibition outward rather than relaxing it. Second, its inventory of money, food, and anything lent already senses the special danger in goods that are consumed in the use, the material intuition that the Roman *mutuum* and the scholastic analysis will later make precise. Chapter 2 handles the text and its difficulties; chapters 4 and 8 supply the legal anatomy the intuition anticipates.

Nehemiah 5. The only entry in this list with a plot, and a painful one. In the restored community after the exile, families are mortgaging fields, vineyards, and houses to buy grain; some have borrowed to pay the king’s tax; some are watching their sons and daughters go into servitude. The crisis is internal exploitation, wealthier Jews lending to their own brothers on terms that produce dispossession, and Nehemiah confronts the creditors publicly, demanding that the fields, the vineyards, the olive orchards, the houses, and the interest be restored. The creditors agree to give everything back and to require nothing more. What Nehemiah adds is scale, and a remedy. Debt appears as a communal crisis, capable of reorganizing a whole people into creditors and dependents, and repentance costs restitution, repair that reaches the ledger and not only the conscience. Chapter 2 tells the story; chapter 6 cites it to show that usury is never merely an issue between individual lenders and borrowers.

Psalms 15. The psalm asks who may dwell on the Lord’s holy hill, and answers with a portrait: the one who walks blamelessly, speaks truth, does no evil to his neighbor, keeps his word, takes no bribe, and does not lend money at interest. The refusal of usury stands in the list of marks of the person fit to stand before God, beside truthfulness and neighbor-love, with no financial analysis attached. That is the contribution: the way one handles money belongs to holiness, and the later tradition’s insistence that usury is spiritually serious, a matter of the worshipper and not only of the contract, stands on this psalm. Chapter 2 places it at the head of the wisdom and prophetic material.

Proverbs 28:8. One who increases wealth by interest and profit, says the proverb, “gathers it for one who is kind to the poor.” A single verse carries the whole idea of moral order: wealth gathered through exploitative increase is unstable before divine justice, marked within itself as belonging finally to the merciful, however long it sits on the gatherer’s ledger. Chapter 2 reads the proverb as the wisdom literature’s contribution to the grammar of debt.

Ezekiel 18. In the prophet’s portrait, the righteous man does not lend at interest or take profit, withholds his hand from injustice, and executes true justice between persons; the wicked man lends at interest and takes increase. Usury here is not imprudence and not a shortfall in generosity. It is serious injustice, one of the acts by which a person’s standing before God is described. This is individual accountability at full prophetic strength, and chapter 2 sets the portrait beside the psalm’s as the personal dimension of the biblical witness.

Ezekiel 22. Among the sins of Jerusalem the prophet indicts, taking interest and profit stands beside bloodshed, oppression, extortion, and forgetting God. The placement is de-

liberate and severe. Economic extraction belongs to a constellation of violence, whether or not a sword is drawn, and its spiritual root is named in the same breath: when God is forgotten, the neighbor becomes available for use. It is at exactly this point that chapter 2 gathers the four dimensions of the non-legal material: the psalm gives personal righteousness, the proverb moral order, Nehemiah communal restoration, and Ezekiel prophetic judgment.

APPENDIX C

Key Texts in Aquinas

The ten texts gathered here are the passages of Aquinas on which the book's argument rests, listed in the order the table of contents gives them, which is also the order of the Summa's own architecture: the opening questions of the treatise on justice and its parts first, then restitution, then buying and selling, then usury, then the three replies within the usury question from which the extrinsic titles grow, and finally two witnesses from beyond the Summa. Citations appear as the book carries them: II-II names the *Secunda Secundae*, the Second Part of the Second Part of the Summa; q. marks the question, a. the article within it, and ad the reply to a numbered objection. It is worth noticing that four of the ten entries are replies to objections, three of them inside a single article; the tradition this book recovers was built in large part from lines Aquinas wrote in answering objections. Each entry says what the text holds, in the book's own rendering, what it contributes to the argument, and where the full treatment lives. An appendix of texts is a place to check a reference. The reading itself happens in chapters 6 through 8 and the chapters named below.

Summa Theologiae II-II, q.57–q.60 (justice and judgment). The four questions that open Aquinas's treatise on justice in the *Secunda Secundae*: on right, or *ius* (q.57), on justice (q.58), on injustice (q.59), and on judgment (q.60). Aquinas does not begin his treatment of usury with money. He begins a long way back, with what is due between persons, and the questions on price, sale, and lending arrive only after he has established what justice is, how it divides, and how broken equality is repaired. The book reads that placement as itself the teaching: usury is a violation of justice before it is anything financial, and the argument of the titles presupposes these questions throughout. Chapter 6 opens Part III by walking this sequence and drawing out its consequences.

II-II, q.61 (distributive and commutative justice). "Of the Parts of Justice," the question the book calls the most important for commutative justice. Following Aristotle, Aquinas distinguishes two species of justice in the first article: distributive justice, which orders the community's relation to persons in the distribution of common goods, and commutative justice, which orders the relation of one person to another in exchanges and dealings. In the second article he assigns each its own equality: distribution follows proportion, a geometrical equality answering to office, need, merit, role, or contribution; exchange follows arithmetic equality, measured by what one person gives, takes, owes, damages, restores, or pays in relation to another. Usury belongs to the second species. The usurer disturbs equality in exchange by receiving what is not due, which is why the book's recurring test of every surplus claim is commutative: has equality between these parties been preserved? Chapter 6 develops the distinction and what it protects.

II-II, q.62 (restitution). What restitution is, whether it is necessary for salvation, whether one must restore what one has not taken, whether one must restore exactly what was taken, and to whom. This question supplies the doctrine's teeth. If usury is unjust gain rather than mere greed, then something has moved from borrower to lender

that should not have moved, and keeping it continues the injustice: the surplus must be returned, and charity cannot substitute for restitution. The book returns to the question twice more. Its fourth article, which asks whether restitution extends to what someone was prevented from obtaining, becomes the latent opening through which later Thomists argue that a concrete foregone gain can matter in justice; and its logic makes every title auditable after the fact, since a payment collected under a false title was never due and remains subject to repair. Chapter 6 gives the base treatment, chapter 8 notes the openings, and chapter 20 reads the fourth article closely against the usury question.

II-II, q.77 (buying, selling, and just price). The question on cheating in buying and selling, treated immediately before usury, in four articles: whether it is lawful to sell a thing for more than it is worth (the classic just-price article), whether a defect in the thing renders a sale unjust, whether the seller is bound to reveal defects, and whether it is lawful in trading to sell a thing for more than one paid (merchant profit). Two of its holdings carry far. The first article recognizes that a thing may have special value to its owner, so that parting with it imposes a particular loss; the fourth allows moderate merchant profit where trade is ordered toward household support or public utility. Together they hand the later tradition materials for *lucrum cessans*: commerce can be licit, and interrupting a concrete commercial use of capital may be a real detriment. Chapter 7 gives the anatomy of the question; chapter 20 reads the first article's special-value principle beside the usury prohibition.

II-II, q.78 (usury). "On the sin of usury," the book's central text, in four articles. Whether it is a sin to take usury for money lent: yes, by the consumable-good argument, for money, like wine or wheat, is consumed in its use, so charging for the money and again for its use is selling what does not exist as a separate thing, or selling the same thing twice. Whether any other kind of consideration may be demanded: the article on which the whole extrinsic-title tradition hangs, since it refuses payment for the loan itself while allowing compensation for loss incurred, repayment of expenses, a genuinely free gift, and profit-sharing where money is entrusted by way of partnership rather than lent. Whether usurious gain must be restored: it must. Whether one may borrow under usury: the needy borrower who submits to unjust terms is not the moral equal of the lender who imposes them. The book reads the four as definition, sorting, remedy, and pastoral realism. Chapter 8 is given to the whole question; chapter 9 turns its second article's openings into the doctrine of the titles, and Parts V through VIII develop them one by one.

II-II, q.78, a.2, ad 1 (actual loss versus profit not made). The classic formula, and the root of the contrast between *damnum emergens* and *lucrum cessans*. A lender may contract for compensation for a loss he incurs, because that is not selling the use of money but avoiding a loss; he may not contract for compensation for the profit he might have made, because he must not sell what he does not yet possess and might never obtain. Actual loss may be repaired; expected gain may not be sold. Without that line, the book argues, the prohibition collapses, for if every profit not made were compensable, every loan would bear a return. Chapter 8 states the distinction, chapter 15 gives the formula a chapter of its own, and the controversy that fills Part VII is the history of how far the second half of the line could be stretched without breaking the first.

II-II, q.78, a.2, ad 5 (partnership and risk). The distinction between loan and partnership, *mutuum* and *societas*. Money entrusted to a merchant or craftsman by way of partnership remains in some sense at the investor's risk, and a share of the resulting profit is licit; money given as a loan becomes the borrower's own, an equivalent is owed back, and any demand beyond the principal is usury. The reply is the architecture of *periculum sortis* before the title exists: it ties capital's claim on gain to capital's exposure to loss, and it blocks two errors at once, the rigorist error that treats all profit from capital as usury and

the permissive error that treats all provision of capital as investment. Chapter 8 introduces the reply, chapter 26 gives it a chapter of its own, and the modern chapters of Part XII test present-day financing structures against it.

II-II, q.78, a.2, ad 7 (delayed payment and hidden usury). Usury without a loan. If a seller charges more simply because he allows the buyer to pay later, the arrangement has the character of usury: the sale contains a hidden loan, and the surplus attaches to time rather than to the worth of the thing sold. The reply bridges just price and usury, and the tradition's whole analysis of disguised usury descends from it, having learned here to ask not what a contract is called but what role time plays in the surplus. Delay may still matter morally, but only through something real that happens in time: an actual loss, a culpable default, an expense, a risk genuinely borne. Chapter 8 develops the warning, chapter 12 states its anti-abuse logic, and chapter 33 follows its descendants through bills of exchange, public debt, and disguised loans.

De malo, q.13, a.4, ad 14 (late repayment). The text that shows Aquinas is not blind to the real effects of time. Beyond the Summa, he recognizes that a creditor may suffer harm when repayment is wrongfully delayed, and that such damage may be compensable: payment not for the passage of time but for the injury the delay caused, the logic of restitution rather than the logic of usury. The book reads the text as the seed of *morae poena* and of the whole late-payment analysis, legitimate where delay is culpable and harmful, corrupt where the penalty is expected from the beginning as a revenue model. Chapter 8 places it among Aquinas's writings beyond the Summa, and chapter 12 sets it beside the seventh reply as the two halves of one balance: damage from delay acknowledged, payment for time refused.

Commentary on the Sentences (early usury treatment and Januard's analysis). The reminder that Aquinas's thought on usury has a developmental character. He wrote across contexts, genres, and stages, and the Commentary on the Sentences carries his early usury treatment, before the Summa's mature formulation; the texts do not always function identically, and the book follows modern scholarship, above all Pierre Januard's analysis, in reading the wider architecture rather than isolating one formula. Januard's Aquinas is risk-sensitive: alert to commercial uncertainty, to the moral difference between exposed and protected capital, and to the "risk of analysis," the danger that a contract is misclassified and an injustice thereby blessed. None of this makes Aquinas a proto-modern economist; it means his analysis of risk, uncertainty, and contract form is more nuanced than the textbook account allows. Chapter 8 closes on this developmental reading, and chapter 35 gives Januard's contribution a section of its own among the modern scholars.

APPENDIX D

Historical Figures

The figures gathered here are the book's cast: the lawgivers, philosophers, jurists, popes, canonists, and theologians who built, tested, guarded, and occasionally endangered the doctrine of the extrinsic titles. They are listed in the order the table of contents gives them, which runs in rough chronology from Babylon to the eighteenth century, and each entry says who the person was, what he gave the argument, and where his full treatment lives. Dates appear exactly as the chapters carry them, and a few entries run without any, since a reference apparatus should add nothing the book has not already verified. Reading the list straight through gives a compressed history of the doctrine itself: regulation first, then philosophy, then legal anatomy, then the long scholastic discipline of exceptions, then backlash. An appendix of persons is a place to check a name. The acquaintance itself happens in the chapters named below.

Hammurabi. Ruler of Babylon from about 1792 to 1750 BC, whose Code, cut into polished black stone in the eighteenth century before Christ and standing today in the Louvre, shows lending, pledging, interest, crop failure, and creditor misconduct already central enough to require legal attention. Two provisions carry particular weight in this book: Law 48, under which crop failure suspends payment, and Law 117, which caps the debt-service of a wife, son, or daughter at three years. He stands at one end of the book's very long arc as the ancient architecture of one conviction: creditor power cannot be unlimited. Chapter 1 gives his world.

Ammisaduqa. Hammurabi's great-great-grandson, who on taking the throne of Babylon around 1646 BC proclaimed a *mīšarum*, the royal release of debts, the only such edict whose text survives nearly complete. The release did not abolish economic life; commercial debts between merchants might be treated differently from subsistence debts. Its point was to restore social balance where debt had become destructive, and the book reads him as the clearest witness to the ancient release tradition. Chapter 1 places his edict in that long Mesopotamian practice.

Aristotle. Born in 384 BC at Stagira, twenty years in Plato's Academy, tutor to the boy who became Alexander the Great, and from about 335 BC master of his own school at Athens, the Lyceum. Near the close of Book I of the *Politics* (1258b) he calls usury the most contrary to nature of all ways of getting wealth, because it makes money breed from money when money exists for exchange. The book takes from him the sterility argument, the language of natural limit, and the question every title must eventually answer: what is the real source of the increase? Chapter 3 is his, and his categories return with Aquinas in Part III.

Gaius. The Roman jurist who wrote the *Institutes*, a teaching manual of Roman law, around AD 161, and about whom almost nothing else is known; not even his full name survives. His book vanished for centuries until 1816, when Niebuhr found it at Verona beneath a copied text of St. Jerome, nearly whole. It supplies the tradition's legal anatomy: the *mutuum* as the paradigm obligation arising by delivery of the thing itself (*Institutes*

3.90). Chapter 4 tells his story.

Justinian. The emperor whose *Corpus Iuris Civilis*, issued between 529 and 534, became, once recovered and taught, one of the great foundations of the medieval *ius commune*; its Institutes of 533, a first-year textbook with the force of law, explains the loan for consumption in the terms the whole tradition inherited: what is mine becomes yours, *meum fit tuum*. His texts count the four real contracts, and his sliding interest caps price the sea loan's peril above the ordinary lender's rate, the law's own admission that money afloat is not money ashore. Chapter 4 gives his legacy.

Gregory IX. The pope who gave canon law its book. He set Raymond of Peñafort to organizing the Church's scattered legislation, and the resulting collection of decretals, the *Liber Extra*, promulgated on 5 September 1234, remained the core of canon law until 1917. In it travels the decretal *Naviganti*, which opened canonical space for valuing goods with reference to future circumstances. Chapter 11 records the commission; chapter 19 reads the opening.

Raymond of Peñafort. Catalan, born around 1175, holder of the chair of canon law at Bologna before joining the Dominicans in 1222. He wrote the age's standard confessors' manual, the *Summa de casibus poenitentiae*, compiled the Decretals of 1234 at Gregory IX's commission, led his order as Master General from 1238 (he resigned after two years), and lived to January 1275. Canonized in 1601, he is the patron saint of canon lawyers. The book's debt to him is a formula: *interesse* means "not gain, but avoidance of loss," the line between a creditor restored and a creditor enriched. Chapters 11, 12, and 19 show it at work.

Robert of Courçon. An Englishman, born about 1160 in Derbyshire, who studied under Peter the Chanter at Paris, stayed to teach theology, and treated usury at length in his *Summa*; cardinal in 1212, papal legate from 1213, author of the University of Paris statutes of 1215, dead at the siege of Damietta in February 1219. In him the book finds the penalty problem while it is still raw: the tradition began not by asking how more payment might be permitted but by asking how a legal penalty could be kept from becoming a spiritual fraud. Chapter 11 gives his portrait; chapter 12 counts him among the convergent early voices.

Hostiensis / Henry of Susa. Born around 1200 at Susa in Piedmont, degreed in both laws at Bologna, teacher of canon law at Paris, bishop of Sisteron in 1244, archbishop of Embrun in 1250, cardinal-bishop of Ostia from 1262, dead at Lyon in 1271, and by common consent the most brilliant canonist of his century. His *Summa aurea* gave the penalty title its lasting formula, *poena nec in fraudem*, a penalty but not in fraud of the usury prohibition, and his name anchors the canonists' verse-list of licit exceptions. Chapter 11 gives the portrait and the formula; chapter 19 shows him opening a first, narrow door toward *lucrum cessans* for the lender not in the business of lending.

Thomas Aquinas. The book's central authority, treated not as the sole inventor of the extrinsic titles but as the source of the principles they grow from: the consumable-good analysis of the *mutuum*, the justice architecture of the *Secunda Secundae*, and the three replies within the usury question from which the titles descend. The book's own rule for him is "central, not solitary." Chapters 6 through 8 walk his treatise on justice, buying and selling, and usury; chapter 20 reads his latent openings; his key texts are gathered in Appendix C.

Duns Scotus. The tradition's sharpest questioner of incentives. His test for the penalty clause cuts past wording to what the contract makes the lender want: does he actually prefer repayment on time, or is he disappointed when punctuality costs him the penalty? The book treats the question as morally simple and economically devastating, and applies it from medieval penalty clauses to modern business models built on late fees and default.

Chapters 10 and 12 develop his test.

Peter John Olivi. Franciscan, born around 1247 at Sérignan in the Languedoc, in the order at Béziers from about age twelve, censured by a commission of seven masters in 1283, cleared at Montpellier in 1287, dead at Narbonne in March 1298, his tomb later destroyed and his books banned. In the mid-1290s he wrote the *Tractatus de contractibus*, observing that money committed by its owner's intention to a probable profit carries "a certain seminal character of profit, which we commonly call capital" (*quod communiter capitale vocamus*); he was the first theologian to take the merchants' word *capitale* seriously enough to define it. Chapter 21 tells his story, including how his banned analysis reached all of Italy through Bernardino of Siena, verbatim and unattributed.

Alexander of Alexandria / Alexander Lombard. A Franciscan of Alessandria in Piedmont, born around 1270 (the town supplied the name), who taught theology at Paris, was elected minister general of the order in 1313, and died in office the next year. His *Tractatus de Usuris*, composed around 1307 and left in manuscript for six centuries, carries one of the earliest explicit formulations of *periculum sortis* as a possible title. The book marks him as a conceptual threshold: with him it becomes thinkable that danger to the principal is morally relevant to the judgment of surplus. Chapter 27 is his.

Bernardino of Siena. Franciscan missionary preacher, 1380–1444, canonized only six years after his death. He does three kinds of work in this book: he standardizes the exception categories into teachable form while keeping them morally dangerous; he stands at the center of the moral defense of the Monti di Pietà; and he transmits Olivi's banned analysis of capital from a manuscript in his own library, verbatim and unattributed, to all of Italy. Chapters 13 and 22 give his doctrine, chapter 31 his defense of the Monti, and chapter 21 the borrowed theory of capital.

Sant'Antonino of Florence. Dominican, archbishop of Florence, 1389–1459, working where confession, commerce, and civic life met in Europe's great banking city. His *Summa moralis*, an early landmark in the moral analysis of commerce and banking, preserves and organizes the exception-list tradition for later inheritance, and his gift to the doctrine is synthesis under discipline, and his gradient of suspicion still holds: the more predictable the penalty, the more suspect. Chapters 13 and 22 treat his moral theology, and chapter 31 his defense of the Monti alongside Bernardino.

Conrad Summenhart. Born at Calw in the Black Forest around 1455, professor of theology at Tübingen until his death in 1502. His seven-part treatise on contracts, the *Opus septipartitum de contractibus*, printed at Hagenau in 1500, gathers the scattered cases, titles, and distinctions into a comprehensive moral anatomy of exchange, and so marks the transition from medieval case discussion to the systematic contract analysis that Salamanca and the Jesuits would complete. Chapter 22 places him at that hinge.

Cajetan / Tommaso de Vio. Jacopo de Vio of Gaeta, born 1469, a Dominican at fifteen over his parents' objections, Master General of the order in 1508, cardinal in 1517, and between 1507 and 1522 author of the commentary that became the standard companion to the *Summa Theologiae*. (He is also the legate who spent three days at Augsburg in 1518 failing to persuade Luther to recant.) The book stations him at the hardest line in the doctrine, the boundary between actual loss and foregone profit. Chapter 16 gives him the boundary problem; chapter 22 shows him arguing that a properly bounded *lucrum cessans* can be reconciled with Aquinas himself.

Domingo de Soto. Dominican, 1494–1560, whose *De iustitia et iure* of 1553 became one of the foundations of the School of Salamanca. He is the tradition's cautious voice: determined to preserve the gratuity of the *mutuum*, alert to how easily "damage" could be claimed by any inconvenienced lender, and willing to admit compensation only where the injury stands genuinely outside the loan. Chapters 13 and 17 carry his caution.

Martín de Azpilcueta / Navarrus. The Navarrese canonist, 1492–1586, whose *Manual de confesores y penitentes* of 1549 became one of the most consulted confessors' guides of the age. His work is mostly remembered now for its sophistication about money, exchange, and the changing value of currency; his importance for the titles lies in the movement he shared with the whole Salamanca world, making moral theology concrete about merchant practice without letting the market set its own terms. Chapters 13 and 17 place him.

Medina. Juan de Medina, 1490–1546, professor of theology at Alcalá, whose *Codex de restitutione et contractibus* was printed there in 1546. In the book he marks the early movement toward risk pricing: the recognition that the reliability of repayment affects the practical value of a claim, together with the immediate corollary that the debtor's fragility must not thereby become a revenue stream. Chapter 28 gives him the transition.

Juan de la Peña. Dominican, born around 1513, trained under Melchor Cano, holder of the *Vísperas* chair of theology at Salamanca from 1561 until his death in 1565. He carried the *periculum sortis* debate into its precise later form, a question about price and probability: if repayment is uncertain, does the uncertainty affect the just value of the claim? Chapter 28 sets his question beside Medina's.

Luis de Molina. Jesuit, 1535–1600, author of a massive *De iustitia et iure*. With him the inherited doctrine is brought into close contact with the practical legal and commercial world of early modern Europe: how compensation is identified, measured, limited, and written into actual contracts without becoming a disguised price for the loan; he also sharpens the delicate question of whether compensation may be fixed in advance. Chapters 13 and 17 give his integration, and chapter 30 records the backlash his subtlety helped provoke.

Leonardus Lessius. The moral theologian whom the merchants of Antwerp consulted about their dealings; he is said to have gone regularly to the exchange himself to question the most experienced of them, field work for a doctrine. In the book he stands for systematization: the move from prohibition alone to contract diagnosis, asking of every surplus what it is attached to. He also carries the developed treatment of *carantia pecuniae*, the deprivation claim the main tradition refused as a freestanding title. Chapter 17 gives him at length; chapter 30 the reaction he drew.

Juan de Lugo. Born in Madrid in 1583, in the Society of Jesus from 1603, professor of theology at the Roman College for over two decades. His *De iustitia et iure* of 1642 so impressed Urban VIII that the pope made its author a cardinal the following year, over his attempted refusal; he died in Rome in 1660. In him the scattered logic of the titles gathers into a comprehensive theory of detriment, and the late scholastic settlement the book calls the *sententia communis* organizes itself around his position. Chapter 17 gives the synthesis; chapter 23 the settlement.

Benedict XIV. Prospero Lambertini, one of the most learned men ever to hold the papal office. His *Vix pervenit*, issued on November 1, 1745, and addressed to the bishops of Italy, restated the prohibition's core while leaving the extrinsic titles standing: surplus demanded on the loan itself is condemned, compensation under real titles is not, and naming a loss does not create one. The book reads the document as the tradition's warning against its own abuse, and as more radical than it first appears. Chapter 17 reads it closely.

St. Alphonsus Liguori. Founder of the Redemptorists, 1696–1787, later a Doctor of the Church, whose *Theologia moralis*, first published in 1748, guided generations of confessors between rigorism and laxity. He ranked Lugo "easily first after St. Thomas" among theologians, then spent much of his career disciplining the expansions Lugo had made possible. His mature rule for the penalty title fits in one sentence: a penalty may be licit when it is truly penal, proportionate, avoidable, and not desired as revenue. Chapters 13 and 17 give his settlement.

Daniele Concina. Dominican, 1687–1756, with twelve volumes of moral theology to his name, the voice of the eighteenth-century backlash. His fear was that the doctrine could be emptied from within, never formally denied, simply surrounded by exceptions until almost nothing remained, and his particular target was the elasticity of the risk-title. The book calls him the conscience of the doctrine: the reminder that moral theology is also a discipline of suspicion toward sin. Chapter 30 gives him the argument.

APPENDIX E

Modern Scholars to Engage

The scholars gathered here are the book's modern interlocutors: the historians, economists, and anthropologists through whom chapter 35 reads the usury tradition and against whom this book's own project is tested. They are listed in the order the table of contents gives them, which leads with the two scholars of debt's deep past (chapter 35 saves them for last) and then follows that chapter's own survey of the doctrine: its grand history, its economic thought, its social meaning, its banking practice, the structure of its titles, its contract law, its information problems, its institutional history, and finally the book's central theologian read afresh. Dates and book titles appear exactly as the chapters carry them, and most entries run without either, since a reference apparatus should add nothing the book has not already verified. An appendix of scholars is a place to check a name. The engagement itself happens in chapter 35, and for the first two also in chapter 1.

David Graeber. The book's widest lens. His *Debt: The First 5,000 Years* (2011) recovers the anthropological strangeness of debt: credit, obligation, account, and social memory organized economic life long before coinage, and the familiar barter-first story of money runs largely backward. Debt in his telling is a moral relation before it is a financial instrument, entangled with honor, hierarchy, religion, and enforcement; behind many debt systems stands the possibility of seizure, bondage, or force, and societies moralize the debtor's repayment while leaving the justice of the creditor's claim unexamined. The book says plainly that he is not the safest guide to technical scholastic doctrine; his gift is the civilizational frame that shows why the doctrine matters. Chapter 1 opens the book with his provocation, and section 35.10 closes the survey of scholars with it.

Michael Hudson. The economist of the ancient release. The book's account of Mesopotamian debt cancellation rests on his decades of argument, made most fully in *...and forgive them their debts* (2018), that the earliest economies cannot be understood through modern market individualism: debt was embedded in land tenure, temple and palace administration, taxation, and household survival, and periodic royal release was not an accidental kindness but a structural feature of early statecraft. Rulers annulled subsistence debts because unlimited creditor claims would devour the cultivators, households, and soldiers their own power rested on. The biblical Jubilee stands inside that world and transforms it covenantally. Chapter 1 gives his argument in full; section 35.10 sets him beside Graeber among the scholars of the ancient Near East.

John T. Noonan. Any modern reconstruction of scholastic usury doctrine must begin with Noonan. His classic study, *The Scholastic Analysis of Usury* (1957), shows the teaching as a living and contested tradition of moral reasoning rather than a flat prohibition mechanically repeated, and traces how the extrinsic titles gradually alter the prohibition's practical force: actual loss accepted most readily, foregone profit far more dangerous, risk of principal close behind. The book takes from him the difference between usury doctrine as slogan and as analytical tradition, the recognition that the doctrine became a moral di-

agnostic system, and the warning that mission drift often happens through reasonable exceptions. His one limit: read alone, his arc can make the movement toward interest look inevitable. Section 35.1 reads him at length, and its roster of correctives is this appendix in miniature.

Odd Langholm. The intellectual machinery. Langholm reconstructs scholastic thought on value, price, and exchange, reading the scholastics as serious analysts rather than as a crude early economics awaiting correction. From him the book takes the placement of usury inside commutative justice: the just price formed by common estimation, need, scarcity, and judgment rather than by bargaining power alone; the insistence that consent given under desperation does not settle the moral question; and the demonstration that between technical permissiveness and mere exhortation lies a third possibility, technical moral reasoning. He also supplies the translation caution this book works under: the Latin tools were formed inside a moral universe, and they must be translated, not copied. Section 35.2 gives his framework.

Giacomo Todeschini. The scholar of belonging. His work on Franciscan economics, poverty, and credit shows that the medieval argument over money was also an argument over who counted as trustworthy and who was pushed outside the circle of economic life. In his light the Monti di Pietà appear as attempts to keep the poor inside that circle, and creditworthiness as a moralized category that ranks persons. The book takes from him its social diagnostic: it is not enough to ask whether a title exists; one must also ask what the title does to belonging, since inclusion itself can happen on extractive terms. Finance distributes not only money, but credibility. Section 35.3 develops the point from the payday storefront to the term sheet.

Raymond de Roover. Belgian historian of medieval and Renaissance banking, 1904–1972, whose *The Rise and Decline of the Medici Bank* appeared in 1963. He brings the reader into the counting house: bills of exchange, exchange fairs, merchant banks, and the working instruments the theologians actually had to judge. His double corrective: the theologians were not economically ignorant, and the bankers were not simply modern financiers under inconvenient rules; the two sides were negotiating over real instruments, real services, and real evasions. Dry exchange, the loan carried under an exchange contract's name, is his classic case of substance judged beneath surface, and his standing lesson is that complexity is not proof of legitimacy. Section 35.4 gives him at length; Sant'Antonino, whose world he illuminates, lives in chapters 13 and 31.

Fabio Monsalve. The structure of the titles. Monsalve organizes the late Spanish scholastic treatment of the extrinsic titles as a family with an inner logic and a chronology: *damnum emergens* accepted earliest because actual loss sits closest to restitution, *lucrum cessans* admitted later and under discipline, *periculum sortis* increasingly central as the valuation of uncertain claims became thinkable. The sequence runs from the concrete toward the abstract, and the danger grows with the abstraction. His reading of Lugo shows the titles gathered into a broader theory of detriment, each a “loss of a sort,” a synthesis that brings coherence and, read carelessly, overextension. The book's habit of disaggregating stacked modern claims, asking each fee, preference, and premium for its title, follows his lead. Section 35.5 gives the anatomy; Lugo's synthesis itself lives in chapter 17.

Wim Decock. The bridge to contract law. Through his work on Lessius, the extrinsic titles come into focus as contract concepts: questions about what was promised, who owns the capital, who bears risk, and what the document actually does. His Lessius is both expansive and disciplined, taking commercial practice seriously without letting enforceability settle justice. From him the book takes the rule that risk must be located in the contract rather than invoked over it, since collateral, guarantees, and seniority can move downside while the word stays put; the account of *cauentia pecuniae* as a term commitment

whose generalization would dissolve the doctrine; and the warning that once a burden can be named it can be priced. A title can become a product. Section 35.6 carries the full argument; Lessius himself is chapter 17's.

André Lapidus. The epistemics of the doctrine. Lapidus reads the usury tradition as moral reasoning about knowledge under time: between advance and repayment stand uncertainty, delay, failure, and interpretation, and each title is an information-sensitive moral test. *Poena* asks whether delay was culpable and not engineered; *Damnum* whether loss was real and caused; *Lucrum* whether the lost gain was concrete and probable rather than an invisible alternative world; *Periculum* whether principal was genuinely at risk; *Carentia pecuniae* whether absence of money produced a real burden or merely monetized time. Risk merely asserted stays rhetoric until it is analyzed, because risk is not a label. It is a structure. A moral audit, he teaches, should produce not only a verdict, but a map of uncertainty. Section 35.7 builds the case.

John Munro. The grounding in economic history. Munro supplies the financial world the doctrine had to answer: merchant credit chains, fairs, forced loans, annuities, and municipal debt. He is the book's best witness for *damnum emergens* in concrete commercial cases, where one delayed payment cascades through a network of obligations, and for the limit that keeps the title honest: loss must be actual, caused, and documented, since a damage charge collected in advance on every loan is simply yield under another name. His public-finance work shows classification under political pressure: who pays, who receives, and whether public necessity has become private income. And he watches moral status change over time, as cost recovery becomes margin and temporary claims become permanent rent. Section 35.8 gives his casebook.

Pierre Januard. Aquinas with fresh eyes. Januard complicates any simple anti-interest reading of Aquinas, drawing on the Commentary on the Sentences and *De malo* alongside the *Summa Theologiae*. He foregrounds the risk-sensitive architecture already inside the doctrine: the *mutuum* transfers ownership and forbids surplus, while *societas* leaves capital exposed to the venture and permits shared profit, so the moral line runs along who bears loss. From him the book takes the "risk of analysis": transactions resist classification, and a misclassified contract can bless injustice. His Aquinas allows compensation for the damage wrongful delay causes while refusing to let duration itself be monetized, and gives each later title its Thomistic coordinates. Section 35.9 gives the reading; the texts themselves are gathered in Appendix C.

APPENDIX F

Four Extrinsic Titles Diagnostic Matrix

This appendix turns the book's per-title anti-abuse logic into a working checklist: six questions for each of the four extrinsic titles, in the order the table of contents gives them. The questions are the ones the tradition itself learned to ask, and the whole matrix rests on the one-sentence grammar chapter 36 distills from the doctrine: "no surplus is justified unless it is tied to a real external burden that is documented, causally connected, proportionate, and not merely a disguised price for the use of money." Each gloss below states which answer a sound title needs. Two cautions govern the use of the matrix. First, a title survives only if its whole battery lands right; a single failed answer is enough to reclassify the payment. Second, titles are routinely layered in modern contracts, so after auditing each claim alone, ask chapter 36's closing question: whether many partial justifications combine into an extractive whole. *Carentia pecuniae* has no block here because the tradition refused it as a freestanding title (chapter 32); a liquidity claim counts only where it can qualify as actual loss or as disciplined foregone gain. An appendix of questions is a place to check a claim. The doctrine lives in Parts V through VIII, the comparison in chapter 36, and the contract-level audit in chapter 39; Appendix G turns the same discipline into a review template.

Poena conventionalis (agreed penalty). Moral basis: culpable delay; it compensates the harm of late repayment or breach. Its characteristic deformation, in chapter 36's table, is engineered default. Part V (chapters 10 through 13) develops the doctrine.

1. **Is the due date realistic?** A sound title needs yes. The date must be one the borrower's actual circumstances can meet; an impossible schedule manufactures the breach it then punishes.
2. **Is delay culpable?** Yes is required: the delay must be wrongful and avoidable, "culpable rather than unavoidable," not misfortune. A penalty on unavoidable hardship is not answering a wrong.
3. **Is the penalty proportionate?** Yes: scaled to the harm the breach causes, not to what default can be made to earn.
4. **Does the lender prefer repayment on time?** The classic test, Scotus's (chapters 10 and 12), and the sound answer is an unhesitating yes. A lender for whom punctuality is bad news is collecting rent on the calendar.
5. **Is default engineered?** No is required. Short windows, schedules mismatched to cashflow, cure provisions designed to fail: where these appear, the penalty has begun to imitate usury.
6. **Is the penalty booked as yield?** No. A penalty the business model counts on is income, not discipline; where the forecast already includes it, the clause has changed its function.

Damnum emergens (actual loss arising). Moral basis: restitution; it compensates real

loss the lender has suffered. Its characteristic deformation is fictive damages. Part VI (chapters 14 through 17) develops the doctrine.

1. **Is the loss actual?** Yes: a loss that has arisen, not a projected, standardized, or advance-priced one. A damage charge collected on every loan before any damage occurs is pricing, not restitution.
2. **Is it documented?** Yes. This title lives on evidence: the invoice, the ledger entry, the replacement borrowing. An undocumented loss is an asserted one.
3. **Is it caused by the loan?** Yes: the causal chain must run from this transaction to this harm; without causality, the title becomes opportunism.
4. **Is it proportionate?** Yes: compensation measures the gap the harm opened, and stops there.
5. **Is it restorative?** Yes: the payment returns the lender to the position the breach disturbed. Anything beyond restoration is gain from the loan as such.
6. **Is it double-counted?** No. The lender cannot charge for the same harm twice: once as a fee, again as a penalty, again as a premium, again as return. Sum the claims before judging any of them.

Lucrum cessans (gain ceasing). Moral basis: interrupted gain; it compensates concrete profit foregone because of the loan. Its characteristic deformation is abstract opportunity cost. Part VII (chapters 18 through 23) tells its long, controversial story.

1. **Was there a concrete alternative use?** Yes is required: a named, real employment of the money, not the whole field of possible investments claimed as if already owned.
2. **Was the use licit?** Yes. Only an honest employment can ground the claim; chapter 22 holds the point that an illicit one cannot.
3. **Was the gain reasonably certain?** Yes: probable at the level commerce can actually show, before the fact, not imagined after it.
4. **Did the loan truly cause the gain to cease?** Yes: the lending itself, not the market, the season, or the lender's own choices, must have interrupted the use.
5. **Is the valuation reasonable?** Yes: bounded by the value of the interrupted gain itself, not a generic market alternative.
6. **Is this more than abstract opportunity cost?** The collapse test, and yes is required. If the claim would be equally true of any loan whatever, it is opportunity-cost pricing, and the title has dissolved into ordinary interest.

Periculum sortis (risk of principal). Moral basis: risk-bearing; it compensates genuine exposure of capital to loss. Its characteristic deformation is the universalized risk premium. Part VIII (chapters 24 through 30) is its territory.

1. **Can principal actually be lost?** Yes is required, and in the structure, not the mood: a return claimed for risk "does not put capital at risk if legal documents guarantee repayment."
2. **Who bears downside?** The capital provider must hold a real share of it. Where the borrower bears the operational risk, the workers the wage risk, the community the social risk, and the founder the personal risk, while capital holds only delayed upside, the answer disqualifies the title.
3. **Is repayment guaranteed?** No is required. A guaranteed claim is a loan whatever the term sheet calls itself, and its surplus must find another title.
4. **Is there collateral or seniority?** Each protection is not disqualifying by itself, but each one subtracts from the risk actually borne: collateral, seniority, guarantees,

covenants, and enforcement rights move downside onto other shoulders, and the claimed premium must shrink accordingly.

5. **Is the return proportionate to risk?** Yes: proportionate to the actual risk borne, after the protections are netted out, not to the risk recited.
6. **Is risk shared or shifted?** Shared is required. This is the *mutuum* and *societas* line: “Profit-sharing is easier to justify where loss-sharing is real,” and capital that has arranged its own safety is not a partner but a protected creditor.

A Non-Extractive Capital Contract Review Template

This appendix turns the book's audit practice into a working template: ten steps, in the order the table of contents gives them, moving from what the contract is (steps 1 and 2), to what it charges and why (steps 3 through 6), to what it does to persons and purpose (steps 7 through 10). It is Appendix F's companion piece. The matrix there tests a single title; this template reviews a whole contract, and it leans on chapter 39 throughout, where the five audit questions walk through a live financing structure at full length. Use the template before signing, and then periodically, since moral review should be periodic, not merely initial: a title justified at signing can cease to be justified later. An appendix of steps is a place to check a contract. The reasoning lives in chapter 39, the per-title batteries in Appendix F, and the design patterns of Part XII in chapters 39 through 42.

1. **Identify the legal form.** Read the actual instruments, not the pitch. What do the documents say this is: loan, sale, partnership, investment, insurance, exchange, lease, license, guarantee, or a hybrid? List the clauses that carry force: repayment terms, security, priority, covenants, governance rights, exit rights. Hybrids must be audited clause by clause, because each clause can shift the form.
2. **Identify the moral form.** Now ask what the contract does. Where does ownership pass? What must be returned, and is repayment fixed or contingent? Run the two tests chapter 39 begins with: the downside scenario often reveals the real contract, and recourse is one of the clearest signs of moral form. The central danger is the disguised *mutuum*: capital advanced, principal protected, surplus enforced, whatever the label. Where legal and moral form disagree, the moral form governs the rest of the review.
3. **Classify the surplus claim.** Take every payment above principal and make each component separate itself from the others and name its moral basis: loss, delay, foregone gain, risk, labor, or expense. Bargaining power is the seventh explanation, and it explains a charge without ever justifying one. Inventory the whole stack: interest, default interest, arrangement and monitoring and management fees, warrants, preferences, redemption premiums, reimbursements, carry.
4. **Name the extrinsic title, if any.** Match each classified claim to its title: culpable delay to *poena conventionalis*, actual loss to *damnum emergens*, interrupted gain to *lucrum cessans*, genuine exposure to *periculum sortis*, real work to *stipendium laboris*, real costs to expense recovery. Then run each named title through its Appendix F battery. A charge with no title beyond convention is unjustified surplus, and watch for title migration: when the justification shifts but the charge stands, the desired payment searches for a title.

5. **Document the title.** A title is only as strong as its paper. Require the loss invoiced, the alternative use named before the fact, the risk located in the signed waterfall, the repayment schedule shown to be realistic, the labor actually performed and priced. Demand more evidence as the title becomes more abstract: a documented cost needs a receipt, a risk claim needs the whole priority stack.
6. **Test proportionality.** The title opens the door to compensation; proportionality determines how far one may walk through it. Measure each payment against its burden, then sum the stack and measure the whole against the whole: the commonest abuse is the same burden charged under several names, as fee, penalty, premium, and preference at once. A cap expresses a refusal of unlimited claim; its absence is worth noticing.
7. **Test risk allocation.** Run the *periculum sortis* battery from Appendix F across the structure, then watch the contract under stress. When the enterprise fails, does repayment pause, subordinate, or convert, or do enforcement rights appear? Does distress enlarge the claim through default interest, capitalized interest, fees rolled into principal, extension charges, and penalty accruals? That compounding is the logic by which weakness becomes yield, and a non-extractive structure refuses it: grace, restructuring, loss-sharing, or capped recovery belong in the documents, not in the lender's discretion.
8. **Test borrower vulnerability.** Ask who had power when the terms were set. A borrower may consent and still be exploited; market-standard terms tell you who structured the market. Then test intelligibility: could the weaker party see how the clauses interact under stress, or only the headline cap and not the priority, the patient term and not the default trigger, the mission language and not the exit right? A structure that draws its surplus from the borrower's need, or deepens that need, fails the review whatever its titles.
9. **Test mission alignment.** For a mission-bearing enterprise, ask whether the structure protects the purpose or subordinates it to capital's exit. Look for the pressures: growth requirements the enterprise cannot bear, forced-sale rights, redemption clocks. Look for the protections: mission locks, hardship provisions, and governance able to override extractive enforcement. Chapters 40 through 42 supply the design vocabulary; the review asks whether this contract uses it or merely quotes it.
10. **Test whether capital serves life.** Last, step back from the clauses and ask what the whole arrangement makes more likely over its life: an enterprise that can reinvest, pay its people, keep its purpose, and survive hardship, or one in which capital collects for risks that others actually bear. The ten steps end where the book ends: every euro above principal must tell the truth about why it is owed, and chapter 43 states the final moral test.